Corporate and Other Laws

Concept-First Notes + Exam Q&A + MCQ Bank + Mock Test — CA Intermediate

One complete file: concepts, worked Q&A, revision cheat-sheet, MCQs & a full mock test

Contents

Daily Study Plan & Method — CA Intermediate (Direct Entry)

Your registration clock started 02 Jul 2026. Target: both groups, May 2027. Full-time, ~8 hrs/day, 6 days/week. This turns the 42-week calendar into a daily rhythm that actually builds marks.

The daily engine (8 hours, 2 parallel tracks)

Run **one practical + one theory** subject every day so you never burn out on pure memorisation.

Block	Time	What	How
1. Learn (AM)	3 hrs	Practical subject of the week (Accounting → Cost → FM → Tax)	Read the **concept note** first (the *why*), then the ICAI module for full detail
2. Practice (midday)	1.5 hrs	Problems on the AM topic	Work Q&A Section B / MCQs from your PDF; then check answers
3. Learn (PM)	2.5 hrs	Theory subject of the week (Law → Audit → SM → GST)	Concept note → then active recall (close the book, explain it)
4. Consolidate (eve)	1 hr	Retrieve + review	20 flashcards, redo 1 wrong problem, update weak-areas log

Sunday: light — 2–3 hrs of flashcards, backlog, and a weekly self-test on the week's topics. Rest.

The learning method (why this works)

1. **Concept note first, always.** Understand *why* before *what*. If you're memorising, stop and re-read "The Problem" + "Why it's built this way."
2. **Active recall beats re-reading.** After reading, close everything and write/say the key points. Use the flashcard deck daily.
3. **Space it out.** Revisit each topic at day 1, day 3, day 7, day 21 (the flashcards + weekly self-tests handle this). This is how you hold 6 subjects at once.
4. **Practice under exam conditions.** Once a chapter is done, do its Q&A *timed*, hand-written. Presentation earns marks — see each subject's **Exam Strategy** section in its PDF.
5. **Log every mistake.** Every wrong answer → weak-areas log (in `05_Tracker`) → revise weekly until it's automatic.

Weekly rhythm (maps to `01a_Intermediate_Weekly_Calendar`)

- **Mon–Sat:** 2 subjects/day per the calendar's Track A (practical) + Track B (theory).
- **End of each subject:** attempt its **MCQ bank** + a **mock section**, and score yourself.
- **Every ~4 weeks:** a full **mock test** (from your PDF), 3 hrs timed, then self-evaluate against the answer key — or send it to me to grade.

The weekly loop with me (your tutor + examiner)

Each study day, come to me for: - **Retrieval quiz** on what you studied (I test → you answer → I mark). - **Answer grading** — write a full answer, I mark it ICAI-style (step marks, presentation, what cost you marks). - **Doubt-solving** — paste anything you're stuck on. - **Weekly:** I re-quiz *older* topics so nothing fades (interleaving), and we adjust the plan from your mock scores.

> Rule of thumb: **50% learning, 50% practice/recall.** Reading feels productive; retrieval *is* productive. Weight your day accordingly as the exam nears.

Milestone checkpoints (self-honesty)

- **By end of first pass (~W25, early Jan 2027):** every chapter read once, all Q&A attempted once.
- **Consolidation (W26–35):** second pass + past-paper/RTP practice; you should be scoring 50%+ on mocks.
- **Final revision (W36–42):** only summary sheets + flashcards + full mocks; target 60%+ on mocks.
- **Both groups first attempt** is the goal — every exam cleared on time protects your articleship start and the 3-year finish.

Spaced-Revision Calendar & System

CA Intermediate, both groups, 6 subjects — Advanced Accounting, Corporate & Other Laws, Cost & Management Accounting, Auditing & Ethics, FM & SM, Taxation. Full-time, ~9-month runway to a May 2027 attempt. You already own the three assets this system runs on: concept notes (`<Subject>/md/*.md` *), flashcard decks (* `<Subject>/flashcards/DECK.tsv` *), and Q&A/MCQ banks (* `<Subject>/qa/` *). This file is the machine that keeps all ~125 chapters warm at once so nothing you learn in Month 1 is dead by Month 8.*

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1. The spacing principle (why this works, in one paragraph)

A memory is strongest the moment you learn it and then decays on a curve — most of it is gone within a week unless you *retrieve* it. Each time you successfully pull a fact back from memory, the curve flattens: the next forgetting is slower, so the next review can wait longer. That is why you revise at **expanding intervals — Day 1, Day 3, Day 7, Day 21, then monthly** — instead of re-reading everything every day (which feels productive but wastes time on things you already know). Retrieval, not re-reading, is the active ingredient: close the note and *say/write the answer first*, then check. Across 6 subjects you cannot hold 125 chapters by will — you hold them by touching each one exactly when it is about to fade, and never sooner.

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2. The weekly template (Mon–Sun)

Assumes ~8 hrs/day, one **practical** + one **theory** subject running in parallel (mirrors `_DAILY_PLAN_AND_METHOD.md`). Every day has four fixed slots. The **Revise** slot is filled *automatically* by the rolling queue in §3 — you never decide what's due, the calendar decides.

Day	(a) Learn-new (~4 hr)	(b) Revise — what comes due (~1 hr)	(c) Flashcard-drill (~30 min)	(d) Self-test (~1 hr)
Mon	Practical ch. + Theory ch.	Chapters from **D-1, D-3, D-7, D-21** (see §3)	Anki due cards, both today's subjects	5 MCQs on yesterday's topic
Tue	Practical ch. + Theory ch.	D-1, D-3, D-7, D-21	Anki due cards	5 MCQs
Wed	Practical ch. + Theory ch.	D-1, D-3, D-7, D-21	Anki due cards	1 full Q&A (timed, handwritten)
Thu	Practical ch. + Theory ch.	D-1, D-3, D-7, D-21	Anki due cards	5 MCQs
Fri	Practical ch. + Theory ch.	D-1, D-3, D-7, D-21	Anki due cards	1 full Q&A (timed, handwritten)
Sat	Lighter: finish/overflow ch.	D-1, D-3, D-7, D-21 **+ the week's 5 new chapters as a block**	Anki due cards + re-drill week's *lapsed* cards	**Weekly self-test:** 15 MCQs + 2 problems across the week
Sun	**No new learning**	**Monthly-cycle slice** (§4) — one subject's summary sweep	Anki due cards only (keep the streak)	Review weak-areas log; mark next week's due dates

Reading order inside every slot: concept note (the *why*) → active recall (close it, explain aloud) → check → log misses. Never revise by re-reading passively.

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3. The rolling revision queue — zero manual tracking

The whole trick: because you learn at a steady **~1 practical + 1 theory chapter per study day**, the spacing intervals become **fixed offsets on the calendar**. You never maintain a "due list" — you just count backwards from today.

3a. The daily count-back (the core habit)

Every morning, before new learning, open **four** chapters — the ones you first studied on these dates:

Marker	= studied on	Why
D-1	yesterday	catch it before overnight decay
D-3	3 days ago	the first big drop-off
D-7	7 days ago (same weekday, last week)	consolidation
D-21	21 days ago (same weekday, 3 weeks back)	long-term lock

That's it. Four chapters/day, ~15 min each. No app, no list — the **calendar is the queue**. "What do I revise Tuesday?" → whatever you learned last Monday-adjacent dates: yesterday, last Sat, last Tue, and the Tue three weeks ago. Retrieval only: cover the note, recall the structure and the 3–5 load-bearing facts, then verify.

3b. The physical backup — a 5-slot index box (Leitner-style)

If you'd rather see it than count, run a **rotating checklist** with 5 slots. Each chapter is one line on a card (or one row in a sheet). A chapter moves one slot right each time you clear its review; if you blank on it, it drops back to Slot 1.

```
[ Slot 1 ]   [ Slot 2 ]   [ Slot 3 ]   [ Slot 4 ]   [ Slot 5 ]
 every day    every 3 d     weekly      every 3 wk   monthly
   (D-1)        (D-3)        (D-7)        (D-21)     (§4 cycle)
```

- New chapter enters **Slot 1** the day you learn it.
- Clear it → promote to next slot. Blank on it → back to **Slot 1**.
- Each day you only work the slots that are "due" that day. Slot 5 chapters are handled by the monthly cycle (§4), so they leave the box.

3c. One rolling tracker row per chapter (optional, if you like a sheet)

Keep a single sheet, one row per chapter, six columns. Fill a date when done; the **next blank tells you when it's due**:

Chapter	Learned	D-1 ✓	D-3 ✓	D-7 ✓	D-21 ✓	Monthly ✓
Cost/04 Overheads	12-Jul	13-Jul	15-Jul	19-Jul	02-Aug	(rolls into Aug cycle)

Once a chapter has all five ticks it is "warm" — it now only reappears in the monthly full-subject sweep. This is the graduation gate.

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4. The monthly full-subject revision cycle

The daily count-back keeps *recent* chapters alive; the monthly cycle keeps *old, graduated* chapters from silently dying. Every 4 weeks, do one **full-subject summary sweep** per subject — but spread across the month so it's ~1 hr on Sundays, not a lost week.

Rotation (6 subjects → one per ~5 days, all six covered inside each 4-week block):

Sun / slot	Subject swept	How (fast, high-level)
Wk1 Sun	Advanced Accounting	Read only note headers + your own margin notes; redo 2 flagged problems
Wk1 Sun (2nd half)	Corporate & Other Laws	Recite section structure from memory; re-drill lapsed Anki cards
Wk2 Sun	Cost & Management Accounting	Re-work 2 formula-heavy sums cold
Wk2 Sun (2nd half)	Auditing & Ethics	Recall SA numbers + key clauses aloud
Wk3 Sun	FM & SM	Re-do 2 ratio/valuation sums; recite SM frameworks
Wk3 Sun (2nd half)	Taxation	One income computation + 3 GST scenarios cold
Wk4 Sun	**Full mock slot**	3-hr timed paper from `<Subject>/exam/` or PDF; grade it

Rule: a monthly sweep is **retrieval + weak spots only** — never a full re-read. If you're reading everything again, the daily queue failed upstream; fix that, don't re-read.

How the flashcards (`DECK.tsv`) plug in

Your flashcards are what make §3 nearly automatic — **Anki already implements the exact 1/3/7/21/monthly curve for you**, at the *card* level. Use them as the always-on layer under the chapter-level system:

1. **Import once.** Each `<Subject>/flashcards/DECK.tsv` (~100 cards/subject, ~600 total) imports into Anki as tab-separated. In Anki: *File → Import → Fields separated by Tab → map Field 1 = Front, Field 2 = Back → pick/create a deck per subject* (e.g. `CA::Cost`). Re-import after you edit a deck; Anki updates existing cards and adds new ones.
2. **Gate cards to what you've learned.** Don't unleash all 600 on Day 1. When you finish a chapter, **unsuspend that chapter's cards** (tag cards by chapter on import, e.g. `#Cost04`, then unsuspend by tag).

New cards enter Anki's own Day 1/3/7/21 schedule — matching your chapter's count-back, one level finer.

3. **Daily driver.** The **(c) Flashcard-drill** slot = "clear today's Anki due count." Set new-cards/day ≈ your learning rate (10–15) and reviews/day uncapped. Cards you fail auto-return to Day 1 — the same lapse-demotion as the Slot-1 rule in §3b.
4. **Anki does the tracking so your box doesn't have to.** Card-level = Anki (automatic). Chapter-level = the calendar count-back (§3a) + monthly sweep (§4). Between the two, every fact and every chapter has a scheduled next-touch and you maintain almost nothing by hand.

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5. Putting it together — the one-minute daily routine

1. **Anki first** (15–30 min): clear today's due cards. *(card-level spacing — automatic)*
2. **Count back** (1 hr): open D-1, D-3, D-7, D-21 chapters; retrieve, check, log misses. *(chapter-level spacing — calendar-driven)*
3. **Learn new** (4 hr): 1 practical + 1 theory chapter, concept-note-first; drop each into Slot 1 / write today's date in the tracker.
4. **Self-test** (1 hr): MCQs or a timed Q&A on yesterday's topic.
5. **Sunday only:** run this block's monthly-sweep slice (§4) instead of new learning.

Weekly cost: ~5 hr of pure revision + ~3 hr flashcards, buying permanent retention of all 6 subjects. **Non-negotiables:** (1) retrieval before checking, always; (2) never skip the Anki daily clear — a skipped day dumps a backlog and breaks the curve; (3) a blanked chapter goes back to Slot 1, no ego. Follow this and by final revision (Mar–Apr 2027) you're reviewing summary sheets and mocks, not relearning — exactly where a both-groups May 2027 pass is won.

Final 30-Day Revision Plan

CA Intermediate — Both Groups (6 papers) · Last 30 days before the exam

> You are past the learning stage. First pass is done, and you own a full kit per subject: concept notes, 100 model Q&A, mock tests, flashcards, and high-yield/weightage maps. These 30 days are **not for learning new things** — they are for *recall speed, format fluency, and exam-hall calm*. The goal is to touch every high-yield chapter enough times that answers come out **automatically, section-cited, format-first**, under a ticking clock.
>
> **Read this once, then stop re-reading it.** Execute.

The 6 papers and their 80/20 anchors

Everything below is built from your own `WEIGHTAGE.md` maps. In a time crunch, these anchors are where marks live — protect them first, every rotation.

#	Paper (Group)	Nature	The anchor chapters (bank these cold)
P1	**Advanced Accounting** (G1)	~85% practical	AS bloc (esp. AS 3, 20, 16, 22, 11, 2, 10, 26, 28, 4, 9) → Consolidation (AS 21) → Amalgamation (AS 14) → Internal Reconstruction → Schedule III + Cash Flow
P2	**Corporate & Other Laws** (G1)	Theory / application	Part II trio (General Clauses + Interpretation + FEMA = ~30 easy marks) + Share Capital, Management & Administration, Incorporation, Prospectus, Deposits, Audit & Auditors
P3	**Taxation — IT + GST** (G1)	~60% computational	IT: Salaries, PGBP, Capital Gains, Ch VI-A, TDS/TCS, Residential Status, Total-Income Q1. GST: ITC, Supply, RCM/Composition, Value of Supply, Exemptions, Registration
P4	**Cost & Management Accounting** (G2)	~70% practical	Standard Costing, Marginal Costing, Process Costing, Overheads (absorption), Material, Labour, Cost Sheet + Reconciliation, Budgets
P5	**Auditing & Ethics** (G2)	Theory / memory	Company Audit (Sec 139–147), Audit Report (SA 700 series + CARO 2020), Audit of FS Items, Professional Ethics, Risk & Internal Control, Audit Evidence
P6	**FM & SM** (G2)	FM practical / SM theory	FM: Capital Budgeting, Working Capital, Cost of Capital, Capital Structure & Leverage, Ratio Analysis. SM: External Env (PESTLE/Five Forces), Internal Env (Value Chain/BCG/SWOT), Strategic Choices (Ansoff)

Two rules that apply to every single revision touch: 1. **Format / skeleton first.** For any practical, write the *heading and working-note structure* before numbers. For any theory answer, write the *section/SA/clause number* before the explanation. That discipline is where 10–15% of marks quietly live. 2. **Never read passively.** Revision = recalling onto paper or flipping a flashcard and *saying the answer out loud*, then checking. Re-reading notes feels productive and isn't.

Daily time-block template (Phase 1, Days 30–8: ~11–11.5 hrs)

Adjust clock times to your body, but keep the *shape*: hardest practical work when fresh, mock in one unbroken block, theory + flashcards in the tired evening slot.

Block	Time	~Hrs	What goes here
Wake + light start	06:00–06:30	—	No phone. Water, wash, 5-min stretch.
Block A — Peak	06:30–09:30	3.0	Hardest **practical** subject of the day (Accounts / Cost / Tax / FM). Solve, don't read.
Breakfast + walk	09:30–10:00	—	Real break, off-screen.
Block B — Core	10:00–13:00	3.0	Either the **full 3-hr mock** (on mock days) OR second subject's high-yield problems.
Lunch + rest	13:00–14:30	—	Eat, 20-min nap OK. Protect this — burnout is the real enemy of month 12.
Block C — Practice	14:30–17:30	3.0	Model Q&A / past-paper questions, timed, on the block-A/B subject. Mark every slip in the **error log**.
Tea + walk	17:30–18:00	—	Move your body.
Block D — Theory/recall	18:00–20:30	2.5	Theory subject (Law / Audit / SM), cheat-sheets, MCQ bank. Lighter cognitive load for a tired brain.
Dinner	20:30–21:15	—	—
Block E — Wind-down	21:15–22:00	0.75	Flashcard shuffle (mixed subjects), tomorrow's 3-line plan, update error log.
Sleep	by 22:45	—	7+ hrs, non-negotiable. Sleep is a memory-consolidation tool, not a luxury.

Total focused: ~11.25 hrs. If a day this is too much, cut Block C to 2 hrs before you cut sleep. One well-rested 10-hr day beats two frazzled 13-hr days.

PHASE 1 — Days 30 to 8: the rotation

Objective: cycle all 6 subjects **~3 times**, each pass shorter and more high-yield than the last, with **7 full mocks** woven in and every mock reviewed the next morning.

The three passes get lighter: - **Pass 1 (Days 30–25):** deep refresh — anchor chapters solved thoroughly, formats rebuilt from memory. - **Pass 2 (Days 24–17):** high-yield only — anchors + your logged weak spots; first mocks begin. - **Pass 3 (Days 16–8):** consolidation — mocks, error-log targets, MCQ banks, speed.

Rotation 1 — Days 30 to 25 (deep refresh, one subject/day)

Day	Primary (Blocks A–C)	Evening (Block D)	Focus
30	**P1 Advanced Accounting**	Accounts flashcards	AS bloc drill (the compulsory Q1's four 5-markers) + one full Consolidation practical
29	**P4 Cost**	Cost formula flashcards	Standard Costing (all variances) + Marginal Costing (CVP, decisions)
28	**P3 Taxation — Income Tax**	Tax rate/section flashcards	Salaries + PGBP + Capital Gains computation formats
27	**P2 Corporate & Other Laws**	Part II trio flashcards	Share Capital + Management & Administration; then bank the Part II 30 marks
26	**P6 FM**	SM framework flashcards	Capital Budgeting + Working Capital + Cost of Capital; evening = SM Ch 11/12/13 frameworks
25	**P5 Auditing & Ethics**	SA-number flashcards	Company Audit (Sec 139–147) + Audit Report (SA 700s + CARO) + Ethics clauses

Rotation 2 — Days 24 to 17 (high-yield + mocks begin)

Day	Main event	Then / evening	Notes
24	**MOCK 1 — P1 Advanced Accounting** (10:00–13:00)	PM: remaining Accounts anchors (Internal Reconstruction, Schedule III, Cash Flow)	First full 3-hr sit. Simulate exam conditions exactly.
23	**AM: review Mock 1** (see mock rule below)	PM: **P3 GST** — ITC + Supply + RCM/Composition + Value of Supply	—
22	**P4 Cost** — Overheads (reciprocal distribution), Material, Labour	Eve: Cost Sheet + Cost Accounting Systems reconciliation	Rebuild the reconciliation statement from memory
21	**MOCK 2 — P2 Corporate & Other Laws** (10:00–13:00)	PM: mark scheme + note weak chapters	Practise *provision → then application*, section-cited
20	**AM: review Mock 2**	PM: **P6 FM** (Ratio, Capital Structure, Dividend, Risk) + **SM** Ch 13/14/15	—
19	**P5 Audit** — Risk & Internal Control + Audit Evidence + Ethics	Eve: SA-number drill + MCQ bank	Quote exact SA/section in every answer
18	**MOCK 3 — P4 Cost** (10:00–13:00)	PM: mark scheme + variance error-hunt	Watch time-per-question on the numericals
17	**AM: review Mock 3**	PM: **P1 Accounts** 2nd pass — Amalgamation, Buy-back, Branch, Cash Flow	—

Rotation 3 — Days 16 to 8 (consolidation, mocks, weak areas)

Day	Main event	Then / evening	Notes
16	**P3 Taxation** — full computation drill, both compulsory Q1s (Total Income + GST liability/ITC)	Eve: Ch VI-A + TDS/TCS + Residential Status flashcards	Time the two Q1 computations end-to-end
15	**MOCK 4 — P3 Taxation** (10:00–13:00)	PM: mark scheme + amendment/AY check	Confirm current Finance Act / AY + GST amendments
14	**AM: review Mock 4**	PM: **P6** — SM full theory sweep (Ch 10–15) + FM formula sheet recall	SM answers = framework label + structure
13	**P2 Law** 3rd pass — Part II trio *cold* + Ch 4, 7, 2, 3, 5, 10	Eve: Law MCQ bank	Part II must be automatic, zero-thought marks
12	**MOCK 5 — P6 FM & SM** (10:00–13:00)	PM: mark scheme; mind the 0.25 MCQ negative marking	Do SM descriptive while fresh; FM problems last & longest
11	**AM: review Mock 5**	PM: **P5 Audit** 3rd pass — Company Audit, Audit Report/CARO, FS Items, Ethics	—
10	**MOCK 6 — P5 Auditing & Ethics** (10:00–13:00)	PM: mark scheme + MCQ (30 marks) accuracy	—
9	**AM: review Mock 6**	PM: **P4 Cost** 3rd pass — weakest variances + Process (equivalent units) + MCQ bank	Target only error-log items now
8	**MOCK 7 — your weakest subject** (full 3-hr)	PM: review; consolidate ALL error logs into one master sheet per subject	Choose by mock scores. Then Phase 1 ends.

Coverage check: every subject touched 3× (P1 Days 30/17/24-mock; P4 29/22/9/18-mock; P3 28/16/23/15-mock; P2 27/13/21-mock; P6 26/20/14/12-mock; P5 25/19/11/10-mock) and 7 full mocks spanning all 6 papers.

The Mock Rule (applies to all 7 mocks)

- **Sit it like the real exam:** 10:00–13:00 (or your paper's real slot), full 3 hours, no notes, no phone, no pauses, handwritten, one attempt at the compulsory question first.
- **Do NOT grade it that night.** You're too close to it and too tired. Close the book.
- **Grade it the NEXT MORNING, in Block A, when fresh.** Mark honestly against the model answers / suggested-answer scheme. For every lost mark, write in the error log: *what I missed → the correct rule/format → the one-line fix.* This next-morning review is where the mock actually pays off — the mock only diagnoses; the review is the cure.
- **Track the number.** Watch your mock scores climb across Days 24 → 8. That rising line is your best motivation and your realistic pass-signal.

PHASE 2 — Days 7 to 1: final rapid revision

Hard rules for the last week: - **No new topics. None.** If you haven't learned it by Day 8, you won't master it now, and chasing it will rattle the 80% you *do* own. - **Inputs allowed:** cheat-sheets, flashcards, formula sheets, section/SA/clause lists, your own error-log master sheet. **No full textbook reading.** - **Group order = exam order.** Group 1 (Accounting, Law, Tax) is examined first, so it gets the final touch first; Group 2 (Cost, Audit, FM-SM) is refreshed on its own eves. **Adapt the exact days to your real ICAI timetable** — the schedule below is the common spacing (G1 on the earlier dates, G2 following after a gap).

Day	Focus	Do only this
7	**Group 1 rapid sweep**	Accounts: AS one-liner list + Consolidation/Amalgamation/Reconstruction skeletons (headings only). Law: Part II trio + heavyweight section list. Tax: both Q1 computation formats. Flashcards, no solving full sums.
6	**Group 2 rapid sweep**	Cost: master formula sheet (all variances, EOQ, EBQ, P/V, BEP) + Process format. Audit: SA/section/CARO-clause list + Ethics clauses. FM: formula sheet; SM: framework names. Flashcards only.
5	**Group 1 final touch + P1 eve**	Light morning: Group 1 flashcards + error-log master. **Evening = exam-eve routine for tomorrow's first paper only** (see checklist).
4	**Exam window begins**	Follow the **rolling exam-eve rule** below for whichever paper is next. Between papers: refresh *only the next paper's* cheat-sheet + flashcards.
3	Exam / gap day	Same rolling rule. On a gap day, rest more than you study — recover for Group 2.
2	Exam window	Same rolling rule.
1	Exam window	Same rolling rule. Trust the reps.

The rolling exam-eve rule (the single most important habit of the final week)

> **On the night before any paper, revise ONLY that subject.** Its cheat-sheet, its formula/section/SA sheet, its flashcards, its error-log page. Nothing else. Do not open a different subject the night before — mixing subjects on an exam eve creates confusion and anxiety, not marks. One paper done → sleep → wake → refresh *next* paper's sheet in the morning → walk in.

Illustrative Group-1-first sequence (map to your real dates): P1 Accounting eve → P2 Law eve → P3 Tax eve → [gap: recover] → P4 Cost eve → P5 Audit eve → P6 FM-SM eve. Each eve touches only the next day's subject.

Night-before / exam-day checklist

Night before (each paper)

- ☐ Revised **only tomorrow's subject** — cheat-sheet + formula/section sheet + flashcards + error-log page.
- ☐ **Stop studying by ~21:00.** No new problem after that; a fresh brain outscores a crammed one.
- ☐ **Admit card, ID, extra photos** in the bag. Board/pad, transparent pencil pouch, **2–3 blue pens (tested), pencils, scale, eraser, sharpener, simple non-programmable calculator (+ spare batteries)**, transparent water bottle, analog watch.
- ☐ Confirm **exam centre address + route + reporting time**; plan to reach **45–60 min early**. Check traffic.
- ☐ Clothes laid out. Two alarms set. In bed for **7+ hours** of sleep — this is a scoring decision, not downtime.
- ☐ Screens off 30 min before sleep. No result-anxiety scrolling, no group chats comparing prep.

Exam morning

- ☐ Wake on first alarm. Proper breakfast (not too heavy). Hydrate.
- ☐ **5-minute glance only** at the one-page cheat-sheet — reassurance, not fresh learning. Then close it.
- ☐ Leave early. Reach centre, find your seat, settle, breathe.
- ☐ Bag packed with the checklist above; calculator tested working.

In the hall

- ☐ **Reading time (15 min):** read the whole paper, decide your attempt order, tick the compulsory question and the ones you'll answer, mentally note the format for each. Start MCQ section planning if applicable.
- ☐ **Answer the strongest question first** to build momentum and lock in easy marks.
- ☐ **Manage time by marks:** ~1.8 min per mark. Set a hard stop per question; move on when the clock says so — a half-answered Q6 beats a perfect Q5 with Q6 blank.
- ☐ **Format first, always:** working-note headings / section-clause numbers before the body. Underline final answers, label working notes, quote the exact SA/section/CARO clause.
- ☐ **Attempt every question** you're allowed to (full marks available; no negative marking on the descriptive parts). For MCQs with negative marking (Tax, Law, Cost, FM-SM), skip only genuine blind guesses.
- ☐ **Leave 10 min** to review: numbering, sub-parts, totals, anything skipped.

After each paper

- ☐ **Do not discuss the paper. Do not check answer keys. Do not calculate your score.** Walk away. One paper is one paper — the next one owes you nothing and cares nothing for the last.
- ☐ Eat, rest, then flip to the **next subject's** eve routine. Reset and repeat.

A realistic word before you begin

You have already done the hard part — a full first pass with notes, 600 model Q&A, mocks, flashcards, and weightage maps most candidates never build. The next 30 days are not about being a hero; they're about **showing up to the desk every morning and putting reps on paper.** You do not need every chapter — the 80/20 anchors above plus clean formats and section-citations comfortably clear the 40%-per-paper / 50%-aggregate bar, with room to spare.

Protect three things ruthlessly: **your sleep, your error log, and your morning mock reviews.** Let the mock scores climb. Trust the plan on the days you don't feel like it — motivation follows action, not the other way around.

Both groups. Six papers. Thirty days. One desk, one morning at a time. Go earn it.

Foundation: Indian Regulatory Framework

> *"Before you can learn any single business law, you must first learn the map of all of them — where law comes from, who makes it, who enforces it, and how one statute hands the baton to the next. A CA does not practise one law; a CA stands at the crossroads of a dozen laws at once. This chapter is that crossroads."*

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1. The Problem it solves — Why a CA needs a *map* before the *territory*

Picture the very first day a newly-qualified Chartered Accountant walks into a client's office. The client is a private company that manufactures auto-parts. In the space of a single morning the CA is asked five ordinary questions:

1. "*We want to raise ₹5 crore from a bank — do we need to register anything?*"
2. "*A foreign buyer wants a 26% stake in our company — is that even allowed?*"
3. "*We're listing on the stock exchange next year — who regulates that?*"
4. "*Our factory keeps its books in Tally — is that legally acceptable for the auditor?*"
5. "*We import steel and pay in dollars — which law governs that payment?*"

Notice something. **Not one of these is a pure accounting question.** Each one is a *legal* question with an accounting consequence. And crucially, **each one is governed by a different law and a different regulator**:

- Registering the bank's charge on assets → **Companies Act, 2013**, enforced by the **MCA / Registrar of Companies (ROC)**.
- The foreign 26% stake → **FEMA, 1999** and the **FDI policy**, enforced by the **RBI**.
- The stock-exchange listing → **SEBI Act, 1992** and the **Companies Act**, enforced by **SEBI**.
- Whether Tally-based books are legal → **Companies Act, 2013 (Section 128)** read with the **Information Technology Act, 2000** for electronic records.
- The dollar payment for imports → **FEMA, 1999**, again enforced by the **RBI**.

Here is the trap that catches every fresh entrant: **you cannot answer any of these questions correctly if you do not first know which drawer to open.** A student who has memorised the Indian Contract Act in isolation, or the Companies Act in isolation, is like a doctor who has memorised the anatomy of the hand but has never seen a picture of the whole body. When a real problem walks in, they cannot even tell which specialist to send it to.

The problem this chapter solves is disorientation. It gives you the single overhead map of the entire Indian business-law landscape — *what* the sources of law are, *who* the regulators are, *what* each major statute does, and *how* they connect — so that for the rest of your CA journey, every new law you learn slots into a place you already understand. Learn the map first, and every later chapter becomes "filling in a country you already have the outline of." Skip the map, and every law feels like a disconnected pile of sections to be crammed and forgotten.

There is a second, subtler problem. India is a **federal** country with a **written Constitution**, a **common-law inheritance from the British**, and a modern overlay of **specialist economic regulators**. That means Indian business law does not come from one place — it comes from at least five different *sources*, each with a different authority and a different way of being changed. A CA who does not understand *where a rule comes from* cannot judge how strong it is, whether it can be challenged, or which rule wins when two rules collide. This chapter teaches you to trace any rule back to its source.

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2. Core Idea — Law is a *layered system of delegated authority*

The single central idea of this whole chapter is this:

> **Indian business regulation is a pyramid of delegated authority. The Constitution sits at the top and authorises Parliament to make laws; Parliament makes broad statutes (Acts) and then *delegates* the fine detail to the Government (rules) and to expert regulators (regulations); the regulators enforce the detail day-to-day. Every business rule you will ever meet lives somewhere on this pyramid, and its power depends on which layer it sits on.**

Everything else in this chapter is a consequence of that one idea. When you see "the Companies (Incorporation) Rules, 2014" you should instantly know: *this is delegated legislation, made by the Central Government under the Companies Act, sitting one layer below the Act itself.* When you see "SEBI (LODR) Regulations, 2015" you should know: *this is made by an expert regulator under a power Parliament gave it, and it binds only the entities SEBI regulates.*

The reason the system is built as a **pyramid of delegation** rather than one giant book of rules is entirely practical, and understanding *why* is the whole point of a concept-first course:

- Parliament meets for only a few weeks a year and cannot possibly debate the exact format of a company's balance sheet or the precise margin a stockbroker must post. So it writes the *principle* into the Act and *delegates* the *detail* to those with the time and expertise.
- Financial markets change weekly. A statute takes years to amend. A **regulation** made by SEBI or RBI can be issued in days. So the fast-moving detail is pushed *down* to regulators who can react at market speed, while the slow-moving principle stays *up* in the Act.
- Expertise is specialised. Parliament is not expert in banking, insurance, securities and corporate governance simultaneously. So it creates **specialist regulators** — RBI for money and banks, SEBI for securities, IRDAI for insurance, MCA for companies — and hands each a slice of authority.

So the Core Idea in one line: **broad law flows from a single constitutional source, then fans out and downward through delegation into the specialist rules that actually govern a business.**

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3. Why it works this way — First-principles reasoning

Do not accept the pyramid as a rule to be memorised. Derive it. Ask: *if you were designing a legal system for a billion people and millions of businesses from scratch, what would force you into exactly this shape?*

First principle: legitimacy must have a single root. In a democracy, the *right* to coerce people — to fine them, jail them, seize their goods — cannot come from nowhere. It must trace back to the people themselves. The **Constitution of India (1950)** is the document in which "the people of India" gave themselves a government and defined its powers. So *every* valid law must be traceable to a power the

Constitution grants. A rule that cannot be traced to the Constitution is **ultra vires** (beyond power) and a court will strike it down. This is why the Constitution *has* to sit at the apex: it is the only thing that makes everything below it legitimate.

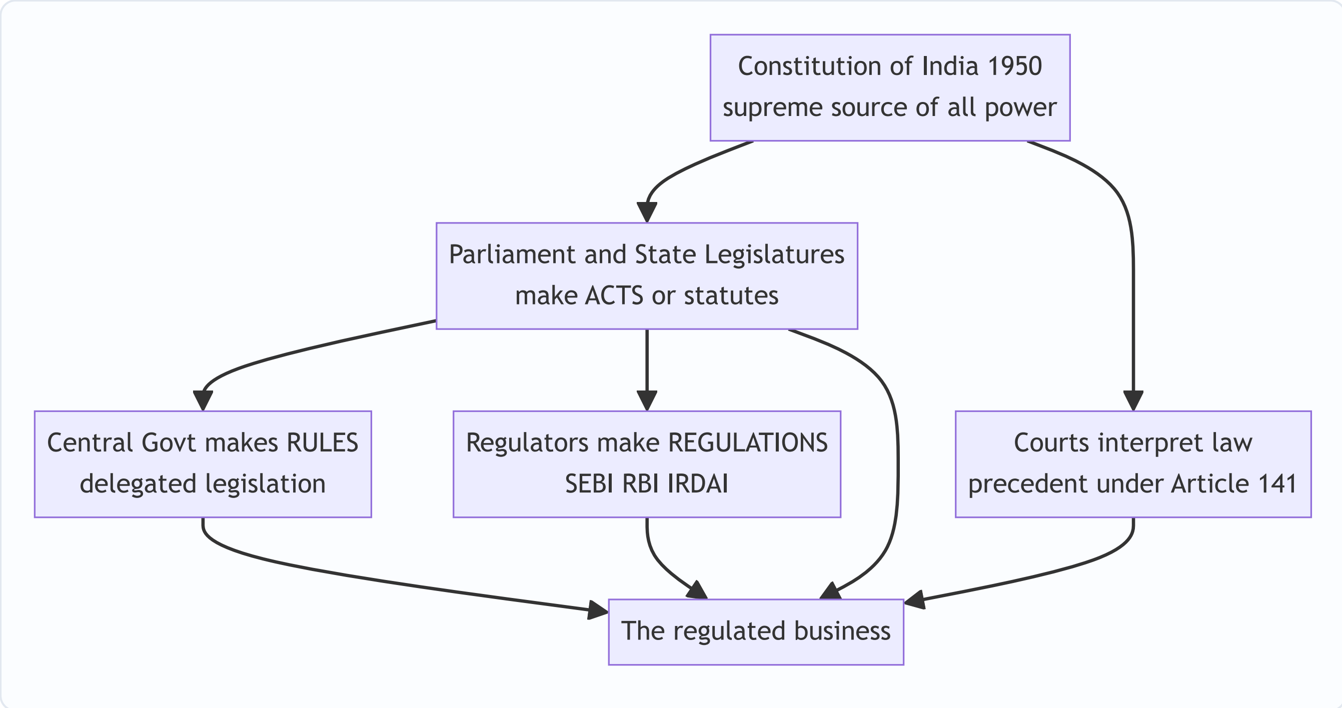
Second principle: a legislature cannot write everything itself. If Parliament tried to legislate every detail — every form, every fee, every deadline — it would (a) never finish and (b) never keep the detail current. The only workable answer is **delegation**: Parliament writes the skeleton (the Act) and authorises someone else to write the flesh (rules and regulations). This is not a loophole; it is a necessity of scale. But delegation is dangerous — you have handed law-making power to unelected officials. So the law surrounds it with limits: the delegate can only make rules *within* the boundaries the Act sets, the rules must usually be *laid before Parliament*, and courts can strike down any rule that exceeds the parent Act. Delegated power is real power, but it is *leashed* power.

Third principle: markets need referees who move faster than legislators. A stock market where a fraud can be run for three years while Parliament debates a fix is a market no one will invest in. Investors need a referee who can blow the whistle *today*. That referee must be (a) expert, (b) independent of the government of the day, and (c) armed with power to make binding rules, investigate, and punish — all without going back to Parliament each time. That is precisely what a **statutory regulator** (SEBI, RBI, IRDAI) is: Parliament creates it by an Act, gives it a defined turf, and then largely lets it self-govern that turf. The trade-off — concentrated, fast, expert power in an unelected body — is accepted because the alternative (a slow, generalist legislature refereeing live markets) is worse.

Fourth principle: India inherited the common law, so judges are a *source* of law too. Under British rule India absorbed the English **common-law** tradition, in which the decisions of higher courts *bind* lower courts (the doctrine of **precedent / stare decisis**). This means law in India is not only *written by legislators* — it is also *made by judges* interpreting that writing. The **Supreme Court of India** is the apex interpreter; under **Article 141** of the Constitution, its declared law binds all courts in India. So when you ask "what does Section 2(20) of the Companies Act actually mean?", the honest answer is often "what the Act says *as interpreted by* the Supreme Court." Judge-made law is a genuine source, sitting alongside the written statutes.

Fifth principle: federalism forces a division of subjects. India is a Union of States. Two legislatures exist — Parliament (Centre) and the State Legislatures. If both could legislate on everything, chaos would follow. So the Constitution's **Seventh Schedule** divides subjects into three **Lists**: the **Union List** (only Centre — e.g. banking, insurance, foreign affairs), the **State List** (only States — e.g. local trade, agriculture), and the **Concurrent List** (both — e.g. contracts, bankruptcy). Almost every subject a CA cares about — companies, banking, insurance, securities, negotiable instruments — is in the **Union List or Concurrent List**, which is *why* business law is overwhelmingly *central* law, uniform across India. That uniformity is not an accident; it is a deliberate constitutional design so that a company in Chennai and a company in Chandigarh obey the *same* company law.

Put these five principles together and the pyramid is *forced*: a single legitimate root (Constitution), a broad central legislature that must delegate (Parliament → Acts → rules), fast expert referees for markets (regulators → regulations), an interpreting judiciary (courts → precedent), and a federal split that keeps business law central and uniform. You have *derived* the Indian regulatory framework rather than memorised it.



4. Full technical content

4.1 The Constitution as the fountainhead

The **Constitution of India** came into force on **26 January 1950**. For a business-law student four features matter:

Feature	What it means for business law	Key provision
Supreme law	Any Act, rule or regulation inconsistent with it is void	Article 13
Fundamental Rights	Limit what laws can do; e.g. right to trade	Article 19(1)(g) — freedom of trade, business, profession
Distribution of powers	Decides whether Centre or State can legislate a subject	Article 246 + Seventh Schedule
Binding precedent	Supreme Court's law binds all courts	Article 141

The **freedom to carry on any trade or business** under **Article 19(1)(g)** is *not* absolute — Article 19(6) lets the State impose "reasonable restrictions" in the public interest. This is the constitutional hook on which *all* business regulation hangs: licensing, professional-conduct rules for CAs, restrictions on foreign investment — all are "reasonable restrictions" on the freedom to trade.

4.2 The three Lists (Seventh Schedule) — who legislates what

List	Who can legislate	Business-relevant subjects (illustrative)
Union List (List I)	Only Parliament	Banking; insurance; stock exchanges & futures markets; foreign exchange & foreign trade; RBI; corporation tax; audit of Union accounts
State List (List II)	Only State Legislatures	Local markets & fairs; money-lending; taxes on agricultural income; State GST components
Concurrent List (List III)	Both (Centre prevails on conflict — Art. 254)	Contracts; partnership; bankruptcy & insolvency; transfer of property; economic & social planning; trade unions

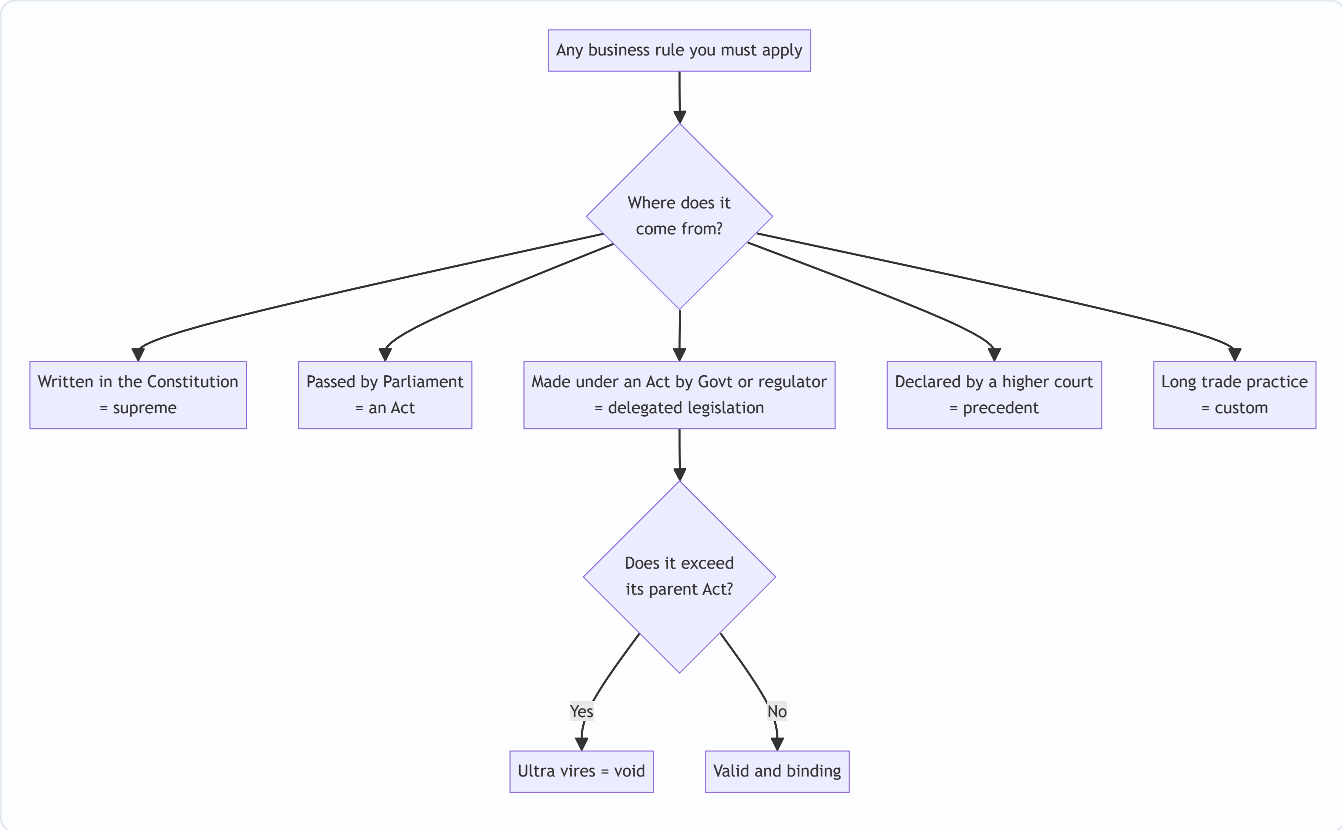
Notice that **companies, banking, insurance and securities are Union subjects** — this is why the Companies Act, Banking Regulation Act, Insurance Act and SEBI Act are *single central laws* applying identically across India. **Contract and insolvency are Concurrent** — but the Centre has occupied the field, so again we have single central Acts (Indian Contract Act, Insolvency and Bankruptcy Code).

4.3 The sources of Indian law — the five drawers

Every rule a CA meets comes from one of these five sources. Learn to name the source of any rule you cite.

#	Source	What it is	Example
1	**The Constitution**	The supreme, foundational law	Article 19(1)(g)
2	**Statutes / Acts (primary legislation)**	Laws passed by Parliament or State Legislatures	Companies Act, 2013; Indian Contract Act, 1872
3	**Delegated / subordinate legislation**	Rules, regulations, notifications, orders, bye-laws made *under* an Act by the executive or a regulator	Companies (Incorporation) Rules, 2014; SEBI (LODR) Regulations, 2015
4	**Judicial precedent (case law)**	Higher courts' interpretations, binding on lower courts	Salomon v Salomon (separate legal entity); SC rulings under Art. 141
5	**Customs & usage**	Long-established trade practices recognised by law where not overridden by statute	Trade usages under Section 1 of the Contract Act; Hundi customs

A useful hierarchy when two rules clash: **Constitution beats Act beats Rule/Regulation.** A regulation that contradicts its parent Act is *ultra vires* and void; an Act that contradicts the Constitution is void. Precedent operates *within* this hierarchy — it tells you what the higher-level text *means*, it does not override it.



4.4 Primary vs delegated legislation — the crucial distinction

Because a huge fraction of what a CA applies day-to-day is *delegated* legislation, you must be crystal-clear on the difference.

Aspect	Primary legislation (Act/Statute)	Delegated legislation (Rules/Regulations)
Made by	Legislature (Parliament / State)	Executive (Central Govt) or a regulator (SEBI/RBI/IRDAI)
Authority to make	The Constitution directly	A specific "enabling section" in a parent Act
Typical name	"...Act, [year]"	"...Rules", "...Regulations", "...Notification", "...Order"
Speed to change	Slow — needs legislative process	Fast — issued by notification
Can be struck down if it exceeds the parent Act?	N/A	Yes — *ultra vires* doctrine
Example	Companies Act, 2013 (Section 469 empowers rule-making)	Companies (Incorporation) Rules, 2014

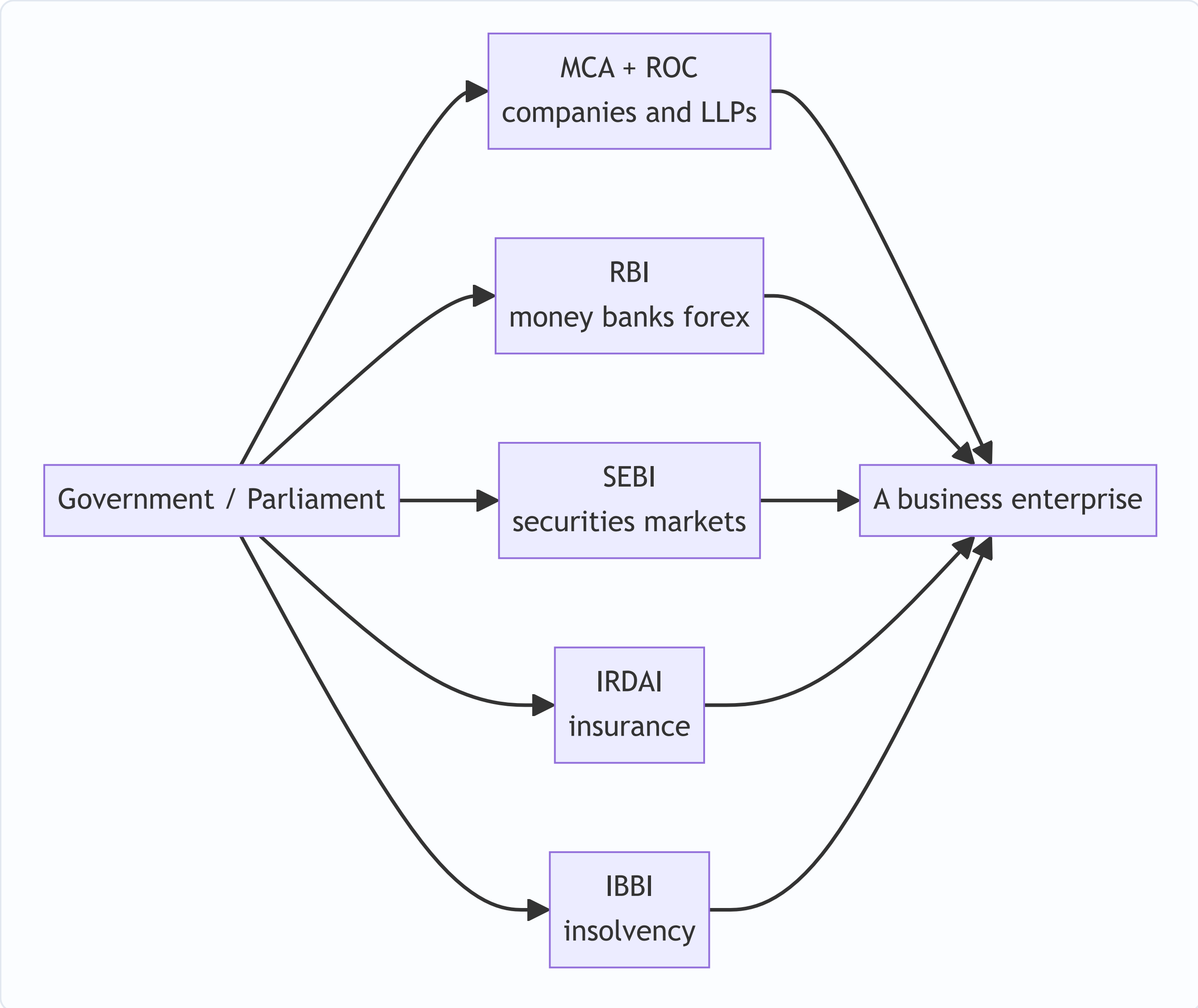
"Rules" vs "Regulations" — a fine but examinable point: *Rules* are usually made by the **Central Government**; *Regulations* are usually made by a **statutory body/regulator** (SEBI, RBI, IRDAI) or, inside a company, by the company itself (Articles of Association are the company's "regulations"). Both are delegated legislation; both must stay within the parent Act.

4.5 The four key regulators a Foundation CA must know

These four bodies are the "referees" of Indian business. Memorise, for each: the **enabling Act**, the **turf**, and the **CA touch-point** (why an accountant meets it).

Regulator	Full name	Established by / year	Turf (what it regulates)	Where a CA meets it
MCA / ROC	Ministry of Corporate Affairs; Registrar of Companies	Government ministry; ROC under Companies Act, 2013	Incorporation, filings, corporate governance, LLPs	Every company filing — incorporation, annual return, charges, financial statements on MCA-21 portal
RBI	Reserve Bank of India	RBI Act, 1934	Monetary policy, banks, NBFCs, foreign exchange (FEMA), payment systems	Foreign investment, ECBs, import/export payments, bank audits
SEBI	Securities and Exchange Board of India	SEBI Act, 1992 (statutory)	Securities markets, stock exchanges, listed companies, brokers, mutual funds	IPOs, listed-company compliance (LODR), insider-trading rules
IRDAI	Insurance Regulatory and Development Authority of India	IRDA Act, 1999	Insurance companies, intermediaries, policyholder protection	Audit of insurers, solvency compliance

A fifth body worth knowing at Foundation level is the **IBBI (Insolvency and Bankruptcy Board of India)**, established under the **Insolvency and Bankruptcy Code, 2016**, which regulates insolvency professionals and the insolvency process — a CA can qualify as an Insolvency Professional.



4.6 The major commercial statutes a CA must know

The CA Foundation Business Laws paper and its Inter successor rest on a defined set of Acts. Here is the master table — the "statute stack."

Act (with year)	One-line purpose	Regulator / forum	CA Foundation coverage
Indian Contract Act, 1872	Rules for when a promise is legally enforceable	Civil courts	Core — offer, acceptance, consideration, capacity, free consent, discharge, breach, remedies; special contracts (indemnity, guarantee, bailment, pledge, agency)
Sale of Goods Act, 1930	Contracts specifically for buying/selling goods	Civil courts	Core — conditions & warranties, transfer of property/ownership, unpaid seller
Indian Partnership Act, 1932	Rules for firms owned by 2+ persons sharing profits	Registrar of Firms	Core — nature, registration, rights/duties of partners, dissolution
Limited Liability Partnership Act, 2008	A hybrid: partnership flexibility + limited liability	MCA / ROC	Core — LLP as a body corporate, incorporation, partners
Companies Act, 2013	The complete code for companies	MCA / ROC	Foundation touches the *idea* of a company; full detail is in Inter
Negotiable Instruments Act, 1881	Cheques, bills of exchange, promissory notes	Civil/criminal courts	Often studied in Inter; foundation-relevant for banking
FEMA, 1999	Manages foreign exchange and cross-border money	RBI	Overview at Foundation; detail in Inter
SEBI Act, 1992	Governs securities markets and protects investors	SEBI	Overview
General Clauses Act, 1897	The "dictionary" that interprets all other Acts	Applies across all law	Definitions and interpretation

The **CA Foundation Paper 2 (Business Laws, 2024 New Scheme)** concentrates on the first four "core" Acts — **Contract, Sale of Goods, Partnership, and LLP** — plus this framework overview. The Companies Act, FEMA, SEBI, Negotiable Instruments and General Clauses Acts are met in full at **CA Intermediate (Corporate & Other Laws)**. This chapter's job is to show you *where each one sits* so the transition is seamless.

4.7 How the Foundation statutes fit together — the "contract spine"

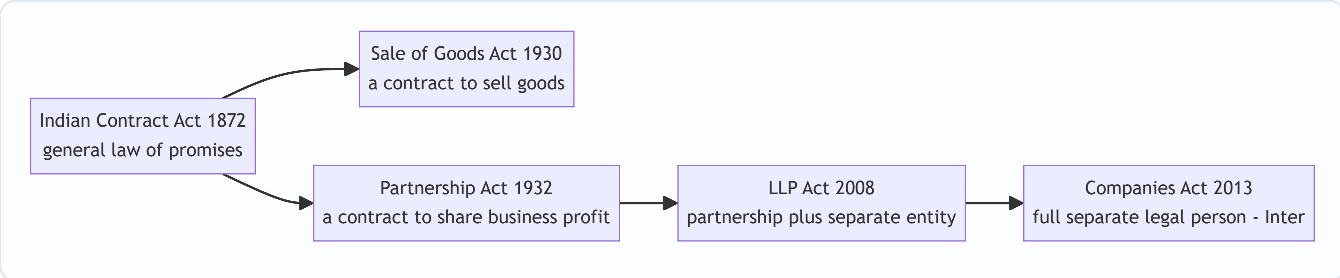
There is a hidden logic to the *order* in which these Acts are taught, and seeing it makes them stick.

Everything starts with the **Indian Contract Act, 1872**. It is the *general* law of all agreements — the grammar of commercial law. Every other commercial Act is a **special case** of a contract:

- A **sale of goods** is a *contract* to transfer ownership of goods for a price → so the **Sale of Goods Act, 1930** is a *specialised* contract law. It was literally carved *out of* the old Contract Act (Sections 76–123 of the Contract Act were repealed and replaced by the 1930 Act).

- A **partnership** is a *contract* among persons to share the profits of a business → so the **Partnership Act, 1932** is *contract law applied to co-owners of a business*. Section 4 defines partnership as "the *relation between persons who have agreed*..." — an agreement, i.e. a contract.
- An **LLP** is a partnership given a *separate legal personality* and *limited liability* → so the **LLP Act, 2008** is the *bridge* from partnership (people-based) to company (entity-based).
- A **company** is the full realisation of a *separate immortal legal person* → the **Companies Act, 2013**, met next at Inter.

So the Foundation syllabus is a *staircase from promise to person*:



Once you see that **every commercial Act is contract law with a specialisation bolted on**, the whole edifice becomes one connected structure instead of five things to cram.

4.8 Interpretation aids — the General Clauses Act and rules of construction

When any Act uses a word like "month", "person", "document" or "shall", how do you know what it means? Parliament does not re-define these in every Act. Instead there is a master dictionary: the **General Clauses Act, 1897**. For example, under it "**month**" means a month reckoned by the British (Gregorian) calendar; "**person**" *includes* a company or association; "**shall**" is generally mandatory while "**may**" is generally directory. Courts also apply canons of interpretation — the **literal rule** (read plain words plainly), the **golden rule** (depart from literal meaning only to avoid absurdity), and the **mischief rule** (read the Act to suppress the "mischief" it was passed to cure). These become a full chapter at Inter, but at Foundation you must know the *idea* that Acts are read through a shared interpretive lens.

4.9 The law-making process — how a Bill becomes an Act

Stage	What happens
Drafting	A Bill is prepared by the concerned ministry
Introduction & readings	Introduced in either House (Lok Sabha / Rajya Sabha), debated in three readings
Passage by both Houses	Must be passed by both Houses (Money Bills have a special route)
Presidential assent	The President assents under Article 111 → the Bill becomes an **Act**
Commencement	The Act comes into force on a notified date (may be in parts)
Rule-making	The Government/regulator issues **rules/regulations** under the Act's enabling section

The takeaway: an **Act** is not fully "live" until (a) it receives assent and (b) it is *notified into force*, and it is not fully *operational* until its **rules** are made. This is why, for instance, the Companies Act 2013 came into force in stages between 2013 and 2019.

5. Worked examples (Issue → Rule → Application → Conclusion)

Because this is a *law* chapter, the "worked examples" are application scenarios solved in **IRAC** style. Each identifies the **Issue**, states the **Rule** with the source, **Applies** it, and reaches a reasoned **Conclusion**.

Worked Example 1 — Which drawer? Classifying the source of a rule

Facts. A CA student reads that "Every company must file its annual return within 60 days of the AGM in Form MGT-7." She wants to know: is this requirement a *statute*, a *rule*, or a *regulation*, and who can change it?

Issue. What *source* of law does this requirement come from, and what is its rank in the hierarchy?

Rule. Under the sources-of-law framework, a requirement stated in a numbered **Section** of an Act is *primary legislation*; a requirement that lives in a **Form** or in "...Rules" is *delegated legislation* made by the Central Government under an enabling section (here, Section 469 of the Companies Act, 2013). Delegated legislation is valid only if it stays within the parent Act (not *ultra vires*).

Application. The *duty to file an annual return* is created by **Section 92 of the Companies Act, 2013** — that part is **primary legislation** (only Parliament can change it). But the *format* — that it is "Form MGT-7" — comes from the **Companies (Management and Administration) Rules, 2014**, which is **delegated legislation** made by the Central Government. The Government can change the *form* by notification without going back to Parliament, but it cannot abolish the *duty to file*, because that sits one layer above, in the Act.

Conclusion. The obligation is a *blend*: the **duty** is statutory (Section 92, changeable only by Parliament), while the **form and mechanics** are delegated (Rules, changeable by Government notification). This is the pyramid in action — principle in the Act, detail in the Rules.

Worked Example 2 — Which regulator? Routing a real client question

Facts. "SteelKart Pvt Ltd", an Indian private company, wants to (a) list its shares on the NSE next year, (b) accept a 40% equity investment from a company in Singapore, and (c) register a bank's charge over its factory as security for a ₹5-crore loan. The CA must tell the client *which regulator and which law* governs each step.

Issue. For each of the three actions, which statute applies and which regulator enforces it?

Rule. - Listing of securities → **SEBI Act, 1992** and SEBI (ICDR/LODR) Regulations → regulator **SEBI**. - Foreign equity investment → **FEMA, 1999** read with the FDI policy → regulator **RBI** (with DPIIT policy). - Creation/registration of a charge on company assets → **Sections 77–87, Companies Act, 2013** → regulator **MCA / ROC**.

Application. - (a) The listing is a *securities-market* activity; **SEBI** must clear the offer document and the company will thereafter obey SEBI's LODR Regulations, 2015. The Companies Act also applies to the *issue* of shares, but the *market* regulator is SEBI. - (b) The 40% stake is *foreign direct investment*; it is governed by **FEMA, 1999** and the sectoral FDI caps. For most manufacturing, 100% FDI is allowed under the "automatic route," so a 40% investment is permissible — but the inflow must be reported to the **RBI** (through the authorised-dealer bank, in the prescribed forms). - (c) The bank's charge must be **registered with the ROC within 30 days** of its creation (Section 77); failure makes the charge void against the liquidator and creditors. This is purely an **MCA/ROC** matter.

Conclusion. Three actions, three different laws, three different regulators: **SEBI** for the listing, **RBI/FEMA** for the foreign investment (permissible under the automatic route but reportable), and **MCA/ROC** for the charge (register within 30 days). A CA who knew only one of these would mis-advise the client on the other two. This is exactly why the *map* comes before the *territory*.

Worked Example 3 — The contract spine: is this even a contract law problem?

Facts. Two friends, Arjun and Bhavya, "agree to run a garment-trading business together and share profits equally." Later Arjun sells 500 shirts to a customer, Chetan, who refuses to pay. Arjun also claims Bhavya is not liable for a separate ₹2-lakh business loan because "she never signed it." Identify *which Foundation Acts* govern (i) the Arjun–Bhavya relationship, (ii) the Arjun–Chetan shirt sale, and (iii) Bhavya's liability for the loan.

Issue. Map each leg of the dispute to the correct Foundation statute using the "contract spine."

Rule. - A relation between persons who *agree to share the profits of a business* is a **partnership** — **Section 4, Indian Partnership Act, 1932**. - A *contract to transfer ownership of goods for a price* is a **sale of goods** — **Section 4, Sale of Goods Act, 1930**. - In a partnership, *every partner is jointly and severally liable* for acts of the firm done in the ordinary course of business — **Sections 25 & 18–19, Indian Partnership Act, 1932** (each partner is an agent of the firm).

Application. - (i) Arjun and Bhavya "agreed to share profits of a business" → this is the *definition* of partnership (Section 4). Their relationship is governed by the **Partnership Act, 1932**, which itself is *contract law applied to co-owners* — so the **Indian Contract Act, 1872** supplies the background (their agreement must satisfy free consent, lawful object, etc.). - (ii) Arjun selling 500 shirts to Chetan for a price is a *contract for sale of goods* → governed by the **Sale of Goods Act, 1930**. Chetan's refusal to pay makes him a defaulting buyer; Arjun, as an unpaid seller, has remedies (suit for price, lien) under that Act. - (iii) Bhavya's "I never signed it" defence *fails*: under Sections 18–19 and 25, each partner is an **agent of the firm**, so a loan taken by Arjun in the ordinary course of the firm's business binds the firm — and every partner is **jointly and severally liable**. Bhavya is liable for the ₹2-lakh loan despite not signing.

Conclusion. One dispute, three Acts, all descending from contract: the **Partnership Act** governs the co-ownership, the **Sale of Goods Act** governs the shirt sale, and the **Contract Act** underpins both (a partner is an *agent*, and agency is a special contract under the Contract Act). Bhavya cannot escape the loan. This shows the "staircase from promise to person": every commercial relationship is a specialised contract.

Worked Example 4 — Ultra vires delegated legislation

Facts. Suppose a regulator issues a *regulation* stating that "any company that fails to file its return will be *imprisoned*." The parent Act only authorises the regulator to prescribe *fees and forms*, and says nothing about imprisonment. A company challenges the regulation.

Issue. Is the regulation valid?

Rule. Delegated legislation is valid only if it stays *within the four corners* of the power granted by the parent Act. A rule/regulation that travels beyond the enabling section is **ultra vires** and void. Imprisonment (a criminal penalty) can be created *only by the Act itself*, not by a delegate authorised merely to set fees and forms.

Application. The parent Act authorised only *fees and forms*; it did not authorise the regulator to create an offence punishable by imprisonment. The regulator has legislated beyond its delegated power. Under the *ultra vires* doctrine and Article 13, a court will strike the imprisonment clause down.

Conclusion. The regulation is **void to the extent it prescribes imprisonment**. This confirms the hierarchy: a delegate cannot manufacture powers the legislature never gave it — the leash on delegated legislation is real and judicially enforced.

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6. Connections — how this feeds into CA Intermediate

This Foundation map is the *trunk* from which every Inter law chapter branches. Trace the branches so you can see the payoff:

- **Sources of law + delegated legislation** → unlocks **Inter: The General Clauses Act, 1897** and **Interpretation of Statutes**, where you learn the literal/golden/mischief rules and the exact meaning of "shall/may/month/person."
- **MCA / ROC + the idea of a company** → unlocks the *entire* **Inter: Companies Act, 2013** syllabus — incorporation, prospectus, share capital, charges, management, dividend, accounts, audit (Chapters 01–10 of your Inter Law notes).
- **LLP as a bridge entity** → unlocks **Inter: LLP Act, 2008** in full.
- **RBI + FEMA overview** → unlocks **Inter: FEMA, 1999** (current vs capital account transactions, FDI/ODI).
- **SEBI overview** → underlies listed-company compliance you meet in **Inter: Companies Act** and in **CA Final** securities laws.
- **The contract spine (Contract → Sale of Goods → Partnership)** → these Foundation Acts are *assumed known* throughout Inter and Final; e.g. **agency** (a special contract) is the doctrine that makes directors bind a company and partners bind a firm.
- **Interpretation aids** → directly feed **Inter: Interpretation of Statutes** and the way *every* section is read in every paper thereafter.

In short: master this chapter and you are not learning one topic — you are pre-loading the skeleton onto which the *whole* of CA Inter Corporate & Other Laws will attach.

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7. Traps & common mistakes

1. **Confusing an Act with its Rules.** Students cite "the Rules" when they mean the Act, or vice versa. Remember: **duty comes from the Act; format/mechanics come from the Rules.** In an exam, name the *Section* for the duty and the *Rules* for the form.
2. **Thinking delegated legislation is "lower-quality" law.** It is *fully binding* — a company that violates a validly-made Rule is as liable as if it broke the Act. "Delegated" means *derived*, not *optional*.
3. **Mixing up the regulators.** Classic error: attributing foreign-investment approval to SEBI, or share-listing to RBI. Fix the anchors: **SEBI = securities; RBI = money/forex; MCA = companies; IRDAI = insurance.**
4. **Forgetting the Constitution is the root.** Students treat Acts as self-standing. Every Act draws its validity from the Constitution; an Act violating Fundamental Rights is void (Article 13).
5. **Assuming "may" and "shall" mean the same.** Generally **"shall" = mandatory, "may" = directory/discretionary** — but context can flip this, so read the whole section.
6. **Believing business law is State law.** It is overwhelmingly **central** (Union/Concurrent Lists), which is why the Acts are uniform India-wide. Do not say "each State has its own Companies Act" — there is one.

7. **Ignoring the "notified into force" step.** An Act that has received Presidential assent may still not be *in force* until notified; parts of the Companies Act 2013 came into force years apart.
8. **Treating precedent as optional.** A Supreme Court interpretation *is* law under Article 141 and binds all courts — you cannot argue the "plain words" against a settled SC ruling.
9. **Not distinguishing "Rules" (Govt) from "Regulations" (regulator/company).** Small point, frequently tested — Articles of Association are a company's *regulations*; SEBI issues *regulations*; the Central Government issues *rules*.

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8. First-principles recap

- **One root, many branches.** All valid law traces to the **Constitution (1950)**; anything untraceable to it is *ultra vires* and void (Article 13).
- **The pyramid of delegation.** Parliament writes the broad **Act**; it *delegates* the detail to the Government (**Rules**) and to expert regulators (**Regulations**) because it cannot and should not write everything itself.
- **Four (five) referees. MCA/ROC** (companies), **RBI** (money & forex), **SEBI** (securities), **IRDAI** (insurance) — plus **IBBI** (insolvency) — are fast, expert, independent regulators created *by* Acts to police live markets.
- **Five sources.** Constitution, Statutes, Delegated legislation, Judicial precedent, and Custom — a CA must be able to name the source of any rule cited.
- **The contract spine.** Every Foundation commercial Act is a *specialised contract*: **Contract Act → Sale of Goods → Partnership → LLP → Company** — a staircase from *promise* to *person*.
- **Federal but uniform.** Business subjects sit on the **Union/Concurrent Lists**, so business law is central and identical across India — deliberately, so investors face one rulebook.

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9. Quick-reference

Item	Key fact / section
Constitution in force	26 January 1950
Freedom of trade/business	**Article 19(1)(g)**, restrictable under **19(6)**
Supremacy of Constitution	**Article 13** (inconsistent laws void)
Distribution of powers	**Article 246** + **Seventh Schedule** (Union / State / Concurrent Lists)
Central law prevails on Concurrent conflict	**Article 254**
Supreme Court precedent binding	**Article 141**
Presidential assent to a Bill	**Article 111**
Five sources of law	Constitution • Statute • Delegated legislation • Precedent • Custom
Ultra vires test	Delegated law void if beyond parent Act
Rules vs Regulations	Rules = Central Govt; Regulations = regulator/company
MCA/ROC — law	Companies Act, 2013 (ROC on MCA-21)
RBI — law	RBI Act, 1934; enforces FEMA, 1999
SEBI — law	SEBI Act, 1992
IRDAI — law	IRDA Act, 1999
IBBI — law	Insolvency and Bankruptcy Code, 2016
Contract Act	**Indian Contract Act, 1872** — general law of agreements
Sale of Goods	**Sale of Goods Act, 1930** — s.4 defines "sale"
Partnership	**Indian Partnership Act, 1932** — s.4 defines partnership; s.25 joint & several liability
LLP	**LLP Act, 2008** — body corporate + limited liability
Interpretation dictionary	**General Clauses Act, 1897**
Charge registration with ROC	**Section 77**, Companies Act — within 30 days
Annual return	**Section 92**, Companies Act — Form MGT-7 (via Rules)
"shall" vs "may"	shall = mandatory; may = directory (context-dependent)

Master this map and every later law chapter becomes "filling in a country you already have the outline of."

Q&A — Foundation: Indian Regulatory Framework

Practice bank for **CA Foundation Paper 2 — Business Laws (2024 New Scheme)**, Chapter: *Foundation — Indian Regulatory Framework*. Mixes **theory/definition** questions (model answers with section references and "how to present for full marks") and **application/case-scenario** questions (fact → rule → reasoned answer, IRAC style). Attempt each before reading the model answer.

Part A — Theory & Definition Questions

Q1. What are the sources of Indian law? Explain briefly. *(Theory)*

Model answer. Indian law flows from **five sources**:

1. **The Constitution of India, 1950** — the supreme, foundational law; every other law derives its validity from it (Article 13).
2. **Statutes / Acts (primary legislation)** — laws enacted by Parliament or State Legislatures, e.g. the Indian Contract Act, 1872.
3. **Delegated / subordinate legislation** — Rules, Regulations, Notifications and Orders made by the executive or a regulator *under* an enabling Act, e.g. the Companies (Incorporation) Rules, 2014.
4. **Judicial precedent (case law)** — decisions of higher courts that bind lower courts; the Supreme Court's declared law binds all courts (Article 141).
5. **Customs and usage** — long-established trade practices recognised by law where not overridden by statute.

How to present for full marks: list all five, give **one example each**, and add the ranking line — "*Constitution prevails over an Act, which prevails over delegated legislation; a delegated law exceeding its parent Act is ultra vires and void.*"

Q2. Distinguish between primary legislation and delegated legislation. *(Theory)*

Model answer.

Basis	Primary legislation (Act)	Delegated legislation (Rules/Regulations)
Made by	Legislature (Parliament/State)	Executive (Central Govt) or a regulator
Source of authority	The Constitution directly	An enabling section in a parent Act
Typical name	"...Act, [year]"	"...Rules / Regulations / Notification / Order"
Speed of change	Slow (legislative process)	Fast (by notification)
Can be struck down for excess?	N/A	Yes — *ultra vires* doctrine
Example	Companies Act, 2013	Companies (Incorporation) Rules, 2014

Full-marks tip: state the *reason* delegation exists — Parliament cannot write every detail and markets change faster than statutes can be amended, so the *principle* is kept in the Act and the *detail* is delegated.

Q3. Name the four principal economic regulators relevant to a CA and the Act that established each. *(Theory)*

Model answer.

Regulator	Established by	Turf
MCA / ROC	Companies Act, 2013 (ROC); MCA is a Government ministry	Companies & LLPs
RBI	RBI Act, 1934 (also enforces FEMA, 1999)	Money, banks, NBFCs, foreign exchange
SEBI	SEBI Act, 1992	Securities markets, listed companies, brokers
IRDAI	IRDA Act, 1999	Insurance companies and intermediaries

Add for a bonus: **IBBI** under the **Insolvency and Bankruptcy Code, 2016** regulates insolvency professionals. Anchor phrase for recall: "*SEBI = securities, RBI = money/forex, MCA = companies, IRDAI = insurance.*"

Q4. What is meant by the doctrine of *ultra vires* in relation to delegated legislation? *(Theory)*

Model answer. *Ultra vires* means "beyond the powers." Delegated legislation (Rules/Regulations) is valid **only if it stays within the four corners of the power granted by its parent Act**. If a Rule or Regulation travels beyond the enabling section — for instance, creating a penalty the Act never authorised — it is *ultra vires* and **void**. Courts, under Article 13, will strike down such delegated legislation. The doctrine is the "leash" that keeps unelected rule-makers within the boundary the legislature set.

Q5. Explain the significance of the Seventh Schedule and its three Lists for business law. *(Theory)*

Model answer. Article 246 read with the **Seventh Schedule** divides legislative subjects into three Lists:

- **Union List (List I)** — only Parliament legislates: banking, insurance, stock exchanges, foreign exchange & trade, RBI, corporation tax.
- **State List (List II)** — only States legislate: local markets, money-lending, taxes on agricultural income.
- **Concurrent List (List III)** — both may legislate; on conflict the central law prevails (Article 254): contracts, partnership, bankruptcy & insolvency, transfer of property.

Significance: because companies, banking, insurance and securities sit on the **Union List**, and contract/insolvency on the **Concurrent List** (occupied by the Centre), business law is **central and uniform across India** — a company in Chennai and one in Chandigarh obey the *same* Companies Act.

Q6. Why does India need statutory regulators like SEBI and RBI instead of letting Parliament regulate markets directly? *(Theory / conceptual)*

Model answer. Three first-principles reasons:

1. **Speed** — markets change weekly; a statute takes years to amend, but a regulator can issue a binding **regulation** in days.
2. **Expertise** — Parliament is a generalist body; regulating banking, securities and insurance needs specialist knowledge concentrated in a dedicated body.
3. **Independence** — a market referee must be insulated from the government of the day to command investor confidence.

Parliament therefore *creates* each regulator by an Act (SEBI Act 1992, RBI Act 1934), defines its turf, and delegates fast, expert, independent rule-making and enforcement power to it. The trade-off — concentrated power in an unelected body — is accepted because a slow, generalist legislature refereeing live markets would be worse.

Q7. What is judicial precedent, and what is the constitutional basis for its binding force? *(Theory)*

Model answer. Judicial precedent (the doctrine of *stare decisis*) means that the decision of a higher court on a point of law **binds lower courts** in later cases with similar facts. India inherited this from the English **common-law** tradition. Its constitutional basis is **Article 141**, which provides that the law declared by the **Supreme Court** is binding on all courts within India. Consequently, the meaning of a statutory provision is often "what the Act says *as interpreted by* the Supreme Court," and one cannot argue the plain words of a section against a settled Supreme Court ruling on it.

Q8. Trace the stages by which a Bill becomes an enforceable Act. *(Theory)*

Model answer.

Stage	Event
1. Drafting	Bill prepared by the concerned ministry
2. Introduction & readings	Introduced in a House; debated over three readings
3. Passage	Passed by both Houses of Parliament
4. Assent	President assents under **Article 111** → it becomes an **Act**
5. Commencement	Comes into force on a notified date (possibly in parts)
6. Rule-making	Government/regulator issues **Rules/Regulations** under the enabling section

Full-marks point: an Act is not operational until it is both **notified into force** *and* supported by its **Rules** — which is why the Companies Act 2013 came into force in stages.

Q9. What is the role of the General Clauses Act, 1897? *(Theory)*

Model answer. The General Clauses Act, 1897 is the **master dictionary and interpretation statute** that applies across all Central Acts, saving Parliament from re-defining common words in every Act. For example, it provides that "**month**" means a Gregorian-calendar month, "**person**" *includes* a company or association of persons, and it guides that "**shall**" is generally mandatory while "**may**" is generally directory. It also lays down default rules on commencement, repeals and computation of time. At CA Intermediate it becomes a full chapter; at Foundation you must know its *purpose* as the shared interpretive lens for all statutes.

Q10. Distinguish between "Rules" and "Regulations." *(Theory)*

Model answer. Both are **delegated legislation**, but:

- **Rules** are generally made by the **Central Government** under an Act's enabling section (e.g. Companies (Incorporation) Rules, 2014).
- **Regulations** are generally made by a **statutory regulator** (SEBI, RBI, IRDAI) or by a company for its own internal governance — a company's **Articles of Association** are its "regulations."

Both must remain within their parent Act, failing which they are *ultra vires*. The distinction, though fine, is frequently tested.

Q11. Which constitutional provision guarantees freedom of trade and business, and is it absolute? *(Theory)*

Model answer. Article 19(1)(g) guarantees to all citizens the right "to practise any profession, or to carry on any occupation, trade or business." It is **not absolute**: **Article 19(6)** permits the State to impose **reasonable restrictions** in the interest of the general public, and to prescribe professional/technical qualifications or State monopolies. This is the constitutional hook on which *all* business regulation — licensing, FDI caps, professional-conduct rules for CAs — legitimately hangs.

Q12. List the "core" commercial statutes covered in CA Foundation Business Laws and state each Act's one-line purpose. *(Theory)*

Model answer.

Act	Purpose
Indian Contract Act, 1872	When a promise/agreement is legally enforceable
Sale of Goods Act, 1930	Contracts for the sale of goods
Indian Partnership Act, 1932	Firms owned by two or more persons sharing profits
Limited Liability Partnership Act, 2008	Hybrid — partnership flexibility with limited liability and separate entity

Full-marks add-on: note the "contract spine" — Sale of Goods and Partnership are *specialised* forms of contract, so the Contract Act underpins all of them.

Q13. Explain the "contract spine" idea that connects the Foundation commercial statutes. *(Theory / conceptual)*

Model answer. The **Indian Contract Act, 1872** is the *general* law of all agreements. Every other commercial Act is a **specialised contract** built on it:

- A **sale of goods** is a contract to transfer ownership of goods for a price → **Sale of Goods Act, 1930** (carved out of the old Contract Act).
- A **partnership** is a contract among persons to share business profits → **Partnership Act, 1932** (a partner is an *agent* — agency being a special contract under the Contract Act).
- An **LLP** adds separate personality and limited liability to partnership → **LLP Act, 2008**.
- A **company** completes the separate-legal-person idea → **Companies Act, 2013** (met at Inter).

So the syllabus is a **staircase from promise to person**, and every commercial Act is "contract law with a specialisation bolted on."

Q14. What does "Constitution beats Act beats Rule" mean for a CA resolving a conflict between two provisions? *(Theory)*

Model answer. It states the **hierarchy of laws**. When provisions conflict: (a) a **Rule/Regulation** that contradicts its **parent Act** is void (*ultra vires*); (b) an **Act** that contradicts the **Constitution** is void (Article 13). Precedent operates *within* this hierarchy — it declares what the higher text *means* but does not override it. So a CA facing a conflict first asks *which layer each provision sits on* and applies the higher-layer provision.

Part B — Application & Case-Scenario Questions (IRAC style)

Q15. A regulation issued under an Act (which only empowers the regulator to prescribe fees and forms) states that defaulters "shall be imprisoned for six months." Is the regulation valid? *(Application)*

Issue. Can a regulator, empowered only to prescribe fees and forms, create a penalty of imprisonment by regulation?

Rule. Delegated legislation is valid only within the power granted by the parent Act; anything beyond it is *ultra vires* and void (Article 13). A criminal penalty such as imprisonment can be created **only by the Act itself**, not by a delegate authorised merely for fees and forms.

Application. The parent Act authorised only fees and forms and was silent on imprisonment. By creating a jail term, the regulator legislated beyond its delegated power.

Conclusion. The imprisonment clause is **ultra vires and void**; only the offending portion falls, and the regulator cannot manufacture powers the legislature never gave it.

Q16. "TechNova Pvt Ltd" wants to (i) issue an IPO, (ii) receive 30% equity from a US investor, and (iii) register a bank's charge over its plant. Identify the law and regulator for each. *(Application)*

Issue. Which statute and regulator governs each of the three corporate actions?

Rule / Application. - **(i) IPO / listing** — a securities-market activity governed by the **SEBI Act, 1992** and SEBI (ICDR/LODR) Regulations; regulator **SEBI**. - **(ii) 30% foreign equity** — foreign direct investment governed by **FEMA, 1999** and the FDI policy; regulator **RBI** (with DPIIT policy). For most manufacturing, 100% FDI is on the automatic route, so 30% is permissible but must be **reported to the RBI** through the authorised-dealer bank. - **(iii) Charge registration** — governed by **Sections 77–87, Companies Act, 2013**; the charge must be registered with the **ROC (MCA)** within **30 days** of creation, else it is void against the liquidator and creditors.

Conclusion. Three actions, three regulators: **SEBI** (IPO), **RBI/FEMA** (foreign investment — allowed but reportable), **MCA/ROC** (charge — register within 30 days). Correct routing requires the whole regulatory map, not one Act.

Q17. The Companies Act (Section 92) requires an annual return; the format is "Form MGT-7" prescribed in the Companies (Management and Administration) Rules, 2014. A student asks whether the Government can change the deadline and the form without Parliament. *(Application)*

Issue. Which parts of this requirement are statutory (changeable only by Parliament) and which are delegated (changeable by the Government)?

Rule. The *duty* created by a **Section** of an Act is primary legislation, alterable only by the legislature. The *format/mechanics* placed in "...Rules" are delegated legislation, alterable by Government notification within the Act's limits.

Application. The **duty to file** an annual return sits in **Section 92** — primary legislation, so only Parliament can abolish or fundamentally alter it. The **form (MGT-7)** and procedural mechanics sit in the **Rules**, which the Central Government can amend by notification.

Conclusion. The Government **can** change the form and prescribed mechanics via the Rules, but **cannot** remove the underlying duty, which is statutory. This illustrates "principle in the Act, detail in the Rules."

Q18. Arjun and Bhavya agree to run a trading business and share profits. Arjun alone takes a ₹2-lakh business loan; Bhavya says she is not liable because she did not sign. Advise. *(Application)*

Issue. Is a partner liable for a firm's loan taken by another partner in the ordinary course of business, even without signing?

Rule. A relation between persons who agree to share the profits of a business is a **partnership** (Section 4, Indian Partnership Act, 1932). Each partner is an **agent of the firm** (Sections 18–19), and partners are **jointly and severally liable** for acts of the firm done in the ordinary course of business (Section 25).

Application. Arjun and Bhavya agreed to share business profits — a partnership. Arjun, acting as the firm's agent, took a loan in the ordinary course of business, which binds the firm. Bhavya, as a partner, is jointly and severally liable regardless of not signing.

Conclusion. Bhavya's "I never signed" defence **fails**; she is liable for the ₹2-lakh loan. (Note the contract spine: partner-as-agent flows from agency, a special contract under the Contract Act, 1872.)

Q19. A State Legislature passes an "Companies Regulation Act" purporting to require all companies in that State to obtain a State licence to incorporate. A company challenges it. Is the State law valid? *(Application)*

Issue. Can a State legislate on the incorporation and regulation of companies?

Rule. Under Article 246 and the **Seventh Schedule**, **"Incorporation, regulation and winding up of trading corporations, including banking, insurance and financial corporations"** falls in the **Union List (List I)** — exclusively Parliament's domain. A State law on a Union-List subject is beyond the State's competence and void.

Application. Incorporation and regulation of companies is a Union subject; the State Legislature had no competence to enact it. The State "Companies Regulation Act" trespasses on Parliament's exclusive field.

Conclusion. The State law is **unconstitutional and void** for want of legislative competence. Company law in India is central and uniform; there is no per-State Companies Act.

Q20. A trade custom in a particular market allows 45 days' credit, but a written contract between two traders in that market is silent on credit period. One party invokes the custom; the other says only the written contract counts. Can the custom apply? *(Application)*

Issue. Can a recognised trade custom fill a gap in a contract that is silent on the point?

Rule. Custom and usage is a recognised source of law; a long-established, certain and reasonable trade usage is treated as impliedly incorporated into contracts of that trade **unless** the contract or a statute excludes it. (The Contract Act, 1872 preserves trade usages not inconsistent with its provisions.)

Application. The written contract is *silent* on the credit period — it does not exclude the custom. A well-established 45-day usage in that market is certain and reasonable, so it fills the gap as an implied term.

Conclusion. The **custom applies**: 45 days' credit is read into the contract. Had the contract expressly fixed a different period, or a statute prohibited it, the custom would yield — custom is a *gap-filler*, subordinate to express terms and statute.

Q21. An investor loses money in a mutual-fund mis-selling episode and wants to complain to the right regulator. A friend suggests the RBI. Advise correctly. *(Application)*

Issue. Which regulator governs mutual funds and investor protection in the securities market?

Rule. SEBI, established under the **SEBI Act, 1992**, regulates the securities market, including **mutual funds**, and its statutory mandate is to **protect the interests of investors** in securities. The RBI (RBI Act, 1934) regulates banks, NBFCs and foreign exchange — not mutual funds.

Application. Mutual-fund mis-selling is a securities-market grievance; the competent regulator is **SEBI**, not the RBI. The investor should approach SEBI (e.g. via its SCORES grievance mechanism).

Conclusion. The friend is **wrong**; the correct regulator is **SEBI**. Anchor: *SEBI = securities & investor protection; RBI = money, banks, forex.*

Q22. A company argues that a particular Section of an Act is "unfair" and violates its right to carry on business, so it should not obey it. Is "unfairness" a valid ground to ignore a statute? *(Application)*

Issue. Can a party disregard a statute merely because it considers it unfair or burdensome?

Rule. A validly enacted statute is binding; a party cannot ignore it on grounds of subjective "unfairness." The **only** route to invalidate an Act is to show it violates the **Constitution** (e.g. an *unreasonable* restriction on Article 19(1)(g), beyond the savings in Article 19(6)), and even then only a **court** can strike it down (Article 13). Business freedom under 19(1)(g) is subject to **reasonable restrictions**.

Application. The company's remedy is not self-help disobedience but a constitutional challenge before a competent court, arguing the restriction is *unreasonable*. Until a court so holds, the Section stands and must be obeyed.

Conclusion. "Unfairness" alone is **not** a ground to ignore a statute; the company must obey it unless and until a **court** strikes it down as unconstitutional.

Q23. Two provisions conflict: a SEBI Regulation says X, but the SEBI Act itself says not-X. Which prevails? *(Application)*

Issue. In a conflict between a regulator's regulation and its own parent Act, which prevails?

Rule. Delegated legislation (a Regulation) is subordinate to its parent Act. A Regulation inconsistent with the Act is **ultra vires** and void to the extent of the inconsistency; the **Act prevails**.

Application. The SEBI Regulation contradicts the SEBI Act, 1992 under which it was made. The Regulation cannot override the Act that is its very source of authority.

Conclusion. The **SEBI Act prevails**; the conflicting Regulation is void to that extent. This is the hierarchy "Act beats Regulation."

Q24. A newly incorporated LLP is unsure whether it is governed like a partnership or like a company, and which regulator it deals with. Explain its hybrid character. *(Application)*

Issue. What is the legal nature of an LLP and which regulator administers it?

Rule. Under the **LLP Act, 2008**, an LLP is a **body corporate** with a **separate legal entity** and **perpetual succession** (like a company), while its internal relations run on an **agreement among partners** (like a partnership). Partners' liability is **limited**. LLPs are registered and administered by the **Registrar / MCA**, not the Registrar of Firms.

Application. The LLP therefore borrows *entity* features (separate personality, limited liability, MCA registration) from company law and *flexibility* features (partner-agreement governance, profit-sharing) from partnership law. It is the deliberate bridge between the two.

Conclusion. The LLP is a **hybrid**: a partnership in flexibility, a company in personality and limited liability, administered by the **MCA/ROC** under the LLP Act, 2008.

Practice method: for every application question, force yourself to write the four IRAC headers — Issue, Rule (with section), Application, Conclusion — before checking the model answer. Examiners award marks for the reasoned path*, not just the final verdict.*

Foundation: Indian Contract Act 1872 — Formation of Contract

The Problem it solves

Every business transaction — buying raw material, hiring an employee, taking a loan, renting a shop, selling shares — is a *promise exchanged for something*. But promises are cheap. People say things, change their minds, deny they ever agreed, or agree under pressure. The moment money and goods start flowing on the strength of a spoken or written promise, we need a system that answers one hard question:

> **When does a promise become something a court will actually enforce — and when is it just talk?**

The Indian Contract Act, 1872 is that system. It is the oldest and most foundational commercial law in India, and it sits underneath *everything* you will later study in accounting, audit, tax and company law. When you record a *Sundry Debtor* in the books, you are recording a legally enforceable claim created by a contract of sale. When an auditor checks whether *revenue* can be recognised, they are checking whether a valid, performable contract exists. When a company issues shares, the application-allotment mechanism is pure offer-and-acceptance. Contract law is the plumbing of commerce; accounting merely measures what flows through it.

This chapter answers: *how does a legally binding contract come into existence?* — the formation stage. (Performance, breach and remedies come in the next chapter.)

Core Idea

A contract = an agreement + enforceability by law.

The Act expresses this as a two-step machine (Section 2):

1. **Offer/Proposal + Acceptance = Promise** — one person signals willingness to do or abstain from something, the other says "yes" to *exactly* that.
2. **Promise + Consideration = Agreement** — the promise is backed by something of value moving both ways ("you give me X, I give you Y").
3. **Agreement + Enforceability by law = Contract.**

Put as the single most quoted line in all of Indian commercial law (Section 10):

> **"All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void."**

So a contract is not *any* agreement. It is an agreement that survives six filters: (1) offer + acceptance, (2) intention to create legal relations, (3) lawful consideration, (4) capacity of the parties, (5) free consent, and (6) lawful object + not expressly declared void. Fail any one filter and you have, at best, an unenforceable arrangement.

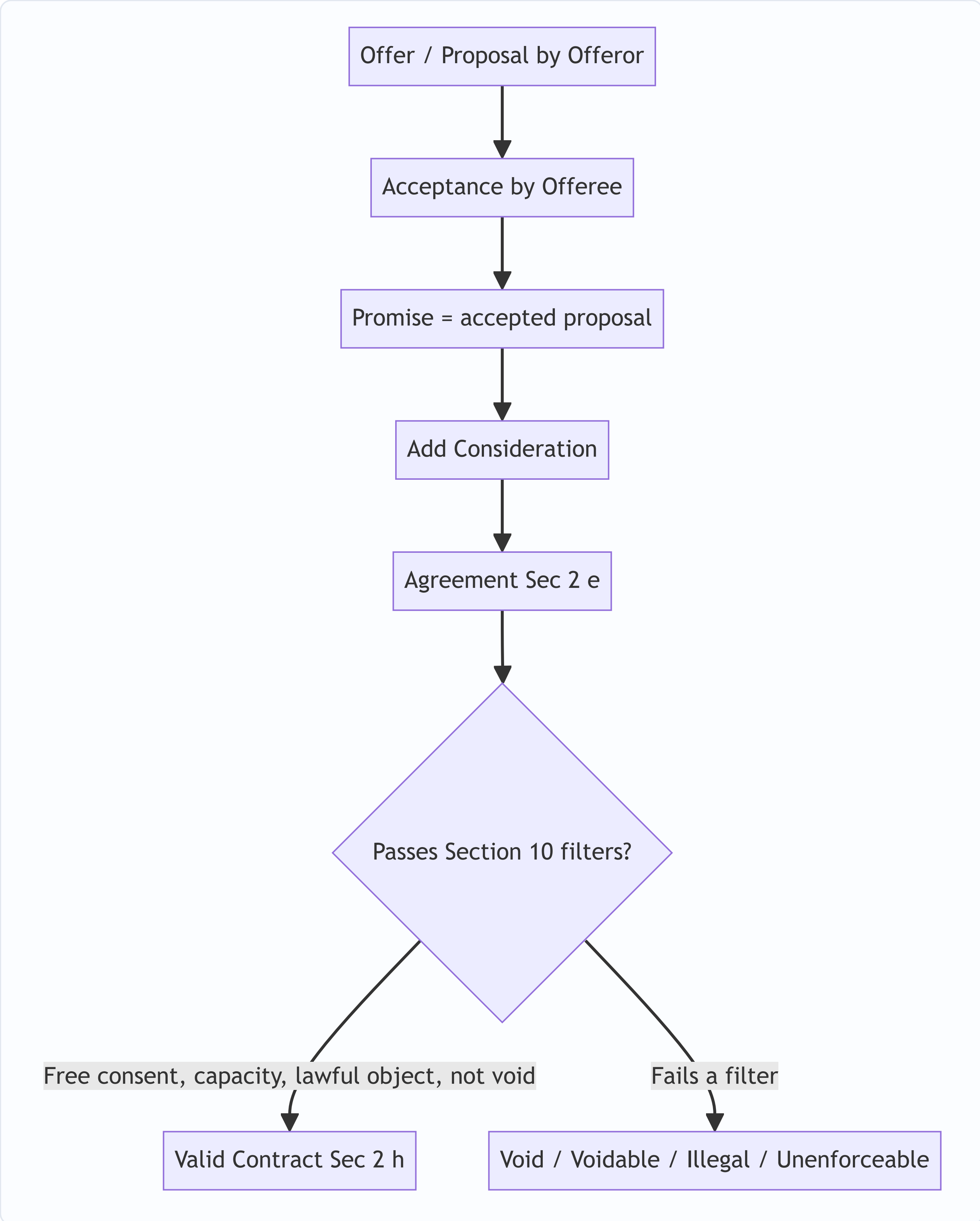
All contracts are agreements, but all agreements are not contracts. Memorise that sentence — it is the thesis of the whole chapter.

Why it works this way

The law is not being fussy for its own sake. Each filter exists because, without it, the enforcement machine would either grind honest people down or reward cheats.

- **Why offer + acceptance?** Because a contract is a *meeting of minds* (consensus ad idem — "agreement on the same thing in the same sense"). If I offer to sell my Maruti and you think I'm selling my Honda, there is no shared object to enforce. The law needs a precise moment where two minds lock onto one identical bargain.
- **Why consideration ("something for something")?** Because the courts refuse to be a free enforcement service for one-sided gifts. If I merely *promise* to give you ₹1,00,000 next year for nothing in return, and then don't, the law says: you gave up nothing, you lost nothing, go away. Enforcement is reserved for *bargains*, not generosity. This is the doctrine "no consideration, no contract" (Section 25) — with narrow, sensible exceptions.
- **Why capacity?** Because enforcing a promise squeezed out of a 14-year-old or a person who was blackout-drunk would be unjust. The law protects those who cannot protect themselves in a bargain.
- **Why free consent?** Because "yes" said with a gun to your head, or extracted by a lie, is not real agreement — it only *looks* like agreement. The law strips out consent that was manufactured by coercion, undue influence, fraud, misrepresentation or mistake.
- **Why lawful object?** Because the state will not lend its courts to enforce a contract to smuggle goods or bribe an official. Enforcing crime would make the court an accomplice.

Every rule below is a *consequence* of these five reasons. If you ever forget a rule, reconstruct it from first principles: *would enforcing this promise be fair, consensual, and lawful?*



Full technical content

1. The key definitions (Section 2)

The Act front-loads its vocabulary in Section 2. You must be able to reproduce these verbatim-ish with the clause letter, because Foundation examiners award marks for citing the exact sub-clause.

Clause	Term	Definition (essence)
2(a)	**Proposal / Offer**	When one person signifies to another his *willingness to do or to abstain from doing* anything, with a view to obtaining the assent of that other to such act or abstinence.
2(b)	**Acceptance / Promise**	When the person to whom the proposal is made *signifies his assent* thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a **promise**.
2(c)	**Promisor & Promisee**	The person making the proposal is the *promisor*; the person accepting it is the *promisee*.
2(d)	**Consideration**	When, at the desire of the promisor, the promisee or any other person has *done or abstained from doing*, or *does or abstains from doing*, or *promises to do or abstain from doing*, something, such act/abstinence/promise is called consideration.
2(e)	**Agreement**	Every promise and every set of promises forming the consideration for each other.
2(f)	**Reciprocal promises**	Promises which form the consideration or part of the consideration for each other.
2(g)	**Void agreement**	An agreement *not enforceable by law* is void. (Void from the beginning — *void ab initio*.)
2(h)	**Contract**	An agreement enforceable by law.
2(i)	**Voidable contract**	An agreement enforceable by law at the *option* of one or more parties, but not at the option of the other(s).
2(j)	**Void contract**	A contract which *ceases to be enforceable* by law becomes void when it ceases to be enforceable. (Note: it was valid once, then became void.)

The single most important distinction here: a *void agreement* (2(g)) was never enforceable from the start; a *void contract* (2(j)) was valid and later became void (e.g. a contract to import goods from a country that becomes an enemy country on war being declared).

2. Essentials of a valid contract (Section 10)

Section 10 lists what turns an agreement into a contract. Standard exam list of **essential elements**:

#	Essential	Governing sections
1	Offer and acceptance (two parties, consensus ad idem)	2(a), 2(b), 3–9
2	Intention to create legal relationship	(judge-made; not a section)
3	Lawful consideration	2(d), 23, 25
4	Capacity of parties (competency)	11, 12
5	Free consent	13, 14, 15–22
6	Lawful object	23
7	Agreement not expressly declared void	24–30, 56
8	Certainty of meaning	29
9	Possibility of performance	56
10	Legal formalities (writing/registration where law requires)	(various special Acts)

Intention to create legal relations is not written in the Act but is read into it by courts. *Social and domestic agreements* (a husband promising his wife ₹30 a month; two friends agreeing to meet for dinner) are presumed *not* to be intended as legally binding — *Balfour v. Balfour* is the classic case. *Commercial agreements* are presumed to be legally binding.

3. Classification of contracts

You should be able to slot any contract into these buckets.

(a) On the basis of validity / enforceability:

Type	Meaning	Example
Valid	Enforceable, all essentials present	A sells goods to B for a price, all elements present
Void agreement	Never enforceable (2(g))	Agreement with a minor; agreement in restraint of trade
Voidable	Enforceable at option of aggrieved party (2(i))	Consent obtained by coercion/fraud
Illegal / unlawful	Object or consideration forbidden by law; void + collateral transactions also tainted	Agreement to smuggle
Unenforceable	Valid in substance but cannot be enforced due to a technical defect (writing, stamp, registration, limitation)	Time-barred debt; unstamped document

Key relationship: every illegal agreement is void, but every void agreement is not illegal. Illegality is "worse" than mere voidness — it also poisons *collateral* (connected) transactions. A void-but-legal agreement (e.g. an agreement with uncertain terms) does not taint collateral deals.

(b) On the basis of formation:

Type	Meaning
Express contract	Made by words spoken or written (Sec 9)
Implied contract	Inferred from conduct/circumstances (boarding a bus = implied promise to pay fare) (Sec 9)
Quasi-contract	Not a real contract; obligation imposed by law to prevent unjust enrichment (Sec 68–72)
E-contract / Tele-contract	Formed through electronic means

(c) On the basis of performance:

Type	Meaning
Executed	Both parties have performed
Executory	Something remains to be done by one or both
Unilateral	One party has performed; obligation outstanding on the other only (reward cases)
Bilateral	Obligations outstanding on both sides

4. Offer / Proposal (Sec 2(a), 3–9)

Rules of a valid offer:

1. Offer may be **express** (words) or **implied** (conduct).
2. It must be capable of creating **legal relations** — a social invitation is not an offer.
3. Terms must be **certain**, not vague.
4. An offer must be **communicated** to the offeree; you cannot accept an offer you don't know about (*Lalman Shukla v. Gauri Datt* — a servant who found the lost boy before learning of the reward could not claim it).
5. An offer may be **conditional**; the offeror may prescribe the mode of acceptance.
6. An **invitation to offer** is *not* an offer. Goods on a shop display, price catalogues, tenders invited, prospectus of a company, auction announcements — these merely *invite* offers. The customer makes the offer; the shopkeeper accepts.
7. A **mere statement of intention** or an **answer to a question about price** is not an offer (*Harvey v. Facey* — "Lowest price for Bumper Hall Pen ₹900" was information, not an offer).

Types of offer: General (to the world at large — *Carlill v. Carbolic Smoke Ball Co.*), Specific (to a definite person), Cross offer (identical offers crossing in post — no contract, because neither is an acceptance of the other), Counter offer (rejects and destroys the original), Standing/Open/Continuing offer (a tender for supply as and when required).

Lapse / revocation of an offer (Sec 6): an offer comes to an end by — (i) communication of **notice of revocation** by the offeror before acceptance; (ii) **lapse of time** prescribed, or reasonable time; (iii) failure of the acceptor to fulfil a **condition precedent**; (iv) **death or insanity** of the offeror, *if* the fact comes to the acceptor's knowledge before acceptance; (v) a **counter offer** or rejection; (vi) the offer not being accepted in the **prescribed mode**; (vii) subsequent **illegality** or destruction of subject-matter.

5. Acceptance (Sec 2(b), 7–9)

Rules of a valid acceptance:

1. Acceptance must be **absolute and unqualified** (Sec 7(1)). A conditional or partial "yes" is a *counter offer*, not acceptance.
2. It must be in the **prescribed manner**, or if none prescribed, in a **usual and reasonable manner** (Sec 7(2)). If the offeror prescribes a mode and acceptor deviates, the offeror may (within reasonable time) insist on the prescribed mode; if he keeps silent, he is deemed to accept the deviated mode.
3. Acceptance must be **communicated** — mental acceptance or silence is not acceptance. The offeror cannot impose "your silence will be treated as acceptance" (*Felthouse v. Bindley*).
4. Acceptance must be given by the **person to whom offer is made** (or his authorised agent).
5. Acceptance must be given **within the time** prescribed / reasonable time, and *before the offer lapses or is revoked*.
6. Acceptance must be made **while the offer subsists**.
7. Mere **acknowledgement** of receipt of an offer is not acceptance.

The "mirror image" rule: acceptance must mirror the offer exactly. Any change = counter offer.

6. Communication and revocation — the timing rules (Sec 4 & 5)

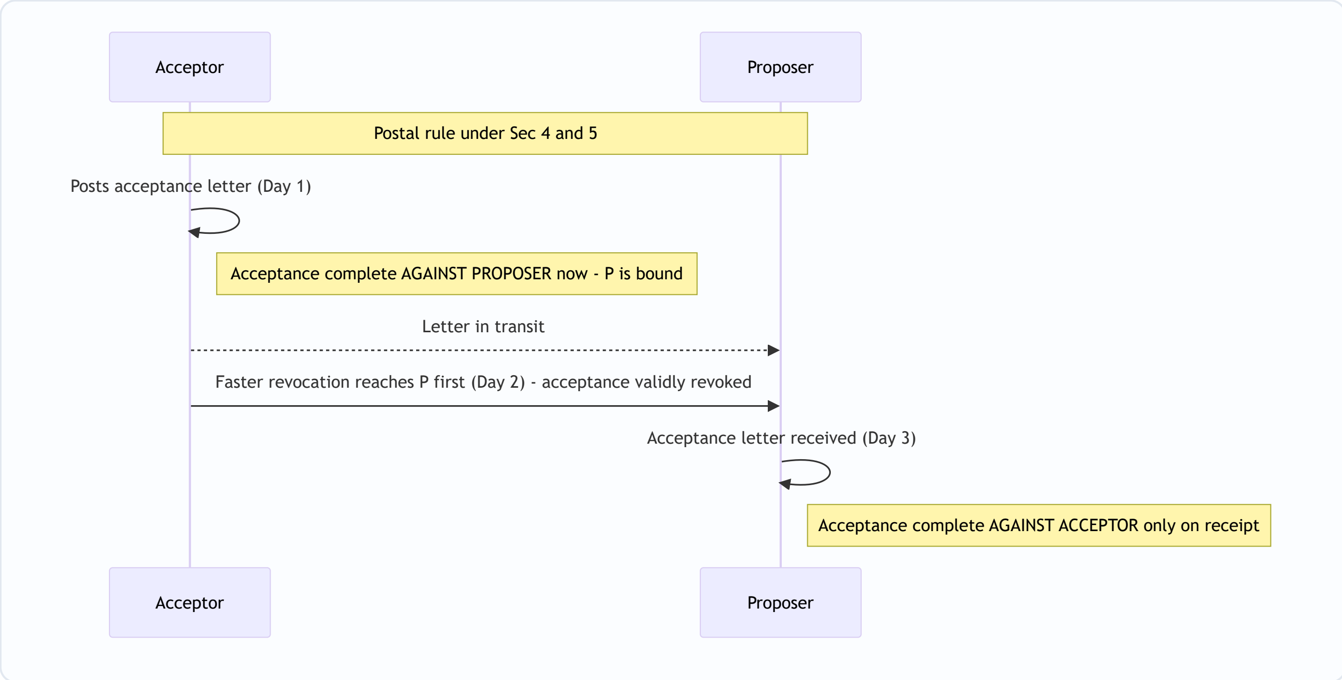
This is a favourite exam area because the *postal rule* creates a mismatch between when the two parties are bound.

Communication is complete (Sec 4):

Event	Complete against
Communication of **proposal**	When it comes to the knowledge of the person to whom it is made
Communication of **acceptance — against the proposer**	When it is *put in course of transmission* to him, so as to be out of the power of the acceptor (i.e., when the letter is *posted*)
Communication of **acceptance — against the acceptor**	When it comes to the *knowledge* of the proposer (i.e., when the letter is *received/read*)
Communication of **revocation — against the person who makes it**	When it is *put into course of transmission* so as to be out of his power
Communication of **revocation — against the person to whom it is made**	When it comes to *his knowledge*

Revocation (Sec 5): - A **proposal** may be revoked at any time *before* the communication of its acceptance is complete as against the proposer (i.e., before the acceptance letter is posted), but not afterwards. - An **acceptance** may be revoked at any time *before* the communication of the acceptance is complete as against the acceptor (i.e., before the acceptance letter reaches the proposer), but not afterwards.

Practical upshot of the postal rule: the offeror is bound the *instant the acceptor posts* the letter, but the acceptor can still race a faster revocation (telegram/courier) to reach the offeror *before or with* the acceptance letter. This is examined constantly with dated fact-patterns — always draw a timeline.



7. Consideration (Sec 2(d), 23, 25)

Consideration is the *price* for which the promise is bought — "something in return" (*quid pro quo*).

Legal rules of consideration:

1. It must move **at the desire of the promisor** (an act done at the desire of a stranger, or voluntarily, is not consideration — *Durga Prasad v. Baldeo*).
2. It may move from the **promisee or any other person** (privity of consideration — a *stranger to consideration* can sue in India, unlike English law — *Chinnaya v. Ramayya*). But a **stranger to the contract** generally cannot sue (doctrine of privity of contract, with exceptions).
3. It may be **past, present (executed), or future (executory)**. Indian law recognises **past consideration** (English law does not).
4. It **need not be adequate** (Explanation 2 to Sec 25) — the law asks only that *some* consideration exists, not that it is a fair price. Inadequacy is, however, evidence to examine whether consent was free.
5. It must be **real and not illusory** — a promise to do something physically impossible, or a pre-existing legal/contractual duty, is no consideration.
6. It must be **lawful** (Sec 23) — not forbidden by law, not defeating any law, not fraudulent, not injurious to person/property, not immoral or against public policy.

"No consideration, no contract" (Sec 25) — general rule. But Sec 25 itself lists **exceptions** where an agreement *without* consideration is still valid:

Exception (Sec 25)	Condition
(1) Natural love and affection	Agreement (a) expressed in **writing**, (b) **registered**, (c) made on account of natural love and affection, (d) between parties **standing in near relation** to each other
(2) Past voluntary service	A promise to compensate, wholly or in part, a person who has *already voluntarily done something* for the promisor, or something the promisor was legally compellable to do
(3) Promise to pay a time-barred debt	A written and signed (by debtor/agent) promise to pay a debt barred by the Limitation Act
Also valid without consideration	**Completed gift** (Explanation 1); **Agency** (Sec 185 — no consideration needed to create agency); **Bailment**; **Charity where the promisee acts on the faith of the promise** and incurs liability

8. Capacity to contract (Sec 11 & 12)

Section 11: "*Every person is competent to contract who is (a) of the age of majority according to the law to which he is subject, (b) of sound mind, and (c) is not disqualified from contracting by any law to which he is subject.*"

(a) Minors — a person who has not completed **18 years** (or 21 where a guardian is appointed by court, per older law; Foundation follows 18 as the general age). Rules from the landmark *Mohori Bibee v. Dharmodas Ghose*:

- An agreement with a minor is **void ab initio** — absolutely void, not merely voidable.
- A minor can be a **beneficiary/promisee** — he can *enforce* a contract that is for his benefit (e.g., a promissory note executed in his favour).
- **No ratification** on attaining majority — a void agreement cannot be validated later. He must make a *fresh* contract with fresh consideration.
- **No estoppel** — even if the minor lied about his age, he can still plead minority.
- **Restitution** — a minor may be asked to *restore* property/goods still traceable in his hands (equitable restitution), but not to repay money that is untraceable.
- **Necessaries** — a person who supplies *necessaries* (food, clothes, education, legal advice suited to the minor's condition in life) to a minor may recover the price from the **minor's property** (Sec 68 — quasi-contract), *not* from the minor personally.
- A minor can be an **agent** (binding the principal) but is not personally liable; can be a **partner only for benefits** (with consent of all partners, Sec 30 Partnership Act); cannot be adjudged **insolvent**.

(b) Persons of unsound mind (Sec 12). A person is of sound mind *for contracting* if, at the time he makes the contract, he is capable of understanding it and of forming a rational judgment as to its effect on his interests. Includes idiots, lunatics (valid contract during a lucid interval), and persons made incompetent by drunkenness/delirium at the time. Contract by a person of unsound mind is **void**.

(c) Disqualified persons. By status or law: **alien enemies** (during war), **foreign sovereigns/diplomats** (sue only with sanction), **convicts** (while undergoing sentence), **insolvents** (until discharge), and **corporations** (limited by their memorandum/objects — *ultra vires* acts are void).

9. Free consent (Sec 13, 14) and the five vitiating factors (Sec 15–22)

Consent (Sec 13): two or more persons are said to consent when they agree upon the same thing in the same sense (*consensus ad idem*).

Free consent (Sec 14): consent is *free* when it is **not caused** by (1) Coercion (15), (2) Undue influence (16), (3) Fraud (17), (4) Misrepresentation (18), or (5) Mistake (20–22).

Golden rule of effect: - Consent caused by **coercion, undue influence, fraud, or misrepresentation** → contract is **VOIDABLE** at the option of the party whose consent was so caused (Sec 19, 19A). - Consent caused by **bilateral mistake of fact essential to the agreement** → agreement is **VOID** (Sec 20).

Factor	Section	Definition (essence)	Effect
Coercion	15	Committing/threatening to commit any act forbidden by the IPC, or unlawfully detaining/threatening to detain any property, to make a person enter into the agreement	Voidable; anything received must be restored (Sec 72)
Undue influence	16	Where relations subsist such that one party is in a *position to dominate the will* of the other and uses it to obtain an *unfair advantage*	Voidable; burden of proof on the dominant party
Fraud	17	A false representation of fact made *knowingly*, or without belief in its truth, or recklessly, with *intent to deceive*; also active concealment, false promise, and any act fitted to deceive	Voidable; aggrieved party may rescind AND claim damages
Misrepresentation	18	An *innocent/unintentional* false statement of fact, made believing it to be true, which misleads the other party	Voidable; can rescind, generally no damages
Mistake	20–22	Erroneous belief about something	See below

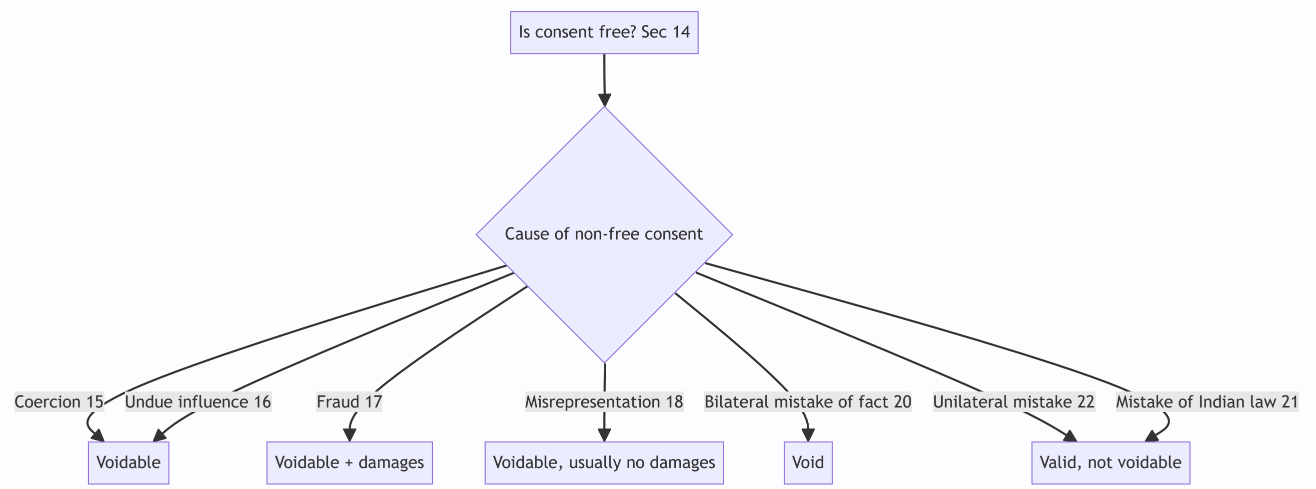
Position to dominate the will (Sec 16(2)) is *presumed* where a party (a) holds real or apparent authority / stands in a fiduciary relation, or (b) contracts with a person whose mental capacity is temporarily or permanently affected by age, illness, or mental/bodily distress. Classic relations: doctor–patient, solicitor–client, guardian–ward, trustee–beneficiary, spiritual guru–disciple. (Note: *husband–wife* and *creditor–debtor* are **not** presumed.)

Coercion vs Undue influence — coercion is *physical/threat* pressure (forbidden by IPC); undue influence is *mental/moral* pressure arising from a dominating relationship.

Fraud vs Misrepresentation — the pivotal difference is **intention to deceive / knowledge of falsity**. Fraud = deliberate; misrepresentation = innocent. Consequence: in *fraud*, aggrieved party can **rescind + claim damages**; in *misrepresentation*, generally **rescind only** (no damages). Also, in misrepresentation the deceiving party can defend by showing the other party *had the means to discover the truth with ordinary diligence*; in fraud this defence is *not* available (except where fraud is by silence and the party had means to discover).

Mistake (Sec 20–22):

Type	Section	Effect
Bilateral mistake of fact (both parties mistaken about a fact essential to the agreement)	20	Agreement is **VOID**
Unilateral mistake of fact (only one party mistaken)	22	Contract is **NOT voidable** merely because one party was under a mistake
Mistake of law in force in India	21	*No relief* — ignorance of law is no excuse
Mistake of foreign law	21	Treated like a mistake of **fact** → may make agreement void



10. Lawful object and lawful consideration (Sec 23)

The **consideration** *and* the **object** of an agreement are lawful unless (Sec 23):

1. It is **forbidden by law**;
2. It is of such a nature that, if permitted, it would **defeat the provisions of any law**;
3. It is **fraudulent**;
4. It involves or implies **injury to the person or property of another**;
5. The court regards it as **immoral**; or
6. The court regards it as **opposed to public policy**.

In each of these cases the consideration or object is *unlawful*, and **every agreement of which the object or consideration is unlawful is void** (and, being forbidden, is *illegal*).

Agreements opposed to public policy (judge-made heads): trading with an enemy, stifling prosecution, maintenance and champerty, trafficking in public offices, agreements tending to create monopolies, agreements interfering with the course of justice, marriage brokerage agreements, and agreements to defraud creditors/revenue.

11. Agreements expressly declared void (Sec 24–30, 56)

Even if the object looks fine, the Act *itself* declares certain agreements void:

Section	Void agreement
24	Agreement void if **consideration and object are unlawful in part** (and the parts cannot be separated)
25	Agreement **without consideration** (subject to the three exceptions)
26	Agreement in **restraint of marriage** (of any person other than a minor) is void
27	Agreement in **restraint of trade** is void — *Exception:* sale of goodwill (reasonable local limits); also statutory exceptions under the Partnership Act
28	Agreement in **restraint of legal proceedings** is void (with exceptions for arbitration references)
29	Agreement **uncertain / not capable of being made certain** in meaning is void
30	Agreement **by way of wager** (bet) is void; collateral transactions are not necessarily void
56	Agreement to do an **impossible act** is void; and a contract to do an act which *afterwards becomes impossible or unlawful* becomes void when the act becomes impossible/unlawful (doctrine of **frustration / supervening impossibility**)

Wagering agreements (Sec 30): an agreement on an uncertain future event where each party stands to *win or lose* purely on the outcome, with no other interest. Void but *not illegal* in most of India (special note: void in Maharashtra/Gujarat historically). Insurance contracts, share-trading with delivery, skill competitions and games of skill are **not** wagers because a party has an insurable interest or the outcome depends on skill.

Worked examples (Issue → Rule → Application → Conclusion)

Worked Example 1 — Offer, acceptance and the postal rule (with a timeline)

Facts. On **1 July**, A (Mumbai) posts a letter to B (Delhi) offering to sell 500 bags of cement at ₹360 per bag. B receives it on **4 July** and posts his acceptance the same day. Meanwhile, A changes his mind and posts a *revocation* on **3 July**, which reaches B on **6 July**. B's acceptance letter reaches A on **7 July**. Is there a contract? At what price and value?

Issue. Was A's offer validly revoked before acceptance became complete against him?

Rule. Under **Sec 4**, communication of acceptance is complete *as against the proposer* when the acceptance is *put in course of transmission* (posted). Under **Sec 5**, a proposal may be revoked *only before* the communication of acceptance is complete as against the proposer. Revocation (Sec 4) is complete against the person to whom it is made only when it *reaches his knowledge*.

Application. - B posted acceptance on **4 July** → acceptance is complete against A on **4 July**. A is **bound** from that instant. - A's revocation, though posted on 3 July, only becomes effective against B when it *reaches B's knowledge* — i.e., **6 July**. - Since 6 July (revocation received) is *after* 4 July (acceptance posted), the revocation is **too late**.

Conclusion. A valid contract came into existence on **4 July**. A is bound to sell 500 bags at ₹360. **Contract value = 500 × ₹360 = ₹1,80,000.** A's revocation is ineffective; if he refuses to supply, he is in breach.

Self-check: 500 × 360 = 180,000. The controlling dates are "posted 4 Jul" vs "revocation received 6 Jul"; 4 < 6, so acceptance wins. Consistent.

Worked Example 2 — "No consideration, no contract" and the Sec 25 exceptions

Facts. Consider three separate promises: 1. **X**, out of natural love and affection for his younger brother **Y**, executes a *registered written* deed promising to pay Y ₹2,00,000. X later refuses. 2. **P** found and returned **Q's** lost briefcase last month without being asked. Grateful, Q *now promises in writing* to pay P ₹5,000. Q refuses. 3. **R** owes **S** ₹50,000 which has become *time-barred* under the Limitation Act. R signs a written promise to pay ₹30,000 of it. R refuses.

For each, can the promisee enforce the promise despite the absence of fresh consideration?

Issue. Does each promise fall within a Sec 25 exception to "no consideration, no contract"?

Rule. Sec 25 — an agreement without consideration is void *unless* (1) it is in writing, registered, made from natural love and affection between parties in near relation; (2) it is a promise to compensate a person who has already voluntarily done something for the promisor; or (3) it is a written, signed promise to pay a time-barred debt.

Application & Conclusion. 1. Writing ✓, registration ✓, natural love and affection ✓, near relation (brothers) ✓ → falls squarely in **Sec 25(1)**. **Enforceable — Y can recover ₹2,00,000.** 2. P *voluntarily* did something for Q, and Q *later* promised to compensate → **Sec 25(2)**. **Enforceable — P can recover ₹5,000.** 3. Written and signed promise to pay a time-barred debt → **Sec 25(3)**. The promise is enforceable *to the extent promised*. **Enforceable — S can recover ₹30,000** (not the full ₹50,000, because R only promised ₹30,000).

Self-check: Each amount is limited to what the exception's wording supports — full ₹2,00,000 (deed amount), ₹5,000 (promised), ₹30,000 (the promised part, not the ₹50,000 original). Internally consistent.

Worked Example 3 — Minor's agreement, necessaries, and no ratification (with a settlement figure)

Facts. M, aged **17**, borrows ₹80,000 from a moneylender L by executing a mortgage of his house, falsely representing that he is 19. He spends ₹50,000 and ₹30,000 worth of the borrowed money is still identifiable as a fixed deposit in M's name. Separately, a college supplies M with tuition and books costing ₹12,000 (necessaries suited to his condition). On turning 18, M "ratifies" the mortgage in writing. L sues to enforce the mortgage. What can L and the college recover?

Issue. (a) Is the mortgage enforceable? (b) Does M's false age or later ratification help L? (c) Can restitution be ordered? (d) Can the college recover for necessaries?

Rule. - An agreement with a minor is **void ab initio** — *Mohori Bibee v. Dharmodas Ghose*. - **No estoppel** against a minor even if he lied about age; **no ratification** on majority. - **Equitable restitution** (Sec 33, Specific Relief Act / equity): a minor may be ordered to restore property/money *still traceable* in his hands, but not what is spent and untraceable. - **Necessaries** supplied to a minor are recoverable from the *minor's property* under **Sec 68** (quasi-contract), not from the minor personally.

Application. - The mortgage is **void** — L cannot enforce it as a contract, cannot foreclose the house. - M's false representation gives L **no estoppel**; M's post-majority "ratification" is **ineffective** because a void agreement cannot be ratified. - **Restitution:** the ₹30,000 still identifiable as an FD in M's name is traceable → the court can order M to **restore ₹30,000**. The ₹50,000 already spent and untraceable **cannot** be recovered. - **Necessaries:** the college can recover the ₹12,000 out of M's property under Sec 68.

Conclusion. - Mortgage: **unenforceable/void**; house not liable. - L recovers only the **traceable ₹30,000** by way of restitution; **loses ₹50,000**. - College recovers **₹12,000** from M's property under Sec 68 (not from M personally).

Self-check: Borrowed ₹80,000 = ₹50,000 spent (untraceable, lost to L) + ₹30,000 traceable (restored). 50,000 + 30,000 = 80,000 ✓. Necessaries ₹12,000 is a separate Sec 68 claim. All figures reconcile.

Worked Example 4 — Free consent: coercion vs undue influence vs fraud

Facts. Three separate transactions: 1. **A** threatens to file a false criminal complaint against **B**'s son unless B sells his shop to A for ₹10,00,000 (market value ₹18,00,000). B signs. 2. An aged, illiterate widow **W**, dependent on her spiritual advisor **G**, gifts G property worth ₹25,00,000 after G tells her it will secure her salvation. 3. **D**, selling a used machine, tells buyer **E** it was overhauled last year *knowing that is false*. E buys for ₹4,00,000; a genuine overhaul would have been worth ₹1,00,000 more in value; repairs now cost E ₹90,000.

Classify each vitiating factor and state the remedy.

Issue. Which vitiating factor applies and what is the legal effect on each contract?

Rule. Coercion (Sec 15) — threat of an act forbidden by IPC. Undue influence (Sec 16) — abuse of a dominating relationship to gain unfair advantage; burden shifts to the dominant party. Fraud (Sec 17) — knowingly false statement with intent to deceive → rescission **plus damages** (Sec 19).

Application & Conclusion. 1. Threatening a false criminal complaint is a threat to commit an act forbidden by the IPC → **Coercion (Sec 15)**. The contract is **voidable at B's option**; B may rescind and, on rescinding, must restore any benefit (Sec 64). B is **not** bound to sell at ₹10,00,000. 2. G stands in a **fiduciary/spiritual** relation and is in a position to dominate W's will; the gift is unconscionable → **Undue influence (Sec 16)**. The transaction is **voidable at W's option**; the **burden is on G** to prove the gift was made with free consent. W can recover the property worth ₹25,00,000. 3. D made a knowingly false statement of fact with intent to deceive → **Fraud (Sec 17)**. E may **rescind** the contract, or affirm it and **claim damages** for the loss. If E keeps the machine, E's recoverable loss is the **₹90,000 repair cost** he actually incurred to put the machine in the promised state.

Self-check: Remedies map correctly — coercion & undue influence → voidable (restore benefits); fraud → voidable + damages, with the damages figure (₹90,000) tied to E's actual out-of-pocket loss. Consistent.

Connections — how this feeds into CA Intermediate

- **Inter Law — The Companies Act, 2013:** share application → allotment is literally offer-and-acceptance; a *prospectus* is an *invitation to offer*; **misstatement in a prospectus** is fraud/misrepresentation applied to company law. Pre-incorporation contracts turn on capacity and privity.
- **Inter Law — The Indian Partnership Act & LLP:** a partnership is a *contract* between partners (Sec 5); minors "admitted to benefits" (Sec 30) flows straight from the minor-capacity rules here.
- **Inter Law — Sale of Goods Act, 1930 and Negotiable Instruments Act, 1881:** both are *special contracts* that assume the general formation rules of the Contract Act. "Consideration" in a cheque, "unpaid seller's" rights — all built on this base.
- **Inter Accounting & Audit — Revenue recognition (Ind AS 115 / AS 9):** "identify the contract with a customer" is step 1 of the revenue model. Auditors test whether an *enforceable* contract exists before revenue can be booked — directly this chapter.
- **Inter Audit — occurrence & rights/obligations assertions:** a debtor is real only if a valid contract created it; a contingent liability may arise from a *voidable* or disputed contract.

Traps & common mistakes

1. **Void agreement vs void contract vs voidable.** *Void agreement* = void from birth (2(g)); *void contract* = valid then became void (2(j)); *voidable* = valid until the aggrieved party rescinds (2(i)). Examiners set traps swapping these.
2. **"Illegal" ≠ "void."** Every illegal agreement is void, but not every void agreement is illegal. Illegality taints **collateral** transactions; mere voidness does not.
3. **Invitation to offer treated as an offer.** Shop displays, catalogues, tenders, prospectus, auction notices are *invitations*, not offers. The customer offers.
4. **Cross offers create a contract — WRONG.** Two identical offers crossing in the post do **not** form a contract; neither is an acceptance of the other.
5. **Consideration must be adequate — WRONG.** It need *not* be adequate (Explanation 2 to Sec 25); it must merely exist and be *real*.
6. **Stranger to consideration cannot sue — WRONG in India.** In India consideration may move from a *third person* (Chinnaya v. Ramayya). But a **stranger to the contract** generally cannot sue (privity of contract).
7. **Minor's agreement is voidable — WRONG.** It is **void ab initio**; no ratification, no estoppel even if the minor lied.
8. **Necessaries make the minor personally liable — WRONG.** Recovery is only against the **minor's property** (Sec 68), never a personal liability.
9. **Mistake of law in India gives relief — WRONG.** Sec 21 — no relief. But *foreign* law mistake is treated as a mistake of *fact*.
10. **Fraud and misrepresentation give the same remedy — WRONG.** Fraud → rescission **+ damages**; misrepresentation → rescission, generally **no damages**.
11. **Unilateral mistake makes a contract voidable — WRONG.** Sec 22 — a contract is *not* voidable merely because one party was mistaken. Only **bilateral** mistake of an essential fact makes it **void** (Sec 20).
12. **Wager is illegal — mostly WRONG.** A wager is **void**, not illegal, in most of India; collateral transactions to a wager are generally enforceable.

First-principles recap

- A **contract** is an agreement the law will *enforce*; enforcement is reserved for bargains that are consensual, backed by consideration, made by capable parties, freely consented to, and lawful (Sec 10).
- **Offer + acceptance** must produce *consensus ad idem* — the same thing in the same sense — and acceptance must **mirror** the offer and be **communicated**; timing is governed by the **postal rule** (Sec 4, 5).
- **Consideration** is the price of a promise; it need not be adequate but must be *real* and *lawful*; "no consideration, no contract" with three statutory exceptions (Sec 25).
- **Capacity** protects minors (void ab initio), the unsound-minded, and disqualified persons — the law will not enforce a bargain against those who cannot fairly make one.
- **Free consent** strips out coercion, undue influence, fraud and misrepresentation (→ *voidable*) and bilateral mistake of fact (→ *void*).

- **Lawful object** (Sec 23) refuses the court's help to crime, fraud, injury, immorality and public-policy violations; certain agreements are **expressly declared void** (Sec 24–30, 56).

Quick-reference

Topic	Key rule	Section
Contract = agreement + enforceability	2(h)	Sec 2(h)
Essentials of valid contract	Free consent, competent parties, lawful consideration & object, not void	**Sec 10**
Proposal / acceptance / promise	Definitions	2(a), 2(b)
Communication complete	Proposal: on knowledge; Acceptance vs proposer: on posting; vs acceptor: on receipt	**Sec 4**
Revocation of offer/acceptance	Offer: before acceptance posted; Acceptance: before it reaches proposer	**Sec 5**
Lapse of offer	Revocation, time, death/insanity known, counter-offer, non-conformity	Sec 6
Acceptance must be absolute	Mirror image; communicated; prescribed mode	Sec 7
Consideration definition	At desire of promisor; may move from any person	2(d)
No consideration no contract	Exceptions: love & affection (writing+registered+near relation), past voluntary service, time-barred debt	**Sec 25**
Capacity	Majority + sound mind + not disqualified	Sec 11
Sound mind test	Understand + rational judgment at time of contract	Sec 12
Minor's agreement	Void ab initio; no ratification/estoppel; necessaries → Sec 68	11; 68
Free consent	Not caused by coercion/UI/fraud/misrep/mistake	Sec 14
Coercion	Act forbidden by IPC / unlawful detention → **voidable**	Sec 15
Undue influence	Domination + unfair advantage → **voidable**, burden on dominant party	Sec 16
Fraud	Knowing falsehood + intent to deceive → **voidable + damages**	Sec 17
Misrepresentation	Innocent false statement → **voidable**, no damages	Sec 18
Bilateral mistake of fact	**Void**	Sec 20
Mistake of Indian law	No relief; foreign law = fact	Sec 21
Unilateral mistake	Not voidable	Sec 22
Unlawful object/consideration	Forbidden/defeats law/fraudulent/injurious/immoral/public policy → void	**Sec 23**
Expressly void	Restraint of marriage 26, trade 27, legal proceedings 28, uncertain 29, wager 30, impossible 56	24–30, 56

Act: The Indian Contract Act, 1872. CA Foundation Paper 2 — Business Laws, 2024 New Scheme.

Q&A — Foundation: Indian Contract Act 1872 — Formation of Contract

CA Foundation Paper 2 — Business Laws (2024 New Scheme). Mix of theory/definition answers (with section references and "how to present for full marks") and application/case-scenario answers in Issue–Rule–Application–Conclusion style.

Part A — Theory & definition questions

Q1. Define a "contract." Explain the statement: "All contracts are agreements but all agreements are not contracts."

Model answer. Under **Sec 2(h)** of the Indian Contract Act, 1872, *a contract is an agreement enforceable by law*. An **agreement** (Sec 2(e)) is *every promise and every set of promises forming the consideration for each other*, and a **promise** (Sec 2(b)) is a proposal that has been accepted.

Thus: **Agreement = Offer + Acceptance**, and **Contract = Agreement + Enforceability by law (Sec 10).**

Every contract necessarily begins as an agreement, so *all contracts are agreements*. But an agreement becomes a contract only if it satisfies the essentials of **Sec 10** — free consent, competent parties, lawful consideration and object, and it is not expressly declared void. An agreement lacking any of these (e.g. an agreement with a minor, or a social invitation, or an agreement in restraint of trade) is *not* enforceable and hence *not* a contract. Therefore *all agreements are not contracts*.

For full marks: cite Sec 2(h), 2(e), 2(b) and Sec 10, and give one example of an agreement that is not a contract.

Q2. State the essential elements of a valid contract under Section 10.

Model answer. Per **Sec 10**, the essentials are: (1) offer and acceptance / consensus ad idem [Sec 2(a),(b)]; (2) intention to create legal relationship; (3) lawful consideration [Sec 2(d), 23]; (4) capacity/competency of parties [Sec 11]; (5) free consent [Sec 14]; (6) lawful object [Sec 23]; (7) agreement not expressly declared void [Sec 24–30]; (8) certainty of meaning [Sec 29]; (9) possibility of performance [Sec 56]; (10) legal formalities where required.

For full marks: list all with the governing sections; add that "intention to create legal relations" is judge-made (Balfour v. Balfour), not in the Act.

Q3. Distinguish between a "void agreement," a "voidable contract," and a "void contract."

Model answer.

Basis	Void agreement — Sec 2(g)	Voidable contract — Sec 2(i)	Void contract — Sec 2(j)
Meaning	Not enforceable by law	Enforceable at the option of one party	A contract that *ceases* to be enforceable
Enforceability	Void from the beginning (ab initio)	Valid until the aggrieved party rescinds	Valid when made, becomes void later
Example	Agreement with a minor	Consent obtained by coercion	Contract that becomes unlawful by supervening impossibility (Sec 56)

Q4. What is the difference between an "offer" and an "invitation to offer"? Give examples.

Model answer. An **offer/proposal (Sec 2(a))** is a person signifying his willingness to do/abstain from doing something, with a view to obtaining the assent of the other. An **invitation to offer** merely invites others to *make* offers; it is a preliminary step and cannot be accepted to form a contract. Examples of invitations to offer: goods displayed with price tags, price catalogues/quotations, company **prospectus**, tenders invited, and auction announcements (*Harvey v. Facey*). Here the customer/applicant makes the offer, which the seller then accepts.

Q5. State the rules relating to a valid acceptance.

Model answer (Sec 7–9). Acceptance must be (1) **absolute and unqualified** — a conditional acceptance is a counter offer [Sec 7(1)]; (2) in the **prescribed or usual and reasonable manner** [Sec 7(2)]; (3) **communicated** — silence/mental acceptance is not acceptance (*Felthouse v. Bindley*); (4) given by the **person to whom the offer was made**; (5) given **while the offer subsists** and within time; (6) it must be a "**mirror image**" of the offer; (7) mere acknowledgement of receipt is not acceptance.

Q6. Explain the rules regarding communication and revocation of offer and acceptance (Sec 4 and 5).

Model answer. Sec 4: communication of a *proposal* is complete when it comes to the knowledge of the offeree. Communication of *acceptance* is complete **against the proposer** when it is put in course of transmission (posted), and **against the acceptor** when it comes to the proposer's knowledge (received). Communication of *revocation* is complete against the maker when put in transmission, and against the receiver when it reaches his knowledge. **Sec 5:** a *proposal* may be revoked any time before acceptance is complete against the proposer (before the acceptance letter is posted); an *acceptance* may be revoked any time before it is complete against the acceptor (before it reaches the proposer).

Q7. Define "consideration" and state its legal rules.

Model answer. Sec 2(d): when, at the desire of the promisor, the promisee or any other person has done/abstained, does/abstains, or promises to do/abstain from something, such act/abstinence/promise is consideration. Rules: (1) must move at the **desire of the promisor**; (2) may move from the **promisee or any other person** (Chinnaya v. Ramayya); (3) may be **past, present or future**; (4) **need not be adequate** (Expl. 2 to Sec 25); (5) must be **real, not illusory**; (6) must be **lawful** (Sec 23).

Q8. "No consideration, no contract." State the exceptions.

Model answer. General rule: an agreement without consideration is void (**Sec 25**). Exceptions where it is still valid: (1) written, **registered** agreement made out of **natural love and affection between parties in near relation** [Sec 25(1)]; (2) promise to compensate for **past voluntary service** [Sec 25(2)]; (3) written signed promise to pay a **time-barred debt** [Sec 25(3)]; also **completed gifts** (Expl. 1), **agency** (Sec 185), and **charitable subscription where the promisee has incurred liability** on the faith of the promise.

Q9. Discuss the legal position of a minor's agreement.

Model answer. Under **Sec 11** a minor is incompetent to contract. Per *Mohori Bibee v. Dharmodas Ghose*: (1) a minor's agreement is **void ab initio**; (2) a minor can be a **beneficiary** and enforce a contract in his favour; (3) **no ratification** on majority; (4) **no estoppel** even if he misrepresented his age; (5) **restitution** of property still traceable may be ordered; (6) **necessaries** supplied to a minor are recoverable from his **property** under **Sec 68**, not from him personally; (7) a minor may be an agent, and may be admitted to the *benefits* of partnership (Sec 30, Partnership Act).

Q10. Who are "persons of unsound mind" and "disqualified persons" for the purpose of capacity?

Model answer. Sec 12: a person is of sound mind for contracting if, at the time of the contract, he can understand it and form a rational judgment as to its effect on his interests. Idiots, lunatics (except during lucid intervals) and drunken persons at the time are of unsound mind; their contracts are **void**. **Disqualified persons** (by law/status): alien enemies (during war), foreign sovereigns/ambassadors, convicts (during sentence), insolvents (till discharge), and corporations acting *ultra vires* their objects.

Q11. Distinguish between coercion and undue influence.

Model answer.

Basis	Coercion (Sec 15)	Undue influence (Sec 16)
Nature of pressure	Physical / threat — act forbidden by IPC or unlawful detention of property	Mental / moral — abuse of a dominating relationship
Relationship	No special relationship needed	Requires a relationship where one dominates the other's will
Burden of proof	On the party alleging coercion	On the dominant party to show consent was free
Effect	Voidable	Voidable

Q12. Distinguish between fraud and misrepresentation.

Model answer. Fraud (Sec 17) is a false statement of fact made *knowingly*/recklessly with **intent to deceive**; **misrepresentation (Sec 18)** is an *innocent* false statement believed to be true. Effect: both make the contract **voidable**, but in fraud the aggrieved party may **rescind and claim damages**, whereas in misrepresentation he may generally only **rescind (no damages)**. In misrepresentation (and fraud by silence), the deceiving party may defend by showing the other had the **means to discover the truth with ordinary diligence**; this defence is not available for active fraud.

Q13. Explain the law relating to mistake (Sec 20–22).

Model answer. A **bilateral mistake of fact** essential to the agreement makes the agreement **void (Sec 20)**. A **unilateral mistake** does not make a contract voidable merely because one party was mistaken **(Sec 22)**. **Mistake of law in force in India** gives **no relief (Sec 21)** — ignorance of law is no excuse — but a **mistake of foreign law** is treated as a mistake of *fact* and may make the agreement void.

Q14. When is the object or consideration of an agreement unlawful (Sec 23)?

Model answer. Object/consideration is unlawful if it is (1) forbidden by law; (2) of a nature that would defeat the provisions of any law; (3) fraudulent; (4) involves injury to the person/property of another; (5) immoral; or (6) opposed to public policy. In each case the agreement is **void** (and illegal).

Q15. List the agreements expressly declared void under the Act.

Model answer. Sec 24 (partly unlawful object/consideration), Sec 25 (without consideration), Sec 26 (restraint of marriage), Sec 27 (restraint of trade — except sale of goodwill), Sec 28 (restraint of legal proceedings), Sec 29 (uncertain agreements), Sec 30 (wagering agreements), and Sec 56 (agreements to do impossible acts / supervening impossibility).

Q16. What is a wagering agreement? Is it void or illegal?

Model answer (Sec 30). A wager is an agreement between two parties on an *uncertain future event*, where one wins and the other loses on the outcome and neither has any interest other than the stake. It is **void** — no suit can be brought to recover winnings — but it is **not illegal** in most of India, so collateral transactions are generally enforceable. Insurance (insurable interest), games of skill, and share transactions with delivery are **not** wagers.

Part B — Application / case-scenario questions (Issue–Rule–Application–Conclusion)

Q17. A offers by letter to sell his car to B for ₹3,00,000, posted on 5 Aug. B posts his acceptance on 8 Aug. On 7 Aug A posted a revocation which reaches B on 9 Aug. Is there a binding contract?

Rule. Sec 4 — acceptance is complete against the proposer when *posted*; Sec 5 — an offer can be revoked only before acceptance is complete against the proposer. Revocation is effective against the acceptor only when it *reaches him*. **Application.** B posted acceptance on **8 Aug** → A is bound from 8 Aug. A's revocation reaches B on **9 Aug** — too late (9 > 8). **Conclusion.** A **binding contract** exists at ₹3,00,000; the revocation is ineffective.

Q18. On seeing a jacket displayed at ₹2,000 in a showroom, C insists the shopkeeper *must* sell it to him at that price. Is the shopkeeper bound?

Rule. Goods displayed with a price tag are an **invitation to offer**, not an offer (Sec 2(a)); the customer makes the offer, which the shopkeeper may accept or decline. **Application.** The display only invited offers. C's demand is an *offer*, which the shopkeeper has not accepted. **Conclusion.** The shopkeeper is **not bound** to sell at ₹2,000.

Q19. D promises to pay ₹1,00,000 to a charitable trust for building a hospital. On the faith of the promise, the trust starts construction and incurs a liability of ₹40,000. D refuses to pay. Can the trust recover?

Rule. A promise of a charitable subscription is enforceable *without consideration* only where the promisee, on the faith of the promise, **undertakes a liability**; recovery is limited to the extent of the liability incurred (Sec 25 principle / Kedar Nath v. Gorie Mohamed). **Application.** The trust incurred a liability of ₹40,000 relying on D's promise. **Conclusion.** The trust can recover **₹40,000** (the extent of liability incurred), not the full ₹1,00,000.

Q20. E, a 17-year-old, buys a laptop on credit for ₹60,000 from a dealer, representing that he is 20. He refuses to pay. Can the dealer recover the price or the laptop?

Rule. A minor's agreement is **void ab initio**; **no estoppel** despite the misrepresentation (*Mohori Bibee*). But **restitution** of goods still traceable in the minor's hands may be ordered. **Application.** The sale contract is void; the false age gives the dealer no estoppel. If the laptop is still identifiable in E's possession, the dealer may recover *it*. **Conclusion.** The dealer **cannot recover the price** as a debt; he can only seek **restitution of the laptop** if it is still traceable.

Q21. F sells the goodwill of his bakery to G and agrees "not to carry on a bakery business anywhere in India for 10 years." Is the restraint valid?

Rule. Sec 27 — agreements in restraint of trade are void. **Exception:** a seller of goodwill may agree not to carry on a similar business within **reasonable local limits**. **Application.** A restraint over *the whole of India* for 10 years is unreasonably wide; only reasonable local limits are protected. **Conclusion.** The restraint is **void** to the extent it is unreasonably wide; a suitably localised restraint would have been valid.

Q22. H, a spiritual guru, persuades his aged and ill devotee to gift him a house, telling her it will secure her spiritual benefit. Later her heirs challenge the gift. What is the legal position?

Rule. Sec 16 — where a party is in a **position to dominate the will** of another (spiritual adviser–devotee, and the devotee's capacity is affected by age/illness) and obtains an **unfair advantage**, undue influence is presumed and the **burden shifts to the dominant party**. **Application.** The guru is in a fiduciary/dominating position; the gift is an unfair advantage; the guru must prove free consent. **Conclusion.** The gift is **voidable** for undue influence; unless the guru discharges the burden of proving free consent, it can be set aside.

Q23. J agrees to sell "my property" to K for ₹5,00,000, but J owns three separate plots and it is unclear which one is meant. Is there a contract?

Rule. Sec 29 — agreements the meaning of which is **not certain, or capable of being made certain**, are void. **Application.** "My property" is ambiguous among three plots and there is no way to render it certain. **Conclusion.** The agreement is **void for uncertainty** (Sec 29).

Q24. L threatens to release defamatory information about M unless M signs a promissory note for ₹2,00,000. M signs and later refuses to pay. Advise M.

Rule. A threat to commit an act forbidden by the IPC (here, criminal intimidation/extortion) amounts to **coercion (Sec 15)**; consent so obtained is not free (Sec 14), making the agreement **voidable (Sec 19)** at the option of the coerced party; benefits received under it must be restored (Sec 64/72). **Application.** M's signature was procured by an unlawful threat → coercion. **Conclusion.** The promissory note is **voidable at M's option**; M may **avoid it and refuse to pay** ₹2,00,000.

Q25. N and P, unknown to each other, post identical letters on the same day — N offering to sell 100 units at ₹500 each and P offering to buy 100 units at ₹500 each. Each claims a concluded contract. Are they right?

Rule. These are **cross offers**. A contract requires an offer *and* an acceptance of that offer (Sec 2(b)); when two identical offers cross in the post, neither is an acceptance of the other. **Application.** N's letter is an offer, and P's letter is a separate offer, not an acceptance of N's offer (or vice versa). **Conclusion. No contract** arises from cross offers; a fresh acceptance is required.

Foundation: Indian Contract Act 1872 — Performance, Discharge, Breach & Remedies

The Problem it solves

A valid contract is only the *beginning* of a commercial relationship, not the end. Once two parties have a legally binding agreement (offer + acceptance + consideration + capacity + free consent + lawful object), a whole set of practical questions immediately follows:

- **Who** actually has to do the promised work — must the promisor do it personally, or can he send a substitute?
- **When and where** must the money be paid or the goods delivered?
- If a debtor owes three separate loans and sends part-payment, **which loan** does that payment reduce?
- What happens when performance becomes **impossible** — a factory burns down, a war breaks out, a law is passed banning the very thing that was promised?
- If one party simply **refuses to perform**, what can the injured party actually recover in a court — the full profit? Only actual loss? A pre-agreed penalty?
- If a builder does 80% of a job and then the owner cancels, can the builder claim payment for the part he *did* finish?

The first half of the Contract Act (Sections 1–30) tells you **when a contract is born**. This chapter deals with the second half (Sections 37–75) — **how a live contract is carried out, how it comes to an end, and what the law does when someone breaks it.** Every audit of a business contract, every recovery suit, every "damages" line item in a company's books traces back to these rules. Before you can audit a provision for a lawsuit or a penalty clause (CA Inter Audit and Law), you must know exactly what the law will and will not enforce.

Two special families of obligation also sit here:

- **Contingent contracts** — promises that only spring to life *if something else happens* (insurance is the classic example).
- **Quasi-contracts** — situations where there is *no real agreement at all*, yet the law forces one party to pay, because letting him keep a benefit for free would be unjust.

Core Idea

A contract creates **obligations**; the law is obsessed with two life-events of every obligation — **its performance (or excusal) and its discharge**. When the obligation is fulfilled as promised, the contract dies a natural death. When it is broken, the law does **not** normally force the wrongdoer to actually perform — instead it makes him **pay money (damages) to put the injured party in the position he would have been in had the promise been kept.** Everything in this chapter is a variation on those two sentences.

The single organising principle for remedies is **compensation, not punishment.** Indian contract law heals the victim's wallet; it does not punish the wrongdoer. Hold that idea and most of Sections 73–75 becomes obvious.

Why it works this way

First principles, reasoned rather than memorised:

1. **A promise is a transfer of a future certainty.** When A promises to deliver goods to B next month, B rearranges his affairs relying on that certainty (he resells, he plans production). So the law must protect B's *reliance* and *expectation*. That is why the default remedy is money measured by B's expected position — the "benefit of the bargain."
2. **The law prefers money to force.** Forcing a specific person to do specific work (specific performance) is intrusive, hard to supervise, and often pointless — if a tailor refuses to sew your suit, the court cannot usefully stand over him with a needle. Money is fungible, measurable, and lets B buy a substitute. Hence damages are the rule and specific performance is the *exception*, reserved for cases where money genuinely cannot substitute (unique land, rare paintings).
3. **You cannot recover losses you could have avoided.** If B could have bought identical goods elsewhere for a small extra cost, the law will not let him sit still, watch losses pile up, and bill A for all of it. This is the **duty to mitigate** — a direct consequence of "compensation, not punishment."
4. **Remoteness limits liability.** A promisor accepts responsibility only for consequences that were within reasonable contemplation when the contract was made. Otherwise every small breach could expose a party to unlimited, unforeseeable liability, and no one would dare contract. This is the logic of *Hadley v. Baxendale*, imported into **Section 73**.
5. **Impossibility that no one caused should fall on no one as fault.** If a supervening event destroys the very foundation of the contract, punishing either party is unjust — neither is to blame. So the contract is simply **voided** (Section 56), and the parties are restored, rather than one side being made to pay damages for a breach he never committed.
6. **Unjust enrichment must be reversed.** Even without a contract, if you receive a benefit you were never meant to keep for free (a wrong-address delivery, a mistaken payment), keeping it enriches you unjustly at another's expense. Quasi-contract (Sections 68–72) is the law plugging that moral gap.

Full technical content

A. Contingent contracts (Sections 31–36)

Section 31 — definition. A *contingent contract* is a contract to do or not to do something **if** some event, **collateral** (i.e., not part of the main promise itself) to the contract, does or does not happen.

> Example: "I will pay you ₹1,00,000 if your house is destroyed by fire." The payment obligation is *contingent* on the fire. All contracts of **insurance, indemnity and guarantee** are contingent contracts.

Key features: - Performance depends on a **future uncertain event**. - The event is **collateral** (incidental) to the contract, not the reciprocal promise itself. - The event must **not be the mere will of the promisor** (else it is not a real contract at all).

Rules for enforcement:

Section	Situation	Rule
32	Contingent on an event *happening*	Enforceable only when/if the event happens; **void** if the event becomes impossible
33	Contingent on an event *not happening*	Enforceable only when the event becomes impossible (i.e., it is certain it will not happen)
34	Event = future conduct of a living person	Event treated as **impossible** if that person does anything making it impossible within a definite time
35	Contingent on event happening **within a fixed time**	Void if the event does not happen (or becomes impossible) within that time
35	Contingent on event **not** happening within a fixed time	Enforceable if the event does not happen within the time, or becomes impossible before the time expires
36	Contingent on an **impossible** event	**Void**, whether or not the parties knew of the impossibility at the time

Contingent vs. Wagering: a wagering agreement (Section 30) is *void*; a contingent contract is *valid*. In a wager both parties stand to win or lose purely on the event and have no other interest; in a contingent contract (like insurance) the party has a real interest (insurable interest) and the event is collateral.

B. Quasi-contracts / "certain relations resembling those created by contract" (Sections 68–72)

There is **no offer, no acceptance, no agreement** — yet the law imposes an obligation to prevent unjust enrichment. The Act deliberately avoids the word "contract" in the heading; these are obligations *resembling* contract.

Section	Relation	Rule	Illustration
68	Necessaries supplied to a person incapable of contracting (minor/lunatic) or to someone he is legally bound to support	Supplier is reimbursed **from the incapable person's property** (not personally, as a minor is not personally liable)	A supplies food/clothes suited to a minor B's station in life → A recovers from B's estate
69	Payment by an *interested* person of money which another is *bound by law* to pay	The payer is entitled to be **reimbursed** by the person bound	B's land is about to be sold for arrears of government revenue that A owes; the tenant B pays to save his tenancy → recovers from A
70	A person lawfully does something for another, or delivers something, **not intending to do so gratuitously**, and the other **enjoys the benefit**	The beneficiary must **compensate** or restore	A, a tradesman, leaves goods at B's house by mistake; B treats them as his own → B must pay
71	Finder of goods	A finder of goods belonging to another has the **same responsibility as a bailee** (must take reasonable care, try to find the owner)	Finder of a lost wallet must attempt to trace owner; can sell in limited circumstances
72	Money paid, or thing delivered, **by mistake or under coercion**	Must be **repaid or returned**	A pays B ₹1,000 twice by mistake; B must repay the second ₹1,000

The measure of a quasi-contractual claim is *restitutionary* — the value of the benefit conferred — not the "expectation" measure used in real contracts.

C. Performance of contracts (Sections 37–67)

Section 37 — obligation to perform. The parties **must either perform, or offer to perform**, their respective promises, unless performance is dispensed with or excused under the Act. On the death of a promisor, the obligation binds his **legal representatives**, unless a contrary intention appears or the contract was for personal skill.

Section 38 — tender / attempted performance. Where a promisor *offers* to perform (a valid **tender**) and the offer is not accepted, the promisor: - is **not responsible for non-performance**, and - **does not lose his rights** under the contract.

A valid tender must be: **unconditional**, at the **proper time and place**, of the **whole obligation**, giving the promisee a reasonable opportunity to inspect, and made to the proper person.

Who must perform (Sections 40–45):

Section	Rule
40	If the contract shows the parties **intended personal performance** (personal skill — a painter, a singer), the **promisor himself** must perform. Otherwise the promisor **or his representative** may employ a competent person
41	If the promisee **accepts performance from a third person**, he **cannot afterwards enforce it against the promisor**
42	**Joint promisors** — all must **jointly** fulfil the promise; on death, representatives jointly with survivors; on death of all, the representatives of all
43	Any **one or more** joint promisors may be compelled to perform the **whole** (joint *and several* liability); a performing joint promisor may claim **contribution** from the others; a defaulting sharer's shortfall is shared by the rest
44	Release of one joint promisor by the promisee does **not** discharge the others, nor does it free the released one from the others' claim for contribution
45	**Joint promisees** — the right to claim performance rests with all the promisees jointly (during their joint lives, then survivor(s), then representatives)

Time and place of performance (Sections 46–50):

Section	Situation	Rule
46	No time specified	Perform within a **reasonable time** (a question of fact)
47	Day specified but no hour	Perform during **usual business hours** on that day, at the proper place
48	Day specified, promisee to apply for performance	Promisee must apply at a **proper place and within usual hours**
49	No place fixed, no application	Promisor must **apply to the promisee to fix a reasonable place** and perform there
50	Manner/time to be prescribed by promisee	Performance in the **manner and at the time the promisee prescribes**

Is time of the essence? In ordinary commercial (especially sale-of-goods) contracts, **failure to perform on time makes the contract voidable at the option of the promisee**, *if* time was intended to be of the essence. Where time is **not** of the essence, delay does not void the contract, but the promisee may claim compensation for loss caused by delay. Time is generally **not** presumed to be of the essence in contracts relating to immovable property.

Performance of reciprocal promises (Sections 51–58):

Section	Rule
51	Simultaneous reciprocal promises — a promisor **need not perform unless the other is ready and willing** to perform his part
52	Order of performance follows the **express order**, or (if none) the **nature of the transaction** requires
53	If one party **prevents** the other from performing, the contract becomes **voidable** at the option of the party so prevented, who may also claim compensation
54	Where one promise cannot be performed until the other party has performed his **prior** promise, and the latter fails, he **cannot claim performance** and must **compensate** the other for loss
55	Effect of **failure to perform at a time fixed** where time is of the essence — contract voidable; if not of the essence, compensation only (see above)
56	**Doctrine of impossibility / frustration** (covered under Discharge)
57	Reciprocal promise to do legal *and also* illegal things — legal part is a contract, illegal part is void
58	Alternative promise, one branch illegal — only the **legal branch** can be enforced

Appropriation of payments (Sections 59–61) — the rule for a debtor who owes *several distinct debts* and pays an amount insufficient to clear all:

Section	Who decides	Rule
59	**Debtor** appropriates (expressly, or by circumstances implying intention)	Payment must be applied to the debt the debtor indicates
60	**Creditor** appropriates (where debtor gives no instruction)	Creditor may apply it to **any lawful debt**, including a **time-barred** debt
61	**Neither** appropriates	Payment applied **in order of time** (oldest debt first); if debts are equal in date, **proportionately**

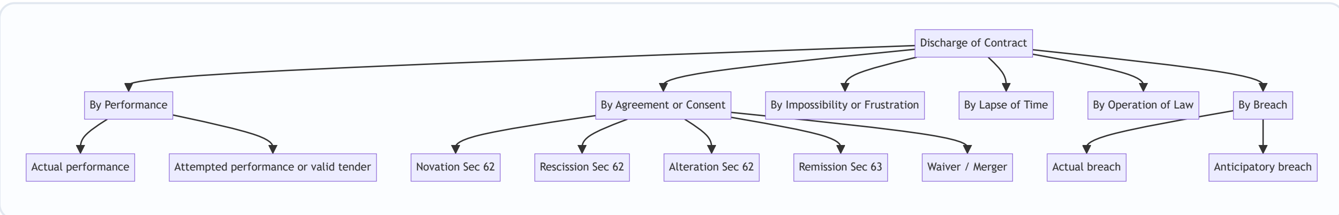
Note: Under the rule in *Clayton's Case* (a common-law gloss on Section 59–61), in a running account the **first item on the debit side is discharged by the first item on the credit side** — first in, first out.

Contracts that need not be performed (Sections 62–67):

Section	Mode	Effect
62	**Novation, rescission, alteration**	If the parties agree to substitute a new contract, rescind, or alter the existing one, the **original need not be performed**
63	**Remission**	Promisee may **dispense with or remit** performance wholly/partly, extend time, or accept any satisfaction he thinks fit — **no fresh consideration needed**
64	Consequence of rescinding a voidable contract	The rescinding party must **restore any benefit** received
65	Agreement discovered void, or contract becomes void	Any person who received an **advantage** must **restore it or compensate**
66	Mode of communicating/revoking rescission	Same rules as communicating/revoking a **proposal**
67	Neglect of promisee to afford promisor reasonable facilities	Promisor **excused** for non-performance caused by that neglect

D. Discharge of a contract

"Discharge" = the contractual obligation comes to an end and the parties are freed. There are **six modes**:



1. Discharge by performance (Sections 37–38). Both parties fulfil their obligations exactly as agreed — the natural, ideal end. Includes **actual performance** and **attempted performance (valid tender)** that the promisee wrongly refuses.

2. Discharge by mutual agreement / consent (Sections 62–63). Because a contract is *created* by agreement, it can be *destroyed* by agreement: - **Novation** — substitute a new contract (new terms, or new parties) for the old; the old contract is extinguished. Requires a valid new contract. - **Rescission** — parties agree to cancel; obligations wiped out. - **Alteration** — a term of the existing contract is changed by mutual consent; the unaltered contract is discharged and the altered one substituted. - **Remission (Sec 63)** — the promisee accepts a lesser fulfilment; needs no fresh consideration (an Indian departure from the English rule in *Pinnel's Case*). - **Waiver** — deliberate abandonment of a right. - **Merger** — an inferior right merges into a superior one (e.g., a tenant buying the freehold).

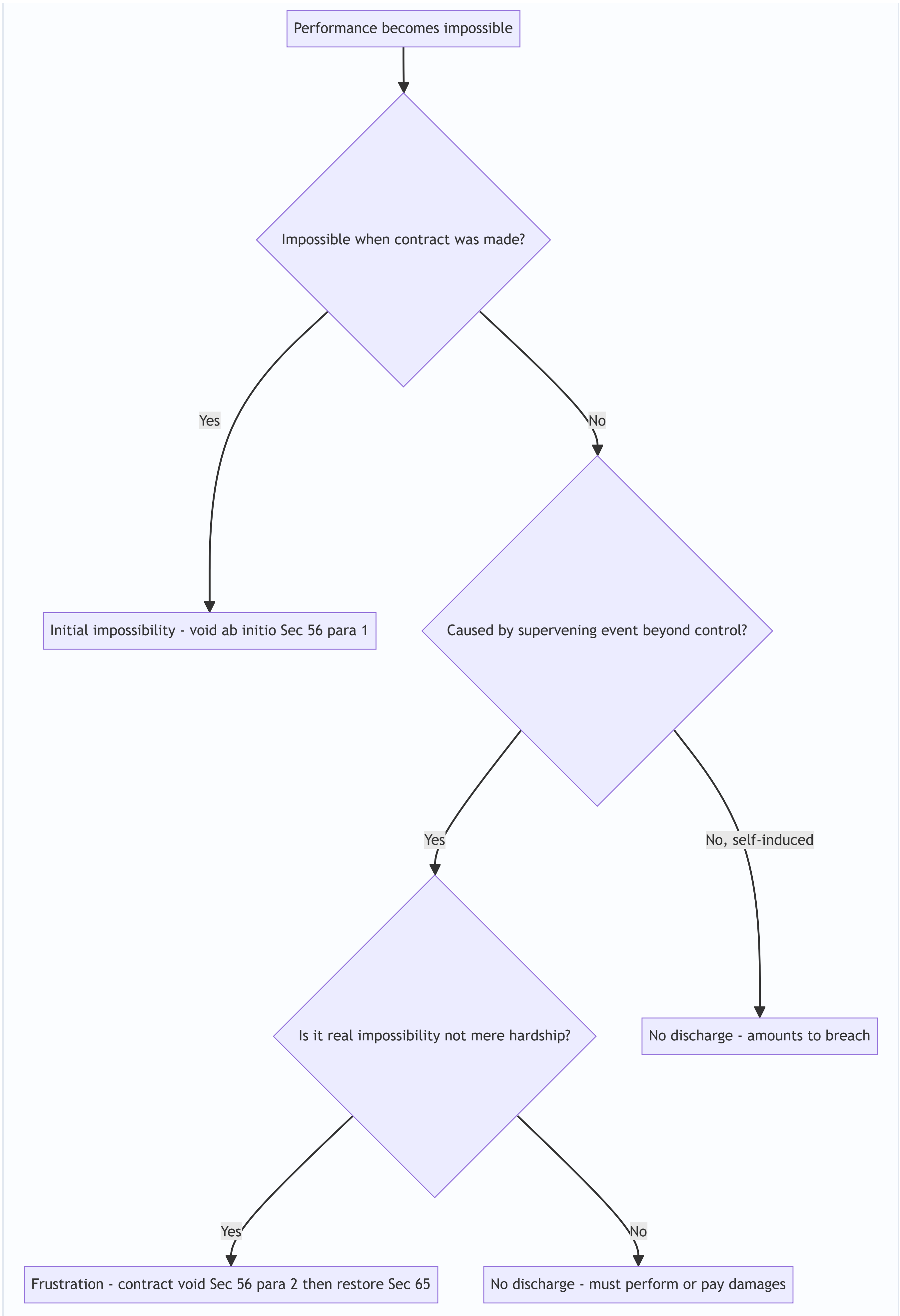
3. Discharge by impossibility of performance — the doctrine of frustration (Section 56). This is heavily tested.

- **Initial impossibility** (impossible at the very time of agreement): an agreement to do an act *impossible in itself* is **void ab initio**. If the promisor **knew or should have known** of the impossibility while the promisee did not, the promisor must **compensate** the promisee for any loss (Section 56, para 3).
- **Supervening impossibility** (contract possible when made, but becomes impossible *later* due to an event beyond the parties' control): the contract becomes **void** when the act becomes impossible or unlawful.

Grounds recognised for **supervening impossibility / frustration**: - **Destruction of the subject-matter** (music-hall burns down — *Taylor v. Caldwell*). - **Non-existence / non-occurrence of a state of things** that formed the basis of the contract (coronation cancelled — *Krell v. Henry*). - **Death or incapacity** for a contract of personal service. - **Change of law** rendering performance unlawful. - **Outbreak of war** or declaration of a party as an alien enemy.

Grounds that do **NOT** frustrate a contract (performance is *not* excused): - **Commercial hardship** / the deal merely becoming more expensive or less profitable. - **Difficulty** of performance short of impossibility. - **Failure of a third person** on whom the promisor relied. - **Strikes, lockouts, civil disturbances** (unless the contract says so). - **Self-induced impossibility** (a party's own act or default). - **Partial impossibility** where the main object can still be achieved.

Effect: on frustration the contract is **void**, and **Section 65** applies — any advantage received under the now-void contract must be **restored**.



Performance becomes impossible
Impossible when contract was made?
Yes
No
Initial impossibility - void ab initio Sec 56 para 1
Caused by supervening event beyond control?
Yes
No, self-induced
Is it real impossibility not mere hardship?
No discharge - amounts to breach
Yes
No
Frustration - contract void Sec 56 para 2 then restore Sec 65
No discharge - must perform or pay damages

4. Discharge by lapse of time. Governed by the **Limitation Act 1963**. If a party fails to enforce his right within the prescribed limitation period (generally **3 years** for a suit on a simple contract/debt from when the cause of action arose), the **remedy** is barred — the contract is discharged as far as legal enforcement is concerned. Note: the *debt* survives, only the *remedy* dies; this is why a creditor can appropriate a payment to a time-barred debt under Section 60.

5. Discharge by operation of law. The contract ends by force of law, independent of the parties' wishes: - **Death** — for contracts of personal skill. - **Insolvency** — the insolvent is discharged from contracts entered before adjudication. - **Merger** — inferior right merges into a superior right. - **Unauthorised material alteration** of a written contract by one party without the other's consent discharges the other party.

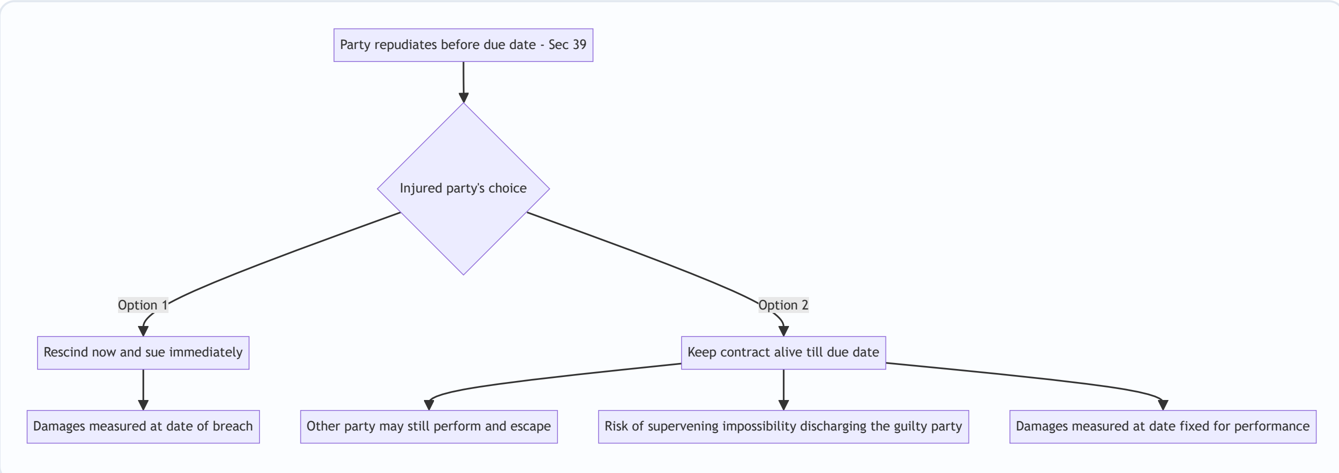
6. Discharge by breach. One party fails or refuses to perform; the injured party is discharged from his own obligation and acquires a **right of action for damages**. Breach is either **actual** or **anticipatory**.

E. Anticipatory breach (Section 39)

Section 39 — when a party has **refused to perform, or disabled himself from performing, his promise in its entirety** *before* the time for performance arrives, the promisee may: 1. **Put an end to the contract** (treat it as discharged) and **sue immediately** for damages, **without waiting** for the due date; **or** 2. **Keep the contract alive** — treat it as operative, wait until the time of performance, and hold the other party liable if he still does not perform.

If the promisee **keeps the contract alive**, he keeps it alive *for both parties*. The consequences: - The other party may still perform on the due date and escape liability. - The contract remains open to the risk of **supervening impossibility** — a later frustrating event may discharge the guilty party altogether (as in *Avery v. Bowden*, where the outbreak of war rescued the party who had earlier committed anticipatory breach). - **Damages are measured on the date fixed for performance**, not on the date of the anticipatory refusal.

If the promisee **accepts the breach immediately**, damages are measured as at the **date of breach**.



F. Remedies for breach of contract

On breach, the injured party has up to **five** remedies:

1. **Rescission** of the contract (Section 39) — refuse further performance.
2. **Damages** (Sections 73–74) — monetary compensation.
3. **Quantum meruit** — payment for value of work actually done.

4. **Specific performance** — court order to actually perform (Specific Relief Act 1963).
5. **Injunction** — court order restraining a party from doing something (Specific Relief Act 1963).

Damages — Section 73. The party who suffers breach is entitled to compensation for: - loss or damage **naturally arising in the usual course of things** from the breach (**general/ordinary damages**), and - loss the parties **knew, when they made the contract, to be likely** from the breach (**special damages**).

The section expressly states: compensation is **not** given for any **remote and indirect** loss. And **Explanation to Section 73**: in estimating loss, the **means available for remedying the inconvenience** (i.e., the duty to mitigate) must be considered. This codifies *Hadley v. Baxendale*.

Types of damages recognised:

Type	Meaning
Ordinary (general)	Loss arising naturally, in the usual course — always recoverable
Special	Loss from special circumstances **communicated** to the other party at contract time
Nominal	Token sum where a breach occurred but **no real loss** — right vindicated
Vindictive / exemplary	Punitive; generally **not** allowed except (a) breach of promise to marry, (b) wrongful dishonour of a customer's cheque by a banker
Liquidated	A genuine **pre-estimate** of likely loss, stated in the contract
Remote/indirect	**Not recoverable** (barred by Sec 73)

Liquidated damages vs penalty — Section 74. When the contract itself **names a sum** payable on breach (or contains a penalty stipulation), the injured party is entitled to **reasonable compensation not exceeding the amount named**, whether or not actual loss is proved.

This is a major **Indian departure** from English law. Under English law a *penalty* clause is unenforceable and only *liquidated damages* (a genuine pre-estimate) are recoverable; the court must first classify the clause. **Section 74 abolishes that distinction** — Indian courts do **not** insist on classifying the clause as penalty or liquidated damages; in **all** cases the court awards **reasonable compensation up to the stipulated ceiling**, and the named sum operates as the **maximum**, not an automatic entitlement. Actual loss is a guide to what is "reasonable", but the injured party need not always prove precise loss.

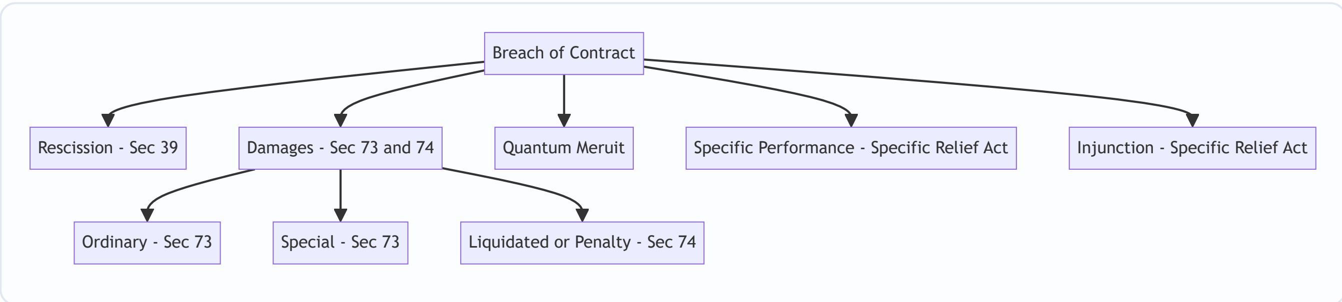
Feature	English law	Indian law (Sec 74)
Penalty clause	Void / unenforceable	Enforceable up to reasonable compensation
Liquidated damages	Recoverable in full as fixed	Recoverable only as *reasonable* compensation, capped at the named sum
Must court classify?	Yes	No
Ceiling	The genuine pre-estimate	The stipulated sum is the **maximum**

Section 74 also covers a **stipulation by way of increased interest from the date of default** and **bonds/security to Government** — the same "reasonable compensation not exceeding" principle applies.

Quantum meruit ("as much as is earned/deserved"). Where one party has done part of the work and further performance is prevented — by the other's breach, or by the contract becoming void — he can claim payment for the value of what he has actually done, on a *restitutionary* basis. It arises: - when a contract is **discharged by the other party's breach** (the innocent party who did part-work can sue on quantum meruit *in addition to* damages); - when work is done under a contract later **discovered void** (Section 65) or **becoming void**; - when work is done under an **implied** understanding of payment (Section 70); - when a party who is **not in default** elects to be paid for what he has done rather than sue for damages. A party who is **himself in default** generally cannot claim quantum meruit (except in limited divisible-contract situations).

Specific performance (Specific Relief Act 1963). A court order compelling the defaulting party to **actually carry out** the contract. Granted where **damages are not an adequate remedy** — e.g., sale of **land** (every plot is unique), **rare/unique goods** (an heirloom, an antique). **Not** granted where: damages are adequate; the contract is for **personal service** (courts will not force a person to work); the contract requires **continuous supervision**; or the contract is determinable/uncertain.

Injunction (Specific Relief Act 1963). A court order **restraining** a party from doing an act that would breach the contract — essentially specific performance of a *negative* stipulation. Classic case: *Warner Bros v. Nelson* — an actress who agreed not to work for anyone else could be **restrained** from doing so, though she could not be **forced** to act.



Worked examples

These are law "problem sums" — solved in **Issue** → **Rule** → **Application** → **Conclusion (IRAC)** style. Where the question involves numbers, the arithmetic is worked and checked.

Worked example 1 — Section 73 damages, remoteness and mitigation (with numbers)

Facts. Anil, a cloth merchant, contracts to buy 500 metres of a specific printed fabric from Bharat Mills at **₹200/metre**, delivery on 1 August, for onward resale. Anil has *not* told Bharat about any resale. Bharat fails to deliver. On 1 August the same fabric is freely available in the market at **₹230/metre**. Anil in fact had a special contract to resell the 500 m to a boutique at **₹300/metre**, on which he would have earned an extra margin; the boutique cancels and Anil claims (i) the market-price difference and (ii) his lost resale profit.

Issue. What compensation can Anil recover under Section 73 — the market difference, the lost special profit, or both?

Rule. Section 73 allows (a) loss **naturally arising** in the usual course (ordinary damages), and (b) special loss **only if the special circumstances were communicated** at contract time. Remote/indirect loss is not recoverable. The **Explanation** imposes a duty to mitigate — the injured party must use available means (here, buy substitute fabric in the open market).

Application. - *Ordinary loss:* the natural measure for a buyer on a seller's non-delivery is the difference between the **contract price and the market price** on the breach date, because Anil can (and must) buy a substitute. - Market price ₹230 − contract price ₹200 = **₹30/metre**. - ₹30 × 500 m = **₹15,000**. This is recoverable. - *Special loss (lost boutique profit ₹300 − ₹230 = ₹70/m = ₹35,000):* Anil never **communicated** the resale contract to Bharat. Under Section 73 this special profit was **not within Bharat's contemplation** and is **too remote**. It is **not recoverable**.

Conclusion. Anil recovers **₹15,000** (ordinary damages), and **nothing** for the lost boutique profit, because the special circumstances were not communicated. Verification: had Bharat delivered, Anil would have spent ₹1,00,000 (500 × ₹200) for goods worth ₹1,15,000 in the market — a ₹15,000 advantage; the ₹15,000 award restores exactly that position. Internally consistent.

(Contrast: if Anil had told Bharat about the boutique resale at contract time, the ₹35,000 special profit would also have been recoverable — total ₹50,000 — because it would then be within contemplation.)

Worked example 2 — Section 74, liquidated damages vs penalty (with numbers)

Facts. Chetan agrees to construct a warehouse for Deepa by 31 March. The contract states: "*If the contractor fails to complete on time, he shall pay ₹5,000 per day of delay as damages.*" Chetan completes **20 days late**. Deepa's **actual proven loss** from the delay (extra rent she had to pay for her old godown) is **₹40,000**. The stipulated amount for 20 days = ₹5,000 × 20 = **₹1,00,000**. Deepa claims the full ₹1,00,000.

Issue. Is Deepa entitled to the full stipulated ₹1,00,000, or only reasonable compensation?

Rule. Section 74 — where a sum is named in the contract as payable on breach, the injured party gets **reasonable compensation not exceeding the amount named**, whether or not actual damage is proved. The named figure is a **ceiling**, not an automatic entitlement; the court does not need to label the clause "penalty" or "liquidated damages."

Application. - The named sum ₹1,00,000 is the **maximum**. - Deepa's proven actual loss is ₹40,000. - The court awards **reasonable compensation**. With actual loss clearly proved at ₹40,000, the reasonable compensation is **₹40,000** — well within the ₹1,00,000 ceiling. The extra ₹60,000 looks like a penalty and is not awarded merely because it was named.

Conclusion. Deepa recovers **₹40,000**, not ₹1,00,000. Check: award (₹40,000) ≤ ceiling (₹1,00,000) ✓ and equals proven loss ✓. If Deepa had suffered a loss she *could not precisely prove*, the court could still award a reasonable sum up to ₹1,00,000 — but never above it.

Worked example 3 — Appropriation of payments, Sections 59–61 (with numbers)

Facts. Farhan owes Gita three separate unsecured loans: - Loan A: **₹20,000**, taken 1 Jan 2022 (now time-barred); - Loan B: **₹30,000**, taken 1 Jan 2024; - Loan C: **₹25,000**, taken 1 Jan 2025. Total owed = ₹75,000. On 1 July 2026 Farhan sends Gita **₹30,000**. Analyse three scenarios.

Issue. To which debt(s) is the ₹30,000 applied?

Rule. Sec 59 — if the **debtor** expressly or impliedly indicates, payment goes to that debt. Sec 60 — if the debtor is silent, the **creditor** may apply it to any lawful debt, **including a time-barred debt**. Sec 61 — if neither indicates, apply **in order of time** (oldest first); equal-dated debts, proportionately.

Application & Conclusion.

Scenario 1 — Farhan writes "towards Loan C." Sec 59 governs. The full ₹30,000 clears **Loan C (₹25,000)** and the remaining **₹5,000** reduces… nothing is specified for the rest, so the ₹5,000 surplus, if not directed, then falls to Sec 61 (oldest first) → applied to the **time-barred Loan A**, reducing it to ₹15,000. Remaining balances: A ₹15,000, B ₹30,000, C ₹0. Total ₹45,000. Check: 75,000 − 30,000 = 45,000 ✓.

Scenario 2 — Farhan gives no instruction; Gita chooses. Sec 60 lets Gita apply it to the **time-barred Loan A** (₹20,000) first — her rational choice, since that remedy is otherwise dead. ₹20,000 clears Loan A; remaining ₹10,000 she applies to Loan B, reducing it to ₹20,000. Balances: A ₹0, B ₹20,000, C ₹25,000. Total ₹45,000 ✓.

Scenario 3 — Neither indicates. Sec 61 — oldest first. ₹30,000 clears **Loan A ₹20,000**, then ₹10,000 reduces **Loan B** to ₹20,000. Balances: A ₹0, B ₹20,000, C ₹25,000. Total ₹45,000 ✓.

All three scenarios reconcile to the same ₹45,000 total outstanding — only the *allocation* differs, exactly as Sections 59–61 intend.

Worked example 4 — Frustration under Section 56 (application scenario)

Facts. Ravi hires an auditorium from Sneha for a music concert on 15 August for ₹2,00,000, paying ₹50,000 advance. On 10 August the auditorium is **destroyed by an accidental fire** with no fault of either party.

Issue. Is the contract discharged, and what happens to the ₹50,000 advance?

Rule. Section 56, para 2 — a contract to do an act which, after the contract is made, becomes impossible by an event the promisor could not prevent, becomes **void** when the act becomes impossible. Destruction of the subject-matter (*Taylor v. Caldwell*) is a recognised ground of frustration. Section 65 — when a contract becomes void, any person who received an **advantage** must **restore** it.

Application. The auditorium (the very subject-matter) is destroyed through no one's fault; performance is genuinely impossible, not merely harder. The contract is therefore **void** from 10 August. Under Section 65, Sneha received an advantage of ₹50,000 under a contract that has become void and must **restore** it.

Conclusion. The contract is **discharged by supervening impossibility (Section 56)**; neither party is liable in damages (no breach), and Sneha must **refund ₹50,000** to Ravi under Section 65. Check: Ravi paid ₹50,000, is refunded ₹50,000 → net zero, restored to pre-contract position ✓.

Worked example 5 — Anticipatory breach, Section 39 (application scenario)

Facts. Tara agrees to sing at Uday's festival on 20 December for ₹1,00,000. On 1 December Tara writes to Uday: "I have accepted a foreign tour; I will not be able to sing at your festival." Uday wants to know his options and their consequences.

Issue. What are Uday's rights on Tara's repudiation *before* the performance date (anticipatory breach), and how do the options differ?

Rule. Section 39 — where a party refuses to perform his promise in its entirety before the due date, the promisee may (1) treat the contract as at an end and **sue immediately**, or (2) **keep it alive** and wait for the due date.

Application. - **Option 1 — rescind now:** Uday treats the contract as discharged on 1 December, engages a substitute singer immediately, and sues Tara at once for damages measured at the **date of breach** (1 December). He is freed to mitigate early. - **Option 2 — keep alive:** Uday waits until 20 December. Risks: (a) Tara might reconsider and perform, escaping liability; (b) if a **supervening event** (say, a government ban on all public gatherings on 20 December) intervenes, the contract is **frustrated** and Tara is **discharged altogether** — Uday loses his damages claim (the *Avery v. Bowden* trap). If Uday keeps it alive, damages are measured at the **due date**.

Conclusion. Uday should ordinarily **accept the anticipatory breach immediately** (Option 1), sue at once, and mitigate by hiring a replacement — this both crystallises his damages and avoids the risk that a later frustrating event rescues Tara. Because this is a contract of **personal skill**, specific performance is **not** available — money damages are the remedy.

Connections

- **CA Inter — Law (Corporate & Other Laws):** the *Indian Contract Act* foundation here directly underpins Inter's **special contracts** — Indemnity & Guarantee (Sec 124–147, all contingent contracts), Bailment & Pledge (finder-of-goods Sec 71 grows into full bailment), and Agency. You cannot understand a *contract of guarantee* without contingent-contract logic from Sec 31.
- **CA Inter — Law (Companies Act 2013):** a company acts only through contracts; pre-incorporation contracts, and the enforceability of contracts entered by directors/agents, rest on performance and breach rules learned here.
- **CA Inter & Final — Audit:** auditing **provisions and contingent liabilities (Ind AS 37 / AS 29)** for pending damages suits, penalty clauses, and onerous contracts requires you to judge whether a contractual liability is probable and measurable — a direct application of Sec 73–74 and frustration.
- **CA Inter — Advanced Accounting:** accounting for **liquidated damages received/paid**, warranty provisions, and revenue recognition on **long-term construction contracts** (percentage-completion) draws on quantum meruit and part-performance concepts.
- **CA Inter — FM:** the enforceability of loan covenants, penalty interest (Sec 74 "increased interest"), and debt appropriation (Sec 59–61) matters when analysing a firm's debt obligations.

Traps & common mistakes

1. **"Penalty clauses are void in India."** Wrong — that is *English* law. Under **Section 74** the court awards **reasonable compensation up to the named sum**; it never exceeds the ceiling and does not classify the clause. Stating the English rule as Indian law is the single most common Sec 74 error.
2. **Confusing contingent contracts with wagering agreements.** Contingent contracts (insurance) are **valid**; wagers (Sec 30) are **void**. The difference is *insurable interest* and the event being *collateral*.
3. **Treating commercial hardship as frustration.** A deal merely becoming costlier, harder, or unprofitable does **NOT** frustrate a contract under Sec 56. Only genuine impossibility/illegality/destruction does.
4. **Forgetting the duty to mitigate.** Students award the full loss ignoring that the injured party must take reasonable steps to reduce it (Explanation to Sec 73). Unmitigated loss is not recoverable.
5. **Special damages without communication.** Lost special profit is recoverable **only if** the special circumstances were **communicated at the time of contracting**. Don't award them by default.
6. **Anticipatory breach — the measurement date.** If the injured party **keeps the contract alive**, damages are measured at the **due date**, and he risks losing everything to a later frustrating event. If he **accepts** the breach, damages are at the date of breach. Mixing these up loses marks.
7. **Section 65 restitution overlooked.** When a contract becomes void (frustration, discovered void), you **must** mention restoration of any advantage under Sec 65 — the answer is incomplete without it.

8. **Time-barred debt and appropriation.** A **creditor** (Sec 60) may apply a payment to a **time-barred** debt; a debtor's silence lets the creditor revive an otherwise dead remedy. Many students wrongly think a time-barred debt cannot be touched.
9. **Specific performance for personal-service contracts.** Courts will **never** force personal service (a singer, an employee). The remedy there is **damages** (and possibly an **injunction** on a negative stipulation), not specific performance.
10. **Joint promisors — several liability.** Under Sec 43, the promisee can compel **any one** joint promisor to perform the **whole** obligation; students wrongly assume liability is only proportionate.

First-principles recap

- A contract's second life is about **performance and discharge**; breach is just failed performance, and the law's answer is almost always **money that restores the injured party — compensation, not punishment.**
- **Damages (Sec 73)** cover natural loss always and special loss only if **communicated**; remote loss never; and the victim must **mitigate**.
- **Section 74** flattens the English penalty/liquidated-damages distinction into one rule — **reasonable compensation, capped at the stipulated sum.**
- **Frustration (Sec 56)** discharges a contract only for *genuine* supervening impossibility/illegality — not hardship — and triggers **restitution under Sec 65**.
- **Quasi-contracts (Sec 68–72)** and **quantum meruit** exist to reverse **unjust enrichment** where there is no real bargain or only part-performance.
- **Contingent contracts (Sec 31–36)** are valid promises that activate on a collateral uncertain event — the backbone of insurance, indemnity and guarantee.

Quick-reference

Topic	Key sections	One-line rule
Contingent contract — definition	31	Do/not do something IF a collateral uncertain event happens
Contingent — impossible event	36	Void, even if parties unaware
Quasi — necessaries to incapable person	68	Reimburse from his property
Quasi — payment of another's legal due	69	Interested payer reimbursed
Quasi — benefit of non-gratuitous act	70	Beneficiary must compensate
Quasi — finder of goods	71	Duties of a bailee
Quasi — money paid by mistake/coercion	72	Must repay/return
Obligation to perform	37	Perform or offer to perform
Valid tender / attempted performance	38	Tender excuses non-performance, rights preserved
Personal-skill contracts	40	Promisor must perform personally
Joint promisors — several liability	43	Any one may be compelled for the whole
Time — no time specified	46	Reasonable time
Appropriation — debtor decides	59	Applied as debtor directs
Appropriation — creditor decides	60	Any lawful debt, incl. time-barred
Appropriation — neither decides	61	Oldest debt first
Novation / rescission / alteration	62	Original need not be performed
Remission	63	Accept less; no fresh consideration needed
Restore advantage on void contract	65	Return benefit received
Anticipatory breach	39	Rescind now OR keep alive
Impossibility / frustration	56	Supervening impossibility → void
Damages — general & special	73	Natural loss + communicated special loss; mitigate
Liquidated damages / penalty	74	Reasonable compensation, capped at named sum
Quantum meruit	(case law / 65, 70)	Pay for value of work actually done
Specific performance & injunction	Specific Relief Act 1963	Order to perform / restrain; when damages inadequate
Lapse of time	Limitation Act 1963	Generally 3 years; remedy barred, debt survives

Q&A — Foundation: Indian Contract Act 1872 — Performance, Discharge, Breach & Remedies

CA Foundation Paper 2 – Business Laws (2024 New Scheme). Mix of theory/definition model answers and application/case-scenario problems. Section references are ICAI-aligned. "How to present for full marks" notes are added where useful.

Part A — Theory / definition (model answers)

Q1. Define a contingent contract. State its essential features with an example. (Sec 31)

Model answer. Under **Section 31**, a *contingent contract* is a contract to do or not to do something **if** some event, **collateral** to the contract, does or does not happen. Essential features: 1. Performance depends on a **future** event. 2. The event is **uncertain**. 3. The event is **collateral** (incidental), not the reciprocal promise itself. 4. The event must **not be the mere will** of the promisor. Example: "I will pay you ₹1,00,000 if your factory is destroyed by fire" — a contract of insurance, the classic contingent contract. *Full-marks tip:* mention that **all contracts of insurance, indemnity and guarantee are contingent contracts**, and distinguish from a wager (which is void under Sec 30).

Q2. Explain the rules regarding enforcement of contingent contracts. (Sec 32–36)

Model answer. - **Sec 32:** contingent on an event *happening* — enforceable only when the event happens; void if it becomes impossible. - **Sec 33:** contingent on an event *not happening* — enforceable when the event becomes impossible. - **Sec 34:** if the event is the future conduct of a living person, it is deemed impossible when that person does anything rendering it impossible within a definite time. - **Sec 35:** contingent on an event happening within a fixed time — void if the event does not happen (or becomes impossible) within that time; contingent on an event NOT happening within a fixed time — enforceable if it does not happen within that time. - **Sec 36:** contingent on an **impossible event** — **void**, whether or not the parties knew of the impossibility.

Q3. What is a quasi-contract? Enumerate the five quasi-contractual obligations under the Act. (Sec 68–72)

Model answer. A **quasi-contract** is not a real contract — there is no offer, acceptance or agreement — but an obligation **imposed by law** to prevent **unjust enrichment** of one person at another's expense. The Act calls these "certain relations resembling those created by contract." The five relations: 1. **Sec 68** — claim for **necessaries** supplied to a person incapable of contracting (recovered from his property). 2. **Sec 69** — reimbursement to a person who **pays money another is legally bound to pay**. 3. **Sec 70** — obligation to **pay for a non-gratuitous act** whose benefit is enjoyed. 4. **Sec 71** — responsibility of a **finder of goods** (as a bailee). 5. **Sec 72** — liability to **repay money/return goods received by mistake or under coercion**.

Q4. State the rules regarding appropriation of payments where a debtor owes several debts. (Sec 59–61)

Model answer. - **Sec 59 — debtor's right:** where a debtor owing several debts pays and expressly (or impliedly by circumstances) indicates the debt to which it should apply, the payment must be so applied. - **Sec 60 — creditor's right:** where the debtor does not indicate, the creditor may apply the payment to **any lawful debt** actually due, **including a time-barred debt**. - **Sec 61 — by operation of law:** where neither party appropriates, the payment is applied to the debts **in order of time** (oldest first); if debts are of equal date, **proportionately**. *Full-marks tip:* add the rule in *Clayton's Case* — in a running account, first item on the debit side is discharged by the first item on the credit side (FIFO).

Q5. Explain the various modes by which a contract may be discharged.

Model answer. A contract may be discharged by **six** modes: 1. **By performance** (Sec 37–38) — actual or attempted (valid tender). 2. **By mutual agreement / consent** (Sec 62–63) — novation, rescission, alteration, remission, waiver, merger. 3. **By impossibility / frustration** (Sec 56) — initial or supervening impossibility. 4. **By lapse of time** — under the Limitation Act 1963. 5. **By operation of law** — death, insolvency, merger, unauthorised material alteration. 6. **By breach** (Sec 39) — actual or anticipatory.

Q6. What is the doctrine of frustration / supervening impossibility? State the grounds on which it applies and does not apply. (Sec 56)

Model answer. Under **Section 56**, a contract to do an act which, after the contract is made, becomes **impossible or unlawful** by reason of an event the promisor could not prevent, becomes **void** when the act becomes impossible. This is the doctrine of frustration. **Grounds where it applies:** destruction of the subject-matter (*Taylor v. Caldwell*); non-occurrence of a state of things forming the basis of the contract (*Krell v. Henry*); death/incapacity in a personal-service contract; change of law making performance unlawful; outbreak of war. **Grounds where it does NOT apply:** commercial hardship / mere loss of profit; difficulty of performance; failure of a third person; strikes/lockouts/riots; **self-induced** impossibility; partial impossibility where the main object survives. *Full-marks tip:* conclude with **Sec 65** — on the contract becoming void, any advantage received must be restored.

Q7. Distinguish between liquidated damages and a penalty, and explain how Section 74 treats them.

Model answer. - **Liquidated damages** = a genuine **pre-estimate** of the likely loss, agreed in advance. - **Penalty** = a sum fixed **in terrorem** (to frighten the party into performance), disproportionate to any likely loss. Under **English law** a penalty is void and only liquidated damages are recoverable, so the court must classify the clause. **Section 74 abolishes this distinction in India:** whenever a sum is named in the contract as payable on breach, the injured party is entitled to **reasonable compensation not exceeding the amount named**, whether or not actual loss is proved. The stipulated sum is a **ceiling**, and the court does not classify the clause.

Q8. What is anticipatory breach of contract? What options does the aggrieved party have? (Sec 39)

Model answer. Anticipatory breach occurs when a party, **before the time for performance**, refuses to perform the promise in its entirety or disables himself from performing. Under **Section 39** the aggrieved party may: 1. **Rescind** the contract at once and **sue immediately** for damages, without waiting for the due date; **or** 2. **Keep the contract alive** — treat it as subsisting, wait for the due date, and hold the other liable if he still does not perform. If kept alive, the contract remains open for both parties, so (a) the guilty party may still perform and escape, and (b) a supervening frustrating event may discharge the guilty party (the *Avery v. Bowden* risk). Damages are measured at the **date of breach** (if rescinded now) or the **due date** (if kept alive).

Q9. Explain the rule of remoteness of damages under Section 73 (Hadley v. Baxendale).

Model answer. Section 73 allows compensation for loss/damage (a) **naturally arising in the usual course** of things from the breach (ordinary damages), and (b) loss the parties **knew, when contracting, to be likely** (special damages). It expressly **excludes remote and indirect loss**. This codifies *Hadley v. Baxendale*: the defendant is liable only for losses within the reasonable contemplation of both parties at the time of contracting; special loss is recoverable **only if the special circumstances were communicated**. The **Explanation** to Sec 73 adds the **duty to mitigate** — the means of remedying the inconvenience must be considered.

Q10. What is quantum meruit? When can a claim on quantum meruit arise?

Model answer. *Quantum meruit* means "as much as is earned/deserved" — a claim for the **value of work actually done** where the full contract has not been completed, on a **restitutionary** basis. It arises when: - the contract is **discharged by the other party's breach** (the innocent party who did part-work may claim); - work was done under a contract later **discovered void** or which **becomes void** (Sec 65); - work/goods were supplied under an **implied promise to pay** (Sec 70); - a party **not in default** elects payment for part-performance instead of suing for damages. A party **in default** generally cannot claim quantum meruit (limited exceptions for divisible contracts).

Q11. Briefly explain specific performance and injunction as remedies for breach. (Specific Relief Act 1963)

Model answer. These are **equitable** remedies under the **Specific Relief Act 1963**. - **Specific performance** — a court order compelling the defaulter to **actually perform** the contract. Granted where **damages are inadequate** (e.g., sale of unique land or rare goods). **Not** granted for personal-service contracts, where damages suffice, or where continuous supervision is required. - **Injunction** — a court order **restraining** a party from doing an act that breaches a negative stipulation (specific performance of a negative term). Example: *Warner Bros v. Nelson* — an actress restrained from working for others, though she could not be forced to act.

Q12. State the rules regarding who must perform a contract and the position of joint promisors. (Sec 40–45)

Model answer. - **Sec 40:** if the contract intends **personal performance** (personal skill), the promisor himself must perform; otherwise he or his representative may employ a competent person. - **Sec 41:** if the promisee **accepts performance from a third party**, he cannot later enforce it against the promisor. - **Sec 42: joint promisors** must jointly fulfil the promise. - **Sec 43:** the promisee may compel **any one or more** joint promisors to perform the **whole** (joint and several liability); a performing promisor may claim **contribution** from the others. - **Sec 44:** release of one joint promisor does not discharge the others. - **Sec 45:** the right of **joint promisees** to claim performance rests with all of them jointly.

Q13. What is a valid tender (attempted performance)? State its essentials and effect. (Sec 38)

Model answer. A **tender** is an **offer to perform** by the promisor. Under **Section 38**, if a valid tender is **not accepted**, the promisor is **not responsible for non-performance** and **does not lose his rights** under the contract. Essentials of a valid tender: it must be (i) **unconditional**, (ii) made at the **proper time and place**, (iii) for the **whole obligation**, (iv) give the promisee a **reasonable opportunity to inspect**, and (v) be made to the **proper person**. A tender of money must be of the exact amount in legal tender.

Q14. Explain novation, rescission, alteration and remission as modes of discharge by agreement. (Sec 62–63)

Model answer. - **Novation (Sec 62):** substituting a **new contract** for an old one (new terms or new parties); the original is extinguished. Requires a valid new contract. - **Rescission (Sec 62):** the parties agree to **cancel** the contract; obligations end. - **Alteration (Sec 62):** a **term is changed** by mutual consent; the unaltered contract is discharged and the new one substituted. - **Remission (Sec 63):** the promisee **accepts a lesser fulfilment**, extends time, or accepts any satisfaction he thinks fit — **without any fresh consideration** (an Indian departure from *Pinnel's Case*).

Part B — Application / case scenarios (IRAC-style)

Q15. A agrees to sell B a specific painting for ₹5,00,000. Before delivery, the painting is destroyed by fire without any fault of A. B sues A for non-delivery. Advise. (Sec 56, 65)

Answer. *Issue:* is A liable for non-delivery? *Rule:* Sec 56 — supervening impossibility (destruction of the specific subject-matter) makes the contract void; Sec 65 — advantages received must be restored. *Application:* the specific painting is destroyed with no fault of A, so performance is genuinely impossible (*Taylor v. Caldwell*); the contract is **void**, not breached. *Conclusion:* A is **not liable** in damages; if B had paid any advance, A must **refund** it under Sec 65.

Q16. X owes Y three debts of ₹10,000 (2019, now time-barred), ₹15,000 (2024) and ₹20,000 (2025). X pays ₹15,000 without any instruction. How may Y apply it? (Sec 60)

Answer. *Issue:* to which debt does the payment go when the debtor is silent? *Rule:* Sec 60 — the creditor may apply the payment to **any lawful debt, including a time-barred debt**. *Application:* Y may apply ₹10,000 to the **time-barred 2019 debt** (clearing it, since that remedy is otherwise dead) and the remaining ₹5,000 to the 2024 debt, reducing it to ₹10,000. *Conclusion:* Balances become 2019: ₹0, 2024: ₹10,000, 2025: ₹20,000 — total ₹30,000. Check: 45,000 − 15,000 = 30,000. Y's choice to revive the time-barred debt is valid.

Q17. P contracts to supply Q 100 tonnes of coal at ₹6,000/tonne. P fails to deliver; on the delivery date coal costs ₹6,800/tonne in the market. Q had a resale contract at ₹8,000/tonne which he did NOT disclose to P. What can Q recover? (Sec 73)

Answer. *Issue:* ordinary vs special damages. *Rule:* Sec 73 — natural loss always; special loss only if communicated; duty to mitigate. *Application:* ordinary loss = market − contract = (6,800 − 6,000) × 100 = **₹80,000**, recoverable, since Q can buy substitute coal. The resale profit (8,000 − 6,800 = 1,200 × 100 = ₹1,20,000) was **not disclosed**, so it is **remote** and not recoverable. *Conclusion:* Q recovers **₹80,000** only.

Verification: had P delivered, Q would have paid ₹6,00,000 for coal worth ₹6,80,000 — the ₹80,000 award restores exactly that gain.

Q18. A building contract fixes ₹2,000 per day as "damages" for delay. The contractor is 30 days late; the owner's proven actual loss is ₹35,000. How much can the owner recover? (Sec 74)

Answer. *Issue:* is the owner entitled to the full stipulated sum? *Rule:* Sec 74 — reasonable compensation **not exceeding** the amount named. *Application:* named sum = ₹2,000 × 30 = **₹60,000** (the ceiling); proven actual loss = ₹35,000. The court awards **reasonable compensation**, guided by actual loss = ₹35,000, which is within the ceiling. *Conclusion:* the owner recovers **₹35,000**, not ₹60,000. Check: award (₹35,000) ≤ ceiling (₹60,000) ✓.

Q19. M, a singer, contracts to perform at N's theatre on 10 nights. On the 6th night M wilfully absents herself. What are N's rights? (Sec 39 / breach)

Answer. *Issue:* remedy for breach of a divisible personal-service contract. *Rule:* on breach the injured party may rescind and claim damages; specific performance is not available for personal service. *Application:* M's wilful absence entitles N to **treat the contract as rescinded** and engage a substitute; N may claim **damages** for loss caused by the breach. Because it is a personal-skill contract, N **cannot** obtain specific performance, but could obtain an **injunction** restraining M from singing elsewhere during the contract period (*Warner Bros v. Nelson* principle). *Conclusion:* N may rescind, claim damages, and seek an injunction — but not force M to sing.

Q20. On 1 May, S agrees to sell and deliver 500 bags of rice to T on 1 August. On 15 June S informs T he will not deliver. On 1 August the market price is higher than on 15 June. When are damages measured if T (a) sues immediately, or (b) waits till 1 August? (Sec 39)

Answer. *Issue:* measurement date on anticipatory breach. *Rule:* Sec 39 — the promisee may rescind now or keep the contract alive. *Application:* (a) if T **accepts the breach on 15 June** and sues immediately, damages are measured at the **date of breach (15 June)**; (b) if T **keeps the contract alive**, damages are measured at the **due date (1 August)** — but T bears the risk that S may still perform, or that a supervening event may frustrate the contract and discharge S. *Conclusion:* the measurement date follows T's election — 15 June if he rescinds now, 1 August if he waits.

Q21. A finds a diamond ring lying on the floor of B's shop and hands it to B to keep for the true owner. No owner appears. Who is entitled to the ring, and what are A's obligations? (Sec 71)

Answer. *Issue:* rights and duties of a finder of goods. *Rule:* Sec 71 — a finder of goods has the **same responsibility as a bailee**: to take reasonable care and make efforts to find the true owner; as against everyone except the true owner, the finder has a **good title**. *Application:* A, as finder, must try to trace the owner and take reasonable care; B (the shop) is a mere custodian and acquires no better title. Against all the world except the true owner, **A** (the finder) has the superior claim. *Conclusion:* A is entitled to retain the ring against everyone but the true owner, subject to his duty of reasonable care and to attempt to locate the owner.

Q22. C pays D ₹50,000 believing a debt is due; in fact only ₹30,000 was owed. D refuses to return the excess. Advise C. (Sec 72)

Answer. *Issue:* recovery of money paid by mistake. *Rule:* Sec 72 — a person to whom money is paid **by mistake** must **repay** it. *Application:* C paid ₹20,000 more than was due, under a mistake of fact; D is **unjustly enriched** by ₹20,000. *Conclusion:* under the quasi-contractual obligation in Sec 72, D must **repay ₹20,000** to C. Check: correct debt ₹30,000 + refund ₹20,000 = ₹50,000 paid ✓.

Q23. E contracts to paint a portrait of F for ₹40,000, F paying ₹10,000 in advance. E completes half the work, then F wrongfully cancels the contract. What can E claim?

Answer. *Issue:* remedy where the innocent party is prevented from completing performance. *Rule:* on discharge by the other party's **breach**, the innocent party may claim **damages** and/or **quantum meruit** for work actually done. *Application:* F's wrongful cancellation is a breach; E, being **not in default**, may (i) claim **quantum meruit** for the value of the half-completed portrait (say ₹20,000 for work done), or (ii) sue for **damages** for loss of the bargain, giving credit for the ₹10,000 advance received. *Conclusion:* E may recover the **value of work done on quantum meruit** plus damages, adjusting the ₹10,000 already received. (If quantum meruit for half the ₹40,000 job ≈ ₹20,000, E is owed a further ₹10,000 for work done, before any additional damages for lost profit.)

Q24. G agrees to hire H's hall for a public function on 20 December. On 15 December the Government bans all public gatherings for a month due to an epidemic. Advise the parties. (Sec 56)

Answer. *Issue:* does a subsequent change of law discharge the contract? *Rule:* Sec 56 — a contract that becomes **unlawful** by a supervening event beyond the parties' control becomes **void**. *Application:* the Government ban makes the public gathering **illegal**; performance on 20 December is now unlawful through no fault of either party — a recognised ground of frustration (supervening illegality). *Conclusion:* the contract is **discharged / void** under Sec 56; neither party is liable in damages, and any advance paid must be **restored under Sec 65**.

Q25. J owes K ₹1,00,000. K agrees to accept ₹60,000 in full settlement and J pays it. Later K sues for the balance ₹40,000. Can K recover? (Sec 63)

Answer. *Issue:* is a promise to accept less in full settlement binding without fresh consideration? *Rule:* Sec 63 — a promisee may **remit** or dispense with performance wholly or in part, and this needs **no fresh consideration** (unlike English law's *Pinnel's Case*). *Application:* K agreed to accept ₹60,000 in full settlement and J performed accordingly; the remission is valid under Sec 63. *Conclusion:* K **cannot** recover the ₹40,000 balance — the debt is discharged by valid remission.

Q26. L agrees to sell his ancestral house to M. L later refuses, offering to pay damages instead. M wants the house itself. What remedy is available? (Specific Relief Act 1963)

Answer. *Issue:* is money an adequate remedy for breach of a contract to sell immovable property? *Rule:* under the Specific Relief Act 1963, **specific performance** is granted where damages are **inadequate**, and land/immovable property is treated as **unique**. *Application:* every plot of land is unique, so damages cannot put M in the position of owning that specific house. *Conclusion:* M can seek **specific performance** compelling L to execute the sale; L cannot escape merely by offering damages.

Foundation: Indian Contract Act 1872 — Special Contracts

> *"An ordinary contract is a promise between two people. A special contract is what the law builds when a THIRD interest walks into the room — a guarantor who stands behind a debtor, a warehouse that holds goods it does not own, an agent who signs deals in someone else's name. The moment a transaction stops being 'you and me' and becomes 'you, me, and a stranger whose money or goods are now on the line', ordinary contract law is not enough. Sections 124 to 238 are the law's answer to the three-cornered deal."*

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1. The Problem it solves — Why ordinary contract law runs out

You already know the general law of contract (offer, acceptance, consideration, free consent, a lawful object — Sections 1–75). That law answers the two-party question beautifully: *A promises B something, B promises A something, and if either breaks the promise the other sues.* Clean.

But real commerce is almost never two clean parties. Three situations keep breaking the two-party model, and the general law simply has no vocabulary for them.

Problem 1 — Nobody will lend to a person who has no track record. A bank will not give a ₹5,00,000 business loan to a fresh entrepreneur with no assets. The entrepreneur is a good bet, but the bank cannot *prove* it. The deal dies — unless a **third person** (a father, a business partner, an established firm) steps in and says *"Lend it to him. If he doesn't pay, I will."* Now there are three parties: the lender, the borrower, and the person standing behind the borrower. What exactly did that third person promise? When can the lender chase him? If he pays the bank, can he then chase the borrower? Ordinary contract law never contemplated a promise to answer for **someone else's** default. This is the **contract of guarantee** (and its cousin, **indemnity** — a promise to cover someone's loss). Sections **124–147**.

Problem 2 — You constantly hand your goods to people who are not their owners. You give your car to a mechanic. Your suit to a dry-cleaner. Your gold to a bank locker or a jeweller. Your laptop to a courier. In every case **you still own the thing**, but someone else is physically holding it, and both of you understand it must come back (or go where you direct). What are that holder's duties? If your car is stolen from the garage, who bears the loss? Can the mechanic sell your car to recover his unpaid bill? What if a **finder** picks up a wallet on the road — does he own it now? Ordinary contract law, obsessed with promises, has nothing to say about the **custody of another's goods**. This is **bailment**, and its security-flavoured version **pledge**. Sections **148–181**.

Problem 3 — One person cannot physically be everywhere or know everything. A Mumbai exporter cannot personally negotiate with a buyer in Chennai, sign the shipping papers in Kolkata, and stand in the auction hall in Delhi all at once. He must **act through other people** — a manager, a broker, a commission agent, an auctioneer. But the instant someone signs a contract *"on behalf of"* the exporter, a dangerous question appears: **is the exporter bound by what his agent did?** Even if the agent went beyond instructions? Even if the third party had no idea the agent was exceeding his authority? The whole machinery of modern business — every company, every bank branch, every power of attorney — runs on one person's acts binding another. This is the **contract of agency**. Sections **182–238**.

Notice the common thread. In each case a **third interest** enters: a surety's wallet, an owner's goods in another's hands, a principal bound by an agent's pen. General contract law assumes the two people in front of you are the only interests that matter. Special contracts are the rules for when that assumption breaks.

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2. Core Idea — Three named relationships, each redistributing a risk

Strip away the section numbers and there is one idea running through the entire chapter:

> **A special contract is the law pre-writing the rulebook for a standard three-party risk, so the parties don't have to negotiate it every time.**

Each special contract is really an **answer to one question: when things go wrong, who bears the loss?**

Special contract	The third interest	The core question it answers
Indemnity (124–125)	The indemnifier's money	If I suffer a loss because of you or a third party, do you make me whole?
Guarantee (126–147)	The surety's money	If the principal debtor defaults, can the creditor turn to the surety — and can the surety then recover from the debtor?
Bailment (148–171)	The owner's goods	While my goods sit in your hands, whose fault must it be before you pay for their loss?
Pledge (172–181)	Goods as security	Can a lender hold goods as security and **sell** them if the loan isn't repaid?
Agency (182–238)	The principal's legal position	When does one person's act legally count as another person's act?

The genius of Sections 124–238 is that they are **default rules**. The parties can vary most of them by express agreement, but if they say nothing, the Act fills the gap with a fair, tested allocation of risk. That is why a dry-cleaner and a customer never sign a three-page contract — the Contract Act already wrote it for them in 1872.

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3. Why it works this way — First-principles reasoning

Rote learners memorise "surety has rights against creditor, debtor and co-sureties." Let's instead *derive* each rule from a single fairness principle, so you never have to memorise — you can reconstruct.

Principle A — A person who pays another's debt should be able to recover it. This one principle generates half of guarantee law. If the surety is forced to pay the bank because the borrower defaulted, it would be grotesque for the borrower to walk away debt-free while the surety is out of pocket. So the law gives the surety, on payment, **all the rights the creditor had against the debtor** (the right of **subrogation**, Sec 140) — the surety *steps into the creditor's shoes*. From the same principle: if there are several sureties, one who pays more than his share can make the others chip in (**right of contribution**, Sec 146–147). And because the surety is doing the creditor a favour by guaranteeing, the law protects him: if the creditor and debtor secretly change the deal, or the creditor releases the debtor, or loses a security, the surety is

discharged (Sec 133–141). *The surety agreed to guarantee the deal he saw, not a different deal cooked up behind his back.*

Principle B — Custody is not ownership; the holder owes the owner care, but is not an insurer. Why isn't the mechanic automatically liable when your car is stolen from his garage? Because he is a **bailee, not an insurer**. He promised *care*, not a *guarantee against all loss*. So the law asks a middle question: did he take **as much care as an ordinary prudent man would take of his own goods** (Sec 151)? If yes, and the car was stolen despite reasonable care, the loss falls on *you the owner* (Sec 152). If he was careless, the loss is his. This is the beating heart of bailment: **liability follows fault (negligence), not mere custody.** Everything else — the finder's duties, the bailee's lien, the bailor's duty to disclose defects — is just this fault principle applied to different facts.

Principle C — You cannot give a better title than you have (nemo dat quod non habet) — but commerce needs exceptions. If a thief pledges your stolen watch to a pawnbroker, the pawnbroker gets nothing, because the thief had nothing to give. That is the default (**nemo dat**). But if the law stopped there, trade would freeze — buyers and lenders would have to investigate the entire ownership history of every object. So the Act carves **narrow exceptions** (Sec 178–178A: pledge by a mercantile agent, by a person in possession under a voidable contract, by a seller/buyer in possession) where an **innocent lender who acts in good faith** is protected. The tension between *protecting true owners* and *protecting honest commerce* is resolved case by case — and knowing *which* wins is exactly what the exam tests.

Principle D — A principal who sends an agent into the world must bear the risks of that agency. Why is a principal bound even when his agent exceeds instructions, as long as the third party reasonably believed the agent was authorised (**apparent/ostensible authority**, Sec 237)? Because *the principal chose to act through an agent and clothed him with the appearance of authority.* Between two innocents — the third party who trusted the appearance, and the principal who created the appearance — the loss falls on the one who **created the risk**. The principal can then sue his agent for disobeying, but he cannot throw the loss onto the innocent outsider. This single idea — *the principal bears the risk of the appearance he creates* — explains apparent authority, agency by estoppel, and why a principal is bound by an agent's fraud committed in the course of business.

Hold these four principles in your head and you can *derive* nearly every section in this chapter without memorising a list.

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4. Full technical content — ICAI-aligned (CA Foundation 2024)

PART A — Indemnity and Guarantee (Sections 124–147)

A1. Contract of Indemnity (Sec 124–125)

Definition (Sec 124): A contract by which one party promises to save the other from loss caused to him **by the conduct of the promisor himself, or by the conduct of any other person.**

- The person who **promises to make good the loss** = **Indemnifier** (promisor).
- The person **whose loss is to be made good** = **Indemnity-holder / Indemnified** (promisee).

Key points: - It is a **contingent contract** — the indemnifier's liability arises only if the contingency (the loss) occurs. - Under the strict wording of Sec 124, only losses caused by *human conduct* are covered. Loss by

accident, fire, or act of God is *not* an indemnity under Sec 124 (though English law and insurance practice take a wider view — an important trap). - **Insurance contracts** (fire, marine, motor) are contracts of indemnity in substance; **life insurance is NOT** an indemnity (life has no measurable "loss" value — it is a contingent assurance).

Rights of the indemnity-holder (Sec 125) — when sued, he can recover from the indemnifier: 1. All **damages** he is compelled to pay in any suit regarding the matter covered; 2. All **costs** he is compelled to pay in bringing/defending such suit (if he acted prudently or with indemnifier's authority); 3. All **sums paid under a compromise** of such suit (if the compromise was prudent or authorised).

A2. Contract of Guarantee (Sec 126–147)

Definition (Sec 126): A contract of guarantee is a contract **to perform the promise, or discharge the liability, of a third person in case of his default.**

Three parties: | Party | Role | Section term | |---|---|---| | **Surety** | Person who gives the guarantee | Surety | | **Principal Debtor** | Person in respect of whose default the guarantee is given | Principal debtor | | **Creditor** | Person to whom the guarantee is given | Creditor |

- A guarantee may be **oral or written** (Sec 126) — unlike English law which requires writing.
- There must be **three contracts**: creditor–debtor, creditor–surety, and an implied debtor–surety.
- **Consideration (Sec 127):** Anything done, or any promise made, **for the benefit of the principal debtor**, is sufficient consideration to the surety for giving the guarantee. The surety need not personally receive any benefit.
- **Liability of surety is co-extensive** with that of the principal debtor (**Sec 128**) — the surety is liable for exactly what the debtor is liable for, unless the contract provides otherwise. The creditor can proceed against the surety **without first exhausting remedies against the debtor** (surety's liability is immediate on default).

Guarantee obtained by misrepresentation or concealment is INVALID: - **Sec 142:** Guarantee obtained by **misrepresentation** by the creditor about a material fact is **invalid**. - **Sec 143:** Guarantee obtained by the creditor's **concealment** (keeping silence) of a material circumstance is **invalid**. - **Sec 144:** Where a person gives a guarantee on condition that a **co-surety shall join**, and that co-surety does not join, the guarantee is **not valid**.

Continuing Guarantee (Sec 129–131): - **Sec 129:** A guarantee which extends to a **series of transactions** is a *continuing guarantee* (e.g., guaranteeing all supplies made to X over the next year, not just one supply). - **Sec 130:** A continuing guarantee may at any time be **revoked by the surety, as to future transactions, by notice** to the creditor. (Past transactions remain guaranteed.) - **Sec 131:** A continuing guarantee is **revoked by the death of the surety** as to future transactions (unless a contrary intention appears). Again, past transactions stay covered.

A3. Distinction — Indemnity vs Guarantee

Basis	Indemnity (124)	Guarantee (126)
Parties	Two — indemnifier & indemnity-holder	Three — surety, principal debtor, creditor
Number of contracts	One	Three
Nature of liability	Primary — indemnifier's own liability	Secondary — surety liable only on debtor's default; debtor is primarily liable
Purpose	To protect the promisee from a loss	To give assurance/security to the creditor for a debt
Existing debt/duty	No existing debt — liability is on a contingency that may never arise	A pre-existing (or contemplated) debt/duty of the principal debtor
Request	Indemnifier acts on his own; no request needed	Surety usually acts at the debtor's request
Right to recover	Indemnifier cannot sue third parties in his own name	Surety, on payment, is subrogated to creditor's rights against debtor (Sec 140)

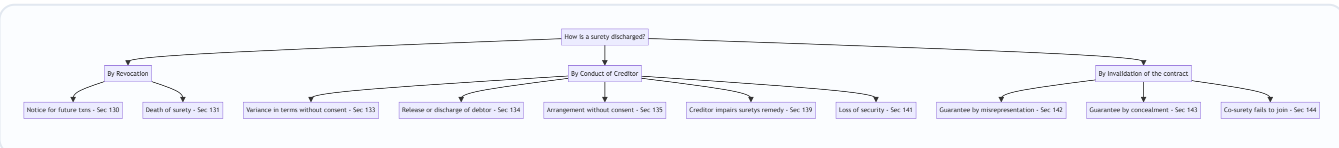
A4. Rights of the Surety

(i) Against the Principal Debtor: - **Right of subrogation (Sec 140):** On payment/performance of the guaranteed debt, the surety steps into the creditor's shoes — he gets **all the rights the creditor had against the debtor**. - **Right of indemnity (Sec 145):** In every contract of guarantee there is an **implied promise by the debtor to indemnify the surety**. The surety can recover from the debtor everything he has **rightfully paid** (but nothing he paid *wrongfully*).

(ii) Against the Creditor: - **Right to securities (Sec 141):** The surety is entitled to the **benefit of every security** the creditor holds against the debtor at the time the guarantee is given — whether or not the surety knew of it. If the creditor **loses or parts with** such security without the surety's consent, the surety is **discharged to the extent of the value** of that security. - **Right to set-off:** The surety can use, against the creditor, any set-off or counter-claim the debtor had.

(iii) Against Co-sureties (Sec 146–147): - **Sec 146 (Right of contribution):** Where two or more persons are co-sureties for the same debt, they are liable, **as between themselves, to pay each an equal share** of the whole debt (or of the unpaid part), in the absence of a contract otherwise. - **Sec 147:** Co-sureties bound in **different sums** are liable to pay **equally as far as the limits of their respective obligations permit** (equal shares up to the lowest maximum, then the next, etc.).

A5. Discharge of Surety (Sec 130–141) — how a surety escapes liability



Detailed grounds of discharge:

Section	Ground	Effect on surety
130	Revocation of continuing guarantee by notice	Discharged as to **future** transactions
131	Death of surety	Discharged as to **future** transactions
133	**Variance** — any change in the terms of the debtor–creditor contract **without the surety's consent**	**Discharged** as to transactions after the variance (the surety guaranteed the *original* deal)
134	Creditor **releases the debtor**, or does any act/omission whose legal consequence is the debtor's discharge	Surety **discharged**
135	Creditor **compounds** with (makes a composition with), or **promises to give time to**, or agrees **not to sue** the debtor — without surety's consent	Surety **discharged**
139	Creditor does any act **inconsistent with the surety's rights**, or **omits** a duty owed to the surety, impairing the surety's eventual remedy against the debtor	Surety **discharged**
141	Creditor **loses or parts with security** without surety's consent	Discharged **to the extent of the value** of the security

Important non-discharge points (traps): - **Sec 136:** The creditor giving time to the debtor by **agreement with a third person** (not the debtor) does **not** discharge the surety. - **Sec 137: Mere forbearance to sue** the debtor, or to enforce any remedy against him, does **not** (absent a contrary contract) discharge the surety. - **Sec 138:** Where there are **co-sureties**, release by the creditor of **one** co-surety does **NOT** discharge the others; the released co-surety also **remains liable to the others** for contribution.

PART B — Bailment and Pledge (Sections 148–181)

B1. Bailment defined (Sec 148)

Bailment = the **delivery of goods by one person to another for some purpose, upon a contract that the goods shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them.**

- Person **delivering** the goods = **Bailor**.
- Person to whom they are delivered = **Bailee**.
- The **ownership stays with the bailor**; only **possession** passes to the bailee.

Three essentials of bailment: 1. **Delivery of possession** (actual or constructive — e.g., handing over the keys of a warehouse). 2. **For a purpose** (repair, safe custody, carriage, hire, pledge, etc.). 3. **Return of the same goods** (in original or altered form) — this distinguishes bailment from a sale. If the goods need not be returned but an equivalent given (e.g., money deposited in a bank), it is **not** bailment.

Kinds of bailment (by benefit): (a) for the benefit of the bailor (free safe custody), (b) for the benefit of the bailee (gratuitous loan of an article to the bailee), (c) for mutual benefit (repair for a fee, hire, pledge). The standard of care and liability tilt with who benefits.

B2. Duties of the Bailee

Sec	Duty	Substance
151	**Reasonable care**	Take as much care of the goods as a **man of ordinary prudence** would take of his own goods of the same bulk, quality and value. Same standard whether gratuitous or for reward.
152	Not liable for loss despite care	If the bailee took the Sec 151 care, he is **not responsible** for loss/destruction/deterioration (subject to a special contract).
153–154	**No unauthorised use**	Not to make any use inconsistent with the terms; if he does, the bailment is voidable at the bailor's option (154) and he is liable for any loss even by accident.
155–157	**No mixing**	Not to mix the bailor's goods with his own without consent (rules on separable / inseparable mixtures).
160–161	**Return on time**	Return the goods (without demand) once the purpose is accomplished or time expires; if he fails, he is liable for any loss thereafter **even without negligence** (161).
163	**Deliver accretions**	Deliver any increase or profit accruing from the goods (e.g., a calf born to a bailed cow) unless contract says otherwise.

B3. Duties of the Bailor

Sec	Duty	Substance
150	**Disclose defects**	A **gratuitous** bailor must disclose faults **known** to him. A bailor **for reward** is liable for **all** defects (known or not) — he cannot escape by pleading ignorance.
158	**Bear necessary expenses**	Where the bailment is **gratuitous** (bailee to receive no remuneration), the bailor must repay **necessary expenses** incurred for the purpose of the bailment.
164	**Indemnify bailee**	Bailor is responsible to the bailee for any loss suffered because the bailor was **not entitled** to make the bailment, receive back the goods, or give directions.

B4. Rights of the Bailee — especially LIEN (Sec 170–171)

A **lien** is the right to **retain** the goods until the bailee's dues are paid. Two kinds:

Type	Section	When it arises	Scope
Particular lien	**170**	Bailee has by his **labour or skill** improved the goods (mechanic who repaired the car, tailor who stitched cloth)	Retain **only those specific goods** worked on, until paid for **that** work. Does **not** cover unrelated dues.
General lien	**171**	Available only to **bankers, factors, wharfingers, attorneys of a High Court, policy-brokers** (or by express agreement)	Retain **any** goods of the debtor for a **general balance of account** — any amount due, not just for these goods.

- A particular lien requires **value added by skill/labour**; mere custody (pure safe-keeping) gives **no** particular lien unless agreed.

B5. Finder of Goods (Sec 71 + 168–169)

A person who **finds goods belonging to another and takes them into custody** is treated as a **bailee** (Sec 71). His position:

- He must take reasonable care (Sec 151) and try to find the true owner; he cannot appropriate the goods.
- **Rights (Sec 168):** He may **retain** the goods against the owner until compensated for **trouble and expense** voluntarily incurred to preserve the goods and find the owner. He **cannot sue** the owner for such compensation, **but** where the owner had offered a **specific reward**, the finder may **sue for that reward** and may retain the goods until it is paid.
- **Right to sell (Sec 169):** The finder may **sell** when: (a) the owner cannot with reasonable diligence be found, **or** refuses to pay lawful charges; **AND** either the thing is **in danger of perishing / losing the greater part of its value**, **OR** the **finder's lawful charges amount to two-thirds of the value** of the thing.

B6. Pledge (Sec 172–181) — bailment as security

Pledge (Sec 172): the **bailment of goods as security for payment of a debt or performance of a promise.** - Bailor here = **Pawnor** (Pledgor). Bailee = **Pawnee** (Pledgee). - A pledge is a **special kind of bailment** — the *purpose* is security. All bailment duties apply, plus the special pledge rights below.

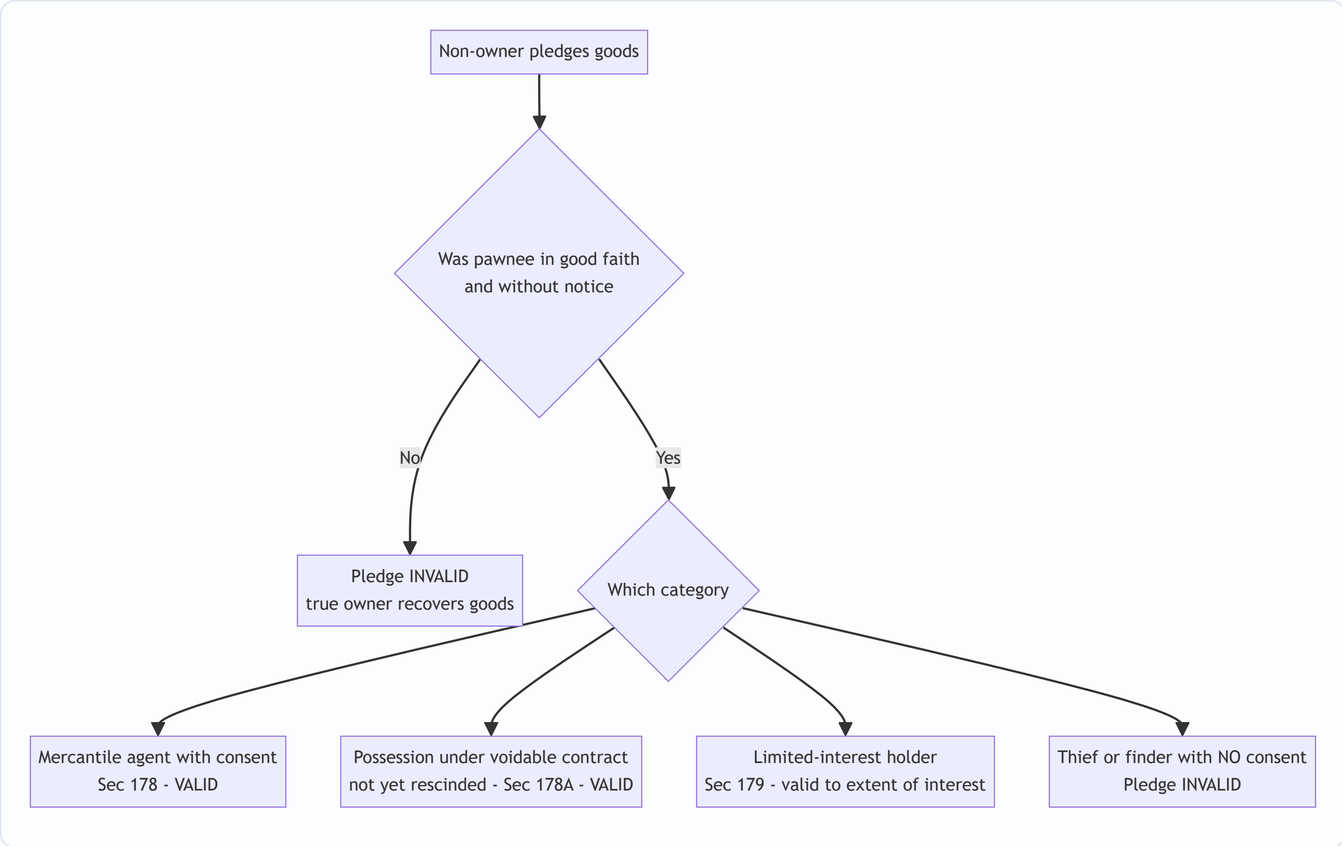
Rights of the Pawnee: | Sec | Right | |---|---| | **173** | **Retainer** — retain the pledged goods for the debt, interest, and all necessary expenses. | | **174** | Retainer limited to the debt for which goods were pledged (no retainer for other debts unless agreed). | | **175** | Recover **extraordinary expenses** for preservation (right to *recover*, not to *retain*). | | **176** | On **default**, two alternative remedies: (a) **sue** on the debt and retain the goods as collateral security; **OR** (b) **sell** after giving the pawnor **reasonable notice**. Surplus goes to the pawnor; shortfall remains recoverable. **Notice of sale is mandatory.** | | **177** | **Right of redemption** — the pawnor may **redeem** the goods any time **before the actual sale**, on paying the debt and any expenses caused by his default. |

B7. Pledge by Non-Owners (Sec 178, 178A, 179) — the nemo dat exceptions

General rule: only the **owner** can create a valid pledge (nemo dat quod non habet). Exceptions where a non-owner's pledge **binds the true owner** if the pawnee acted in **good faith and without notice**:

Sec	Who can pledge though not owner	Condition
178	A **mercantile agent** in possession of goods (or documents of title) **with the owner's consent**	Pawnee in good faith, without notice the agent lacked authority to pledge
178A	A person in possession under a **voidable contract** (Sec 19/19A) **not yet rescinded**	Valid if pawnee in good faith, without notice of the defect in title
179	A person with only a **limited interest** in the goods	Pledge valid **only to the extent of that interest**

Also (Sale of Goods Act parallels): a **seller in possession** after sale, and a **buyer in possession** before full payment, can pass a good pledge to an innocent pawnee.

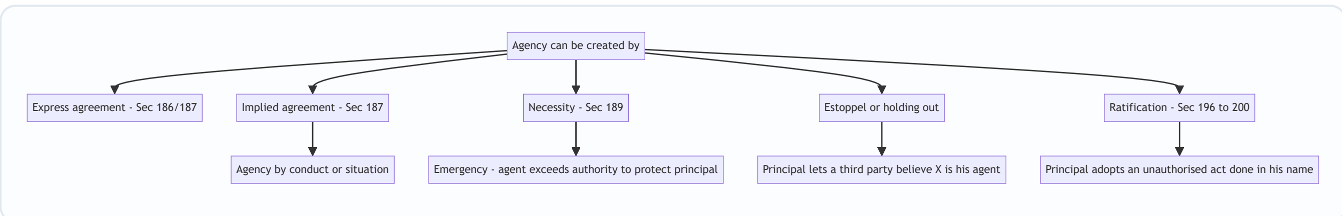


PART C — Contract of Agency (Sections 182–238)

C1. Foundations (Sec 182–185)

- **Agent (Sec 182):** a person **employed to do any act for another, or to represent another in dealings with third persons.**
- **Principal:** the person for whom such act is done, or who is so represented.
- The defining function of an agent is to **create a legal relationship between the principal and a third party.** An agent is a *conduit*, not a party in his own right.
- **Who may be a principal (Sec 183):** any person **of the age of majority** and **of sound mind**.
- **Who may be an agent (Sec 184): any person** may become an agent — even a **minor or a person of unsound mind** — but such an agent is **not personally liable** to the principal. Between principal and third party the agency is fully effective.
- **Consideration not necessary (Sec 185): No consideration is needed** to create an agency — a famous exception to the general rule.

C2. Modes of creation of agency



- **Express / Implied (Sec 186–187):** Authority may be **express** (spoken or written) or **implied** — inferred from circumstances, conduct, or the ordinary course of dealing.
- **Agency by necessity (Sec 189):** In an **emergency**, an agent has authority to do all acts a **person of ordinary prudence** would do to **protect his principal from loss** (e.g., a carrier of perishable goods, unable to reach the owner, sells them to prevent total loss).
- **Agency by estoppel / holding out:** If a principal by words or conduct **leads a third party to believe** a person is his agent, and the third party acts on it, the principal is **estopped** from denying the agency (foundation of *apparent authority*).
- **Agency by ratification (Sec 196–200):** see C5.

C3. Kinds of agents

Agent	What he does
Del credere agent	For **extra commission**, **guarantees** to his principal that the buyers he introduces will pay — agent **and surety** for the buyer's solvency.
Factor	A mercantile agent **entrusted with possession** of goods, with authority to sell in his own name; may have a general lien.
Broker	A mercantile agent who **negotiates** deals but is **not** given possession; makes contracts between buyer and seller.
Auctioneer	An agent to sell goods **by public auction**; the seller's agent (and becomes the buyer's agent on the fall of the hammer).
Commission / Mercantile agent	Buys/sells for a principal for commission, in the ordinary course of business.
Sub-agent & Substituted agent	See C6.

C4. Authority of an agent

Type	Section	Meaning
Actual authority	186–187	Authority actually conferred — **express** (words) or **implied** (conduct/course of business).
Apparent / Ostensible authority	237	Authority the agent **appears** to have because the **principal's conduct** led the third party to believe it — even without actual authority. Principal is **bound**.
Authority in emergency	189	Extended authority to protect the principal from loss in an emergency.

- **Extent of authority (Sec 188):** An agent authorised to do an act has authority to do **every lawful thing necessary** to do it; an agent authorised to carry on a business may do everything **usual** in the ordinary course of that business.
- **Sec 237 (core rule of apparent authority):** When an agent has, **without authority, done acts or incurred obligations** to third persons, the **principal is bound** if he has by his **words or conduct induced** the third persons to believe the agent acted within authority.

C5. Agency by Ratification (Sec 196–200)

Ratification = subsequent adoption of an unauthorised act as though it had been authorised from the start. When a person acts on behalf of another without authority, the other may **reject** or **ratify**.

Conditions for a valid ratification: 1. **Act done on behalf of the person ratifying** — the agent must have purported to act for a **named or identifiable principal** (cannot ratify an act done in the actor's own name). 2. **Principal in existence and competent** to contract at the time the act was done (crucial for company promoters — a company not yet in existence cannot ratify a pre-incorporation contract). 3. **Full knowledge (Sec 198):** No valid ratification where knowledge of the facts is **materially defective**. 4. **Ratify the whole (Sec 199):** Ratification of **part** of an unauthorised act = ratification of the **whole** transaction. 5. **Lawful act** — a void/unlawful act cannot be ratified. 6. **Sec 200:** Ratification cannot **subject a third party to damages, or terminate any right or interest** of a third person that had vested before ratification.

Effect (Sec 197): Ratification may be **express or implied**; once ratified, the act is treated as **authorised from the beginning** (doctrine relates back — *ratihabitio retrotrahitur*).

C6. Sub-agent (Sec 190–195) and Substituted agent

A **sub-agent** is a person **employed by, and acting under the control of, the original agent** in the business of the agency (Sec 191).

- **General rule (Sec 190):** An agent **cannot lawfully delegate** — *delegatus non potest delegare* — unless the custom of trade permits, the nature of the work requires it, or the principal consents.
- **Properly appointed sub-agent (Sec 192):** the principal is bound by, and responsible for, the sub-agent's acts **as if he were the agent's own agent**; the **agent** is responsible to the principal for the sub-agent; the **sub-agent is responsible to the agent** (not to the principal, except for fraud/wilful wrong).
- **Improperly appointed sub-agent (Sec 193):** the **agent alone is responsible** to the principal and to third parties; the principal is **not** represented by, nor responsible for, the sub-agent's acts.
- **Substituted agent (Sec 194–195):** Where the agent, **with the principal's authority, names another person to act for the principal**, that person is a **substituted agent** (not a sub-agent) — the **principal's direct agent**. The agent's job was merely to *select* him, and the agent is only bound to select with reasonable care (Sec 195).

Basis	Sub-agent (191)	Substituted agent (194)
Appointed to	act **under the control of the agent**	act **directly for the principal**
Privity with principal	**No privity** (except fraud)	**Direct privity** — he is the principal's agent
Agent's liability	Agent responsible for sub-agent's acts	Agent only liable for **negligent selection**

C7. Duties and Rights of an agent

Duties of the agent: | Sec | Duty | |---|---| | 211 | Conduct the business **according to the principal's directions**, or the custom of trade | | 212 | Act with **reasonable skill and diligence**; compensate for losses from want of skill | | 213 | Render **proper accounts** on demand | | 214 | Use reasonable **diligence to communicate** in difficulty and seek instructions | | 215–216 | **Not to deal on his own account** without consent (no secret profit; principal may repudiate (215) or claim the benefit (216)) | | 217–218 | **Pay over all sums received**; no secret profit; **not to set up an adverse title** (fiduciary) |

Rights of the agent: | Sec | Right | |---|---| | 217 | **Retainer** — retain, out of sums received, his **remuneration and expenses** | | 219 | **Remuneration** — due when the act is completed (unless otherwise agreed) | | 220 | **No remuneration** for business misconducted | | 221 | **Lien** — retain the principal's goods/papers until dues are paid | | 222–225 | **Indemnity** — against consequences of **lawful acts** (222), acts done in **good faith** (223), and injury from the principal's neglect (225); **no** indemnity for **criminal acts** (224) |

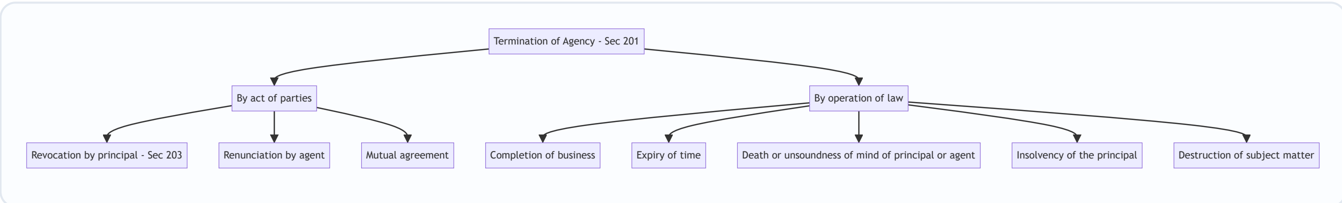
C8. Personal liability of the agent to third parties (Sec 230)

General rule (Sec 230): absent a contrary contract, an agent **can neither personally enforce nor be bound by** contracts made on behalf of his principal. The **principal** is the contracting party.

Three presumptions where the agent IS personally liable (Sec 230): 1. Contract by an agent for sale/purchase of goods for a **merchant resident abroad** (foreign principal); 2. Agent does **not disclose the name of his principal** (undisclosed principal); 3. **Principal, though disclosed, cannot be sued** (e.g., foreign sovereign, minor principal).

Plus: personally liable if he **expressly agrees**, acts for a **non-existent/incompetent principal** (promoter for an unformed company), or **exceeds authority** (breach of warranty of authority).

C9. Termination of Agency (Sec 201–210)



Key rules on revocation: - **Sec 202 — Agency coupled with interest is IRREVOCABLE:** Where the agent **himself has an interest in the subject-matter** (e.g., goods consigned against advances he made), the agency **cannot be terminated** to the prejudice of that interest, absent an express contract. It also **survives the principal's death/insanity**. - **Sec 203–204:** The principal may revoke authority **before it has been exercised**; he **cannot revoke** after the agent has **partly exercised** it as regards acts already done and obligations already arisen. - **Sec 205:** For an agency for a **fixed period**, premature revocation/renunciation **without sufficient cause** entitles the other party to **compensation**. - **Sec 206: Reasonable notice** of revocation/renunciation must be given, else liability for resulting damage. - **Sec 208 — When termination takes effect:** Termination does **not take effect against the agent** until **known to him**, and **against third parties** until **known to them** (protects innocent third parties). - **Sec 209:** On the principal's death/insanity, the agent must take **reasonable steps to protect** the interests entrusted to him. - **Sec 210:** Termination of the agent's authority **terminates the authority of all sub-agents** under him.

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5. Worked examples (Issue–Rule–Application–Conclusion)

Example 1 — Guarantee: discharge by variance and loss of security (Sec 133 & 141)

Facts. A **bank (creditor)** lends **₹8,00,000** to **Ravi (principal debtor)** for one year at 12% p.a., against (i) a personal **guarantee from Meena (surety)** and (ii) the bank's charge over Ravi's machinery worth **₹3,00,000**. Six months later, **without telling Meena**, the bank (a) agrees with Ravi to **raise interest to 15%** and **extend** the loan by another year, and (b) **releases the charge on the machinery** so Ravi can sell it. Ravi defaults owing **₹8,00,000** principal. The bank sues Meena for the whole ₹8,00,000.

Issue. To what extent, if any, is Meena liable?

Rule. - **Sec 133** — Any **variance in the terms** of the creditor–debtor contract, made **without the surety's consent**, **discharges the surety**. The rate change (12%→15%) and time extension are exactly such a variance. - **Sec 141** — If the creditor **loses or parts with a security** without the surety's consent, the surety is **discharged to the extent of the value** of that security (here ₹3,00,000).

Application. - The bank altered the interest rate and tenure **without Meena's consent** → under **Sec 133** Meena is **wholly discharged**. She guaranteed a 12%, one-year loan, not a 15%, two-year loan. A *variance* (not mere forbearance) gives **total** discharge. - Independently, releasing the ₹3,00,000 machinery security without consent would have discharged her **to the extent of ₹3,00,000** under **Sec 141**, leaving at most ₹5,00,000.

Conclusion. Because of the unauthorised **variance (Sec 133)**, **Meena is completely discharged and owes nothing.** (Had only the security been released, she would owe ₹8,00,000 − ₹3,00,000 = **₹5,00,000**.) The bank must pursue Ravi alone.

Self-check: ₹8,00,000 − ₹3,00,000 = ₹5,00,000 (Sec 141 figure); Sec 133 supersedes → ₹0. Consistent.

Example 2 — Pledge: sale on default, surplus/shortfall accounting (Sec 176)

Facts. Sunil (pawnor) borrows **₹1,00,000** from **Gold Finance Ltd (pawnee)** and pledges gold jewellery. Interest accrues to **₹12,000**; the pawnee incurs **₹3,000** on safe custody/insurance (necessary expenses, Sec 173). Sunil defaults. After **reasonable notice** (Sec 176), the pawnee **sells** the jewellery.

- **Scenario A** — sale fetches **₹1,40,000.**
- **Scenario B** — sale fetches **₹1,05,000.**

Issue. How is the sale price distributed, and does any liability survive?

Rule. On default the pawnee may **sell after reasonable notice (Sec 176)**, first recovering the **debt + interest + necessary expenses (Sec 173)**. **Surplus** belongs to the pawnor; a **shortfall** remains recoverable from the pawnor as a personal debt.

Application — total dues: | Item | Amount (₹) | |---|---| | Principal | 1,00,000 | | Interest | 12,000 | | Necessary expenses (Sec 173) | 3,000 | | **Total due to pawnee** | **1,15,000** |

Scenario A (₹1,40,000): 1,40,000 − 1,15,000 = **Surplus ₹25,000** → payable to Sunil. Check: 1,15,000 + 25,000 = 1,40,000 ✓

Scenario B (₹1,05,000): 1,05,000 − 1,15,000 = **Shortfall ₹10,000** → Sunil remains personally liable. Check: 1,05,000 + 10,000 = 1,15,000 ✓

Conclusion. In A, the pawnee keeps ₹1,15,000 and **returns ₹25,000** to Sunil. In B, the pawnee applies the full ₹1,05,000 and **may sue Sunil for the ₹10,000 balance**. A sale **without** reasonable notice would be invalid as a sale (though the debt could still be sued on) and could make the pawnee liable to Sunil.

Example 3 — Bailee: reasonable care vs unauthorised use (Sec 151, 152, 154)

Facts. Anita leaves her car (value **₹6,00,000**) with **QuickFix Garage** for servicing, on terms it be kept in the locked workshop. - **(i)** Despite a locked, alarmed workshop, thieves break in overnight and steal the car. - **(ii)** A mechanic, without permission, **takes the car for a joyride** to another city, where it is destroyed in an accident.

Issue. In which situation is the garage liable to pay ₹6,00,000?

Rule. - **Sec 151/152** — the bailee must take the care of an **ordinary prudent man**; if he did, he is **not liable** for loss. - **Sec 154** — for **unauthorised use** inconsistent with the terms, the bailee is liable for **any loss, even by accident** — liability becomes **absolute**.

Application. - **(i)** Locking and alarming the workshop is ordinary-prudent-man care; the theft occurred **despite** it. Under **Sec 152** the garage is **not liable**; the ₹6,00,000 loss falls on Anita. Custody is not insurance. - **(ii)** The joyride is a use **wholly inconsistent** with the bailment. Under **Sec 154** the garage is liable for **any** ensuing loss **even by accident**; negligence need not be proved.

Conclusion. In **(i)** the garage owes **nothing**; in **(ii)** it is **absolutely liable for ₹6,00,000**. The dividing line is not *how bad the loss* but *whether the bailee stayed within the terms*.

Example 4 — Agency: apparent authority and ratification (Sec 237, 196–199)

Facts. Mehta & Co. appoints **Karan** as showroom manager with written authority to sell **up to ₹2,00,000** per contract, but routinely lets Karan sign **larger** deals and honours them. A regular customer, **Deepak**, buys stock worth **₹3,50,000** from Karan, who signs "for Mehta & Co." Separately, Karan — **with no authority at all** — buys a delivery van for **₹4,00,000** "on behalf of Mehta & Co." from **Verma Motors**. Mehta & Co. then **uses the van and pays the first instalment.**

Issue. (a) Is Mehta & Co. bound to Deepak for ₹3,50,000 though Karan's written cap was ₹2,00,000? (b) Is it bound to Verma Motors for the van?

Rule. - **Sec 237** — a principal is **bound** by an agent's unauthorised act if the principal's **own conduct induced** the third party to believe the agent had authority (apparent authority). - **Sec 196–199** — a principal may **ratify** an unauthorised act done on his behalf; ratification may be **implied by conduct** (197), and ratifying **part** ratifies the **whole** (199); once ratified the act is authorised **from the beginning**.

Application. - **(a)** By habitually honouring above-cap deals, Mehta & Co. **held Karan out** as having wider authority. Deepak reasonably relied. Under **Sec 237** the apparent authority **binds Mehta & Co.** for ₹3,50,000, despite Karan breaching his *internal* ₹2,00,000 limit. Mehta & Co. may separately proceed against Karan. - **(b)** Karan had **no** authority and was never held out for vehicle purchases, so Sec 237 does not apply. **But** by **using the van and paying an instalment**, Mehta & Co. **impliedly ratified** the purchase (Sec 197). Ratification relates back (Sec 196) and, having taken the benefit, it cannot ratify only part — it ratifies the **whole ₹4,00,000** (Sec 199). Mehta & Co. is **bound for ₹4,00,000**.

Conclusion. Mehta & Co. is liable to **Deepak (₹3,50,000) via apparent authority (Sec 237)** and to **Verma Motors (₹4,00,000) via ratification (Sec 196–199)** — two routes by which an unauthorised act still binds the principal. Total enforceable exposure created by Karan: ₹3,50,000 + ₹4,00,000 = **₹7,50,000**.

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6. Connections — what this unlocks in CA Intermediate

- **Guarantee & indemnity → Inter Auditing & Financial Statements:** bank guarantees and letters of credit are **contingent liabilities** to disclose and audit; co-extensive liability (Sec 128) explains why they sit off-balance-sheet until crystallised.
- **Ratification & pre-incorporation contracts → Inter Company Law (Incorporation, Promoters):** the Sec 196 rule that a principal must **exist** at the time of the act is *the* reason a company **cannot ratify** a promoter's pre-incorporation contract — a directly examined Inter point.
- **Agency → Inter Company Law (Directors & KMP):** directors are the company's agents; **actual/apparent/ostensible authority**, the **doctrine of indoor management**, and **ultra vires** are agency (Sec 186–237) transplanted into the Companies Act.
- **Pledge & bailee's lien → Inter Registration of Charges & banking:** hypothecation and pledge of stock as loan security build on Sec 172–176.
- **Del credere agent & bailment → Inter consignment accounting:** consignor–consignee and del credere commission are agency law expressed as ledger entries.

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7. Traps & common mistakes

- **Indemnity = TWO parties; guarantee = THREE.** Do not draw three parties into an indemnity answer.
- **Sec 124 covers only loss by human conduct.** Loss by **fire/accident/act of God** is *not* an indemnity under the strict definition. Don't blindly say "insurance = indemnity."
- **Guarantee can be ORAL (Sec 126).** "Must be in writing" is English law, not Indian.
- **Variance (Sec 133) discharges WHOLLY; loss of security (Sec 141) only to the EXTENT of the security.** Don't confuse magnitudes.
- **Mere forbearance to sue (Sec 137) does NOT discharge**, but *giving time by binding agreement / compounding* (Sec 135) **does**.
- **Release of ONE co-surety (Sec 138) does NOT release the others** — the released one even stays liable for contribution.
- **Bailee's standard is the SAME (Sec 151) whether gratuitous or for reward** — the *reward* affects the *bailor's* disclosure duty (Sec 150), not the bailee's care standard.
- **Particular lien (170) needs skill/labour; general lien (171) only for bankers, factors, wharfingers, attorneys, policy-brokers.**
- **Pledge sale (Sec 176) REQUIRES reasonable notice**; pawnor may redeem **any time before actual sale** (Sec 177).
- **Sub-agent (191) has NO privity with the principal; substituted agent (194) IS the principal's direct agent.**
- **Ratification needs an existing, competent, NAMED principal (196), full knowledge (198), and ratifies the WHOLE (199).**

- **No consideration for agency (185); a minor can be an agent (184).**
- **Termination binds the agent only when he KNOWS, third parties only when they KNOW (Sec 208).**
- **Agency coupled with interest is irrevocable (Sec 202)** — a principal cannot *always* revoke.

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8. First-principles recap

- **A special contract is the law's pre-written rulebook for a three-party risk** — indemnity/guarantee (whose money covers a default), bailment/pledge (whose fault before the holder pays), agency (when one person's act counts as another's).
- **A person forced to pay another's debt should recover it** — generating the surety's subrogation (140), indemnity (145) and contribution (146–147) rights.
- **Custody is not insurance** — a bailee owes *reasonable care* (151); loss despite it falls on the **owner** (152); step outside the terms (154) and liability turns **absolute**.
- **Nemo dat quod non habet** — you cannot pass a better title than you hold, but narrow good-faith exceptions (178, 178A, 179) keep honest commerce moving.
- **A principal bears the risk of the appearance he creates** — apparent authority (237) and ratification (196–200) both make an unauthorised act bind the principal.
- **Agency needs no consideration and even a minor may be an agent** — the agent is a legal *conduit*, not a contracting party in his own right.

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9. Quick-reference table

Topic	Key sections	One-line rule
Indemnity — definition & rights	**124, 125**	Save from loss by human conduct; recover damages, costs, compromise sums
Guarantee — definition	**126**	Perform/discharge a third person's liability on default; oral or written
Consideration for guarantee	**127**	Benefit to the **principal debtor** suffices
Surety's liability co-extensive	**128**	Surety liable exactly as debtor, immediately on default
Continuing guarantee & revocation	**129, 130, 131**	Series of transactions; revocable for future by notice / surety's death
Discharge — variance	**133**	Unauthorised change → surety **wholly** discharged
Discharge — release/arrangement	**134, 135**	Release of debtor / giving time / composition → discharged
No discharge — forbearance	**136, 137**	Mere delay in suing does **not** discharge
Co-sureties	**138, 146, 147**	Release of one keeps others liable; equal contribution
Surety's rights	**140, 141, 145**	Subrogation; benefit of securities; indemnity from debtor
Guarantee invalid	**142, 143, 144**	Misrepresentation / concealment / co-surety fails to join
Bailment — definition & care	**148, 151, 152**	Possession for a purpose, to be returned; ordinary-prudent-man care
Bailor's duties	**150, 158, 164**	Disclose defects; pay expenses (gratuitous); indemnify
Bailee's lien	**170, 171**	Particular (skill/labour) vs general (banker/factor)
Finder of goods	**71, 168, 169**	Bailee's duties; retain for expenses; sell in defined cases
Pledge	**172**	Bailment of goods **as security**
Pawnee's remedies on default	**176**	**Sell after reasonable notice** or sue; surplus to pawnor, shortfall recoverable
Pawnor's redemption	**177**	Redeem any time **before actual sale**
Pledge by non-owner	**178, 178A, 179**	Good-faith pawnee protected — mercantile agent / voidable contract / limited interest
Agency — definition & capacity	**182, 183, 184, 185**	Agent represents principal; minor may be agent; **no consideration**
Authority	**186, 187, 188, 189, 237**	Actual (express/implied), incidental, emergency, **apparent**
Ratification	**196–200**	Adopt an unauthorised act; existing+named principal, full knowledge, whole act

Topic	Key sections	One-line rule
Sub-agent vs substituted agent	**190–195**	Sub-agent under agent's control (no privity); substituted = principal's own
Agent's duties	**211–218**	Directions, skill, accounts, no secret profit, no adverse title
Agent's rights	**217, 219, 221, 222–225**	Retainer, remuneration, lien, indemnity
Agent's personal liability	**230**	Bound if foreign principal / undisclosed / principal can't be sued
Termination of agency	**201–210**	Act of parties / operation of law; **202 irrevocable**; **208 notice**

Q&A — Foundation: Indian Contract Act 1872 — Special Contracts

Practice bank for CA Foundation Paper 2 (Business Laws, 2024 New Scheme). Mix of **theory/definition** questions (model answers with section references and "how to present for full marks") and **application/case-scenario** questions (fact → rule → reasoned conclusion, Issue-Rule-Application-Conclusion style). Section numbers refer to the **Indian Contract Act, 1872** unless stated.

SECTION A — Theory / Definition questions

Q1. Define a "contract of indemnity" and state the rights of the indemnity-holder. (Theory)

Model answer. Under **Sec 124**, a contract of indemnity is a contract by which **one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person.** The person who promises to make good the loss is the **indemnifier (promisor)**; the person whose loss is to be made good is the **indemnity-holder (promisee)**.

Rights of the indemnity-holder (Sec 125) — when sued in respect of any matter to which the indemnity applies, he may recover from the indemnifier: 1. All **damages** he is compelled to pay in any suit regarding the covered matter; 2. All **costs** he is compelled to pay in bringing or defending such suit, if he acted prudently or with the indemnifier's authority; 3. All **sums paid under a compromise** of such suit, if the compromise was prudent or authorised.

Full-marks tip: quote Sec 124 and 125, name both parties, and note that under the strict Contract Act wording the loss must arise from **human conduct** (not fire/accident/act of God).

Q2. Distinguish between a contract of indemnity and a contract of guarantee. (Theory)

Model answer. | Basis | Indemnity (Sec 124) | Guarantee (Sec 126) | |---|---|---| | Number of parties | Two | Three (surety, principal debtor, creditor) | | Number of contracts | One | Three | | Nature of liability | **Primary** — indemnifier's own | **Secondary** — surety liable only on the debtor's default | | Existing debt | No pre-existing debt | A pre-existing/contemplated debt of the debtor | | Purpose | Protect the promisee from a loss | Give security to the creditor for a debt | | Recovery | Indemnifier cannot sue third parties in own name | Surety, on payment, is subrogated to creditor's rights (Sec 140) |

Full-marks tip: lead with "two parties vs three parties" and "primary vs secondary liability" — these are the two distinctions examiners most reward.

Q3. What is the extent of a surety's liability? Explain "co-extensive." (Theory)

Model answer. Under **Sec 128**, the liability of the surety is **co-extensive with that of the principal debtor**, unless the contract provides otherwise. This means the surety is liable for **exactly what the principal debtor is liable for** — the same amount, subject to the same conditions. Two consequences: 1. The creditor may proceed **directly against the surety immediately on default**, without first exhausting his remedies against the debtor. 2. If the principal debtor's liability is reduced (e.g., part-paid), the surety's liability reduces correspondingly. The contract may **limit** the surety's liability to a fixed sum, in which case liability is capped at that amount though the debtor owes more.

Q4. What is a "continuing guarantee"? How may it be revoked? (Theory — Sec 129–131)

Model answer. Sec 129: A guarantee that extends to a **series of transactions** is a *continuing guarantee* (e.g., guaranteeing all goods supplied to X over one year). It is contrasted with a specific guarantee, which covers a single transaction. **Revocation:** - **Sec 130:** A continuing guarantee may **at any time be revoked by the surety, as to future transactions, by notice** to the creditor. Transactions already entered remain guaranteed. - **Sec 131:** The **death of the surety** operates, in the absence of a contrary contract, as a **revocation as to future transactions.** Past transactions stay covered.

Full-marks tip: stress that revocation only affects **future** transactions — a common examiner trap.

Q5. State the rights of a surety against (a) the creditor, (b) the principal debtor, and (c) co-sureties. (Theory)

Model answer. (a) Against the creditor: - **Right to securities (Sec 141):** entitled to the benefit of every security the creditor holds against the debtor at the date of the guarantee (whether or not the surety knew of it). If the creditor loses/parts with it without the surety's consent, the surety is **discharged to the extent of its value**. - **Right of set-off** available to the debtor.

(b) Against the principal debtor: - **Subrogation (Sec 140):** on paying the debt, the surety steps into the creditor's shoes and gets all the creditor's rights against the debtor. - **Right of indemnity (Sec 145):** there is an **implied promise by the debtor to indemnify the surety**; the surety recovers whatever he **rightfully** paid.

(c) Against co-sureties: - **Contribution (Sec 146):** co-sureties for the same debt are liable, as between themselves, to pay an **equal share**. - **Sec 147:** where bound in **different sums**, they contribute equally up to the limits of their respective obligations.

Q6. When is a surety discharged from liability? List the grounds with sections. (Theory)

Model answer. A surety is discharged by: 1. **Revocation** — notice as to future transactions (**Sec 130**); death of surety (**Sec 131**). 2. **Conduct of the creditor** — - **Variance** in terms without surety's consent (**Sec 133**) — wholly discharged; - **Release or discharge** of the principal debtor (**Sec 134**); - **Composition, promise to give time, or agreement not to sue** the debtor without consent (**Sec 135**); - Act **inconsistent with the surety's rights** or omission impairing his remedy (**Sec 139**); - **Loss of security** without consent (**Sec 141**) — discharged to the extent of its value. 3. **Invalidation of the contract** — guarantee obtained by **misrepresentation (Sec 142)** or **concealment (Sec 143)**; **failure of a co-surety to join (Sec 144)**.

Note (non-discharge): mere forbearance to sue (**Sec 137**), or giving time by agreement with a **third party** (**Sec 136**), does **not** discharge the surety; and release of **one** co-surety does **not** discharge the others (**Sec 138**).

Q7. Define "bailment." What are its essential features? (Theory — Sec 148)

Model answer. Under **Sec 148**, bailment is the **delivery of goods by one person to another for some purpose, upon a contract that the goods shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them.** The person delivering is the **bailor**; the person receiving is the **bailee**. **Essentials:** 1. **Delivery of possession** (actual or constructive) — ownership remains with the bailor; 2. **For a purpose** (repair, safe custody, carriage, pledge, etc.); 3. **Return of the same goods** (in original or altered form) — distinguishing bailment from a sale or a money deposit.

Q8. Explain the bailee's duty of care. When is a bailee NOT liable for loss? (Theory — Sec 151, 152)

Model answer. Sec 151: In all cases of bailment, the bailee must take **as much care of the goods as a man of ordinary prudence would take of his own goods** of the same bulk, quality and value. This standard is the **same whether the bailment is gratuitous or for reward. Sec 152:** If the bailee has taken the amount of care described in Sec 151, he is **not responsible**, in the absence of a special contract, for the **loss, destruction or deterioration** of the goods. Thus the bailee is **not an insurer** — liability follows **negligence**, not mere custody.

Q9. Distinguish between a particular lien and a general lien. (Theory — Sec 170, 171)

Model answer. | Basis | Particular lien (Sec 170) | General lien (Sec 171) | |---|---|---| | Arises from | **Skill/labour** exercised on the specific goods | Available by law only to **bankers, factors, wharfingers, attorneys of a High Court, policy-brokers** (or by express agreement) | | Goods retainable | Only the **specific goods** worked upon | **Any** goods of the debtor in possession | | Amount secured | Only dues for that particular work | **General balance of account** — any amount due |

Full-marks tip: remember the five categories entitled to a general lien; a repairer/tailor gets only a **particular** lien.

Q10. Define "pledge." State the rights of a pawnee. (Theory — Sec 172–176)

Model answer. Sec 172: A pledge is the **bailment of goods as security for payment of a debt or performance of a promise.** The bailor is the **pawnor**, the bailee the **pawnee**. **Rights of the pawnee:** - **Retainer (Sec 173):** retain the goods for the debt, interest and necessary expenses; - **Sec 175:** recover extraordinary expenses of preservation; - **On default (Sec 176):** two alternative remedies — (a) **sue** on the debt and retain the goods as collateral; or (b) **sell** the goods after giving the pawnor **reasonable notice**. Surplus goes to the pawnor; a shortfall remains recoverable. The pawnor retains a **right of redemption (Sec 177)** until the actual sale.

Q11. Who is an "agent"? Can a minor be an agent? Is consideration necessary? (Theory — Sec 182–185)

Model answer. Sec 182: An agent is a person **employed to do any act for another, or to represent another in dealings with third persons**; the person represented is the **principal.** - **Sec 183:** Any person of the **age of majority and of sound mind** may be a principal. - **Sec 184: Any person** may become an agent

— even a **minor or a person of unsound mind** — but such an agent is **not personally liable** to his principal. As between the principal and third parties, the agency is fully effective. - **Sec 185: No consideration is necessary** to create an agency — a recognised exception to the general rule that consideration is essential.

Q12. Distinguish between a sub-agent and a substituted agent. (Theory — Sec 191, 194)

Model answer. | Basis | Sub-agent (Sec 191) | Substituted agent (Sec 194) | |---|---|---| | Appointed to | Act **under the control of the original agent** | Act **directly for the principal** | | Privity with principal | **No privity** (except for fraud/wilful wrong) | **Direct privity** — he is the principal's own agent | | Agent's liability | Agent is **responsible for** the sub-agent's acts | Agent liable only for **negligent selection** (Sec 195) | A properly appointed sub-agent (Sec 192) binds the principal to third parties; an improperly appointed one (Sec 193) leaves the **agent alone** responsible.

Q13. Explain "apparent (ostensible) authority" of an agent. (Theory — Sec 237)

Model answer. Apparent or ostensible authority is authority the agent **appears** to have because the **principal, by his words or conduct, has led a third party to believe** the agent is authorised — even though the agent has **no actual authority**. Under **Sec 237**, when an agent, without authority, does acts or incurs obligations to third persons on behalf of his principal, the **principal is bound** by those acts if he has by his words or conduct induced the third persons to believe that the agent was acting within his authority. The principle rests on estoppel: between two innocents, the loss falls on the principal who **created the appearance** of authority.

Q14. State the conditions of a valid ratification. (Theory — Sec 196–200)

Model answer. Ratification is the subsequent adoption of an unauthorised act. Conditions: 1. The act must have been done **on behalf of the person ratifying** — for a **named or identifiable principal**; 2. The **principal must be in existence and competent** to contract when the act was done; 3. **Full knowledge** of material facts — no valid ratification if knowledge is materially defective (**Sec 198**); 4. Ratification of **part** ratifies the **whole** transaction (**Sec 199**); 5. The act ratified must be **lawful**; 6. Ratification cannot **subject a third party to damages or defeat a vested right** (**Sec 200**). **Effect (Sec 196–197):** once ratified (expressly or impliedly), the act is treated as **authorised from the beginning** (relation-back doctrine).

Q15. When is an agent personally liable to third parties? (Theory — Sec 230)

Model answer. Sec 230: In the absence of a contrary contract, an agent can **neither personally enforce nor be bound by** contracts made on behalf of his principal — the principal is the contracting party. However, personal liability is **presumed** where: 1. The contract is for sale/purchase of goods for a **merchant resident abroad** (foreign principal); 2. The agent does **not disclose the name of his principal** (undisclosed principal); 3. The **principal, though disclosed, cannot be sued** (e.g., a foreign sovereign, a minor). Additionally, the agent is personally liable if he **expressly agrees**, acts for a **non-existent/incompetent principal**, or **exceeds his authority** (breach of warranty of authority).

Q16. How is an agency terminated? Explain "agency coupled with interest." (Theory — Sec 201–210)

Model answer. Sec 201 — an agency terminates by: - **Act of parties:** revocation by the principal (Sec 203), renunciation by the agent, or mutual agreement; - **Operation of law:** completion of the business, expiry of time, death or unsoundness of mind of principal or agent, insolvency of the principal, or destruction of the subject-matter. **Agency coupled with interest (Sec 202):** where the agent **himself has an interest in the subject-matter** of the agency, the agency is **irrevocable** to the prejudice of that interest, absent an express contract, and it **survives the principal's death or insanity**. **Sec 208:** termination does not take effect against the **agent** until known to him, nor against **third parties** until known to them.

SECTION B — Application / Case-scenario questions

Q17. (Guarantee — Sec 133 variance) A bank lends ₹5,00,000 to B on P's guarantee. Later the bank and B agree to raise the interest rate, without informing P. B defaults. Is P liable?

Issue. Does an unauthorised change of interest rate discharge the surety P? **Rule. Sec 133** — any variance in the terms of the contract between the creditor and the principal debtor, without the surety's consent, discharges the surety as to transactions after the variance. **Application.** The rate increase is a variance made without P's consent. P guaranteed the original loan terms, not the altered ones. **Conclusion. P is discharged** and not liable for the default. The bank must pursue B alone.

Q18. (Guarantee — Sec 141 loss of security) A creditor holds a guarantee from S and a pledge of the debtor's stock worth ₹2,00,000 for a ₹6,00,000 loan. Without S's consent the creditor returns the stock to the debtor. The debtor defaults. For how much is S liable?

Issue. What is the effect of the creditor parting with a security without the surety's consent? **Rule. Sec 141** — the surety is entitled to the benefit of every security the creditor held; if the creditor loses or parts with it without the surety's consent, the surety is **discharged to the extent of the value** of that security. **Application.** The ₹2,00,000 security was released without S's consent, so S is discharged to that extent: ₹6,00,000 − ₹2,00,000 = ₹4,00,000. **Conclusion. S is liable only for ₹4,00,000**, not the full ₹6,00,000.

Q19. (Co-sureties — Sec 138 & 146) A, B and C are co-sureties for a debt of ₹9,00,000 owed by D. The creditor releases A. D defaults. Are B and C discharged? For how much is each liable?

Issue. Does releasing one co-surety discharge the others, and how is contribution shared? **Rule. Sec 138** — release by the creditor of one co-surety does **not** discharge the others, nor does it free the released co-surety from liability to the others for contribution. **Sec 146** — co-sureties are liable to contribute **equally**. **Application.** Release of A does not discharge B and C; they remain liable for the whole ₹9,00,000 to the creditor. As between the three, equal shares are ₹9,00,000 ÷ 3 = ₹3,00,000 each, and A remains liable to B and C for his ₹3,00,000 share. **Conclusion. B and C are NOT discharged**; each ultimately bears ₹3,00,000, and can claim ₹3,00,000 contribution from A despite the creditor's release.

Q20. (Bailment — Sec 151/152) X deposits jewellery in a bank locker. Despite the bank's usual security, a sophisticated gang breaks the vault and steals it. Is the bank liable?

Issue. Is a bailee liable for loss occurring despite reasonable care? **Rule. Sec 151** — the bailee must take ordinary-prudent-man care; **Sec 152** — if such care is taken, the bailee is not liable for loss. **Application.** If the bank maintained the security an ordinary prudent person would maintain and the theft occurred despite it, the bank has discharged its Sec 151 duty. A bailee is not an insurer. **Conclusion.** The **bank is not liable**, provided it can show it took reasonable care; the loss falls on X. (If the bank was negligent — e.g., a broken alarm it ignored — it would be liable.)

Q21. (Bailment — Sec 154 unauthorised use) A lends his horse to B for B's own riding only. B lets his friend C ride it for a race, and the horse is injured. Is B liable?

Issue. Is a bailee liable for loss following an unauthorised use of the goods? **Rule. Sec 154** — if the bailee makes any use of the goods inconsistent with the terms of the bailment, he is liable for any damage arising, **even by accident**. **Application.** Riding restricted to B; permitting C to race the horse is a use inconsistent with the terms. Liability follows regardless of negligence. **Conclusion. B is liable** for the injury to the horse, even though it happened during a mishap in the race.

Q22. (Finder of goods — Sec 168/169) F finds a diamond ring in a shop and hands it to the shopkeeper to keep for the true owner; the owner is not found and F spends ₹2,000 advertising. May F retain the ring or sell it?

Issue. What are a finder's rights to retain and to sell? **Rule. Sec 168** — a finder may retain the goods until compensated for trouble and expense, but cannot sue for that compensation (unless a specific reward was offered). **Sec 169** — a finder may sell only if the owner cannot be found with reasonable diligence (or refuses to pay lawful charges) **and** the thing is in danger of perishing/losing most of its value **or** the finder's lawful charges reach **two-thirds of the value**. **Application.** F may **retain** the ring until his ₹2,000 is met. He may **sell** only if his charges reach two-thirds of the ring's value or the ring is perishing — a diamond ring is neither, and ₹2,000 is far below two-thirds of its value. **Conclusion.** F may **retain** but **cannot sell** the ring; he must continue to hold it for the true owner.

Q23. (Pledge by non-owner — Sec 178A) T obtains a watch from its owner by fraud (a voidable contract, not yet rescinded) and pledges it to P, a pawnbroker who lends in good faith with no notice of the fraud. Can the owner recover the watch from P?

Issue. Is a pledge by a person in possession under a voidable contract valid against the true owner? **Rule. Sec 178A** — a pledge by a person in possession of goods under a voidable contract (Sec 19/19A) that has **not yet been rescinded** is **valid**, provided the pawnee acts in **good faith and without notice** of the defect in title. **Application.** T's contract was voidable but not yet rescinded when he pledged; P lent in good faith without notice of the fraud. **Conclusion.** The **pledge is valid**; the owner **cannot recover** the watch from P without redeeming the pledge. (Had the owner rescinded before the pledge, P would get no title.)

Q24. (Agency — ratification, Sec 196–199) K, without authority, buys goods worth ₹1,50,000 "for M." M is unaware, but on learning of it, sells part of those goods for profit. M then refuses to pay the seller, arguing K had no authority. Is M bound?

Issue. Does dealing with the goods amount to ratification of an unauthorised purchase? **Rule. Sec 196–197** — a principal may ratify an unauthorised act expressly or by conduct; **Sec 199** — ratification of part of a transaction operates as ratification of the whole; ratification relates back to the date of the act. **Application.** By selling part of the goods for his own profit, M has **adopted** the transaction by conduct. Under Sec 199 he cannot ratify only the profitable part and disown the rest — he ratifies the **whole** purchase. **Conclusion. M is bound** for the full ₹1,50,000 and must pay the seller; he is treated as having authorised K's act from the outset.

Q25. (Agency termination — Sec 208) P revokes agent A's authority but does not inform A or the third party T. Before learning of the revocation, A contracts with T on P's behalf. Is P bound?

Issue. When does termination of agency take effect against the agent and third parties? **Rule. Sec 208** — termination of an agent's authority does not take effect as against the **agent** until it becomes known to him, nor as against **third parties** until it becomes known to them. **Application.** Neither A nor T knew of the revocation when the contract was made. As to both, the authority had not yet terminated. **Conclusion. P is bound** by the contract A made with T; P's remedy (if any) is against A internally, not against the innocent third party.

Q26. (Agency coupled with interest — Sec 202) A consigns goods to B, an agent, to sell and reimburse himself out of the proceeds for a ₹1,00,000 advance B made to A. A then tries to revoke B's agency. Can A revoke?

Issue. Can a principal revoke an agency in which the agent has an interest in the subject-matter? **Rule. Sec 202** — where the agent has himself an interest in the subject-matter of the agency, the agency cannot, in the absence of an express contract, be terminated to the prejudice of that interest. **Application.** B's interest is his ₹1,00,000 advance, to be recovered from the very goods consigned. Revoking would prejudice that interest. **Conclusion. A cannot revoke** the agency to B's prejudice; the agency is irrevocable until B recovers his ₹1,00,000 (and it would even survive A's death).

Q27. (Del credere agent) A appoints B as a del credere agent for extra commission. B sells goods on credit to C, who becomes insolvent and cannot pay ₹80,000. Can A recover from B?

Issue. What is the liability of a del credere agent for a buyer's default? **Rule.** A del credere agent, for extra commission, **guarantees the solvency of the buyers** he introduces — he acts as agent and, in effect, surety for the buyer's payment. **Application.** C's insolvency is precisely the risk B undertook for his del credere commission. **Conclusion. A can recover ₹80,000 from B**, who as del credere agent guaranteed C's payment; B may then pursue C's estate.

Q28. (Indemnity vs guarantee classification) "If you supply goods to my brother, I will see that you are paid." Is this a guarantee or an indemnity? (Application)

Issue. Does the promise create secondary (guarantee) or primary (indemnity) liability? **Rule.** A **guarantee (Sec 126)** is a promise to discharge the liability of a **third person on his default** — secondary liability. An **indemnity (Sec 124)** is a primary promise to save from loss, with only two parties. **Application.** Here there are three parties (supplier, brother, promisor) and the promisor answers for the **brother's** default — the brother is primarily liable and the promisor secondarily. **Conclusion.** This is a **contract of guarantee**, not an indemnity; the promisor is a **surety** and enjoys the surety's rights (subrogation, indemnity from the brother) on payment.

Foundation: The Sale of Goods Act, 1930

The Problem it solves

Imagine a fabric wholesaler in Surat agrees to supply 500 metres of silk to a boutique in Mumbai. Before the cloth leaves the warehouse, a fire destroys the godown. Who bears the loss — the seller who still had the goods, or the buyer who had already agreed to buy them? Now imagine the boutique took delivery but never paid; can the wholesaler grab the cloth back off the delivery truck? And what if the "silk" turns out to be a polyester blend — can the buyer reject it, or is she stuck with it because she never inspected it?

These are not hypothetical. Every commercial transaction in India where movable goods change hands for money runs on answers to exactly these questions:

- **When does ownership actually pass** — because whoever *owns* the goods bears the loss if they perish.
- **What quality can the buyer insist on**, and what happens if the goods are defective.
- **What can a seller do when the buyer doesn't pay** — even after the goods have left the seller's hands.
- **Who can give good title** — if a thief sells your car, does the innocent buyer get to keep it?

The general law of contract (the Indian Contract Act, 1872) tells you *when a contract is formed and enforceable*. But it says nothing specific about the peculiar mechanics of buying and selling **goods** — the passing of property, the seller's self-help remedies, the implied promises about quality. The **Sale of Goods Act, 1930** is the specialised statute that fills this gap. It was carved out of the old Contract Act (it used to be Sections 76–123 of the Contract Act) precisely because trade in goods needed its own detailed rulebook.

For a CA, this Act is not academic. When you audit a company, "when did property in goods pass?" is the same question as "when should revenue be recognised and inventory be de-recognised?" The accounting rule and the legal rule are two faces of one coin.

Core Idea

A sale of goods is a contract by which the seller transfers (or agrees to transfer) the *ownership of movable goods to the buyer for a money consideration called the price — and the entire Act is a set of default rules deciding, at each moment, who owns the goods, who bears the risk, and who can do what if things go wrong.*

Strip away the detail and the whole statute answers one master question in different situations: **"Where does the property (ownership) sit right now?"** Almost everything — risk of loss, the right to sue for the price, the unpaid seller's remedies, the ability to pass good title — flows from the location of *property in the goods*.

Why it works this way

Start from first principles. Two parties want to exchange goods for money. The law could have said "nothing changes hands until money and goods swap simultaneously." But real commerce doesn't work that way — goods travel by rail for a week, credit is extended for 30 days, buyers order goods that don't exist yet (next season's crop). So the law needs rules for the *gap* between agreement and completion.

Why separate "sale" from "agreement to sell"? Because the moment of ownership transfer determines who suffers if the goods are destroyed. If ownership has passed, the goods are the buyer's — the buyer must pay even though he has nothing to show for it (*res perit domino* — the thing perishes for its owner). If ownership hasn't passed, the loss is the seller's. So the law draws a bright line: has property passed or not?

Why the elaborate conditions/warranties machinery? Because "the goods are defective" is too blunt. Some defects go to the *root* of the deal (you ordered a car and got a scooter) — the buyer must be able to walk away. Other defects are peripheral (the car's clock doesn't work) — it would be commercially absurd to let the buyer reject a ₹10 lakh car over a broken clock; he should get money compensation instead. So the law grades broken promises by *how central they are to the contract*.

Why *caveat emptor* — "let the buyer beware"? Because in a market economy the buyer chooses what to buy. If the law made the seller guarantee every purchase was fit for the buyer's private purpose, sellers couldn't price risk and trade would seize up. The default is: inspect before you buy, it's your risk. *But* — and this is the genius of the exceptions — where the buyer *reasonably relies on the seller's skill*, or the seller *actively conceals* a defect, the rationale for buyer-beware collapses, so the law shifts the risk back to the seller.

Why give an unpaid seller special powers (lien, stoppage, resale)? Because a seller who has parted with goods but not received money is dangerously exposed. A mere contractual right to sue for the price is cold comfort if the buyer is insolvent. So the law gives the seller *real* (property-based) self-help remedies against the goods themselves — but carefully limited, because once the buyer has paid or the goods are firmly in the buyer's possession, those powers must end.

Why the *nemo dat* rule and its exceptions? The base principle is *nemo dat quod non habet* — "no one can give what he does not have." A person without title cannot pass title. This protects true owners. But rigidly applied, it would make every purchase terrifying — you'd have to trace the ownership history of everything you buy. So the law creates careful exceptions that protect *innocent buyers* in situations where the true owner is the one who created the risk (e.g. left goods with a mercantile agent). The whole area is a balance between **protecting ownership** and **protecting the security of commercial transactions**.

Once you see the Act as a *risk-allocation engine* rather than a list of rules to memorise, every section has a reason.

Full technical content

1. Scope, definitions and the contract of sale

The Act extends to the whole of India. It deals only with **goods** — i.e. **movable** property — and only where they are transferred **for a price** (money). It does **not** cover immovable property (land, buildings — governed by the Transfer of Property Act) nor gifts/barter (no money price) nor pure service contracts.

Section 4 — Contract of sale. A contract of sale of goods is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a price. It is the **genus**; "sale" and "agreement to sell" are its two **species**.

- Where property **passes at once** → it is a **sale** (Section 4(3)).
- Where property is to **pass at a future time** or **subject to some condition** to be fulfilled → it is an **agreement to sell** (Section 4(3)).
- An agreement to sell **becomes a sale** when the time elapses or the conditions are fulfilled (Section 4(4)).

Essential elements of a contract of sale (Section 4):

#	Element	Explanation
1	Two parties	A buyer and a seller must be different persons. One cannot buy one's own goods. (A part-owner can sell to another part-owner.)
2	Goods	Subject-matter must be **movable** goods (Section 2(7)).
3	Transfer of property	Ownership must be transferred or agreed to be transferred. Mere possession is not enough.
4	Price	Consideration must be **money**. Goods-for-goods = barter/exchange (not a sale). Goods partly for goods + partly money **can** be a sale.
5	All essentials of a valid contract	Free consent, competent parties, lawful object, consideration, etc. (via the Contract Act, 1872).
6	Includes both absolute and conditional	Covers outright sales and agreements to sell.

Sale vs Agreement to sell — the master distinction:

Basis	Sale	Agreement to sell
Nature of contract	Executed (completed)	Executory (to be completed)
Transfer of property	Passes immediately to buyer	Passes at a future date / on condition
Type of goods	Existing, specific goods	Future or contingent goods (usually)
Risk of loss (*res perit domino*)	Buyer bears loss even if goods still with seller	Seller bears loss (still owner)
Nature of right created	**Jus in rem** — right against the goods / whole world	**Jus in personam** — right against the person (buyer/seller)
Seller's remedy on breach	Sue for the **price** (goods are buyer's)	Sue for **damages** for non-acceptance only
Buyer's remedy if seller resells	Buyer can sue *later buyer* (owner)	Buyer can only claim **damages** from seller
On buyer's insolvency (price unpaid)	Seller can claim price / retain lien; goods are buyer's	Seller may refuse delivery (still owner)
On seller's insolvency (price paid)	Buyer can recover goods from Official Assignee	Buyer only proves as creditor for the amount paid

Sale distinguished from similar transactions:

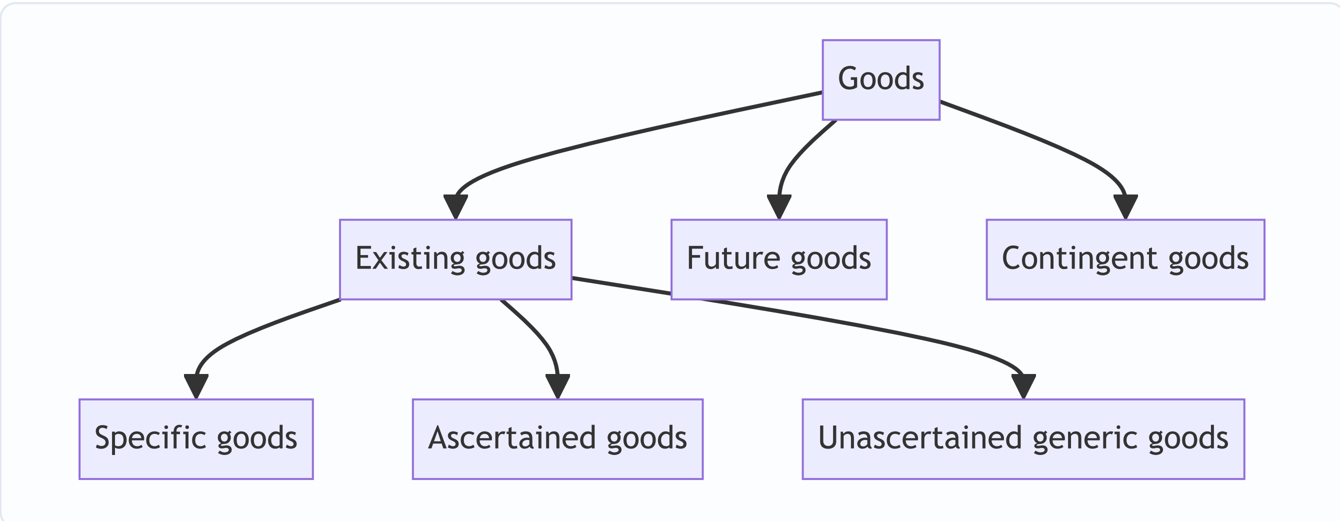
Transaction	Key difference from sale
Hire-purchase	Possession given but ownership passes only on payment of last instalment; hirer may return goods any time. In sale, ownership+obligation to pay is fixed.
Barter / exchange	Goods for goods; no money price.
Gift	No consideration at all.
Bailment	Only *possession* transferred for a purpose; goods to be returned. No transfer of ownership.
Contract for work and labour	Skill/labour is the substance; goods incidental (e.g. a painter painting a portrait). If the substance is the transfer of a chattel, it is a sale.

2. Goods and their classification (Sections 2(7), 6, 7, 8)

Section 2(7) — "Goods" means every kind of **movable property** other than **actionable claims** and **money**; and includes **stock and shares, growing crops, grass, and things attached to or forming part of the land which are agreed to be severed** before sale or under the contract of sale.

- *Money* is excluded (it is the medium of exchange, not goods). But old/rare coins sold as curios are goods.
- *Actionable claims* (e.g. a debt) are excluded.

Classification of goods:



A. Existing goods — owned or possessed by the seller at the time of contract. Sub-divided:

Type	Meaning
Specific goods [Sec 2(14)]	Goods **identified and agreed upon** at the time the contract is made (e.g. "my Maruti car bearing registration MH-01-AB-1234").
Ascertained goods	Judicially, goods identified *after* the contract is made, in accordance with the agreement (a subset later marked off).
Unascertained / generic goods	Goods defined only by description, not yet identified (e.g. "100 bags of wheat out of my godown stock of 1,000 bags").

B. Future goods [Sec 2(6)] — goods to be **manufactured, produced or acquired** by the seller *after* making the contract. A present sale of future goods always operates as an **agreement to sell** (Sec 6(3)), never an immediate sale, because you cannot pass property in goods you don't yet have.

C. Contingent goods [Sec 6(2)] — a type of future goods whose acquisition by the seller depends on an **uncertain contingency** (e.g. "I will sell you the goods if the ship carrying them arrives").

Effect of perishing of goods (Sections 7 and 8):

Section	Situation	Effect
Sec 7	**Specific** goods have **already perished** (or become so damaged as to no longer answer their description) at the time of the contract, **without the seller's knowledge**	Contract is **void** (mistake as to existence of subject-matter).
Sec 8	**Specific** goods perish **after** the agreement to sell but **before** property passes, **without fault** of seller or buyer	Agreement is **void** (frustration; risk had not yet passed to buyer).

Note: Sections 7 & 8 apply only to **specific** goods. Generic goods do not "perish" in law — if your stock is destroyed you must still procure and deliver from elsewhere (*genus numquam perit* — the genus never perishes).

3. The Price (Sections 2(10), 9, 10, 12(2), 64A)

Section 2(10) — "Price" means the **money consideration** for a sale of goods.

Section 9 — How price is fixed. The price may be: 1. Fixed by the **contract**, or 2. Left to be fixed in a **manner agreed** (e.g. by valuation of a third party), or 3. Determined by the **course of dealing** between the parties. 4. Where none of these apply, the buyer must pay a **reasonable price** (a question of fact).

Section 10 — Agreement to sell at valuation. Where price is to be fixed by a **third party** and he **cannot or does not** make the valuation, the agreement is **void**. But if goods (or part) have already been **delivered to and appropriated by the buyer**, he must pay a **reasonable price** for them. If the third party is prevented from valuing by the **fault** of the seller or buyer, the party not at fault may sue the party in fault for **damages**.

Section 64A deals with the effect of changes in **taxes/duties** on the price (increase or decrease) unless a contrary intention appears in the contract.

4. Conditions and Warranties (Sections 11–17)

This is the heart of quality-liability. A **stipulation** in a contract of sale with reference to goods may be a condition or a warranty (Sec 12(1)).

Section 12 — Condition vs Warranty:

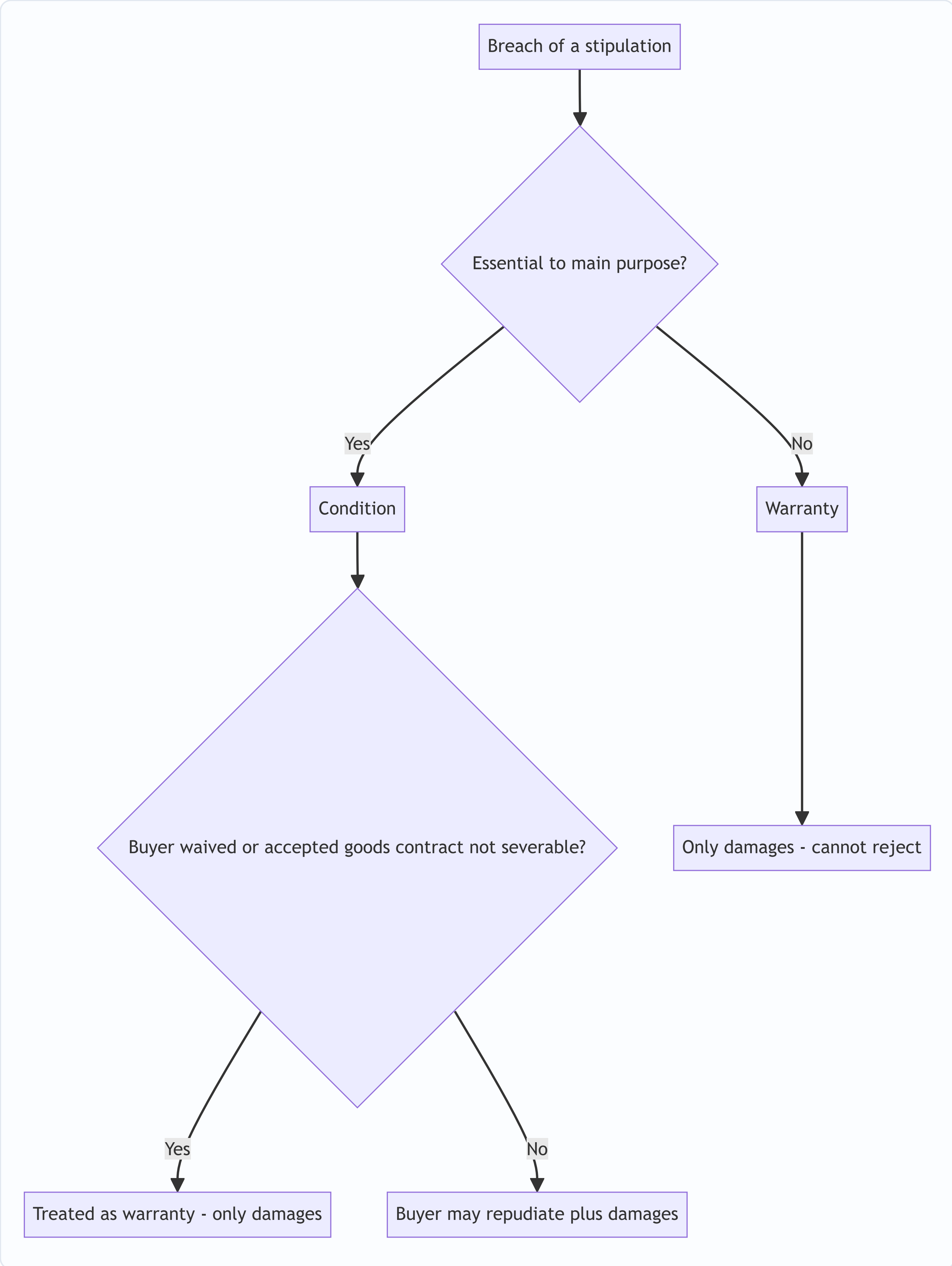
Basis	Condition [Sec 12(2)]	Warranty [Sec 12(3)]
Meaning	A stipulation **essential** to the main purpose of the contract	A stipulation **collateral** (subsidiary) to the main purpose
Goes to	The **root** of the contract	Not the root — a minor term
Breach entitles the buyer to	**Repudiate** the contract *and* claim damages; or treat it as a warranty	**Only claim damages**; cannot reject goods or repudiate
Dependence	An independent stipulation	A subordinate stipulation

Whether a stipulation is a condition or warranty depends on the construction of the contract — not on the word the parties used (Sec 12(4)). A stipulation may be a condition even if called a "warranty," and vice-versa.

Section 13 — When a condition sinks to a warranty (must-know):

A breach of condition can be *treated only as* a breach of warranty (i.e. buyer loses the right to reject, keeps only damages) in these cases:

1. **Voluntary waiver** — the buyer *waives* the condition, or *elects* to treat the breach of condition as a breach of warranty [Sec 13(1)]. (Buyer's choice.)
2. **Acceptance** — where the contract is **not severable** and the buyer has **accepted** the goods (or part of them), the breach of any condition **can only** be treated as a breach of warranty — the buyer cannot now reject — **unless** the contract's terms say otherwise [Sec 13(2)]. (Compulsory, by law.)
3. **Impossibility** — where fulfilment of the condition is **excused by law** by reason of impossibility (Sec 13 read with frustration principles).



Express and Implied conditions/warranties. Parties may write in express terms (Sec 14 preserves them). The Act *also implies* certain conditions and warranties unless the contract shows a contrary intention:

Implied CONDITIONS:

Section	Implied condition	Substance
Sec 14(a)	Condition as to **title**	The seller has a **right to sell** the goods (in a sale) / will have the right at the time property passes (agreement to sell). If title fails, buyer can recover the full price even after use.
Sec 15	Sale by **description**	Goods must **correspond with the description**.
Sec 15	Sale by description **and** sample	Bulk must match **both** the sample **and** the description.
Sec 16(1)	Fitness for **buyer's particular purpose**	Where the buyer *makes known* his particular purpose *and relies on the seller's skill/judgment*, and the goods are of a description the seller deals in — there is an implied condition they are **reasonably fit** for that purpose.
Sec 16(2)	**Merchantable quality**	Where goods are bought **by description from a seller who deals in such goods**, there is an implied condition they are of **merchantable quality** (saleable, fit for ordinary use). Proviso: if the buyer **examined** the goods, no condition as to defects a reasonable examination *ought to have revealed*.
Sec 16(3)	Condition implied by **trade usage**	An implied condition/warranty may be annexed by the usage of trade.
Sec 17	Sale by **sample**	(a) bulk must correspond with sample in quality; (b) buyer must have reasonable opportunity to compare bulk with sample; (c) goods must be free from any defect rendering them unmerchantable, not apparent on reasonable examination of the sample.

Implied WARRANTIES:

Section	Implied warranty	Substance
Sec 14(b)	Warranty of **quiet possession**	Buyer shall have and enjoy quiet possession of the goods.
Sec 14(c)	Warranty of **freedom from encumbrances**	Goods shall be free from any charge or encumbrance in favour of a third party not declared to the buyer.
Sec 16(3) / trade usage	Warranty by **usage of trade**	As annexed by custom.
Judicial	Warranty to **disclose dangerous nature**	Where goods are inherently dangerous and the buyer is ignorant, the seller must warn; breach makes seller liable for injury.

5. Caveat Emptor and its exceptions (Section 16)

The rule — *caveat emptor* ("let the buyer beware"). Opening words of Section 16: "*Subject to the provisions of this Act... there is no implied warranty or condition as to the quality or fitness for any particular purpose of goods supplied under a contract of sale.*" In other words, the buyer buys at his own risk; it is his duty to examine goods and satisfy himself. The seller is under no duty to point out defects.

Exceptions (where the risk shifts to the seller):

#	Exception	Source
1	**Fitness for buyer's purpose** — buyer makes purpose known and relies on seller's skill/judgment	Sec 16(1)
2	**Merchantable quality** — goods bought by description from a dealer in such goods	Sec 16(2)
3	**Sale by sample** — bulk must match sample; free from latent unmerchantable defect	Sec 17
4	**Sale by description** — goods must correspond with description	Sec 15
5	**Usage of trade** — fitness/quality implied by custom	Sec 16(3)
6	**Consent by fraud / concealment of defect** — where the seller obtains consent by fraud or **actively conceals a latent defect**, *caveat emptor* does not protect him	General law of fraud

The unifying logic: *caveat emptor* protects a seller who was **passive and honest**. The moment the buyer *reasonably relies on the seller*, or the seller is *dishonest*, the maxim gives way to *caveat venditor* ("let the seller beware").

6. Transfer of property (ownership) — the pivot (Sections 18–20, 23–25)

"Property" here means **ownership**, not possession. Why it matters (recap): risk follows property (Sec 26); only the owner can generally pass title; the seller's remedy (price vs damages) depends on it.

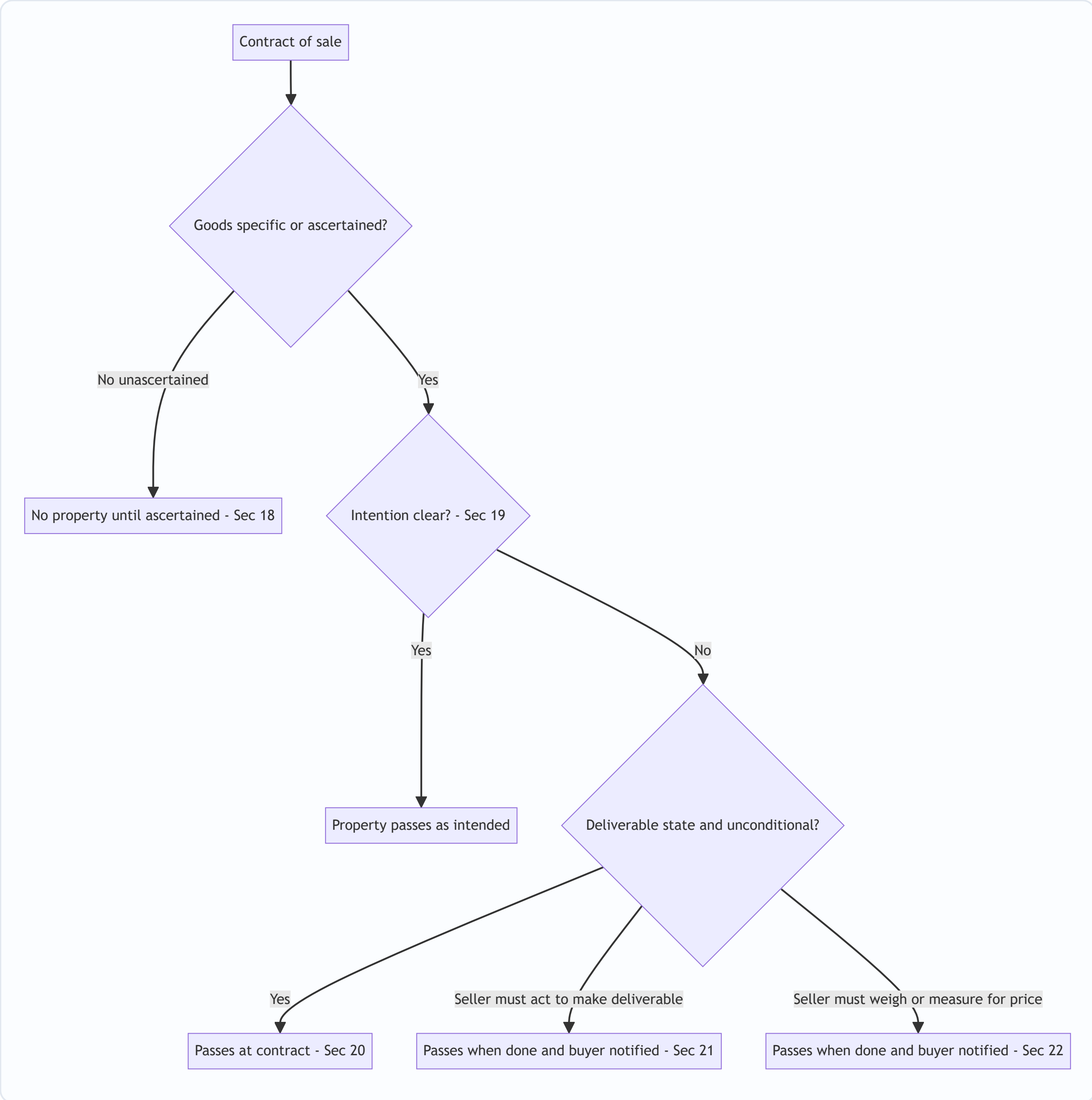
Section 19 — the golden rule: property passes when the parties *intend* it to pass (for specific/ascertained goods). Intention is gathered from the terms of the contract, conduct of the parties, and circumstances. Where intention is unclear, the Act supplies **rules of ascertainment** (Sections 20–24).

Section 18 — precondition for unascertained goods: *No property* in unascertained goods passes until the goods are **ascertained**. (You cannot own "100 unspecified bags" — ownership needs a specific thing.)

Rules for ascertaining intention:

Section	Situation	When property passes
Sec 20	**Specific goods in a deliverable state**, unconditional contract	Property passes **at the time of the contract**. Time of payment or delivery is immaterial.
Sec 21	Specific goods, seller **bound to do something to put them in a deliverable state**	Property passes when that **thing is done** *and* the **buyer has notice** of it.
Sec 22	Specific goods in deliverable state, but seller must **weigh/measure/test to ascertain the price**	Property passes when the act is done *and* the **buyer has notice**.
Sec 23	**Unascertained / future goods sold by description**	Property passes when goods of that description in a deliverable state are **unconditionally appropriated** to the contract (by one party with the other's assent). Delivery to a carrier for transmission (without reserving disposal) = appropriation.
Sec 24	Goods sent **on approval / "on sale or return"**	Property passes when the buyer (a) signifies **approval/acceptance**, or (b) **retains** the goods beyond the agreed/reasonable time without notice of rejection, or (c) does an **act adopting the transaction**.
Sec 25	Seller **reserves right of disposal**	Property does **not** pass until the conditions imposed (e.g. payment against documents) are fulfilled, even though goods delivered to a carrier.

"Deliverable state" (Sec 2(3)) = such a state that the buyer would, under the contract, be bound to take delivery of the goods.



7. Transfer of RISK (Section 26)

Section 26 — Risk *prima facie* passes with property. Unless otherwise agreed, goods remain at the **seller's risk until property is transferred to the buyer**; after property passes, they are at the **buyer's risk** — whether or not delivery has been made.

Three riders: 1. Where **delivery has been delayed** through the fault of either party, the goods are at the risk of the **party in fault** as regards any loss which might not have occurred but for the fault. 2. Risk and property may be **separated by agreement** (parties can agree risk passes at a different time). 3. This does not affect the duties/liabilities of either party as a **bailee** of the other's goods.

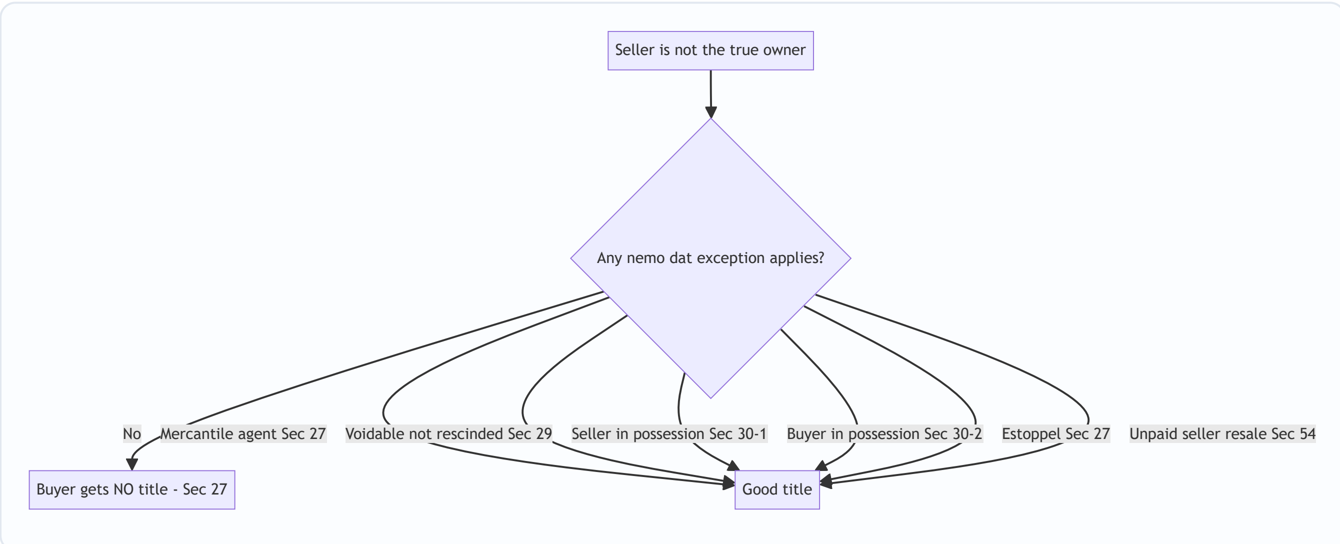
This section is why the "Who bears the fire loss?" question in the opener has a precise answer: locate the property, and the risk sits there.

8. Transfer of title by non-owners — *nemo dat quod non habet* (Sections 27–30)

Section 27 — the rule. *No one can give a better title than he himself has.* Where goods are sold by a person who is **not the owner** and who does not sell under the authority or consent of the owner, the **buyer acquires no better title than the seller had** — even a bona fide buyer for value gets nothing (subject to the exceptions below).

Exceptions — where a non-owner CAN pass good title (protecting the innocent buyer):

#	Exception	Section	Condition
1	**Sale by a mercantile agent**	Sec 27 (proviso)	Agent in possession of goods/documents **with owner's consent**, sells in ordinary course of business, buyer acts in good faith without notice of lack of authority.
2	**Sale by one of joint owners**	Sec 28	A co-owner in **sole possession with consent** of the others passes good title to a good-faith buyer without notice.
3	**Sale under a voidable contract**	Sec 29	Seller acquired goods under a contract **voidable** (e.g. by fraud/coercion) but **not yet rescinded**; buyer in good faith without notice gets good title.
4	**Seller in possession after sale**	Sec 30(1)	Seller who has sold but **continues in possession** of goods/documents, sells again to a good-faith buyer without notice → second buyer gets good title.
5	**Buyer in possession before property passes**	Sec 30(2)	Buyer who obtained possession **with seller's consent** before property passed, sells/pledges to a good-faith transferee → transferee gets good title.
6	**Estoppel**	Sec 27	Where the **true owner by his conduct** leads the buyer to believe the seller had authority to sell, he is **estopped** from denying the seller's authority.
7	**Sale by an unpaid seller** exercising right of resale	Sec 54	A resale by an unpaid seller under Sec 54 passes good title to the new buyer.
8	**Sale under other Acts**	—	e.g. sale by a **pawnee/pledgee** (Contract Act), **finder of goods**, **Official Assignee/Receiver**, or under statutory powers.



9. Performance of the contract of sale (Sections 31–44)

Section 31 — Duties. It is the duty of the seller to **deliver** the goods and of the buyer to **accept and pay** for them, in accordance with the contract.

Section 32 — Delivery and payment are *concurrent* conditions (unless otherwise agreed): the seller must be ready and willing to give possession against payment, and the buyer ready and willing to pay against possession.

Delivery (Sec 2(2)) — voluntary transfer of possession. Types:

Type	Meaning
Actual	Goods physically handed over.
Symbolic	Means of obtaining possession handed over (keys of a warehouse; a bill of lading).
Constructive (by attornment)	Third party in possession acknowledges holding goods on the buyer's behalf.

Rules as to delivery (Sec 33–39):

Section	Rule
Sec 34	Delivery of part **may** operate as delivery of the whole (if so intended); part-delivery to sever goods = delivery of only that part.
Sec 35	Buyer must **apply for delivery** (no delivery duty until buyer asks, unless otherwise agreed).
Sec 36(1)	**Place of delivery** — as per contract; else the place at which goods are **at the time of sale** (or, for future goods, at the place of manufacture/production).
Sec 36(2)	If seller must send goods but no time fixed → within a **reasonable time**.
Sec 36(4)	Delivery demand/tender at an **unreasonable hour** is ineffectual.
Sec 37	**Wrong quantity/mixed goods** — buyer may reject if short/excess/mixed, or accept the contract quantity and reject the rest, or accept the whole.
Sec 38	**Instalment deliveries** — buyer is not bound to accept delivery by instalments unless agreed.
Sec 39	**Delivery to carrier** — delivery to a carrier for transmission to the buyer is *prima facie* delivery to the buyer; seller must make a reasonable contract with the carrier.
Sec 41	**Buyer's right to examine** — buyer not deemed to have accepted until he has had a reasonable opportunity to examine the goods to see they conform to the contract.
Sec 42	**Acceptance** — buyer is deemed to accept when he (a) intimates acceptance, (b) does an act inconsistent with the seller's ownership, or (c) retains the goods beyond a reasonable time without rejecting.
Sec 43	Buyer who rightly **refuses** goods is **not bound to return** them; enough to intimate refusal.
Sec 44	If seller tenders delivery and buyer wrongfully **refuses/neglects** to take, buyer liable for any loss + reasonable **storage charges**.

10. Rights of an unpaid seller (Sections 45–54)

Section 45 — Who is an "unpaid seller"? The seller is unpaid when (a) the **whole price has not been paid or tendered**, or (b) a **bill of exchange or other negotiable instrument** was received as conditional payment and the condition has not been fulfilled (e.g. the cheque bounced). The term "seller" includes an agent (e.g. a consignor/agent who has paid or is directly responsible for the price).

The unpaid seller has **two sets of rights**:

A. Rights against the GOODS (real rights — the powerful ones):

Right	Section	When available	What it does
Lien	46, 47, 48, 49	Property has passed to buyer, but **goods still in seller's possession**	Right to **retain possession** until paid. Available where (i) goods sold without credit; (ii) credit term expired; (iii) buyer becomes insolvent. **Lost** when goods delivered to carrier (without reserving disposal), or buyer/agent lawfully obtains possession, or seller **waives** the lien. Note: lien is only for **price**, not storage; it is a right to *retain*, not resell.
Stoppage in transit	50, 51, 52	Property passed, seller **parted with possession**, buyer becomes **insolvent**, goods **in transit** (with a middleman carrier)	Right to **resume possession** while goods are in transit and retain them until paid. Transit ends when buyer/agent takes delivery, or carrier acknowledges holding for buyer, or buyer obtains delivery before arrival. Exercised by taking actual possession or giving **notice** to the carrier.
Right of resale	54	Lien or stoppage exercised (seller back in possession)	Seller may **resell** where (i) goods are **perishable**; (ii) seller gives **notice** to buyer of intention to resell and buyer still fails to pay within reasonable time; (iii) seller **expressly reserved** a right of resale.

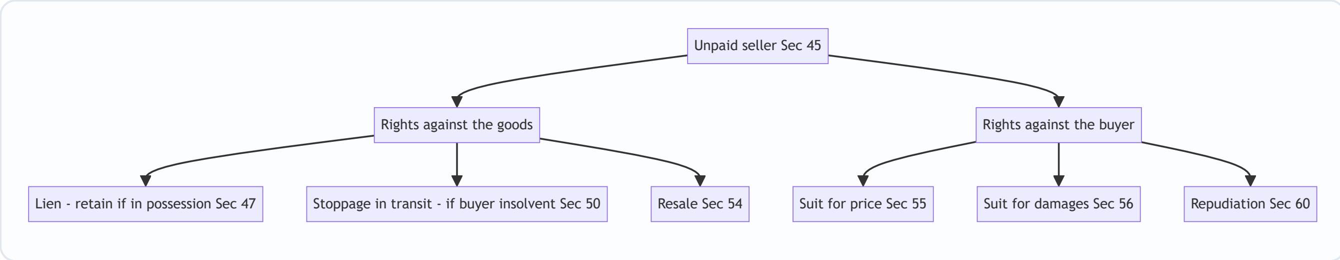
Right of withholding delivery — where property has **not** passed, the unpaid seller has, in addition, a right to withhold delivery similar to and co-extensive with lien and stoppage (Sec 46(2)).

Effect of sub-sale/pledge by buyer (Sec 53): the unpaid seller's lien or stoppage is **not affected** by any sale or pledge the buyer may have made, **unless** the seller **assented** to it, or a **document of title** has been transferred to a buyer who takes it in good faith for value (then transfer defeats lien/stoppage; if by way of pledge, the seller's right is subject to the pledge).

Effect of resale under Sec 54: A resale (whether or not notice was required/given): - gives the **new buyer good title** as against the original buyer (Sec 54(3)); - where notice **was given** and there is a **loss** on resale, the seller can recover the loss as **damages**, and keeps any **profit**; - where notice was **not given** (and it was required), the seller **cannot** recover the loss and **must account** to the buyer for any **profit** on resale.

B. Rights against the BUYER personally (in personam):

Right	Section
Suit for the **price** (where property has passed / price payable on a day certain)	55
Suit for **damages** for non-acceptance	56
Repudiation before due date (anticipatory breach) → sue immediately	60
Suit for **interest** / special damages	61



11. Auction sale (Section 64)

Section 64 lays down the rules for sale by public auction:

Sub-section	Rule
64(1)	Where goods are put up in **lots**, each lot is *prima facie* a **separate contract of sale**.
64(2)	Sale is **complete** when the auctioneer announces completion by the **fall of the hammer** or other customary manner. **Until then any bidder may retract** his bid.
64(3)	Right to bid may be **reserved expressly** by or on behalf of the seller; then the seller (or one person on his behalf) may bid.
64(4)	If the sale is **not** notified as subject to a right to bid on the seller's behalf, it is **unlawful** for the seller to bid himself, or employ a **puffer** (fake bidder to run up price). Such a sale may be treated as **fraudulent** by the buyer.
64(5)	Sale may be notified **subject to a reserve (upset) price**.
64(6)	If the seller uses **pretended bidding** to raise the price, the sale is **voidable** at the buyer's option.

Section 64A — dealt with earlier: in the absence of a contrary agreement, changes in tax/duty after the contract are added to / deducted from the price accordingly.

Worked examples

(Law "problem sums" are application scenarios. Each is solved in Issue → Rule → Application → Conclusion (IRAC) style. Where numbers appear, they are internally verified.)

Worked Example 1 — Risk follows property, not possession (Sec 20 & 26)

Facts. On 1 April, Anand agrees to sell his specific consignment of 200 identified bales of cotton lying in his godown to Bharat for ₹8,00,000. The contract is unconditional and the cotton is in a deliverable state. Payment and delivery are fixed for 10 April. On the night of 5 April the godown catches fire (no fault of either party) and all 200 bales are destroyed. Bharat refuses to pay, arguing he never received the cotton. Can Anand recover the price?

Issue. Had *property* (ownership) in the cotton passed to Bharat before the fire, so that the risk of loss was his?

Rule. - Sec 20: In an **unconditional** contract for the sale of **specific goods in a deliverable state**, property passes to the buyer **at the time the contract is made** — the time of payment or delivery is immaterial. - Sec 26: Risk *prima facie* passes with property; goods are at the buyer's risk once property passes, whether or not delivery has been made.

Application. The goods were specific (200 identified bales), in a deliverable state, and the contract was unconditional. Therefore, under Sec 20, property passed to Bharat on **1 April** — the very day of the contract — even though delivery and payment were deferred to 10 April. Under Sec 26 the risk was Bharat's from 1 April. The fire on 5 April, without fault, destroyed *Bharat's own goods*.

Conclusion. The loss falls on Bharat (*res perit domino*). Anand can recover the **full price of ₹8,00,000**, even though Bharat receives nothing. (Accounting mirror: Anand would recognise the sale/revenue of ₹8,00,000 and the receivable; Bharat would carry a purchase and an ₹8,00,000 payable and book an ₹8,00,000 abnormal loss.)

Verification: Price ₹8,00,000 = receivable ₹8,00,000 in Anand's books = payable ₹8,00,000 in Bharat's books = loss ₹8,00,000 to Bharat. Consistent.

Worked Example 2 — Condition sinking to a warranty on acceptance (Sec 13 & 16)

Facts. Chetna, a baker, tells Diamond Mills she needs "flour fit for making bread" and relies on the mill's judgment. She orders 50 quintals at ₹3,000 per quintal (total ₹1,50,000). She takes delivery, pays in full, and over three weeks uses 30 quintals before discovering the entire lot was substandard — bread made from it fails to rise. She wants to reject the whole 50 quintals and get her ₹1,50,000 back. What are her rights?

Issue. (i) Was there a breach of an implied *condition*? (ii) Having accepted and part-used the goods, can Chetna still reject, or is she limited to damages?

Rule. - Sec 16(1): Where the buyer makes known the particular purpose and relies on the seller's skill/judgment (seller dealing in such goods), there is an implied **condition** the goods are reasonably fit for that purpose. - Sec 13(2): Where the contract is **non-severable** and the buyer has **accepted** the goods (or part), the breach of a condition **can only** be treated as a breach of **warranty** — buyer cannot reject — unless the contract provides otherwise. - Sec 42: Buyer is deemed to have accepted when he does an act inconsistent with the seller's ownership (here, consuming 30 quintals) or retains beyond a reasonable time.

Application. Chetna disclosed her purpose and relied on the mill's judgment — so Sec 16(1) implied a condition of fitness, which was breached (flour unfit for bread). *However*, she had **accepted** the goods: she paid, retained for three weeks, and used 30 of 50 quintals (an act inconsistent with the seller's ownership — Sec 42). The contract for a single lot is **non-severable**. Under **Sec 13(2)**, once she accepted, the broken condition is compulsorily reduced to a **warranty**. She therefore **cannot reject** the goods or reclaim the price.

Conclusion. Chetna is entitled only to **damages**, not rejection. Damages = the difference between the value the flour would have had if fit and its actual (defective) value, plus consequential loss.

Illustrative quantification (verified): If sound flour was worth ₹3,000/quintal and the defective flour had a salvage value of only ₹800/quintal, damages for diminished value = 50 × (₹3,000 − ₹800) = 50 × ₹2,200 = **₹1,10,000**. Plus, say, ₹15,000 wasted ingredients/consequential loss = **₹1,25,000** total claim. She keeps the goods (worth 50 × ₹800 = ₹40,000 salvage). Net position: ₹1,25,000 (damages) + ₹40,000 (salvage retained) = ₹1,65,000 — she is placed roughly where she'd have been with sound flour (₹1,50,000 paid + ₹15,000 lost ingredients avoided). Internally consistent.

Worked Example 3 — Unpaid seller: stoppage in transit and resale (Sec 50, 54)

Facts. Eshwar sells 100 LED televisions to Falcon Electronics for ₹40,00,000 (₹40,000 each) on 30 days' credit, and dispatches them by a road transporter from Chennai to Delhi. Two days into the six-day transit, Eshwar learns Falcon has been declared **insolvent** and has paid nothing. Eshwar gives written notice to the transporter to stop and redeliver the goods. He then, after notifying Falcon, resells all 100 sets to a new buyer for ₹36,00,000. Advise Eshwar.

Issue. (i) Is Eshwar an unpaid seller entitled to stop the goods in transit? (ii) Is the resale valid, and can he recover the shortfall?

Rule. - Sec 45: A seller is "unpaid" when the whole price has not been paid — here, nothing paid. - Sec 50: An unpaid seller may **stop goods in transit** and resume possession when the **buyer becomes insolvent** and the goods are still **in transit** (in the hands of a middleman carrier). - Sec 52: Stoppage is effected by taking possession or giving **notice to the carrier**. - Sec 54: After stoppage, an unpaid seller who **gives notice** to the buyer of intention to resell may **resell**; on resale he can recover any **loss** as damages, and the new buyer gets **good title**.

Application. Eshwar is unpaid (nothing received). The goods were in transit with the transporter (a middleman) and had not reached Falcon; Falcon is insolvent. So the conditions of **Sec 50** are met — Eshwar validly resumed possession by notice to the carrier (Sec 52). Having regained possession and given Falcon due **notice** of resale, his resale under **Sec 54** is valid; the new buyer obtains good title; and because notice was given, Eshwar may recover the **loss** on resale as damages from Falcon.

Conclusion. Loss on resale = ₹40,00,000 − ₹36,00,000 = **₹4,00,000**, recoverable from Falcon as damages (Eshwar proves as a creditor in Falcon's insolvency for ₹4,00,000). The new buyer keeps the televisions.

Verification: Original price ₹40,00,000 (100 × ₹40,000) − resale ₹36,00,000 (100 × ₹36,000) = ₹4,00,000 shortfall. Had the resale *exceeded* the contract price, Eshwar would keep the profit (having given notice). Numbers tie out.

Worked Example 4 — *Nemo dat*: sale under a voidable contract (Sec 29)

Facts. Gaurav, by misrepresentation, induces Harish to sell him a diamond ring worth ₹5,00,000, taking possession on 1 May. On 4 May, before Harish rescinds the contract, Gaurav sells the ring to Ishaan, a jeweller who buys in good faith for ₹4,80,000 with no notice of the fraud. On 6 May Harish discovers the fraud and demands the ring back from Ishaan. Can he recover it?

Issue. Did Gaurav, whose own title was *voidable*, pass a good title to Ishaan?

Rule. - Sec 27: *Nemo dat quod non habet* — normally a non-owner cannot pass title. - Sec 29 (exception): When the seller has obtained possession under a **voidable contract** (Sec 19/19A of the Contract Act — voidable for fraud/coercion/misrep) but the contract **has not been rescinded** at the time of sale, a buyer who buys **in good faith and without notice** of the seller's defect of title acquires a **good title**.

Application. Harish's contract with Gaurav was **voidable** (induced by misrepresentation), not void. As on 4 May it had **not been rescinded**. Gaurav therefore had a voidable-but-subsisting title and could pass good title. Ishaan bought in **good faith, for value (₹4,80,000), without notice** of the fraud. All Sec 29 conditions are satisfied.

Conclusion. Ishaan gets **good title**; Harish **cannot recover** the ring from him. Harish's only remedy is against **Gaurav** — for damages/price. Had Harish rescinded *before* 4 May (e.g. by informing authorities/Gaurav), Gaurav's title would have revested in Harish and Sec 29 would not protect Ishaan.

Consistency check: Ring value ₹5,00,000; Ishaan paid ₹4,80,000 in good faith → protected. Harish's loss (₹5,00,000 asset gone) is pursued against the fraudster Gaurav, not the innocent Ishaan — the risk falls on the party (Harish) who chose to deal with Gaurav. Logically coherent.

Worked Example 5 — Perishing of specific goods before property passes (Sec 8)

Facts. Jayant agrees to sell to Kiran a specific racehorse for ₹12,00,000, delivery and payment in one week. Two days later, before property has passed and without anyone's fault, the horse dies of a sudden illness. Kiran sues for non-delivery; Jayant claims the price. Who is right?

Issue. What is the effect of the destruction of specific goods after an agreement to sell but before property (and risk) passes?

Rule. Sec 8: Where there is an **agreement to sell specific goods**, and the goods **perish** or become so damaged as to no longer answer their description **without any fault** of seller or buyer, **before the risk passes to the buyer**, the agreement is thereby **void**.

Application. The horse was **specific**; the arrangement was an **agreement to sell** (property to pass in a week); the horse perished **without fault** before property/risk passed to Kiran. All conditions of Sec 8 are met.

Conclusion. The agreement is **void**. Neither party is liable: Kiran cannot claim damages for non-delivery, and Jayant **cannot recover the ₹12,00,000 price**. Any advance paid by Kiran must be **refunded** in full. (Contrast Worked Example 1: there, property had *already* passed under Sec 20, so the buyer bore the loss; here property had *not* passed, so the loss stays with the seller.)

Verification: If Kiran had paid an advance of, say, ₹2,00,000, Jayant must refund ₹2,00,000; net cash position of both parties returns to zero — consistent with a void agreement (restitution to status quo ante).

Connections — how this feeds CA Intermediate

- **Revenue recognition (Ind AS 115 / AS 9) — Advanced Accounting:** "Transfer of property/risk" (Sec 19–26) is the legal skeleton of "transfer of control" and "significant risks and rewards." When you decide *when to recognise revenue and de-recognise inventory*, you are applying the SOGA passing-of-property analysis in accounting language. Goods sent "on approval / sale or return" (Sec 24) directly drives cut-off testing.
- **Audit — cut-off, existence and the assertion of "rights and obligations":** An auditor verifying year-end sales and inventory is literally testing whether property had passed by the balance-sheet date. Sec 24/25/26 underpin cut-off procedures and goods-in-transit adjustments.
- **Law at Inter level — The Companies Act & Negotiable Instruments:** The conditional-payment idea in Sec 45 (bill/cheque as payment) links to the Negotiable Instruments Act. The agency exception (Sec 27, mercantile agent) links to the Contract Act's law of agency you deepen at Inter.
- **Insolvency mechanics:** The unpaid seller's remedies (lien, stoppage, resale) and the buyer-insolvency triggers preview the priority-of-creditors and secured-vs-unsecured logic you meet in the Insolvency and Bankruptcy Code topics.
- **Documentary sales / import-export:** Sec 25 (reservation of right of disposal, documents against payment) and Sec 39 (delivery to carrier) are the legal roots of CIF/FOB and letter-of-credit mechanics.

Traps & common mistakes

1. **Confusing possession with ownership.** Property (ownership) can pass while goods sit in the seller's godown (Sec 20); possession can be with the buyer while ownership stays with the seller (Sec 24/25/hire-purchase). Always ask *where is the property*, not *who is holding it*.

2. **Thinking risk follows delivery.** Risk follows **property** (Sec 26), not physical delivery. This is the single most tested trap.
3. **Assuming a "condition" always lets the buyer reject.** After **acceptance** of goods under a non-severable contract, a breach of condition sinks to a warranty (Sec 13(2)) — buyer keeps damages only. Watch for facts showing the buyer used/retained the goods.
4. **Applying Sec 7/8 to generic goods.** They apply only to **specific** goods. Generic goods "never perish" — the seller must still deliver from other stock.
5. **Forgetting *caveat emptor* still has teeth.** Students over-apply the exceptions. If the buyer *did not* make his purpose known, or *examined* the goods and the defect was one a reasonable exam would reveal, the seller is protected (Sec 16 proviso).
6. **Mixing up lien and stoppage in transit. Lien** = goods still *in seller's possession*; **stoppage** = goods have *left* the seller and are *in transit*, and it needs **buyer's insolvency**. They are sequential, not alternative, and stoppage revives a lien once possession is resumed.
7. **Resale without notice.** Under Sec 54, if the seller resells *without* giving required notice, he **cannot recover the loss** and must **hand over any profit** to the buyer. Many candidates flip this.
8. **Barter/exchange treated as sale.** Money price is essential (Sec 2(10)). Goods-for-goods is not a sale under this Act.
9. **Retraction of bids at auction.** Until the hammer falls, *any* bidder may retract (Sec 64(2)) — a bid is only an offer. Students wrongly treat a bid as binding.
10. **"Seller's own bidding is always fraud."** Only unlawful if the sale was *not notified* as subject to the seller's right to bid (Sec 64(3)/(4)). A notified reserve-price/right-to-bid auction is perfectly valid.

First-principles recap

- A **sale** transfers ownership **now**; an **agreement to sell** transfers it **later/on a condition** — and that timing decides who bears loss (*res perit domino*).
- **Property is the pivot:** risk (Sec 26), the seller's remedy (price vs damages), and the power to pass title all follow the location of ownership.
- **Quality liability is graded:** essential terms are **conditions** (reject + damages); minor terms are **warranties** (damages only); acceptance under a non-severable contract melts a condition into a warranty (Sec 13).
- ***Caveat emptor*** is the default (buyer beware), but it **flips to caveat venditor** wherever the buyer reasonably relies on the seller or the seller is dishonest (Sec 16 exceptions).
- ***Nemo dat*** protects true owners, but **innocent buyers** are protected in defined situations where the owner created the risk (Sec 27–30).
- An **unpaid seller** has *real* self-help rights over the **goods** (lien, stoppage, resale) plus *personal* rights against the **buyer** (price, damages) — but the real rights end once the buyer is paid up or firmly in possession.

Quick-reference

Topic	Key section(s)	One-line rule
Contract of sale defined	**Sec 4**	Transfer of property in goods for a price.
Sale vs agreement to sell	Sec 4(3)/(4)	Property now = sale; later/conditional = agreement to sell.
Goods defined	Sec 2(7)	Movable property except money & actionable claims.
Perishing before contract	**Sec 7**	Specific goods already perished → contract **void**.
Perishing before property passes	**Sec 8**	Specific goods perish without fault → agreement **void**.
Price	Sec 9, 10	Fixed by contract/manner/dealing; else reasonable price.
Condition vs warranty	**Sec 12**	Condition = root (reject); warranty = collateral (damages).
Condition → warranty	**Sec 13**	Waiver, or acceptance of non-severable goods, reduces it.
Implied condition of title	Sec 14(a)	Seller has right to sell.
Sale by description	Sec 15	Goods must match description.
Fitness / merchantability	**Sec 16(1)/(2)**	Fit for known purpose (reliance); merchantable if bought by description from dealer.
Sale by sample	Sec 17	Bulk to match sample; free from latent unmerchantable defect.
Caveat emptor	**Sec 16 (opening)**	No implied warranty of quality/fitness — buyer beware.
Property passes by intention	**Sec 19**	Specific/ascertained goods — as parties intend.
Unascertained goods	Sec 18, 23	No property till ascertained; passes on appropriation.
Specific goods, deliverable	**Sec 20**	Property passes at contract.
Goods on approval	Sec 24	Passes on acceptance/retention/adopting act.
Reservation of disposal	Sec 25	Property withheld till conditions met.
Risk follows property	**Sec 26**	Risk passes with ownership, not delivery.
Nemo dat	**Sec 27**	No one gives better title than he has (+ exceptions Sec 27–30, 54).
Duties/performance	Sec 31, 32	Deliver vs accept & pay — concurrent conditions.
Delivery to carrier	Sec 39	Prima facie delivery to buyer.
Acceptance	Sec 42	Intimation / inconsistent act / retention.
Unpaid seller defined	**Sec 45**	Whole price unpaid / instrument dishonoured.
Lien	**Sec 46–49**	Retain goods (in possession) till paid.
Stoppage in transit	**Sec 50–52**	Resume goods in transit if buyer insolvent.
Right of resale	**Sec 54**	Resell if perishable / after notice / reserved right.

Topic	Key section(s)	One-line rule
Suit for price / damages	Sec 55, 56	Price if property passed; else damages.
Auction sale	**Sec 64**	Each lot separate; hammer completes; bids retractable till then.
Tax change	Sec 64A	Adjusts price unless contrary agreement.

Q&A — Foundation: The Sale of Goods Act, 1930

Practice bank for CA Foundation Paper 2 (Business Laws, 2024 New Scheme). Mix of theory/definition questions (with model answers and how to present for full marks) and application/case-scenario questions (IRAC style — Issue, Rule, Application, Conclusion). Section references are to the Sale of Goods Act, 1930 unless stated.

Part A — Theory / Definition questions

Q1. Define a "contract of sale of goods" and distinguish it from an "agreement to sell."

Model answer. Under **Section 4(1)**, a *contract of sale of goods* is a contract whereby the seller **transfers or agrees to transfer the property in goods** to the buyer **for a price**. It is the genus; "sale" and "agreement to sell" are its two species. - Where the property in the goods is **transferred at once**, it is a **sale** [Sec 4(3)]. - Where the transfer of property is to take place **at a future time or subject to a condition**, it is an **agreement to sell** [Sec 4(3)]; it becomes a sale when the time elapses or condition is fulfilled [Sec 4(4)].

Basis	Sale	Agreement to sell
Transfer of property	Immediate	Future / conditional
Nature	Executed contract	Executory contract
Risk of loss	Buyer (owner)	Seller (owner)
Right created	Jus in rem (against the goods)	Jus in personam (against the person)
Seller's remedy	Suit for price	Suit for damages
Buyer's insolvency	Seller keeps lien/price	Seller may withhold delivery

Full-marks tip: Quote Sec 4 verbatim for the definition, then present the distinction as a table with at least five bases including *risk* and *jus in rem vs jus in personam*.

Q2. What are the essential elements of a valid contract of sale?

Model answer. Under **Section 4**: (1) **two parties** (buyer and seller, who must be different persons); (2) **goods** — movable property [Sec 2(7)]; (3) **transfer of property** (ownership) in the goods; (4) a **money price** [Sec 2(10)] — goods-for-goods is barter, not sale; (5) all the **essentials of a valid contract** under the Indian Contract Act, 1872 (free consent, competent parties, lawful object, etc.); (6) it may be **absolute or conditional**. **Tip:** List all six crisply; examiners award a mark per element.

Q3. Define "goods" under the Act and explain their classification.

Model answer. Section 2(7): "Goods" means every kind of **movable property** other than **actionable claims** and **money**, and includes **stock and shares, growing crops, grass, and things attached to or forming part of land agreed to be severed** before sale or under the contract. Classification: - **Existing goods** — owned/possessed by seller: (a) **specific** [Sec 2(14)] — identified and agreed at contract; (b) **ascertained** — identified after contract; (c) **unascertained** — defined by description only. - **Future goods** [Sec 2(6)] — to be manufactured/produced/acquired after the contract; a sale of future goods operates only as an **agreement**

to sell [Sec 6(3)]. - **Contingent goods** [Sec 6(2)] — future goods whose acquisition depends on an uncertain contingency.

Q4. Distinguish between a "condition" and a "warranty" (Sec 12). When does a condition sink to a warranty (Sec 13)?

Model answer. - **Condition** [Sec 12(2)]: a stipulation **essential** to the main purpose of the contract; breach entitles the buyer to **repudiate** the contract *and* claim damages. - **Warranty** [Sec 12(3)]: a stipulation **collateral** to the main purpose; breach entitles the buyer **only to damages**, not rejection. - Whether a stipulation is a condition or warranty depends on the **construction of the contract**, not the words used [Sec 12(4)].

A condition sinks to a warranty (Sec 13) when: (a) the buyer **waives** the condition or **elects** to treat its breach as a breach of warranty [Sec 13(1)]; (b) the contract is **non-severable** and the buyer has **accepted** the goods (or part) — then the breach can only be treated as a breach of warranty [Sec 13(2)]; (c) fulfilment of the condition is **excused by law** owing to impossibility.

Q5. State the implied conditions in a contract of sale.

Model answer. Unless a contrary intention appears: (1) **title** — seller has the right to sell [Sec 14(a)]; (2) **sale by description** — goods must correspond with the description [Sec 15]; (3) **sale by sample** — bulk must match sample; free from latent unmerchantable defect [Sec 17]; (4) **sale by description and sample** — must match both [Sec 15]; (5) **fitness for buyer's particular purpose** — where purpose made known and reliance placed on seller [Sec 16(1)]; (6) **merchantable quality** — goods bought by description from a dealer [Sec 16(2)]; (7) condition implied by **usage of trade** [Sec 16(3)].

Q6. State the implied warranties in a contract of sale.

Model answer. (1) **Quiet possession** — buyer shall enjoy quiet possession [Sec 14(b)]; (2) **Freedom from encumbrances** — goods free from any undisclosed charge/encumbrance of a third party [Sec 14(c)]; (3) warranty as to **quality/fitness by usage of trade** [Sec 16(3)]; (4) (judicially) warranty to **disclose the dangerous nature** of goods to an ignorant buyer.

Q7. Explain the doctrine of *caveat emptor* and its exceptions (Sec 16).

Model answer. *Caveat emptor* means **"let the buyer beware."** Under the opening words of **Section 16**, subject to the Act, there is **no implied warranty or condition as to quality or fitness** for any particular purpose of goods supplied under a contract of sale — the buyer buys at his own risk and must examine the goods himself. **Exceptions** (risk shifts to seller): (1) fitness for buyer's purpose where purpose disclosed and reliance placed [Sec 16(1)]; (2) merchantable quality — sale by description by a dealer [Sec 16(2)]; (3) sale by sample [Sec 17]; (4) sale by description [Sec 15]; (5) fitness/quality by usage of trade [Sec 16(3)]; (6) where seller obtains consent by **fraud** or **conceals a latent defect**. **Tip:** Always give both the *rule* (with the maxim) and *all six exceptions* with sections.

Q8. "Property" is the pivot of the Sale of Goods Act. Explain how property passes for (a) specific goods and (b) unascertained goods.

Model answer. General rule (Sec 19): In a sale of *specific or ascertained* goods, property passes **when the parties intend it to pass**, gathered from the terms, conduct and circumstances. Where intention is unclear, Sections 20–24 supply rules: - **Sec 20** — specific goods in a deliverable state, unconditional contract →

property passes **at the time of contract**. - **Sec 21** — seller bound to put goods in a deliverable state → passes when done and buyer notified. - **Sec 22** — seller must weigh/measure to fix price → passes when done and buyer notified.

Unascertained goods (Sec 18 & 23): No property passes until goods are ascertained [Sec 18]; thereafter property passes on **unconditional appropriation** of goods of that description in a deliverable state, by one party with the other's assent [Sec 23]. Delivery to a carrier without reserving disposal amounts to appropriation.

Q9. State the rule regarding transfer of risk (Sec 26).

Model answer. Under **Section 26**, unless otherwise agreed, goods remain at the **seller's risk until property is transferred to the buyer**; once property passes, they are at the **buyer's risk whether or not delivery has been made** (*res perit domino*). Riders: (i) if delivery is delayed by the fault of a party, risk of resulting loss is on the **party in fault**; (ii) risk and property may be **separated by agreement**; (iii) duties as **bailee** are unaffected. **Tip:** Emphasise that risk follows **property, not delivery** — the classic exam point.

Q10. Explain the maxim *nemo dat quod non habet* and list its exceptions.

Model answer. *Nemo dat quod non habet* — **"no one can give a better title than he himself has."** Under **Section 27**, a sale by a non-owner without the owner's authority/consent passes **no title** to the buyer, even a bona fide one. **Exceptions (a non-owner can pass good title):** (1) sale by a **mercantile agent** in possession with owner's consent [Sec 27 proviso]; (2) sale by a **co-owner** in sole possession with consent [Sec 28]; (3) sale under a **voidable contract** not yet rescinded [Sec 29]; (4) **seller in possession after sale** [Sec 30(1)]; (5) **buyer in possession before property passes** [Sec 30(2)]; (6) **estoppel** [Sec 27]; (7) resale by an **unpaid seller** [Sec 54]; (8) sales under other Acts (pledgee, finder, Official Assignee).

Q11. Who is an "unpaid seller"? What are his rights against the goods?

Model answer. Section 45: a seller is **unpaid** when (a) the whole price has not been paid or tendered, or (b) a negotiable instrument received as conditional payment has been **dishonoured**. "Seller" includes an agent in the position of a seller. **Rights against the goods:** (1) **Lien** — right to retain goods while in possession until paid [Sec 46–49]; (2) **Stoppage in transit** — right to resume possession while goods are in transit if the buyer becomes **insolvent** [Sec 50–52]; (3) **Right of resale** [Sec 54]. Where property has not passed, he also has a right to **withhold delivery** [Sec 46(2)].

Q12. Distinguish between the right of lien and the right of stoppage in transit.

Model answer.

Basis	Lien (Sec 46–49)	Stoppage in transit (Sec 50–52)
Possession	Goods **still with seller**	Goods have **left** seller, in transit
Trigger	Non-payment (credit expired / cash sale)	Buyer's **insolvency**
Nature	Right to **retain**	Right to **regain** possession
Ends when	Possession lost/delivered	Transit ends (buyer/agent takes delivery)
Relationship	Precedes	Revives a lien once goods resumed

Q13. Explain the unpaid seller's right of resale (Sec 54) and its consequences.

Model answer. An unpaid seller who has exercised lien or stoppage may **resell** the goods where: (i) the goods are of a **perishable** nature; (ii) he gives **notice** to the buyer of his intention to resell and the buyer fails to pay within a reasonable time; or (iii) he **expressly reserved** a right of resale. **Consequences:** the **new buyer acquires good title** [Sec 54(3)]. Where **notice was given**, the seller may recover any **loss** on resale as damages and keeps any profit. Where **notice was required but not given**, he **cannot recover the loss** and must **account for any profit** to the original buyer.

Q14. State the rules governing a sale by auction (Sec 64).

Model answer. Under **Section 64**: (1) each **lot** is prima facie a **separate contract** [64(1)]; (2) sale is complete on the **fall of the hammer** or customary announcement, and **until then any bidder may retract** [64(2)]; (3) the **seller may reserve a right to bid** if expressly notified [64(3)]; (4) if not so notified, it is **unlawful** for the seller to bid or employ a **puffer**, and the buyer may treat the sale as fraudulent [64(4)]; (5) sale may be **subject to a reserve price** [64(5)]; (6) **pretended bidding** by the seller makes the sale **voidable** at the buyer's option [64(6)].

Q15. What is the effect of destruction of goods (Sec 7 and Sec 8)?

Model answer. Both apply only to **specific goods**. **Section 7:** where specific goods have **already perished** (or are so damaged as to no longer answer their description) at the time of the contract, **without the seller's knowledge**, the contract is **void** (mistake as to existence). **Section 8:** where specific goods, in an **agreement to sell**, perish **without fault** of either party **before property/risk passes** to the buyer, the agreement is **void** (frustration). Generic goods do not "perish" in law — the seller must still deliver from other stock.

Q16. How is the price determined under the Act (Sec 9 and 10)?

Model answer. Section 2(10) defines "price" as the **money consideration** for a sale. **Section 9:** price may be (i) fixed by the contract, (ii) fixed in an agreed manner (e.g. third-party valuation), or (iii) determined by the course of dealing; failing all, the buyer pays a **reasonable price**. **Section 10:** where price is left to a **third-party valuation** and he cannot or does not value, the agreement is **void**; but if goods have been delivered and appropriated by the buyer, he must pay a **reasonable price**; a party in fault for preventing the valuation is liable in **damages**.

Part B — Application / Case-scenario questions (IRAC)

Q17. Specific goods destroyed after property passed.

Facts. A sells to B a specific lot of 100 identified bags of sugar lying in A's warehouse for ₹2,00,000; the contract is unconditional and the sugar is in a deliverable state; delivery and payment are fixed for a week later. Before delivery, the warehouse floods and the sugar is destroyed without anyone's fault. B refuses to pay. Decide.

Answer. - **Issue:** Had property (and hence risk) passed to B before the loss? - **Rule:** Sec 20 — property in specific goods in a deliverable state under an unconditional contract passes **at the time of the contract**; Sec 26 — risk follows property. - **Application:** The sugar was specific and deliverable; the contract unconditional. Property passed to B at the moment of contract, so the risk was B's when the flood occurred, though delivery was pending. - **Conclusion:** B bears the loss (*res perit domino*) and must pay the full **₹2,00,000**. A can sue for the price under Sec 55.

Q18. Fitness for purpose — reliance on seller's skill.

Facts. P asks Q, a dealer in hot-water bottles, for "a bottle for applying heat to the body." Q supplies one that bursts on first use and scalds P. Is Q liable?

Answer. - **Issue:** Was there a breach of an implied condition of fitness? - **Rule:** Sec 16(1) — where the buyer makes known the particular purpose so as to show reliance on the seller's skill/judgment, and the goods are of a description the seller deals in, there is an implied **condition** the goods are reasonably fit for that purpose. - **Application:** P disclosed the purpose (applying heat to the body) and relied on Q, a dealer. A hot-water bottle that bursts is not reasonably fit. The condition was breached. - **Conclusion:** Q is **liable**; P may reject the goods and claim damages for the injury (based on *Priest v. Last*).

Q19. *Caveat emptor* — buyer examined the goods.

Facts. R buys a second-hand motorcycle after inspecting it. Later he finds the engine is worn out — a defect a reasonable inspection would have revealed. He wants to reject it. Advise.

Answer. - **Issue:** Does *caveat emptor* bar R's claim? - **Rule:** Sec 16 (opening) — *caveat emptor*: no implied condition/warranty of quality/fitness. Proviso to Sec 16(2): if the buyer **examined** the goods, there is no implied condition as to defects a reasonable examination **ought to have revealed**. - **Application:** R inspected the bike; the worn engine was a defect a reasonable inspection ought to have revealed. He placed no reliance on the seller for a particular purpose. - **Conclusion:** *Caveat emptor* applies; R **cannot reject** the motorcycle or claim damages.

Q20. Sale by description not matching.

Facts. S orders "Java cotton" by description from T. T delivers cotton that is partly Java and partly of another variety. S wants to reject the whole consignment. Can he?

Answer. - **Issue:** Did the goods correspond with the description? - **Rule:** Sec 15 — in a sale by description, there is an implied **condition** that the goods shall correspond with the description; breach of condition entitles the buyer to reject. - **Application:** The goods did not wholly match the description "Java cotton." The correspondence-with-description condition was breached. - **Conclusion:** S may **reject the whole consignment** and treat the contract as repudiated (based on *Re Moore & Landauer*). (Alternatively he may accept and claim damages, or reject the non-conforming part and accept the rest under Sec 37.)

Q21. *Nemo dat* — sale by seller in possession after sale.

Facts. U sells his motorcar to V but, before delivery, remains in possession. U then sells and delivers the same car to W, who buys in good faith without notice of the earlier sale. V claims the car from W. Decide.

Answer. - **Issue:** Did U pass good title to W despite the earlier sale to V? - **Rule:** Sec 30(1) — where a seller, having sold goods, **continues in possession** of them and sells/delivers them to a person who takes in **good faith and without notice** of the prior sale, the later buyer acquires **good title**. - **Application:** U continued in possession after selling to V and delivered to W, a good-faith buyer without notice. All conditions of Sec 30(1) are met. - **Conclusion: W gets good title**; V cannot recover the car from W. V's remedy is against U for damages/price.

Q22. Goods sent on approval ("sale or return").

Facts. X delivers jewellery to Y "on sale or return." Y retains it beyond the agreed 15 days without approving or returning it, then it is stolen from Y's shop. X sues Y for the price. Decide.

Answer. - **Issue:** Had property passed to Y before the theft? - **Rule:** Sec 24 — in a sale on approval/"sale or return," property passes when the buyer (a) signifies approval, (b) **retains the goods beyond the agreed/reasonable time** without notice of rejection, or (c) does an act adopting the transaction. - **Application:** Y retained the jewellery beyond the agreed 15 days without rejecting it — property passed to Y under Sec 24(b) at the expiry of that period, before the theft. - **Conclusion:** Property (and risk, Sec 26) had passed to Y; the loss is Y's. **Y must pay the price** to X.

Q23. Stoppage in transit on buyer's insolvency.

Facts. M sells goods worth ₹6,00,000 to N on credit and hands them to a railway for carriage to N. While the goods are still with the railway, M learns N has become insolvent and has paid nothing. What can M do?

Answer. - **Issue:** Can M, an unpaid seller, stop the goods in transit? - **Rule:** Sec 45 (unpaid seller) + Sec 50 — an unpaid seller may **stop goods in transit** and resume possession where the buyer becomes **insolvent** and the goods are still in the hands of a middleman carrier; effected by notice to the carrier (Sec 52). - **Application:** M is unpaid (nothing received); N is insolvent; goods are in transit with the railway. All conditions of Sec 50 are satisfied. - **Conclusion:** M can **stop the goods in transit** by giving notice to the railway, resume possession, and retain them until paid; he may then resell under Sec 54 (with notice) and recover any loss as damages.

Q24. Resale without notice.

Facts. After exercising a lien on non-perishable goods (contract price ₹5,00,000), an unpaid seller resells them for ₹5,40,000 **without giving notice** to the buyer, then the original buyer tenders the price. Who is entitled to the ₹40,000 surplus, and can the seller keep it?

Answer. - **Issue:** What are the consequences of resale by an unpaid seller **without notice** where the goods are not perishable? - **Rule:** Sec 54 — where notice of resale is **required but not given**, the seller **cannot recover any loss** and must **account to the buyer for any profit** on the resale (the new buyer still gets good title under Sec 54(3)). - **Application:** The goods were non-perishable and no right of resale was reserved, so notice was required. The seller resold without notice at a ₹40,000 profit (₹5,40,000 − ₹5,00,000). - **Conclusion:** The **new buyer keeps the goods** (good title), but the seller **cannot retain the ₹40,000 profit** — he must **account for it to the original buyer**. Had he given notice, he could have kept the profit (and recovered any loss).

Q25. Auction — retraction of a bid.

Facts. At an auction, the highest bid of ₹1,20,000 is made by Z. Before the auctioneer's hammer falls, Z shouts that he withdraws his bid. The auctioneer insists the goods are sold to Z. Is Z bound?

Answer. - **Issue:** Can a bidder retract before the fall of the hammer? - **Rule:** Sec 64(2) — a sale by auction is complete **on the fall of the hammer** or other customary manner; **until such announcement, any bidder may retract** his bid (a bid is merely an offer). - **Application:** Z withdrew his bid **before** the hammer fell. The sale was not yet complete; his bid was a revocable offer. - **Conclusion:** Z is **not bound**; his retraction is valid and the auctioneer cannot hold him to the ₹1,20,000 bid.

Q26. Voidable contract — title passed before rescission.

Facts. By fraud, D obtains a laptop from C (worth ₹90,000) and, before C rescinds, sells it to E, a good-faith buyer for ₹85,000 with no notice of the fraud. C then discovers the fraud and claims the laptop from E. Decide.

Answer. - **Issue:** Did D pass good title to E despite D's voidable title? - **Rule:** Sec 29 — where the seller has obtained goods under a **voidable contract** (fraud/coercion/misrep) not yet rescinded, a buyer in **good faith without notice** acquires good title. - **Application:** C's contract with D was voidable, not void, and was **not rescinded** before the sale to E. E bought in good faith, for value, without notice. - **Conclusion: E gets good title**; C **cannot recover** the laptop from E and must proceed against **D**. Had C rescinded before the sale to E, E would not be protected.

Foundation: The Indian Partnership Act, 1932

1. The Problem it solves

Two friends want to start a business together. One has ₹5,00,000 in savings; the other has ten years of trade contacts and the willingness to run the shop daily. They pool their strengths, open "Kumar & Sharma Traders," and begin selling. Now the awkward questions start pouring in — the *unspoken* questions that will one day turn into a lawsuit if nobody answers them in advance:

- If the business borrows ₹8,00,000 from a bank and then collapses, whose house does the bank take — the firm's, or the partners' personal homes? Both partners', or only the one who signed the loan?
- When Sharma (who never put in cash but runs the shop) signs a contract with a supplier for ₹2,00,000 of stock, is *Kumar* bound by that contract even though he never saw it?
- If they never wrote down a profit-sharing ratio, and one partner worked twice as hard, does he get more profit — or is it split equally?
- A creditor of the firm is owed money. A *private* creditor of Kumar personally is also owed money. When the firm's assets are sold, who gets paid first out of the firm's property?
- One partner secretly runs a competing side-business and pockets ₹50,000. Can the firm claw that profit back?
- Kumar dies. Does the firm automatically die with him? Can his son walk in as a partner?

A business run by two-or-more people is not just an accounting arrangement — it is a **web of legal relationships**: partner-to-partner, partner-to-firm, and firm-to-outsiders. Left undefined, every one of these relationships is a lawsuit waiting to happen. The **Indian Partnership Act, 1932** exists to supply the *default answers* to all of these questions, so that even partners who wrote nothing down are governed by a fair, predictable rulebook. It defines what a partnership *is*, who is liable for what, what one partner can bind the others to, and how the whole thing is unwound when it ends.

For a CA specifically, this matters twice over. First, a huge share of Indian businesses — the small factory, the CA firm itself, the trading concern — are partnerships, and you will audit them, prepare their accounts, and advise them. Second, partnership *accounting* (admission, retirement, death, dissolution, goodwill) sits on top of this *legal* skeleton. You cannot correctly pass a retiring-partner's journal entry until you know the *law* of what a retiring partner is entitled to.

2. Core Idea

A partnership is **a contract between persons to carry on a business together and share its profits, where each partner is simultaneously a principal and an agent of the others.**

That last clause is the whole engine. The one central idea from which every rule in the Act flows is **mutual agency**: *every partner is an agent of the firm and of every other partner for the purpose of the business.* When Sharma buys stock for the firm, he is not acting only for himself — he is acting as Kumar's agent, so the act binds Kumar too. And because Sharma is *also* a principal (a co-owner), he is bound by what Kumar does. Each partner wears both hats at once.

Section 4 puts it precisely:

> "**Partnership** is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

Read the emphasised phrase — "**carried on by all or any of them acting for all**." That *is* mutual agency, sitting in the very definition. Everything else — liability, implied authority, dissolution — is a logical consequence.

3. Why it works this way

Why should Kumar be personally liable, to the last rupee of his private house, for a loan Sharma signed? The answer is *first-principles fairness combined with commercial trust*, and it runs like this:

Step 1 — A partnership has no separate legal personality. Unlike a company (which the law treats as an artificial "person" distinct from its shareholders), a partnership firm is *not* a separate legal entity. In the eyes of the law, "the firm" is just a convenient collective name for the partners themselves — "a compendious name for the partners." There is no legal wall between the business and the humans behind it. So a debt of the firm is, logically, a debt of the persons who *are* the firm. That is *why* liability is personal and unlimited: there is no artificial person to absorb it.

Step 2 — Because they share profits, they must share losses. A partner takes the upside of the business. Fairness demands he also carries the downside. You cannot pocket profits in good years and disclaim debts in bad ones. Unlimited liability is simply the mirror image of unlimited profit entitlement.

Step 3 — Because they trust each other to act for the firm, they must answer for each other. The entire *point* of a partnership is that partners can transact for the firm without running back for the others' signature each time — otherwise the business would grind to a halt. That convenience (mutual agency) has a price: if you empower your partner to bind you, you must honour what he binds you to. An outsider dealing with Sharma is entitled to assume Sharma speaks for the firm; the law protects that reasonable assumption by making all partners liable. **Liability is the flip side of agency.**

Step 4 — Liability is joint AND several. Not merely joint (all together) but also several (each one individually, in full). Section 25 makes every partner liable "jointly with all the other partners and also severally" for all acts of the firm done while he is a partner. So the bank can pursue Kumar *alone* for the *entire* ₹8,00,000, leaving Kumar to recover Sharma's share from Sharma. Why so harsh? Because it protects the innocent *outsider* — the creditor should not have to chase multiple partners across multiple courts; he should be able to grab whichever partner is solvent and let the partners sort out contribution among themselves. The law places the burden of a defaulting partner on the *other partners*, not on the innocent creditor.

Once you internalise "no separate personality → personal liability → mutual agency → joint and several liability," you can *derive* most of the Act rather than memorise it.

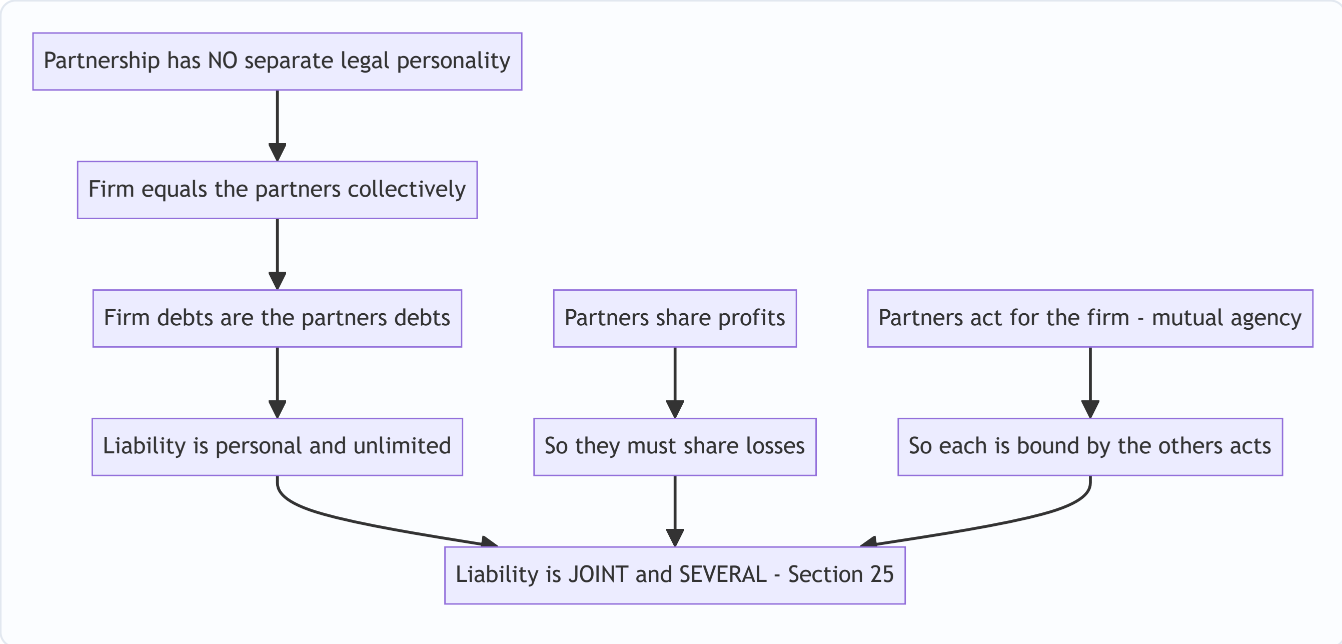


Figure 1 — Deriving unlimited joint-and-several liability from first principles.

4. Full technical content

4.1 Definition and the essential elements (Sections 4)

Section 4 gives three linked terms: - **Partnership** — the *relation* between the persons. - **Partners** — the persons who have entered into partnership *with one another*. - **Firm** — the collective name under which they carry on business. - **Firm name** — the name under which the business is carried on.

From the definition, the courts (and ICAI) extract **essential elements** of a partnership. A useful memory frame: **"A-B-S-M"** plus the underlying *association of persons*.

#	Essential element	What it requires	Section anchor
1	**Association of two or more persons**	At least 2 persons, each competent to contract	S.4; competence via Indian Contract Act
2	**Agreement (A)**	Must arise from a *contract*, not from status. "Partnership arises from contract, not from status"	S.5
3	**Business (B)**	Must carry on a *business* (any trade, occupation, or profession — S.2(b)). A one-off, non-recurring transaction is generally not "business"	S.2(b), S.4
4	**Sharing of profits (S)**	An agreement to *share the profits* of that business	S.4
5	**Mutual agency (M)**	Business carried on by *all or any of them acting for all* — the true/final test	S.4, S.18

The single most important exam point: sharing of profits is *essential but not conclusive*. The **true test** of partnership is **mutual agency** (Section 6 read with the *Cox v. Hickman* principle). A person may receive a share of profits and *still not be a partner* — e.g., a lender paid interest varying with profits, a servant/agent paid a commission on profits, the widow of a deceased partner receiving an annuity, or the seller of goodwill paid out of profits. In each case there is profit-sharing but **no agency and no right to bind the firm**, so no partnership.

4.2 The "true test" — Section 6

Section 6 says that in determining whether a group of persons is a firm, regard shall be had to the **real relation between the parties, as shown by all relevant facts taken together** — not merely the label the parties use. Profit-sharing is *prima facie* (first-glance) evidence of partnership, but the *conclusive* test is **whether the business is carried on by all or any of them acting for all**, i.e., mutual agency.

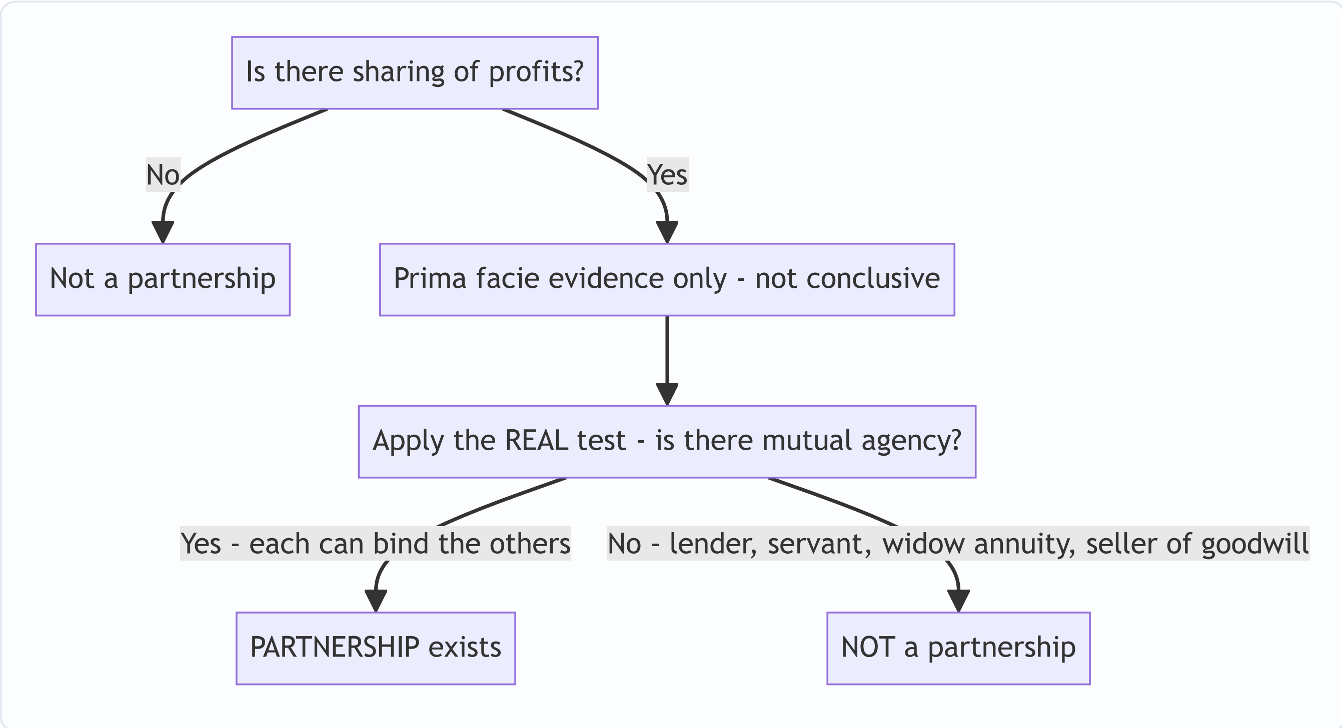


Figure 2 — Section 6 decision logic: profit-sharing opens the door, mutual agency decides.

4.3 Partnership distinguished from other relations

Feature	Partnership	Co-ownership	Hindu Undivided Family (HUF) business	Company
Created by	Contract (S.5)	May arise without agreement (e.g., inheritance)	Status/birth into the family	Registration under Companies Act
Business necessary?	Yes	Not necessary	Not necessary	Yes (per objects)
Separate legal entity?	No	No	No	**Yes**
Profit sharing?	Essential	Not necessarily	By survivorship / on partition	Dividends
Mutual agency?	**Yes**	No	Only the **Karta** manages/binds	Directors/board bind the company
Liability	Unlimited, joint & several	Limited to own share	Karta unlimited; coparceners limited to their share in HUF property	Limited to unpaid share
Max members	50 (Rule 10, Companies (Misc.) Rules 2014)	No limit	No limit	200 (private); unlimited (public)
Death of a member	May dissolve firm	No effect on co-ownership	No dissolution — continues	No effect (perpetual succession)
Transfer of interest	Only with consent of all	Freely transferable	Not transferable	Freely (public) / restricted (private)

Maximum number of partners: The Partnership Act itself is silent on the maximum. The ceiling now comes from **Section 464 of the Companies Act, 2013** read with **Rule 10 of the Companies (Miscellaneous) Rules, 2014**, which sets the maximum at **50 partners**. (The Act permits up to 100; the Rule currently prescribes 50.) A firm exceeding this becomes an *illegal association*. Minimum is **2**.

4.4 Types of partnership and types of partners

Types of partnership (by duration / scope):

Type	Meaning	Section
Partnership at will	No fixed period and no provision for determination; any partner may dissolve by giving notice	S.7, S.43
Particular partnership	Formed for a *single venture* or a *particular undertaking*	S.8
Fixed-term partnership	Constituted for a fixed period; if continued after expiry, becomes partnership at will	S.7, S.17(b)

Types of partners:

Type of partner	Contributes capital?	Takes part in management?	Shares profits?	Liable to third parties?	Notes
Active / Actual / Ostensible	Yes	Yes	Yes	Yes (fully)	Must give public notice to escape liability on retirement (S.32)
Sleeping / Dormant	Yes	**No**	Yes	Yes (fully)	Need NOT give public notice on retirement
Nominal	**No**	No	**No**	**Yes** — because he lends his name	Liable to outsiders who relied on his name
Partner in profits only	Usually yes	Sometimes	Profits only, **not losses**	Yes to third parties	Cannot be made to share losses internally
Sub-partner	—	No	Shares another partner's profit	**No** — no privity with the firm	Not a partner of the firm at all
Partner by estoppel / holding out	No	No	No	**Yes** — to the one who gave credit relying on the representation	S.28
Minor admitted to benefits	Yes (through guardian)	No (limited)	Yes	Liable only to the extent of his share in the firm	S.30

4.5 Partner by holding out / estoppel — Section 28

If a person, **by words spoken or written or by conduct, represents himself, or knowingly permits himself to be represented, as a partner** in a firm, he is **liable as a partner** to anyone who has, *on the faith of such representation*, given credit to the firm — whether or not he knew the representation reached that person. This is the doctrine of *holding out*. It rests on estoppel: you cannot let the world believe you are a partner, watch a creditor extend credit on that belief, and then deny you are a partner when the bill falls due.

4.6 Minor admitted to the benefits of partnership — Section 30

A minor cannot be a *partner* (a contract with a minor is void ab initio under the Contract Act), but **with the consent of all partners a minor may be admitted to the benefits** of an existing partnership.

- **During minority:** He has a right to his agreed share of *profits and property*; he may inspect and copy the firm's *accounts* (but not the books generally); his liability is **limited to his share** in the firm — his personal assets are never touched, and he is not personally liable.
- He **cannot sue** the partners for accounts or payment of his share *except* when severing his connection with the firm.

- **On attaining majority**, he must, within **6 months** of attaining majority *or* of knowing he was admitted to benefits (whichever is later), **give public notice** electing to *become* or *not become* a partner. If he gives no notice, he is **deemed to have become a partner** on the expiry of those 6 months.
- If he **becomes** a partner: his liability becomes personal and unlimited, and it dates back to when he was *first admitted to the benefits*.
- If he **elects not to** become a partner: his rights and liabilities continue as those of a minor up to the date of the public notice, and his share is not liable for acts of the firm after that date.

4.7 The partnership deed

A partnership can be **oral or written** — writing is *not* legally compulsory. But a written deed (the **partnership deed**), on stamped paper, is strongly advisable and usually required for registration and for opening bank accounts / income-tax purposes. Typical contents:

Clause	What it fixes
Name and address of firm and all partners	Identity
Nature and place of business	Scope
Date of commencement and duration	At will / fixed term / particular
Capital contributed by each partner	Capital accounts
Profit-sharing ratio	Division of profits and losses
Interest on capital / drawings; partner's salary/commission	Appropriations
Duties, powers, and restrictions of partners	Management
Method of valuing **goodwill**	Admission/retirement/death
Procedure on admission, retirement, death, dissolution	Continuity
Method of settling accounts on dissolution	Winding up
Arbitration clause	Dispute resolution

Rules that apply in the ABSENCE of a deed (Section 13) — memorise these, they are heavily tested: - Profits and losses shared **equally**, regardless of capital contributed. - **No interest on capital.** - **No interest on drawings.** - **No salary/remuneration** to any partner for taking part in the business. - Interest on a partner's **loan/advance** to the firm (beyond his capital) is payable at **6% per annum**. - Every partner has a right to take part in the business.

4.8 Registration of firms and consequences of non-registration (Sections 56–71)

Registration of a firm with the **Registrar of Firms** is **optional, not compulsory** — but it is heavily *incentivised* because non-registration cripples the firm's ability to *sue*. Registration is done by filing a statement (Form A) with the Registrar (S.58) giving firm name, place of business, names/addresses of partners, dates of joining, etc., signed by all partners and verified. Registration can be effected **at any time** — even after disputes arise — but the *disability* of non-registration bites at the moment the suit is filed.

Consequences of non-registration — Section 69 (the exam favourite):

Who / what is barred	Detail
Partner v. firm or co-partners — S.69(1)	An **unregistered** firm's partner **cannot sue** the firm or any co-partner to enforce a right arising from the contract or the Act (e.g., cannot sue for his share of profits).
Firm v. third party — S.69(2)	The **firm cannot sue** a third party to enforce a right arising from a contract.
Set-off — S.69(3)	The firm/partner cannot claim a **set-off exceeding ₹100** or other proceedings to enforce a contractual right.

What is NOT affected (registration NOT required) — the exceptions to S.69: 1. A **third party can always sue** the unregistered firm (the disability is one-way — it protects outsiders, not the firm). 2. The right to sue for **dissolution** of the firm, or for **accounts of a dissolved firm**, or to realise the property of a dissolved firm. 3. Proceedings by an **Official Assignee/Receiver** to realise a insolvent partner's property. 4. Firms with **no place of business in India**, or whose places are in territories where Chapter VII does not apply. 5. A claim **not exceeding ₹100** in value (small-cause suits), and set-offs not exceeding ₹100. 6. Any **non-contractual right** (e.g., a suit for an injury/tort, or to recover firm property from someone who never contracted with the firm) — S.69 bars only rights "arising from a contract."

> Memory hook: registration is your *ticket to the courtroom as a plaintiff*. Without it you can be *sued* but you can barely *sue*. The one thing you can always do unregistered is sue to *dissolve* the firm — the law won't trap people together forever.

4.9 Relations of partners to ONE ANOTHER (Sections 9–17)

These are the *internal* duties, most of which can be varied by the deed (they are default rules), except the absolute duties.

Absolute duties (cannot be excluded by agreement): - **General duties (S.9):** to carry on the business to the greatest common advantage, to be **just and faithful** to each other, and to render true accounts and full information. - **Duty to indemnify for fraud (S.10):** every partner must indemnify the firm for losses caused by his **fraud** in the conduct of the business.

Qualified duties (default; can be varied): - **S.12** — conduct of the business (right to take part; decisions on ordinary matters by majority, but *no change in the nature of business* without unanimous consent; right of access to books). - **S.13** — mutual rights and liabilities (the "absence of deed" defaults listed in 4.7 above; plus a partner must **indemnify the firm** for wilful neglect, and the **firm must indemnify a partner** for payments made and liabilities incurred in the ordinary and proper conduct of business or to protect the firm). - **S.16 — Personal profits:** if a partner derives any profit *for himself* from any transaction of the firm, or from the use of the firm's property, name, or business connection, he must **account for and pay it to the firm**. Likewise, if he carries on a **competing business**, he must account for and pay over all profits of that competing business. - **S.14 — Property of the firm:** property originally brought in, acquired for the firm, or bought with firm money, plus the firm's goodwill, is **firm property** and must be used exclusively for firm purposes (S.15).

4.10 Relations of partners to THIRD PARTIES (Sections 18–30)

This is the *external* face — where mutual agency does its work.

- **S.18 — Partner as agent of the firm:** every partner is the agent of the firm for the purpose of its business.
- **S.19 — Implied authority:** an act done by a partner to carry on, *in the usual way*, business of the kind carried on by the firm **binds the firm**. This "implied authority" is the default power each partner has.

Acts WITHIN implied authority (bind the firm even without express authority): buying and selling goods in which the firm deals; receiving payments of firm debts and giving receipts; engaging employees; borrowing money on the firm's credit *if it is a trading firm*; drawing/accepting/endorsing negotiable instruments in the firm's name; pledging firm goods.

Acts OUTSIDE implied authority (S.19(2)) — a partner CANNOT, without express authority, do these:

#	Act a partner cannot do alone
1	Submit a dispute of the firm to **arbitration**
2	Open a **bank account** in his own name on behalf of the firm
3	**Compromise or relinquish** any claim or portion of a claim of the firm
4	**Withdraw a suit** or proceeding filed on behalf of the firm
5	**Admit any liability** in a suit or proceeding against the firm
6	**Acquire immovable property** on behalf of the firm
7	**Transfer immovable property** belonging to the firm
8	Enter into **partnership** on behalf of the firm

> Mnemonic for the 8 restricted acts: **"A-B-C-W-A-A-T-P"** — Arbitration, Bank account (own name), Compromise, Withdraw suit, Admit liability, Acquire immovable property, Transfer immovable property, Partnership.

- **S.20 — Extension/restriction of implied authority:** partners may, by contract, extend or restrict a partner's implied authority. But a **restriction does not bind an outsider** who deals with the partner *without knowing* of the restriction (this protects the innocent third party).
- **S.22 — Mode of acting:** to bind the firm, the act must be done in the *firm name*, or in a manner showing intent to bind the firm.
- **S.25 — Joint and several liability** for all acts of the firm done while a person is a partner.
- **S.26 — Liability for wrongful acts** of a partner (torts) done in the ordinary course — the firm is liable to the same extent as the partner.
- **S.27 — Misapplication by partners** — the firm is liable if a partner receives money/property from a third party and misapplies it, or if the firm receives it and it is misapplied.

4.11 Reconstitution: admission, retirement, expulsion, insolvency, death (Sections 31–38)

"Reconstitution" means the firm *continues* but its composition changes. Each event has a liability rule.

Event	Section	Core rule	Liability of the incoming/outgoing partner
Admission of a new partner	S.31	Only with **consent of all** existing partners (unless deed says otherwise)	A new partner is **not liable for acts done before** he joined
Retirement	S.32	By consent of all, or per an express agreement, or (in partnership at will) by written notice	Liable for acts **before** retirement; escapes liability for acts **after** retirement **only if public notice is given**
Expulsion	S.33	Valid ONLY if: (a) power exists in the contract, (b) exercised by a **majority**, and (c) in **good faith** for the benefit of the firm	Treated like a retired partner for liability; must be given a chance to be heard
Insolvency of a partner	S.34	The insolvent **ceases to be a partner** from the date of the insolvency order; the firm is not necessarily dissolved	His estate is **not liable** for firm acts done after the date of the order; the firm is not liable for his acts after that date
Death of a partner	S.35	Subject to contract, death dissolves the firm; but the deed usually provides for continuation	The estate is **not liable** for acts of the firm done **after** death (no public notice needed)

Key liability mechanics for third parties: - **S.32(3) — Public notice on retirement:** until public notice is given, a retiring partner and the partners continue to be liable to third parties for acts done as if he were still a partner. *Exception:* a **dormant/sleeping partner** and the estate of a **deceased** or **insolvent** partner do **not** need to give public notice. - **S.36 — Rights of an outgoing partner to compete** — he may carry on a competing business but (subject to agreement) may **not** (i) use the firm name, (ii) represent himself as carrying on the firm's business, or (iii) solicit the firm's old customers. - **S.37 — Right of outgoing partner to share subsequent profits:** if a deceased/outgoing partner's share is **not settled** and the firm continues using his share of assets, he (or his estate) may, at his option, claim either **interest at 6% p.a.** on the unsettled amount, *or* the **share of profits** attributable to the use of his share. (This becomes crucial in Inter-level "death of a partner" accounting.)

4.12 Dissolution of a firm (Sections 39–47)

Distinction to nail first: *dissolution of partnership* (a partner leaves, firm continues — that's reconstitution) vs *dissolution of the firm* (Section 39 — the **whole firm** is wound up, business stops, assets realised, accounts settled). Only the latter is "dissolution of a firm."

Modes of dissolution:

Mode	Section	Trigger
By agreement	S.40	All partners agree to dissolve
Compulsory dissolution	S.41	(a) All but one partner become **insolvent**, or (b) the business becomes **unlawful**
On happening of contingencies	S.42	Expiry of term; completion of the venture; death of a partner; insolvency of a partner (subject to contract)
By notice (partnership at will)	S.43	Any partner gives **written notice** of intention to dissolve; firm dissolves from the date named, or from the date of communication
By the Court	S.44	On a partner's suit: partner of **unsound mind**; permanent **incapacity**; **misconduct** affecting business; persistent **breach of agreement**; **transfer** of whole interest by a partner; business can only be carried on at a **loss**; any **just and equitable** ground

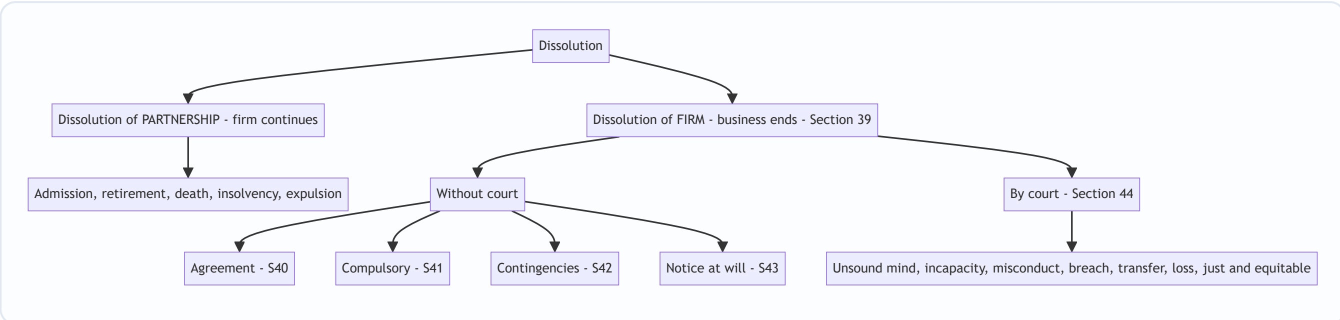


Figure 3 — The two meanings of "dissolution" and the six ways a firm is wound up.

- **S.45 — Liability after dissolution:** partners remain liable to third parties for acts done after dissolution **until public notice** of dissolution is given. (Again, estate of deceased, insolvent, and dormant partners excepted.)
- **S.46 — Right to have business wound up:** on dissolution every partner is entitled to have the firm's property applied to pay its debts, and the surplus distributed.
- **S.47 — Continuing authority for winding up:** partners' authority continues only so far as necessary to **wind up** and complete unfinished transactions.

4.13 Settlement of accounts on dissolution — Section 48 (the accounting heart)

When a firm is dissolved and its assets realised, **Section 48** prescribes the exact *order* in which the money is applied. This is the legal rule behind the *Realisation Account* you will draw in accounting.

Section 48 — order of application of assets:

(a) Losses, including deficiencies of capital, are paid **first out of profits, next out of capital, and lastly, if necessary, by the partners individually in their profit-sharing ratio.**

(b) The assets of the firm (including any contributions from partners to make up deficiencies) are applied in the following **order**:

Priority	Payment
1st	Paying the **debts of the firm to THIRD PARTIES** (outside creditors)
2nd	Paying each partner **rateably what is due to him from the firm for ADVANCES** (loans, as distinct from capital)
3rd	Paying each partner **rateably what is due on account of CAPITAL**
4th	The **residue (surplus)** is divided among the partners **in their profit-sharing ratio**

> Memory order: **Outsiders → partners' Loans → partners' Capital → Surplus in PSR.** External creditors *always* come before any partner gets a rupee, even for his loan.

Section 49 — payment of firm debts and separate (private) debts: Where there are joint (firm) debts and separate (private) debts of a partner: - **Firm property** is applied *first* to firm debts; any surplus is divided among partners and *then* each partner's share is applied to his private debts. - **A partner's separate property** is applied *first* to his private debts; the surplus, if any, is applied to firm debts.

This is the **"joint estate for joint debts, separate estate for separate debts"** rule.

Garner v. Murray rule (loss on insolvency of a partner): If, on dissolution, a partner's capital account shows a **debit balance which he is unable to pay** (he is insolvent), the deficiency is borne by the *solvent* partners **in the ratio of their last-agreed CAPITALS** (not in the profit-sharing ratio), and each solvent partner brings in cash equal to his share of the realisation loss. This is a classic that Foundation introduces and Inter examines fully in accounting.

5. Worked examples (application / IRAC style)

> For law, each "worked example" is a fact-scenario solved in **Issue → Rule → Application → Conclusion (IRAC)** style. Where numbers appear, every figure is checked to tally.

Worked Example 1 — Profit-sharing without a deed (Section 13)

Facts. Anil and Bharat start "AB Traders" with no written deed. Anil contributes ₹6,00,000 capital; Bharat contributes ₹2,00,000 and also gives the firm a further **loan of ₹1,00,000**. At year-end the firm earns a profit of ₹1,80,000 *before* any interest. Bharat claims (i) interest on capital, (ii) interest on his loan, and (iii) a larger profit share because he put in the loan and does more work. Anil disputes all three.

Issue. In the absence of a partnership deed, is Bharat entitled to interest on capital, interest on his loan, and an unequal profit share?

Rule. Section 13: absent a contrary agreement — (a) partners share profits *equally* irrespective of capital; (b) *no* interest on capital; (c) a partner is entitled to **interest at 6% p.a.** on any *loan/advance* beyond his capital; (d) no salary for taking part in business.

Application. - *Interest on capital* — **denied.** No deed, so S.13 gives no interest on capital, even though Anil contributed three times as much. - *Interest on Bharat's ₹1,00,000 loan* — **allowed at 6% p.a.** A loan is distinct from capital. Interest = ₹1,00,000 × 6% = **₹6,000**. This is a *charge* against profit (payable even out of the profit before division), so it is deducted first. - *Unequal profit share* — **denied.** S.13 mandates equal sharing absent agreement; extra effort or the loan does not change the ratio.

Numbers (self-checked). Profit before interest on loan = ₹1,80,000 Less: interest on Bharat's loan (6% × ₹1,00,000) = ₹6,000 Divisible profit = ₹1,80,000 − ₹6,000 = **₹1,74,000** Each partner's share (equal) = ₹1,74,000 ÷ 2 = **₹87,000 each.** Bharat's total receipt = ₹87,000 (profit) + ₹6,000 (loan interest) = **₹93,000.** Anil's = **₹87,000.** *Check:* ₹93,000 + ₹87,000 = ₹1,80,000 = the original profit. ✓ Tallies.

Conclusion. Bharat gets only ₹6,000 loan interest; profits are split equally at ₹87,000 each. His claims for interest on capital and a larger share fail.

Worked Example 2 — Implied authority and the outsider (Sections 19–20)

Facts. "Metro Textiles" is a trading firm of partners P, Q, and R. Their (unregistered internal) agreement says "no partner may borrow more than ₹50,000 without the others' written consent." Partner Q, in the firm name and to buy stock, borrows **₹3,00,000** from a bank that has *no knowledge* of this internal restriction. The business fails. The bank sues the firm and all three partners for ₹3,00,000. P and R argue Q had no authority beyond ₹50,000, so they are not liable.

Issue. Are P and R bound by Q's ₹3,00,000 borrowing despite the internal cap?

Rule. S.19 — a partner's act done to carry on the firm's usual business (including borrowing on credit in a **trading firm**) binds the firm. S.20 — partners may restrict implied authority *among themselves*, but a restriction does **not** bind a third party who deals *without notice* of it. S.25 — all partners are jointly and severally liable.

Application. Borrowing to buy stock is within the ordinary business of a trading firm and thus within Q's implied authority. The ₹50,000 cap is a valid *internal* restriction under S.20, but the bank had **no notice** of it, so the restriction cannot be raised against the bank. Under S.25 the bank may recover the full ₹3,00,000 from **any one** of P, Q, or R.

Conclusion. The firm and all three partners are liable for the full **₹3,00,000**. P and R must pay the bank and may then recover Q's excess borrowing from Q *internally* (their remedy is against Q, not against the innocent bank). The internal cap protects them against Q, not against outsiders.

Worked Example 3 — Settlement of accounts on dissolution (Section 48)

Facts. Firm "XYZ & Co." (partners X, Y, Z sharing profits **2 : 2 : 1**) is dissolved. After realising all assets, the position is:

- Cash realised from all assets: **₹9,00,000**
- Outside creditors (trade + bank): **₹4,00,000**
- Loan given to the firm by partner X (separate from capital): **₹1,00,000**
- Capital account balances: X ₹3,00,000; Y ₹2,00,000; Z ₹1,00,000 (all credit balances)

Apply Section 48 and show the final distribution.

Issue. In what order and amounts is the ₹9,00,000 distributed?

Rule. S.48(b): apply assets in order — (1) outside creditors, (2) partners' *loans/advances*, (3) partners' *capital*, (4) surplus in PSR.

Application — step by step (all figures tallied):

Step	Payment	Amount	Cash remaining
Start	Cash available	—	₹9,00,000
1	Outside creditors (first priority)	₹4,00,000	₹5,00,000
2	Partner X's **loan** to firm	₹1,00,000	₹4,00,000
3	Capital: X ₹3,00,000 + Y ₹2,00,000 + Z ₹1,00,000 = ₹6,00,000 needed	see note	—

At Step 3, only **₹4,00,000** cash remains but capital claims total **₹6,00,000** — a shortfall of **₹2,00,000**. This ₹2,00,000 is a **realisation loss** (assets realised ₹6,00,000 short of book capital + loans... let us verify: total claims = 4,00,000 + 1,00,000 + 6,00,000 = ₹11,00,000; cash = ₹9,00,000; loss = **₹2,00,000**). Under S.48(a) this loss is borne by partners in their **profit-sharing ratio 2:2:1**:

- X's share of loss = ₹2,00,000 × 2/5 = **₹80,000**
- Y's share of loss = ₹2,00,000 × 2/5 = **₹80,000**
- Z's share of loss = ₹2,00,000 × 1/5 = **₹40,000**
- *Check:* 80,000 + 80,000 + 40,000 = ₹2,00,000 ✓

Final capital payable after absorbing loss:

Partner	Capital (Cr)	Less: loss share	Net payable
X	₹3,00,000	₹80,000	**₹2,20,000**
Y	₹2,00,000	₹80,000	**₹1,20,000**
Z	₹1,00,000	₹40,000	**₹60,000**
Total	₹6,00,000	₹2,00,000	**₹4,00,000**

Final cash trail (self-checked): Creditors ₹4,00,000 + X's loan ₹1,00,000 + Capital repaid (2,20,000 + 1,20,000 + 60,000 = ₹4,00,000) = **₹9,00,000.** ✓ Equals cash available. The account closes exactly.

Conclusion. Outside creditors are paid in full (₹4,00,000), X's loan next (₹1,00,000), and the residual ₹4,00,000 goes to capital *after* charging the ₹2,00,000 realisation loss in the 2:2:1 ratio — X ₹2,20,000, Y ₹1,20,000, Z ₹60,000. Note how S.48 forces *outsiders before any partner*, and a partner's *loan before his capital*.

Worked Example 4 — Holding out / Section 28

Facts. Suresh is not a partner of "Modern Electricals." At a trade meeting, in Suresh's presence, partner Ramesh introduces him to a supplier, Vikas, as "my new partner." Suresh smiles and says nothing. Relying on this, Vikas supplies goods worth **₹1,50,000** on credit to the firm. The firm defaults. Vikas sues Suresh personally.

Issue. Is Suresh liable to Vikas although he is not actually a partner?

Rule. S.28 — a person who by words or conduct represents himself, **or knowingly permits himself to be represented**, as a partner is liable as a partner to anyone who gives credit *on the faith of that representation*.

Application. Suresh knowingly allowed himself to be represented as a partner (his silence in the face of Ramesh's statement, in a business context, is conduct that permits the representation). Vikas extended ₹1,50,000 of credit on the faith of it. All elements of holding out are satisfied.

Conclusion. Suresh is liable to Vikas for **₹1,50,000** as a partner by holding out under S.28, even though he never was a real partner and shares no profits.

6. Connections — what this unlocks in CA Intermediate

- **Advanced Accounting (Inter) — Partnership Accounts:** *Admission, retirement, and death of a partner* accounting (goodwill valuation, revaluation of assets, treatment of reserves, gaining/sacrificing ratio) sits directly on Sections 31, 32, 35 and 37 you learned here. **S.37's "6% or share of profits" option** is the legal basis for the "amount due to deceased partner" and interest thereon.
- **Advanced Accounting — Dissolution of firms:** the **Realisation Account, piecemeal distribution, and the Garner v. Murray rule** are pure accounting expressions of **Section 48 (order of settlement)** and **Section 49 (joint vs separate estate)**.
- **Advanced Accounting — Amalgamation/Conversion of firm into a company** builds on the dissolution mechanics.
- **Corporate & Other Laws (Inter) — LLP Act, 2008:** the LLP is explicitly a *reform of partnership law* — you cannot appreciate why LLP gives "limited liability and no mutual liability for a co-partner's wrong" unless you first feel the *pain* of unlimited joint-and-several liability in the 1932 Act.
- **Auditing (Inter):** auditing a *partnership firm* — verifying the deed, profit-sharing, partners' capital and current accounts — assumes this legal foundation.
- **Taxation (Inter):** a "firm" is a distinct assessee; s.40(b) limits on partners' interest (max 12%) and remuneration are the tax-law overlay on the S.13 concepts of interest on capital and salary.

7. Traps & common mistakes

1. **Thinking profit-sharing *proves* partnership.** It is only *prima facie* evidence. The **true test is mutual agency (S.6)**. A lender/servant/widow sharing profits is *not* a partner. This exact trap appears almost every attempt.
2. **Confusing "dissolution of partnership" with "dissolution of firm."** Retirement/death = reconstitution (partnership dissolved, firm continues). Only **S.39** winding-up = dissolution of the *firm*.
3. **Forgetting public notice is NOT needed for dormant/deceased/insolvent partners.** Only *active/retiring* partners must give public notice under S.32(3)/S.45 to cut off future liability.
4. **Getting the S.48 order wrong** — writing "capital before loans." Correct order: **outsiders → partners' loans → partners' capital → surplus in PSR.**
5. **Saying a minor is a "partner."** A minor is only *admitted to the benefits* (S.30); he is never a full partner, and his liability is limited to his share.
6. **Assuming registration is compulsory.** It is **optional** — but non-registration disables the firm/partner from *suing* (S.69). A third party can *always* sue an unregistered firm.
7. **Applying profit-sharing ratio to the Garner v. Murray deficiency.** The insolvent partner's capital deficiency is borne by solvent partners in the ratio of their **last-agreed capitals**, *not* PSR. (But the *realisation loss itself* is shared in PSR.)
8. **Mixing up the maximum number of partners.** It is **50** (Rule 10, Companies (Misc.) Rules 2014) — not 20 (old Companies Act 1956 figure) and not 100 (the ceiling in s.464 before the Rule).
9. **Thinking a firm can sue on a tort only if registered.** S.69 bars only rights *arising from a contract*. Non-contractual (tort/property) claims are outside S.69.

10. **Believing interest on a partner's loan needs a deed.** No — even *without* a deed, a partner's loan carries **6% p.a.** (S.13). Interest on *capital*, by contrast, needs a deed.

8. First-principles recap

- A partnership has **no separate legal personality** — the firm *is* the partners; therefore their liability is **personal, unlimited, joint and several** (S.25).
- The single central idea is **mutual agency** (S.4, S.18): each partner is both principal and agent, so each can bind, and is bound by, the others.
- **Profit-sharing is essential but not conclusive**; the **true test is mutual agency** (S.6).
- The Act mostly supplies **default rules** (S.13) that a deed can override — except the *absolute duties* of good faith (S.9) and to indemnify for fraud (S.10).
- **Registration is optional but strategically vital**: without it you can be sued but can barely sue (S.69).
- On winding up, money flows **outsiders → partners' loans → partners' capital → surplus in PSR** (S.48) — outsiders always first.

9. Quick-reference

Item	Rule / Section
Definition of partnership	**S.4** — relation between persons who agreed to share profits of a business carried on by all or any acting for all
Business includes	S.2(b) — trade, occupation, profession
Partnership arises from	**S.5** — contract, not status
True test of partnership	**S.6** — mutual agency (real relation from all facts)
Types: at will / particular	S.7 / S.8
Min / Max partners	Min **2**; Max **50** (Rule 10, Cos (Misc) Rules 2014 under s.464 Cos Act 2013)
Absence-of-deed defaults	**S.13** — equal profits; no interest on capital; no salary; **6% p.a. on partner's loan**
Partner as agent	S.18
Implied authority	S.19; restriction not binding on outsider without notice — S.20
8 acts outside implied authority	S.19(2) — Arbitration, own-name bank a/c, Compromise, Withdraw suit, Admit liability, Acquire/Transfer immovable property, enter Partnership
Joint & several liability	**S.25**
Holding out / estoppel	**S.28**
Minor admitted to benefits	**S.30** — liable only to extent of share; elect within **6 months** of majority
Admission / Retirement / Expulsion	S.31 / S.32 / S.33
Insolvency / Death of partner	S.34 / S.35
Outgoing partner: subsequent profits	**S.37** — 6% p.a. **or** share of profits, at his option
Registration (optional)	S.58–59; effects of non-registration — **S.69**
Modes of dissolution	S.40 agreement; S.41 compulsory; S.42 contingencies; S.43 notice (at will); **S.44 by court**
Public notice cuts off liability	S.32(3), S.45 (not needed for dormant/deceased/insolvent)
Settlement order on dissolution	**S.48** — losses first; assets: creditors → partners' loans → capital → surplus in PSR
Joint vs separate estate	S.49
Garner v. Murray	Insolvent partner's capital deficiency borne by solvent partners in ratio of **last-agreed capitals**

Q&A — Foundation: The Indian Partnership Act, 1932

> Practice bank for CA Foundation Paper 2 (Business Laws, 2024 New Scheme). Mix of THEORY (model answers with section references and "how to present for full marks") and APPLICATION/case-scenario questions (Issue → Rule → Application → Conclusion). Attempt on paper first, then check.

Part A — Theory / Definition questions

Q1. Define "partnership" and list its essential elements. (Theory)

Model answer. Section 4 of the Indian Partnership Act, 1932 defines **partnership** as "*the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.*"

Essential elements (present all five for full marks): 1. **Association of two or more persons** — at least two persons competent to contract. 2. **Agreement** — partnership arises from a *contract* (S.5), not from status. 3. **Business** — there must be a business (trade, occupation or profession, S.2(b)). 4. **Sharing of profits** — an agreement to share the profits of that business. 5. **Mutual agency** — the business must be carried on by all or any of them *acting for all*; this is the **true test** (S.6).

Full-marks tip: always end by stating that *sharing of profits is essential but not conclusive; the true/final test is mutual agency (S.6)*. Examiners award the last mark for this line.

Q2. "Sharing of profits is a conclusive test of partnership." Comment. (Theory)

Model answer. The statement is **incorrect**. Under Section 6, sharing of profits is only **prima facie evidence** of partnership, not conclusive proof. The **true test is mutual agency** — whether the business is carried on by all or any of them *acting for all*. Persons who share profits but have no authority to bind the firm are **not** partners, e.g.: - a **lender** who receives interest varying with profits; - a **servant or agent** paid a commission out of profits; - the **widow/child** of a deceased partner receiving an annuity out of profits; - the **seller of goodwill** receiving a share of profits as consideration.

Regard must be had to the *real relation between the parties* shown by all relevant facts (S.6).

Q3. Distinguish between a partnership firm and a company. (Theory)

Model answer (present as a table for full marks).

Basis	Partnership Firm	Company
Governing law	Indian Partnership Act, 1932	Companies Act, 2013
Legal status	**No** separate legal entity	**Separate** legal entity
Creation	By contract	By registration/incorporation
Liability	Unlimited, joint & several	Limited to unpaid amount on shares
Mutual agency	Yes — partners are agents	No — members are not agents; board binds
Perpetual succession	No — affected by death/insolvency	Yes
Max members	50	200 (private) / unlimited (public)
Transfer of interest	Only with consent of all partners	Freely (public); restricted (private)
Audit	Not mandatory (per Act)	Mandatory

Q4. Distinguish partnership from co-ownership. (Theory)

Model answer.

Basis	Partnership	Co-ownership
Formation	Always by agreement (S.5)	May arise by operation of law (e.g., inheritance)
Business	Essential	Not necessary
Profit sharing	Essential	Not necessary
Mutual agency	Present	Absent
Transfer of interest	Needs consent of all	Freely transferable
Maximum members	50	No limit
Lien on property	A partner has a lien on firm property	No such lien

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Q5. Explain the different types of partners. (Theory)

Model answer. Name each with its liability rule: - **Active/Actual/Ostensible partner** — takes active part; fully liable; **must give public notice** on retirement to escape future liability. - **Sleeping/Dormant partner** — contributes capital and shares profits but does **not** take part in management; fully liable; **need not** give public notice on retirement. - **Nominal partner** — lends only his name, contributes no capital and takes no profit, but is **liable to third parties** who rely on his name. - **Partner in profits only** — shares profits but not losses (internally); liable to third parties. - **Sub-partner** — shares a partner's profit by private arrangement; has **no rights against, and no liability to, the firm**. - **Partner by estoppel/holding out (S.28)** — liable to a person who gave credit on the faith of the representation. - **Minor admitted to benefits (S.30)** — not a full partner; liable only to the extent of his share.

Q6. State the rules that apply in the absence of a partnership deed. (Theory)

Model answer (Section 13). Where the deed is silent: 1. Profits and losses are shared **equally**, irrespective of capital. 2. **No interest on capital** is allowed. 3. **No interest on drawings** is charged. 4. **No salary or remuneration** is payable to any partner. 5. A partner who makes a **loan/advance** beyond his capital is entitled to interest at **6% per annum**. 6. Every partner has the right to take part in the conduct of the business (S.12).

Full-marks tip: stress the contrast — interest on *capital* needs a deed, but interest on a partner's *loan* (6% p.a.) does **not**.

Q7. What is a "partnership at will"? How is it dissolved? (Theory)

Model answer. Under Section 7, a **partnership at will** is one where (a) no fixed period is agreed for its duration, and (b) there is no provision for its determination. Such a firm may be **dissolved by any partner giving written notice** of his intention to dissolve to all the other partners (S.43); the firm dissolves from the date mentioned in the notice, or, if no date is mentioned, from the date of communication of the notice.

Q8. Explain the doctrine of "holding out." (Theory — Section 28)

Model answer. Section 28 embodies the doctrine of holding out (partnership by estoppel). Where a person, **by words spoken or written or by conduct, represents himself, or knowingly permits himself to be represented, to be a partner** in a firm, he is **liable as a partner** to anyone who has, **on the faith of such representation, given credit** to the firm — whether or not he knew that the representation reached that person. The principle rests on **estoppel**: a person cannot deny a state of affairs he allowed another to rely on to his detriment. It applies even to one who is not actually a partner.

Q9. Discuss the position of a minor in a partnership firm. (Theory — Section 30)

Model answer. A minor cannot be a partner (his contract is void), but **with the consent of all partners** he may be **admitted to the benefits** of an existing partnership. - **Rights during minority:** share in profits/property as agreed; right to inspect and copy the firm's **accounts** (not other books); liability limited to his share — no personal liability; he cannot sue for accounts except when severing his connection. - **On attaining majority:** within **6 months** of attaining majority *or* of learning of his admission (whichever is later), he must give **public notice** electing to become or not become a partner. **Silence = deemed a partner.** - If he **becomes** a partner, his liability is personal and unlimited **from the date he was first admitted to benefits**. If he **elects out**, his rights/liabilities remain those of a minor up to the date of public notice.

Q10. What are the consequences of non-registration of a firm? (Theory — Section 69)

Model answer. Registration is **optional**, but an **unregistered** firm suffers these disabilities under Section 69: 1. **S.69(1):** A partner cannot sue the firm or a co-partner to enforce a right under the contract or the Act. 2. **S.69(2):** The firm cannot sue a third party to enforce a contractual right. 3. **S.69(3):** No claim of set-off exceeding ₹100 or other proceeding to enforce a contractual right.

Exceptions (registration NOT required): - A **third party can always sue** the unregistered firm. - Suit for **dissolution**, for **accounts of a dissolved firm**, or to realise property of a dissolved firm. - Proceedings by an

Official Assignee/Receiver of an insolvent partner. - Firms with **no place of business in India**. - Claims and set-offs **not exceeding ₹100**. - **Non-contractual** rights (torts/property) — S.69 bars only rights *arising from a contract*.

Q11. List the acts a partner CANNOT do without the express authority of the other partners. (Theory — Section 19(2))

Model answer. In the absence of trade custom or express authority, a partner has **no implied authority** to: 1. Submit a dispute of the firm to **arbitration**; 2. Open a **bank account** in his own name on behalf of the firm; 3. **Compromise or relinquish** any claim of the firm; 4. **Withdraw a suit** filed on behalf of the firm; 5. **Admit any liability** in a suit against the firm; 6. **Acquire immovable property** for the firm; 7. **Transfer immovable property** of the firm; 8. Enter into **partnership** on behalf of the firm.

Q12. Distinguish "dissolution of partnership" from "dissolution of firm." (Theory)

Model answer. - **Dissolution of partnership** — a change in the *relation* of partners (admission, retirement, death, insolvency, expulsion) where the **firm continues** with the remaining partners. This is a **reconstitution**; the business does not stop. - **Dissolution of firm (S.39)** — dissolution *of partnership between all the partners* of the firm; the **business ends**, assets are realised, liabilities paid, and accounts settled.

Every dissolution of a firm implies dissolution of partnership, but not vice versa.

Q13. State the order in which the assets of a firm are applied on dissolution. (Theory — Section 48)

Model answer. Under Section 48: - **First, losses** (including capital deficiencies) are paid — out of profits first, then capital, and lastly by partners individually in their **profit-sharing ratio**. - **Assets** (including partners' contributions to make up deficiencies) are applied in this **order**: 1. Paying the **debts of the firm to third parties**; 2. Paying each partner **rateably his advances/loans** (as distinct from capital); 3. Paying each partner **rateably on account of capital**; 4. Dividing the **residue** among partners in their **profit-sharing ratio**.

Full-marks tip: state the mnemonic — *outsiders → partners' loans → partners' capital → surplus in PSR*.

Q14. What are the modes of dissolution of a firm? (Theory — Sections 40–44)

Model answer. - **By agreement (S.40)** — all partners agree. - **Compulsory dissolution (S.41)** — all but one partner insolvent, or business becomes unlawful. - **On happening of contingencies (S.42)** — expiry of term, completion of venture, death or insolvency of a partner (subject to contract). - **By notice (S.43)** — in a partnership at will, by written notice of any partner. - **By the Court (S.44)** — on grounds of unsound mind, permanent incapacity, misconduct, persistent breach of agreement, transfer of a partner's whole interest, business carried on only at a loss, or any **just and equitable** ground.

Q15. Explain the right of an outgoing partner to share subsequent profits. (Theory — Section 37)

Model answer. Where a partner has ceased to be a partner (by retirement or death) and his share has **not been settled**, and the firm carries on business with the firm's property **without settling accounts** with him, the outgoing partner (or his estate) is entitled, at his **option**, to either: - the **share of profits** attributable to the use of his share of the firm's property, **or** - **interest at 6% per annum** on the amount of his share in the property.

This section is the legal basis for computing the amount due to a deceased/retired partner in Inter-level accounting.

Part B — Application / Case-scenario questions (IRAC)

Q16. Profit-share of a lender. (Application — S.6)

Facts. Ravi lends ₹10,00,000 to a firm and, instead of fixed interest, agrees to receive **20% of the firm's annual profits** until repaid. He has no say in management and cannot bind the firm. A firm creditor, unpaid, sues Ravi as a "partner."

Issue. Is Ravi a partner merely because he shares profits?

Rule. S.6 — sharing of profits is only prima facie evidence; the true test is **mutual agency**. A lender receiving profit-linked interest, with no authority to bind the firm, is not a partner.

Application. Ravi shares profits but has **no mutual agency** — he cannot act for the firm and the firm does not act through him. He is a **creditor**, not a partner.

Conclusion. Ravi is **not liable** as a partner; the creditor's suit against him fails.

Q17. Retirement without public notice. (Application — S.32)

Facts. Mohan, an **active** partner of "Sunrise Traders," retires on 1 April. No public notice is given. On 20 May the continuing partners buy goods on credit from Deepak, who has long dealt with the firm and does not know Mohan has retired. The firm defaults. Deepak sues Mohan too.

Issue. Is Mohan liable for the 20 May credit purchase made after his retirement?

Rule. S.32(3) — until **public notice** of retirement is given, a retiring partner continues to be liable to third parties for acts of the firm as if he were still a partner. (Exception for dormant/deceased/insolvent partners — not applicable, Mohan was active.)

Application. No public notice was given, and Deepak, an old customer, dealt with the firm believing Mohan was still a partner. Mohan therefore remains liable for the 20 May transaction.

Conclusion. Mohan is **liable** to Deepak. Lesson: an active retiring partner must give public notice to cut off future liability.

Q18. Dormant partner's retirement. (Application — S.32)

Facts. Same firm, but the retiring partner is **Latha, a sleeping/dormant partner** whose existence customers never knew. She retires; no public notice is given. A new creditor sues her for a post-retirement debt.

Issue. Is a dormant partner liable for post-retirement acts absent public notice?

Rule. S.32(3) proviso — a **dormant partner** is **not** required to give public notice; she is not liable for acts done after she ceases to be a partner (creditors never relied on her).

Application. Since customers never knew Latha was a partner, there was no reliance to protect. She is not liable for the post-retirement debt despite the absence of public notice.

Conclusion. Latha is **not liable**.

Q19. Change in the nature of business. (Application — S.12)

Facts. A firm of three partners runs a **textile trading** business. Two of the three partners, forming a majority, decide to start **money-lending** as a new line of the firm's business. The third partner objects.

Issue. Can a majority impose a change in the *nature* of the business?

Rule. S.12 — ordinary matters may be decided by a **majority**, but **no change in the nature of the business** may be made **without the consent of all partners**.

Application. Adding money-lending is a change in the nature of the business, which requires **unanimous** consent. The dissenting partner's objection is decisive.

Conclusion. The majority **cannot** compel the change; unanimous consent is required.

Q20. Personal profit by a partner. (Application — S.16)

Facts. X, a partner of a firm dealing in real estate, learns of a plot through the firm's business connection and buys it **in his own name**, later selling it for a personal profit of **₹5,00,000**. The other partners discover this.

Issue. Must X account to the firm for this profit?

Rule. S.16 — if a partner derives any profit for himself from any transaction of the firm, or from the **use of the firm's property, name, or business connection**, he must **account for and pay** it to the firm.

Application. X exploited the firm's business connection for a personal gain of ₹5,00,000. This falls squarely within S.16.

Conclusion. X must **pay ₹5,00,000 to the firm.**

Q21. Non-registration blocking a suit. (Application — S.69)

Facts. "Alpha & Co.," an **unregistered** firm, supplies goods worth ₹4,00,000 to Beta Ltd., which fails to pay. Alpha & Co. sues Beta Ltd. to recover the price. Beta pleads that the firm is unregistered.

Issue. Can an unregistered firm sue a third party to recover a contractual debt?

Rule. S.69(2) — an unregistered firm **cannot sue** a third party to enforce a right arising from a contract.

Application. The recovery of the price is a right arising from a contract of sale; the firm is unregistered. The suit is barred.

Conclusion. Alpha & Co.'s suit **fails** unless (and until) the firm registers before filing. (Note: Beta Ltd. could have sued Alpha even if unregistered — the disability is one-way.)

Q22. Settlement of accounts with a surplus. (Application — S.48)

Facts. Firm "PQR" (partners P, Q, R sharing **3 : 2 : 1**) is dissolved. Cash realised = **₹12,00,000**. Outside creditors = ₹3,00,000. Partner P's loan to the firm = ₹1,00,000. Capital balances: P ₹3,00,000, Q ₹2,00,000, R ₹1,00,000 (all credit). Show the distribution.

Issue. How is ₹12,00,000 applied under S.48, and what is the surplus distribution?

Rule. S.48(b): creditors → partners' loans → capital → surplus in PSR.

Application (figures tallied):

Step	Payment	Amount	Cash left
Start	—	—	₹12,00,000
1	Outside creditors	₹3,00,000	₹9,00,000
2	P's loan	₹1,00,000	₹8,00,000
3	Capital: P ₹3,00,000 + Q ₹2,00,000 + R ₹1,00,000 = ₹6,00,000	₹6,00,000	₹2,00,000
4	**Surplus ₹2,00,000** in PSR 3:2:1 → P ₹1,00,000, Q ₹66,667, R ₹33,333	₹2,00,000	₹0

Surplus split: P = 2,00,000 × 3/6 = ₹1,00,000; Q = 2,00,000 × 2/6 = ₹66,667; R = 2,00,000 × 1/6 = ₹33,333. *Check:* 1,00,000 + 66,667 + 33,333 = ₹2,00,000 ✓

Total received: P = 1,00,000 (loan) + 3,00,000 (capital) + 1,00,000 (surplus) = ₹5,00,000; Q = 2,00,000 + 66,667 = ₹2,66,667; R = 1,00,000 + 33,333 = ₹1,33,333. Plus creditors ₹3,00,000. *Grand check:* 3,00,000 + 5,00,000 + 2,66,667 + 1,33,333 = ₹12,00,000 ✓

Conclusion. Creditors ₹3,00,000; then P's loan ₹1,00,000; capital repaid in full; surplus ₹2,00,000 shared 3:2:1. The account closes exactly at ₹12,00,000.

Q23. Insolvency of a partner — Garner v. Murray. (Application — S.48 + Garner v. Murray)

Facts. Firm "LMN" (partners L, M, N sharing **equally**) dissolves. After paying outside creditors, the realisation results in a **loss of ₹90,000**, shared equally (₹30,000 each). Fixed/last-agreed capitals were: L ₹4,00,000, M ₹2,00,000, N ₹1,20,000 (before charging the loss). After charging his ₹30,000 loss share, **N is insolvent and his capital account shows a debit balance of ₹1,00,000 that he cannot pay** (assume, for illustration, N had also over-drawn). How is N's ₹1,00,000 deficiency borne by L and M?

Issue. In what ratio do the solvent partners bear an insolvent partner's capital deficiency?

Rule. Garner v. Murray — an insolvent partner's *capital* deficiency is borne by the solvent partners **in the ratio of their last-agreed capitals**, NOT in the profit-sharing ratio. (The realisation loss itself is still shared in PSR.)

Application. Solvent partners' last-agreed capitals: L ₹4,00,000 : M ₹2,00,000 = **2 : 1**. N's uncoverable deficiency ₹1,00,000 is borne: - L = 1,00,000 × 2/3 = **₹66,667** - M = 1,00,000 × 1/3 = **₹33,333** - *Check:*

66,667 + 33,333 = ₹1,00,000 ✓

Conclusion. L bears ₹66,667 and M bears ₹33,333 of N's deficiency — in their **capital ratio 2:1**, not equally (their PSR). This is the classic Garner v. Murray trap: do **not** use the profit-sharing ratio for the deficiency.

Q24. Expulsion of a partner. (Application — S.33)

Facts. A firm's deed empowers a majority to expel a partner. The other partners, holding a majority, expel partner S — **not** for any misconduct, but simply because they want his profit share for themselves. S was never asked to explain and got no notice.

Issue. Is the expulsion valid?

Rule. S.33 — expulsion is valid only if it is (a) authorised by an **express contract**, (b) exercised by a **majority**, and (c) in **good faith** for the benefit of the firm (the partner must be given notice and a chance to be heard). All three conditions are cumulative.

Application. Conditions (a) and (b) are met, but condition (c) — good faith — is **absent**: the expulsion was to grab S's profit share, not for the firm's benefit, and S was denied a hearing. An expulsion not in good faith is invalid ("irregular expulsion").

Conclusion. The expulsion is **invalid**; S continues as a partner (or is treated as if wrongfully expelled) and may seek relief. A firm cannot expel a partner merely to appropriate his share.

Q25. Implied authority in a non-trading firm. (Application — S.19)

Facts. A firm of **practising architects** (a non-trading professional firm) has partners G and H. Partner G, without H's knowledge, **borrows ₹2,00,000** from a bank in the firm name. The bank knew it was an architecture firm. The firm fails; the bank sues H.

Issue. Does a partner in a **non-trading** firm have implied authority to borrow, so as to bind the co-partner?

Rule. S.19 — implied authority extends only to acts done in the **usual way** of the *kind* of business the firm carries on. **Borrowing money is within implied authority of a *trading* firm, but NOT of a non-trading/professional firm.** Borrowing by a partner of a non-trading firm is outside implied authority.

Application. Architecture is a professional, non-trading business where borrowing is not a usual/ordinary act. G had no implied authority to borrow, and the bank (knowing the firm's nature) cannot claim reliance on such authority.

Conclusion. H (and the firm) are **not bound** by G's borrowing; only G is personally liable. Contrast with Worked Example 2 in the chapter, where the firm *was* a trading firm and borrowing *did* bind all partners.

Foundation: The Limited Liability Partnership Act, 2008

1. The Problem it solves

Picture three chartered accountants — or three software engineers, or two architects — who want to build a firm together. India, until 2009, forced them to choose between exactly two legal vehicles, and **each one carried a hidden knife.**

Door 1 — the traditional partnership (Indian Partnership Act, 1932). It is cheap, private, and gloriously flexible. You and your partners agree — on a stamp paper or even orally — how to split profits and run the shop, and that is that. No board, no minimum capital, no filing your accounts for the world to read. But behind this door waits the trap that has destroyed families: **unlimited, joint and several liability.** If the firm borrows ₹2 crore and collapses, the bank does not stop at the firm's assets — it comes for your *personal house, car and savings,* and not just for your slice but for the *whole* debt. Worse still, because of **mutual agency**, you are liable for your co-partner's blunders. Your partner in Chennai signs a reckless contract; the creditor sells *your* flat in Delhi. You did nothing wrong, yet you pay everything. On top of that, a traditional firm cannot hold property or sue cleanly in its own name, it legally *dies* whenever a partner leaves or dies (no perpetual succession), and the number of partners is capped, choking growth.

Door 2 — the company (Companies Act). This door solves the liability problem beautifully: **limited liability** — your loss is capped at what you invested, and the company is a separate legal "person" that owns property, sues, and outlives its members. But behind this door is a *different* knife: **rigidity and cost.** A company forces on you a governance suit of armour designed for a large body of *passive* investors and *separate* professional managers — a board distinct from shareholders, statutory board meetings and AGMs with notice and quorum, statutory registers, mandatory audit whatever your size, annual returns, and limits on how directors are paid. For a two-person consultancy where the owners *are* the managers, this is like wearing plate armour to walk to the corner shop.

So the smart small business faced a cruel choice: **flexibility with ruinous liability (partnership), or safety with crushing compliance (company).** There was no vehicle that gave you *both* the internal freedom of a partnership *and* the limited liability and separate personality of a company.

The **Limited Liability Partnership Act, 2008** — brought into force on 31 March 2009, drawing on the Naresh Chandra and J.J. Irani committee recommendations — is India's answer. It creates a **third door**: a hybrid vehicle that is internally as flexible as a partnership but externally as safe as a company. For a CA this matters twice over. First, an enormous and growing share of Indian professional firms, start-ups and SMEs are now LLPs — you will incorporate them, audit them, file their returns and advise them. Second, this Foundation orientation is the launch-pad for the *full* LLP chapter you meet in CA Intermediate Corporate & Other Laws.

2. Core Idea

A Limited Liability Partnership is **a body corporate — a separate legal person with perpetual succession — in which partners run the business with the internal flexibility of a partnership, but each partner's liability is limited and no partner is liable for another partner's independent wrongdoing.**

Hold on to one sentence, because every rule flows from it:

> **An LLP is a separate legal entity distinct from its partners.** (Section 3)

That single idea — separate legal personality — is the engine. In a 1932 partnership the firm was *not* a separate person; it was just a collective name for the partners, so the partners' liability was personal and unlimited. The LLP inverts this. Because the LLP is its *own* legal person, **the LLP's debts are the LLP's debts, not the partners' debts.** The partners are merely its members and agents. That is *why* liability is limited, *why* the entity can own property and sue in its own name, *why* it has perpetual succession (partners come and go, the person survives), and *why* one partner is shielded from another's misconduct.

Section 3 says it in three linked clauses:

> "(1) A limited liability partnership is a **body corporate** formed and incorporated under this Act and is a **legal entity separate from that of its partners.** (2) A limited liability partnership shall have **perpetual succession.** (3) Any change in the partners of a limited liability partnership shall **not affect the existence, rights or liabilities** of the limited liability partnership."

3. Why it works this way

Why should partners in an LLP walk away safe when partners in a 1932 firm lose their homes? The reasoning is pure first principles.

Step 1 — Give the business its own legal personhood, and liability follows the person who incurs it. The law's oldest trick for capping risk is to *create an artificial person* and put the business inside it. Once the LLP is a separate legal "person" (S.3), the money it borrows is *its* obligation. A creditor's claim runs against the LLP's assets. The partners stand outside that wall. This is exactly the *Salomon v. Salomon* logic that makes a company a separate person — the LLP borrows it wholesale. **Separate personality is the cause; limited liability is the effect.**

Step 2 — Limited liability is the whole point, so make it explicit. Section 27(3) states that an obligation of the LLP is **solely the obligation of the LLP,** met out of the LLP's property. Section 28(1) says a partner is **not personally liable, directly or indirectly,** for an obligation of the LLP solely by reason of being a partner. Your downside is capped at your agreed contribution. This is the mirror image of the partnership rule and it is deliberate.

Step 3 — Kill "mutual liability" but keep "mutual agency." In a 1932 firm, every partner was an agent of *every other partner,* so B's wrong bound A personally. The LLP surgically removes that. **Section 26** makes every partner the agent of the **LLP** — but **not an agent of the other partners.** So a partner acts for the *entity,* and the entity bears the consequence; a co-partner's personal estate is untouched. Section 28(2) confirms this: one partner is *not* personally liable for the *wrongful act or omission* of *any other partner.* This is the single biggest practical upgrade over the old firm.

Step 4 — But do not let limited liability become a licence to cheat. Limited liability is a shield, not a sword. So the Act keeps two doors open to reach the partner personally: (a) **a partner remains fully liable for his OWN wrongful act or omission** (S.28(1) proviso to the shield — you cannot hide your own tort behind the LLP); and (b) if the LLP or a partner carries on business **with intent to defraud creditors** or for any fraudulent purpose, **unlimited liability** attaches to the LLP and to those partners who acted with fraudulent intent (**Section 30**). Fairness demands that the shield protects the honest, not the fraudster.

Step 5 — Internally, leave them free. Because the *external* creditor is already protected by the entity wall, the law does not need to dictate *internal* governance. So the mutual rights and duties of the partners are governed by a private contract — the **LLP agreement (Section 23, Schedule I)** — which the partners may write almost however they wish, exactly like a partnership deed. No compulsory board, no AGM, no minimum capital. Flexibility inside, safety outside.

Once you feel "**separate personality → limited liability → agent of the LLP not of co-partners → but own-fault and fraud still bite → internal freedom by contract,**" you can derive most of the Act instead of memorising it.

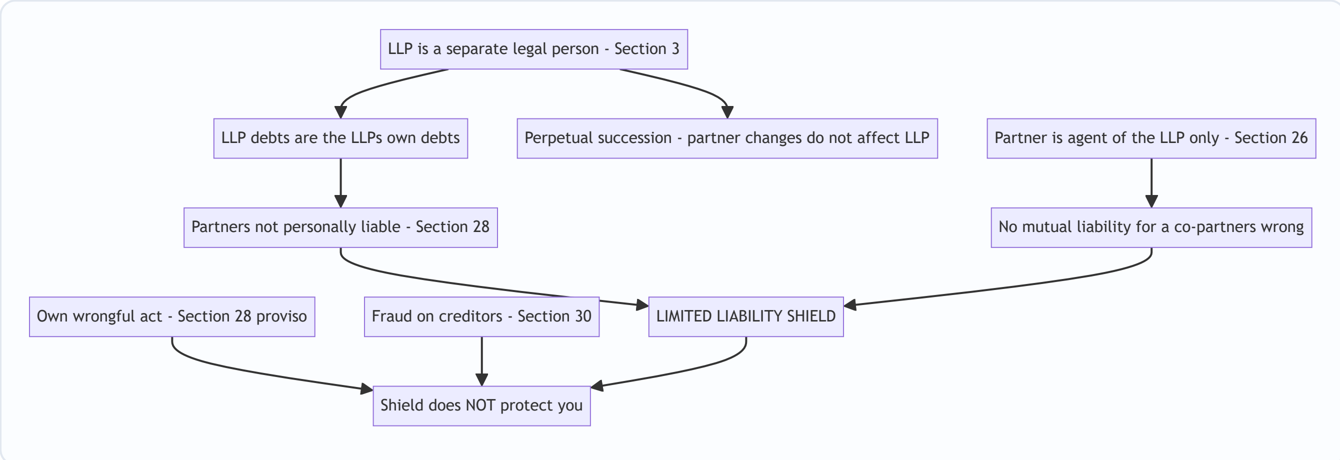


Figure 1 — Deriving limited liability and its two exceptions from separate legal personality.

4. Full technical content

4.1 What an LLP is — the salient features (Sections 2, 3)

Distil the Act's opening provisions into the features ICAI wants listed:

#	Salient feature	Provision
1	**Body corporate** — an incorporated entity, a "body corporate" as defined in S.2(1)(d)	S.3(1)
2	**Separate legal entity** — distinct from its partners; can own property, sue and be sued in its own name	S.3(1), S.14
3	**Perpetual succession** — its existence is unaffected by change, death or insolvency of partners	S.3(2), S.3(3)
4	**Limited liability** of partners — capped at agreed contribution	S.26, 27, 28
5	**Minimum 2 partners; no maximum** — at least 2, and there is *no upper ceiling* on the number of partners	S.6(1)
6	**At least 2 designated partners, one resident in India**	S.7(1)
7	**Governed by a contract** — the LLP agreement (else Schedule I default rules apply)	S.23, Sch. I
8	**Artificial legal person but not a citizen** — cannot claim fundamental rights meant only for citizens	—
9	**Common seal (optional)** and can hold property in its own name	S.14
10	**Perpetual existence independent of partners** — a partner is not an agent of other partners	S.26

Key defined terms (**Section 2(1)**): "*body corporate*" [2(1)(d)]; "*business*" includes every trade, profession, service and occupation [2(1)(e)]; "*designated partner*" [2(1)(j)]; "*limited liability partnership*" [2(1)(n)]; "*LLP agreement*" [2(1)(o)]; "*partner*" [2(1)(q)].

4.2 Nature of an LLP — the hybrid

An LLP deliberately borrows from *both* older forms:

It takes from a **partnership**	It takes from a **company**
Internal flexibility — governance by private agreement	Separate legal personality (S.3)
No minimum capital requirement	Limited liability of members (S.28)
Partners directly manage the business	Perpetual succession (S.3(2))
No compulsory board / AGM / statutory registers	Registration with the Registrar (RoC)
Profit-sharing among partners	Can own property and sue in its own name (S.14)

Because it is a *body corporate* it is regulated by the **Registrar of Companies (RoC)** under the **Ministry of Corporate Affairs (MCA)**, filings are done on the **MCA / LLP portal**, not with the Registrar of Firms. The LLP Act, 2008 is administered separately from the Partnership Act, 1932; note that **the Indian Partnership Act, 1932 does NOT apply to an LLP** (S.4).

4.3 LLP distinguished from a traditional partnership

This is the single most examined table at Foundation level.

Basis	Traditional partnership (1932 Act)	LLP (2008 Act)
Governing law	Indian Partnership Act, 1932	LLP Act, 2008
Regulator	Registrar of Firms	Registrar of Companies (MCA)
Legal status	**Not** a separate legal entity; firm = partners	**Separate legal entity** (S.3)
Registration	**Optional** (but non-registration bars suits)	**Compulsory** — must incorporate to exist
Perpetual succession	**No** — dissolves on death/retirement (subject to contract)	**Yes** (S.3(2))
Liability of partners	**Unlimited, joint and several**	**Limited** to agreed contribution (S.28)
Liability for co-partner's act	Each liable for the others' acts (mutual agency)	**Not** liable for another partner's wrongful act (S.28(2))
Maximum partners	**50** (Rule 10, Companies (Misc.) Rules 2014)	**No maximum** (min 2)
Property	Cannot own in firm's name	Can own in **its own name** (S.14)
Can sue/be sued	Firm sues through partners; disability if unregistered	In **its own name**
Minor as member	May be admitted to *benefits* (S.30 Partnership Act)	A minor **cannot** be a partner (must be competent to contract)
Audit	Not statutorily required	Required **above thresholds** (turnover > ₹40 lakh or contribution > ₹25 lakh)
Annual filing	None	**Form 8** (Statement of Account & Solvency) and **Form 11** (Annual Return)

4.4 LLP distinguished from a company

Basis	LLP (2008 Act)	Company (Companies Act, 2013)
Members called	Partners	Shareholders / members
Managed by	Partners themselves (owners = managers)	Board of Directors (distinct from members)
Governing document	**LLP agreement** (private, flexible)	**Memorandum & Articles** (public, prescribed)
Internal governance	Flexible, by contract	Rigid — board meetings, AGM, quorum, registers
Minimum members	2 partners	2 (private) / 7 (public)
Minimum management	2 **designated partners**	2 directors (private) / 3 (public)
Minimum capital	**None**	None (post-2015) but share-capital framework applies
Statutory meetings	**Not required**	Board meetings + AGM mandatory
Audit	Only above thresholds	**Mandatory** for every company
Distribution to owners	Share of profit per agreement	Dividend (out of profits, with rules)
Compliance burden	**Light**	**Heavy**
Digital signature / DIN	DPIN/DIN for designated partners	DIN for directors

Common ground: **both are bodies corporate, both have separate legal personality, perpetual succession, limited liability, and both register with the RoC.** The difference is *governance rigidity,* not legal status.

4.5 Partners and designated partners (Sections 5, 6, 7)

Who can be a partner (Section 5). Any **individual** or **body corporate** may be a partner in an LLP. An individual is disqualified if a court declares him of **unsound mind,** or he is an **undischarged insolvent,** or he has applied to be adjudicated insolvent and the application is pending. (A **minor cannot** be a partner because he is not competent to contract — a sharp contrast with the 1932 firm.)

Number of partners (Section 6). Minimum **two.** There is **no maximum.** If at any time the number falls **below two** and the LLP carries on business for **more than six months** with a single partner, that sole remaining partner (who knows of the fact) becomes **personally liable** for the obligations of the LLP incurred during that period (S.6(2)).

Designated partners (Section 7). Every LLP must have at least **two designated partners** who are **individuals,** and **at least one of them must be resident in India** ("resident in India" = stayed in India ≥ **120 days** during the financial year, per the current provision). Designated partners are the LLP's *responsible officers* — analogous to a company's directors for compliance purposes. If the incorporation document names all partners as designated partners, all are; if it says the designated partners are to be from time to time nominated, the LLP nominates them.

- Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** (S.7(6)) — in practice unified with the DIN framework — and a **Digital Signature Certificate (DSC)** to file forms.

- **Section 8 — liabilities of designated partners:** a designated partner is **responsible** for doing all acts, matters and things required to be done by the LLP under the Act (filings, compliances) and is **liable to all penalties** imposed on the LLP for contravention of those provisions. This is why the role carries weight.
- **Section 9:** the LLP must ensure it always has at least two designated partners; a vacancy must be filled within **30 days.** If no designated partner is appointed, or at any time there is only one, **every partner** is deemed to be a designated partner.

4.6 Incorporation of an LLP (Sections 11–14)

An LLP comes into existence **only on incorporation** — it cannot exist informally like a 1932 firm. The steps:

Step	What happens	Provision / Form
1	Obtain **DSC** for proposed designated partners	—
2	Obtain **DPIN/DIN** for designated partners	S.7(6)
3	**Reserve the name** — apply for name approval; must not be undesirable or identical to an existing LLP/company/trademark	S.15, 16 — **RUN-LLP** form
4	File **incorporation document** with the Registrar, subscribed by at least two partners, plus a statement of compliance	**S.11 — FiLLiP form**
5	Registrar registers the document and issues the **Certificate of Incorporation**	**S.12**
6	File the **LLP agreement** within **30 days** of incorporation	**S.23 — Form 3**

Section 11 — Incorporation document. Must state: the **name** of the LLP; the **proposed business;** the **registered office** address; the **name and address of each partner** and of the designated partners; and it must be **subscribed by at least two persons** associated for carrying on a lawful business with a view to profit. It is filed with a **statement** (by an advocate/CA/CS/CMA involved in the formation *and* by a subscriber) that all requirements of the Act regarding incorporation have been complied with. Making a **false statement** here is an offence (S.11(3)) — imprisonment up to 2 years and fine.

Section 12 — Certificate of Incorporation. On registration the Registrar issues a **Certificate of Incorporation,** which is **conclusive evidence** that the LLP is incorporated by the name stated. From the date on the certificate the LLP is born as a body corporate.

Section 14 — Effect of registration. On incorporation the LLP becomes, by its registered name, capable of: (a) **suing and being sued;** (b) **acquiring, owning, holding and developing property** — movable, immovable, tangible and intangible; (c) having a **common seal** (if it chooses); and (d) doing all other acts that a body corporate may lawfully do.

Registered office and name (Sections 13, 15, 21). Every LLP must have a **registered office** to which communications may be sent (S.13). The **name must end with the words "Limited Liability Partnership" or the abbreviation "LLP"** (S.15(1)). Every LLP must ensure that its **invoices, correspondence and official publications** bear its name, registered office address, registration number, and a statement that it is registered with limited liability (S.21).

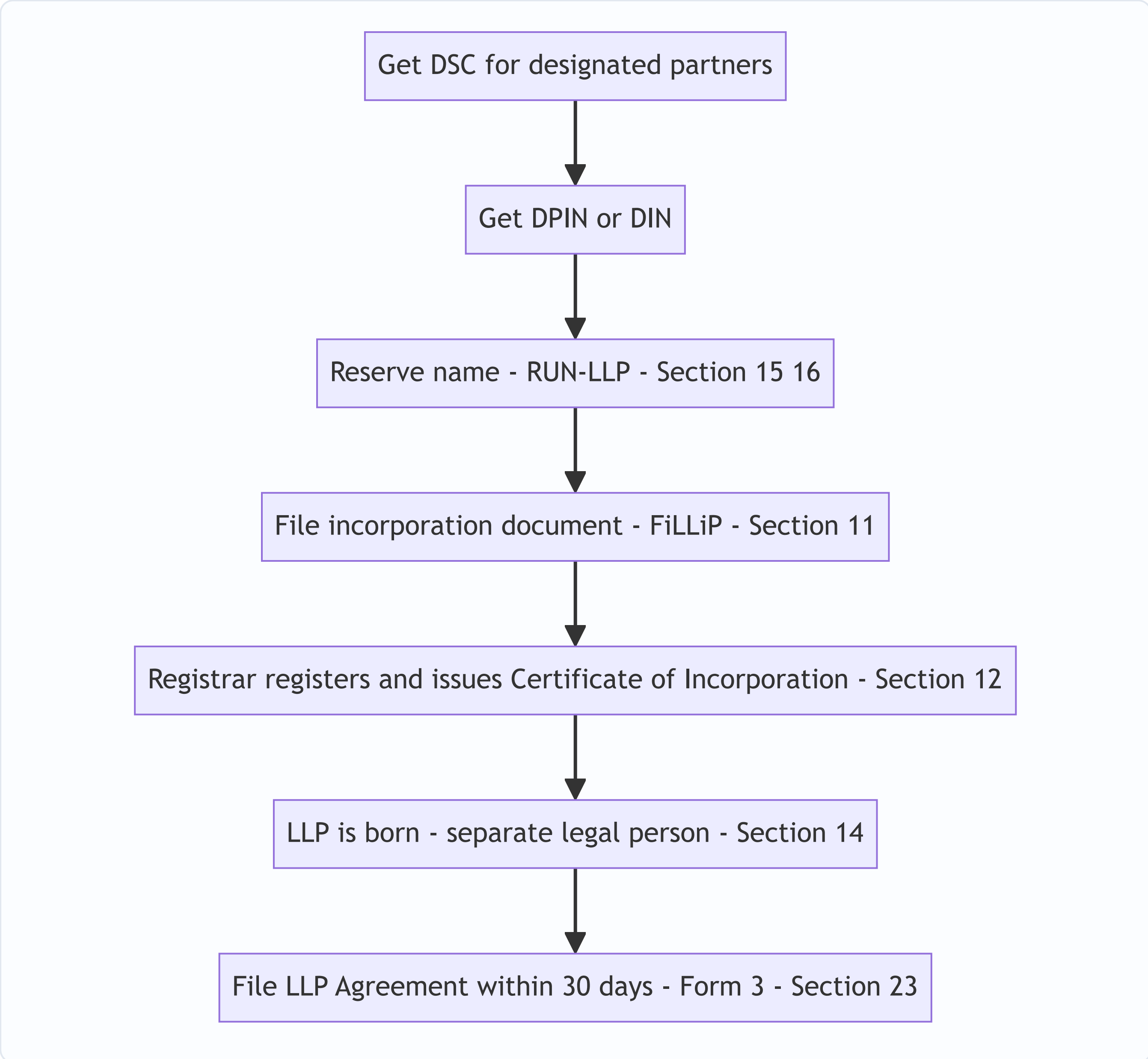


Figure 2 — The incorporation pipeline from digital signature to a living LLP.

4.7 The LLP agreement (Sections 22, 23; Schedule I)

The **LLP agreement** is the LLP's private constitution — the counterpart of a partnership deed. **Section 2(1)(o)** defines it as *any written agreement between the partners of the LLP, or between the LLP and its partners, which determines the mutual rights and duties of the partners and their rights and duties in relation to the LLP.*

- **Section 22 — Relationship of partners:** the mutual rights and duties of partners, and of the LLP and its partners, are governed by the LLP agreement.
- **Section 23 — the agreement and its effect:** the agreement (and any changes) must be **filed with the Registrar in Form 3** in the prescribed manner. Where the agreement is **silent** on any matter, or where **there is no agreement at all,** the mutual rights and duties are governed by the **default provisions in Schedule I** to the Act.

Typical contents of an LLP agreement: name and business; contribution of each partner and interest thereon; **profit/loss-sharing ratio;** rights, duties and restrictions of partners; management and decision-making; admission, retirement, cessation and expulsion of partners; remuneration/interest to partners; meetings and books; method of resolving disputes (arbitration); winding-up procedure.

Schedule I — default rules (apply when the agreement is silent), the Foundation must-knows:

#	Default rule (Schedule I)
1	All partners are entitled to **share equally in the capital, profits and losses** of the LLP.
2	The LLP shall **indemnify** each partner for payments made and personal liabilities incurred in the ordinary and proper conduct of the business.
3	Every partner may **take part in the management** of the LLP.
4	**No partner is entitled to remuneration** for acting in the business or management.
5	A **new partner** may be introduced only with the **consent of all** existing partners.
6	Ordinary matters are decided by a **majority** of partners; every partner has the right to be heard; but **no change in the nature of the business** without consent of all.
7	The LLP must **maintain proper books/records,** open to inspection by all partners.
8	Each partner must **render true accounts and full information** of things affecting the LLP to any partner or his legal representatives.
9	A partner must **account to the LLP for any private profit** derived from any transaction of the LLP, or from use of its property, name or business connection.
10	A partner must **account for profits of a competing business** carried on without consent.
11	**No majority can expel a partner** unless a power to do so has been conferred by express agreement.
12	Disputes between partners not resolvable by the agreement are referred to **arbitration** under the Arbitration and Conciliation Act, 1996.

Note how Schedule I echoes the 1932 Act's Section 13/16 defaults — the internal logic of partnership survives inside the LLP.

4.8 Extent and limitation of liability (Sections 26, 27, 28, 30)

This cluster is the heart of the Act.

- **Section 26 — Partner as agent:** every partner is the **agent of the LLP,** but **not of the other partners.** (Contrast S.18 of the 1932 Act, where a partner is agent of the firm *and* of every other partner.)
- **Section 27 — Extent of liability of the LLP:**
- (1) The LLP is **not bound** by anything done by a partner in dealing with a person if (a) the partner has **no authority** to act for the LLP in that matter, **and** (b) the person **knows** he has no authority or does not know/believe him to be a partner of the LLP.
- (2) The LLP is **liable** if a partner is liable for a wrongful act or omission done **in the course of business** of the LLP or **with its authority.**
- (3) An **obligation of the LLP,** whether arising in contract or otherwise, is **solely the obligation of the LLP.** The liabilities of the LLP are met out of the **property of the LLP.**
- **Section 28 — Extent of liability of a partner:**

- (1) A partner is **not personally liable, directly or indirectly,** for an obligation of the LLP (whether in contract or otherwise) **solely by reason of being a partner.**
- (2) The limitation in (1) does **not** affect the **personal liability of a partner for his OWN wrongful act or omission** — but a partner is **not personally liable for the wrongful act or omission of ANY OTHER partner** of the LLP.
- **Section 29 — Holding out:** anyone who, by words or conduct, represents himself (or knowingly permits himself to be represented) as a partner of an LLP is **liable** to a person who, on the faith of that representation, gave credit to the LLP — mirroring S.28 of the 1932 Act.
- **Section 30 — Unlimited liability in case of fraud:** if the LLP or a partner carries on business with **intent to defraud** creditors or for any fraudulent purpose, the **liability of the LLP AND of the partners who acted with intent to defraud is UNLIMITED.** The LLP is also liable to compensate persons who suffered loss, unless it establishes the act was done without its knowledge or authority. This is the **anti-abuse override** — the shield vanishes for fraud.

So the shield (S.28) has **two holes:** your **own** wrongful act, and **fraud** (S.30). Everything else is capped at your contribution.

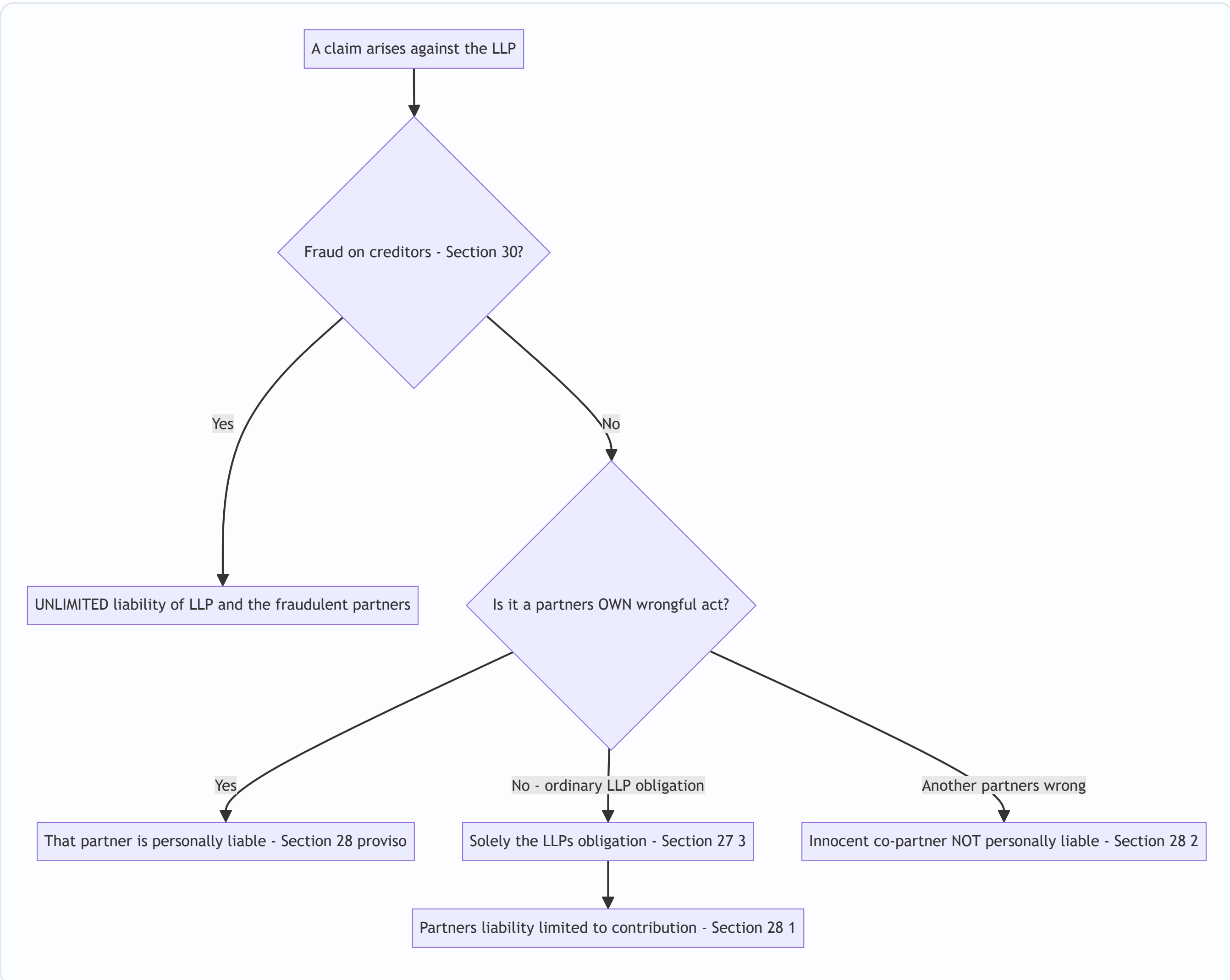


Figure 3 — Liability decision logic: when the shield holds and when it breaks.

4.9 Contribution and financial disclosures (Sections 32, 33, 34, 35)

- **Section 32 — Form of contribution:** a partner's contribution may be **tangible or intangible property, money, promissory notes, other agreements to contribute cash or property, or contracts for services performed or to be performed.** The **monetary value** of a non-cash contribution is stated and disclosed in the accounts.
- **Section 33 — Obligation to contribute:** the obligation of a partner to contribute is as per the LLP agreement. A creditor who, without notice of any compromise, **relied on such an obligation** may enforce the original obligation.
- **Section 34 — Maintenance of books of account, other records and audit:** every LLP must **maintain proper books of account** (on cash or accrual basis, by double entry) at its registered office, and prepare a **Statement of Account and Solvency** within **6 months** of the end of each financial year, signed by the designated partners, and file it (**Form 8**). Accounts must be **audited** as prescribed — audit is required only if **turnover exceeds ₹40 lakh** *or* **contribution exceeds ₹25 lakh** (below both thresholds, audit is not compulsory).
- **Section 35 — Annual return:** every LLP must file an **Annual Return (Form 11)** with the Registrar within **60 days** of the end of the financial year.

4.10 Conversion into an LLP (Sections 55–58; Schedules II–IV)

The Act lets existing entities *migrate* into the LLP form without breaking their business — a Foundation-level overview:

Conversion	Section	Schedule	Who may convert
Firm → LLP	S.55	Schedule II	An existing partnership firm (all partners of the firm become partners of the LLP, and only they)
Private company → LLP	S.56	Schedule III	A private company (all shareholders become partners; no security interest subsisting; up-to-date filings)
Unlisted public company → LLP	S.57	Schedule IV	An unlisted public company (similar conditions)

- **Section 58 — Registration and effect of conversion:** on conversion the Registrar issues a **certificate of registration** as an LLP. On and from the date in the certificate: (a) the LLP is by its name registered; (b) **all tangible/intangible property, assets, interests, rights, privileges, liabilities and obligations** of the firm/company **vest in the LLP;** and (c) the firm/company is **deemed dissolved** and removed from the records of the Registrar of Firms / RoC. Pending proceedings continue, and existing agreements/contracts continue with the LLP substituted. The conversion **does not affect existing liabilities** — they carry over.
- **Effect note:** on conversion, every partner is bound to notify concerned authorities, and for a period the entity must state on its documents that it was converted from a firm/company (transparency to creditors).

4.11 Winding up and dissolution — overview (Sections 63–65)

An LLP, being a body corporate, is not simply "dissolved" like a 1932 firm — it must be formally **wound up** and then **dissolved.** Two routes:

Mode	Provision	Trigger (overview)
Voluntary winding up	S.63	The partners themselves decide to wind up
Winding up by the Tribunal (NCLT)	S.64	On specified grounds

Section 64 — grounds for winding up by the Tribunal: 1. The LLP **decides** that it be wound up by the Tribunal; 2. The number of partners is **reduced below two** for more than **six months;** 3. The LLP is **unable to pay its debts;** 4. The LLP has acted against the **sovereignty/integrity of India,** security of the State, or public order; 5. The LLP has **defaulted** in filing the Statement of Account and Solvency or the Annual Return for **five consecutive financial years;** 6. The Tribunal is of the opinion that it is **just and equitable** that the LLP be wound up.

Section 65 empowers the Central Government to make rules for winding up and dissolution (the LLP (Winding up and Dissolution) Rules). There is also an easier exit: an LLP that is **defunct / not carrying on business** may apply to have its name **struck off** the register (Form 24) — the LLP equivalent of a company's fast-track exit. On completion of winding up the LLP is **dissolved** and ceases to exist.

5. Worked examples (application / IRAC style)

> For law, each worked example is a fact-scenario solved **Issue → Rule → Application → Conclusion.** Where numbers appear, every figure is checked to tally.

Worked Example 1 — The limited-liability shield vs. a partner's own wrong (Sections 27, 28)

Facts. "Pinnacle Consulting LLP" has three partners — A, B and C — sharing profits **equally,** each having contributed ₹5,00,000 (total contribution ₹15,00,000). The LLP borrows ₹40,00,000 from a bank for a genuine business project; the project fails and the LLP's realisable assets are only ₹22,00,000. *Separately,* partner B — while acting on his own frolic, outside the LLP's business and authority — negligently damages a client's equipment, causing a ₹6,00,000 loss. The bank and the client both look to recover. A and C claim they are personally safe.

Issue. (i) Are A, B and C personally liable for the ₹40,00,000 bank loan beyond LLP assets? (ii) Who bears the ₹6,00,000 client loss caused by B's own act?

Rule. S.27(3) — an obligation of the LLP is **solely the obligation of the LLP,** met out of LLP property. S.28(1) — a partner is **not personally liable** for an obligation of the LLP solely by being a partner. S.28(2) — the shield does not protect a partner from **his own** wrongful act, but no partner is personally liable for **another** partner's wrongful act. (No fraud, so S.30 is not triggered.)

Application. - *Bank loan* — an ordinary LLP obligation. It is solely the LLP's. The bank recovers from **LLP assets (₹22,00,000)** and the remaining ₹18,00,000 shortfall **cannot** be recovered from the partners personally (S.28(1)). The partners' exposure is capped at their contribution, which is already in the LLP. - *Client loss* — this arose from **B's own wrongful act.** Under S.28(2) B is **personally liable** for it. A and C are **not** personally liable for B's independent wrong. (The LLP is liable under S.27(2) only if the act was in the course of the LLP's business or with its authority — here it was on B's personal frolic, outside authority, so B alone answers.)

Numbers (self-checked). Bank claim ₹40,00,000 − LLP assets ₹22,00,000 = **₹18,00,000 unrecovered,** borne by the bank as a business loss; partners pay ₹0 more. Client loss ₹6,00,000 → **B personally ₹6,00,000;** A and C ₹0. Each partner's *maximum* capital loss = ₹5,00,000 (contribution already sunk in the LLP). *Check:* 3 × ₹5,00,000 = ₹15,00,000 = total contribution absorbed by LLP assets. ✓

Conclusion. The partners lose only their ₹5,00,000 contributions each on the loan; the bank absorbs the ₹18,00,000 shortfall. B alone bears the ₹6,00,000 for his own negligence, while A and C stay protected. This is precisely the outcome a 1932 firm could **never** deliver — there, all three would have lost their homes.

Worked Example 2 — Schedule I applies when the agreement is silent (Sections 23, Schedule I)

Facts. "Bright Ideas LLP" is incorporated with partners X, Y and Z. In their hurry they file the incorporation document but **never file an LLP agreement** and never write one. X contributed ₹8,00,000, Y ₹4,00,000, Z ₹4,00,000 (total ₹16,00,000). In its first year the LLP earns a **profit of ₹6,00,000.** X claims profit in proportion to capital (8:4:4, i.e. 2:1:1) and also claims a **management salary** of ₹1,00,000 because he ran the office. Y and Z object.

Issue. In the absence of an LLP agreement, how are the ₹6,00,000 profit and X's salary claim decided?

Rule. S.23 — where there is **no LLP agreement** on a matter, the mutual rights and duties are governed by **Schedule I.** Schedule I rule 1 — partners share **equally** in capital, profits and losses, **regardless of contribution.** Schedule I rule 4 — **no partner is entitled to remuneration** for managing the business.

Application. - *Profit ratio* — because there is no agreement, Schedule I overrides X's capital-ratio claim. Profits are shared **equally.** - *Salary* — Schedule I rule 4 denies any remuneration for management; X gets **no salary** for running the office.

Numbers (self-checked). Divisible profit = ₹6,00,000. Equal share = ₹6,00,000 ÷ 3 = **₹2,00,000 each.** X ₹2,00,000 + Y ₹2,00,000 + Z ₹2,00,000 = ₹6,00,000. ✓ Tallies. X's salary claim = **₹0.** So X receives ₹2,00,000, not the ₹2,00,000 profit + ₹1,00,000 salary + extra capital share he wanted.

Conclusion. Profits are split **₹2,00,000 each** and X gets **no salary.** The lesson: without a filed LLP agreement, Schedule I's *equal-sharing, no-remuneration* defaults govern — often *not* what a capital-heavy partner expects. Always draft and file the agreement (Form 3) within 30 days.

Worked Example 3 — Falling below two partners (Section 6)

Facts. "Duo Tech LLP" has only two partners, M and N. On 1 April, N dies. M, wishing to keep the goodwill alive, **continues the business alone** and admits no new partner. He carries on for **9 months,** during which the LLP incurs fresh trade debts of **₹10,00,000.** A creditor now seeks to hold M **personally** liable for these debts, though M insists the LLP shield protects him.

Issue. Is M personally liable for the ₹10,00,000 of debts incurred while he was the sole partner?

Rule. S.6(1) — an LLP must have a **minimum of two partners.** S.6(2) — if the LLP carries on business with **fewer than two partners for more than six months,** the person who is the **only partner** during that time, and who **knows** he is carrying on business alone, is **personally liable** for the obligations of the LLP incurred **during that period** (i.e., after the six months).

Application. From N's death the LLP had one partner. M continued for 9 months — **3 months beyond** the 6-month grace period. For obligations incurred in that **excess period,** M loses the shield and is **personally liable.** (Debts incurred within the first 6 months remain the LLP's alone.)

Numbers (self-checked). 6-month grace period ends 30 September. M continues to 31 December (9 months) — 3 months of exposed trading. Of the ₹10,00,000 debts, those incurred **after 30 September** attach to M **personally.** Suppose ₹6,00,000 were incurred Oct–Dec: M is **personally liable for ₹6,00,000;** the ₹4,00,000 incurred Apr–Sep remains the LLP's obligation only. (The split depends on when each debt arose; the principle is what matters.)

Conclusion. M's belief was wrong: by trading alone beyond six months **with knowledge,** he forfeited the limited-liability shield for debts incurred in the excess period. The fix would have been to **admit a second partner within six months.** Perpetual succession keeps the *LLP* alive, but the *shield* is conditional on maintaining two partners.

Worked Example 4 — Conversion of a firm into an LLP (Sections 55, 58)

Facts. "Sharma & Associates," a registered partnership firm of two CAs with assets of ₹30,00,000, liabilities (a bank loan) of ₹12,00,000, and an ongoing recovery **suit it had filed** against a debtor for ₹5,00,000, converts into "Sharma & Associates LLP" under S.55. After conversion, the debtor argues the pending suit lapses because the old firm no longer exists, and the bank argues its ₹12,00,000 loan is wiped out because the borrower firm is "dissolved."

Issue. On conversion, (i) what happens to the firm's assets, the pending suit, and (ii) is the bank's ₹12,00,000 loan extinguished?

Rule. S.55 read with Schedule II — a firm may convert into an LLP. S.58(4) — on conversion, **all property, assets, interests, rights, privileges, liabilities and obligations** of the firm **vest in the LLP;** the firm is **deemed dissolved;** and **pending proceedings** may be continued by or against the LLP. Conversion **does not extinguish existing liabilities.**

Application. - *Assets (₹30,00,000)* and the *pending recovery suit (₹5,00,000)* automatically **vest in / continue with the LLP** — the LLP is simply substituted as the plaintiff. The suit does **not** lapse. - *Bank loan (₹12,00,000)* is an **existing liability** that carries over to the LLP under S.58; it is **not** wiped out. The bank remains a creditor, now of the LLP.

Numbers (self-checked). Opening net worth of firm = Assets ₹30,00,000 − Liabilities ₹12,00,000 = **₹18,00,000.** After conversion the LLP's balance sheet: Assets ₹30,00,000 = Bank loan ₹12,00,000 + Partners' capital ₹18,00,000. **₹30,00,000 = ₹30,00,000.** ✓ The balance sheet carries over intact and balances.

Conclusion. Everything transfers wholesale: assets, the ₹5,00,000 suit (LLP continues it), and the ₹12,00,000 loan (LLP owes it). Conversion is a **change of legal skin, not a fresh start** — creditors and litigants are protected because liabilities do not vanish on conversion.

6. Connections — what this unlocks in CA Intermediate

- **Corporate & Other Laws (Inter) — "The Limited Liability Partnership Act, 2008":** this Foundation orientation is the direct feeder into the *full* Inter LLP chapter (in this kit, Chapter 11), which drills the same Sections 3, 7, 23, 28, 30, 55–58, 64 in examinable depth, plus procedural detail on designated partners, e-filing forms, and winding-up rules. Everything you learned here — separate personality, the liability shield and its fraud exception, Schedule I defaults, conversion — is assumed knowledge there.
- **Corporate & Other Laws (Inter) — Companies Act, 2013:** the LLP's *separate legal personality, perpetual succession and limited liability* are the same concepts you apply to a company (incorporation, lifting the corporate veil, Salomon principle). Mastering them on the simpler LLP makes the company chapter easier.

- **Advanced Accounting (Inter) — Conversion of a partnership firm into an LLP / company:** S.55–58 is the *legal* basis for the *accounting* of conversion (revaluation, vesting of assets and liabilities, opening the LLP's books) — the balance-sheet carry-over in Worked Example 4 is exactly that accounting.
- **Auditing & Ethics (Inter):** auditing an LLP (the S.34 threshold audit), verifying the LLP agreement and designated-partner compliances, builds on this foundation.
- **Taxation (Inter):** an LLP is a distinct assessee taxed like a firm (flat rate, no dividend distribution issues), and partners' remuneration/interest limits under s.40(b) sit on the LLP-agreement concepts introduced here.

7. Traps & common mistakes

1. **Saying partners are "not liable at all."** They *are* liable — up to their **contribution,** and **fully** for their **own** wrongful act (S.28) and where **fraud** is involved (S.30). "Limited," not "zero."
2. **Confusing "agent of the LLP" with "agent of other partners."** S.26 makes a partner an agent of the **LLP only.** This is *why* there is no mutual liability — a favourite one-mark distinction.
3. **Applying the Indian Partnership Act, 1932 to an LLP.** It does **not** apply (S.4). An LLP is governed by the 2008 Act and (internally) by its agreement/Schedule I.
4. **Getting the number of partners wrong.** Minimum **2, no maximum** — do not import the "50" ceiling from the 1932 firm. And below 2 for **6 months** exposes the sole partner (S.6(2)).
5. **Forgetting the designated-partner rules.** At least **2 designated partners, both individuals, at least one resident in India** (S.7). Missing this is a common blank in answers.
6. **Thinking an LLP exists without registration.** Unlike a 1932 firm (which can exist unregistered), an LLP **must** be incorporated (S.11–12) to exist — registration is **constitutive,** not optional.
7. **Mixing up the forms and time limits.** Incorporation = **FiLLiP;** LLP agreement = **Form 3 within 30 days;** Statement of Account & Solvency = **Form 8;** Annual Return = **Form 11 within 60 days.** Examiners love the form/timeline.
8. **Believing every LLP must be audited.** Audit is required **only** if turnover > **₹40 lakh** or contribution > **₹25 lakh** (S.34/Rules) — below both, no compulsory audit.
9. **Saying the LLP name can be anything.** The name must **end with "LLP" or "Limited Liability Partnership"** (S.15).
10. **Thinking conversion wipes out old liabilities.** On conversion (S.58) **liabilities carry over** to the LLP; creditors are not defeated. Pending suits continue too.
11. **Allowing a minor as a partner.** A minor **cannot** be a partner of an LLP (must be competent to contract) — do not carry over the 1932 "minor admitted to benefits" rule.
12. **Assuming fraud only affects the LLP.** Under S.30 the **fraudulent partners themselves** get **unlimited** personal liability — the shield collapses for them.

8. First-principles recap

- An LLP is a **body corporate — a separate legal person** (S.3) — which is *why* it can own property, sue in its own name, and enjoy **perpetual succession** (partner changes don't touch it).
- Because the LLP is its own person, **its debts are its own;** partners' liability is **limited** to their contribution (S.27(3), S.28(1)).

- Each partner is an **agent of the LLP, not of the other partners** (S.26) — so there is **no mutual liability** for a co-partner's wrong (S.28(2)).
- The shield has exactly **two holes:** your **own** wrongful act (S.28 proviso) and **fraud on creditors** (S.30, unlimited liability).
- It is a **hybrid:** company-like *outside* (personality, limited liability, RoC registration) but partnership-like *inside* (governed by the **LLP agreement,** or **Schedule I** if silent — S.23).
- **Minimum 2 partners, no maximum; at least 2 designated partners, one resident in India** (S.6, S.7); it exists **only on incorporation** (S.11–12), unlike an optionally-registered 1932 firm.
- Existing firms and companies can **convert** into LLPs (S.55–58) with **all assets and liabilities vesting** in the LLP; winding up is via **voluntary** or **Tribunal** route (S.63–64).

9. Quick-reference

Item	Rule / Section
LLP is a body corporate & separate legal entity	**S.3(1)**
Perpetual succession; partner change doesn't affect LLP	**S.3(2), 3(3)**
Partnership Act 1932 does not apply to LLP	S.4
Who may be a partner (individual or body corporate; not a minor)	**S.5**
Min 2 partners; **no maximum;** sole-partner exposure after 6 months	**S.6**
Min **2 designated partners,** both individuals, ≥1 resident in India	**S.7**
Liabilities & DPIN of designated partners; vacancy filled in 30 days	S.8, S.9
Incorporation document (subscribed by ≥2) — **FiLLiP**	**S.11**
Certificate of Incorporation — conclusive evidence	**S.12**
Registered office	S.13
Effect of registration — sue, own property, common seal	**S.14**
Name must end with "LLP" / "Limited Liability Partnership"	**S.15**
Partner is agent of the **LLP only,** not of other partners	**S.26**
Obligation is **solely** the LLP's; met from LLP property	**S.27(3)**
Partner **not personally liable** for LLP obligation; own act & co-partner rule	**S.28**
Holding out	S.29
Unlimited liability for fraud on creditors	**S.30**
Form of contribution (cash / property / services)	S.32
Books, Statement of Account & Solvency — **Form 8;** audit if T/O > ₹40L or contribution > ₹25L	**S.34**
Annual Return — **Form 11,** within 60 days	**S.35**
LLP agreement governs; **Schedule I** if silent — **Form 3** in 30 days	**S.22, S.23**
Conversion: firm → LLP / Pvt co → LLP / public co → LLP	**S.55 / S.56 / S.57** (Sch. II/III/IV)
Effect of conversion — assets & liabilities vest; firm/co dissolved	**S.58**
Winding up — voluntary / by Tribunal (NCLT)	**S.63 / S.64**
Central Govt rule-making for winding up	S.65

Q&A — Foundation: The Limited Liability Partnership Act, 2008

CA Foundation Paper 2 — Business Laws (2024 New Scheme). Mix of theory/definition answers (with section references and "how to present for full marks") and application/case-scenario answers in Issue–Rule–Application–Conclusion style. Every figure is self-checked.

Part A — Theory & definition questions

Q1. Define a Limited Liability Partnership and state its salient features.

Model answer. Under **Sec 2(1)(n)** of the LLP Act, 2008, a *Limited Liability Partnership* means a partnership formed and registered under this Act. Per **Sec 3**, an LLP is a **body corporate** formed and incorporated under the Act and is a **legal entity separate from its partners,** with **perpetual succession.**

Salient features: (1) it is a **body corporate** (S.3); (2) a **separate legal entity** distinct from its partners, able to own property and sue/be sued in its own name (S.14); (3) **perpetual succession** — unaffected by change, death or insolvency of partners (S.3(2)); (4) **limited liability** of partners, capped at their contribution (S.28); (5) **minimum 2 partners, no maximum** (S.6); (6) at least **2 designated partners, one resident in India** (S.7); (7) governed by the **LLP agreement,** else Schedule I (S.23); (8) a partner is an **agent of the LLP, not of other partners** (S.26).

For full marks: cite S.2(1)(n) and S.3, and list at least six features with their sections.

Q2. Explain the statement: "An LLP is a hybrid between a partnership and a company."

Model answer. An LLP blends features of both forms. **From a company** it takes: separate legal personality (S.3), limited liability (S.28), perpetual succession (S.3(2)), the ability to own property and sue in its own name (S.14), and compulsory registration with the RoC. **From a partnership** it takes: internal flexibility (governed by a private **LLP agreement,** S.23), no minimum capital, direct management by partners (owners = managers), no compulsory board/AGM/statutory meetings, and profit-sharing among partners. Thus it offers *company-like protection outside* and *partnership-like freedom inside* — solving the historic dilemma of "flexibility with unlimited liability vs. safety with heavy compliance."

For full marks: present it as a two-column comparison (company-like features vs partnership-like features) with sections.

Q3. Distinguish between an LLP and a traditional partnership firm.

Model answer.

Basis	Traditional partnership (1932)	LLP (2008)
Governing law	Indian Partnership Act, 1932	LLP Act, 2008
Legal status	Not a separate entity	Separate legal entity (S.3)
Registration	Optional	Compulsory (must incorporate)
Perpetual succession	No	Yes (S.3(2))
Liability of partners	Unlimited, joint & several	Limited to contribution (S.28)
Liability for co-partner's act	Yes (mutual agency)	No (S.28(2))
Maximum partners	50 (Rule 10, Cos Misc Rules 2014)	No maximum
Property	Cannot own in firm's name	Owns in its own name (S.14)
Minor	May be admitted to benefits (S.30)	Cannot be a partner

For full marks: the two decisive points are **separate legal entity** and **limited liability with no mutual liability.**

Q4. Distinguish between an LLP and a company.

Model answer. Both are bodies corporate with separate legal personality, perpetual succession and limited liability, both registering with the RoC. They differ in **governance:**

Basis	LLP	Company
Governing document	LLP agreement (flexible)	MoA & AoA (prescribed)
Management	Partners themselves	Board of Directors (distinct from members)
Internal meetings	None required	Board meetings + AGM mandatory
Minimum members	2 partners	2 (private) / 7 (public)
Audit	Only above thresholds (S.34)	Mandatory for every company
Owner return	Share of profit per agreement	Dividend
Compliance	Light	Heavy

For full marks: state the common ground first (both bodies corporate), then that the difference is *governance rigidity,* not legal status.

Q5. Who can be a partner in an LLP? Who is disqualified? (Sec 5)

Model answer. Under **Sec 5**, any **individual** or **body corporate** may be a partner. An individual is **disqualified** if: (a) he has been found by a court of competent jurisdiction to be of **unsound mind** (and the finding is in force); (b) he is an **undischarged insolvent;** or (c) he has **applied to be adjudicated an insolvent** and his application is pending. Note that a **minor cannot** be a partner, because a partner must be competent to contract (contrast the 1932 Act, where a minor may be admitted to the *benefits* of partnership under S.30).

Q6. Explain the provisions relating to designated partners. (Sec 7, 8, 9)

Model answer. Under **Sec 7(1)**, every LLP must have at least **two designated partners** who are **individuals,** and **at least one must be resident in India** (present in India ≥ 120 days in the financial year). Every designated partner must obtain a **DPIN/DIN** (S.7(6)) and a Digital Signature Certificate. Under **Sec 8,** a designated partner is **responsible** for all acts, matters and things required to be done by the LLP for compliance with the Act and is **liable to all penalties** imposed on the LLP for such contraventions. Under **Sec 9,** the LLP must always maintain at least two designated partners; a vacancy must be filled within **30 days,** failing which (or if only one exists) **every partner** is deemed a designated partner.

For full marks: stress "two, individuals, one resident in India," and the S.8 responsibility/penalty point.

Q7. Describe the procedure for incorporation of an LLP. (Sec 11–12)

Model answer. Steps: (1) obtain **DSC** and **DPIN/DIN** for designated partners; (2) **reserve the name** (RUN-LLP) under S.15–16, ensuring it is not undesirable/identical and ends with "LLP"; (3) file the **incorporation document** (Form **FiLLiP**) with the Registrar under **Sec 11,** subscribed by **at least two persons,** stating the name, proposed business, registered office, and particulars of partners/designated partners, together with a **statement of compliance** by a professional and a subscriber; (4) the Registrar registers it and issues the **Certificate of Incorporation** under **Sec 12,** which is **conclusive evidence** of incorporation; (5) file the **LLP agreement in Form 3 within 30 days** (S.23). A **false statement** in the incorporation document is punishable with imprisonment up to 2 years and fine (S.11(3)).

Q8. What is the effect of registration/incorporation of an LLP? (Sec 14)

Model answer. Under **Sec 14,** on incorporation the LLP, by its registered name, is capable of: (a) **suing and being sued;** (b) **acquiring, owning, holding and developing** movable, immovable, tangible and intangible **property;** (c) having a **common seal** if it chooses; and (d) doing all other lawful acts a body corporate may do. In short, registration confers **separate legal personality** and all the capacities that flow from it.

Q9. What is an LLP agreement? What happens if there is no agreement or it is silent? (Sec 2(1)(o), 22, 23)

Model answer. Under **Sec 2(1)(o),** an *LLP agreement* is a written agreement between the partners, or between the LLP and its partners, determining their **mutual rights and duties** and their rights and duties in relation to the LLP. Under **Sec 22** the mutual rights and duties are governed by this agreement, which (with changes) must be filed in **Form 3** under **Sec 23.** Where there is **no agreement** on a matter, or it is **silent,** the mutual rights and duties are governed by the **default provisions of Schedule I** — e.g. equal sharing of profits/losses, no remuneration for management, majority for ordinary matters, unanimity to admit a new partner or change the nature of business, and duty to account for private/competing profits.

For full marks: name **Schedule I** and give three of its default rules.

Q10. State the key default rules in Schedule I of the LLP Act.

Model answer. Where the LLP agreement is silent, **Schedule I** provides: (1) partners share **equally** in capital, profits and losses; (2) the LLP **indemnifies** a partner for liabilities incurred in the ordinary/proper conduct of business; (3) every partner may **take part in management;** (4) **no remuneration** to any partner for managing; (5) a **new partner** only with the **consent of all;** (6) ordinary matters by **majority,** but **no change in the nature of business** without unanimous consent; (7) proper **books** open to all partners; (8) duty to render **true accounts** and full information; (9) a partner must **account** for private profits from LLP transactions/property/name; (10) account for profits of a **competing business;** (11) **no expulsion** by majority unless expressly agreed; (12) disputes go to **arbitration.**

Q11. Explain the extent of liability of an LLP and of a partner. (Sec 27, 28)

Model answer. Sec 27(3): an obligation of the LLP, whether in contract or otherwise, is **solely the obligation of the LLP,** and its liabilities are met out of the **property of the LLP. Sec 27(1):** the LLP is not bound by a partner's act if that partner lacks authority and the third party knows he lacks authority or does not believe him to be a partner. **Sec 28(1):** a partner is **not personally liable, directly or indirectly,** for an obligation of the LLP **solely by reason of being a partner. Sec 28(2):** however, this does not shield a partner from his **own** wrongful act or omission — but a partner is **not personally liable for the wrongful act or omission of any other partner.**

For full marks: contrast this with the 1932 Act's unlimited joint-and-several liability, and note the two exceptions (own act; fraud under S.30).

Q12. When does a partner in an LLP incur unlimited/personal liability?

Model answer. Despite the general shield (S.28(1)), a partner is exposed in these situations: (1) for his **own wrongful act or omission** (S.28(2)); (2) where the LLP or the partner carries on business **with intent to defraud creditors** or for a fraudulent purpose — under **Sec 30** the liability of the LLP and of the **partners who acted with fraudulent intent is UNLIMITED;** (3) where the number of partners falls **below two** and business is carried on for **more than six months,** the sole remaining partner who knows of it is **personally liable** for obligations incurred during that period (**Sec 6(2)**); (4) under **holding out** (S.29), a person represented as a partner is liable to one who gave credit on that faith.

Q13. Explain the doctrine of "holding out" under the LLP Act. (Sec 29)

Model answer. Under **Sec 29,** any person who by **words (spoken or written) or conduct** represents himself, or knowingly permits himself to be represented, as a **partner** in an LLP is **liable** to any person who, **on the faith of such representation,** has given **credit** to the LLP — whether or not the person so represented knew the representation had reached the creditor. It rests on **estoppel:** you cannot let the world believe you are a partner, watch a creditor rely on it, and then deny it. (This mirrors S.28 of the Partnership Act, 1932.)

Q14. What are the forms of contribution a partner may make? (Sec 32)

Model answer. Under **Sec 32,** a partner's contribution may consist of **tangible or intangible property, money, promissory notes, other agreements to contribute cash or property, and contracts for services performed or to be performed.** The **monetary value** of a non-cash contribution must be accounted for and disclosed in the LLP's accounts in the prescribed manner. Under **Sec 33,** the obligation to contribute is as per the agreement, and a creditor who relied on such obligation (without notice of any compromise) may enforce it.

Q15. State the provisions on maintenance of books, Statement of Account & Solvency, audit, and annual return. (Sec 34, 35)

Model answer. Under **Sec 34,** every LLP must maintain **proper books of account** (cash or accrual, double-entry) at its registered office, and within **six months** of the financial-year end prepare a **Statement of**

Account and Solvency, signed by designated partners, and file it (**Form 8**). Accounts must be **audited** only where **turnover exceeds ₹40 lakh** *or* **contribution exceeds ₹25 lakh;** below both thresholds audit is not compulsory. Under **Sec 35,** every LLP must file an **Annual Return (Form 11)** within **60 days** of the financial-year end.

Q16. Explain the modes of conversion into an LLP. (Sec 55–58)

Model answer. The Act permits three conversions: (1) **a firm into an LLP** under **Sec 55** (Schedule II); (2) **a private company into an LLP** under **Sec 56** (Schedule III); (3) **an unlisted public company into an LLP** under **Sec 57** (Schedule IV). Under **Sec 58,** on conversion the Registrar issues a **certificate of registration** as an LLP; **all property, assets, interests, rights, privileges, liabilities and obligations** of the firm/company **vest in the LLP;** and the firm/company is **deemed dissolved** and removed from the register. Existing liabilities and pending proceedings **carry over** — conversion does not extinguish them.

Q17. Describe the modes and grounds of winding up of an LLP. (Sec 63, 64)

Model answer. An LLP may be wound up either **voluntarily** (**Sec 63,** by decision of the partners) or **by the Tribunal (NCLT)** (**Sec 64**). Grounds for winding up by the Tribunal: (1) the LLP **decides** to be wound up by the Tribunal; (2) the number of partners is **below two for more than six months;** (3) the LLP is **unable to pay its debts;** (4) it has acted against the **sovereignty/integrity of India,** security of the State or public order; (5) it has **defaulted** in filing the Statement of Account & Solvency or the Annual Return for **five consecutive financial years;** (6) the Tribunal considers it **just and equitable** to wind up. After winding up the LLP is **dissolved.** A defunct LLP may alternatively be **struck off** (Form 24).

Q18. State any six advantages of forming an LLP.

Model answer. (1) **Limited liability** — partners' risk capped at contribution (S.28); (2) **separate legal entity** — owns property, sues in its own name (S.14); (3) **perpetual succession** — survives partner changes (S.3(2)); (4) **no mutual liability** — a partner is not liable for a co-partner's wrong (S.28(2)); (5) **flexibility** — governed by a private agreement, no rigid board/AGM; (6) **no minimum capital** and **no ceiling on partners;** (7) **lighter compliance** than a company and audit only above thresholds (S.34).

Part B — Application / case-scenario questions (IRAC)

Q19. Bank loan default — are partners personally liable?

Facts. "Vertex LLP" (partners P, Q, R, each contributing ₹4,00,000; total ₹12,00,000) borrows ₹25,00,000 from a bank for a genuine project. The project fails; LLP assets realise only ₹15,00,000. The bank seeks the ₹10,00,000 shortfall from the partners personally. There is no fraud.

Issue. Are P, Q and R personally liable for the ₹10,00,000 shortfall?

Rule. S.27(3) — an LLP obligation is **solely the LLP's,** met from LLP property. S.28(1) — a partner is **not personally liable** for an LLP obligation solely by being a partner. (No fraud, so S.30 does not apply.)

Application. The loan is an ordinary LLP obligation. The bank recovers ₹15,00,000 from LLP assets; the ₹10,00,000 shortfall **cannot** be recovered from P, Q or R personally. Their exposure is capped at the ₹4,00,000 each already contributed.

Numbers (checked). Claim ₹25,00,000 − assets ₹15,00,000 = **₹10,00,000 shortfall borne by the bank.** Partners' total sunk contribution 3 × ₹4,00,000 = ₹12,00,000 (already within the LLP). Additional personal payment = **₹0.**

Conclusion. The partners are **not** personally liable for the ₹10,00,000; the bank absorbs it. This is the limited-liability shield in action (S.28).

Q20. One partner's negligence — who pays?

Facts. "Craft Architects LLP" has partners A, B and C. While supervising an LLP project within the ordinary course of the LLP's business, partner C negligently approves a faulty design, causing a client a ₹9,00,000 loss. Separately, C — moonlighting on a *private* job unconnected to the LLP and without its authority — damages another person's property causing ₹3,00,000 loss.

Issue. For each loss, is it the LLP's liability, C's personal liability, or A and B's liability?

Rule. S.27(2) — the LLP is liable for a partner's wrongful act done **in the course of its business or with its authority.** S.28(2) — a partner is personally liable for his **own** wrongful act; no partner is liable for **another** partner's wrong.

Application. - *₹9,00,000 (project design)* — done in the course of the LLP's business, so the **LLP is liable** (S.27(2)); the claim runs against LLP property. A and B are not *personally* liable (S.28(1)). - *₹3,00,000 (private moonlighting)* — outside the LLP's business and authority, so it is **C's own wrongful act; C is personally liable** (S.28(2)). The LLP is not liable, and A and B certainly are not.

Conclusion. The LLP bears the ₹9,00,000 (from its assets); **C personally** bears the ₹3,00,000; A and B are shielded from both in their personal capacity.

Q21. Falling below two partners.

Facts. "Pair LLP" has only two partners, S and T. T resigns on 1 April. S continues the business **alone for 8 months** without admitting anyone, knowing he is the only partner. During the last 2 months (i.e., after the 6-month grace) the LLP incurs debts of ₹5,00,000.

Issue. Is S personally liable for the ₹5,00,000?

Rule. S.6(1) — minimum two partners. S.6(2) — if business is carried on with fewer than two partners for **more than six months,** the sole partner who **knows** this is **personally liable** for obligations incurred **during that period** (the excess period).

Application. S traded alone for 8 months — 2 months beyond the 6-month grace. Debts incurred in that excess period attach to him personally. The ₹5,00,000 was incurred in those last 2 months, so **S is personally liable for ₹5,00,000.**

Conclusion. S is **personally liable for ₹5,00,000.** He should have admitted a second partner within six months. Perpetual succession keeps the LLP alive, but the *shield* is conditional on maintaining two partners.

Q22. No LLP agreement filed — profit sharing and salary.

Facts. "Nova LLP" has partners L, M and N who never executed or filed an LLP agreement. Contributions: L ₹10,00,000, M ₹5,00,000, N ₹5,00,000. First-year profit ₹9,00,000. L demands profit in capital ratio (2:1:1) and a ₹1,20,000 management salary.

Issue. In the absence of an agreement, how are the profit and salary claims decided?

Rule. S.23 — where there is no LLP agreement, **Schedule I** governs. Schedule I: partners share **equally** in profits and losses regardless of contribution; **no remuneration** for management.

Application. Equal sharing overrides L's capital-ratio claim; and no salary is payable for management.

Numbers (checked). Profit ₹9,00,000 ÷ 3 = **₹3,00,000 each.** L ₹3,00,000 + M ₹3,00,000 + N ₹3,00,000 = ₹9,00,000. ✓ L's salary = **₹0.**

Conclusion. Each partner gets **₹3,00,000;** L gets **no salary** and **no** extra capital-based share. Lesson: draft and file the LLP agreement (Form 3) within 30 days, or Schedule I's equal-sharing default applies.

Q23. Fraud on creditors — does the shield hold?

Facts. "Shadow Traders LLP" has partners D, E and F. D and E deliberately run up trade credit of ₹20,00,000 with suppliers **intending never to pay,** and siphon the goods off. F is unaware and uninvolved. The suppliers, defrauded, sue the LLP and the partners personally.

Issue. Are D, E and F personally liable, and to what extent?

Rule. S.30 — where the LLP or a partner carries on business **with intent to defraud creditors** or for a fraudulent purpose, the liability of the LLP and of **every partner who acted with intent to defraud** is **UNLIMITED.** A partner who did not act with such intent is not caught.

Application. D and E acted with fraudulent intent, so their liability is **unlimited and personal** — the S.28 shield collapses for them (S.30). The LLP is also liable. **F,** being unaware and not a participant in the fraud, retains the shield and is **not** personally liable.

Conclusion. D and E are personally and unlimitedly liable for the ₹20,00,000 (jointly with the LLP); **F is protected** (S.28) because he did not act with fraudulent intent. Limited liability is a shield for the honest, not the fraudster.

Q24. Conversion of a firm into an LLP — do liabilities and suits survive?

Facts. "Rao & Co.," a partnership firm with assets ₹40,00,000, a bank loan of ₹15,00,000, and a pending suit **it had filed** to recover ₹6,00,000 from a debtor, converts into "Rao & Co. LLP" under S.55. The debtor claims the suit lapses; the bank claims its loan is extinguished because the firm is "dissolved."

Issue. On conversion, what happens to the assets, the pending suit and the bank loan?

Rule. S.55 with Schedule II — a firm may convert into an LLP. S.58 — on conversion, **all property, assets, rights, liabilities and obligations** of the firm **vest in the LLP;** the firm is **deemed dissolved;** and **pending proceedings** continue by/against the LLP. Existing liabilities are **not** extinguished.

Application. The ₹40,00,000 assets and the ₹6,00,000 recovery suit **vest in / continue with the LLP** (substituted as plaintiff) — the suit does not lapse. The ₹15,00,000 bank loan is an existing liability that **carries over;** it is not wiped out.

Numbers (checked). Net worth pre-conversion = ₹40,00,000 − ₹15,00,000 = **₹25,00,000.** Post-conversion balance sheet: Assets ₹40,00,000 = Bank loan ₹15,00,000 + Partners' capital ₹25,00,000. **₹40,00,000 = ₹40,00,000.** ✓

Conclusion. Everything transfers: assets, the ₹6,00,000 suit (LLP continues it) and the ₹15,00,000 loan (LLP owes it). Conversion is a **change of legal skin, not a fresh start;** creditors and litigants are protected under S.58.

Q25. Third party dealing with a partner lacking authority.

Facts. "Orbit LLP" deals only in stationery. Partner G, without any authority and outside the LLP's business, purports to buy a second-hand truck for ₹8,00,000 from a dealer "on behalf of Orbit LLP." The dealer **knew** G had no authority to make such a purchase for the LLP. The dealer now sues the LLP.

Issue. Is the LLP bound by G's purchase?

Rule. S.27(1) — the LLP is **not bound** by a partner's act if (a) the partner **had no authority** to act for the LLP in that matter, **and** (b) the person dealing with him **knew** he had no authority (or did not believe him to be a partner).

Application. G had no authority, and the dealer **knew** it. Both conditions of S.27(1) are satisfied, so the LLP is **not bound.** (G may be personally answerable, but the LLP is not.)

Conclusion. The LLP is **not liable** for the ₹8,00,000; the dealer, having known of G's lack of authority, cannot enforce it against the LLP.

Foundation: The Companies Act, 2013 — Foundation Orientation

1. The Problem it solves

Picture a mid-sized ambition. Four engineers want to build a factory that makes electric-scooter batteries. The plan needs about ₹40 crore of capital — far more than any one of them has. They will need to raise money from hundreds, maybe thousands, of outside investors; buy land in the firm's own name; hire 300 workers; sign supply contracts running for a decade; and, crucially, they want to sleep at night knowing that if the venture fails, the bank cannot come and sell their personal homes to recover a ₹40-crore loan.

A **partnership firm cannot do any of this cleanly.** As you saw in the Partnership Act chapter, a firm is not a separate legal person — it is just a "compendious name for the partners." That creates four hard walls the four engineers keep slamming into:

- **Unlimited liability.** If the firm borrows ₹40 crore and collapses, the creditors reach straight through to the partners' private houses and savings. Nobody sane risks their family home on a factory.
- **No capital-raising machinery.** You cannot invite the general public to put ₹10,000 each into a partnership. A firm is capped at a small number of partners and has no mechanism for freely transferable ownership.
- **No perpetual existence.** If one of the four dies or walks out, the firm can dissolve. A ten-year supply contract signed by a firm that might vanish next year is a shaky thing.
- **Ownership is glued to management.** In a firm, owners *are* the managers. There is no clean way to have thousands of passive investors own the business while a small professional board runs it.

The economy needs a vehicle that solves all four problems at once — a business form that can **raise large amounts of capital from strangers, protect those strangers from personal ruin, live forever regardless of who comes and goes, and separate the people who own the business from the people who run it.** That vehicle is the **company**, and the rulebook that creates it, governs it, and controls it is the **Companies Act, 2013**.

For a CA this is not one topic among many — it is the *spine* of professional life. You will audit companies (that is literally a statutory monopoly of Chartered Accountants), prepare and certify their accounts, advise on their incorporation and compliance, and sign off on their financial statements. Every later CA subject — Advanced Accounting's company final accounts, Audit's company audit, Corporate Laws in its entirety — assumes you already understand *what a company is and why it behaves the way it does.* This Foundation chapter builds that base.

2. Core Idea

A company is **an artificial person created by law** — an entity that the legal system treats as a "person" completely separate from the human beings who own it or run it.

That one move — "the law pretends the company is a person" — is the master key. From it everything else unlocks:

- Because the company is a *separate person*, it owns its own assets, owes its own debts, sues and is sued in its own name, and its members' liability can be capped (**limited liability**).

- Because it is an *artificial* person, it can only act through humans (directors, officers) and only in the ways its charter documents permit.
- Because its existence is *granted by law*, not by the lives of its members, it can live forever (**perpetual succession**) — members die, the company sails on.

Section 2(20) of the Companies Act, 2013 gives the formal (and famously circular) definition:

> "**company** means a company incorporated under this Act or under any previous company law."

The definition is circular on purpose — it tells you *how* a company is born (by incorporation under the Act) rather than *what* it is philosophically. The substance is supplied by the case law and the features. The single most important idea in this entire chapter, and arguably in all of company law, is one sentence you should be able to recite in your sleep:

> **A company is a legal person separate and distinct from its members.**

3. Why it works this way

Why would a legal system invent a fictional "person"? Because doing so solves the four walls from Section 1 in one elegant stroke, and each solution follows from first principles.

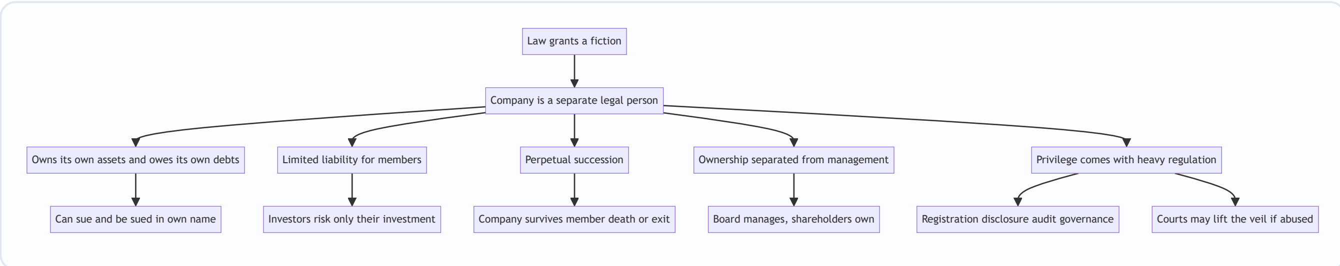
Step 1 — Separate legal personality is the enabling fiction. If you want an entity that can own property, borrow money, and be sued *without* those consequences flowing back to the humans behind it, you must give that entity its own legal identity. There is no halfway house. Once the law says "the company is a person," the company — not the shareholders — owns the factory, and the company — not the shareholders — owes the bank. The famous case **Salomon v. Salomon & Co. Ltd. (1897)** established this: once a company is validly incorporated, it is a distinct person, and even a one-man-controlled company's debts are the *company's* debts, not the owner's. Salomon had lent money to his own company and secured it; when the company failed, the court held he ranked as a secured creditor *of a separate person* — he could not be made personally liable for the company's unsecured debts.

Step 2 — Limited liability is a deliberate incentive, not a loophole. Here is the reasoning that a smart finance mind should appreciate: if investors risked *everything they own* every time they bought a share, almost nobody would invest in anything risky, and large-scale industry would never get funded. So the law strikes a bargain. It says to the investor: "You may lose the money you put in — but no more." A shareholder's maximum loss is the amount unpaid on his shares (or the amount he guaranteed). This caps the downside at a *known* number, which is exactly what makes it rational for thousands of strangers to pool capital into a factory they will never visit. Limited liability is the price society pays to unlock large-scale investment — and it only works because the *company itself* absorbs the losses beyond that cap, which is only possible because the company is a separate person (Step 1).

Step 3 — Perpetual succession follows from artificiality. A human dies. But an artificial person created by a legal register does not have a biological lifespan — it exists until the law says it stops existing (winding up / strike-off). So the death, insolvency, or exit of any member changes nothing about the company's existence. "Members may come and go, but the company goes on forever." This is what makes a company able to sign a 30-year lease or a decade-long supply contract with a straight face.

Step 4 — Separation of ownership and management follows from scale. Once you have thousands of shareholders, they *cannot* all run the business. So ownership (shares) is separated from control (the Board of Directors). Shareholders own; directors manage. This is why company law spends so much energy on directors' duties, board meetings, and shareholder protections — because the owners have handed the keys to managers and need safeguards.

The trade-off — regulation is the cost of the privilege. All four benefits are *granted* privileges. Society does not hand out separate personality and limited liability for free. In return, companies accept heavy regulation: mandatory registration, public disclosure of accounts, statutory audit, formal governance, and the power of courts to **lift the corporate veil** when the fiction is abused. The Companies Act, 2013 is essentially the terms-and-conditions of this bargain. Understand the bargain, and the Act stops being a list of rules to memorise and becomes a logical system.



4. Full technical content

4.1 Definition and the source law

- **Governing statute:** the **Companies Act, 2013** (Act 18 of 2013), which replaced the Companies Act, 1956. Administered by the **Ministry of Corporate Affairs (MCA)** through the **Registrar of Companies (ROC)** in each state, the **Regional Directors**, the **National Company Law Tribunal (NCLT)** (the adjudicating body), and the **National Financial Reporting Authority (NFRA)** (audit oversight for larger companies).
- **Section 2(20):** "*company means a company incorporated under this Act or under any previous company law.*"
- A company comes into existence only on **incorporation** — the ROC issues a **Certificate of Incorporation**, and from its date the company is "born" as a body corporate.

4.2 The characteristics (features) of a company

These eight features are the heart of every theory question. Learn them as a set.

#	Characteristic	Meaning	Anchor / authority
1	**Separate Legal Entity**	The company is a person distinct from its members; it owns assets and owes debts in its own name.	Sec 9; *Salomon v. Salomon*
2	**Limited Liability**	A member's liability is capped at the unpaid amount on shares (company limited by shares) or the guaranteed amount (company limited by guarantee).	Sec 2(22), 2(21)
3	**Perpetual Succession**	Continuous existence unaffected by death, insolvency, insanity or exit of members. "Members come and go, the company goes on."	Sec 9
4	**Common Seal (now optional)**	Formerly the company's signature. After the 2015 amendment, a common seal is **optional**; if none, documents are signed by two directors / a director + company secretary.	Sec 22 (as amended)
5	**Transferability of Shares**	Shares of a **public** company are freely transferable (Sec 44). A **private** company **restricts** transfer by its articles.	Sec 44; Sec 2(68)
6	**Separate Property**	Company's property is its own; a shareholder has **no insurable interest** in it.	*Macaura v. Northern Assurance Co.*
7	**Capacity to Sue and Be Sued**	The company litigates in its own name.	—
8	**Artificial Legal Person / acts through agents**	A creation of law with no physical body; acts only through the Board and officers, within its objects.	Sec 2(20)

Two classic English cases you must be able to cite:

- **Salomon v. Salomon & Co. Ltd. (1897)** — establishes *separate legal entity*. A validly incorporated company is distinct from its members even if one person effectively owns and controls it.
- **Macaura v. Northern Assurance Co. Ltd. (1925)** — establishes *separate property*. Macaura owned all shares of a timber company and insured the timber **in his own name**. When it burnt, the insurer refused to pay: the timber belonged to the *company*, and Macaura (a shareholder) had **no insurable interest** in the company's assets. A shareholder does not own the company's property.
- (Bonus) **Lee v. Lee's Air Farming Ltd. (1961)** — a person can simultaneously be the controlling shareholder, sole director, *and* an employee of his own company, because company and man are two separate persons. Lee's widow could claim workers' compensation on his death because Lee was an *employee* of a *separate* company.

4.3 Lifting / piercing the corporate veil

The "veil" is the metaphorical curtain of separate personality that hides the members from the company's liabilities. Normally the veil is respected (that is the whole point). But when the fiction is **abused** — used to commit fraud, evade law, or defeat justice — courts and statutes will **lift the veil**, look at the humans behind it, and hold *them* liable.

Two routes:

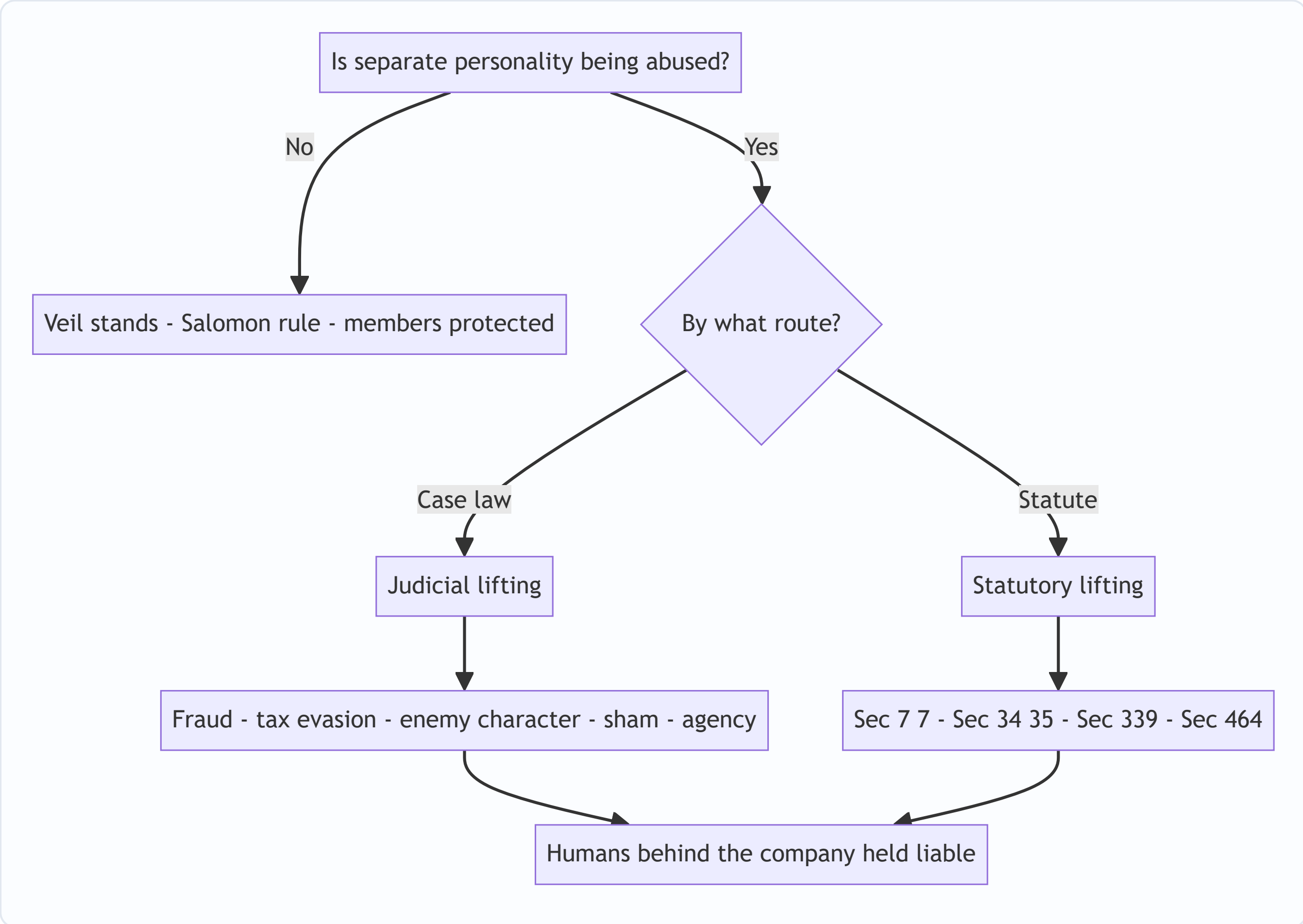
(A) Judicial lifting (by courts, on case law). Courts pierce the veil where the company is used for:

Ground	Illustration
Fraud or improper conduct	A person forms a company purely to defraud creditors. *Gilford Motor Co. v. Horne* — an ex-employee bound by a non-compete formed a company to solicit his old employer's customers; the court treated the company as a sham and enforced the covenant against it.
Evasion of tax	A company created solely to dodge tax; the court looks through it. *Sir Dinshaw Maneckjee Petit* — companies formed only to split income and avoid tax were disregarded.
Enemy character in wartime	*Daimler Co. v. Continental Tyre* — a company's "nationality" was traced to its controllers to determine enemy character.
Company as agent or sham	Where the company is a mere façade or agent of its controllers.
Protecting revenue / public interest	Courts look at economic reality.

(B) Statutory lifting (the Act itself pierces the veil). The Companies Act, 2013 fixes personal liability on individuals in specific sections — you do not need a court's discretion, the statute does it:

Section	Situation	Consequence
Sec 7(7)	Company incorporated by furnishing false information	Tribunal may pass orders including making liability of members **unlimited**
Sec 34 / 35	Misstatement in prospectus	Criminal (34) and civil (35) liability of directors/promoters
Sec 39(3), 339	Fraudulent conduct of business during winding up	Persons knowingly party to it become **personally liable without limit**
Sec 251(1)	Fraudulent application for removal of name	Personal liability
Sec 464	Association of persons exceeding the permitted limit without registration	Members personally liable

Key exam framing: the veil is lifted only in *exceptional* cases; the *default rule* (Salomon) is that the veil stands. Do not over-apply it.



4.4 Classes of companies

The Act classifies companies along several independent axes. A single company can sit in several boxes at once (e.g., a company can be public + listed + holding + limited by shares simultaneously).

(A) On the basis of incorporation

Type	Meaning
Chartered company	Created by royal charter (historical; e.g. East India Company) — not relevant in modern India.
Statutory company	Created by a special Act of Parliament/State Legislature (e.g. RBI, LIC, SBI).
Registered company	Incorporated under the Companies Act, 2013 (or a previous company law) — the normal case.

(B) On the basis of liability

Type	Section	Liability of members
Limited by shares	2(22)	Limited to the **unpaid amount on shares held**. The overwhelmingly common form.
Limited by guarantee	2(21)	Limited to the **amount each member guarantees** to contribute on winding up. Typical of clubs, NGOs, trade associations. May or may not have share capital.
Unlimited company	2(92)	**No limit** — members personally liable for the company's debts, yet the company is still a separate legal entity. Rare.

(C) On the basis of number of members / control — the big one

Type	Section	Key thresholds & features
Private company	2(68)	By its **articles**: (i) **restricts** the right to transfer shares; (ii) limits members to a **maximum of 200** (excluding present & past employee-members); (iii) **prohibits** any invitation to the public to subscribe to its securities. Minimum **2** members, minimum **2** directors. Name ends with **"Private Limited"**.
Public company	2(71)	A company that is **not private**; a private company that is a **subsidiary of a public company** is deemed public. Minimum **7** members, minimum **3** directors, **no** upper limit on members. Name ends with **"Limited"**.
One Person Company (OPC)	2(62)	A company with **only one member**. A *new* creation of the 2013 Act. Must be limited (by shares or guarantee), must nominate a **nominee** (who takes over on the member's death/incapacity), minimum **1** director. Only a **natural person who is an Indian citizen** (resident or otherwise, per amended rules) may form one. Name written as **"OPC Private Limited"**.

(D) Special / status-based classes

Type	Section	Defining test
Small company	2(85)	A company (other than a public company) whose **paid-up capital ≤ ₹4 crore** *and* **turnover ≤ ₹40 crore** (current thresholds under the 2022 rules; the Act's base limits were ₹50 lakh / ₹2 crore, raised by notification). **Not** available to a holding/subsidiary company, a Section 8 company, or a company governed by a special Act. Gets compliance relaxations.
Government company	2(45)	A company in which **≥ 51%** of the paid-up share capital is held by the Central Govt, State Govt(s), or partly by both. Includes a subsidiary of a Government company.
Holding & Subsidiary	2(46), 2(87)	**Holding company** = a company of which another is a subsidiary. **Subsidiary** = a company in which the holding company **controls the composition of the Board** *or* exercises/controls **more than one-half of the total voting power** (directly or through subsidiaries). An **associate company** (Sec 2(6)) = one in which another has **significant influence** — ≥ 20% of total voting power — but which is not a subsidiary.
Listed company	2(52)	A company which has **any** of its securities listed on a recognised stock exchange. (After amendment, certain public companies may be exempted from being "listed" merely by listing debt on private placement, but the base definition is listing of securities.)
Section 8 company	8	A company formed to promote **commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment** or similar objects, that **applies its profits (if any) in promoting its objects and prohibits payment of dividend** to members. Enjoys a licence from the Central Govt, need not use "Limited"/"Private Limited" in its name, and gets several exemptions. The modern NGO-as-company.
Foreign company	2(42)	A company incorporated **outside India** which has a **place of business in India** (physically or through an agent, or electronically) and conducts business activity in India.
Dormant company	455	A company formed for a future project / to hold an asset or IP, with **no significant accounting transaction**, may apply to the ROC for **dormant** status.
Producer company	Part IXA (of 1956 Act, saved) / Ch XXIA	A body corporate of primary producers (farmers etc.) with objects relating to production, harvesting, marketing of produce.

A comparison you must memorise — Private vs Public:

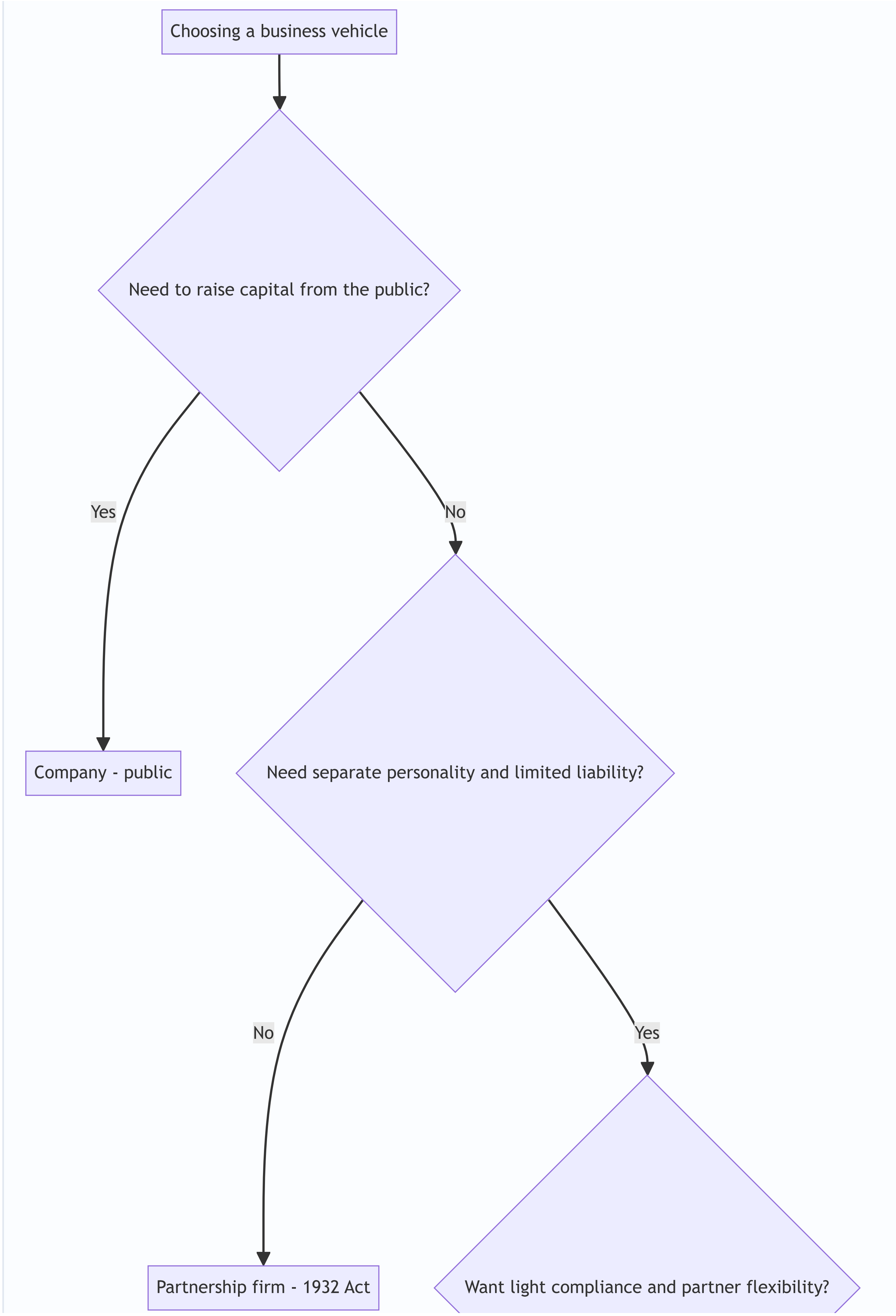
Feature	Private company (Sec 2(68))	Public company (Sec 2(71))
Minimum members	2	7
Maximum members	200	No limit
Minimum directors	2	3
Transfer of shares	Restricted by articles	Freely transferable (Sec 44)
Invitation to public	Prohibited	Permitted (via prospectus)
Name suffix	"Private Limited"	"Limited"
Commencement / public deposits	More relaxed	More stringent

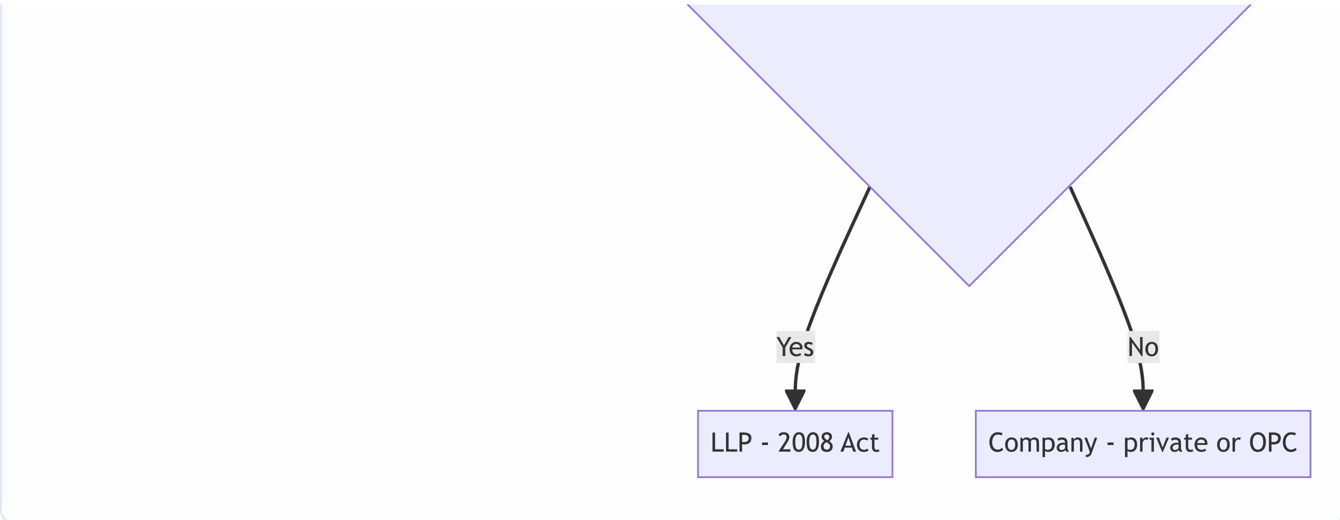
4.5 Company vs Partnership vs LLP

This distinction is a favourite Foundation question. The reasoning ties straight back to Sections 2–3.

Basis	Partnership firm	LLP (LLP Act, 2008)	Company (Companies Act, 2013)
Governing law	Indian Partnership Act, 1932	Limited Liability Partnership Act, 2008	Companies Act, 2013
Separate legal entity	**No** — firm = the partners	**Yes** — body corporate	**Yes** — body corporate
Liability of owners	Unlimited, joint & several	Limited to contribution (except for own wrongful acts)	Limited (to unpaid share / guarantee)
Perpetual succession	No — affected by death/exit	Yes	Yes
Max members/partners	50 (Rule under Sec 464)	No maximum	Private: 200; Public: no limit
Registration	Optional	Mandatory	Mandatory
Ownership vs management	Owners manage	Partners manage (or designated partners)	Separated — Board manages, members own
Regulation / disclosure	Light	Moderate	Heavy — audit, filings, public accounts
Minimum persons	2	2 partners	Private 2 / Public 7 / OPC 1

Mental model: **LLP is the hybrid** — it grafts a company's *separate personality + limited liability* onto a partnership's *flexibility and lighter compliance*. A company gives the strongest protection and capital-raising power but carries the heaviest compliance load.


Choosing a business vehicle
Need to raise capital from the public?
Yes
No
Company - public
Need separate personality and limited liability?
No
Yes
Partnership firm - 1932 Act
Want light compliance and partner flexibility?



4.6 Incorporation — how a company is born

Incorporation is the legal event that creates the separate person. Overview of the process under **Sections 3–11**:

Stage	Section	What happens
Minimum persons to form	**Sec 3**	Public: 7; Private: 2; OPC: 1 — subscribe their names to the memorandum.
Name reservation	Sec 4(4) + **RUN / SPICe+ Part A**	Apply to ROC to reserve a unique name (not identical/undesirable, not violating trademark). Reserved for 20 days.
Filing incorporation documents	**Sec 7**	File the MOA, AOA, declarations, address, director details, DIN, DSC via the integrated web form **SPICe+ (INC-32)** with **e-MOA (INC-33)** and **e-AOA (INC-34)**.
Declaration of compliance	Sec 7(1)(b)	A professional (CA/CS/CWA/advocate) and a director declare all requirements are complied with.
Registration & birth	**Sec 7(2), 9**	ROC registers the documents and issues the **Certificate of Incorporation** with a **CIN** (Corporate Identity Number). From this date the company is a body corporate.
Commencement of business	**Sec 10A**	A company with share capital must file a **declaration (INC-20A)** within **180 days** that subscribers have paid the money agreed, before it can start business or borrow.

The **Certificate of Incorporation is conclusive evidence** that the company is duly registered (Sec 7(2) read with the general rule) — once issued, the validity of incorporation cannot ordinarily be questioned.

4.7 The two constitutional documents — MOA and AOA

Every company is created and governed by two charter documents. Understanding the *division of labour* between them is the point.

Memorandum of Association (MOA) — the "charter" / the company's constitution facing the outside world. It defines the *boundaries* of the company: who it is, where it operates, what it may do, and the limit of members' liability. Section 4 prescribes its clauses; the format is in **Tables A–E of Schedule I**.

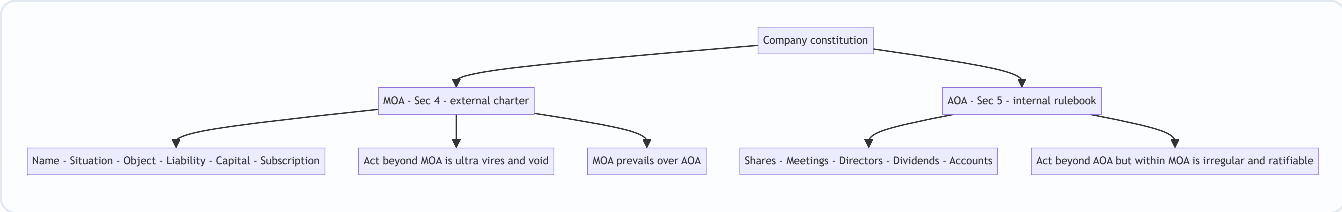
MOA Clause	Section	Contents
Name clause	4(1)(a)	The company's name, ending in "Limited" / "Private Limited" (or exempt for Sec 8).
Registered office / Situation clause	4(1)(b)	The State in which the registered office is situated.
Object clause	4(1)(c)	The objects for which the company is incorporated and matters necessary for them. Acts beyond the objects are **ultra vires**.
Liability clause	4(1)(d)	States that members' liability is limited (by shares or by guarantee) or unlimited.
Capital clause	4(1)(e)	The authorised (nominal) share capital and its division into shares.
Subscription clause	4(1)(f)	The subscribers agree to take at least one share each and sign the MOA. (For OPC, the nominee clause.)

Articles of Association (AOA) — the internal rulebook. The AOA (Sec 5) contains the **regulations for the internal management** of the company: rules on shares, calls, transfers, board meetings, general meetings, voting, dividends, directors' powers, borrowing, accounts, winding up. Model articles are in **Tables F–J of Schedule I** (Table F = a company limited by shares). A company may adopt Table F wholly or partly, or draft its own.

MOA vs AOA — the exam table:

Basis	Memorandum (Sec 4)	Articles (Sec 5)
Nature	Charter — defines company's **relationship with the outside world**	Rulebook — governs **internal management**
Defines	Powers & objects (the *what*)	The manner of exercising them (the *how*)
Supremacy	**Supreme** — AOA is subordinate to MOA	Subordinate to MOA and to the Act
Alteration	Harder — often needs special resolution + sometimes Central Govt/Tribunal approval	Easier — generally by special resolution (Sec 14)
Ultra vires effect	Act beyond MOA is **void**, cannot be ratified even by all members	Act beyond AOA but within MOA is **irregular** — can be ratified by members
Model tables	Tables A–E, Schedule I	Tables F–J, Schedule I

The doctrine of ultra vires (literally "beyond the powers): any act outside the *object clause of the MOA* is void from the start and cannot be ratified even by unanimous consent of all shareholders, because it protects creditors and investors who relied on the stated objects. An act within the MOA but beyond the AOA is merely *irregular* and can be ratified. (The related *doctrine of indoor management* / Turquand's rule and *doctrine of constructive notice* are studied in depth at Inter level.)



5. Worked examples (application / IRAC style)

For law, a "worked example" is a fact scenario solved in **Issue → Rule → Application → Conclusion (IRAC)** style. The numbers are chosen to be internally consistent so you can also see the *financial* logic of limited liability.

Worked Example 1 — Separate legal entity and the reach of creditors (Salomon-type)

Facts. Mr. Verma incorporates *Verma Batteries Pvt. Ltd.* as a company limited by shares. Authorised and issued capital: 4,00,000 equity shares of ₹10 each = ₹40,00,000, fully called and fully paid. Mr. Verma personally holds 3,60,000 shares (90%); four relatives hold the rest. Mr. Verma also *lends* the company ₹25,00,000 as a **secured** loan against a charge on the plant. The company borrows a further ₹60,00,000 unsecured from a bank. The venture fails. On winding up, the company's assets realise only ₹70,00,000. The bank demands that Mr. Verma pay the shortfall from his personal wealth of ₹2 crore, arguing "he *is* the company."

Issue. (a) Is Mr. Verma personally liable for the company's unsecured bank debt? (b) In what order are claims paid, and does Mr. Verma's own secured loan rank ahead of the bank?

Rule. By **Sec 2(20) + Sec 9** and *Salomon v. Salomon & Co. Ltd. (1897)*, a validly incorporated company is a **separate legal person**; its debts are its own, not the members'. Under **limited liability (Sec 2(22))**, a shareholder's liability is capped at the **unpaid amount on his shares** — here **nil**, because shares are fully paid. A member who is *also a secured creditor* deals with the company as a *separate person* and ranks as a secured creditor.

Application — the money maths. - Company assets realised: **₹70,00,000**. - Mr. Verma's secured loan (charge on plant): **₹25,00,000** — paid *first* out of the charged asset. - Remaining for unsecured creditors: ₹70,00,000 − ₹25,00,000 = **₹45,00,000**. - Bank's unsecured claim: **₹60,00,000**. It recovers ₹45,00,000 and suffers a shortfall of ₹60,00,000 − ₹45,00,000 = **₹15,00,000**. - Can the bank reach Mr. Verma's ₹2 crore? **No.** His shares are fully paid, so his liability as a member is **₹0**. The ₹15,00,000 shortfall is the company's debt, and the company is a separate person.

Conclusion. Mr. Verma pays **nothing** more; his maximum exposure as a member was the unpaid amount on shares = nil. His secured loan of ₹25,00,000 validly ranks ahead of the bank because he contracted with a *separate legal person*. The bank absorbs the ₹15,00,000 loss. This is limited liability and separate personality working exactly as designed — and precisely the outcome the four engineers in Section 1 were seeking.

Worked Example 2 — Shareholder has no insurable interest in company property (Macaura-type)

Facts. Ms. Nair owns **100%** of the shares of *Green Timber Ltd.*, whose only asset is a timber stock worth ₹80,00,000 (also the company owes the company ₹30,00,000 to trade creditors). Ms. Nair takes a fire-insurance policy on the timber **in her own personal name** for ₹80,00,000, paying the premium herself. A fire destroys the entire timber. She claims ₹80,00,000 from the insurer.

Issue. Can a shareholder — even a 100% shareholder — insure and claim for the *company's* property in her personal name?

Rule. By the **separate-property** feature and *Macaura v. Northern Assurance Co. (1925)*, the company's assets belong to the **company**, not to its shareholders. A shareholder has **no insurable interest** in the company's property; she owns *shares*, not the underlying assets.

Application. The timber is owned by *Green Timber Ltd.*, a separate person. Ms. Nair, though she owns every share, does not own the timber and would suffer no *direct* legal loss to *her property* from its destruction — her loss is to the *value of her shares*, an indirect interest the law does not treat as insurable interest over the asset. The policy was taken in the *wrong person's* name. Note the internal figures are consistent: even the company's net asset backing her shares was only ₹80,00,000 − ₹30,00,000 = **₹50,00,000**, further showing her economic interest (share value) differs from the ₹80,00,000 asset she purported to insure.

Conclusion. The insurer is **not liable**; the claim fails for want of insurable interest. Correct course of action: the **company** should have taken the policy. The lesson — separate personality cuts both ways: it shields the shareholder from the company's debts (Example 1) but also bars her from claiming the company's assets as her own.

Worked Example 3 — Lifting the veil for tax/fraud evasion (Dinshaw Petit / Gilford type)

Facts. Mr. Rao earns large professional income taxed at the top slab. On advice, he forms **four** private companies — *Rao Holdings A, B, C, D Pvt. Ltd.* — and routes his income through them purely to split it and pay less tax; the companies carry on **no real business**, do not trade, and exist only as conduits. Each company then "lends" the money straight back to Mr. Rao. The tax authority seeks to **ignore** the companies and tax the whole income in Mr. Rao's hands.

Issue. Will the court respect the separate personality of the four companies, or lift the veil?

Rule. The default rule (Salomon) is that companies are separate persons. **But** courts will **lift the corporate veil** where a company is formed as a **mere device / sham to evade tax or perpetrate fraud** — *Sir Dinshaw Maneckjee Petit* (companies formed solely to avoid tax were disregarded) and *Gilford Motor Co. v. Horne* (company as a façade). Statutorily, revenue protection and fraud (cf. Sec 339) support the same result.

Application. The four companies do no genuine business; their *sole* purpose is to fragment Mr. Rao's income and dodge tax, and the money loops back to him. This is exactly the abuse the veil-lifting doctrine targets. The economic reality is that the income is Mr. Rao's; the corporate structure is a curtain hiding a single taxpayer.

Conclusion. The court will **lift the veil**, disregard the four companies for this purpose, and tax the aggregated income **in Mr. Rao's own hands**. Separate personality is a shield, not a cloak for fraud — when abused, the law looks straight through it.

Worked Example 4 — Classifying a company and testing "small company" status

Facts. *Sunrise Foods Pvt. Ltd.* has: paid-up capital ₹3,50,00,000 (₹3.5 crore); turnover last year ₹38,00,00,000 (₹38 crore); 45 members; it is **not** a subsidiary of any company and holds no subsidiary; it is not a Section 8 company. Separately, *Sunrise* holds 55% of the voting power in *Sunrise Retail Pvt. Ltd.*

Issue. (a) Is *Sunrise Foods* a "small company"? (b) What is the relationship between *Sunrise Foods* and *Sunrise Retail*, and does that affect the small-company status?

Rule. Sec 2(85): a small company (other than a public company) must have **paid-up capital ≤ ₹4 crore** *and* **turnover ≤ ₹40 crore**, and must **not** be a holding or subsidiary company, a Sec 8 company, or governed by a special Act — **both** monetary tests **and** the exclusion tests must be met. **Sec 2(87):** a company controlling **> one-half of the total voting power** of another is its **holding company**, the other its **subsidiary**.

Application. - Monetary tests for *Sunrise Foods*: capital ₹3.5 cr ≤ ₹4 cr **(pass)**; turnover ₹38 cr ≤ ₹40 cr **(pass)**. - Exclusion test: *Sunrise Foods* holds **55% (> 50%)** of *Sunrise Retail*'s voting power → *Sunrise Foods* is a **holding company** and *Sunrise Retail* is its **subsidiary**. - Under Sec 2(85), a **holding company cannot be a small company**, regardless of size.

Conclusion. (a) *Sunrise Foods* is **not** a small company — although it passes both monetary limits, it is a **holding company**, which is expressly excluded. (b) *Sunrise Foods* is the **holding company** and *Sunrise Retail* the **subsidiary** (55% voting control). Teaching point: the small-company test has **two gates** — the money gate *and* the status gate — and failing *either* disqualifies you.

6. Connections — what this unlocks at CA Intermediate

This orientation is the launchpad for a large chunk of the CA Intermediate syllabus:

- **Inter — Corporate & Other Laws, Ch 1 "Preliminary" (Sec 1–2 definitions)** flows straight from Section 4.4 here: every class of company you just learned is *defined* there in enforceable detail.
- **Inter — "Incorporation of Company" (Sec 3–22)** expands Section 4.6–4.7 above: the full mechanics of MOA/AOA, alteration procedures, the **doctrine of constructive notice**, the **doctrine of indoor management (Turquand's rule)**, and conversion between company types.
- **Inter — "Prospectus & Allotment"** builds on the public-company idea (public invitation, Sec 34/35 misstatement liability introduced here as veil-lifting).
- **Inter — "Share Capital & Debentures"** is the detailed engine behind the *capital clause* and *limited liability* you saw here.
- **Inter — Advanced Accounting (Company Accounts):** you cannot prepare a company's financial statements, issue shares, or account for a bonus/buy-back until you know that the company is a separate person owning its own assets — the exact idea Examples 1 and 2 drilled.
- **Inter — Auditing & Ethics (Company Audit, Sec 139–147):** the statutory audit exists *because* a company's owners (shareholders) are separated from managers (directors) and need an independent check — the ownership-management split from Section 3.
- **Later — Insolvency & Winding Up:** perpetual succession and separate personality determine *whose* debts get paid and in what order (Example 1's waterfall is the seed of insolvency law).

In short: **master "a company is a separate legal person," and half of company law at Inter becomes deduction rather than memorisation.**

7. Traps & common mistakes

- **Saying "shareholders own the company's assets."** They do **not** — the company owns them (Macaura). Shareholders own *shares*. This is the single most-punished error.
- **Treating limited liability as "the company's liability is limited."** Wrong — the **company's** liability is *unlimited* (it owes all its debts); it is the **members'** liability that is limited. Always say *members'/shareholders'* liability.

- **Over-applying veil-lifting.** The default is Salomon — the veil **stands**. Lift it only for fraud, evasion, sham, enemy character, or specific statutory sections. Do not lift it just because one person controls the company (Lee's case).
- **Confusing MOA and AOA.** MOA = external charter/objects (the *what*); AOA = internal rules (the *how*). MOA is supreme. Ultra vires MOA = void & non-ratifiable; ultra vires AOA (but intra vires MOA) = irregular & ratifiable.
- **Mixing up member and director minimums.** Private: **2 members, 2 directors**; Public: **7 members, 3 directors**; OPC: **1 member, 1 director**. Members ≠ directors.
- **Wrong "small company" logic.** Both tests are **cumulative** (capital ≤ ₹4 cr **AND** turnover ≤ ₹40 cr) *and* the status exclusions apply (no holding/subsidiary/Sec 8/special-Act company). Use current thresholds (₹4 cr / ₹40 cr), not the old ₹50 lakh / ₹2 cr.
- **Forgetting the common seal is now optional** (2015 amendment, Sec 22). Old textbooks still call it mandatory.
- **Assuming a Section 8 company must use "Limited."** It is *exempt* from using "Limited"/"Private Limited" in its name.
- **Saying a subsidiary is defined only by shareholding.** Control of **Board composition** *or* **> 50% voting power** — either limb makes it a subsidiary (Sec 2(87)).
- **Calling the certificate of incorporation "just a formality."** It is **conclusive evidence** of valid incorporation and the moment the separate person is *born*.

8. First-principles recap

- The law invents a **fiction** — the company is an **artificial legal person separate from its members** (Sec 2(20); *Salomon*). Every other rule is a consequence of this one move.
- That fiction delivers four powers: **separate property**, **limited liability** (members risk only their investment), **perpetual succession** (the company outlives its members), and **separation of ownership from management**.
- These powers are *privileges granted in exchange for regulation* — registration, disclosure, audit, governance — and courts/statute can **lift the veil** when the fiction is abused for fraud or evasion.
- Companies come in classes along independent axes: by **liability** (shares/guarantee/unlimited), by **members/control** (private/public/OPC), and by **status** (small, government, holding-subsidiary, listed, Section 8, foreign).
- A company is created by **incorporation** (Sec 3–11) and governed by two documents: the **MOA** (external charter/objects, supreme) and the **AOA** (internal rulebook, subordinate).
- Contrast the vehicles: **partnership** (no separate entity, unlimited liability) → **LLP** (separate entity + limited liability, light compliance) → **company** (strongest protection + capital-raising, heaviest compliance).

9. Quick-reference

Item	Key content / section
Company defined	**Sec 2(20)** — incorporated under this or a previous Act
Separate legal entity	**Sec 9**; *Salomon v. Salomon (1897)*
Separate property	*Macaura v. Northern Assurance (1925)* — no insurable interest
Company + man = 2 persons	*Lee v. Lee's Air Farming (1961)*
Limited by shares / guarantee / unlimited	**Sec 2(22) / 2(21) / 2(92)**
Private company	**Sec 2(68)** — restricts transfer, max 200, no public invite; min 2 members, 2 directors
Public company	**Sec 2(71)** — not private; min 7 members, 3 directors, no max
One Person Company	**Sec 2(62)** — 1 member, nominee required, 1 director
Small company	**Sec 2(85)** — capital ≤ ₹4 cr AND turnover ≤ ₹40 cr; not holding/subsidiary/Sec 8
Government company	**Sec 2(45)** — ≥ 51% govt holding
Holding / Subsidiary	**Sec 2(46) / 2(87)** — board control OR > 50% voting power
Associate company	**Sec 2(6)** — significant influence (≥ 20% voting power)
Listed company	**Sec 2(52)** — securities listed on a recognised exchange
Section 8 company	**Sec 8** — charitable objects, no dividend, name exemption
Foreign company	**Sec 2(42)** — incorporated abroad, place of business in India
Lifting veil (statutory)	**Sec 7(7), 34/35, 339, 464**
Incorporation	**Sec 3–11**; SPICe+ (INC-32), e-MOA (INC-33), e-AOA (INC-34)
Commencement of business	**Sec 10A** — INC-20A within 180 days
MOA clauses	**Sec 4** — Name, Situation, Object, Liability, Capital, Subscription
AOA	**Sec 5** — internal management; Table F (limited by shares), Schedule I
Alteration of articles	**Sec 14** — special resolution
Common seal (optional)	**Sec 22** (2015 amendment)
Members' max liability (shares)	= unpaid amount on shares held

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Foundation orientation complete. Next: at CA Intermediate, "Incorporation of Company" (Sec 3–22) takes the MOA/AOA and veil doctrines from this chapter to full statutory depth.

Q&A — Foundation: The Companies Act, 2013 — Foundation Orientation

CA Foundation Paper 2 – Business Laws (2024 New Scheme). A mix of theory/definition model answers and application/case-scenario problems. Section references are ICAI-aligned. "How to present for full marks" notes are added where useful. For law scenarios, answers follow the Issue → Rule → Application → Conclusion (IRAC) structure.

Part A — Theory / definition (model answers)

Q1. Define a "company" under the Companies Act, 2013 and list its essential characteristics. (Sec 2(20))

Model answer. Under **Section 2(20)**, a *company* means "a company incorporated under this Act or under any previous company law." The definition is descriptive of *how* a company is created (by incorporation) rather than its nature; the substance is supplied by its characteristics: 1. **Separate legal entity** (Sec 9; *Salomon v. Salomon*). 2. **Limited liability** of members (Sec 2(22)/2(21)). 3. **Perpetual succession** — members come and go, the company continues. 4. **Separate property** — the company owns its own assets (*Macaura*). 5. **Transferability of shares** (freely for public, Sec 44). 6. **Capacity to sue and be sued** in its own name. 7. **Common seal** — now optional (Sec 22, 2015 amendment). 8. **Artificial legal person** acting through the Board and officers. *Full-marks tip:* open with "A company is an artificial legal person, separate and distinct from its members," then list features with authorities.

Q2. "A company is a separate legal entity distinct from its members." Explain with the help of decided cases. (Sec 9)

Model answer. On incorporation, a company becomes a **body corporate** — a legal person separate from the shareholders who own it and the directors who run it. Consequences: it owns property in its own name, incurs its own debts, and sues/ is sued in its own name. - **Salomon v. Salomon & Co. Ltd. (1897):** even where one person owns and controls the company, the company's debts are its own, not the member's. Salomon, as a secured creditor of his own company, ranked ahead of unsecured creditors. - **Macaura v. Northern Assurance Co. (1925):** a shareholder (even 100%) has no insurable interest in the company's property. - **Lee v. Lee's Air Farming Ltd. (1961):** a person can be shareholder, director *and* employee of his own company because company and man are two separate persons. *Full-marks tip:* name all three cases; examiners reward the *Salomon–Macaura–Lee* trio.

Q3. What is meant by "limited liability"? Distinguish a company limited by shares from one limited by guarantee. (Sec 2(22), 2(21))

Model answer. *Limited liability* means a member's liability towards the company's debts is **capped**, not open-ended. - **Company limited by shares (Sec 2(22)):** liability limited to the **unpaid amount on the shares** held. Once shares are fully paid, the member owes nothing more. - **Company limited by guarantee (Sec 2(21)):** liability limited to the **amount each member undertakes (guarantees)** to contribute to the assets on winding up. Common for clubs, NGOs, trade bodies; may or may not have share capital. *Full-marks tip:* stress that it is the **members'** liability that is limited — the **company's** own liability is unlimited.

Q4. Explain the concept of "perpetual succession." (Sec 9)

Model answer. *Perpetual succession* means the company enjoys **continuous, uninterrupted existence** until it is legally dissolved (wound up or struck off). Death, insolvency, insanity, retirement or insolvency of any member or director does not affect the company's existence — "members may come and go, but the company goes on forever." It flows from the company being an *artificial* person whose life is fixed by law, not biology. This is what lets a company hold long-term contracts and leases.

Q5. What is meant by "lifting the corporate veil"? State the circumstances in which courts lift it.

Model answer. The *corporate veil* is the curtain of separate legal personality separating the company from its members. Normally the veil is respected (Salomon). **Lifting/piercing the veil** means the court/law disregards the separate personality and looks at the **individuals behind** the company to fix liability on them. Courts lift it where the company is used for: 1. **Fraud or improper conduct** — *Gilford Motor Co. v. Horne*. 2. **Evasion of tax** — *Sir Dinshaw Maneckjee Petit*. 3. **Determining enemy/ nationality character** — *Daimler Co. v. Continental Tyre*. 4. **Company acting as a mere sham, façade or agent** of its controllers. 5. **Protection of revenue / public interest.** *Full-marks tip:* add that the veil is lifted only in *exceptional* cases; the default is Salomon.

Q6. Distinguish statutory lifting of the veil from judicial lifting, with section references.

Model answer. - **Judicial lifting** is done by **courts** using case-law discretion (fraud, tax evasion, sham, enemy character, agency). - **Statutory lifting** is done by the **Act itself**, which directly fixes personal liability without needing the court's discretion: - **Sec 7(7):** incorporation by false information — Tribunal may make members' liability unlimited. - **Sec 34 / 35:** criminal and civil liability for misstatement in prospectus. - **Sec 339:** fraudulent conduct of business in winding up — persons party to it personally liable without limit. - **Sec 464:** unregistered association exceeding permitted members — personal liability.

Q7. Define a "private company" and state its essential features. (Sec 2(68))

Model answer. Under **Sec 2(68)**, a *private company* is one which, **by its articles**: 1. **restricts** the right to transfer its shares; 2. limits its members to a **maximum of 200** (excluding present and past employee-members); and 3. **prohibits** any invitation to the public to subscribe to its securities. Minimum **2 members** and **2 directors**; name ends with **"Private Limited."** *Full-marks tip:* the three restrictions ("restrict transfer, limit 200, prohibit public invite") are the marks — state them verbatim.

Q8. Distinguish between a private company and a public company. (Sec 2(68), 2(71))

Model answer.

Basis	Private (Sec 2(68))	Public (Sec 2(71))
Minimum members	2	7
Maximum members	200	No limit
Minimum directors	2	3
Transfer of shares	Restricted	Free (Sec 44)
Public invitation	Prohibited	Permitted
Name suffix	"Private Limited"	"Limited"

Full-marks tip: a private company that is a **subsidiary of a public company is deemed public** — mention this.

Q9. Write a short note on One Person Company (OPC). (Sec 2(62))

Model answer. An **OPC (Sec 2(62))** is a company with **only one member** — an innovation of the Companies Act, 2013 allowing a single entrepreneur to enjoy corporate status with limited liability. Key features: it must be limited (by shares or guarantee); the sole member must nominate a **nominee** who becomes member on his death/incapacity; minimum **1 director**; only a **natural person, Indian citizen** may form it; the name is written as **"OPC Private Limited."** It bridges the gap between a sole proprietorship (unlimited liability) and a company (limited liability).

Q10. Define a "small company" and explain its significance. (Sec 2(85))

Model answer. Under **Sec 2(85)**, a *small company* (other than a public company) is one whose **paid-up capital does not exceed ₹4 crore** *and* **turnover does not exceed ₹40 crore** (current notified thresholds). It **cannot** be a holding or subsidiary company, a Section 8 company, or a company governed by a special Act. Significance: small companies enjoy **compliance relaxations** — fewer board meetings, simplified financial statements/cash-flow exemption, lower penalties. *Full-marks tip:* both money tests are **cumulative** (AND, not OR); state current limits ₹4 cr / ₹40 cr.

Q11. Define "holding company," "subsidiary company" and "associate company." (Sec 2(46), 2(87), 2(6))

Model answer. - **Holding company (Sec 2(46)):** a company of which another company is a subsidiary. - **Subsidiary (Sec 2(87)):** a company in which the holding company **(a) controls the composition of the Board of Directors, OR (b) controls more than one-half of the total voting power**, directly or through subsidiaries. - **Associate company (Sec 2(6)):** a company in which another has **significant influence** — holding **≥ 20% of total voting power** — but which is not a subsidiary (includes a joint venture). *Full-marks tip:* subsidiary status is triggered by **either** board control **or** > 50% voting power — either limb suffices.

Q12. Write a short note on a "Government company" and a "Section 8 company." (Sec 2(45), Sec 8)

Model answer. - **Government company (Sec 2(45)):** one in which **≥ 51%** of the paid-up share capital is held by the Central Government, State Government(s), or partly by both; includes a subsidiary of a

Government company. - **Section 8 company (Sec 8):** a company formed to promote **commerce, art, science, sports, education, research, social welfare, religion, charity or environment protection**, which **applies its profits solely to its objects and prohibits payment of dividend** to members. It is licensed by the Central Government, is **exempt from using "Limited"/"Private Limited"** in its name, and enjoys several exemptions — the modern "NGO as a company."

Q13. Distinguish between a company and a partnership firm.

Model answer.

Basis	Partnership (1932 Act)	Company (2013 Act)
Separate legal entity	No — firm = partners	Yes — body corporate
Liability	Unlimited, joint & several	Limited
Perpetual succession	No	Yes
Registration	Optional	Mandatory
Ownership & management	Owners manage	Separated (Board vs members)
Max members	50	Private 200 / Public no limit
Property	Owned jointly by partners	Owned by the company

Full-marks tip: the root difference is **separate legal personality** — every other difference flows from it.

Q14. How does an LLP differ from a company? Why is the LLP called a "hybrid"?

Model answer. An **LLP (LLP Act, 2008)** is a body corporate with **separate legal personality and limited liability** for partners, but it is managed by the partners themselves with **lighter compliance** than a company (no board meetings, fewer filings, no minimum capital). A **company** separates ownership from management and carries **heavier compliance** (statutory audit, public accounts, governance) but can **raise capital from the public**. The LLP is a **"hybrid"** because it grafts a *company's* protection (separate entity + limited liability) onto a *partnership's* flexibility and informality.

Q15. Distinguish between the Memorandum of Association and the Articles of Association. (Sec 4, Sec 5)

Model answer.

Basis	MOA (Sec 4)	AOA (Sec 5)
Nature	Charter — external relations	Internal rulebook
Defines	Objects & powers (the *what*)	Manner of exercise (the *how*)
Supremacy	Supreme	Subordinate to MOA & Act
Ultra vires effect	Void, non-ratifiable	Irregular, ratifiable
Model tables (Sch I)	Tables A–E	Tables F–J

Full-marks tip: "MOA defines the company's relationship with the outside world; AOA governs its internal management" earns the opening mark.

Q16. State the six clauses of the Memorandum of Association. (Sec 4)

Model answer. Under **Sec 4**, the MOA contains: 1. **Name clause** — name ending in Limited/Private Limited [4(1)(a)]. 2. **Situation/Registered office clause** — the State of the registered office [4(1)(b)]. 3. **Object clause** — objects and incidental matters [4(1)(c)]. 4. **Liability clause** — limited by shares/guarantee or unlimited [4(1)(d)]. 5. **Capital clause** — authorised capital and its division [4(1)(e)]. 6. **Subscription clause** — subscribers agree to take shares and sign [4(1)(f)]. *Mnemonic:* **N-S-O-L-C-S** (Name, Situation, Object, Liability, Capital, Subscription).

Q17. Explain the doctrine of ultra vires.

Model answer. *Ultra vires* means "beyond the powers." Any act **outside the object clause of the MOA** is **void from the outset** and **cannot be ratified** even by the unanimous consent of all shareholders — because the object clause protects creditors and investors who relied on the company's stated purpose. In contrast, an act within the MOA but beyond the **AOA** is merely **irregular** and *can* be ratified by the members. The doctrine confines the company to its chartered objects.

Q18. Briefly describe the process of incorporation of a company. (Sec 3–11)

Model answer. Steps under Sec 3–11: 1. **Minimum persons subscribe** the MOA — Public 7 / Private 2 / OPC 1 (**Sec 3**). 2. **Name reservation** with the ROC (RUN / SPICe+ Part A). 3. **File incorporation documents** — MOA, AOA, declarations, director & office details — via **SPICe+ (INC-32)**, e-MOA (INC-33), e-AOA (INC-34) (**Sec 7**). 4. **Declaration of compliance** by a professional and a director (Sec 7(1)(b)). 5. **ROC registers** the documents and issues the **Certificate of Incorporation** with a **CIN**; the company is born as a body corporate (**Sec 7(2), 9**). The certificate is **conclusive evidence** of valid incorporation. 6. **Declaration of commencement of business** (INC-20A) within **180 days** (**Sec 10A**) before starting business/ borrowing.

Part B — Application / case scenarios (IRAC)

Q19. Ravi holds 80% of the shares of Ravi Textiles Pvt. Ltd., all fully paid. The company owes ₹50,00,000 to a bank. On liquidation, company assets fetch only ₹30,00,000. The bank seeks to recover the ₹20,00,000 shortfall from Ravi's personal wealth of ₹1 crore. Advise.

Issue. Is Ravi personally liable for the company's unpaid bank debt?

Rule. By **Sec 2(20) + Sec 9** and *Salomon v. Salomon (1897)*, the company is a **separate legal person** — its debts are its own. Under **limited liability (Sec 2(22))**, a member's liability is capped at the **unpaid amount on shares** — here **nil** (shares fully paid).

Application. The ₹50,00,000 debt belongs to *Ravi Textiles Pvt. Ltd.*, a separate person. The company pays ₹30,00,000 from its assets; the ₹20,00,000 shortfall is the **company's** loss, absorbed by the bank. Ravi's shares are fully paid, so his liability as a member = **₹0**. His personal ₹1 crore is beyond the bank's reach.

Conclusion. Ravi is **not personally liable**; the bank bears the ₹20,00,000 shortfall. This is separate personality and limited liability operating exactly as intended.

Q20. Meena owns every share of Timber Ltd. She insures the company's timber stock (worth ₹60,00,000) in her own name. Fire destroys it. The insurer refuses her claim. Is the refusal valid?

Issue. Can a 100% shareholder claim insurance on the company's property taken in her personal name?

Rule. Company property belongs to the **company**, not its members (*Macaura v. Northern Assurance, 1925*). A shareholder has **no insurable interest** in the company's assets.

Application. The timber is owned by *Timber Ltd.*, a separate person. Meena, though she owns all shares, does not own the timber; her interest is in her *shares*, not the asset. The policy was in the wrong person's name and there was no insurable interest.

Conclusion. The insurer's refusal is **valid**; the claim fails. The company (not Meena) should have insured the timber.

Q21. Anil, bound by a non-compete covenant with his former employer, forms A-One Traders Pvt. Ltd. purely to solicit his old employer's customers, using the company as a front. The employer sues to restrain the company. Will the veil be lifted?

Issue. Can the court disregard the company's separate personality where it is a sham to evade a legal obligation?

Rule. Courts **lift the corporate veil** where a company is used as a **mere façade to commit fraud or evade a legal duty** — *Gilford Motor Co. v. Horne*.

Application. A-One Traders does no independent genuine business; it is a device created solely so Anil can breach his non-compete indirectly. The company is a sham/façade for Anil.

Conclusion. The court will **lift the veil**, treat the company as Anil's alter ego, and **restrain both Anil and the company**. Separate personality cannot be used to defeat a legal obligation.

Q22. Bright Foods Pvt. Ltd. has paid-up capital of ₹3.8 crore and turnover of ₹35 crore. It is a subsidiary of Bright Group Ltd. Is Bright Foods a "small company"? (Sec 2(85))

Issue. Does Bright Foods qualify as a small company?

Rule. Under **Sec 2(85)**, a small company must satisfy **both** monetary tests (capital ≤ ₹4 cr **AND** turnover ≤ ₹40 cr) **and** must **not** be a **subsidiary/holding company**, Sec 8 company, or governed by a special Act.

Application. Monetary tests pass — capital ₹3.8 cr ≤ ₹4 cr and turnover ₹35 cr ≤ ₹40 cr. **But** Bright Foods is a **subsidiary** of Bright Group Ltd., which is an **express disqualification** regardless of size.

Conclusion. Bright Foods is **not a small company** because it is a subsidiary — the status exclusion overrides the monetary eligibility.

Q23. Star Ltd. holds 60% of the voting power in Nova Ltd. and controls the composition of Comet Ltd.'s Board while holding only 10% of Comet's shares. Classify the relationships. (Sec 2(87))

Issue. Are Nova and Comet subsidiaries of Star?

Rule. Under **Sec 2(87)**, a company is a **subsidiary** if the other company **(a) controls the composition of its Board OR (b) controls more than one-half of its total voting power** — **either** limb suffices.

Application. - *Nova Ltd.*: Star holds **60% > 50%** voting power → limb (b) satisfied → **subsidiary**. - *Comet Ltd.*: Star holds only 10% shares, **but controls the Board composition** → limb (a) satisfied → **subsidiary** despite low shareholding.

Conclusion. Both Nova and Comet are subsidiaries of Star Ltd. (Star is their holding company). The Comet case shows control need not rest on majority shareholding — **board control alone** creates a subsidiary.

Q24. Prakash forms three private companies that carry on no real business, existing only to split his professional income and reduce tax; the money loops back to him. The tax authority seeks to tax the whole income in Prakash's hands. Advise.

Issue. Will the separate personality of the three companies be respected, or the veil lifted for tax purposes?

Rule. The default is Salomon (companies are separate persons), **but** courts **lift the veil** where a company is a **mere device to evade tax** — *Sir Dinshaw Maneckjee Petit*.

Application. The three companies conduct no genuine business; their sole purpose is to fragment Prakash's income and dodge tax, with funds routed back to him. This is precisely the abuse the doctrine targets; the economic reality is a single taxpayer.

Conclusion. The court/authority will **lift the veil**, disregard the companies, and **tax the aggregated income in Prakash's own hands**. Separate personality is a shield, not a cloak for tax evasion.

Q25. A company's object clause permits only textile manufacturing. Its directors, with the unanimous approval of all shareholders, enter a contract to trade in shares of other companies. The other party seeks to enforce it. Is the contract valid?

Issue. Is an act outside the object clause of the MOA enforceable if all shareholders approve?

Rule. By the **doctrine of ultra vires**, any act **beyond the object clause of the MOA is void from the outset and cannot be ratified** — not even by unanimous shareholder consent.

Application. Share-trading is outside the stated object (textile manufacturing). The contract is ultra vires the MOA. Unanimous shareholder approval cannot cure it, because the object clause protects outsiders and creditors who relied on the company's stated purpose.

Conclusion. The contract is **void and unenforceable**; ratification is impossible. (Had the act been merely beyond the *AOA* but within the *MOA*, it would have been irregular and ratifiable — contrast the two.)

End of Q&A bank — Foundation: The Companies Act, 2013 — Foundation Orientation.

Foundation: The Negotiable Instruments Act, 1881

1. The Problem it solves

Imagine India before cheques, bills and promissory notes were legally special. A Mumbai cloth merchant sells ₹5,00,000 of fabric to a Delhi garment-maker who cannot pay today but will pay in three months. How does the merchant carry the *right to receive ₹5,00,000* around, or sell it, or use it to pay his own supplier, without physically hauling coins across the country and without a lawsuit every time the debt changes hands?

Ordinary contract law is clumsy here. Under the Indian Contract Act, a debt is a "chose in action" — a mere right to sue. If you want to transfer that right to someone else (assignment), the new owner takes it **subject to all defects** in the old owner's title: if the original debtor had a defence ("the cloth was defective, I owe nothing"), that defence follows the debt into the hands of everyone who later buys it. Worse, the debtor must usually be *notified* of every transfer. A right to money that carries its whole grubby history with it, and that must be re-papered every time it moves, is almost useless as a substitute for cash.

Commerce needed a piece of paper that behaves **like money itself** — something that: - can be passed from hand to hand and thereby transfer the *ownership* of the money it represents, - gives an honest buyer a **clean, better title than the seller had** (so he need not investigate the paper's history), and - lets the holder **sue in his own name** without proving the whole chain.

That paper is a **negotiable instrument**. The **Negotiable Instruments Act, 1881** is the rulebook that creates three such instruments — the **promissory note**, the **bill of exchange**, and the **cheque** — defines who is liable on them, how they move, how they are honoured or dishonoured, and (via the 1988 amendment) makes bouncing a cheque a criminal offence under **Section 138**.

For a CA this is bread-and-butter. You will see cheques, bills of exchange and promissory notes in every audit, every set of books, every financing arrangement. "Bills receivable" and "bills payable" in a balance sheet *are* negotiable instruments. You cannot pass a bills-of-exchange journal entry, advise a client on a bounced cheque, or vouch a bank reconciliation without knowing this law.

2. Core Idea

A negotiable instrument is **a written, signed promise or order to pay a fixed sum of money — to a named person or to bearer — that the law treats almost like cash: it can be transferred by delivery (and, where needed, endorsement), and an honest transferee for value gets a title free of the defects in the transferor's title.**

The one central idea — the thing that makes it "negotiable" rather than merely "transferable" — is **negotiability**: the property in the instrument passes to the transferee, and a *holder in due course* (an honest buyer for value, before maturity) obtains a **good and complete title even if the person he took it from had a defective title**. That is a startling privilege. Nowhere else in law can you buy from a thief and end up owning the thing. On a negotiable instrument, you can — provided you paid value, took it honestly, and took it before it was overdue.

Section 13(1) defines it functionally:

> "A **negotiable instrument** means a promissory note, bill of exchange or cheque **payable either to order or to bearer**."

Everything else in the Act — parties, endorsement, crossing, dishonour, notice — is machinery built around that single privilege of a clean, transferable title.

3. Why it works this way

Why should the law hand an honest buyer a *better* title than his seller owned, overturning the ancient rule *nemo dat quod non habet* ("no one gives what he does not have")? Because **commerce runs on trust in paper, and trust in paper collapses the moment a buyer must investigate its history.**

Step 1 — Money must circulate freely. The whole economic purpose of the instrument is to be a *substitute for cash*. Cash has a magic property: if a shopkeeper honestly takes a ₹500 note in payment, he owns it, no matter that three owners ago it was stolen. If negotiable paper did *not* have the same property, no sensible person would ever accept it, because he would have to trace its entire chain of title before parting with goods. To make the paper *usable*, the law had to give it money-like finality.

Step 2 — Certainty over investigation. The law makes a deliberate trade: it protects the *honest current holder* rather than the *earlier victim of fraud/theft*. Yes, that occasionally lets a fraudster's transferee keep the money — but the alternative (making every holder liable to lose the paper to an earlier owner's complaint) would freeze commerce entirely. Between "a few fraud victims bear the loss" and "nobody trusts commercial paper," the law chose the former. The victim can still sue the fraudster personally; he just cannot claw the instrument back from the innocent holder in due course.

Step 3 — Presumptions do the heavy lifting. To keep litigation short, the Act (**Sections 118–119**) *presumes* — until the contrary is proved — that every instrument was made for consideration, was dated correctly, was accepted and endorsed in order, and that the holder is a holder in due course. So the holder need not *prove* he gave value; the person resisting payment must *disprove* it. Presumptions shift the burden onto the party crying foul.

Step 4 — Liability follows the signature. Anyone who signs the instrument (maker, drawer, acceptor, endorser) puts his own credit behind it and can be sued on it. That is why a bill "backed" by many endorsers is safer than one with few — each signature is another pocket the holder can reach. Signing = promising = liable.

Once you internalise "paper must behave like cash → honest holder gets a clean title → presumptions protect him → every signer is liable," the entire Act becomes derivable rather than memorised.

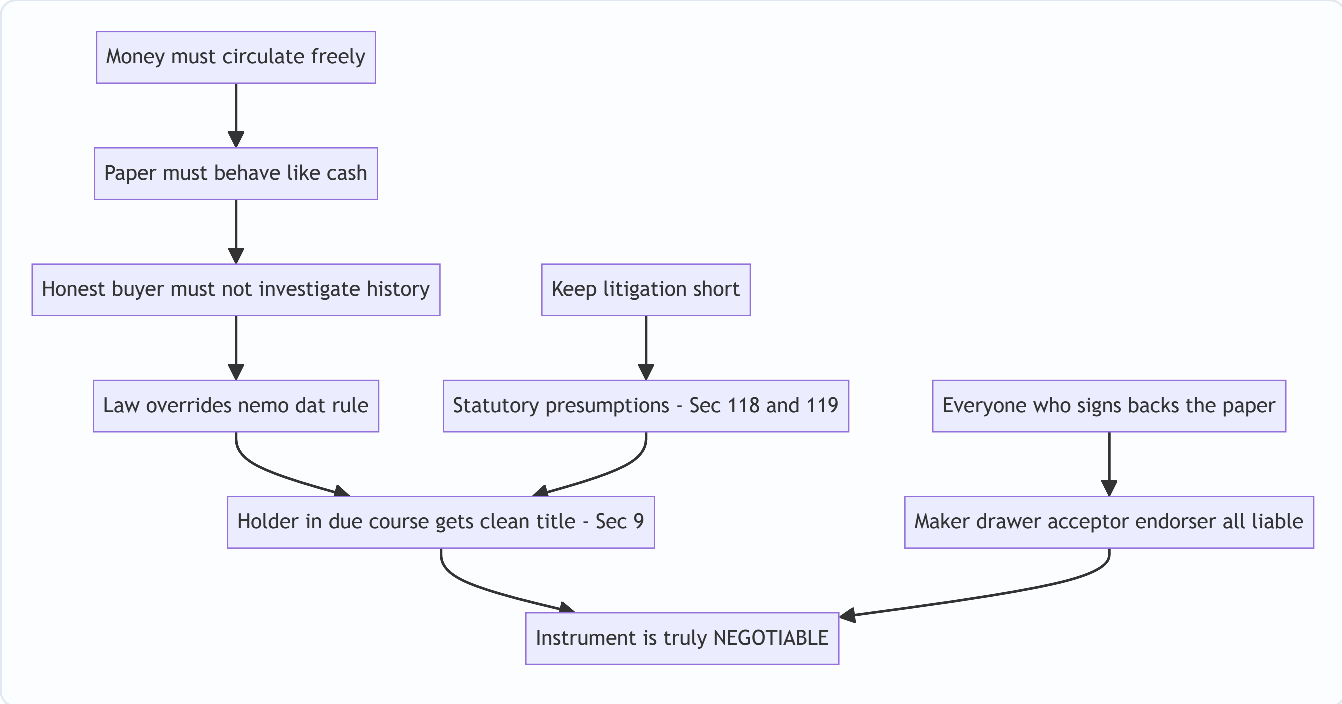

Figure 1 — Deriving negotiability from the need for money-like paper.

4. Full technical content

4.1 What "negotiable instrument" means and its characteristics

The Act does not exhaustively define "negotiable instrument" beyond listing the three statutory ones. **Section 13** says a negotiable instrument means a promissory note, bill of exchange or cheque payable either **to order** or **to bearer**. By usage, other instruments (hundis, government promissory notes, banker's drafts, dividend warrants, share warrants payable to bearer) are also treated as negotiable.

Characteristics (features) of a negotiable instrument:

#	Characteristic	Meaning
1	**Written and signed**	Must be in writing and signed by the maker/drawer
2	**Free transferability**	Property passes by mere delivery (bearer) or endorsement + delivery (order)
3	**Title free of defects**	A holder in due course gets a title better than the transferor's
4	**Right to sue in own name**	The holder can sue on it without joining prior parties
5	**Certain sum of money**	Payable in money only, and the sum must be certain
6	**Payable to order or bearer**	The pay-ee must be identifiable — a named person "or order," or bearer
7	**Presumptions apply**	Sections 118–119 presumptions attach automatically
8	**Consideration presumed**	Deemed made for value until the contrary is shown

Negotiability vs. Assignability — a key exam distinction:

Basis	Negotiation (NI Act)	Assignment (Transfer of Property Act)
How	Delivery / endorsement + delivery	Written instrument of assignment
Notice to debtor	Not required	Required
Title of transferee	Can be **better** than transferor (HDC)	**Subject to** all defects (no better than transferor)
Consideration	**Presumed**	Must be proved
Right to sue	In own name, no need to join others	May have to join the assignor

4.2 The three instruments — definitions

Promissory Note — Section 4. An instrument in writing (not being a bank/currency note) containing an **unconditional undertaking, signed by the maker, to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer** of the instrument. - Two parties: **Maker** (who promises to pay) and **Payee** (who receives). - It is a *promise* to pay one's own debt. - A currency note is expressly excluded. A promissory note **cannot** be made payable to bearer on demand (that would compete with currency — RBI Act bar), but bills/cheques can be.

Bill of Exchange — Section 5. An instrument in writing containing an **unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer** of the instrument. - Three parties: **Drawer** (who orders payment / the creditor), **Drawee** (who is ordered to pay; becomes **acceptor** once he signs across the bill accepting it), and **Payee** (who receives). - It is an *order* to pay. It needs **acceptance** by the drawee to bind him. - Drawer and payee can be the same person (drawer draws it "pay to me"). Drawer and drawee can even be the same (a draft).

Cheque — Section 6. A **bill of exchange drawn on a specified banker and not expressed to be payable otherwise than on demand**, and it **includes the electronic image of a truncated cheque and a cheque in electronic form**. - Three parties: **Drawer** (account holder), **Drawee** (always a *bank*), **Payee**. - A cheque is a *species of bill of exchange* with two constants: (a) drawee is always a banker, (b) always payable on demand. - **Truncated cheque** = a cheque truncated (stopped) in the clearing cycle and its electronic image used instead of the physical cheque. **Cheque in electronic form** = a cheque generated, drawn and issued in a secure electronic system using digital signature.

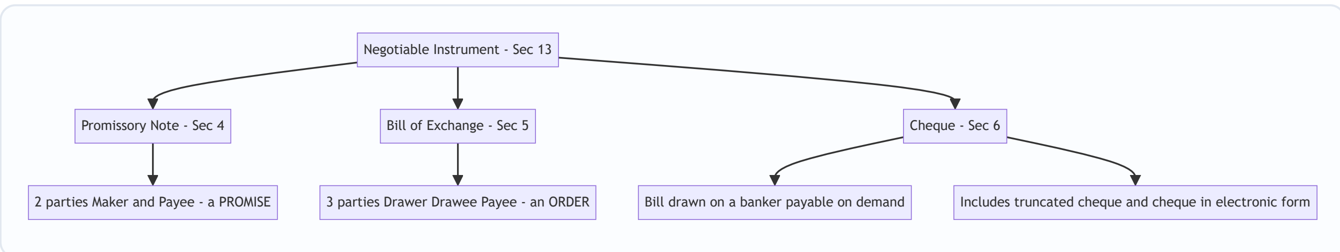

Figure 2 — The classification tree of statutory negotiable instruments.

4.3 Distinctions between the three instruments

Basis	Promissory Note (S.4)	Bill of Exchange (S.5)	Cheque (S.6)
Nature	Promise to pay	Order to pay	Order to pay
Parties	2 (maker, payee)	3 (drawer, drawee, payee)	3 (drawer, banker, payee)
Drawee	None	Any person	Always a **bank**
Maker's liability	Primary & absolute	Secondary (drawer); acceptor primary	Drawer primary vis-à-vis payee
Acceptance	Not required	Required (drawee must accept)	Not required
Payable to bearer on demand	**Not allowed**	Allowed	Allowed
Grace days	3 days (time instruments)	3 days (time instruments)	**No grace** (always on demand)
Crossing	Not possible	Not possible	**Possible** (unique to cheques)
Notice of dishonour	Necessary	Necessary	Drawer not entitled to notice (he knows)
Stamp	Required	Required	Not required

4.4 Key definitions of parties

Holder — Section 8. The person **entitled in his own name** to the possession of the instrument and to receive/recover the amount due from the parties. Note the two limbs: (a) *entitled to possession* (legal right, not mere physical possession — a thief is not a holder), and (b) *entitled to recover*. A payee/endorsee who has lost the instrument but is still entitled is still the "holder."

Holder in Due Course (HDC) — Section 9. A person who, **for consideration**, became the **possessor** (if bearer) or the **payee/endorsee** (if order), **before the amount became payable (before maturity)**, and **without sufficient cause to believe** that any defect existed in the title of the transferor. Four conditions, all mandatory:

#	Condition for HDC (Sec 9)
1	Obtained the instrument **for consideration** (value given)
2	Became holder **before maturity** (before it was overdue)
3	Took it **in good faith / without notice of defect** in transferor's title
4	The instrument was **complete and regular** on its face

Privileges of a Holder in Due Course (why HDC status is gold): - Gets a **title free of all defects** (Sec 53) — better than the transferor's. - Every prior party is liable to him until the instrument is duly satisfied (Sec 36). - Against him, no party can plead that the instrument was **lost, or obtained by fraud/unlawful means or for unlawful consideration** (Sec 58). - The **maker/acceptor cannot deny** the payee's capacity to endorse (Sec

120–122 estoppels). - An **inchoate (incomplete) stamped instrument** later completed for a larger sum is still enforceable by an HDC up to the amount the stamp covers (Sec 20). - A person who takes from an HDC gets the HDC's clean title even if he himself had notice of the defect (Sec 53) — the clean title "washes through."

Holder vs Holder in Due Course:

Basis	Holder (S.8)	Holder in Due Course (S.9)
Consideration	Not essential	**Essential**
Timing	Any time	**Before maturity**
Good faith	Not essential	**Essential**
Title	Same as transferor's (defects follow)	**Free of defects** — better title
Privileges	Basic	Extensive (Secs 20, 36, 53, 58, 120–122)

4.5 Negotiation and endorsement

Negotiation — Section 14. When an instrument is transferred to any person so as to **constitute that person the holder**, it is negotiated. Two modes: - **By delivery (Sec 47)** — a **bearer** instrument is negotiated by mere delivery. - **By endorsement and delivery (Sec 48)** — an **order** instrument is negotiated by the holder signing (endorsing) it and delivering it.

Endorsement — Section 15. When the maker/holder of an instrument **signs it (on the back or face, or on an allonge/slip attached to it)** for the purpose of negotiation, he *endorses* it, and is called the **endorser**; the person to whom it is transferred is the **endorsee**.

Types of endorsement:

Type	Section	What it does
Blank / general	S.16(1)	Endorser signs only his name — instrument becomes **payable to bearer**, negotiable by delivery
Full / special	S.16(2)	Adds the name of the endorsee — "Pay to X" then signs — only X can further negotiate
Restrictive	S.50	Restricts/prohibits further negotiation — "Pay X only" — X cannot negotiate further
Partial	S.56	Purporting to transfer only part of the amount — **invalid** (does not operate as negotiation)
Conditional / qualified	S.52	Endorser limits or excludes his own liability ("sans recourse"), or makes his liability conditional

- **"Sans recourse" endorsement** — endorser excludes his personal liability by adding words like "without recourse to me." He becomes a mere conduit.
- **Conversion of blank to full** — a holder who receives a blank-endorsed instrument may, without signing himself, write "Pay to X" above the endorser's signature, converting it into a full endorsement (Sec 49) — this protects him without adding his own liability.

4.6 Crossing of cheques (unique to cheques — Sections 123–131A)

Crossing = drawing **two parallel transverse lines** across the face of a cheque, with or without words. Its effect: the cheque **cannot be paid at the counter in cash** — it must be paid only **through a bank account**, creating a traceable trail. Crossing is a safety device: if a crossed cheque is stolen, the thief cannot simply cash it; it must go through an account that can be traced.

Type of crossing	Section	Form	Effect
General crossing	S.123	Two parallel transverse lines, with or without "& Co." / "not negotiable"	Paid only **to a banker** (collected through some bank account)
Special crossing	S.124	Name of a **specific banker** written across (lines not essential)	Paid only **to that named banker**
Restrictive / "Account Payee"	Practice (recognised by RBI)	"A/c Payee" added	Proceeds credited **only to the named payee's account** — not transferable in effect
"Not Negotiable" crossing	S.130	Words "not negotiable" added to a crossing	Cheque **remains transferable but the transferee gets no better title** than the transferor — kills the HDC privilege

- **"Not negotiable" does NOT mean "not transferable."** The cheque still moves, but the special magic (clean title) is switched off — everyone now takes subject to defects, just like an ordinary assignment. This is the single most common trap.
- **Who may cross:** the drawer may cross generally or specially; the holder may cross an uncrossed cheque, or convert general → special, or add "not negotiable"; the banker may cross specially to another banker for collection (Sec 125).
- **Payment in due course of a crossed cheque (Sec 128 / 126–127):** a banker who pays a crossed cheque in accordance with the crossing is protected and can debit the customer's account.

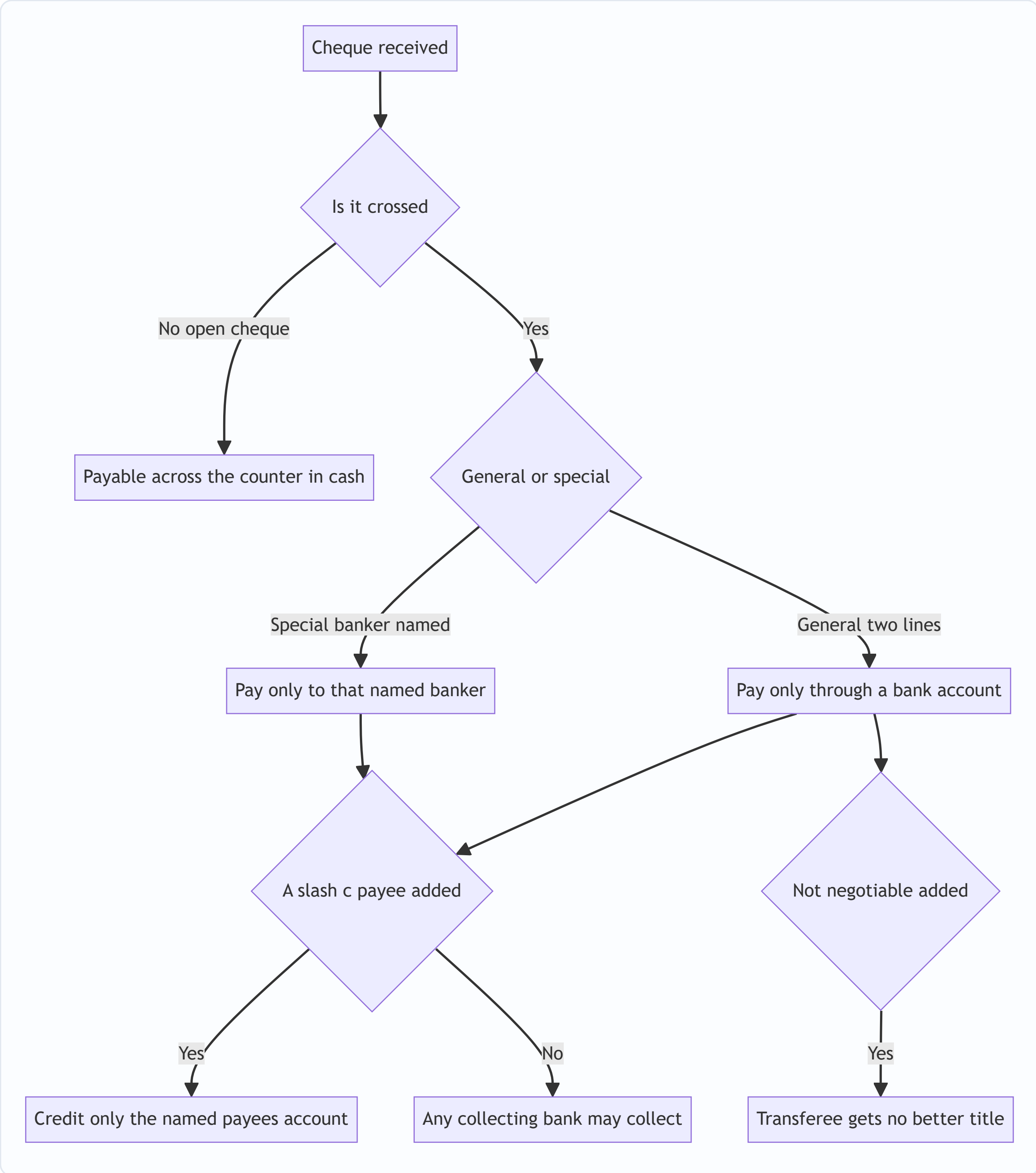

Figure 3 — Crossing decision logic for cheques.

4.7 Presentment (presentation)

An instrument must be **presented** to the right party at the right time and place to fix liability. - **Presentment for acceptance (Secs 61):** only bills of exchange payable *after sight* must be presented to the drawee for acceptance so the maturity date can be fixed. Must be presented before maturity, during business hours, on a business day. - **Presentment for payment (Secs 64):** promissory notes, bills and cheques must be presented for payment to the maker/acceptor/drawee by or on behalf of the holder. If not presented, the other parties (drawer, endorsers) are **discharged**. - **Cheque timing:** a cheque should be presented within a reasonable time. Banks in practice honour cheques for **3 months** from the date (RBI directive). If a drawer suffers loss because the cheque was not presented in reasonable time and the bank fails meanwhile, the drawer is discharged to the extent of the loss (Sec 84).

4.8 Maturity and days of grace (Sections 22–25)

- **Maturity** = the date on which a time instrument falls due.
- **Days of grace:** every promissory note or bill of exchange **not payable on demand** is entitled to **three days of grace**. So a bill dated for payment "3 months after date" matures on the corresponding date + 3 days.
- Cheques and demand instruments get **no grace** (payable on demand).
- If maturity falls on a **public holiday**, the instrument falls due on the **preceding business day** (Sec 25) — note: *preceding*, not next.

4.9 Dishonour, notice of dishonour, noting and protest

Dishonour occurs in two ways: - **Dishonour by non-acceptance (Sec 91):** the drawee of a *bill* refuses/fails to accept it within 48 hours, or cannot accept, or is incompetent to contract. - **Dishonour by non-payment (Sec 92):** the maker/acceptor/drawee, on due presentment, **fails to pay**.

Notice of dishonour (Secs 93): - When an instrument is dishonoured, the holder (or an endorser who is liable) must give **notice of dishonour** to all prior parties whom he wishes to hold liable (the drawer and all prior endorsers). A party to whom notice is not given is **discharged**. - Notice may be oral or written, and must be given within a **reasonable time** after dishonour. - **When notice is NOT necessary (Sec 98):** e.g., when it is dispensed with by the party entitled; when the drawer has countermanded (stopped) payment; when the party charged could not suffer damage for want of notice; when the party entitled to notice cannot after due diligence be found; **the drawer of a cheque need not be given notice** where he has stopped payment (he already knows).

Noting (Sec 99): where a bill/note is dishonoured, the holder may get the fact of dishonour **recorded ("noted") by a Notary Public** upon the instrument, stating the date of dishonour, the reason, and the notary's charges. Noting is *authentic evidence* of dishonour but is **optional** for inland instruments.

Protest (Sec 100): a **formal certificate** by the Notary Public **attesting the dishonour** of the bill. For **foreign bills**, protest is **compulsory** if the law of the place so requires; for inland instruments it is optional. A special protest — **"protest for better security"** — is made when the acceptor becomes insolvent before maturity, so the holder can proceed against prior parties.

Concept	Section	Compulsory?	By whom
Noting	S.99	Optional (inland)	Notary Public
Protest	S.100	Compulsory for **foreign** bills where local law requires	Notary Public

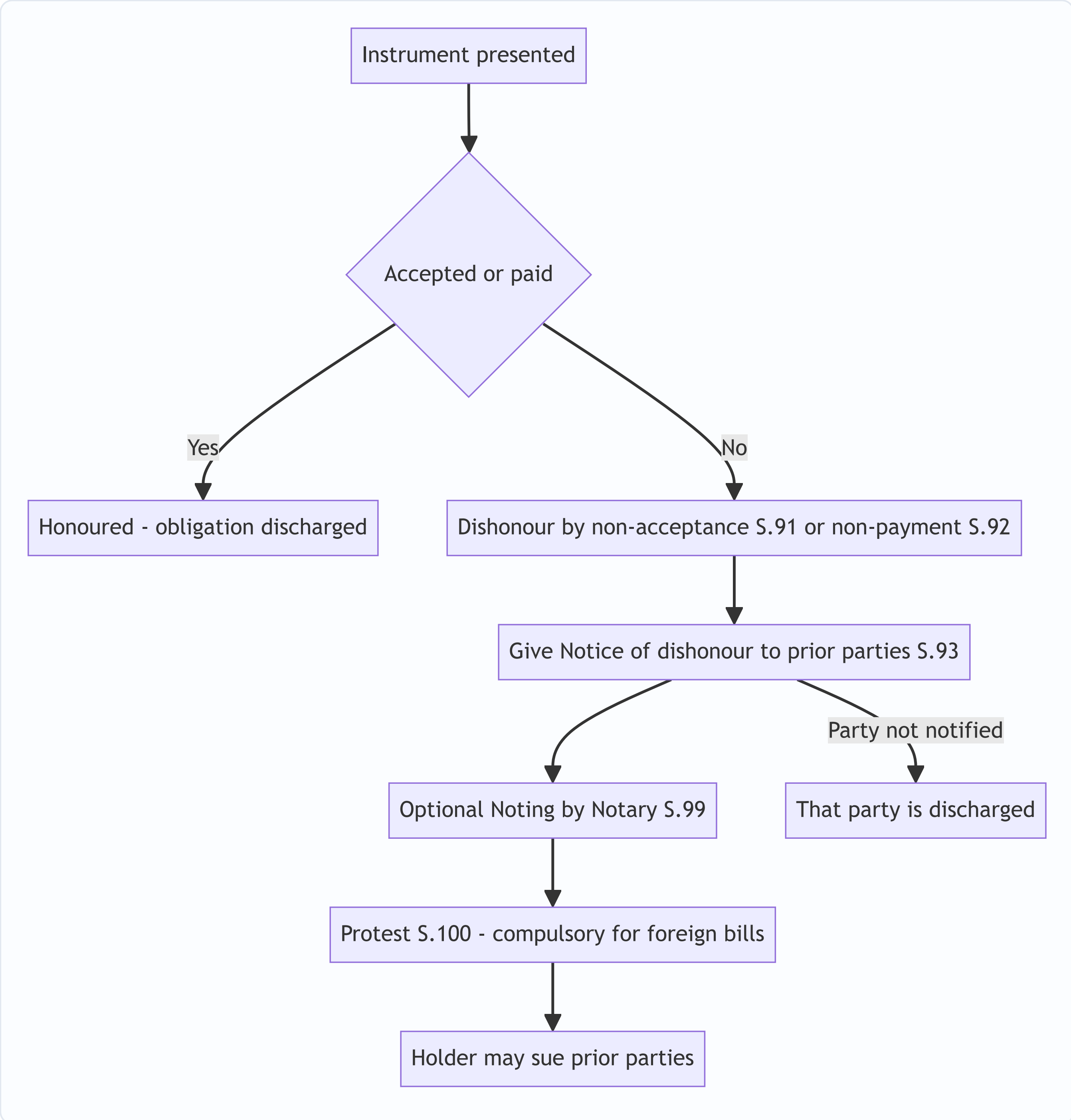

Figure 4 — Process flow on dishonour of an instrument.

4.10 Dishonour of cheque for insufficiency of funds — Section 138 (overview)

Inserted by the 1988 amendment to give cheques *credibility as near-cash*. **Section 138** makes it a **criminal offence** to bounce a cheque for insufficiency of funds.

Ingredients of the offence (all must be satisfied): 1. A cheque is drawn by a person on his account for **discharge of a legally enforceable debt or liability** (not a gift/donation). 2. The cheque is presented **within its validity period (3 months** or the period of its validity, whichever is earlier). 3. It is **returned unpaid** for insufficiency of funds *or* because it exceeds the arrangement (overdraft limit). 4. The **payee gives a written demand notice** to the drawer **within 30 days** of receiving the bank's return memo. 5. The drawer **fails to**

pay within **15 days** of receiving that notice. 6. On such failure, the offence is complete; the payee may file a **complaint within one month** of the cause of action arising (i.e., after the 15-day period expires).

Punishment (Sec 138): imprisonment up to **2 years**, or fine up to **twice the cheque amount**, or both.

Related provisions: Sec 139 (presumption in favour of the holder that the cheque was for a debt), Sec 140 (drawer cannot plead he had no reason to believe it would bounce), Sec 141 (offences by companies — directors liable), Sec 142 (cognizance only on written complaint by payee within one month), Sec 143A (interim compensation up to 20% of cheque amount), Sec 148 (appellate court may order 20% deposit).

Step	Time limit
Present cheque	Within 3 months / validity
Bank returns unpaid	Trigger event
Payee sends demand notice	Within **30 days** of return memo
Drawer must pay	Within **15 days** of notice
Payee files complaint	Within **1 month** after the 15 days lapse
Max punishment	2 years and/or fine up to 2× cheque amount

5. Worked examples

Law "problem sums" are application scenarios. Each is solved Issue → Rule → Application → Conclusion. Where money entries are involved, the accounting is shown and balanced.

Worked Example 1 — Holder in Due Course and a defective title

Facts. Anil, by fraud, obtains a bearer promissory note for **₹1,00,000** from Bhavna. He passes it to Chetan for **₹95,000** cash; Chetan takes it honestly, before maturity, unaware of the fraud. Chetan later gifts the note to his nephew Deepak. Bhavna discovers the fraud and refuses to pay. From whom, and how much, can each party recover?

Rule. Sec 9 — an HDC is one who takes for consideration, before maturity, in good faith. Sec 53 — an HDC gets a title free of defects; and a person who *derives title through* an HDC (even without value/notice) gets the same clean title. Sec 58 — against an HDC no party may set up fraud in obtaining the instrument.

Application. - Anil obtained the note by fraud → **defective title**; he is *not* an HDC and cannot enforce it against Bhavna. - Chetan gave **₹95,000 consideration**, took it **before maturity**, and **in good faith** → Chetan satisfies all Sec 9 conditions → **Chetan is a Holder in Due Course.** His title is clean; Bhavna cannot plead fraud against him (Sec 58). - Deepak received the note **by gift (no consideration)** so he is *not himself* an HDC. **But** he *derives* his title *through* Chetan, an HDC. Under Sec 53, the clean title "washes through": Deepak enjoys Chetan's defect-free title.

Conclusion. Deepak can recover the full ₹1,00,000 from Bhavna. Bhavna's remedy is to sue **Anil** personally for the fraud (₹1,00,000), but she cannot resist the note in Deepak's hands. Note the economics: Chetan paid ₹95,000 and, had he retained it, would have collected ₹1,00,000 — a ₹5,000 gain reflecting the discount for taking an unmatured note.

Worked Example 2 — "Not Negotiable" crossing switches off the HDC magic

Facts. Rekha draws a cheque for **₹2,00,000** in favour of Suresh, crossed **generally** and marked **"Not Negotiable."** Suresh's clerk steals the cheque, forges nothing, endorses it in blank by delivery to Tarun (a shopkeeper) in payment for goods worth ₹2,00,000; Tarun takes it honestly and for value. The theft comes to light. Can Tarun enforce the cheque and keep the ₹2,00,000?

Rule. Sec 130 — where a cheque is crossed "not negotiable," a person taking it **does not get, and cannot give, a better title than the transferor had**. The cheque remains transferable, but the HDC privilege (clean title) is removed.

Application. - The clerk (thief) had **no title** to the cheque. - Ordinarily, an honest holder for value before maturity (Tarun) would be an HDC and would get a clean title. - **But** the "Not Negotiable" crossing means Tarun **cannot get a better title than the clerk had** — and the clerk had *none*. So Tarun's title is as defective as the thief's.

Conclusion. Tarun cannot enforce the cheque against Rekha and must return it / bear the loss (his remedy is against the clerk). Had the cheque *not* carried "Not Negotiable," Tarun as an HDC would have kept the ₹2,00,000. This is exactly why cautious drawers add "Not Negotiable" and "A/c Payee": it makes a stolen cheque nearly worthless to a thief's transferee. Contrast with Example 1, where no such crossing existed and the clean title passed.

Worked Example 3 — Maturity, grace days and holiday rule

Facts. A bill of exchange for **₹3,00,000** is dated **1 August 2026** and made payable **"three months after date."** Determine the date of maturity. Second, if that maturity date turns out to be a **public holiday**, when does the bill fall due? Third, show the drawer's and drawee's journal entries for drawing and acceptance.

Rule. Sec 22–25 — a time bill is entitled to **3 days of grace**; the term "3 months after date" runs to the corresponding date of the third month; if maturity falls on a public holiday, it falls due on the **preceding** business day.

Application (dates). - Three months after 1 August 2026 = **1 November 2026**. - Add 3 days of grace → nominal maturity = **4 November 2026**. - If 4 November 2026 is a public holiday → the bill matures on the **preceding business day = 3 November 2026**.

Application (accounting). Say Xavier (drawer/seller) draws the ₹3,00,000 bill on Yash (drawee/buyer) for goods sold, and Yash accepts.

In Xavier's (drawer's) books: | Particulars | Dr (₹) | Cr (₹) | |---|---|---| | Bills Receivable A/c Dr | 3,00,000 | | | To Yash (Debtor) A/c | | 3,00,000 |

In Yash's (drawee/acceptor's) books: | Particulars | Dr (₹) | Cr (₹) | |---|---|---| | Xavier (Creditor) A/c Dr | 3,00,000 | | | To Bills Payable A/c | | 3,00,000 |

On the maturity date (3 Nov 2026), when Yash honours the bill:

Xavier's books: Bank A/c Dr 3,00,000 / To Bills Receivable A/c 3,00,000. *Yash's books:* Bills Payable A/c Dr 3,00,000 / To Bank A/c 3,00,000.

Conclusion. Maturity = **4 November 2026** normally, or **3 November 2026** if the 4th is a holiday. Each pair of entries balances (Dr ₹3,00,000 = Cr ₹3,00,000), and the "Bills Receivable" in Xavier's books mirrors the "Bills Payable" in Yash's — the same ₹3,00,000 obligation seen from both sides. This is the exact mechanism behind "Bills Receivable/Payable" on a balance sheet, which you will vouch as a CA.

Worked Example 4 — Section 138 timeline

Facts. Meena issues a cheque of **₹4,50,000** dated **1 March 2026** to Nitin to repay a loan. Nitin deposits it on **10 March 2026**; the bank returns it **"funds insufficient"** on **12 March 2026**. Nitin wants to prosecute. Set out the deadlines and the maximum punishment.

Rule. Sec 138 — the cheque must be for a *legally enforceable debt* (here, loan repayment — yes); presented within validity (3 months — yes, 10 March is within 3 months of 1 March); demand notice within **30 days** of return memo; drawer given **15 days** to pay; complaint within **1 month** after that.

Application. - Return memo received: 12 March 2026. - **Demand notice** must be sent by Nitin **on or before 11 April 2026** (within 30 days). - Suppose notice served on 20 March 2026. Meena then has **15 days** (up to 4 April 2026) to pay ₹4,50,000. - If Meena does not pay by 4 April 2026, the **offence is complete on 5 April 2026**; Nitin may file a complaint **within one month, i.e., by 5 May 2026**. - **Punishment:** imprisonment up to **2 years**, or fine up to **2 × ₹4,50,000 = ₹9,00,000**, or both. Court may also order interim compensation up to **20% = ₹90,000** under Sec 143A.

Conclusion. All conditions are met, so Meena is liable under Sec 138. The chain is: return (12 Mar) → notice within 30 days → pay within 15 days → complaint within 1 month. Miss any deadline and the complaint fails — timing is everything in Sec 138.

6. Connections — what this unlocks at CA Intermediate

- **Advanced Accounting / Accounting (Inter) — "Bills of Exchange" is no longer in the Inter syllabus separately but the mechanics you learned here (Bills Receivable/Payable, acceptance, dishonour, retirement, renewal, noting charges) feed straight into accounting for trade receivables and payables**, and into how you *vouch* B/R and B/P during audit.
- **Corporate and Other Laws (Inter)** — the Foundation NI Act is the base for understanding how companies issue and endorse instruments, banker–customer relationships, and negotiable-instrument aspects of the Companies Act and the payment-and-settlement framework.
- **Auditing and Ethics (Inter)** — vouching of cash/bank, verifying bills receivable and payable, and checking Section 138 contingencies and bank reconciliations all rest on knowing what a cheque, crossing, and dishonour legally are.
- **Law of banking / dishonour** — Section 138 jurisprudence recurs in Inter and Final in the context of company liability (Sec 141) and financial-crime advisory.

7. Traps & common mistakes

- **"Not negotiable" ≠ "not transferable."** A "not negotiable" cheque *still moves*; it only strips the transferee of a *better* title. This is the #1 tested trap.
- **Confusing "holder" with "possessor."** A thief possesses but is *not* a holder (Sec 8 needs *entitlement in one's own name*). A holder who lost the paper but is still entitled *is* the holder.
- **Assuming every profit-... no — that's partnership.** Here the parallel trap is assuming *every* holder is an HDC. HDC needs **all four** Sec 9 conditions; miss consideration, or take after maturity, or take with notice → you are only a "holder," and defects follow you.
- **Grace days on a cheque.** Cheques get **no** days of grace (always on demand). Grace (3 days) applies only to *time* notes and bills.

- **Holiday rule direction.** If maturity falls on a public holiday, the instrument falls due on the **preceding** business day — not the next one.
- **Promissory note payable to bearer on demand.** *Not allowed* (it would rival currency). Bills and cheques *can* be bearer-on-demand.
- **Notice of dishonour to the drawer of a cheque.** Not required where the drawer stopped payment / already knows (Sec 98) — but generally notice *is* required to hold prior parties.
- **Noting vs Protest.** Noting = preliminary record by notary (optional). Protest = formal certificate (compulsory for foreign bills). Do not swap them.
- **Section 138 deadlines.** Notice within **30 days** of return; drawer gets **15 days** to pay; complaint within **1 month** after. Mixing these numbers loses easy marks.
- **Partial endorsement is invalid** (Sec 56); a *conditional/sans-recourse* endorsement is valid.

8. First-principles recap

- A negotiable instrument is **paper that behaves like cash**: transferable by delivery/endorsement, giving an honest holder a **clean title** (Sec 13, Sec 9).
- The law **overrides *nemo dat*** for a **holder in due course** because commerce needs paper you can trust without investigating its history (Secs 9, 53, 58).
- Three statutory instruments: **promissory note** (a *promise*, 2 parties, Sec 4), **bill of exchange** (an *order*, 3 parties, Sec 5), **cheque** (a bill on a banker payable on demand, Sec 6).
- **Endorsement + delivery** moves an *order* instrument; mere **delivery** moves a *bearer* one (Secs 14–16, 47–48).
- **Crossing** (Secs 123–131) is a cheque-only safety device; **"Not Negotiable"** (Sec 130) keeps it transferable but kills the clean-title privilege.
- On **dishonour**, give **notice** (Sec 93), optionally **note** (Sec 99) and (for foreign bills) **protest** (Sec 100); a bounced cheque for insufficient funds is a **crime under Sec 138**.

9. Quick-reference table

Item	Rule / Section
Negotiable instrument defined	S.13 — PN, BoE or cheque payable to order or bearer
Promissory note	S.4 — unconditional *promise* to pay; 2 parties
Bill of exchange	S.5 — unconditional *order* to pay; 3 parties; needs acceptance
Cheque	S.6 — bill on a banker, payable on demand; incl. truncated/e-cheque
Holder	S.8 — entitled in own name to possession & recovery
Holder in due course	S.9 — for consideration, before maturity, in good faith
HDC privileges	Ss.20, 36, 53, 58, 120–122
Presumptions	Ss.118–119 (consideration, date, order, HDC presumed)
Negotiation	S.14; delivery S.47; endorsement+delivery S.48
Endorsement (blank/full)	S.16; restrictive S.50; conditional/sans-recourse S.52; partial (invalid) S.56
General / special crossing	S.123 / S.124
"Not negotiable" crossing	S.130 — no better title than transferor
Crossing after issue / who may cross	S.125
Days of grace (3 days)	Ss.22–25; holiday → preceding business day (S.25)
Dishonour by non-acceptance / non-payment	S.91 / S.92
Notice of dishonour / when not necessary	S.93 / S.98
Noting / Protest	S.99 / S.100 (foreign bills compulsory)
Dishonour of cheque for insufficient funds	**S.138** — up to 2 yrs and/or fine up to 2× amount
S.138 timeline	Present within 3 months → notice within 30 days → pay within 15 days → complaint within 1 month
Companies liability / interim compensation	S.141 / S.143A (up to 20%)

Q&A — Foundation: The Negotiable Instruments Act, 1881

CA Foundation Paper 2 – Business Laws (2024 New Scheme). Mix of theory/definition model answers and application/case-scenario problems. Section references are ICAI-aligned. "How to present for full marks" notes are added where useful.

Part A — Theory / definition (model answers)

Q1. Define a "negotiable instrument" and state its essential characteristics. (Sec 13)

Model answer. Under **Section 13**, a *negotiable instrument* means a **promissory note, bill of exchange or cheque payable either to order or to bearer**. The Act does not exhaustively define the term; by usage, hundis, government promissory notes and bearer drafts are also negotiable. Essential characteristics: 1. In **writing and signed** by the maker/drawer. 2. **Freely transferable** — by delivery (bearer) or endorsement + delivery (order). 3. A **holder in due course gets a title free of defects** (better than the transferor's). 4. Holder can **sue in his own name**. 5. Payable in a **certain sum of money** only. 6. Payable **to order or to bearer**. 7. **Presumptions** under Ss.118–119 attach automatically. *Full-marks tip:* stress that the *distinguishing* feature is **negotiability** — an honest transferee for value can get a better title than his transferor, which ordinary assignable debts never allow.

Q2. Distinguish between a promissory note, a bill of exchange and a cheque. (Ss.4, 5, 6)

Model answer. | Basis | Promissory Note (S.4) | Bill of Exchange (S.5) | Cheque (S.6) | |---|---|---|---| | Nature | *Promise* to pay | *Order* to pay | *Order* to pay | | Parties | 2 (maker, payee) | 3 (drawer, drawee, payee) | 3 (drawer, banker, payee) | | Drawee | None | Any person | Always a **bank** | | Acceptance | Not needed | **Required** | Not needed | | Payable on demand to bearer | Not allowed | Allowed | Allowed | | Days of grace | 3 (time notes) | 3 (time bills) | None | | Crossing | Not possible | Not possible | **Possible** | *Full-marks tip:* a cheque is a **species of bill of exchange** with two constants — drawee is always a banker and it is always payable on demand.

Q3. Who is a "holder" and who is a "holder in due course"? Distinguish. (Ss.8, 9)

Model answer. A **holder (S.8)** is a person **entitled in his own name to the possession** of the instrument and to **recover** the amount due. A **holder in due course (S.9)** is a person who obtained the instrument (a) **for consideration**, (b) **before maturity**, (c) **in good faith / without notice of any defect** in the transferor's title, and (d) where the instrument was complete and regular. Distinction: for a holder, consideration and good faith are not essential and his title is **no better than the transferor's**; for an HDC all four conditions are essential and he gets a **title free of defects**, plus statutory privileges (Ss.20, 36, 53, 58, 120–122). *Full-marks tip:* a mere possessor (e.g., a thief) is **not** a holder — Sec 8 requires *entitlement in one's own name*.

Q4. State the privileges of a holder in due course. (Ss.20, 36, 53, 58, 120–122)

Model answer. 1. Gets a **title free of all defects** (S.53) — better than the transferor. 2. Every **prior party is liable** to him until the instrument is duly satisfied (S.36). 3. No party can plead that the instrument was **lost**

or obtained by fraud/unlawful means (S.58). 4. An **inchoate stamped instrument** later completed is enforceable by him up to the amount the stamp covers (S.20). 5. The **maker/acceptor cannot deny** the original payee's capacity to endorse (Ss.120–122 estoppels). 6. A person **deriving title through an HDC** gets the HDC's clean title (S.53).

Q5. What is "negotiation"? State its two modes. (Ss.14, 47, 48)

Model answer. Under **Section 14**, negotiation is the **transfer of an instrument to a person so as to constitute that person the holder**. Two modes: - **By delivery (S.47)** — a **bearer** instrument is negotiated by mere delivery. - **By endorsement and delivery (S.48)** — an **order** instrument is negotiated by the holder endorsing (signing) it and then delivering it. *Full-marks tip:* delivery must be *voluntary* and with the intention of transferring ownership; a delivery obtained by theft does not negotiate the instrument.

Q6. Define "endorsement" and explain its main kinds. (Ss.15, 16, 50, 52, 56)

Model answer. Under **Section 15**, when the maker/holder of an instrument **signs it (otherwise than as maker) for the purpose of negotiation**, he *endorses* it; he is the **endorser** and the transferee is the **endorsee**. Kinds: - **Blank/general (S.16(1))** — endorser signs only his name; the instrument becomes payable to bearer. - **Full/special (S.16(2))** — names the endorsee ("Pay X") before signing. - **Restrictive (S.50)** — prohibits/limits further negotiation ("Pay X only"). - **Conditional / sans-recourse (S.52)** — endorser limits or excludes his own liability. - **Partial (S.56)** — transfers only part of the amount; **invalid** as negotiation.

Q7. Explain the crossing of cheques and its types. (Ss.123, 124, 130)

Model answer. *Crossing* is drawing **two parallel transverse lines** across the face of a cheque so that it **cannot be paid at the counter in cash** but only **through a bank account** — a safety device. - **General crossing (S.123):** two parallel lines, with or without words; payable only to a banker. - **Special crossing (S.124):** a **named banker** written across; payable only to that banker. - **"Account payee":** (banking practice) proceeds credited only to the named payee's account. - **"Not negotiable" (S.130):** the cheque **remains transferable but the transferee gets no better title** than the transferor. *Full-marks tip:* "not negotiable" does **not** mean "not transferable" — it only switches off the clean-title (HDC) privilege.

Q8. Explain "noting" and "protest." When is protest compulsory? (Ss.99, 100)

Model answer. - **Noting (S.99):** on dishonour, the holder may have the fact **recorded by a Notary Public** on the instrument — the date of dishonour, the reason, and the notary's charges. It is **optional** for inland instruments and serves as authentic evidence of dishonour. - **Protest (S.100):** a **formal certificate by the Notary Public attesting the dishonour**. Protest is **compulsory for foreign bills** where the law of the place so requires; optional for inland instruments. *Full-marks tip:* mention **"protest for better security"** — made where the acceptor becomes insolvent before maturity.

Q9. What is "notice of dishonour"? When is it not necessary? (Ss.93, 98)

Model answer. On dishonour, the holder (or a liable endorser) must give **notice of dishonour (S.93)** to all prior parties he wishes to hold liable (drawer and prior endorsers); a party not notified is **discharged**. Notice must be given within a reasonable time. **Not necessary (S.98)** when: it is dispensed with by the party entitled; the drawer has **countermanded (stopped) payment**; the party charged could not suffer damage for want of notice; the party entitled cannot after due diligence be found; or where the drawer and drawee are the same person.

Q10. State the rules relating to maturity and days of grace. (Ss.22–25)

Model answer. *Maturity* is the date on which a time instrument falls due. Every promissory note or bill **not payable on demand** gets **three days of grace (S.22)**. Cheques and demand instruments get **no** grace. If maturity falls on a **public holiday**, the instrument is due on the **preceding business day (S.25)**. *Full-marks tip:* the holiday adjustment is to the **preceding** day, not the next.

Q11. Write a note on the presumptions as to negotiable instruments. (Ss.118–119)

Model answer. Until the contrary is proved, the Act presumes: - every instrument was made/drawn **for consideration**; - it bears the **date** on which it was made; - it was **accepted** within a reasonable time and before maturity; - transfers/endorsements were made in the **order** in which they appear; - the instrument was **duly stamped**; - the **holder is a holder in due course** (S.118); and - on proof of protest, the instrument was **dishonoured (S.119)**. *Full-marks tip:* these presumptions **shift the burden** onto the party disputing the instrument.

Q12. Explain the ingredients and punishment under Section 138 (dishonour of cheque for insufficiency of funds).

Model answer. Section 138 makes it an offence to bounce a cheque for insufficient funds. Ingredients: 1. Cheque drawn for a **legally enforceable debt/liability**. 2. Presented within **validity (3 months)**. 3. **Returned unpaid** for insufficiency of funds / exceeding arrangement. 4. Payee gives **written demand notice within 30 days** of the return memo. 5. Drawer **fails to pay within 15 days** of notice. 6. Complaint filed within **1 month** of the cause of action. **Punishment:** imprisonment up to **2 years**, or fine up to **twice the cheque amount**, or both. *Full-marks tip:* cite Sec 139 (presumption for the holder), Sec 141 (company officers liable) and Sec 143A (interim compensation up to 20%).

Q13. Distinguish between negotiability and assignability.

Model answer. | Basis | Negotiation | Assignment | |---|---|---| | Governing law | NI Act 1881 | Transfer of Property Act | | Method | Delivery / endorsement + delivery | Written instrument of assignment | | Notice to debtor | Not required | Required | | Title of transferee | May be **better** (HDC) | **Subject to** all defects | | Consideration | Presumed | Must be proved | *Full-marks tip:* the *only* mechanism that can give a transferee a **better** title than the transferor is negotiation.

Q14. What is a "cheque in electronic form" and a "truncated cheque"? (Sec 6 Explanation)

Model answer. Under the Explanation to **Section 6**: - a **cheque in electronic form** is a cheque **drawn in electronic form** using a **secure system and a digital signature** (with or without biometric signature and asymmetric crypto); - a **truncated cheque** is a cheque which is **truncated (stopped) during the clearing cycle**, either by the clearing house or the paying/receiving banker, and its **electronic image is substituted**

for the physical movement of the cheque. These were added by the 2002 amendment to enable electronic cheque clearing (CTS).

Part B — Application / case-scenario problems

Q15. A obtains a bearer note of ₹80,000 from B by fraud, sells it for ₹75,000 to C who takes it honestly and before maturity; C gifts it to D. B refuses to pay. Advise D. (Ss.9, 53, 58)

Answer. *Issue:* Can D, a donee, enforce a note tainted by fraud? *Rule:* C is an HDC (consideration ₹75,000, before maturity, good faith — S.9); an HDC's title is clean (S.58); a person deriving title through an HDC gets the same clean title (S.53). *Application:* Although D gave no consideration and is not himself an HDC, he takes *through* C who is an HDC, so the defect-free title washes through to D. *Conclusion:* **D can recover the full ₹80,000 from B.** B's remedy is to sue A for fraud.

Q16. R draws a cheque of ₹1,50,000 favouring S, crossed "Not Negotiable." S's employee steals it and transfers it for value to T, who takes it honestly. Can T enforce it? (Sec 130)

Answer. *Issue:* Does an honest holder for value get a good title to a "not negotiable" cheque from a thief? *Rule:* **Section 130** — a taker of a "not negotiable" cheque cannot get, and cannot give, a **better title than the transferor**. *Application:* The thief had **no title**; therefore T, despite honesty and value, gets **no better title** than the thief — i.e., none. *Conclusion:* **T cannot enforce the cheque and must bear the loss** (remedy against the thief). Had the cheque not been "not negotiable," T as an HDC would have kept the money.

Q17. A bill dated 5 January 2026 is payable "two months after date." Compute the maturity date. If it is a public holiday, when is it due? (Ss.22, 25)

Answer. *Rule:* two months after date + **3 days of grace**; holiday → **preceding** business day. *Application:* Two months after 5 Jan 2026 = **5 March 2026**; + 3 grace days = **8 March 2026**. If 8 March is a public holiday, it falls due on the **preceding business day, 7 March 2026**. *Conclusion:* Maturity = **8 March 2026** (or **7 March 2026** if the 8th is a holiday).

Q18. M issues a cheque of ₹6,00,000 to N for a business debt. The bank returns it "insufficient funds" on 3 April 2026. N does nothing for 45 days, then sends a demand notice. Can N prosecute under Section 138?

Answer. *Issue:* Is the complaint maintainable if the demand notice is late? *Rule:* **Sec 138** — the demand notice must be given **within 30 days** of the return memo; delay is fatal to the complaint. *Application:* N sent the notice after **45 days**, beyond the 30-day limit. *Conclusion:* **The Section 138 complaint fails** because a mandatory condition (30-day notice) was not met. N retains a **civil remedy** to recover ₹6,00,000, but the criminal action is lost. (Had N acted in time, punishment could be up to 2 years and/or fine up to ₹12,00,000.)

Q19. A promissory note is drawn "payable to bearer on demand." Is it valid? (S.4 read with RBI Act)

Answer. *Issue:* Can a promissory note be payable to bearer on demand? *Rule:* A promissory note payable to bearer on demand would **compete with currency notes** and is prohibited (S.31 of the RBI Act; and the exclusion of currency notes in S.4). *Application:* Such a note is **not permissible**; only the Reserve Bank/Central Government may issue bearer-on-demand instruments (currency). *Conclusion:* The instrument is **invalid** as a promissory note. Note the contrast: **cheques and bills** *can* be payable to bearer on demand.

Q20. P endorses a bill "Pay Q or order — without recourse to me — P." Q endorses to R; the bill is dishonoured by the acceptor. Can R recover from P? (S.52)

Answer. *Issue:* Does a sans-recourse endorser remain liable on dishonour? *Rule:* **Section 52** — an endorser may **exclude his own liability** by a "without recourse" (sans recourse) endorsement. *Application:* P validly excluded his liability. On dishonour, R may proceed against the acceptor and against Q (a normal endorser) but **not against P**. *Conclusion:* **R cannot recover from P**; P is a mere conduit. R's recourse is against the acceptor and Q.

Q21. A cheque is presented 4 months after its date. The bank returns it "stale." Is the drawer liable under Section 138?

Answer. *Issue:* Does a cheque presented after validity attract Sec 138? *Rule:* **Sec 138** requires presentation **within the validity period (3 months)**; a cheque presented after that is out of time. *Application:* Presentation at 4 months is beyond the 3-month validity; the return is for being "stale," not for insufficiency of funds. *Conclusion:* **No offence under Sec 138** — a mandatory ingredient (presentation within validity) is not satisfied. The holder should have presented within 3 months.

Q22. X draws a cheque and immediately instructs the bank to "stop payment." The payee sues X, claiming he was not given notice of dishonour. Is X's defence of "no notice" available? (S.98)

Answer. *Issue:* Is notice of dishonour necessary against a drawer who himself stopped payment? *Rule:* **Section 98** — notice of dishonour is **not necessary** where the drawer has **countermanded payment**; he already knows the cheque will not be paid. *Application:* X himself stopped the payment, so no notice was required. *Conclusion:* X **cannot escape** on the ground of "no notice." (Note: separately, wrongfully stopping payment of a cheque for a valid debt can attract Sec 138 liability.)

Q23. A blank-signed but stamped paper is entrusted by A to B to fill in ₹20,000; B fills in ₹50,000 and negotiates it to C, an HDC. For how much can C enforce it? (S.20)

Answer. *Issue:* Can an HDC enforce an inchoate instrument completed for an excess amount? *Rule:* **Section 20 (inchoate stamped instruments)** — a person who signs and delivers a blank stamped paper gives authority to complete it; an **HDC may enforce it for any amount the stamp covers**, even beyond the intended sum. *Application:* C is an HDC; the stamp covers ₹50,000; C had no notice of the ₹20,000 limit. *Conclusion:* **C can enforce the full ₹50,000** (assuming the stamp is sufficient for that amount). A's remedy is against B for the excess ₹30,000. Against a non-HDC, A could restrict recovery to ₹20,000.

Q24. A bill drawn in India, on a person in India, payable in India is dishonoured. The holder wants to "protest" it before suing. Is protest compulsory here? (S.100)

Answer. *Issue:* Is protest mandatory for an inland bill? *Rule:* **Section 100** — protest is **compulsory only for foreign bills** where the local law so requires; for **inland** instruments it is **optional**. *Application:* This is an

inland bill (drawn, drawn on and payable in India). *Conclusion:* **Protest is not compulsory.** The holder may simply have it **noted (S.99)** as evidence of dishonour and proceed to sue after giving notice of dishonour (S.93).

Q25. Y draws a cheque favouring Z, crossed generally and marked "A/c Payee." Z endorses it to W, who deposits it in W's own account. The bank credits W. Is the bank protected? (Ss.123, 131)

Answer. *Issue:* May a collecting banker credit an "A/c Payee" cheque to someone other than the named payee? *Rule:* An **"A/c Payee" crossing** directs that proceeds be credited **only to the named payee's account**; a collecting banker who credits a different person's account acts without due care and **loses the statutory protection of Sec 131** (which protects a banker collecting in good faith and without negligence for a customer). *Application:* The bank credited **W**, not the payee **Z**, ignoring the "A/c Payee" direction — this is negligence. *Conclusion:* The **collecting bank is not protected** and may be liable to the true owner (Z) for conversion. "A/c Payee" is the strongest practical safeguard because it effectively defeats transfer of the proceeds.

Corporate & Other Laws — Quick-Revision Cheat-Sheet

> Last-mile scan sheet (CA Inter, Companies Act 2013 unless noted). **Verify any AY-specific / monetary tax-linked thresholds against current ICAI study material** — some limits shift with amendments/notifications. "days" = calendar days unless "clear days" stated.

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1. Preliminary & Incorporation (Ch. I–II)

Item	Sec	Key point / limit
Small company	2(85)	Paid-up ≤ ₹4 cr **and** turnover ≤ ₹40 cr (not public/holding/subsidiary/Sec 8/governed by special Act)
OPC	2(62), 3	1 member + 1 nominee; only natural resident person
Members min	3	Public 7, Private 2, OPC 1
Members max	2(68)	Private **200** (excl. present/past employee-members)
Reservation of name	4	Valid **20 days** from approval (new co.) / 60 days (change)
Registered office	12	Have RO **within 30 days** of incorporation; verify (INC-22) within 30 days; change intimated 30 days
Commencement of business	10A	Declaration (INC-20A) within **180 days**; subscribers pay + verify RO — else struck off
Effect of registration	9	Body corporate, perpetual succession, common seal (optional), can hold property
Sec 8 (charitable)	8	Licence; profits applied to objects, no dividend; alteration needs CG

Lifting corporate veil — fraud, enemy character, tax evasion, sham. **Doctrine of ultra vires** (Ashbury) — void, not ratifiable.

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2. Prospectus & Allotment (Ch. III)

Item	Sec	Point
Public offer / prospectus	23,26	Contents u/s 26; registered with ROC before issue
Misstatement	34/35	Civil (35) + criminal (34) liability; 447 fraud
Private placement	42	Offer to ≤ **200** persons/FY (per kind of security, excl QIB & ESOP); allot **within 60 days** of money receipt else refund in 15 days (else 12% interest); no public advt
Return of allotment	39	File **within 30 days** (PAS-3)
Min subscription	39	If not received, refund within period; allotment void
Global depository receipts	41	By special resolution

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3. Share Capital & Debentures (Ch. IV)

Item	Sec	Limit / time
Certificate issue	56	Allotment **2 months**; transfer **1 month**; debentures **6 months**
Transfer instrument	56	Lodge SH-4 **within 60 days** of execution
Further issue / Rights	62	Offer letter open **15–30 days**; renounceable
ESOP / preferential	62	Special resolution
Variation of class rights	48	Consent ¾ of class / special res.; dissent 10% → Tribunal in 21 days
Reduction of capital	66	Special res + **Tribunal** confirmation
Buy-back	68	≤ **25%** paid-up + free reserves; debt-equity ≤ 2:1; **cooling 1 yr**; ≤10% by board res., >10% special res.
Bonus shares	63	Out of free reserves/SP/CRR; not in lieu of dividend; can't reissue forfeited
Sweat equity	54	special res.; **no 1-yr wait** (that condition omitted w.e.f. 7 May 2018)
Prohibition on preference share	55	Redeemable ≤ **20 yrs** (infra 30 yrs)
Debenture Redemption Reserve	71	Out of profits; no voting rights on debentures

Capital: **Nominal / Issued / Subscribed / Called-up / Paid-up**. CRR (Sec 69) on buy-back = nominal value bought back.

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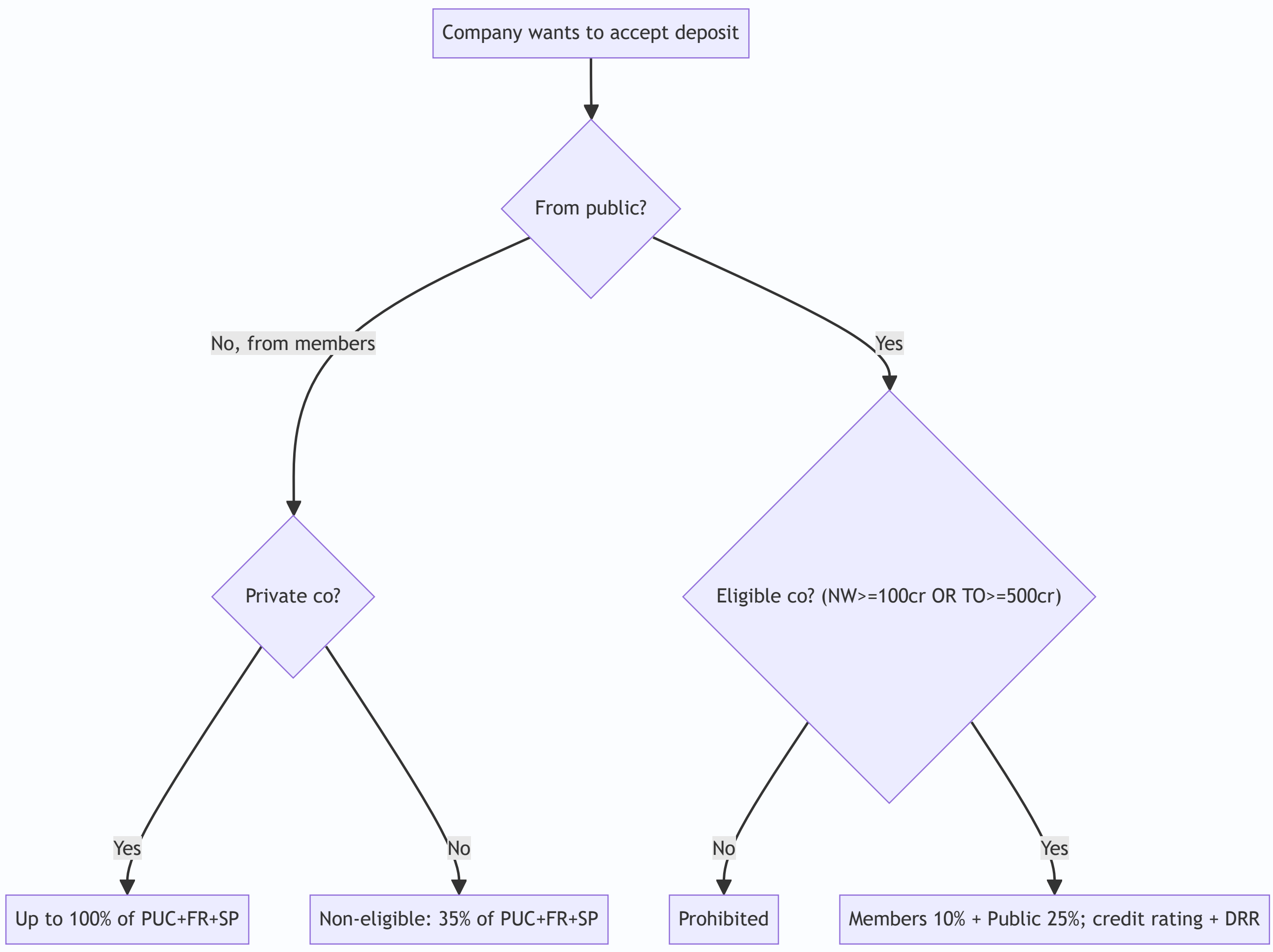
4. Deposits (Ch. V, Sec 73–76)

- **Eligible company**: net worth ≥ ₹100 cr **or** turnover ≥ ₹500 cr + special res + SEBI/RBI compliance.

- **Deposit Repayment Reserve**: deposit **20%** of deposits maturing next FY into scheduled bank, **on/before 30 April**.
- **Deposit Repayment Reserve is NOT to be used** for any purpose other than repayment.

Depositor type	Limit (% of paid-up + free reserves + securities premium)
Non-eligible co. — from members	≤ **35%**
Eligible co. — from members	≤ **10%**
Eligible co. — from public	≤ **25%**
Private co. — from members	up to **100%** (certain start-ups/conditions: no limit)



Tenure: **6 months to 36 months** (short-term for liquidity ≤10% may be ≥3 months). Not secured by company's own shares.

5. Registration of Charges (Ch. VI, Sec 77–87)

Item	Sec	Time limit
Register charge (created **on/after 02.11.2018**)	77	**30 days**; Registrar may allow **+60 days** (add'l fee); further **+60 days** (ad valorem)
Created **before 02.11.2018**	77	30 days; condonation up to **300 days** then 6 months of Amdt Act
Satisfaction of charge	82	Intimate **within 30 days** (Registrar may condone 300 days)
Register of charges (with co.)	85	CHG-7, permanent
Effect of non-registration	77	Charge void against liquidator/creditors; money still repayable

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6. Management & Administration (Ch. VII)

Item	Sec	Limit / time
Annual Return	92	MGT-7; file **within 60 days** of AGM
AGM — first	96	Within **9 months** of close of 1st FY
AGM — subsequent	96	Within **6 months** of FY close; gap ≤ **15 months**; business hrs 9–6, not national holiday, at RO/city
EGM	100	By Board; on requisition (members holding ≥10% paid-up voting)
Notice of meeting	101	**21 clear days** (shorter with 95% consent)
Quorum	103	Public: 5 (≤1000 members), 15, 30; Private: 2
Proxy	105	Deposit **48 hrs** before; proxy no speaking, votes only on poll; 1 person ≤ 50 members/5%
Resolutions filed	117	MGT-14 **within 30 days**
Minutes	118	Prepare/sign **within 30 days**
Beneficial interest declaration	89	Within **30 days**
Significant Beneficial Owner	90	SBO ≥ 10%; BEN-1 to co. within 30 days
Register of members	88	Maintain from date of registration

Special resolution = ≥ ¾ votes. **Ordinary** = > 50%. Postal ballot (110) for items notified.

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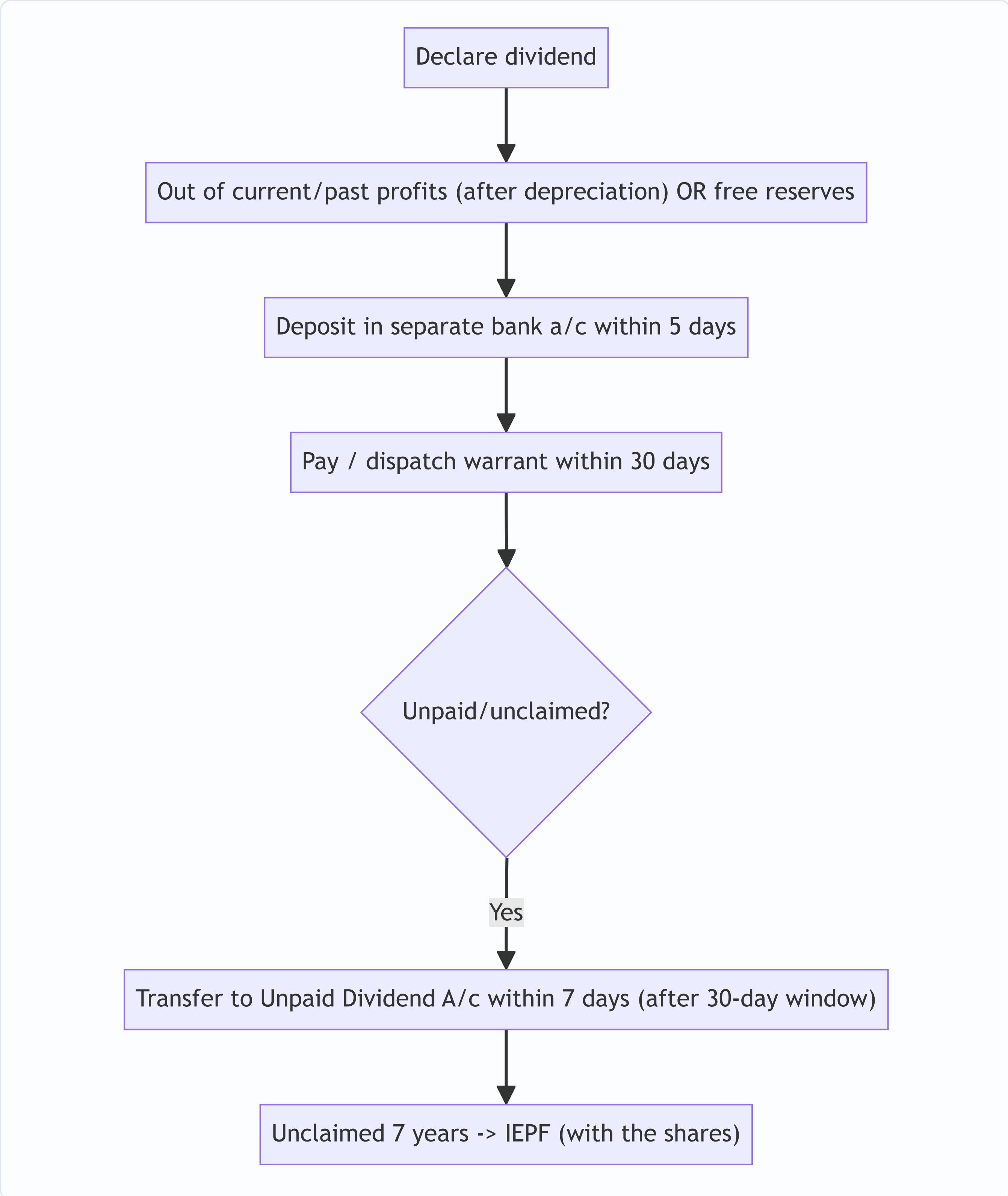
7. Dividend (Ch. VIII, Sec 123–127)



Item	Sec	Point
Interim dividend	123(3)	By Board; from surplus/current-yr profit
Rate cap on reserves	123 (Rules)	Draw from reserves ≤ avg of last 3 yrs' rates (loss year rule)
No dividend	123	If default in deposits repayment (subsists)
Unpaid Dividend A/c	124	Non-payment interest **18% p.a.**
IEPF	125	Unclaimed 7 consecutive years → shares + dividend to IEPF

8. Accounts (Ch. IX) & Audit (Ch. X)

Item	Sec	Point / time
Books of account	128	At RO; preserve **8 years**; can keep electronic
Financial statements	129	True & fair; Sch III; consolidated if subsidiary
Filing of FS	137	File **within 30 days** of AGM (AOC-4); if no AGM, within 30 days of due date
Board's Report	134	Directors' Responsibility Statement
CSR	135	NW ≥ ₹500 cr **or** TO ≥ ₹1000 cr **or** net profit ≥ ₹5 cr → spend **2%** of avg net profit (3 yrs); unspent transfer rules
Internal audit	138	Prescribed classes
First auditor	139(6)	By **Board within 30 days**; else members in EGM within **90 days**
Subsequent auditor	139	AGM appoints for **5 yrs**; ratification removed
Rotation	139(2)	Listed + prescribed: individual **1 term (5 yrs)**, firm **2 terms (10 yrs)**; cooling **5 yrs**
Removal of auditor	140	Special res + **CG (CLB) prior approval**; resignation ADT-3 within 30 days
Auditor's powers/duties	143	Access to books; report on fraud (≥₹1 cr → CG within prescribed)
Non-audit services barred	144	Accounting, internal audit, actuarial, investment banking, mgmt services etc.
Auditor eligibility	141	Disqualifications: business interest, indebtedness > ₹5 lakh, relative holds security > ₹1 lakh
Cost audit	148	CG may direct

CARO / fraud reporting — auditor duty; penalties u/s 147.

9. Directors & Board (context — key numbers)

Item	Sec	Limit
Min/Max directors	149	Public 3, Private 2, OPC 1; max **15** (more by special res.)
Resident director	149(3)	≥1 stayed **≥182 days** in India
Woman director	149(1)	Listed + prescribed public cos
First Board meeting	173	**Within 30 days** of incorporation
Board meetings	173	Min **4/year**; gap ≤ **120 days** (OPC/small/dormant: 1 each half-year, gap ≥ 90 days)
Retire by rotation	152	Public: ≥ ⅔ rotational; ⅓ retire each AGM
DIN / max directorships	165	≤ **20** companies (≤ **10** public)
Disqualification	164	Non-filing FS/AR 3 yrs; unpaid deposit/dividend 1 yr
Loan to directors	185	Prohibited (exceptions: MD/WTD scheme, ordinary course @ rate ≥ Govt bond)
Loans & investments	186	≤ 60% (paid-up+FR+SP) or 100% FR+SP; layers ≤ 2
Related Party Txn	188	Board/OR; interested member not vote
Disclosure of interest	184	MBP-1 at first BM / on change

10. LLP Act 2008

Item	Point
Nature	Body corporate, separate legal entity, perpetual succession; partners' liability **limited**
Partners	Min **2**, no max; min **2 designated partners**, ≥1 **resident in India (182 days)**
Incorporation	FiLLiP; name reserved; LLP agreement (Sec 23) — if silent, **First Schedule** governs
Liability	Partner not liable for another's wrongful act/omission; LLP liable, partner personally for own fraud
Annual filings	**Form 11** (Annual Return) within **60 days** of FY close; **Form 8** (Statement of Account & Solvency) within **30 days** of end of 6 months of FY → by **30 Oct**
Audit	Required if turnover > **₹40 lakh** or contribution > **₹25 lakh**
Conversion	Firm/Pvt co/unlisted public co → LLP (Sch II/III/IV)
Contribution	Tangible/intangible; form/valuation in agreement

11. General Clauses Act 1897

Sec	Rule
3(35)	"**Month**" = British calendar month
3(66)	"**Year**" = British calendar year (Jan–Dec)
6	**Effect of repeal** — no revival, saves rights/liabilities/penalties accrued
6A	Repeal of Act making textual amendment doesn't revive
9	"**From**" excludes first day; "**to**" includes last day
10	If prescribed period's **last day is a holiday**, act valid on next working day (not for limitation acts already covered)
13	**Gender & number** — masculine incl. feminine; singular incl. plural
16	Power to appoint incl. power to **suspend / dismiss**
21	Power to make orders/rules incl. power to **add, amend, vary, rescind**
27	**Service by post** deemed effected when correctly addressed, prepaid, posted (unless contrary proved)

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12. Interpretation of Statutes

Primary rules: Literal/Grammatical → **Golden rule** (avoid absurdity) → **Mischief rule** (Heydon's case: 4 points — old law, mischief, remedy, reason) → **Harmonious construction** → **Beneficial construction**.

Aids — *Internal*: long/short title, preamble, headings, marginal notes, definitions, proviso, illustrations, explanation, schedules, punctuation. *External*: dictionaries, historical/parliamentary background, statement of objects, foreign decisions, later social/scientific.

Maxim	Meaning
Noscitur a sociis	Word takes meaning from **surrounding** words
Ejusdem generis	General words after specific → limited to **same genus**
Reddendo singula singulis	Refer **each** phrase to its appropriate subject
Expressio unius est exclusio alterius	Express mention of one **excludes** others
Contemporanea expositio	Old statute read as **understood when passed**
Ut res magis valeat quam pereat	Prefer construction that makes statute **effective**
Generalia specialibus non derogant	**Special** provision prevails over general

Mandatory ("shall") vs Directory ("may") — depends on intent, consequence of non-compliance.

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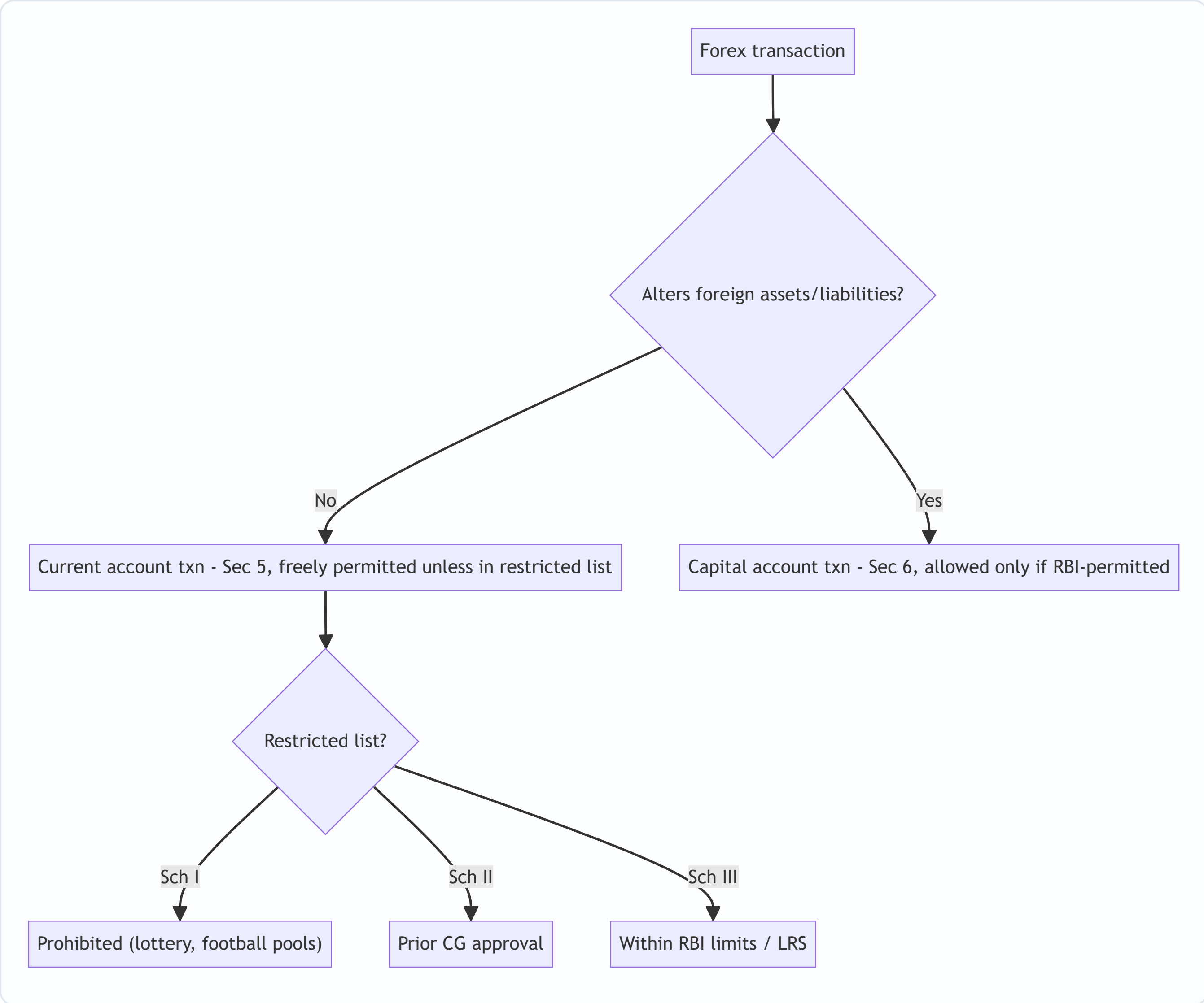
13. FEMA 1999

Sec	Point
Object	Facilitate external trade + orderly forex market (regulatory, not draconian like FERA)
2(v)	**Person Resident in India** — resided > **182 days** in preceding FY (excl. those leaving for employment/business abroad; incl. those coming for such)
2	**Current account txn** vs **Capital account txn** (alters assets/liabilities outside/in India)
3	No dealing in forex except through authorised person
5	**Current account** transactions — **freely permitted** unless restricted (CAT Rules 2000: Sch I prohibited, Sch II CG approval, Sch III RBI limits)
6	**Capital account** transactions — permissible as specified by **RBI**
7	Export — declare full value; realise/repatriate
13	**Penalty** — up to **3× amount** involved (if quantifiable) or **₹2 lakh**; continuing **₹5,000/day**
15	**Compounding** of contravention (before Adjudicating Officer / RBI)
46/47	CG rules / RBI regulations



Authorised person = authorised dealer/money-changer/offshore banking unit. **FDI vs FPI vs ECB** governed by RBI regs.

Rapid time-limit recall (days)

5 (dividend a/c) · 7 (unpaid div transfer) · 15–30 (rights) · 20 (name) · 21 (clear notice) · 30 (RO, allotment return, MGT-14, minutes, charge, first BM, FS filing, first auditor by Board) · 48 hrs (proxy) · 60 (transfer lodge, private placement, annual return) · 90 (first auditor by members) · 120 (BM gap) · 180 (commencement 10A / resident director days 182) · 300 (charge condonation) · IEPF 7 yrs · books 8 yrs.

Chapter 01 — Companies Act 2013: Preliminary & Key Definitions

> *"A company is not a thing you can touch. It is a legal fiction — an artificial person the law agrees to pretend exists. Every definition in this chapter is the law drawing the exact outline of that fiction, because the moment you invent an invisible person who can own property and owe money, clever people will try to abuse the gap between the fiction and reality."*

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1. The Problem — Why We Needed to Invent the "Company" at All

Imagine there is **no** company law. You and four friends want to build a railway. It needs crores of rupees, thousands of investors, and it will run for 100 years. Try to do this with only the ordinary law of partnership and contract, and you hit four brick walls:

Problem 1 — The business dies when a person dies. A partnership is just an *agreement between specific humans*. Legally, the firm **is** the partners. So the day one partner dies, retires, or goes insane, that partnership legally dissolves. A railway that must run for a century cannot re-form its legal existence every time a shareholder dies. Investors will not commit money to something that evaporates on a funeral.

Problem 2 — Unlimited, ruinous personal liability. In a partnership every partner is **jointly and severally liable** for the *whole* debt. If the firm owes ₹10 crore and cannot pay, creditors can seize *your house, your car, your savings* — not just the money you put in. Worse, they can chase *any one* partner for the *entire* amount. No sane small investor will buy ₹5,000 of railway shares if it means their entire net worth is on the hook for the railway's ₹500-crore debts. Without a liability cap, **mass public investment is impossible.**

Problem 3 — You cannot pool money from thousands of strangers. A partnership works between a handful of people who trust each other and all manage the business. It collapses at scale. You cannot have 40,000 shareholders each being a "partner" who can bind the firm and is personally liable for everything.

Problem 4 — Whose name owns the assets? If the firm *is* the humans, then the land, the trains, the tracks are owned by *the individuals jointly*. Every time ownership changes, title has to be re-registered to a new set of humans. Contracts are with *individuals*, so they must be re-signed. It is legally unworkable.

The deeper abuse the law also had to prevent: once you *do* invent a limited-liability artificial person, the opposite danger appears — **fraudsters hiding behind the fiction.** A cheat can set up "XYZ Ltd", take deposits from the public, siphon the money to himself, then let the company "fail" and say "*Sorry, the company owes you, not me, and the company has no money.*" So the same law that grants the shield must also define **when the shield can be ripped away.**

Every definition and doctrine in this chapter exists to solve one of these five problems: **death, ruin, scale, ownership, and the fraud that limited liability invites.**

A sixth, quieter problem — information asymmetry. Even honest strangers will not invest unless they can *find out* whom they are dealing with. In a partnership, the terms are private; nobody outside knows who the partners are or what the firm owes. The company solves this by being **a public creature**: it exists only on a **register kept by the Registrar of Companies (ROC)**, and it must file its constitution, its officers, its charges, and its accounts. So the definitions in this chapter are not just about *creating* the fiction — they are about *making it checkable*. Whenever you wonder "why is this defined so precisely?", one honest answer is: *so an outsider can verify it before parting with money.*

Why not just use a trust or a co-operative? A trust holds property for beneficiaries but is not itself a person that can freely trade, sue, and take public capital; a co-operative serves its members on mutual principles, not open profit-seeking with tradeable shares. The company is the *only* form that simultaneously offers a separate person, transferable ownership, capped liability, and a public register — which is exactly why large commerce gravitates to it.

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2. The Core Idea — The Artificial Person With a Ring-Fence Around It

The law's solution is one radical move: **create a new legal person.**

When a company is incorporated (registered), the law says: *"A brand-new person now exists — separate from every human who created it or owns it. It has its own name, its own PAN, can own property in its own name, can sue and be sued in its own name, can enter contracts, and — crucially — it lives until the law formally kills it, regardless of what happens to its members."*

This single fiction dissolves all four practical problems at once:

- Because the person is **separate**, it owns its own assets — ownership problem solved.
- Because the person is **immortal until wound up** (perpetual succession), the death of members is irrelevant — the death problem solved.
- Because the *company* owes the debts (not the members), and members only promised to pay for their shares, member liability is capped at the unpaid value of their shares — **limited liability** — the ruin problem solved.
- Because the shares are transferable and the person is separate, thousands of strangers can invest small sums freely — the scale problem solved.

But the fifth problem — **fraudsters abusing the shield** — cannot be solved by the fiction itself. It is solved by a *counter-doctrine*: **lifting / piercing the corporate veil.** The "veil" is the imaginary curtain between the company and its members. Normally the court respects it. But when the fiction is being used *as a cloak for fraud, evasion, or sham*, the court will **look behind the curtain**, identify the real humans, and hold *them* liable.

So the whole architecture is a **shield plus an exception to the shield**:

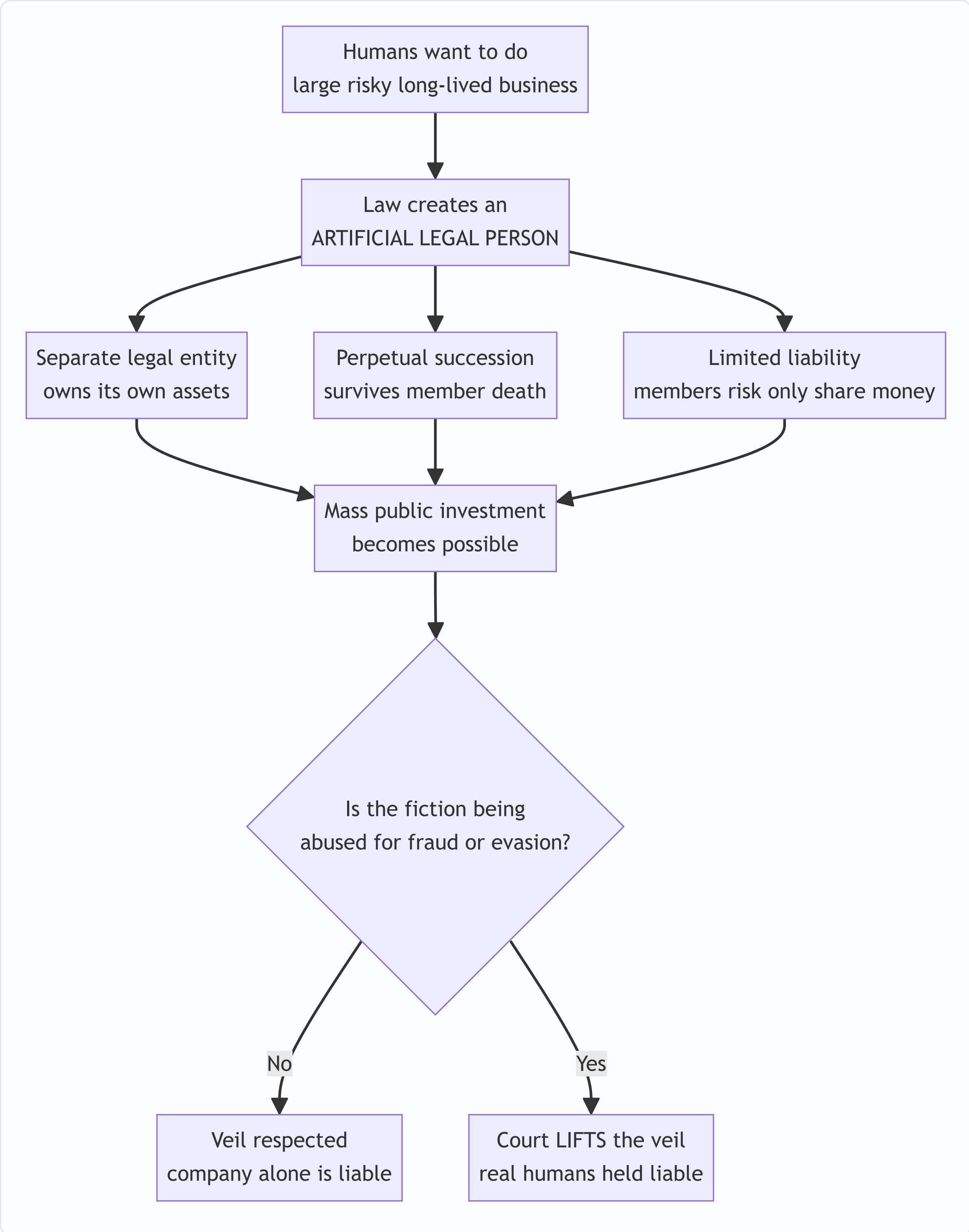

Figure 1 — The company is a shield the law grants, plus a court's power to withdraw the shield when it is abused.

A subtlety students miss — "artificial person" does NOT mean "citizen". A company is a *legal person* (it can own, contract, sue) but it is **not a natural person or a citizen**. It therefore *cannot* claim rights that the Constitution reserves to *citizens* (e.g., certain fundamental rights under Article 19 such as freedom of speech/trade **as a citizen**), though it *can* claim rights available to any "person" (e.g., equality under Article 14, protection of property). It has **no body, no mind, and no soul** — so it cannot marry, take an oath in person, or go to jail; it acts only **through human agents** (Board, officers, members in meeting). This is why the law must always answer a second question after "is the company liable?" — namely, "**which human's act or intent is attributed to the company?**" That attribution question is the seed of the *alter ego* and *directing mind* doctrines you meet later.

The company as a "nexus of contracts". A useful first-principles lens: the company sits at the centre of a web of relationships — with members (via the constitution), directors (fiduciary duties), creditors (debt), employees (employment), and the State (regulation). The definitions in this chapter fix *who stands where* in that web, so that rights and duties attach to the right party. Get the category wrong and every downstream duty attaches wrongly.

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3. Why It's Built This Way — The Logic of Each Safeguard

Before the section numbers, understand *why the machinery has the exact shape it has.* Each design choice is a plugged loophole.

- **Why "separate legal entity" is the foundation stone.** Everything else is a consequence. If the company were *not* a separate person, it could not own assets, could not survive members, and members could not have limited liability. This principle was cemented in **Salomon v. Salomon & Co. Ltd (1897)** — the House of Lords held that even a "one-man company" is legally distinct from that man, so his personal guarantee ranked ahead of unsecured creditors. The company, once validly incorporated, is a real legal person even if one human controls it entirely.
- **Why limited liability is capped at the *unpaid* amount, not zero.** The law does not let members walk away scot-free. If you agreed to buy shares of face value ₹10 and paid only ₹6, you still owe ₹4 — the company (or its liquidator) can call it. This protects **creditors**: the promised capital is a fund creditors can rely on. Limited liability limits your downside to *your promise*, not below it.
- **Why there are TWO ways to limit liability — by shares and by guarantee.** A trading company raises a permanent capital fund, so members' liability is naturally measured by their *shares* (limited by shares). But a club, trade association, or charity has little share capital and only needs a *backstop* if it winds up — so members instead promise a fixed sum payable **only on winding up** (limited by guarantee). The guarantee amount **cannot be called while the company is a going concern** — that is the whole point; it is a winding-up fund, not working capital. A company can even be *limited by guarantee and have share capital*, in which case a member is liable both for unpaid share money *and* the guarantee. And a company can be **unlimited** (Sec 2(92)) — members bear full liability, the trade-off being far lighter regulation and freedom to return capital. This spectrum (unlimited → guarantee → shares) is the *why* behind Section 2 having separate definitions for each.
- **Why the law forces sub-categories (private, public, OPC, small).** A one-size company law would either over-regulate the corner shop or under-regulate the listed giant. The abuse to prevent is **mismatched regulation** — crushing a small business with disclosure rules meant for a company holding public money, or letting a company with 40,000 public investors escape scrutiny meant for a family firm. So the Act **scales the compliance burden to the public interest at stake.** More public money and more outside stakeholders → more rules.

- **Why holding/subsidiary/associate must be *defined precisely*.** Once a company can *own shares in another company*, fraudsters build **pyramids of companies** to hide control, shift losses into a subsidiary, dodge consolidation, or claim two "separate" companies are unrelated when one secretly controls the other. Precise definitions (based on **share capital, voting power, and board control**) force the true web of control into the open through consolidated accounts.
- **Why "listed" is its own category.** A listed company has taken money from the **anonymous investing public** via a stock exchange. The public cannot individually negotiate protections, so the law (and SEBI) must impose them. Listing status is the trigger for the heaviest disclosure and governance load.
- **Why veil-lifting is deliberately *narrow* and mostly judge-made.** If courts pierced the veil casually, limited liability would be worthless and investment would dry up (back to Problem 2). So piercing is an **exception**, used only for fraud, evasion of law/obligation, sham, or specific statutory commands — never merely because it would be convenient for a creditor.
- **Why definitions use "means", "includes", and "means and includes" — and why it matters.** This is a first-principles drafting point the examiner loves. A definition that says **"means"** is **exhaustive** — nothing outside the words counts (e.g., Sec 2(20) "company" *means*). A definition that says **"includes"** is **extensive/illustrative** — it *adds* to the ordinary meaning without limiting it (so the term is broader than the list). **"Means and includes"** is exhaustive *for the listed items* — the drafter has both defined and enumerated. Reading a definition correctly *is* the exam skill: whether a borderline body falls inside a term often turns entirely on this one word. (This connects to Interpretation of Statutes in the Other Laws part.)
- **Why the Act layers "company" inside "body corporate" inside "person".** The law needs *concentric* categories so a rule can be aimed at exactly the right width — some rules bite only "companies incorporated under the Act", some bite any "body corporate" (catching foreign companies and LLPs), and some bite any "person". Getting the width right is a deliberate design lever, not sloppiness.

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4. Full Technical Content — Section by Section, Each With Its "Why"

> The Act is the **Companies Act, 2013** (India). Definitions live in **Section 2**. *Always confirm exact sub-clause numbers and current thresholds against the latest ICAI study material / bare Act, as amendments (esp. 2015, 2017, 2019, 2020, 2021) and rules revise limits.*

4.1 What a "company" is — Section 2(20)

Section 2(20): "company" means a company incorporated under this Act or under any previous company law.

Why so circular? Because the point is that a company is **a creature of statute** — it exists *only* because a law says it does and it was registered under that law. You cannot "become a company" by agreement, as you can a partnership. This ties company existence to the **register kept by the Registrar of Companies (ROC)**, which is what makes the public able to *check* who they are dealing with.

The characteristics that flow from incorporation (know these cold):

Characteristic	What it means	Problem it solves
Separate legal entity	Company is a person distinct from members	Ownership, and shielding members
Limited liability	Members liable only up to unpaid share value (or guarantee)	Ruinous personal liability
Perpetual succession	Company lives regardless of member death/exit until wound up	Business dying with a person
Common seal (now optional)	Historically the company's "signature"	Acting as a person in contracts
Separate property	Company owns assets in its own name; members have **no insurable/ownership interest** in company assets	Re-registering title on every change
Capacity to sue and be sued	In its own name	Enforcing/being held to obligations
Transferability of shares	Especially in public companies	Free flow of investment

Landmark hooks for memory: - *Salomon v. Salomon (1897)* — separate entity, even a one-man company. - *Lee v. Lee's Air Farming (1961)* — Lee could be **both** the controlling shareholder **and** an *employee* of his own company; when he died flying its plane, his widow claimed workers' compensation *from the company*. Company and man are different persons, so an employment contract between them is real. - *Macaura v. Northern Assurance (1925)* — Macaura owned all the shares of a timber company but insured the timber in his **own** name. Timber burned; insurer refused. Held: the *company* owned the timber, **not** Macaura, so he had **no insurable interest**. Separate property, ruthlessly applied.

Finer distinctions the exam probes:

- **"Common seal is now optional" — since when and so what?** The **Companies (Amendment) Act, 2015** made the common seal **optional**. If a company *chooses* to have one, documents can be executed under seal; if it does **not**, documents may be signed by **two directors, or one director and the company secretary** (or one director where there is only one). Trap: a question may assume a seal is *mandatory* — it is not.
- **Members vs shareholders — not always identical.** A **member** is one whose name is entered in the **register of members** (Sec 2(55)). A subscriber to the memorandum becomes a member on incorporation *even before shares are allotted or a certificate issued*. A person holding a **share warrant** (bearer) historically was a *shareholder* but **not** a member. So "member" is a register concept; "shareholder" is an ownership concept — usually the same person, but the exam can split them.
- **The company's nationality, residence, and domicile.** A company **has** a nationality, residence, and domicile (fixed by place of incorporation and registered office) — but it is **not a citizen** (see §2). This matters for tax residence and for the *Daimler* enemy-character point.
- **"Perpetual succession" precisely stated.** Members may come and go, be born or die, become insolvent or insane — the company's *legal identity* is unaffected. The stock aphorism: "*Members may come and members may go, but the company goes on forever*" — **until** it is wound up or struck off. It is **not unconditional immortality** (see Trap 12).

4.2 Private vs Public company — Sections 2(68) and 2(71)

Section 2(68) — Private company. A company which, by its **articles**: 1. **Restricts the right to transfer its shares** — *why?* A private company is a closed circle (often family/friends); it does not want outsiders forcing their way in, and it does not take public money, so shares are not freely tradeable. Note: the articles **restrict** (regulate), they do not **prohibit** transfer — a member can still transfer, subject to conditions (e.g., pre-emption / board approval). 2. **Limits the number of members to 200** (excluding present and past employees who are members) — *why 200?* It is the line between a "private, closed" body and one large enough that it is effectively raising money from the public. Joint holders count as one member. 3. **Prohibits any invitation to the public** to subscribe for securities — *why?* This is the core distinction: a private company must **not** tap the public. The moment you solicit the public, you must accept public-company scrutiny. *Minimum members = 2.*

Section 2(71) — Public company. A company which is **not** a private company, **and** (per the section's structure) a company that is a **subsidiary of a public company is deemed public** even if its articles say "private" — *why this deeming?* To stop the **pyramid trick**: making a subsidiary "private" on paper to escape rules, while a public company (and thus public money) sits above it controlling it. Substance over form. *Minimum members = 7; no upper limit; minimum directors = 3 (private = 2, OPC = 1).*

The three private-company restrictions dissected (why each is drafted as it is):

- The **200-member cap counts holders, not holdings. Joint holders** of one or more shares are treated as **a single member**. **Present and past employees** who became members *while in employment* and *continued* after leaving are **excluded** from the count. So a company can have far more than 200 *humans* on its register and still be private if enough of them are excluded categories or joint holders. *Exam favourite: given a messy shareholder list, compute the effective member count.*
- The cap is **200, not 50.** Fifty was the 1956 Act figure. Under the 2013 Act it is **200**.
- "Invitation to the public" is read **widely** — even a *private placement dressed up* can be caught. The prohibition protects the whole logic of the private/public divide.

Deemed public company — the exact mechanics. A private company that is a **subsidiary of a public company** is treated as a **public company for the purposes of the Act**, *even if its articles retain the three private-company restrictions.* Practically it must then meet public-company requirements (e.g., minimum 3 directors, no bar on being under public-company obligations), because public money/control sits above it. This is **substance over form** in statutory form.

Consequences that flow from the classification (why the label is worth fighting over): Private companies enjoy numerous **exemptions/relaxations** — e.g., fewer directors (2 vs 3), can commence business more simply, various procedural relaxations, and (for eligible ones) small-company reliefs. Public companies face stricter norms on acceptance of deposits, related-party transactions, managerial remuneration, and (if listed) SEBI's LODR. So misclassifying a company mis-assigns its *entire* compliance regime.

> **Note on paid-up capital.** The 2013 Act originally prescribed a *minimum paid-up capital* (₹1 lakh private / ₹5 lakh public). The **Companies (Amendment) Act, 2015 removed** the minimum paid-up capital requirement. *Confirm in current material — many old questions still quote the old figures as a trap.*

4.3 One Person Company (OPC) — Sections 2(62) and 3

The problem OPC solves: A **sole** entrepreneur previously had a cruel choice — run a proprietorship (simple, but **unlimited personal liability**) or find a second person just to satisfy the "minimum 2 members" rule for a private company (artificial, often a sham nominee). Neither is honest. OPC (a J.J. Irani Committee recommendation) gives a **single** person the **limited-liability shield** without needing a fake second member.

Section 2(62): OPC = a company which has only *one* person as a member.

Key built-in safeguards (each solving a specific worry):

Feature	Rule	Why
Nominee	The sole member must **name a nominee** in the memorandum who becomes member on his death/incapacity	Perpetual succession needs a successor — with one member, death would otherwise kill the company
Who can form	Only a **natural person** who is an **Indian citizen and resident** in India; and can form only **one** OPC and be nominee in only **one**	Prevents shell-company chains and misuse by non-persons
Conversion trigger	Historically OPC had to convert to private/public if paid-up capital exceeded **₹50 lakh** or average annual turnover exceeded **₹2 crore** (over 3 years). *The 2021 rules removed these thresholds, allowing OPCs to grow and convert voluntarily — confirm current rule.*	Originally to push large businesses out of the "one-man" form; later liberalised to encourage entrepreneurship
Restrictions	OPC **cannot** carry on Non-Banking Financial Investment activities / invest in securities of other bodies corporate; a minor cannot be member or nominee	OPC is for a genuine solo operating business, not a holding/finance vehicle

Section 3 (formation) tells you how many people form each type: Public = 7 or more, Private = 2 or more, OPC = 1. **Memory hook: 7-2-1** (public–private–OPC).

OPC is legally a species of private company. Section 3(1)(c) creates OPC *as a private company*. So an OPC is a **private company with a single member** — it inherits private-company treatment except where the Act specifically relaxes it. This has practical bite: an OPC gets *additional* relaxations layered on top of private-company ones (e.g., **may dispense with AGMs**; simplified financials — cash-flow statement not required; board meetings — one director OPC can pass resolutions by entry in the minutes book). *Confirm exact reliefs in current material.*

The nominee mechanics (finer points): - The nominee's **written consent** is filed with the ROC at incorporation. - The nominee can **withdraw** consent; the member must then nominate another. - The member can **change** the nominee at any time. - On the member's death or incapacity to contract, the **nominee becomes the member** — securing perpetual succession *despite* there being only one member. The new member must in turn nominate someone.

Residency test — watch the exact number. "Resident in India" for OPC eligibility has been defined by reference to a **stay of a specified number of days in the previous financial year** — historically **182 days**, later reduced (the 2021 rules revised the period, and NRIs/Indian citizens were permitted to form OPCs). *This day-count is a classic amendment trap — verify the current figure and who is now eligible.*

4.4 Small company — Section 2(85)

The problem: A tiny company should not drown in the same compliance as a mid-size one. "Private company" alone is too broad — a ₹90-crore private company is not "small". So the Act carves a **sub-set of private companies** that get *relaxations* (fewer board meetings, no cash-flow statement, lighter penalties, simplified annual return).

Section 2(85): a small company is a company (not public) whose: - **paid-up share capital** does **not** exceed a prescribed limit, **and** - **turnover** does **not** exceed a prescribed limit.

Both conditions must be met (it is an **AND**). The figures have been raised repeatedly. Originally ₹50 lakh capital / ₹2 crore turnover; the widely-cited revised limits are **paid-up capital ≤ ₹4 crore and turnover ≤ ₹40 crore**. *Confirm the exact current limits in ICAI material — this is a favourite exam-update trap.*

Who can NEVER be a small company (the exclusions — and their logic): - a **public company** — by definition too open; - a **holding or subsidiary** company — it is part of a larger group, so not truly "small"; - a company registered under **Section 8** (non-profit) — different regime; - a company governed by a **special Act** (e.g., banks, insurers).

Why the exclusions? Each is a way someone might *look* small on its own numbers while actually being embedded in something large or public — the relaxations would then be abused.

Small-company status is DYNAMIC, not permanent. Because it depends on the *previous year's* capital and turnover, a company can **become** a small company one year and **cease** to be one the next as it grows (or shrinks). There is **no separate registration** as a "small company" — the status is simply a fact tested each year. *Exam angle:* "Company X was small last year; this year turnover crossed the limit — is it still small?" Answer: it **ceases** to enjoy the reliefs once either threshold is breached.

The relaxations a small company enjoys (know at least four): - **Fewer board meetings** — a small company may hold only **two board meetings a year** (one per half-year, with a minimum gap), instead of four. - **Cash-flow statement not required** as part of financial statements. - **Abridged / simplified annual return**, which may be **signed by the company secretary, or where there is none, by a director** (no mandatory PCS certification in the same way as larger companies). - **Lower / lesser penalties** for certain defaults (the Act provides reduced penalties for small companies and OPCs). - **Rotation of auditors** (Sec 139(2)) does **not** apply to small companies. *Confirm the current list against ICAI material — reliefs have been expanded over time.*

Distinguish the four "smaller-entity" concepts (examiners deliberately blur them): **OPC** (one member), **small company** (private + within capital/turnover limits), **dormant company** (Sec 455 — inactive/formed for a future project, no significant accounting transactions), and **Section 8** (non-profit). They overlap partly (an OPC that is small gets both sets of reliefs) but are defined by **different tests** — membership, size, activity, and object respectively.

4.5 Holding, subsidiary, and associate — Sections 2(46), 2(87), 2(6)

These three define **control relationships between companies.** The abuse to prevent: **hiding true control and shifting profits/losses across a corporate pyramid** so outsiders can't see who really runs and who really owns what.

Section 2(87) — Subsidiary company. Company B is a subsidiary of Company A (the holding company) if A: - **controls the composition of B's Board of Directors** (i.e., A can appoint/remove a majority of B's directors), **OR** - **exercises or controls more than one-half of the total voting power** of B, either alone or with subsidiaries.

Why "OR" and why both a board test and a voting test? Because control can be exercised **two ways** — by owning the *votes* or by controlling the *board*. A cheat who owns only 40% but has a contractual right to name most directors still *controls* B. Covering both closes the gap.

Precision points on Sec 2(87) that decide marginal questions: - The voting-power test is **"more than one-half of the total voting power"** — read it as **> 50%**, *not* "≥ 50%". A flat **50–50** holding is **not** a subsidiary on the voting test (though board control could still make it one). Trap: "A holds exactly 50% of B's equity" → **not** a subsidiary via votes. - It is **voting power**, not merely **paid-up equity share capital** — because preference shares can carry votes in some situations and the real question is *who can out-vote whom*. Read the question for *voting* rights, not just shareholding percentage. - **"Composition of the Board"** is controlled when A can, *without anyone else's consent*, **appoint or remove all or a majority** of B's directors. Owning the *power to appoint the majority* is control even with a minority stake. - **"Total share capital"** — the 2017 amendment aligned the test around **total voting power** (earlier drafting/rules referenced "total share capital" including certain preference capital). *Verify the exact current wording — this has been amended.* - **Indirect control counts** — A controls B "either on its own or together with one or more of its subsidiary companies." So if A controls C, and A + C together control >50% of D, then **D is A's subsidiary** through the chain.

> **Layering restriction:** The Act (via rules under Section 2(87) proviso) restricts the **number of layers of subsidiaries** (generally **not more than two layers**, with exceptions). *Why?* Endless subsidiary-of-subsidiary chains are exactly how money and control are hidden. *Confirm the current layer limit and exemptions* (e.g., acquisition of a foreign company with its own multi-layer structure is generally not counted, and certain classes are exempt).

Section 2(46) — Holding company. The mirror image: A is the holding company of B if B is its subsidiary. (Definition simply says a company of which other companies are subsidiaries.) Note the 2017 amendment clarified "company" here includes any **body corporate**.

Section 2(6) — Associate company. A company in which another company has a **"significant influence"** — meaning control of **at least 20% of total voting power**, *or* control of business decisions under an agreement — **but which is NOT a subsidiary** and is not a joint venture. *Why 20%?* Below control (>50%) but enough to *materially influence* — the accounting world's threshold for "you influence this company, so you must disclose it." A joint venture is also treated as an associate for this purpose.

Associate — the finer edges: - "Significant influence" = **≥ 20% of total voting power** *or* control of/participation in **business decisions under an agreement** — the *agreement* limb catches influence that does **not** show up as 20% shareholding. So a company holding only 15% but with a management/shareholders' agreement giving it a veto over key decisions can still be an associate. - The **2017 amendment** clarified that "significant influence" is measured on **total voting power** (not "total share capital"), and expressly stated a **joint venture** is an associate. *Verify wording.* - An associate is deliberately **not** a subsidiary — so it is **not** consolidated line-by-line but is brought into consolidated accounts by the **equity method** (Accounts chapter). The definition's job is to force *disclosure of influence*, one rung below control.

The clean ladder of control (memorise the numbers):

Relationship	Test	Threshold
Associate	Significant influence	≥ 20% voting power (but ≤ 50%, not control of board)
Subsidiary / Holding	Control	> 50% voting power **OR** control of Board composition

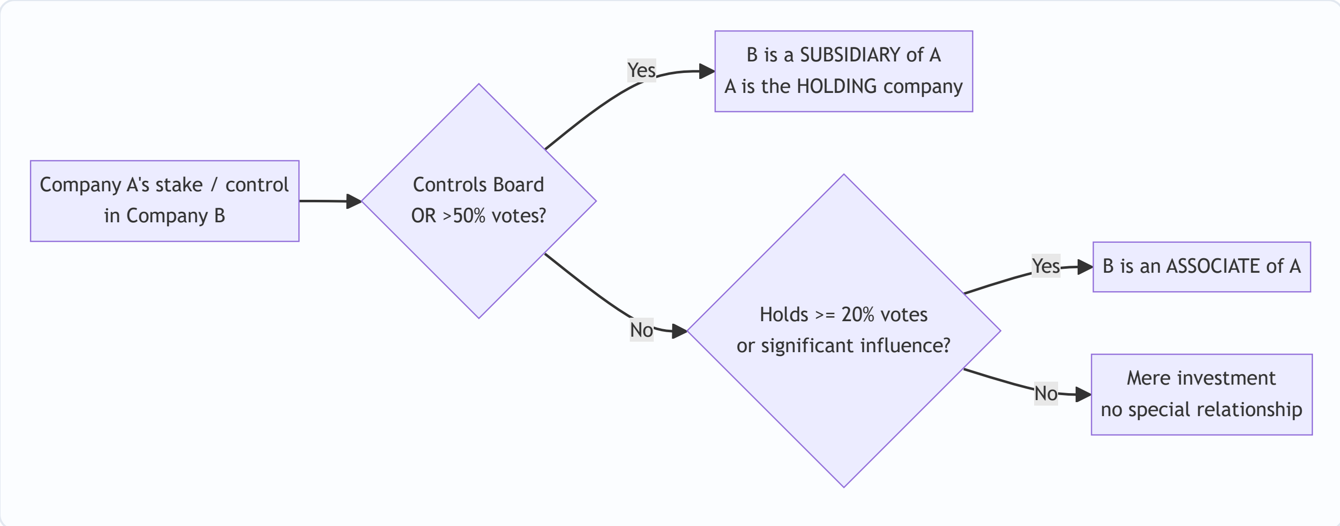

Figure 2 — The control ladder: cross 20% and you "influence"; cross 50% or control the board and you "own".

Chains and indirect control — worked mini-illustration. Suppose **A holds 60% of B**, and **B holds 55% of C**. Then B is A's subsidiary, and C is B's subsidiary — therefore, by Sec 2(87)'s "together with subsidiaries" logic, **C is also A's subsidiary**, and A is the **ultimate holding company**. Now if A *directly* holds 25% of D as well, D is A's **associate** (influence, not control) *unless* A + its subsidiaries together cross 50% of D, which would flip D into a subsidiary. Always add up **direct + indirect** control before answering.

4.6 Listed company — Section 2(52)

Section 2(52): a listed company means a company which has *any of its securities* listed on a recognised stock exchange.

Why a separate label? Because listing = the company sold securities to the **anonymous public** through an exchange. That public needs the strongest protection, so listing is the trigger for SEBI (LODR) regulations, extra disclosures, independent directors, audit committees, etc. **Note (2020 amendment):** the definition was refined so that companies which list *only certain classes of securities* (e.g., only debt/NCDs on certain terms) may be **excluded** from being "listed" for some purposes — *confirm current carve-outs*. The logic: full listed-company burden should fall where **public equity** is truly in play.

Precision points: - The trigger is **"any of its securities"** — not necessarily *equity*. A company with only its **debentures/NCDs** listed can fall within "listed" (subject to the 2020 carve-outs). *So a "listed company" is not automatically a "listed equity company"*. - A **private company can, in a narrow sense, have listed securities** (e.g., listed debt) and thus attract certain listed-company obligations — which is exactly why the 2020 carve-out was introduced, to avoid over-burdening companies whose *equity* is not public. *Verify the exact classes excluded*. - "Recognised stock exchange" points to the **Securities Contracts (Regulation) Act, 1956** — a definitional hand-off to securities law.

4.7 Other key definitions worth exact recall

Section	Term	One-line essence	Why it exists
2(11)	Body corporate	Any incorporated body, incl. foreign companies & LLPs; **excludes** co-operative societies & specified bodies	Broader than "company"; used so rules catch all corporate forms
2(20)	Company	Incorporated under this/previous Act	Creature of statute
2(45)	Government company	≥ 51% paid-up capital held by Central/State Govt (alone or together)	Public money = special audit (CAG)
2(42)	Foreign company	Incorporated outside India but has a place of business/operations in India (incl. electronic mode)	Bring foreign firms operating here under Indian disclosure
2(85)	Small company	Private + capital & turnover under limits	Proportionate lighter compliance
2(62)	OPC	One member	Limited liability for a solo founder
2(30)	Debenture	Instrument evidencing a debt (incl. bonds)	Defines the borrowing instrument
2(84)	Share	Share in the share capital of a company	The unit of ownership
2(55)	Member	Subscriber to MOA, or one whose name is in the register of members / beneficial owner in depository	Fixes *who* has membership rights
2(60)	Officer in default	Specific officers liable for a default	Pins criminal/civil liability on a human
2(88)	Sweat equity	Shares issued to employees/directors for know-how / value addition	Reward without cash outflow
2(31)	Deposit	Receipt of money by deposit/loan (with exclusions)	Protects public money lent to companies
2(76)	Related party	Defined web of connected persons/entities	Controls conflicted transactions
Sec 8	Non-profit company	Formed to promote commerce, art, science, charity etc.; profits applied to objects, no dividend	Charitable objects without the "Ltd"/"Pvt Ltd" tag

Government company — two traps. (i) The 51% may be held by Central Govt, **any State Govt(s), or partly Central + partly State** — a mix still counts. (ii) A **subsidiary of a Government company** is *itself* a Government company. It is **not** an "agent of the Government" and its employees are **not** government servants — it remains a *separate legal person* (State-owned ≠ State).

Section 8 (non-profit) — key features. Formed to **promote** commerce, art, science, sports, education, research, social welfare, religion, charity, environment protection, etc.; **applies profits/income only to promoting its objects**; **prohibits dividend** to members. In return it gets to **drop "Limited"/"Private Limited"** from its name and enjoys certain exemptions. It is licensed by the Central Government; the licence can be **revoked** for breach, and a Section 8 company **cannot** be a "small company" and has restrictions on alteration of objects.

4.8 Lifting / Piercing the Corporate Veil — the counter-doctrine

Recall the fifth problem: limited liability **invites** fraud. The veil is the separation between company and members. Courts (and the statute) **lift** it — treat the company and the humans as one — in these situations:

A. Judicial (judge-made) grounds — the court looks behind the curtain when:

1. **Fraud or improper conduct / to defeat the law.** The classic: *Gilford Motor Co. v. Horne (1933)* — Horne signed a non-compete, then formed a company to solicit his old employer's customers, arguing "the *company* is competing, not me." Court saw the company as a **sham/cloak** and enforced the covenant against it. *Jones v. Lipman (1962)* — Lipman contracted to sell land, then transferred it to a company he controlled to escape the sale. Court pierced the veil and ordered specific performance.
2. **Enemy character in wartime.** *Daimler Co. v. Continental Tyre (1916)* — a company registered in England but controlled by German nationals during WWI was treated as an **enemy**; the court looked at *who really controlled it.*
3. **Evasion of tax or a legal obligation.** Where a company is a device to dodge tax (*Sir Dinshaw Maneckjee Petit* — a man formed companies purely to receive his own income and reduce tax; veil lifted). Also *CIT v. Meenakshi Mills* line of reasoning in the revenue context.
4. **Sham / façade / mere agent.** Where the company is really just the **alter ego or agent** of the members with no independent business.
5. **Protecting public interest / preventing injustice.**
6. **Determining the true character / single economic entity** where justice requires treating a group as one (used cautiously; e.g., *State of U.P. v. Renusagar Power Co.* — parent and subsidiary treated as one for a specific statutory purpose).

A key modern caution — evasion vs concealment (the *Prest* refinement). English law (*Prest v. Petrodel, 2013*) clarified that the veil is truly *pierced* only to defeat an **evasion** of an *existing* legal obligation using the company as a device; where the issue is merely **concealment** (finding out who is really behind the company) courts use *ordinary* legal tools (agency, trust, attribution) *without* piercing. Indian courts increasingly reason similarly. The exam point: **piercing is a last resort**, invoked only when no ordinary doctrine achieves justice and the company is a *device to evade*.

B. Statutory grounds — the Act itself lifts the veil:

Situation	Section (confirm)	Who becomes personally liable
Fraudulent conduct of business during winding up / otherwise	**Sec 339** (fraudulent trading)	Persons who ran the business with intent to defraud creditors — **personally, without limit**
Misrepresentation in prospectus	**Sec 34 / 35**	Directors, promoters, experts — for loss to investors
Failure to return application money / mis-statement	Sec 26, 35	Persons responsible
Officer in default provisions	Sec 2(60) & various	The specific human "officer in default"
Misstatement / fraud generally	Sec 447	Persons guilty of fraud — punishment + liability
Ultra vires / improper acts	various	Directors personally

Why the statute keeps some grounds explicit rather than leaving all to judges? For **certainty** — creditors and investors need to know in advance that fraud will not hide behind the shield, and courts need a firm hook.

Consequence of lifting — what actually happens. Lifting the veil does **not** dissolve the company or make members owners of its assets generally. It is **issue-specific**: for *that* transaction or *that* liability, the court disregards the separateness and attributes the act/liability to the humans (or treats two companies as one). Outside that issue, the company remains a separate person. *This narrowness is the whole point.*

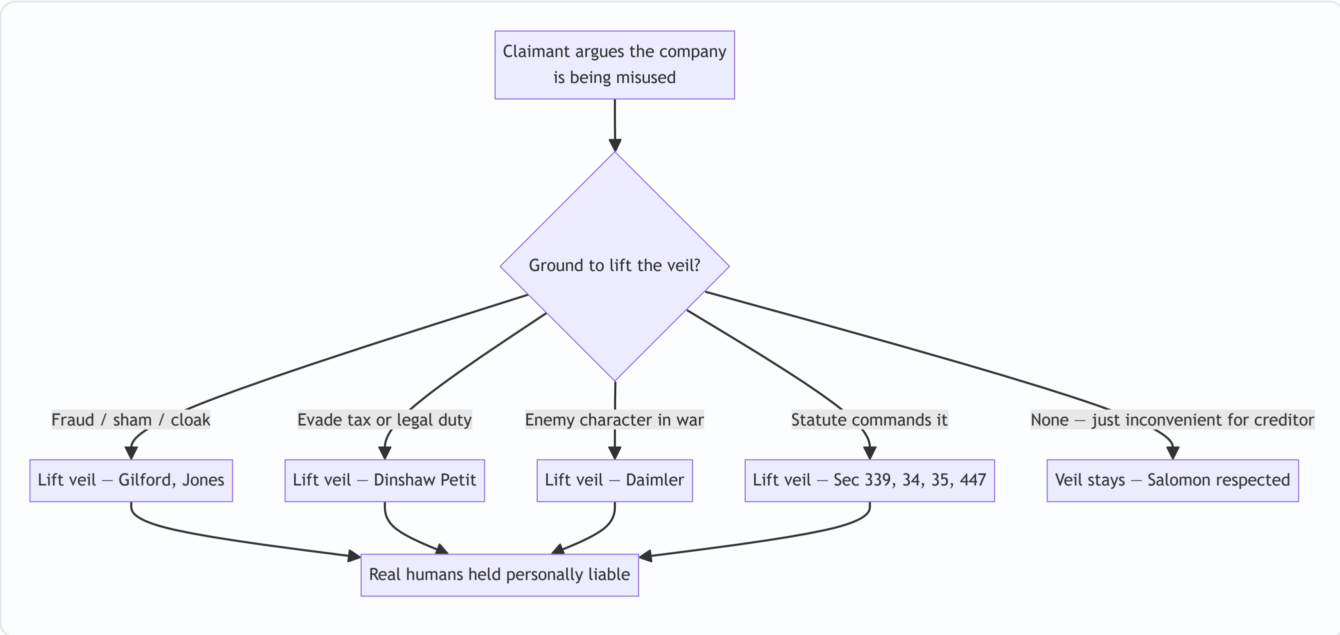

Figure 3 — Veil-lifting decision tree: the shield is withdrawn only for fraud, evasion, enemy character, or a statutory command — never mere convenience.

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5. Applied Scenarios (exam-style, reasoned to the outcome)

Scenario 1 — The uninsured sawmill (separate property). *Facts:* R owns 100% of the shares of Timber Pvt Ltd, which owns a stock of logs. R insures the logs in **his own name**. A fire destroys them. The insurer refuses to pay. *Reasoning:* The logs belong to **Timber Pvt Ltd**, a separate legal person (Sec 2(20)). A shareholder — even a 100% shareholder — has **no ownership or insurable interest** in the company's assets (*Macaura v. Northern Assurance*). R insured property he did not legally own. *Outcome:* Insurer is **not liable**; R cannot recover. The correct step would have been for **the company** to take the policy.

Scenario 2 — The "private" subsidiary of a public parent. *Facts:* Alpha Ltd (a public company) holds 90% of Beta's shares. Beta's articles restrict share transfer, cap members at 200, and ban public invitations — so Beta calls itself a private company and claims private-company relaxations. *Reasoning:* Under Sec 2(71), a company that is a **subsidiary of a public company is deemed to be a public company**, whatever its articles say. Beta is >50% controlled by Alpha, so Beta is Alpha's subsidiary (Sec 2(87)), hence **deemed public.** *Outcome:* Beta must comply as a **public company**; it **cannot** claim private-company or small-company relaxations. (Substance over form defeats the pyramid trick.)

Scenario 3 — The non-compete dodged through a new company. *Facts:* H sold his business and signed a covenant not to solicit its customers for 3 years. Six months later he forms "H Solutions Pvt Ltd", of which he is the sole controller, and *the company* starts soliciting those very customers. H argues, "I am not competing — a separate legal person is." *Reasoning:* The company is a **mere cloak / sham** created to evade a legal obligation (*Gilford Motor v. Horne*). Courts lift the veil where the corporate form is a device to defeat the law. *Outcome:* The court **lifts the veil**, treats the company as H himself, and **enforces the covenant** (injunction) against both H and H Solutions Pvt Ltd.

Scenario 4 — Is it "small"? *Facts:* Gamma Pvt Ltd has paid-up capital ₹3 crore and turnover ₹50 crore. Delta Pvt Ltd has capital ₹1 crore, turnover ₹20 crore, but is a subsidiary of Omega Ltd. *Reasoning:* Small company (Sec 2(85)) needs **both** capital **and** turnover under the limits *(≈ ₹4 cr / ₹40 cr — confirm current)*. Gamma fails the **turnover** test (₹50 cr > ₹40 cr) → **not small**. Delta meets the numbers but is a **subsidiary**, which is an **express exclusion → not small.** *Outcome:* Neither qualifies as a small company. (Remember: numbers are AND, and holding/subsidiary is auto-excluded.)

Scenario 5 — The lone founder wanting a shield. *Facts:* S, an Indian resident citizen, wants limited liability but has no partner and no wish to invent a fake second member. *Reasoning:* An **OPC** (Sec 2(62), Sec 3) lets a single natural person incorporate with limited liability. S must **nominate** a person (for perpetual succession) and can form only **one** OPC. Minimum directors = 1. *Outcome:* S incorporates an OPC, names a nominee in the memorandum, and gets the shield honestly.

Scenario 6 — Counting members of a private company (the exclusion trick). *Facts:* Zeta Pvt Ltd's register shows 205 names. Of these, **8 are jointly-held pairs** (i.e., 8 pairs of two persons each = 16 names but 8 holdings held jointly), and **12 are present or past employees** who acquired shares while employed and continue to hold them. Zeta fears it has breached the 200-member cap for a private company. *Reasoning:* Sec 2(68): (a) **joint holders count as ONE member.** The 8 joint pairs occupy 16 names but count as 8 members — a reduction of 8. (b) **Present and past employee-members are EXCLUDED** from the 200 count — remove 12. *Working (self-verified):* Start 205 names. Joint holders: 16 names collapse to 8 members → 205 − 8 = **197 members**. Exclude 12 employee-members → 197 − 12 = **185 counted members.** Since **185 ≤ 200**, Zeta is **within the limit** and remains a valid private company. *Outcome:* No breach. *Reconciliation:* even with 205 humans on the register, the *legal member count for the cap* is 185. (Trap the examiner sets: counting raw names.)

Scenario 7 — Exactly 50% is NOT control (the subsidiary threshold). *Facts:* P Ltd holds **50%** of the equity voting shares of Q Ltd; the remaining 50% is held by an unrelated investor. P Ltd has **no** right to appoint a majority of Q's Board. Is Q a subsidiary of P? Separately, R Ltd holds **26%** of Q under a shareholders' agreement giving R a veto over Q's key business decisions. *Reasoning:* Sec 2(87) subsidiary test on votes is **"more than one-half"** — i.e., **> 50%.** P holds *exactly* 50%, which is **not** more than half, and P does not control the Board → **Q is NOT P's subsidiary.** For R: 26% exceeds the **20%** significant-influence threshold *and* there is an agreement to control business decisions → **Q is an ASSOCIATE of R** (Sec 2(6)), provided Q is not R's subsidiary (it is not). *Cross-check:* Total voting power adds up (50 + 26 + others), and no single party crosses 50%, so **Q has no holding company** — consistent with "no one controls it." *Outcome:* Q is nobody's subsidiary; Q is R's associate. (Twin trap: treating 50% as control, and forgetting the *agreement* limb makes even a sub-20%/low stake an associate.)

Scenario 8 — Indirect control through a chain (add direct + indirect). *Facts:* A Ltd holds **70%** of B Ltd. B Ltd holds **60%** of C Ltd. A Ltd *also* directly holds **15%** of C Ltd. Is C a subsidiary of A? *Reasoning:* B is A's subsidiary (70% > 50%). C is B's subsidiary (60% > 50%). Under Sec 2(87), A controls voting power in C **"together with its subsidiary"** B. Even ignoring A's direct 15%, A *controls* B which controls 60% of C, so **C is A's subsidiary through the chain.** (A's direct 15% + control of B's 60% only reinforces it.) *Self-verify with the layering rule:* A → B → C is **two layers** of subsidiaries below A, which is generally *within* the permitted limit *(confirm current layer cap)*. *Outcome:* **C is a subsidiary of A**, and A is the **ultimate holding company** of both

B and C. Consolidated accounts of A must include B and C. (Trap: judging C only by A's *direct* 15% and wrongly calling it a mere associate.)

Scenario 9 — Salomon holds: one-man company, honest use, veil stays. *Facts:* M owns 99.9% of NovaTech Pvt Ltd and runs it single-handedly. NovaTech, having genuinely traded, becomes insolvent owing ₹80 lakh to trade creditors. There is **no fraud** — just business failure. Creditors demand M pay personally, arguing "he *is* the company." *Reasoning: Salomon v. Salomon* — a validly incorporated company is a **separate person even if one human owns and runs it entirely.** Mere control, or the company's inability to pay, is **not** a ground to lift the veil (Trap 8). No fraud, sham, evasion, or statutory trigger is present. *Outcome:* Creditors **cannot** reach M personally; their claim is against NovaTech's assets only. M's downside is limited to his unpaid share money (here, nil if fully paid). *Contrast Scenario 3:* there, the company was a **cloak to evade an existing obligation** — here it is a genuine business that failed. That single difference flips the result.

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6. Procedure / Compliance Summary — Choosing and Forming the Right Type

While detailed incorporation is Chapter 2, the *definitional choices* made at formation are here:

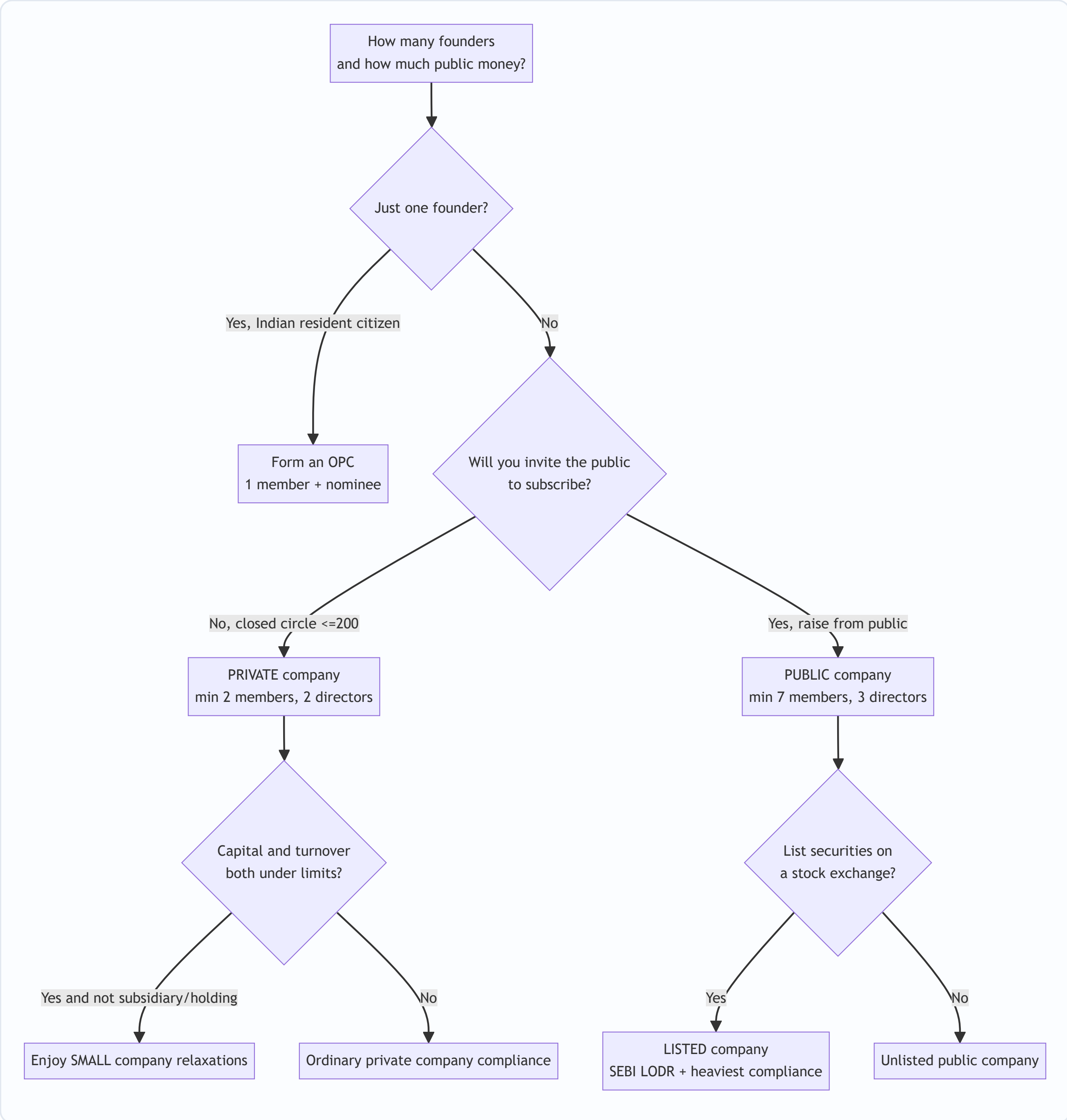
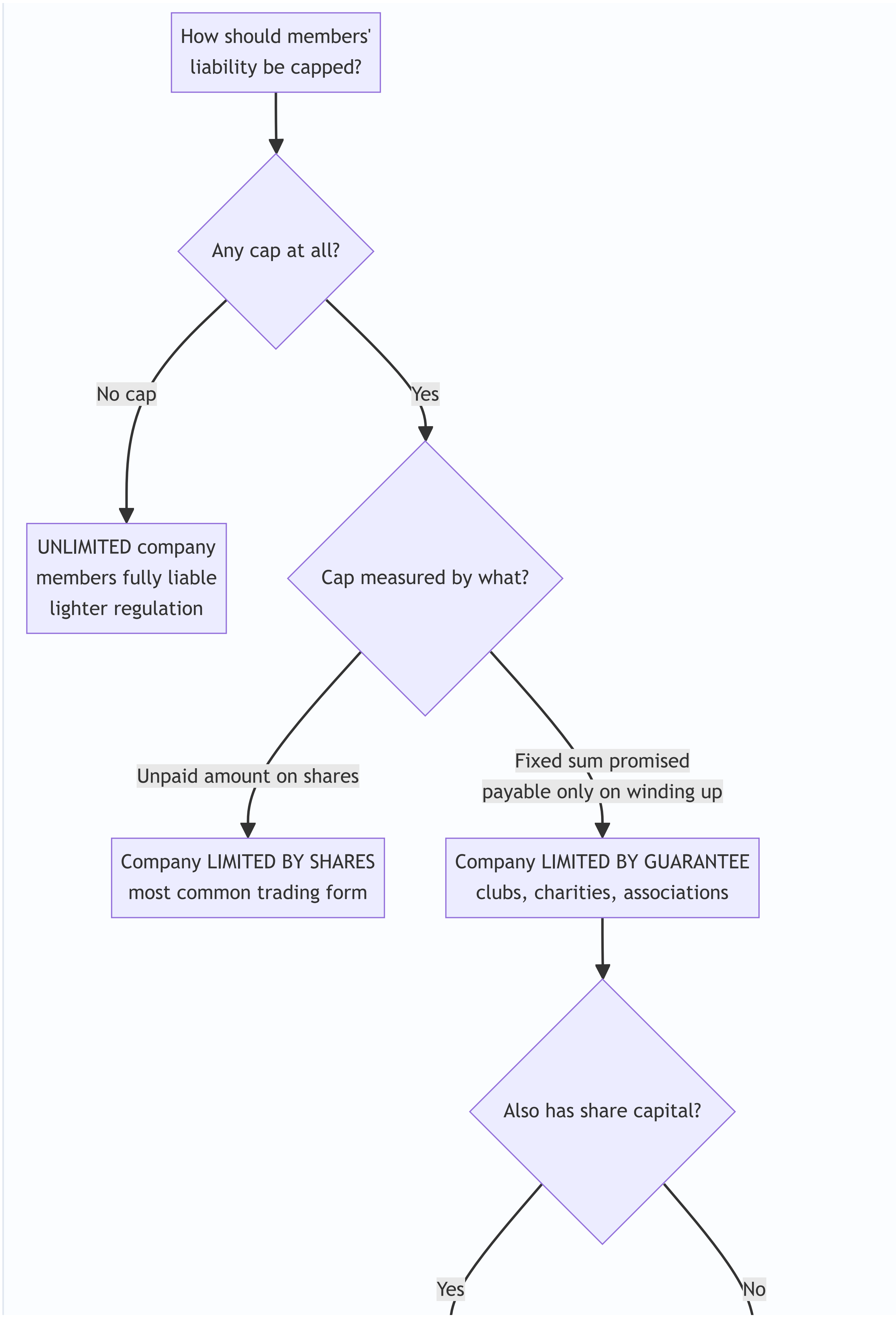


Figure 4 — Formation decision tree: the founder count and the appetite for public money drive the legal category, which drives the compliance load.

A second axis runs *across* that tree — **how members' liability is limited** — which is chosen at drafting of the memorandum, independent of private/public:


How should members' liability be capped?
Any cap at all?
No cap
UNLIMITED company
members fully liable
lighter regulation
Yes
Cap measured by what?
Unpaid amount on shares
Company LIMITED BY SHARES
most common trading form
Fixed sum promised
payable only on winding up
Company LIMITED BY GUARANTEE
clubs, charities, associations
Also has share capital?
Yes
No

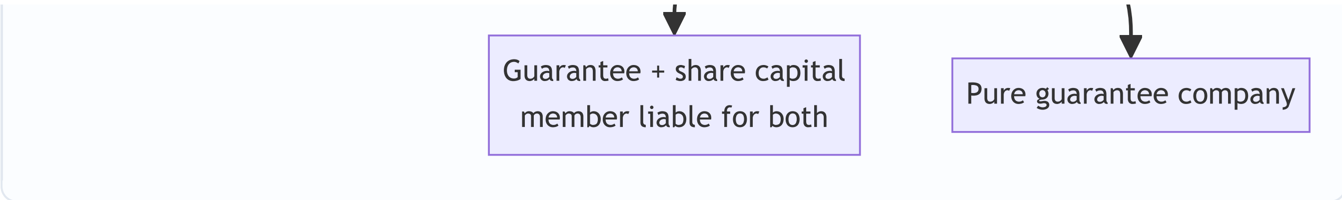


Figure 5 — The liability axis: unlimited, limited by shares, or limited by guarantee with or without share capital.

Formation minimums at a glance:

Type	Min members	Max members	Min directors	Public invitation?
OPC	1	1	1	No
Private	2	200	2	No
Public	7	No limit	3	Yes

Key forms/registers (indicative — detailed in Ch. 2): SPICe+ (INC-32) for incorporation, INC-33/34 (e-MOA/e-AOA), AGILE-PRO (for GSTIN/EPFO/ESIC/bank account), and the ROC register that makes company status publicly verifiable. *Confirm current form names.*

Consequences of the classification on ongoing compliance (why the choice is not cosmetic):

Dimension	Private (esp. small)	Public / Listed
Min directors	2 (OPC 1)	3 (listed: often more + independent directors)
Board meetings/yr	4 (small: 2)	4 (listed: with committees)
Cash-flow statement	Not required if small	Required
Public deposits	Tighter limits/from members	Broader regime under Sec 73–76
SEBI LODR	No	Listed: Yes
Auditor rotation (Sec 139(2))	Not for small/OPC	Applies to prescribed public cos

Confirm all specifics against current ICAI material.

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7. Connections — How This Chapter Wires Into the Rest of the Law

- **Chapter 2 (Incorporation, MOA/AOA):** The definitions here decide *which* incorporation route, capital clause, and object clause you use. "Separate legal entity" is *born* at incorporation (Sec 9).
- **Prospectus & Public Deposits:** "Public company" and "listed company" status are the triggers for prospectus rules (Sec 23–42) and deposit rules — because those chapters are about **public money**, the very thing these categories track.
- **Accounts & Audit:** Holding/subsidiary/associate (Sec 2(6), 2(46), 2(87)) drive **consolidated financial statements** (Sec 129) — the whole point of defining control is to force the group's true picture into the accounts. Small-company/OPC status drives *reliefs* (no cash-flow statement, fewer meetings, no auditor rotation).
- **Directors:** Minimum director counts (1/2/3) and "officer in default" (Sec 2(60)) connect to Board composition and personal liability.

- **Related-party & conflicted transactions:** Sec 2(76) "related party" and the holding/subsidiary/associate web feed Sec 188 (related-party transactions) and loan-to-director rules.
- **Winding up / IBC:** Veil-lifting for **fraudulent trading (Sec 339)** connects to insolvency; the shield's limits matter most when the company is dying.
- **SEBI Act & LODR:** "Listed company" hands off to the securities-law regime; "recognised stock exchange" hands off to the SCRA 1956.
- **Other Laws (Interpretation of Statutes):** Reading definitions ("means" vs "includes", inclusive vs exhaustive) is itself an examinable skill in the Other Laws part — and this chapter is where you first apply it.

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8. Traps & Examiner Tricks

1. **Minimum paid-up capital is GONE.** The 2015 amendment removed the ₹1 lakh/₹5 lakh minimums. Questions quoting them as *current* are testing whether you know the amendment. There is **no** minimum paid-up capital now.
2. **Small company numbers are "AND", exclusions are automatic.** Both capital **and** turnover must be under the limits. A holding **or** subsidiary company, a Section 8 company, and a company under a special Act can **never** be small — regardless of their numbers.
3. **Subsidiary-of-public is deemed public.** Even with private-company articles, a subsidiary of a public company is public (Sec 2(71)). Classic trap.
4. **Member count: "200" vs "50".** Under the 2013 Act a private company limit is **200** (it was 50 under the 1956 Act). Old figure = trap. Also: **past/present employee-members are excluded** from the count, and **joint holders count as one.**
5. **Associate vs Subsidiary threshold.** Associate = **≥20%** voting power (significant influence, *or* control of business decisions by agreement). Subsidiary = **>50%** or **board control**. Do not confuse "significant influence" (20%) with "control" (50%).
6. **Macaura trap.** A 100% shareholder still does **not** own the company's assets and has **no** insurable interest in them.
7. **Salomon holds even for one-man companies.** A validly incorporated company is separate even if one person owns and runs everything. Do **not** lift the veil merely because one person controls the company — you need fraud/evasion/sham/statute.
8. **Veil-lifting is narrow.** Mere inconvenience to a creditor, or the company simply being unable to pay, is **not** a ground. Look for **fraud, sham, evasion, enemy character, or an express statutory provision.**
9. **"Body corporate" ≠ "company".** Body corporate (Sec 2(11)) is broader — includes foreign companies and LLPs — but **excludes** co-operative societies and certain notified bodies. A question may hinge on this width.
10. **OPC restrictions.** Only a **natural person, Indian citizen and resident**; can form **one** OPC and be nominee in **one**; **cannot** do NBFI/invest-in-securities activity; a **minor** cannot be member/nominee. The old ₹50 lakh/₹2 crore mandatory-conversion thresholds were **relaxed** in 2021 — check current position and the revised **residency day-count**.
11. **Listed definition carve-out (2020).** Some companies listing only specified securities (e.g., only certain debt) may be excluded from "listed" for certain purposes. "Listed" ≠ "listed equity". Watch the update.

12. **Perpetual succession ≠ immortality.** The company survives *members*' deaths, but it **can** be wound up / struck off — it lives *until the law ends it*, not forever unconditionally.
13. **"More than half" vs "at least half".** Subsidiary voting test is **> 50%**; **exactly 50%** is NOT a subsidiary on votes. Similarly Government company is **≥ 51%** (not "more than half loosely").
14. **Voting power ≠ shareholding %.** Sec 2(87)/2(6) turn on **voting power**, which can diverge from equity percentage where preference or differential-rights shares vote. Read for *votes*, not just holding.
15. **Common seal is optional (2015).** Do not assume a document needs a seal; two directors (or a director + CS) can execute.
16. **Member ≠ shareholder always.** Subscribers to the MOA are members on incorporation before allotment; register-of-members entry is what makes a "member".
17. **Government company is still a separate person.** Its employees are **not** government servants; State ownership does not make it "the State" for every purpose.
18. **OPC is a private company.** It gets private-company treatment *plus* extra OPC reliefs — do not treat it as a wholly separate species with no private-company rules.
19. **Guarantee amount cannot be called while a going concern.** In a company limited by guarantee, the guaranteed sum is payable **only on winding up** — a question implying it funds day-to-day operations is wrong.

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9. First-Principles Recap

Strip everything away and rebuild it from zero:

1. Big, long-lived, risky business needs **money from many strangers**. Strangers won't invest if the venture **dies with a person**, **ruins them personally**, or is a **black box they cannot check.**
2. The law's fix: **invent an artificial legal person** — separate, immortal-until-wound-up, owning its own assets, and **registered publicly** so outsiders can verify it. From this one fiction fall **separate entity, perpetual succession, separate property, capacity to sue, and (via a promise-cap) limited liability.** *(Salomon, Lee, Macaura.)*
3. That person is **not a citizen and has no mind of its own** — so the law must always answer "**whose act/intent is attributed to it?**", and it must choose **how liability is capped** (unlimited → guarantee → shares).
4. The fiction must be **regulated in proportion to the public interest at stake** — hence the categories. One founder → **OPC** (a private company for a solo owner). Closed circle, no public money → **private**; if tiny → **small** (relaxations). Public money → **public**; if traded on an exchange → **listed** (heaviest load).
5. Once companies can **own other companies**, control hides in **pyramids** — so the law defines control precisely: **≥20% = associate (influence)**, **>50% or board control = subsidiary/holding**, counts **direct + indirect** control, **limits layers**, and forces the true group into **consolidated accounts.**
6. The shield **invites fraud**, so the law keeps a **counter-power**: **lift the veil** for fraud, sham/cloak, evasion of law/tax, enemy character, or where a **statute** (Sec 339, 34, 35, 447) commands — and hold the **real humans** liable. But this power is **narrow and issue-specific**, or the shield (and investment) would be worthless.

If you can regenerate the categories and the veil doctrine from *"we invented a public, checkable person, and we must both trust and police that fiction,"* you never need to memorise them.

10. Quick-Revision Sheet

Core sections

Section	Term	Key number / rule
2(20)	Company	Incorporated under this/previous Act
2(68)	Private company	Restricts transfer; **max 200** members; no public invitation; **min 2**
2(71)	Public company	Not private; subsidiary of public = **deemed public**; **min 7**; **min 3 directors**
2(62)	OPC	**One** member + nominee; natural Indian resident citizen; one OPC only; **min 1 director**; is a *private company*
2(85)	Small company	Private + capital **≤ ₹4 cr** *and* turnover **≤ ₹40 cr** *(confirm)*; excludes public/holding/subsidiary/Sec 8/special-Act; status is *dynamic*
2(87)	Subsidiary	Control of **Board** OR **>50%** voting power (direct + indirect); layers limited (≈2)
2(46)	Holding	Company whose subsidiaries exist (incl. body corporate)
2(6)	Associate	**Significant influence = ≥20%** voting power *or* control of decisions by agreement (not subsidiary); JV included
2(52)	Listed	Any securities listed on recognised stock exchange (some 2020 carve-outs; "listed" ≠ "listed equity")
2(11)	Body corporate	Incl. foreign cos & LLPs; excl. co-op societies, specified bodies
2(45)	Government company	**≥51%** Govt paid-up capital (Central/State/both); subsidiary of Govt co is also a Govt co
2(42)	Foreign company	Incorporated outside India + place of business/operations (incl. electronic mode) in India
2(55)	Member	Subscriber to MOA / name in register / beneficial owner in depository
2(60)	Officer in default	Human on whom default liability is pinned
Sec 8	Non-profit	Charitable objects; no dividend; may drop "Ltd"; cannot be "small"
Sec 3	Formation	Public **7** / Private **2** / OPC **1** (memory: **7-2-1**)
Sec 9	Effect of incorporation	Separate legal person, perpetual succession, common seal (optional), capacity to sue

Formation minimums (7-2-1): Public 7 members / 3 directors • Private 2 / 2 • OPC 1 / 1. Max members: Private 200, OPC 1, Public unlimited.

Control ladder: ≥20% (or agreement) = **Associate** (influence) → >50% or board control = **Subsidiary/Holding** (control). Count **direct + indirect**; exactly 50% ≠ subsidiary on votes.

Liability axis: Unlimited (Sec 2(92)) → Limited by guarantee (winding-up backstop, not working capital) → Limited by shares (unpaid amount). Guarantee ± share capital possible.

Characteristics of a company: Separate legal entity • Limited liability • Perpetual succession • Separate property • Common seal (optional) • Capacity to sue & be sued • Transferable shares • Artificial person, *not* a citizen, acts through agents.

Veil-lifting grounds: Fraud/sham/cloak (*Gilford, Jones*) • Tax/obligation evasion (*Dinshaw Petit*) • Enemy character (*Daimler*) • Single economic entity where justice requires (*Renusagar*) • Statute (Sec **339** fraudulent trading; Sec **34/35** prospectus; Sec **447** fraud). **Not** lifted for mere creditor inconvenience; **issue-specific** and **narrow** (evasion, not mere concealment — *Prest*).

Landmark cases: *Salomon* (separate entity, even one-man co) • *Lee* (member can also be employee) • *Macaura* (no insurable interest in company property) • *Gilford / Jones* (sham to evade obligation) • *Daimler* (enemy character) • *Dinshaw Petit* (tax evasion) • *Prest v. Petrodel* (evasion vs concealment).

Amendment flags to verify in current ICAI material / bare Act: no minimum paid-up capital (2015) • common seal optional (2015) • small-company limits (₹4 cr / ₹40 cr) • OPC conversion thresholds removed + residency day-count revised (2021) • subsidiary "total voting power" wording & layer limit (2017) • associate "voting power"/JV (2017) • listed-company carve-outs (2020).

End of Chapter 01. Next: Chapter 02 — Incorporation of a Company, MOA & AOA — where this artificial person is actually born.

Q&A — Companies Act 2013 — Preliminary & Key Definitions

Coverage: Sec 2(20), 2(68), 2(71), 2(62)/3 (OPC), 2(85) (small), 2(46)/2(87)/2(6) (holding-subsidiary-associate), 2(52) (listed), veil-lifting (judicial + statutory Sec 339, 34, 35). All section references are to the **Companies Act, 2013** unless stated. Where a rule flows from the Companies (Incorporation) Rules, 2014 or SEBI, it is flagged as such.

SECTION A — Concept-Check (short answer)

A1. Define "company" under Sec 2(20). *Answer:* Under **Sec 2(20)**, a "company" means a company **incorporated under this Act or under any previous company law**. The definition is registration-based — a body becomes a company only on incorporation and grant of the certificate under **Sec 7(2)**. It does not, by itself, describe the features (that comes from case law — *Salomon v Salomon*).

A2. What are the two defining consequences of incorporation? *Answer:* (i) **Separate legal personality** — the company is an artificial person distinct from members (*Salomon v Salomon & Co Ltd*, affirmed for Indian law); (ii) **Limited liability** — in a company limited by shares, a member's liability is capped at the unpaid amount on his shares (**Sec 2(22)** read with the concept of ring-fencing). Together these create the "corporate veil."

A3. Distinguish "private company" (Sec 2(68)) from "public company" (Sec 2(71)). *Answer:* A **private company (Sec 2(68))** restricts the right to transfer shares, limits members to **200** (excluding present/past employee-members and joint holders counted as one), and **prohibits any invitation to the public** to subscribe to securities; minimum paid-up capital as prescribed (currently no minimum since 2015 amendment). A **public company (Sec 2(71))** is one that is **not a private company** and has a minimum paid-up capital as prescribed; a subsidiary of a public company is deemed public even if its articles say otherwise.

A4. What is a One Person Company (OPC)? — Sec 2(62). *Answer:* Under **Sec 2(62)**, an OPC is a company which has **only one person as a member**. It is a species of private company (**Sec 3(1)(c)**). The sole member must nominate a person (with consent) to become member on his death/incapacity — memorandum names the nominee.

A5. State the thresholds for a "small company" — Sec 2(85). *Answer:* Under **Sec 2(85)** (as amended), a small company is a company (other than a public company) whose **paid-up capital does not exceed the prescribed limit** and **turnover does not exceed the prescribed limit**. Current prescribed limits (Companies (Specification of Definitions Details) Rules): paid-up capital **not exceeding ₹4 crore** and turnover **not exceeding ₹40 crore**. Excluded: holding/subsidiary companies, Sec 8 companies, and companies governed by a special Act.

A6. When is a company a "subsidiary"? — Sec 2(87). *Answer:* Under **Sec 2(87)**, Company H is the holding company of S if H (i) **controls the composition of the Board** of S, **or** (ii) **exercises/controls more than one-half of the total voting power** either on its own or with subsidiaries. Layers of subsidiaries beyond the prescribed number are restricted (Rule permits two layers, with exceptions).

A7. What is an "associate company"? — Sec 2(6). *Answer:* Under **Sec 2(6)**, an associate company (in relation to another company) is one in which that other company has **significant influence** (control of **at least 20%** of total voting power, or control/participation in business decisions under an agreement) but which is **not a subsidiary**, and includes a **joint venture** company. "Significant influence" is defined in the explanation to Sec 2(6).

A8. Define "listed company" — Sec 2(52). *Answer:* Under **Sec 2(52)**, a listed company means a company which has **any of its securities listed on any recognised stock exchange**. Proviso (added by 2020 amendment) allows certain classes of companies with only specified securities listed to be exempted by rules — flag: exact carve-outs are in the rules read with SEBI.

SECTION B — Applied / Scenario Problems (Facts → Law → Conclusion)

B1. *A, a sole trader, incorporates ABC Pvt Ltd and is its principal shareholder. He insures the company's timber stock in his own name. Fire destroys the stock; insurer refuses, saying A has no insurable interest. Advise.*

- **Facts:** Owner-manager insured company property in personal name.
- **Law:** By **Sec 2(20)/Sec 9**, on incorporation the company is a separate legal person owning its own assets; the member has no direct proprietary interest in company assets (*Macaura v Northern Assurance Co*).
- **Analysis:** The timber belongs to ABC Pvt Ltd, not A. A has an interest as shareholder/creditor but **no insurable interest** in the specific asset.
- **Conclusion:** The insurer is correct; A cannot recover. The policy should have been in the company's name.

B2. *XYZ Ltd is a public company. It holds 55% of the equity voting shares of PQR Pvt Ltd, whose articles restrict transfer and cap members at 200. Is PQR a private or public company?*

- **Law: Sec 2(87)** — control of >50% voting power makes PQR a subsidiary of XYZ. **Proviso to Sec 2(71)** — a subsidiary of a public company is **deemed to be a public company** even if it continues as a private company in its articles.
- **Conclusion:** PQR is **deemed a public company** and must comply with public-company provisions, despite its private-company articles.

B3. *An OPC's paid-up capital is ₹60 lakh and its average annual turnover for the relevant period exceeds ₹2 crore. The member asks whether any conversion obligation arises.*

- **Law:** Post the 2021 amendment to the Companies (Incorporation) Rules, the **earlier mandatory-conversion thresholds (₹50 lakh capital / ₹2 crore turnover) were omitted**; OPCs may now grow and convert **voluntarily** at any time (**Sec 18** read with Rules).
- **Conclusion:** No automatic/mandatory conversion is triggered under the current rules. (Flag: earlier study material citing mandatory conversion at these figures is outdated.) The member may convert voluntarily to a private/public company.

B4. *Directors of Insolvent Traders Ltd continue accepting customer advances knowing the company cannot deliver, with intent to defraud creditors. On winding up, creditors seek personal recovery.*

- **Law: Sec 339 (fraudulent conduct of business)** — if in the course of winding up it appears the business was carried on with **intent to defraud creditors**, the Tribunal may hold persons who were knowingly parties **personally liable without limitation** for the company's debts. Reinforced by **Sec 447** (fraud) penal consequences.

- **Analysis:** This is **statutory lifting of the veil**; limited liability is displaced for the culpable directors.
- **Conclusion:** The directors knowingly party to the fraud can be made **personally liable** for the debts.

B5. *A prospectus of MNO Ltd includes a materially false statement about profits. B subscribes relying on it and suffers loss. What are B's remedies against the company and directors?*

- **Law: Sec 34** imposes **criminal liability for mis-statements** in a prospectus (attracting **Sec 447**). **Sec 35** imposes **civil liability to compensate** every person who subscribes relying on a mis-statement — directors, promoters and persons authorising the prospectus are liable, subject to statutory defences (e.g., withdrawal of consent, reasonable belief for expert statements).
- **Conclusion:** B may claim **compensation under Sec 35** for the loss; the company/officers also face **criminal liability under Sec 34**. Directors escape only by proving a Sec 35 defence.

SECTION C — Descriptive (past-paper style) with model answers

C1. "The company is at law a different person altogether from the subscribers." Explain the doctrine of separate legal personality and its consequences. (5–6 marks)

Model answer: The principle originates in **Salomon v Salomon & Co Ltd** and is embodied in the scheme of the Companies Act, 2013. On incorporation under **Sec 7**, and by virtue of **Sec 9**, a company becomes a **body corporate** — an **artificial legal person** capable of holding property, suing and being sued in its own name, and having **perpetual succession** and a **common seal** (now optional). Consequences: (i) company property is not members' property (*Macaura*); (ii) members enjoy **limited liability**; (iii) the company has perpetual existence unaffected by death/insolvency of members; (iv) it can contract with its own members. The corporate personality thus "ring-fences" the business from its owners — the central design of company law.

C2. Discuss the circumstances in which the corporate veil may be lifted. (6–8 marks)

Model answer: Lifting the veil means disregarding separate personality to reach the members/controllers. Two heads:

(a) Statutory lifting — e.g. **Sec 339** (fraudulent trading — personal liability), **Sec 34 and 35** (mis-statement in prospectus — criminal and civil liability), **Sec 7(7)** (incorporation by furnishing false information), **Sec 251** (fraudulent application for removal of name), reduction of membership below statutory minimum (historically Sec 45 of the 1956 Act; under the 2013 Act the strict personal-liability rule is not re-enacted — flag this change).

(b) Judicial lifting — courts pierce the veil where the company is used for **fraud or improper conduct** (*Gilford Motor Co v Horne* — company as a sham to evade a covenant), to determine **enemy character** in wartime (*Daimler Co v Continental Tyre*), to prevent **evasion of tax or legal obligations** (*Vodafone*, *Bacha F. Guzdar* context), or where the company is a mere **agent/façade/alter ego** of its controllers.

Conclusion: The veil is respected as the norm; it is lifted only on established statutory or judicial grounds.

C3. State the essential features that distinguish a private company from a public company under the Companies Act, 2013. (5 marks)

Model answer: Under **Sec 2(68)** a private company: (i) restricts transfer of shares by its articles; (ii) limits members to **200** (excluding present/former employee-members; joint holders treated as one); (iii) prohibits invitation to the public to subscribe to securities. Under **Sec 2(71)** a public company is one that is **not private** and, if a subsidiary of a public company, is deemed public. Practical distinctions: minimum members

— **2** (private) vs **7** (public); minimum directors — **2** vs **3** (**Sec 149**); a private company may commence with a single member as an **OPC** (Sec 2(62)). Both need minimum capital only as prescribed (no statutory minimum since 2015).

SECTION D — MCQs / Case Scenarios (with reasoning)

D1. Maximum number of members in a private company (excluding employee-members) is: A) 50 B) 100 C) 200 D) Unlimited **Answer: C.** *Sec 2(68) caps members at 200.*

D2. A company incorporated with a single member is a: A) Small company B) OPC C) Dormant company D) Associate **Answer: B.** *Sec 2(62) — OPC has only one member; it is a private company under Sec 3(1)(c).*

D3. H Ltd controls the composition of S Ltd's Board. S Ltd is: A) Associate of H B) Subsidiary of H C) Holding of H D) Unrelated **Answer: B.** *Sec 2(87)(i) — control of Board composition makes S a subsidiary.*

D4. "Significant influence" for an associate company means control of at least ___ of total voting power: A) 10% B) 20% C) 26% D) 51% **Answer: B.** *Sec 2(6) explanation — 20% of total voting power (or control of business decisions under agreement).*

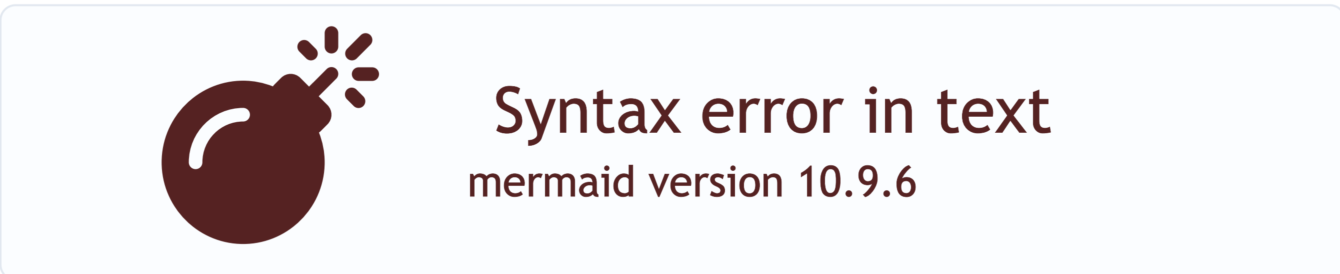
D5. Personal liability of directors for carrying on business to defraud creditors, on winding up, arises under: A) Sec 34 B) Sec 35 C) Sec 339 D) Sec 447 **Answer: C.** *Sec 339 — fraudulent conduct of business; unlimited personal liability.*

D6. A company is a "listed company" under Sec 2(52) when: A) Capital exceeds ₹5 cr B) Any of its securities is listed on a recognised stock exchange C) It has >200 members D) It is a public company **Answer: B.** *Sec 2(52) — listing of any securities on a recognised stock exchange.*

D7. Present small-company thresholds (paid-up capital / turnover) are: A) ₹50 lakh / ₹2 cr B) ₹2 cr / ₹20 cr C) ₹4 cr / ₹40 cr D) ₹10 cr / ₹100 cr **Answer: C.** *Sec 2(85) read with the Definitions Rules (current limits: ₹4 cr / ₹40 cr).*

D8. Case scenario: L Ltd owns 22% voting power in M Ltd and participates in M's key business decisions but does not control the Board. M Ltd is L's: A) Subsidiary B) Holding C) Associate D) Small company **Answer: C.** *Sec 2(6) — ≥20% voting power / significant influence, and not a subsidiary, makes M an associate.*

Mermaid — Classification decision flow



Traps & Examiner Tricks (quick-fire)

1. **Sec 2(20) defines only "incorporated under the Act"** — features (limited liability etc.) come from case law, not the definition. Don't attribute *Salomon* consequences to the text of 2(20).

2. **200-member cap excludes employee-members** (present and past) and counts **joint holders as one** — a common mis-count.
3. **No minimum paid-up capital** since the 2015 amendment for both private and public companies — reject any "₹1 lakh / ₹5 lakh" answer.
4. **A private subsidiary of a public company is DEEMED public** (proviso to Sec 2(71)) — even if its own articles keep private restrictions.
5. **OPC mandatory-conversion thresholds were REMOVED** (2021 Rules) — conversion is now voluntary; old ₹50 lakh/₹2 crore triggers are outdated.
6. **Small company cannot be a public company, holding/subsidiary, Sec 8, or special-Act company** — exclusions are absolute regardless of size.
7. **Subsidiary test is control of BOARD composition OR >½ voting power** (Sec 2(87)) — either limb suffices; not both, and it is *voting power*, not mere equity holding.
8. **Associate needs "significant influence" (≥20%)** and must **NOT be a subsidiary** — a JV company is expressly an associate (Sec 2(6)).
9. **Sec 34 = criminal; Sec 35 = civil** for prospectus mis-statements — do not swap them.
10. **Sec 339 personal liability arises only in winding up** and needs **intent to defraud** — negligence alone is insufficient.
11. **"Listed company" hinges on listing of *any securities*** (Sec 2(52)), not on being public or on capital size — an unlisted public company exists.
12. **Corporate veil is the rule, lifting the exception** — list the *specific* statutory section or the named case; vague "for fraud" answers lose marks.

First-Principles Recap

The Act solves four owner problems — **death** (perpetual succession), **ruin** (limited liability), **scale** (transferable shares, pooled capital) and **ownership vs management** (Board governance) — by creating an **artificial person** (Sec 2(20)/Sec 9) that **ring-fences** the business. Because that ring-fence can be abused for **fraud**, the law keeps a lever — **veil-lifting** (judicial + statutory Sec 339/34/35) — to reach the humans behind it. Every definition (2(68), 2(71), 2(62), 2(85), 2(87), 2(6), 2(52)) is just a way of **classifying** these artificial persons so the right compliance load attaches.

Quick-Revision Sheet

Concept	Section	Key number / test
Company	2(20)	Incorporated under the Act
Private company	2(68)	Members ≤ 200; transfer restricted; no public invite
Public company	2(71)	Not private; subsidiary of public = deemed public
OPC	2(62)/3(1)(c)	One member; nominee required
Small company	2(85)	Cap ≤ ₹4 cr AND turnover ≤ ₹40 cr; exclusions apply
Holding/Subsidiary	2(46)/2(87)	Board control OR >½ voting power
Associate	2(6)	Significant influence ≥ 20%; JV included
Listed company	2(52)	Any securities listed on recognised exchange
Fraudulent trading	339	Winding up + intent to defraud → personal liability
Prospectus mis-statement	34 / 35	Criminal / Civil liability
Min members	—	1 (OPC) / 2 (private) / 7 (public)
Min directors	149	1 (OPC) / 2 (private) / 3 (public)

Note on uncertainty: Monetary thresholds (small company, definitions rules) and the OPC/listing carve-outs are set by **subordinate rules/SEBI** and are periodically amended; always verify against the latest Rules for the applicable exam attempt.

Chapter 02 — Incorporation of a Company

> Guiding law of these notes: never memorise a section until you have felt the wound it was written to close. A company is an artificial person. It can own property, sue, be sued, borrow crores, and vanish overnight leaving creditors staring at empty offices. The entire law of incorporation exists to answer one dangerous question: *if we are going to let people create an immortal, faceless, limited-liability person out of thin air, how do we stop that person from becoming a weapon?*

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1. The Problem — What goes wrong when a "company" can be born in secret

Imagine there were no incorporation law. Anyone could stand up tomorrow, call themselves "Reliance Global Traders Ltd", collect deposits from the public, sign contracts, and — when things went bad — simply disappear. There would be:

- **No public record.** A supplier extending 90 days credit has no way to check whether the "company" even exists, who owns it, where it is registered, or what it is allowed to do.
- **No accountability trail.** When the entity collapses, whom do you sue? Who were the real humans behind it? Where did the money go?
- **No fixed constitution.** The people running it could claim today they are a shoe business and tomorrow a chit-fund, changing their object whenever convenient, so no investor could ever pin down what their money would be used for.
- **Unlimited fraud by "limited liability".** Limited liability is a gift from society — it says "if the business fails, your personal house is safe." That gift is easily abused: promoters could pile up debts, shield themselves, and walk away rich while creditors starve.
- **The "one-way mirror" problem.** Outsiders dealing with the entity cannot see inside it. They don't know which director is authorised to sign, whether a board meeting really happened, whether the loan was properly approved. Either outsiders bear that risk (and stop dealing) or insiders bear it (and are trapped by their own paperwork). Somebody has to lose.
- **The capital-illusion problem.** A group may advertise a grand "authorised capital of ₹10 crore" while not a single rupee has actually reached the bank account. A creditor who extends credit trusting that figure is trusting an illusion. So the law must force a moment where the newborn *proves* the subscription money is real — this later crystallises as Sec 10A.
- **The phoenix problem.** A dishonest group runs a company into the ground, sheds its debts, and rises again as a *new* company with the same people and the same business — leaving each successive set of creditors stranded. Separate personality, meant as a shield, becomes an escape hatch. Veil-lifting and fraud-in-incorporation provisions exist precisely to singe the phoenix.

Add these to the earlier abuses and you have the complete rap-sheet this chapter answers.

Every single rule in this chapter is a scar from one of these abuses. Incorporation is not bureaucracy for its own sake — it is the **price of admission** for the extraordinary privileges of separate personality and limited liability. The State says: *you may create this artificial immortal person, but only through a public, recorded,* *verified birth, with a written constitution, identifiable promoters, and clear rules about who the outside world can trust.*

Why this matters more than it looks. Notice that two very different groups need protection, and they pull in opposite directions:

- **Insiders** (members, especially minority members) need protection *from the managers* — that their money is spent only on the stated objects, that the constitution is not rewritten against them overnight.
- **Outsiders** (creditors, suppliers, lenders, employees) need protection *from the company* — that the entity is real, reachable, has genuine capital, and that the person who signed actually had authority.

A well-designed incorporation regime cannot maximise protection for both at once; every doctrine in this chapter is a *negotiated allocation of risk* between these two camps. When you read a rule, always ask: *whose risk did this shift, and to whom?* That single question unlocks almost every exam problem, because the examiner is nearly always testing whether you can identify which camp the law is protecting in a given fact pattern.

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2. The Core Idea — Incorporation as a *public, documented birth in exchange for privilege*

The protective principle is a **bargain**:

> Society grants a company two magical powers — **separate legal personality** (it is a person distinct from its members) and **limited liability** (members risk only what they agreed to invest). In return, the company must be **born on a public register**, carry a **written and published constitution** limiting what it may do, and expose enough **identity and authority information** that the outside world can deal with it safely.

From this one bargain, everything flows:

1. **Public birth (registration with the Registrar of Companies).** A neutral State officer verifies documents and issues a birth certificate — the *Certificate of Incorporation* — which becomes the entity's legal DNA.
2. **A written constitution (MOA + AOA).** The **Memorandum of Association (MOA)** is the company's charter facing *outward* — its name, home State, objects, and liability. The **Articles of Association (AOA)** are the rulebook facing *inward* — how the company governs itself. Because these are public, the world can read the limits before dealing.
3. **Doctrines that split risk fairly between insider and outsider.** *Ultra vires* protects members and creditors from managers exceeding the objects. *Constructive notice* protects the company by deeming outsiders to have read the public documents. *Indoor management (Turquand's rule)* protects outsiders from hidden internal irregularities they could not have discovered.

Hold these three pillars in your head. The rest of the chapter is just detail hanging off them.

Do not conflate the two privileges. *Separate legal personality* and *limited liability* are **different gifts** and can exist apart. Personality means the company is a distinct legal person that owns its own assets and bears its own debts. Limited liability means the *members*' exposure is capped at their unpaid share value (or guarantee sum). Proof they are separable: an **unlimited company** has *full* separate personality yet its members carry *no* liability cap at all. So "the company is separate" does **not** automatically mean "the members are protected" — the **liability clause of the MOA** decides that second question independently. The examiner exploits this by giving an *unlimited* company and asking whether members are shielded (they are not) while separateness still holds (it does). Tag the two privileges apart from the first day and you will never be trapped by this.

A cleaner mental model — the three questions every rule answers. If the whole chapter is a bargain, then every rule is one of only three moves in that bargain. Tag each rule you learn with one tag:

The question	Whose protection	The rules that answer it
Is this entity real and identifiable?	Outsiders	Registration (Sec 7), certificate (Sec 9), promoter identity (2(69)), registered office (Sec 12), Sec 10A capital reality
What is it allowed to do, and can I trust the change?	Insiders / investors	Objects clause, ultra vires, hard MOA alteration (Sec 13), entrenchment (Sec 5)
Can I trust the person in front of me who claims to bind it?	Outsiders	Constructive notice, indoor management (Turquand), veil-lifting, statutory contract (Sec 10)

If you can drop any rule from this chapter into one of these three rows, you already understand it. The section number is just an address.

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3. Why it's built this way — the logic behind each safeguard

Before the section numbers, let us reason out *why each protective device exists*, so the numbers stick.

The deepest why of all — why does society grant artificial personhood at all? Not out of generosity, but because it *unlocks capital*. Three problems make large enterprise impossible without it: (i) **risk** — no rational person stakes their entire personal fortune on a venture that could fail, so *limited liability* caps the downside and coaxes ordinary savings into industry; (ii) **continuity** — projects outlast individuals, so *perpetual succession* lets an enterprise survive the death or exit of any founder; (iii) **liquidity** — investors want to exit without dismantling the business, so *transferable shares* let ownership change hands while the enterprise runs on. Separate personality is the legal container that makes all three possible at once. Every safeguard in this chapter is the *price* charged for that container — the State hands over the capital-raising machine, but bolts on registration, a constitution, and the trust-doctrines so the machine cannot be turned into a fraud engine. Read this way, the chapter is not "a list of company-law rules"; it is *the terms of a licence to raise money from strangers.*

Why require promoters to be named and accountable? Someone conceives the company, arranges its formation, and often profits from selling assets to it. If that person could hide, they could rig the founding deal — e.g., buy land for ₹10 lakh and secretly resell it to the new company for ₹50 lakh. So the law defines the **promoter** and imposes a **fiduciary duty**: full disclosure of any profit, no secret gains. Accountability begins before the company even breathes.

Why a Memorandum with an objects clause? An investor hands money to a company on the faith that it will be used for a *stated purpose*. If managers could spend it on anything, the investor's bet is meaningless. The **objects clause** freezes the purpose in a public document. The doctrine of **ultra vires** then makes any act *beyond* those objects void — not merely voidable — precisely because we want investors to be able to rely on the limit absolutely.

Why Articles at all, and why can outsiders be bound by them? Internal governance rules (who signs, quorum, borrowing limits) must be knowable. Making the AOA public lets counterparties check authority. The flip side — **constructive notice** — deems everyone to have read them, otherwise the public-document system is pointless.

Why then soften constructive notice with the indoor management rule? Because pure constructive notice would be *cruel and impractical*. The public documents show that "the board may authorise a loan," but an outsider can never see whether the board *actually met and voted*. Making outsiders verify internal compliance would freeze commerce. So **Turquand's rule** says: outsiders may assume internal procedures were duly followed. Insider irregularities are the company's problem, not the counterparty's — unless the outsider knew, or the situation was suspicious (forgery, etc.). This is the law balancing the one-way mirror fairly.

Why a formal registration certificate that is "conclusive"? If the validity of a company's birth could be reopened years later ("actually the paperwork was defective"), every contract it ever signed would be under a cloud. So once the Registrar issues the certificate, it is **conclusive evidence** of due incorporation. Certainty for the whole marketplace beats perfect purity of paperwork.

Why distinguish a *public* company from a *private* company at all? The deepest divide in the Act is between companies that may tap the *general public* for money and those that stay close-held. Everything harsher — more members to form (7 vs 2), stricter disclosure, no right to restrict share transfer — attaches to the public company *because it puts the savings of strangers at risk*. The private company [Sec 2(68)] earns lighter treatment by *promising restraint*: it restricts the right to transfer shares, caps members at 200, and prohibits any invitation to the public to subscribe. The moment a company breaks those promises, it forfeits the concessions. So the public/private line is not a formality — it is the law calibrating protection to the width of the public's exposure. *This is why nearly every rule in the chapter has a "public vs private" fork; the examiner tests whether you know which side you are on.*

Why let founders "entrench" some articles beyond a special resolution? Ordinarily majority rules. But a pure majority-rule constitution lets a 51% bloc strip a vulnerable minority (say, an investor who negotiated a veto) the day after signing. Entrenchment lets the constitution bind even the future majority, so bargained-for rights survive. The law tolerates this dilution of majority rule *because the alternative — no enforceable minority protection — would deter the very investment incorporation is meant to attract.*

Why cap the size of an *unregistered* profit-association? If a large group could carry on business for gain *without* incorporating, it would enjoy the scale of a company while dodging the public register, the constitution and the disclosure that protect everyone dealing with it — exactly the abuses of Section 1, re-entering by the back door. So the law says: below a threshold, trade informally as a partnership; *above* it, you have grown large enough that society insists on the full incorporation bargain. That threshold is the illegal-association rule (Sec 464) — the *entry* counterpart to the minimum-members rule.

Why do a company's *past debts survive* every conversion and re-registration? Because a creditor extended credit to a *particular* legal person on the strength of its then-liabilities and structure. If merely changing the corporate clothing (private↔public, guarantee↔shares, unlimited↔limited) could erase those debts, incorporation would become a laundering machine for obligations — the very fraud limited liability is policed against. Hence the golden thread (Sec 18(3)): the entity may re-dress, but it carries its history with it. Certainty for creditors again beats convenience for the company.

Why insist on a registered office within a fixed number of days? An artificial person with no address is unreachable — a summons cannot be served, an inspector cannot visit, a creditor cannot find it. The registered office is the company's *legal home*: the single place where communications are validly served and the statutory registers are kept. That is why Sec 12 demands verification of a real office within 30 days. An entity you cannot find is an entity you cannot hold accountable, so the address is not a formality — it is the physical anchor of the whole accountability trail.

Why put both a professional's and a founder's signature on the birth file? The Registrar cannot personally investigate every applicant. So the Act deputises two independent gatekeepers: a *professional* (CA/CS/CWA/advocate) certifies that the Act's requirements are met, and each *subscriber/first director* personally declares that they carry no disqualifying conviction or fraud. A false birth then needs at least two liars — one expert and one founder — each staking their own liability. Fraud is deterred by *multiplying* the number of people who must lie to achieve it.

Why give every director a DIN and every filing a digital signature? Because the accountability trail is worthless if the humans behind the company cannot be uniquely pinned down. A Director Identification Number is a permanent, unique tag that follows a person across every company he ever touches, so a disqualified or serial-fraud director cannot quietly reappear under a slightly different spelling of his name. The digital signature binds *that specific person* to *that specific filing*.

Now, with the *why* in hand, the sections become obvious rather than arbitrary.

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4. Full Technical Content — section by section, each with its reason

> Statute base: **Companies Act 2013** and the **Companies (Incorporation) Rules, 2014**. Where a precise number or limit is one commonly mis-stated, I flag "*confirm in ICAI material / bare Act.*"

4.1 Promoters — Section 2(69)

Definition [Sec 2(69)]. A *promoter* is a person: (a) **named as such** in the prospectus or in the annual return (Sec 92); **or** (b) who has **control over the affairs** of the company, directly or indirectly, as shareholder, director or otherwise; **or** (c) in accordance with whose **advice, directions or instructions** the Board is accustomed to act.

Why three limbs? Limb (a) catches the openly named promoter; limb (b) catches the person controlling from the shadows; limb (c) catches the puppet-master behind nominee directors. The definition is drawn wide precisely so a real controller cannot escape duty by staying unnamed. *Carve-out:* a person acting **merely in a professional capacity** (lawyer, CA, banker advising on formation) is **not** a promoter — otherwise no professional would help form a company.

Finer distinction the exam tests — *who is NOT* a promoter. The professional carve-out is narrow: it protects the professional *only while acting in that professional character*. The moment the CA/advocate takes shares to control the venture, or negotiates the founding purchase for a slice of the profit, he crosses into limb (b) and becomes a promoter with full fiduciary duty. *Trap:* the label ("I was only the auditor") does not save you; the **substance of the role** decides. Equally, a person who merely lends money for formation, or a director appointed *after* incorporation who took no part in floating the company, is **not** a promoter — promotion is a pre-birth activity.

When does promotion begin and end? It **begins** the moment a person conceives the idea and starts the steps to give the company reality (finding subscribers, negotiating the founding contracts, drafting the

MOA). It **ends** when the Board takes over management of the newly-born company — typically once directors are in place and running affairs. This matters because a promoter's fiduciary duty and secret-profit liability attach only to the *promotion period*; a later ordinary transaction is judged by ordinary rules.

Legal position & duties. A promoter is **neither an agent nor a trustee** of the company (the company doesn't exist yet), but stands in a **fiduciary relationship** to it. Consequences: - Must **not make secret profit**; any profit must be **disclosed** to an independent Board or the members and, if undisclosed, is **recoverable** and the contract may be rescinded. - Must make **full disclosure** of interest in transactions with the company. - Liable for **misstatements in the prospectus** (Sec 34/35) and may be liable in criminal fraud (Sec 447) for founding frauds.

The two classic secret-profit patterns (examiner favourite). 1. **Promoter sells his OWN asset to the company without disclosure.** He bought land for ₹10 lakh before promotion, then sells it to the company for ₹50 lakh. The ₹40 lakh is a **secret profit** *if not disclosed* — the company can either **rescind** the sale and take its money back, or (if it prefers to keep the land) **recover the undisclosed profit**. It cannot generally do both. 2. **Promoter, while already a promoter, buys an asset and flips it to the company.** Here he holds a fiduciary position *at the time of purchase*, so the profit belongs to the company outright — even full disclosure does not let him keep a profit made *out of* the fiduciary relationship without genuine, informed consent. *The saving grace for the promoter:* disclosure to an **independent Board** or to the **whole body of members/shareholders** legitimises the profit. A disclosure to a Board he himself controls is **no disclosure at all** (the classic *Erlanger v New Sombrero Phosphate* point — disclosure must be to an independent organ).

The company's remedies against a defaulting promoter — the toolkit (and its limits). When a promoter breaches his fiduciary duty (secret profit, non-disclosure, misrepresentation), the company may choose among: 1. **Rescission of the contract** — undo the transaction and restore both sides to their original positions. *But rescission is barred* if: (a) the company, with full knowledge, **affirmed** the contract; (b) **restitution is impossible** (the asset has been consumed, resold, or altered so the parties cannot be restored); (c) an **innocent third party** has acquired rights for value; or (d) there has been undue **lapse of time / laches**. Miss these bars and a "rescission" answer is wrong. 2. **Recovery of the secret profit** (account of profits) — keep the contract but make the promoter **disgorge** the undisclosed gain. Used where rescission is barred or the company prefers to retain the asset. 3. **Damages for breach of fiduciary duty / misrepresentation** — where the company suffered loss beyond the mere profit (e.g., it overpaid and the asset is worth less than paid). *Note:* the company generally cannot both rescind *and* recover the profit *and* claim damages — it elects the remedy that makes it whole without double recovery.

First-principles why: the remedies mirror the wrong. A *secret gain* is met by *disgorgement*; a *tainted bargain* is met by *rescission*; a *loss* is met by *damages*. The bars on rescission exist because equity will not unwind a deal it cannot cleanly reverse or that would injure an innocent third party — the promoter's misconduct does not entitle the company to harm outsiders.

Remuneration of promoters. A promoter has **no automatic right** to recover promotion expenses or claim payment from the company — the company was not a party to any agreement before it existed. In practice he is paid by (a) a lump sum or commission provided for in the articles, (b) sale of his property to the company at a *disclosed* profit, or (c) an option/allotment of shares. *Trap:* a bare clause in the articles is **not a contract** the promoter can sue on (Sec 10 binds members *inter se*, not outsiders — see 4.3); he depends on the company actually honouring it.

Pre-incorporation (preliminary) contracts. A company cannot be bound by contracts made *before* it existed — it had no legal capacity to authorise them. So: - The company is **not bound**, and **cannot sue or**

be sued on such a contract, and **cannot ratify** it (there was no principal at the time). *Memory hook: you cannot ratify on behalf of a person who was not yet born.* - The **promoter is personally liable** on the contract (*Kelner v Baxter* — agents for a non-existent principal are personally bound). - **Rescue route:** under the **Specific Relief Act 1963 (Secs 15(h) and 19(e))**, if the contract was for the *purposes of the company* and the company *adopts/warrants* it after incorporation, the other party can enforce it against the company. So the modern practical answer is: the company can take the benefit by adoption, but it is not automatic ratification.

Two conditions the Specific Relief rescue quietly requires (fine distinction): for the counterparty to enforce against the company, (i) the contract must have been entered into by the promoter **for the purposes of the company**, and (ii) the company must **accept/warrant/adopt** it after incorporation. Miss either and the promoter alone remains liable. *Also note the asymmetry:* Sec 15(h) lets the **other party** enforce against the company, and Sec 19(e) lets the **company** enforce against the other party — but *only if it has adopted the contract and communicated that acceptance*. The company cannot cherry-pick the benefit while denying the burden.

A razor-fine distinction the examiner loves — *how the promoter signed [Kelner v Baxter vs Newborne v Sensolid]. Personal liability of the promoter is not automatic; it turns on the capacity in which he signed: - In** Kelner v Baxter***, the promoter signed* as agent*, "on behalf of" the unborn company. Since the named principal did not exist, the agent was held** personally liable **— an agent for a non-existent principal steps into the contract himself. - In** *Newborne v Sensolid***, the document was signed in the *company's own name* (the promoter merely authenticating it), purporting that *the company itself* contracted. Because the company did not exist, there was** no contract at all **— and the promoter, who had not contracted in his own name, was** not *personally liable either, so neither* party could enforce.

The lesson: signing "for and on behalf of X Ltd" (agent form) tends to bind the promoter personally; signing as though "X Ltd" itself is the contracting party (company form) may leave a void with *no one* bound. These are English common-law positions; in India the Specific Relief adoption route can override the harsher outcome once a company is later formed and adopts the deal — *so state both the common-law position and the Specific Relief overlay.*

Promoter remuneration — the edge cases. Because the company cannot contract before birth, a promoter's reward is always precarious. Watch three traps: (i) a promise of remuneration in a *pre-incorporation* agreement cannot be enforced against the company — it was not a party; (ii) a bare *article* fixing his fee is **not** an enforceable contract (Sec 10 binds members inter se, not a member acting in an outsider capacity — *Eley*); (iii) if the company *does* pay, the payment and any profit must still satisfy the *disclosure* rule, or it becomes a recoverable secret profit. A prudent promoter therefore secures a **fresh, post-incorporation contract** expressly ratifying his reward.

4.2 The Memorandum of Association (MOA) — Sections 2(56), 4, 13

What it is. The MOA is the company's **charter** — its supreme, outward-facing document defining its relationship with the outside world. *Why supreme?* Because it declares the very identity and boundaries of the artificial person; nothing the company does inside can exceed it.

Clauses of the MOA [Sec 4] — the mnemonic "N-S-O-L-C-S" (Name, Situation, Object, Liability, Capital, Subscription):

#	Clause	What it fixes	Why it exists
1	**Name** clause	The company's name, ending "Limited" / "Private Limited" (or licensed exception)	Public identity; the suffix warns the world that liability is limited
2	**Situation / Registered office** clause	The **State** in which the registered office is situated	Fixes jurisdiction — which High Court, which RoC — and a place to serve legal notice
3	**Object** clause	What the company may do	The heart of *ultra vires*; lets investors know the purpose of their money
4	**Liability** clause	Whether members' liability is limited by shares, by guarantee, or unlimited	Warns creditors how far members' pockets go
5	**Capital** clause	Authorised (nominal) share capital and its division	Caps how many shares can be issued; basis for stamp/fee
6	**Subscription (Association)** clause	Subscribers agree to take at least one share and form the company	The founding act — proof real people chose to associate

Finer point on the Situation clause: the MOA fixes only the **State**, not the exact address. The precise address of the registered office is a **Sec 12** matter, notified in **INC-22**. *Why the split?* Moving office *within* a State does not disturb jurisdiction and should be easy; moving to *another* State changes the High Court and RoC and therefore needs the heavy Sec 13 procedure. Keep "State = MOA/Sec 13" and "address = Sec 12/INC-22" separate — the examiner mixes them.

Finer point on the Subscription clause: each subscriber must sign and **take at least one share** and write the number of shares taken against his name. For a company **limited by guarantee**, the equivalent is the guarantee clause, where each member undertakes to contribute a fixed sum to the assets *on winding up* — not now. That guarantee sum, not share capital, is the ceiling of his liability.

Name-clause safeguards [Sec 4(2)–(4)]: a name must **not be identical or too nearly resemble** an existing company/trademark, must **not be undesirable** in the Central Government's opinion, and must **not use restricted words** (e.g., "National", "Bank", "Stock Exchange", "Insurance", "Small Company") without approval — *why?* to prevent passing-off and public deception. A proposed name can be **reserved** via **RUN / SPICe+** and is valid for **20 days** (for a new company) from the date of approval — *confirm current limit in ICAI material.* For an **existing company** changing its name, a reserved name is valid **60 days** — *confirm current figure.*

What if the RoC registers a name that later turns out to be too similar to an existing one? Sec 16 gives a **rectification of name** remedy: the Central Government may direct a change (the company must comply within a set period), and a proprietor of a registered trademark may apply within a limited window (historically 3 years — *confirm current period*). So a wrong name is not fatal to incorporation; it is *curable* by direction. This dovetails with certificate-conclusiveness: the birth stands, only the label is corrected.

When a reserved name is obtained by false information [Sec 4(5)(ii)]. If a name reservation was secured by *wrong or false information*: (i) *before incorporation* — the reservation is **cancelled** and the applicant faces a penalty; (ii) *after incorporation* — the Central Government may, after hearing the company, direct it to change its name within a set period, strike it off, or take other action. *Why the graduated remedy?* A name is a public identity; a lie to obtain it poisons the identity itself, so the response scales with how far the company has already relied on the tainted name.

What counts as "identical or too nearly resembling" — the availability test. In deciding whether a proposed name clashes with an existing one, differences usually **ignored** include: change of tense/number/case, addition or removal of merely descriptive words (e.g., "Products", "Industries", "Enterprises"), punctuation, spacing, the words "the" and "and", and phonetically identical spellings. So "Sunrise Foods Limited" and "Sun-Rise Food Private Limited" are treated as the *same* name. *Why so strict?* Because the whole point of the name clause is to stop *confusion* in the market, and near-identity confuses just as effectively as exact identity. *Confirm the current list of ignored differences in the Companies (Incorporation) Rules.*

Object clause under the 2013 Act. The old split into "main / ancillary / other objects" is gone. Now the MOA states **the objects for which the company is proposed to be incorporated and matters considered necessary in furtherance thereof.** *Why simplified?* Because the old "other objects" list was abused to smuggle in unrelated businesses. *Fine distinction:* powers *reasonably incidental or ancillary* to the stated objects are **implied** even if not written — a manufacturing company may borrow, hire staff, and buy raw material without a separate clause, because those are the necessary means to the stated end. What is *not* implied is a *new line of business*.

Doctrine of Ultra Vires — the reason the object clause has teeth. "*Ultra*" = beyond; "*vires*" = powers. An act **outside the objects clause** is **ultra vires the company** and **void** — it cannot be ratified even by *unanimous* shareholders, because ratification cannot cure something the company never had capacity to do. Leading case: ***Ashbury Railway Carriage & Iron Co. v Riche (1875)*** — a contract to finance railway construction was outside the objects (making railway carriages) and was held void even though every shareholder approved. Consequences of ultra vires: - The act/contract is **void ab initio**; neither side can enforce it. - **Injunction:** any member can restrain the company from an ultra vires act (*Attorney-General v Great Eastern Railway* recognised the doctrine but confined it to genuine excess). - **Directors personally liable** to restore company funds spent ultra vires (breach of duty). - **Property acquired** ultra vires is still the company's property; and money/property traceable can be recovered.

Why an ultra vires act simply *cannot* be cured — the deepest point. An ultra vires act is void because the company **never had the capacity** to do it, and you cannot ratify, affirm, or estop your way into a capacity you were never given. Hence: - **Unanimous shareholder ratification fails** — even 100% of members cannot vote the company a power its own charter withheld. - **Estoppel fails** — the company cannot be "estopped" by its own conduct into being bound by a void act; nor can an outsider claim the company held out the transaction as valid, because *no one* had power to make it valid. - **Lapse of time / performance fails** — part-performance, delay, or the other side having acted on it do **not** breathe life into a void act; contrast this with a *voidable* act, which affirmation or delay can validate.

Contrast that with the merely-irregular act: an act *within* the company's powers but done in breach of an internal procedure is only **voidable/ratifiable** — there ratification, estoppel and Turquand all operate. The whole trap is that "ultra vires" sounds like one idea but hides this fault-line between *no capacity* (incurable) and *defective exercise of an existing capacity* (curable).

Breach of warranty of authority — the outsider's fallback. If a director/agent purports to bind the company to something the company *cannot* do (ultra vires) or that he had *no authority* to do, and the innocent outsider suffers loss, the outsider may sue **that agent personally** for **breach of warranty of authority** — the agent impliedly *warranted* he had the authority he claimed. *Why?* The loss should fall on the person who misrepresented his authority, not on the innocent counterparty — a neat allocation of risk consistent with the whole chapter's logic.

Ultra vires borrowing — a sharper sub-rule. If a company *borrows* money for an ultra vires purpose, the loan is void and the lender cannot sue *on the loan as a debt*. But equity does not leave the lender wholly stranded: (a) **tracing** — if the borrowed money is still identifiable or was used to buy identifiable assets, the lender can trace and recover it; (b) **subrogation** — if the borrowed money was used to pay off the company's *lawful* (intra vires) debts, the lender steps into the shoes of the paid-off creditor to that extent. *Why?* The company should not be *enriched* by keeping money it had no capacity to borrow. This is a favourite twist: the loan is "void" yet the lender recovers — because recovery rests on tracing/subrogation, not on the void contract.

The reasonably-incidental line — where implied powers stop. A company has, by implication, every power *reasonably incidental* to its stated objects, but nothing more. Two recurring examples decide most problems: - **Borrowing, hiring staff, buying raw material** — implied for any trading/manufacturing company as the necessary *means* to the stated end. *Not* ultra vires even if unwritten. - **Gifts, gratuities, political or charitable donations, pensions to ex-employees** — valid *only if* they can fairly be said to advance the company's business (e.g., staff goodwill that improves the business), and ultra vires if purely gratuitous with no business nexus. The judicial test: *is the payment reasonably incidental to carrying on the company's business, and made bona fide for its benefit?* A donation with a genuine business rationale (retaining goodwill, complying with a statute) survives; a naked gift of the company's money does not.

Charitable-donation trap: students often write "a company can never donate — ultra vires." Wrong. A donation *connected to the business* — or now expressly mandated CSR spending under **Sec 135** for qualifying companies — is intra vires. The doctrine strikes only *purposeless* or *unconnected* expenditure. *Confirm the CSR linkage and thresholds in ICAI material.*

The three-layer ultra vires test — visualised.

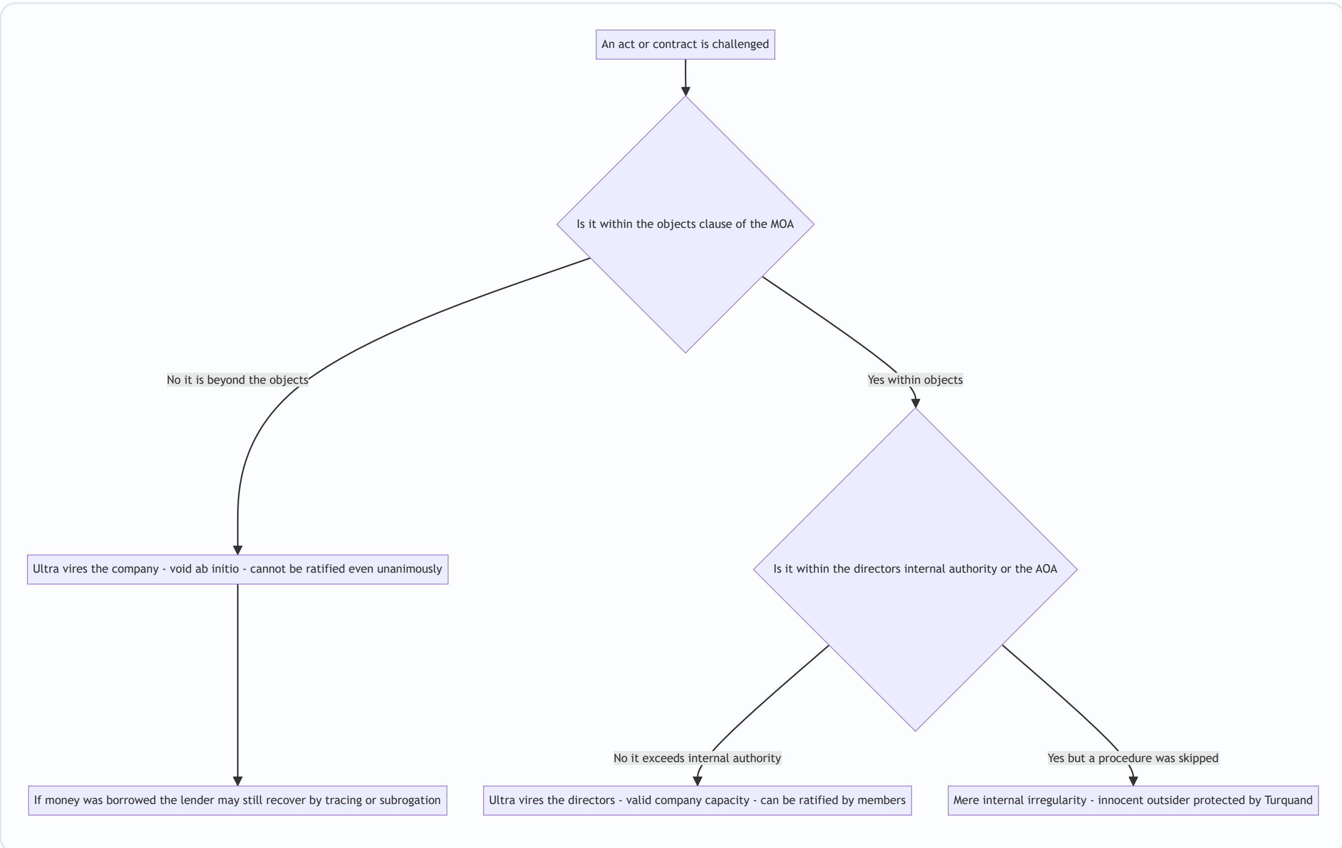

Figure 5: The three-layer test — beyond the company is fatal, beyond the directors is ratifiable, a mere procedural slip is curable by Turquand.

Distinguish two "ultra vires" traps (examiner favourite): an act may be ultra vires **the company** (beyond MOA — void, unrescuable) or merely ultra vires **the directors/Articles** (beyond internal authority but within the company's powers — this **can be ratified** by members). Only the first is fatal. A third, subtler layer: an act *within* the company's objects but done in *breach of a procedural condition* (no resolution passed) is neither — it is an **indoor-management** problem, curable by Turquand for an innocent outsider (see 4.5).

Alteration of the MOA [Sec 13] — deliberately made hard. *Why hard?* Because the MOA is the promise on which outsiders relied; changing it lightly would betray that reliance. General rule: **special resolution (SR)** plus, for sensitive clauses, **extra approval.**

Clause changed	What is required	Why the extra guard
Name	SR **+ Central Government (RoC) approval**	Protects other businesses from confusing name changes
Registered office **from one State to another**	SR **+ Central Government (Regional Director) confirmation** [Sec 13(4)]	Shifts jurisdiction; creditors/employees of the old State must be heard
Registered office within same State but **different RoC jurisdiction**	SR **+ Regional Director confirmation**	Same protection at RoC level
Object clause	**SR** (and if the company raised money from public via prospectus and has unutilised amount, extra disclosure/exit) [Sec 13(8)]	Investors gave money for the old objects; they must be protected
Capital clause	SR (with Sec 61/64 procedure)	Alters shareholders' rights
Liability clause	Generally not increasable without member consent	You cannot enlarge a member's risk without agreement

Every alteration must be **filed with the RoC** and takes effect on **registration** of the change. *Fine points:* (i) the **name change** takes effect only when the RoC issues a **fresh certificate of incorporation** reflecting the new name — until then the old name stands; (ii) the special resolution for a name/object change is filed in **MGT-14 within 30 days**; (iii) a registered-office shift *from one State to another* requires an application to the **Regional Director**, advertisement, and an opportunity for creditors and the affected RoC/State to object — because it can prejudice people who trusted the old jurisdiction.

Object-clause change when the company raised money from the public [Sec 13(8)] — the dissenter's exit. A special resolution alone suffices to change the objects, *but* if the company has **raised money from the public through a prospectus** and still holds an **unutilised amount**, it may change the objects only if: (i) a special resolution is passed; (ii) details are **published** (newspaper advertisement and on the website) and given to the shareholders; and (iii) **dissenting shareholders are given an exit offer** by the promoters/controlling shareholders in accordance with SEBI regulations. *Why this extra machinery?* Because the public subscribed on the faith of the *old* objects; if the company now wants to redeploy their still-unspent money on *new* objects, an investor who disagrees must be allowed to **cash out** rather than have his money silently repurposed. It is the objects-clause promise (Section 3, "what may it do?") being honoured even at the point of change. *Trap:* assuming a bare SR always suffices to change objects — it does *not* where public money is involved and unutilised.

What the examiner tweaks: "Can a company shift its registered office from Mumbai (Maharashtra) to Pune (Maharashtra)?" — same State, so no RD confirmation needed *unless* it crosses RoC jurisdiction; ordinary board/SR + INC-22 (and Sec 12 process) suffices. "From Mumbai to Bengaluru?" — different State → **Sec 13(4) + Regional Director confirmation**. Read the geography carefully.

Capital-clause alterations [Sec 61] — the five moves a limited company may make (by ordinary resolution if the articles authorise). Sharply distinguish *alteration* of capital (Sec 61 — a change in the *structure/number* of shares) from *reduction* of capital (Sec 66 — an actual return or cancellation of issued capital, needing **Tribunal** confirmation because it touches the creditors' buffer): 1. **Increase** the authorised (nominal) capital. 2. **Consolidate** and divide shares into larger denominations (consolidation that changes members' voting % now needs Tribunal approval). 3. **Sub-divide** shares into smaller denominations. 4. **Convert** fully paid shares into stock and reconvert stock into shares. 5. **Cancel** unissued shares ("diminution" — *not* a reduction of capital, because nothing issued is being cancelled).

Why does Sec 61 need only an ordinary resolution and no Tribunal, while Sec 66 needs the Tribunal? Sec 61 merely re-arranges the *authorised* structure and hands no money back to members, so the creditors' security is untouched; Sec 66 actually *shrinks the fund* creditors rely on, so a court must confirm no one is prejudiced. *Trap:* labelling a Sec 61 sub-division or consolidation as needing Tribunal confirmation, or mis-calling the cancellation of *unissued* shares a "reduction of capital."

4.3 The Articles of Association (AOA) — Sections 2(5), 5, 14

What it is. The AOA is the **internal rulebook** — the bye-laws for running the company: share issue and transfer, calls, board and general meetings, voting, directors' powers, dividends, borrowing, winding-up. *Why separate from the MOA?* Because the outside world cares about *what* the company is and may do (MOA), while members care about *how* it is governed (AOA). Two audiences, two documents. **The AOA is subordinate to the MOA** — where they conflict, the MOA prevails; and neither may violate the Act.

The hierarchy of authority — read every conflict top-down.

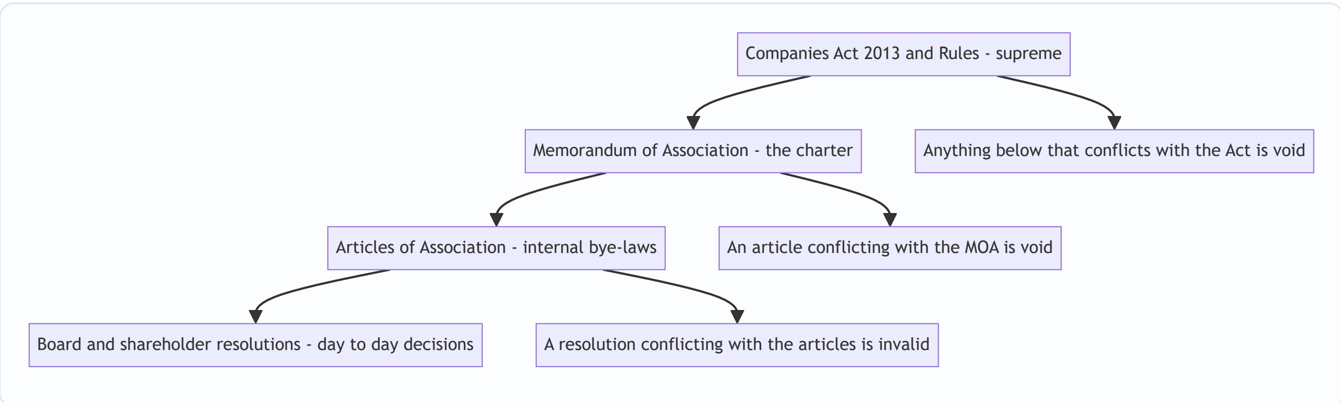

Figure 6: When two documents clash, the higher one always wins — Act over MOA over AOA over resolutions. Locate the conflict on this ladder and the answer is automatic.

MOA vs AOA — the comparison the exam wants in a table:

Feature	Memorandum (MOA)	Articles (AOA)
Nature	Charter; defines the company to the outside world	Bye-laws; regulate internal management
Relationship	Supreme; subordinate only to the Act	Subordinate to **both** the Act and the MOA
Scope	Powers and objects (what the company *may* do)	The manner of exercising those powers (*how*)
Alteration	Hard — SR + often CG/RD approval (Sec 13)	Easier — SR + filing (Sec 14)
Effect of an act beyond it	Ultra vires the company → **void**, un-ratifiable	Merely irregular → **ratifiable**; outsiders may invoke Turquand
Compulsory?	Every company must have one	A company limited by shares may adopt Table F instead of registering its own

Model articles — Tables F, G, H, I, J [Sec 5, Schedule I]. The Act supplies ready-made articles by company type; a company may adopt them wholly, partly, or write its own. *Why offered?* To make formation cheap and to supply sensible defaults. *Default rule:* if a company limited by shares registers **no** articles, **Table F applies automatically**; if it registers articles that are silent on a point, Table F fills the gap unless expressly excluded.

Table	For which company
F	Company limited by **shares**
G	Company limited by **guarantee having share capital**
H	Company limited by **guarantee without share capital**
I	**Unlimited** company having share capital
J	**Unlimited** company without share capital

Entrenchment [Sec 5(3)–(4)] — a lock inside the rulebook. The articles may contain **entrenchment provisions** — clauses that can be altered only by conditions *more restrictive* than a special resolution (e.g., unanimous consent). *Why allow this?* To let founders/investors protect vital rights (e.g., a minority's veto) from being stripped by a bare majority. **How entrenchment is created matters:** on **formation** it may be included by the subscribers agreeing; **after** formation it can be added only by **all members** of a company (unanimous agreement) — because entrenchment binds everyone's future power, so everyone must consent. Entrenchment must be **noted to the RoC** (in the incorporation forms, or in the amendment filing) so the public knows the extra lock exists. *Fine limit:* entrenchment can make alteration *harder* than an SR, never *easier* — you cannot entrench a clause down to a mere ordinary resolution.

Alteration of Articles [Sec 14] — easier than MOA, but bounded. Alterable by **special resolution**, filed with RoC. *Why easier than MOA?* Because articles are the members' own internal arrangement; they should be free to re-govern themselves. **Limits (the guardrails):** - Cannot conflict with the **MOA** or the **Act**. - Cannot **increase a member's liability** to contribute more, without written consent (Sec 38 legacy principle carried into Sec 14/Sec 6 supremacy). - Must be **bona fide for the benefit of the company as a whole**, not to oppress a minority. - Cannot do anything **illegal or against public policy**, and cannot **override a**

court/Tribunal order. - Converting **private → public** or **public → private** via article change needs the added approvals below (Sec 14 proviso — private conversion needs Central Government/RD approval). - Cannot be a **breach of contract with an outsider** disguised as a valid alteration — the *power* to alter always exists (a company cannot contract out of its statutory right to alter its articles), but if the alteration breaks a contract, the company must pay **damages** even though the alteration itself is valid (*Southern Foundries v Shirlaw*).

Deeper why on "cannot contract away the power to alter": the right to alter articles by SR is a **statutory** right. A company cannot sign away a statutory right by private agreement, because that would let founders freeze governance forever and defeat the Act. So the alteration is *always effective*; the only question is whether it triggers a damages claim for breaking a separate promise. This is a classic two-part answer: **(1) alteration valid; (2) damages payable if it breaches a contract.**

The AOA + MOA as a contract [Sec 10]. Once registered, the MOA and AOA **bind the company and its members** as if signed by each, creating a **statutory contract**: member-to-company and member-to-member. *Note the classic limit — outsiders get no rights:* in ***Eley v Positive Life Assurance*** a solicitor whose appointment was written into the articles could not enforce it, because the articles are a contract among members *qua members*, not with outsiders. *The subtle corollary:* the contract binds a member only in his **capacity as a member**; a right conferred on a member in some *other* capacity (e.g., as the company's solicitor) is unenforceable through Sec 10, even though he is a member. *And member-to-member:* in some cases a member can enforce the articles *directly against another member* without joining the company (*Rayfield v Hands* — articles requiring directors who are members to buy a retiring member's shares were enforced member-to-member).

Can an alteration of articles operate retrospectively? Yes — a validly passed alteration may be given *retrospective* effect, provided it is bona fide for the benefit of the company as a whole and does not offend the limits above (no increased liability without consent, no fraud on the minority, no override of a court order). The examiner tests this by giving a *past-dated* grievance and asking whether the fresh article can reach back; the answer is *yes, within the bona fide limits.*

A member's dual capacity — the trap inside Sec 10. The statutory contract binds a person *only in the capacity of member*. The same human may wear two hats: as *member* he can enforce the articles; as *outsider* (solicitor, director, promoter) he cannot use Sec 10 to enforce a right the articles happen to mention (*Eley*). So the first question in any Sec 10 problem is: *in which capacity is he suing?* Membership capacity → enforceable; outsider capacity → not enforceable through Sec 10, even though he is also a member.

The four relationships under Sec 10 — memorise the grid.

Relationship	Binding?	Authority
Company → members	**Yes** — the company can enforce the articles against a member	Sec 10 statutory contract
Members → company	**Yes** — a member can enforce the articles against the company (as a member)	Sec 10; but not for outsider-capacity rights (*Eley*)
Member → member	**Yes** (in appropriate cases, sometimes directly)	*Rayfield v Hands*
Company/member → outsider	**No** — an outsider gets no rights from the articles	*Eley v Positive Life*

The one-line summary: the constitution is a contract **inside** the membership, in every direction *except* out to strangers. Draw this grid on the margin of any Sec 10 problem and the answer usually falls out of which cell the parties occupy.

4.4 Doctrine of Constructive Notice — the price of public documents

Because the MOA and AOA are **registered and open to public inspection**, every person dealing with the company is **deemed to have read them and understood their contents** — whether or not they actually did. This is **constructive notice**. *Why?* Otherwise the whole point of publishing the constitution (letting outsiders check limits) would collapse; people would deal blindly and then claim ignorance. So the doctrine **protects the company**: if you contract with it in a way the public documents forbid, you cannot plead "I didn't know."

How far does constructive notice reach? It covers the **contents** of the MOA and AOA (and other documents registered and open to public inspection — e.g., special resolutions filed with the RoC). It does **not** extend to documents that are *not* on the public file (e.g., internal board minutes, the company's private correspondence). This boundary is exactly what makes room for the indoor-management rule: you are deemed to know the *public* limits, but you are *not* deemed to know whether the *private* internal steps were taken.

A candid caveat the exam sometimes rewards. Constructive notice is often called a doctrine of *diminishing practical force* — Indian courts have not applied it as harshly as the old English cases, and the indoor-management rule has eaten deeply into it. State it as the *company's* shield, but know that it is the weaker of the pair in practice, because it protects the party (the company) that is better placed to police its own affairs.

A precise boundary — constructive notice is notice of *contents*, not of *compliance*. You are deemed to know that the articles *require* a board resolution to borrow; you are **not** deemed to know *whether that resolution was actually passed*. The first is a *content* of the public document (notice applies); the second is an *internal fact* invisible to the public (notice does not apply — and Turquand steps in). Keep this razor sharp: constructive notice fixes you with the *rules on the file*, never with the *facts inside the boardroom*. Almost every problem that pits the two doctrines against each other is really testing this single line.

4.5 Doctrine of Indoor Management (Turquand's Rule) — the humane exception

Constructive notice, left alone, would be brutal: the documents may say "the board *may* borrow if authorised by resolution," but an outsider cannot witness whether the resolution was actually passed. So the courts created the **indoor management rule** (***Royal British Bank v Turquand, 1856***):

> An outsider dealing in good faith is entitled to **assume that all internal/procedural requirements have been duly complied with** ("the indoor management"). They need only ensure the transaction is *permitted* by the public documents; they need not verify that internal formalities *actually happened*.

Why? It fairly allocates the one-way-mirror risk. Outsiders can read public documents (so constructive notice binds them there); they *cannot* see inside the boardroom (so indoor irregularities are the company's risk).

Exceptions — when an outsider CANNOT rely on Turquand's rule: 1. **Knowledge of irregularity** — the outsider actually knew the internal procedure was not followed. 2. **Suspicion / negligence** — circumstances were suspicious and the outsider failed to inquire (put on inquiry) — *Anand Bihari Lal v Dinshaw*: a person dealing with an accountant who purported to transfer company property should have suspected the lack of authority. 3. **Forgery** — the rule never validates a **forged** document; a forgery is a nullity (***Ruben v Great Fingall Consolidated***). You cannot "assume" a forged signature is genuine. 4. **Acts outside apparent/ostensible authority** — the act was beyond even the *apparent* authority the office holder could have; no reasonable person would assume it (*Kreditbank Cassel v Schenkers* — a branch manager endorsing bills for his own debt). 5. **No knowledge of the articles at all** — a person who never read/relied on the articles cannot claim their benefit (*Rama Corporation v Proved Tin* — you cannot rely on a power you did not know existed).

Fine line between exceptions 1/2 and the rule: the outsider is protected only if acting in **good faith**. "Good faith" here means he did not know of the irregularity *and* nothing put a reasonable person on inquiry. A large, unusual transaction, or dealing with an officer for that officer's *personal* benefit, is a red flag that defeats good faith.

Contrast to nail it: **Constructive notice protects the company against outsiders** (you're deemed to know the public documents). **Indoor management protects outsiders against the company** (you may assume internal compliance). One shields the company; one shields the counterparty. Examiners love reversing these.

Ostensible (apparent) authority — the sibling of Turquand [Freeman & Lockyer v Buckhurst Park]. Turquand lets an outsider assume *internal procedure* was followed; **ostensible authority** lets him hold the company bound where an officer *appears* authorised even though he was never actually authorised, provided: (i) the company (through those with actual authority) **represented** that the officer had authority, (ii) the outsider **relied** on that representation, and (iii) the outsider had **no notice** that the officer in fact lacked authority. *Why a separate doctrine?* Turquand covers "the resolution was probably passed"; ostensible authority covers "this person was *held out* by the company as its agent." Together they protect the reasonable outsider from the company's own internal failures — but neither cures **forgery**, **actual knowledge**, or an act beyond what such an officer could *ever* do.

Fine line for the exam: a *single* director, or the company secretary, generally has **no** authority by virtue of office alone to bind the company to substantial contracts; the outsider must point to a holding-out or a Turquand-style regular appointment. Assuming a lone director can bind the company just because he holds the office of director is a classic overreach.

Two more illustrations that fix the boundary. *Where Turquand protected the outsider:* in ***Official Liquidator v Commissioner of Police*** / ***Dewan Singh Hira Singh v Minerva Mills*** lines of reasoning, an outsider dealing with an officer who *appeared* regularly appointed could hold the company bound despite an internal defect in the appointment — the outsider need not audit the boardroom. *Where it did not:* in ***Anand Bihari Lal v Dinshaw*** the transfer of company property by an accountant was set aside because the outsider *should have been suspicious* of an accountant's authority over immovable property — the "put on inquiry" exception. Hold the pair together: *regular-looking authority* = protected; *inherently suspicious authority* = not.

The doctrines as two gates the outsider must pass:

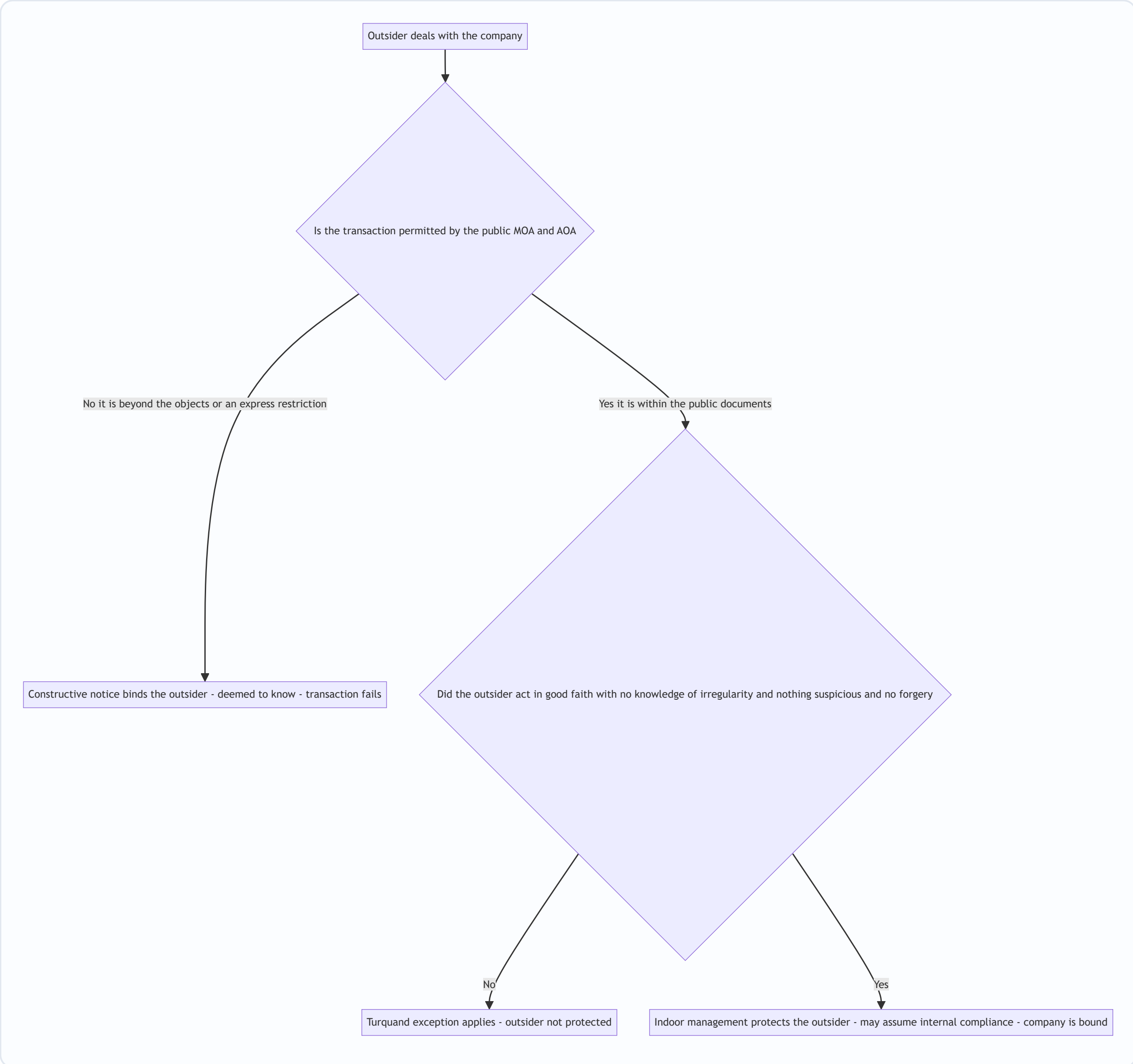

Figure 3: The two-gate test — first clear the public document limit (constructive notice), then claim the internal-compliance assumption (indoor management).

4.6 The Incorporation Procedure and Documents — Sections 3, 7

Minimum members to form [Sec 3].

Company type	Minimum members to subscribe
Public company	**7** or more
Private company	**2** or more
One Person Company (OPC)	**1**

Why 7 / 2 / 1? Public companies raise money from the wide public, so a broad founding base is expected; private companies are close-held; the OPC (a 2013 innovation) legitimises the solo entrepreneur who previously had to find a dummy second member.

Do not confuse three separate counts (a top exam trap):

Count	Public	Private	OPC
Minimum **members** to form	7	2	1
Maximum **members**	No limit	**200** (past+present employee-members excluded)	1 (+ 1 nominee)
Minimum **directors**	3	2	1
Maximum directors (Sec 149)	15 (more by SR)	15 (more by SR)	15

Why 200 max for a private company? Beyond 200 the company is effectively raising from a public-sized crowd; the cap forces genuinely wide ventures into the public regime with its stronger disclosure. *Fine point:* joint holders of a share count as **one** member, and employee-members (present or past who became members while employed) are excluded from the 200 count.

What happens if members fall *below* the minimum — Section 3A (the 2017 correction). The 1956 Act made members personally liable if the number fell below the statutory minimum; the 2013 Act at first omitted this, but the **2017 amendment inserted Sec 3A** to close the gap. The rule now is: *if the number of members falls below the minimum (7 for public, 2 for private) and the company carries on business for more than 6 months while so reduced, then every person who is a member during that time and is aware of the fact becomes severally liable for the debts of the company contracted after those 6 months, and may be sued for them.*

Read the three triggers precisely, because the examiner removes one: (i) membership actually below the minimum; (ii) business carried on **beyond 6 months** in that state — the first 6 months are a grace period; (iii) the member is **aware** of the reduction. Liability attaches **only to debts contracted after the 6-month grace period**, and **only to the aware members**. *This is a genuine statutory veil-lift* — the separateness the company normally enjoys is withdrawn as a penalty for running on an under-populated register. *(This supersedes the older "not carried forward" position noted under veil-lifting; treat Sec 3A as live law — confirm the exact wording in ICAI material.)*

OPC — the finer eligibility rules the exam probes. Only a **natural person who is an Indian citizen and resident in India** can form an OPC or be its nominee (*resident = stay in India of a specified number of days in the preceding financial year — verify current threshold, historically 182 then reduced to 120 days for the residency test*). A person can be a member of **only one OPC** and nominee of **only one OPC**. An OPC **cannot** carry out **Non-Banking Financial Investment** activities or be incorporated/converted into a **Sec 8 (charitable)** company. Every OPC must name a **nominee** (in INC-3) who steps in on the sole member's death or incapacity — because a one-person company must not die with its one person; perpetual succession still applies.

The OPC lifecycle — the mechanics the exam tests one mark at a time. - **Naming the nominee:** the nominee's *prior written consent* is obtained in **INC-3** and filed at incorporation; the nominee's name appears in the MOA. *Why compulsory?* Without a pre-named successor, the death of the sole member would freeze the company — the nominee is the built-in continuity plan. - **Changing / withdrawing the nominee:** the member may change the nominee at any time (fresh consent, intimation to the company and RoC in **INC-4**). A nominee may also *withdraw* his consent, obliging the member to name another within a set period. *Memory hook: INC-3 to appoint, INC-4 to change.* - **On the member's death or incapacity to contract:** the

nominee automatically becomes the member and must, within a set period, nominate a *new* nominee — so the chain of succession never breaks. - **Conversion:** OPC → private/public is filed in **INC-6**; a private company → OPC is also **INC-6** with the NOC of members/creditors. (Older mandatory-conversion intimation used **INC-5** when thresholds were crossed — *the 2021 amendment removed the mandatory thresholds and the 2-year wait; confirm the current forms and position in ICAI material.*) - **The member–nominee cannot be the same person**, and a person already a member of one OPC cannot become the nominee of another that would make him a *second-OPC* member — the "only one OPC" cap is policed at both the member and nominee ends.

Documents filed for registration [Sec 7(1)] — the birth file. The application to the RoC (via **SPICe+ / INC-32**, with **e-MOA INC-33** and **e-AOA INC-34**) must include:

Document	Purpose / the abuse it blocks
MOA & AOA, signed by subscribers	The constitution — objects, liability, governance
Declaration by professional (advocate/CA/CS/CWA) and by a subscriber/first director — **INC-8 / part of SPICe+**	States that all Act requirements are complied with — puts a licensed professional's neck on the line against fake filings
Declaration by each subscriber & first director [Sec 7(1)(c)] — INC-9	Affirms they are **not convicted / not guilty of fraud** in company formation — screens out disqualified founders
Address for correspondence until registered office is fixed	So the RoC can reach the company from day one
Particulars of subscribers & first directors (name, DIN, identity/address proof)	Identity trail — the accountability the whole system is built on
Consent of first directors (DIR-2 / included) and their **DIN**	No one becomes a director without knowing/consenting
Registered office proof (if given at incorporation; else file **INC-22 within 30 days**)	A real, verifiable place of business

Where subscribers sign electronically: under SPICe+, the e-MOA (INC-33) and e-AOA (INC-34) are signed with **Digital Signature Certificates (DSC)**; physical signing with witnesses survives mainly where a subscriber is a **foreign national** without an Indian DIN/DSC (apostilled/notarised documents). *Why a professional declaration and a subscriber declaration both?* One is an *expert*'s assurance of legal compliance (INC-8/professional), the other is the *founders' own* affirmation of clean hands (INC-9) — two independent gatekeepers, so a false birth needs two liars, not one.

First directors, the resident-director rule, and DIN — the human floor. A few director-side rules are screened at incorporation and are favourite one-mark testers: - **First directors:** named in the articles; if the articles are silent, the **individual subscribers to the MOA are deemed the first directors** until directors are duly appointed. *Why a default?* A company cannot exist for even a day without someone able to act for it. - **Minimum directors [Sec 149]:** 3 (public), 2 (private), 1 (OPC); maximum 15 (more by special resolution). - **At least one resident director [Sec 149(3)]:** every company must have at least one director who **stayed in India for a total of not less than 182 days** in the financial year — *confirm the current day-count. Why?* So there is always a director physically reachable within the jurisdiction — the human counterpart of the registered-office rule. - **DIN and consent [Sec 152/153]:** no one is appointed a director without a **Director Identification Number** and a **written consent (DIR-2)** filed with the RoC — consent stops "surprise directors," and the DIN keeps the accountability trail unique across companies. - **Disqualifications [Sec 164]:** the INC-9 declaration screens out persons convicted/adjudged guilty of fraud in formation; Sec 164 lists further disqualifications (undischarged insolvent, convicted of certain offences, etc.) that keep unfit persons off boards.

Effect of registration / Certificate of Incorporation [Sec 7(2), 9]. On satisfaction, the RoC **registers** the documents and issues a **Certificate of Incorporation** with a **Corporate Identity Number (CIN)**. From the date in the certificate: - The company is **born as a body corporate** [Sec 9] — a **separate legal person**, with **perpetual succession** and a **common seal** (seal now optional), capable of owning property, contracting, suing and being sued in its own name. - The subscribers become **members**. - The **MOA and AOA become binding** as a statutory contract from that moment (Sec 10). - The company acquires a **PAN and TAN** (issued along with the certificate under the integrated SPICe+ process) so it can transact and be taxed immediately.

The precise legal instant matters. A company is a body corporate "**from the date mentioned in the certificate** of incorporation" — not from the date the RoC happens to sign, nor from the date the applicant filed. Anything the "company" purported to do *before* that date is a pre-incorporation act (governed by the promoter-liability and Specific Relief rules above); anything *from* that date is the company's own act. This single line resolves a whole family of exam problems that turn on *which side of the birth-date* a transaction fell.

Subscriber liability — the founding act is enforceable. A subscriber to the MOA is **bound to take and pay for** the shares written against his name, and on incorporation he is *deemed* to have agreed to become a member; his name is entered in the register of members and he cannot back out on the ground that a separate allotment was never made to him. This is exactly why the subscription clause is the true *founding act*: it converts a signature into an enforceable membership *and* a capital commitment.

Conclusiveness of the certificate. Historically the certificate was treated as **conclusive evidence** that all requirements of registration were complied with and the company is duly incorporated — so its validity cannot be questioned merely for a procedural defect. *Why?* Certainty for everyone who later deals with the company. *Classic illustration — the date is conclusive too:* in ***Jubilee Cotton Mills v Lewis*** the certificate was held conclusive even as to the **date** of incorporation, validating an allotment that would otherwise have been premature. **But 2013 added an anti-fraud override [Sec 7(5)–(7)]:** if incorporation was obtained by **furnishing false information / suppressing material facts**, the promoters, first directors and persons making the declaration are liable for **fraud under Sec 447**, and the **Tribunal (NCLT)** may pass orders including regulation of the company, changes to liability of members, or even **removal of the name / winding up.** So: conclusive against *technical* defects, **not** a shield for *fraud*.

Consequences of incorporation — the famous "separate personality" package. Anchor case: ***Salomon v Salomon & Co Ltd (1897)*** — once incorporated, the company is a person **distinct from Salomon himself**; he could be its secured creditor and rank ahead of unsecured creditors, because company debts are the company's, not his. Practical consequences: - **Separate legal entity:** company owns its assets; members do **not** own company property (***Macaura v Northern Assurance*** — a member could not insure company timber in his own name, having no insurable interest). Indian echo: ***Lee v Lee's Air Farming*** — a sole controlling shareholder could *also* be an employee of "his" company, so his widow got workmen's compensation; the man and the company were two persons. - **A shareholder does not own the company's income either** — ***Bacha F. Guzdar v CIT***: dividend received by a member of a tea company was **not** agricultural income in his hands, because the *company* (not the member) carried on the agricultural activity; the member merely owns *shares*, a distinct species of property. This is the income-side twin of *Macaura*:

members own shares, not the company's assets *or* its business. - **A company is a person but not a *citizen* — *State Trading Corporation v CTO*** and ***Tata Engineering & Locomotive Co. v State of Bihar***: a company has separate legal personality yet is **not a citizen**, so it cannot claim fundamental rights available only to citizens (though it may claim rights available to "persons"). *Why?* Citizenship is a status the Constitution reserves for natural persons; separate personality gives the company *legal* capacity, not *citizenship*. - **Limited liability:** members risk only unpaid amount on shares (or guarantee sum). - **Perpetual succession:** members may die or transfer shares; the company lives on. "*Members may come and go, but the company goes on forever.*" - **Capacity to sue and be sued** in its own name; to **contract** and **hold property**. - **Lifting the corporate veil (the counter-safeguard):** courts/statute will look *behind* the artificial person where it is used for **fraud, tax evasion, to defeat law, or as a sham/agent** — so incorporation cannot be a licence to cheat.

Lifting the veil — organise the grounds (the exam wants a structure):

- **Judicial (case-law) grounds:** (i) **fraud / improper conduct** — *Gilford Motor v Horne* (company formed to dodge a non-compete), *Jones v Lipman* (company used to escape a specific-performance decree on a land sale); (ii) **enemy character in wartime** — *Daimler v Continental Tyre* (look at the nationality of the controllers); (iii) **sham / façade / agency** — where the company is a mere cloak or agent of the controllers; (iv) **evasion of tax or a legal obligation** — *Re Sir Dinshaw Maneckjee Petit* (company formed only to split income and dodge tax); (v) **protection of public interest / revenue**.
- **Statutory grounds:** e.g., **fraudulent conduct of business** (officer personal liability), **mis-description of the company** on bills/cheques (signatory personally liable), **furnishing false info at incorporation** (Sec 7(5)–(7)), and liability for certain acts where the company is used to defeat the Act. *Note:* under the 2013 Act the old "reduction of membership below the minimum" personal-liability rule of the 1956 Act was **not carried forward** as a distinct veil-lifting ground — *confirm current position in ICAI material.*

Veil-lifting grounds — organise every answer this way.

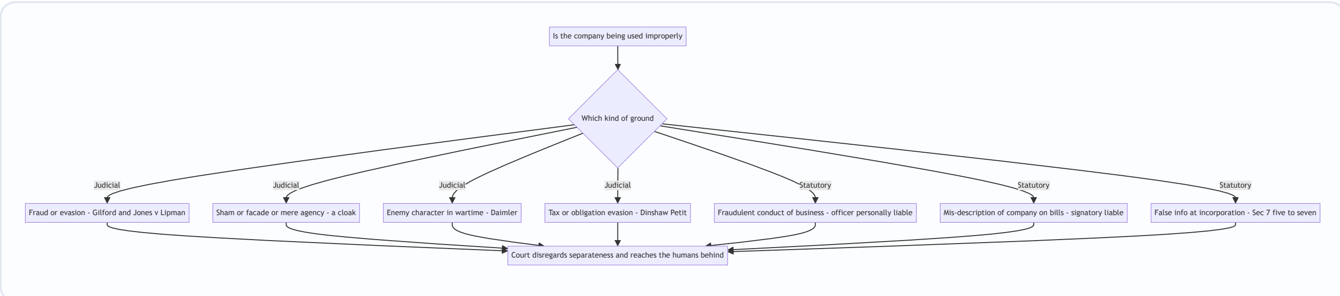

Figure 4: Every veil-lifting answer sorts into judicial versus statutory grounds — name the case or the section, then reach the person behind.

4.7 Commencement of Business — Section 10A

The abuse it fixes. "Shell" companies were being incorporated with grand paid-up capital figures on paper, never actually receiving the subscription money, then used as fronts. So a **2018 insertion (Sec 10A)** re-introduced a commencement gate for companies **having a share capital and incorporated on or after 2 Nov 2018.**

Such a company **cannot commence business or exercise borrowing powers** unless: 1. Within **180 days** of incorporation, every subscriber files a **declaration (INC-20A)** that they have **paid the value of shares agreed to be taken**; **and** 2. The company has filed **verification of its registered office (INC-22)** with the RoC (within **30 days** of incorporation).

Consequence of default: penalty on the company (a fixed sum) and every officer in default (a per-day sum up to a cap — *verify current amounts in ICAI material*), and the **RoC may initiate removal of the company's name** if it believes no business is being carried on. *Memory hook: 180 days to prove the money is real; 30 days to prove the address is real.***

Fine distinctions on Sec 10A: - It applies **only** to a company **having share capital**. A company **not** having share capital (e.g., a Sec 8 company limited by guarantee without capital) is **outside** Sec 10A. *Why?* The mischief was *fake paid-up capital*; a no-capital company has no such figure to fake. - It bites two things: **commencing business** *and* **exercising borrowing powers**. A newborn cannot even borrow before the declaration — precisely the pipe through which shell frauds ran. - The declaration is about **actual receipt** of the subscription money, matching the **capital reality** theme of the whole chapter (see the three-questions table in Section 2).

(Distinguish from the old regime: the 2013 Act originally had a "certificate of commencement" concept under the earlier Sec 11, which was omitted in 2015, then the leaner Sec 10A came in 2018. If an old question refers to Sec 11 commencement certificate, note it was omitted — confirm in ICAI material.)

Penalty and strike-off mechanics [Sec 10A(2)–(3)]. On default: the *company* is liable to a penalty (a fixed sum — historically ₹50,000) and *every officer in default* to a penalty per day of continuing default up to a cap (historically ₹1,000/day, cap ₹1,00,000) — *verify current amounts in ICAI material.* Separately, if the RoC has *reasonable cause to believe* that the company is **not carrying on business** and no INC-20A was filed within 180 days, it may initiate action to **remove the company's name** from the register under **Sec 248**. So Sec 10A bites from two directions at once — a monetary penalty *and* the existential threat of strike-off. *Fine point:* Sec 10A does **not** make the company's early contracts *void* (unlike ultra vires); it *prohibits* commencement and *penalises* breach. The mischief is deterred by penalty and strike-off, not by voiding third-party dealings — a distinction the examiner probes by asking whether a loan taken on day 40 is "void" (it is not; it is a penalised breach).

4.8 Conversion Between Company Types

Because circumstances change — a private company wants public funding, or a bloated public company wants to go private, or an OPC outgrows the solo model — the Act provides orderly conversion, each with safeguards for the affected people.

Private → Public [Sec 14 + Sec 18]. Pass **SR** to alter the AOA (delete the private-company restrictions of Sec 2(68)), increase members to at least 7 and directors to at least 3, file with RoC; the RoC issues a fresh certificate reflecting the changed status. *Why easy-ish?* Going public *increases* transparency and public protection, so the law is less anxious. *Note a "deemed public company" wrinkle:* even a private company that is a **subsidiary of a public company** is treated as a public company for many purposes — *confirm the current effect in ICAI material* — so the private label can be lost by ownership structure, not only by choice.

Public → Private [Sec 14 + Sec 18]. Needs **SR** *and* approval of the **Regional Director (Central Government)** (post-2018 the power to approve such conversion shifted from the Tribunal to the RD). *Why harder?* Going private *reduces* public oversight and can trap/oppress minority holders and creditors, so an authority must confirm it's fair; creditors and members get a chance to object.

OPC ↔ Private/Public [Sec 18, Rule 6 & 7 of Incorporation Rules]. - **OPC → Private/Public:** may convert **voluntarily** (historically only after **2 years** from incorporation, unless thresholds were crossed) or **compulsorily** if it crossed thresholds — historically if **paid-up capital exceeded ₹50 lakh** or **average annual turnover exceeded ₹2 crore**; the **2021 amendment removed these mandatory thresholds and**

the 2-year wait, allowing conversion any time — *confirm current position in ICAI material.* - **Private → OPC:** allowed only for a private company with **paid-up capital and turnover within the OPC-eligibility limits** (historically capital ≤ ₹50 lakh and turnover ≤ ₹2 crore — the 2021 amendment liberalised this, *confirm*), by SR and NOC from members/creditors, since an OPC is meant for small solo ventures.

Company limited by guarantee / unlimited ↔ limited by shares. Permitted under **Sec 18 (conversion by alteration of MOA/AOA and re-registration)** with member approval and RoC filing; the conversion does **not** affect existing debts/obligations/contracts — *why?* creditors' rights cannot be wiped out by a mere change of corporate clothing.

Golden thread of all conversions [Sec 18(3)]: conversion **does not affect** the debts, liabilities, obligations or contracts incurred before conversion — they continue and may be enforced as if there were no conversion. The company changes its coat, not its history.

Unlimited → limited by shares (re-registration). An unlimited company may re-register as limited under Sec 18; but to protect creditors who dealt with it *while liability was unlimited*, its pre-existing debts and any reserve arising are preserved — the change of clothing cannot retrospectively cap a liability those creditors relied on. *Golden thread again (Sec 18(3)).*

Sec 8 (charitable) company — formation and character. A Sec 8 company is one formed to promote **commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment** or similar objects, that **applies its profits (if any) only in promoting those objects** and **prohibits payment of any dividend** to members. It is incorporated under a **licence** from the Central Government (Regional Director), which lets it **register without the word "Limited"/"Private Limited"** in its name — the one true exception to the Sec 4 name-suffix rule. *Why the concessions?* Because the entity has *bargained away* the profit motive; society rewards that promise with fee relief and the dropped suffix. *Consequences worth remembering:* it may **alter its MOA/AOA only with Central Government approval**; a firm may be a member of a Sec 8 company (a rare exception); and if the licence conditions are contravened, the Central Government may **revoke the licence**, after which the company must add "Limited"/"Private Limited" and may even be wound up or amalgamated only with another Sec 8 company. *Trap:* marking a Sec 8 name as defective for lacking "Limited," or forgetting that its MOA alteration needs CG approval on top of the usual Sec 13 route.

Sec 8 (charitable) company conversion. A Sec 8 company is formed by a **licence**, applies its profits only to its objects, and pays **no dividend**. It may convert into an ordinary company only by **surrendering the licence** with Central Government (Regional Director) approval and satisfying conditions that stop the accumulated charitable assets being siphoned into private hands. *Why the extra guard?* A Sec 8 company enjoyed concessions (fee relief, the right to drop "Limited") *in exchange for* a non-profit promise; letting it flip to profit freely would let founders bank the concessions and then privatise the charitable surplus.

One-glance eligibility ladder — OPC vs Small vs Private vs Public.

Feature	OPC	Small company [2(85)]	Private [2(68)]	Public [2(71)]
Members to form	1	(a private co. meeting the size limits)	2	7
Max members	1 (+1 nominee)	—	200	no limit
Who qualifies	natural person, Indian citizen, resident	private co. within paid-up-capital & turnover thresholds	close-held, restricts transfer	may invite the public
Nominee required	Yes (INC-3)	No	No	No

Small company is not a separate incorporation type — it is a *status* a private company holds while it stays under the paid-up-capital and turnover thresholds (historically ≤ ₹4 crore capital and ≤ ₹40 crore turnover after the 2022 revision — *verify current thresholds in ICAI material*). The status brings compliance relief and is *lost automatically* the moment the company outgrows the limits. *Trap:* treating "small company" as something you *incorporate* rather than a size-based *label* that switches on and off with the numbers.

Why the small-company status is worth having (the reliefs). The status is the Act *calibrating compliance to size* — a genuinely small private company poses little public risk, so it earns lighter obligations: e.g., it may hold **fewer board meetings** (a reduced minimum in a year), is exempt from preparing a **cash-flow statement** as part of its financial statements, files an **abridged annual return**, its auditor need not report on **internal financial controls**, and it enjoys **lower/lesser penalties** for many defaults. *Exclusions the exam probes:* a **public company**, a **holding or subsidiary company**, a **Sec 8 company**, and a company governed by a **special Act** can **never** be a small company, regardless of size — because their public exposure or special status overrides the size concession. *Confirm the current threshold figures and the list of reliefs in ICAI material.*

Dormant company mechanics [Sec 455]. A company formed for a **future project**, to **hold an asset or intellectual property**, or with **no significant accounting transaction**, may apply to the RoC to be entered on a **register of dormant companies**. It then carries lighter compliance until it revives. *Why offer dormancy?* Because forcing a genuinely inactive but *legitimate* vehicle to bear full compliance (or to strike it off) would be wasteful; dormancy is the honest middle path between "actively trading" and "dead." It is the **opposite pole** of Sec 10A: Sec 10A pushes a newborn to *prove it will act*, while Sec 455 lets a company *formally declare it will not act for now* — both keep the register truthful about which companies are really alive. *A dormant company must still hold the minimum number of board meetings and retain a minimum number of directors — confirm the current conditions in ICAI material.*

4.9 Registered Office, Service and Authentication — Sections 12, 20, 21

Registered office [Sec 12] — the company's legal home. A company must have a registered office **capable of receiving and acknowledging communications** from the date of incorporation or within **30 days** of it (verified in **INC-22**). *Why a hard deadline?* Because until there is a verified address, the accountability trail (Section 1) has no physical anchor.

Display and identity obligations under Sec 12 (each guards a distinct mischief): - **Paint/affix the name and registered-office address** outside every office/place of business, in a conspicuous position, in legible letters (and in the local language too) — so the public physically *finds* the entity. - **Print the name, registered-office address, CIN, telephone/e-mail** (and website/fax if any) on all **business letters,**

billheads, notices, and official publications — so every document self-identifies the entity behind it. - **Engrave the name on the seal** (where a seal is used).

Why these petty-looking rules matter: a company that hides or mis-states its name defeats the whole identity system — hence **mis-description** (e.g., a director signing a bill in a wrong or abbreviated company name) can make the **signatory personally liable** (a statutory veil-lift), and default in the display/print obligations carries a penalty on the company and every officer in default.

Changing the registered office — the three distances (map this cleanly):

Move	Approval needed
Within the **same city/town/village** (same local limits)	**Board resolution** + notice to RoC (INC-22)
To **another city but within the same State and same RoC**	**Special resolution** + INC-22
Within the same State but from **one RoC's jurisdiction to another**	SR + **Regional Director** confirmation
From **one State to another**	SR + **Regional Director** confirmation [Sec 13(4)] + advertisement + creditor/RoC objection window

Why does distance raise the bar? The further the move, the more it can prejudice people who relied on the old location — nearest move disturbs no one (board alone); crossing a RoC or State shifts jurisdiction and the High Court, so an authority must confirm no one is harmed. *Trap:* applying Regional Director confirmation to a shift *within the same local limits*, or forgetting that a same-State move that crosses RoC jurisdiction still needs the RD.

Service of documents [Sec 20]. A document may be served on the company by sending it to its **registered office** by registered post, speed post, courier, or electronic mode (and on a member by post/electronic mode at his registered address). *Why fix the mode?* So that "I never received it" cannot defeat a validly served notice — service is deemed effective on proper dispatch to the registered address, which is exactly why Sec 12 insists the address be real.

Authentication of documents [Sec 21]. A document or proceeding requiring authentication by the company, and contracts made on its behalf, may be signed by any **Key Managerial Personnel or an officer/employee duly authorised** by the Board — the human hand behind the artificial person must be a properly authorised one. This dovetails with Turquand and ostensible authority: the *outsider's* protection assumes there is an authorised signatory; Sec 21 is the *inside* rule fixing who that may be.

Execution of documents and the common seal [Sec 22]. A company may, by **writing under its common seal** (or, since the seal became *optional*, by signature of authorised persons) empower a person as its **attorney** to execute deeds on its behalf, including abroad; a deed so executed **binds the company**. *Why make the seal optional?* Because insisting on a physical seal for every act was a needless friction on a person that now transacts digitally; the substance — *a duly authorised human hand* — is what matters, which is exactly what Sec 21/22 secure. *Fine point for the exam:* where a company **has** a common seal, its use must be authorised as the articles provide; where it has **none**, documents are validly executed by **two directors, or a director and the company secretary** (or as the Act prescribes). *Confirm the current execution formula in ICAI material.*

4.10 Illegal Association — Section 464

The rule. No **association or partnership** consisting of **more than the prescribed number of persons** may be formed for the purpose of **carrying on any business for gain** unless it is **registered** as a company (or is formed under some other law). The Act sets the ceiling and empowers rules to fix the number — it **may not exceed 100**, and the number currently prescribed is **50**. Cross that line without incorporation and you have an **illegal association**.

Why the cap exists — first principles. This is the *entry gate* of the whole chapter viewed from the other side. Society lets *small* groups trade as an ordinary partnership without the machinery of incorporation, because a handful of partners can watch each other and outsiders can identify them. But once a profit-venture grows *beyond* a threshold, it starts to resemble a public-scale enterprise — many members, diffuse control, strangers' money — and it must submit to the *public birth, constitution and disclosure* regime. Sec 464 forces such a body to *choose*: register, or be unlawful. It is the mirror image of Sec 3 (which sets the *minimum* to form) — Sec 464 sets the *maximum* you may run *without* forming.

Exceptions (no minimum-registration compulsion): - A **Hindu Undivided Family (HUF)** carrying on business (members of one HUF are not counted as an "association"). - An association or partnership of **professionals** governed by special regulation (e.g., chartered accountants, lawyers) formed under a profession's rules. - Where a specific law otherwise permits.

Consequences of being an illegal association (the effects the exam wants): - It has **no legal existence** — it **cannot sue** (on contracts or otherwise) and **cannot be sued** in the association's name. - It **cannot be wound up** under the Companies Act (you cannot wind up something that legally does not exist). - **Every member is personally liable** for the obligations incurred, and members may be **penalised**. - A member **cannot sue another member** in respect of the business, nor the association for his share of profits.

Trap: students confuse the Sec 464 ceiling (**50**, prescribed under a cap of 100) with the private-company **200-member** maximum. They are different regimes: 200 is the cap on a *registered private company's membership*; 50 is the cap on an *unregistered* profit-association before incorporation becomes compulsory. Also note the HUF and professional carve-outs — a naked "more than 50 = always illegal" statement is wrong.

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5. Applied Scenarios — reason your way to the answer

Scenario 1 — The pre-incorporation land deal. *Facts:* Promoter P, before "GreenAgro Pvt Ltd" is incorporated, signs a contract in the company's name to buy farmland from F. After incorporation the company refuses to pay, saying "we never signed it." F sues the company. *Reasoning:* At the date of contract the company did **not exist**, hence had no capacity to contract and cannot **ratify** (no principal existed). Under general company law the company is **not bound**; **P is personally liable** (*Kelner v Baxter*). *However*, under **Specific Relief Act 1963 (Sec 15(h)/19(e))**, since the contract was for the *purposes* of the company, if the company **adopts/warrants** it after incorporation, F can enforce it against the company. *Outcome:* If the company adopted the contract, F enforces against the company; if not, F's remedy is against **P personally.** The company cannot "ratify," but it **can adopt.** *Self-check:* We didn't say "ratify" — correct. We required *purpose of the company + adoption* — both Specific Relief conditions present. Consistent.

Scenario 2 — The ultra vires loan vs the irregular loan. *Facts A:* A company whose objects are "manufacture of textiles" lends ₹2 crore to finance a friend's film. *Facts B:* The same company borrows ₹2 crore for its textile mill, but the board resolution authorising the borrowing was never actually passed; the lender bank checked the AOA (which permits borrowing on board authorisation) and lent in good faith. *Reasoning A:* Financing films is **outside the objects → ultra vires the company** → the loan is **void**, not ratifiable even unanimously; directors are personally liable to restore funds (Ashbury principle). *Reasoning B:* Borrowing is **within the objects and powers**; the only defect is an **internal procedural** one (no resolution). The bank read the public documents (constructive notice satisfied) and may **assume internal compliance** under **Turquand's rule** — unless it knew or was put on inquiry. Nothing suspicious here. *Outcome:* Loan A is void and unenforceable; the company is **not** liable. Loan B **binds the company**; the bank recovers. Same amount, opposite result — because one breached the *outer* limit (MOA) and the other only an *inner* limit (procedure).

Scenario 2A — the examiner's tweak: ultra vires *borrowing*. *Facts:* Reverse Loan A — the *company* borrows ₹2 crore for a purpose outside its objects. The lender wants his money back. Of the ₹2 crore, ₹1.2 crore is still lying in the company's bank account and ₹80 lakh was used to pay off a genuine, lawful trade creditor of the company. *Reasoning:* The loan is **ultra vires and void**, so the lender cannot sue on it as a debt. But equity gives two recoveries: **tracing** the identifiable ₹1.2 crore still in the account, and **subrogation** for the ₹80 lakh — since it discharged a lawful debt, the lender steps into that creditor's shoes. *Outcome:* Lender recovers **₹1.2 crore by tracing + ₹80 lakh by subrogation = ₹2 crore in substance**, though *not* "on the loan." *Self-check:* 1.2 + 0.8 = 2.0 crore — reconciles to the amount lent, and every rupee is recovered on a *non-contractual* footing, consistent with the loan being void. The trap avoided: writing "the lender gets nothing because the loan is void."

Scenario 3 — Separate personality and insurable interest. *Facts:* Mr. M owns 99% of "Timber Co Ltd," which owns a stock of timber. M personally insures the timber in *his own name*. Fire destroys it; M claims. *Reasoning:* On incorporation the timber belongs to the **company**, a separate person; M, though nearly sole owner, has **no insurable interest** in company property (**Macaura principle**). Ownership of shares ≠ ownership of the company's assets. *Outcome:* The claim **fails.** The very separateness that gives M limited liability also denies him personal ownership of company assets — you cannot enjoy the shield and deny the wall.

Scenario 4 — The forged share certificate. *Facts:* A company's secretary forges the directors' signatures on a share certificate and gives it to T, who claims to be a member relying on Turquand's rule. *Reasoning:* Turquand's rule lets outsiders assume *procedural regularity*, but it **never validates forgery** (Ruben v Great Fingall). A forged instrument is a **nullity**; there is nothing to "assume regular." *Outcome:* T acquires **no rights**; the company is not bound.

Scenario 5 — Shell with no money (Sec 10A). *Facts:* "Nimbus Trading Ltd" (share capital) is incorporated on 1 Jan 2025. On day 40 it takes a bank loan and starts trading, but subscribers have not paid for their shares and no INC-20A/INC-22 is filed. *Reasoning:* Under **Sec 10A**, a company with share capital cannot commence business or borrow until the **INC-20A** declaration of paid subscription (within **180 days**) and **INC-22** office verification (within **30 days**). It borrowed prematurely. *Outcome:* Penalty on the company and officers in default; the borrowing power was exercised in violation of Sec 10A, and the **RoC may act to strike off** the company for not carrying on genuine business.

Scenario 6 — The promoter's secret profit (numerical). *Facts:* Before promoting "Solaris Energy Ltd", promoter Q buys a plot for ₹40 lakh. Two months later, now actively promoting the company, he sells the *same* plot to Solaris for ₹1 crore, disclosing only to a Board consisting of his two brothers whom he controls. Solaris later discovers the facts. *Reasoning:* Q made a profit of ₹1 crore − ₹40 lakh = **₹60 lakh**. Disclosure was to a Board he *controls*, which in law is **no disclosure** (must be to an independent Board or the general body of members — *Erlanger*). Two questions decide the remedy: (i) *Did he acquire the plot while already a fiduciary?* He bought it *before* active promotion, so the older pattern applies — the company may either **rescind** (return the plot, get its ₹1 crore back) or, keeping the plot, **recover the undisclosed profit of ₹60 lakh.** It cannot do both. *Outcome — reconcile both routes:* Route 1 (rescission): company pays back the plot, recovers ₹1 crore → net cash position restored to before the deal. Route 2 (keep + recover profit): company keeps the plot and claws back ₹60 lakh → it has effectively bought a ₹40 lakh plot for ₹40 lakh (₹1 crore paid − ₹60 lakh recovered). *Self-check:* ₹1 crore − ₹60 lakh = ₹40 lakh = Q's original cost — so under Route 2 the company ends up paying exactly cost, stripping Q of the secret gain. Both routes leave Q with **no secret profit**, which is the doctrine's whole point. Consistent. *Tweak:* if Q had bought the plot *while already a promoter*, the profit would belong to the company **outright** — mere later disclosure could not save even a smaller markup, because a fiduciary may not profit *from* the fiduciary relationship without fully informed consent.

Scenario 7 — Alteration of articles that breaks a contract (two-part answer). *Facts:* "Vertex Ltd's" articles appoint R as managing director for 5 years. Two years in, the majority passes an SR altering the articles to remove the office of MD, and R is ousted. R sues to have the alteration declared void and to keep his post. *Reasoning:* The power to alter articles by SR is **statutory and cannot be contracted away**, so the **alteration is valid** and R cannot keep the post (Sec 14; *Southern Foundries v Shirlaw* principle). *But* if R had a **separate service contract** (not merely the article), the alteration that makes performance impossible is a **breach**, entitling R to **damages** — not reinstatement. *Outcome:* Alteration **valid**; R **cannot be reinstated**; R **recovers damages** *only if* he can show a separate binding contract beyond the bare article (recall *Eley* — an article alone gives an outsider-capacity right no standing). *Self-check:* two independent conclusions (validity of alteration; damages for breach) that do not contradict — the classic split answer.

Scenario 8 — Which conversion route and what survives? *Facts:* "Delta Foods Pvt Ltd" wants to raise money from the public and become a public company. It currently has 4 members and 2 directors, and owes ₹3 crore to trade creditors. *Reasoning:* Private → Public [Sec 14 + 18]: pass **SR** deleting the Sec 2(68) restrictions, raise **members to ≥ 7** and **directors to ≥ 3**, file with RoC; a fresh certificate issues. No Regional Director approval is needed (going *public* increases protection). By **Sec 18(3)**, the ₹3 crore of pre-conversion debt **survives** in full and is enforceable against the (now public) company. *Outcome:* Delta adds ≥ 3 members and ≥ 1 director, converts by SR + filing, and remains liable for the ₹3 crore. *Self-check:* members 4 → ≥7 (add ≥3), directors 2 → ≥3 (add ≥1), debt unaffected — all three requirements addressed; direction of change (private→public) correctly mapped to the *easier* route. Consistent.

Scenario 9 — Same facts, different signature (the capacity trap). *Facts:* Before "Harbour Logistics Pvt Ltd" exists, promoter S negotiates a charter with shipowner W. In version (a), S signs "for and on behalf of Harbour Logistics Pvt Ltd — S." In version (b), the contract is drawn as between W and "Harbour Logistics Pvt Ltd," and S merely signs to authenticate the company's name. The company is never formed. W sues. *Reasoning:* Version (a) is the *Kelner v Baxter* pattern — S contracted *as agent* for a non-existent principal, so **S is personally liable**. Version (b) is the *Newborne v Sensolid* pattern — the purported contracting party was the *company itself*, which did not exist, so **there is no contract at all**; *neither* W nor S can enforce, and S is **not** personally liable because he never contracted in his own name. *Outcome:* (a) W recovers from S personally; (b) W recovers from no one (subject, in India, to any Specific Relief adoption if a company is later formed and adopts the deal). *Self-check:* the only variable changed is *how S signed*, yet liability flips — proving the doctrine keys on capacity, not on the mere words "on behalf of."

Scenario 10 — Does this private company breach the 200-member cap? (numerical). *Facts:* "Cobalt Trading Pvt Ltd" has on its register: 150 individual ordinary members; one holding held jointly by 4 persons; 30 *present* employees who became members while in employment; and 25 *former* employees who first acquired their shares while employed and have kept them. Count the members for the Sec 2(68) cap. *Reasoning:* Start at 150. The jointly-held holding counts as **one** member regardless of the 4 joint holders → +1 = 151. Present employee-members who became members *during* employment are **excluded** → the 30 drop out. Former employees who acquired membership *while employed* and continued are **also excluded** → the 25 drop out. *Outcome:* Countable members = 150 + 1 = **151**, comfortably under 200. *Self-check:* 150 individuals + 1 (the joint holding) = 151; the 30 + 25 = 55 employee-members are carved out by the proviso. Cobalt is safe. *Tweak:* if the 25 had *first bought* their shares only *after* leaving employment, they would **not** get the exclusion and the count becomes 151 + 25 = 176 — still under 200, but the examiner may push the numbers past 200 to force the breach and its consequence.

Scenario 11 — Entrenchment and the arithmetic of a "super-majority" (numerical). *Facts:* "Meridian Tech Pvt Ltd" has 1,00,000 equity shares (one vote each). Its articles **entrench** Article 45 (protecting an investor's right to nominate a director) so it can be altered *only* by members holding **95% of the total voting power** — stricter than a special resolution. At a general meeting, holders of 78,000 shares vote to delete Article 45; 12,000 vote against; 10,000 do not vote. *Reasoning:* A special resolution needs a **75% majority of votes cast** — here 78,000 of 90,000 cast = 86.7%, which *clears* an ordinary SR. But Article 45 is **entrenched at 95% of total voting power** = 95,000 votes. Only 78,000 voted in favour. *Outcome:* The alteration **fails** — 78,000 < 95,000. Entrenchment lawfully makes the change *harder* than an SR, and the 75%+ threshold is not enough. *Self-check:* 78,000/90,000 = 86.7% (SR ✓) but 78,000/1,00,000 = 78% (entrenchment ✗) — the two thresholds sit on *different bases* (votes cast vs total voting power), which is exactly the trap. *Tweak:* entrenchment can only make alteration *harder*, never easier; a clause purporting to let Article 45 change by a mere ordinary resolution would be void as sub-SR entrenchment.

Scenario 12 — Lifting the veil for tax evasion (numerical). *Facts:* Mr. D earns ₹1 crore a year in dividends and interest. To cut tax he forms four private companies, transfers his investments among them, and arranges that each company immediately returns the income to him as a "loan" that is never repaid. None of the companies has any business other than holding D's investments. The Revenue seeks to tax the ₹1 crore in D's hands. *Reasoning:* This is the *Re Sir Dinshaw Maneckjee Petit / Juggilal Kamlapat* pattern — companies formed as a **mere device to evade tax**, with no genuine business. The authority may **lift the veil**, treat the companies as D's alter ego, and tax the income as **his**. *Outcome:* The whole ₹1 crore is taxed in D's hands; the four-company structure is disregarded. *Self-check:* the income is taxed **once**, in the real earner's hands — the arrangement produced four veils but *zero* genuine businesses, so separateness is withdrawn. *Contrast (do not over-lift):* had each company carried on a *real* business and merely enjoyed a lawful lower rate, the veil would **stand** (Salomon). Tax *planning* is legitimate; tax *evasion through a sham* is not. The line is genuine business versus naked device.

Scenario 13 — Sub-division of shares (numerical, Sec 61). *Facts:* "Aster Ltd" has an authorised and issued capital of 1,00,000 equity shares of ₹10 each (₹10,00,000). To improve liquidity it sub-divides each ₹10 share into ten ₹1 shares. A shareholder held 500 shares. *Reasoning:* Sub-division under **Sec 61(1)(d)** changes only the *denomination*, not the total capital. New share count = 1,00,000 × 10 = **10,00,000 shares of ₹1**; total capital = 10,00,000 × ₹1 = **₹10,00,000** — unchanged. The shareholder now holds 500 × 10 = **5,000 shares of ₹1**, still worth ₹5,000. No Tribunal approval is needed (the creditors' fund is untouched); an ordinary resolution suffices if the articles authorise. *Outcome:* Same total capital, ten times the share count, proportionate holdings preserved. *Self-check:* ₹10,00,000 before = ₹10,00,000 after; the shareholder's stake

500 × ₹10 = ₹5,000 = 5,000 × ₹1 — value conserved, only granularity changed. *Contrast:* had Aster instead *reduced* capital to ₹8,00,000 by paying back ₹2 per share, that is **Sec 66** and needs **Tribunal** confirmation, because ₹2,00,000 leaves the creditors' buffer.

Scenario 14 — Members fall below the minimum (Sec 3A, numerical). *Facts:* "Beacon Pvt Ltd" (a private company, so minimum 2 members) has two members, X and Y. On 1 April, Y transfers all his shares to X, leaving **X as the sole member**. Aware of this, X keeps the company trading. On 15 October (i.e., beyond 6 months) the company borrows ₹30 lakh from a supplier on credit; earlier, in May, it had incurred ₹12 lakh of debt. *Reasoning:* Membership (1) is below the private-company minimum (2). Business continued **beyond the 6-month grace period** (1 April → the grace ends around 1 October). X is **aware**. Under **Sec 3A**, X becomes **severally liable** for debts contracted **after** those 6 months — so the **₹30 lakh October debt** attaches to X personally. The **₹12 lakh May debt**, contracted *within* the grace period, does **not** attach. *Outcome:* X is personally liable for the ₹30 lakh (post-grace) debt; the ₹12 lakh (in-grace) debt remains only the company's. *Self-check:* only the *aware* member, only debts *after* 6 months → ₹30 lakh yes, ₹12 lakh no. *Tweak:* had X inducted a second member on 20 September (within 6 months), the reduction would have been cured before the grace expired and Sec 3A would **never** bite — the company simply must restore the minimum in time.

Scenario 15 — Death of the sole OPC member. *Facts:* "Solo Ventures OPC" has sole member M and nominee N (consented in INC-3). M dies. A creditor fears the company has died with him and wants to enforce a ₹5 lakh debt. *Reasoning:* A company enjoys **perpetual succession**; it does not die with its member. On M's death, **N automatically becomes the member** and steps into ownership; the company's separate personality and its debts continue unbroken. N must, within the prescribed period, appoint a *fresh* nominee so the succession chain is restored. *Outcome:* The company survives; the ₹5 lakh debt is enforceable against the company (now owned by N). *Self-check:* the whole reason INC-3 nomination is compulsory is exactly this moment — the nominee is the built-in continuity plan, so a one-person company never dies with its one person.

Scenario 16 — Which registered-office procedure? (three distances). *Facts:* "Cove Retail Ltd" wants to move its registered office in three alternative plans: (a) to a new building on the same street in the same city; (b) from that city to another city in the *same* State, still under the same RoC; (c) from that State to a different State. *Reasoning:* (a) same local limits → **Board resolution** + INC-22, nothing more. (b) another city, same State, same RoC → **special resolution** + INC-22 (no RD, because jurisdiction is unchanged). (c) another State → **SR + Regional Director confirmation** [Sec 13(4)], with advertisement and a chance for creditors and the old RoC/State to object. *Outcome:* The authority required climbs with distance: board → members → members-plus-authority. *Self-check:* only move (c) crosses a jurisdiction, so only (c) needs the RD; applying RD confirmation to (a) or (b) is the classic over-shoot. *Tweak:* if (b) had crossed from one RoC's jurisdiction to another *within* the same State, it would jump up to needing **RD confirmation** too — jurisdiction, not State lines alone, is the real trigger.

Scenario 17 — Illegal association or not? (Sec 464, numerical). *Facts:* Sixty individuals pool money to run a real-estate trading business under a partnership deed, without registering any company. In a *variant*, the sixty are all members of a single Hindu Undivided Family; in a *second variant*, they are 60 practising chartered accountants forming an audit firm under ICAI regulation. *Reasoning:* The base case has **60 persons > 50** carrying on business for gain **without incorporation** → **illegal association** under Sec 464: no legal existence, cannot sue or be sued, every member personally liable. *Variant 1:* members of **one HUF** are **excepted** — not an illegal association. *Variant 2:* an association of **professionals** regulated by their profession is **excepted** — the CA firm is lawful. *Outcome:* base = illegal; both variants = lawful. *Self-check:* 60

> 50 triggers the rule, but the two carve-outs (HUF, regulated professionals) switch it off — showing the number alone is not decisive. *Trap avoided:* do not use the 200-member private-company cap here; the relevant ceiling is the Sec 464 figure (**50**, under a statutory cap of 100).

Scenario 18 — Adding entrenchment *after* formation. *Facts:* "Nimbus Ltd" was incorporated with ordinary articles. An investor now wants Article 12 (his board-nomination right) entrenched so it can be changed only by unanimous consent. The board proposes to add the entrenchment by a **special resolution** (75% majority). A shareholder objects. *Reasoning:* On **formation**, entrenchment can be included by the subscribers agreeing. **After** formation, entrenchment can be added only by an **agreement of *all* the members** — a bare special resolution is **not** enough, because entrenchment binds *everyone's* future power and so needs *everyone's* consent. The change must also be **notified to the RoC**. *Outcome:* The 75%-SR route **fails**; unanimous member agreement is required to add the entrenchment. *Self-check:* the objecting shareholder is right — the very purpose of post-formation unanimity is to stop a majority *imposing* a lock on the minority. *Contrast:* had this been at *incorporation*, the subscribers' agreement would have sufficed.

Scenario 19 — Constructive notice defeats the outsider (the flip side of Turquand). *Facts:* "Orbit Traders Ltd's" registered articles expressly cap borrowing at ₹50 lakh and require a *general-meeting* resolution for anything above. A lender advances ₹2 crore to the company on a director's request, without checking the articles, relying on Turquand. *Reasoning:* The borrowing **exceeds an express, public limit** in the AOA. By **constructive notice**, the lender is *deemed* to have read that ₹50 lakh cap and the general-meeting requirement. Turquand only lets an outsider assume *internal compliance with a permitted transaction* — it does **not** rescue a transaction the public documents forbid on their face. The lender should have read the cap; the two-gate test fails at gate one. *Outcome:* The company is **not bound** for the excess; the lender cannot enforce the ₹2 crore as validly borrowed (though ultra-vires-style tracing/subrogation may still let it recover money still identifiable or used to pay lawful debts). *Self-check:* this is the *mirror* of Scenario 2B(Loan B) — there the borrowing was *within* the public limit and only an internal step was missing (Turquand saved the bank); here the borrowing *breaches* the public limit (constructive notice sinks the lender). Same doctrines, opposite gate, opposite result.

Scenario 20 — Changing objects after a public issue (Sec 13(8)). *Facts:* "Zenith Pharma Ltd" raised ₹100 crore from the public through a prospectus for "manufacture of vaccines." ₹35 crore remains unspent. The board now wants to redeploy the money into "digital health software" and passes a special resolution to change the objects. A block of retail investors dissents. *Reasoning:* A special resolution changes objects *in general*, **but** because the company **raised money from the public** and holds an **unutilised ₹35 crore**, **Sec 13(8)** additionally requires (i) publication of the change (advertisement + website + notice to members) and (ii) an **exit offer to dissenting shareholders** by the promoters/controlling shareholders per SEBI norms. The SR is *necessary but not sufficient*. *Outcome:* Zenith may change the objects **only after** advertising the change and giving the dissenters an exit; the retail investors who disagree can **cash out** rather than have their subscription silently repurposed. *Self-check:* the object-clause promise (money follows the stated purpose) is honoured *even at the moment of change* — the dissenter's exit is that promise's enforcement mechanism. *Trap avoided:* writing "a special resolution alone is enough" ignores the public-money overlay.

Scenario 21 — The agent who over-promised his authority (breach of warranty of authority). *Facts:* A director of "Falcon Ltd" assures supplier V that the board has authorised a ₹40 lakh purchase and signs the order. In truth the objects clause did not permit that line of business (ultra vires) and, in any event, the board never authorised him. V delivers goods, Falcon refuses to pay, and V finds the contract void. *Reasoning:* Because the act was **ultra vires the company**, the contract is **void** and V cannot enforce it against Falcon — even unanimous ratification could not save it. But V is not left remediless: the director **impliedly warranted**

he had the authority he claimed. V may sue **the director personally for breach of warranty of authority**, recovering the loss caused by relying on that false assurance. *Outcome:* Falcon (the company) is **not** liable on the void contract; the **director is personally liable** to V for breach of warranty of authority. *Self-check:* the loss lands on the person who *misrepresented* his authority, not on the innocent supplier — the same risk-allocation logic that runs through the whole chapter. *Contrast:* had the act been merely *ultra vires the directors* (within the company's objects), V could instead have held **the company** bound via Turquand/ostensible authority — the void-vs-irregular fault-line decides who pays.

Scenario 22 — Whose income is it? (separate personality, Bacha Guzdar). *Facts:* "Verdant Tea Ltd" grows and manufactures tea; 60% of its composite income is treated as agricultural and 40% as business income in the company's hands. A member, H, receives ₹5 lakh dividend and claims that 60% of it (₹3 lakh) is *agricultural income* in his hands and therefore exempt. *Reasoning:* On the **separate-personality** principle, the *agricultural activity is carried on by the company*, not by H. H owns **shares**, not the tea estate or its crop. His dividend is **income from shares**, a wholly different source; it does **not** carry the agricultural character through to him (*Bacha F. Guzdar v CIT*). The company's internal 60:40 split governs the *company's* assessment, not the member's. *Outcome:* The entire ₹5 lakh dividend is ordinary income in H's hands; **none** of it is agricultural income. *Self-check:* consistent with *Macaura* (no ownership of company assets) and its income-side twin — a member owns a *share*, and the fruits of that share take the character of *dividend*, not of the company's underlying activity. *Trap avoided:* mechanically passing the company's income-character down to the shareholder.

Scenario 23 — Capstone: five doctrines in one fact pattern. *Facts:* Promoter P, before "Apex Retail Ltd" is incorporated, (1) buys a warehouse for ₹80 lakh and, once promotion is underway, sells it to the forming company for ₹1.4 crore, disclosing only to two co-promoters; (2) signs, "on behalf of Apex Retail Ltd," a ₹20 lakh supply contract with supplier T. After incorporation on 1 March, (3) the company, before filing INC-20A and while subscribers have not paid for their shares, borrows ₹50 lakh on day 30 to start trading; and (4) a director signs a ₹90 lakh purchase in a business line *outside* the objects clause. *Reasoning:* - **(1) Secret profit:** P's markup of ₹1.4 crore − ₹80 lakh = **₹60 lakh** disclosed only to co-promoters he is aligned with is **not** disclosure to an independent Board; Apex may **rescind** or **recover the ₹60 lakh** (elect one). - **(2) Pre-incorporation contract:** signed *as agent* "on behalf of" a non-existent company → *Kelner v Baxter*, **P personally liable**; Apex may nonetheless **adopt** it under the Specific Relief Act, in which case T enforces against Apex. - **(3) Sec 10A breach:** borrowing on day 30 without INC-20A (and with unpaid subscription) violates **Sec 10A** — the borrowing is a **penalised breach** (not void); company and officers face penalty and possible strike-off. - **(4) Ultra vires:** the ₹90 lakh purchase is **beyond the objects → void**, unratifiable even unanimously; the director may be **personally liable** (and T-type suppliers may sue him for breach of warranty of authority). *Outcome:* Apex claws back ₹60 lakh (or rescinds); P is personally liable on the ₹20 lakh unless Apex adopts it; the ₹50 lakh borrowing stands as a *breach* attracting penalty; the ₹90 lakh ultra vires purchase is void. *Self-check:* each limb sorts cleanly into a distinct doctrine — fiduciary duty, pre-incorporation liability, commencement gate, and ultra vires — with the correct *character* of consequence (recoverable / personal / penalised / void). Naming the doctrine *and* the nature of the consequence for each is exactly how full marks are earned on a mixed problem.

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6. Procedure / Compliance Summary

Incorporation — step by step (SPICe+ integrated process):

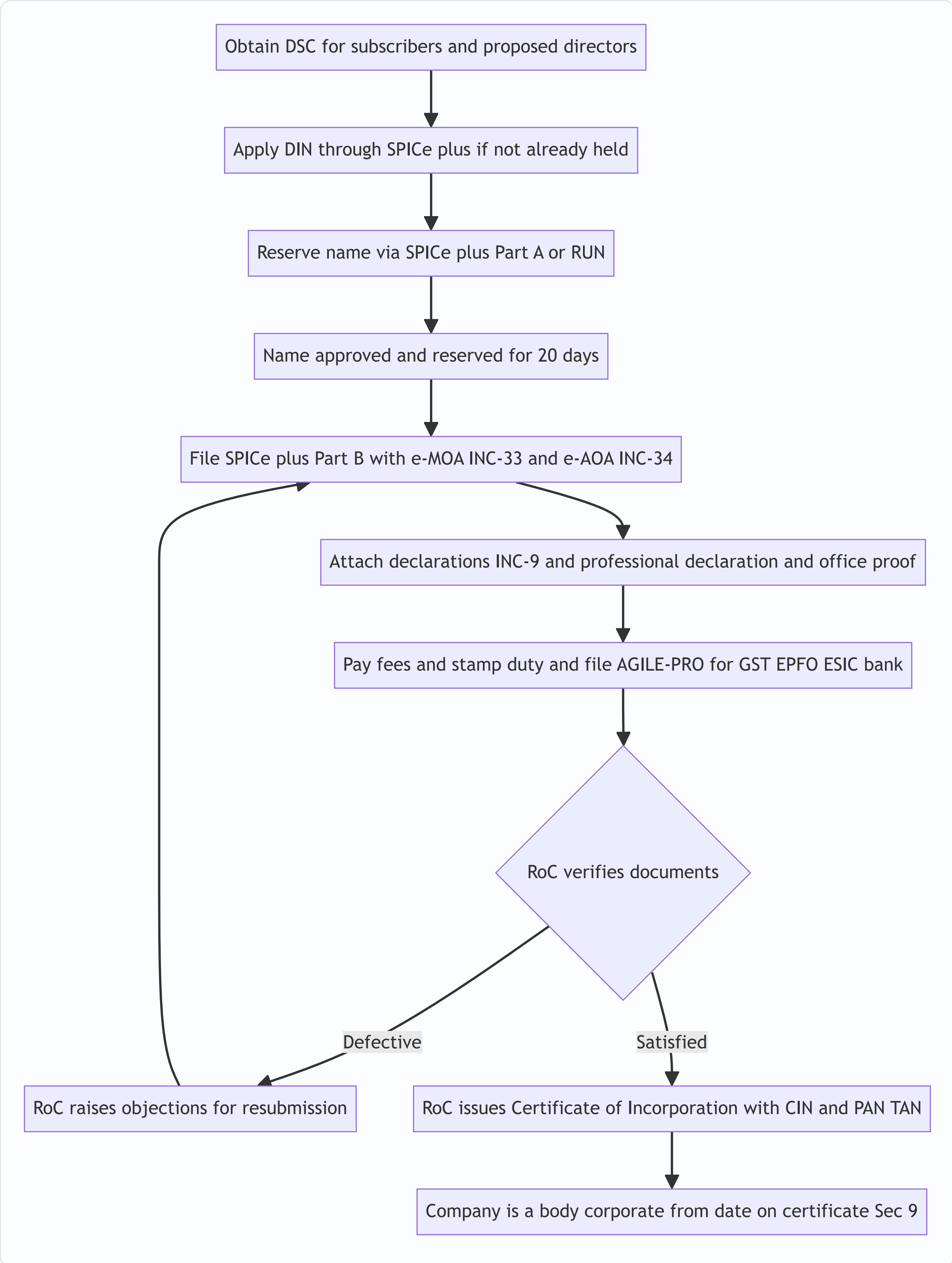

Figure 1: The incorporation pipeline — from digital signatures to a living body corporate.

Post-incorporation commencement gate (Sec 10A):

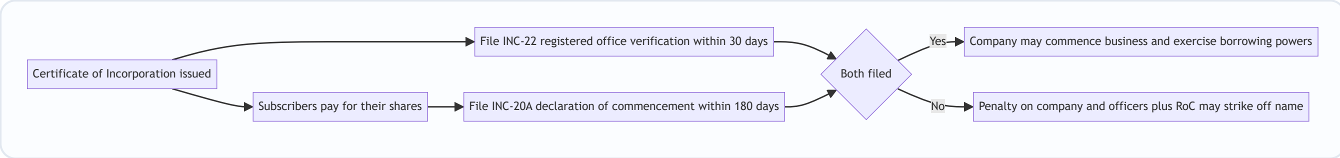

Figure 2: Sec 10A gate — 30 days to prove the address, 180 days to prove the money.

Key forms and timelines:

Form	Purpose	Timeline
SPICe+ (INC-32)	Integrated incorporation application	At formation
INC-33 / INC-34	e-MOA / e-AOA	With SPICe+
INC-9	Subscriber & first-director declaration (no conviction/fraud)	With SPICe+
INC-3	Nominee consent (OPC)	With SPICe+ (for OPC)
AGILE-PRO (INC-35)	GST, EPFO, ESIC, bank account, profession tax	With SPICe+
INC-22	Verification of registered office	Within **30 days** of incorporation
INC-20A	Declaration for commencement of business	Within **180 days** of incorporation
DIR-12	Particulars/appointment of directors	As applicable
MGT-14	File special resolution (name/object/AOA change etc.)	Within **30 days** of the resolution

Alteration timelines (memory anchors): most alterations require a **special resolution** and filing with RoC; registered-office change *outside the State* needs **Regional Director** confirmation; special resolutions are generally filed in **MGT-14 within 30 days**. A **name change** is effective only on issue of a **fresh certificate of incorporation**. *Confirm exact filing windows in ICAI material.*

Generic alteration checklist (works for MOA name/object and AOA changes): (1) **Board meeting** to approve the proposal and fix the general meeting; (2) issue notice and hold the **general meeting**, pass the **special resolution**; (3) file the **special resolution in MGT-14 within 30 days**; (4) obtain the **extra approval** if the clause needs it (CG/RoC for name, Regional Director for cross-jurisdiction office shift, RD for public→private); (5) file the specific alteration form and pay fees; (6) the change takes effect **on registration** by the RoC (for a name change, on issue of the **fresh certificate of incorporation**). *Memory spine: Board → SR → MGT-14 → extra approval → file → RoC registration.*

A word on ongoing "office reality" filings. Beyond the one-time INC-22, the Ministry has from time to time required an **active-office verification (INC-22A / "ACTIVE")** to weed out shell companies that filed an address but do not actually operate there. *Treat the existence and exact triggers of INC-22A as a "verify current position in ICAI material" item* — it is periodically amended — but understand its logic: it is the *continuing* enforcement of the same Section 1 principle that an entity you cannot physically find is an entity you cannot hold accountable.

Approving authority — one-glance map (who signs off what):

Action	Members' resolution	Extra authority
Alter Articles (Sec 14)	Special resolution	None (file RoC)
Alter object clause (Sec 13)	Special resolution	None (public-money exit if applicable)
Change of name (Sec 13)	Special resolution	Central Government / RoC (fresh certificate)
Registered office, same State same RoC	Board / SR as applicable	None (INC-22)
Registered office, another State (Sec 13(4))	Special resolution	**Regional Director** confirmation
Public → Private conversion	Special resolution	**Regional Director** approval
Private → Public conversion	Special resolution	None

Figure/aid: the harder the loss of public protection, the higher the authority required.

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7. Connections — how this chapter wires into the rest of the syllabus

- **Chapter 01 (Preliminary / definitions):** the types of company — public, private [Sec 2(68)/2(71)], OPC [Sec 2(62)], small company [Sec 2(85)], government company [Sec 2(45)], Sec 8 (charitable) company — are the *inputs* to incorporation (minimum members, capital, name suffix). Note **Sec 8** companies are formed by a **licence** and may **omit "Limited"/"Private Limited"** from the name — an exception to the Sec 4 name-suffix rule.
- **Prospectus & Allotment (Sec 23–42):** the promoter's fiduciary duty and pre-incorporation liability flow directly into prospectus mis-statement liability (Sec 34/35) and the concept of a public offer; the Sec 2(69) "named in prospectus" limb links promoter status to prospectus law.
- **Share Capital & Debentures (Sec 43–72):** the capital clause of the MOA, and the alteration of capital (Sec 61/64), connect here; Sec 10A's "payment for shares" links to allotment and to the *actual receipt* of subscription money.
- **Management & Administration / Meetings (Sec 96–122):** special resolutions used to alter MOA/AOA, entrenchment, and MGT-14 filing; the *quorum/board-resolution* internals that Turquand lets outsiders assume.
- **Directors (Sec 149 onward):** first directors, DIN, consent (DIR-2), minimum/maximum directors, and disqualifications screened at incorporation (INC-9).
- **Registered office & name change:** ties to Sec 12 (registered office particulars, display of name, INC-22) and Sec 4 name rules and Sec 16 rectification of name.
- **Winding up / Strike off (Sec 248):** Sec 10A default and non-commencement feed directly into the RoC's power to strike a company off the register.
- **Other laws:** the **Specific Relief Act 1963** (pre-incorporation contracts), the **Indian Contract Act** (capacity to contract — why an unborn company cannot ratify; agent for non-existent principal), and **General Clauses Act** interpretive rules.
- **Dormant & inactive companies (Sec 455):** a company formed for a future project or to hold an asset, with no significant accounting transactions, may obtain *dormant* status — the mirror image of the Sec 10A "must commence" pressure; both police the *reality* of the entity from opposite ends.

- **NCLT / Tribunal jurisdiction:** incorporation-by-fraud orders [Sec 7(5)–(7)], reduction-of-capital confirmation (Sec 66), and oppression/mismanagement remedies all route to the Tribunal — the forum that polices abuses of the very separateness this chapter grants.
- **Sec 2(85) small company:** a size-based *status* (not a type) carried by a private company; it links incorporation to the compliance-relief regime and toggles off automatically once the capital/turnover thresholds are crossed.

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8. Traps & Examiner Tricks

1. **Ratify vs Adopt (pre-incorporation contracts).** The company **cannot ratify** (no principal existed) but **can adopt/enforce** under the Specific Relief Act. Writing "the company ratified" is wrong; "the company adopted" is right.
2. **Ultra vires the company vs ultra vires the directors.** Only *ultra vires the company* (beyond MOA objects) is **void and un-ratifiable**. *Ultra vires the directors/articles* is within company capacity and **can be ratified** by members. Examiners deliberately blur the two.
3. **Constructive notice vs indoor management — who is protected?** Constructive notice **protects the company** (outsider deemed to know public docs). Indoor management **protects the outsider** (may assume internal compliance). Reverse them and you lose the marks.
4. **Turquand exceptions.** Forgery is **never** cured; knowledge or suspicion defeats the rule. A candidate who applies Turquand to a forged document has fallen for the trap (Ruben v Great Fingall).
5. **MOA supremacy.** Where AOA conflicts with MOA, **MOA wins**; where MOA/AOA conflict with the **Act**, the **Act wins.** Both are subordinate to the statute.
6. **Certificate conclusiveness is not a fraud shield.** Post-2013, Sec 7(5)–(7) let the NCLT act (even winding up) where incorporation was by fraud/false info. Old notes calling the certificate "absolutely conclusive" are outdated. *But* it *is* conclusive as to purely technical/procedural defects and even the **date** (Jubilee Cotton Mills).
7. **Sec 11 vs Sec 10A.** The original commencement certificate (Sec 11) was **omitted in 2015**; the current gate is **Sec 10A (2018)** — 180 days / INC-20A. Don't cite the repealed section as live law.
8. **Minimum members trap.** *Members* to **form**: 7 (public) / 2 (private) / 1 (OPC). Don't confuse with *directors* (3 / 2 / 1), with the *maximum* members (200 for private, excluding certain persons), or with *maximum* directors (15).
9. **Name reservation validity.** For a **new** company the reserved name is valid **20 days** from approval; for an **existing** company changing name, **60 days**. *Confirm the current figures; they have changed over time.*
10. **Public→Private needs an authority; Private→Public does not.** Because going private reduces public protection, it needs Regional Director approval; going public increases transparency, so a simple SR + filing suffices.
11. **Salomon / Macaura / Lee trio.** Salomon = separate legal person (limited liability upheld). Macaura = members don't own company assets (no insurable interest). Lee = the same person can be both sole shareholder *and* employee. All three are faces of the *same* separateness principle.
12. **Veil-lifting is the safeguard on the safeguard.** Incorporation grants separateness; veil-lifting withdraws it where used for fraud/evasion/sham. Expect a scenario testing whether the veil should be lifted — organise the answer as *judicial* vs *statutory* grounds.

13. **Ultra vires borrowing is not "lender gets nothing."** The loan is void, yet the lender recovers via **tracing** (money still identifiable) and **subrogation** (money used to pay lawful debts). Writing "void, therefore lender loses everything" is the trap.
14. **State vs address in the situation clause.** The **MOA fixes only the State** (change → Sec 13). The **exact address is Sec 12/INC-22** (change within State → easy). Don't apply Regional Director confirmation to an intra-State, same-RoC shift.
15. **Disclosure to a controlled Board is no disclosure.** A promoter's secret profit is legitimised only by disclosure to an **independent** Board or the **whole body of members** (Erlanger). Disclosure to his own nominees does not save him.
16. **Alteration valid, contract breached — give the two-part answer.** A company cannot contract away its statutory power to alter articles; the alteration stands, but damages may follow for breaking a separate contract (Southern Foundries).
17. **Sec 8 name exception.** A charitable (Sec 8) company may drop "Limited"/"Private Limited." Don't mark such a name as defective under Sec 4.
18. **OPC one-OPC rule.** A natural person can be member of only **one** OPC and nominee of only **one** OPC; OPC cannot do NBFC-investment activity or be a Sec 8 company. These narrow eligibility points are frequent one-mark testers — *confirm current residency-day threshold.*
19. **Kelner vs Newborne — capacity of the signature.** Personal liability on a pre-incorporation contract depends on *how* the promoter signed: as *agent* "on behalf of" (Kelner → personally liable) versus in the *company's own name* (Newborne → no contract, no one liable). Do not give a single flat rule.
20. **A lone director or secretary cannot bind the company by office alone.** Turquand and ostensible authority protect a reasonable outsider, but neither implies that a single director or the company secretary can, merely by virtue of office, commit the company to a major contract without a holding-out or a regular appointment.
21. **Sec 61 alteration vs Sec 66 reduction of capital.** Sec 61 (increase, consolidate, sub-divide, convert to stock, cancel *unissued* shares) needs no Tribunal; Sec 66 *reduction* (returning or cancelling *issued* capital) needs **Tribunal** confirmation because it depletes the creditors' buffer. Cancelling *unissued* shares is diminution, **not** reduction.
22. **Charitable/political donations are not automatically ultra vires.** A payment reasonably incidental to the business (or CSR under Sec 135 where applicable) is intra vires; only *purposeless, unconnected* gifts fall foul of the doctrine.
23. **Entrenchment measures on a different base.** An entrenched clause requiring, say, 95% of *total voting power* can defeat a resolution that easily cleared the 75%-of-votes-cast special-resolution bar. Watch which denominator the question uses.
24. **Deemed public company.** A private company that is a *subsidiary of a public company* is treated as public for many purposes — the private label can be lost by ownership structure, not just by choice. *Confirm current effect in ICAI material.*
25. **"Small company" is a status, not a type.** You do not *incorporate* a small company; a private company *becomes* one by staying under the capital/turnover thresholds and *ceases* to be one the moment it crosses them. Do not list it alongside public/private/OPC as a formation choice.
26. **Sec 3A is live law again.** Members falling below the minimum, business carried on **beyond 6 months**, member **aware** → that member is **severally liable** for debts contracted *after* the 6 months. Older notes

saying the 1956 rule "was not carried forward" are outdated — the 2017 amendment reinstated it as Sec 3A. Watch the grace period and the "aware" condition.

27. **Registered-office move — jurisdiction, not State lines, is the trigger.** A shift crossing from one **RoC's jurisdiction** to another needs Regional Director confirmation *even within the same State*; a shift within the same local limits needs only a **board resolution**. Do not tie the RD requirement solely to crossing a State border.
28. **Mis-description makes the signatory personally liable.** Signing a bill/cheque/order in a wrong or abbreviated company name (Sec 12 identity rules) can fix the *signatory* with personal liability — a statutory veil-lift that examiners hide inside a "small" facts question.
29. **INC-3 vs INC-4 (OPC nominee).** INC-3 *appoints* the nominee at formation; INC-4 records a *change/withdrawal* of nominee. On the sole member's death the nominee becomes member automatically and must name a fresh nominee.
30. **Sec 8 MOA alteration needs CG approval.** A charitable company cannot alter its memorandum merely by the ordinary Sec 13 route — it also needs **Central Government** approval, because the alteration could dilute the charitable character that earned its concessions.
31. **A member owns shares, not the company's assets *or* its income.** *Macaura* (no insurable interest in company property) and *Bacha F. Guzdar* (dividend from a tea company is not agricultural income) are the two faces of this. Do not pass the company's asset-ownership or income-character down to the shareholder.
32. **A company is a person but not a citizen.** It has separate legal personality yet cannot claim fundamental rights reserved for citizens (*State Trading Corporation*, *Tata Engineering*). "The company is a legal person, therefore it has all a citizen's rights" is wrong.
33. **Object change with public money needs more than an SR.** Under Sec 13(8), if public money was raised and remains unutilised, the object change also needs advertisement and a **dissenter exit offer**. A bare special-resolution answer loses marks.
34. **Breach of warranty of authority is the outsider's fallback.** Where a contract is void (ultra vires) or unauthorised, the innocent outsider may still sue the *agent personally* for warranting an authority he did not have — do not conclude "the outsider is simply remediless."

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9. First-Principles Recap

Strip everything away and this chapter is one sentence: *society will let you conjure an immortal, limited-liability person, but only through a public, verified, documented birth, with a written constitution that fixes what the person is (MOA) and how it runs (AOA), plus a fair set of rules about whom the outside world can trust.*

- The **problem** was faceless, unaccountable, purpose-less entities defrauding the public under the cloak of limited liability.
- The **fix** is registration (public birth), a constitution (MOA outward + AOA inward), and three balancing doctrines: **ultra vires** (managers can't exceed the objects), **constructive notice** (you're deemed to know the public documents), and **indoor management** (but you may assume the hidden internals were done right).
- Every rule answers one of **three questions**: *is the entity real?* (registration, certificate, Sec 10A, office), *what may it do and can I trust a change?* (objects, ultra vires, hard alteration, entrenchment), *can I trust the person binding it?* (constructive notice, Turquand, statutory contract, veil-lifting).

- The **certificate** gives certainty; **Sec 7(5)–(7)** and **veil-lifting** stop that certainty from becoming a fraudster's shield.
- **Sec 10A** ensures the newborn actually has real money and a real address before it trades.
- **Conversion** lets the company change its clothes without escaping its past debts (Sec 18(3)).
- **Sec 464** guards the *entry threshold* — grow a profit-venture beyond the prescribed number and you must incorporate or be an illegal, un-sueable association; **Sec 3A** guards the *floor* — run below the minimum membership past the grace period and the aware members lose the limited-liability shield.
- The **registered office** (Sec 12) and the **resident director** (Sec 149(3)) are the two physical anchors that keep an artificial person reachable in the jurisdiction; **Sec 20/21** fix who receives its documents and who may sign for it.
- The **promoter's fiduciary duty** is the chapter's first safeguard — it begins *before* the company breathes, and the company's remedies (rescission, disgorgement, damages) mirror the wrong done.
- The whole design is a **risk allocation between insiders and outsiders**; when a fact pattern confuses you, ask *whose risk is this rule shifting, and to whom?*

If you can re-derive each section from the abuse it prevents, you never have to memorise it.

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10. Quick-Revision Sheet

Topic	Section	Key content / limit	One-line why
Promoter (definition)	**2(69)**	Named, or controls affairs, or Board acts on his instructions	Catch the real controller, named or hidden
Promoter duty	(fiduciary)	No secret profit; full disclosure to *independent* Board/members; personally liable pre-incorporation	Founding deal must be honest
Pre-incorporation contract	Specific Relief Act **15(h)/19(e)**	Company can't ratify but can **adopt**; promoter personally liable (Kelner v Baxter)	Unborn person has no capacity
Formation — min members	**3**	Public **7**, Private **2**, OPC **1**	Match founding base to public exposure
Max members / directors	2(68)/149	Private max **200** members; directors 3/2/1 min, **15** max	Cap public-sized crowds; ensure a board
MOA — clauses	**4**	Name, Situation(State), Object, Liability, Capital, Subscription	Public charter facing outward
Name rules	**4(2)-(4), 16**	No identical/undesirable/restricted name; reserved **20 days** (new)/60 (existing); Sec 16 rectification	Prevent deception & passing-off
Ultra vires	(Sec 4 objects)	Act beyond objects **void**, un-ratifiable (Ashbury); borrowing recoverable by tracing/subrogation	Protect investors' stated purpose
Alter MOA	**13**	SR; +CG for name; +RD for office to another State; object SR; MGT-14 in 30 days	MOA promise not changed lightly
AOA	**5, Sch I Tables F–J**	Internal rulebook; model articles; Table F default; **entrenchment** allowed	Governance facing inward
Alter AOA	**14**	Special resolution; can't breach MOA/Act or increase liability; can't contract away power (Southern Foundries)	Members re-govern themselves
MOA/AOA as contract	**10**	Binds company & members inter se; outsiders excluded (Eley); member-to-member (Rayfield)	Statutory contract
Constructive notice	(doctrine)	Outsider deemed to know public docs; weak in practice	Protects the **company**
Indoor management	(Turquand)	Outsider may assume internal compliance; not for forgery/knowledge/suspicion/no-authority	Protects the **outsider**
Incorporation filing	**7**	SPICe+, e-MOA(33)/e-AOA(34), INC-9 declaration, professional declaration, office proof	Verified public birth

Topic	Section	Key content / limit	One-line why
Certificate of Incorporation	**7(2), 9**	Body corporate, separate person, perpetual succession, CIN; conclusive even as to date (Jubilee)	The legal DNA
Fraud in incorporation	**7(5)-(7)**	Sec 447 fraud; NCLT may wind up/strike off	Certificate is no fraud shield
Separate personality	(Salomon/Lee)	Company distinct from members; Macaura – no member insurable interest; Lee – shareholder can be employee	The core magic
Veil lifting	(case + statute)	Judicial: fraud/enemy/sham/tax (Gilford, Daimler, Dinshaw); statutory: mis-description, fraudulent business, Sec 7(5)	Safeguard on the safeguard
Commencement of business	**10A**	INC-20A within **180 days** + INC-22 within **30 days**; only share-capital companies	No trading by empty shells
Registered office verification	**12 / INC-22**	Within **30 days**	A real, reachable address
Conversion (general)	**18**	Re-registration; debts survive **[18(3)]**	Change clothes, keep history
Private→Public	14 + 18	SR + raise members(7)/directors(3), file RoC	Increases transparency – easier
Public→Private	14 + 18	SR + **Regional Director** approval	Reduces oversight – guarded
OPC conversion	18, Rules 6/7	Voluntary/compulsory; 2021 removed mandatory thresholds & 2-yr wait	Solo venture outgrows itself
Sec 8 company	**8**	Charitable; formed by licence; may drop "Limited"; outside Sec 10A if no capital	Purpose over profit
Pre-incorp signature	Kelner / Newborne	Agent form → promoter personally liable; company-name form → no contract, no one liable	Capacity of signature decides
Capital alteration vs reduction	**61 / 66**	Sec 61 increase/consolidate/sub-divide/convert-to-stock/cancel-unissued (no Tribunal); Sec 66 reduction (Tribunal)	Don't deplete creditors' fund without a court
Ostensible authority	Freeman & Lockyer	Company holds officer out + outsider relies + no notice → company bound	Sibling of Turquand
Implied powers	(Sec 4 objects)	Reasonably-incidental powers implied; purposeless gifts ultra vires	Means to the stated end only
Small company	**2(85)**	Size-based status of a private co; toggles off on crossing thresholds	Relief while genuinely small
Dormant company	**455**	Inactive/future-project company may seek dormant status	Mirror of the Sec 10A reality test

Topic	Section	Key content / limit	One-line why
Members below minimum	**3A**	Below 7/2, business >6 months, member aware → severally liable for post-grace debts	Don't run on an under-populated register
Registered office	**12**	Verify (INC-22) in 30 days; display name/CIN; move by board/SR/RD per distance	The legal home and identity anchor
Service & authentication	**20 / 21**	Serve at registered office; authenticate via KMP/authorised officer	Fix who receives and who signs
OPC nominee	INC-3 / INC-4	Appoint via INC-3, change via INC-4; nominee becomes member on death	Built-in succession for a solo company
Illegal association	**464**	>50 (cap 100) in business for gain without registration = illegal; HUF & regulated professionals excepted	Grow beyond the threshold → must incorporate
Object change with public money	**13(8)**	SR + advertisement + exit offer to dissenters	Don't repurpose the public's money silently
Promoter remedies	(fiduciary)	Rescission (with bars), account of secret profit, or damages — elect one	Match the remedy to the wrong
Sec 10 relationships	**10**	Company↔member and member↔member bind; outsiders excluded	Contract inside the membership only
Member ≠ owner of assets/income	Macaura / Bacha Guzdar	No insurable interest in company property; dividend from tea co. not agricultural income	A member owns shares, not the business
Company not a citizen	STC / Tata Engineering	Legal person, but no citizen-only fundamental rights	Personality is not citizenship
Warranty of authority	(common law)	Agent who over-claims authority is personally liable to the outsider	Loss falls on the misrepresenter
Small company reliefs	**2(85)**	Fewer board meetings, no cash-flow statement, abridged return, lower penalties	Compliance calibrated to size

Flag: verify the current name-reservation windows, OPC threshold/residency position (post-2021), Sec 10A penalty amounts, Sec 16 rectification period, and exact filing windows (MGT-14/INC forms) against the latest ICAI Study Material / bare Act before the exam, as these figures have been amended over time.

Q&A — Incorporation of a Company

> Exam-oriented question bank for CA Intermediate, Corporate & Other Laws. Every question is followed immediately by a complete model answer citing the relevant Sections of the Companies Act, 2013 (and, where relevant, the Specific Relief Act, 1963). Cases are used only as decided law; no provision is invented.

Part A — Concept-Check Questions (short, definitional)

A1. Who is a "promoter" under the Companies Act, 2013? Answer. Under **Section 2(69)**, a promoter is a person: (a) named as such in the prospectus or in the annual return under **Section 92**; or (b) who has control over the affairs of the company, directly or indirectly, whether as a shareholder, director or otherwise; or (c) in accordance with whose advice, directions or instructions the Board of Directors is accustomed to act. A person acting merely in a professional capacity (e.g., a lawyer or CA advising on formation) is expressly excluded.

A2. What is the legal status of a promoter towards the company? Answer. A promoter is neither an agent nor a trustee of the company (the company does not exist when he acts), but stands in a **fiduciary relationship** to it. He must not make any secret profit, must make full disclosure of his interest, and any undisclosed profit is recoverable. He may be liable for mis-statements in the prospectus under **Sections 34 and 35** and for fraud under **Section 447**.

A3. Name the clauses of the Memorandum of Association under Section 4. Answer. Under **Section 4**, the MOA contains six clauses: (1) **Name** clause, (2) **Situation/Registered office** clause (the State), (3) **Object** clause, (4) **Liability** clause, (5) **Capital** clause, and (6) **Subscription/Association** clause. Mnemonic: N-S-O-L-C-S.

A4. What is the Doctrine of Ultra Vires? Answer. An act done beyond the objects stated in the MOA (Section 4 object clause) is **ultra vires the company** and **void ab initio**. It cannot be ratified even by unanimous consent of members, because ratification cannot cure an act the company never had capacity to do. Leading case: *Ashbury Railway Carriage & Iron Co. v Riche (1875)*.

A5. What are the minimum members required to form a company under Section 3? Answer. Under **Section 3**: a **public** company requires **7 or more** members, a **private** company requires **2 or more** members, and a **One Person Company (OPC)** requires **1** member.

A6. What is the effect of the Certificate of Incorporation under Sections 7(2) and 9? Answer. On registration, the Registrar issues a **Certificate of Incorporation** with a Corporate Identity Number (CIN) under **Section 7(2)**. From the date mentioned, under **Section 9**, the company becomes a **body corporate** — a separate legal person with perpetual succession, capable of owning property, contracting, and suing/being sued in its own name — and the subscribers become its members.

A7. Distinguish the Doctrine of Constructive Notice from the Doctrine of Indoor Management. Answer. Constructive notice deems every person dealing with the company to have read and understood its public documents (MOA and AOA); it **protects the company**. The **doctrine of indoor management (Turquand's rule)** allows an outsider dealing in good faith to assume that internal procedural requirements have been complied with; it **protects the outsider**. Source cases: *Royal British Bank v Turquand (1856)*.

A8. Can a company be bound by a contract made before its incorporation? Answer. No. Before incorporation the company has no legal existence and no capacity, so it is not bound and **cannot ratify** a pre-incorporation contract; the promoter is personally liable. However, under **Sections 15(h) and 19(e) of the Specific Relief Act, 1963**, if the contract was for the purposes of the company and the company **adopts/warrants** it after incorporation, the other party may enforce it against the company.

A9. What is the requirement for commencement of business under Section 10A? Answer. A company having share capital incorporated on or after 2 November 2018 cannot commence business or exercise borrowing powers unless: (i) every subscriber files a declaration in **Form INC-20A** within **180 days** of incorporation confirming payment for shares taken, and (ii) it has filed verification of registered office in **Form INC-22** (within **30 days** under **Section 12**).

A10. What are entrenchment provisions in the Articles? Answer. Under **Section 5(3) and 5(4)**, articles may contain **entrenchment provisions** requiring conditions **more restrictive than a special resolution** (e.g., unanimous consent) for altering specified provisions. Entrenchment must be notified to the Registrar.

Part B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Pre-incorporation contract. *Facts:* Before "GreenAgro Pvt Ltd" was incorporated, promoter P signed a contract in the company's name to buy farmland from F. After incorporation the company refuses to pay, arguing it never signed the contract. F sues the company. *Legal analysis:* At the date of the contract the company did not exist and had no capacity to contract; therefore it cannot **ratify** the contract (there was no principal in existence). Under general company law the promoter **P is personally liable** on such a pre-incorporation contract. However, under **Sections 15(h) and 19(e) of the Specific Relief Act, 1963**, if the contract was entered into for the purposes of the company and the company **adopts** it after incorporation, F may enforce it against the company. *Conclusion:* If the company adopted/warranted the contract, F can enforce it against the company; if it did not, F's remedy lies against P personally. The company "cannot ratify but can adopt."

B2. Ultra vires act versus internal irregularity. *Facts A:* A company whose object is "manufacture of textiles" lends Rs 2 crore to finance a friend's film. *Facts B:* The same company borrows Rs 2 crore for its textile mill; the board resolution authorising the borrowing was never actually passed, but the lender bank read the AOA (which permits borrowing on board authorisation) and lent in good faith. *Legal analysis A:* Financing a film is outside the object clause under **Section 4**, hence **ultra vires the company** and **void**; it cannot be ratified even unanimously (*Ashbury* principle). Directors are personally liable to restore the funds. *Legal analysis B:* Borrowing is within the company's objects and powers; the defect is purely internal (no resolution). Having read the public documents (constructive notice), the bank may **assume internal compliance under Turquand's rule** as nothing was suspicious. *Conclusion:* Loan A is void and unenforceable — the company is not liable. Loan B binds the company — the bank recovers. Same amount, opposite result, because one breached the outer limit (MOA) and the other only an inner procedure.

B3. Separate legal personality and insurable interest. *Facts:* Mr M owns 99% of "Timber Co Ltd", which owns a stock of timber. M insures the timber in his own personal name. Fire destroys it and M claims. *Legal analysis:* On incorporation under **Section 9** the company is a separate legal person and the timber belongs to the company, not to M. A member does not own the company's property and therefore has **no insurable interest** in it (*Macaura v Northern Assurance Co.*). Ownership of shares is not ownership of company assets

(*Salomon v Salomon & Co Ltd*). *Conclusion:* M's claim fails. The separateness that gives M limited liability also denies him personal ownership of company assets.

B4. Forged share certificate and Turquand's rule. *Facts:* A company's secretary forges the directors' signatures on a share certificate and issues it to T, who claims to be a member relying on the indoor management rule. *Legal analysis:* Turquand's rule permits an outsider to assume procedural regularity, but it **never validates a forgery**; a forged instrument is a nullity (*Ruben v Great Fingall Consolidated*). There is nothing "regular" to assume where the underlying document is forged. *Conclusion:* T acquires no rights and the company is not bound.

B5. Shell company trading before commencement. *Facts:* "Nimbus Trading Ltd" (having share capital) is incorporated on 1 January 2025. On day 40 it takes a bank loan and starts trading, but subscribers have not paid for their shares and no Form INC-20A or INC-22 has been filed. *Legal analysis:* Under **Section 10A**, a company with share capital cannot commence business or exercise borrowing powers until it files the **INC-20A** declaration of paid subscription (within 180 days) and verifies its registered office in **INC-22** (within 30 days under **Section 12**). Nimbus borrowed prematurely. *Conclusion:* Penalty is attracted on the company and every officer in default under Section 10A; the borrowing was in violation of the section, and the Registrar may act to strike off the company for not carrying on genuine business.

B6. Alteration of registered office from one State to another. *Facts:* XYZ Ltd, registered in Maharashtra, wants to shift its registered office to Gujarat. It passes a special resolution and files it, then treats the shift as complete. *Legal analysis:* Under **Section 13(4)**, altering the situation clause to shift the registered office from one State to another requires a special resolution **plus confirmation by the Regional Director (Central Government)**, because the change affects jurisdiction and the interests of creditors and employees who must be heard. The alteration takes effect only on registration with the Registrar of both States. *Conclusion:* The special resolution alone is insufficient; the shift is invalid until Regional Director confirmation is obtained and the change is registered.

B7. Fraud in obtaining incorporation. *Facts:* Promoters of "Vega Ltd" obtain the certificate of incorporation by furnishing false identity documents and suppressing material facts about a subscriber. *Legal analysis:* Although the certificate is conclusive as to procedural regularity, under **Sections 7(5), 7(6) and 7(7)**, where incorporation is obtained by furnishing false information or suppressing material facts, the promoters, first directors and persons making the declaration are liable for **fraud under Section 447**, and the **Tribunal (NCLT)** may pass orders including regulation of the company, alteration of members' liability, or removal of the name / winding up. *Conclusion:* The certificate is no shield against fraud; the promoters face Section 447 liability and NCLT action.

Part C — Past-Paper-Style Descriptive Questions

C1. Explain the doctrine of ultra vires and distinguish an act ultra vires the company from one ultra vires the directors. Answer. The doctrine of ultra vires holds that any act beyond the objects stated in the MOA (**Section 4**) is void and cannot be ratified, protecting members and creditors from managers exceeding the stated purpose (*Ashbury Railway Carriage v Riche*). An act **ultra vires the company** is beyond the object clause itself — it is void ab initio and cannot be ratified even by unanimous shareholders; a member may seek an injunction and directors are personally liable to restore funds. An act **ultra vires the directors or the Articles** is within the company's capacity but exceeds the internal authority conferred on the Board; such an act is only irregular and **can be ratified** by the members in general meeting. Only the former is fatal — a favourite examiner distinction.

C2. Explain the doctrine of indoor management and its exceptions. Answer. Under the doctrine of indoor management (*Royal British Bank v Turquand*), an outsider dealing with a company in good faith is entitled to assume that all internal procedural requirements have been duly complied with; he need only ensure that the transaction is permitted by the public documents, not that internal formalities actually occurred. It is the counterpart to constructive notice — the outsider can read public documents but cannot see inside the boardroom. **Exceptions** (where the rule does not protect the outsider): (1) **actual knowledge** of the irregularity; (2) **suspicion / negligence** where circumstances put the person on inquiry; (3) **forgery**, which the rule never validates (*Ruben v Great Fingall*); (4) acts **beyond apparent/ostensible authority** of the officer; and (5) where the person had **no knowledge of the articles** and did not rely on them.

C3. Discuss the consequences of incorporation with reference to decided cases. Answer. On incorporation under **Section 9**, the company becomes a body corporate with these consequences: (a) **Separate legal entity** — the company is distinct from its members (*Salomon v Salomon & Co Ltd*); members do not own company property (*Macaura v Northern Assurance*). (b) **Limited liability** — members risk only the unpaid amount on their shares or the guaranteed sum. (c) **Perpetual succession** — members may change but the company continues. (d) **Capacity to sue, be sued, contract and hold property** in its own name. (e) **Lifting the corporate veil** — courts and statute look behind the entity where it is used for fraud, tax evasion, to defeat law, or as a sham (*Gilford Motor Co v Horne*; *Daimler v Continental Tyre* on enemy character), so incorporation is not a licence to cheat.

C4. State the documents to be filed with the Registrar for incorporation under Section 7. Answer. Under **Section 7(1)** (filed via SPICe+/INC-32 with e-MOA INC-33 and e-AOA INC-34): (i) the **MOA and AOA** signed by all subscribers; (ii) a **declaration by a professional** (advocate/CA/CS/CWA) and by a person named as director that all requirements of the Act have been complied with; (iii) a **declaration by each subscriber and first director in INC-9** under Section 7(1)(c) that he is not convicted or guilty of any fraud in connection with formation; (iv) the **address for correspondence** until the registered office is fixed; (v) **particulars of subscribers and first directors** with identity/address proof and DIN; and (vi) **consent of first directors (DIR-2)**. Registered office proof is filed in **INC-22** within 30 days if not given at incorporation.

C5. Explain the alteration of the Articles of Association under Section 14 and its limits. Answer. Under **Section 14**, a company may alter its articles by passing a **special resolution**, filing it with the Registrar. This is easier than altering the MOA because the articles are the members' own internal arrangement. The **limits** are: the alteration must not conflict with the MOA or the Act; must not **increase the liability** of a member to contribute more without written consent; must be **bona fide for the benefit of the company as a whole**; must not be illegal or against public policy or override a Tribunal order; and conversion of a public company into a private company by altering the articles requires **Tribunal/Regional Director approval** under the proviso to Section 14. The MOA and AOA constitute a **statutory contract** binding the company and members inter se under **Section 10**, but confer no rights on outsiders (*Eley v Positive Life Assurance*).

C6. Write short notes on conversion of a company under Section 18, and the effect of conversion on existing liabilities. Answer. Under **Section 18**, a company may convert from one class to another by altering its MOA/AOA and re-registering; the Registrar issues a fresh certificate reflecting the changed status. A **private-to-public** conversion needs a special resolution and raising members to 7 and directors to 3, and is comparatively easy as it increases transparency. A **public-to-private** conversion needs a special resolution **plus Regional Director approval**, as it reduces public oversight. Crucially, under **Section 18(3)**, conversion

does not affect any debts, liabilities, obligations or contracts incurred before conversion — they continue and may be enforced as if there were no conversion. The company changes its coat, not its history.

Part D — MCQs and Case Scenarios

D1. An act which is ultra vires the company can be ratified by: (a) An ordinary resolution (b) A special resolution (c) A unanimous resolution of all members (d) None — it cannot be ratified at all **Answer: (d).** An ultra vires act is void ab initio (Section 4 objects; *Ashbury*) and cannot be ratified even unanimously.

D2. The minimum number of members required to form a public company under Section 3 is: (a) 2 (b) 3 (c) 7 (d) 1 **Answer: (c) 7.** Section 3 fixes 7 for public, 2 for private, 1 for OPC.

D3. The doctrine that deems every outsider to have read the company's public documents is: (a) Indoor management (b) Constructive notice (c) Ultra vires (d) Ratification **Answer: (b) Constructive notice.** It protects the company by deeming knowledge of the registered MOA and AOA.

D4. A company having share capital must file Form INC-20A for commencement of business within: (a) 30 days (b) 90 days (c) 180 days (d) 365 days **Answer: (c) 180 days.** Section 10A requires the declaration of commencement within 180 days of incorporation.

D5. The rule in *Royal British Bank v Turquand* does NOT protect an outsider where: (a) The board resolution was passed (b) The document was forged (c) The transaction was within objects (d) The outsider acted in good faith **Answer: (b) The document was forged.** Turquand's rule never validates a forgery (*Ruben v Great Fingall*).

D6. Shifting the registered office from one State to another requires a special resolution plus confirmation by: (a) The Registrar only (b) The Tribunal (c) The Regional Director (Central Government) (d) The Central Bank **Answer: (c) Regional Director.** Section 13(4) requires Regional Director confirmation for an inter-State shift.

D7. Case scenario. Mr A insures, in his own name, a building owned by "Alpha Ltd" in which he holds 95% shares. The building is destroyed and A claims. The insurer denies liability. Which is correct? (a) A can claim as majority shareholder (b) A cannot claim as he has no insurable interest in company property (c) A can claim half the value (d) The company and A share the claim **Answer: (b).** Under Section 9 the property belongs to the company, a separate person; a member has no insurable interest in company assets (*Macaura*).

D8. Case scenario. Before incorporation, promoter Q signs a lease "for and on behalf of Beta Ltd (under formation)". After incorporation Beta Ltd wants to enforce the lease against the landlord who now refuses. Which is correct? (a) Beta Ltd can ratify the lease automatically (b) Beta Ltd can never enforce it (c) Beta Ltd can enforce it if it adopts the contract, being for its purposes, under the Specific Relief Act, 1963 (d) Only Q can be sued **Answer: (c).** A company cannot ratify a pre-incorporation contract but may enforce it by adoption under Sections 15(h)/19(e) of the Specific Relief Act, 1963.

D9. The certificate of incorporation is conclusive evidence of regular incorporation, EXCEPT where: (a) There is a minor typing error (b) Incorporation was obtained by false information or suppression of material facts (c) A director later resigns (d) The name is later changed **Answer: (b).** Under Sections 7(5)–(7), fraud/false information exposes promoters to Section 447 and NCLT action; the certificate is no fraud shield.

D10. Model articles for a company limited by shares are contained in: (a) Table A (b) Table F (c) Table H (d) Table J **Answer: (b) Table F.** Under Section 5 and Schedule I, Table F applies to a company limited by shares.

Incorporation Procedure — Mermaid Diagram

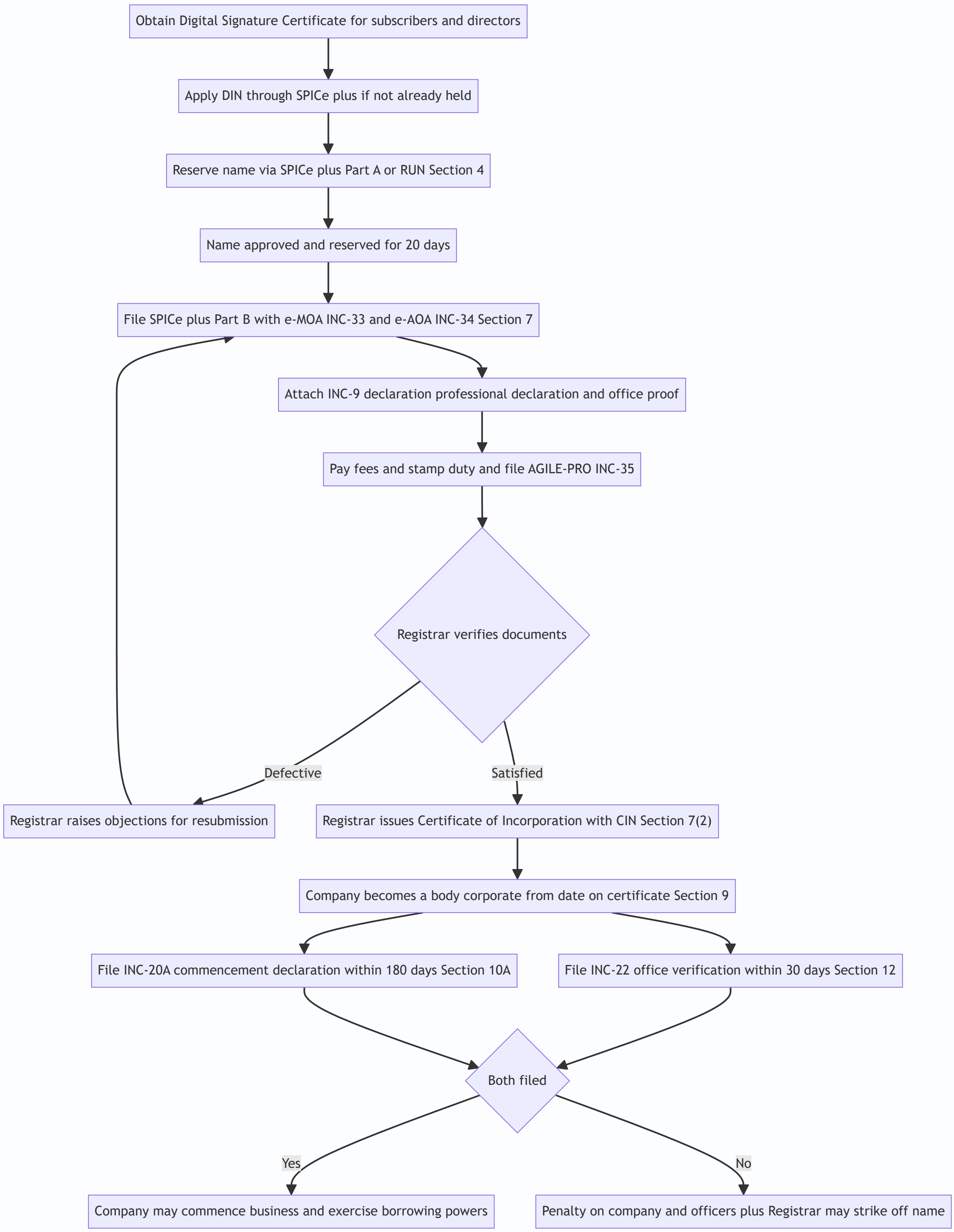

Figure: The incorporation pipeline under the Companies Act, 2013 — from digital signatures to a living body corporate, then through the Section 10A commencement gate.

Statute base: Companies Act, 2013 and the Companies (Incorporation) Rules, 2014; pre-incorporation contracts governed by the Specific Relief Act, 1963. Verify the current name-reservation window, OPC threshold position (post-2021) and exact filing windows against the latest ICAI Study Material / bare Act, as these figures have been amended over time.

Chapter 03 — Prospectus & Allotment of Securities

1. The Problem — Why This Chapter Exists

Imagine you have savings and no way to grow them. Down the road, a company wants to build a factory but has no money. There is an obvious match: you give them your savings, they give you a slice of ownership (shares) or a promise to repay with interest (debentures). This is the entire point of a **public offer** — a company reaching into the pockets of thousands of strangers to raise capital.

Now look at the asymmetry that makes this dangerous. The company knows **everything** about itself — its real profits, its lawsuits, the fact that the "revolutionary product" is a prototype that has never worked. You, the investor, know **nothing** except what the company chooses to tell you. You are handing over real money based purely on a document the company wrote about itself. The company writes the exam **and** grades it.

History is a graveyard of what happens when this asymmetry is left unregulated:

- **The pumped-up promise.** A company advertises "guaranteed 40% returns, factory already running, orders worth crores in hand." Fifty thousand people invest. The factory is a bare plot of land. The promoters take the money and vanish. This is the classic **misleading prospectus**.
- **The silent omission.** The document is technically all true — but it forgets to mention that the company is being sued for its entire net worth, or that the promoter was convicted of fraud last year. Nothing false was *said*; the killer fact was simply *left out*.
- **The money that never comes back.** The company says "we need ₹100 crore to build the plant." Only ₹10 crore comes in — nowhere near enough to build anything. Instead of returning the ₹10 crore, the company keeps it, limps along, and eventually collapses. Investors lose everything to a project that was never viable.
- **The rich-man's loophole abused on the public.** A company quietly issues shares to "a few select persons" to dodge all the public-offer rules — but "a few select persons" turns out to be thousands of ordinary investors solicited through a WhatsApp campaign. The company got public money while escaping every public-money safeguard.
- **The allotment games.** The company collects application money, then plays favourites — allotting to friends, sitting on refunds for months (earning interest on your money), or issuing shares without ever collecting the minimum needed to function.

Every single provision in this chapter is a scar left by one of these frauds. **Prospectus law is not paperwork — it is the law that forces the informed party to tell the uninformed party the truth, on pain of jail, before it can touch the public's money.** Learn each rule as the answer to a specific cheat, and you will never need to memorise it.

One deeper layer — why *company law* and not just fraud law? Ordinary criminal law already punishes cheating. So why a whole special chapter? Because ordinary fraud law is **reactive** — it acts *after* the money is gone, when the promoter has vanished and the cash is spent. Prospectus law is **preventive and structural**: it forces disclosure *before* a rupee changes hands, ring-fences the money *while* it is being collected, and pins personal liability on named humans *in advance* so that deterrence bites before the fraud, not after. The whole chapter is the law shifting from "catch the thief" to "make the theft structurally hard."

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2. The Core Idea — The Protective Principle

The whole chapter rests on a single principle, borrowed from a phrase the courts have used for over a century:

> **"Disclosure is the price of the privilege of raising public money — and full, honest disclosure at that. The golden rule is that those who issue a prospectus must state the truth without concealment."**

Break this into its working parts:

1. **You may raise money from the public — but only through a controlled, standardised, *written* document (the prospectus).** No verbal promises, no "trust me." A document can be examined, filed, and used as evidence.
2. **That document must contain the whole truth.** Not just no lies (that is the low bar) but no *dangerous silences* either. An omission that misleads is treated exactly like a false statement.
3. **The people who put their names to it are personally on the hook.** Directors, promoters, experts, the company itself — if the document lies, they pay (civil) and can be jailed (criminal). Liability is personal so that no one can hide behind the corporate veil.
4. **The public's money is protected even after it is paid in** — through minimum subscription, escrow-style application accounts, strict refund timelines, and limits on where the money can go.
5. **If you want to escape these rules, you must genuinely not be touching the public** — hence the hard line between a **public offer** and a **private placement**, policed so tightly that any attempt to disguise a public issue as private automatically *becomes* a public issue with all its consequences.

Everything technical that follows is just this principle, sharpened into sections and numbers.

The golden legacy of *New Brunswick* and *Derry v Peek*. Two ideas from old English cases still drive the entire chapter, and knowing them lets you *derive* the sections:

- The **"golden rule" of disclosure** (from *New Brunswick & Canada Railway Co. v Muggeridge*): those who invite the public must make disclosure with **scrupulous accuracy** — not just avoid falsehood but avoid **concealment of any material fact**. This is the parent of Sec 26 (mandatory contents) and the "omission = misstatement" rule in Sec 34/35.
- The **fraud/negligence split** (from *Derry v Peek*): *Derry v Peek* held that **deceit (fraud)** requires a false statement made *knowingly, without belief in its truth, or recklessly*. Mere honest carelessness was **not** fraud. The public outcry that "an honest-but-careless director escaped" led Parliament to create a **statutory civil liability** that does **not** require proof of fraud — you only prove the statement was untrue, you relied, and you lost. This is exactly why **Sec 35 (civil)** and **Sec 34 (criminal, needs the fraud/447 element)** are two *different* animals: 35 fixed the gap *Derry v Peek* left open.

Memory hook: *Golden rule = disclose (parent of 26/34/35). Derry v Peek = why civil (35) is easier to win than criminal (34).*

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3. Why It's Built This Way — The Logic of Each Safeguard

Before the section-by-section detail, absorb the *design logic*. If you understand why each safeguard exists, the section numbers become hooks rather than random digits.

The cheat it stops	The safeguard	The logic
"I'll just say it verbally / in an ad and deny it later"	Offer to public **must** be by a **prospectus**, a defined written document (Sec 2(70), 26)	A writing can be filed with the Registrar, dated, and produced in court. Speech evaporates; documents accuse.
"I'll dodge prospectus rules by not calling it a prospectus"	**Deemed prospectus** (Sec 25)	Substance over form. If the effect is a public offer, the label doesn't matter.
"I'll bury the bad facts / omit the lawsuit"	Mandatory contents + **omission = misstatement** (Sec 26, 34, 35)	The dangerous fact is usually the *hidden* one. Silence that misleads must carry the same penalty as a lie, or every fraudster would just stay quiet.
"The document lied but I'm a company, sue the empty shell"	**Personal** civil (Sec 35) and criminal (Sec 34) liability of directors, promoters, experts	Deterrence needs a human who can be fined and jailed. Companies don't feel fear; people do.
"We collected money for a project we can't fund"	**Minimum subscription** (Sec 39)	If you can't even raise the floor amount, the project is unviable — give the money back before it's wasted.
"I'll sit on your refund and earn interest"	Strict **refund timelines** + interest penalty (Sec 39, 40, rules)	Delay itself is a form of theft (time-value of money). Deadlines + penal interest remove the incentive to stall.
"I'll route the public issue to escape listing/monitoring"	Money in a **separate bank account**; securities in **demat**; **listing** requirement (Sec 40)	Ring-fence the public's cash so it can't be siphoned, and force transparency through the exchange.
"I'll issue to 'a few friends' — actually 5,000 people"	Hard cap on private placement (Sec 42) + auto-conversion to public issue if breached	The exemption is only fair if it's genuinely non-public. Breach the ceiling and you lose the exemption entirely.
"I'll keep changing my mind and issue prospectus after prospectus"	**Validity period** of prospectus; **shelf** and **red herring** variants for genuine multi-tranche needs	Give honest issuers efficient tools (shelf/RHP) so they don't need to cheat, while capping staleness.
"I'll spend your application money before the issue even closes"	Money locked in a **separate account**, usable only for allotment or refund (Sec 40, 42)	Pre-allotment the money isn't yet the company's — it's the applicant's, held on a kind of trust. Spending it early is spending money that may have to be returned.

Notice the pattern: **each safeguard is a lock, and each lock was fitted after a specific burglary.** Now the details.

A second organising lens — three time-zones of protection. Every provision fits into one of three phases of the money's journey, and slotting a section into its phase is the fastest way to recall its purpose:

- **BEFORE the money moves (disclosure phase):** Sec 23, 25, 26, 27, 31, 32, 33 — *make the truth visible.*

- **AT the moment of inducement (integrity phase):** Sec 34, 35, 36, 38 — *punish anyone who corrupts the decision to invest.*
- **AFTER the money is collected (custody phase):** Sec 39, 40, 42 (allotment/refund limbs) — *guard, ring-fence, and if the project fails, return the cash.*

If an exam question gives you a fact pattern, first ask "which time-zone are we in?" and the relevant sections almost pick themselves.

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4. Full Technical Content — Section by Section, Each With Its "Why"

> Governing law: **Companies Act 2013, Chapter III — "Prospectus and Allotment of Securities"** (Sections 23 to 42), read with the **Companies (Prospectus and Allotment of Securities) Rules, 2014** and, for listed/public issues, **SEBI (ICDR) Regulations**. Where a precise sub-figure varies by rule amendment, I flag it — always confirm the exact limit in current ICAI material / the bare Act.

4.1 The gateway — how a company may issue securities (Sec 23)

The problem: A company could raise money through any random channel it invents, escaping oversight. **The fix:** Section 23 lists the *only* permitted routes.

- A **public company** may issue securities: (a) to the public by **prospectus** (public offer); (b) through **private placement** (Sec 42); or (c) through a **rights or bonus issue**. Listed / to-be-listed public issues also attract SEBI ICDR.
- A **private company** may issue securities only by (a) **private placement**, or (b) **rights/bonus issue** — a private company is, by definition, forbidden from inviting the public (Sec 2(68)). That prohibition is *why* it's private.

Memory hook: *Public company = three doors (public, private placement, rights/bonus). Private company = two doors (no public door).* The missing door is the whole point of being private.

Finer distinction the exam tests — "issue of securities" vs "public offer". A *public offer* is only **one** of the doors. Sec 23 also expressly recognises that a public company can raise money **without** a public offer (rights, bonus, private placement). Students wrongly assume "public company always means public issue." Not so — a public company can and often does raise capital purely by private placement, never touching a prospectus. The label "public company" describes its *constitution* (free transferability, no member cap), not the *method* by which it happens to raise a given round.

Rights issue (Sec 62) vs bonus issue — the one-line contrast the examiner slips in. A **rights** issue offers *new* shares to *existing* shareholders in proportion to holdings, for **cash** (pre-emption right). A **bonus** issue capitalises accumulated profits/reserves and gives *free* shares — **no cash flows in**, only reserves convert to capital. Both are "internal" doors (no public), which is *why* even a private company may use them. Detailed mechanics live in the Share Capital chapter; here just know they are permitted routes under Sec 23.

4.2 What a "prospectus" is (Sec 2(70)) and when it's triggered

Definition — Sec 2(70): A prospectus is *any document described or issued as a prospectus*, and includes a **red herring prospectus**, a **shelf prospectus**, or **any notice, circular, advertisement or other document inviting offers from the public** for the subscription or purchase of securities.

The logic of that fat definition: Notice it doesn't say "a document titled Prospectus." It says *anything that invites the public to subscribe*. This is deliberate — it slams shut the "I didn't call it a prospectus" loophole. The trigger is the **invitation to the public**, not the label.

Dissecting the definition into its four essential ingredients (the examiner loves "state the essentials of a prospectus"): 1. **A document** — it must be in writing/recorded form (a purely oral invitation, however public, is not a prospectus, though it may be a fraudulent inducement under Sec 36). 2. **An invitation to the public** — the crucial ingredient. An invitation to a *pre-identified select group* (private placement) is not to "the public." 3. **From the public** — to *subscribe for or purchase* securities. A document merely giving information, not inviting money, is not a prospectus. 4. **Securities of a body corporate** — shares, debentures, etc.

"Issued to the public" — the *Nash v Lynde / Pramatha Nath Sanyal* idea. Whether a document is issued "to the public" is a question of substance. A document handed to a **domestic/private circle** (e.g. relatives, existing business connections) is **not** issued to the public even if several people receive it; conversely, a document that in effect reaches an **anonymous, uncontrolled body** is public even if each copy was addressed to a named person. **Section 42 codifies this** with a bright-line number so we no longer argue case-by-case: cross the person-limit or use general solicitation, and it is public as a matter of law.

"Public" — Sec 2 read with the private-placement rules: an offer/allotment to **50 or more persons** (excluding QIBs and ESOP employees) in a financial year is deemed to be an **offer to the public**, dragging in the full prospectus regime — even if the company called it "private." (This 50-person trip-wire is the numeric border between Sec 42 and public-offer land.)

Trap to pre-empt: the **50** figure (public-offer trip-wire) and the **200** figure (annual private-placement ceiling) are *different numbers doing different jobs* — see Trap #3 in Part 8. Both **exclude QIBs and ESOP-holders** from the headcount.

When a prospectus is NOT required (the exemptions the examiner tests). A prospectus is not needed where there is no invitation *to the public*, notably: - a genuine **private placement** to identified persons (Sec 42); - a **rights or bonus** issue to existing members; - where the offer is a **domestic concern** / not to the public. Knowing when a document *escapes* the definition is as tested as knowing when it is caught.

4.3 The four species of prospectus — each solves a different practical need

The problem: One rigid document type can't serve every honest fundraising situation. A giant issuer raising money in tranches, a retail investor who can't read 300 pages, a book-built IPO where the price isn't fixed yet — each needs a tailored instrument. Rather than let issuers improvise (and cheat), the Act gives four **named, regulated** variants.

Type	Section	The problem it solves	Key feature	The "why" of its rule
Ordinary / full prospectus	Sec 26	Baseline public offer	Full disclosure; filed with Registrar before issue	The gold standard — everything must be in it.
Deemed prospectus	Sec 25	Company routes shares through an intermediary to dodge prospectus rules	Offer-for-sale document by an issuing house is *deemed* a prospectus of the company	Substance over form — the middleman can't be a laundering point.
Shelf prospectus	Sec 31	Frequent issuer (e.g. a bank/NBFC) shouldn't re-file a full prospectus for every tranche	One prospectus valid up to **1 year**; file only a short **information memorandum** for later tranches	Cut repetition for honest repeat issuers; the 1-year cap stops stale disclosure.
Red herring prospectus (RHP)	Sec 32	Book-built issues where price/quantity isn't fixed until bidding closes	Filed *before* the offer without complete price/number of securities; the final "closing" prospectus with price is filed after	Lets price be discovered by the market while still forcing near-full disclosure upfront.
Abridged prospectus	Sec 2(1) + Sec 33	A 300-page prospectus is unreadable; every application form must still carry the gist	A short-form summary of the prospectus **must accompany every application form**	Retail investors actually read the short one — disclosure is useless if unreadable.

Memory hook for the species: - **Deemed = disguise** (25, the offer-for-sale trick). - **Shelf = stock it for a year** (31 → put it "on the shelf"). - **Red Herring = price is Hidden** (32, the "red herring" is the missing price, a deliberate distraction). - **Abridged = tiny, on the form** (33, attached to the application).

Deemed prospectus detail (Sec 25) — the two conditions that trigger the "deeming". A company allots/agrees to allot securities *to an issuing house* (intermediary) with a view to those securities being **offered for sale to the public**. That offer-for-sale document is **deemed to be a prospectus** issued by the *company*, so all liabilities attach to the company and its directors. The deeming presumption is **automatically raised** if **either** of two facts is shown: 1. the offer to the public was made **within 6 months** after the allotment/agreement to the issuing house; **or** 2. at the date of the offer, the company had **not received the whole consideration** for the securities. The logic: both facts betray that the "sale" to the issuing house was a **conduit**, not a genuine independent sale — so the law looks through the middleman. **Memory hook:** *25* = "*six months or not fully paid → the middleman is a mask.*"

Red herring detail (Sec 32): *Red herring* literally means a misleading clue — here, the document that deliberately omits the price. Sequence: file RHP → open bidding → discover price → file the **final prospectus** (with price and number) with the Registrar and SEBI. Variations between RHP and final prospectus must be highlighted. The RHP must be filed with the Registrar **at least 3 days before** the opening of the subscription list/offer (verify current ICAI material). Upon closing, the **place and time of the closing** and the final price/number are stated in the final prospectus.

Shelf detail (Sec 31): Prescribed classes of companies (mainly financial institutions, banks, NBFCs — confirm the exact class list) may file a shelf prospectus valid for up to **one year** from the opening of the first offer. For each subsequent offer within that year, they file an **information memorandum** (Form PAS-2) disclosing *new* charges created, changes in financial position, and other material changes. The one-year validity is the anti-staleness guillotine. **Refinement:** where a company files the information memorandum and receives applications, and a *previous* applicant wishes to **withdraw** because of a material change disclosed in the IM, the company must give that right — the IM is not a rubber stamp; it re-opens consent for material changes.

Abridged prospectus detail (Sec 33): A copy of the prospectus (in full) must be **available on request**, but the form that reaches the retail applicant carries the **abridged** version. **Penalty limb the exam tests:** a company that fails to attach an abridged prospectus to the application form (where required) is liable to a **fine per default** (verify current figure). **Exception:** the abridged prospectus need not accompany the form where the form is issued for a *bona fide invitation to underwrite*, or where securities are **not offered to the public** — because the whole point (protecting retail applicants) is absent there.

4.4 Mandatory contents & registration of the prospectus (Sec 26)

The problem: If contents were optional, every issuer would disclose only the flattering facts. **The fix:** Sec 26 makes an explicit *minimum* content list, and requires the prospectus be **dated, signed, and filed** with the Registrar **before** it is issued.

Sec 26 broadly requires disclosure of: - Details of the company, its directors, promoters, and their track record; - **Objects of the issue** — exactly what the money will be used for (so you can't quietly divert it); - Capital structure, terms of the issue, and rights attached to the securities; - **Reports** — auditor's report, financial information, statements by experts; - Material contracts and litigation; - Minimum subscription amount, application money, underwriting details; - A declaration of compliance.

Registration mechanics: the prospectus must be signed by every named director/proposed director (or their authorised agent) and **delivered to the Registrar for registration on or before publication**. A prospectus is valid for **90 days** from the date of registration — issue it after that and it's an unauthorised prospectus. **Memory hook:** *26 = "the contents section"; 90 days = one financial quarter of shelf life.*

Documents that must accompany the prospectus at registration (finer point): the prospectus delivered to the Registrar must be accompanied by **the consent of experts** named in it, copies of **material contracts**, and the **auditor's/expert reports** referred to. If these are missing, registration is defective.

The expert-consent rule (Sec 26(5) territory). A prospectus may include a statement by an **expert** (engineer, valuer, accountant, etc.) **only if** the expert is **not connected with** the formation/promotion/management of the company **and** has given **written consent** and has **not withdrawn** it before delivery for registration. **Why:** an "independent expert" who is secretly the promoter's cousin is no safeguard at all — independence is what gives the expert's word its value.

Why "objects of the issue" matters: it is the anchor for later liability. If money raised for Object A is spent on Object B, that misuse traces straight back to this disclosed statement. It is also the anchor for Sec 27 (variation of objects) and for the SEBI "monitoring agency" requirement on large issues.

Consequence of issuing without registration (Sec 26(9)): issuing a prospectus **not registered** with the Registrar makes the company (and every knowingly-party person) liable to a **penalty** (verify current figure). Registration is a *condition precedent* to a valid public offer, not a formality.

4.5 Variation in terms & the exit for dissenters (Sec 27) and misuse of application money (Sec 26/27)

The problem: Company raises money promising Object A, then the board changes the plan after your cash is in. **The fix — Sec 27:** the objects/terms stated in the prospectus can be varied **only** by a **special resolution** (passed through **postal ballot**), and dissenting shareholders (those who didn't agree) must be given an **exit opportunity** by promoters/controlling shareholders at a price set per SEBI norms. You are not trapped in a company that changed the deal on you.

Finer distinctions the exam tests on Sec 27: - The special resolution is required for varying **the terms of a contract referred to in the prospectus** or **the objects for which the prospectus was issued** — i.e. both *what* the money is for and the *deal terms* are frozen absent shareholder re-approval. - The **notice** of the special resolution must be published in newspapers (one English, one vernacular) and on the website, stating the **justification** for variation. Transparency is forced even on the vote itself. - The **exit offer** to dissenting members is a limb that only applies to companies whose shares are **listed** / that raised money from the public (SEBI-regulated), and the exit price is per SEBI (ICDR/LODR) norms. An unlisted private-placement issuer's dissenter-exit works differently — flag and verify.

Money-utilisation lock: money raised for the stated objects **cannot** be applied elsewhere without going through Sec 27. This connects forward to Sec 35/34 liability: diverting funds is not just a Sec 27 breach, it can render the original "objects" statement in the prospectus misleading, exposing the board to mis-statement liability.

4.6 The heart of the chapter — Liability for mis-statements (Sec 34 & 35)

This is the most examined pair in the chapter. Understand the *split* between them.

First, what counts as a "misstatement"? - A statement is deemed **untrue** if it is misleading in the form and context in which it appears; and - An **omission** is treated as a misstatement if the omission is calculated to mislead (Sec 34's framing). - **The killer principle:** *a half-truth is a whole lie.* Leaving out the pending bankruptcy suit misleads exactly as much as inventing a fake profit.

Two situations that "deem" a statement untrue (worth stating precisely): 1. the statement is **misleading in the form and context** in which it is included; **and** 2. where the **omission** of a matter is **calculated to mislead** — the prospectus is then deemed untrue in respect of that omission.

Now the two liabilities:

(a) Criminal liability — Section 34

When: the prospectus includes a statement that is **untrue or misleading**, or an **omission calculated to mislead**, and it was issued. **Who:** every person who **authorised the issue** of the prospectus. **Punishment:** this attracts the **fraud punishment under Section 447** — imprisonment of **6 months to 10 years** and fine of **the amount involved up to 3× that amount**. (Where the fraud involves public interest, the minimum jail is 3 years.) **The escape (why it's fair):** a person is **not** criminally liable if they prove **either** (i) the statement/omission was **immaterial**, **or** (ii) they had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the omission necessary. Honest, diligent belief is a defence — the law punishes fraud, not honest error.

Memory hook: *34 = the jail door → routes to 447 (fraud), the harshest section in the Act.* Think "34 knocks on 447's cell."

Threshold nuance for Sec 447 (fraud definition, Sec 447 read with explanation): "fraud" involves an **act, omission, concealment or abuse of position** with **intent to deceive/gain undue advantage/injure**. The **de-minimis limb**: where the fraud amount is **below ₹10 lakh (or 1% of turnover, whichever lower)** and does **not** involve public interest, a *lighter* punishment applies (imprisonment up to 5 years **or** fine up to ₹50 lakh **or** both) — verify current ICAI figures. This matters because a small mis-statement fraud may not carry the full 6-months-to-10-years band.

(b) Civil liability — Section 35

When: a person **subscribes** for securities **relying on** a prospectus containing an untrue statement and **suffers loss or damage**. **Who is liable (compensate the investor):** - every **director** at the time of issue; - every person who **agreed to be named as a director**; - every **promoter**; - every person who **authorised the issue**; and - an **expert** (to the extent of their part).

Remedy: they are **jointly and severally liable** to **compensate** every affected subscriber for loss/damage. **The defences (why each is fair):** a defendant escapes if they prove: 1. they **withdrew consent** before issue and the prospectus was issued without their authority; **or** 2. it was issued without their **knowledge/consent**, and on becoming aware they gave **public notice**; **or** 3. they had **reasonable grounds to believe** the statement was true (for their own statements) or reasonably relied on an **expert** for the expert's part. **But note:** where the misstatement was made to defraud/induce, these defences **do not** protect a person, and liability can extend without limit (Sec 35(3)).

"Subscribe" — a load-bearing word. Sec 35 civil liability runs in favour of a person who **subscribed** for securities *relying on the prospectus*. Classic trap: a person who bought shares **in the secondary market** (from another investor on the exchange), *not* on the original allotment, generally **cannot** claim under Sec 35 — they did not "subscribe" on the faith of the prospectus. The prospectus's protective duty runs to the *original allottee*, not to a later purchaser (subject to the deemed-prospectus and continuing-liability nuances). **Reliance** is essential: a subscriber who never read or relied on the prospectus cannot claim its statement caused the loss.

Rescission — the *contract* remedy that sits alongside Sec 35. Independent of statutory compensation, a subscriber induced by a *misrepresentation* can **rescind the allotment** (return the shares, get the money back) under general contract law, **provided** he acts **promptly** and **before** any of the four bars arises: (a) **affirmation** (he behaves as owner after learning the truth), (b) **unreasonable delay/laches**, (c) **commencement of winding up**, or (d) **inability to restore** the parties to their original position. **Memory hook:** *Compensation (35) keeps the shares and claims money; Rescission gives back the shares and unwinds the deal — but rescission dies the moment winding up starts.*

The clean contrast to memorise:

	Sec 34 — Criminal	Sec 35 — Civil
Purpose	Punish the wrongdoer (society's remedy)	Compensate the victim (investor's remedy)
Trigger	Untrue/misleading statement or misleading omission issued	Subscriber **relied** on it and **suffered loss**
Need actual investor loss?	**No** — the crime is issuing it	**Yes** — no loss, no compensation
Who is caught	Every person who **authorised the issue**	Directors, to-be-named directors, promoters, authorisers, **experts**
Outcome	Jail + fine via **Sec 447**	Pay **compensation** (joint & several)
Core defence	Immaterial, or honest reasonable belief up to issue	Withdrew consent / no knowledge + public notice / reasonable belief / expert reliance
Defence blocked when	(fraud is the charge itself)	Statement made **to defraud** — then no defence, unlimited liability

Memory hook: *34 before 35 = Crime before Compensation (alphabetical C-C, and 34 < 35).* Criminal punishes the act; Civil needs a wounded victim.

Note on the company's own position. Sec 35 fixes personal liability on directors/promoters/experts to *compensate*. Whether the **company itself** is liable to compensate the subscriber is nuanced: the company can be sued for **rescission** (unwinding the contract), but ordering the *company* to pay *damages while the subscriber keeps the shares* runs into the old rule (*Houldsworth*-type reasoning) that a member cannot both keep membership and recover damages from the company diminishing its capital — a subtlety usually beyond CA Inter but worth one line to avoid over-stating "the company pays under 35."

(c) Fraudulently inducing investment — Section 36

Problem: someone lures investors by knowingly false or reckless statements *outside* a formal prospectus (a road-show promise, a deceptive circular). **Fix — Sec 36:** any person who **knowingly or recklessly** makes a false/deceptive/misleading statement, **promise or forecast**, or **dishonestly conceals** material facts, to induce persons to **invest / enter agreements for securities / credit facilities**, is liable for **fraud under Sec 447**. Closes the "it wasn't in the prospectus" gap. **Key distinction from Sec 34:** Sec 34 is tethered to a *prospectus*; Sec 36 catches inducement by **any** means (oral or written, in or out of a prospectus) — the wider net.

(d) Class action / remedy route — Section 37

Affected persons (a group of subscribers) may take **action** — including under **Sec 245 class action** — against the company, directors, auditors, and experts, for any misleading statement or the inclusion/omission of any matter in the prospectus. **Why:** one small investor can't afford to sue; collective action makes liability real. Sec 37 is the *gateway*; **Sec 245 (before NCLT)** is the *forum and machinery*.

4.7 Personation for acquisition of shares (Sec 38)

Problem: People apply for shares in **fictitious names** (to grab more of an oversubscribed IPO, or to manipulate allotment). **Fix — Sec 38:** the following are **fraud punishable under Sec 447**: - applying for securities under a **fictitious name**; - making **multiple applications** under **different names or different combinations** of name/surname; or - otherwise **inducing** a company (directly or indirectly) to allot / register a transfer of securities to **fictitious/other names**.

The court may also order **disgorgement** of the gain and **freezing/seizure** of assets, and any amount received can be transferred to the **Investor Education and Protection Fund (IEPF)**. **Why so harsh:** fake applications corrupt the fairness of allotment for every genuine investor, and in an oversubscribed issue they *steal* allotment from honest applicants. **Compulsory disclosure limb:** the personation warning **must be prominently reproduced** in every prospectus and application form — a deterrent placed where the fraudster will read it.

4.8 Minimum subscription & application money (Sec 39) — protecting the money at entry

Problem: A company collects money for a ₹100-crore project but raises only ₹8 crore. The project is dead on arrival, yet the company keeps the cash. **Fix — Sec 39:**

- **No allotment** shall be made unless the **minimum subscription** stated in the prospectus has been **subscribed** and the application money received (by cheque/other instrument that has been paid). For SEBI-regulated public issues the floor is **90% of the issue**.
- **Application money** per security must be **at least 5% of the nominal amount** of the security (or as SEBI specifies).
- If minimum subscription is **not received within 30 days** of prospectus issue (SEBI norm; the Act says "such period as prescribed"), all application money must be **refunded within the prescribed time** (commonly **15 days** from closure). **Delay → interest** at the prescribed rate (e.g. **15% p.a.**) and the money is deemed held in trust.
- Default in filing the return of allotment / refund carries **fines** on company and officers (a fixed per-default penalty on the company and every officer in default — verify current figure).

Why "held in trust" matters conceptually. Until minimum subscription is met and allotment is validly made, the application money is **not** the company's money — it belongs to the applicants. Treating it as a trust means it cannot be attached by the company's creditors, cannot be spent on operations, and **must** flow back if the floor is missed. This is the doctrinal bridge to Sec 40's *separate bank account*: the account is the *vault* holding trust money.

Consequence of allotting *without* minimum subscription (irregular allotment). An allotment made in breach of Sec 39 is **irregular**. Practically: the allotment is liable to be **set aside / refunded**, the applicant can repudiate, and officers face penalty. The examiner's favourite question — "the board argues it can allot the shares actually subscribed and refund the rest" — is answered **No**: the bar is on *making any allotment at all* until the floor is reached; you cannot allot a part-filled issue.

Memory hooks: *39 = "the floor". 90% = "you must nearly fill the room before you open the doors." 5% application money = "a small deposit to prove you're serious." 15 days / 15% = "refund fast or pay 15% for stalling."* (Confirm the current % and day figures in ICAI material, as SEBI ICDR fine-tunes them.)

4.9 Securities to be dealt in on stock exchange + application money handling (Sec 40)

Problem: A public issue with no listing route traps investors in unsellable paper; and pooled application money is a tempting target for siphoning. **Fix — Sec 40:**

- Before issuing a prospectus, a company making a public offer must **apply to one or more stock exchanges** for **listing permission** and state which exchange(s) in the prospectus. **No listing permission → allotment is void**, and money must be **repaid** (with interest if delayed — commonly within 15 days, else penal interest).
- All **application money** received must be kept in a **separate bank account** with a scheduled bank, and used **only** for (i) adjustment against allotment, or (ii) **repayment** where minimum subscription/listing fails. It cannot be dipped into for anything else.
- A company may **pay commission** (underwriting/brokerage) out of this only as permitted (subject to Sec 40(6) limits and the PAS Rules — commission is a legitimate carve-out because it is a genuine cost of raising the money).

Underwriting commission — the finer figures (verify current ICAI/SEBI): commission is payable only if **authorised by the articles**, is paid at a rate **not exceeding 5% of the issue price of shares** or the rate in the articles (whichever less), and **2.5% for debentures** or the articles' rate (whichever less), and the fact/rate is disclosed in the prospectus. The cap exists so promoters can't drain the issue proceeds by paying inflated "commission" to cronies.

Void vs irregular — a distinction worth nailing. Failure to obtain **listing permission (Sec 40)** makes the allotment **VOID** (a nullity from the start — money must come back). Failure to meet **minimum subscription (Sec 39)** makes the allotment **irregular/barred** (must not be made; if made, liable to be undone). The examiner sometimes swaps these — listing failure = *void*; is the sharper word.

Memory hook: *40 = "the safe" — separate account (ring-fenced cash) + listing (an exit door).* Think "40 locks the money in a safe and cuts an escape hatch."

4.10 Global Depository Receipts (Sec 41)

Problem/need: an Indian company wants to raise money **abroad**. **Fix — Sec 41:** a company may, after a **special resolution**, issue **depository receipts (GDRs)** in any foreign country in the prescribed manner (Companies (Issue of GDRs) Rules). **Mechanism to know:** the company issues shares to a **domestic custodian/overseas depository**, which in turn issues **receipts (GDRs)** to foreign investors; the underlying shares sit with the custodian. The GDR-holder is a *beneficial* holder abroad; the **depository** is the registered member on the Indian register. Requires a **special resolution** and prescribed rules. (Mechanism-level for CA Inter; know the special-resolution requirement and the custodian/depository structure.)

4.11 Private placement (Sec 42) — the controlled non-public door

Problem: Companies abused "private" issues to raise public money without any public-offer safeguards — soliciting thousands under the "private placement" banner. **Fix — Sec 42** built a tight cage around private placement so it stays genuinely private.

Definition: private placement = offer/invitation to subscribe or issue securities to a **select group of identified persons** (identified by the Board) through a **private placement offer letter (Form PAS-4)**, and **not** through a public advertisement/general solicitation.

The hard limits (each an anti-abuse trip-wire):

Rule	Limit	The "why"
Number of persons	Offer to **≤ 200 persons** in aggregate in a **financial year** (per kind of security), **excluding QIBs and ESOP employees**	The instant it crosses 200 real investors it *is* public — so cap it below public scale.
Identified persons	Offer only to persons **named/identified** by the Board; complete record maintained in **Form PAS-5**	"Select persons" must be genuinely selected in advance, not the general public.
No public solicitation	**No advertisement / general media / general solicitation** allowed	Any broadcast to the public destroys the "private" character.
Minimum investment size	Each identified person's offer subject to a **minimum investment** (verify current figure; historically ₹20,000 of face value per person)	A high per-person floor structurally keeps out the small retail "public."
Money route	Subscription only by **cheque/DD/banking channel** (no cash), kept in a **separate bank account**	Cash = untraceable; banking channel = audit trail, anti-money-laundering.
Application money use	Cannot **utilise** money until **allotment is made and return (PAS-3) filed** with the Registrar	Stops the company spending money before the issue is even complete.
Time to allot	Allot within **60 days** of receiving money; else **refund within 15 days**; delay beyond 15 days → **12% p.a. interest** from expiry of 60th day	Don't sit on private investors' money either.
Fresh offer bar	Generally **no fresh offer** while a prior offer is **pending/incomplete** (i.e. not allotted or withdrawn)	Prevents rolling, overlapping issues that dodge the 200 cap.
Return of allotment	**Form PAS-3** within **15 days** of allotment	Registrar gets a record; transparency even in private issues.
Offer letter numbering	Each PAS-4 is **serially numbered** and addressed specifically to the named person	Prevents the "one letter, mass-photocopied to the public" trick.

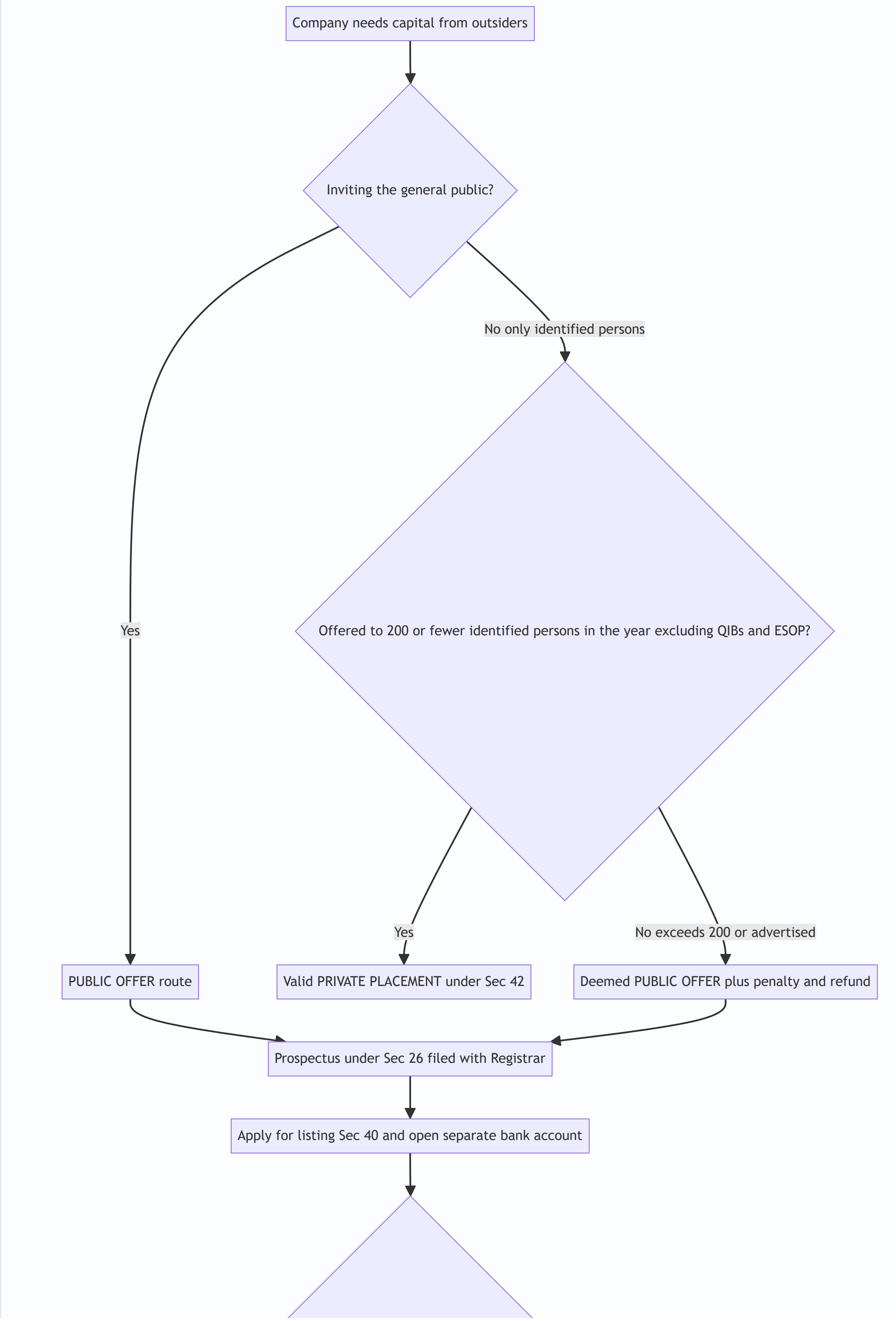
The nuclear consequence (the point of the whole section): if a company makes an offer/allotment in **breach** of Sec 42 (e.g. exceeds 200 persons, or advertises to the public), the offer is **deemed a public offer** and all provisions of the Act **and SEBI/SCRA** apply — **plus a heavy penalty** (up to the **amount raised or ₹2 crore, whichever lower**) and **refund** to subscribers **within 30 days** of the penalty order. In other words: try to smuggle a public issue through the private door, and the law forcibly re-labels it a public issue with every safeguard attached, and fines you on top.

A subtle limb students miss — the "one at a time" and "counting" rules. The 200-person ceiling is counted **per financial year**, **per kind of security** (separate 200 for equity, separate for a distinct class of debentures — verify current wording), and is **cumulative** across offers in the year. So a company that placed to 150 persons in Round 1 can offer to at most 50 more in Round 2 of the same year. **QIBs and ESOP employees are excluded** from the count — the exclusion exists because QIBs are sophisticated (need no protection) and ESOP is an internal employee matter, not a public solicitation.

Memory hooks for Sec 42: *42 = "the private club with a 200-seat limit and a strict guest list."* Numbers: **200 members, 60 days to allot, 15 days to refund, 12% penalty interest, PAS-4 letter / PAS-5 register /**

PAS-3 return.* The forms count 4 → 5 → 3** (offer letter, record of offer, return of allotment).

4.12 Master diagram — the public-vs-private decision


Company needs capital from outsiders
Inviting the general public?
Yes
No only identified persons
Offered to 200 or fewer identified persons in the year excluding QIBs and ESOP?
Yes
No exceeds 200 or advertised
PUBLIC OFFER route
Valid PRIVATE PLACEMENT under Sec 42
Deemed PUBLIC OFFER plus penalty and refund
Prospectus under Sec 26 filed with Registrar
Apply for listing Sec 40 and open separate bank account

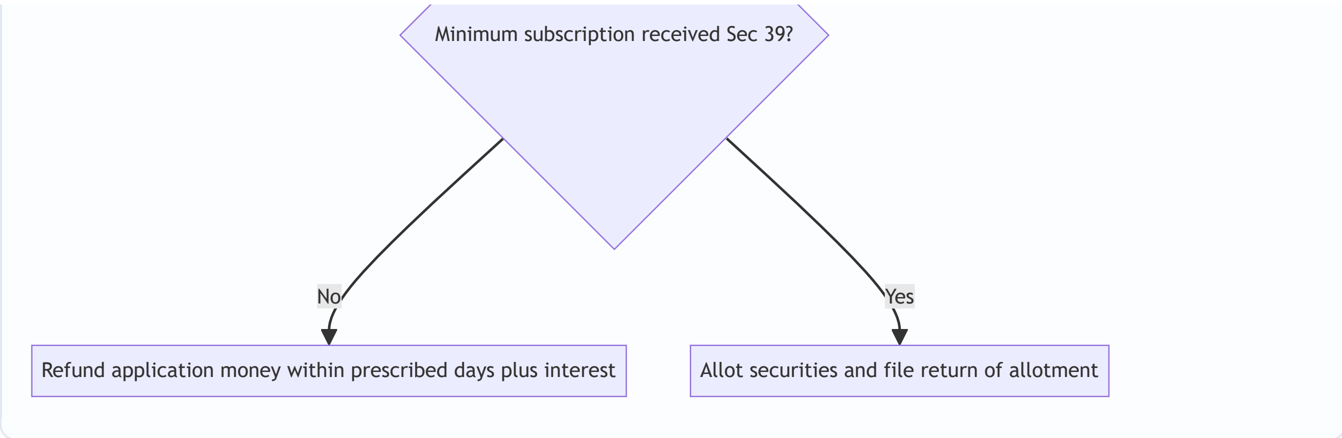


Figure 3.1 — The single most important flow: which door you walked through, and what each door demands.

4.13 The two liability engines at a glance

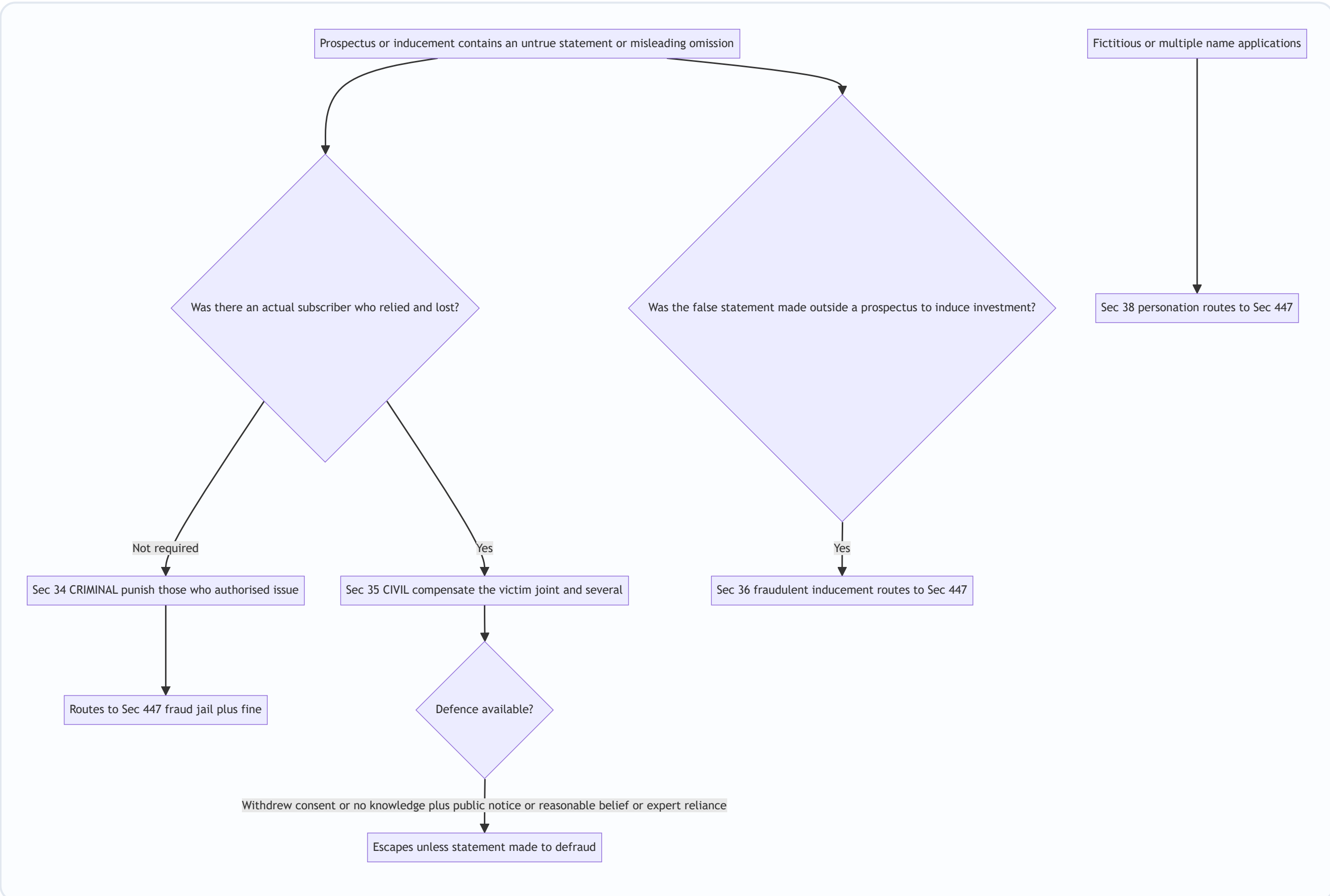


Figure 3.2 — How one false statement fans out into criminal, civil, inducement and personation liability.

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5. Applied Scenarios — Reasoning to the Legal Outcome

Scenario 1 — The optimistic omission. *Bright Future Ltd issues a prospectus showing strong projected profits. It does not mention that a supplier has sued it for ₹50 crore — an amount exceeding its net worth. Investors subscribe; when the suit surfaces, the share price collapses. Ravi, who invested relying on the prospectus, loses ₹4 lakh.*

Reasoning: Nothing false was stated, but a **material omission calculated to mislead** is treated as a misstatement (Sec 34). Ravi **relied** on the prospectus and **suffered loss → civil liability under Sec 35**: the directors, promoters and those who authorised the issue are **jointly and severally liable to compensate** Ravi. Because the omission of a company-threatening lawsuit is plainly *material*, the "immaterial statement" defence fails; a director can only escape by proving he withdrew consent, lacked knowledge and gave public notice, or had reasonable grounds to believe disclosure was unnecessary. Separately, those who **authorised** the misleading prospectus face **criminal liability under Sec 34 → Sec 447** (jail + fine) — and Ravi does **not** need to prove his loss for the *criminal* case, only for compensation. **Outcome:** Ravi recovers compensation; directors risk prosecution.

Scenario 2 — The "private" issue that wasn't. *Zoom Tech Pvt Ltd wants ₹30 crore. It emails a "private placement offer" to 260 hand-picked people and also posts the offer on its public website. 240 subscribe.*

Reasoning: Two independent breaches of **Sec 42**: (i) offer to **more than 200 persons** in the year, and (ii) **public solicitation** via the website. Either breach alone destroys the private character. **Consequence:** the offer is **deemed a public offer** — but a *private company cannot make a public offer at all* (Sec 23/2(68)). So the company is doubly exposed: the whole issue is treated as a public offer attracting the full prospectus regime and SEBI/SCRA, **plus** a penalty up to the **amount raised or ₹2 crore (whichever lower)** and **refund within 30 days**. **Outcome:** issue invalid as structured; penalty + mandatory refund; a private company simply cannot cure it by "going public" without first converting.

Scenario 3 — The underfilled issue. *Mega Infra Ltd's prospectus states a minimum subscription needed of ₹100 crore for a plant. By the close, only ₹60 crore (60%) has come in. The board wants to allot anyway and start partial construction.*

Reasoning: Sec 39 bars allotment unless **minimum subscription** (for SEBI issues, **90%**) is received. 60% is below the floor → **no allotment permitted**. The application money must be **refunded** within the prescribed period (commonly 15 days from closure); if the company delays, it must pay **penal interest** (e.g. 15% p.a.) and directors/officers face fines, and the money is deemed held in trust in the **separate account (Sec 40)**. **Outcome:** the board **cannot** allot; it must refund on time or bleed interest. The logic: an underfunded project must return the money, not consume it.

Scenario 4 — The shelf-and-tranche financier. *Steady Finance Ltd, an NBFC, wants to raise debentures four times over the coming year. It dreads filing a full prospectus four times.*

Reasoning: This is exactly what **Sec 31 (shelf prospectus)** exists for. Steady Finance (a permitted class) files **one shelf prospectus valid up to 1 year**; for each subsequent tranche it files only an **information memorandum (PAS-2)** disclosing new charges and material changes. **Outcome:** legitimate efficiency — no cheating needed, because the Act already built the honest shortcut.

Scenario 5 — The middleman mask (deemed prospectus, with a date twist). *Prime Ltd allots its entire fresh issue of shares to Sunrise Securities (an issuing house) on 1 April. On 20 August (i.e. within 6 months), Sunrise publishes an "offer for sale" document offering those shares to the public. The document omits Prime's pending tax demand.*

Reasoning: The allotment to an issuing house *followed by* a public offer **within 6 months** raises the statutory presumption under **Sec 25** that the allotment was made *with a view to* public offering. The offer-for-sale document is therefore a **deemed prospectus of Prime Ltd** — so Prime's directors, not merely Sunrise, are liable as if they had issued a prospectus, and the omission of the tax demand triggers **Sec 34/35** exactly as in Scenario 1. *Examiner tweak:* suppose the public offer instead happened **8 months** later (outside

6 months) **but** Sunrise had **not paid Prime the full consideration** at the date of the offer. **Second limb of Sec 25** independently raises the deeming presumption (consideration not fully received) — so it is *still* a deemed prospectus. Only if the offer is **both** beyond 6 months **and** consideration fully received does the deeming presumption not automatically arise. **Lesson:** the two limbs are *alternative* triggers, not cumulative.

Scenario 6 — The director who resigned in time. *Anita was named as a director in Neo Ltd's draft prospectus. She discovered a false profit figure, withdrew her consent in writing before the prospectus was issued, and the company issued it anyway without her authority. A subscriber, Karan, sues her under Sec 35.*

Reasoning: Sec 35 fixes liability on directors *at the time of issue*, **but** provides a defence: a person who **withdrew consent before issue** and the prospectus was issued **without his authority or consent** is **not liable**. Anita fits squarely — she can prove withdrawal + issue-without-authority → **no civil liability**. *Examiner tweak:* if Anita had merely *privately* objected but let the prospectus go out with her name and did **nothing public**, or discovered the falsehood *after* issue and stayed silent, she would **lose** the defence — the shield requires action *before* issue (withdrawal) or, for post-issue discovery, **public notice**. **Lesson:** the reasonable-belief/withdrawal defences reward *timely diligence*, not private grumbling.

Scenario 7 — Numerical: private-placement counting and interest. *Vega Ltd (unlisted public company) makes a private placement of equity. In FY it offers to 120 persons in April and 90 more persons in September (all non-QIB, non-ESOP, all identified by the Board). It receives ₹5 crore from the September allottees on 1 October but, due to internal delays, allots only on 20 December.*

Reasoning — step by step: 1. **Headcount:** 120 + 90 = **210 persons** in the financial year for the same kind of security (equity). This **exceeds the 200 ceiling** → breach of Sec 42 → the whole thing is **deemed a public offer**, with penalty (up to amount raised or ₹2 crore, whichever lower) and refund within 30 days. *The second tranche should have been capped at 80.* 2. **Timing (assume, arguendo, the headcount were within limit):** money received 1 October; **60 days to allot** expires **30 November**. Allotment on **20 December** is **20 days late**. Sec 42 requires **refund within 15 days** of the 60th day if not allotted; here they neither refunded nor allotted in time. **Penal interest at 12% p.a.** runs on ₹5 crore from **1 December** (expiry of the 60 days) until refund/allotment. - Interest ≈ ₹5,00,00,000 × 12% × (20/365) ≈ ₹5,00,00,000 × 0.12 × 0.0548 ≈ **₹3.29 lakh** for the delay period (illustrative; verify exact reckoning convention with ICAI). **Self-check:** 12% of ₹5 crore per year = ₹60 lakh/year = ₹1.64 lakh per 10 days ≈ ₹3.29 lakh for 20 days. Consistent. **Lesson:** two independent violations (headcount *and* delay) can co-exist; answer each limb separately.

Scenario 8 — Numerical: minimum subscription and application-money floor. *Orbit Ltd makes a public issue of 1 crore equity shares of face value ₹10 each at par. Its prospectus states minimum subscription as 90% of the issue. By closing, applications are received for 85 lakh shares. Application money is set at ₹0.40 per share.*

Reasoning — step by step: 1. **Application-money floor (Sec 39):** must be **at least 5% of nominal value** = 5% × ₹10 = **₹0.50 per share**. Orbit set only **₹0.40** → **below the statutory floor** → defective on this ground alone (unless SEBI specifies otherwise for this issue — verify). Correct minimum = ₹0.50. 2. **Minimum subscription:** 90% of 1 crore = **90 lakh shares** required. Only **85 lakh** subscribed (85%) → **floor not met** → **Sec 39 bars any allotment**. 3. **Consequence:** refund all application money within the prescribed period (commonly 15 days from closure); delay → **~15% p.a. penal interest**; money held in trust in the **separate account (Sec 40)**. - Application money collected = 85 lakh × ₹0.50 (had it been correctly set) = **₹42.5 lakh** to be refunded; if refunded 10 days late, interest ≈ ₹42.5 lakh × 15% × 10/365 ≈ **₹17,466** (illustrative). **Self-check:** 15% of ₹42.5 lakh/year = ₹6.375 lakh/year ≈ ₹1,746/day × 10 ≈ ₹17,466. Consistent. **Lesson:** two separate Sec 39 tests — the **per-share money floor (5%)** and the **whole-issue subscription floor (90%)** — are independent; a question can fail on either or both.

6. Procedure / Compliance Summary

6.1 Public issue by prospectus — the sequence

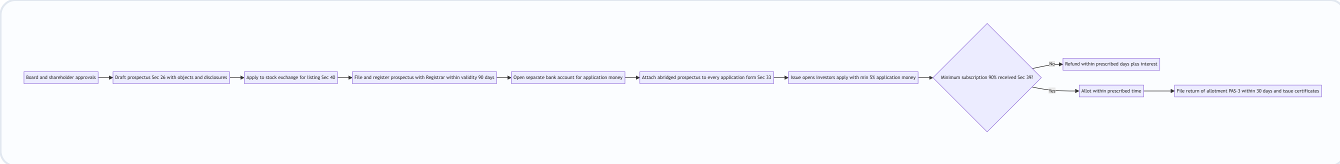

Figure 3.3 — Public-issue compliance chain, each box a statutory checkpoint.

6.2 Private placement — the parallel sequence

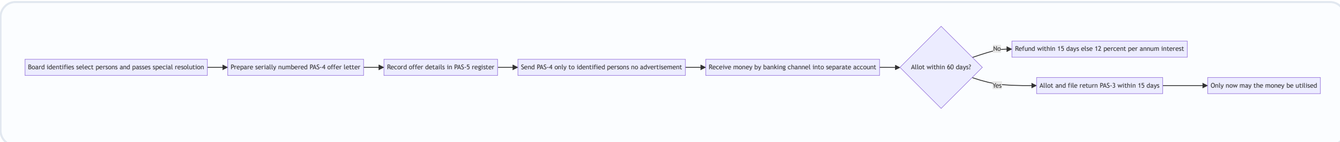

Figure 3.4 — The Sec 42 private-placement chain, showing the money stays untouchable until allotment plus return filing.

6.3 Key forms & timelines (both routes)

Form	Purpose	Route
PAS-2	Information memorandum for shelf-prospectus tranches	Public (shelf)
PAS-3	Return of allotment (file within 15/30 days of allotment)	Both
PAS-4	Private placement offer-cum-application letter	Private placement
PAS-5	Record of private placement offers (identified persons)	Private placement

6.4 Refund / allotment timeline (memory strip)

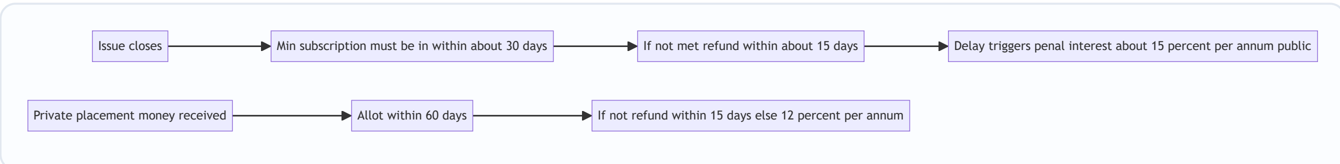

Figure 3.5 — Two parallel clocks: public-issue refund vs private-placement allot-or-refund. Confirm exact day/percent figures in current ICAI/SEBI material.

7. Connections — How This Chapter Links to the Rest

- **Chapter on Incorporation / Types of Companies:** *why* a private company (Sec 2(68)) can't make a public offer flows straight into Sec 23 and Sec 42 here. A **One Person Company** and **private company** are locked out of the public door.

- **Share Capital & Debentures:** allotment completed here becomes the **capital** administered there; **return of allotment (PAS-3)**, share certificates, calls, and the **Sec 62 rights issue** mechanics follow. Underwriting commission (Sec 40) also connects to the share-capital rules.
- **Sec 447 (Fraud):** the enforcement engine behind Sec 34, 36 and 38 — the same punishment section recurs, so master it once (6 months–10 years; 3-year minimum if public interest; lighter band below the de-minimis threshold).
- **Sec 245 Class Action & NCLT:** the *forum* where Sec 37 collective remedies are pursued.
- **SEBI Act & SEBI (ICDR) Regulations:** for **listed** public issues, SEBI overlays disclosure, minimum-subscription (90%), monitoring-agency, and timeline rules on top of the Companies Act — the Act sets the floor, SEBI tightens it.
- **Deposits (Sec 73–76):** contrast — deposits are *borrowing from the public without shares*; both chapters share the theme of protecting public money, but through different machinery.
- **Law of Contract / Misrepresentation:** Sec 34–35 are the company-law specialisation of the general contract idea that inducing a contract by false statements gives rise to liability; **rescission** of allotment is the pure-contract remedy sitting beside statutory compensation.
- **IEPF (Investor Education & Protection Fund):** disgorged gains from Sec 38 personation and unclaimed refunds can flow here — the "downstream" home of protected money.

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8. Traps & Examiner Tricks

1. **34 vs 35 swap.** The classic trap: describing Sec 35 as "imprisonment." **Sec 34 = criminal (jail via 447); Sec 35 = civil (compensation).** Civil needs *reliance* + *actual loss*; criminal does not need a suffering investor.
2. **Omission is not "safe."** Students assume only false *statements* are punishable. A **misleading omission** is expressly a misstatement (Sec 34). *Half-truth = whole lie.*
3. **"Public" is a number, not a vibe.** The **50-person** line (Sec 42 area) converts a "private" offer into a public offer; the **200-person** ceiling caps private placement per year. Don't confuse the two: **50** is the public-offer trip-wire baked into the private-placement rules; **200** is the annual private-placement headcount cap. QIBs and ESOP employees are **excluded** from both counts.
4. **Deemed prospectus (Sec 25) ≠ Red herring (Sec 32).** *Deemed* = an offer-for-sale document dressed up to dodge the rules (disguise). *Red herring* = a genuine prospectus with the **price** left out (book-building). Totally different problems.
5. **Shelf validity is 1 year; prospectus registration validity is 90 days.** Don't cross the numbers.
6. **Private company + public offer = impossible, not merely penalised.** A breach of Sec 42 by a *private* company can't be cured by "treating it as a public offer" because a private company is barred from public offers outright — it must first convert.
7. **Application money ≥ 5%; minimum subscription (SEBI) = 90%.** These are different figures for different things: 5% is per-security upfront money; 90% is how much of the *whole issue* must be subscribed. Confirm current figures.
8. **Expert's defence under Sec 35** protects a director who *reasonably relied on an expert*, but the **expert himself** is liable for *his* part. Don't let the director's shield cover the expert. Also: an expert must have given **written consent** and be **unconnected** with promotion/management (Sec 26) — a "tame" expert is no defence.

9. **"Reasonable belief" defence** (Sec 34/35) must exist **up to the time of issue** — a director who *later* discovers the truth but did nothing loses the shield; but honest belief held throughout is a genuine escape. The law targets fraud, not honest mistake.
10. **Sec 39 "no allotment" is a bar, not a formality.** An allotment made without minimum subscription is **irregular** and refundable — examiners love asking whether the board "can just allot anyway" or "allot only the part subscribed." It cannot do either.
11. **Sec 42 money can't be touched pre-allotment.** Even in a valid private placement, utilising subscription money before allotment **and** filing of the PAS-3 return is a breach.
12. **Void vs irregular.** Listing-permission failure (**Sec 40**) → allotment **VOID**; minimum-subscription failure (**Sec 39**) → allotment **irregular/barred**. The examiner swaps these to test precision.
13. **Sec 25's two limbs are alternatives.** "Within 6 months" **OR** "consideration not fully received" — *either* triggers the deemed-prospectus presumption. Students wrongly require both.
14. **Secondary-market buyer can't sue under Sec 35.** Sec 35 protects the *subscriber* who relied on the prospectus, not someone who later bought on the stock exchange. "Reliance on the prospectus" and "subscription" are both essential.
15. **Rescission dies at winding-up.** The contract remedy of rescinding an allotment for misrepresentation is lost once winding up commences (or on affirmation/delay/inability to restore) — even though statutory Sec 35 compensation may still be pursued.
16. **Sec 36 is wider than Sec 34.** Sec 34 needs a *prospectus*; Sec 36 catches *any* inducement (a speech, a WhatsApp forward, a forecast) — don't restrict fraudulent-inducement liability to written prospectuses.
17. **"Objects of the issue" can't be silently changed.** Diverting funds needs a **special resolution + dissenter exit (Sec 27)** — and doing it silently can *retrospectively* make the prospectus misleading, dragging in Sec 34/35.
18. **Underwriting commission has caps.** 5% (shares) / 2.5% (debentures) or articles' rate, whichever lower, and must be authorised by articles and disclosed — a favourite one-liner (verify current figures).

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9. First-Principles Recap

Strip everything away and rebuild it from the single fault line: **the company knows the truth; the investor does not.** Every rule is one of three moves against that asymmetry:

1. **Force the truth out (disclosure).** A defined written **prospectus** (Sec 2(70), 26) with mandated contents, filed with the Registrar, in variants tuned to honest needs (**deemed 25, shelf 31, red herring 32, abridged 33**). *Because* speech evaporates and omissions kill, everything must be written and complete. The **golden rule** of *New Brunswick* is the parent of every disclosure clause.
2. **Punish the lie (liability). Criminal (Sec 34 → 447)** to deter, **Civil (Sec 35)** to compensate, **fraudulent inducement (36)** and **personation (38)** to close side-doors — all personal, so no one hides behind the company. *Because* deterrence needs a human who can be jailed and a victim who can be paid, and *because Derry v Peek* proved that requiring proof of fraud lets careless directors escape, Sec 35 was built to need only *untruth + reliance + loss*.
3. **Guard the money (entry controls). Minimum subscription (39)** so unviable projects refund; **separate account + listing (40)** to ring-fence cash and give an exit; **private placement cage (42)** so the non-

public door can't smuggle a public issue. *Because* money, once pooled, is **held on trust** for applicants until validly allotted, it cannot be spent, attached, or trapped in a dead project.

If you can regenerate any section from "which cheat does this stop?", you have understood the chapter, not memorised it. A quick self-test: name the section, then say (a) the cheat it kills, (b) the time-zone (disclose / integrity / custody) it lives in, and (c) its one key number. If all three come instantly, you own it.

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10. Quick-Revision Sheet

Section	Topic	Key number / limit	One-line "why"
23	Modes of issue	Public co = 3 doors; Private co = 2 (no public)	Channels the fundraising into controlled routes
2(70)	Prospectus defined	Any document inviting the public	Kills the "didn't call it a prospectus" loophole
25	Deemed prospectus	Within **6 months** OR consideration not fully received	Substance over form (disguise)
26	Contents & registration	Valid **90 days**; filed before issue; expert consent	Mandatory minimum disclosure
27	Variation in terms	**Special resolution** (postal ballot) + exit to dissenters	Can't change the deal after taking your money
31	Shelf prospectus	Valid **1 year**; PAS-2 per tranche	Efficiency for frequent honest issuers
32	Red herring	Price omitted; final prospectus after bidding	Enables book-building price discovery
33	Abridged prospectus	Must accompany every application form	Retail investors actually read it
34	Criminal liability	Jail via **Sec 447** (6 mo–10 yr)	Punish issuing an untrue/misleading prospectus
35	Civil liability	Compensation; joint & several; **subscriber who relied**	Compensate subscriber who relied & lost
36	Fraudulent inducement	Fraud → **447**; any means, not just prospectus	Closes the "not in the prospectus" gap
37	Class action remedy	Group action (see Sec 245)	Makes liability enforceable collectively
38	Personation	Fraud → **447**; disgorgement; IEPF	Protects fairness of allotment
39	Minimum subscription	≥ **90%** (SEBI); app money ≥ **5%**; refund ~**15 days/15%**	No allotment for an underfunded project
40	Listing + money handling	Separate bank a/c; **no listing = VOID allotment**; commission caps	Ring-fence cash + provide an exit
41	GDR	**Special resolution**; custodian/depository structure	Route to raise money abroad

Section	Topic	Key number / limit	One-line "why"
42	Private placement	≤ **200** persons/yr (ex-QIB/ESOP); allot in **60 days**; refund **15 days/12%**; PAS-4/5/3; breach = deemed public + penalty up to amount raised or **₹2 cr**	Keeps the non-public door genuinely non-public

Number-memory ladder: - **50** = public-offer trip-wire · **200** = private-placement annual cap - **90 days** = prospectus validity · **1 year** = shelf validity · **6 months** = deemed-prospectus window - **5%** = application money floor · **90%** = minimum subscription (SEBI) - **60 days** to allot (private) · **15 days** to refund · **12%** (private) / **15%** (public) penal interest - **5% / 2.5%** = underwriting commission caps (shares / debentures) - **34** = Criminal → **447** · **35** = Civil (Compensation) · **447** = the fraud hammer behind 34/36/38

Void vs irregular (one-line): *No listing (40) = VOID; no minimum subscription (39) = irregular/barred.*

Forms count: *PAS-4 (offer) → PAS-5 (record) → PAS-3 (return); PAS-2 = shelf tranche IM.*

> **Always confirm the exact current percentages, day-counts, penalty figures, and class lists against the latest ICAI study material, the bare Companies Act 2013, the PAS Rules 2014, and SEBI (ICDR) Regulations — SEBI periodically fine-tunes the numeric thresholds while the underlying principles in this chapter stay fixed.**

Q&A — Prospectus & Allotment of Securities

CA Intermediate | Corporate & Other Laws | Companies Act, 2013 — Sections 23 to 42 Exam-oriented question bank. Every question is followed immediately by a complete model answer citing the relevant section. Where a point is not settled purely by the bare Act, uncertainty is flagged.

SECTION A — Concept-Check Questions (with answers)

A1. What are the modes by which a public company and a private company may issue securities under Section 23?

Answer: Under **Section 23(1)**, a **public company** may issue securities: (a) to the public through a **prospectus** (public offer), (b) through a **private placement** (Sec 42), or (c) through a **rights issue or bonus issue** (Sec 62), and in case of a listed company or intending-to-be-listed company, in compliance with SEBI provisions. Under **Section 23(2)**, a **private company** may issue securities only by (a) **rights/bonus issue** (Sec 62) or (b) **private placement** (Sec 42). A private company cannot make a public offer.

A2. Define "prospectus" and list the four types of documents that fall within the definition.

Answer: Under **Section 2(70)**, a "prospectus" means any document described or issued as a prospectus and includes a **red herring prospectus (Sec 32)**, a **shelf prospectus (Sec 31)**, or any notice, circular, advertisement or other document inviting offers from the public for the subscription or purchase of securities of a body corporate. The essential test is a **public invitation to subscribe/purchase securities**.

A3. What is a "public offer" versus a "private placement"?

Answer: A **public offer** (Sec 23 read with Sec 25/26) is an invitation to the public at large to subscribe to securities via a prospectus. A **private placement** under **Section 42** is an offer/invitation to a **select group of identified persons** (not exceeding **200** in a financial year, excluding QIBs and employees under ESOP) through a **private placement offer-cum-application letter (PAS-4)**, without any public advertisement.

A4. What is an "abridged prospectus" and when must it be issued?

Answer: Under **Section 2(1)**, an abridged prospectus is a memorandum containing the salient features of a prospectus as specified by SEBI. Under **Section 33**, every application form for securities must be accompanied by an abridged prospectus, except where it is a bona fide invitation to a person to enter into an underwriting agreement, or where securities are not offered to the public.

A5. What is a "shelf prospectus" and a "red herring prospectus"?

Answer: A **shelf prospectus (Sec 31)** is a prospectus filed by classes of companies (as SEBI prescribes) allowing them to make multiple issues of securities within **one year** without issuing a fresh prospectus for each offer; an **information memorandum (Form PAS-2)** updates material facts for subsequent offers. A **red herring prospectus (Sec 32)** is a prospectus that **does not contain complete particulars of the quantum or price** of securities and is issued prior to the main prospectus in a book-building issue.

A6. State the meaning and effect of a "deemed prospectus" under Section 25.

Answer: Under **Section 25**, where a company **allots or agrees to allot securities to an issuing house/intermediary with a view to those securities being offered for sale to the public**, the offer-for-sale document is **deemed to be a prospectus** issued by the company. All provisions on contents and liability apply as if the company itself issued it. This prevents companies from evading prospectus liability by routing the issue through an intermediary.

A7. What is the minimum subscription requirement and its consequence?

Answer: Under **Section 39(1)**, no allotment can be made unless the amount stated in the prospectus as the **minimum subscription** has been subscribed and the **application money (at least 5% of nominal value of the share, or as SEBI specifies)** has been received. Under **Section 39(3)**, if minimum subscription is not received within **30 days** of issue of prospectus (or such period specified by SEBI), the application money must be **refunded** within the prescribed time (15 days from closure per SEBI ICDR); default attracts penalty under **Section 39(5)**.

A8. Distinguish civil liability (Sec 35) from criminal liability (Sec 34) for misstatements in a prospectus.

Answer: **Section 34** imposes **criminal liability** for issuing a prospectus that includes an untrue/misleading statement, punishable under **Section 447 (fraud)**. **Section 35** imposes **civil liability** — the company and specified persons (directors, promoters, experts, persons who authorised issue) are liable to **compensate** every person who subscribed relying on a misstatement and suffered loss. Sec 34/35 target misstatements; **Section 36** targets fraudulently inducing persons to invest.

SECTION B — Applied Problem / Scenario Questions (ICAI style)

B1. *ABC Ltd, a public unlisted company, wishes to raise capital by inviting subscription from 350 identified high-net-worth individuals through a private placement offer letter, without issuing a prospectus. Advise on validity.*

- **Facts:** Offer to 350 identified persons via private placement route.
- **Law: Section 42(2)** limits a private placement to a maximum of **200 persons in the aggregate in a financial year** (per kind of security), excluding QIBs and employees under ESOP. Under **Section 42(7)**, no public advertisement may be made. An offer to more than 200 persons is **deemed to be a public offer**, requiring compliance with prospectus provisions (Sec 23–26) and SEBI regulations, per the second proviso to Sec 25(1)/Sec 42 explanation.
- **Analysis:** The offer to 350 persons exceeds the 200-person ceiling. It therefore ceases to be a private placement and is **deemed a public offer**, mandating a prospectus.
- **Conclusion:** ABC Ltd **cannot** validly raise money from 350 persons via private placement; it must either restrict the number to 200 or issue a prospectus and comply with public-offer requirements. Contravention attracts penalty under **Section 42(10)** (amount raised or ₹2 crore, whichever lower, and refund within 30 days).

B2. *A prospectus issued by XYZ Ltd stated that a well-known industrialist had agreed to join the Board. On the strength of this, Mr. P subscribed. The statement was false. What are Mr. P's remedies?*

- **Facts:** Untrue statement in prospectus induced subscription; loss suffered.
- **Law: Section 35(1)** provides civil liability — the company, every director, promoter, and person who authorised issue is liable to **compensate** for loss/damage sustained by reason of an untrue statement. **Section 34** provides criminal liability, and **Section 36** covers fraudulent inducement. The investor may also rescind the contract of allotment for misrepresentation under general contract law.

- **Analysis:** The false statement about the industrialist is a **material misstatement**. Mr. P relied on it and suffered loss, satisfying Sec 35.
- **Conclusion:** Mr. P can (i) claim **compensation under Sec 35**, and (ii) **rescind** the allotment. Directors may escape liability under **Section 35(2)** by proving withdrawal of consent before issue, lack of knowledge/consent, or reasonable belief in the truth of the statement.

B3. *Directors of LMN Ltd wish to raise the criminal-liability defence under Section 34. On what grounds can they escape liability?*

- **Law:** The proviso to **Section 34** exempts a person if he proves that (a) the **statement/omission was immaterial**, OR (b) he had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the inclusion/omission was necessary.
- **Conclusion:** Directors escape **Sec 34** criminal liability only by discharging this burden; otherwise punishment is under **Section 447**.

B4. *PQR Ltd allotted shares 40 days after issuing the prospectus, having received only 80% of the stated minimum subscription. Advise on the validity of the allotment.*

- **Law: Section 39(1)** bars allotment unless minimum subscription is received; **Section 39(3)** requires refund if minimum subscription is not received within **30 days** of issue of prospectus (or the SEBI period).
- **Analysis:** Minimum subscription was not met, and 30 days had elapsed. Allotment is **irregular/void**, and application money should have been refunded.
- **Conclusion:** The allotment is **invalid**; PQR Ltd must refund the application money. Default attracts penalty under **Section 39(5)** — ₹1,000 per day of default or ₹1,00,000, whichever is less, on the company and each officer in default.

B5. *DEF Ltd raised money by private placement but utilised the funds before filing the return of allotment. Comment.*

- **Law:** Under **Section 42(4)/42(8)**, money received on private placement must be kept in a **separate bank account** and **cannot be utilised** until the **return of allotment (Form PAS-3)** is filed with the Registrar. Allotment must be completed within **60 days** of receipt of application money (Sec 42(6)); PAS-3 must be filed within **15 days** of allotment.
- **Conclusion:** DEF Ltd's utilisation of funds before filing PAS-3 is a **contravention** attracting penalty under **Section 42(10)**. (Note: post-2018 amendment, allotment money cannot be used until PAS-3 is filed.)

B6. *GHI Ltd (unlisted public company) wants to make repeated bond issues over a year without a fresh prospectus each time. Which route applies?*

- **Law: Section 31** — a **shelf prospectus** may be filed by prescribed classes of companies, valid for **one year**, with an **information memorandum (PAS-2)** filed for each subsequent offer.
- **Conclusion:** GHI Ltd may use the **shelf prospectus** mechanism, provided it belongs to the class prescribed by SEBI (typically for debt securities / financial institutions). Flag: eligibility depends on SEBI's prescribed classes.

SECTION C — Past-Paper-Style Descriptive Questions

C1. Explain the provisions relating to variation in terms of contract or objects referred to in the prospectus (Section 27).

Answer: Under **Section 27(1)**, a company shall **not vary the terms of a contract or the objects for which the prospectus was issued** except by way of a **special resolution** passed at a general meeting. Details of the notice must be published (as SEBI/rules prescribe) in newspapers. Under **Section 27(2)**, **dissenting shareholders** (those who have not agreed to the variation) must be given an **exit offer** by promoters/controlling shareholders at a SEBI-prescribed exit price. Under **Section 27(3)**, money cannot be used for any object other than stated in the prospectus except after such approval. This protects investors who subscribed on the faith of stated objects.

C2. Discuss the "golden rule" of prospectus and the matters to be stated under Section 26.

Answer: The **"Golden Rule"** (New Brunswick v. Muggeridge) requires that a prospectus disclose the whole truth with **strict and scrupulous accuracy** — nothing should be stated as fact that is not so, and no material fact should be concealed. **Section 26(1)** codifies this by requiring every prospectus to state prescribed information — details of the company, directors, promoters, objects, capital structure, terms of issue, and reports (auditor's report, financial information) — and disclosures required by SEBI. Under **Section 26(4)**, a prospectus must be **dated, signed, and delivered to the Registrar for registration** before publication. A prospectus not registered is **invalid**; issuing an unregistered prospectus attracts penalty under **Section 26(9)**.

C3. Write a note on the allotment of securities in the electronic form / return of allotment (Section 39 and Section 42(8)).

Answer: On every allotment of securities, the company must file a **return of allotment in Form PAS-3** with the Registrar. For public issues under **Section 39(4)**, PAS-3 must be filed in the prescribed manner; for private placements under **Section 42(8)**, PAS-3 must be filed within **15 days** of allotment, listing the identity of allottees and the price. This return creates a public record and enables monitoring of the 200-person ceiling and utilisation restrictions. Default attracts penalty under **Sec 39(5)** and **Sec 42(10)** respectively.

C4. Explain the criminal and civil liabilities for mis-statements in a prospectus (Sections 34, 35, 36).

Answer: - **Section 34 (Criminal liability):** Where a prospectus includes any **untrue or misleading statement**, or omits a material matter likely to mislead, every person who **authorised its issue** is liable under **Section 447 (fraud)** — imprisonment (6 months–10 years) and fine (up to 3× the amount involved). Defence: immateriality or reasonable belief in truth. - **Section 35 (Civil liability):** The company, directors, promoters, experts and authorisers must **compensate subscribers** who suffered loss relying on an untrue statement. Sec 35(2) provides defences (withdrawal of consent, no knowledge, reasonable belief). Sec 35(3): if the misstatement was made with intent to defraud, liability is **unlimited and personal**. - **Section 36 (Fraudulently inducing investment):** Any person who **knowingly or recklessly makes false/misleading/deceptive statements** to induce another to invest is punishable under **Section 447**.

C5. Distinguish between a prospectus and a statement in lieu of prospectus / private placement offer letter, and explain "public offer" limits.

Answer: A **prospectus (Sec 2(70), Sec 26)** is a public invitation registered with the Registrar. A **private placement offer-cum-application letter (Form PAS-4, Sec 42)** is a serially-numbered, address-specific offer to identified persons (≤200), **not** advertised to the public, and not renounceable. Any offer that crosses **200 persons**, or is advertised publicly, becomes a **deemed public offer** (Sec 25/42), triggering full prospectus and SEBI compliance. (Note: the "statement in lieu of prospectus" of the 1956 Act has no direct equivalent; the 2013 Act relies on the private placement/PAS-4 regime — flag as a change from the old law.)

SECTION D — MCQs / Case Scenarios

D1. The maximum number of persons to whom securities may be offered under private placement in a financial year (excluding QIBs and ESOP employees) is: (a) 50 (b) 100 (c) 200 (d) 500 **Answer: (c) 200** — Section 42(2); exceeding it makes it a deemed public offer.

D2. A "red herring prospectus" is one which: (a) contains false statements (b) does not contain particulars of price or quantum of securities (c) is issued after allotment (d) is a foreign prospectus **Answer: (b)** — Section 32; issued in book-building before the final price is fixed.

D3. Minimum subscription, if not received, must trigger refund within the SEBI-prescribed period after the prospectus is open; the base timeline in Section 39(3) is: (a) 15 days (b) 30 days (c) 60 days (d) 90 days **Answer: (b) 30 days** — Section 39(3) (SEBI ICDR further specifies refund within 15 days of issue closure).

D4. Which document is deemed to be a prospectus when shares are allotted to an issuing house for offer to the public? (a) Shelf prospectus (b) Abridged prospectus (c) Offer for sale document (deemed prospectus) (d) Information memorandum **Answer: (c)** — Section 25 (deemed prospectus).

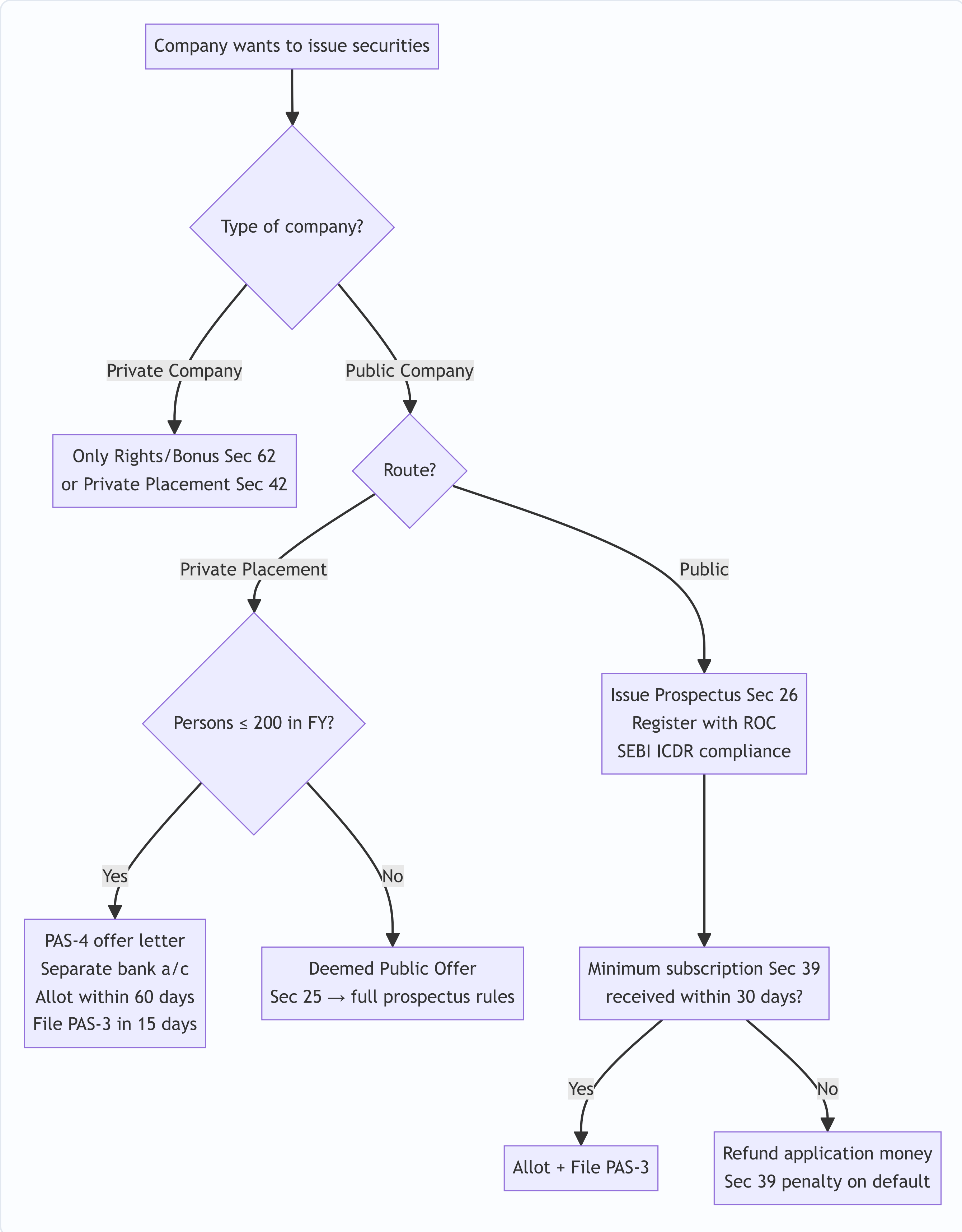
D5. Variation in the objects stated in a prospectus requires: (a) Board resolution (b) Ordinary resolution (c) Special resolution + exit to dissenters (d) Central Government approval **Answer: (c)** — Section 27; dissenting shareholders get an exit offer.

D6. Private placement money must be kept in a separate bank account and cannot be utilised until: (a) the AGM (b) return of allotment (PAS-3) is filed (c) shares are listed (d) one year passes **Answer: (b)** — Section 42(4)/(8).

D7. *Case scenario:* Mr. X, an expert, gave his consent to a statement in the prospectus but withdrew it in writing before the prospectus was delivered for registration. A subscriber sues him under Sec 35. Is he liable? (a) Yes, absolutely (b) No, withdrawal before issue is a valid defence (c) Yes, but only 50% (d) Only criminally liable **Answer: (b)** — Section 35(2)(a); withdrawal of consent before issue is a statutory defence.

D8. A private company may issue securities by: (a) public offer (b) rights/bonus issue or private placement (c) only public offer (d) shelf prospectus **Answer: (b)** — Section 23(2); a private company cannot make a public offer.

Procedure Diagram — Public Offer vs Private Placement Decision



Traps & Examiner Tricks (Quick Recall)

- **200-person limit** is **per financial year and per kind of security** — QIBs and ESOP employees are **excluded** (Sec 42).
- **Minimum subscription base period is 30 days** (Sec 39(3)); students often wrongly write 60 or 120 days.
- **Variation of objects** needs **special resolution + exit to dissenters** (Sec 27), NOT ordinary resolution.
- **Deemed prospectus** (Sec 25) traps offer-for-sale arrangements — company cannot dodge liability via an intermediary.
- **Sec 34 = criminal, Sec 35 = civil, Sec 36 = fraudulent inducement** — do not interchange.
- Private placement money **cannot be used until PAS-3 is filed** (Sec 42(8), post-2018 amendment).
- A **private company can never make a public offer** (Sec 23(2)).

First-Principles Recap

Sections 23–42 exist to protect the investing public through **disclosure (prospectus/golden rule), gatekeeping (registration, minimum subscription), accountability (civil & criminal liability), and containment (private-placement ceilings)**. The unifying idea: *money should only be raised on the basis of full, true, registered disclosure, and protected until legitimately allotted.*

Provisions cited: Companies Act, 2013 — Sec 2(70), 2(1), 23, 25, 26, 27, 31, 32, 33, 34, 35, 36, 39, 42, 62, 447. Procedural timelines/thresholds are read with SEBI ICDR Regulations and the Companies (Prospectus and Allotment of Securities) Rules; where a threshold is SEBI-driven rather than in the bare Act, this has been flagged in the text.

Chapter 04 — Share Capital & Debentures

1. The Problem — Why Money Put Into a Company Keeps Vanishing

Imagine you lend ₹50 lakh to a company. You did not become an owner; you are a creditor. You looked at the company's balance sheet, saw "Share Capital ₹2 crore," and felt safe — that ₹2 crore is the buffer that absorbs losses before your loan is touched. The owners promised to put ₹2 crore of *their own* money at risk, standing behind your loan.

Now imagine three things happen:

1. The directors, who are also the big shareholders, quietly pay that ₹2 crore back to themselves as "return of capital," leaving nothing between your loan and zero.
2. Or the company issues shares to insiders for ₹1 when they are really worth ₹100, diluting everyone else and funnelling value to friends.
3. Or the company borrows ₹10 crore through debentures from thousands of small public investors, spends it, and there is no independent person watching whether the money is safe or the security real.

Every one of these is a **real historical fraud**. Companies were looted from the inside by manipulating capital. The whole architecture of Chapter IV of the Companies Act, 2013 (Sections 43–72) exists to answer one question: *how do we stop the people who control a company from moving capital in ways that betray the outsiders who relied on it — creditors, minority shareholders, and public debenture-holders?*

The single organising villain of this chapter is the **abuse of control over capital**. Everything else is a specific defence against a specific trick.

Why "capital" is legally special and not just an accounting number. A shareholder's liability in a limited company is capped at the unpaid amount on his shares (Sec 2(22)/Sec 3). That cap is the great bargain of company law: investors risk only a fixed sum, which is why they invest at all. But the mirror image of limited liability is that creditors have *only* the company's assets to look to — never the shareholders' personal wealth. So the "capital" figure is the price of the limited-liability privilege: in exchange for capping their downside, shareholders promise to keep a stated buffer intact for creditors. Capital rules are simply the enforcement of that promise. Once you see capital as *the consideration creditors received for accepting limited liability*, every "hard, rare, court-supervised" rule about touching it stops looking bureaucratic and starts looking like basic contract enforcement.

The three victim-groups, kept distinct. The chapter protects three different outsiders, and the examiner tests whether you know *which* protection fires for *which* victim:

- **Creditors** (including future creditors) — protected by *Capital Maintenance*: discount ban, premium lock, CRR, DRR, Tribunal-supervised reduction.
- **Existing shareholders** as a body — protected by *pre-emption / Fair Dealing*: the rights issue, valuer-priced preferential allotment.
- **A class of shareholders** (e.g. preference holders) against another class — protected by *class consent*: Sec 48 variation, Sec 47 revival of voting.

If you can name the victim, you can usually name the section.

The four rungs of the capital ladder — a distinction the examiner hides inside every numerical. "Share capital" is not one number but a descending ladder, and confusing two rungs is the most common silent error in a buy-back, rights-issue or reduction sum:

Rung	Meaning	Where it bites
Authorised (nominal) capital	The ceiling fixed by the memorandum — the maximum the company *may* issue	Sec 61 increase; SH-7 filing
Issued capital	The part of authorised capital actually offered for subscription	—
Subscribed capital	The part of issued capital taken up by members	Base for a "further issue" under Sec 62
Called-up capital	The part of subscribed capital the company has demanded be paid	Reduction Sec 66 face (1)
Paid-up capital	The part of called-up capital actually received	Buy-back ceilings; the buffer creditors see

The buffer creditors actually rely on is **paid-up** capital plus free reserves — not authorised capital, which is a mere ceiling and can be enormous while paid-up is tiny. When a sum says "paid-up capital ₹50 lakh, authorised ₹5 crore," the ₹5 crore is a decoy; every capital-maintenance ceiling keys off *paid-up*. *Why does the ladder exist?* Because a company needs headroom to grow (a high authorised ceiling) without being forced to issue and without misleading anyone — so the law separates "permission to issue" (authorised) from "value actually contributed" (paid-up), and pins the creditor-protective rules to the latter. A favourite trap computes a 25% buy-back cap on *authorised* rather than *paid-up* capital, inflating the allowable figure tenfold.

Nominal vs real capital — why "capital" can be honest or a lie. Face value × number of shares = *nominal* capital, a legal bookkeeping figure. What actually stands behind the creditors is *real* value contributed. Sec 53 (discount ban) exists precisely to keep nominal and real capital equal *at the moment of issue*; the whole capital-maintenance apparatus then works to stop real value draining below nominal *afterwards*. Hold this master sentence: **every rule in the chapter is either (a) making nominal = real at issue, or (b) stopping real from falling below nominal later.** That one line organises all ten parts — Sec 52/53/54/62 police the "at issue" side; Sec 55/63/66/68/71 police the "afterwards" side.

2. The Core Idea — Capital Maintenance and Fair Dealing

Two protective principles run through the entire chapter. If you hold these two, you can *derive* almost every section.

Principle A — Capital Maintenance. The share capital a company raised must not leak back out to shareholders through the back door. Creditors extended credit trusting that buffer. So the law makes returning capital to shareholders *hard, rare, court-supervised, and never at the creditors' expense*. This is why reduction of capital (Sec 66) needs Tribunal approval, why buy-back (Sec 68) has ceilings and locks, why dividends can't be paid out of capital, and why shares generally can't be issued at a discount (Sec 53).

Principle B — Fair Dealing / Equality Among Members. Within the body of shareholders, no group may use control to enrich itself at another group's expense. Existing shareholders must not be secretly diluted; a class whose rights are altered must consent; new shares must first be offered to existing owners in proportion (rights issue, Sec 62). This is the "no unfair dilution, no unfair preference" principle.

Hold these two lamps up to any provision and its purpose lights up. The section number is just an address; the *reason* is the thing.

A third, quieter principle — Disclosure & Traceability. Sitting beneath the two lamps is a plumbing principle: *every movement of capital must leave a public paper trail with a deadline.* Form SH-7 for alteration, SH-4 for transfer, PAS-3 for allotment, the register of members, the register of charges — all exist so that an outsider dealing with the company can see the true, current capital position. Capital Maintenance says "don't let it leak"; Disclosure says "and if it moves at all, the world must be able to see it moved." Several "trap" questions are really disclosure-deadline questions (SH-7 in 30 days, SH-4 in 60 days) dressed up as substance.

The two lamps are in tension — and that tension explains the exceptions. Pure Capital Maintenance would forbid *ever* issuing shares below face value or *ever* returning cash to owners — but that would strangle legitimate business (rescuing a sick company, rewarding employees, returning genuine surplus). So each apparent "exception" (sweat equity, buy-back, ESOP, Sec 53(2A) discount on debt-conversion) is the point where the law decided the business need outweighs the buffer risk — and *bolted on a safeguard* (special resolution, valuer, ceiling, CRR) to contain the risk it just permitted. When you meet an exception, always ask: *what safeguard replaced the rule?* That pairing is the favourite exam structure.

Placing any section on the two-lamp grid. Every provision in the chapter answers to *one* dominant lamp — knowing which tells you what a valid answer must emphasise:

Dominant lamp	Sections	The sentence a good answer contains
Capital Maintenance (protect creditors' buffer)	52, 53, 55, 63, 66, 68/69, 71 (DRR/DRI)	"...so the buffer creditors relied on is not depleted."
Fair Dealing (protect members inter se)	47, 48, 54, 62 (rights & preferential), ESOP	"...so no controlling group is enriched at another's expense."
Disclosure & Traceability (public paper trail)	46, 56, 61/64, 71 (trustee), 42 (PAS-4/PAS-3)	"...so an outsider can see the true, current position."

Why does this grid help under exam pressure? Because it converts a "state the law" question into a "name the lamp, then recite its safeguard" reflex. If you can say *which* outsider the provision protects, the marking points almost write themselves — and mixed questions usually engage **two** lamps at once (e.g. a defaulted-preference scenario fires both Sec 47 *voting revival* under Fair Dealing and, if repayment is proposed, Sec 66/55 under Capital Maintenance).

3. Why It's Built This Way — The Logic of Each Safeguard

Before the technical wall of sections, let's reason out *why* each major safeguard has the shape it has. This is the scaffolding; Part 4 hangs the exact numbers on it.

- **Why forbid issuing shares at a discount (Sec 53)?** If a company could sell ₹10 shares for ₹1, the "capital" figure on the balance sheet becomes a lie — creditors think ₹10 of value backs each share but only ₹1 came in. So discount is banned, *except* the tightly-controlled sweat-equity route (real value came in, just as effort not cash) and the special ESOP/Sec 54 arrangement.
- **Why is a premium (Sec 52) locked into a special reserve?** When shares sell *above* face value, that extra isn't ordinary profit to be handed out as dividend — treating it as distributable profit would let promoters

recycle investors' own money back as "returns." So the premium is quarantined in the Securities Premium Account and can be used only for a short capital-like list of purposes.

- **Why must new shares be offered to existing shareholders first (Sec 62 rights issue)?** Because directors could otherwise issue fresh shares to themselves or allies at a low price, shrinking everyone else's percentage. Pre-emption preserves each owner's proportional stake and voting power.
- **Why does altering class rights (Sec 48) need the class's own consent?** Because a controlling group holding ordinary shares could vote to strip preference shareholders of their preference. Only the affected class can agree to have its own rights changed — and even then a dissenting minority can run to the Tribunal.
- **Why is reduction of capital (Sec 66) court-supervised but alteration (Sec 61) not?** Because *reduction* actually shrinks the creditor buffer — it's the dangerous one, so the Tribunal and creditors must be heard. Mere *alteration* (splitting, consolidating, converting) reshuffles the same total capital without returning anything to shareholders, so a Board-plus-ordinary-resolution suffices.
- **Why must debentures to the public have a trustee (Sec 71)?** Ten thousand small debenture-holders cannot each individually police the company. So the law inserts a professional **Debenture Trustee** who holds the security and enforces it on behalf of all — a single watchdog with teeth, replacing a scattered helpless crowd.
- **Why can a private company switch off Sec 43 and 47 but not Sec 53 or 66?** Because Sec 43 (kinds) and 47 (voting) govern the *internal* deal *among the members themselves* — and in a closely-held company where everyone knows everyone, the law lets them privately re-arrange their own bargain. But Sec 53 (discount) and Sec 66 (reduction) protect *outsider creditors*, who never sat at that table. **Rule of thumb: a private company may relax the rules that protect only its own members; it can never relax the rules that protect creditors.** This single test predicts almost every private-company exemption in the chapter.
- **Why is a bonus issue *encouraged* (light conditions) while buy-back is *fenced* (heavy conditions)?** Both touch reserves, but in opposite directions. A bonus issue moves reserves *into* capital — the buffer gets **larger and more locked**, so creditors gain; the law only checks that the reserves are real. A buy-back moves reserves *out* to shareholders — the buffer **shrinks**, so creditors lose; hence caps, ratios, CRR, and cooling-off. Direction of travel of the buffer = severity of the safeguard.
- **Why demand an actual DRI deposit on top of the DRR reserve (debentures)?** A DRR is only an *appropriation of profit* — a bookkeeping ring-fence that stops the profit being paid out as dividend, but leaves no guarantee that cash actually exists on redemption day. So the law adds a **Debenture Redemption Investment**: real money parked in specified liquid instruments before each financial year's maturities fall due. Reserve = "don't distribute what you owe"; investment = "and actually hold the cash." Two different failures (distributing the profit vs having no liquid funds) need two different plugs.
- **Why does a nomination (Sec 72) override a will?** Because a share is a contract *with the company*, and the company must be able to pay out on death to one certain, pre-declared person without waiting for probate or refereeing a family dispute. The nomination is the shareholder's own instruction to the company about *vesting*; a will speaks to the estate, not the company. The law privileges the clean, company-facing instruction for vesting, while leaving heirs free to litigate *beneficial* ownership afterwards. Speed of vesting for the company, fairness of ultimate entitlement for the family — both served.

- **Why is a share certificate only *prima facie* evidence while the register is the real record?** Because paper travels and can be forged or duplicated, but the register is the company's single controlled ledger. If the certificate were conclusive, a forger who obtained a duplicate could defeat the true owner. Making the register primary means the truth always has a home the company controls and can rectify (Sec 59).
- **Why cap sweat equity and ESOP as a percentage of paid-up equity rather than banning insider issues outright?** Because the value they bring in (know-how, retained talent) is real and the company genuinely needs it — an outright ban would starve start-ups of their only currency. A *percentage cap* lets the legitimate use through while making it arithmetically impossible for insiders to convert the whole company into cheap self-issued equity. The cap is the pressure valve, not the padlock.

Now the technical content will feel like consequences, not commandments.

4. Full Technical Content — Section by Section, Each With Its "Why"

4.1 Kinds of Share Capital — Section 43

A company limited by shares can have two kinds of share capital:

- **Equity share capital** — (a) with voting rights, or (b) with *differential rights* as to dividend, voting or otherwise (DVR shares), per prescribed rules.
- **Preference share capital** — carries a preferential right to (i) dividend (fixed amount or rate) and (ii) repayment of capital on winding up, *ahead of* equity.

Why two kinds? Different investors want different risk. The preference shareholder wants a fixed, priority return (bond-like); the equity shareholder wants the upside and control. Sec 43 simply names the two boxes the law will then regulate. **Note:** a *private company* may, through its articles/memorandum, override Sec 43 and 47 — a relaxation introduced to give small closely-held companies flexibility.

Finer taxonomy of preference shares (frequently tested labels). The *same* preference share can carry several attributes, and the examiner tests whether you know that the default is the "safer for the investor" version:

Attribute	Two flavours	The **default** if silent
Dividend arrears	**Cumulative** (unpaid dividend accumulates) vs **Non-cumulative** (missed = gone)	**Cumulative**
Extra profit share	**Participating** vs **Non-participating**	**Non-participating**
Conversion to equity	**Convertible** vs **Non-convertible**	**Non-convertible**
Repayment	**Redeemable** (must be, ≤20 yrs) vs Irredeemable	**Redeemable** — irredeemable is *prohibited* (Sec 55)

Why do these defaults lean investor-protective? Because the preference shareholder gave up voting power and upside in exchange for a *promise*; where the terms are silent, the law reads the promise generously so the bargain isn't hollowed out. A trap will say "the company skipped the dividend, so it need not be paid later" — wrong if the shares are (or are silent, hence deemed) cumulative.

DVR shares — the guardrails. Differential-rights equity (e.g. shares with 1/10th the votes but higher dividend, or vice versa) is legal but rule-bound to stop promoters from entrenching control with tiny economic stakes. Conditions typically include: authorised by articles and an ordinary resolution; a consistent track of distributable profits / no default in filing or repayment; and a cap on DVR as a proportion of total post-issue paid-up equity. *Verify the current DVR percentage cap and eligibility conditions in the Companies (Share Capital and Debentures) Rules — this figure has been amended.*

Preference shares must be redeemable — Section 55. A company (other than as specially permitted) *cannot issue irredeemable preference shares*. They must be redeemed within **20 years**; except infrastructure projects may issue preference shares redeemable beyond 20 years (redeemable in a phased manner as prescribed). *Why the ban on irredeemable preference?* An irredeemable preferential claim ranking ahead of equity forever is effectively perpetual debt masquerading as capital — it would let promoters bleed a fixed charge on profits indefinitely. Forcing redemption keeps the capital structure honest.

Redemption of preference shares (Sec 55) protects creditors by rule: they can be redeemed **only** out of (a) profits otherwise available for dividend, or (b) proceeds of a *fresh issue* of shares made for the purpose. Two more hard rules ride along: **only fully paid-up** preference shares may be redeemed, and the **premium payable on redemption** must be provided (out of profits, or out of securities premium for certain companies). If redeemed out of profits, an equal amount must be transferred to the **Capital Redemption Reserve (CRR)** — a reserve treated almost like capital. *Why CRR?* If you pay shareholders back out of profits, the buffer would shrink; forcing an equal amount into a locked reserve keeps the total buffer intact. Capital maintenance in action.

Where the premium *on redemption* comes from — the split rule. The premium payable when redeemable preference shares are redeemed must be **provided for before redemption**: for companies **not** complying with the notified Accounting Standards (broadly, older/other companies), it may be met **out of profits or out of the securities premium account**; for companies **whose financial statements comply with those Accounting Standards**, the redemption premium must be provided **out of profits** (the securities premium may be used only to the extent permitted, i.e. tied to the premium originally *received* on those very shares) — *verify the exact carve-out against current ICAI material. Why restrict the premium source for AS-compliant companies?* To stop a company from using investors' *other* subscription premium to fund a payout premium to preference holders — keeping each pot of premium tied to its own purpose.

Redemption is NOT a reduction of capital. A frequent conceptual trap: redeeming preference shares looks like the buffer shrinking, so why no Tribunal (unlike Sec 66)? Because the CRR (or the fresh-issue proceeds) *instantly replaces* the redeemed capital rupee-for-rupee — the total buffer never actually falls. The law pre-built the replacement, so it doesn't need the Tribunal to police it. Sec 66 needs the Tribunal precisely *because* nothing replaces the vanished capital.

Company unable to redeem on due date (Sec 55(3)). If a company can't redeem, or can't pay accumulated preference dividend, it may — with consent of holders of **≥ 3/4 in value** of those preference shares and with **Tribunal** approval — issue *further redeemable preference shares* equal to the amount due (including dividend), and the unredeemed shares are deemed redeemed. *Why?* A rescue valve: rather than force a solvent-but-illiquid company into default, the law lets it roll over the obligation, but only with a supermajority of the affected class plus the Tribunal — the same "class-consent + court" pattern as Sec 48/66.

The two lawful redemption sources, and why "proceeds of a fresh issue" means *nominal* only. Sec 55 permits redemption *only* from (a) profits otherwise available for dividend, or (b) proceeds of a fresh issue *made for the purpose of redemption*. The precise trap: when the fresh issue is made **at a premium**, only the **nominal (face) value** of the fresh shares counts as "proceeds of a fresh issue" that reduces the CRR obligation — the *premium* collected does **not** reduce the amount to be transferred to CRR. *Why?* Because CRR must be topped up to keep total *capital* constant; the premium is not capital (it is a Sec 52 reserve with its own restricted uses), so it cannot substitute for the capital being redeemed. Another tested precision: the fresh issue must be *for the purpose of redemption* — an unrelated fresh issue made months earlier for working capital does **not** qualify to reduce the CRR.

Redeemed out of...	CRR transfer needed?	Buffer logic
Profits available for dividend	**Yes** — equal to nominal redeemed	Profit would have shrunk the buffer; CRR locks it back in
Proceeds of a fresh issue (nominal)	**No** — fresh capital already replaced it	New capital rupee-for-rupee replaces the old
Part profit + part fresh issue	Yes, only on the *profit-funded* portion	Only the profit-funded slice needs replacing

DVR shares — the full conditions grid (frequently examined as a "state the conditions" question). Differential-rights equity is legal but hedged so promoters can't entrench control on a sliver of economic ownership. Typical conditions under the Rules: (i) authorised by the **articles**; (ii) approved by an **ordinary resolution** (a *postal-ballot* route applies for certain companies); (iii) DVR capped as a **proportion of total post-issue paid-up equity** — *verify the current percentage, which has been amended*; (iv) a track record of **distributable profits** for the relevant preceding years, or **no default** in filing financial statements/annual returns, payment of declared dividend, or repayment of matured deposits/debentures/term loans; (v) no penalty/conviction under specified economic laws in recent years; and (vi) the company must **not convert** existing equity into DVR shares or vice versa. *Why so many conditions?* Each blocks one route by which a controller could grab votes cheaply — the profit/no-default track record proves the company is honest enough to be trusted with a two-tier structure, and the conversion ban stops a mid-stream bait-and-switch of ordinary holders into a diluted voting class.

4.2 Voting Rights — Section 47

Equity: one-share-one-vote, voting proportional to paid-up capital. Preference shareholders normally vote *only* on resolutions that directly affect their rights — but if their dividend is unpaid for **two years or more**, they get voting rights on *every* resolution. *Why?* A preference shareholder is a quiet priority-investor as long as the deal is honoured; the moment the company defaults on their promised dividend for two years, the bargain is broken and they earn a full seat at the table.

Precision on the two-year trigger (exam-hard). For **cumulative** preference shares the trigger is dividend unpaid for an *aggregate* of two years or more; for **non-cumulative** it is dividend not paid in respect of a period of two years or more (or for two or more consecutive preceding years — *verify the exact wording in current ICAI material*). The point the examiner tests: it is **two years, not one missed dividend**, and once armed, the preference class votes on *every* resolution, not merely on matters affecting preference rights. A tweak: "dividend unpaid for 18 months" → **not yet** triggered.

"Resolutions directly affecting their rights." Even when not in arrears, preference holders always vote on (a) any resolution to wind up the company, and (b) any resolution for repayment or reduction of the preference share capital — because those hit the preference bargain at its core. Their vote value on such matters is proportioned to their paid-up preference capital.

How the proportion is computed (mini-numerical). Sec 47(2) sets a preference shareholder's voting *weight*, when he does vote, in the same proportion as his paid-up preference capital bears to the *total* paid-up equity **plus** preference capital. So if equity paid-up is ₹80 lakh and preference paid-up is ₹20 lakh, the preference class collectively controls 20/100 = **20%** of the vote on a matter it is entitled to vote on. *Why this ratio and not one-share-one-vote?* Because votes track economic stake in the residual bargain; a preference holder's stake is measured by capital contributed, and the section keeps the arithmetic proportional across both classes so no class is over- or under-weighted relative to the money it actually put in.

Does the two-year clock reset on part-payment? Exam-hard tweak: paying *part* of the arrears does not disarm the class if a full two years' worth remains unpaid — the trigger is about the *quantum and duration* of default, not a token payment. Conversely, once the company clears the arrears the preference class reverts to its limited voting rights on the next default cycle. The examiner may give "company paid one of the three years' arrears" — still triggered, because two years remain owed.

4.3 Certificate of Shares — Section 46

The share certificate under common seal (if any) is **prima facie evidence** of title. Duplicate certificates fraudulently issued attract heavy penalty. *Why the penalty?* A fake certificate lets a fraudster sell the same shares twice — the deterrent guards the register's integrity.

Prima facie, not conclusive. The subtle point: a certificate is *presumptive* proof, rebuttable by contrary evidence — the **register of members** is the primary legal record of ownership; the certificate is merely the member's portable evidence of what the register says. *Why does this matter?* If a certificate is forged or issued in error, the true position on the register still governs — the company can rectify. A trap treats the certificate as unbeatable title; it isn't.

Dematerialised shares. For shares held in demat form there is no physical certificate; the depository's records are the evidence of title. Certain classes of companies must issue securities only in demat form. *Why?* Paper certificates enabled forgery and double-selling; demat closes that hole entirely — the register-integrity purpose of Sec 46 achieved by technology.

Time-limits for issuing certificates — the 2/6/1 cluster (recall anchor). Under Sec 56, certificates must be delivered within **2 months** of *allotment of shares*, **6 months** of *allotment of debentures*, and **1 month** of *registration of a transfer* (and within 2 months of allotment of *further* shares on a rights/bonus issue). *Why does a certificate even have a deadline?* Because a member with no certificate cannot easily deal with his shares; the deadline forces the company to arm the member with his portable evidence promptly. Failure attracts penalty on the company and officers in default.

Duplicate certificates and the register of renewed/duplicate certificates. A duplicate may be issued where the original is lost/destroyed or defaced, but only after prescribed verification, and the issue must be entered in a **register of renewed and duplicate certificates**. *Why the register and heavy penalty for fraudulent duplicates?* Because a bogus duplicate lets a fraudster sell the same shares twice; the register makes every duplicate traceable and deters the fraud that Sec 46 exists to stop.

4.4 Application of Premium — Section 52

Where shares are issued at a premium, the aggregate premium goes to the **Securities Premium Account**. It may be applied *only* for:

- issuing fully paid **bonus shares**;
- writing off **preliminary expenses**;

- writing off expenses/commission/discount on issue of shares or debentures;
- providing the **premium payable on redemption** of redeemable preference shares or debentures;
- **buy-back** under Sec 68.

Why this closed list? Every permitted use is either capital-like (bonus, buy-back, redemption premium) or a genuine cost of raising the capital. The one thing you may **not** do is pay it out as ordinary dividend — that would return investors' own subscription money to them dressed as profit. Memory hook: securities premium is "capital's cousin," not "profit's sibling."

The narrowed list for certain companies (Sec 52(3)). For companies whose financial statements comply with the notified Accounting Standards (broadly, most operating companies), the securities premium may be applied only for the **first, third, and fourth** purposes above — i.e. **bonus shares, writing off share/debenture issue expenses & commission, and premium on redemption of preference shares or debentures**. Writing off *preliminary expenses* and using premium for *buy-back* are then not available from the premium account for such companies. *Why the split?* The narrower list is even more tightly capital-flavoured; it prevents such companies from quietly consuming the premium reserve on softer items. *Confirm the exact scope against current ICAI material.*

Securities premium is not "free reserves" for dividend and generally not part of "profits available for dividend." Restate the core trap: the account is treated *as if it were paid-up capital* for the purpose of Sec 52's restrictions. So "Can we declare dividend out of the securities premium?" → **No.**

Premium can arise even without cash. Where shares are issued for a **non-cash consideration** (e.g. against acquisition of a business) at a value above face, the excess is still "securities premium" and still locked into the account. *Why?* Because Sec 52 keys off *value received above nominal*, not the *form* (cash or kind) in which it was received — the buffer logic is identical. A trap says "no cash came in, so there is no premium to restrict" — wrong.

A closed list means genuinely closed — no residual "any other business purpose." Because the five permitted uses are exhaustive, a company cannot apply the securities premium to write off *trading* losses, pay *dividends*, fund *ordinary capex*, or absorb *revaluation* deficits. The account behaves like paid-up capital: it can only migrate to another capital-flavoured home (bonus, redemption premium, buy-back) or discharge a true cost of raising capital. Memory anchor: *if the use isn't on the list, it isn't allowed — full stop.*

Premium is booked at allotment, and cannot later be "released." Once credited, the balance cannot be freed back into distributable profit by a mere board decision — releasing it would require, in substance, a reduction of capital under Sec 66 (because it is treated as capital). This is why a company sitting on a large securities premium cannot simply "reclassify" it to pay a special dividend; the examiner may frame this as a disguised return of capital.

4.5 Prohibition on Issue at a Discount — Section 53

Any issue of shares at a discount (below face value) is **void**. Company and every officer in default face penalty; the company must refund with interest. *The one carve-out:* shares issued at a discount to creditors under a **statutory resolution/scheme of reconstruction (Sec 53(2A))** — e.g. debt converted to equity under RBI-directed restructuring. And **sweat equity (Sec 54)** is a separate, lawful non-cash route, not a "discount." *Why so absolute?* Because a discount silently overstates capital — the balance-sheet buffer becomes fictitious.

"Void," not merely "voidable." The examiner distinction: a discount issue is a legal nullity from the start — no valid allotment ever came into existence, so the allottee must return the shares and the company refund the money with interest. Contrast a *procedural* defect elsewhere that might be voidable/curable. *Why "void"?* Because the harm (fictitious capital) is done the instant the shares are recorded at face value against underpaid cash; only complete unwinding fixes it.

Discount vs par vs premium — the reference point is always face (nominal) value. Discount = issue price below face value; premium = above. Market price is irrelevant to Sec 53 — a company may issue at a discount to *market* (e.g. a rights issue priced below the traded price) and that is perfectly legal, because the price is still **at or above face value**. A classic trap conflates "below market" with "at a discount." Only "below face value" engages Sec 53.

The consequence machinery of a void issue. Because a discount issue is void, the remedy is *restitutio in integrum* — the allottee returns the shares and the company **refunds the money with interest** (the Rules/section prescribe the interest rate — *verify current figure*), and the company plus every officer in default face a **penalty**. *Why refund with interest and not merely cancel?* Because the allottee parted with cash on a void allotment; interest compensates for the use of that money and deters companies from trying the manoeuvre "for free."

The Sec 53(2A) carve-out — discount on conversion of debt. The one lawful discount is where shares are issued **at a discount to a company's creditors** when their **debt is converted into shares** under a **statutory resolution or a scheme** (e.g. an RBI-directed strategic debt restructuring). *Why permit it here?* Because the alternative is the company's collapse; converting distressed debt to equity below face value is a rescue, and the creditors themselves (the very people the discount ban protects) are the ones consenting and benefiting. The safeguard is that it happens only under a *supervised statutory scheme*, not at the board's whim. Distinguish sharply from **sweat equity (Sec 54)**, which is a *separate lawful route* for non-cash value, not a "discount" at all.

4.6 Sweat Equity Shares — Section 54

Equity shares issued to **directors or employees** at a discount or for consideration other than cash, for providing **know-how, IP, or value additions**. Conditions:

- Issue authorised by a **special resolution**;
- The resolution specifies number, current market price, consideration, and the class of directors/employees;
- Same rank/limitations/rights as ordinary equity.

> **Note (post-2017 amendment):** The old requirement that sweat equity could **not** be issued "before one year from the date the company was entitled to commence business" was the erstwhile **Section 54(1)(c)**, which was **omitted by the Companies (Amendment) Act, 2017 (w.e.f. 7 May 2018)**. Under current law there is **no one-year waiting period** — a company (notably a start-up) may issue sweat equity from the outset.

Quantitative ceilings (Rules). A company may issue sweat equity in a year up to **15% of existing paid-up equity capital or shares of issue value ₹5 crore, whichever is higher**, and the **overall** sweat equity issued cannot exceed **25% of the paid-up equity capital at any time** (a recognised **start-up** may issue up to **50%** within its early years). Where sweat equity is issued to directors/managerial personnel for non-cash consideration that does *not* create an identifiable intangible asset, it is expensed. *Verify these percentages and the start-up window against the current Companies (Share Capital and Debentures) Rules — they have been amended.*

Why allow this exception to Sec 53? Because real value *does* flow in — sweat, brains, patents — just not cash. The special resolution and disclosure guard against directors quietly gifting themselves cheap shares under this banner. *Why the ceilings?* The 15%/25% caps stop insiders converting the whole company into cheap self-issued equity (the old one-year waiting period was omitted w.e.f. 7 May 2018, so a start-up can issue from day one).

Sweat equity vs ESOP — don't merge them. Sweat equity is *issued now* as a reward for value *already provided* (know-how/IP); ESOP is an *option granted now to buy later* as an incentive for future service. Sweat equity shares are subject to a **lock-in (typically 3 years)**; ESOP has a vesting period before exercise. Both need a special resolution (ESOP: ordinary for a private company), but the trap is calling a past-value reward an "option" or vice-versa.

Validity window and pricing discipline. The special resolution authorising sweat equity is valid for **12 months** from the date of passing — the issue must be *made within* that window or a fresh resolution is needed. *Why a shelf-life?* Because the market price, the class of eligible persons, and the fairness of the deal all go stale; a two-year-old approval could be used to issue cheap shares on outdated valuations. Where sweat equity is issued for **know-how or IP** (an identifiable intangible), the value is capitalised as an asset; where it is issued to directors/managerial personnel and does **not** create an identifiable asset, the amount is **expensed** in the statement of profit and loss — this accounting fork is itself examinable.

Register and disclosure. The company must maintain a **Register of Sweat Equity Shares (Form SH-3)** and make full disclosure in the **Board's Report** (number issued, price, consideration, persons, and the percentage of post-issue capital). *Why the register + report?* The whole exception to Sec 53 rests on transparency — an independent reader must be able to see that insiders did not quietly gift themselves equity. Remove the disclosure and the exception would become the very abuse it was carved out of.

The lock-in reasoning. Sweat equity shares carry a **lock-in of three years** from allotment (verify current Rules), during which they cannot be transferred. *Why lock them in?* Because the shares reward *value already provided*; a lock-in stops a director from taking cheap shares for "know-how" and immediately dumping them at market for a quick, unearned gain — it forces the recipient to keep skin in the game and aligns him with the value he claims to have added.

4.7 Employee Stock Options (ESOP) — Section 62(1)(b)

A company may offer shares to employees under a scheme of ESOP by a **special resolution** (a private company may use an ordinary resolution). *Why part of Sec 62?* Because giving shares to employees is a form of "further issue" that skips the rights-offer to existing members — so it needs the members' special approval as the price of bypassing pre-emption. (See 4.9.)

Who is an "employee" for ESOP. Includes a permanent employee (in India or abroad) and a director (whole-time or not) — but **excludes** (a) a **promoter or person belonging to the promoter group**, and (b) a **director who, directly or indirectly, holds more than 10% of the outstanding equity** (alone or with relatives/body corporate). *Why exclude promoters and 10%-plus directors?* ESOP exists to align *employees*' incentives; letting promoters help themselves under the ESOP banner would just be self-dealing cheap equity — the very abuse Sec 62 guards against.

Key ESOP mechanics tested: there must be a **minimum vesting period of one year** between grant and vesting; options are **non-transferable** and cannot be pledged; the exercise price is set by the company (subject to accounting norms). No voting/dividend rights attach until the option is exercised and shares are actually allotted.

The four-stage ESOP timeline — label each stage. (1) **Grant** — the company gives the employee the *option* (a right, not shares). (2) **Vesting** — after the *minimum one-year* gap the option *vests* (becomes exercisable); the company may set a longer vesting schedule. (3) **Exercise** — the employee *pays the exercise price* and applies; only now is a *share* allotted. (4) **Allotment** — shares issue, and *only from this point* do voting and dividend rights attach. *Why insert the one-year vesting gap?* Because ESOP rewards *continued service*; a gap forces the employee to stay before the incentive matures — a same-day grant-and-exercise would just be cheap equity, not a retention tool. *Trap:* a question grants and "exercises" on the same day, or attaches voting rights at grant — both wrong.

Employee-side rules and death/disability. The option **lapses if the employee leaves** before vesting (subject to the scheme), but on **death** the options generally **vest immediately** in the legal heirs, and on **permanent disability** they vest in the employee — *why the compassionate exception?* Because the retention rationale is spent once service ends through no choice of the employee. The company may **not vary** the terms of an outstanding ESOP to the *disadvantage* of option-holders once granted, absent their approval — options, once granted, are a protected expectation.

4.8 Issue of Bonus Shares — Section 63

Bonus shares are fully-paid shares given **free** to existing shareholders out of the company's reserves. May be issued out of:

- free reserves;
- securities premium account;
- capital redemption reserve.

Not out of reserves created by revaluation of assets. Conditions: authorised by articles; recommended by Board and approved in general meeting; company not defaulted on debt-securities interest/principal or on statutory dues to employees (PF, gratuity, bonus); partly-paid shares must be made fully paid first; once announced, a bonus issue **cannot be withdrawn**.

Bonus cannot be in lieu of dividend (Sec 63(3)). The company may not issue bonus shares *in place of* a dividend. *Why?* A bonus issue capitalises reserves permanently into the buffer; a dividend is a cash return. Letting a company substitute one for the other would let it dodge the dividend rules (and deny shareholders cash they were led to expect) while pretending to be generous. Keep the two mechanisms in their own lanes.

Why forbid revaluation reserves and why the conditions? A bonus issue converts reserves into capital (capitalisation of profits) — it *strengthens* the buffer, which is fine, but only if the reserves are real. Revaluation "profit" is a paper mark-up, not realised value; letting it become capital would inflate capital on air. The no-default condition stops a company that owes its lenders and workers from playing generous-uncle with shareholders.

Effect on share price and total wealth (why bonus is not "free money"). A bonus issue does not enrich shareholders in aggregate — it merely subdivides the same equity into more shares, so the market price falls proportionately. A 1:1 bonus roughly halves the per-share price; a shareholder's *total* value is unchanged. What actually changed on the balance sheet: **reserves fell, paid-up capital rose by the same amount** —

capital got bigger and more locked (capital can't be distributed as easily as reserves), which is precisely why creditors don't object. Understanding this is what makes the "why light conditions" reasoning click.

Bonus must fit within *authorised* capital — the ceiling that suddenly matters. A bonus issue *increases paid-up capital*, so the company must have enough **un-issued authorised capital** to absorb it; if not, it must first pass an **ordinary resolution under Sec 61 to raise the authorised ceiling** (and file SH-7). This is the one place the otherwise-decoy authorised figure becomes the binding constraint. *Examiner tweak:* "Company has authorised ₹1 crore, paid-up ₹90 lakh, proposes a 1:4 bonus (₹22.5 lakh)" — impossible without first increasing authorised capital, because ₹90 lakh + ₹22.5 lakh = ₹112.5 lakh exceeds the ₹1 crore ceiling.

Mini-numerical — sourcing a bonus issue. Kappa Ltd has paid-up equity of **₹40,00,000** (4,00,000 shares of ₹10) and reserves: securities premium ₹6,00,000, general (free) reserve ₹18,00,000, revaluation reserve ₹10,00,000, capital redemption reserve ₹4,00,000. It declares a **1:2 bonus** (1 free share for every 2 held). *Work it:* shares to issue = 4,00,000 ÷ 2 = **2,00,000**; amount to capitalise = 2,00,000 × ₹10 = **₹20,00,000**. Permissible sources = securities premium ₹6,00,000 + CRR ₹4,00,000 + free reserve ₹18,00,000 = **₹28,00,000 available**; the ₹10,00,000 **revaluation reserve is excluded** (Sec 63). Since ₹28,00,000 ≥ ₹20,00,000, the bonus is fundable. *Self-check (buffer test):* reserves fall ₹20,00,000, paid-up capital rises ₹20,00,000 — total buffer unchanged in size but *more locked* (capital is harder to distribute than reserves), which is exactly why creditors don't object and the conditions are light. *Trap:* a candidate who includes the ₹10,00,000 revaluation reserve would wrongly conclude ₹38,00,000 is available and might over-issue.

4.9 Further Issue of Capital — Rights Issue — Section 62

This is the heart of Fair Dealing. Where a company **having a share capital** proposes to increase subscribed capital by issuing further shares, those shares must be offered:

(a) To existing equity shareholders (Rights Issue) in proportion to their paid-up capital, by a letter of offer subject to:

- the offer is open for **not less than 15 days and not more than 30 days**; if not accepted within that window it is deemed declined;
- notice of the offer must be dispatched at least **3 days before** the offer opens;
- the offer must state the shareholder's **right of renunciation** (they may pass the offer to another person);
- after expiry or on decline, the Board may dispose of the unsubscribed shares in a manner **not disadvantageous** to shareholders and the company.

For a private company, periods/notice can be shortened / dispensed with the consent of ≥ 90% of members.

(b) To employees under an ESOP — special resolution (see 4.7).

(c) To any other persons (Preferential Allotment / Private Placement) — if authorised by a **special resolution**, either for cash or other consideration, provided the price is determined by a **registered valuer's** report. *Why the valuer?* Allotting shares to outsiders below fair value is exactly how insiders dilute the rest — an independent valuation blocks the underpricing trick.

Conversion clause (Sec 62(3)): where a term-loan from a government/bank includes a term (approved by special resolution *before* the loan) to convert the loan into shares, the rights-offer rule doesn't apply. *Why?* The dilution was consented to in advance, with eyes open.

Memory hook for Sec **62**: think "6-to-2" — the company turns to (6) its own existing owners *first*, employees, then others — pre-emption *first*, outsiders *last*. Window **15–30 days**: minimum 15 (long enough to decide), maximum 30 (not so long it stalls fundraising).

When Sec 62 does *not* bite — the boundary of pre-emption. Sec 62 governs an increase in *subscribed* capital by a *further issue of shares*. It therefore does **not** apply to: a **bonus issue** (Sec 63 — no fresh money, everyone gets shares pro-rata anyway); a **conversion of debentures/loans** into shares where the term was approved by special resolution *before* the loan (Sec 62(3)); an **increase of merely authorised** capital (Sec 61 — no shares actually issued yet); or the **redemption** and re-issue mechanics. *Why carve these out?* Because pre-emption exists to stop *dilution by selective fresh issue*; where there is no selective fresh money (bonus), or the dilution was consented to in advance (conversion), or no shares issue at all (authorised increase), the mischief is absent, so the machinery would be pointless friction. A trap forces a rights-offer onto a bonus issue or an authorised-capital increase — neither needs one.

Government/bank loan-conversion (Sec 62(3)) in depth. Where a term loan from the **Government** or a **banking/financial institution** contains a term to convert the loan (or interest) into shares, and that term was approved by a **special resolution *before* the loan was raised**, the conversion can proceed **without** a fresh rights-offer. If the Government *directs* conversion in the public interest, the terms (and whether they are just) can be tested before the Tribunal. *Why the pre-approval condition?* Because the whole justification for skipping pre-emption is *prior informed consent* — the members knew and agreed to the potential dilution when they approved the loan terms, so re-offering shares at conversion would be redundant.

Renunciation — the feature that makes pre-emption fair AND flexible. A shareholder who can't or won't put in more money is not trapped: he can *renounce* the offer (in whole or part) to a third party, capturing the value of the "right" itself (see the worked value-of-right calculation in Part 5). So pre-emption protects the passive shareholder economically even when he declines. *Why does this matter for the exam?* A trap says the shareholder "loses everything by not subscribing" — false; he can renounce and monetise the right. Unless renounced or subscribed within the window, however, it lapses.

Rights issue vs preferential allotment vs private placement — keep the trio straight.

Route	To whom	Resolution	Pricing
Rights issue 62(1)(a)	Existing equity holders pro-rata	Board (letter of offer)	Company's choice (≥ face value)
Preferential allotment 62(1)(c)	Selected persons (insiders/outsiders)	**Special**	**Registered valuer** report
Private placement (Sec 42)	Identified persons, ≤ 200 in a year per kind	Special (offer via PAS-4)	Valuer; money via banking channel only

Sec 42 (private placement mechanics) and Sec 62(1)(c) (authority for a non-rights allotment) often operate *together* for an outsider issue; the examiner tests whether you invoke *both* the special resolution (62) and the PAS-4 / banking-channel / 200-person discipline (42).

Private placement (Sec 42) — the finer discipline the examiner tests as a standalone. A private placement is an offer of securities to a *select group of identified persons* through a **private placement offer-cum-application letter (Form PAS-4)**. Key rules to reproduce: (i) the offer may be made to **not more than 200 persons in a financial year** *per kind of security* (excluding QIBs and employees under ESOP); (ii) the minimum investment size and the discipline that money must be received **only through the banking channel** (cheque/demand draft/electronic mode) from the applicant's own bank account — **never in cash**; (iii) the company **cannot utilise the money until the return of allotment (PAS-3) is filed**; (iv) allotment must be completed within **60 days** of receipt of application money, failing which the money is **refunded within 15 days**, and after that with **12% interest**; (v) a company cannot make a *fresh* offer while an earlier offer is pending. *Why so procedural?* Because private placement is the route most open to abuse — quietly parking securities with favoured insiders and recycling their own money — so the law forces identification, a bank-traceable money trail, a hard headcount, and a filing gate before the cash can be touched. Breach converts the "private placement" into a **deemed public offer**, dragging in the entire prospectus regime.

Disposing of the unsubscribed rights — the "not disadvantageous" standard. When a rights offer lapses or is declined, the Board may allot the leftover shares to *anyone* — but only in a manner **not disadvantageous to the shareholders and the company** (Sec 62(1)(a)(iii)). *Why the qualifier?* Because the leftover route is the loophole through which directors could hand cheap shares to allies after engineering a lapse; the "not disadvantageous" test keeps the price and terms fair to the body of members even for the crumbs. A trap allows the Board to dump unsubscribed shares on a director at the *rights price* when the market price is far higher — that is *disadvantageous* and impermissible.

4.10 Alteration of Share Capital — Section 61

A limited company with share capital may, **if authorised by its articles**, by an **ordinary resolution** in general meeting:

- **increase** authorised capital;
- **consolidate and divide** shares into larger denomination (note: consolidation that changes voting % of members needs **Tribunal approval**);
- **convert fully paid shares into stock** and vice-versa;
- **sub-divide** shares into smaller denomination (paid-up proportion unchanged);
- **cancel** shares not taken/agreed to be taken (this is *not* a reduction of capital) — called **diminution**.

Why only an ordinary resolution and no Tribunal? Because none of these returns money to shareholders or shrinks the real buffer — a ₹10 share split into ten ₹1 shares is the same capital in smaller pieces. It's rearranging furniture, not removing it. Contrast Sec 66 reduction (below), which *does* shrink the buffer and therefore *does* need the Tribunal.

The one Tribunal exception inside Sec 61 — consolidation that changes voting %. Normally consolidation is a harmless ordinary-resolution matter, but if consolidating shares into a larger denomination would *alter the proportion of voting rights* between shareholders, Tribunal approval is required. *Why?* Because now it stops being "same capital, bigger pieces" and starts being a Fair-Dealing problem — one group's voting weight shifts against another's. The moment an alteration touches the *balance of power among members*, the law re-inserts a supervisor.

Diminution vs Reduction — the single most-tested distinction (see Part 8). Cancelling shares that were *never taken up* (Sec 61 diminution) removes only *unissued authorised* capital — no shareholder is paid, no real buffer moves — so ordinary resolution, no Tribunal. Cancelling *lost* or *surplus* capital, or paying capital back (Sec 66 reduction), touches capital that was actually contributed — hence Tribunal + creditors.

Notice of alteration — Section 64: file with Registrar in **Form SH-7 within 30 days** of the resolution. *Why 30 days?* The public register must reflect reality quickly so anyone dealing with the company sees the true capital.

Sub-division keeps the *paid-up proportion* constant — the subtle arithmetic. When a ₹10 share (₹6 paid-up) is sub-divided into ten ₹1 shares, each new share must remain **60% paid-up** (i.e. ₹0.60 paid on each

₹1 share). *Why must the proportion be preserved?* Because sub-division is meant to be *pure re-denomination* — if the paid-up ratio could shift, the company could conjure "fully paid" shares out of partly-paid ones without anyone paying the balance, quietly inflating real paid-up capital or letting a member escape a call. The examiner tests this by asking the paid-up value of each sub-divided share.

Consolidation, conversion into stock, and the "no money moves" thread. Consolidation merges small shares into larger ones; conversion into stock turns fully-paid shares into a fungible "stock" holding (and back). None of these returns cash or changes total capital — which is exactly why an ordinary resolution suffices and the Tribunal stays out. The *only* alteration that pulls in the Tribunal is **consolidation that shifts the voting proportion between members** (a Fair-Dealing problem), because the balance of power among members is the one thing "mere reshuffling" must not silently disturb. Keep the thread: *Sec 61 is the "nobody gets paid, buffer unchanged" section; the instant either fact flips, a different section takes over.*

Increasing authorised capital is the gateway for bonus and large fresh issues. A company cannot issue shares beyond its authorised ceiling; so a bonus issue or a big rights issue may first require an **ordinary resolution under Sec 61 to raise the authorised capital**, followed by an **SH-7 filing within 30 days**. This is the one everyday use of the otherwise-decoy authorised figure — link it back to the capital ladder in Part 1.

4.11 Variation of Shareholders' Rights — Section 48

Where the share capital is divided into different classes, the rights attached to a class may be varied **only**:

- with **written consent of holders of ≥ 3/4 of that class**, or a **special resolution** passed at a separate meeting of that class; **and**
- if the memorandum/articles provide for such variation (or don't prohibit it).

Protective escape hatch: if the variation would prejudice another class, that other class must also consent. And a **dissenting minority holding ≥ 10%** of that class (who did not consent) may apply to the **Tribunal within 21 days** to have the variation cancelled; the Tribunal's decision binds all.

Why 3/4 + a minority veto route? Class rights are a bargain. Only the class can rewrite its own bargain, and a supermajority (3/4) is required so a bare majority can't bully. Yet even a 3/4 vote might be a controlled block, so a 10% dissenting minority gets a 21-day window to seek Tribunal protection. Fair Dealing with a safety net.

Who counts in the 10%. The 10% is measured on the **issued shares of that class**, and the applicants must be persons who **did not consent to or vote for** the variation. *Why exclude consenters?* The remedy exists to protect those *outvoted*, not those who agreed and later regret it. A trap gives a dissenter holding exactly the threshold or counts consenting shares toward the 10%.

Variation "on the back of" another action. Class rights can be varied indirectly — e.g. a reduction of capital or a scheme that reshapes one class's entitlement. The courts look at *substance*: if the practical effect alters a class's rights, Sec 48 protections are engaged even if the resolution is dressed as something else. *Why?* Otherwise controllers would relabel a rights-strip as a "reorganisation" to dodge class consent — form must not defeat the Fair-Dealing purpose.

Variation vs mere abridgement — the distinction courts draw. Not every act that *affects* a class amounts to a *variation of rights*. The classic principle: issuing further shares of the *same* class, or a bonus that *dilutes voting power* without touching the *rights attached* to each share, is generally treated as affecting the *enjoyment* of rights, **not** a variation of the rights themselves — so Sec 48 is **not** engaged. But changing the *dividend rate*, the *priority*, the *voting entitlement per share*, or the *redemption terms* **is** a variation. *Why the* *line?* Because Sec 48 protects the *bundle of rights the share carries*, not the *proportion of the company* a holder happens to enjoy — the latter is protected by pre-emption (Sec 62), not by class consent. A favourite trap calls an ordinary dilution a "variation" to wrongly demand a 3/4 class vote; another calls a genuine rate cut a "mere business decision" to wrongly skip Sec 48.

Where the articles are silent on variation. If the memorandum/articles neither *provide for* nor *prohibit* variation, the class-consent machinery of Sec 48 still applies as the default statutory route — the section supplies the procedure. If the articles **prohibit** variation of a class's rights, that prohibition governs and the rights are effectively entrenched. The examiner tests whether you check the articles first.

4.12 Transfer & Transmission of Securities — Section 56

Transfer = a *voluntary* act — you sell/gift your shares. **Transmission** = *operation of law* — death, insolvency, inheritance; no instrument of transfer needed, only proof (succession certificate, etc.).

Procedure for transfer (Sec 56):

- A proper **instrument of transfer (Form SH-4)**, duly stamped, executed by transferor and transferee, must be delivered to the company **within 60 days** of execution.
- The company must **register** the transfer/transmission and deliver certificates **within 1 month** of receipt (for transfer) / other prescribed periods for allotment (2 months from allotment) / debentures (6 months from allotment).
- Refusal to register must be communicated within 30 days, with reasons; the aggrieved person may appeal to the **Tribunal** (30/60 day windows).

Why the 60-day SH-4 rule and company registration? Because the share register is the legal record of ownership. Uncontrolled transfers or forged instruments could strip a true owner of their shares, so the law channels every transfer through a stamped, executed, time-bound instrument and gives the wrongly-refused transferee a Tribunal remedy. *Why is transmission lighter?* Because no one is "selling" — the law is simply recognising that ownership passed by death or insolvency, so proof, not an instrument, suffices.

Private company vs public company refusal. A **private company's** very definition includes a *restriction on the right to transfer* its shares — so its Board may refuse to register a transfer on grounds permitted by the articles (e.g. pre-emption rights of existing members). Shares of a **public company** are, by contrast, **freely transferable** (Sec 58(2)); the company cannot generally refuse a proper transfer, and a contract for their sale/purchase is enforceable. *Why the asymmetry?* Free transferability is the price a public company pays for public access to capital; a private company's whole character is closely-held, so restricted transfer is intrinsic. The examiner tests whether you apply the *right refusal standard* to the *right company type*.

Appeal timelines under Sec 58/59 (refusal to register). For a **private company** the aggrieved person may appeal to the Tribunal within **30 days** of receiving the refusal notice, or within **60 days** of lodging the transfer if no notice was sent. For a **public company**, within **60 days** of refusal notice or **90 days** of lodgment. **Rectification of register (Sec 59)** is the separate remedy where a name is entered or omitted without sufficient cause. *Verify the exact day-counts in current ICAI material.*

Transmission — the mechanics. On death, the shares vest in the legal representative; on insolvency, in the assignee/official assignee. The person entitled may either **be registered as a member** himself, or **transfer** the shares to another (a transfer *by* a legal representative is valid even though he is not himself a member). The company registers on proof (succession certificate, probate, letters of administration, or, for small holdings, an indemnity). *Why allow a non-member LR to transfer?* Because forcing the LR to first become a member before selling would be pointless friction over shares he only holds to distribute.

Nomination — Section 72: a holder may nominate a person to whom securities vest on death — bypassing succession disputes. *Why?* To spare families the courtroom for a clear, pre-declared wish. **Nomination overrides a will** for the vesting of the shares (the nominee gets the shares on death regardless of testamentary disposition), though downstream questions of *beneficial* entitlement among heirs can still be litigated. A trap pits a will against a nomination — for *vesting*, the nomination prevails.

Forged transfer — a nullity that cannot pass title. A forged instrument of transfer is **void ab initio**; it conveys nothing, and even a company that innocently registers it and issues a fresh certificate cannot deprive the true owner — the register must be **rectified** and the true owner restored (though an innocent *subsequent* purchaser who relied on the company's certificate may have a claim in damages against the company on an estoppel basis). *Why is forgery treated so absolutely?* Because the entire integrity of the register rests on genuine execution; if a forgery could pass title, no owner would ever be safe. Contrast a *genuine but irregular* transfer, which is merely curable. A trap lets a forged transfer stand because a certificate was issued — it cannot.

Partly-paid shares and the two-party instrument. An instrument transferring **partly-paid** shares needs the transfer to be executed by *both* transferor and transferee (and the company may give the transferee notice and time to object), because the transferee is taking on the *liability for the unpaid calls*. *Why involve the transferee's signature here especially?* Because a transfer of partly-paid shares shifts a *future obligation to pay* onto a new person — the law will not saddle someone with a liability he never agreed to. For fully-paid shares the concern is lighter.

Certificate-delivery deadlines — a cluster the examiner rapid-fires. On **allotment of shares**: within **2 months**; on **allotment of debentures**: within **6 months**; on **registration of a transfer**: within **1 month** of receipt of the instrument. *Why different periods?* Allotment of many shares to the public is a bulk exercise (2 months); a single transfer is quick (1 month); debentures, often issued in large tranches with security formalities, get the longest window (6 months). Memorise them as **2 / 6 / 1**.

4.13 Debentures — Section 71

A **debenture** is a written acknowledgement of debt by the company — includes debenture stock, bonds and any other instrument evidencing a debt, whether or not constituting a charge. It is *borrowing*, not capital: the debenture-holder is a **creditor**, not an owner — no voting rights in the company's general meetings (a debenture cannot carry voting rights, Sec 71(2)).

Debenture vs share — the boundary you must be able to draw.

	Share	Debenture
Holder is	Owner / member	Creditor
Return	Dividend (out of profits, discretionary)	Interest (contractual, payable even in loss)
Voting	Yes (equity)	**No** (Sec 71(2))
On winding up	Paid **last**, after creditors	Paid **before** members
Can be issued at discount?	No (Sec 53)	**Yes** (debentures may be issued at a discount)
Buy-back / redemption	Sec 68 rules	Redeemed per terms; DRR

Why can a debenture be issued at a discount when a share cannot? Because Sec 53 protects the *capital* buffer; a debenture is debt, not capital, so discounting it doesn't overstate capital — the discount is just the effective interest cost. The examiner loves this asymmetry.

Key rules of Sec 71:

- A company may issue debentures with an option to **convert** into shares (wholly/partly) — but such conversion at issue must be approved by **special resolution**.
- Debentures **cannot carry voting rights**. *Why?* Voting belongs to owners who bear residual risk; a creditor with a fixed claim shouldn't also steer the company.
- Secured debentures may be issued subject to prescribed terms (e.g. redemption period, charge over assets).
- Where debentures are offered to the **public or to more than 500 persons**, the company **must appoint a Debenture Trustee** *before* the issue and must create a **Debenture Redemption Reserve (DRR)** out of profits available for dividend (as per Rules — thresholds/percentages have been amended over time; **confirm the current DRR requirement in ICAI material / the Companies (Share Capital and Debentures) Rules**).

Types of debentures (labels the examiner uses). Secured vs unsecured (naked); redeemable vs (formerly) perpetual/irredeemable; convertible (fully/partly — FCD/PCD) vs non-convertible (NCD); registered (transfer by SH-4/instrument) vs bearer (transfer by mere delivery, interest by coupon). *Why know these?* A question may hinge on a single attribute — e.g. a *bearer* debenture transfers by delivery and is a negotiable instrument, whereas a *registered* debenture needs an instrument and entry in the register.

Conversion terms — approved *before*, priced *fairly*. Where debentures carry a conversion option, the terms (ratio, price, timing, and whether wholly or partly convertible) must be fixed and approved by **special resolution** *at or before the issue*, not bolted on later. *Why up-front?* Because conversion dilutes existing equity holders on maturity — they are entitled to know and consent to the dilution *in advance*, the same eyes-open logic as the Sec 62(3) loan-conversion clause. A **compulsorily** convertible debenture (CCD) is treated closer to equity for some regulatory purposes, while an **optionally** convertible one leaves the choice to the holder — a distinction FEMA and accounting care about.

"Perpetual" debentures are possible; "irredeemable preference shares" are not — don't cross the wires. A debenture may, in principle, be made **perpetual/irredeemable** (redeemable only on winding up or a remote contingency), because it is *debt* and the company keeps paying interest — the creditor bargained for that. But **preference shares** *cannot* be irredeemable (Sec 55), because a perpetual *priority claim ranking ahead of equity* would be perpetual quasi-capital bleeding the company. *Why the asymmetry?* Debt sits *outside* the capital buffer and is contractually serviced; a perpetual preference sits *inside* the equity stack and would distort it forever. The examiner deliberately swaps these to see if you apply "irredeemable is banned" to the wrong instrument.

Debenture stock. "Debenture stock" is a *consolidated, fractionalised* form of borrowing (like stock is to shares) — a single fungible debt divisible into any amount, rather than fixed-denomination debentures. It changes the *form* of holding, not the creditor status.

Debenture Trustee — the watchdog (Sec 71(5)–(7)):

- A person cannot be appointed trustee if he is disqualified (e.g. beneficially holds shares, is indebted to the company, or has given a guarantee for the company's debentures) — the trustee must be **independent**.
- Duty: **protect the interests of debenture-holders** and redress their grievances.

- If the trustee believes the company's assets are insufficient to redeem, it may petition the **Tribunal**, which can restrict the company from incurring further liabilities.
- On default in redemption/interest, holders/trustee may apply to the Tribunal, which may **direct redemption forthwith** with interest.
- The company must **pay interest and redeem** per the terms; default triggers Tribunal enforcement and penalties.

Why the trustee + DRR architecture? Return to the Part-1 villain: thousands of small public lenders cannot each police the company. The **trustee** is one independent, empowered agent enforcing the security for all. The **DRR** forces the company to set aside profits *while it can*, so cash actually exists at redemption time instead of a hopeful promise. Watchdog (enforcement) + reserve (funds) = the two things scattered creditors lack.

Who can — and cannot — be a Debenture Trustee (independence in detail). A person is **disqualified** from being appointed trustee if he (i) **beneficially holds shares** in the company; (ii) is **beneficially entitled to moneys** owed by the company (other than as trustee for the debenture-holders); (iii) has entered into **guarantees** in respect of principal/interest on the debentures; (iv) is a **relative/employee/officer** of the company or otherwise interested in a way that compromises independence. *Why so many disqualifications?* Because a watchdog on the company's payroll is no watchdog — every disqualification removes a channel through which the company could capture or soften the trustee. **Consent** of the person to act as trustee must be obtained, and the appointment named in the offer document. *Duties:* satisfy itself the offer document has no misleading matter, that the assets are sufficient to discharge the debentures, that interest/redemption are paid on time, and to **call a meeting of debenture-holders** and **petition the Tribunal** where the company's assets look insufficient.

The trustee's escalation ladder. If the trustee believes assets are insufficient, it may petition the **Tribunal**, which can **restrain the company from incurring further liabilities**; on actual default, the trustee/holders may seek an order for **redemption forthwith with interest**; and directors who default may face penalty. *Why a graduated ladder?* Because the harm ranges from "warning signs" (insufficiency) to "actual default" — each rung gives a proportionate remedy, catching trouble before the money is gone rather than only after.

Debenture Redemption Reserve (DRR) — a portion of profits ring-fenced solely for redeeming debentures; cannot be used for any other purpose. Capital-maintenance logic applied to debt: don't distribute what you'll owe.

DRR + DRI, and the 2019 exemptions (verify). Two devices work together: the **DRR** (a *reserve*, i.e. an appropriation of profit, historically 10% of the value of outstanding debentures for those required to maintain it) and the **Debenture Redemption Investment / DRI** (an *actual* deposit/investment of a percentage — historically ~15% — of debentures maturing during the next financial year, in specified liquid instruments by 30 April). The 2019 amendment **removed the DRR requirement for listed companies, and for NBFCs and HFCs** (whether their debentures are issued publicly or privately), on the logic that they are already regulated by SEBI/RBI; **unlisted companies (other than NBFCs/HFCs)** still maintain DRR. *Because these thresholds and exemptions were amended, always state them as "verify current ICAI material / the Companies (Share Capital and Debentures) Rules" in an exam.*

DRI mini-numerical (illustrative — verify current percentages). Suppose an *unlisted non-NBFC* company has **₹100 crore** of debentures outstanding, of which **₹30 crore** mature in the next financial year, and the Rules require a DRR of 10% of outstanding debentures and a DRI of 15% of debentures maturing next year. *Work it:* DRR to be maintained (a reserve out of profits) = 10% × ₹100 crore = **₹10 crore**; DRI (an actual deposit/investment in specified instruments, to be made **on or before 30 April** of that year) = 15% × ₹30 crore = **₹4.5 crore**. *Self-check on the two devices:* the ₹10 crore DRR merely stops that profit from leaving as dividend; the ₹4.5 crore DRI is *cash actually parked* against the coming year's maturities. They are additive purposes, not alternatives — one guards the profit, the other guards the liquidity. *Because the 10%/15% figures and the exemptions have been amended, flag them as "verify current ICAI material" in any answer.*

Secured debentures create a charge — the trustee usually holds it. Where debentures are *secured*, a **charge** is created over the company's assets and must be **registered with the Registrar (Sec 77) within 30 days**; the **debenture trustee** typically holds that charge for all holders collectively. *Why route the security through the trustee?* Because a charge is only worth as much as the person able to enforce it — one professional trustee holding a registered charge for 10,000 holders can foreclose; 10,000 individuals each holding a fractional unregistered claim could not. Security (the charge) + enforcement (the trustee) + registration (public notice under Sec 77) = a real, provable, enforceable protection. An unsecured ("naked") debenture-holder ranks merely as an ordinary unsecured creditor on winding up.

Debenture cannot be issued to buy the company's own shares circuitously. Watch a scenario where debenture proceeds are round-tripped to fund a purchase of the company's own shares — this collides with the buy-back and financial-assistance restrictions; the debenture label does not launder a prohibited return of capital. Substance over form, again.

4.14 Buy-Back of Securities — Section 68 (cross-reference)

Buy-back = a company purchasing its own shares, extinguishing them. It *returns capital to shareholders*, so it is fenced heavily (this is the flip side of Sec 53's discount ban — here the danger is capital *leaving*):

- Sources: **free reserves, securities premium account, or proceeds of a fresh issue** (never out of an earlier issue of the same kind).
- Ceilings: **≤ 25% of paid-up capital + free reserves** in a year (for equity in a financial year, ≤ 25% of paid-up *equity*); post-buy-back **debt-to-capital-and-free-reserves ratio ≤ 2:1**.
- Authorisation: **Board** (up to 10% of paid-up equity + free reserves) or **special resolution** (up to 25%).
- After buy-back the company must **not make a further issue of the same kind of shares within 6 months** (except bonus/discharge of obligations).
- Amount equal to nominal value of shares bought back must go to the **Capital Redemption Reserve (Sec 69)**.
- **No buy-back within one year** of the previous buy-back.

Why every ceiling and lock? Buy-back is a legitimate way to return surplus cash — but unrestrained, it becomes a tool to prop up share price, hand controllers an exit, or hollow out the creditor buffer. The 25% cap, 2:1 debt ratio, CRR transfer, and cooling-off periods each plug one abuse. (Full treatment in the Buy-Back / capital restructuring chapter.)

Reading the two "25%" ceilings correctly (a notorious trap). There are *two* ceilings and they use *different bases*: (i) the **overall value** of the buy-back must be ≤ 25% of **paid-up capital + free reserves**; (ii) the **number of equity shares** bought back in a financial year must be ≤ 25% of **paid-up equity capital** *alone*. Candidates blur the two bases. Both ceilings — plus the 2:1 debt ratio and the "shares fully paid-up" condition — must be satisfied *simultaneously*. (See the worked buy-back example in Part 5.)

Other conditions clustered for recall: shares bought back must be **fully paid-up**; buy-back completed within **1 year** of the authorising resolution; all bought-back securities **physically destroyed/extinguished**

within 7 days of completion; a company cannot buy back through any subsidiary or investment company, or if in default of deposits/interest/dividend/loan repayment (default curable). *Why destroy within 7 days?* So the shares can't be quietly re-issued — extinguishment is what makes buy-back a genuine *return of capital* rather than a temporary parking of shares.

How the buy-back is carried out — the permitted routes. A buy-back may be effected (i) from **existing shareholders on a proportionate basis** (a tender offer — fair to all, no favouritism), (ii) from the **open market**, or (iii) from **employees** holding shares under a sweat-equity or ESOP scheme. *Why restrict the routes?* Because an *un*restricted, off-market purchase from a chosen holder would let controllers hand one insider a premium exit while excluding everyone else — the proportionate/tender default is the Fair-Dealing safeguard bolted onto the capital-maintenance ceilings. Note what is **banned outright**: a buy-back through a **subsidiary** (including its own subsidiary) or through any **investment company**, and buy-back **from the open market by a company using borrowed funds in a way that breaches the ratio**.

Prohibited circumstances (Sec 70). A company must **not** buy back its shares if it is in **default** in repayment of deposits or interest, redemption of debentures/preference shares, payment of dividend, or repayment of a term loan to a bank/financial institution — **unless the default has been remedied and three years have elapsed** (default is *curable*, but with a cooling wait). Nor can it buy back while it is in default of filing annual returns/financial statements or the annual accounts. *Why bar a defaulting company?* Because returning capital to shareholders while stiffing creditors is the precise inversion of the priority order — creditors must be made whole before owners get anything back.

The 6-month re-issue bar and the 1-year gap — two different clocks. After a buy-back the company cannot make a **further issue of the same kind of shares for 6 months** (except a bonus issue or discharge of subsisting obligations like conversion of warrants/ESOP), *and* it cannot undertake **another buy-back for 1 year** from the previous one. *Why two clocks?* The 6-month bar stops a company from buying back (to prop up price) and immediately re-issuing (to raise the cash back) — a pump that would make the whole exercise a sham. The 1-year gap stops serial buy-backs from draining the buffer in rapid succession.

4.15 Reduction of Share Capital — Section 66 (cross-reference)

The most dangerous move — deliberately *shrinking* capital. Requires:

- a **special resolution**, and
- confirmation by the **Tribunal (NCLT)**, which must give **creditors an opportunity to object** and be satisfied their claims are secured/settled.

Forms: extinguish/reduce liability on unpaid capital, cancel lost capital, or pay off surplus capital. *Why Tribunal + creditor hearing?* Because reduction directly removes the buffer creditors relied on — so the state (Tribunal) and the creditors themselves must both sign off. This is Capital Maintenance at its most explicit. (Full treatment in the reduction/restructuring chapter.)

Three faces of reduction, mapped to the buffer. (1) *Extinguishing/reducing unpaid liability* on partly-paid shares — the company gives up its right to call the uncalled amount; the potential buffer shrinks. (2) *Cancelling lost capital* — writing off capital already gone in losses so the balance sheet tells the truth (no cash leaves, but the nominal buffer is admitted to be smaller). (3) *Paying off surplus/excess capital* — actual cash goes back to shareholders; the buffer physically shrinks. All three need the Tribunal; face (3) is the one creditors fight hardest because real money leaves. **No confirmation is needed to the extent a creditor consents or is secured** — the protection is *for* creditors, so a satisfied creditor removes the obstacle.

A company in arrears on deposits cannot reduce. Sec 66 bars a reduction while the company is **in arrears in repayment of any deposits or the interest thereon** — the same "creditors first" logic as the buy-back bar. *Why single out deposits?* Because depositors are typically small, unsecured, and exactly the class the buffer exists to protect; letting a company return capital to owners while defaulting to depositors would invert the priority order at its most vulnerable point.

The Tribunal order must be filed, and creditors are individually heard. The Tribunal, before confirming, settles a **list of creditors** entitled to object; any creditor whose debt is not discharged or secured may object, and the Tribunal may dispense with consent only where the debt is secured or provided for. Once confirmed, the order (and the minute of reduced capital) is filed with the Registrar and the reduced figure becomes the company's capital. *Why the individual-creditor list?* Because reduction is the one action that directly removes the buffer, the law does not rely on a blanket process — it identifies each creditor and gives each a personal right to be heard. This individual-hearing feature is what most sharply distinguishes Sec 66 from every "lighter" capital action.

Reduction vs buy-back vs redemption — the three "capital out" routes side by side. All three return value toward shareholders, but the safeguards scale with how exposed creditors are left:

Route	Buffer effect	Replacement	Tribunal?	Creditor hearing?
Redemption of preference (Sec 55)	Redeemed shares leave	CRR or fresh issue replaces instantly	No	No
Buy-back (Sec 68)	Shares extinguished, buffer shrinks	CRR gets nominal value; caps limit size	No	No — but ceilings + no-default gate
Reduction (Sec 66)	Buffer shrinks, nothing replaces it	None	**Yes**	**Yes — individual list**

Read the table top to bottom: the more completely the buffer is *replaced*, the lighter the supervision; reduction sits at the bottom precisely because *nothing* refills the hole.

4.16 Calls, Forfeiture, Surrender and Lien — the Life-Cycle of an Unpaid Share

These are governed largely by the **articles (Table F is the model set)** rather than by a single numbered section, but the examiner tests them as the everyday mechanics of *partly-paid* capital — and each maps cleanly onto the two lamps.

- **Calls.** A **call** is the company's demand that members pay some or all of the *uncalled* amount on their partly-paid shares. Calls must be made **bona fide, for the benefit of the company, and on a uniform basis** among shareholders of the same class — *why uniform?* Because selectively calling only some members would be a Fair-Dealing breach, loading the burden unequally. A member who fails to pay a call on the due date may be charged **interest** and, ultimately, have the shares **forfeited**.
- **Forfeiture.** Forfeiture is the company **taking back** shares on which a call is unpaid, extinguishing the defaulter's membership. It is only valid if (i) the **articles authorise** it, (ii) a proper **notice** demanding payment (with interest) and warning of forfeiture is served, giving not less than the prescribed days, and (iii) a **Board resolution** actually forfeits after default continues. *Why the strict procedure?* Because forfeiture strips a member of property without paying him — a drastic power that must be exercised strictly, in good faith, and for non-payment of calls *only* (not to punish a member for other reasons). *Capital angle:* forfeited shares may be **re-issued**, but not at a price that leaves the total received (original

amount paid by the defaulter + re-issue price) **below the paid-up/face value** — otherwise the re-issue would sneak past the Sec 53 discount ban.

- **Surrender.** Surrender is the member **voluntarily giving up** partly-paid shares. It is permitted only in narrow circumstances (broadly, where forfeiture would otherwise be justified) — *why the limit?* Because an unrestricted surrender would be a back-door **reduction of capital** dodging Sec 66; the law tolerates it only where it merely short-circuits a forfeiture that could lawfully have happened anyway.
- **Lien.** A company's **lien** is its right to retain, and ultimately sell, a member's shares as security for money he owes the company (typically unpaid calls). It is the company's self-help security over its own shares. *Why allow it?* So the company can recover what a member owes without suing — the lien attaches to the very shares whose calls are unpaid, aligning the security with the debt.

The unifying thread: calls, forfeiture, surrender and lien are all machinery for turning *promised* (uncalled) capital into *real* paid-up capital — i.e. for closing the gap between nominal and real capital that Part 1 opened. Every safeguard on them (uniformity, strict notice, no discount re-issue, no disguised reduction) is one of the two lamps applied to that machinery.

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5. Applied Scenarios — Reasoning to the Legal Outcome

Scenario 1 — The cheap allotment to a director's cousin. Alpha Ltd's board issues 1,00,000 new equity shares to the CFO's cousin at ₹10 (face value) when the shares trade at ₹150, calling it a "strategic investment." Existing shareholders get nothing. *Analysis:* This is a "further issue" under **Sec 62**. Because it goes to an outsider (not existing members pro-rata, not employees), it is a **preferential allotment under Sec 62(1)(c)** — requiring a **special resolution** *and* pricing per a **registered valuer's report**. Issuing at ₹10 against a ₹150 fair value with no valuation and no special resolution is invalid; it unfairly dilutes existing members. *Outcome:* allotment challengeable; the Fair-Dealing principle (independent valuation blocks underpricing) is violated.

Scenario 2 — Bonus shares from a revaluation reserve. Beta Ltd revalues its land upward by ₹5 crore, creating a revaluation reserve, and proposes to issue bonus shares out of it. *Analysis:* **Sec 63** expressly forbids bonus issues out of **revaluation reserves** — that "profit" is an unrealised paper mark-up. Capitalising it would inflate capital on air, misleading creditors. *Outcome:* the bonus issue is impermissible; Beta may use only free reserves, securities premium, or CRR — and only if not in default on its debt-securities or statutory employee dues.

Scenario 3 — Preference shareholders lose their dividend. Gamma Ltd has not paid the fixed dividend on its preference shares for the last two and a half years, and now the equity majority proposes to pass a resolution altering the preference shares' repayment terms. *Analysis:* Two provisions fire. Under **Sec 47**, because the preference dividend is unpaid for ≥ **2 years**, the preference shareholders now vote on **every** resolution — they are no longer silent. Under **Sec 48**, varying their class rights needs their own **3/4 consent / special resolution**, and a dissenting **10%** minority may approach the **Tribunal within 21 days**. *Outcome:* the equity majority cannot unilaterally rewrite preference rights; the broken bargain has armed the preference class.

Scenario 4 — Public debenture issue with no watchdog. Delta Ltd raises ₹40 crore by issuing debentures to 3,000 retail investors, appoints no trustee, and creates no reserve. *Analysis:* Offering debentures to more than 500 persons triggers the mandatory **Debenture Trustee (Sec 71)** appointment *before* issue and a **Debenture Redemption Reserve**. Skipping both leaves 3,000 scattered creditors with no enforcement agent and no ring-fenced redemption fund — precisely the abuse Sec 71 prevents. *Outcome:* the issue is non-compliant; the company and officers face penalty, and investors are left dangerously exposed.

Scenario 5 — Transfer instrument lodged late. Rohan sells shares to Meera; the executed SH-4 is delivered to the company 75 days after execution. *Analysis:* **Sec 56** requires the instrument within **60 days**. Lodged late, the company may refuse to register on that instrument (a fresh/rectified instrument or Tribunal recourse may be needed). *Outcome:* Meera's legal title on the register is jeopardised by the missed 60-day window — the timeline exists to keep the ownership register accurate and forgery-resistant.

Scenario 6 — Redemption of preference shares (worked numerical). Epsilon Ltd has **10,000 8% redeemable preference shares of ₹100 each** (fully paid) due for redemption at a **premium of 10%**. It decides to redeem partly from profits and partly from a fresh issue. It makes a **fresh issue of 4,000 equity shares of ₹100 each at par** for the purpose, and uses profits for the rest. Its Securities Premium Account has ₹80,000. *Work it through:*

- Face value to be redeemed = 10,000 × ₹100 = **₹10,00,000**.
- Premium on redemption = 10% × ₹10,00,000 = **₹1,00,000** (provided out of securities premium; ₹80,000 available, balance ₹20,000 out of profits — *for a company under Sec 52(3), premium on redemption is a permitted use of securities premium*).
- Fresh issue proceeds available for redemption (nominal) = 4,000 × ₹100 = **₹4,00,000**.
- Portion of face value redeemed **out of profits** = ₹10,00,000 − ₹4,00,000 = **₹6,00,000**.
- **CRR transfer required** = the nominal amount redeemed out of profits = **₹6,00,000** (Sec 55: an amount equal to the nominal value redeemed otherwise than out of a fresh issue must go to CRR).

Self-check (buffer test): Capital left the buffer via redemption of ₹10,00,000 nominal. Replacements: fresh capital raised ₹4,00,000 + CRR created ₹6,00,000 = **₹10,00,000**. The buffer is fully restored — which is exactly *why* Sec 55 needs no Tribunal. *Examiner tweak:* if the fresh issue had been made **at a premium**, only the **nominal (₹4,00,000)** counts as "proceeds of a fresh issue" for reducing the CRR figure — the premium portion does **not** reduce the CRR obligation. And only **fully paid** preference shares could be redeemed in the first place.

Scenario 7 — Buy-back ceilings (worked numerical, exam-hard). Zeta Ltd's balance sheet shows: **Paid-up equity capital ₹50,00,000** (5,00,000 shares of ₹10), **free reserves ₹30,00,000**, **securities premium ₹20,00,000**, and **total secured + unsecured debt ₹1,80,00,000**. It proposes a buy-back by a **special resolution**. *Test each ceiling:*

- **Value ceiling (25% of paid-up capital + free reserves):** 25% × (₹50,00,000 + ₹30,00,000) = **₹20,00,000** maximum spend. (Note: the base for this ceiling is capital + free reserves; securities premium counts within "free reserves"/eligible sources for *funding* but the standard exam base for the 25% value cap is paid-up capital + free reserves — *verify the exact base treatment of securities premium in current ICAI material.*)
- **Quantity ceiling (25% of paid-up equity in a financial year):** 25% × 5,00,000 = **1,25,000 shares** maximum.
- **Post-buy-back debt-equity ratio ≤ 2:1:** after spending, say, ₹20,00,000, equity funds = (₹50,00,000 + ₹30,00,000 + ₹20,00,000 premium) − ₹20,00,000 used = **₹80,00,000**; debt stays ₹1,80,00,000 → ratio = 1,80,00,000 / 80,00,000 = **2.25 : 1**. This **exceeds 2:1**, so the buy-back at the value ceiling is **not permitted** as structured.

- **Maximum buy-back that keeps debt ≤ 2:1:** post-buy-back owned funds must be ≥ ₹90,00,000 (so that 1,80,00,000 / 90,00,000 = 2:1). Pre-buy-back owned funds = ₹1,00,00,000; so the maximum reduction of owned funds = **₹10,00,000**.

Self-check / binding constraint: the value cap allows ₹20,00,000 and the quantity cap allows 1,25,000 shares, **but** the 2:1 debt ratio caps the spend at **₹10,00,000** (≈ 1,00,000 shares at ₹10, ignoring premium paid). **The binding limit is the tightest of all constraints** — here the debt-equity ratio. *Lesson:* always compute *all* ceilings and take the **minimum**; the examiner sets the debt high precisely so the debt-ratio, not the 25%, binds. Remember also to transfer the nominal value of shares bought back to **CRR (Sec 69)** and extinguish the shares within **7 days**.

Scenario 8 — Value of a right in a rights issue (worked numerical). Theta Ltd's shares trade at **₹200 (cum-rights)**. It announces a rights issue of **1 new share for every 4 held**, priced at **₹100**. A shareholder holds 400 shares and asks what his "right" is worth if he renounces. *Work it through:*

- Theoretical ex-rights price (TERP) = [(4 × ₹200) + (1 × ₹100)] / (4 + 1) = (₹800 + ₹100) / 5 = **₹180**.
- Value of one right (per new share) = ex-rights price − issue price = ₹180 − ₹100 = **₹80**, i.e. **₹20 per existing share held** (since 4 existing shares carry the right to 1 new share: ₹80 / 4 = ₹20).
- Shareholder holding 400 shares is entitled to **100 new shares**; if he renounces, the right is worth ≈ 100 × ₹80 = **₹8,000**.

Self-check (wealth is preserved): If he **subscribes** — before: 400 × ₹200 = ₹80,000; pays 100 × ₹100 = ₹10,000; after: 500 × ₹180 = ₹90,000 = ₹80,000 + ₹10,000. Neutral. If he **renounces** — keeps 400 × ₹180 = ₹72,000 in shares + ₹8,000 for the rights = **₹80,000**. Also neutral. *This is the whole point of pre-emption:* the rights issue neither enriches nor dilutes the existing shareholder **provided** he either subscribes or renounces. He only loses value if he lets the right **lapse** unused — which is why Sec 62 forces the letter of offer and the renunciation option. *Examiner tweak:* if he does nothing and the right lapses, he silently transfers ≈₹8,000 of value to whoever takes up the unsubscribed shares — the harm the section is designed to make him aware of.

Scenario 9 — Sweat equity ceiling (worked numerical, easy-to-medium). Iota Ltd has existing paid-up equity of **₹8,00,00,000** (i.e. ₹8 crore). During the year it wants to issue sweat equity to its two whole-time directors. *Apply the annual ceiling — "15% of existing paid-up equity or shares of issue value ₹5 crore, whichever is higher":* 15% × ₹8 crore = **₹1.2 crore**; the higher of ₹1.2 crore and ₹5 crore is **₹5 crore**, so Iota may issue up to **₹5 crore** of sweat equity this year. *Now the overall cap — "≤ 25% of paid-up equity at any time":* 25% × ₹8 crore = **₹2 crore** cumulative outstanding sweat equity. *Reconcile the tension:* the *annual* ceiling permits ₹5 crore, but the *overall* ceiling permits only ₹2 crore of sweat equity to exist at any time — so the **binding limit is ₹2 crore**, not ₹5 crore. *Lesson (mirrors the buy-back logic):* compute *both* the annual and the overall caps and take the **tighter**; here the overall 25% cap binds because the company is small relative to the ₹5-crore annual floor. *Examiner tweak:* had Iota been a **recognised start-up**, the overall cap rises to **50%** (₹4 crore) within the permitted early window — *verify the current start-up percentage and window in the Rules.* All figures flagged: *verify current Companies (Share Capital and Debentures) Rules.*

Scenario 10 — Class-rights variation with a dissenting minority (reasoning + threshold numerical, medium-hard). Lambda Ltd has **2,00,000 preference shares** forming one class. The company proposes to reduce their fixed dividend rate from 10% to 7% — a clear variation of class rights. At a separate class meeting, holders of **1,55,000** preference shares vote in favour, **45,000** against. *Step 1 — was the variation validly passed?* Sec 48 needs **≥ 3/4 of the class** consenting; 1,55,000 / 2,00,000 = **77.5% ≥ 75%**, so the variation **passes**. *Step 2 — can the dissenters still fight?* A dissenting minority holding **≥ 10% of the issued**

shares of the class, who did **not** consent, may apply to the **Tribunal within 21 days**. The dissenters hold 45,000 / 2,00,000 = **22.5% ≥ 10%**, so they are **eligible** to apply, and the Tribunal's decision binds all. *Self-check on the two thresholds:* they are *different gates* — 75% is the *pass* threshold (a supermajority so a bare majority can't bully), 10% is the *challenge* threshold (a floor low enough that a genuine outvoted minority can still be heard). Both are satisfied here, so the variation is passed *but* remains open to a 21-day Tribunal challenge. *Examiner tweak 1:* if only 1,45,000 (72.5%) had voted in favour, the variation **fails at Step 1** — no need to reach Sec 48's minority route. *Examiner tweak 2:* if the dissenters held only 15,000 (7.5%), they would be **below the 10% floor** and could not invoke the Tribunal remedy, even though they dissented. *Examiner tweak 3:* if the variation also prejudices the **equity** class, that class must **also** consent — a second, independent gate.

Scenario 11 — Diminution vs reduction, and the creditor's veto (reasoning, medium). Mu Ltd's authorised capital is ₹1 crore; it has issued ₹70 lakh and **₹15 lakh of shares were offered but never taken up**. Separately, ₹12 lakh of its paid-up capital has been **lost in accumulated trading losses**, and it also wishes to **return ₹8 lakh of genuinely surplus cash** to shareholders. Which actions need the Tribunal? *Analyse each against the master question "did real contributed capital move / did the buffer shrink?":* (a) Cancelling the **₹15 lakh never taken up** is **diminution under Sec 61** — it removes only *unissued* capital; no member is paid, no real buffer moves → **ordinary resolution, no Tribunal**. (b) Writing off the **₹12 lakh lost capital** is a **reduction under Sec 66** (cancelling capital unrepresented by available assets) — the nominal buffer is being admitted to be smaller, so → **special resolution + Tribunal**, though *no cash leaves* so creditors rarely object. (c) Returning the **₹8 lakh surplus cash** is a **reduction under Sec 66** where *real money physically leaves* → **special resolution + Tribunal + creditor hearing**, and this is the face creditors fight hardest. *Self-check:* three superficially similar "cancellations," three different answers, sorted purely by whether *contributed* capital moves and whether *cash* leaves. *Examiner tweak:* to the extent a creditor **consents** or is **secured/paid off**, the Tribunal need not require its objection to be resolved — because the whole protection exists *for* creditors, a satisfied creditor removes the obstacle.

Scenario 12 — Convertible debenture across issue, interest, voting and winding-up (exam-hard, integrated). Nu Ltd issues **₹50 crore of partly-convertible debentures (PCDs) at a 2% discount**, carrying 9% interest, to the public (6,000 investors), with a term (approved by special resolution *before* the issue) that 40% of each debenture converts into equity after three years. In year 2 the company makes a loss. A debenture-holder claims (i) the discount issue is void, (ii) she is entitled to vote at the AGM, and (iii) no interest is payable in a loss year. *Resolve each:* (i) **Discount is valid** — Sec 53's ban is on *shares*, not debentures; a debenture may be issued at a discount because it is debt, and the discount is merely the effective interest cost — nominal capital is not overstated. (ii) **No vote** — Sec 71(2): a debenture carries **no voting rights**; the converted portion will carry votes **only after** conversion into shares in year 3, and even then only on the 40% that becomes equity. (iii) **Interest is payable even in a loss year** — interest is a **contractual debt**, not a dividend out of profits; the loss is irrelevant, and non-payment triggers the trustee/Tribunal enforcement route (redemption forthwith with interest). *Also required for compliance:* because the offer exceeds **500 persons**, Nu Ltd must have appointed an **independent Debenture Trustee before the issue** and (if an unlisted non-NBFC) maintain **DRR/DRI**. *Self-check via the share-vs-debenture table:* every one of the holder's three claims fails precisely on a line of that table — discount allowed, no voting, interest contractual — which is why drilling that table pays off. *Examiner tweak:* on winding up, the **60% non-converting portion** ranks as a creditor **ahead of** all members, while the **40% converted** portion, now equity, ranks **last** — the same instrument splits across the creditor/owner line at conversion.

Scenario 13 — Reduction of capital, all three faces in one balance sheet (worked numerical, hard). Omega Ltd's capital: **1,00,000 equity shares of ₹10 each, ₹8 called-up and paid-up** (i.e. ₹2 uncalled), plus accumulated losses of **₹3,00,000** on the assets side that no longer correspond to any real asset, and **₹1,50,000 of genuinely surplus cash** the Board wants to return. It proposes a single Sec 66 scheme: (a) extinguish the **uncalled ₹2 per share**, (b) write off the **₹3,00,000 lost capital**, and (c) **pay back ₹1,50,000 surplus**. *Compute the effect on paid-up capital:* pre-scheme paid-up = 1,00,000 × ₹8 = **₹8,00,000**. Face (a) reduces *liability on uncalled capital* — it lowers the *nominal/called-up* ceiling from ₹10 to ₹8 per share but **does not change paid-up** (already ₹8 paid), so paid-up stays ₹8,00,000; it merely relieves members of a future ₹2,00,000 call. Face (b) writes off ₹3,00,000: paid-up falls to ₹8,00,000 − ₹3,00,000 = **₹5,00,000** (no cash moves — the balance sheet just stops overstating capital). Face (c) returns ₹1,50,000 cash: paid-up falls further to **₹3,50,000** and ₹1,50,000 physically leaves. *Self-check against the buffer:* only face (c) removes *real* value — that is the one creditors fight; faces (a) and (b) shrink only the *nominal/potential* buffer, so creditors object less, but **all three still need special resolution + Tribunal** because each touches *contributed or callable* capital (unlike Sec 61 diminution of *never-issued* shares). *Examiner tweak:* if a creditor's debt is **fully secured**, the Tribunal may confirm faces (a)–(c) **without that creditor's consent**, because the protection exists only for exposed creditors.

Scenario 14 — The authorised-capital ceiling ambush on a bonus (worked numerical, medium). Sigma Ltd: **authorised capital ₹1,00,00,000**, **paid-up equity ₹85,00,000** (8,50,000 shares of ₹10), free reserves ₹60,00,000. It proposes a **1:2 bonus** (one free share for every two held). *Compute the bonus:* new shares = 8,50,000 ÷ 2 = **4,25,000**; capital to be added = 4,25,000 × ₹10 = **₹42,50,000**. *Test the authorised ceiling:* post-bonus paid-up = ₹85,00,000 + ₹42,50,000 = **₹1,27,50,000**, which **exceeds the ₹1,00,00,000 authorised ceiling by ₹27,50,000**. *Outcome:* Sigma **cannot** issue the bonus as proposed until it **first increases authorised capital under Sec 61** (ordinary resolution) to at least ₹1,27,50,000 and files **SH-7 within 30 days**; free reserves being ample (₹60,00,000 ≥ ₹42,50,000) is *necessary but not sufficient*. *Self-check:* two independent gates must both open — (i) enough *distributable reserves* to capitalise (satisfied), and (ii) enough *authorised headroom* to hold the new capital (failed) — and the examiner sets the reserves comfortably high so the *authorised ceiling*, not the reserves, is the binding constraint. This is the mirror image of the buy-back trap: there the decoy was a large authorised figure; here the authorised figure is the *real* constraint precisely because a bonus *raises* paid-up capital.

Scenario 15 — ESOP to the wrong person (reasoning, medium). Pi Ltd's board proposes ESOP grants to four people: (a) Mr A, a permanent employee working at the company's overseas branch; (b) Ms B, a non-executive director holding **3%** of the equity; (c) Mr C, a **promoter** who is also an executive director; and (d) Mr D, an independent director holding **12%** of the equity together with his spouse. *Apply the Sec 62 ESOP eligibility filter:* (a) **Eligible** — a permanent employee *in India or abroad* qualifies. (b) **Eligible** — a director (whole-time or not) qualifies, and 3% is below the 10% bar. (c) **Not eligible** — a **promoter** (or promoter-group person) is excluded outright, *even though* he is also an executive director; the promoter label defeats the employee route. (d) **Not eligible** — a director holding **more than 10%** of equity (here 12%, counting the spouse's holding) is excluded. *Why exclude C and D?* ESOP aligns *employees*' incentives; letting a promoter or a 10%-plus director grant himself cheap equity is self-dealing, the very abuse Sec 62's pre-emption guards against. *Examiner tweak:* had D held exactly **10%**, he would still be **eligible** — the bar is "*more than* 10%," so exactly 10% squeaks through.

Scenario 16 — Private placement that tips into a public offer (reasoning, hard). Rho Ltd makes a private placement of equity to **190 identified persons** in a financial year, receives some application money in **cash** from a few of them, and, before allotting, launches a *second* private placement of the *same* equity to **20**

more persons while the first is still open. *Diagnose each breach under Sec 42:* (i) the headcount is **per kind per financial year** — 190 + 20 = **210 > 200**, breaching the cap; (ii) money **must come through the banking channel**, so the **cash** receipts are impermissible; (iii) a company **cannot float a fresh offer while an earlier one is pending**. *Consequence:* the breaches can render it a **deemed public offer**, dragging in the entire **prospectus regime** (Sec 23–26), with the company and officers liable to refund with interest and to penalties. *Self-check:* three independent Sec 42 disciplines — headcount, banking channel, one-offer-at-a-time — each violated; any *one* can convert a "private" placement into a public one. *Examiner tweak:* **QIBs and ESOP employees are excluded from the 200 count**, so if 30 of the offerees were QIBs, the count would be 180 and the headcount limb would *not* be breached — but the cash-receipt and pending-offer breaches would still stand.

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6. Procedure / Compliance Summary

Rights Issue (Sec 62(1)(a)) — flow:

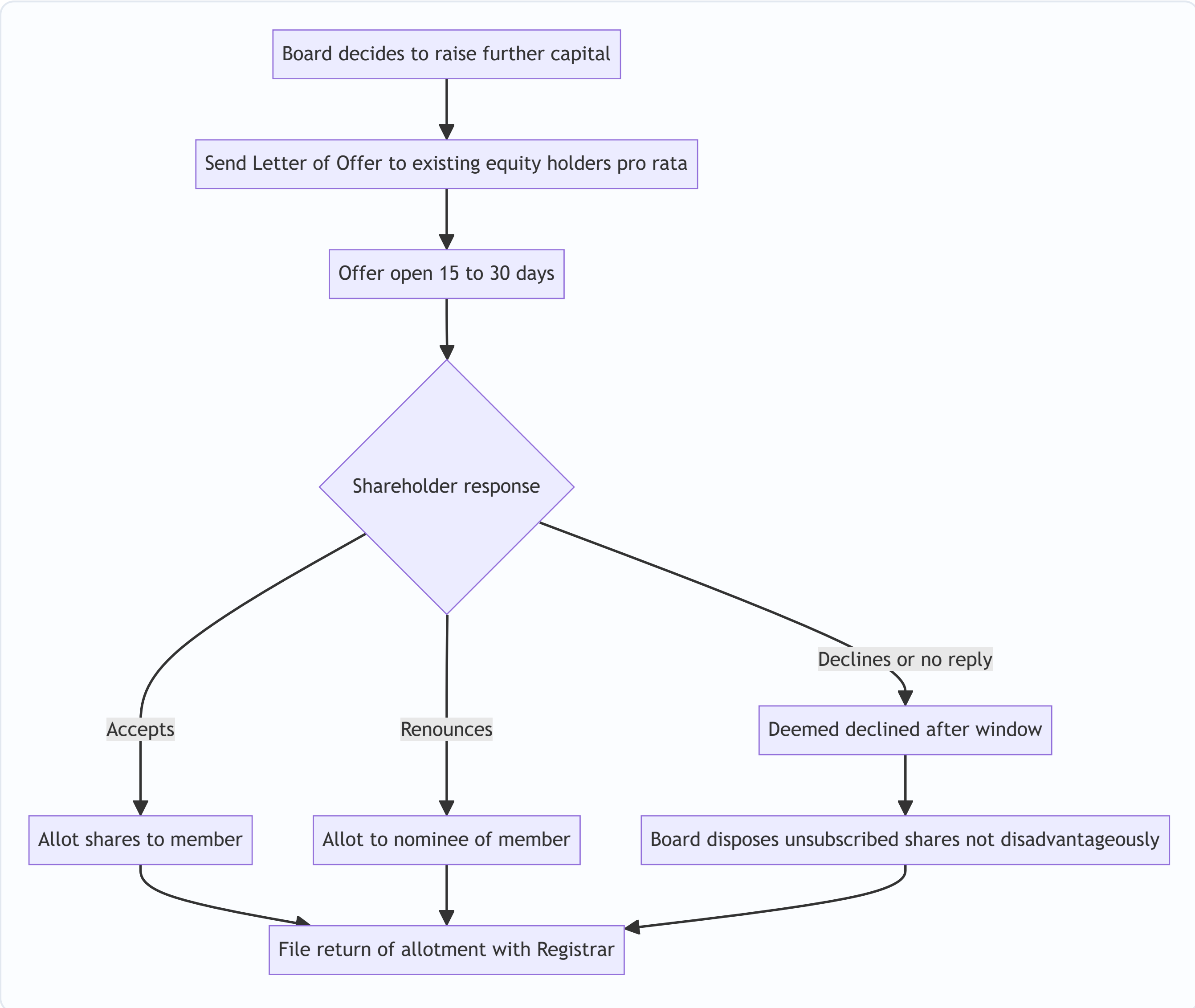


Figure 6.1 — The rights-issue decision path: existing owners first, outsiders only with what's left.

Deciding which route a "further issue" takes (Sec 62):

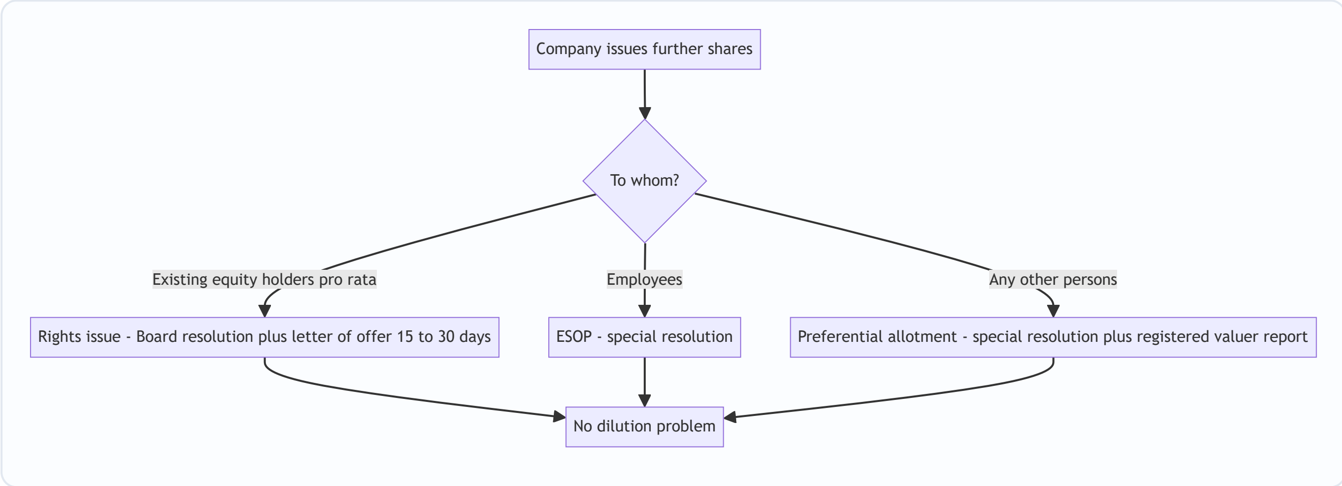
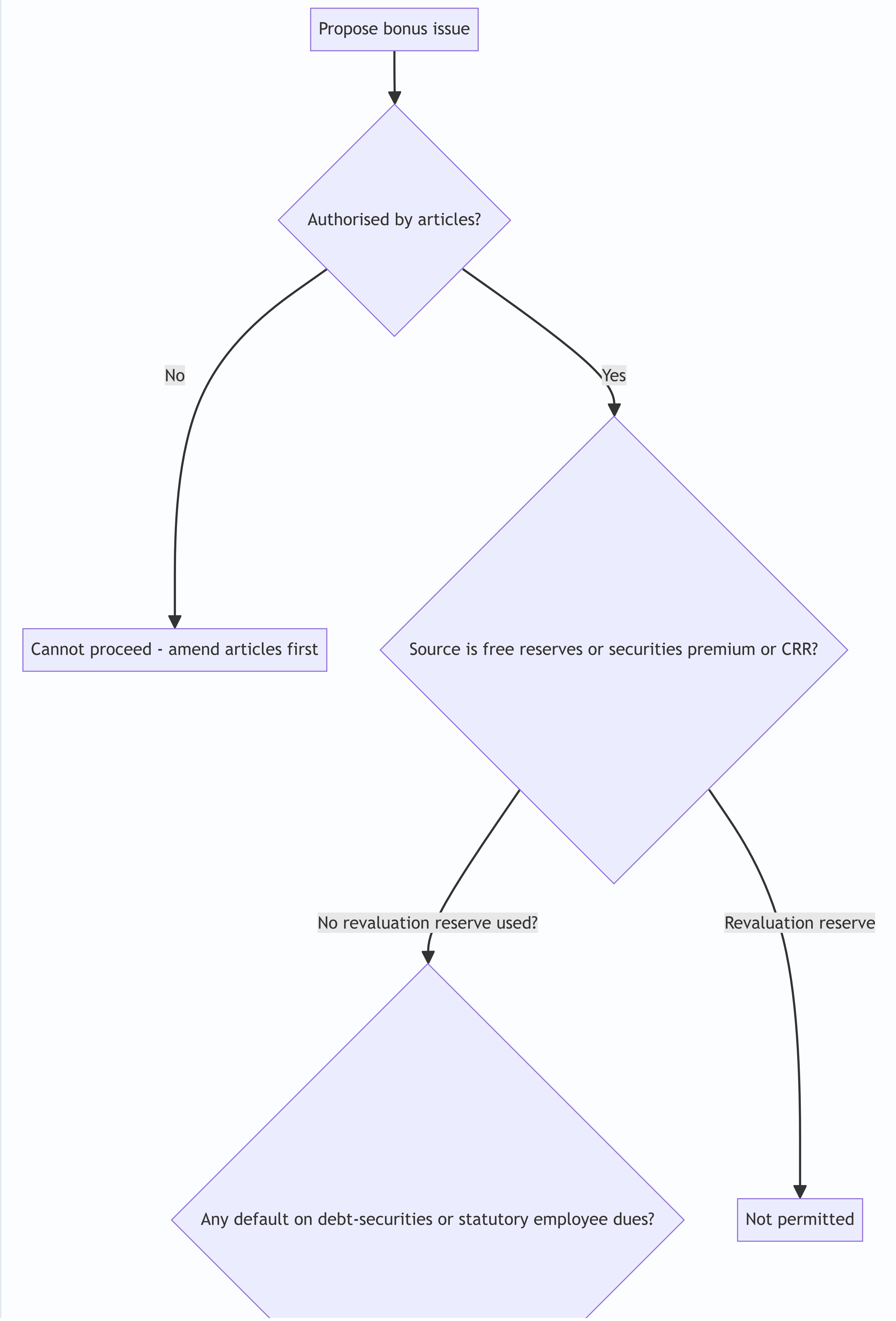


Figure 6.2 — Every further issue must pass through one of three gates; the outsider gate is guarded hardest.

Deposit-style eligibility test for issuing bonus shares (Sec 63):


Propose bonus issue
Authorised by articles?
No
Yes
Cannot proceed - amend articles first
Source is free reserves or securities premium or CRR?
No revaluation reserve used?
Revaluation reserve
Any default on debt-securities or statutory employee dues?
Not permitted

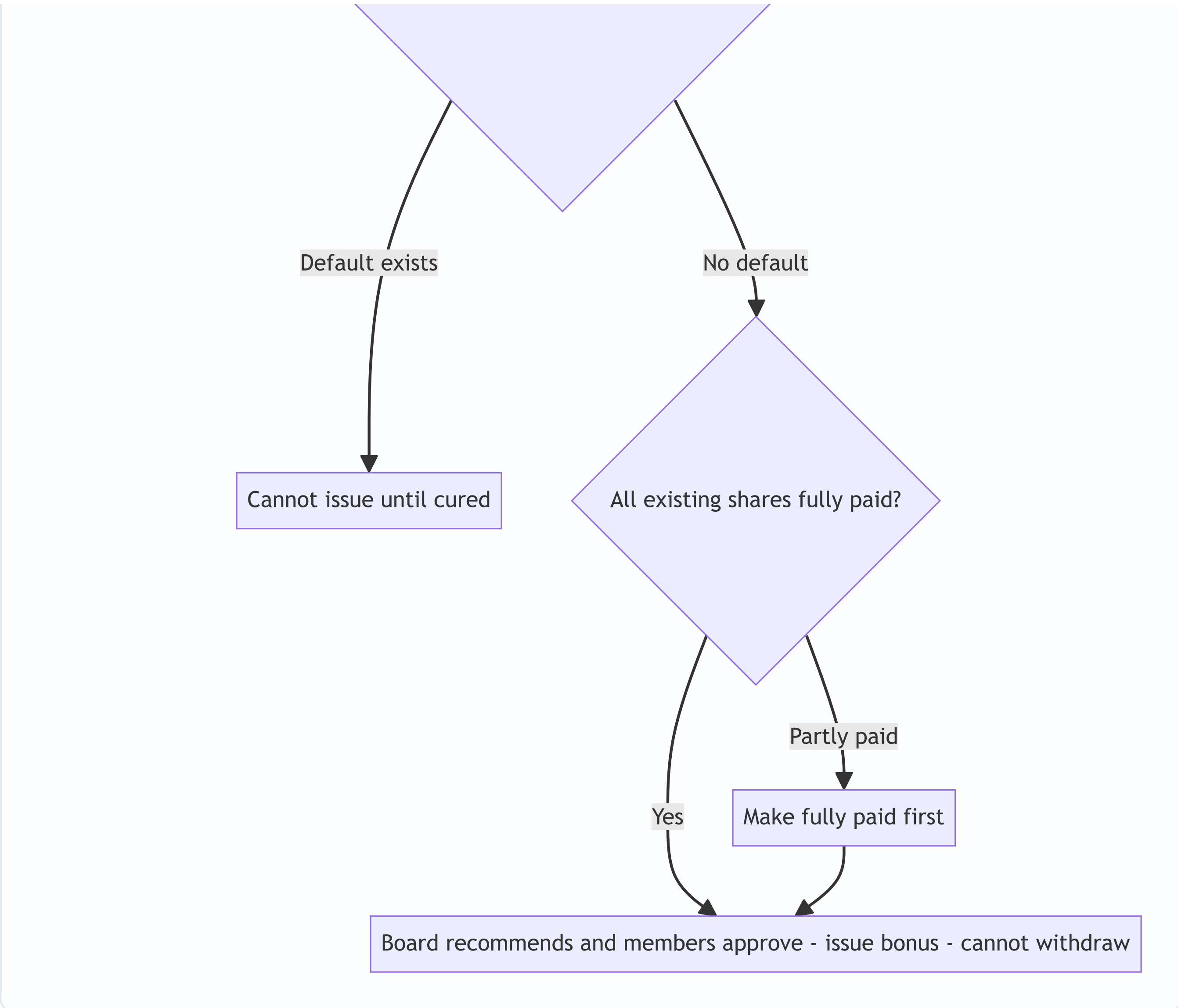


Figure 6.3 — The bonus-issue gate: real reserves, no defaults, fully-paid base.

Which action needs which resolution and whether the Tribunal is involved:

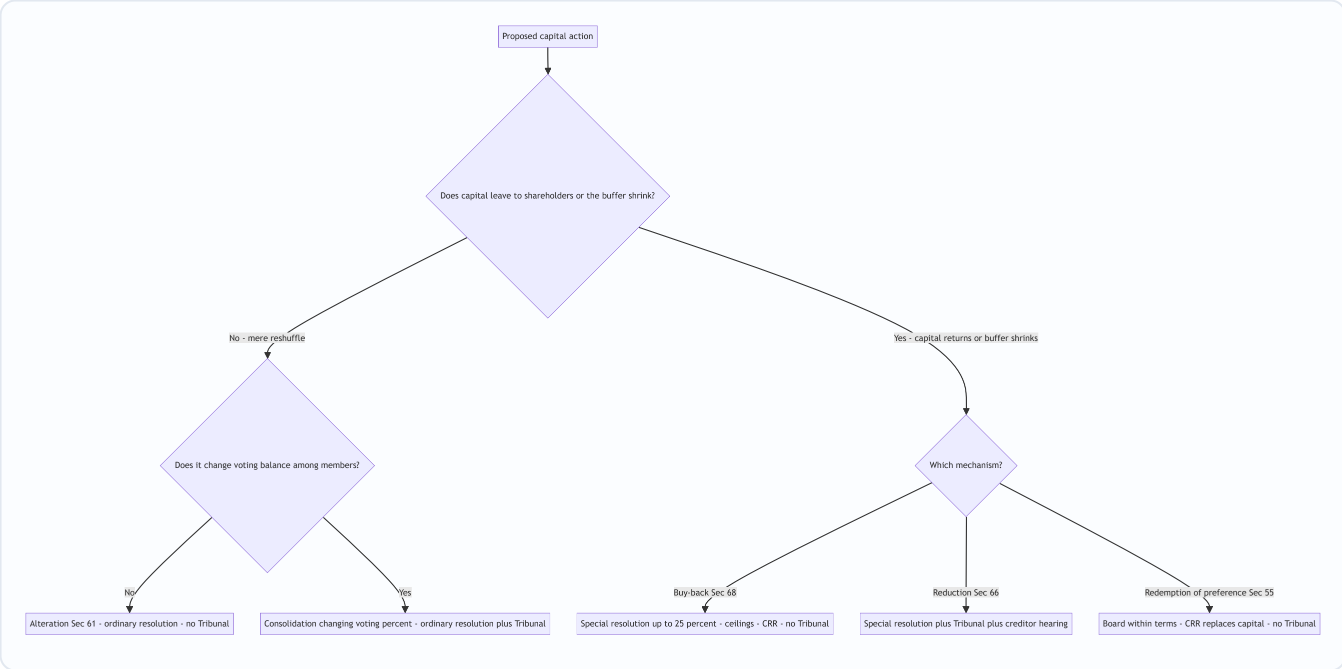


Figure 6.4 — Sort any capital action by asking first whether the buffer shrinks, then by mechanism.

Deciding the debenture trustee and DRR obligation (Sec 71):

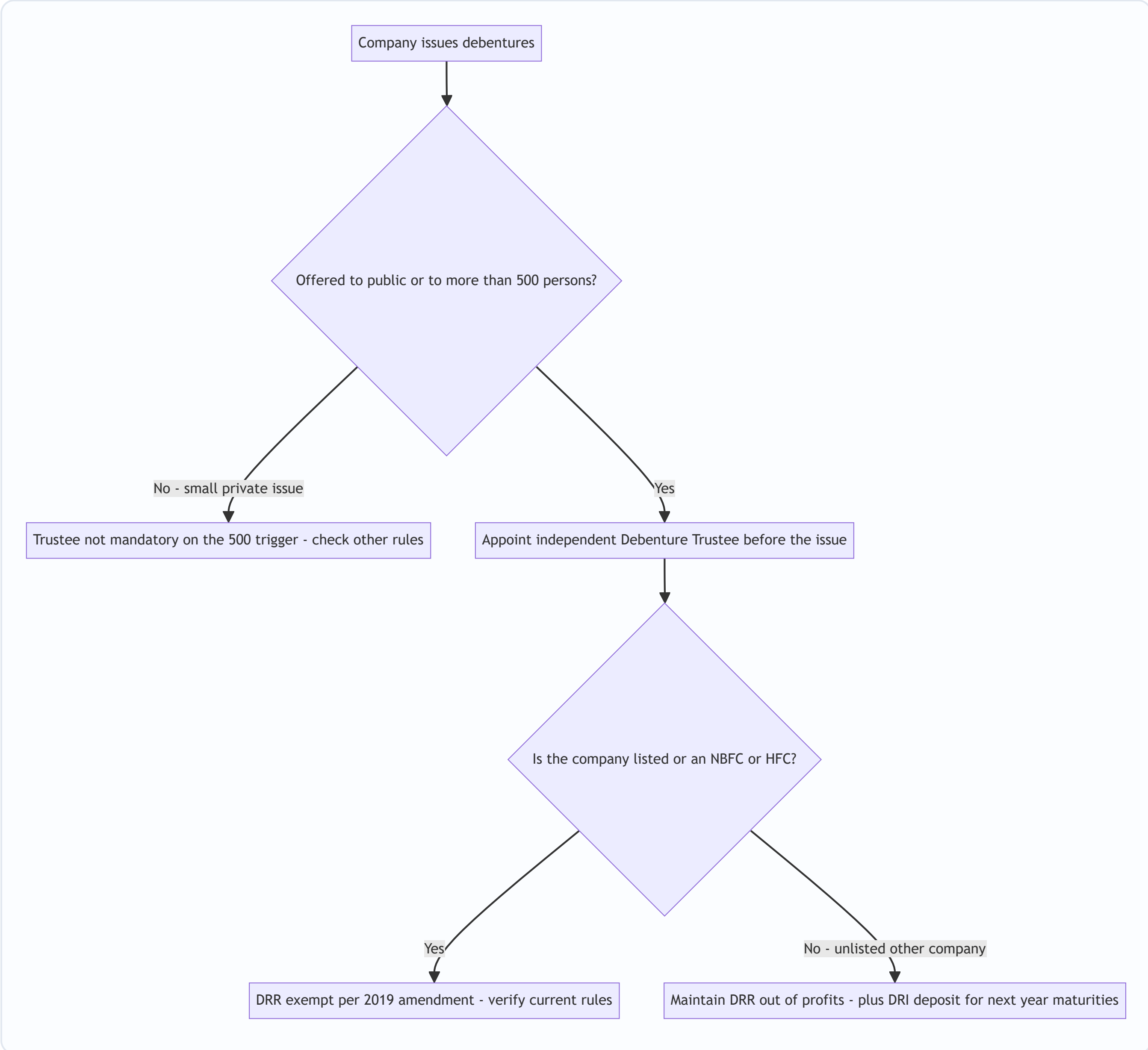


Figure 6.5 — The public-debenture safeguards fork on the 500-person trigger and then on the issuer's regulated status.

Redeeming preference shares — which source, and does CRR apply (Sec 55):

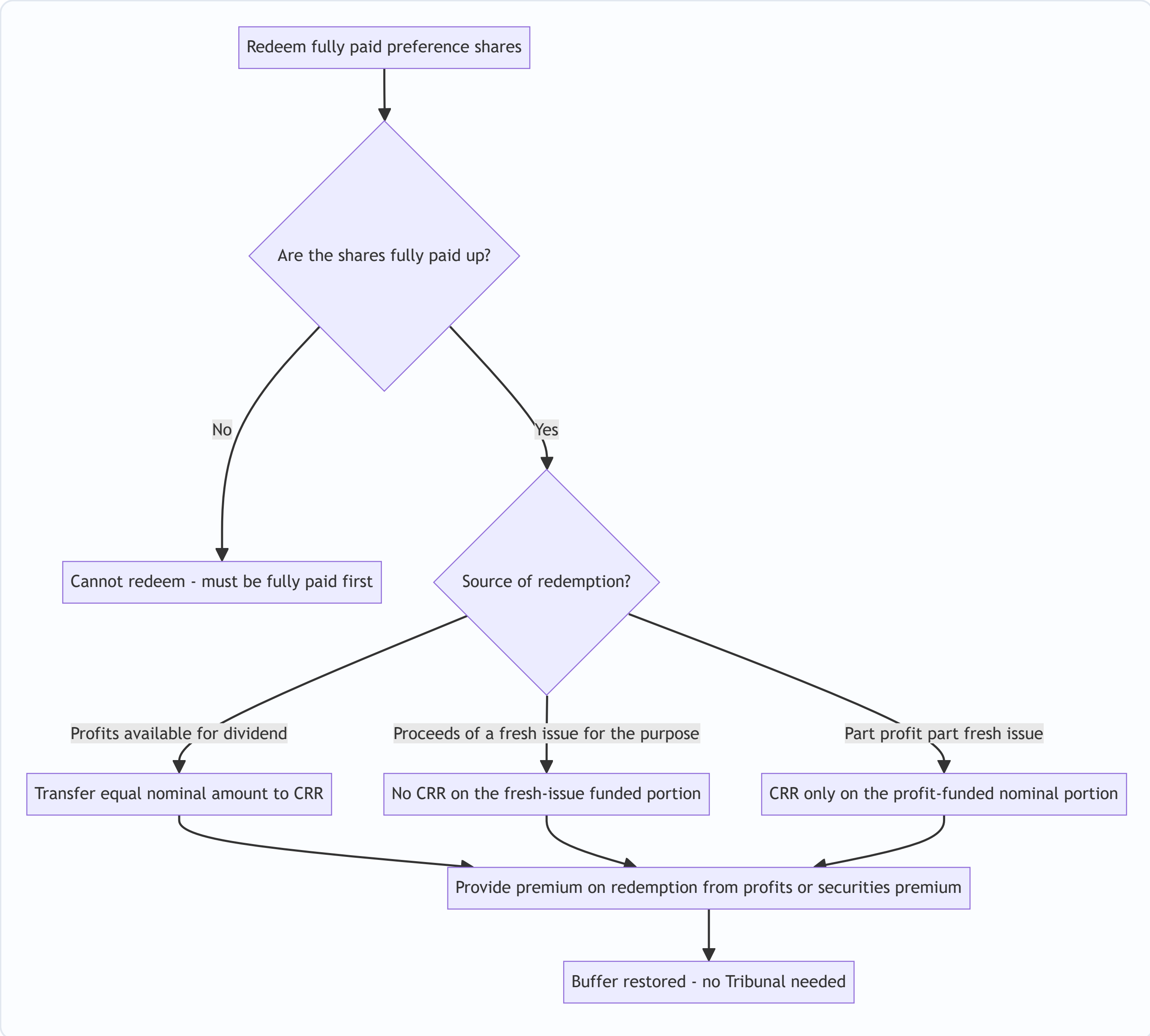


Figure 6.6 — Redemption always leaves the buffer whole because CRR or fresh capital replaces the redeemed shares rupee for rupee.

Routing an ownership change — transfer versus transmission (Sec 56):

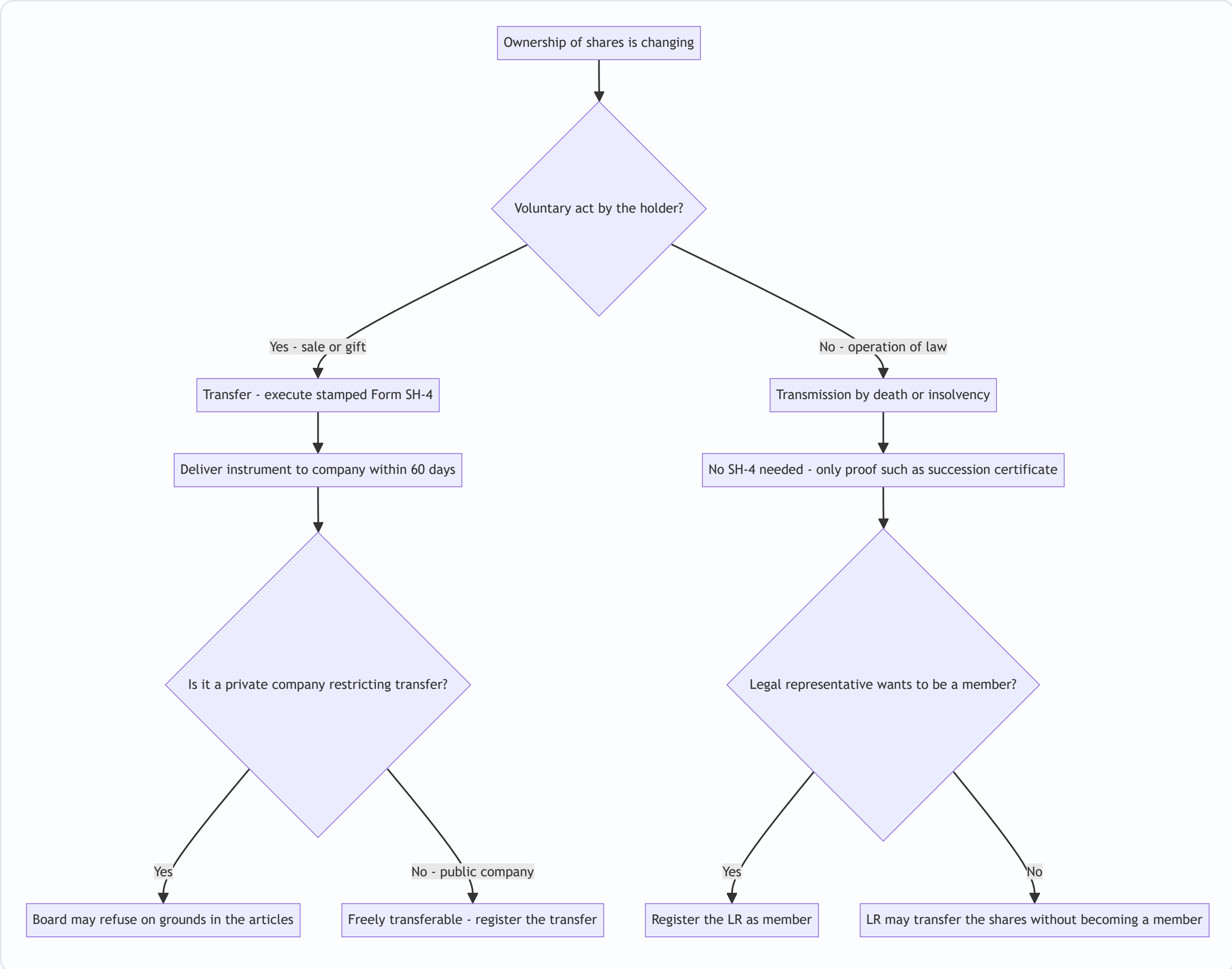


Figure 6.7 — A voluntary sale runs the SH-4 transfer track while death or insolvency runs the lighter proof-only transmission track.

Key forms & timelines:

Event	Form	Timeline
Alteration of capital (Sec 61/64)	SH-7	Within **30 days** of resolution
Instrument of transfer (Sec 56)	SH-4	Deliver within **60 days** of execution
Register transfer & deliver certificate	—	Within **1 month** of receipt
Deliver certificate on allotment (shares)	—	Within **2 months** of allotment
Deliver certificate on allotment (debentures)	—	Within **6 months** of allotment
Rights offer open period	—	**15 to 30 days**
Rights offer — dispatch of notice before opening	—	At least **3 days** before opening
Sec 48 dissenting-minority Tribunal appeal	—	Within **21 days**; minority ≥ **10%** of class
Refusal to register transfer — communicate	—	Within **30 days** of receipt
Buy-back — extinguish/destroy securities	—	Within **7 days** of completion
Buy-back — complete after authorising resolution	—	Within **1 year**
Return of allotment (Sec 39)	PAS-3	Within **30 days** (confirm in Rules)

7. Connections to Other Chapters & Laws

- **Prospectus & Allotment (Chapter on Sec 23–42):** how shares/debentures are *offered* to the public (prospectus, private placement PAS-4, return of allotment PAS-3) precedes and feeds the capital rules here.
- **Buy-back (Sec 68) & Reduction (Sec 66):** the "capital *leaving*" side, cross-referenced in 4.14–4.15; both are pure Capital-Maintenance chapters.
- **Dividend (Sec 123–127):** dividend can be paid only out of profits, never capital — the same maintenance principle; securities premium and CRR are *not* free for dividend. Note the crossover: bonus shares cannot be issued *in lieu* of dividend (Sec 63(3)).
- **Charges (Sec 77–87):** secured debentures create charges that must be registered — links to Sec 71 secured debentures; a debenture trustee typically holds that charge for all holders.
- **Deposits (Sec 73–76):** debentures vs deposits — a convertible/secured debenture (or one listed and compliant) may be excluded from "deposit"; watch the boundary, since mis-classifying a debenture as a deposit brings in an entirely different (harsher) compliance regime.
- **Meetings & Resolutions (Sec 100–117):** ordinary vs special resolution thresholds power almost every action here (alteration = ordinary; sweat equity, preferential allotment, ESOP, reduction, conversion = special). Special = ≥ 3/4 majority of those voting.
- **Registered Valuer (Sec 247):** the valuer whose report prices preferential allotments and sweat equity — an independent-valuation gate that recurs across the Act.
- **Oppression & Mismanagement (Sec 241–242):** an unfair allotment or a rights-strip that Sec 48/62 didn't catch can still be attacked as oppression of the minority — the residual Fair-Dealing backstop.
- **SEBI (ICDR) Regulations & LODR:** for listed companies, SEBI rules overlay the Companies Act on rights issues, preferential allotments and buy-backs (and DRR exemptions for listed issuers).

- **Winding up / Liquidation (IBC & Sec 327-ish priority):** the whole "buffer" metaphor cashes out here — on liquidation, secured creditors and the trustee's charge rank first, unsecured creditors (naked debenture-holders, depositors) next, **preference shareholders before equity**, and equity **last**. Every capital-maintenance rule in this chapter is really about protecting the people *ahead of* the shareholders in this queue.
- **Accounting Standards / Ind AS:** the *narrowed* securities-premium list (Sec 52(3)), the *expense-vs-capitalise* fork for sweat equity, and the ESOP fair-value charge all sit on accounting rules — the law and the accounting standard interlock, and a question may test the accounting consequence of a legal event.
- **Directors' duties (Sec 166) & related-party transactions (Sec 188):** a cheap preferential allotment to an insider or an unfair buy-back is not only a Sec 62/68 breach but also a breach of directors' fiduciary duty and possibly a related-party transaction needing separate approval — layered liability.
- **Foreign investment (FEMA / FDI):** issue and transfer of shares/debentures to non-residents carry pricing-guideline and reporting overlays; a valuer's report under Sec 62(1)(c) often must also satisfy FEMA pricing — flag the overlay, don't compute it.

8. Traps & Examiner Tricks

- **Alteration (Sec 61) vs Reduction (Sec 66):** the classic trap. *Cancellation of unissued/untaken shares (diminution)* under Sec 61 is **not** a reduction and needs **no Tribunal** — only an ordinary resolution. True reduction (Sec 66) needs special resolution **+ Tribunal + creditor hearing**. Ask: *did money go back to shareholders / did the buffer shrink?* If no → alteration; if yes → reduction.
- **Redemption of preference (Sec 55) is not a reduction (Sec 66):** no Tribunal, because CRR or fresh-issue proceeds *replace* the redeemed capital instantly. Only *fully paid* preference shares can be redeemed.
- **Discount (Sec 53) vs Sweat Equity (Sec 54):** sweat equity *looks* like a discount but is lawful because non-cash value flows in. Don't call sweat equity "void."
- **"Below market" is not "at a discount":** Sec 53 measures against **face value**, not market price. A rights issue priced below the market price but above face value is perfectly legal.
- **Securities premium is NOT free profit:** examiners love "can premium be used to pay dividend?" — **No.** Only the closed Sec 52 list (narrowed further by Sec 52(3) for AS-compliant companies).
- **Sec 47 two-year trigger:** preference shareholders get *full* voting rights only after dividend unpaid **two years or more** — not on the first missed dividend, and "18 months" does not trigger it.
- **Cumulative is the default:** if the terms are silent, preference shares are cumulative — a skipped dividend must still be paid later. A trap says silence means non-cumulative.
- **Rights issue window is 15–30 days**, *minimum* 15. A trap answer says "at least 30." Also the offer must mention **renunciation**, and lapse (not renunciation) is what forfeits the shareholder's value.
- **Sec 48 minority:** the dissenting minority threshold is **≥ 10%** of the class and the appeal window is **21 days** — measured on issued shares of that class, and only those who did **not** consent. Don't confuse with the 3/4 consent needed to *pass* the variation.
- **Preference shares must be redeemable within 20 years** (infrastructure exception) — irredeemable preference shares are **prohibited** (Sec 55). A trap offers "perpetual preference shares."
- **Debentures carry no voting rights (Sec 71(2)):** a convertible debenture gains voting rights only *after conversion into shares*, not before. And debentures **may** be issued at a discount (unlike shares).

- **Bonus shares cannot be issued from revaluation reserve**, **cannot be withdrawn once announced**, and **cannot be in lieu of dividend** (Sec 63).
- **Buy-back — compute ALL ceilings and take the minimum:** value cap (25% of paid-up capital + free reserves), quantity cap (25% of paid-up equity, different base), and the post-buy-back **2:1 debt-equity** ratio. The examiner sets the numbers so the debt ratio, not the 25%, is the binding constraint. Shares must be fully paid; extinguish within 7 days; one-year gap; CRR transfer.
- **Private company relaxations follow one rule — "relax member-protections, never creditor-protections":** Sec 43 & 47 (kinds/voting) can be excluded by a private company's MOA/AOA; Sec 62 rights-offer periods can be shortened with 90% consent; ESOP by ordinary resolution. But it can never issue at a discount or reduce capital without the Tribunal. Watch the "private company" flag.
- **Public vs private on transfer refusal:** a public company's shares are *freely transferable* (Sec 58); a private company *restricts* transfer by definition. Applying the wrong refusal standard to the wrong company type is a favourite trap.
- **Transfer vs Transmission:** transfer needs SH-4 (voluntary); transmission needs only proof (by law — death/insolvency). A legal representative can *transfer* without first becoming a member. Examiners swap the definitions.
- **Nomination overrides a will** for the *vesting* of shares on death (Sec 72). A trap pits a later will against an earlier nomination — the nomination governs vesting.
- **DRR / trustee trigger:** appointment of a Debenture Trustee is mandatory when debentures are offered to the **public or > 500 persons**, and the trustee must be **appointed before** the issue and must be **independent** (no shareholding in / indebtedness to the company). DRR has been *exempted* for listed companies and NBFCs/HFCs since 2019 — quote as "verify current Rules."
- **Authorised vs paid-up capital — the decoy in every numerical:** ceilings for buy-back (25%), sweat equity (15%/25%), and the DVR cap are computed on **paid-up equity**, *never* on authorised capital. The examiner plants a huge authorised figure to tempt the wrong base. Only a **bonus issue** genuinely tests the authorised ceiling (because paid-up rises and must stay within authorised).
- **"Proceeds of a fresh issue" for redemption means *nominal only*:** when the fresh issue funding a preference redemption is made at a premium, the **premium does not reduce the CRR** obligation — only the face value counts as capital replacement. And the fresh issue must be made *for the purpose of redemption*.
- **Take the *minimum* of all caps — twice over:** both buy-back (value cap vs quantity cap vs 2:1 debt ratio) *and* sweat equity (annual 15%/₹5cr-higher-of cap vs overall 25% cap) require computing every ceiling and choosing the tightest. Reporting the *larger* figure is the classic error.
- **Securities premium can arise on a non-cash issue** and cannot be "released" to distributable profit without, in substance, a Sec 66 reduction. A trap says "no cash, no premium" or lets the board reclassify premium to fund a special dividend.
- **Private placement (Sec 42) headcount is 200 *per kind, per financial year*** (excluding QIBs and ESOP employees), money **only through banking channel**, and funds **frozen until PAS-3 is filed**. Breach makes it a **deemed public offer**. A trap counts across kinds or across years, or allows cash.
- **Unsubscribed rights shares must be disposed of "not disadvantageously":** the Board cannot dump the leftover on a director at the rights price when the market price is higher — that is disadvantageous to members.

- **Sweat equity has a 12-month resolution shelf-life and a 3-year lock-in** (verify): the approval goes stale after a year and the shares can't be flipped for three. A trap uses a two-year-old resolution or lets a director sell immediately.
- **Secured debentures need a charge registered under Sec 77 within 30 days**; an unsecured "naked" debenture-holder is just an ordinary unsecured creditor on winding up. A trap treats every debenture-holder as secured.
- **Interest on debentures is payable even in a loss year** — it is contractual debt, not a dividend out of profits. A trap withholds interest "because the company made a loss."
- **DRR (a reserve) and DRI (an actual deposit) are additive, not alternatives:** the DRR ring-fences profit; the DRI (by 30 April, in specified instruments) parks real cash for the coming year's maturities. A trap treats maintaining one as satisfying the other.

9. First-Principles Recap

Two lamps light the whole chapter:

1. **Capital Maintenance** — capital must not leak back to shareholders and betray creditors. Hence: no discount (53), premium locked (52), preference redeemable with CRR (55), bonus only from real reserves (63), buy-back capped with CRR (68/69), reduction only under the Tribunal (66), DRR for debentures (71). Every one of these is "keep the buffer honest."
2. **Fair Dealing / Equality** — no control-group may enrich itself at another's expense. Hence: rights issue pre-emption (62), valuer-priced preferential allotment (62), class-consent for variation with a minority veto (48), full voting for defaulted preference (47), special resolution for sweat equity/ESOP (54, 62).

Every section number is just an address for one of these two ideas plugging one specific hole. Ask of any provision: *is this stopping capital from leaking out, or stopping one group from cheating another?* You will place it correctly every time.

The master decision-question for any capital problem. When a scenario lands, run this cascade: (1) *Is capital coming in or going out?* In → discount/premium/valuer rules (52/53/54/62). Out → maintenance rules (55/63/66/68). (2) *Does the buffer actually shrink, or is it replaced?* Shrinks and unreplaced → Tribunal (66). Replaced by CRR/fresh issue → no Tribunal (55). Merely reshuffled → ordinary resolution (61). (3) *Who is the victim?* Creditor → maintenance; whole body of members → pre-emption (62); a class → consent (48/47). (4) *Is it a private company, and does the relaxed rule protect only members?* If yes, the relaxation may apply. These four questions, in order, decode almost any exam problem in the chapter without memorising a single section number.

Running the cascade on a fresh problem (worked diagnostic). "*A closely-held private company wants to return ₹5 lakh of surplus cash to its two shareholders by cancelling some of their fully-paid shares, and its articles permit it.*" Run the four questions: **(1) In or out?** Cash is going *out* to owners → a capital-*maintenance* problem. **(2) Buffer shrink or replaced?** Real cash leaves and *nothing* replaces it → this is a **reduction**, not a redemption or a mere reshuffle. **(3) Who is the victim?** *Creditors* — their buffer physically shrinks. **(4) Private company — does the relaxed rule protect only members?** No — reduction (Sec 66) protects *creditors*, so the private-company relaxations **cannot** switch off the Tribunal. *Conclusion in one breath:* despite being a private company with enabling articles, it needs a **special resolution + Tribunal confirmation + creditor hearing under Sec 66**; "cancelling fully-paid shares to return cash" is a textbook reduction, *not* a Sec 61 diminution (which cancels only *never-issued* shares). *Notice you never had to recall a* *section number until the very end* — the cascade delivered you to Sec 66 by pure reasoning. That is the skill the chapter is really testing.

10. Quick-Revision Sheet

Section	Topic	Key number / limit	One-line why
43	Kinds of share capital	Equity (voting/DVR) + Preference	Name the two boxes
46	Share certificate	Prima facie (not conclusive) evidence	Register integrity
47	Voting rights	Preference full-vote if dividend unpaid ≥ **2 yrs**	Broken bargain arms the class
48	Variation of class rights	**3/4** consent; dissent **≥10%** appeal in **21 days**	Only a class rewrites its own bargain
52	Securities premium	Closed-list uses; **no dividend**; narrower list under 52(3)	Premium is capital's cousin
53	Discount prohibited	Issue at discount **void**; measured vs face value	Don't fake the buffer
54	Sweat equity	**Special resolution**; 15%/25% caps (verify); **no 1-yr wait** (omitted w.e.f. 7 May 2018)	Real non-cash value in
55	Preference redemption	Redeem within **20 yrs** (infra exception); fully paid only; CRR	No perpetual priority debt; buffer replaced
56	Transfer/transmission	SH-4 within **60 days**; certificate in **1 month**	Accurate, forgery-proof register
58/59	Refusal / rectification	Appeal 30/60 (pvt) or 60/90 (public) days	Free transfer for public co.
61	Alteration of capital	**Ordinary resolution**; no Tribunal (consolidation changing votes = Tribunal)	Reshuffling, not returning
62	Further issue / rights	Offer **15–30 days**; renunciation; valuer for outsiders	Existing owners first
63	Bonus shares	Not from revaluation reserve; **cannot withdraw**; not in lieu of dividend	Capitalise only real reserves
64	Notice of alteration	**SH-7 within 30 days**	Public register current
66	Reduction of capital	Special resolution **+ Tribunal + creditors**	The buffer actually shrinks
68/69	Buy-back	**≤25%** (two bases); debt ≤ **2:1**; CRR; **1-yr** gap; destroy in **7 days**	Capped return of capital
71	Debentures / trustee	Trustee if **>500** persons; no voting; may issue at discount; DRR/DRI	One watchdog + a real fund
72	Nomination	Nominee on death; **overrides will** for vesting	Skip the succession fight

Resolution cheat-line: *Ordinary* → alteration (61), increase capital, ESOP in a private company. *Special* → sweat equity (54), preferential allotment/ESOP/conversion (62/71), buy-back up to 25% (68), reduction (66).

Tribunal → reduction (66), class-variation dissent (48), refusal of transfer (56/58), consolidation changing voting % (61), inability to redeem preference (55), debenture default (71).

Buffer-replacement cheat-line: *Nothing replaces it* → Tribunal (66). *CRR or fresh issue replaces it* → no Tribunal (55, 68/69). *Reserve moves INTO capital* → buffer grows, light conditions (63). *Merely reshuffled* → ordinary resolution (61).

Numerical-formula cheat-sheet (compute every cap, then take the tightest):

Computation	Formula	Base to use	Common trap
Buy-back value cap	25% × (paid-up capital + free reserves)	**Paid-up**, not authorised	Using authorised capital
Buy-back quantity cap	25% × paid-up **equity**	Paid-up equity alone	Mixing the two bases
Buy-back debt test	Post-buy-back debt ÷ owned funds ≤ 2 : 1	Debt vs (capital + free reserves + premium − spend)	Forgetting this often binds
Sweat equity annual cap	Higher of 15% × paid-up equity **or** ₹5 crore	Paid-up equity	Taking the *lower*
Sweat equity overall cap	25% of paid-up equity (start-up 50%)	Paid-up equity, cumulative	Ignoring the overall cap
CRR on redemption	Nominal value redeemed **out of profits**	Face value only	Counting fresh-issue premium
Value of one right	Ex-rights price − issue price	TERP	Using cum-rights price
TERP	[(N × cum-price) + (1 × issue price)] ÷ (N + 1)	N = shares needed per new share	Wrong ratio
DRR / DRI	DRR % × outstanding; DRI % × next-year maturities	Two different bases, additive	Treating one as the other
Bonus feasibility	Reserves ≥ shares × face; **and** post-bonus paid-up ≤ authorised	Exclude revaluation reserve	Missing the authorised ceiling

One-line meta-rule for every numerical: *identify the correct base (almost always paid-up, never authorised — except the bonus ceiling), compute all applicable caps, and answer with the minimum; the examiner rigs the numbers so the constraint you forget is the one that binds.*

Day-count and threshold recall strip (rapid-fire): SH-7 in **30 days**; SH-4 lodged within **60 days**; certificate on transfer **1 month**, on share allotment **2 months**, on debenture allotment **6 months**; rights offer open **15–30 days**, notice **3 days** before; Sec 48 dissent appeal **21 days** / minority **≥10%** / pass **≥3/4**; preference full-vote after dividend unpaid **≥2 years**; buy-back extinguish in **7 days**, complete in **1 year**, no re-issue same kind **6 months**, gap between buy-backs **1 year**; preference redeemable within **20 years**; private placement **≤200 persons** per kind/year, allot within **60 days**, refund in **15 days** then 12% interest; charge registration **30 days**; Sec 55(3) roll-over needs **≥3/4** preference consent + Tribunal; DRI deposit by **30 April**. *These numbers are the examiner's favourite single-mark discriminators — over-learn them.*

Provisions a private company may relax (the "member-protection only" list): Sec 43 (kinds) & Sec 47 (voting) — excludable by MOA/AOA; Sec 62 rights-offer periods — shortenable with **≥90%** member consent; ESOP — by **ordinary** resolution. **Never relaxable** (creditor-protective): Sec 53 (discount), Sec 66 (reduction), Sec 68/70 (buy-back discipline), Sec 71 (trustee/DRR). *One test: does the rule protect only members, or does it protect creditors? Members-only → relaxable; creditors → never.*

> Where a specific percentage, DRR rate, sweat-equity cap, DVR cap, or day-count is decisive in an exam, confirm the current figure against the latest ICAI study material and the Companies (Share Capital and Debentures) Rules — several thresholds (notably DRR, sweat-equity limits, and DVR caps) have been amended since 2013.

Q&A — Share Capital & Debentures

> CA Intermediate · Corporate & Other Laws · Companies Act, 2013 (Sections 43–72, read with the Companies (Share Capital and Debentures) Rules, 2014). Every question is followed immediately by a complete, section-cited model answer. Where a figure or rule is version-sensitive, it is flagged.

Section A — Concept-Check Questions (with answers)

A1. What are the two kinds of share capital recognised for a company limited by shares? Under **Section 43**, share capital is of two kinds: **(a) equity share capital** — either with voting rights, or with differential rights as to dividend/voting (DVR); and **(b) preference share capital**. Preference shares carry a preferential right to dividend and to repayment of capital on winding up. Companies producing a private company may be exempt from Sec 43 if its memorandum/articles so provide (exemption notification).

A2. What is the legal nature of a share? Is it the same as a share certificate? Per **Section 44**, shares/debentures/other interest of a member are **movable property**, transferable in the manner provided by the articles. A share is a bundle of rights (a chose-in-action); the **share certificate** issued under **Section 46** is only *prima facie* evidence of title, not the share itself.

A3. Can a company issue shares at a discount? No. **Section 53** prohibits issue of shares at a discount; any share issued at a discount is **void**. Exceptions: **sweat equity shares** under **Section 54**, and (per Section 53(2A)) shares issued at a discount to creditors on conversion of debt into shares under a statutory resolution/restructuring scheme. Penalty: company and officers liable; refund with interest at 12% p.a.

A4. What is the "securities premium account" and can it be used to pay dividends? Under **Section 52**, premium received on issue of securities is credited to the **Securities Premium Account**, treated as if it were paid-up capital for reduction purposes. Permitted uses: issue of **bonus shares**, writing off preliminary expenses, writing off share/debenture issue expenses & commission/discount, providing premium payable on redemption of preference shares/debentures, and **buy-back** under Section 68. It **cannot** be distributed as ordinary dividend.

A5. Within what period must redeemable preference shares be redeemed? Under **Section 55**, a company cannot issue **irredeemable** preference shares. Redeemable preference shares must be redeemed **within 20 years** of issue. Exception: companies engaged in **infrastructure projects** may issue preference shares redeemable beyond 20 years (up to 30 years, redeeming a minimum 10% p.a. from year 21 at holder's option, per the Rules).

A6. Out of what sources may preference shares be redeemed, and what is the CRR? Section 55 permits redemption only out of **(a) profits available for dividend**, or **(b) proceeds of a fresh issue** of shares made for redemption. Only **fully paid-up** shares may be redeemed. Where redeemed out of profits, a sum equal to the nominal amount redeemed must be transferred to the **Capital Redemption Reserve (CRR)** (**Section 69**), which is treated as paid-up capital and can be used to issue bonus shares.

A7. Does a preference shareholder have voting rights? Under **Section 47(2)**, a preference shareholder votes only on resolutions **directly affecting** the rights attached to preference shares, and on winding up/repayment/reduction of capital. However, if **dividend is in arrears for two years or more**, preference shareholders acquire voting rights on **every resolution**.

A8. What is the debenture redemption reserve, and can debentures carry voting rights? Under **Section 71**, a company **cannot** issue debentures carrying voting rights. Where required, it must create a **Debenture Redemption Reserve (DRR)** out of profits available for dividend and, per the Rules, also invest/deposit a specified amount for redemption. *Flag:* the DRR percentage requirements have been amended repeatedly by the Companies (Share Capital and Debentures) Rules; listed companies and NBFCs/HFCs are largely exempt from DRR — verify the current Rule 18 threshold before quoting a percentage in the exam.

Section B — Applied / Scenario Questions (ICAI style: Facts → Law → Analysis → Conclusion)

B1. Rights issue vs. bypassing existing shareholders. *Facts:* ABC Ltd (unlisted) wants to raise ₹50 lakh by issuing fresh equity. Two directors propose allotting all new shares to a friendly investor, ignoring existing members. *Law:* **Section 62(1)** — where a company proposes to increase subscribed capital by further shares, they must **first be offered to existing equity shareholders** in proportion to paid-up capital (**rights issue**), by notice giving **not less than 15 and not more than 30 days**, with a right of renunciation. Shares may go to outsiders only via **preferential allotment (Sec 62(1)(c)) by special resolution**, ESOP (special resolution / ordinary for private co. per exemption), or after the rights offer lapses. *Analysis:* Directly allotting to an outsider without a rights offer or the Sec 62(1)(c) special-resolution route violates pre-emption rights. *Conclusion:* The proposal is invalid unless ABC Ltd either makes a rights offer under Sec 62(1)(a), or passes a **special resolution** for preferential allotment under Sec 62(1)(c) read with Rule 13 (with a registered valuer's report).

B2. Bonus issue funded from revaluation reserve. *Facts:* XYZ Ltd wants to issue bonus shares using a surplus created by revaluing its factory building. *Law:* **Section 63** permits bonus shares only out of **free reserves, securities premium account, or capital redemption reserve**. It expressly bars capitalising **reserves created by revaluation of assets**. Conditions: authorised by articles, recommended by Board, approved in general meeting, no default on deposits/debt interest, all partly-paid shares made fully paid-up, and the bonus is not in lieu of dividend. *Analysis:* Revaluation reserve is unrealised and specifically excluded. *Conclusion:* The bonus issue from revaluation reserve is **not permissible** under Section 63(2). XYZ must use free reserves/securities premium/CRR instead.

B3. Buy-back exceeding limits. *Facts:* PQR Ltd (paid-up equity ₹10 crore, free reserves ₹6 crore) proposes to buy back shares worth ₹5 crore by a Board resolution alone. Its debt after buy-back would be ₹34 crore. *Law:* **Section 68** — buy-back must be ≤ **25% of aggregate paid-up capital + free reserves** (and in a year, ≤25% of paid-up **equity** capital). Post-buy-back **debt-equity ratio must not exceed 2:1**. A **Board resolution** authorises buy-back up to **10%** of paid-up equity + free reserves; beyond that up to **25%** needs a **special resolution**. *Analysis:* 10% of (10+6) = ₹1.6 crore is the Board-only ceiling; ₹5 crore exceeds it, so a special resolution is required. Also 25% ceiling = ₹4 crore, so ₹5 crore breaches the absolute limit. Post-buy-back equity ≈ ₹11 crore; debt ₹34 crore gives ~3:1, breaching 2:1. *Conclusion:* The buy-back is **invalid** on two counts — it exceeds the 25% limit and violates the 2:1 debt-equity ceiling under Section 68.

B4. Financial assistance for purchase of own shares. *Facts:* A public company lends money to an employee to buy shares in its holding company. *Law:* **Section 67** prohibits a public company (and its subsidiaries) from giving, directly or indirectly, **financial assistance** for purchase of its own shares or those of its holding company. Exceptions: lending by a banking company in ordinary course; a scheme for purchase of fully-paid shares held in trust for employees; and loans to employees (other than directors/KMP) to buy fully-paid shares up to their salary/wages for six months. *Analysis:* If the loan falls within the employee-scheme exception and the employee is not a director/KMP and the shares are fully paid, it is permitted; otherwise it is barred. *Conclusion:* Permissible **only** within the Section 67(3) exceptions; a general loan for this purpose is prohibited.

B5. Sweat equity and lock-in. *Facts:* A start-up wishes to issue sweat equity to its technical founder for know-how, one month after incorporation. *Law:* **Section 54** allows sweat equity to directors/employees for know-how/IP/value additions, subject to a **special resolution**, and the Rules. The company must be carrying on business — sweat equity may be issued only after the class of shares has been issued; the Rules also cap issuance and prescribe a **lock-in of 3 years**. *Analysis:* Sweat equity requires a special resolution specifying number, current market price, consideration and class; issuance is subject to Rule limits and lock-in. *Conclusion:* Permissible under Section 54 if a special resolution is passed and Rule conditions (limits, valuation, lock-in) are met.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. Explain the procedure and grounds for reduction of share capital under Section 66. Reduction of capital under **Section 66** requires: (i) authorisation by the **articles**; (ii) a **special resolution**; and (iii) confirmation by the **Tribunal (NCLT)**. Modes: (a) extinguishing/reducing liability on unpaid capital; (b) cancelling paid-up capital lost or unrepresented by assets; (c) paying off excess paid-up capital. The Tribunal gives notice to the **Central Government, ROC, SEBI (for listed cos.) and creditors**, considers representations, and may confirm on such terms as it thinks fit. No reduction is allowed if the company is in **arrears of deposits/interest**. The order and minute are registered with the ROC; the reduced capital is then recorded. Reduction is distinct from **buy-back (Sec 68)** and **diminution of unissued capital (Sec 61)**, neither of which needs NCLT confirmation.

C2. Distinguish between shares and debentures. A **share** (Sec 43/44) represents **ownership**; the holder is a **member** with voting rights (Sec 47) and receives **dividend** out of profits (payable at the company's discretion). A **debenture** (Sec 71) is an **acknowledgement of debt**; the holder is a **creditor** with **no voting rights** (Sec 71(2)), entitled to **interest** payable whether or not profits are earned, and ranking ahead of shareholders on winding up. Shares generally cannot be issued at a discount (Sec 53); debentures can. Debentures may be secured/convertible; conversion into shares requires a **special resolution**.

C3. Write a note on calls in advance and variation of shareholders' rights. Calls in advance (Section 50): A company may, if authorised by its articles, **accept from a member the whole or part of the amount remaining unpaid** even though it has not been called up. The member is **not entitled to voting rights** in respect of the money so paid until it is called up. Interest may be paid on calls in advance as per the articles. **Variation of rights (Section 48):** Where a company has different classes of shares, the rights of any class may be varied with **consent of holders of ≥ 3/4 in nominal value** of that class (in writing) **or by a special resolution** of that class. Dissenting holders of **not less than 10%** who did not consent may apply to the **Tribunal** to have the variation cancelled within 21 days; the Tribunal's decision is binding.

C4. Explain the provisions relating to issue of Debenture Trustees and the offer of debentures. Under **Section 71**, a company may issue debentures with an option to convert (conversion needs special resolution). Where debentures are offered to the **public or to more than 500 persons**, the company must appoint a **debenture trustee** before issue and execute a **debenture trust deed** to protect debenture-holders' interests; a trustee must not have conflicting interests. The company must create a **DRR** out of profits available for dividend and redeem debentures per the terms. If the company fails to redeem/ pay interest, debenture-holders/trustee may apply to the **Tribunal**, which may direct redemption with interest. *Flag:* exact DRR/investment percentages are governed by Rule 18 (amended several times) — confirm current text.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. A company issues equity shares at a discount. The issue is: A) Valid B) Voidable C) **Void** D) Valid with CG approval **Answer: C** — Section 53(1)/(2) declares any share issued at a discount void (except Sec 54 sweat equity / Sec 53(2A) conversion).

D2. Redeemable preference shares (non-infrastructure) can be redeemed after a maximum of: A) 10 years B) **20 years** C) 30 years D) No limit **Answer: B** — Section 55(2): redemption within 20 years.

D3. In a rights issue under Section 62(1)(a), the offer notice period is: A) 7–15 days B) **15–30 days** C) 21–30 days D) 30–60 days **Answer: B** — Section 62(2): not less than 15 nor more than 30 days, with right of renunciation.

D4. Bonus shares may NOT be issued out of: A) Free reserves B) Securities premium C) Capital redemption reserve D) **Revaluation reserve Answer: D** — Section 63(2) bars capitalising revaluation reserves.

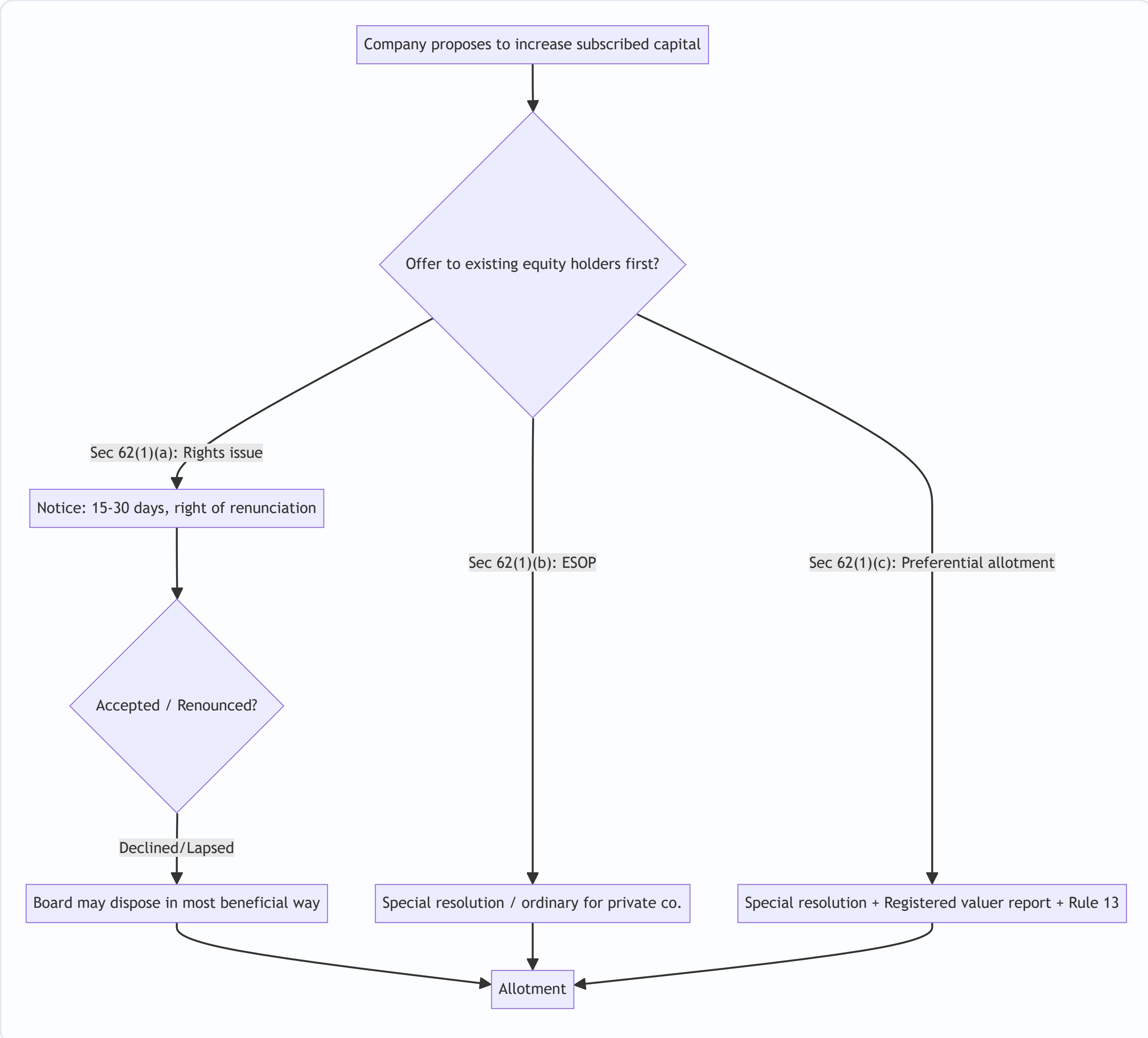
D5. Preference shareholders get voting rights on every resolution when dividend is in arrears for: A) 1 year B) **2 years or more** C) 3 years D) 5 years **Answer: B** — Section 47(2) proviso.

D6. Buy-back authorised by only a Board resolution is limited to: A) 5% B) **10%** C) 15% D) 25% of paid-up equity + free reserves **Answer: B** — Section 68(2)(b) proviso; beyond 10% up to 25% needs special resolution.

D7. *Case scenario:* Sunrise Ltd's articles are silent on reduction of capital, yet the Board passes a special resolution and reduces capital without approaching NCLT. This is: A) Valid B) **Invalid — needs articles authorisation + NCLT confirmation** C) Valid if ROC informed D) Valid if creditors consent **Answer: B** — Section 66 requires authorisation by articles, special resolution, and Tribunal confirmation.

D8. The Capital Redemption Reserve created under Section 69 may be used for: A) Paying dividend B) **Issuing fully paid bonus shares** C) Writing off revaluation loss D) Redeeming debentures **Answer: B** — CRR is treated as paid-up capital and may be applied for bonus shares.

Mermaid — Decision Flow: Further Issue of Share Capital (Section 62)



One-Line Section Map (quick revision)

Sec 43 kinds of capital · 44 shares = movable property · 46 certificate · 47 voting rights · 48 variation of rights · 50 calls in advance · 52 securities premium · 53 no discount · 54 sweat equity · 55 redeemable preference (20 yrs) · 62 further issue · 63 bonus · 66 reduction (NCLT) · 67 financial assistance bar · 68 buy-back (25% / 2:1 / 10% board) · 69 CRR · 71 debentures (no voting, DRR, trustee >500). Rules: Companies (Share Capital and Debentures) Rules, 2014.

Uncertainty flags: DRR percentages under Rule 18 and infrastructure preference-share redemption schedule are amendment-sensitive — verify against the latest Rules before the exam.

Chapter 05 — Acceptance of Deposits

> Companies Act 2013 — Sections 73 to 76A, read with the Companies (Acceptance of Deposits) Rules, 2014. Cross-references to Sections 2(31), 2(85), 179, 42, 62 and the CSR/Audit chapters.

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1. The Problem — How Depositors Got Burned

Imagine you run a company. You need money. You have three honest options: sell shares (dilute ownership), borrow from a bank (face collateral checks and interest), or issue debentures (formal, rated, secured). All three have a gatekeeper who asks hard questions.

Now imagine a fourth option that has **no gatekeeper**: put out a newspaper advertisement — "*Invest with us! 15% interest, far above the bank's 7%!*" — and collect money directly from thousands of ordinary members of the public. No collateral. No credit check on you. No trustee watching. Just cash flowing in from schoolteachers, retirees, and small shopkeepers who saw a fat interest rate and believed a glossy promise.

This is a **deposit**: money a company borrows from the public (or its members) *without* the discipline that shares, bank loans, and secured debentures impose.

Here is exactly how this cheated people, historically and repeatedly:

- **The Ponzi trap.** A company with a weak business could offer 15% not because it earned 15%, but because it paid old depositors with new depositors' money. The moment fresh deposits slowed, the pyramid collapsed and the last lakh of depositors lost everything. India saw this again and again with "finance companies" and chit-fund-style operators.
- **The unsecured gap.** A bank lends against collateral; if the borrower defaults, the bank seizes assets. A public depositor gets *nothing* — no charge on assets, no priority in liquidation. They stood behind secured creditors and got the crumbs.
- **The information asymmetry.** The company knew it was insolvent; the depositor, dazzled by the rate, knew nothing. There was no rating, no disclosure, no independent watchdog.
- **The diversion.** Money raised "for the business" was quietly siphoned to promoters' pet projects or personal accounts, leaving nothing to repay.
- **The runaway maturity mismatch.** Companies took *short-term* deposits (repayable in months) and sank them into *long-term* illiquid assets. When deposits matured, there was no cash to repay — a liquidity death spiral.

The abuse is simple to state: **a company can collect the public's savings with a promise, spend or lose the money, and leave the saver with a worthless IOU.** Deposit regulation exists to make that abuse hard, expensive, and — where it still happens — punishable and reversible.

Why "deposit" and not just "loan"? A crucial first-principles point students miss: economically a deposit *is* a loan to the company. The law does not regulate it because of what it is called but because of *who* the lender is and *how helpless* they are. A bank lending to a company can protect itself; a retired schoolteacher handing over her savings cannot. The entire chapter is therefore an exercise in **protecting the weak lender**, and every rule you learn is calibrated to how weak (uninformed, unsecured, diffuse) that lender is. Hold that lens and the numbers stop being arbitrary.

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2. The Core Idea — Trust, But Ring-Fence

The protective principle is this:

> **If a company wants to hold the public's money, it must first prove it is safe to hold it, then keep provable safety nets in place, then honour repayment on the dot — and if it defaults, the law claws the money back and punishes the people responsible.**

Deposit law is not a ban. It is a **graduated permission system**. The riskier the source of money (strangers vs. your own members vs. related parties), the more safeguards the law bolts on. And critically, the safeguards are **provable and independent** — a Deposit Repayment Reserve you must actually fund, insurance you must actually buy, a rating an outside agency must actually give, a return you must actually file. The company cannot merely *say* it is safe; it must *demonstrate* safety through instruments other people control.

Three ideas run through the whole chapter:

1. **Members are trusted more than strangers.** Your own shareholders chose to be part of the company and have some voice; the anonymous public has neither. So most private companies can take deposits from members with light conditions, but only strong public companies ("eligible companies") may touch the general public — and even then, heavily fenced.
2. **Every promise must have a matching provision.** Promise to repay in 3 years? Then set aside cash now (the reserve). Say the money is safe? Then insure it. Say you're creditworthy? Then get rated by someone independent.
3. **Default is not just a private breach — it is a public wrong.** Because the victims are diffuse and helpless, the State steps in: the Tribunal can order repayment, and directors face fines and jail.

The "who is the lender" ladder — the single most useful mental model. Rank every source of money on one axis of vulnerability, and the whole regulatory intensity falls out automatically:

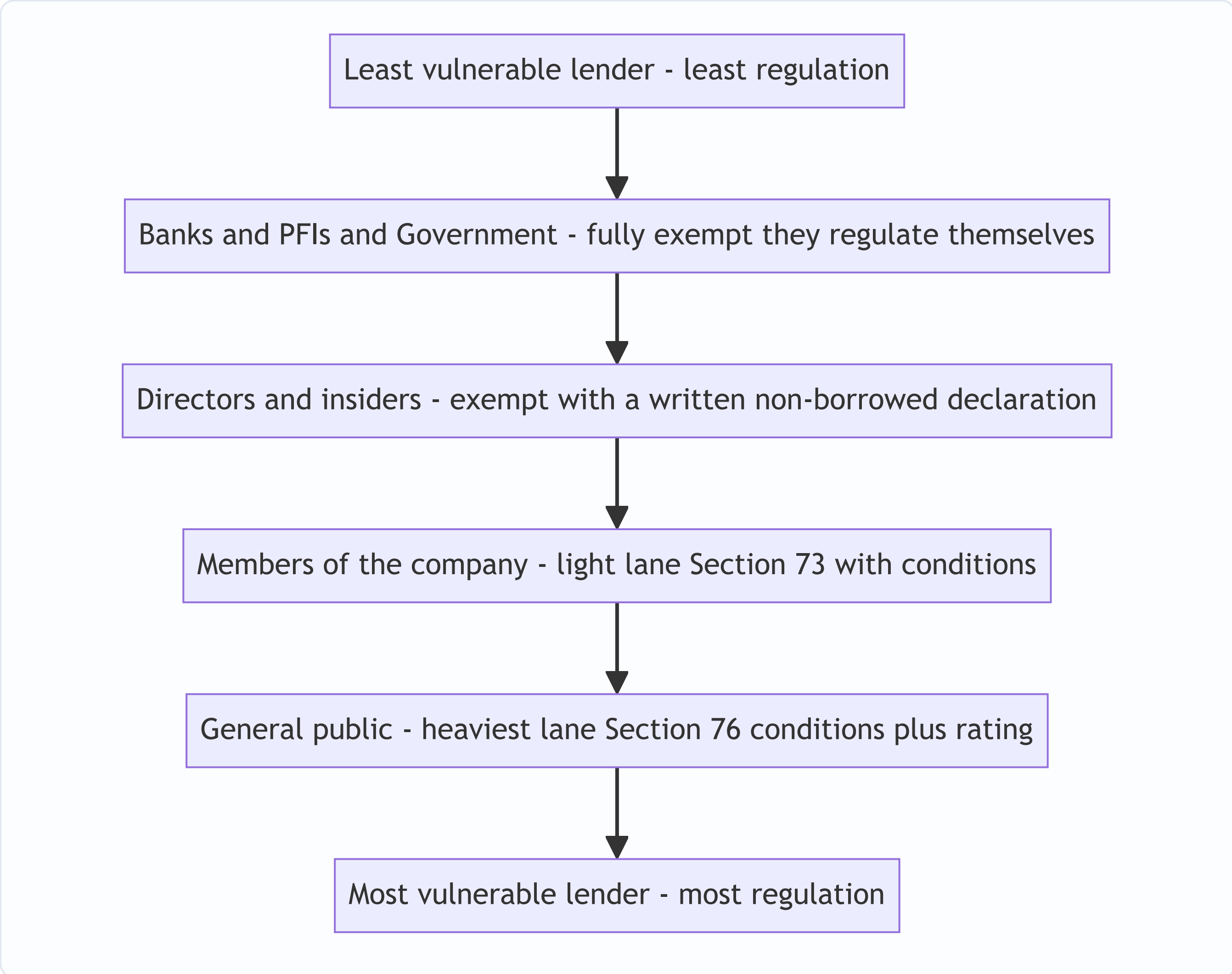

Figure 2 — The vulnerability ladder: the more helpless the lender, the more fences the law bolts on.

Every threshold, every extra form, every additional resolution in this chapter is just a rung on this ladder. When an exam fact pattern names a source of money, place it on this ladder first; the applicable rules follow.

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3. Why It's Built This Way — The Logic of Each Safeguard

Before the technical grind, internalise *why* each fence exists. If you understand the fear each rule answers, you will never confuse the rules.

The fear (abuse)	The safeguard that answers it	Section / Rule
Company spends the money and has nothing at maturity	**Deposit Repayment Reserve Account** — park liquid funds equal to a slice of maturing deposits	73(2)(c)
Depositor loses everything on default	**Deposit insurance** (where notified) — an insurer pays out	73(2)(d)
A weak company disguises itself as strong	**Credit rating** by an approved agency, renewed yearly	76 + Rules
Depositor invests blind, no disclosures	**Circular / advertisement** with financials, credit rating, defaults history	73(2)(a), Rules
Company welshes on old promises then raises more	Must **certify no subsisting default** before accepting fresh deposits	73(2)(e)
Money vanishes to promoters	**Charge / trustee** for secured deposits; audited use of funds	Rules
Public has no recourse when default happens	**Tribunal power to order repayment; penalties; officer liability**	73(4), 74, 75, 76A
Companies dodge the rules by calling it something else	Broad **definition of "deposit"** with a closed list of exemptions	2(31), Rule 2(1)(c)

Notice the architecture: **define widely, exempt narrowly, then fence what remains.** That is the entire chapter in one line.

A deeper "why" on the three-part architecture. Each of the three moves defends against a different kind of cheating:

- **Define widely (2(31))** defeats the *relabelling* cheat — calling a deposit an "advance", "loan", or "subscription".
- **Exempt narrowly (Rule 2(1)(c))** avoids over-regulation: money whose source can protect itself (banks, government, sophisticated companies) does not need the shield, so forcing deposit compliance there would only raise the cost of honest capital without protecting anyone. The exemptions are therefore not loopholes — they are *precision*, letting the law aim only at vulnerable savers.
- **Fence what remains (73–76A)** applies graduated protection to exactly the money that is left: the genuinely vulnerable saver's rupee.

Understanding that the exemptions exist to *avoid pointless regulation*, not to help companies escape, is what lets you reason about a novel fact pattern instead of memorising a list.

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4. Full Technical Content — Section by Section, Each With Its Why

4.1 What is a "deposit"? — Section 2(31) + Rule 2(1)(c)

Section 2(31) gives the deliberately broad definition:

> "Deposit" **includes any receipt of money by way of deposit or loan or in any other form**, by a company, but does **not** include such categories as may be prescribed in consultation with the RBI.

Why so broad? Because the cheat was always to *rename* the money — "it's not a deposit, it's an advance / a loan / a subscription / a security". By saying deposit means money received "in any other form", the law defeats the disguise. Substance over label.

The actual carve-outs live in **Rule 2(1)(c) of the Companies (Acceptance of Deposits) Rules, 2014**, which lists **exempted receipts** — money that is *not* treated as a deposit. Learn these as a family, because "is X a deposit?" is the single most common exam question.

Exempted receipts (NOT deposits) — the logic: each item is money whose *source already has its own protection*, so deposit rules would be redundant.

Exempted receipt (not a deposit)	Why it's exempt
Money from **Central/State Government**, or guaranteed by them; money from foreign govts/banks/multilateral bodies	The State/multilateral is not a vulnerable public saver
Loans from banks / banking companies / co-op banks	Banks are their own regulated gatekeepers
Loans from Public Financial Institutions, insurance companies, scheduled banks	Sophisticated regulated lenders
Commercial paper or other instruments per RBI guidelines	Already RBI-regulated
Inter-corporate: **amount received from another company**	Company-to-company; the lender is not a helpless individual
Subscription money for securities (share application money) pending allotment — *provided securities are allotted within 60 days*; if not allotted and not refunded within 15 days thereafter, it **becomes a deposit**	Genuine capital-raising, but with an anti-parking clock (see trap below)
Money from a **director** — if the director gives a **written declaration that it is not from borrowed funds**	A director has skin in the game and internal knowledge
Money from a **member of a private company** / relative of director (with same non-borrowed declaration for relatives per amendments)	Insiders, not the anonymous public
Secured / listed non-convertible debentures with a charge or a trustee	Debenture regime already protects them
Non-interest-bearing security deposit / advance for supply of goods or provision of services — *if appropriated within 365 days*; if the company has no legal right to receive it or fails to supply, it **becomes a deposit**	Genuine trade advance, with an anti-parking clock
Advance against immovable property under an agreement, to be adjusted against the property	Genuine business transaction
Employee security deposit not exceeding the employee's annual salary, under a non-interest-bearing contract	Genuine employment arrangement
Promoters' unsecured loans brought in pursuant to a **stipulation by a lending bank/FI** (mandatory promoter contribution)	Forced by the lender; exists only while the bank loan subsists
Startup money: up to Rs. 25 lakh or more by a convertible note in a single tranche (recognised startups)	Encourage genuine early-stage funding

> **Memory hook for the clocks:** *Shares 60/15, Trade advance 365.* Share application money must be allotted in **60** days, refunded in **15** after that, else it's a deposit. A trade/service advance must be adjusted in **365** days, else it's a deposit. Money parked "temporarily" past the clock is the classic disguised deposit.

Finer distinctions the exam probes inside the exemption list:

- **The promoters' loan exemption is *conditional and temporary*.** It is exempt **only** while (i) the loan is brought in *because a bank/FI stipulated* promoter contribution as a loan condition, and (ii) that bank/FI loan is *still outstanding*. The moment the underlying institutional loan is repaid, the exemption evaporates and the promoter's money must either be repaid or reclassified. Examiners test the case where the bank loan is closed but the promoter's money stays in — it is now a deposit.

- **Employee security deposit — the salary cap is a ceiling, not a target.** If the deposit *exceeds* the employee's annual salary, the **excess** is a deposit (not the whole amount, in the typical reading — but confirm treatment in current ICAI material). It must also be **non-interest-bearing**; add interest and the exemption is lost.
- **"Amount received from another company" — a company, not a firm.** Money from a partnership firm or an LLP is **not** covered by the inter-corporate exemption; only receipts from a *company* qualify. This is a favourite trap: an LLP is not a company.
- **Advance for immovable property must actually be adjusted against that property.** If the deal falls through and the advance is not adjusted or refunded within the stipulated period, it converts to a deposit. The exemption protects a *genuine* transaction, not a parking device.
- **Convertible note (startup) — the instrument matters.** The Rs. 25 lakh convertible-note exemption applies to a **DPIIT-recognised startup** and requires the note to convert into equity or be repaid within the prescribed period (typically within a fixed number of years). A plain interest-bearing loan of Rs. 25 lakh to a non-startup is *not* covered.

Two "in-between" categories students forget exist: - **Amounts non-interest-bearing and kept in trust** and certain **advances received in the course of, or for the purposes of, the business** (e.g., advance for long-term supply/service contracts spanning more than 365 days where accepted as an advance under a contract) can have their own carve-outs — but each rides on a genuine-business condition. Do not over-generalise; *confirm the precise wording in the current Rule*.

Confirm exact list against the current Rule 2(1)(c) in ICAI material / the bare Rules — the list has been amended several times and ICAI tests the precise wording.

Decision flow for "Is this receipt a deposit?" — apply in this order:

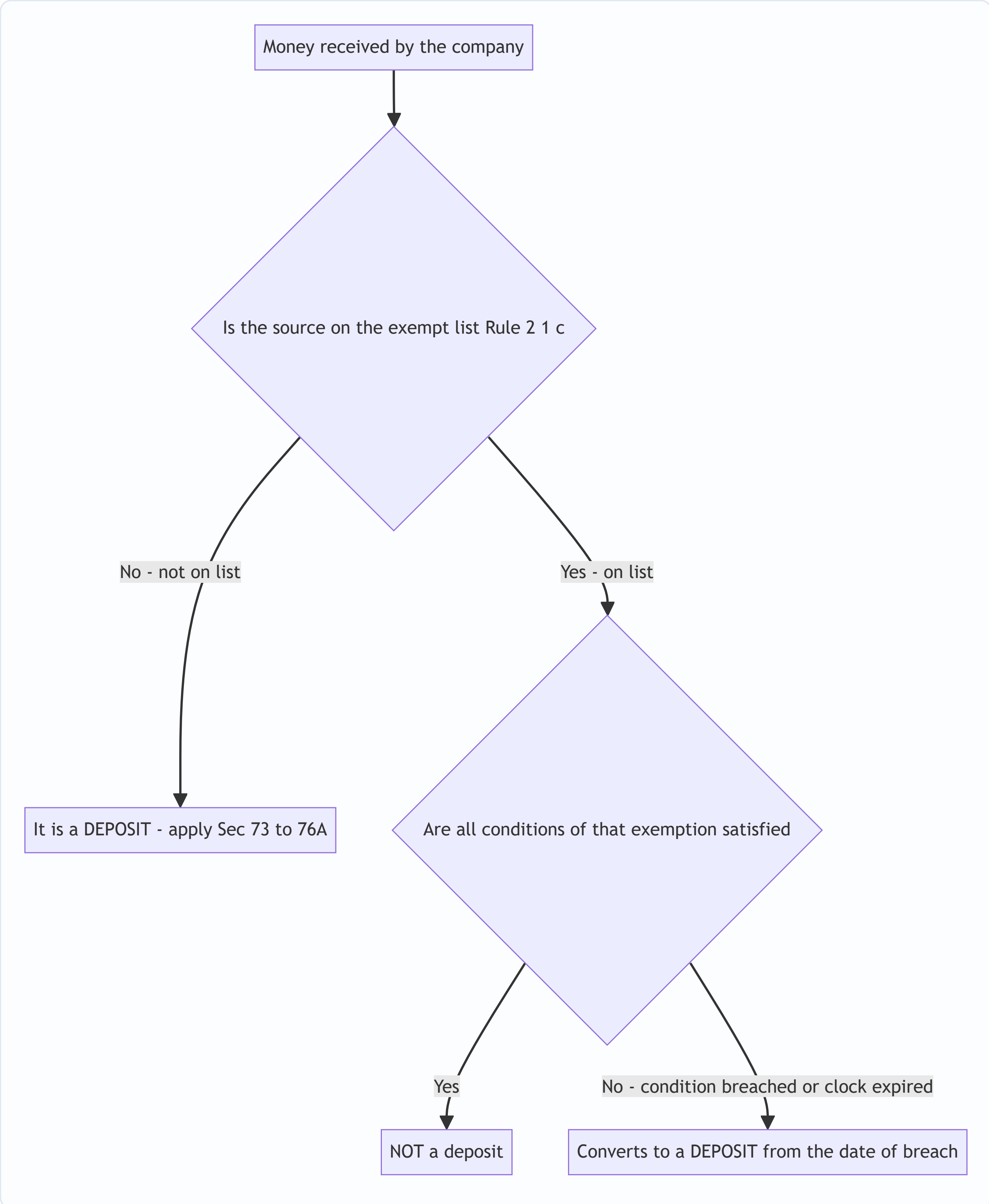

Figure 4.1 — Exemptions are conditional; a breached condition or an expired clock flips a non-deposit into a deposit.

4.2 The three-lane structure: who may take deposits, and from whom

This is the spine of the chapter. There are **three lanes**:

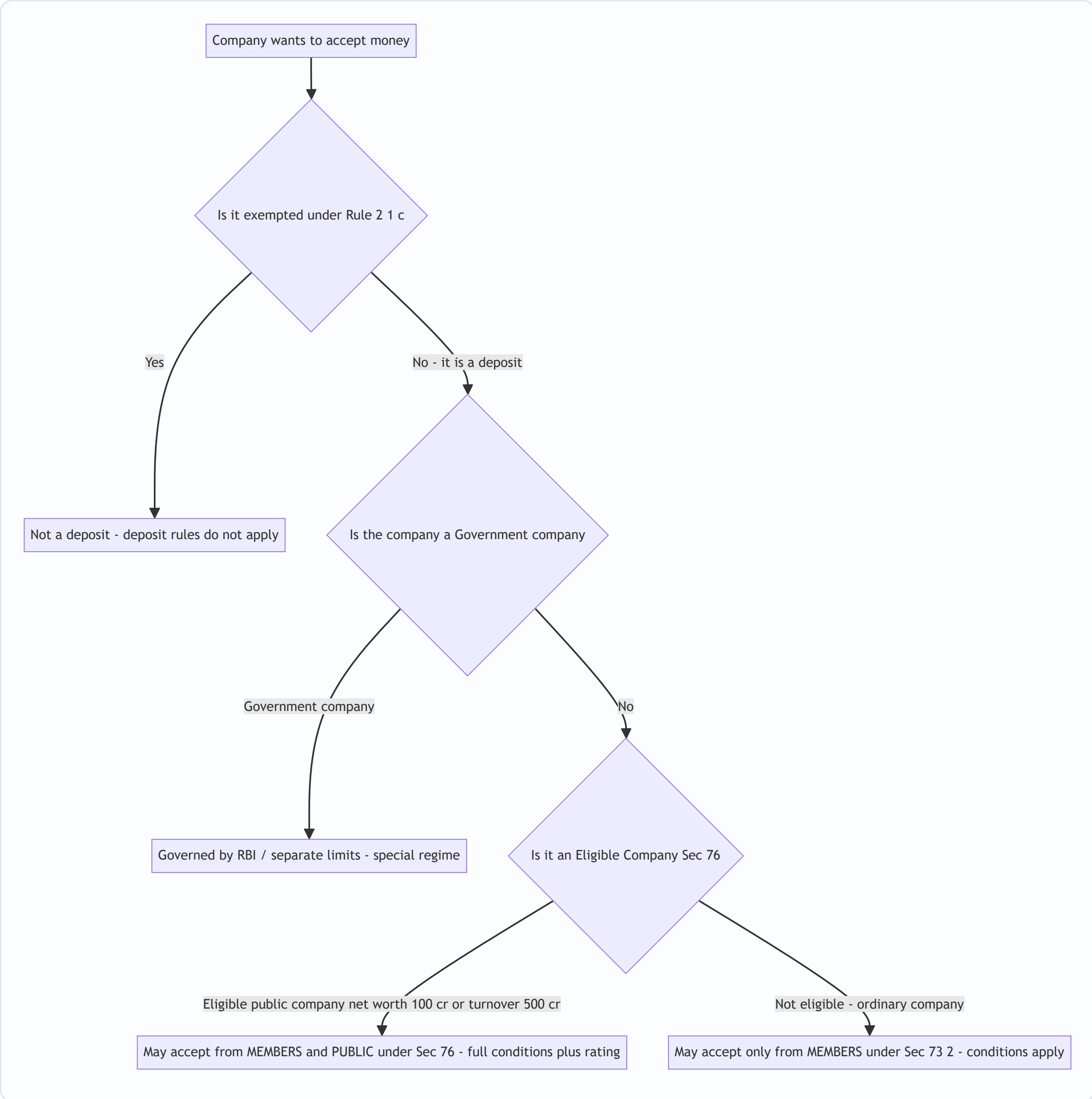

Figure 4.2 — The deposit-eligibility decision tree: exempt first, then classify the company, then the source.

Section 73 — the general rule and the default lane (deposits from members).

- **Section 73(1):** A company **cannot invite, accept or renew deposits from the public** except as provided in this Chapter. This is the baseline prohibition — the public is off-limits unless you earn the right.
- **Section 73(2):** A company may, after passing a **resolution in general meeting** and subject to the Rules, accept deposits **from its members** on the conditions listed below. This lane is open to companies generally (both private and public that are not "eligible companies"), because members are trusted more than strangers.

Section 76 — the special lane (eligible companies → public).

- Only an **"eligible company"** may accept deposits from the **general public**. An eligible company is a **public company** having:
- **net worth of not less than Rs. 100 crore**, *or*

- **turnover of not less than Rs. 500 crore**,
- *and* which has passed a **special resolution** in general meeting and filed it with the Registrar (a special resolution because inviting the public is a graver act than inviting members).
- Section 76 applies **all the Section 73(2) conditions** to eligible companies, **plus** mandatory **credit rating** and (for the invitation) more stringent limits.

> **Memory hook:** "*100 or 500 lets you touch the public.*" Net worth **100** crore **OR** turnover **500** crore = eligible. Below that, members-only.

A subtle point on the special resolution vs. ordinary resolution. Section 76's own eligibility needs a **special resolution** to *invite the public*. But an eligible company can *also* accept from its **members**, and for that a special resolution is not strictly required — however, in practice ICAI treats the eligible company's public-invitation act as needing a special resolution filed with ROC. Note also the relief: a company that accepts deposits **only from members** and **within the 35% limit** may do so on an **ordinary resolution** and need not treat it as a public invitation. Where the amount from members exceeds the prescribed limit or the company is eligible and going to the public, the higher bar applies. *Verify the precise resolution requirement against current ICAI material — this detail is frequently updated.*

Private companies — a lighter members' lane. A private company may accept deposits from its members. The general ceiling is that members' deposits plus paid-up-capital-linked limits apply, but **certain private companies** (e.g., those meeting conditions on borrowings, no default, being a startup for its first 5 years, or a "specified IFSC" / small company category per the Rules) may accept from members **up to 100% of paid-up capital + free reserves + securities premium** and with relaxed compliance — *confirm the exact eligibility conditions and the exemption notification in ICAI material.*

Which private companies get the 100% relaxation? Under the MCA exemption notification, a private company may accept from members up to **100%** of (paid-up capital + free reserves + securities premium) and skip several 73(2) conditions (circular, DPT-1 filing, DRRA, insurance) if it satisfies *any one* of these categories: 1. It accepts money from members **not exceeding 100%** of the aggregate above; **or** 2. It is a **startup**, for **5 years** from incorporation; **or** 3. It fulfils **all** of: (a) is **not** an associate or subsidiary of any other company, (b) its **borrowings** from banks/FIs/body corporate are **less than twice its paid-up capital or Rs. 50 crore, whichever is lower**, and (c) it has **not defaulted** in repaying such borrowings at the time of accepting deposits.

Even these relaxed companies must still **file the DPT-3 return** and disclose in the Board's report. The relaxation removes the heavy safety nets, not the reporting. *Confirm categories and figures against the current notification — the borrowings test in particular is examined precisely.*

4.3 The limits (thresholds) — Rules under Sections 73 & 76

The Rules cap **how much** can be taken, tying the cap to the company's own financial strength (paid-up capital + free reserves + securities premium account). The logic: *you may borrow from savers only in proportion to your own buffer to absorb losses.*

Lane	Ceiling on deposits (of paid-up capital + free reserves + securities premium)
Ordinary / non-eligible company — from members [Rule 3(3)]	Up to **35%**
Eligible company — from members [Rule 3(4)]	Up to **10%**
Eligible company — from public [Rule 3(4)]	Up to **25%**
Eligible Government company — from public	Up to **35%**
Exempt private companies (qualifying)	Up to **100%** of paid-up capital + free reserves + securities premium (members only)

> **Memory hook:** *Eligible company splits its 35 into 10 + 25.* The **10%** slice is reserved for its own **members**, the **25%** slice for the **public** — total 35%, mirroring the ordinary company's single 35% members' bucket. Government companies get the full **35%** even from the public because there is implicit sovereign backing.

Reading the limits correctly — three precision points examiners exploit: 1. **The base is one combined figure:** paid-up **share capital + free reserves + securities premium account**. Not just paid-up capital. Omitting securities premium or free reserves understates the ceiling and yields a wrong answer. 2. **The percentages are *ceilings on the aggregate outstanding*, not per-transaction limits.** You test the *total* deposits outstanding (existing + proposed) against the cap, not each fresh deposit alone. 3. **The eligible company's 10% and 25% are *separate* buckets.** Overshooting the members' 10% is a contravention even if total deposits are within 35%; you cannot borrow the unused public 25% headroom to hold more members' money. Each lane is independently capped.

Tenure: A company can accept a deposit for a term of **6 months minimum to 36 months maximum**. *Why the floor and ceiling?* The **6-month floor** stops companies from running quasi-current-account demand deposits (that's banking, which needs an RBI licence). The **36-month ceiling** stops indefinite locking-in of savers' money. (A short-term deposit down to **3 months** is permitted only to meet short-term needs and capped at **10% of paid-up capital + free reserves** — the narrow exception, not the rule.)

Interest / brokerage: Cannot exceed the maximum rate prescribed by the **RBI** for NBFC deposits. *Why?* The above-market rate was the Ponzi bait; capping it removes the incentive to lure savers into reckless companies. **Brokerage** is also capped and may be paid only to persons **authorised in writing** to solicit deposits; paying commission to an unauthorised agent, or above the ceiling, is a contravention. A neat exam distinction: **interest** rewards the depositor for the money; **brokerage** rewards the solicitor for bringing the money — both are capped so the cost of chasing deposits cannot spiral into Ponzi territory.

Premature repayment rule (the "reduce by 1%" idea). Where a company permits a depositor to withdraw *before* maturity, the interest payable is reduced — the rate is stepped down to the rate applicable to the period the deposit actually ran, and typically further reduced by **1%** (as a penalty for early exit). *Why:* it discourages runs and reflects that the depositor did not honour the agreed tenure. There are narrow exceptions (e.g., early repayment for the company's own restructuring, or death of the depositor, where no penalty stepping applies). *Confirm the exact percentage and exceptions in current ICAI material.*

4.4 The conditions (the safety nets) — Section 73(2)(a)–(e) and Section 76

Every company accepting deposits must satisfy **all** of these. Learn them as **five promises, each with its provable proof**:

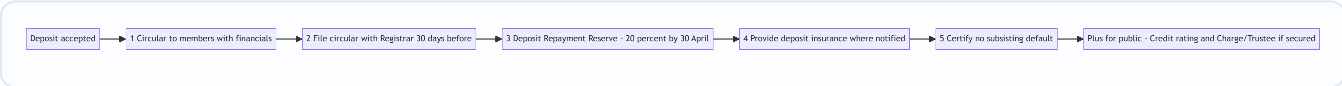

Figure 4.4 — The chain of conditions: disclose, file, reserve, insure, certify — then repay.

(a) Section 73(2)(a) — Circular to members. Issue a **circular** (for public offers, an **advertisement** in newspapers) showing the company's **financial position, credit rating (if any), total deposits, and the amount due on account of deposits accepted earlier**. *Why:* directly attacks the **information-asymmetry** abuse. The saver now sees the company's real health and its track record of past deposits before parting with money.

(b) Section 73(2)(b) — File the circular with the Registrar. File a copy of the circular **at least 30 days before** issuing it. *Why:* creates an **independent, dated public record**, so the company cannot later deny what it promised, and the regulator can spot dodgy offers early.

(c) Section 73(2)(c) — Deposit Repayment Reserve Account (DRRA). On or **before 30th April** each year, deposit into a **separate bank account** (scheduled bank) a sum **not less than 20%** of the deposits **maturing during the following financial year**, and keep it **only** for repaying those deposits. *Why:* this is the heart of depositor protection — it directly attacks the **"spent it all, nothing at maturity"** abuse. Real cash, ring-fenced, cannot be touched for anything except repayment. *(Note: originally 15%; increased to 20% by amendment. Confirm the current figure and date in ICAI material.)*

> **Memory hook:** *"20 by April, for next year's maturity."* Twenty percent, deposited by the thirtieth of April, covering deposits maturing in the coming financial year.

(d) Section 73(2)(d) — Deposit insurance. Provide **deposit insurance** in the manner and to the extent prescribed. *Why:* the last line of defence — if the company still fails, the insurer pays the saver. *(In practice this requirement has repeatedly been deferred/relaxed because no viable insurance product emerged. Know the section, and flag that its operation has been postponed — confirm current status in ICAI material.)*

(e) Section 73(2)(e) — Certify no subsisting default. Certify that the company **has not defaulted** in the repayment of deposits (or interest) accepted earlier — and if there was a default, that **5 years have elapsed** since it was made good. *Why:* stops the **serial defaulter** from raising fresh money to plug old holes. A company that already broke a promise must clean its slate before making new ones.

Additional condition — security. Deposits may be **secured or unsecured**. If secured, the company must create a **charge on its assets** within the prescribed time and appoint a **trustee for depositors** (execute a deposit trust deed at least 7 days before issuing the circular). Unsecured deposits must be **clearly stated as unsecured** in every document. **Security cap:** the amount of security (charge) must be **at least equal to the amount of deposits (and interest) that remain unsecured**, and the charge is to be created on the company's **tangible assets** — the security cannot exceed the market value of those assets as assessed by a registered valuer. A **partly secured** deposit must disclose the extent to which it is unsecured. *Why:* attacks the **"no recourse on default"** and **information-asymmetry** abuses simultaneously — a trustee independently watches over the depositors' interest, and savers know exactly whether they have security.

Who cannot be a deposit trustee. To keep the watchdog independent, a person cannot act as deposit trustee if he is a **director, KMP, or any other officer or employee of the company**, is **indebted to** the company, has any **material pecuniary relationship**, has entered into a guarantee arrangement for the deposits, or is **related** to anyone in those categories. A trustee can be removed only by an ordinary resolution **after** giving the existing trustee a reasonable opportunity of being heard. *Why:* a captured trustee protects the company, not the depositors — independence is the whole point.

For eligible companies (Section 76) — extra condition: Credit rating. Obtain **credit rating every year** from a recognised credit rating agency, disclose it in the circular/advertisement, and ensure the rating is **not below the minimum prescribed**. *Why:* the public cannot assess a company itself, so an **independent professional gatekeeper** grades it, yearly, so a deteriorating company is caught before it collects more money.

Validity window of the circular / advertisement. A circular or advertisement is valid **until the expiry of 6 months from the close of the financial year in which it was issued, or until the date of the AGM (whichever is earlier)**. After that a fresh circular is needed. *Why:* the disclosed financials go stale; a saver in month 11 should not be relying on year-old numbers. Examiners test the company that keeps collecting on an expired circular — a contravention.

4.5 Repayment, deposit trustee, register, and returns

- **Register of deposits:** The company must maintain, at its registered office, a **register of deposits** with all particulars, preserved for **8 years** from the financial year in which the latest entry is made. *Why:* an auditable trail so no deposit can be "forgotten" or hidden.
- **Return of deposits — Form DPT-3:** File a **return of deposits** with the Registrar **on or before 30th June** every year, giving the position as on **31st March**, duly audited. DPT-3 also captures **money received that is not a deposit** (exempted receipts / outstanding loans) — the MCA uses it to keep sight of *all* borrowings. *Why:* annual, audited, independent reporting — the regulator sees the true deposit exposure and can act before a collapse.
- **Circular filing — Form DPT-1** (circular/advertisement); **Deposit trust deed — Form DPT-2.**
- **Nomination:** every depositor may nominate a person to whom the deposit devolves on death (parallel to the shareholder nomination machinery) — a small but tested consumer-protection detail.
- **Auditor / director signing:** the circular and the return carry statements *verified/certified* by the company and, where required, the auditor — reinforcing that the disclosures are not mere marketing.

4.6 Consequences of default — Sections 73(4), 74, 75, 76A

This is where the law bares its teeth. Because the victims are the diffuse public, the sanctions are unusually harsh.

Section 73(4) — depositor's direct remedy. If the company **fails to repay** the deposit or interest on the due date, the **depositor may apply to the Tribunal (NCLT)** for an order directing repayment. *Why:* gives the helpless saver a fast, direct route to a court order without suing for breach of contract from scratch.

Section 74 — repayment of deposits accepted *before* the 2013 Act. Deposits that existed under the *old* Companies Act 1956 regime had to be dealt with: file a **statement** of such deposits with the Registrar and **repay** them within the time the Tribunal allows (as amended, broadly within the remaining tenure or as extended). The Tribunal can grant time to a company that will suffer if forced to pay immediately, balancing depositor protection against company survival. *Why:* a transition bridge so the new law's protections reach *old* depositors too, without instantly bankrupting companies mid-tenure.

Section 75 — damages for fraud. Where a company **fails to repay** and it is proved the deposits were accepted with **intent to defraud** or for a fraudulent purpose, **every officer responsible** becomes **personally liable, without limitation of liability**, for all losses or damages suffered by the depositors — *in addition* to the Section 447 (fraud) punishment. *Why:* pierces the corporate veil for the worst abuse. When the money was taken by deceit, the individuals — not just the shell company — pay the depositors from their own pockets. This is the anti-Ponzi hammer.

A litigation detail on Section 75 — the class action. The suit for damages under Section 75 may be brought by **any depositor** on behalf of, and for the benefit of, **all depositors** affected (a representative/class remedy). *Why:* individual savers each lost too little to sue alone but collectively lost a fortune; the class device makes the remedy economically viable.

Section 76A — punishment for contravention (the omnibus penalty). If a company accepts or invites deposits in contravention, or fails to repay within the allowed time:

- The **company** shall pay a **fine of not less than Rs. 1 crore or twice the amount of deposits accepted, whichever is lower, up to Rs. 10 crore**; **plus** the amount due to depositors **with interest**; **and**
- **every officer in default** is punishable with **imprisonment up to 7 years and with fine of not less than Rs. 25 lakh up to Rs. 2 crore** (post the 2017 amendment this is **both** imprisonment *and* fine — not "either/or").
- If it is proved the officer acted with **intent to deceive** the company, shareholders, depositors or creditors, the officer also attracts **Section 447** (fraud).

> **Memory hook for 76A:** "*1 to 10 for the company, 25 lakh to 2 crore + up to 7 years for the officer.*" The company's floor fine is the **larger** of a real deterrent; the officer faces **jail**, because deposit fraud steals from the most vulnerable.

Reading the company's fine correctly (the double "whichever" trap). The floor of the company fine is *itself* a "whichever is **lower**" between **Rs. 1 crore** and **twice the deposit amount** — then subject to a maximum of **Rs. 10 crore**. So for a *small* contravention (say deposits of Rs. 30 lakh), twice the deposits is Rs. 60 lakh, which is lower than Rs. 1 crore, so the minimum fine is **Rs. 60 lakh**, not Rs. 1 crore. Students wrongly apply a flat "minimum Rs. 1 crore". The "twice the amount" limb exists precisely so a tiny company is not crushed by a Rs. 1 crore floor. **And separately** the depositors must still be repaid principal **plus interest** — the fine is punitive, the repayment is restitutionary; they are additive, not alternatives.

Why so severe? Ordinary contract breach hurts one counterparty who chose the deal; deposit default hurts thousands of unsophisticated savers who trusted a public promise. The penalty scales with the social harm.

Compounding note. Because Section 76A carries imprisonment as a possible punishment for the officer, certain contraventions may not be freely compoundable in the way purely fine-only defaults are. *Confirm compounding treatment in current ICAI material* — it is an occasional twist in problem questions.

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5. Applied Scenarios — Reasoning to the Right Legal Outcome

Scenario 1 — The "advance" that overstayed. *Facts:* Zenith Pvt Ltd receives Rs. 40 lakh from a customer in April 2025 as an advance against future supply of machinery. By April 2026 (13 months later) no machinery has been supplied and the advance is still sitting in Zenith's account, earning the customer nothing. *Reasoning:* An advance for supply of goods is an **exempted receipt (not a deposit)** — but **only if appropriated within 365 days**. Once the 365-day clock runs out without supply, and the company has no legal right to retain it, the receipt **converts into a deposit** by operation of Rule 2(1)(c). *Outcome:* From the moment the 365 days lapse, the Rs. 40 lakh is a **deposit**. Zenith (a private company) can only hold deposits from members; a **customer is not a member**, and Zenith has not complied with Section 73(2). It is now in **contravention** — exposed to Section 76A, and the customer can approach NCLT under 73(4). Lesson: exemptions are conditional; the clock matters.

Scenario 2 — Members-only company eyes the public. *Facts:* Apex Ltd, an unlisted public company with net worth Rs. 60 crore and turnover Rs. 200 crore, wants to raise Rs. 20 crore by advertising deposits to the general public at attractive rates. *Reasoning:* Only an **eligible company** may take deposits from the public — net worth **≥ 100 crore OR turnover ≥ 500 crore**. Apex has **neither** (60 < 100; 200 < 500). Therefore Apex is **not eligible** and is barred by Section 73(1) from inviting the public. *Outcome:* Apex may accept deposits **only from its members** under Section 73(2), subject to the **35%** ceiling and all five conditions (circular, DPT-1 filing, DRRA, insurance where notified, no-default certificate). Advertising to the public would breach Section 73(1) and trigger Section 76A. Lesson: the 100/500 test is a hard gate to the public lane.

Scenario 3 — The reserve that wasn't funded. *Facts:* Corley Ltd (eligible company) has Rs. 50 crore of public deposits maturing in FY 2026-27. By 30 April 2026 it has set aside only Rs. 4 crore in the Deposit Repayment Reserve Account, and it used part of even that to pay a supplier. *Reasoning:* Section 73(2)(c) requires depositing **at least 20%** of deposits maturing next year into a **separate account by 30 April**, usable **only** for repaying those deposits. 20% of Rs. 50 crore = **Rs. 10 crore** required; Corley has Rs. 4 crore, and worse, **diverted** part of the reserve. Both the shortfall and the diversion are contraventions. *Outcome:* Corley is in **default of a core condition**. The company faces Section 76A penalty; officers who authorised the diversion face fine and possible imprisonment, and if intent to deceive is shown, Section 447. Depositors maturing in FY 2026-27 are precisely the people the reserve was meant to protect. Lesson: the DRRA is real cash, ring-fenced — touching it is not a technical slip, it is the exact abuse the section exists to stop.

Scenario 4 — Director's loan vs. relative's loan. *Facts:* Nova Pvt Ltd receives Rs. 15 lakh from Director A (who declares in writing the money is his own, not borrowed) and Rs. 10 lakh from A's brother. *Reasoning:* Money from a **director** with a **written non-borrowed declaration** is an **exempted receipt** — not a deposit. Money from a **relative of a director** in a **private company** is also exempt, but the amendments require a similar **written declaration** that it is not from borrowed funds, and it must be disclosed in the Board's report. *Outcome:* Director A's Rs. 15 lakh is safely **not a deposit**. The brother's Rs. 10 lakh is **not a deposit only if** the written declaration is obtained (Nova being private) and disclosed; without it, it risks reclassification as a deposit. Lesson: the exemption for insiders hinges on the **declaration** — the paperwork is the safeguard against laundering borrowed public money in through the back door.

Scenario 5 — Computing the members' deposit ceiling (numerical, exam-hard). *Facts:* Bright Ltd (an ordinary, non-eligible public company) has: paid-up share capital Rs. 8 crore, securities premium Rs. 2 crore, free reserves Rs. 5 crore, and a revaluation reserve of Rs. 3 crore. It already holds Rs. 4.2 crore of deposits from members. How much *more* can it accept from members? *Reasoning:* Ordinary company members' limit is **35% of (paid-up capital + free reserves + securities premium)** [Rule 3(3)]. Note the trap: **revaluation**

reserve is NOT a free reserve (a free reserve must be available for dividend; a revaluation reserve is an unrealised notional gain, expressly excluded by Section 2(43)). So the base is **8 + 2 + 5 = Rs. 15 crore**, *not* Rs. 18 crore. *Computation:* Ceiling = 35% × 15 = **Rs. 5.25 crore**. Already outstanding = Rs. 4.2 crore. Headroom = 5.25 − 4.2 = **Rs. 1.05 crore**. *Self-check:* If Bright accepts Rs. 1.05 crore more, total = Rs. 5.25 crore = exactly 35% of Rs. 15 crore. ✓ Correct. Had we wrongly included the Rs. 3 crore revaluation reserve, we'd have got 35% × 18 = Rs. 6.3 crore ceiling and overstated headroom by Rs. 1.05 crore — a classic marks-losing error. *Outcome:* Bright may accept a **maximum of Rs. 1.05 crore** further from members. Lesson: get the *base* right (exclude revaluation reserve) before touching the percentage.

Scenario 6 — Eligible company splitting its buckets (numerical, two-lane). *Facts:* Titan Ltd is an eligible company (net worth Rs. 120 crore). Its (paid-up capital + free reserves + securities premium) = Rs. 200 crore. It currently holds Rs. 15 crore of deposits from members and Rs. 40 crore from the public. It wants to accept Rs. 8 crore more from members and Rs. 12 crore more from the public. Is either possible? *Reasoning:* Eligible company caps are **10% from members** and **25% from public**, tested **separately** [Rule 3(4)]. - Members' ceiling = 10% × 200 = **Rs. 20 crore**. Current members' deposits = Rs. 15 crore → headroom Rs. 5 crore. Proposed Rs. 8 crore **exceeds** the Rs. 5 crore headroom → **not allowed** in full; only Rs. 5 crore more can be taken from members. - Public ceiling = 25% × 200 = **Rs. 50 crore**. Current public deposits = Rs. 40 crore → headroom Rs. 10 crore. Proposed Rs. 12 crore **exceeds** Rs. 10 crore → only Rs. 10 crore more allowed. *Self-check:* Members after = 15 + 5 = 20 (=10% ✓). Public after = 40 + 10 = 50 (=25% ✓). Note you **cannot** lend the unused members' room to the public or vice-versa — the buckets are independent, so total 70 crore = 35% is a coincidence of both being full, not a single 35% pool. *Outcome:* Titan may accept only **Rs. 5 crore more from members** and **Rs. 10 crore more from the public**, not the Rs. 8 + Rs. 12 crore proposed. Lesson: test each lane against its own cap; never merge them into one 35% bucket for an eligible company.

Scenario 7 — Share application money that turned into a deposit (numerical + date logic). *Facts:* Vega Ltd receives Rs. 3 crore as share application money on 1 January 2026 for a proposed allotment. By 2 March 2026 (60 days) the shares are still not allotted. The company neither allots nor refunds until 25 March 2026, when it refunds the full Rs. 3 crore. *Reasoning:* Share application money is exempt **only if shares are allotted within 60 days**; if not allotted, it must be **refunded within 15 days** of the 60-day expiry. 60 days from 1 Jan = **2 March 2026**. The 15-day refund window then runs to **17 March 2026**. Vega refunded on **25 March** — **8 days late**. *Outcome:* Because the money was neither allotted within 60 days nor refunded within the next 15 days, the Rs. 3 crore is **deemed a deposit** from the **expiry of the 15 days (i.e., from 18 March 2026)**. Vega — if it is not eligible/compliant — is in contravention for the period the money was a deposit, even though it eventually refunded. Actual refund does not retroactively cure the conversion. Lesson: the 60/15 clock is unforgiving; *lateness converts, and later repayment does not un-convert.*

Scenario 8 — Small-fine contravention (testing the "twice the deposits" limb). *Facts:* Micro Ltd wrongfully accepts Rs. 30 lakh of deposits in contravention of the Chapter and fails to repay. What minimum penalty does the *company* face under Section 76A? *Reasoning:* The company's minimum fine is the **lower of Rs. 1 crore OR twice the deposits accepted**, capped at Rs. 10 crore, **plus** repayment with interest. Twice Rs. 30 lakh = **Rs. 60 lakh**, which is *lower* than Rs. 1 crore. *Outcome:* The minimum fine is **Rs. 60 lakh** (not Rs. 1 crore), **plus** repayment of Rs. 30 lakh with interest to depositors, **plus** the officers face Rs. 25 lakh–Rs. 2 crore **and** up to 7 years. Lesson: don't reflexively state "minimum Rs. 1 crore" — the "twice the amount" limb protects small contraveners and is frequently tested.

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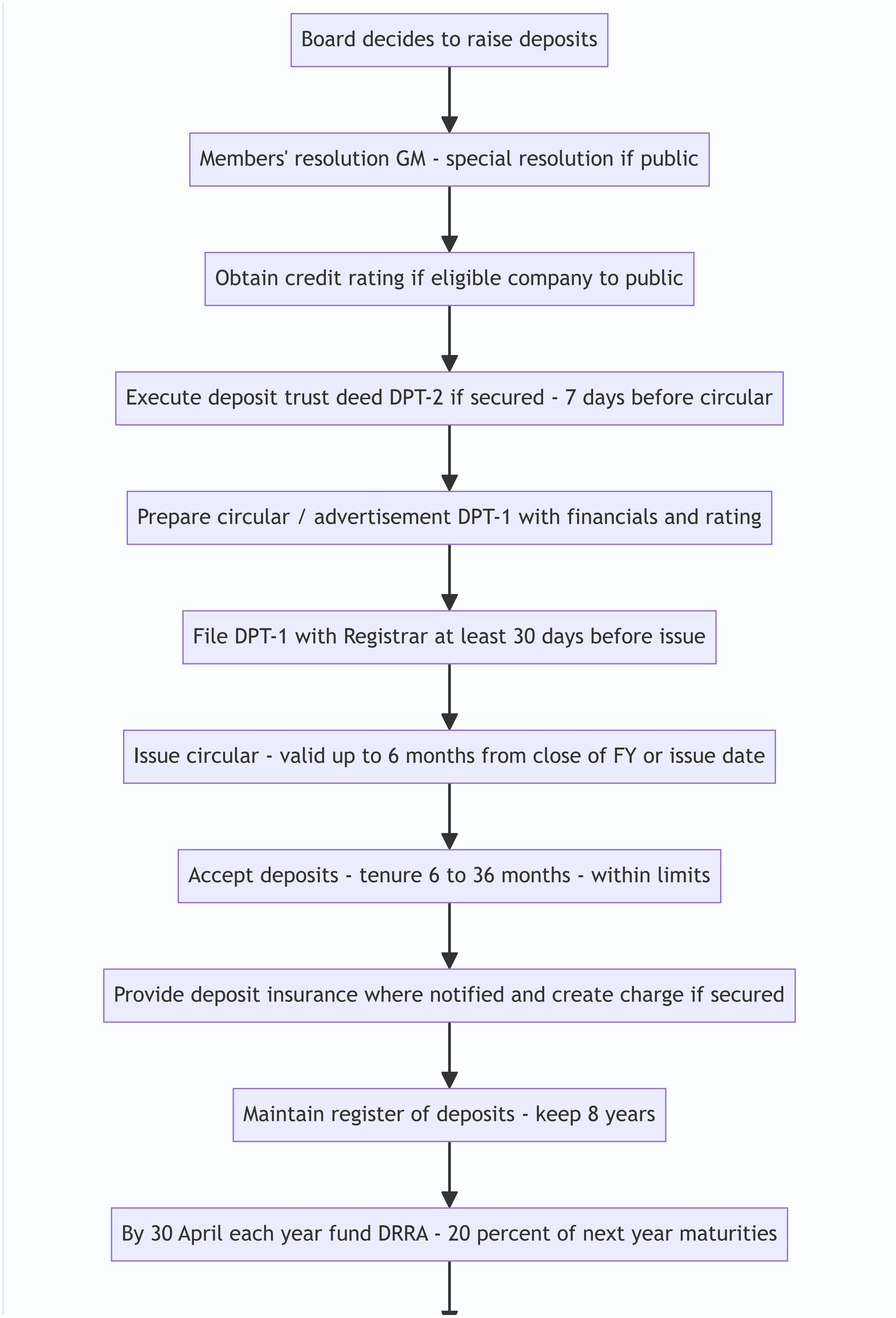
6. Procedure / Compliance Summary


Board decides to raise deposits
Members' resolution GM - special resolution if public
Obtain credit rating if eligible company to public
Execute deposit trust deed DPT-2 if secured - 7 days before circular
Prepare circular / advertisement DPT-1 with financials and rating
File DPT-1 with Registrar at least 30 days before issue
Issue circular - valid up to 6 months from close of FY or issue date
Accept deposits - tenure 6 to 36 months - within limits
Provide deposit insurance where notified and create charge if secured
Maintain register of deposits - keep 8 years
By 30 April each year fund DRRA - 20 percent of next year maturities

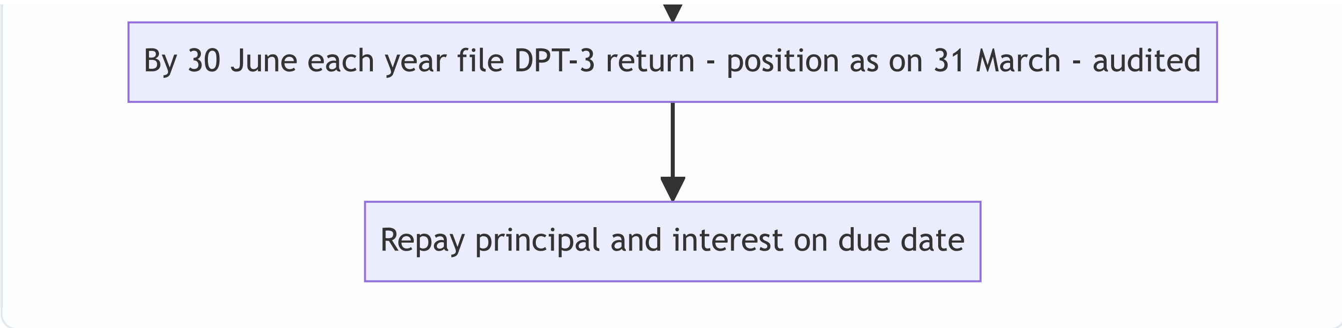


Figure 6 — End-to-end deposit compliance lifecycle, with the two annual anchors: 30 April (reserve) and 30 June (return).

Timeline of the recurring dates:

Figure 6b — The compliance calendar: snapshot on 31 March, reserve by 30 April, return by 30 June.

Key forms: DPT-1 (circular/advertisement), **DPT-2** (deposit trust deed), **DPT-3** (annual return of deposits *and* particulars of non-deposit receipts), **DPT-4** (statement of pre-Act deposits under Section 74).

The four DPT forms as a quick mnemonic: *One invites, Two protects, Three reports, Four transitions.* DPT-**1** invites (circular/ad); DPT-**2** protects (trust deed for security); DPT-**3** reports (annual return); DPT-**4** transitions (statement of old, pre-2013-Act deposits). Getting a form number wrong is an easy 1-mark loss in a procedural question.

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7. Connections to Other Chapters and Laws

- **Definitions (Ch. on Definitions):** "Deposit" **2(31)**; "private company" **2(68)**; "public company" **2(71)**; "free reserves" **2(43)** feed the ceiling calculations; "relative" **2(77)** governs the insider exemption.
- **Board & General Meeting powers:** the members' **ordinary/special resolution** authorising deposits ties to **Section 179** (Board powers) and the general-meeting machinery of **Sections 96–114**.
- **Share capital vs. deposits:** share application money is exempt *only* if allotted in 60 days — links to **Section 42** (private placement) and **Section 62** (further issue). Money that should have become shares but didn't becomes a deposit.
- **Charges:** secured deposits require **registration of charge** under **Sections 77–87**.
- **Fraud:** Sections 75 and 76A both hook into **Section 447** (punishment for fraud) — the same anti-fraud spine that runs through the whole Act.
- **NBFC / RBI regime:** deposit-taking as a *business* is an NBFC activity regulated by the **RBI Act 1934**; the Companies Act carve-outs are drawn **in consultation with RBI**, and the interest cap references RBI's NBFC ceiling. Banks are excluded because they are separately regulated.
- **Audit & Directors' Report:** the auditor reports on deposit compliance (CARO), and the Board's report discloses details of deposits and any non-compliance.
- **Loans to directors (Section 185) and inter-corporate loans (Section 186):** the *mirror image* of this chapter. Sections 73–76 govern money **flowing into** the company from savers; Sections 185–186 govern

money **flowing out** as loans. The inter-corporate *receipt* is exempt here precisely because the *giving* company is separately regulated under 186.

- **Companies (Prospectus and Allotment of Securities):** the anti-parking clock on share application money interlocks with allotment timelines — a receipt straddles two chapters and can be tested from either side.

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8. Traps & Examiner Tricks

1. **"Includes loan" is the whole trap.** A "loan" from the public **is** a deposit. Candidates wrongly assume only fixed-deposit-style receipts count. Under 2(31) money "in any other form" is caught — the exemption list is the *only* escape.
2. **The 60/15 and 365 clocks.** Share application money and trade advances are exempt *only while within their clocks*. Examiners love the fact pattern where the clock has expired — the receipt silently **becomes** a deposit. Watch the dates.
3. **Members vs. public.** Ordinary company = **members only (35%)**. Only an **eligible company** (100 cr net worth OR 500 cr turnover) can touch the **public (25%)**, and its members' slice shrinks to **10%**. Don't apply the 35% members' figure to an eligible company's public deposits.
4. **OR, not AND, for eligibility.** Net worth 100 crore **OR** turnover 500 crore — meeting **either** makes it eligible. Candidates wrongly require both.
5. **Special vs. ordinary resolution.** Public deposits (Section 76) need a **special resolution**; members' deposits (Section 73) need an ordinary resolution in general meeting. Easy to swap.
6. **DRRA percentage and date.** It is **20%** (raised from 15%) of deposits maturing in the **next** financial year, funded by **30 April**. Common wrong answers: "15%", "of total deposits", "by 31 March". The reserve is for **next year's** maturities, not this year's total.
7. **Deposit insurance is on paper but deferred.** Know Section 73(2)(d) exists; also know its operation has been **postponed** repeatedly. Stating it as fully operative can be marked wrong — flag it.
8. **Director vs. relative declaration.** A **director's** loan needs a written declaration it's **not borrowed**. A **relative's** loan is exempt only for **private companies** and (post-amendment) also needs the declaration. Don't extend the relative exemption to public companies.
9. **6 to 36 months, not 6 to 60.** Maximum tenure is **36 months** (3 years), not 5. The **3-month** short-term deposit is a narrow exception capped at 10%.
10. **DPT-3 is not only for deposits.** It also reports **exempted receipts / outstanding loans**. A company with *no* deposits but with loans may still have to file DPT-3. Students think "no deposits, no return" — wrong.
11. **Government company limits differ.** An eligible **Government** company can take **35%** from the public (vs. 25% for a private-sector eligible company) because of implicit State backing.
12. **Section 74 is about *old* deposits.** Don't confuse Section 74 (transition of pre-2013-Act deposits) with the ongoing repayment obligation. Section 74 is a one-time bridge.
13. **Revaluation reserve is NOT a free reserve.** When computing the base for the 35%/10%/25% caps, exclude revaluation reserve and unrealised gains (Section 2(43)). Including it overstates the ceiling — a favourite numerical trap (see Scenario 5).
14. **"Company" ≠ "firm/LLP" in the inter-corporate exemption.** Money from another *company* is exempt; money from a partnership firm or LLP is **not**. Watch the entity type of the lender.

15. **The company fine has a "twice the deposits" floor, not a flat Rs. 1 crore.** For small contraventions the minimum is twice the deposits if that is lower than Rs. 1 crore (Scenario 8). And the fine is **in addition to** repaying depositors with interest, not instead of.
16. **Buckets don't merge for eligible companies.** The 10% members' cap and 25% public cap are tested **separately**; unused headroom in one lane cannot be borrowed by the other (Scenario 6).
17. **Employee security deposit must be non-interest-bearing and within annual salary.** Add interest, or exceed the salary, and the exemption is lost. Also it is a *security* deposit under a contract of employment, not a general loan from an employee.
18. **Later refund does not un-convert a deposit.** Once a receipt has crossed its clock and become a deposit, subsequently refunding it does not erase the contravention for the period it was an unlawful deposit (Scenario 7).
19. **Promoter loan exemption dies with the bank loan.** It is exempt only while the stipulating bank/FI loan subsists; once that loan is repaid, the promoter's money is no longer covered.
20. **Circular has a shelf life.** A circular/advertisement is valid only up to 6 months from the close of the FY or the AGM date, whichever is earlier — collecting on a stale circular is a contravention.

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9. First-Principles Recap

Strip everything away and the chapter is one causal chain:

- A company can collect the **public's savings** with only a **promise**. That promise can be **empty** — spent, lost, or stolen — and the saver is **diffuse, uninformed, and unsecured**. That is the abuse.
- So the law **defines "deposit" widely** (2(31)) to defeat disguises, then **exempts narrowly** (Rule 2(1)(c)) only money whose source already has protection.
- It then **grades permission by risk**: strangers are hardest (only **eligible** public companies, Section 76, with **rating**), members are easier (Section 73), insiders are exempt (director/relative declarations).
- Every promise gets a **provable, independent provision**: disclose (circular), record (file with Registrar), **fund** (20% reserve by 30 April), insure, and certify no default — plus rating and trustee for the riskiest lane.
- It **caps quantity** to the company's own buffer (35% / 10% / 25% / 100%) and **caps price** to RBI's rate so the Ponzi bait disappears.
- And it makes **default a public wrong**: NCLT can order repayment (73(4)), officers can be **personally, unlimitedly liable** for fraud (75), and the omnibus penalty (76A) reaches **Rs. 10 crore** on the company and **7 years' jail** for the officer.

The one sentence to carry into the hall: *Define widely, exempt only the self-protected, fence the rest in proportion to how helpless the saver is, force provable safety nets, and punish default as a public wrong.* If you can reconstruct that sentence, you can re-derive almost every rule and number rather than recall it.

Learn the *fears*, and every number — 100, 500, 35, 25, 10, 20%, 60, 15, 365, 6–36 months, 30 April, 30 June — hangs on a reason instead of floating in memory.

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10. Quick-Revision Sheet

Item	Provision	Number / Limit	The "why" in three words
Definition of deposit	Sec **2(31)**	"loan or any other form"	Defeat disguises
Exempted receipts	Rule **2(1)(c)**	closed list	Source already safe
Share application money clock	Rule 2(1)(c)	allot in **60** days, refund in **15**	Anti-parking
Trade/service advance clock	Rule 2(1)(c)	adjust in **365** days	Anti-parking
Inter-corporate receipt	Rule 2(1)(c)	from a **company** only (not firm/LLP)	Lender not helpless
Employee security deposit	Rule 2(1)(c)	≤ annual salary, non-interest	Genuine employment
Promoter loan	Rule 2(1)(c)	while bank/FI loan subsists	Forced by lender
General prohibition / members' lane	Sec **73**	members-only for ordinary cos	Trust members over public
Eligible company (public lane)	Sec **76**	net worth ≥ **100 cr** OR turnover ≥ **500 cr**	Earn the right to the public
Resolution needed	Sec 73 / 76	ordinary (members) / **special** (public)	Graver act, higher bar
Limit — ordinary co (members)	Rule 3(3)	**35%** of cap+reserves+premium	Borrow within your buffer
Limit — eligible co (members)	Rule 3(4)	**10%**	Reserve slice for insiders
Limit — eligible co (public)	Rule 3(4)	**25%**	Fenced public exposure
Limit — Govt eligible co (public)	Rule 3(4)	**35%**	Sovereign backing
Limit — exempt private co	Notification	up to **100%** (members)	Insider trust
Base for the caps	Sec 2(43)	cap + **free** reserves + premium (exclude revaluation)	Real buffer only
Tenure	Rules	**6 to 36 months** (short-term 3 mo, ≤10%)	No demand banking, no infinite lock
Interest cap / brokerage	Rules	≤ RBI NBFC max rate; brokerage to authorised persons	Remove Ponzi bait

Item	Provision	Number / Limit	The "why" in three words
Premature repayment	Rules	rate stepped down, ~**1%** penalty	Discourage runs
Circular	Sec **73(2)(a)** / DPT-1	financials + rating + past deposits	Kill information asymmetry
Circular validity	Rules	6 months from FY close or AGM, earlier	Numbers go stale
File circular	Sec **73(2)(b)**	**30 days** before issue	Independent dated record
Deposit Repayment Reserve	Sec **73(2)(c)**	**20%** of next-yr maturities, by **30 April**, separate a/c	Real cash for real repayment
Deposit insurance	Sec **73(2)(d)**	as prescribed (deferred)	Last line of defence
No-default certificate	Sec **73(2)(e)**	5 yrs since default cured	Stop serial defaulters
Credit rating	Sec **76** + Rules	every year, min grade	Independent gatekeeper
Deposit trustee / charge	Rules / DPT-2	trust deed 7 days before circular; independent trustee	Watchdog + recourse
Register of deposits	Rules	keep **8 years**	Auditable trail
Annual return	Rules / **DPT-3**	by **30 June**, position as on 31 March	Regulator oversight
Depositor remedy	Sec **73(4)**	apply to **NCLT**	Fast route for the helpless
Pre-Act deposits	Sec **74** / DPT-4	statement + repay in Tribunal's time	Transition bridge
Fraud — personal liability	Sec **75**	unlimited personal liability + Sec 447; class suit	Pierce the veil
Contravention penalty	Sec **76A**	company **lower of 1 cr or 2× deposits, up to 10 cr** + repay with interest; officer **25 lakh–2 cr and up to 7 yrs**	Social harm = harsh sanction

Confirm the exact current figures (DRRA %, penalty bands, exemption list, insurance status, private-company exemption conditions, premature-repayment penalty) against the latest ICAI Study Material and the bare Companies Act 2013 / Deposit Rules before the exam — these have been amended multiple times.

Q&A — Acceptance of Deposits

CA Intermediate | Corporate & Other Laws | Companies Act, 2013 — Sections 73–76A read with the Companies (Acceptance of Deposits) Rules, 2014.

> **Scope note:** Section numbers refer to the Companies Act, 2013. Rule numbers refer to the Companies (Acceptance of Deposits) Rules, 2014. Where a figure or nuance is subject to periodic amendment (limits, DPT-3 dates), it is flagged. Nothing below invents a provision; uncertain points are marked **[verify]**.

SECTION A — Concept-Check Questions (with answers)

A1. Define "deposit" under the Companies Act, 2013. Answer: Under **Section 2(31)**, "deposit" includes any receipt of money by way of deposit or loan or in any other form by a company, but does **not** include such categories as may be **prescribed** in consultation with the RBI. The exclusions are listed in **Rule 2(1)(c)** of the Deposit Rules — i.e., the Act gives a wide inclusive definition and the Rules carve out what is *not* a deposit.

A2. Name any five receipts that are NOT treated as deposits. Answer: Under **Rule 2(1)(c)**, the following (among others) are excluded: (i) amounts received from the Central/State Government or guaranteed by them; (ii) loans from banks and financial institutions; (iii) amounts received from another company (inter-corporate loans); (iv) money raised through issue of commercial paper; (v) amounts received against subscription to securities (share application money) pending allotment, **provided allotment is made within 60 days** and refunded within 15 days thereafter; (vi) amounts from a director (or a member, for private companies) out of own funds with a declaration; (vii) amounts from an employee not exceeding annual salary as a non-interest bearing security deposit.

A3. Distinguish "eligible company" from other public companies for deposit purposes. Answer: Under **Rule 2(1)(e)**, an **eligible company** is a public company having (a) net worth of not less than **Rs. 100 crore**, OR (b) turnover of not less than **Rs. 500 crore**, and which has passed a **special resolution** (and filed it with ROC) to accept deposits from the **public**. Only eligible companies may accept deposits from persons other than members, under **Section 76**. Ordinary public companies and private companies can accept deposits only from **members** under **Section 73(2)**.

A4. What is the DRR / Deposit Repayment Reserve Account and how much must be deposited? Answer: Under **Section 73(2)(c)** read with **Rule 13**, a company accepting deposits must, on or before **30th April** each year, deposit into a scheduled bank in a separate **"Deposit Repayment Reserve Account"** a sum not less than **20%** of the amount of deposits **maturing during the following financial year**. This sum cannot be used for any purpose other than repayment of deposits.

A5. State the ceiling limits on deposits for a members-scheme (Section 73) eligible/other company. Answer: Under **Rule 3**: For a **private company**, deposits from members may not exceed **100%** of aggregate of paid-up share capital, free reserves and securities premium (certain start-ups/specified private companies are exempt from limits **[verify current exemption notification]**). For a **non-eligible public company** accepting from members under Section 73, the limit is **35%** of paid-up capital + free reserves + securities premium. For an **eligible company** from members, **10%**, and from public, up to **25%** of the same aggregate.

A6. What credit rating requirement applies to eligible companies? Answer: Under **Rule 3(8)**, every eligible company must obtain, at the time of inviting deposits and every year during the tenure, a **credit rating** from a recognised credit rating agency, and the rating must not be below the **minimum investment grade** prescribed for the relevant rating instrument. The rating must be disclosed in the circular/advertisement.

A7. What is the minimum and maximum tenure of a deposit? Answer: Under **Rule 3(1)**, deposits may be accepted for a term of **not less than 6 months and not more than 36 months**. Shorter deposits (min 3 months) are allowed only to meet short-term needs and only up to **10%** of paid-up capital + free reserves + securities premium.

A8. What is deposit insurance and its current status? Answer: Rule 5 originally required a company to enter into a **deposit insurance contract** at least 30 days before inviting deposits. However, this requirement has been kept in **abeyance/deferred** repeatedly because insurance products were unavailable in the market. **[verify current abeyance status]** — in exams, state the rule and note it stands deferred.

SECTION B — Applied Problem / Scenario Questions (ICAI style)

B1. Members-only vs public deposits. Facts: Sunrise Ltd, an unlisted public company with paid-up capital + free reserves of Rs. 40 crore and net worth of Rs. 45 crore, wishes to accept Rs. 20 crore of deposits from the general public. **Provision:** Under **Section 76(1)** read with **Rule 2(1)(e)**, only an **eligible company** (net worth ≥ Rs. 100 crore or turnover ≥ Rs. 500 crore) may accept deposits from the public. A non-eligible public company can accept deposits only from its **members** under **Section 73(2)**, subject to a **35%** ceiling (Rule 3). **Analysis:** Sunrise Ltd's net worth (Rs. 45 cr) and (assumed) turnover fall below the eligibility thresholds. Hence it is **not** an eligible company and cannot accept public deposits. From members, it could accept only up to 35% of Rs. 40 crore = **Rs. 14 crore**. **Conclusion:** Sunrise Ltd cannot accept Rs. 20 crore from the public; it may accept up to Rs. 14 crore from members after complying with Section 73 conditions.

B2. Loan from a director. Facts: Mr. Rao, a director of Zeal Pvt Ltd, gives the company Rs. 50 lakh from his personal savings. The company does not treat it as a deposit. Is this correct? **Provision:** Under **Rule 2(1)(c)(viii)**, any amount received from a **director** of the company (or a relative of a director in the case of a private company) is **excluded from "deposit"**, provided the director furnishes a **written declaration** that the amount is **not given out of borrowed funds** and is from his own funds. **Analysis:** As Mr. Rao gave the amount from personal savings and (assuming) files the declaration, it is not a deposit. The company must disclose the details in the **Board's report**. **Conclusion:** Correct — the Rs. 50 lakh is not a deposit, provided the declaration is obtained and disclosed.

B3. Share application money pending allotment. Facts: Orbit Ltd received Rs. 2 crore as share application money on 1 Jan; it allotted shares only on 20 March (78 days later). **Provision:** Under **Rule 2(1)(c)(vii)**, advance for securities is not a deposit only if shares are **allotted within 60 days**; if not allotted and not refunded within 15 days thereafter, the amount is **deemed to be a deposit** from the expiry of 60 days. **Analysis:** Allotment happened on day 78 (> 60 days). The amount thus became a **deemed deposit** on the 61st day, and Orbit Ltd contravened the deposit provisions retrospectively. **Conclusion:** The Rs. 2 crore is treated as a deposit accepted in violation of Section 73/76, attracting penalties under **Section 76A**.

B4. Repayment default and Tribunal. Facts: Delta Ltd, an eligible company, is unable to repay Rs. 5 crore of matured public deposits on the due date. **Provision:** Under **Section 73(4)**, on failure to repay, the **depositor** may apply to the **National Company Law Tribunal (NCLT)**, which may order repayment. Further, under

Section 74, deposits accepted before the commencement of the Act had a repayment mechanism; and **Section 76A** imposes penalties for contravention. The company and officers in default face fine and imprisonment. **Analysis:** Delta's depositors can approach the NCLT for a repayment order. Continued default triggers **Section 76A**: company fine of not less than Rs. 1 crore or twice the deposit amount (whichever is lower), extendable to Rs. 10 crore; and every officer in default may face imprisonment up to 7 years and fine. **Conclusion:** Depositors may seek NCLT relief; Delta and its officers are exposed to Section 76A penalties, including possible fraud liability under Section 447 if wilful.

SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Explain the conditions a company must satisfy before accepting deposits from its members under Section 73(2)." (6 marks) Model Answer: Under **Section 73(2)**, a company (other than a banking/NBFC) may accept deposits from members after passing a resolution in general meeting and complying with **Rule 3** conditions, namely: (a) **Circular to members** — issue a circular showing financial position, credit rating (if applicable), total deposits, etc.; (b) **File circular** with the Registrar at least 30 days before issue (Form **DPT-1**); (c) **Deposit Repayment Reserve** — deposit at least **20%** of deposits maturing next year in a scheduled bank by 30 April [Sec 73(2)(c), Rule 13]; (d) **Deposit insurance** — provide insurance (currently in abeyance) [Sec 73(2)(d)]; (e) **Certify no default** — certify the company has not defaulted in repayment of deposits; (f) **Security** — provide security or declare it as unsecured; (g) Comply with tenure (6–36 months) and ceiling limits (Rule 3).

C2. "Describe the penal consequences for contravention of the deposit provisions." (5 marks) Model Answer: Under **Section 76A**, where a company accepts or invites deposits in contravention of Sections 73/76 or the Rules, or fails to repay deposits/interest within the time specified: - The **company** is punishable with fine not less than **Rs. 1 crore or twice the amount of deposit** accepted (whichever is **lower**), extendable up to **Rs. 10 crore**; and this is **in addition** to repayment of deposit and interest. - Every **officer in default** is punishable with **imprisonment up to 7 years** and fine of not less than Rs. 25 lakh up to Rs. 2 crore. - If it is proved the officer acted **wilfully / with intent to defraud**, he is also liable under **Section 447** (fraud).

C3. "What amounts are excluded from the definition of 'deposit'? List any eight." (6 marks) Model Answer: Per **Rule 2(1)(c)**, excluded amounts include: (1) from Central/State Govt or govt-guaranteed; (2) from foreign govts/foreign banks (subject to FEMA); (3) loans from banking companies and public financial institutions; (4) money via commercial paper; (5) from another company; (6) share application money pending allotment (60-day rule); (7) from a director/relative with declaration of own funds; (8) secured bonds/debentures or those convertible/listed; (9) non-interest security deposit from an employee up to annual salary; (10) advance for supply of goods/services (subject to time limits); (11) amounts brought in by promoters as unsecured loans in fulfilment of a lending stipulation. (Any eight suffice.)

C4. "Explain Sections 74 and 75 relating to repayment of deposits accepted before the Act and damages for fraud." (5 marks) Model Answer: Section 74 deals with deposits accepted **before the commencement of the 2013 Act** that remained unpaid: the company had to file a statement (Form **DPT-4**) of all outstanding deposits and repay them within the time specified/ as ordered by the Tribunal. **Section 75** provides that where a company **fails to repay deposits** and it is proved the deposits were accepted with **intent to defraud** depositors or for a fraudulent purpose, every officer responsible is **personally liable, without limitation of liability**, for all losses/damages suffered by the depositors — over and above Section 76A penalties and Section 447 fraud liability.

SECTION D — MCQs / Case Scenarios

D1. Maximum tenure for which a company may accept a deposit is: A) 12 months B) 24 months C) **36 months** D) 60 months **Answer: C.** Rule 3(1) caps deposit tenure at 36 months.

D2. An "eligible company" must have net worth of at least ___ or turnover of at least ___: A) Rs. 50 cr / Rs. 250 cr B) **Rs. 100 cr / Rs. 500 cr** C) Rs. 500 cr / Rs. 100 cr D) Rs. 10 cr / Rs. 100 cr **Answer: B.** Rule 2(1)(e).

D3. Minimum percentage of next year's maturing deposits to be kept in the Deposit Repayment Reserve Account: A) 10% B) 15% C) **20%** D) 25% **Answer: C.** Section 73(2)(c) read with Rule 13.

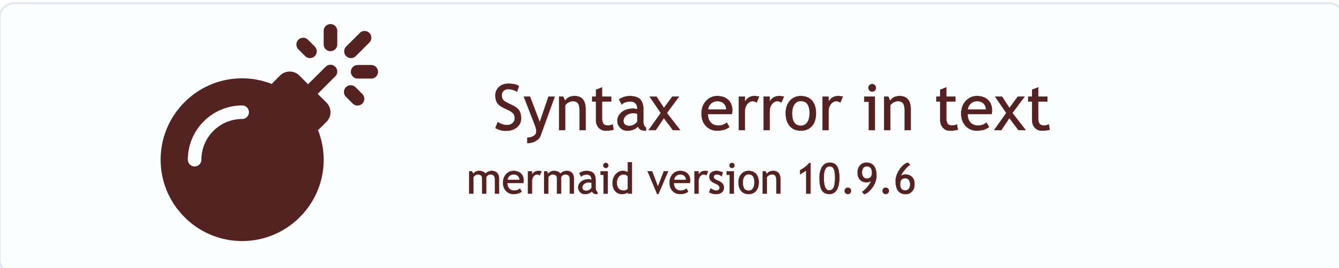
D4. Return of deposits to be filed annually with the Registrar is in Form: A) DPT-1 B) DPT-2 C) **DPT-3** D) DPT-4 **Answer: C.** Rule 16 — DPT-3 filed on or before 30 June for the year ended 31 March.

D5. Share application money not allotted within 60 days and not refunded within the next 15 days is: A) Refunded automatically B) A loan C) **Deemed a deposit** D) Forfeited **Answer: C.** Rule 2(1)(c)(vii).

D6. Case scenario: Nova Pvt Ltd accepts Rs. 30 lakh from a person who is neither a member nor a director. This is: A) Valid deposit from public B) **A contravention — private companies cannot accept from public** C) Valid inter-corporate loan D) Exempt **Answer: B.** A private company may accept deposits only from members (Section 73) — not from the public (Section 76 is limited to eligible public companies).

D7. Penalty on the company under Section 76A is minimum: A) Rs. 10 lakh B) **Rs. 1 crore or twice the deposit, whichever lower** C) Rs. 5 crore fixed D) Rs. 25 lakh **Answer: B.**

Mermaid — Deposit Acceptance Decision Flow



Traps & Examiner Tricks

- **Members vs public:** Private companies can NEVER accept public deposits; only *eligible* public companies can (Sec 76). Examiners test this with a private company scenario.
- **20% DRR vs 15%:** The Deposit Repayment Reserve is **20%** (post-amendment); older material said 15% — quote 20% under Rule 13. **[verify latest]**
- **"Whichever is lower"** in Section 76A company fine (Rs. 1 cr or twice deposit) — students wrongly write "higher".
- **60 + 15 day rule** for share application money — both limbs must be recalled.
- **Director's declaration** must state funds are *not borrowed*; for members giving loans to a **private** company the same relative exclusion applies.

- **DPT-4** is the one-time statement under Section 74 (pre-Act deposits), not the annual return (that is DPT-3).

First-Principles Recap

Depositors got burned because companies took public money with no ring-fence. The Act's answer: **restrict who can take deposits** (only members, or eligible companies from public), **cap how much** (Rule 3 limits), **reserve repayment cash** (20% DRR), **disclose and rate** (DPT-1, credit rating), **file and track** (DPT-3), and **punish default hard** (Sec 76A, 75, 447). Trust, but ring-fence.

Quick-Revision Sheet

Item	Provision	Figure
Definition	Sec 2(31) + Rule 2(1)(c)	inclusive, with exclusions
Members deposits	Sec 73(2)	Pvt 100%*, Public 35%
Public deposits	Sec 76	eligible co., 25%
Eligible company	Rule 2(1)(e)	NW ≥100cr / TO ≥500cr
DRR	Sec 73(2)(c), Rule 13	20% by 30 Apr
Tenure	Rule 3(1)	6–36 months
Circular	Rule 4	DPT-1
Annual return	Rule 16	DPT-3 by 30 Jun
Pre-Act statement	Sec 74	DPT-4
Penalty	Sec 76A	co. Rs.1cr–10cr; officer up to 7 yrs
Fraud liability	Sec 75 / 447	unlimited personal

Certain private companies/start-ups exempt from limits [verify notification].

Chapter 06 — Registration of Charges

> Companies Act 2013 — Chapter VI, Sections 77 to 87, read with the Companies (Registration of Charges) Rules, 2014.

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1. The Problem — the invisible mortgage

Imagine you run a bank. A company called Zenith Manufacturing Ltd walks in and asks for a ₹50 crore loan. It offers its factory, its machinery, and its stock of raw material as security. You inspect the factory — it looks real, it's operating, the machines are humming. Satisfied, you lend the money against a charge on those assets. If Zenith defaults, you seize the factory and recover your money. Simple.

Now here is the abuse. **What if Zenith had *already* pledged that same factory to another bank six months ago?** The factory doesn't *look* mortgaged. A building doesn't wear a sign saying "already promised to State Bank." When Zenith goes bankrupt, both banks show up to seize the same factory. Only one can win. The other lent ₹50 crore against nothing — it was tricked by an asset that was already spoken for.

This is the core problem: **security interests are secret by nature.** Ownership of land can be checked in a land registry, but a *charge* — a claim over an asset that still belongs to and is used by the company — leaves no visible trace. A dishonest company can pledge the same asset to five different lenders, each believing they are first in line. When the crash comes, four of them discover their "security" was an illusion.

The problem is worse than individual fraud. If lenders *cannot trust* that the security offered is genuinely unencumbered, they will do one of two things: refuse to lend, or lend only at ruinous interest rates to cover the risk. Either way, honest companies that genuinely have free assets to pledge suffer, because they cannot credibly *prove* their assets are free. The market for secured credit breaks down for everyone.

There is a second, subtler abuse. Suppose Zenith is sliding toward insolvency. The directors know unsecured trade creditors and workers will soon come knocking. So, at the last minute, the directors quietly create a charge in favour of a friendly party (say, a company owned by the managing director's brother) over all the good assets. Now, when Zenith collapses, that "secured" friend walks away with everything, and the genuine creditors — the suppliers, the employees, the taxman — get nothing. A hidden, unregistered, backdated charge is a perfect tool for **stripping a dying company of its assets** to the benefit of insiders.

So the law must solve two things at once: warn *future* lenders about *existing* claims, and prevent *secret* claims from being used to defeat *genuine* creditors.

A third, quieter problem — the mispriced market. Even when nobody is committing fraud, secrecy imposes a hidden tax on *everyone*. A lender who cannot verify prior encumbrances must assume the worst and demand a risk premium. That premium is paid by honest and dishonest borrowers alike, because the lender cannot tell them apart. Economists call this the "lemons problem": when quality is unobservable, good borrowers are driven out of the market because they refuse to pay the premium that only bad borrowers deserve. A public register is not merely an anti-fraud device — it is a *signalling* device that lets an honest company *prove* its assets are free and thereby borrow cheaply. Registration, in other words, protects the good company as much as it punishes the bad one. Hold this idea: the register exists as much to *enable* trustworthy borrowing as to *police* untrustworthy borrowing.

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2. The Core Idea — turn a private secret into a public fact

The protective principle is disarmingly simple: **a charge that is not on the public record does not count where it matters most.**

The law does not ban companies from creating charges — borrowing against assets is healthy and normal. Instead, it attaches a condition: if you want your charge to be *effective against the world* (specifically against a liquidator and against other creditors when the company dies), you must **register it publicly** with the Registrar of Companies within a strict time limit. The register is open for anyone to inspect. A new lender can walk in, search the company's file, and see every prior claim on its assets.

This converts an invisible private arrangement into a visible public fact. The logic is a bargain:

- **Register your charge** → the whole world is deemed to know about it → you get priority and your security is safe even in liquidation.
- **Don't register** → the charge is treated as if it never existed *against the liquidator and creditors* → your "security" evaporates exactly when you need it.

Notice the elegance. The law doesn't fine you into compliance (though penalties exist too). It removes the *entire benefit* you were seeking. A secured lender registers not because a policeman forces them to, but because an unregistered charge is worthless as security. The self-interest of the lender is harnessed to produce public disclosure. This is why the duty to register is placed on **both** the company *and* the charge-holder — the charge-holder has the strongest incentive to make sure it actually happens.

A key clarification most students miss — registration does not *create* the charge. The charge is *created* by the contract between the company and the lender (the loan agreement, mortgage deed, debenture, etc.). Registration is a *perfecting* act — it makes an already-valid charge *effective against third parties*. This is why Section 77 speaks of "particulars of the charge" being filed, not the charge being "made" at the Registrar. The distinction matters in exams: a charge that is created on Day 0 but registered on Day 25 is treated, as between company and lender, as existing from Day 0. What registration adds is *priority* and *survival in insolvency*, not existence. Think of it in two layers: **contract creates; registration perfects.**

Why a bright-line rule instead of a "reasonable notice" test? The law could have said "a charge binds anyone who actually knew or should reasonably have known about it." Instead it chose a mechanical rule: registered = binds everyone; unregistered = binds nobody (bar the company). Bright-line rules are cheaper to administer and impossible to argue around. A lender never has to litigate the murky question "ought the other party to have known?" — it simply searches the register. Certainty is deliberately preferred over case-by-case fairness, because *predictable* security is what makes credit flow.

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3. Why it's built this way — the logic of each safeguard

Every rule in Chapter VI is a direct answer to a way the system could be gamed. Learn the *attack* and the *rule* becomes obvious.

"Why a *time limit* of 30 days?" — Because without a deadline, a company could create a charge today and register it only years later, when a crisis makes it convenient — perhaps backdated to defeat creditors who lent in the meantime. A short, fixed window (30 days from creation) forces the charge onto the public record *promptly*, close to when it was actually created, so the record stays honest and current. A lender searching the file next month sees a near-real-time picture.

"Why is non-registration void only against the liquidator and creditors, but *not* against the company itself?" — This is the most misunderstood point, so grasp the logic. The *company* created the charge; the company *knew* about it. It would be absurd to let the company escape its own promise just because it forgot to file a form. So *between the company and the lender*, the charge is perfectly valid — the lender can still sue on the debt. But the registration rule exists to protect *third parties* (other creditors, the liquidator representing all creditors) who *couldn't have known* about the secret charge. So the charge is void only *against those it was meant to warn*. The punishment is precisely targeted at the mischief.

"Why put the duty on the charge-holder too (Section 78)?" — Because if only the company had the duty, a colluding company could simply "forget" to register a friendly insider's charge, keeping it secret, then spring it on creditors later. By giving the charge-holder the right and incentive to register (and recover the fee from the company), the law ensures that any *genuine* lender will register to protect itself — and a charge that *nobody* bothers to register looks suspiciously like one meant to stay hidden.

"Why must satisfaction (repayment) also be registered?" — Because a *stale* charge is as misleading as a hidden one. If Zenith repays State Bank and the charge is discharged, but the register still shows State Bank's ₹40 crore claim, a new lender will wrongly believe the factory is fully mortgaged and refuse to lend. The company's genuine borrowing capacity is frozen by a ghost entry. So repayment must be recorded within 30 days to *release* the asset on the public record.

"Why keep TWO registers — one with the Registrar and one at the company?" — The Registrar's register (Section 81) is the *public, authoritative, searchable* record for outsiders. The company's own register of charges (Section 85) is an *internal* accountability record kept at the registered office, open to members and creditors, so they can monitor how heavily the company has pledged itself without travelling to the Registrar. Two audiences, two registers.

"Why is the certificate made *conclusive* evidence?" — Because a lender must be able to *rely* on the register with finality. If the certificate could later be attacked ("actually the filing had a defect, so your charge is void"), then no lender could ever be sure its security was safe, and the whole certainty the scheme is trying to build would collapse. By making the certificate conclusive as to *the fact of due registration*, the law removes registration risk from the lender's shoulders. The lender's only job is to file properly and obtain the certificate; once obtained, the door is shut on technical challenges.

"Why cap the extension at 120 days (post-2018) rather than allowing indefinite condonation?" — Because an open-ended condonation power is a backdoor to the very abuse the deadline was meant to stop. If a company could always plead "sufficient cause" years later and revive a charge, an insider could sit on an unregistered charge, watch new creditors lend against apparently-free assets, and then resurrect the old charge just before insolvency to leapfrog them. A hard outer limit means a lender who searches the register today can trust that no *older* charge will suddenly materialise from beyond the window. The cap protects the *reliability* of a clean search.

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4. Full Technical Content — section by section, each with its "why"

4.1 What is a "charge"? — Section 2(16)

Definition: A *charge* means an **interest or lien created on the property or assets of a company or any of its undertakings, or both, as security, and includes a mortgage.**

Unpack it: (a) it's an *interest as security* — the asset stays owned by the company, but a lender has a claim over it; (b) it covers *property or assets* — tangible or intangible; (c) it *includes a mortgage* — so mortgages of immovable property are squarely covered.

Why so wide? Because a company could otherwise dress up a security as something not called a "charge" to escape registration. By defining it functionally — *any* interest created *as security* — the law captures the substance, not the label.

Charge vs mortgage vs pledge vs lien vs hypothecation — the family tree. Students confuse these constantly. All are ways to give a creditor rights over property, but they differ in *possession* and *type of asset*:

Security	Possession of asset	Typical asset	Registrable charge under S.77?
Mortgage	Stays with company (owner)	Immovable property	Yes — expressly included in "charge"
Pledge	Delivered to lender (pawnee)	Movable goods	Debatable in the abstract, but a pledge where possession passes is generally not a "charge" needing S.77 registration
Hypothecation	Stays with company	Movables (stock, vehicles, book debts)	Yes — a charge without possession
Lien	Possession-based right to retain	Goods/documents in hand	Generally not a registrable charge
Charge (generic)	Stays with company	Any property/undertaking	Yes

The unifying exam idea: **registration matters most where the asset *stays with the company* and so gives no outward warning** (mortgage, hypothecation, generic charge). Where the lender *takes possession* (pledge, some liens), the possession itself is the warning to the world, so the mischief of secrecy is lessened. This is *why* hypothecation — a charge over movables with no change of possession — is squarely within the registration net, while a classic pledge is treated differently.

Which charges must be registered? The 2013 Act sweeps in *all* charges (the 2013 regime removed the old Companies Act 1956 list of nine specified categories, so the coverage is now general). The Rules do, however, carve out a short list of charges *not* requiring registration — most importantly, certain pledges and charges over specified instruments as notified. **Verify the current exempt list against ICAI material / the amended Rules**, but the default exam answer is: *under the 2013 Act, in principle all charges are registrable* — do not reproduce the old 1956 "nine categories" list, which the examiner may plant as a distractor.

Fixed charge vs Floating charge — you must know both cold:

Feature	Fixed Charge	Floating Charge
Attaches to	A *specific, identified* asset (e.g., a particular building, a named machine)	A *shifting class* of assets (e.g., stock-in-trade, book debts, "all present and future current assets")
Company's freedom	Cannot sell/deal with the asset freely without the lender's consent	Can buy, sell, and use the assets in the *ordinary course of business*
Nature	Rigid — clamped to one thing	Hovers over a fluctuating pool, like a cloud over a moving crowd
Crystallisation	Already fixed	On default/winding-up/cessation of business, it *crystallises* — descends and becomes a fixed charge on whatever assets are in the pool at that moment
Priority	Strong — usually ranks first over its asset	Weaker — ranks *behind* preferential creditors and behind a later fixed charge on the same asset (unless a negative-pledge/restriction was registered)

Why does the distinction matter? A **fixed charge** gives the lender strong priority over that specific asset but chokes the company's ability to trade it. A **floating charge** lets the company keep running its business (you can't run a shop if every sale needs the bank's sign-off on the inventory), but the lender's security is weaker and shifting — and ranks *behind* certain preferential claims. The memory hook: **fixed = frozen to one asset; floating = free to trade until it crystallises.**

Crystallisation — the floating charge "settles" and becomes fixed on: (i) the company defaulting and the lender intervening, (ii) winding-up commencing, or (iii) the company ceasing to carry on business. Logic: the floating charge's whole point was to let the business trade; once the business stops or defaults, there's no reason to keep letting assets slip away, so the charge clamps down.

The priority sting — why a *later* fixed charge can beat an *earlier* floating charge. Suppose a company grants a floating charge over "all current assets" to Bank A in January, then a *fixed* charge over a specific machine (part of those assets) to Bank B in June. Because the floating charge, by its nature, *licenses* the company to deal with the assets in the ordinary course, Bank B's fixed charge — created while the pool was still "floating" — can take priority over that machine. Bank A can protect itself only by inserting a **negative pledge clause** (a promise by the company not to create later charges ranking ahead) *and getting that restriction registered* so later lenders have deemed notice under Section 80. This is a favourite trap: *first in time does not automatically win* when the earlier charge is floating. First-principles reason: the floating charge-holder consented (via the "ordinary course" licence) to the company creating exactly these dealings, so it cannot complain when the company does so.

4.2 Duty and time limit to register — Section 77

The rule: It is the **duty of the company** creating a charge — whether within or outside India, on its property or undertaking, whether tangible or intangible — to **register the particulars of the charge with the Registrar within 30 days of its creation**, in the prescribed form and on payment of fees.

Why "within or outside India" and "tangible or intangible"? To close escape routes. A company can't argue "the asset is abroad" or "it's only intellectual property, not real property" to avoid registration. All security, everywhere, of every kind, counts.

The extension / condonation timeline — this is the most tested factual area, and it changed after the **Companies (Amendment) Ordinance / Act, 2019** (effective **2nd November 2018**). You must know *both* regimes because the answer depends on *when the charge was created*.

Category A — charge created BEFORE 2nd November 2018: - Register within **30 days**. - If missed, the Registrar may, on application (Form CHG-1/CHG-9 + CHG-10 reasons), allow registration within **300 days** of creation on payment of *additional fees*. - If still not registered within 300 days, the company had to complete it within **six months from 2nd November 2018** on payment of *ad valorem fees*.

Category B — charge created ON OR AFTER 2nd November 2018: - Register within **30 days**. - If missed, the Registrar may, on application, allow registration within **60 days of creation** on payment of *additional fees* (i.e., a further 30 days). - If *still* not registered within that 60 days, the company must make a fresh application, and the Registrar may allow registration within a **further 60 days** (so up to **120 days** from creation) on payment of *ad valorem fees*.

Memory hook for the new regime: think **30 → 60 → 120**. Base 30 days; buy 30 more (to 60) with additional fees; buy 60 more (to 120) with the heavier *ad valorem* fees. After 120 days, the door is shut — the charge simply cannot be registered under Section 77 for post-2018 charges. *Why the tightening?* The old 300-day/condonation route was being abused to register charges very late; the 2019 amendment slammed the window shut to keep the register honest and current.

Careful reading of the two 60s. The commonest computational error is to treat the second stage as "another 60 days *after the first 60*", giving 120 from the end of the first extension. It is not. Both windows run **from the date of creation**: the first extension is *up to 60 days from creation*, the second is *up to 120 days from creation*. The second stage is a *further 60 days beyond the first 60*, but the clock always starts on Day 0 (creation), never on the day an extension is granted. Anchor every calculation to the **date of creation**.

First proviso logic: the extension never operates automatically — it needs an *application* and *fees*, because the whole point is that late filing is a privilege, not a right, and the fee is the price of the extra risk you created by keeping the charge secret longer.

A subtle but tested point — the *second* proviso and existing charges. The amendment also provided a transitional rule: for a charge already existing when the amendment came into force but not yet registered, the timelines were reset from the commencement date (this is the "six months / ad valorem" bridge in Category A). The exam-safe takeaway: *the answer always turns on the date of creation relative to 2 Nov 2018* — identify that date first, then pick the ladder.

Effect of the Registrar's registration — the Certificate: On registration, the Registrar issues a **certificate of registration (Form CHG-2)**, which is **conclusive evidence** that the requirements of registration have been complied with. *Why conclusive?* So that a lender who has done its duty and holds the certificate need never fear that some technical defect in the filing will later be used to attack its security. Certainty is the product being sold.

Section 77(3) — the sting: Notwithstanding anything in any other law, **no charge created by a company shall be taken into account by the liquidator (appointed under this Act or the Insolvency and Bankruptcy Code, 2016) or any other creditor unless it is duly registered and a certificate of registration has been issued.** This is the enforcement engine — explained fully in 4.6.

Section 77(4): However, nothing in sub-section (3) prejudices any *contract or obligation for repayment of the money secured*. Translation: the *debt* survives even if the *security* is void. The lender can still sue the company for the money as an unsecured creditor.

"What if the examiner tweaks it?" variations on the timeline: - *Charge created abroad on a foreign asset* — still 30 days from creation; the Rules give a slightly relaxed reckoning where the instrument is executed outside India (time may run from receipt of the instrument in India in some cases). **Verify the exact reckoning in current ICAI material**, but do not say "no registration needed." - *Charge created before 2 Nov 2018, application for registration made in 2026* — trap: the 300-day + six-month bridge has long expired; the charge can no longer be registered and is void against the liquidator. Don't grant relief that the transitional window no longer allows. - *Question gives Day 0 and asks the last date for ad valorem filing* — compute Day 0 + 120 (post-2018). If it asks the last date for *additional-fee* filing, that is Day 0 + 60.

4.3 Registration by the charge-holder — Section 78

The rule: If the *company fails* to register the charge within the (initial 30-day) period, the **person in whose favour the charge is created** (the charge-holder / lender) **may apply to register it.** The Registrar then gives the company 14 days' notice to show why it should not be registered on the charge-holder's application; if the company doesn't register it or show sufficient cause, the Registrar registers it. The charge-holder is entitled to **recover the registration fees from the company.**

Why give this right to the lender? Because the lender is the one who *loses everything* if registration fails. Relying on the debtor to protect the creditor's security is naïve. So the law arms the lender with a self-help remedy — register it yourself and bill the company. This is a crucial safeguard: it ensures a genuine charge almost always gets registered, and it exposes charges that *nobody* registers as likely shams.

When exactly can the charge-holder step in? The trigger is the company's *failure within 30 days* — the lender need not wait out any extension. In practice a prudent lender does not rely on Section 78 at all; it makes registration a *condition precedent to disbursement* — no charge on the register, no money released. Section 78 is the fallback when disbursement has already happened and the company drags its feet. The 14-day notice to the company exists so the company can object if, say, the "charge" is disputed or already discharged — the Registrar does not register blindly on the lender's word alone.

4.4 Modification of charges — Section 79

A "modification" is any change to the terms of an existing charge — e.g., the amount secured increases, the rate of interest changes, the property covered is extended or reduced, or the charge is assigned to a new lender.

The rule: The provisions of Section 77 (duty, time limits, certificate, consequences) **apply equally to the modification of a charge.** Registered in **Form CHG-1 (other than debentures) / CHG-9 (debentures)** within the same **30-day** window (with the same extension mechanics).

Why treat modification like a new registration? Because a modification changes the picture a new lender relies on. If the secured amount silently jumps from ₹10 crore to ₹40 crore, an outsider trusting the old figure is misled just as badly as by a hidden charge. So every material change must hit the public record on the same terms.

What counts as a modification — finer distinctions: - An *increase* in the amount secured, or extension of the charge to *further assets* — clearly a modification (and the *incremental* security is what is at risk if unregistered). - *Assignment / transfer* of the charge to a new lender (e.g., Bank A sells the loan to an ARC) — a modification; the new holder must be on the record. - A *change in terms or conditions* (rate, tenure, ranking) — modification. - *Partial release* of some assets from the charge — recorded on the satisfaction/rectification side (Sections 83/87), because it *reduces* rather than expands the encumbrance.

The unifying test: *does the change alter what a searching third party needs to know about the encumbrance?* If yes, register it. The exam trap here mirrors 4.6 — an *unregistered increase* leaves the lender secured only up to the *originally registered* amount and unsecured for the excess.

4.5 Deemed notice — Section 80

The rule: Where a charge is registered under Section 77, **any person acquiring the property, assets or undertaking (or any share/interest therein) is deemed to have notice of the charge from the date of registration.**

This is the doctrine of **constructive (deemed) notice** applied to charges. Once registered, you *cannot* claim "I didn't know." The register is public; the law treats you as having read it.

Why is this the linchpin? This is what makes the whole scheme work. Registration is only useful as a *warning* if outsiders are *legally bound* to have heeded the warning. Section 80 says: the information is out there, so you are *deemed* to know it. A person who buys or takes security over a charged asset can't later plead ignorance. This is *exactly why* an honest lender searches the register before lending — because they will be *treated as knowing* whatever it contains.

The mirror-image insight — deemed notice only of what is *registered*. Section 80 deems notice *from the date of registration* of *the particulars registered*. It does **not** deem anyone to know an *unregistered* charge, nor terms that were not filed. This is why an *understated* filing hurts the lender (the world is only deemed to know the smaller amount), and why a *late* registration gives no deemed notice for the gap period. A new lender who searched during the gap and found nothing is genuinely protected — the later-registered charge cannot claw back priority over rights acquired in good faith during the gap. Deemed notice runs *forward from registration*, never backward.

4.6 Effect of non-registration — the "void against liquidator and creditors" rule (Section 77(3))

This is the heart of the chapter. Read it slowly.

An unregistered charge is: - **VALID** as between the company and the charge-holder (the debt and the security agreement bind those two parties — Section 77(4) preserves the repayment obligation). - **VOID against the liquidator and other creditors** — meaning, in a winding-up or insolvency, the charge is *ignored*. The "secured" lender is demoted to the rank of an *unsecured* creditor and must line up with everyone else, sharing whatever crumbs remain after registered secured creditors are paid.

Worked logic: Zenith takes ₹50 crore from Bank X against a factory but *never registers* the charge. Zenith goes into insolvency. Bank X marches in claiming the factory. The liquidator says: "Show me your certificate of registration." Bank X has none. Under Section 77(3), the liquidator **cannot take that charge into account.** Bank X's security is void *against the liquidator.* Bank X now stands as an *unsecured* creditor for its ₹50 crore — likely recovering a few paise on the rupee. Meanwhile, the factory is available to satisfy the *registered* secured creditors and the general pool.

Why is this the perfect punishment? Because it strikes at the precise reason the charge existed — to give priority in insolvency. An unregistered charge fails *at the only moment it was supposed to matter.* This makes registration effectively compulsory without banning anything: no rational lender leaves a charge unregistered, because an unregistered charge is not security at all where security counts.

Why "against the liquidator AND creditors" and not the company? (Repeat this until it's reflexive.) The rule protects those who *couldn't have known* about the secret charge — the general body of creditors and the liquidator who represents them. The *company* knew — it made the charge — so it can't hide behind non-registration to escape its own bargain.

The debt-survives corollary made concrete. Section 77(4) is not a footnote — it is regularly tested. The unregistered charge-holder does **not** lose the money; it loses the *priority*. So in the Zenith example, Bank X still *proves* its ₹50 crore claim in the insolvency — it simply proves it in the *unsecured* class. If the estate pays unsecured creditors 20 paise in the rupee, Bank X gets ₹10 crore, not zero and not ₹50 crore. Distinguish sharply: *security void* (loses the factory) versus *debt alive* (keeps a pro-rata unsecured claim). A tempting wrong answer is "Bank X loses the entire ₹50 crore" — that overstates the punishment.

Ranking among registered charges. Registration decides *whether* you count; it does not by itself decide the *order* among competing registered charges — that turns on the nature of the charge (fixed vs floating), the date, and any registered restrictions (negative pledge). Two registered fixed charges over the same asset generally rank by *date of creation* (first in time), while a floating charge, even if earlier, may yield to a later fixed charge as explained in 4.1. So registration is *necessary* for priority but not always *sufficient* to be first.

4.7 Satisfaction of charge — Section 82

The rule: A company shall give **intimation to the Registrar of the payment or satisfaction (in full)** of any registered charge **within 30 days** from the date of such satisfaction, in **Form CHG-4**.

Proviso: The Registrar may, on an application by the company or charge-holder, allow intimation of satisfaction **within 300 days** of the satisfaction on payment of additional fees. (Note: satisfaction retained the 300-day condonation window even after the 2019 amendment tightened *creation* — because a stale *release* is a lesser mischief than a stale *creation*.)

Procedure (Section 82 read with Section 83): On receiving the intimation, the Registrar issues a **notice to the charge-holder** calling for a show-cause within 14 days as to why the satisfaction should not be recorded. If no cause is shown, or the charge-holder confirms, the Registrar records a **memorandum of satisfaction (Form CHG-5)** and informs the company. *Exception:* if the intimation is signed by the charge-holder too (i.e., the lender confirms it's paid off), the Registrar can record satisfaction without the 14-day notice — because the person whose interest is being released has already agreed.

Why 30 days again? Symmetry and honesty of the register — repayment must be recorded as promptly as creation, so the register never overstates a company's encumbrances.

Asymmetry worth memorising — why creation is capped at 120 but satisfaction survives at 300. A *late creation* entry can *harm* an innocent third party (a lender who searched during the gap and found nothing, then had an old charge sprung on them). A *late satisfaction* entry can only *over*-state the company's debts, which harms *the company itself* (it looks more encumbered than it is) and possibly misleads a lender into *not* lending — a cautious error, not a dangerous one. Because the direction of the mischief is opposite, the law tolerates a longer window for satisfaction. This "direction of harm" reasoning is the deep *why* behind the 120-vs-300 split and is a high-value exam point.

4.8 Registrar's power to record satisfaction/release — Section 83

Even without the company's intimation, the **Registrar may, on evidence to his satisfaction**, enter a memorandum of satisfaction where he is convinced that (a) the debt has been paid or satisfied in whole or in part, or (b) part of the property has been released from the charge or has ceased to form part of the company's property. He must inform the company within 30 days. *Why?* So a company can't keep a paid-off charge alive on the record out of laziness or malice, choking its own credit — the Registrar can clean the record on proof.

Note the two-way nature: Section 82 is the *company/charge-holder-driven* route (intimation); Section 83 is the *Registrar-driven* route (on evidence). Both end in the same Form CHG-5 memorandum. Section 83 matters where the company *refuses* to file — e.g., a dispute — but there is clear proof the debt is paid; the Registrar can act on that evidence.

4.9 Intimation of appointment of a receiver / manager — Section 84

Where a person obtains an order (or appoints a receiver/manager of the company's property under powers in a debenture or charge instrument), that person must give **notice to the company and the Registrar within 30 days**, and the Registrar registers the particulars (**Form CHG-6**). On ceasing to act, a similar notice of cessation is filed. *Why?* A receiver taking control of charged assets is a major event affecting all stakeholders — it must be on the public record.

The trigger point matters: the 30 days runs from *obtaining the order or making the appointment*, and a *mirror* notice is required on *cessation* — so the register shows both the receiver taking control and later stepping down. The public interest is that anyone dealing with the company can see that its assets are (or are no longer) under a receiver's control.

4.10 Company's own Register of Charges — Section 85

The rule: Every company shall keep at its **registered office** a **register of charges in Form CHG-7**, containing particulars of *all* charges and floating charges affecting its property, and the instruments creating them.

- The register and instruments of charge are **open to inspection** during business hours by **members and creditors without fee**, and by **any other person on payment of fees**.
- The **instruments creating charges** (or copies) must be preserved for a period (the Rules require the register itself to be preserved permanently and the instrument copies for a stated period — **verify the exact preservation period in current ICAI material**).

Why a second, internal register? The Registrar's file is authoritative but external. Members and creditors have a direct interest in monitoring how much the company has mortgaged itself, and Section 85 gives them a local, inspectable record at the registered office. Note the access hierarchy: members and creditors (the people with a stake) inspect *free*; strangers pay.

Do not confuse Section 85 with Section 88. Section 85 is the *register of charges*; Section 88 is the *register of members/debenture-holders*. Both are company-kept registers at the registered office, and examiners sometimes cross-wire them. Section 85 is about *encumbrances on assets*; it is a Chapter VI instrument.

4.11 Punishment for contravention — Section 86

Section 86(1): If a company contravenes any provision of Chapter VI, the **company** is liable to a penalty, and **every officer of the company in default** is liable to a penalty. (Confirm the exact monetary figures in current ICAI material / the bare Act, as amounts were revised by the 2019 amendment to a civil-penalty structure — the principle is a penalty on the company *and* on each officer in default.)

Section 86(2): If **any person wilfully furnishes false or incorrect information, or knowingly suppresses material information** required to be registered under Section 77, he shall be **liable for action under**

Section 447 (fraud). *Why the fraud hook?* Because a *lie* on the charge register isn't mere non-compliance — it actively deceives future lenders and can be a tool to defraud creditors, so it attracts the serious anti-fraud machinery.

Penalty vs fraud — the mental switch. Frame every contravention question by first asking: *is this a lapse (delay, omission) or a lie (false/suppressed particulars)?* A lapse is Section 86(1) civil penalty on company + officers in default. A lie is Section 86(2) → Section 447, which carries imprisonment and fine (and, where the fraud involves public interest, enhanced minimums — **verify current 447 thresholds**). The examiner's favourite is a fact pattern that *feels* like mere delay but includes a *knowing misstatement* — that flips it into fraud territory.

4.12 Rectification by the Central Government — Section 87

The rule: The **Central Government** (power delegated to the **Regional Director**) may, on being satisfied that: - the omission to give intimation of *satisfaction* within time, or - the omission/misstatement of any particulars in a filing regarding *satisfaction* or *any other entry*,

was **accidental, due to inadvertence, or some other sufficient cause, and not prejudicial to creditors/shareholders**, order that the **time be extended or the omission/misstatement be rectified.**

Crucial post-2019 point: After the 2019 amendment, Section 87 **no longer covers condonation of delay in *registering the creation or modification* of a charge** — that is now governed *exclusively* by the tightened Section 77 timeline (the 30→60→120-day regime). Section 87 today is essentially about rectifying the register in relation to **satisfaction** and errors, *not* about reviving a late-registered *creation*. *Why removed?* The whole thrust of the 2019 reform was to stop late registration of charges; leaving a Central Government condonation backdoor open would have defeated that purpose.

The three-condition gate (memorise as a checklist). Section 87 relief is available only if *all* of: (i) the default was *accidental / inadvertent / for sufficient cause* (not deliberate), (ii) it relates to *satisfaction* or a *misstatement/omission of particulars* (not late creation/modification), and (iii) rectification is *not prejudicial to the position of creditors or shareholders*. Miss any one and the RD cannot rectify. Condition (iii) is the quiet killer: if fixing the record would leapfrog a creditor who relied on the erroneous state, relief is refused.

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5. Applied Scenarios

Scenario 1 — The forgotten filing. On 10th June 2026, Alpha Ltd creates a charge over its warehouse in favour of Beta Bank for a ₹20 crore loan. Everyone gets busy and nobody files anything. On 20th September 2026, Alpha Ltd is admitted to insolvency. Beta Bank claims the warehouse as secured creditor.

Reasoning: The charge was created after 2nd Nov 2018, so the new regime applies. Registration was due by 10th July (30 days). Extension to 60 days (up to 9th August) with additional fees, then to 120 days (up to ~8th October) with ad valorem fees. As of the insolvency date (20th Sep), the 120-day window (ending ~8 Oct) had not yet closed, *but* no registration was ever made and no certificate issued. Under **Section 77(3)**, the liquidator/resolution professional **cannot take the charge into account** — what matters is whether a certificate exists *now*, and it does not. Beta Bank's security is **void against the liquidator**; it ranks as an **unsecured creditor** for ₹20 crore (Section 77(4) preserves the debt but not the priority). *Lesson:* the security is worthless precisely when it was needed. Beta Bank should have invoked its **Section 78** right to register the charge itself — or better, made registration a condition of disbursement.

Scenario 2 — Modification not registered. Gamma Ltd has a duly registered charge with Delta Bank securing ₹5 crore. In 2026 they increase the facility to ₹15 crore but never register the modification. Gamma later winds up.

Reasoning: Section 79 applies Section 77's regime to modifications. Only the **originally registered ₹5 crore** is protected; the *additional* ₹10 crore secured by the **unregistered modification is void against the liquidator.** Delta Bank is secured for ₹5 crore and unsecured for the extra ₹10 crore. *Lesson:* a modification is as important to register as the original charge — outsiders relied on the ₹5 crore figure on the register.

Scenario 3 — The ghost charge choking new credit. In 2024, Omega Ltd registered a charge with PNB for ₹8 crore. Omega repaid it fully in January 2026 but never filed satisfaction. In June 2026, Omega approaches HDFC for a fresh loan against the same asset. HDFC searches the register, sees PNB's ₹8 crore charge still live, and refuses.

Reasoning: Omega breached **Section 82** (satisfaction must be intimated in Form CHG-4 within 30 days). The stale entry misleads HDFC via **Section 80 deemed notice** — HDFC is *entitled* to treat the asset as still charged. Omega can now file satisfaction (within 300 days on additional fees under the proviso), and if PNB cooperates by signing, the Registrar records satisfaction in **Form CHG-5** without the 14-day notice. Alternatively, PNB or Omega can rely on the Registrar's power under **Section 83**, or seek **Section 87** rectification if the omission was inadvertent and not prejudicial. *Lesson:* an unrecorded *release* damages the company itself by freezing its borrowing capacity.

Scenario 4 — The false particulars. A director of Sigma Ltd, to make the company look less indebted, knowingly files charge particulars showing ₹2 crore secured when the true figure is ₹12 crore.

Reasoning: This is not a mere delay — it is **wilful furnishing of false information under Section 86(2)**, exposing the director to **Section 447 (fraud)** consequences (which are severe — imprisonment and fine). *Lesson:* lying to the register is treated as fraud on future creditors, not a paperwork slip.

Scenario 5 — The date-of-creation computation (numerical). Vertex Ltd creates a charge on **5th March 2026**. It misses the 30-day window. Its company secretary asks: (a) what is the last date to register with *additional fees*; (b) what is the last date to register with *ad valorem fees*; (c) if the CS files on the 100th day, which fee applies; (d) if she files on the 130th day, what happens?

Reasoning (post-2018 ladder, all measured from 5 Mar 2026 = Day 0): - Base 30 days → last date **4th April 2026** (normal fee). - (a) Additional-fee window = up to **60 days** from creation → **4th May 2026** (approx.; count 60 days from 5 Mar). Filing between Day 31 and Day 60 uses *additional* fees. - (b) Ad valorem window = up to **120 days** from creation → **3rd July 2026** (approx.; count 120 days from 5 Mar). Filing between Day 61 and Day 120 uses *ad valorem* fees. - (c) Day 100 falls in the 61–120 band → **ad valorem fees** apply, registration still possible. - (d) Day 130 is *beyond 120 days* → the charge **cannot be registered** under Section 77; it is void against the liquidator and creditors. No Section 87 rescue for late *creation* post-2019.

Self-check: Day 0 = 5 Mar; +30 = 4 Apr; +60 = 4 May; +120 = 3 Jul (Mar has 31 days, so 26 days left in Mar after the 5th brings us to 31 Mar = Day 26; +30 total lands early Apr; the ladder 30/60/120 all anchored to 5 Mar is internally consistent). *Lesson:* always anchor to the creation date and classify the filing day into the 0–30 / 31–60 / 61–120 / >120 bands. **Treat the exact calendar dates as indicative and re-count against the precise creation date given in the question.**

Scenario 6 — Floating charge crystallisation and priority (the tweak). On 1st Feb, Nova Ltd grants Bank P a *floating* charge over "all present and future stock-in-trade," duly registered, with **no negative-pledge clause**. On 1st June, Nova grants Bank Q a *fixed* charge over a specific consignment of steel (part of that stock), also registered. On 1st August Nova defaults and Bank P's charge crystallises. Both banks claim the steel.

Reasoning: Until crystallisation, the floating charge *licensed* Nova to deal with its stock in the ordinary course — including creating Bank Q's fixed charge. So **Bank Q's later fixed charge ranks ahead** of Bank P's earlier floating charge over that steel, even though Bank P registered first. Both are registered (so both "count" under Section 77(3)), but *priority* between registered charges turns on their nature. Bank P could have prevented this only by a registered **negative-pledge restriction** giving Bank Q deemed notice under Section 80 that Nova was barred from creating a prior-ranking charge. *Lesson:* "first registered" ≠ "first in priority" when the earlier charge floats. This is the exact trap in 4.1 tested numerically.

Scenario 7 — Charge-holder's self-help under Section 78 (the tweak). Orion Ltd creates a charge in favour of Sunrise Finance on 1st April but does nothing. On 5th May (Day 34), Sunrise realises Orion has not filed. Can Sunrise register, and can it recover the cost?

Reasoning: Yes. The company *failed to register within 30 days*, which triggers **Section 78**. Sunrise may apply to register; the Registrar gives Orion **14 days' notice** to object or itself register; absent sufficient cause, the Registrar registers on Sunrise's application. Sunrise is entitled to **recover the fees from Orion**. Note the filing is still subject to the *outer* Section 77 caps (60/120 days from creation with the respective fees) — Section 78 is a *right to file*, not an extension of the outer deadline. *Lesson:* the lender is never helpless; but it must act *within* the same 120-day universe.

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6. Procedure / Compliance Summary

Figure 6.1 — Decision flow for registering a newly created charge (post-2 Nov 2018 regime).

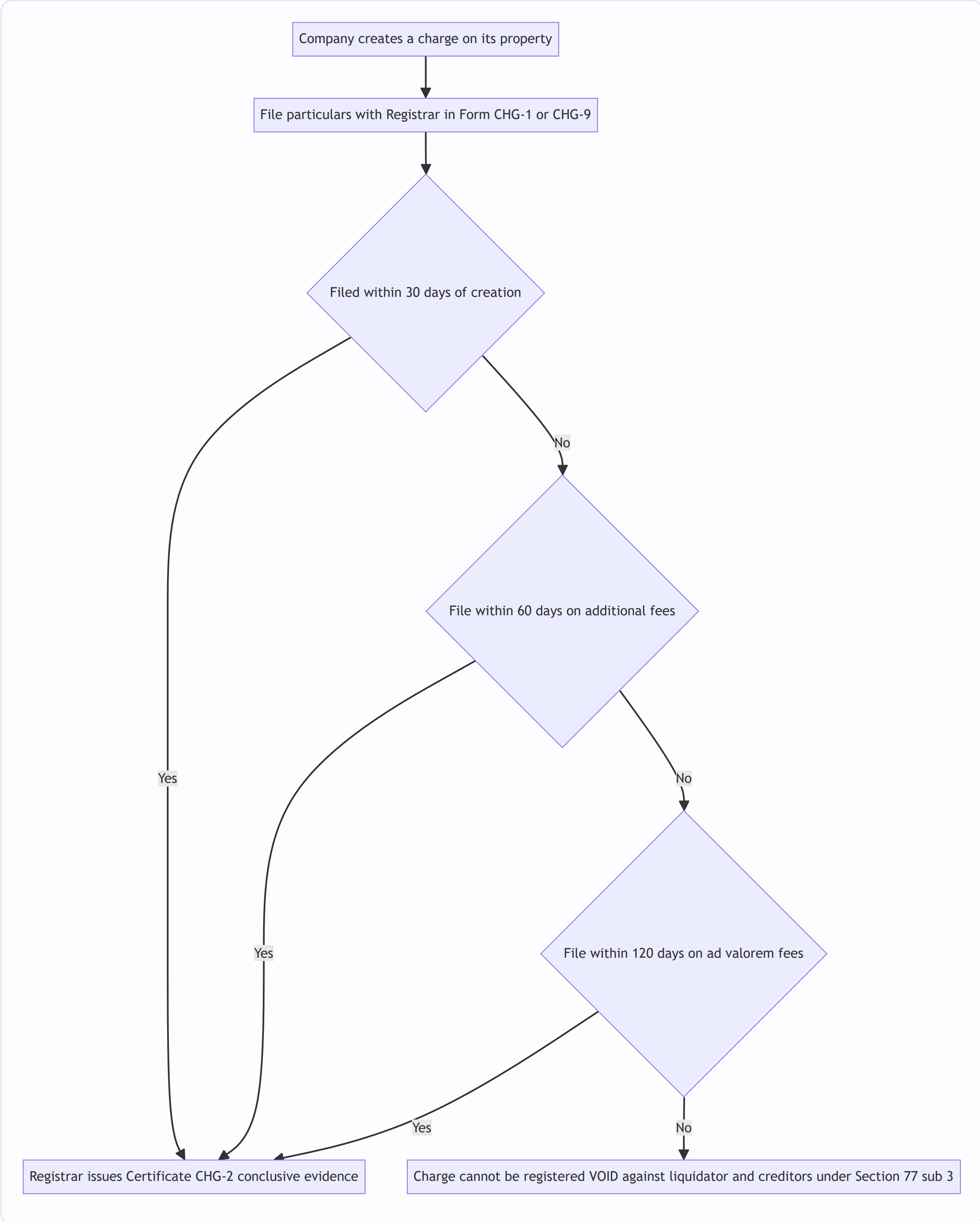


Figure 6.2 — The life-cycle timeline of a charge from creation to release.

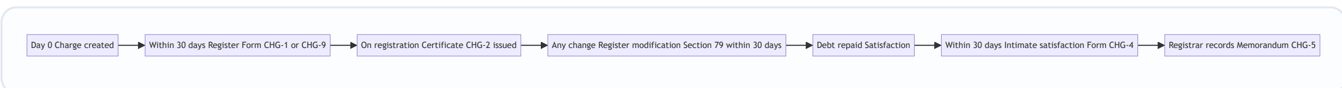


Figure 6.3 — Where does an unregistered charge-holder stand when the company dies.

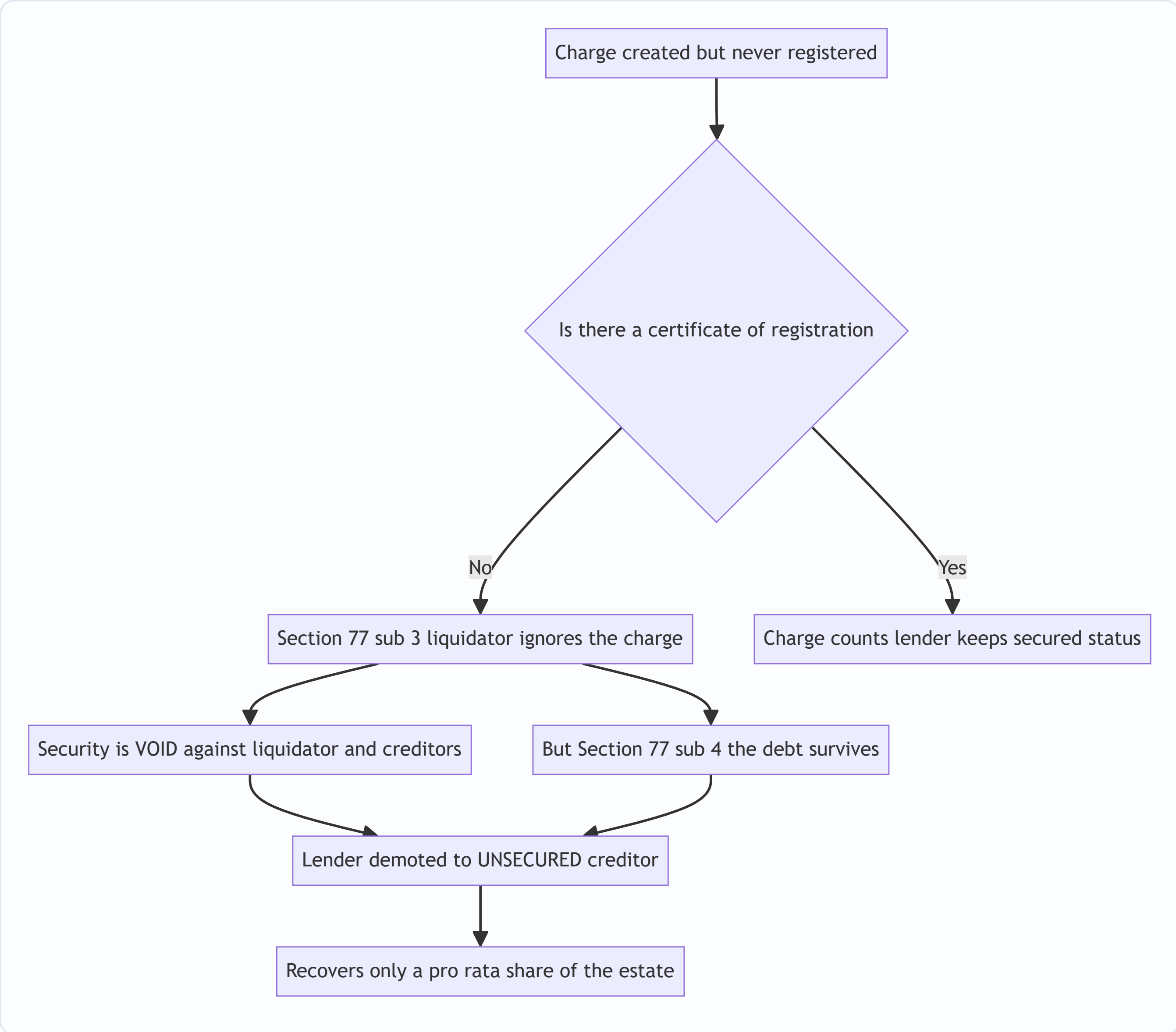
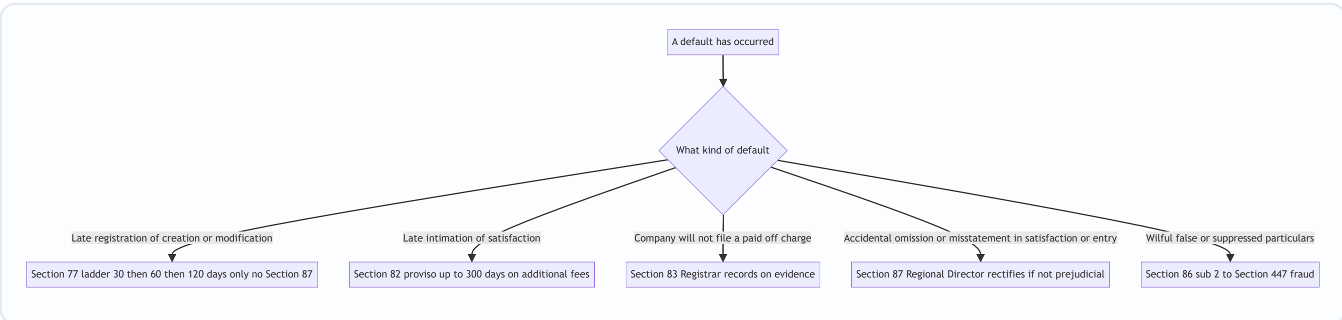


Figure 6.4 — Which relief route fits which default.



Forms cheat-sheet:

Event	Form	Time limit
Registration/modification of charge (other than debentures)	CHG-1	30 days (ext. 60/120)
Registration/modification of charge for debentures	CHG-9	30 days (ext. 60/120)
Certificate of registration issued by Registrar	CHG-2	On registration
Certificate of modification	CHG-3	On modification
Intimation of satisfaction of charge	CHG-4	30 days (ext. 300 days)
Memorandum of satisfaction (issued by Registrar)	CHG-5	On recording
Notice of appointment/cessation of receiver or manager	CHG-6	30 days
Company's own register of charges	CHG-7	Maintained continuously
Application to Central Government (RD) / condonation	CHG-8	As applicable
Reasons/particulars for delay (as prescribed)	CHG-10	With the delayed application

(Confirm each form number and fee against current ICAI material / the bare Rules, as e-form numbering is occasionally revised.)

One-line procedural spine to recite in the exam: *Create → file CHG-1/CHG-9 in 30 days → get CHG-2 (conclusive) → any change re-file under S.79 → on repayment file CHG-4 in 30 days → Registrar records CHG-5.* Bolt the relief routes (S.78 lender-filing, S.83 Registrar-satisfaction, S.87 RD-rectification) onto this spine as needed.

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7. Connections

- **Insolvency and Bankruptcy Code, 2016:** Section 77(3) expressly ties into the IBC — the *liquidator* under the Code ignores unregistered charges. Whether a creditor is "secured" (and thus enjoys priority in the IBC waterfall of Section 53) depends on registration under this chapter. This is the practical payoff of the whole scheme: an unregistered charge-holder drops into the unsecured tier of the waterfall.
- **Deposits (Chapter V, Sections 73–76):** Secured deposits require a charge on assets — that charge must be registered under Chapter VI. The two chapters interlock: the *deposit* rules demand security; the *charge* rules make that security real.
- **Prospectus & Debentures:** Debentures are almost always secured by a charge (often a floating charge on the undertaking). Section 71 (debentures) and the debenture trust deed connect to charge registration via Form CHG-9.
- **Doctrine of Constructive Notice (foundational company law):** Section 80 is a statutory application of the broader idea that public documents filed with the Registrar are deemed known to those dealing with the company — the same logic that once underpinned the (now diluted) constructive-notice doctrine for the MOA/AOA. Note the asymmetry: the *doctrine of indoor management* (Turquand's rule) protects outsiders who *couldn't* know internal irregularities, whereas Section 80 *charges* outsiders with knowledge of what is *publicly registered* — the two doctrines are complementary sides of "what an outsider is deemed to know."
- **Charges on immovable property** also engage the **Transfer of Property Act, 1882** (mortgages) and, for land, state registration laws — but company-law registration under Section 77 is *additional* and

independent. A mortgage of land may need *both* registration under the Registration Act (for the deed) *and* under Section 77 (for the company charge); one does not substitute for the other.

- **SARFAESI Act, 2002 / CERSAI:** Secured creditors also register security interests with the Central Registry (CERSAI). Company-law registration (Section 77) and CERSAI registration serve overlapping disclosure aims but are *distinct filings* — a point occasionally raised in problem questions; **verify scope against current ICAI material.**

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8. Traps & Examiner Tricks

1. **"Void against the company" — WRONG.** The charge is void against the *liquidator and creditors*, never against the company. The company is bound; the debt is recoverable (Section 77(4)). Examiners love this trap.
2. **The debt does NOT vanish.** Non-registration kills the *security/priority*, not the *loan*. The lender drops to unsecured status — it doesn't lose the right to be repaid a *pro-rata* share.
3. **Old 300-day rule vs new 30→60→120 rule.** For *creation/modification* of charges made **on or after 2 Nov 2018**, the maximum is **120 days** — the 300-day route is *gone*. The 300-day window survives **only for satisfaction (Section 82)** and for charges created *before* 2 Nov 2018. Mixing these up is the classic error.
4. **Section 87 no longer condones late *creation*.** Post-2019, you cannot run to the Central Government to revive a charge you failed to register in time. Section 87 is now about *satisfaction*/rectification. Don't cite it for late registration of a new charge.
5. **Whose duty to register?** *Primarily the company* (Section 77); the *charge-holder* may do it if the company fails (Section 78) and recover the fee. Both have standing — a question saying "only the company can register" is false.
6. **Fixed vs floating — crystallisation.** A floating charge is *not* fixed to specific assets until it *crystallises* (default / winding-up / cessation of business). Until then the company trades the assets freely. Watch for questions testing whether a company could sell charged stock — under a floating charge, yes; under a fixed charge, no.
7. **Certificate is conclusive evidence.** Once CHG-2 is issued, the *fact of due registration* cannot be challenged for technical defects. Don't say registration can be "reopened" for a filing error.
8. **Two registers, don't conflate.** Section 81 = Registrar's public register. Section 85 = company's own register at its registered office. Members/creditors inspect the company's register *free*; others pay. And don't confuse Section 85 (charges) with Section 88 (members).
9. **Satisfaction needs the charge-holder's confirmation or a 14-day notice.** The Registrar won't just delete a charge on the company's say-so alone unless the charge-holder has signed off or been notified (Section 82/83). This protects the lender from a company falsely claiming repayment.
10. **False information = fraud (447), not a mere penalty.** Distinguish *delay* (penalty under 86(1)) from *lying* (fraud under 86(2)/447). Watch for a fact pattern dressed as "delay" that hides a *knowing misstatement*.
11. **"First registered wins" — not always.** Registration decides *whether* a charge counts, not always its *rank*. A later *fixed* charge can beat an earlier *floating* charge on the same asset unless a negative-pledge restriction was registered. Priority ≠ mere date of registration.
12. **Both extension windows run from *creation*, not from each other.** The 60-day and 120-day caps are *both measured from Day 0*. Do not add 60 to the end of the first extension.

13. **Registration perfects, it does not create.** The charge exists from the contract date; registration makes it effective against third parties. A question implying "the charge comes into existence only on registration" is wrong.
14. **Deemed notice runs forward, not backward.** Section 80 deems notice only *from the date of registration* and only of *registered* particulars — a late-registered charge gives no notice for the gap period, and understated particulars bind only to the understated amount.

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9. First-Principles Recap

Strip everything away and the chapter is one idea: **a security you keep secret is a security the law won't honour where it counts.**

- Charges are *invisible* — an asset can be pledged without any outward sign → future lenders can be tricked, dying companies can be stripped by insider charges, and even honest borrowers pay a secrecy premium. **(The problem.)**
- The fix: **make the charge public** by registering it with the Registrar within a tight window → outsiders can search and are *deemed to know* (Section 80). **(The core idea.)**
- To make the public record *trustworthy*, the law adds: a **prompt deadline** (30 days, extendable but capped at 120 post-2018), a **charge-holder's self-help right** (Section 78), mandatory **registration of modifications** (Section 79) and **satisfactions** (Section 82) so the record is neither stale nor understated, and a **company-level register** (Section 85) for direct stakeholder monitoring. **(The safeguards.)**
- Enforcement is by *removing the benefit*, not just fining: an unregistered charge is **void against the liquidator and creditors** (Section 77(3)) — worthless in insolvency — while remaining valid between company and lender (Section 77(4)) and preserving the *debt* as an unsecured claim, because the rule protects only those who *couldn't have known*. **(The mechanism.)**
- Lies on the register escalate to **fraud** (Sections 86(2)/447), because a false entry actively deceives. **(The backstop.)**
- Throughout, the design choice is *bright-line certainty over case-by-case fairness*: registered binds all, unregistered binds none but the company, and the certificate is conclusive — so credit can flow on the strength of a simple search. **(The design philosophy.)**

Every section number is just a labelled bolt in this single machine for turning private security into public fact.

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10. Quick-Revision Sheet

Section	Subject	Key content / limit
2(16)	Definition of *charge*	Interest/lien on company property as security; *includes mortgage*; covers hypothecation (no possession)
77	Duty to register	Company must register within **30 days**; post-2 Nov 2018: ext. to **60 days** (additional fee) then **120 days** (ad valorem); pre-2 Nov 2018: up to **300 days** + six-month bridge; Certificate **CHG-2** is *conclusive evidence*; **77(3)** unregistered charge void vs liquidator/creditors; **77(4)** debt survives as unsecured claim
78	Registration by charge-holder	If company fails within 30 days, *lender* may register (14-day notice to company) and **recover fee** from company; still bound by outer 60/120 caps
79	Modification	Section 77 rules apply to modifications; **30 days**; Form **CHG-1/CHG-9**; unregistered increase void as to excess
80	Deemed notice	Anyone acquiring the property is **deemed to have notice** from date of registration — forward-looking, only of *registered* particulars
81	Registrar's register of charges	Public, searchable register kept by the Registrar
82	Satisfaction	Intimate within **30 days** (ext. **300 days** on additional fee); Form **CHG-4** → Registrar records **CHG-5**; 14-day notice to charge-holder unless it has signed
83	Registrar's power	Registrar may enter satisfaction/release on evidence; inform company in 30 days
84	Receiver/Manager	Notice to company + Registrar within **30 days** of appointment *and* of cessation; Form **CHG-6**
85	Company's register of charges	Kept at registered office, Form **CHG-7**; open to members/creditors *free*, others on fee; not to be confused with S.88
86	Punishment	**86(1)** penalty on company + every officer in default; **86(2)** wilful false/suppressed info → **Section 447 (fraud)**
87	Rectification by CG (RD)	Extend time / rectify for **satisfaction** & errors if accidental/inadvertent & *not prejudicial*; **NOT** for late registration of creation/modification post-2019

Time-limit memory hooks: - **30 – 60 – 120**: register a charge (base → additional fee → ad valorem), post-2018, *all measured from creation.* - **30 → 300**: satisfaction intimation (Section 82) — the only place 300 days still lives (besides pre-2018 charges). *Why longer? The mischief of a stale release runs the safe direction.* - **30 days everywhere else**: modification (79), receiver (84), Registrar informing company (83) — the "30-day habit" of Chapter VI. - **Void where it counts, valid where it was made**: void vs liquidator/creditors, valid vs company; *debt survives, security dies.* - **Register perfects, contract creates; deemed notice runs forward; certificate is conclusive.**

(Where exact penalty amounts, preservation periods, exempt-charge lists, or a form number is needed, verify against current ICAI study material / the amended bare Act and Rules, as figures were revised by the Companies (Amendment) Act, 2019 and subsequent notifications.)

Q&A — Registration of Charges

CA Intermediate · Corporate & Other Laws · Companies Act, 2013 (Sections 2(16), 77–87)

All section references are to the **Companies Act, 2013** and the **Companies (Registration of Charges) Rules, 2014**, incorporating the **Companies (Amendment) Act, 2019** timelines. Where a point is unsettled or fact-dependent, it is flagged.

Section A — Concept-Check (Short Questions + Answers)

A1. Define "charge" under the Companies Act, 2013. Answer. Under **Section 2(16)**, a "charge" means *an interest or lien created on the property or assets of a company or any of its undertakings, or both, as security and includes a mortgage.* The essence is a **security interest** over company property to secure a debt — it need not transfer ownership.

A2. Distinguish a fixed charge from a floating charge. Answer. A **fixed charge** attaches to a specific, identifiable asset (e.g., land, machinery); the company cannot deal with that asset freely without the charge-holder's consent. A **floating charge** hovers over a class of assets that changes in the ordinary course (e.g., stock-in-trade, book debts); the company may deal with them until the charge **crystallises** (on default, winding-up, or cessation of business), whereupon it fixes on the assets then existing. The Act (S.2(16), S.77) covers **both**.

A3. Within what period must a charge be registered, and with whom? Answer. Under **Section 77(1)**, the company must register **every charge** it creates with the **Registrar of Companies** within **30 days** of creation, in **Form CHG-1** (non-debenture charges) or **Form CHG-9** (debentures), with the instrument creating the charge.

A4. What is the effect of registration on third parties? Answer. Under **Section 80**, registration operates as **constructive (deemed) notice** to any person acquiring the property or an interest in it — from the date of registration the whole world is deemed to know of the charge. This is the statutory purpose of the whole scheme: converting a private security into a public fact.

A5. If a charge is not registered, is the loan itself wiped out? Answer. No. Under **Section 77(4)**, non-registration does **not** prejudice the **contract or obligation to repay** the money secured. Only the **security** is affected: under **Section 77(3)** an unregistered charge is **not taken into account by the liquidator** (including under the IBC) or any creditor — the charge-holder is demoted to an **unsecured creditor** but the debt survives.

A6. Who else, apart from the company, may apply to register a charge? Answer. Under **Section 78**, if the company fails to register within the 30-day period, the **person in whose favour the charge is created** (the charge-holder) may apply for registration. The Registrar gives the company **14 days' notice** to show cause; if the company does not register or object, the Registrar registers it on the charge-holder's application. The charge-holder may recover the registration fee from the company.

A7. What is Form CHG-7 and where is it kept? Answer. Under **Section 85**, every company must keep, at its **registered office**, its **own register of charges in Form CHG-7**, recording all charges and floating charges with particulars. It is open to inspection by members and creditors (free) and any other person (on fee) — this is **separate** from the Registrar's register.

Section B — Applied Problem/Scenario Questions (Facts → Law → Conclusion)

B1. *Zenith Ltd created a charge over its factory land on 5 April 2024 to secure a bank loan. Due to an oversight the charge was not filed with the Registrar. On 20 October 2024 Zenith went into liquidation. The bank claims priority as a secured creditor.*

Facts. Charge created 05.04.2024; never registered; company in liquidation. **Law. Section 77(1)** required registration within 30 days (extendable up to 120 days under the provisos). **Section 77(3)** provides that a charge required to be registered but not registered *shall not be taken into account by the liquidator or any other creditor*. **Section 77(4)** preserves the debt itself. **Analysis.** The bank missed the entire registration window. Its security interest is therefore void against the liquidator; it cannot claim priority over the factory land. **Conclusion.** The bank ranks as an **unsecured creditor** for the loan amount. The debt is still owed under S.77(4), but the security is disregarded in liquidation.

B2. *Orion Ltd created a charge on 10 January 2025 but forgot to register it. Its finance manager realises the omission on 25 March 2025 (74 days later). Can it still be registered, and how?*

Facts. Charge created 10.01.2025; discovered on day 74. **Law. Section 77(1)** first proviso allows the Registrar, on application, to permit registration within **60 days** of creation on payment of **additional fees**. The second proviso allows a **further 60 days** (total **120 days** from creation) on payment of **ad valorem fees**. **Analysis.** Day 74 is beyond 60 days but within 120 days. Registration is therefore still possible, but only under the **second proviso**, requiring an application to the Registrar and payment of **ad valorem fees** (Form CHG-1 with the instrument). **Conclusion.** Orion can register within the 120-day outer limit by paying ad valorem fees. Had it crossed 120 days, it would need **condonation of delay by the Central Government under Section 87**.

(Timeline flag: the 30/60/120 structure applies to charges created on or after 02.11.2018. Charges created before that date follow the old 300-day rule.)

B3. *Vega Ltd repaid its term loan in full on 1 June 2025 and the bank issued a no-dues letter. The charge remains on the Registrar's records. What must Vega do?*

Facts. Charge fully satisfied on 01.06.2025. **Law. Section 82** requires the company to give **intimation of satisfaction** to the Registrar within **30 days** of payment/satisfaction, in **Form CHG-4**. The proviso allows the Registrar to permit intimation within **300 days** on application with additional fees. Under **Section 83**, the Registrar may, even without intimation, enter a memorandum of satisfaction on evidence. **Analysis.** Vega must file **CHG-4** within 30 days (by ~01.07.2025). The Registrar then issues notice to the charge-holder and records satisfaction under **Section 82/83**. **Conclusion.** File Form CHG-4 within 30 days; otherwise seek the 300-day extension. Failure attracts penalties under **Section 86**.

B4. *A debenture-holder of Comet Ltd appoints a receiver over the company's assets under the terms of a floating charge. Comet's directors argue no filing is needed since the charge is already registered.*

Facts. Receiver appointed under a registered floating charge. **Law. Section 84** requires the person appointing a **receiver or manager** of company property under powers in an instrument to give **notice to the company and the Registrar within 30 days** in **Form CHG-6**; the Registrar enters it in the register of charges. This is **independent** of the original charge registration. **Analysis.** Registration of the charge does not dispense with the separate S.84 intimation of the receiver's appointment. **Conclusion.** The appointer must file **Form CHG-6** within 30 days. The directors are incorrect.

Section C — Past-Paper-Style Descriptive Questions (Model Answers)

C1. Explain the consequences of non-registration of a charge under the Companies Act, 2013.

Answer. The consequences flow mainly from **Sections 77(3), 77(4) and 86**:

1. **Void against liquidator and creditors (S.77(3)).** A charge required to be registered but not registered is **not taken into account** by the liquidator (including a liquidator/RP under the Insolvency and Bankruptcy Code) or by any other creditor. The charge-holder loses secured status and its priority.
2. **Debt survives (S.77(4)).** Non-registration does not prejudice the contract to repay the money secured — it becomes **immediately payable** and the creditor may sue as an **unsecured creditor**.
3. **Penalty (S.86).** The company and every officer in default are punishable with fine; furnishing **false or incorrect information** for registration attracts liability for **fraud under Section 447**.
4. **Practical effect.** The security is worthless in insolvency, defeating the lender's protection — hence lenders insist on timely CHG filing.

C2. Describe the time limits for registration of a charge, including the powers of the Registrar and the Central Government to allow delayed registration.

Answer. Under **Section 77(1)** (as amended by the 2019 Amendment, for charges created on or after 02.11.2018):

- **Normal period:** within **30 days** of creation of the charge.
- **First proviso:** the Registrar may, on application, allow registration within **60 days** of creation, on payment of **additional fees**.
- **Second proviso:** if still not registered, the Registrar may, on application, allow a **further period of 60 days** (i.e., up to **120 days** from creation), on payment of **ad valorem fees**.
- **Beyond 120 days:** registration under S.77 is no longer available. The company must apply to the **Central Government under Section 87** for **rectification / condonation of delay** in Form CHG-8, if the omission was accidental, inadvertent, or does not prejudice creditors/shareholders.

(For charges created before 02.11.2018, the older regime of 300 days / six-month window applies — flag this distinction in dated problems.)

C3. Write short notes on: (a) Company's register of charges; (b) Rectification by Central Government.

Answer. (a) Company's register of charges (S.85). Every company keeps, at its **registered office**, a register in **Form CHG-7** with particulars of all charges and floating charges and copies of the instruments. It is preserved permanently (the instrument copies for 8 years after satisfaction) and is open to inspection by members/creditors without fee and others on payment. It supplements — but does not replace — the Registrar's register.

(b) Rectification by Central Government (S.87). Where there is an **omission or misstatement** in registering a charge, or a **delay** beyond the S.77 limits, the **Central Government** (powers delegated to the Regional Director) may, on being satisfied that the default was **accidental / inadvertent / due to sufficient**

cause or **not prejudicial to creditors/shareholders**, order the delay/omission to be **rectified** — effectively condoning the delay. Application is made in **Form CHG-8**.

Section D — MCQs / Case Scenarios (Correct Option + Reasoning)

D1. The definition of "charge" is contained in — A. S.2(15) B. **S.2(16)** C. S.77 D. S.2(30) **Answer: B.** Section 2(16) defines "charge" as an interest/lien created as security, including a mortgage.

D2. The normal period for registration of a charge under S.77(1) is — A. 15 days B. **30 days** C. 60 days D. 90 days **Answer: B.** Registration is within 30 days of creation, extendable via provisos.

D3. The **outer limit** (with ad valorem fees, second proviso) for registering a charge created after 02.11.2018 is — A. 60 days B. 90 days C. **120 days** D. 300 days **Answer: C.** 30 + 60 (first proviso) + a further 60 (second proviso) = 120 days from creation.

D4. An unregistered charge, in the winding-up of the company — A. Gives full priority B. **Is not taken into account by the liquidator** C. Extinguishes the debt D. Is automatically registered **Answer: B.** Under S.77(3) the liquidator/creditors disregard it; the debt still stands under S.77(4).

D5. Registration of a charge operates as notice to the world under — A. S.79 B. **S.80** C. S.82 D. S.85 **Answer: B.** Section 80 makes registration deemed (constructive) notice.

D6. Intimation of **satisfaction** of a charge is filed in — A. CHG-1 B. **CHG-4** C. CHG-7 D. CHG-9 **Answer: B.** Form CHG-4 under Section 82, within 30 days of satisfaction (extendable to 300 days).

D7. A charge created to secure **debentures** is registered in — A. CHG-1 B. CHG-4 C. **CHG-9** D. CHG-6 **Answer: C.** Form CHG-9 is used for charges relating to debentures; CHG-1 for others.

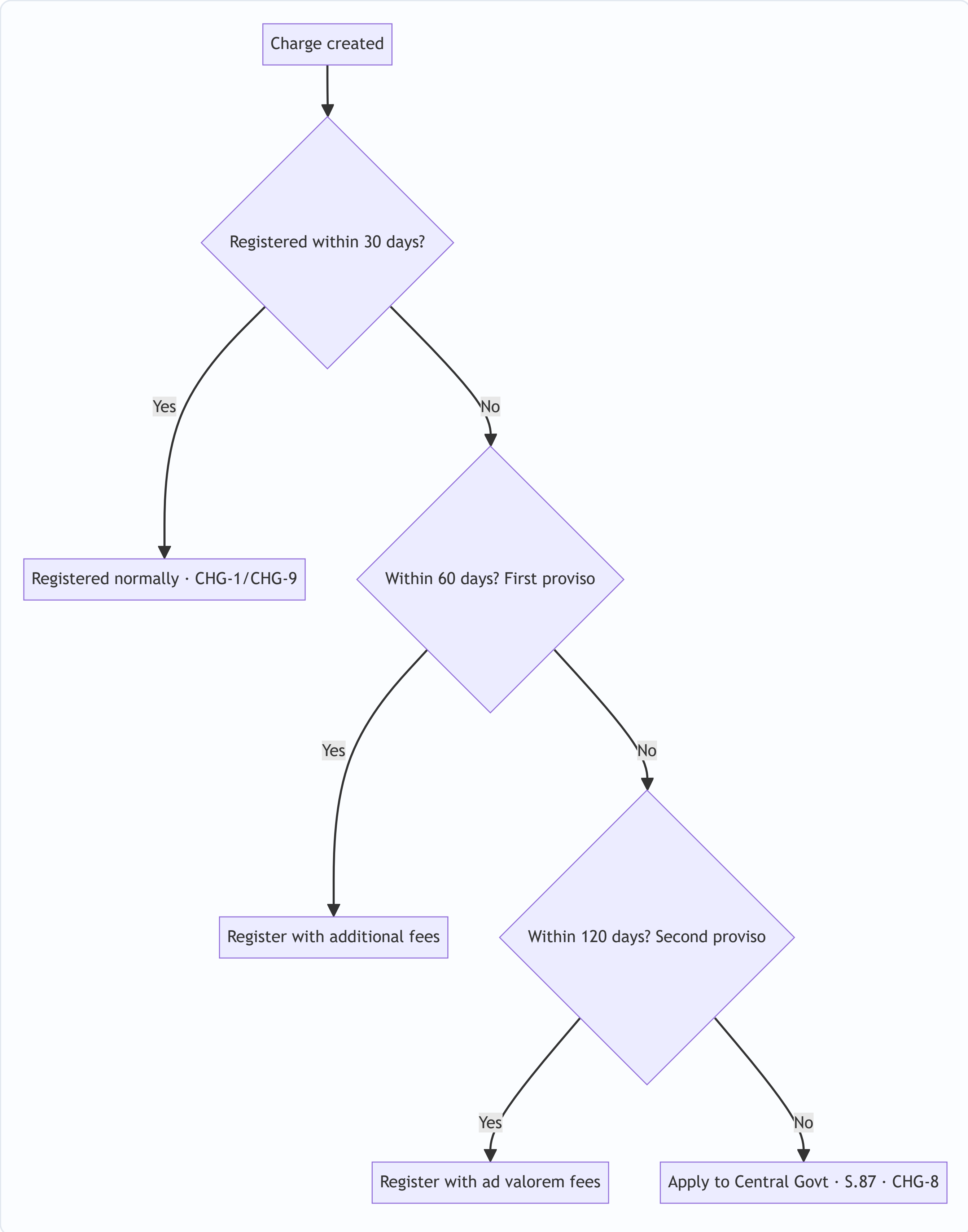
D8. If a company fails to register within 30 days, the **charge-holder** may apply under — A. S.77 B. **S.78** C. S.83 D. S.87 **Answer: B.** Section 78 lets the charge-holder register; the Registrar gives the company 14 days' notice.

D9. Notice of appointment of a **receiver/manager** is filed under S.84 in — A. CHG-4 B. **CHG-6** C. CHG-7 D. CHG-8 **Answer: B.** Form CHG-6 within 30 days of appointment.

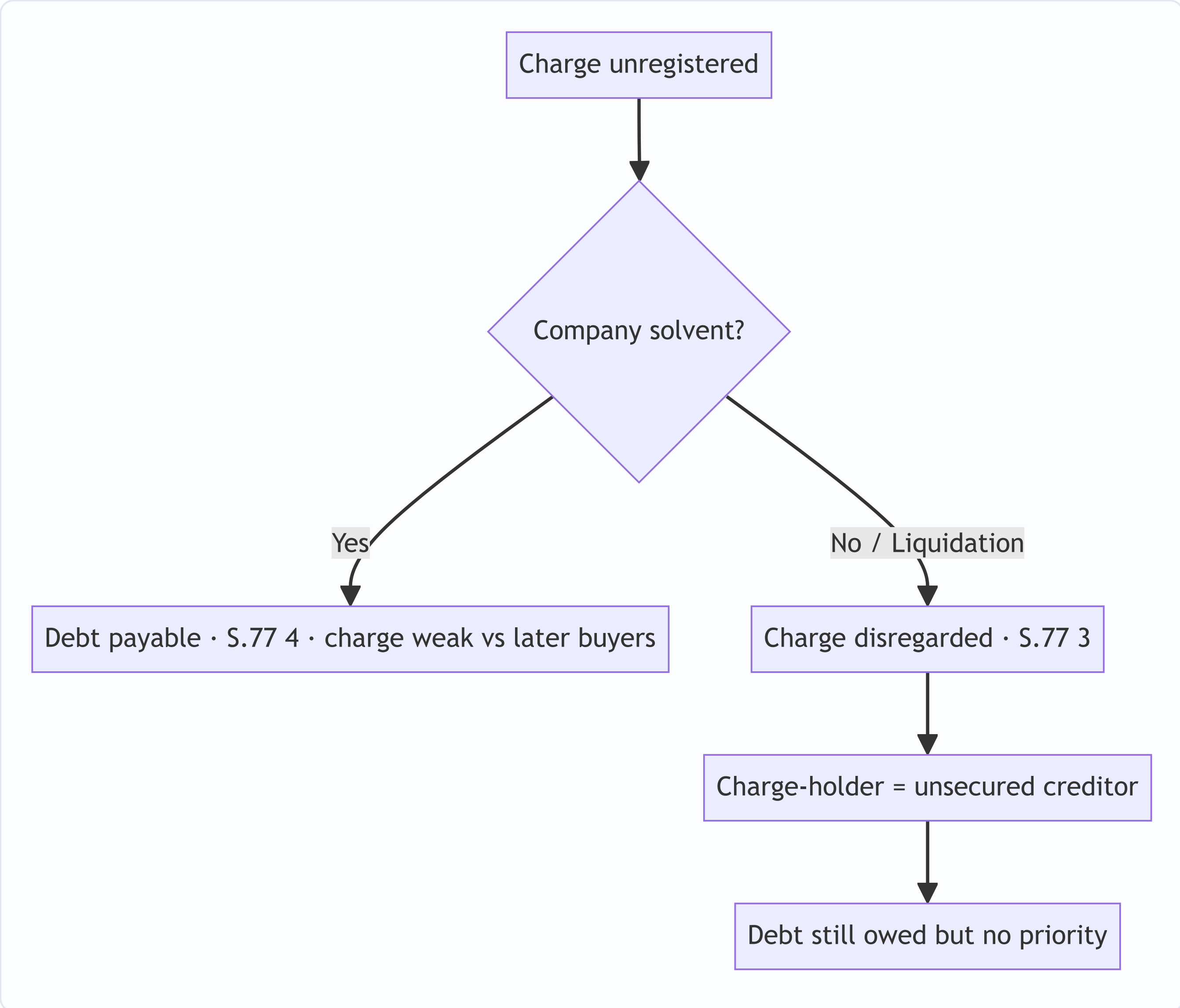
D10. Condonation of delay beyond the S.77 limits is granted by — A. The Registrar B. The Tribunal (NCLT) C. **The Central Government (S.87)** D. The Court **Answer: C.** Section 87 empowers the Central Government (via Regional Director) using Form CHG-8.

Procedure Diagrams

Registration timeline (charge created on/after 02.11.2018):



Non-registration consequence (decision logic):



Connections, Traps & Quick Revision

Connections. (i) **IBC** — S.77(3) expressly ties into insolvency: an unregistered charge is ignored by the resolution professional/liquidator, so the lender falls into the unsecured pool under the IBC waterfall. (ii) **Deposits/Debentures** — secured debentures require a charge registered via CHG-9; links to Chapter on Deposits and to debenture trustees. (iii) **Constructive notice (S.80)** — a buyer of company property is deemed to know registered charges, so cannot claim to be a bona fide purchaser without notice.

Examiner traps. - *Debt vs security:* Non-registration voids the **security**, not the **debt** (S.77(4)). Do not write "loan is cancelled." - "*Void*" *nuance:* The charge is void **against the liquidator and creditors**, not void inter se between company and charge-holder. - *Timeline confusion:* 30 → 60 → 120 days is measured **from creation**, not sequentially added after each stage; beyond 120 days go to **S.87**, not the Registrar. - *Right form:* CHG-1 (others) vs **CHG-9 (debentures)**; CHG-4 (satisfaction); CHG-6 (receiver); CHG-7 (company register); CHG-8 (condonation). - *Two registers:* Registrar's register (S.81) **and** company's own register (S.85, CHG-7) — both exist.

First-principles recap. A charge is invisible — a secret pact between borrower and lender (S.2(16)). Left secret, later lenders and buyers are deceived and priority is chaotic. The Act converts the private security into a **public fact** by compelling registration (S.77), backs it with **deemed notice** (S.80), and enforces it with a **penalty that bites where it hurts** — the charge is disregarded in insolvency (S.77(3)) — while sparing the honest borrower's debt (S.77(4)).

Quick-revision section/limit table.

Provision	Subject	Key limit / form
S.2(16)	Definition of charge	Includes mortgage; fixed & floating
S.77	Duty to register	30 days → 60 → 120; CHG-1/CHG-9
S.77(3)	Effect of non-registration	Void vs liquidator/creditors
S.77(4)	Saving	Debt remains payable
S.78	Charge-holder registration	On company default; 14-day notice
S.79	Modification of charge	Same rules as creation
S.80	Deemed notice	Registration = constructive notice
S.81	Registrar's register	Index of charges
S.82	Satisfaction	30 days → 300; CHG-4
S.83	Registrar's entry of satisfaction	Suo motu on evidence
S.84	Receiver/manager	30 days; CHG-6
S.85	Company's register	CHG-7 at registered office
S.86	Penalty	Fine; false info → S.447 fraud
S.87	Rectification/condonation	Central Govt; CHG-8

Chapter 07 — Management & Administration

> Companies Act 2013 — Chapter VII, Sections 88 to 122, read with Section 12 (registered office) and the Companies (Management and Administration) Rules, 2014. Confirm exact rule numbers in the latest ICAI material / bare Act, as rules are periodically amended.

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1. The Problem — power without a paper trail

A company is a strange creature. It owns property, signs contracts, sues and is sued — yet it has no body, no voice, no signature of its own. Every act it performs is really an act of *some human being* claiming to speak for it: a director, a manager, a majority of shareholders in a room. This is the source of an entire family of abuses.

Abuse one — the vanishing company. Suppose you are a supplier who sold ₹20 lakh of goods on credit to Orion Traders Ltd. Orion defaults. You go to sue. But *where* is Orion? A company is not a place. If the law let a company exist without a fixed, publicly known address, a fraudster could incorporate a company, collect money, and then simply be *unfindable*. Nobody could serve a legal notice, no regulator could inspect, no creditor could knock on a door.

Abuse two — the secret owner. You want to know who really controls Orion — because you are deciding whether to trust it, or because you are a regulator hunting for money laundering. The directors say "the shareholders own it." But the share register might list a nominee — a driver, a clerk, a shell — who *holds* the shares while a hidden person pulls the strings. Ownership becomes a hall of mirrors.

Abuse three — the phantom meeting. The company's biggest decisions — changing its constitution, removing a director, approving a merger — are supposed to be made by the *members* collectively. But what stops the directors from claiming a meeting happened when it didn't? Or holding it at 6 a.m. in a remote village with 4 hours' notice so no dissenting shareholder can attend? Or letting the chairman "declare" a resolution passed by show of hands when the hands actually said no? Or writing minutes afterward that record a decision nobody made?

Abuse four — the frozen minority. Even when a real meeting happens, a shareholder with 5% might be steamrolled — denied notice, denied the chance to send someone in their place, denied an accurate count of votes, denied even the right to *see* what was decided.

Abuse five — the moving target. Even once you have found the company and its owners, its *shape* keeps changing — shares are transferred, directors resign, new capital is raised, control quietly shifts. A snapshot taken at incorporation is worthless a year later. Without a periodic, standardized re-statement of the company's structure, every dealing would require a private investigation. The law's answer to a *moving* target is a *dated* record: registers updated within days, and an annual return frozen at the financial year-end.

Every one of these is a way to exercise the company's enormous power *without accountability*. Chapter VII of the Companies Act 2013 is the law's answer: it forces the company to have a **findable address**, a **truthful record of who owns and controls it**, a **regular public report of its state**, and a **fair, provable, well-documented process for every collective decision.**

Notice the *design pattern* underneath all five abuses: each is an attempt to break the link between an *act* and the *legitimate authority* for that act. The registered office links the company to a place; the register links shares to owners; SBO disclosure links owners to the human behind them; notice and quorum link a resolution to the informed will of the members; minutes link the record to what actually happened. Chapter VII is, at bottom, one long exercise in **keeping every act tethered to its source of authority so the tether can be pulled and tested later.**

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2. The Core Idea — every collective act must be visible, fair, and recorded

The unifying principle of "Management & Administration" is this: **because a company acts only through people, the law surrounds every act with three guarantees — visibility, fairness, and a permanent record — so that power can always be traced back to a legitimate source.**

Break it into its three pillars:

1. **Visibility (where and who).** The company must have a registered office that never hides (Section 12), a register of members that names its owners (Section 88), disclosure of who *beneficially* owns shares behind nominees (Sections 89–90), and an annual return that snapshots the whole picture for the public (Section 92).
2. **Fairness of decision-making (how members decide).** No decision counts unless the members had a genuine, informed opportunity to participate: adequate notice (Section 101), an honest explanation of what they are voting on (Section 102), a minimum turnout (quorum, Section 103), the right to send a proxy (Section 105), and a fair way to count votes — show of hands, poll, e-voting, or postal ballot (Sections 107–110).
3. **Proof (the permanent record).** A decision that cannot be proved is a decision that can be denied or invented. So resolutions must be filed (Section 117) and minutes must be kept as near-conclusive evidence (Section 118).

The elegance is that each rule is a *fix for a specific cheat*. You never need to memorize a bare number — you reconstruct it from the abuse it stops.

A finer distinction the exam tests — the three "audiences" of Chapter VII. Every rule here serves one of three audiences, and knowing which one lets you predict the rule:

- **Outsiders (creditors, the public, regulators)** get *outward-facing* disclosure — publication under Section 12, the annual return filed with the Registrar (Section 92), and filed resolutions (Section 117). These are pushed *out* to the ROC/public.
- **Members** get *inward-facing* participation and inspection rights — notice, explanatory statement, proxy, poll, inspection of registers and general-meeting minutes.
- **The company itself** gets *internal certainty* — the register as its source of truth about whom to pay and invite, and minutes as evidence that its own decisions were validly taken.

When an exam question asks whether *X* is entitled to *Y* (e.g. "can a creditor inspect the minute book?"), first ask *which audience the rule serves*. A creditor is an outsider — he gets the filed return, not the internal minute book. That single reflex disposes of a whole class of questions.

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3. Why it's built this way — the logic of each safeguard

"Why must a company have a registered office within 30 days (Section 12)?" Because a company that cannot be *served* cannot be *sued* or *regulated*. The registered office is the company's legal home — the single address where every notice, summons, and communication is validly delivered. Thirty days from incorporation is enough time to arrange premises but short enough that the company cannot operate for months as an untraceable ghost.

"Why publish the name and address on every document and outside the office?" Because people dealing with the company must instantly know *whom they are dealing with* and that it is a *limited* entity (so they are on notice that shareholders' liability is capped). Painting the name outside the office and printing the CIN on letterheads turns the company's identity into a public, unavoidable fact.

"Why a register of members (Section 88), when share certificates already exist?" Because a certificate is in *one person's pocket*; the register is the company's *single source of truth* about who its members are at any moment. Dividends, voting rights, and notices all flow from the register. Without it, ownership disputes would be unwinnable and the company wouldn't know whom to pay or invite.

"Why force disclosure of *beneficial* interest (Section 89) and *significant beneficial owners* (Section 90)?" Because the register names the *legal* holder, who may be a mere nominee. The real mischief — tax evasion, money laundering, benami control, evading takeover thresholds — hides in the gap between the *name on the register* and the *person who enjoys the benefit*. Sections 89 and 90 close that gap by compelling the hidden beneficiary to step into the light.

"Why an annual return (Section 92) on top of financial statements?" Because financial statements show the *money*; the annual return shows the *structure* — who the members are, how shares moved, who the directors and KMP are, indebtedness, and compliance. It is the yearly "census" of the company, filed with the Registrar so any outsider can reconstruct the company's shape without visiting it.

"Why compel an AGM every year (Section 96)?" Because directors, once in the saddle, have every incentive to *avoid* facing the owners. Left alone they would present accounts late, never stand for re-election, and never answer questions. A mandatory annual meeting forces a yearly reckoning: accounts are laid, auditors and directors face the members, dividends are declared. It is the heartbeat of accountability.

"Why 21 clear days' notice (Section 101)?" Because a decision taken by ambush is not a decision by the members — it is a decision by whoever controls the calendar. A fixed, generous notice period guarantees every member, however small or distant, has real time to study the agenda, form a view, and arrange to attend or appoint a proxy.

"Why an explanatory statement for special business (Section 102)?" Because a bare agenda line ("to consider item 5") tells a member *nothing*. Directors could bury a self-serving related-party deal under a vague heading. Section 102 forces full disclosure of *what* the resolution really does and *who* is materially interested, so consent is *informed*, not blind.

"Why a quorum (Section 103)?" Because two people in a room cannot bind thousands of owners. A minimum turnout ensures a decision reflects a meaningful cross-section of members, not a stealth meeting of insiders.

"Why the right to a proxy (Section 105)?" Because a member who cannot physically attend would otherwise be *disenfranchised*. The proxy lets absent owners still cast their weight, so control cannot be seized simply by whoever shows up in person.

"Why a poll (Section 109) when a show of hands already exists?" Because a show of hands counts *heads*, not *shares* — one tycoon holding 60% has the same single hand as a man holding one share. That is absurd for a body where power tracks capital. A poll re-counts by *shareholding*, so the true owners' weight prevails when it matters. E-voting (Section 108) and postal ballot (Section 110) extend the same fairness to those who never enter the room.

"Why ordinary vs special resolutions (Section 114)?" Because not all decisions are equal. Routine matters need a simple majority; but decisions that *change the fundamental bargain* — altering the constitution, reducing capital, winding up — could crush a large minority. Requiring a 75% supermajority for these means no faction can rewrite the deal without overwhelming consent.

"Why file resolutions (Section 117) and keep minutes (Section 118)?" Because the entire edifice collapses if decisions can be *invented or denied* after the fact. Filed resolutions put major acts on the public record; minutes, signed and dated within 30 days, are near-**conclusive evidence** that the meeting happened and decided what they say. Proof is the final safeguard.

A deeper "why" the exam rewards — why *thresholds* take the shape they do. Notice the recurring numbers: **1/10th (10%)** to *force* the Board's hand (requisition an EGM, demand a poll, circulate a resolution); **95%** to *waive* a protection (short notice); **75%** to *change the bargain* (special resolution); **1% or ₹5 lakh** merely to *put an item on the calendar* (special notice). The pattern is a sliding scale of *how much consensus the law demands for how disruptive the act is*. Forcing a meeting only inconveniences the Board, so a modest 10% suffices. Waiving everyone's notice right strips a protection, so near-unanimity (95%) is demanded. Rewriting the constitution binds dissenters permanently, so an overwhelming 75% is required. Once you see thresholds as *priced by disruption*, you can often reconstruct the right number by asking "how badly does this act hurt a dissenting minority?"

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4. Full Technical Content — section by section, each with its "why"

4.1 Registered office & publication — Section 12

- **The rule:** A company must have a registered office **within 30 days of incorporation** and at all times thereafter, capable of receiving and acknowledging all communications and notices. *Why: a fixed legal home so the company is always findable.*
- **Verification:** The company must furnish verification of the registered office to the Registrar within 30 days in **Form INC-22**. *Why: prevents a fake or borrowed address.*
- **Publication (Section 12(3)):** Every company must —
- Paint/affix its **name and registered-office address** outside every office/place of business, in legible letters, in English and the local language;
- Have its **name engraved** on its seal (if it has one);
- Print name, registered-office address, **CIN**, telephone/fax/email/website on all business letters, billheads, notices and official publications;
- **One Person Company** must additionally print the words "One Person Company" in brackets below its name. *Why: instant identification and notice of limited liability.*
- **Change of registered office:** Notice of any change filed with Registrar within **15 days** in Form INC-22. *Why: keeps the "findable home" current.*
- Change **within same city/town/village** — Board resolution suffices.

- Change **outside local limits but within same ROC jurisdiction / state** — **special resolution**.
- Change from **one state to another**, or shifting ROC — special resolution **plus approval of the Central Government (Regional Director)**. *Why: an interstate move can strip a state's creditors and revenue of local jurisdiction, so a higher authority polices it.*
- **The four-tier ladder made precise (a favourite MCQ).** Read the tiers as *ascending disruption*: 1. **Same town** → nobody's convenience is disturbed → Board resolution. 2. **Different town, same ROC/state** → some members must travel further → **special resolution**. 3. **Different ROC within the same state** → additionally requires **Regional Director confirmation** (the ROC of record changes even though the state does not — verify current position in ICAI material, as this tier is frequently mis-stated). 4. **Different state** (which alters the memorandum's *situation clause*) → special resolution **plus** RD approval **plus** consequent alteration of the memorandum under Section 13. *Why the escalation: the further the move, the more creditors and members it can prejudice, so the higher the sign-off.*
- **Default (Section 12(8)):** Company and every officer in default liable to a penalty of **₹1,000 per day** of default, up to a **maximum of ₹1,00,000.**
- **Trap — Section 12(9):** If the Registrar has reasonable cause to believe the company is **not carrying on business**, he may cause a **physical verification** of the registered office; if found in default, he may initiate action to **strike off** the company. *Why: an address with no real business is the classic shell-company red flag.*
- **"Capable of receiving and acknowledging" — the working test.** The office need not be *owned* by the company; leased or licensed premises suffice, provided the company can lawfully receive communications there. A registered office that is merely a nameplate on a chartered accountant's door, with no capacity to receive and *acknowledge* notices, fails the section even if INC-22 was filed. The exam sometimes hides this: a validly *filed* office that cannot in fact receive notice is still a default.
- **Edge case — "at all times thereafter."** The 30-day clock is only for the *first* office. A company that lets its office lapse mid-life (e.g. lease expires, no replacement) is in continuing default from day one of the gap — there is no fresh 30-day grace. Contrast the *change* of office, which does get its own 15-day filing window.

4.2 Register of members and other security holders — Section 88

- **The rule:** Every company shall keep and maintain a **register of members** (equity and preference separately), a **register of debenture-holders**, and a **register of any other security holders**. *Why: the single source of truth on ownership.*
- **Index (Section 88(2)):** Where members exceed **50**, an index of names must be maintained (unless the register itself is in a form serving as an index). *Why: usability — you must be able to find a member fast.*
- **Foreign register (Section 88(4)):** A company may keep a **foreign register** of members/debenture-holders/other security holders residing outside India. *Why: practical access for overseas holders.* The foreign register is deemed **part of the principal register**; a **duplicate** must be kept at the registered office and updated. *Why: the head office must always mirror the whole picture, so India-based inspection is never defeated by parking members abroad.*
- **Rule detail:** Registers maintained in **Form MGT-1** (members) etc.; entries within **7 days** of the Board (or its committee) approving allotment or transfer.
- **The register vs the depository — a modern subtlety.** For shares held in **dematerialised** form, the company relies on the records of the **depository** (NSDL/CDSL); the depository's records are treated as the corresponding register. The exam may ask "who maintains ownership records for demat shares?" —

the answer keys on the depository, not a physical MGT-1. *Why: dematerialisation moves the "single source of truth" into the depository system, but the* concept *— one authoritative ownership record — is unchanged.*

- **Default (Section 88(5)):** Company liable to penalty and every officer in default liable to penalty. *(Confirm the exact revised penalty figures in current ICAI material — amended by the Amendment Acts.)*
- **Edge case — beneficial owner does NOT go on the register.** A recurring trap: the register under Section 88 records the *registered/legal* holder only. The *beneficial* owner declared under Section 89 is recorded on the company's Section 89 records and reported in **MGT-6**, not entered as a member in MGT-1. The register names the nominee; the beneficiary is disclosed alongside, never substituted in.

4.3 Declaration of beneficial interest — Section 89

- **The problem:** The register names the *legal* holder, who may only be a **nominee** for someone else who truly enjoys the dividends and rights.
- **The rule:**
- The person whose name is entered but who **does not hold the beneficial interest** (the registered owner / nominee) must file a declaration in **Form MGT-4** within **30 days**.
- The person who **holds the beneficial interest** but is not the registered owner must declare in **Form MGT-5** within **30 days** of acquiring it.
- The **company**, on receiving these, must record it and file a return in **Form MGT-6** with the Registrar within **30 days.**
- **Consequence (Section 89(8)):** Until the declaration is made, **no right in the shares** (e.g. voting) shall be **enforceable** by the beneficial owner. *Why: removes the benefit of hiding — an undeclared beneficiary cannot use the very rights he concealed.*
- **A precise reading of 89(8) the exam tests.** The bar on enforcement runs against the **beneficial owner's rights**, and it lasts *until* the declaration is filed — it is a *suspension*, not a permanent forfeiture. File MGT-5, and the rights revive prospectively. Meanwhile the *registered* holder (the nominee on the register) may still, on the face of the register, exercise rights and receive notices; the company is entitled to treat the register as true. So a resolution passed on votes cast by the *registered* nominee is not automatically void merely because the beneficiary hadn't declared.
- **Section 89(10) definition:** "Beneficial interest" includes, directly or indirectly through contract/arrangement, the right to exercise **any or all rights attached** to a share (voting, dividend, transfer, etc.).
- **Section 89 vs Section 90 — the distinction to lock in.** Section 89 catches a **simple, single-layer nominee** ("A holds *for* B"). It has **no percentage threshold** — even one share held on trust triggers it. Section 90 catches the **ultimate controlling individual** behind possibly many layers, and *does* have a threshold (10%). Both may bite at once: A holds 12% as nominee for B (Section 89 declarations), and B, being an individual with ≥10% beneficial interest, is also an **SBO** (Section 90 in BEN-1).

4.4 Significant Beneficial Owner (SBO) — Section 90

- **The deeper problem:** Even Section 89 only catches simple nominee arrangements. Control can hide behind **layers of companies and trusts**. Section 90 hunts the *ultimate individual* controlling a company.
- **Who is an SBO:** An **individual** who, acting alone or together, or through one or more persons/trusts, holds **beneficial interest of at least 10%** of shares (or voting rights, or right to receive dividend), **or**

exercises **significant influence or control** over the company (threshold prescribed by rules — confirm the 10% figure in current SBO Rules).

- **"Individual" is load-bearing.** An SBO is always a *natural person*. If the immediate holder is a body corporate, trust, partnership, or pooled vehicle, you must **look through** it to the individual at the top of the chain. The whole point of Section 90 is that a corporate owner is never the final answer — you keep climbing until you reach a human. Exam trap: naming a holding *company* as the SBO is wrong; name the individual controlling that holding company.
- **Duties:**
- The SBO must declare his interest to the company in **Form BEN-1**.
- The company files a return in **Form BEN-2** with the Registrar.
- The company maintains a **register of SBOs in Form BEN-3.**
- The company must **give notice (Form BEN-4)** to any person it believes to be, or to know of, an SBO.
- **Enforcement teeth (Section 90(7)–(9)):** If a person fails to respond, the company may apply to the **Tribunal** for an order imposing **restrictions on the shares** (transfer, dividend, voting suspended). *Why: freezes the very shares used to hide, forcing disclosure.* The Tribunal application is made **within a prescribed period** of the person's failure, and the order can be lifted once disclosure is made.
- **Exemption:** Certain holdings (e.g. by IEPF Authority, mutual funds, holding reporting companies) are exempt. *Why: these are already transparent/regulated.*
- **Why "significant influence or control" is a *second, independent* limb.** A person can be an SBO with **less than 10% of shares** if they nonetheless exercise significant influence or control — e.g. through a shareholders' agreement, a golden share, or the right to appoint a majority of directors. The 10% test catches *economic* ownership; the influence/control test catches *de facto* command. The exam sometimes gives a fact pattern with 8% shareholding but a right to appoint the board — that person is still an SBO.

4.5 Place of keeping registers & returns — Section 94

- **The rule:** Registers under Section 88 and copies of annual returns are kept at the **registered office.** They may be kept **elsewhere in India** where more than **1/10th of members reside**, if approved by a **special resolution.** *Why: brings records physically closer to where owners actually are, but only with supermajority consent to prevent hiding records in an inconvenient place.*
- **Inspection:** Members/debenture-holders may inspect **free of charge**; others on payment of prescribed fee. Copies to be provided within the prescribed period. *Why: transparency is meaningless without access.*
- **Two conditions, both mandatory.** Keeping registers away from the registered office needs **both** (a) more than one-tenth of members *residing* at that other place, **and** (b) a *special resolution*. Missing either defeats it. A common trap gives a special resolution but only 8% of members residing there — the shift is invalid because the residence limb fails.
- **Amendment note:** The earlier requirement to file a copy of a proposed special resolution in advance with the Registrar (old Section 94 proviso) was **omitted** by the 2017 Amendment — confirm current position.

4.6 Annual Return — Section 92

- **The rule:** Every company shall prepare an annual return in **Form MGT-7** (small companies and OPC use **MGT-7A**) containing, as they stood at the **close of the financial year**, particulars of: registered office, principal business activities; holding/subsidiary/associate companies; shares, debentures, other securities and shareholding pattern; members and debenture-holders with **changes** since last year; promoters, directors, KMP and changes; meetings of members/Board/committees and attendance; remuneration of directors and KMP; penalties/punishments and compounding; matters relating to certification of compliances; shareholding of the FII; and other prescribed matters.

- **"As they stood at the close of the financial year" — the freeze date.** Every figure in the return is a snapshot at FY-end, not at the AGM date and not at filing date. If a director resigns *after* year-end but before filing, the return still shows the year-end position (with changes disclosed). *Why: a census needs a single, common cut-off so successive years' returns are comparable and outsiders know exactly what date the picture depicts.*
- **Signing:** Signed by a **director and the Company Secretary**; where there is no CS, by a **company secretary in practice.**
- **Signing for OPC and small companies (post-amendment).** For an **OPC and small company**, the annual return may be signed by the **company secretary**, or where there is no CS, **by the director** of the company. *(Confirm current wording — the relaxation was introduced to ease compliance for the smallest companies.)*
- **Certification (Section 92(2)):** A **listed company** or a company with **paid-up capital ≥ ₹10 crore** or **turnover ≥ ₹50 crore** must have the annual return **certified by a company secretary in practice** in **Form MGT-8.** *Why: independent professional attestation for larger companies where errors affect many.*
- **Filing (Section 92(4)):** File with the Registrar within **60 days of the AGM**; if no AGM is held, within 60 days of the date the AGM *should* have been held, with reasons for not holding it. *Why: a fixed public deadline keeps the census current.*
- **The "no AGM held" branch — worth stressing.** The 60-day clock does not disappear just because the company skipped its AGM. It runs from **the last date on which the AGM *ought* to have been held**, and the return must **state the reasons** for the failure. *Why: a defaulting company cannot buy itself indefinite delay in filing simply by also defaulting on the AGM — two wrongs don't extend the deadline.*
- **Abridged / web note:** The requirement for an **extract of the annual return (MGT-9)** in the Board's report was replaced — companies now place the annual return on the **website** and give the web link in the Board's report. *(Confirm current wording.)*
- **Default (Section 92(5)/(6)):** Company and every officer in default liable to penalty (₹ per day continuing default, subject to cap); a PCS certifying wrongly is liable to penalty. *(Confirm exact revised figures.)*

The census reflex — remember MGT: Members, Governance, Transactions all get filed on Forms MGT.

4.7 Annual General Meeting — Section 96

- **The rule:** Every company **other than a One Person Company** must hold an AGM **every year.**
- **Gaps and first AGM:**
- First AGM: within **9 months** from the close of the **first** financial year. (If held, no AGM needed in the year of incorporation.)
- Subsequent AGMs: within **6 months** from the close of the financial year.
- Gap between two AGMs **not more than 15 months.**
- The Registrar may, for special reasons, **extend** the time for holding an AGM (not the first AGM) by up to **3 months.** *Why: rare genuine difficulties (e.g. delayed accounts) accommodated, but the first AGM is never extendable.*

- **How the three limits interact — a subtlety examiners exploit.** For a *subsequent* AGM you must satisfy **all** the applicable limits at once: within 6 months of FY-end **and** no more than 15 months after the last AGM. Where an extension is granted, the **15-month gap and the 6-month rule are read with the extension** — the extension moves the deadline, so a gap that would otherwise breach 15 months can become lawful. But the **first AGM's 9 months can never be extended** — if you see "first AGM" and "extension" in the same sentence, the extension is a red herring.
- **Time and place:** Held during **business hours (9 a.m. to 6 p.m.)**, on a day that is **not a National Holiday**, at the registered office or some other place within the **city/town/village** where the registered office is situated. (Unlisted companies may hold the AGM **anywhere in India** if all members consent — 2017 Amendment.) *Why: no ambush at odd hours or unreachable places.*
- **"National Holiday" is a defined term, not "public holiday."** A National Holiday is one *declared* by the Central Government (e.g. Republic Day, Independence Day, Gandhi Jayanti). A meeting on a *state* festival or a bank holiday that is not a declared National Holiday is *not* barred on that ground. The exam plays on the loose word "holiday" — read for "National Holiday."
- **Business:** *Ordinary business* — (a) consideration of financial statements and reports; (b) declaration of dividend; (c) appointment of directors in place of those retiring; (d) appointment/re-appointment of auditors and fixing remuneration. Everything else is *special business* needing an explanatory statement.
- **The four ordinary-business items — memorize the closed list.** *Only* these four are ordinary business, and they arise *only* at an AGM (an EGM has no ordinary business — every item at an EGM is special business and needs an explanatory statement). Trap: examiners describe an EGM approving "adoption of accounts" as ordinary business — at an EGM there is no such category, so it needs Section 102 disclosure.
- **Default (Section 99):** If an AGM is not held, company and every officer in default liable to a fine up to **₹1,00,000**, and **₹5,000 per day** for continuing default.

4.8 Tribunal's power to call meetings — Sections 97 & 98

- **Section 97 — default in holding AGM:** If a company fails to hold an AGM, **any member** may apply to the **Tribunal**, which may **call/direct the calling of** an AGM and give ancillary directions (including that **one member present in person or by proxy shall constitute the meeting**). *Why: members are not left helpless when directors stonewall.*
- **Section 98 — impracticability:** If for any reason it is **impracticable** to call or conduct a meeting (other than an AGM), the Tribunal may, on its own motion or on application of a director/member, **order a meeting** to be called and conducted as it directs. *Why: deadlock (e.g. quorum can never be met because a faction boycotts) must not paralyse the company.*
- **Section 97 vs 98 — draw the line cleanly.** Section 97 is triggered *only* by a **default in holding the AGM** and is invoked *only by a member*. Section 98 covers **any meeting other than an AGM** (including a Board meeting or an EGM) that has become **impracticable** to call or conduct, and can be invoked by a **director or member, or by the Tribunal itself**. A quick decision rule: *AGM not held → Section 97; any other meeting impracticable → Section 98.*
- **The "one member is quorum" power is the killer feature.** Both sections let the Tribunal direct that **one member present shall constitute the meeting**, overriding Section 103's numerical quorum. This is precisely how a boycotting majority (who deny quorum) is defeated — the Tribunal simply removes the quorum obstacle. Exam favourite: a 50-50 deadlock where one faction never attends; the remedy is a Tribunal-ordered meeting with a one-member quorum.

4.9 Extraordinary General Meeting — Section 100

- **The idea:** Any general meeting **other than the AGM** is an EGM — for urgent matters that cannot wait.
- **Who calls it:**
- The **Board** may call an EGM whenever it thinks fit.
- The Board **must** call an EGM on a valid **requisition** by members holding at least **1/10th of the paid-up share capital** carrying voting rights (or, for a company without share capital, 1/10th of total voting power).
- The Board must proceed to call the meeting **within 21 days** to be held **within 45 days** of receiving the requisition.
- If the Board fails, the **requisitionists themselves** may call the EGM within **3 months** of the requisition; reasonable expenses are **recovered from the company** (and may be deducted from defaulting directors' fees). *Why: owners can force a reckoning even against an unwilling Board.*
- **The requisition's content requirements.** A valid requisition must **set out the matters** for which the meeting is required and be **signed** by the requisitionists and **deposited at the registered office**. A requisition that names no business is invalid; the Board is not obliged to act on a blank demand. *Why: the Board must know what it is being forced to convene, and the notice to members must state the purpose.*
- **The 3-month window explained precisely.** The requisitionists' self-called meeting must be **held within 3 months** from the date of deposit of the requisition — not merely *called* within 3 months. And it must be called **in the same manner** as the Board would (broadly, proper notice to members). *Why: the self-help route is a substitute for Board action, so it inherits the same procedural discipline.*
- **Place (2017 Amendment proviso):** An EGM of a **wholly-owned subsidiary of a company incorporated outside India** may be held **anywhere in the world**; other companies' EGMs are held in India.
- **Contrast with the AGM's place rule.** The AGM must generally be within the city/town/village of the registered office (relaxed for unlisted companies with all members' consent). The EGM has no such city-limit rule in the Act's body — its only special geography rule is the "anywhere in the world" relaxation for the wholly-owned foreign subsidiary. Don't import the AGM's city restriction into EGMs.

4.10 Notice of meeting — Section 101

- **The rule:** A general meeting is called by giving **not less than 21 clear days' notice** in writing or electronic mode.
- **"Clear days":** Exclude the **day of service** and the **day of the meeting**; add ~2 days for postal service where notice is sent by post. *Why: 21* usable *days, not 21 counted-from-the-envelope.*
- **Working the "clear days" arithmetic.** Suppose notice is *served* on 1 August for a meeting. Exclude 1 August (day of service). If sent by post, notice is deemed served **48 hours after posting**, so a notice *posted* on 1 August is *served* on 3 August; you then exclude 3 August and the meeting day, and count 21 full days in between. The earliest lawful meeting date is therefore roughly **3 + 21 + 1 = 25 August at the earliest** (verify the exact deeming rule in current material). The exam almost always tests whether you (a) exclude both ends and (b) add the postal 48 hours.
- **Shorter notice:** A meeting may be called on **shorter notice** if consented to by:
- **AGM** — **95%** of the members entitled to vote;
- **other meetings (EGM)** — members holding **95%** of the paid-up voting capital (or 95% of voting power where no share capital). *Why: near-unanimity means nobody is ambushed.*

- **A precise distinction inside the 95% rule.** For an **AGM**, the 95% is of *members entitled to vote* — a **head/number** test blended with entitlement. For an **EGM** of a company with share capital, the 95% is of the **paid-up voting capital** — a *value* test. The exam sometimes swaps these to trip you. Read carefully whether it asks for 95% of *members* (AGM) or 95% of *capital/voting power* (EGM).
- **To whom (Section 101(3)):** To every **member, legal representative of a deceased member, assignee of an insolvent member, auditor, and every director.**
- **Contents:** Place, date, day, hour of the meeting, and the **agenda.** Accidental omission to give notice to, or non-receipt by, any member does **not** invalidate proceedings (Section 101(4)) — *provided the omission was truly accidental, not deliberate.*
- **The "accidental omission" safe harbour, dissected.** Section 101(4) protects the meeting only where the failure is (a) *accidental* and (b) *omission to give* notice OR *non-receipt* by the member despite the notice being sent. It does **not** protect a *deliberate* exclusion (e.g. leaving a dissenting shareholder off the list to prevent objection) — that voids the proceedings. Nor does it cure a *systemic* failure (e.g. forgetting a whole class of members) that goes beyond a stray oversight. The single word "accidental" is where marks are won or lost.

4.11 Statement to be annexed to notice — Section 102

- **The rule:** For every item of **special business**, the notice must annex an **explanatory statement** setting out —
- the **material facts** concerning each item;
- the **nature of the concern or interest**, financial or otherwise, of **every director, manager, KMP and their relatives** in each item;
- where an item relates to another company, the **shareholding interest** in that other company of every director/KMP/their relatives, **if it is 2% or more.**
- **The 2% shareholding trigger — read it exactly.** The 2%-or-more disclosure bites only for the *cross-holding in the other company* limb, and it aggregates the holdings of the director/KMP/manager *and their relatives*. Below 2%, that particular cross-holding need not be disclosed — but the *general* duty to disclose the **nature of concern or interest** (the first two bullets) has **no** threshold. Trap: candidates apply the 2% floor to the whole section; it applies only to the "shares in the other company" disclosure.
- **What counts as "special business" — the default rule.** At an AGM, everything *except* the four ordinary-business items is special business. At an EGM, **all** business is special business. So the explanatory statement is the *norm*, not the exception, at an EGM.
- **Consequence of default (Section 102(4)):** If, as a result of non-disclosure or insufficient disclosure, any **benefit accrues** to a director/promoter/manager/KMP/relative, they must **compensate the company** to the extent of the benefit. Default also attracts a penalty of **₹50,000 or 5 times the benefit, whichever is more.** *Why: disgorges the profit gained through concealment — you cannot keep what you hid.*
- **Disgorgement is compensation, not a fine — keep them separate.** Section 102(4) produces *two* distinct liabilities: (1) the interested person must **hand back the benefit** to the company (restitution, measured by the benefit), and (2) a **penalty** of ₹50,000 or 5× the benefit, whichever is higher. A common error is to treat the "5× benefit" as the amount returned to the company — no: the company gets the *actual benefit* back, and the *penalty* is separately the greater of ₹50,000 or 5× benefit.

4.12 Quorum — Section 103

- **The rule (public company):** Minimum members personally present —
- **5** members if the number of members on the date of meeting is **≤ 1,000**;
- **15** members if members are **> 1,000 but ≤ 5,000**;
- **30** members if members are **> 5,000.**
- **Private company: 2 members** personally present. *Why: smaller bodies need a smaller floor.*
- **"Personally present" — and how representatives change the count.** Quorum requires members *personally present*. A **proxy does NOT count** toward quorum. But a **corporate representative under Section 113** and a **representative of the President/Governor under Section 112** *do* count as the member being "personally present." So a public company meeting attended by 5 corporate representatives (each representing a member company) *has* quorum; the same meeting with 5 proxies does *not*. This proxy-vs-representative distinction is the single most tested point in the whole chapter.
- **If quorum absent within half an hour:**
- Meeting called on **requisition** by members → **dissolved.**
- Any other meeting → **adjourned** to the same day next week, same time and place (or as the Board decides). If quorum is still absent at the adjourned meeting within half an hour, the **members present shall be the quorum.** *Why: a persistently boycotting faction cannot paralyse the company forever.*
- **Why requisitioned meetings are *dissolved*, not adjourned.** A requisitioned EGM exists only because the requisitionists demanded it. If they themselves cannot muster quorum, there is no public interest in keeping the machinery running — so the law simply *dissolves* it (the requisitionists failed their own meeting). A Board-called or AGM meeting, by contrast, serves the company at large, so it is *adjourned* and then proceeds with whoever turns up. Reason it out and you never confuse the two outcomes.
- **Edge case — quorum must persist or only be present at the start?** The Act fixes quorum at the *commencement* (within half an hour of the appointed time). Whether business already validly commenced is vitiated by members later leaving depends on the articles/Secretarial Standards — SS-2 generally requires quorum to be present *throughout*. For the exam, state the statutory rule (quorum within half an hour) and note SS-2's throughout-requirement as the prudent standard.

4.13 Chairman, proxies and voting — Sections 104 to 108

- **Chairman (Section 104):** Unless the articles provide otherwise, members personally present **elect a chairman by show of hands**; if a poll is demanded on the election of chairman, it is taken **forthwith.** *Why: a meeting needs a neutral steward from the first minute.*
- **Proxy (Section 105):**
- Any member entitled to attend and vote may appoint a **proxy** to attend and vote **on a poll** on his behalf.
- A proxy **need not be a member.**
- **A proxy cannot vote on a show of hands** and (unless articles allow) **cannot speak.** *Why: a proxy is a stand-in vote-carrier, not a debater.*
- **Members of a company not having share capital** cannot appoint a proxy unless the articles allow; a **Section 8 company** member may appoint a proxy only if the proxy is also a member.
- **Proxy instrument** must be deposited **not more than 48 hours** before the meeting. *Why: gives the company time to verify without letting last-minute forgeries slip in.*

- **Aggregation limit (Rules):** A person can act as proxy for **not more than 50 members** and members holding in aggregate **not more than 10% of total voting share capital**; but a member holding **more than 10%** may appoint a **single** proxy who then cannot be proxy for anyone else. *Why: prevents proxy-farming to hijack meetings*.
- Notice of the meeting must state, "with reasonable prominence," that a member entitled to attend and vote may appoint a proxy.
- **"Not more than 48 hours" — the direction of the limit matters.** Section 105 caps the *maximum* advance deposit at 48 hours; a company **cannot** require proxies to be lodged, say, 72 hours before — any article demanding more than 48 hours' advance deposit is void *to that extent*. The purpose is member-protective: it stops companies from setting an impossibly early cut-off. Trap: candidates read "48 hours" as a *minimum* and think a proxy lodged 24 hours before is late — it is perfectly valid.
- **The 50-members / 10% proxy-farming cap, worked.** One person may hold proxies for at most **50 members** *and* those members must together hold **≤ 10%** of the total voting share capital. Both limits apply simultaneously. Exception: a *single* member holding **more than 10%** may appoint one proxy for himself, but that proxy is then *locked* to him and cannot also carry other members' proxies. *Why: this stops a mass round-up of small holders' proxies to manufacture control while still letting a large single holder be represented*.
- **Restriction on voting rights (Section 106):** Articles may bar a member from voting if **calls are unpaid** or the company has a lien/exercised a right over his shares. Except as so provided, a member's voting right cannot otherwise be restricted. *Why: you shouldn't vote with shares you haven't fully paid for.*
- **Voting by show of hands (Section 107):** At any general meeting a resolution is decided by a **show of hands** in the first instance, unless a poll is demanded (Section 109) or e-voting is used. *One member = one hand, regardless of shareholding — the flaw a poll cures.*
- **Show of hands is unavailable where e-voting applies.** For companies that must provide **e-voting** (Section 108), a resolution is *not* decided by show of hands — the electronic vote (counting by shareholding) governs, because show of hands would be meaningless where most members voted remotely by value. Trap: a listed company "declaring a resolution passed on a show of hands" is procedurally wrong.
- **Voting through electronic means (Section 108): Prescribed classes** of companies (notably **listed companies and those with ≥ 1,000 members**) must provide members the facility to exercise their vote by **electronic means (remote e-voting).** *Why: extends the franchise to owners who cannot travel — especially scattered public shareholders*.

4.14 Poll — Section 109

- **The rule:** Before or on the declaration of the result of a show of hands, a **poll** may be **demanded** by —
- In a company **having share capital** — members holding at least **1/10th of the total voting power** or holding **paid-up shares of ≥ ₹5,00,000** (in aggregate);
- In a company **without share capital** — members having at least **1/10th of the total voting power.**
- **The chairman** may also **order a poll suo motu.**
- **Timing:** A poll on **adjournment** or **election of chairman** is taken **forthwith**; any other poll within **48 hours.** *Why: procedural matters can't wait; substantive ones get a short verification window.*
- **Effect:** On a poll, votes are counted by **shareholding** — the true weight of capital prevails. A demand for a poll may be **withdrawn** by the person(s) who made it.

- **The two alternative thresholds are disjunctive — and the ₹5 lakh limb is generous to small blocs.** A demand is valid if *either* the 1/10th voting-power test *or* the ₹5,00,000 aggregate paid-up value test is met. In a large company the ₹5 lakh test is often *easier* than 10% (10% of a huge company is enormous), so a modest coalition can still force a poll. Reason: the law wants a poll to be *demandable* whenever a meaningful economic stake objects to a heads-count result.
- **"Before or on the declaration of the result of the show of hands" — the timing window.** The demand must be made *at latest* when the show-of-hands result is declared. Once the chairman has declared the show-of-hands result **and** the moment has passed, a belated poll demand is out of time. This is why in Scenario B (below) Mr. Rao demands the poll *immediately* on declaration — he is inside the window.
- **A validly demanded poll cannot be refused.** The chairman has *no discretion* to reject a poll demand that meets the threshold — his only role is to fix the manner and (for substantive items) the time within 48 hours. Refusal is illegal and the show-of-hands "result" never becomes final.

4.15 Postal ballot — Section 110

- **The idea:** Some decisions are put to members **entirely by post/e-voting** without a physical meeting — every member votes from home.
- **The rule:** A company **may**, and in respect of items of business the Central Government declares to be transacted **only by postal ballot**, **shall**, get any resolution passed by means of a **postal ballot** (which includes voting by electronic means).
- **Exception: Ordinary business** and any business in respect of which **directors or auditors have a right to be heard** cannot be transacted by postal ballot. *Why: matters requiring live debate/hearing need a meeting.*
- **Reasoning out the exception.** The four ordinary-business items (accounts, dividend, retiring directors, auditors) and matters where the auditor/director has a *right to be heard* (e.g. removal of an auditor, removal of a director) all involve a *live confrontation* — the person affected is entitled to appear and speak. A postal ballot has no floor for a hearing, so these are *structurally* incompatible with it. Once you see *why*, you can predict any new item: if someone has a right to be heard, it cannot go to postal ballot.
- **OPC / ≤ 200 members:** A **2017 Amendment proviso** allows any item required to be transacted by postal ballot to instead be transacted at a **general meeting** by a company that is required to provide **e-voting** to its members.
- **Deeming (Section 110(2)):** A resolution assented to by the requisite majority through postal ballot is **deemed to have been duly passed at a general meeting.**
- **Why the deeming clause matters.** Because a postal-ballot resolution is *deemed passed at a general meeting*, it carries the **same legal force** as a meeting resolution — a special resolution passed by postal ballot is a valid special resolution for filing under Section 117, for altering the articles, etc. The exam sometimes suggests a postal-ballot special resolution is "weaker" or needs ratification at a meeting — it does not.
- **Items generally requiring postal ballot (Rules):** e.g. alteration of the objects clause; change of registered office outside local limits; variation of rights attached to a class of shares; buy-back; election of a small shareholders' director; sale of the whole/substantially the whole of an undertaking; giving loans/guarantees beyond limits. *(Confirm the current list in the Management & Administration Rules.)*

4.16 Circulation of members' resolution — Section 111

- **The rule:** Members holding the requisite stake (as for a requisition under Section 100 — **1/10th** of voting capital, or 100 members holding shares on which prescribed aggregate paid-up sum has been paid) can require the company to (a) give **notice of a resolution** they intend to move, and (b) **circulate a statement** (up to ~1,000 words) about any matter on the agenda. *Why: the minority gets a voice on the official agenda, not just a heckle from the floor.*
- Expenses are borne by the requisitionists unless the company resolves otherwise. The company may apply to have a defamatory statement not circulated.
- **Circulation (Sec 111) vs requisition (Sec 100) — same threshold, different weapon.** Both use the 1/10th test, but they do different things: Section 100 forces the company to *hold a whole meeting*; Section 111 merely forces it to *put the minority's resolution/statement onto an already-scheduled meeting's papers*. Section 111 is the *cheaper, narrower* tool — use it to get an item onto the next AGM rather than to convene a fresh EGM.

4.17 Representation — Sections 112 & 113

- **Section 112:** The **President of India** or a **Governor of a State**, if a member, may appoint a person to act as its **representative** at meetings, who then enjoys the same rights as an individual member. *Why: the State as shareholder needs a human proxy.*
- **Section 113:** A **body corporate** that is a member may, by **resolution of its Board**, authorise a person as its **representative**; that representative may exercise **all the rights** of the member, including voting on a show of hands and a poll, and is counted for **quorum.** *Why: a company-member also acts only through a human — this makes that human fully empowered (unlike a mere proxy).*
- **Trap:** A **corporate representative** (Section 113) is *not* the same as a **proxy** (Section 105). The representative counts for quorum and can vote on a show of hands; a proxy does neither.
- **The full comparison — proxy vs corporate representative vs presidential representative.**

Feature	Proxy (Sec 105)	Corporate representative (Sec 113)	President/Governor rep (Sec 112)
Appointed by	Any individual member	A body-corporate member (by Board resolution)	President of India / Governor
Instrument	Proxy form, lodged ≤ 48 hrs before	Board resolution authorising the person	Order/appointment by the President/Governor
Counts for quorum	**No**	**Yes**	**Yes**
Vote on show of hands	**No**	**Yes**	**Yes**
Speak at meeting	Generally **no**	**Yes**	**Yes**
Nature	A limited agent for voting on a poll	The member "in person" through a human	The State member "in person" through a human

- *Why the representative is more powerful than a proxy:* a body corporate or the State has **no physical body at all** — it can *only ever* act through a nominated human. So the law treats that human as the member itself present, not as a mere vote-carrier. An individual member, by contrast, *could* attend in person, so his proxy is a lesser stand-in.

4.18 Ordinary and special resolutions — Section 114

- **Ordinary resolution (Section 114(1)):** Passed when votes cast **in favour exceed the votes cast against** (a **simple majority**) by members entitled to vote, in person or by proxy/postal ballot.
- **Special resolution (Section 114(2)):** (a) the **intention to propose it as a special resolution** is stated in the notice; and (b) votes cast **in favour are not less than three times** the votes cast against — i.e. a **75% supermajority.** *Why: fundamental changes need overwhelming, not bare, consent.*
- **"Three times the votes against" is about votes *cast*, not total membership.** The 75% is computed on **votes actually cast** (for + against), ignoring abstentions and absentees. So 300 for and 100 against passes (300 ≥ 3 × 100), even if thousands of members stayed away. Trap: candidates compute 75% of *total shares/members*; the test is 75% of *votes cast*.
- **Both limbs are mandatory — the notice limb is a killer.** A resolution that gets 99% support but was *not described in the notice as a special resolution* is **not** a valid special resolution — it fails limb (a). Conversely, stating "special resolution" in the notice but only achieving a simple majority fails limb (b). The exam loves a fact pattern satisfying one limb only.
- **When a special resolution is required (examples to remember):** change of name; alteration of the **articles**, and the objects clause of the **memorandum**; shift of registered office outside local limits/to another state; **reduction of share capital** (Section 66); **buy-back** (Section 68); issue of **sweat equity** and **private placement/preferential allotment**; loans and investments beyond Section 186 limits; voluntary winding-up; conversion of a public company into private; removal of an auditor before term; keeping registers at a place other than the registered office (Section 94). *(A resolution is* ordinary *unless the Act or articles specifically demand a* special *one — that is the default.)*

4.19 Resolutions requiring special notice — Section 115

- **The rule:** Where the Act or the articles require **special notice** for a resolution, notice of the **intention to move** it must be given to the company by members holding **not less than 1% of total voting power** or **shares on which ₹5,00,000 aggregate has been paid up**, at least **14 days before the meeting** (excluding the day of receipt and day of meeting). The company then notifies members. *Why: certain sensitive resolutions (e.g. removing a director under Section 169, or appointing an auditor other than the retiring one) must not surprise the person affected — they get advance warning and a chance to be heard.*
- **Special notice is a *members-to-company* notice, not a *company-to-members* notice.** Two notices are in play: (1) the **members** give the *company* 14 days' special notice of their intention to move the resolution; (2) the *company* then gives the *members* notice of that resolution (broadly with the ordinary meeting notice, at least 7 days before, or by public advertisement if that's not practicable). Trap: candidates confuse the 14-day member-to-company notice with the 21-day meeting notice — they are separate.
- **Special notice ≠ special resolution.** Removal of a director (Sec 169) and appointing an auditor other than the retiring one are passed as **ordinary resolutions** but require **special notice**. The "special" describes the *notice*, not the *majority*. This is one of the most common traps in the chapter — a resolution can need special notice yet only a simple majority.

4.20 Resolution passed at adjourned meeting — Section 116

- A resolution passed at an **adjourned meeting** is treated as passed on the **date it was actually passed**, not on any earlier date. *Why: prevents back-dating the effect of a decision to before it was really taken.*
- **Contrast with Section 103's adjournment for want of quorum.** Section 116 is a *dating* rule (the resolution's effective date is the adjourned-meeting date). Section 103 is a *quorum* rule (an adjourned meeting for want of quorum proceeds with those present). Both involve "adjournment," but they answer different questions — *when is it effective* (116) vs *is it validly constituted* (103). Read which one the question is really asking.

4.21 Resolutions and agreements to be filed — Section 117

- **The rule:** A copy of every resolution or agreement of the specified types, together with the explanatory statement (if any), must be **filed with the Registrar in Form MGT-14 within 30 days.**
- **Which resolutions must be filed (Section 117(3)): all special resolutions**; resolutions of the Board or agreements that the company has **agreed to** which bind classes of members though not all agreed; resolutions requiring a company to be **wound up voluntarily**; resolutions passed under **Section 179(3)** (key Board powers — e.g. borrowing, investing, issuing securities); and others prescribed. *Why: the public record must capture every fundamental and financially significant decision.*
- **Some ordinary resolutions must also be filed — don't equate MGT-14 with "special only."** Filing under Section 117 is *not* limited to special resolutions. Certain **ordinary** resolutions (e.g. those under Section 179(3) passed by the Board, and specified Board resolutions) also go into MGT-14. The exam trap is "only special resolutions need MGT-14" — false; the trigger is *type of decision*, not the majority used.
- **Default:** Company and every officer in default (including liquidator) liable to penalty. *(Confirm revised figures.)*
- **Consequence of non-filing for validity.** Non-filing attracts penalties but does not, by itself, make the *underlying resolution void* between the company and members; however, until filed, certain acts (e.g. those requiring registration to be effective against outsiders) may not bind third parties. State it as "penalty for the company/officers, and the resolution may not be effective against outsiders until filed" (confirm precise wording in current material).
- **Exemption: Banking company** resolutions granting loans / giving guarantees in the ordinary course of business are exempt from filing.

4.22 Minutes — Section 118

- **The rule:** Every company must keep **minutes** of every **general meeting**, every meeting of the **Board and its committees**, and every resolution passed by **postal ballot**, in books kept for that purpose, with pages consecutively numbered.
- **Time limit:** Minutes must be entered within **30 days** of the meeting.
- **Signing:** Each page initialled/signed and the last page signed and dated by the **chairman** of that meeting or the **chairman of the next meeting.** *Why: authentication ties the record to a responsible person.*
- **Why the "chairman of the next meeting" fallback exists.** If the chairman of a meeting dies, resigns, or is unavailable before signing, the minutes would otherwise be unsignable and lose evidentiary force. Letting the *next* meeting's chairman sign keeps the record alive. Note the 30-day entry limit still runs — the fallback is about *signing*, not about extending the entry deadline.

- **Contents & fairness (Section 118(5)–(6)):** Minutes must contain a **fair and correct summary.** The chairman has discretion to **exclude** matters that are defamatory, irrelevant, or detrimental to the company's interests — but must include **all appointments of officers.**
- **The chairman's exclusion discretion is bounded.** He may leave out material that is *defamatory, irrelevant/immaterial, or detrimental to the company's interests* — but the discretion is **conclusive** on *those grounds only*, and he **must** record **all appointments of officers** made at the meeting. He cannot use the discretion to bury an inconvenient-but-material decision. Trap: a chairman omitting a validly passed resolution he dislikes is acting *outside* the discretion.
- **Evidentiary force (Section 118(8)):** Minutes kept in accordance with this section are **evidence of the proceedings**; where minutes exist, the meeting is **deemed to have been duly held and convened**, all proceedings deemed duly taken, and all appointments valid, **until the contrary is proved.** *Why: this is the whole point — near-conclusive proof that stops decisions being invented or denied.*
- **"Until the contrary is proved" — a rebuttable, not conclusive, presumption.** The minutes raise a *presumption* of regularity that shifts the burden onto whoever disputes the meeting — but it can be *rebutted* by contrary evidence (e.g. proof no notice was sent). Exam trap: describing minutes as "conclusive proof" is slightly wrong — they are *presumptive/prima facie* evidence, valid *until the contrary is proved*.
- **No tampering (Section 118(7)/(9)):** Minutes are **not to be altered** and must follow **Secretarial Standards (SS-1 for Board, SS-2 for general meetings)** issued by ICSI and approved by the Central Government. *Why: a record you can edit later proves nothing.*
- **Default (Section 118(11)/(12)):** Penalty on the company and officer in default; a person who **tampers** with minutes is punishable. *(Confirm figures.)*

4.23 Inspection of minute books — Section 119

- **General-meeting** minute books are kept at the **registered office**, open to **inspection by members free of charge** during business hours, and members are entitled to a **copy within 7 working days** on payment of prescribed fee. *Why: owners must be able to check what was decided in their name.*
- **Board** minutes are **not** open to member inspection (they are management-confidential).
- **Why the sharp line between GM minutes and Board minutes.** General-meeting minutes record what the *members themselves* decided — they have every right to see their own collective acts. Board minutes record *management* deliberations, which may contain commercially sensitive strategy; letting every member (some of whom may be competitors' proxies) read them would chill candid discussion. So members get GM minutes but *not* Board minutes. Trap: an option offering "member inspection of Board minutes" is always wrong.
- **The 7-*working*-days subtlety.** The copy must be furnished within **seven working days** (not calendar days) of the request — weekends/holidays are excluded from the count. Combine this with the free-of-charge *inspection* but *fee-bearing* copy: inspection is free, a copy costs the prescribed fee.

4.24 Maintenance in electronic form; AGM report; OPC — Sections 120–122

- **Section 120:** Prescribed classes of companies must keep registers, returns, records and minutes in **electronic form** (with prescribed security). *Why: modern, tamper-evident, searchable records.*
- **Section 121 (Report on AGM):** Every **listed public company** must prepare a **report on each AGM** confirming it was convened, held and conducted as per the Act and Rules, and file it with the Registrar in

Form MGT-15 within 30 days of the AGM. *Why: independent assurance for public investors that the AGM was proper.*

- **Section 121 applies to *listed public* companies only.** An unlisted public company or a private company files **no** MGT-15. Trap: applying the AGM report to every public company. The audience clue: MGT-15 exists for *public investors in the securities market*, so it tracks *listing*, not mere public status.
- **Section 122 (Applicability to OPC):** Sections 98 and 100 to 111 (general-meeting machinery) **do not apply** to a **One Person Company.** For an OPC, where the **sole member** takes a decision requiring a resolution, it is **entered in the minutes book, signed and dated by the member**, and that date is deemed the date of the meeting. *Why: a one-person company has nobody to "meet" — the fiction of a meeting is replaced by a signed minute.*
- **What Section 122 does NOT switch off.** The exemption is precise: Sections **98 and 100–111** don't apply to an OPC. Sections on registers (88–90), annual return (92), minutes (118), and filing (117) still apply. And an OPC is *already* exempt from holding an AGM by Section 96 itself (not by 122). So an OPC still keeps minutes and files an annual return — it merely skips the *meeting-convening* machinery. Trap: assuming an OPC is exempt from *all* of Chapter VII.

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5. Applied Scenarios — facts → analysis → conclusion

Scenario A — The 20-days notice. *Facts:* Vega Ltd (unlisted, 300 members) calls its AGM giving 20 clear days' notice. Only 90% of members entitled to vote consented to short notice. A member challenges the resolutions passed. *Analysis:* Section 101 requires **21 clear days.** A shorter notice is valid only if **95%** of members entitled to vote consent (Section 101(1) proviso). Here consent is only 90%, so the statutory threshold fails; the notice is invalid and the meeting is not validly convened. *Conclusion:* The AGM is **invalidly called**; resolutions passed are liable to be set aside. Vega must re-issue proper notice.

Scenario B — The show-of-hands tycoon. *Facts:* At Nimbus Ltd's EGM, a resolution to sell an undertaking is put to a **show of hands** and declared *lost* 8 hands to 5. Mr. Rao, present and holding **30% of the paid-up capital**, immediately demands a poll. The chairman refuses, saying "the hands have spoken." *Analysis:* Under **Section 109**, a poll may be demanded by members holding **≥ 1/10th of voting power** or ₹5,00,000 paid-up value. Mr. Rao alone holds 30% — well above the threshold — so his demand is **valid and must be honoured.** A show of hands counts heads, not shares; the poll re-counts by shareholding. The chairman **cannot refuse** a validly demanded poll. Note also that sale of substantially the whole undertaking needs a **special resolution** (and typically postal ballot), reinforcing that the show-of-hands result was never final. *Conclusion:* The refusal is **illegal**; the poll must be taken (within 48 hours), and the result on a poll — reflecting Rao's 30% — governs.

Scenario C — The buried related-party deal. *Facts:* Comet Ltd's AGM notice lists "Item 6 — to consider and approve a contract." The explanatory statement omits that the contract is with a firm in which Director X holds a **40% interest**. The resolution passes; X's firm earns ₹15 lakh. *Analysis:* Item 6 is **special business** requiring a **Section 102** explanatory statement disclosing the **nature and extent of X's interest.** The omission means consent was not informed. Under **Section 102(4)**, because a benefit accrued to a director through non-disclosure, **X must compensate the company** to the extent of the benefit (₹15 lakh), plus penalty (₹50,000 or 5× benefit, whichever higher). *Conclusion:* X must **disgorge ₹15 lakh** to Comet Ltd and faces penalty; the resolution is vulnerable to challenge.

Scenario D — The stonewalling Board. *Facts:* Members holding 12% of Polaris Ltd's paid-up voting capital requisition an EGM to remove a director. The Board sits on it for two months and does nothing. *Analysis:* Under **Section 100**, a valid requisition needs **≥ 1/10th** — 12% qualifies. The Board must call the meeting **within 21 days** to be held within **45 days.** Having failed, the **requisitionists may themselves call** the EGM within **3 months** of the requisition, and recover **reasonable expenses from the company** (deductible from the defaulting directors' fees). *Conclusion:* The members can **self-convene the EGM** and reclaim costs; the directors' inaction does not defeat them.

Scenario E — The one-member "meeting." *Facts:* Sirius (OPC) Ltd's sole member wants to shift the registered office and asks whether he must hold a general meeting and issue 21 days' notice. *Analysis:* Under **Section 122**, Sections 100–111 (including notice and quorum) **do not apply to an OPC.** The sole member simply **records the decision in the minutes book, signs and dates it**; that date is the deemed meeting date. *Conclusion:* **No formal meeting or 21-day notice is needed** — a signed, dated minute suffices.

Scenario F — The proxy that thought it was a quorum (numerical, exam-hard). *Facts:* Draco Ltd is a public company with **1,200 members**. At an EGM, the following persons are physically present: **3 individual members in person**, **4 proxies** (each holding a proxy for a different absent member), and **2 corporate representatives** duly authorised under Section 113 by two member-companies. The chairman counts "3 + 4 + 2 = 9 present, quorum met" and starts business. *Analysis:* Since members number **> 1,000 but ≤ 5,000**, the quorum under **Section 103** is **15 members personally present.** Now count only those who count *toward quorum*: the **3 individual members** count; the **2 corporate representatives** count (Section 113 treats them as the member in person); but the **4 proxies do NOT count** toward quorum (Section 105). So the true quorum count is **3 + 2 = 5**, far below the required **15**. The chairman's arithmetic wrongly included proxies. *Verification:* Required 15; validly counted 5; shortfall 10. Even if all 4 proxies were re-characterised as members (they cannot be), 3 + 4 + 2 = 9 is still below 15 — so on no view is quorum met. *Conclusion:* **Quorum is absent.** Being an EGM *not* called on requisition, it is **adjourned to the same day next week, same time and place**; if quorum is still absent within half an hour then, the **members present shall be the quorum**. Any "business" transacted at the first sitting is void for want of quorum.

Scenario G — Counting a special resolution on a poll (numerical, reconciled). *Facts:* At Lyra Ltd's AGM, a special resolution to alter the articles is put to a poll. Votes cast: **6,20,000 shares in favour, 1,90,000 against, 40,000 abstain.** The notice had described the item as a special resolution. A dissenting member argues it failed because "in favour" is under 75% of the total 12,00,000 issued shares. *Analysis:* Section 114(2) requires (a) the special-resolution intent stated in the notice — satisfied; and (b) votes **in favour ≥ 3 × votes against**, computed on votes **cast**, not on total issued capital. Votes cast = 6,20,000 + 1,90,000 = 8,10,000 (abstentions and absentees are ignored). Test: is 6,20,000 ≥ 3 × 1,90,000 = 5,70,000? **Yes** (6,20,000 > 5,70,000). *Verification:* In-favour share of votes cast = 6,20,000 / 8,10,000 = **76.5%**, which is ≥ 75%. The dissenter's "75% of total issued shares" test is the wrong denominator. *Conclusion:* The special resolution is **validly passed.** The abstaining 40,000 and any non-voting shares are irrelevant to the ratio.

Scenario H — First AGM and the tempting extension (numerical, trap). *Facts:* Rigel Ltd is incorporated on **10 June 2025** and closes its first financial year on **31 March 2026.** Facing delayed accounts, it asks the Registrar to extend its **first AGM** by 3 months. Separately, its accountant claims the first AGM can be held as late as 15 months after incorporation. *Analysis:* The **first AGM** must be held within **9 months of the close of the first financial year** — i.e. by **31 December 2026** (9 months after 31 March 2026). The Registrar's power to extend by up to 3 months applies to *subsequent* AGMs **only** — the **first AGM cannot be extended.** The "15 months" gap rule governs the *interval between two AGMs*, not the timing of the first, so the accountant's claim is a category error. *Verification:* Close of first FY = 31 Mar 2026; + 9 months = 31 Dec 2026 → the outer limit for the first AGM. No extension available; the 15-month/6-month rules do not yet apply because there is no *previous* AGM. *Conclusion:* Rigel must hold its first AGM **by 31 December 2026**; the extension request must be refused for a first AGM.

Scenario I — Special notice, wrong majority assumed. *Facts:* Members holding **1.2% of Antares Ltd's voting power** give the company notice 20 days before the AGM of their intention to move a resolution to **remove a director** under Section 169. The company secretary insists the resolution needs a **special resolution (75%)** to pass. *Analysis:* Section 169 requires **special notice** (governed by Section 115), which needs members holding **≥ 1%** of voting power (or ₹5,00,000 paid-up) to give the company at least **14 days'** notice — both satisfied (1.2% > 1%, 20 days > 14 days). But removal of a director is passed by an **ordinary resolution** (simple majority), *not* a special resolution — "special notice" describes the *notice*, not the *majority*. The director is entitled to be heard and to make representations. *Conclusion:* The special notice is **valid**; the resolution to remove needs only a **simple majority** (ordinary resolution) with special notice — the secretary's "75%" requirement is wrong.

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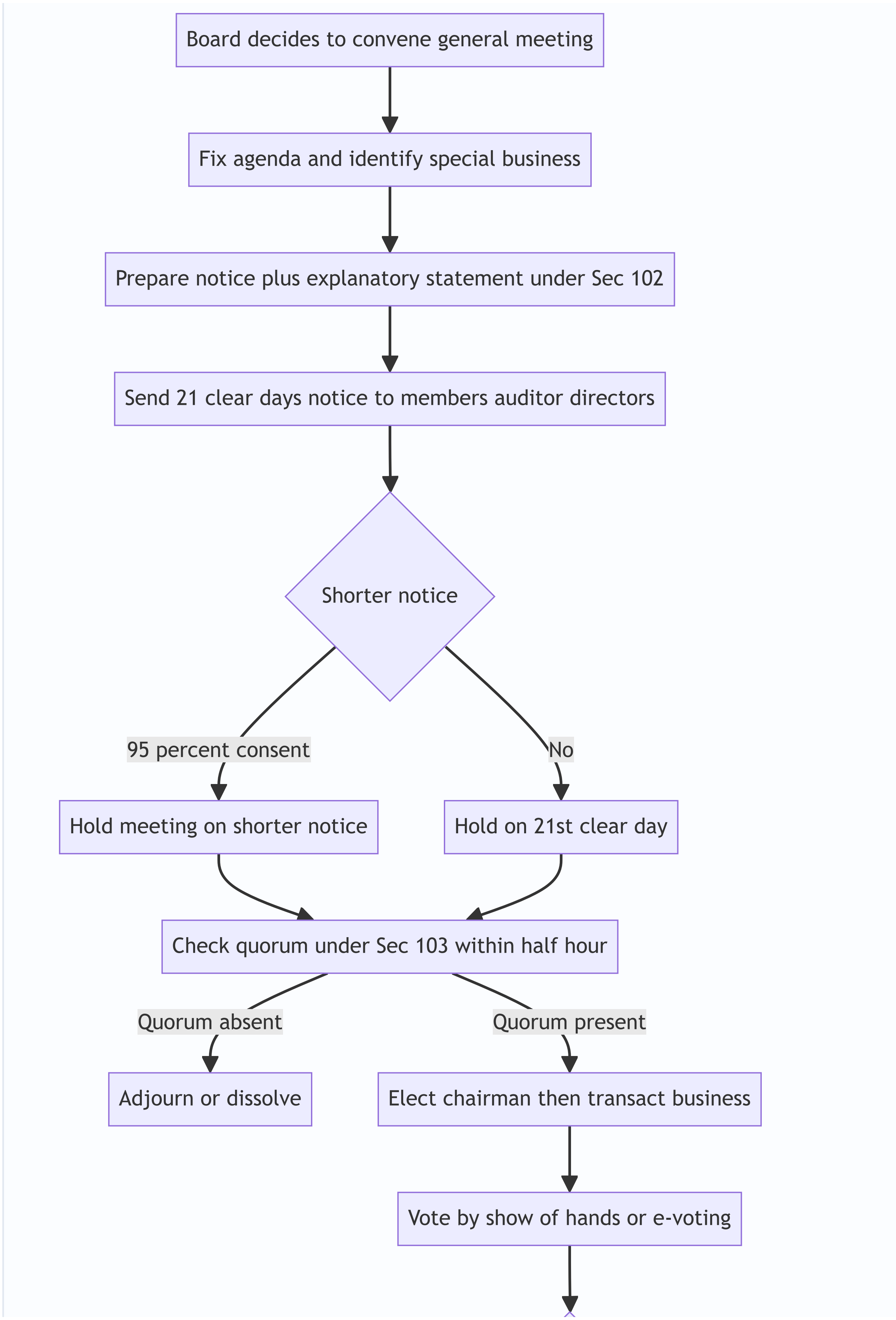
6. Procedure / Compliance summary


Board decides to convene general meeting
Fix agenda and identify special business
Prepare notice plus explanatory statement under Sec 102
Send 21 clear days notice to members auditor directors
Shorter notice
95 percent consent
No
Hold meeting on shorter notice
Hold on 21st clear day
Check quorum under Sec 103 within half hour
Quorum absent
Quorum present
Adjourn or dissolve
Elect chairman then transact business
Vote by show of hands or e-voting

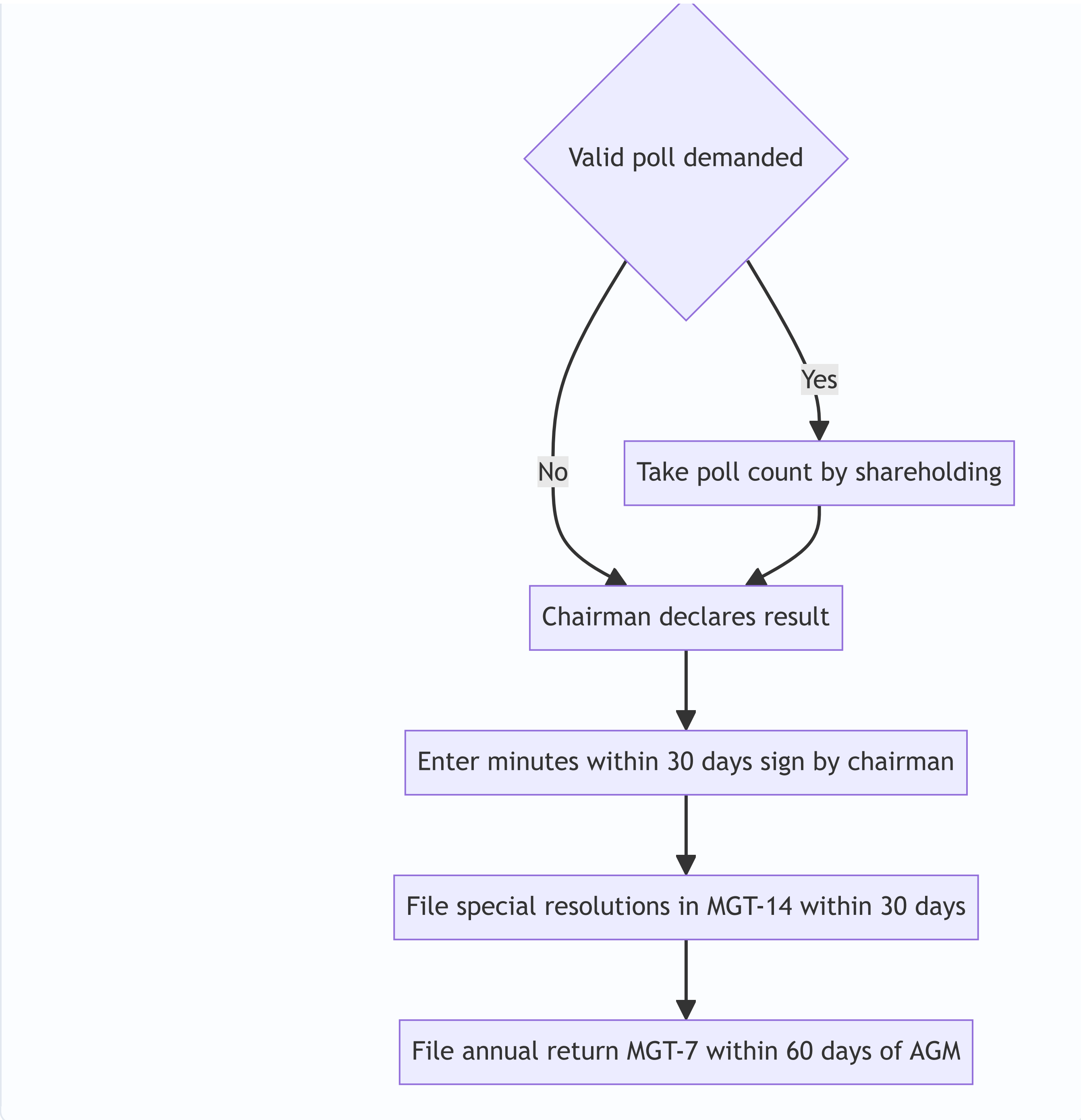


Figure 1 — the end-to-end life of a general meeting, from convening to post-meeting filings.

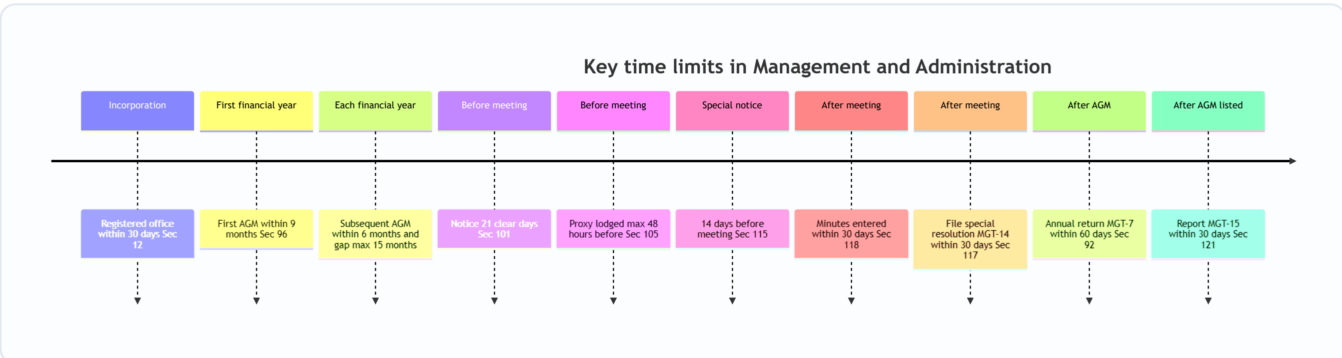


Figure 2 — the timeline of statutory deadlines a company must never miss.

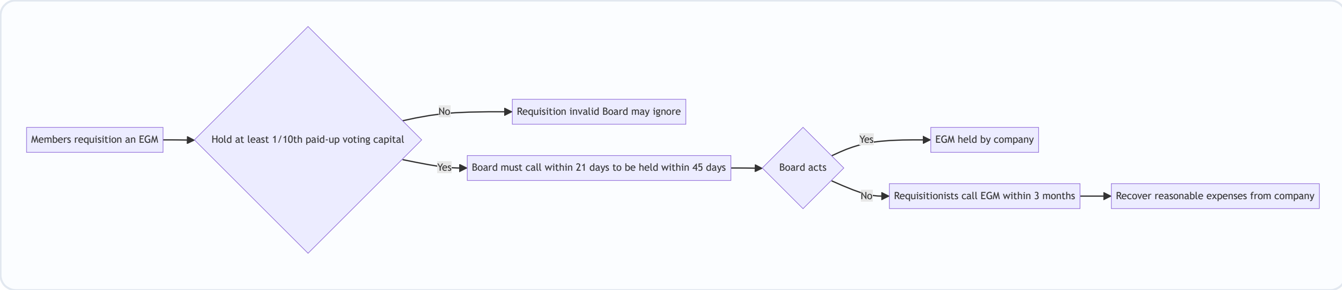


Figure 3 — the members' self-help route when the Board refuses to call an EGM under Section 100.

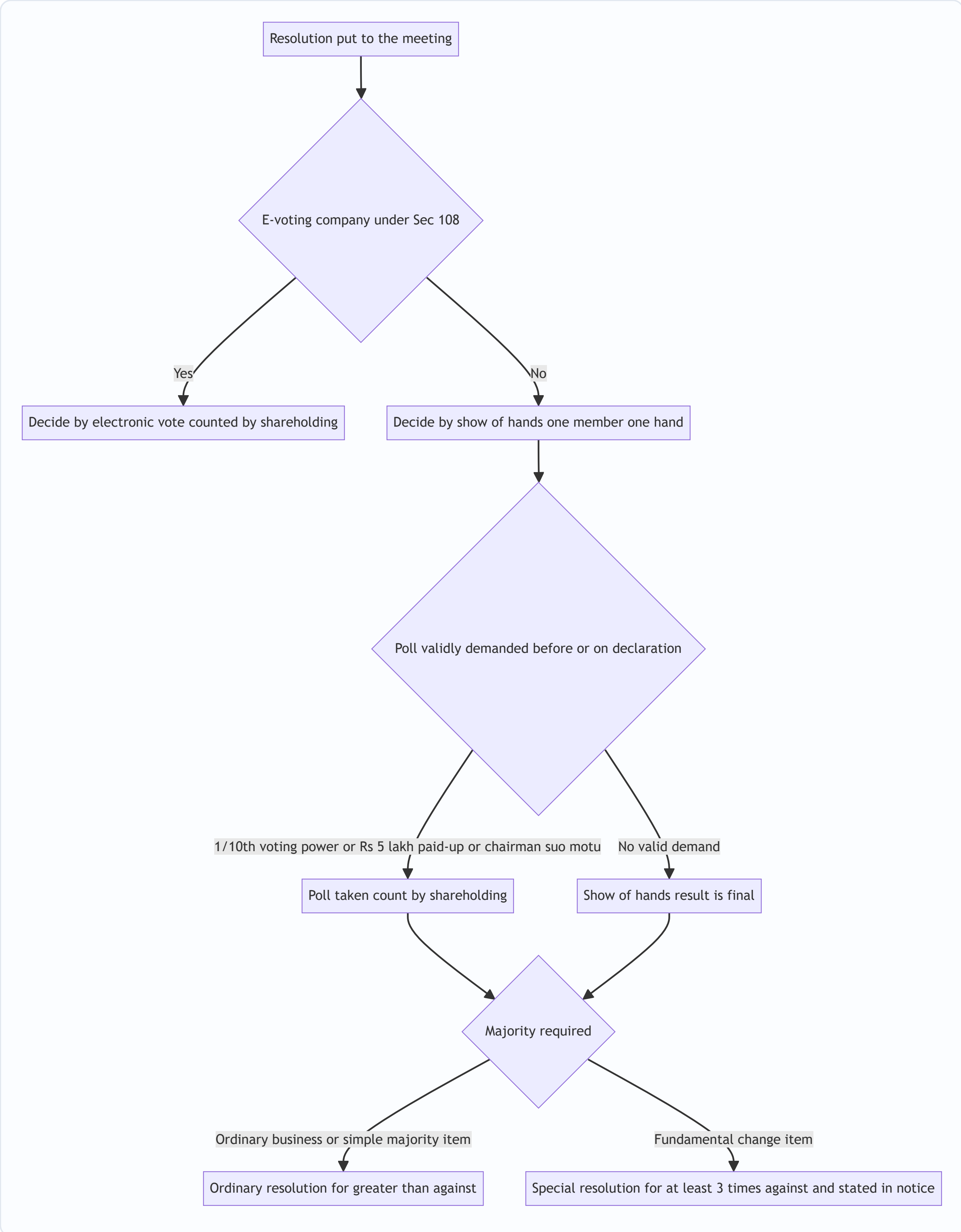


Figure 4 — how a resolution is voted and which majority decides it, from show of hands through poll to the ordinary-versus-special test.

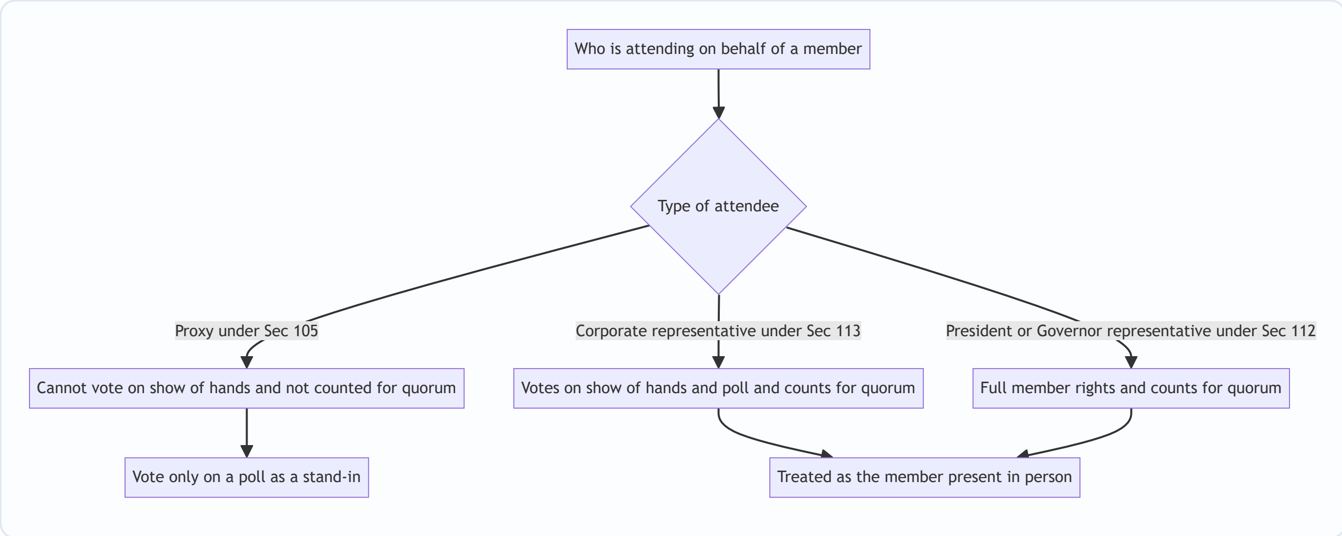


Figure 5 — the decisive proxy-versus-representative distinction that governs quorum and show-of-hands voting.

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7. Connections — how this chapter links to the rest of the Act

- **To incorporation (Ch. 2):** The registered office (Section 12) is fixed at birth and its CIN comes from incorporation; publication carries forward the identity created there. The interstate shift of the registered office also triggers a memorandum alteration under **Section 13**.
- **To share capital (Ch. 4):** Voting rights, class rights, and their **variation** (Section 48) are exercised through the meeting machinery here; **buy-back** (Section 68) and **reduction** (Section 66) need special resolutions passed under Section 114.
- **To Board of Directors (Ch. 11–13):** Directors are **appointed and retire by rotation at the AGM** (Section 152); **removal** of a director (Section 169) uses **special notice** (Section 115) but only an **ordinary resolution**. Board resolutions under **Section 179(3)** feed into the filing net of Section 117.
- **To audit (Ch. 10):** Auditor appointment/removal happens at general meetings; removal before term needs special notice and Central Government approval, and appointment of an auditor other than the retiring one needs special notice.
- **To related-party transactions (Section 188):** Section 102's disclosure of interest is the meeting-level cousin of the substantive RPT controls; Section 184's Board-level disclosure of interest is its boardroom counterpart.
- **To Secretarial Standards:** SS-1 and SS-2 (ICSI) operationalise Sections 118 and the meeting rules — the exam expects awareness that they are **mandatory.**
- **To inspection/investigation (Ch. 14):** Accurate registers and minutes are what inspectors rely on; SBO disclosure (Section 90) feeds anti-money-laundering enforcement.
- **To dividend (Ch. 8):** Declaration of dividend is *ordinary business* at the AGM (Section 96) and flows from the register of members (Section 88), which fixes *who* is entitled to be paid.

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8. Traps & Examiner Tricks

1. **"Clear days" is the classic trap.** 21 clear days **excludes** both the day of sending and the day of the meeting, plus ~2 days for postal transit. Counting 21 from the notice date is wrong.

2. **Proxy vs corporate representative.** A **proxy (Sec 105)** cannot vote on a show of hands, cannot (usually) speak, and is **not counted for quorum.** A **corporate representative (Sec 113)** can do all three. Examiners love blurring the two.
3. **Show of hands vs poll.** Show of hands = **one member one vote (heads)**; poll = **votes by shareholding.** A validly demanded poll **overrides** the show-of-hands result and the chairman **cannot refuse** it.
4. **Special resolution ≠ two-thirds.** It is votes in favour **≥ 3× votes against**, i.e. **75%**, *and* the notice must state the intention to move it as special. Missing either limb defeats it. The 75% is of votes **cast**, not of total membership.
5. **First AGM = 9 months; subsequent AGM = 6 months; max gap 15 months.** And the **first AGM cannot be extended** — only later AGMs get up to a 3-month extension.
6. **Quorum thresholds (public co.) key on member count: 5 / 15 / 30** for ≤1,000 / >1,000–5,000 / >5,000. Private company is always **2.** Watch the boundary values, and remember **proxies don't count** toward quorum while corporate/State representatives do.
7. **Requisition threshold is 1/10th (10%),** the same as for a poll's voting-power test and Section 111 circulation — but the **₹5,00,000 paid-up value** alternative applies only to the **poll** and **special-notice** tests, not to the EGM requisition.
8. **Postal ballot cannot be used for ordinary business** or matters where directors/auditors have a right to be heard.
9. **Proxy deposit is "not more than 48 hours before"** — a company demanding proxies be lodged more than 48 hours in advance is acting invalidly. The 48 hours is a *maximum*, not a minimum.
10. **Section 102(4) remedy is disgorgement + penalty**, not just a fine — the interested person **compensates the company** for the benefit gained, and *separately* pays a penalty of ₹50,000 or 5× the benefit.
11. **Board minutes are NOT open to members** (Section 119 covers only general-meeting minutes). A question offering member inspection of Board minutes is a trap.
12. **OPC exemption (Sec 122):** no AGM, and Sections 100–111 don't apply — but the sole member must still **record and sign** the decision, and the OPC still keeps registers, files the annual return, and keeps minutes.
13. **Accidental omission of notice (Sec 101(4))** does not void the meeting — but **deliberate** omission does. The word "accidental" is load-bearing.
14. **Special notice ≠ special resolution.** Removal of a director (Sec 169) needs **special notice** but passes by an **ordinary resolution**. The "special" attaches to the *notice*, not the *majority*.
15. **Minutes are "evidence until the contrary is proved," not "conclusive proof."** The presumption of regularity is *rebuttable*.
16. **SBO is always an *individual*.** Naming a holding company as the SBO is wrong — look through to the natural person; and the influence/control limb can catch someone below 10%.
17. **Section 97 vs 98.** AGM not held → member applies under **Section 97**; any *other* meeting impracticable → **Section 98** (also on the Tribunal's own motion). Both can order a *one-member quorum*.
18. **MGT-14 is not "special resolutions only."** Certain Board/ordinary resolutions (Sec 179(3)) also require filing within 30 days.

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9. First-Principles Recap

Start from the single truth that a company has **no mind and no hands of its own**. Everything follows:

- Because it has no body, it needs a **fixed address** to be found and served → *registered office (Sec 12)*.
- Because it acts for owners who may hide behind nominees, the law must **name the owners and unmask the real ones** → *register of members (Sec 88), beneficial-interest and SBO disclosure (Secs 89–90)*.
- Because outsiders can't see inside, the company must **publish an annual census** → *annual return (Sec 92)*.
- Because directors won't face owners voluntarily, the law **forces an annual reckoning** → *AGM (Sec 96)*, with a **member/Tribunal fallback** when they stonewall (Secs 97–98, 100).
- Because a decision by ambush isn't a decision by the members, the law guarantees **notice, information, turnout, representation, and fair counting** → *Secs 101–113*.
- Because some decisions rewrite the fundamental bargain, they need **overwhelming consent** → *special resolution (Sec 114)*, and sensitive ones need **advance warning** → *special notice (Sec 115)*.
- Because a decision that can't be proved can be invented or denied, everything must be **filed and minuted as evidence** → *Secs 117–121*.
- And because a one-person company has nobody to meet, the meeting fiction is replaced by a **signed minute** → *Sec 122*.

Master the abuse, and the section number is just a label you can recover on demand.

One more layer — reconstructing the *thresholds* from first principles. When a number slips your memory, ask "what is this threshold *for*?" — the answer usually reproduces the figure: - To *force* the Board to act against its will (requisition, poll, circulation), the law asks a **minority** stake — **1/10th (10%)** — because the act only inconveniences management. - To merely *put an item on the calendar* (special notice), an even smaller **1% (or ₹5 lakh)** suffices, because the item still faces a full vote. - To *waive* everyone's protection (short notice), the law demands **near-unanimity — 95%** — because a protection is being surrendered. - To *change the constitution* and bind dissenters forever (special resolution), it demands a **supermajority — 75%** of votes cast.

The thresholds are *priced by how much a dissenting minority is hurt* — remember the pricing and you regenerate the numbers.

10. Quick-Revision Sheet

Key sections at a glance

Section	Subject	One-line core
12	Registered office & publication	Office within **30 days**; name/CIN published; change filed in **15 days**
88	Register of members / debenture / other security holders	Maintain in **MGT-1** etc.; index if members **> 50**
89	Declaration of beneficial interest	**MGT-4/5/6**, each within **30 days**; undeclared rights unenforceable
90	Significant Beneficial Owner	Individual with **≥ 10%** or control; **BEN-1/2/3/4**; Tribunal can freeze shares
92	Annual return	**MGT-7 / 7A**; file within **60 days of AGM**; **MGT-8** certification for large cos
94	Place of keeping registers	At registered office; elsewhere by **special resolution** + >1/10th members residing
96	AGM	1st within **9 months**; later within **6 months**; gap ≤ **15 months**; business hours, not a national holiday
97 / 98	Tribunal calls meeting	Default in AGM (member applies) / impracticability (any other meeting)
100	EGM	Board, or requisition by **≥ 1/10th**; Board calls in **21 days**, holds in **45**; else requisitionists in **3 months**
101	Notice	**21 clear days**; shorter needs **95%** consent
102	Explanatory statement	Special business; disclose cross-holding ≥ **2%**; default → **disgorge benefit + penalty**
103	Quorum	Public **5/15/30** by member count; Private **2**; proxies don't count
105	Proxy	Need not be member; no show-of-hands vote; lodge **≤ 48 hrs** before; max **50 members / 10%**
106	Restriction on voting	Only for unpaid calls / lien
107 / 108	Show of hands / e-voting	Heads first; e-voting for listed & **≥ 1,000** members (then no show of hands)
109	Poll	Demand by **1/10th** voting power or **₹5,00,000** paid-up; counted by shareholding; chairman can't refuse
110	Postal ballot	Not for ordinary business / right-to-be-heard items; deemed passed at GM
111	Members' resolution circulation	Same **1/10th** threshold

Section	Subject	One-line core
112 / 113	State / corporate representative	Full member rights; count for quorum; vote on show of hands & poll
114	Ordinary / special resolution	Ordinary = simple majority; Special = **for ≥ 3× against (75% of votes cast)** + stated in notice
115	Special notice	Members ≥ **1%** or ₹5,00,000; **14 days** before meeting; often ordinary majority
116	Adjourned-meeting resolution	Passed on actual date, no back-dating
117	Filing of resolutions	**MGT-14** within **30 days**; all special resolutions + Sec 179(3)
118	Minutes	Enter within **30 days**; signed by chairman; **evidence until contrary proved**; SS-1/SS-2
119	Inspection of minutes	GM minutes open to members; **copy in 7 working days**; Board minutes closed
120 / 121 / 122	E-records / AGM report / OPC	Electronic records; **listed MGT-15** in 30 days; OPC exempt from Secs 98, 100–111

Time-limits table

Trigger	Limit	Section / Form
Registered office after incorporation	30 days	Sec 12 / INC-22
Notice of change of registered office	15 days	Sec 12 / INC-22
Declaration of beneficial interest	30 days each	Sec 89 / MGT-4,5,6
First AGM	9 months from 1st FY end	Sec 96
Subsequent AGM	6 months from FY end; gap ≤ 15 months	Sec 96
ROC extension of AGM (not first)	up to 3 months	Sec 96
Board to call requisitioned EGM	21 days to call, 45 days to hold	Sec 100
Requisitionists' self-called EGM	within 3 months	Sec 100
Notice of general meeting	21 clear days	Sec 101
Proxy instrument deposit	not more than 48 hours before	Sec 105
Poll (other than chairman/adjournment)	within 48 hours	Sec 109
Special notice by members	14 days before meeting	Sec 115
Company's notice to members of special-notice resolution	at least 7 days before	Sec 115
Entry of minutes	30 days	Sec 118
Copy of GM minutes to member	7 working days	Sec 119
Filing of resolutions (MGT-14)	30 days	Sec 117
Filing annual return (MGT-7)	60 days from AGM	Sec 92
Report on AGM (listed, MGT-15)	30 days from AGM	Sec 121

Resolution-type quick map

Decision	Resolution
Adoption of accounts, dividend, retiring-director & auditor appointment	**Ordinary** (ordinary business)
Change of name, alter articles, alter objects	**Special**
Shift registered office outside local limits / to another state	**Special** (+ RD approval for interstate)
Reduction of capital (Sec 66), buy-back (Sec 68), sweat equity, private placement	**Special**
Loans/investments beyond Sec 186 limits	**Special**
Keeping registers away from registered office (Sec 94)	**Special**
Voluntary winding-up	**Special**
Removal of director (Sec 169) / auditor before term	**Ordinary + special notice (Sec 115)**
Appointment of auditor other than retiring auditor	**Ordinary + special notice (Sec 115)**

Thresholds quick map

Threshold	Used for
1/10th (10%) of paid-up voting capital / voting power	Requisition an EGM (Sec 100); demand a poll — voting-power limb (Sec 109); circulate a resolution (Sec 111)
₹5,00,000 aggregate paid-up value	Demand a poll (Sec 109); special notice (Sec 115) — *alternative* limb
1% of total voting power	Special notice by members (Sec 115)
2% or more cross-holding	Disclosure in explanatory statement (Sec 102)
95%	Consent to shorter notice — members entitled to vote (AGM) / voting capital (EGM) (Sec 101)
75% (for ≥ 3× against, of votes cast)	Special resolution (Sec 114)
> 50 members	Index of members required (Sec 88)
≥ 10% beneficial interest / control	Significant Beneficial Owner (Sec 90)

> Reminder: a resolution is **ordinary by default** — a **special** resolution is needed **only** where the Act or the articles expressly say so. When in doubt in the exam, quote the specific section demanding "special resolution."

Confirm exact penalty figures and any rule-number changes against the latest ICAI Study Material and the amended bare Act before the exam, as the Amendment Acts of 2017, 2019 and 2020 revised several penalties from "fine" to "penalty".

Q&A — Management & Administration

> Chapter: **Management & Administration** (Companies Act, 2013 — Sections 12, 88–94, 96–122). Exam-oriented question bank. Every question is followed by a **complete model answer citing the relevant Section**. Cross-verify only against the bare Act — no invented provisions.

SECTION A — Concept-Check (short, direct)

A1. Within how many days must a company have a registered office, and within how many days must a change be notified to the Registrar? Answer (Sec 12): A company must have a registered office capable of receiving communications **within 30 days of incorporation** [Sec 12(1)]. Verification of the registered office is filed within 30 days. Notice of **any change** in the situation of the registered office must be given to the Registrar in **Form INC-22 within 30 days** of the change [Sec 12(4)]. A change of registered office **outside the local limits of a city/town** requires a **special resolution** [Sec 12(5)]; a shift from the jurisdiction of one Registrar to another within a State requires **Regional Director** confirmation.

A2. What must every company paint/affix and print under Sec 12(3)? Answer (Sec 12(3)): Every company must (a) **paint or affix its name and registered office address** outside every office/place of business, in legible letters and in the local language too; (b) **engrave its name on its seal** (if it has one); (c) **print its name, registered office address, CIN, telephone, fax, e-mail and website** (if any) on all business letters, billheads, letter papers, notices and official publications; and (d) print its name on hundis, promissory notes, bills of exchange. A company that changed its name in the last 2 years must also print the **former name**.

A3. Where must the Register of Members be maintained and what does it contain? Answer (Sec 88): Every company must keep a **register of members** (equity and preference separately), a **register of debenture-holders**, and a **register of any other security holders** [Sec 88(1)]. It contains details of each member/holder. An **index** is required where members exceed 50 (unless the register itself is in index form). A company may keep **foreign registers** of members/debenture-holders resident outside India [Sec 88(4)].

A4. Distinguish Sec 89 (declaration of beneficial interest) from Sec 90 (Significant Beneficial Owner). Answer: Sec 89 deals with **declaration where the registered holder is not the beneficial owner** — the registered owner (Form MGT-4), the beneficial owner (Form MGT-5), and the company (Form MGT-6 to Registrar within 30 days) file declarations. **Sec 90** deals with the **Significant Beneficial Owner (SBO)** — an individual who ultimately holds (alone/together) **not less than 10%** of shares/voting rights/right to distributable dividend, or exercises significant influence/control. The SBO files **Form BEN-1**; the company maintains **Form BEN-3** register and files **Form BEN-2** with the Registrar.

A5. What is the time limit for filing the Annual Return and who signs it? Answer (Sec 92): The annual return in **Form MGT-7** (MGT-7A for OPC/small company) must be filed with the Registrar **within 60 days from the date of the AGM** (or, if no AGM is held, within 60 days from the date the AGM should have been held, with reasons) [Sec 92(4)]. It is **signed by a director and the company secretary**; where there is no CS, by a **company secretary in practice**. For **listed companies** and companies with **paid-up capital ≥ ₹10 crore or turnover ≥ ₹50 crore**, the annual return must be certified by a PCS in **Form MGT-8** [Sec 92(2)].

A6. Where are statutory registers kept, and can they be kept elsewhere? Answer (Sec 94): Registers under Sec 88 and returns are kept at the **registered office**. They may be kept at **any other place in India** where more than one-tenth of the members entered in the register reside, if approved by a **special resolution** and a copy filed with the Registrar in advance [Sec 94(1) proviso]. They are open to **inspection** by members/debenture-holders **free of charge** and by others on payment [Sec 94(2)].

A7. State the time limits for holding the first AGM and subsequent AGMs. Answer (Sec 96): The **first AGM** must be held within **9 months** from the close of the first financial year. **Subsequent AGMs** must be held within **6 months** from the close of the financial year, and the gap between two AGMs must **not exceed 15 months**. The Registrar may extend the time for holding an AGM (other than the first AGM) by up to **3 months** for special reasons. AGM is held during **business hours (9 a.m.–6 p.m.)**, on a day that is **not a National Holiday**, at the registered office or within the same city/town/village. **One Person Company is not required to hold an AGM** [Sec 96(1) proviso].

A8. What length of notice is required for a general meeting and how may it be given? Answer (Sec 101): A general meeting is called by **not less than 21 clear days' notice** in writing or through electronic mode. A meeting may be called at **shorter notice** if consent is given by **not less than 95% of the members entitled to vote** (in the case of an AGM), and for other meetings, by members holding 95% of the paid-up capital / voting power. "Clear days" excludes the day of service and the day of meeting.

A9. What is the quorum for a general meeting? Answer (Sec 103): Private company: 2 members personally present. **Public company: 5 members** personally present if members ≤ 1000; **15 members** if members are 1000–5000; **30 members** if members exceed 5000. If quorum is not present within **half an hour**, the meeting (if called on requisition) stands **cancelled**; otherwise it is **adjourned to the same day next week**, same time and place (or as the Board decides). If quorum is still absent at the adjourned meeting, the **members present shall be the quorum**.

A10. Who can appoint a proxy and what are the key restrictions (Sec 105)? Answer (Sec 105): A member entitled to attend and vote may appoint a **proxy** to attend and vote **on a poll** on his behalf. A proxy **need not be a member**. A proxy **cannot speak** at the meeting and **cannot vote except on a poll** (i.e., not on a show of hands). The proxy instrument must be deposited **at least 48 hours before the meeting**. A person can act as proxy for **not more than 50 members** and members holding **not more than 10%** of total voting share capital; if a member holds more than 10%, that member's proxy is for that member only. Companies **without share capital** cannot appoint proxies unless the articles allow.

SECTION B — Applied Scenario Questions (Facts → Law → Conclusion)

B1. Registered office change across cities. *Facts:* XYZ Ltd wishes to shift its registered office from Pune to Nagpur (both in Maharashtra, different Registrar jurisdiction within the same State). The Board passes only an ordinary resolution. **Answer:** - *Law:* Under **Sec 12(5)**, a change of registered office **outside the local limits of the city/town** requires a **special resolution**. Where the shift is from the jurisdiction of **one Registrar to another within the same State**, the change also requires **confirmation by the Regional Director** [Sec 12(6)], to be filed with the Registrar within 60 days who registers it within 30 days. - *Analysis:* An ordinary resolution is insufficient. XYZ Ltd needs (i) a **special resolution**, and (ii) **RD confirmation** because the Registrar's jurisdiction changes. - *Conclusion:* The Board action is invalid; the company must pass a special resolution, obtain RD approval, and file Form INC-22/INC-23 accordingly.

B2. Beneficial interest not declared. *Facts:* Mr. A holds 5,000 shares of PQR Ltd in his name but the beneficial interest belongs to Mr. B. Neither files any declaration. B later claims dividend rights. **Answer:** - *Law:* Under **Sec 89**, the **registered owner (A)** files a declaration (Form MGT-4), the **beneficial owner (B)** files (Form MGT-5), and the **company** files a return (Form MGT-6) with the Registrar within **30 days**. Under **Sec 89(8)**, **no right in relation to a share** in respect of which a declaration is required but **not made** shall be **enforceable** by the beneficial owner. - *Analysis:* Because B has not filed the required declaration, his beneficial rights (including dividend/voting enforcement) are **not enforceable** against the company. Penalties also apply for non-filing. - *Conclusion:* B cannot enforce his beneficial interest until the Sec 89 declarations are duly made.

B3. Shorter notice AGM. *Facts:* LMN Ltd, a public company with 400 members, calls its AGM at 10 days' notice with consent of 90% of members entitled to vote. **Answer:** - *Law:* **Sec 101(1)** requires **21 clear days' notice**; a shorter notice AGM is valid only with consent of **not less than 95%** of members entitled to vote. - *Analysis:* Only 90% consent was obtained, below the 95% threshold. - *Conclusion:* The shorter notice is **invalid**; the AGM so convened is not validly called. LMN Ltd must obtain 95% consent or give full 21 clear days' notice.

B4. Quorum failure. *Facts:* RST Ltd (public, 800 members) convenes an AGM; only 4 members are present half an hour after the scheduled time. The meeting was NOT called on requisition. **Answer:** - *Law:* Under **Sec 103**, quorum for a public company with ≤1000 members is **5 members** personally present. If quorum is absent within half an hour and the meeting was **not requisitioned**, it stands **adjourned to the same day in the next week**, same time and place. - *Analysis:* Only 4 present — quorum (5) not met. Since not a requisitioned meeting, it is adjourned, not cancelled. - *Conclusion:* The AGM is **adjourned to the same day next week**; at the adjourned meeting, if quorum is again absent, the **members present** constitute the quorum.

B5. Ordinary vs Special resolution. *Facts:* DEF Ltd passes a resolution to alter its articles; votes cast — 60% in favour, 40% against, on a poll. **Answer:** - *Law:* Alteration of articles requires a **special resolution** (Sec 14). Under **Sec 114(2)**, a special resolution requires votes cast in favour to be **not less than three times** the votes against (i.e., **≥ 75%**). An **ordinary resolution** [Sec 114(1)] needs a **simple majority (>50%)**. - *Analysis:* 60% in favour meets ordinary-resolution majority but **fails the 75% special-resolution threshold**. - *Conclusion:* The special resolution is **not passed**; the alteration of articles cannot take effect.

B6. Proxy validity. *Facts:* Mr. P is appointed proxy by 60 members of GHI Ltd. He also wishes to speak and vote on a show of hands. **Answer:** - *Law:* Under **Sec 105**, a proxy can act for **not more than 50 members**; a proxy **cannot speak** and can **vote only on a poll**, not on a show of hands. - *Analysis:* P is appointed by 60 members (exceeds 50) and seeks to speak and vote on show of hands, all impermissible. - *Conclusion:* P can validly act for a **maximum of 50 members**; the appointment beyond 50 is invalid, and he may **neither speak nor vote on a show of hands** — only on a poll.

B7. Failure to file resolution. *Facts:* JKL Ltd passes a special resolution but does not file it with the Registrar; 45 days pass. **Answer:** - *Law:* **Sec 117(1)** requires **specified resolutions and agreements** (including all special resolutions — Sec 117(3)) to be filed in **Form MGT-14 within 30 days** of passing. **Sec 117(2)** imposes penalties on the company and officers in default for non-filing. - *Analysis:* The 30-day period has lapsed; the resolution is unfiled. - *Conclusion:* JKL Ltd and its officers are **liable to penalty** under Sec 117(2); the resolution should be filed immediately with additional fees.

SECTION C — Past-Paper-Style Descriptive Questions

C1. Explain the provisions relating to e-voting / voting by electronic means and postal ballot (Sec 108, 110). Answer: - **Sec 108 (voting through electronic means):** The Central Government may prescribe classes of companies (Rule 20 of the Companies (Management and Administration) Rules — **every listed company** and companies with **≥ 1000 members**) that must provide members the facility to exercise votes by **electronic means** at general meetings. E-voting rules require a notice, remote e-voting window, appointment of a **scrutinizer**, and a secured platform. - **Sec 109 (demand for poll):** On a resolution, a **poll** may be ordered by the Chairman *suo motu* or demanded by members holding **≥ 1/10th of voting power** or shares of paid-up value **≥ ₹5,00,000**. A poll on adjournment/appointment of Chairman is taken forthwith; on other questions within 48 hours. - **Sec 110 (postal ballot):** Certain items must be transacted **only by postal ballot** (except by OPC and companies with ≤ 200 members). Items which cannot be transacted by postal ballot include **ordinary business** and business requiring the presence of directors/auditors to be heard. A resolution assented to by the requisite majority via postal ballot is deemed **duly passed at a general meeting**. Items which are required to be transacted through postal ballot may be transacted at a general meeting where the company is required to provide **e-voting** facility.

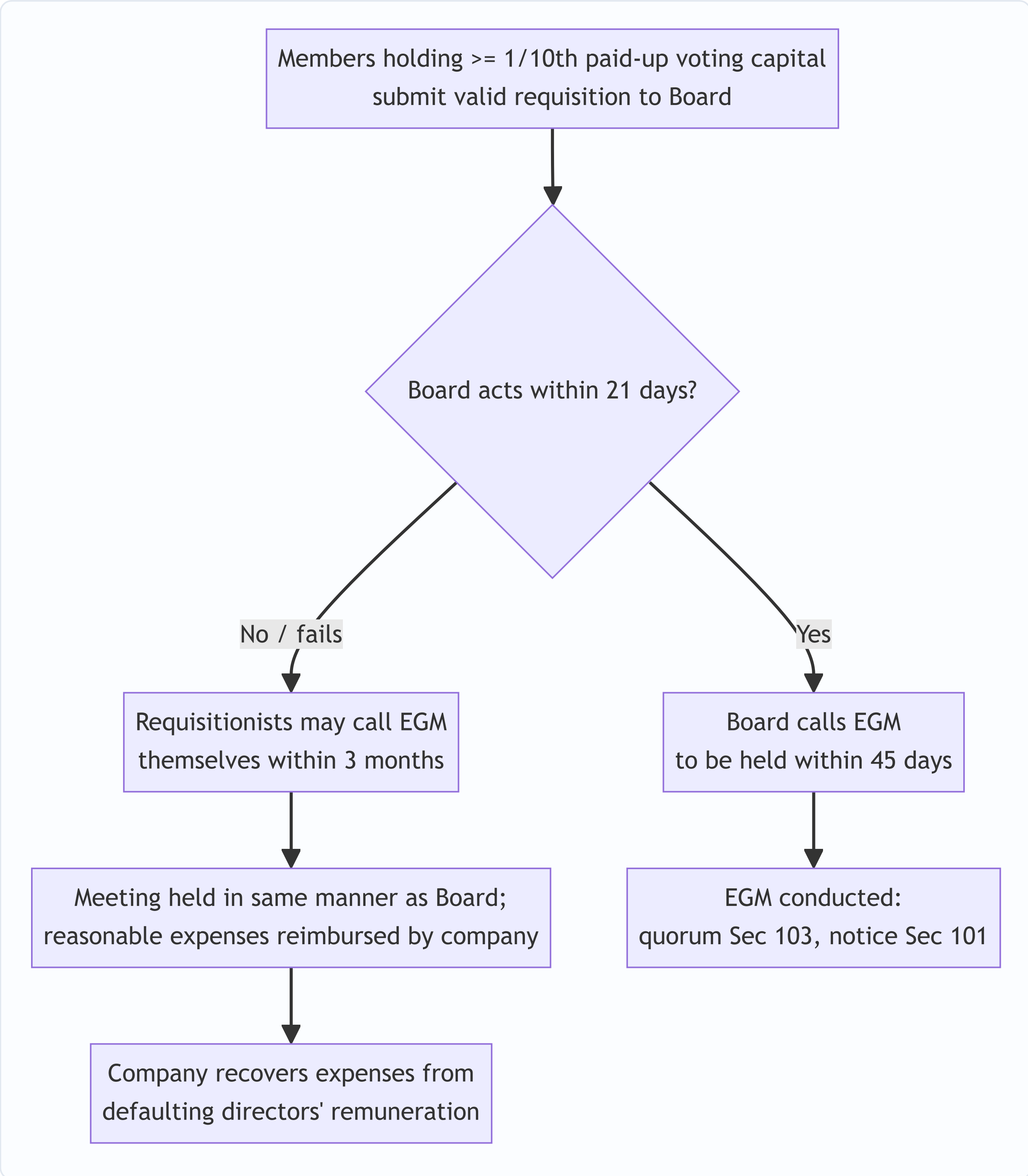
C2. Describe the provisions relating to minutes of meetings (Sec 118) and inspection (Sec 119). Answer: - **Sec 118 — Minutes:** Every company must, within **30 days** of every general meeting, Board meeting, and committee meeting, prepare and keep **minutes** in books maintained for the purpose, with pages consecutively numbered. Minutes must contain a **fair and correct summary** of proceedings. The Chairman may exclude matters that are **defamatory, irrelevant/immaterial, or detrimental to the company's interests**. Minutes are **evidence** of the proceedings [Sec 118(7)]. Where minutes are duly kept, the meeting is **deemed duly held** and all proceedings deemed valid [Sec 118(8)] until contrary proved. Companies must observe **Secretarial Standards (SS-1 and SS-2)** issued by ICSI and approved by the Central Government [Sec 118(10)]. **Tampering** with minutes attracts penalty [Sec 118(12)]. - **Sec 119 — Inspection of minute books of general meeting:** The minute books of general meetings are kept at the **registered office** and open to **inspection by members free of charge**. A member may obtain **copies within 7 working days** on payment of prescribed fees. Refusal attracts penalty; the Tribunal may direct immediate inspection/copies.

C3. State the provisions for extraordinary general meeting (EGM) including calling by requisition and by the Tribunal (Sec 100 / Sec 98). Answer: - **Sec 100 — EGM:** The **Board may call an EGM** whenever it deems fit. The Board **must call** an EGM on **requisition** of members holding **≥ 1/10th of paid-up share capital** carrying voting rights (or, for a company without share capital, ≥ 1/10th of total voting power). On a valid requisition, the Board must, **within 21 days**, call a meeting to be **held within 45 days**. If the Board fails, the **requisitionists themselves** may call the meeting within **3 months** of the requisition, and reasonable expenses are **reimbursed by the company** (recoverable from defaulting directors). - **Sec 98 — Power of Tribunal to call meetings:** If it is **impracticable** to call, hold, or conduct a meeting (other than an AGM) in the manner prescribed, the **Tribunal** may, on application or *suo motu*, order a meeting to be called and conducted as it directs, including directing that **one member present shall be deemed to constitute the meeting**.

C4. Explain "special notice" (Sec 115) and the resolutions requiring it. Answer (Sec 115): Where any provision of the Act or the articles requires **special notice** for a resolution, notice of intention to move it must be given to the company by members holding **not less than 1% of total voting power** or holding shares on which aggregate **paid-up value ≤ ₹5,00,000**, at least **14 days before the meeting** (exclusive of the meeting day). The company then gives its members notice of the resolution. Examples requiring special notice: **appointing an auditor other than the retiring auditor** or providing that the retiring auditor shall not be re-appointed (Sec 140), and **removal of a director** and appointing someone in his place (Sec 169).

C5. Explain Sec 113 (representation of body corporate) and Sec 112 (representation of President/Governor). Answer: - **Sec 113:** A **body corporate** which is a member of a company may, by **resolution of its Board**, authorise a person as its **representative** at a meeting. Such a **corporate representative** is entitled to exercise the **same rights and powers as an individual member**, including voting on a show of hands and on a poll, and can be counted for **quorum**. This differs from a proxy (who cannot vote on show of hands / not counted for quorum). - **Sec 112:** The **President of India or Governor of a State**, if a member, may appoint a representative to attend meetings and exercise the rights of a member.

Mermaid Diagram — EGM by Requisition (Sec 100)



SECTION D — MCQs / Case Scenarios (correct option + one-line reason)

D1. Notice of change in situation of registered office must be filed with the Registrar within: (a) 15 days (b) 30 days (c) 45 days (d) 60 days **Answer: (b) 30 days** — Sec 12(4), filed in Form INC-22.

D2. An index of members is compulsory when the number of members exceeds: (a) 20 (b) 50 (c) 100 (d) 200 **Answer: (b) 50** — Sec 88(2) (unless register is itself in index form).

D3. The threshold for being a Significant Beneficial Owner is holding not less than: (a) 5% (b) 10% (c) 25% (d) 26% **Answer: (b) 10%** — Sec 90 read with SBO Rules (shares/voting/dividend rights).

D4. The annual return must be filed within ___ days of the AGM: (a) 30 (b) 45 (c) 60 (d) 90 **Answer: (c) 60 days** — Sec 92(4), Form MGT-7.

D5. The first AGM of a company must be held within ___ from the close of the first financial year: (a) 6 months (b) 9 months (c) 12 months (d) 15 months **Answer: (b) 9 months** — Sec 96(1) proviso.

D6. Minimum clear days' notice for a general meeting: (a) 14 (b) 21 (c) 30 (d) 7 **Answer: (b) 21 clear days** — Sec 101(1).

D7. Quorum for a public company having 3,000 members is: (a) 5 (b) 15 (c) 30 (d) 2 **Answer: (b) 15 members** — Sec 103(1)(a) (members between 1000 and 5000).

D8. A proxy instrument must be deposited before the meeting at least: (a) 24 hours (b) 48 hours (c) 72 hours (d) 12 hours **Answer: (b) 48 hours** — Sec 105(4).

D9. A special resolution is passed when votes in favour are not less than ___ the votes against: (a) two times (b) three times (c) equal to (d) four times **Answer: (b) three times** (i.e., ≥ 75%) — Sec 114(2).

D10. Every specified resolution (incl. special resolutions) must be filed in Form MGT-14 within: (a) 15 days (b) 30 days (c) 45 days (d) 60 days **Answer: (b) 30 days** — Sec 117(1)/(3).

D11. Minutes of a general/Board meeting must be prepared and entered within ___ of the meeting: (a) 7 days (b) 15 days (c) 30 days (d) 45 days **Answer: (c) 30 days** — Sec 118(1).

D12. A poll may be demanded by members holding paid-up shares of value not less than: (a) ₹1,00,000 (b) ₹5,00,000 (c) ₹10,00,000 (d) ₹50,000 **Answer: (b) ₹5,00,000** or ≥ 1/10th voting power — Sec 109(1).

D13. Which entity is NOT required to hold an AGM? (a) Public company (b) Private company (c) One Person Company (d) Listed company **Answer: (c) One Person Company** — Sec 96(1) proviso; also relevant to Sec 122 (OPC provisions).

D14. Special notice under Sec 115 must be given at least ___ before the meeting: (a) 7 days (b) 14 days (c) 21 days (d) 3 days **Answer: (b) 14 days** — Sec 115.

D15. Case Scenario: A body corporate, a member of ABC Ltd, sends Mr. X as its representative under a Board resolution. At the AGM, ABC's Chairman refuses to count X for quorum, treating him as a proxy. (a) Chairman is right — X is a proxy (b) Chairman is wrong — X is a corporate representative and counts for quorum (c) X can vote only on a poll (d) X cannot vote at all **Answer: (b)** — Under **Sec 113**, a corporate representative has the **same rights as an individual member**, counts for **quorum**, and votes on show of hands and poll — unlike a proxy.

D16. Registers under Sec 88 may be kept at a place other than the registered office only if approved by: (a) Ordinary resolution (b) Board resolution (c) Special resolution (d) Registrar's order **Answer: (c) Special resolution** — Sec 94(1) proviso (place where >1/10th members reside).

D17. For which companies is MGT-8 (PCS certification of annual return) mandatory? (a) All companies (b) Listed cos. & those with paid-up capital ≥ ₹10 cr or turnover ≥ ₹50 cr (c) OPC only (d) Private companies only **Answer: (b)** — Sec 92(2) read with the Rules.

D18. Case Scenario: MNO Ltd (400 members) wants to pass a resolution for buy-back by postal ballot but also transacts its ordinary business (adoption of accounts) by postal ballot. (a) Both are valid by postal ballot (b) Buy-back is valid by postal ballot; ordinary business cannot be transacted by postal ballot (c) Neither can be by postal ballot (d) Only ordinary business can be by postal ballot **Answer: (b)** — Under **Sec 110**, **ordinary business** and items where directors/auditors have a right to be heard **cannot** be transacted by postal ballot.

Quick citation index

Sec 12 (registered office & publication) · Sec 88 (register of members) · Sec 89 (beneficial interest) · Sec 90 (SBO) · Sec 92 (annual return) · Sec 94 (place/inspection of registers) · Sec 96 (AGM) · Sec 98 (Tribunal-called meetings) · Sec 100 (EGM/requisition) · Sec 101 (notice) · Sec 102 (explanatory statement) · Sec 103 (quorum) · Sec 105 (proxy) · Sec 107–110 (voting/poll/e-voting/postal ballot) · Sec 112–113 (representation) · Sec 114–116 (resolutions & special notice) · Sec 117 (filing resolutions) · Sec 118–119 (minutes & inspection) · Sec 120–122 (e-records / AGM report / OPC).

Chapter 08 — Declaration & Payment of Dividend

1. The Problem — the "eating the seed corn" con

Imagine a company as a walled garden. Inside the walls live two very different groups who both want money out of it.

- **Shareholders** are the owners. They put in capital hoping the garden throws off fruit (profit). They want that fruit handed to them — the fruit is called **dividend**.
- **Creditors** — banks, debenture-holders, trade suppliers, workers owed wages — lent the company money or goods. They do **not** share in profit. Their deal is simpler and older: "You owe me a fixed sum. Pay me back." They are protected by a promise called **limited liability's flip side**: the shareholders can lose only what they put in, so in exchange, the capital the shareholders put in must stay *inside the walls* as a cushion for creditors. This is the **doctrine of capital maintenance** — the single most important idea in this entire chapter.

Now the abuse. Suppose a company had a bad year — it actually *lost* money. But the directors (who are usually the big shareholders) want cash out. So they simply pay themselves a fat dividend anyway, funded not from profit but by **digging into the capital cushion** — selling assets, dipping into share capital, or paying out of borrowed money. The garden's protective wall is quietly dismantled brick by brick and handed to the owners. When creditors later come knocking, the cupboard is bare.

This is the corporate equivalent of a farmer **eating the seed corn** — consuming the very thing that was supposed to guarantee next year's crop and everyone's debts. Or think of it as a shopkeeper paying himself a "salary" out of the till that holds his suppliers' unpaid bills.

Three specific frauds the law had to stop:

1. **Dividend out of capital** — paying owners from the creditor cushion, leaving debts unbacked.
2. **Dividend out of unreal / paper profits** — showing profit only because depreciation was skipped or a one-time asset revaluation was booked, then paying real cash against that fake profit.
3. **Dividend declared but never actually paid** — the company announces a dividend (pumping up its share price and reputation), shareholders relax, but the money is never sent, or small unclaimed amounts sit in the company's account **forever**, quietly financing the company for free.

Chapter VIII of the Companies Act, 2013 (**Sections 123 to 127**) exists to defeat exactly these three abuses. Read every rule below as an answer to "which of these three cons is this stopping?"

Why the historical judges got here first. Long before the 2013 Act, English courts had already fought this war. In *Flitcroft's Case (1882)* directors who paid dividends out of capital were held **personally liable to refund** the money — because they had breached the trust that capital is a fund for creditors. In *Verner v. General & Commercial Investment Trust (1894)* the court accepted that a *revenue* (trading) loss need not always block a dividend if the paid-up capital is otherwise intact, but a **loss of fixed capital** is a different matter. The Indian statute simply **codifies and tightens** this common-law instinct into hard, testable rules. Knowing the case-law origin helps you answer "why" questions the examiner slips in: the rules are not arbitrary bureaucracy — they are a two-century-old anti-fraud reflex written down.

A fourth, subtler abuse worth naming. Beyond the three headline cons, the Act also guards against **discrimination between shareholders of the same class** and against **paying the wrong person** when ownership is mid-transfer (Section 126). Dividend must go to whoever is the *registered* holder on the record date, in proportion to paid-up value (Section 51), and the company cannot cherry-pick who gets paid within a class. Keep this in your back pocket for scenario questions where shares change hands around the record date.

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2. The Core Idea — dividend is a *reward from real profit*, never a *withdrawal of the cushion*

Strip everything down and the law says one sentence:

> **Dividend may be paid ONLY out of profits that are genuinely earned and genuinely realised — never out of the capital that protects creditors.**

Everything else — the depreciation rule, the transfer-to-reserves rule, the rule about past reserves, the deposit-in-a-separate-account rule — is just plumbing that *guarantees* the profit is real and *guarantees* the money actually reaches the shareholder.

Two mental anchors carry the whole chapter:

- **Anchor A — "Real profit test."** Before a rupee leaves as dividend, the company must prove the profit is real: depreciation charged, past losses absorbed, no paper gains counted.
- **Anchor B — "Money must actually move."** Once declared, dividend becomes a **debt the company owes**. The law then chases that money — into the shareholder's hand within 30 days, and if unclaimed, eventually into a public fund (IEPF) rather than letting the company keep it.

Anchor A protects **creditors** (don't touch the cushion). Anchor B protects **shareholders** (you were promised it, you will get it). Hold those two and you can reconstruct almost every section.

A third anchor hides between them — "Declaration is a switch, not a promise." The single most conceptually loaded fact in the chapter is the *moment* a dividend legally crystallises. Before declaration, a dividend is merely a *hope*; shareholders have **no enforceable right** to it, and the Board's recommendation can be withdrawn. The instant it is **declared** (by members for a final dividend, by the Board for an interim), it flips into an **enforceable debt** owed by the company (*Bacha F. Guzdar v. CIT* recognises dividend as the shareholder's own income once it accrues). This one-way switch explains three otherwise-puzzling rules at once:

- **A declared final dividend cannot be revoked** — you cannot cancel a debt already owed. (An *interim* dividend, being a Board act, is on a slightly different footing — see 4.5 — but once actually declared and set apart, it too is generally treated as a debt.)
- **The 30-day payment clock and the separate-account rule** exist *because* a debt now exists and the creditor-shareholder must be paid.
- **Interest penalties** (12%/18%) make sense only against a *debt* — you don't pay interest on a mere intention.

Memorise the switch: **recommendation = reversible hope; declaration = irreversible debt.** Half the tricky MCQs turn on which side of the switch the facts sit.

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3. Why It's Built This Way — the logic of capital protection

Why not just let companies pay whatever dividend they like? Because of the grand bargain of **limited liability**.

A shareholder in a limited company can never be forced to pay the company's debts beyond their shareholding. That is a huge gift — it makes investing safe and makes capitalism possible. But it creates a moral hazard: if owners can't be chased personally, what stops them from stripping the company of cash the moment trouble looms and leaving creditors with an empty shell?

The law's answer is a trade: **"You get limited liability, but in return, the capital you contribute is locked in as a permanent guarantee fund for creditors. You may take out the *profit* the business earns on top of that capital — but you may never take out the capital itself."**

That is the **capital maintenance doctrine**, and dividend law is its front line. This is also why:

- **Depreciation is compulsory before dividend** — because if you don't recognise that your machines are wearing out, your "profit" is fake; you'd be distributing the value of the wasting asset (a slice of capital) disguised as profit.
- **A dividend once declared can't be revoked** — because it becomes a debt owed to shareholders, and you can't just cancel debts.
- **Unclaimed dividend can't be kept** — because if the company keeps money it owes, it's effectively getting an interest-free loan from forgetful investors, and over decades that money would silently vanish into the company. The IEPF forces it into public custody.

Understand it as: **profit flows OUT (reward), capital stays IN (guarantee).** The border between "out" and "in" is policed by Section 123.

Why the border is drawn at *realised* profit, not just *positive* profit. A deeper first-principle: creditors are paid in **cash**, not in accounting entries. A revaluation surplus, a mark-to-market gain, or an unrealised foreign-exchange gain can make the profit-and-loss account look healthy while **not a single rupee of spendable cash** has entered the business. If the law allowed dividends against such gains, the company would have to **borrow or sell assets** to fund the cash payout — which is exactly "paying dividend out of capital" wearing a disguise. So the border is placed one notch stricter than "profit exists": it demands profit that is **both earned and realised in cash form**. This is why Section 2(43) surgically excludes notional, unrealised and revaluation gains from "free reserves." Hold this and you never fall for the "but the balance sheet shows a surplus!" trap.

Why creditors outrank owners in the queue — the residual-claimant logic. Shareholders are, by design, the **residual claimants**: they get what is *left over* after everyone else is paid. That is the flip side of the *upside* they enjoy (unlimited profit potential) — they must sit *last* in the payout queue. Every dividend rule that says "pay the creditor first" (S.123(6) deposit-defaulters; the depreciation and past-loss set-off gates; the reserve floor in Rule 3) is just this queue being enforced. Owners eat only after the business's obligations are covered — never before.

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4. Full Technical Content — section by section, each with its "why"

Chapter VIII, Companies Act 2013 = **Sections 123–127**, supported by the **Companies (Declaration and Payment of Dividend) Rules, 2014** and the **IEPF Authority (Accounting, Audit, Transfer and Refund)**

Rules, 2016.

First, a vocabulary fix, because the exam loves it:

- **Dividend** is *not defined* precisely in the Act except in **Section 2(35)**: "*dividend includes any interim dividend.*" That inclusion exists to slam shut a loophole — see interim dividend below. Beyond that, dividend means a **shareholder's share of distributed profit**, in proportion to the amount paid-up on their shares (Section 51 allows dividend on paid-up basis).
- **Final dividend** — recommended by the Board, **declared by members** at the AGM.
- **Interim dividend** — declared by the **Board alone** between two AGMs.

Two further definitional distinctions the examiner exploits:

- **"Declared" vs "Paid."** These are separate legal events with separate consequences. *Declaration* creates the debt (and starts the 30-day clock and the reserve/depreciation gates must already be satisfied). *Payment* is the discharge of that debt (posting the warrant / crediting the bank). A dividend can be validly *declared* yet unlawfully *unpaid* — that is precisely the Section 127 offence. Never treat the two words as synonyms in an answer.
- **Dividend on the *paid-up* amount, not the *face* amount (Section 51).** If a shareholder has a ₹10 face-value share on which only ₹6 is paid up, dividend accrues on ₹6, not ₹10 — unless the articles authorise otherwise and calls are uniform. This lets the examiner set a numerical trap where partly-paid shares are lurking in the share capital. Always check the *paid-up* figure, not the nominal one.

4.1 Section 123(1) — the sources of dividend (the "Real Profit" gate)

The abuse it kills: paying dividend out of capital or out of fake profit.

Dividend (for any financial year) may be **declared or paid ONLY out of** one or more of these three sources:

#	Permitted source	The condition attached	Why the condition exists
(a)	**Profits of the company for the current year**, arrived at **after providing for depreciation** per Section 123(2)	Depreciation must be charged as per Schedule II	Un-depreciated "profit" is partly the melting value of assets = capital in disguise
(b)	**Profits of any previous financial year(s)** left undistributed, again **after providing for depreciation** for those years	Same depreciation discipline for past years	Stops reviving old paper profits
(c)	**Money provided by Central or State Government** for payment of dividend under a guarantee	Only where such a guarantee exists	Narrow, government-backed exception

Critical rule embedded here — free reserves only. The first proviso to Section 123(1) says a company **cannot declare dividend unless carried-over previous losses AND depreciation not provided in previous years are first set off against the current year's profit.** You must heal the past before you feast in the present. (This defeats the trick of ignoring accumulated losses to show a distributable profit.)

Free reserves definition — Section 2(43): reserves available for distribution as dividend *as per the latest audited balance sheet*, **but EXCLUDING**: - any **unrealised gains, notional gains or revaluation of assets** (a revaluation surplus is a paper gain — the asset hasn't been sold, so no real cash exists), and - any **change in carrying amount** of an asset or liability on measurement at fair value.

Memory hook: "Free" means **free of fantasy** — no revaluation, no notional, no fair-value pumping. Only cash-real reserves.

Finer distinctions the exam tests on sources:

- **Capital profits are distributable only under strict conditions.** A profit on sale of a fixed asset or a capital reserve is *generally not* distributable as dividend, because it is not a trading profit. The classical view (*Lubbock v. British Bank of South America*) permits distribution of a **realised** capital profit only if (i) the articles permit, (ii) it is a *realised* (cash) profit, and (iii) a proper revaluation of **all** assets still leaves a surplus. In practice for CA Inter, treat capital reserves as **non-distributable** unless the facts expressly satisfy these conditions.
- **Securities premium and Capital Redemption Reserve are NOT free reserves.** They are "reserves" but are ring-fenced by statute (S.52, S.55) for specific uses (issuing bonus shares, writing off preliminary expenses, buy-back, etc.) and can **never** be paid out as dividend. A favourite trap is to bundle a large securities premium into "reserves available for dividend" — it is not.
- **Debit balance of P&L (accumulated losses) reduces the pool.** Before any figure is called "distributable," accumulated losses and unprovided depreciation are netted off (first proviso). The examiner may give you a fat reserves figure alongside a big carried-forward loss and expect you to net them.
- **What "profits for the year" means net of tax.** Distributable profit is the profit *after* providing for depreciation **and** for tax; you cannot distribute a pre-tax figure. This is rarely stated but occasionally tested numerically.

4.2 Section 123(2) — Depreciation is compulsory

The abuse it kills: dividend out of profit that only *looks* like profit because the wearing-out of assets was ignored.

Depreciation must be provided in accordance with **Schedule II** (which prescribes useful lives of assets, replacing the old rate-based Schedule XIV). No skipping depreciation to inflate distributable profit.

Why: A factory machine worth ₹100 that will be worthless in 10 years costs the business ₹10 of value every year. If you don't book that ₹10, your profit is overstated by ₹10, and paying it out hands shareholders a piece of the machine (capital), not earnings.

Deeper points on depreciation the examiner probes:

- **Both current-year AND arrears of depreciation.** It is not enough to charge this year's depreciation; the first proviso to S.123(1) requires that depreciation **not provided in earlier years** must *also* be made good before distributing current profit. Two years of skipped depreciation cannot be quietly forgotten.
- **Schedule II is useful-life-based, not rate-based.** Under the old Schedule XIV you looked up a *rate*; under Schedule II you are given a *useful life* and must derive the charge (SLM or WDV). If a company adopts a **different useful life** than Schedule II indicates, it must **disclose and justify** it via technical advice — it cannot use this as a backdoor to under-depreciate and inflate distributable profit.
- **Depreciation is compulsory even in a bumper-profit year.** Some students think depreciation only matters when profits are thin. Wrong — it is an *always-on* gate (see Trap 12). The size of profit is irrelevant to the *duty* to depreciate.

4.3 Section 123(1) second proviso — Transfer to reserves is now VOLUNTARY

The old regime vs new — a favourite exam trap.

Under the Companies Act **1956**, transferring a slice of profit to reserves before dividend was **compulsory** (graded rates up to 10% depending on the dividend rate).

Under the **2013 Act, Section 123(1), it is entirely voluntary** — a company *may*, before declaring dividend, transfer **such percentage of its profits as it considers appropriate** to the reserves. There is **no minimum** and **no maximum** compulsory transfer.

Why the change: Parliament decided the earlier straitjacket was paternalistic; boards should decide retention policy. The creditor cushion is now protected by the *depreciation* + *free-reserves* + *no-capital* rules rather than a forced reserve transfer.

Trap: If a question says "the company must transfer X% to reserves before dividend," that is **1956-law and WRONG under the 2013 Act.**

Nuance — voluntary for the *general* case, but Rule 3 imposes a *conditional* floor. Do not overstate the freedom. It is true that no *pre-dividend* transfer is mandatory when you are paying out of the **current year's** profits. But the moment you dip into **past accumulated reserves in a lean year** (Rule 3, para 4.4), a **15% reserve floor** kicks in as a *post-withdrawal* constraint. So the honest statement is: "Transfer *to* reserves is voluntary; but *withdrawal from* reserves is capped, leaving a mandatory 15% floor." Examiners love catching students who over-generalise "reserves are entirely voluntary now."

4.4 Section 123(1) third proviso + Rule 3 — Dividend out of PAST (accumulated) reserves in a loss/low-profit year

The abuse it kills: a company has a bad year (inadequate or nil profit) but wants to keep up appearances and still pay a dividend by raiding accumulated reserves recklessly — potentially draining the cushion.

The law permits it **but only within strict limits**, set out in the **Companies (Declaration and Payment of Dividend) Rules, 2014, Rule 3.** In case of **inadequacy or absence of profits** in a year, a company may declare dividend out of **accumulated profits transferred to free reserves in previous years**, subject to **all four** of these caps:

Cap	The rule	Purpose of the cap
1. Rate cap	Rate of dividend ≤ **average of the rates** at which dividend was declared in the **immediately preceding THREE years**	You can't suddenly pay a lavish dividend from reserves — pay only your normal historical rate
2. Amount cap	Total amount drawn from accumulated profits ≤ **1/10th (10%) of the sum of paid-up share capital + free reserves** as per the latest audited financial statement	Limits the total bite taken out of the cushion in any one bad year
3. Set-off first	The amount so drawn shall **first be used to set off losses** incurred in the financial year in which dividend is declared	Don't pay dividend while the current year is bleeding — plug the hole first
4. Balance floor	After such withdrawal, the **balance of reserves shall not fall below 15%** of its paid-up share capital as per the latest audited financial statement	A permanent minimum reserve floor — the cushion can be dented but never destroyed

Special relief note: The **rate cap (Cap 1)** does **not apply** to a company that has **not declared any dividend in each of the three preceding financial years** (a first-timer or a long-dry company isn't punished by having a "zero average").

Memory hook — "3-10-plug-15": - **3** years' average rate, - **10%** max amount, - **plug** current losses first, - **15%** reserve floor remains.

Reading each cap at first principles (why four, not one): The four caps attack the raid from four different angles, and each is a separate safety catch: - The **rate cap** stops the *per-share generosity* running wild — you keep to your *habitual* dividend, not a lean-year bonanza. - The **amount cap** limits the *absolute rupees* leaving the cushion in a single bad year — independent of rate, so even a low rate on a huge capital base is bounded. - The **set-off** ensures you *cannot bleed and feast simultaneously* — losses of the year are healed before any distribution. - The **floor** guarantees a *permanent minimum core* of reserves survives — the cushion can be dented, never emptied. Because they operate on different variables (rate, amount, current loss, residual balance), **all four must be satisfied simultaneously** — passing three and failing one still kills the dividend. Numerical questions almost always plant exactly one binding constraint; your job is to find which one bites.

Edge cases and examiner tweaks on Rule 3:

- **"Free reserves" for the 10% and 15% tests excludes revaluation.** The base for both the amount cap and the floor uses *free reserves* per S.2(43) — so if the balance sheet reserves include a revaluation surplus, **strip it out first**. A classic tweak: the sum given includes a "General reserve" (counts) plus a "Revaluation reserve" (does *not* count).
- **Only reserves built from *profits* qualify** as the source. You can draw from accumulated **free reserves** (e.g. General Reserve, surplus in P&L) — not from Capital Redemption Reserve, Securities Premium, or Revaluation Reserve.
- **"Inadequacy or absence of profits" is the trigger.** If current profits are *adequate*, Rule 3 does not apply at all and you simply pay from current profit under S.123(1) with no rate/amount caps. The examiner may hide an adequate profit and see if you needlessly apply the caps.
- **The floor is measured on the *latest audited* balance sheet's paid-up capital**, not a mid-year figure. If a fresh issue of shares happened after year-end, use the audited figure unless facts say otherwise (flag if ambiguous).
- **Rate for the 3-year average uses years in which dividend was *declared*.** If in one of the three years no dividend was declared, that year counts as **0%** in the average — *unless* the "no dividend in all three years" relief applies (then the rate cap simply drops away).

4.5 Section 123(3) — Interim dividend

The abuse Section 2(35) + 123(3) kill: the "interim" escape hatch. Historically directors argued that an *interim* dividend (declared mid-year by the Board without waiting for the AGM) wasn't a "real" dividend, so the safeguards didn't apply — letting them push cash out mid-year without the full-profit discipline. Section 2(35) — "*dividend includes any interim dividend*" — plugs this: **every rule about real profits applies to interim dividend too.**

Rules for interim dividend under **Section 123(3):**

- The **Board of Directors** may declare interim dividend during any financial year **or at any time between the closure of a financial year and the AGM**, out of:

- the **surplus in the profit & loss account**, **and/or**
- **profits of the financial year for which such interim dividend is sought to be declared**, and/or
- **profits generated up to the quarter** preceding the date of declaration.
- **Loss-protection brake:** If the company has **incurred a loss during the current financial year up to the end of the quarter immediately preceding the date of declaration** of interim dividend, then the interim dividend **shall NOT be declared at a rate higher than the average dividend declared during the immediately preceding THREE financial years.**

Why the brake: an interim dividend is declared *before* the year's final results are known — it's a bet on profits that may not materialise. If the company is *already* in the red for the year so far, the law caps the rate to the historical average so directors can't gamble the cushion on optimism.

Key contrasts (exam gold): - Final dividend → **recommended by Board, DECLARED by members** at AGM (members can reduce but **not increase** the Board's recommended rate). - Interim dividend → **declared by the Board**, no member approval needed. - Both, once declared, become a debt and follow the payment rules below.

Sharper interim-dividend distinctions:

- **Interim can be paid out of the *current* year's surplus P&L, but NOT out of past reserves under the ordinary Rule 3 raid.** The source list in S.123(3) is: surplus in P&L brought forward + current-year profit + profit up to the preceding quarter. The general practice is that an interim dividend is **not** funded by a Rule-3-style reserve raid; the profit must be genuinely available at the interim stage.
- **The loss-brake looks at the year "up to the end of the preceding quarter," not the whole year.** So a company loss-making in Q1–Q2 but declaring interim in Q3 is judged on the **cumulative loss up to end of Q2**. If cumulatively profitable up to that point, the brake does not bite even if one interim quarter was weak.
- **Board's discretion is real but not unlimited.** The Board *may* declare interim dividend — it is a power, not a duty — and it can also *rescind* an interim dividend **before it is actually paid/parted with**, because unlike a members-declared final dividend, an unpaid interim declaration is generally treated as revocable by the Board that made it. Once the money is set apart in the separate account and becomes payable, though, treat it as a debt. (If asked, note the final vs interim revocability distinction — it is a subtle but examinable point.)
- **Same depreciation and free-reserve discipline applies** — because S.2(35) folds interim into "dividend," every S.123(1)/(2) gate applies mutatis mutandis.

4.6 Section 123(4) — Deposit into a separate bank account

The abuse it kills: "declared but not paid." A company announces a dividend (great for its image and share price) but keeps the cash mingled in its working accounts and drips it out — or never pays.

Rule: The amount of dividend (including interim) **must be deposited in a SEPARATE bank account within 5 days** of declaration. This ring-fences the money so it can't be used for anything else. It is *earmarked* the moment it's declared.

Why 5 days and why a *scheduled bank*: the short 5-day window denies the company any meaningful chance to *use* the money for operations, and the separate account creates a **traceable, ring-fenced pool** so that if the company later fails, the dividend money is identifiable and not swept into the general estate for creditors. Note this is a *scheduled bank* account — the same custodial logic as the later Unpaid Dividend Account. A common tweak: the 5 days runs from **declaration**, not from the AGM notice or the record date.

4.7 Section 123(5) — How and to whom dividend is paid

- Dividend is payable **only to the registered shareholder**, or to their order, or to their banker.
- Dividend must be paid in **cash** — **NOT in kind**. ("Cash" includes cheque, warrant, or **electronic mode**.)
- **Why no dividend in kind:** to stop companies fobbing off shareholders with unsaleable inventory or inflated-value assets instead of real money. *(Exception you should note: the prohibition on payment in kind does not bar the capitalisation of profits/reserves through a bonus issue, or buy-back, or a scheme of arrangement where shares of another company are distributed — those are governed by separate sections. Confirm nuance in ICAI material.)*

Finer "to whom" distinctions:

- **Registered holder on the record date wins.** Even if a shareholder has *sold* the shares but the transfer is not yet registered, the company pays the **registered** holder (subject to S.126 abeyance where a transfer is lodged). Beneficial ownership does not entitle you to be paid by the company until you are on the register.
- **"Or to his order, or to his banker."** The company can lawfully route payment as the registered holder directs (e.g. to a nominated bank). This is why one of the S.127 exceptions covers "shareholder gave directions that could not be complied with."
- **Cash includes electronic mode** — NEFT/RTGS/ECS is fully compliant; indeed for listed companies electronic credit is the norm. Do not mark electronic payment as "non-cash."

4.8 Section 123(6) — Defaulters cannot declare dividend

A company which **fails to comply with Sections 73 and 74** (acceptance and repayment of **deposits**) shall **not, so long as such failure continues, declare any dividend** on its equity shares.

Why: You cannot reward owners while you are defaulting on repaying depositors (a class of creditor). Creditors before owners — the capital-protection hierarchy in action.

Precision points: the bar operates *only while the failure continues* — once the S.73/74 default is cured, the company may resume declaring dividend. The bar is on **equity** dividend as worded; and it applies to *declaration* (the switch), so a company under a subsisting deposit default cannot even take the first step. This is the cleanest illustration in the chapter of the residual-claimant queue: **depositor-creditors are paid before owner-shareholders, full stop.**

4.9 Section 124 — Unpaid / Unclaimed Dividend and the journey to the IEPF

The abuse it kills: small dividends left unclaimed by forgetful or untraceable shareholders sitting in the company's account **indefinitely**, effectively becoming a free perpetual loan to the company — and eventually being absorbed by it.

Here is the full lifecycle (this is heavily examined — learn the timeline):

1. **If dividend is not paid or claimed within 30 days** of declaration (i.e. it's now "unpaid/unclaimed"), the company must, **within 7 days** after those 30 days expire (**i.e. by day 37**), transfer the total unpaid/unclaimed amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank. *(30 + 7 = 37 days total.)*

2. **Penalty for delay:** if the company defaults in transferring, it must pay **interest @ 12% p.a.** on the amount not transferred, from the date of default — and the interest accrues to the benefit of the members in proportion.
3. **Transparency:** within **90 days** of transferring to the Unpaid Dividend Account, the company must place a **statement of names, last-known addresses and unpaid amounts on its website** (and the IEPF website), so rightful owners can find their money.
4. **The 7-year rule → IEPF:** Any money in the Unpaid Dividend Account that **remains unpaid/unclaimed for 7 years** from the date it was first transferred to that account **must be transferred to the Investor Education and Protection Fund (IEPF)** established under Section 125. Interest accrued is also transferred.
5. **Shares follow the dividend — the sting in the tail:** Under **Section 124(6)**, **all shares in respect of which dividend has not been paid or claimed for 7 consecutive years** shall **also be transferred to the IEPF** (in the name of the IEPF Authority). *This is the big trap — not just the money, the actual shares move.* The shareholder isn't wiped out permanently — they can **claim both the shares and the dividends back** from the IEPF Authority by following the refund procedure.

Penalty (Section 124(7)): If a company fails to comply with Section 124, the **company is punishable with a fine** and **every officer in default** likewise (learn the range from the current bare Act — historically ₹5 lakh–₹25 lakh for the company and ₹1 lakh–₹5 lakh for officers; *confirm exact current figures in ICAI material / bare Act as fine amounts have been amended*).

Two heavily-tested subtleties on the "7 consecutive years" share transfer:

- **"Consecutive" is the operative word — one claim resets the clock.** If the shareholder claims *even one* year's dividend during the seven-year run, the shares are **not** transferred, because the seven years must be *unbroken*. A classic tweak: shareholder ignored dividends for six years, claimed in year five, then went silent — the count restarts, so no share transfer yet.
- **The money clock and the share clock are measured differently.** The *money* goes to IEPF 7 years after it was **transferred to the Unpaid Dividend Account** (i.e. roughly 7 years + 37 days from declaration). The *shares* go to IEPF after **7 consecutive years** in which dividend was unpaid/unclaimed. Keep the two "sevens" mentally separate.
- **The transfer of shares is *without prejudice* to the owner's reclaim right** — see S.125. And if the shares are transferred, any subsequent benefits (bonus, splits, further dividends) also flow to the IEPF and are reclaimable together.

4.10 Section 125 — The Investor Education and Protection Fund (IEPF)

The purpose: rather than let abandoned investor money enrich the company, pool it into a public fund used to **educate and protect investors** and to **refund rightful claimants**.

What gets credited to the IEPF (Section 125(2)) — learn the main heads: - amounts in **Unpaid Dividend Accounts** unclaimed for 7 years; - **application money** received for securities and due for refund, unclaimed for 7 years; - **matured deposits** and **matured debentures** with companies, unclaimed for 7 years; - **interest** accrued on all the above; - **sale proceeds of fractional shares** on bonus/merger, and **redemption of preference shares** amounts, unclaimed for 7 years; - grants and donations by Central Govt, State Govts, companies or other institutions; - **interest/income earned** on investments of the Fund.

Administered by: the **IEPF Authority** (Section 125(5)/(6)), a statutory body under the Central Government.

Use of the Fund (Section 125(3)): refund of unclaimed dividends/deposits/debentures/application money **to rightful claimants**; promotion of **investor education, awareness and protection**; distribution of disgorged amounts to eligible/identifiable victims; reimbursement of legal expenses in class actions, etc.

The refund right (Section 125(3)(a)): the rightful owner is **never permanently deprived** — they may apply to the IEPF Authority and **reclaim** the transferred amount and/or shares. This is the humane counterweight: the company can't keep the money, but the investor can always get it back.

Distinctions the exam plants around the IEPF:

- **Not everything credited is dividend.** The Fund is a *catch-all* for abandoned investor money — matured deposits, matured debentures, refundable application money, redemption amounts, sale proceeds of fractional shares. A trap MCQ lists these and asks "which does NOT go to IEPF after 7 years?" — the answer is usually something like *current* (un-matured) deposits or *general reserves*, which are not abandoned investor entitlements.
- **The refund is claimed from the IEPF *Authority*, not the company.** After transfer, the company is *functus officio* on that money/shares — the claimant must apply to the Authority (Form IEPF-5 in practice). Answering "claim it back from the company" is wrong once transfer has happened.
- **IEPF is distinct from general revenue.** Money in the IEPF does **not** become government tax revenue; it is held for investor benefit and refunds. This distinguishes India's regime from a simple "escheat to the state."

4.11 Section 126 — Right to dividend, rights shares and bonus shares kept in abeyance

The abuse it kills: uncertainty over who owns dividend/rights/bonus when shares are **caught mid-transfer** (transfer deed lodged but not yet registered).

Rule: Where a transfer of shares has been lodged but not yet registered, the company must: - **transfer the dividend to the Unpaid Dividend Account** (unless the registered holder authorises paying it to the transferee), and - **keep in abeyance** (hold) any **rights shares** offer and any **bonus shares** in relation to those shares, until the transfer is registered.

Why: prevents dividend/benefits being paid to the "wrong" person while ownership is legally in limbo.

Sharper reading: note the asymmetry — the **dividend (cash)** is *parked* in the Unpaid Dividend Account (so it is safe and can go to whoever is finally registered), whereas the **rights and bonus entitlements** are *held in abeyance* (not issued to anyone) until registration. Cash is safest parked; share entitlements are safest frozen. The one escape valve is that the **registered holder can authorise** the company to pay the dividend to the *transferee* — respecting the parties' own arrangement. Section 126 is the practical companion to S.123(5)'s "pay the registered holder" rule: it tells you what to do when the register itself is mid-update.

4.12 Section 127 — Punishment for failure to pay declared dividend

The abuse it kills: the ultimate "declared but not paid" — the company announces a dividend, creating a legal debt, then simply doesn't pay it within the deadline.

Rule: Where a dividend has been **declared but not paid or the warrant not posted within 30 days** from declaration: - **Every director** who is knowingly a party to the default is **punishable with imprisonment up to 2 years AND fine of not less than ₹1,000 for every day the default continues**; and - the **company is liable to pay simple interest @ 18% p.a.** during the period the default continues.

Note the escalation: 18% here vs 12% under Section 124 — Section 127 punishes *not paying the shareholder at all* (worse) more harshly than *not transferring unclaimed money to the special account* (Section 124).

Five exceptions — when NON-payment within 30 days is NOT an offence (learn these; classic exam): 1. Dividend **could not be paid due to operation of law** (e.g. a court order restrains payment); 2. A shareholder **gave directions** about payment that couldn't be complied with, and this was communicated to them; 3. There is a **dispute over the right to receive** the dividend; 4. The dividend was **lawfully adjusted** by the company against a sum **due from the shareholder** (a set-off); 5. The **non-payment was not due to any default of the company** (e.g. shareholder's address unknown / instrument returned undelivered).

Why exceptions exist: the crime is *wrongful* withholding. If the company did nothing wrong — it was ready and willing to pay but the law, a dispute, or the shareholder blocked it — there's no culpability.

Precision the examiner rewards on S.127:

- **The offence attaches to "every director who is a party to the default," not automatically all directors.** A director who genuinely had no knowledge of and was not party to the default may escape. This mirrors the general "officer in default" logic — so a nominee/independent director not involved may not be jailed.
- **"Paid" includes posting the warrant.** The duty is discharged when the company *dispatches* the instrument within 30 days, even if it reaches late through no fault of the company (dovetails with exception 5).
- **The five exceptions are the crux of most 6-mark questions.** The most common scenario tests exception 4 (lawful set-off — the shareholder owes the company a call in arrears, so the company adjusts the dividend against it) or exception 5 (returned-undelivered warrant / unknown address). If the facts fit an exception, there is *no* offence and *no* 18% interest — say so explicitly.
- **18% is the company's civil liability; jail + ₹1,000/day is the director's criminal liability.** Keep the two consequences separate in your answer — they run in parallel, on different persons.

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5. Applied Scenarios — facts → analysis → conclusion

Scenario 1 — The revaluation dividend

Facts: Zenith Ltd earned an operating profit of ₹40 lakh this year but wants to declare a dividend of ₹1.2 crore. Its accountant points out that the company revalued its head-office building upward this year, creating a **revaluation surplus of ₹1 crore**, and proposes treating that surplus as a "free reserve" available for dividend.

Analysis: Section 123(1) permits dividend only out of profits (current/past, after depreciation) or free reserves. **Free reserves are defined in Section 2(43) to specifically EXCLUDE any surplus arising from revaluation of assets** — it is an *unrealised/notional* gain; the building hasn't been sold, so there is no real cash behind it. Distributing against it would be paying dividend out of a paper profit, i.e. effectively out of capital.

Conclusion: The ₹1 crore revaluation surplus is **not distributable**. Zenith can pay dividend only from its ₹40 lakh real profit (after depreciation) plus any genuine accumulated free reserves — subject, if it dips into reserves, to Rule 3 caps.

Scenario 2 — The bad-year dividend from reserves

Facts: Orion Ltd has **paid-up capital ₹50 lakh** and **free reserves ₹80 lakh**. This year profits are negligible, but it wants to keep its dividend record intact. Its dividend rates in the last three years were **12%, 10% and 8%**. It proposes a **14%** dividend funded from accumulated reserves. It also has a current-year loss of ₹3 lakh.

Analysis: This is a dividend out of past reserves in a year of inadequate profit → **Rule 3** applies with its four caps. - **Rate cap:** average of last 3 years = (12+10+8)/3 = **10%**. Proposed 14% **exceeds** the cap → not allowed; max rate is **10%**. - **Amount cap:** max withdrawal = 10% of (paid-up capital + free reserves) = 10% of (₹50L + ₹80L) = **₹13 lakh**. - **Set-off first:** the current-year loss of ₹3 lakh must be **set off** from the amount drawn before any distribution. - **Reserve floor:** after withdrawal, reserves must stay ≥ 15% of paid-up capital = 15% of ₹50L = **₹7.5 lakh**; drawing up to ₹13L from ₹80L leaves ₹67L, comfortably above the floor.

Conclusion: Orion may declare dividend from reserves but **only at 10% (not 14%)**, capped at ₹13 lakh total drawdown, with the ₹3 lakh loss plugged first, and reserves left above ₹7.5 lakh. The 14% proposal is **invalid**.

Scenario 2A — Same facts, but the floor bites (examiner tweak)

Facts: Same Orion Ltd, but rewrite the balance sheet: **paid-up capital ₹50 lakh**, **free reserves only ₹14 lakh** (the rest of what looked like reserves was a ₹66 lakh **revaluation reserve**, which does not count). Three-year dividend rates were 12%, 10%, 8%; it proposes 10% funded from reserves; no current-year loss.

Analysis: Work each cap and find the binding one. - **Rate cap:** 3-year average = 10%. Proposed 10% is within the cap. ✓ - **Amount cap:** 10% of (₹50L + ₹14L *free* reserves) = 10% of ₹64L = **₹6.4 lakh**. (The ₹66L revaluation reserve is stripped out under S.2(43) — the classic tweak.) - **Dividend needed for 10% on ₹50L capital** = **₹5 lakh**. That is within the ₹6.4L amount cap. ✓ - **Floor test:** minimum reserves to retain = 15% of ₹50L = **₹7.5 lakh**. But *free* reserves are only ₹14L. After drawing ₹5L, free reserves would fall to **₹9L** — still above ₹7.5L. ✓ *However*, had the dividend needed ₹7L, reserves would drop to ₹7L, **below the ₹7.5L floor → invalid.**

Reconciliation / self-check: Maximum drawable respecting *both* the amount cap (₹6.4L) and the floor (can reduce ₹14L down to ₹7.5L, i.e. draw ≤ ₹6.5L) = the *lower* of the two = **₹6.4 lakh**. A 10% dividend needs only ₹5L, so it is valid; but a 12%+ dividend (needing ≥ ₹6L, still under ₹6.4L amount cap yet check floor: ₹14L − ₹6L = ₹8L > ₹7.5L ✓) — so even 12% by *amount/floor* would pass, but it fails the **rate cap (max 10%)**. This shows how **different caps bind at different rates** — the rate cap is decisive here, exactly as intended.

Conclusion: Orion may pay up to 10% (rate cap) from free reserves; the revaluation reserve is invisible to all three numeric tests. **Lesson: always convert "reserves" to "free reserves" before touching Rule 3.**

Scenario 3 — The forgotten dividend and the vanishing shares

Facts: In FY 2017-18, Vega Ltd declared a dividend of ₹5,000 to Mr. A, who never claimed it (wrong address on record). Every year since, his dividends went unclaimed too. It is now FY 2025-26. Vega's board says: "It's our money now, he never claimed it."

Analysis: Under **Section 124(1)**, unclaimed dividend had to be moved to the **Unpaid Dividend Account within 37 days** of each declaration. Under **Section 124(5)**, amounts unclaimed for **7 years** from that transfer must go to the **IEPF**. The FY2017-18 dividend crossed 7 years — it belongs in the IEPF now. Crucially, under **Section 124(6)**, because **dividends were unclaimed for 7 consecutive years, the SHARES themselves must be transferred to the IEPF Authority** — Vega cannot keep them either.

Conclusion: Vega's claim is wrong on both counts. The money goes to the IEPF, and Mr. A's **shares are transferred to the IEPF Authority**. However, Mr. A is not destroyed — under **Section 125(3)(a)** he may apply to the **IEPF Authority and reclaim both his shares and all the dividends**.

Scenario 3A — The interrupted seven years (examiner tweak)

Facts: Same as Scenario 3, but this time Mr. A *did* claim his FY2021-22 dividend (he happened to update his address that one year), then went silent again. It is now FY 2025-26.

Analysis: The share transfer under S.124(6) requires **seven *consecutive* years** of unpaid/unclaimed dividend. Mr. A's claim in FY2021-22 **broke the streak**. The seven-year count restarts from the next unclaimed year. As of FY2025-26, no unbroken seven-year run exists, so his **shares are NOT transferred to the IEPF**. (Individual dividend *amounts* older than 7 years from their own transfer date may still individually reach the IEPF, but the *shares* stay with Mr. A.)

Conclusion: The single act of claiming one year's dividend **saved the shares**. This is the "consecutive" trap in action — a one-word difference flips the answer.

Scenario 4 — The interim dividend gamble

Facts: Comet Ltd's board wants to declare an interim dividend at **20%** in December. But for the nine months to end-September (the quarter immediately preceding), the company has actually **made a loss**. Its dividend over the previous three years averaged **11%**.

Analysis: Under **Section 123(3)**, if a company has **incurred a loss in the current financial year up to the end of the quarter immediately preceding** the declaration of interim dividend, the interim dividend rate **cannot exceed the average of the last three years' rates**. Here the company is loss-making for the period, so the cap = **11%**.

Conclusion: Comet **cannot declare 20%**; the interim dividend is capped at **11%**. This brake stops directors from gambling the creditor cushion on the hope of a year-end turnaround.

Scenario 4A — The set-off exception to non-payment (examiner tweak)

Facts: Sirius Ltd declares a final dividend of ₹8,000 to Mr. B. Mr. B holds partly-paid shares on which a **call of ₹5,000 is in arrears**. The company pays Mr. B only ₹3,000, adjusting ₹5,000 against his unpaid call. Mr. B complains to the ROC that the company failed to pay his full ₹8,000 dividend within 30 days and demands 18% interest and prosecution of directors under S.127.

Analysis: Section 127's **fourth exception** expressly protects a company that **lawfully adjusts a declared dividend against a sum due from the shareholder**. A call in arrears is exactly such a debt (and the articles, following Table F, generally permit this set-off). The company was *ready and willing* to satisfy the dividend; it simply applied part of it to Mr. B's own debt. There is therefore **no default**, **no 18% interest**, and **no director liability**.

Conclusion: The company acted lawfully. Mr. B is entitled only to the **₹3,000 net**; his complaint fails. *Lesson: whenever a shareholder owes the company money, check exception 4 before concluding non-payment is an offence.*

Scenario 5 — Declared but unpaid

Facts: Nova Ltd declared a final dividend at the AGM on 1 August. By 15 September, warrants still haven't been posted to shareholders, and there's no legal impediment. A director claims "declaration is enough;

payment can wait."

Analysis: Under **Section 127**, a declared dividend must be **paid / warrant posted within 30 days**. The deadline was 31 August; it's now overdue with no valid excuse (none of the five exceptions applies). Consequence: **every defaulting director** faces **imprisonment up to 2 years and fine ≥ ₹1,000/day** of continued default, and the **company pays interest @ 18% p.a.** for the default period.

Conclusion: The director is wrong. Declaration created a **debt**; non-payment within 30 days is a punishable offence.

Scenario 6 — The deposit-defaulter who wants to reward owners

Facts: Polaris Ltd has ₹2 crore of matured public deposits it has **failed to repay** (a subsisting default under S.74). The company nonetheless had a good trading year and the Board wants to recommend a 15% equity dividend to keep shareholders happy. Is it allowed?

Analysis: Section 123(6) bars a company that has failed to comply with S.73/74 (deposits) from declaring **any dividend on its equity shares** *so long as the failure continues*. The good trading year is irrelevant — the gate is about the *creditor default*, not profitability. The residual-claimant queue forbids paying owners while depositor-creditors go unpaid.

Reconciliation / self-check: Would the answer change if Polaris first *repaid* the deposits? Yes — the bar operates "so long as such failure continues." Cure the default, and the company may then declare dividend (subject to all the S.123(1)/(2) real-profit gates). So the fix is: **repay depositors first, then reward owners.**

Conclusion: Polaris **cannot** declare the 15% dividend while the deposit default subsists. It must clear the deposit default first; only then does the dividend gate open.

Scenario 7 — Members trying to raise the Board's rate

Facts: At Rigel Ltd's AGM, the Board recommended a final dividend of 10%. A group of members, buoyant about the results, moves to *increase* it to 14% and also proposes declaring an *extra* dividend on some reserves. The chairman is unsure.

Analysis: Members **declare** the final dividend but **cannot exceed** the rate recommended by the Board — they may only **accept or reduce** it. The rationale is that only the Board has visibility into the company's liquidity, commitments and the real-profit gates; letting a buoyant meeting vote itself a larger payout would reopen the very capital-raid risk the chapter guards against. Members therefore cannot vote 14%.

Conclusion: The maximum members can declare is **10%** (the Board's recommended rate); they may reduce it (say to 8%) but not raise it. The proposal to declare 14% is **out of order**.

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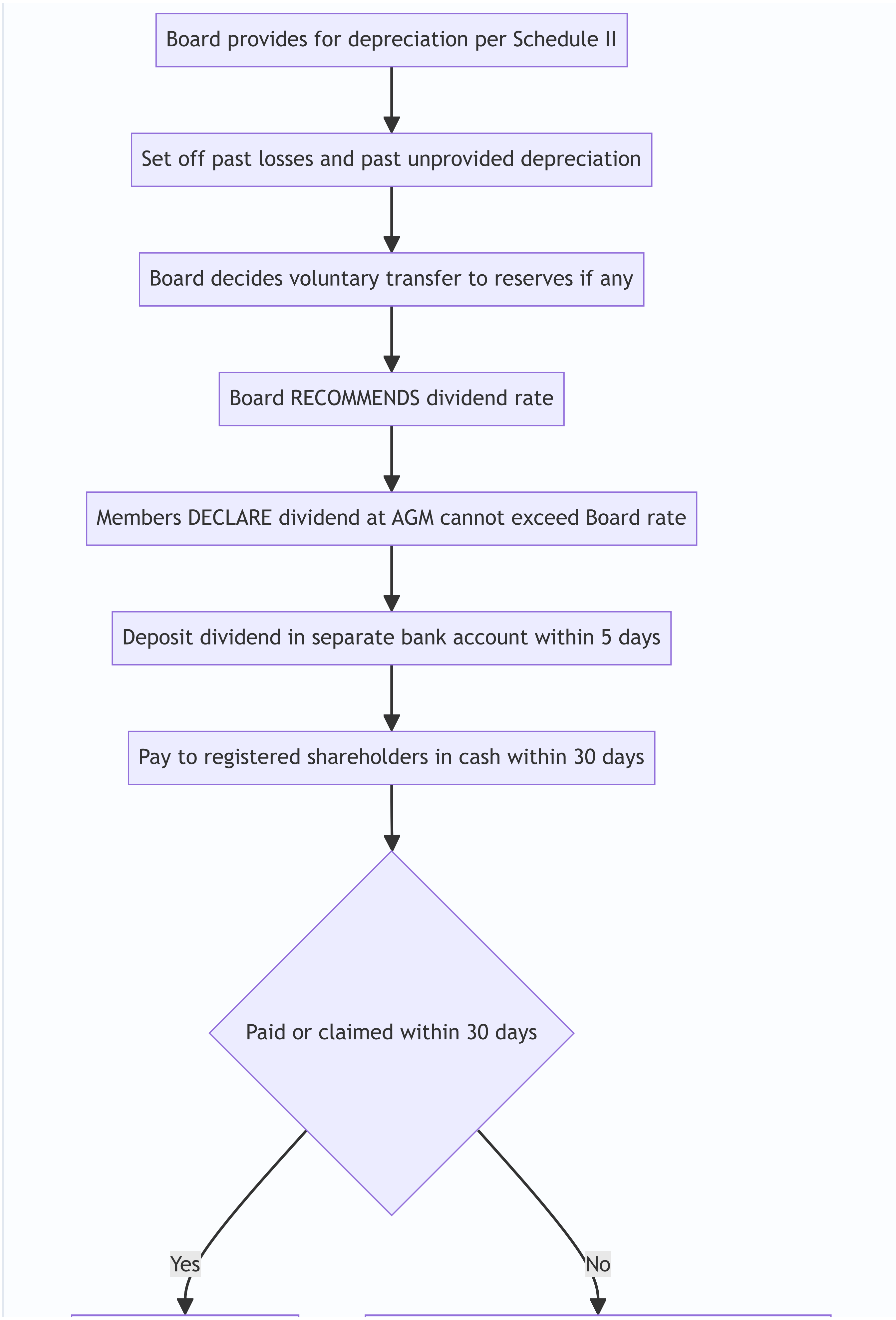
6. Procedure / Compliance Summary

Final dividend — the full flow


Board provides for depreciation per Schedule II
Set off past losses and past unprovided depreciation
Board decides voluntary transfer to reserves if any
Board RECOMMENDS dividend rate
Members DECLARE dividend at AGM cannot exceed Board rate
Deposit dividend in separate bank account within 5 days
Pay to registered shareholders in cash within 30 days
Paid or claimed within 30 days
Yes
No

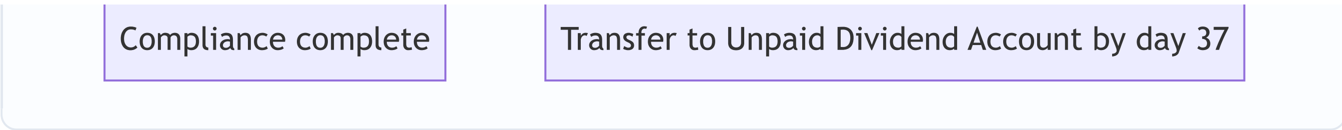


Figure 1 — The life of a final dividend from real-profit gate to the unpaid-dividend fork.

The unpaid-dividend timeline to IEPF

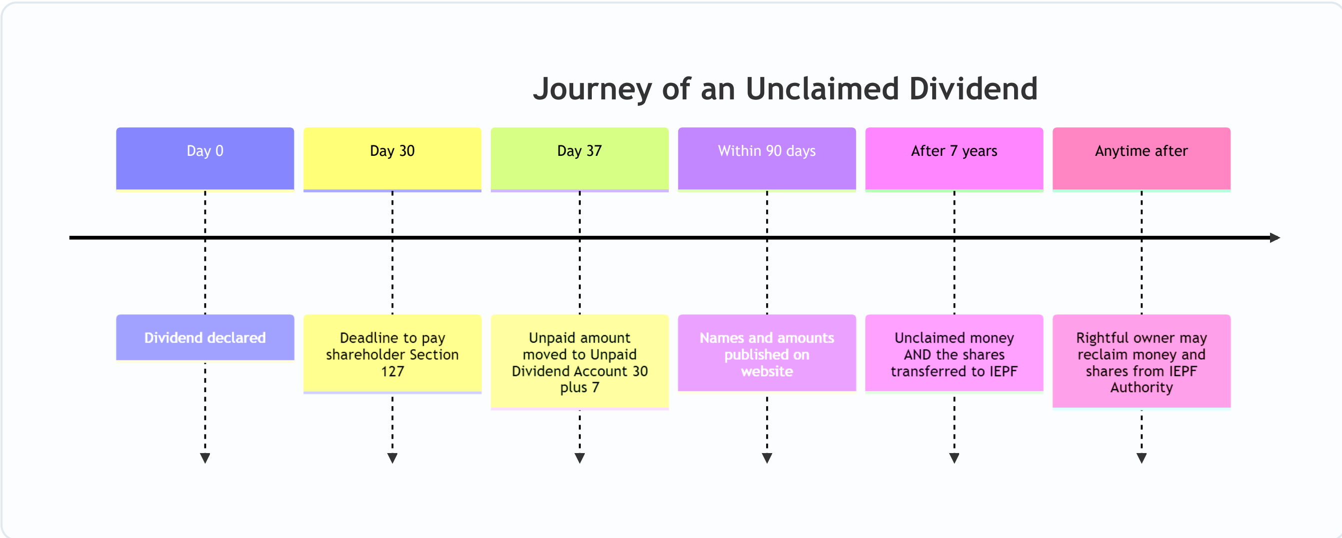
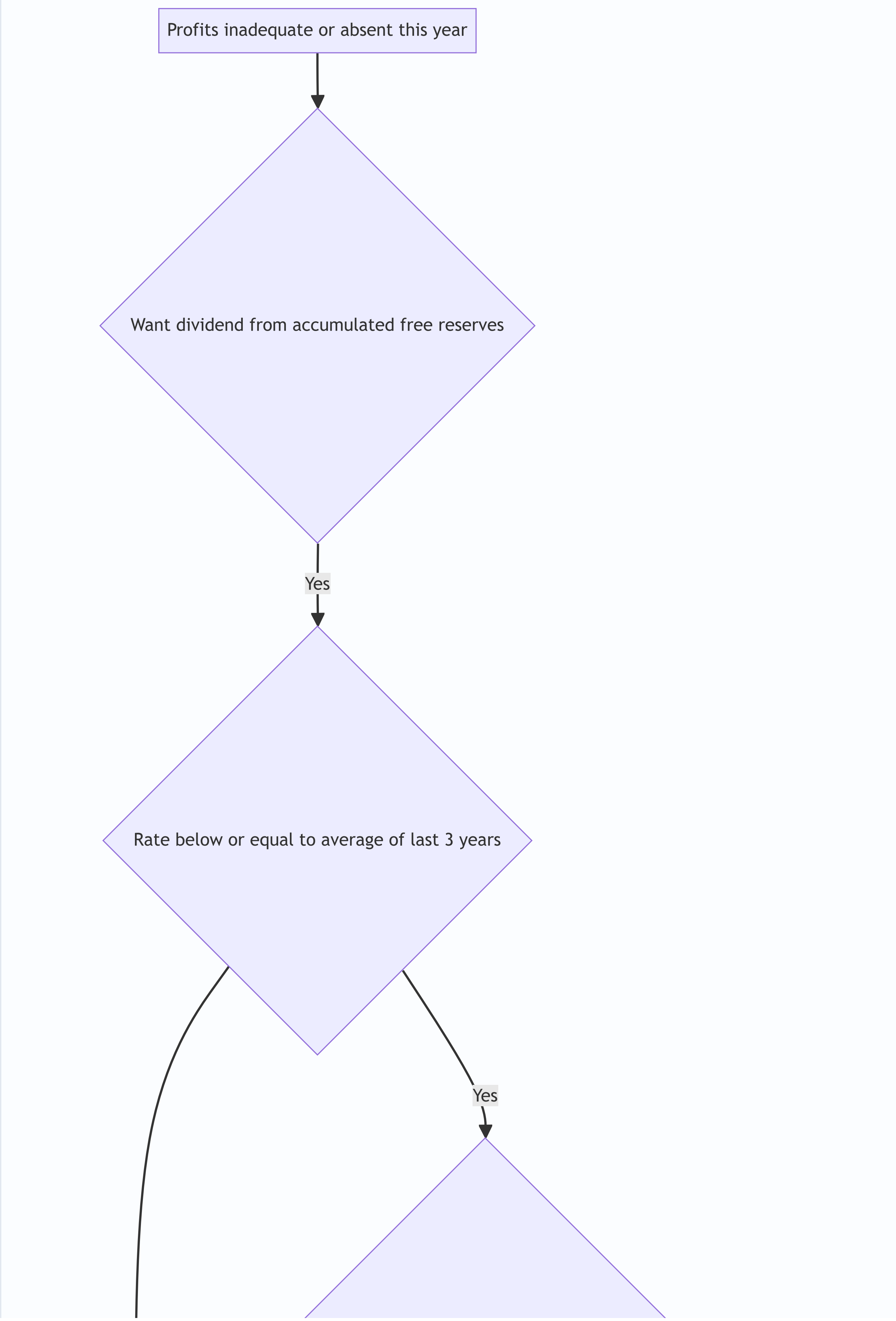
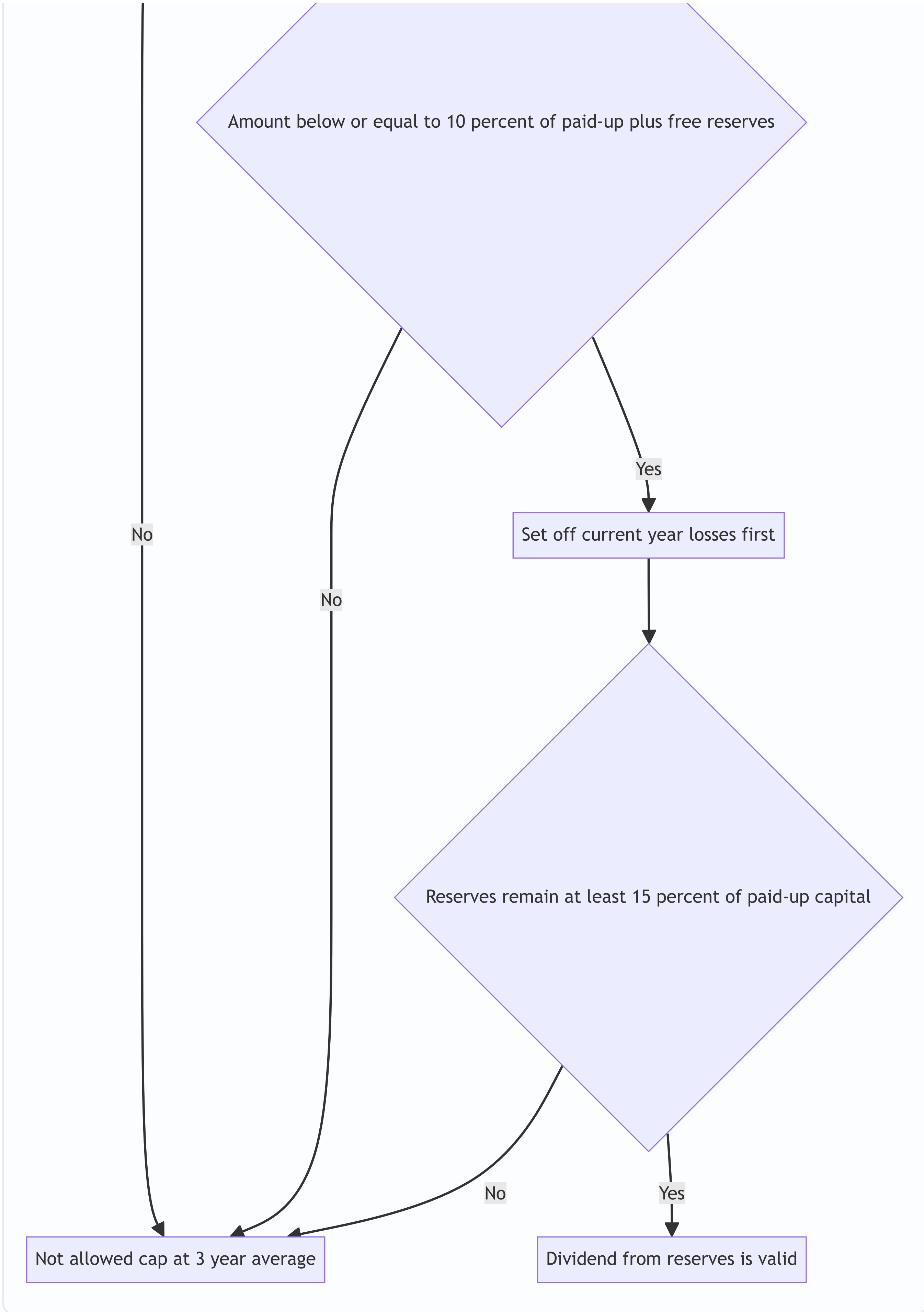


Figure 2 — Time-limits every examiner tests: 30, 37, 90 days and 7 years.

Dividend-out-of-reserves decision tree (Rule 3)


Profits inadequate or absent this year
Want dividend from accumulated free reserves
Yes
Rate below or equal to average of last 3 years
Yes



Amount below or equal to 10 percent of paid-up plus free reserves
No
No
Yes
Set off current year losses first
Reserves remain at least 15 percent of paid-up capital
No
Yes
Not allowed cap at 3 year average
Dividend from reserves is valid

Figure 3 — The 3-10-plug-15 gate for raiding past reserves in a lean year.

The two protected groups and the border they defend

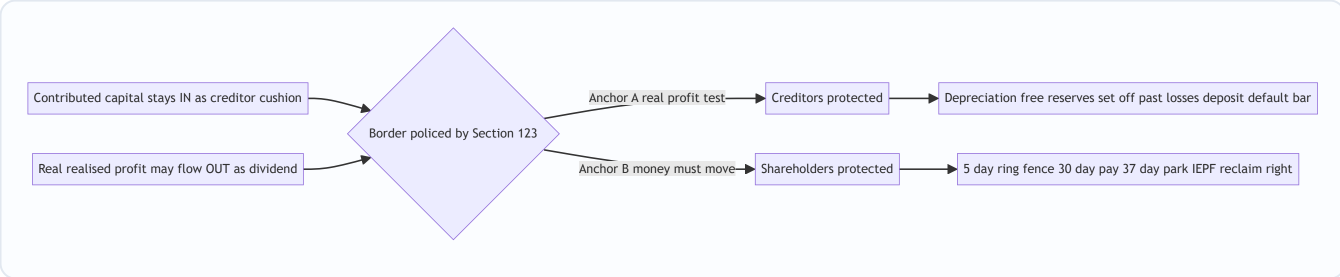


Figure 4 — One border, two anchors, two protected groups — the whole chapter on a page.

Which sevens are which — the two IEPF clocks

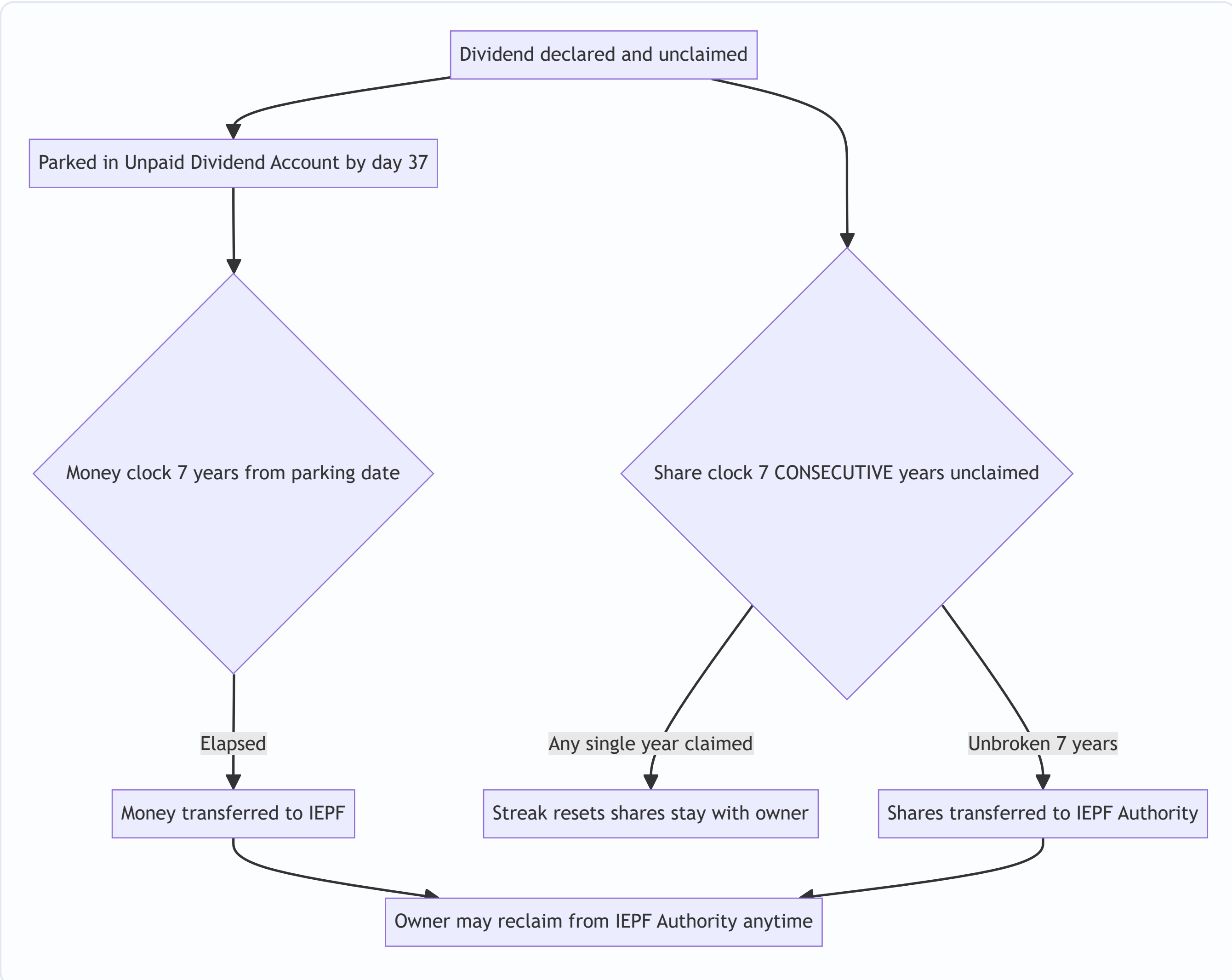


Figure 5 — The money clock and the share clock run on different rules — do not merge them.

Compliance checklist

Step	Requirement	Section / Rule	Time limit
Charge depreciation	Per Schedule II	123(2)	Before declaring
Set off past losses / depreciation	Mandatory	123(1) 1st proviso	Before declaring
Transfer to reserves	Voluntary, any %	123(1) 2nd proviso	Optional
Dividend from past reserves	3-10-plug-15 caps	Rule 3	If profits inadequate
Deposit in separate account	Ring-fence the cash	123(4)	Within 5 days
Pay shareholder (cash)	To registered holder	123(5), 127	Within 30 days
Transfer to Unpaid Dividend A/c	If unclaimed	124(1)	Within 37 days
Publish unclaimed list on website	Transparency	124(2)	Within 90 days
Transfer to IEPF (money + shares)	If 7 years unclaimed	124(5), 124(6), 125	After 7 years

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7. Connections — how this chapter wires into the rest of the Act

- **Capital maintenance family:** Dividend law (S.123) is one pillar; the others are **reduction of capital (S.66)**, **buy-back of securities (S.68)**, and the **prohibition on a company buying its own shares (S.67)**. All four police the same border: capital must not leak out to shareholders except through tightly controlled gates.
- **Deposits (S.73–74):** Section 123(6) directly links here — deposit-defaulters can't pay dividend. Creditors (depositors) outrank owners.
- **Accounts & audit (S.128–138):** "Profit" for dividend is measured from the audited financial statements; depreciation per **Schedule II**; free reserves per the **latest audited balance sheet**.
- **Bonus issue (S.63):** A bonus issue *capitalises* reserves into shares — the opposite of dividend (which distributes them as cash). Note free reserves used differently; and a bonus issue is the one lawful "dividend in kind"-adjacent route (shares, not cash), governed by its own section.
- **Preference shares (S.55):** Preference shareholders get dividend *before* equity, at a fixed rate — the "preference." Cumulative preference dividends in arrears must be cleared before equity gets anything. Section 123 sources still govern.
- **AGM (S.96) & Board powers (S.179):** Final dividend is a piece of **ordinary business at the AGM**; interim dividend is a **Board power** exercised via a board resolution.
- **Calls in arrears (Table F / S.49–50):** enables the S.127 exception-4 set-off — dividend adjusted against a shareholder's unpaid call (see Scenario 4A).
- **CSR (S.135):** "Net profit" definitions differ between dividend and CSR — don't confuse them.
- **Section 51 (dividend on paid-up basis):** dividend accrues on the *paid-up*, not face, value — the anchor for partly-paid-share numericals.

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8. Traps & Examiner Tricks

1. **"Transfer to reserves is compulsory."** FALSE under the 2013 Act — it's **voluntary** (S.123(1)). The compulsory graded transfer was **1956 law**. Classic trap. *(But remember the Rule 3 15% floor is a conditional exception — see Trap 15.)*
2. **Members increasing the dividend at AGM.** Members can **declare** the dividend but **cannot exceed** the rate recommended by the Board. They may only **reduce** it.
3. **Revaluation surplus as "free reserve."** Never distributable — **S.2(43)** excludes revaluation / notional / unrealised gains. Also excludes fair-value re-measurement changes.
4. **The 37-day figure.** Unclaimed dividend → Unpaid Dividend Account is **30 + 7 = 37 days**, NOT 30 and NOT 7 alone.
5. **Only the money moves to IEPF? No — the SHARES move too** (S.124(6)) after 7 consecutive years of unclaimed dividend. Very frequently tested.
6. **"Money in IEPF is lost forever."** FALSE — the rightful owner can **always reclaim** money AND shares from the IEPF Authority (S.125(3)(a)).
7. **12% vs 18% interest.** S.124 default (failure to transfer to Unpaid Dividend A/c) = **12% p.a.**; S.127 (failure to pay declared dividend to shareholder) = **18% p.a.** Don't swap them.
8. **Dividend in kind.** Prohibited — dividend must be paid in **cash** (includes cheque/warrant/electronic). A company can't distribute goods as dividend.
9. **Interim dividend loss-brake.** If loss up to the preceding quarter, interim rate ≤ **3-year average**. Students forget this and let the Board declare any rate.
10. **Deposit-defaulter paying dividend.** S.123(6) bars it while default under S.73/74 continues.
11. **"Dividend must be paid within 30 days of the AGM."** Careful — it's 30 days **from declaration** (for final, declaration is at the AGM; for interim, from the Board's declaration).
12. **Depreciation optional if profits are huge?** Never — depreciation per Schedule II is **always** mandatory before dividend (S.123(2)).
13. **Set-off of past losses.** Must set off **carried-over losses AND unprovided past depreciation** before declaring — even out of current profits (1st proviso to S.123(1)).
14. **"Consecutive" in the share-transfer rule.** The 7 years for the *share* transfer (S.124(6)) must be **unbroken** — one claim resets the clock. Distinguish from the *money* clock (7 years from each parking date).
15. **Over-generalising "reserves are voluntary."** Transfer *to* reserves is voluntary; but *withdrawal from* reserves in a lean year leaves a mandatory **15% floor** (Rule 3). Both statements are true — quote the right one for the right fact.
16. **Securities premium / CRR treated as distributable.** They are statutory reserves ring-fenced for specific uses — **never** dividend. Also strip **revaluation reserve** out of "free reserves" before any Rule 3 computation.
17. **Members vs Board — who declares which.** Final = members declare (Board recommends); interim = Board declares. Swapping these is a common slip.
18. **All four Rule 3 caps must pass, together.** Passing three and failing one still kills the dividend — find the *binding* constraint in numericals.
19. **Dividend on face value vs paid-up value.** Accrues on **paid-up** amount (S.51). Partly-paid shares are a numerical trap.

20. **S.127 exceptions overlooked.** If facts fit an exception (operation of law, shareholder's directions, dispute, lawful set-off, no company default), there is **no offence and no 18% interest** — do not mechanically convict.

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9. First-Principles Recap

Rebuild the whole chapter from two seeds:

Seed 1 — Protect the creditor's cushion (capital maintenance). Because shareholders enjoy limited liability, the capital they contribute is frozen as a guarantee for creditors. Therefore dividend may leave the company **only from real, realised profit**, never from capital. From this single idea you regenerate: - pay only out of current/past **profits after depreciation** or a government guarantee (S.123(1)); - **depreciation is compulsory** (S.123(2)) — unreal profit = capital in disguise; - **free reserves exclude revaluation/notional gains** (S.2(43)) — paper profit isn't cash; - **set off past losses first** (1st proviso); - raiding reserves in a lean year is fenced by **3-10-plug-15** (Rule 3); - **deposit-defaulters can't pay dividend** (S.123(6)) — creditors before owners; - interim dividend gets the **loss-brake** (S.123(3)) because it bets on unearned profit.

Seed 2 — Once promised, the money must actually reach the shareholder (and never silently vanish into the company). A declared dividend is a **debt**. From this you regenerate: - **deposit in a separate account in 5 days** (S.123(4)) — ring-fence it; - **pay in cash within 30 days**, else criminal liability + **18%** interest (S.127); - unclaimed → **Unpaid Dividend Account in 37 days** + **12%** interest on default (S.124); - unclaimed for **7 years → money AND shares to IEPF** (S.124/125); - but the owner can **always reclaim** from the IEPF Authority.

The hinge between the two seeds — the declaration switch. Seed 1 governs everything *before* the switch (can we lawfully declare?); Seed 2 governs everything *after* it (a debt now exists — chase the money). The switch itself explains irrevocability, the payment clock, and the interest penalties. If you can locate any fact on the timeline — *before* the switch (real-profit gates) or *after* it (payment machinery) — you can derive the applicable rule without memorising it.

Two seeds, one hinge, two protected groups (creditors, shareholders), one border (profit out, capital in). Master the border and the switch, and the sections are inevitable, not arbitrary.

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10. Quick-Revision Sheet

Key sections at a glance

Section / Rule	Deals with	One-line essence
S.2(35)	Definition	"Dividend includes interim dividend"
S.2(43)	Free reserves	Distributable reserves EXCLUDING revaluation / notional / unrealised gains
S.51	Paid-up basis	Dividend on paid-up, not face, value
S.123(1)	Sources	Current profit / past profit (after depreciation) / govt guarantee; set off past losses first; reserve transfer VOLUNTARY
S.123(2)	Depreciation	Compulsory per Schedule II before dividend (current + arrears)
Rule 3	Dividend from past reserves	3-year avg rate, 10% amount cap, plug losses, 15% reserve floor (on *free* reserves)
S.123(3)	Interim dividend	Board declares; loss-brake caps rate at 3-year average
S.123(4)	Separate account	Deposit within 5 days
S.123(5)	Mode	Cash only, to registered holder; no dividend in kind
S.123(6)	Deposit-defaulters	Cannot declare dividend while S.73/74 default continues
S.124	Unpaid dividend	Unpaid A/c in 37 days; 12% default interest; 90-day website disclosure; 7-yr rule; shares also to IEPF (7 consecutive years)
S.125	IEPF	Fund for investor education + refunds; owner can reclaim from Authority
S.126	Abeyance	Dividend parked, rights/bonus held pending transfer registration
S.127	Non-payment	Pay in 30 days else director jail up to 2 yrs + ₹1,000/day; company 18% interest; 5 exceptions

Time-limits & thresholds table

Item	Limit
Deposit dividend in separate bank account	**5 days** from declaration
Pay dividend to shareholder	**30 days** from declaration
Transfer unclaimed dividend to Unpaid Dividend A/c	**37 days** (30 + 7)
Publish unclaimed list on website	**90 days** of transfer to Unpaid Dividend A/c
Money unclaimed → transfer to IEPF	**7 years** from parking in Unpaid Dividend A/c
Shares → transfer to IEPF	**7 consecutive years** of unpaid/unclaimed dividend
Interest — failure to transfer to Unpaid Dividend A/c (S.124)	**12% p.a.**
Interest — failure to pay declared dividend (S.127)	**18% p.a.**
Rate cap on dividend from past reserves (Rule 3)	≤ **average of last 3 years**
Amount cap on dividend from past reserves (Rule 3)	≤ **10%** of (paid-up capital + free reserves)
Minimum reserve floor after such withdrawal (Rule 3)	**15%** of paid-up capital
Director imprisonment for non-payment (S.127)	up to **2 years**
Fine per day of default (S.127)	≥ **₹1,000/day**
Compulsory transfer to reserves before dividend	**NIL — voluntary** under 2013 Act

15-second mnemonics

- **Sources:** "*Profit now, profit before, or Government's door*" (S.123(1)).
- **Reserves raid:** "*3-10-plug-15*" — and always on **free** reserves.
- **Timeline:** "*5 to ring-fence, 30 to pay, 37 to park, 90 to publish, 7 years to IEPF.*"
- **Interest:** "*12 for parking late, 18 for paying never.*"
- **The sting:** "*Seven years unclaimed — money AND shares gone to IEPF (but reclaimable).*"
- **The switch:** "*Recommend = reversible hope; declare = irreversible debt.*"
- **The queue:** "*Creditors before owners — always.*"

> **Confirm in the current bare Act / ICAI material:** exact fine ranges under S.124(7) and S.127 (amended over time), and the precise wording of Schedule II useful lives. The principles and time-limits above are the examinable core.

Q&A — Declaration & Payment of Dividend

> CA Intermediate — Corporate & Other Laws. Statute: **Companies Act, 2013**, Sections **123–127**, definitions **S.2(35)** and **S.2(43)**, and the **Companies (Declaration and Payment of Dividend) Rules, 2014**. Every answer cites the governing provision. No provision is invented.

Section A — Concept-Check Questions (with answers)

A1. Define "dividend" and state where it is defined. *Answer:* Under **S.2(35)**, "dividend" includes any interim dividend. It is not exhaustively defined; judicially it means the portion of distributable profit paid to shareholders as a return on their investment. The word derives from "dividendum" (that which is to be divided). This ties to the core idea: dividend is a **reward from real profit**, not a withdrawal of the shareholders' capital cushion.

A2. What are the three permitted sources of dividend under S.123(1)? *Answer:* Per **S.123(1)**, dividend for a financial year may be paid out of: (a) **profits of the company for that year** arrived at after providing for depreciation per S.123(2); (b) **profits for previous financial years** (accumulated after providing depreciation) remaining undistributed; or (c) **money provided by the Central/State Government** for dividend in pursuance of a guarantee. Profits from any of (a) and (b) may be used, but only after transfers to reserves the company chooses to make. This enforces **capital maintenance** — you distribute the harvest, not the seed corn.

A3. Is transfer to reserves before declaring dividend mandatory? *Answer:* No. Under the second proviso to **S.123(1)**, a company **may** (before declaring dividend) transfer such percentage of profits to reserves as it considers appropriate. The earlier mandatory transfer regime is gone; reserve transfers are now **voluntary**.

A4. Must depreciation be provided before dividend? Under which provision? *Answer:* Yes. **S.123(2)** requires depreciation to be provided in accordance with **Schedule II** before profits are treated as available for dividend. Distributing without charging depreciation would inflate profit and erode capital — the classic "eating the seed corn" fraud.

A5. Where must dividend be deposited once declared, and within what time? *Answer:* Under **S.123(4)**, the amount of declared dividend (including interim) must be **deposited in a separate bank account** within **5 days** of declaration. This ring-fences shareholders' money so it cannot be recycled into working capital.

A6. In what form must dividend be paid? Can it be paid in kind? *Answer:* Under **S.123(5)**, dividend must be paid **in cash** (or by cheque, warrant, or electronic mode) to the registered shareholder or his order. It **cannot be paid in kind**. Capitalisation of profits into bonus shares is not "dividend" and is governed separately (S.63).

A7. Who may declare interim dividend and out of what? *Answer:* Under **S.123(3)**, the **Board of Directors** may declare interim dividend during any financial year (or between year-end and AGM) out of the **surplus in the profit and loss account and/or profits of the current financial year**. If the company has incurred a loss up to the end of the quarter immediately preceding the date of declaration, the interim dividend **rate cannot exceed the average dividend declared in the immediately preceding three financial years**.

A8. A company has defaulted on repayment of deposits. Can it declare dividend? *Answer:* No. Under **S.123(6)**, a company that has **failed to comply with S.73 (acceptance of deposits) and S.74 (repayment**

of deposits) shall **not declare any dividend** so long as the default continues. This is a "clean hands" gate — creditor obligations outrank shareholder rewards.

A9. What happens to dividend that remains unpaid or unclaimed after 30 days? *Answer:* Under **S.124(1)**, if declared dividend is not paid/claimed within **30 days** of declaration, the company must, within **7 days** after those 30 days (i.e., by day 37), transfer the unpaid amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank.

A10. When does unpaid dividend move to the IEPF, and what else moves with it? *Answer:* Under **S.124(5)**, money in the Unpaid Dividend Account that remains unpaid/unclaimed for **7 years** from the date of transfer to that account is transferred to the **Investor Education and Protection Fund (IEPF)**. Under **S.124(6)**, the **underlying shares** on which dividend has not been claimed for 7 consecutive years are also transferred to the IEPF.

A11. Can a shareholder recover money once it goes to the IEPF? *Answer:* Yes. Under **S.125(3)** read with the IEPF Rules, a claimant may apply to the IEPF Authority to reclaim the amount/shares transferred. Transfer to IEPF is not forfeiture — the shareholder's claim survives.

A12. What is the penalty for failure to pay declared dividend within 30 days? *Answer:* Under **S.127**, where a dividend has been declared but not paid/warrant not posted within **30 days**, every director knowingly a party to the default is punishable with **imprisonment up to 2 years and fine not less than Rs. 1,000 per day** during default, and the company is liable to pay **interest at 18% p.a.** during the period of default.

Section B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Depreciation skipped to show profit. *Facts:* Alpha Ltd earned an operating surplus of Rs. 50 lakh but did not charge depreciation of Rs. 20 lakh, and declared dividend on the Rs. 50 lakh "profit". *Analysis:* **S.123(2)** mandates depreciation per Schedule II before profit is available for dividend. True distributable profit is Rs. 30 lakh, not Rs. 50 lakh. Declaring on the un-depreciated figure distributes capital. *Conclusion:* The declaration is **not in accordance with S.123(1)/(2)**; dividend may only be paid on profit after providing Rs. 20 lakh depreciation.

B2. Dividend out of past reserves in a loss year. *Facts:* Beta Ltd earns no profit this year but wishes to declare dividend out of accumulated free reserves. Its rate history and reserves must be tested. *Analysis:* **Rule 3** of the Dividend Rules permits dividend out of accumulated profits transferred to free reserves, subject to conditions: (i) the **rate shall not exceed the average of the rates of the three immediately preceding years**; (ii) total amount drawn **shall not exceed 1/10th (10%) of paid-up capital + free reserves**; (iii) the drawn amount is first used to **set off the current year's loss**; and (iv) the balance of reserves after withdrawal **shall not fall below 15% of paid-up share capital**. (Condition (i) does not apply to a company that has not declared dividend in each of the three preceding years.) *Conclusion:* Beta may declare only if all four limbs — **3-year-average rate, 10% ceiling, loss set-off, and 15% floor** — are satisfied.

B3. Interim dividend after a loss-making quarter. *Facts:* Gamma Ltd's Board wants to declare interim dividend in Q3, but the company incurred a loss during the current financial year up to the end of Q2. Its average dividend over the last three years was 12%. The Board proposes 15%. *Analysis:* Under the proviso to **S.123(3)**, where the company has incurred a loss during the current FY up to the end of the quarter immediately preceding the date of declaration, the interim dividend rate **cannot exceed the average dividend declared during the immediately preceding three financial years** (12%). *Conclusion:* The 15% proposal is **invalid**; interim dividend cannot exceed **12%**.

B4. Deposit default but strong profits. *Facts:* Delta Ltd has robust profits but has failed to repay matured public deposits under S.74. It proposes to declare a 20% dividend. *Analysis:* **S.123(6)** bars any company that has failed to comply with S.73 and S.74 from declaring dividend while the default subsists, regardless of profitability. *Conclusion:* Delta **cannot declare any dividend** until the deposit default is fully cured.

B5. Unclaimed dividend not transferred. *Facts:* Epsilon Ltd declared dividend on 1 April; by 1 May, Rs. 3 lakh remained unclaimed. The company kept the money in its current account and used it for operations. *Analysis:* Under **S.124(1)**, the unpaid Rs. 3 lakh had to be transferred to a **Unpaid Dividend Account** within 7 days after the 30-day period (by ~7 May). Under **S.124(3)**, if not transferred, the company must pay **interest at 12% p.a.** on the amount, and the interest enures to the members. Using the money as working capital breaches the ring-fencing under S.123(4)/124. *Conclusion:* Epsilon is in default of **S.124(1)**, liable for **12% interest** under **S.124(3)**, and officers face penalties under **S.124(7)**.

Section C — Past-Paper-Style Descriptive Questions (model answers)

C1. "Dividend can only be paid out of profits." Discuss the sources of dividend under the Companies Act, 2013. *Answer:* **S.123(1)** codifies three sources: (a) **current year's profits** after providing depreciation under **S.123(2)** (Schedule II); (b) **undistributed profits of previous years** transferred to reserves; and (c) **money provided by Government** under a guarantee. The second proviso makes transfer to reserves **voluntary**. Where profits are inadequate/absent, **Rule 3** allows drawing from free reserves subject to the **3-10-15** discipline: rate not exceeding the **3-year average**, withdrawal capped at **10% of (paid-up capital + free reserves)**, and residual reserves not below **15% of paid-up capital**, with the sum first applied to set off current-year losses. Underlying all this is **capital maintenance** — dividend rewards real profit and must never return capital to members ahead of creditors, which is the price of **limited liability**.

C2. Explain the statutory scheme for unpaid/unclaimed dividend and the IEPF (S.124–S.125). *Answer:* **S.124(1):** unpaid/unclaimed dividend must be moved to an **Unpaid Dividend Account** within **7 days** after the **30-day** payment window. **S.124(2):** the company must, within 90 days, place a statement of unclaimed amounts on its website and the IEPF/MCA website. **S.124(3):** default in transfer attracts **12% p.a. interest** for members' benefit. **S.124(5):** amounts unclaimed for **7 years** in that account go to the **IEPF**. **S.124(6):** the **shares** underlying 7-year unclaimed dividends are transferred to the IEPF (a nominee mechanism). **S.125** establishes the **IEPF**, credits to it, and its uses (refunds to claimants, investor education, etc.), with a claimant's right to reclaim under **S.125(3)**. The philosophy: unclaimed money is stewarded, never confiscated.

C3. Distinguish interim dividend from final dividend and state the safeguards on interim dividend (S.123(3)). *Answer:* A **final dividend** is recommended by the Board and **declared by members** in the AGM; an **interim dividend** is declared **by the Board** between two AGMs under **S.123(3)**. Sources of interim dividend are the **surplus in the P&L account and current-year profits**. Safeguard: if the company has **incurred a loss during the current FY up to the end of the preceding quarter**, interim dividend rate cannot exceed the **average dividend of the preceding three years**. Both interim and final dividends must be **deposited in a separate account within 5 days** (**S.123(4)**), paid **in cash** (**S.123(5)**), and paid within **30 days** (**S.127**).

C4. State the consequences of failure to distribute declared dividend within 30 days (S.127) and the exceptions. *Answer:* Under **S.127**, on failure to pay declared dividend or post the warrant within **30 days**, every defaulting director faces **imprisonment up to 2 years and fine of at least Rs. 1,000/day** during default, and the company pays **interest at 18% p.a.**. **Exceptions (provisos):** no offence if (a) non-payment is due to **operation of law**; (b) a shareholder has given **directions that could not be complied with** and this was communicated; (c) there is a **dispute over entitlement**; (d) the dividend was **lawfully adjusted** against a sum due from the shareholder; or (e) the default was **not due to any fault of the company**.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. Declared dividend must be deposited in a separate bank account within — A) 30 days B) 7 days C) 5 days D) 90 days **Answer: C.** S.123(4) requires deposit within **5 days** of declaration.

D2. Unpaid dividend is transferred to the Unpaid Dividend Account within — A) 7 days of declaration B) 7 days after the 30-day period C) 30 days after 7 days D) 90 days **Answer: B.** S.124(1) — transfer within 7 days after the 30-day window (day 37).

D3. Shares are transferred to IEPF when dividend is unclaimed for — A) 3 years B) 5 years C) 7 consecutive years D) 10 years **Answer: C.** S.124(6) — 7 consecutive years of unclaimed dividend.

D4. Interest payable by the company for failure to distribute declared dividend within 30 days (S.127) is — A) 12% B) 15% C) 18% D) 24% **Answer: C.** S.127 fixes interest at **18% p.a.**

D5. Interest for failure to transfer unpaid dividend to the Unpaid Dividend Account (S.124(3)) is — A) 12% p.a. for members B) 18% p.a. C) 9% p.a. D) No interest **Answer: A.** S.124(3) — **12% p.a.**, enuring to the members.

D6. Under Rule 3, reserves remaining after withdrawal for dividend must not fall below — A) 10% of paid-up capital B) 15% of paid-up capital C) 25% of free reserves D) 5% of turnover **Answer: B.** Rule 3 — residual free reserves must be at least **15% of paid-up share capital**.

D7. Dividend may be paid in — A) Cash only (incl. cheque/warrant/electronic) B) Kind C) Bonus shares D) Any mode the Board chooses **Answer: A.** S.123(5) — payable **in cash**, not in kind.

D8. Case scenario: Zeta Ltd defaulted under S.73 on repayment of deposits and simultaneously had large profits. It declared dividend. Which provision is breached? A) S.123(2) B) S.123(4) C) S.123(6) D) S.127 **Answer: C.** S.123(6) prohibits dividend while a deposit default (S.73/S.74) subsists.

D9. Case scenario: A shareholder is untraceable and dividend stays unclaimed for 7 years in the Unpaid Dividend Account. What happens? A) It is forfeited B) It goes to IEPF but remains claimable C) It reverts to the company D) It is paid to directors **Answer: B.** S.124(5) + S.125(3) — transferred to IEPF but the member may reclaim.

D10. "Dividend includes any interim dividend" is stated in — A) S.2(43) B) S.2(35) C) S.123(3) D) S.2(31) **Answer: B.** S.2(35) defines "dividend" to include interim dividend. (S.2(43) defines "free reserves".)

Procedure — Mermaid Diagrams

Diagram 1: Declaration to payment timeline

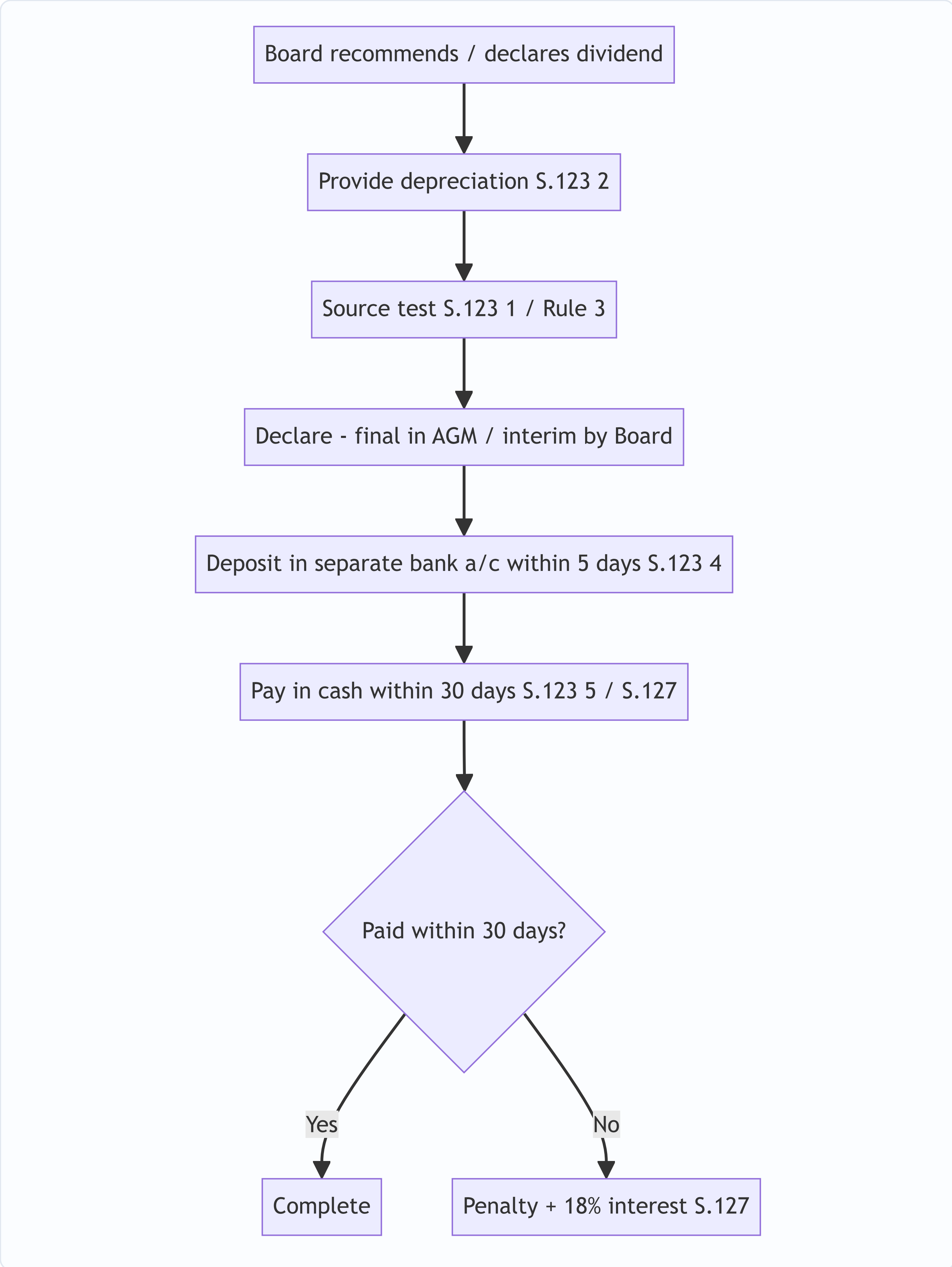


Diagram 2: Unpaid dividend to IEPF

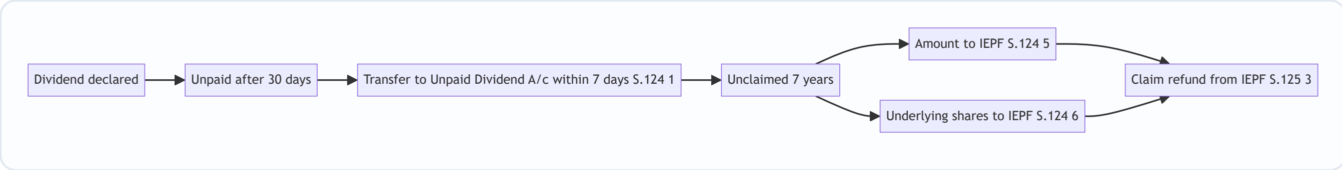
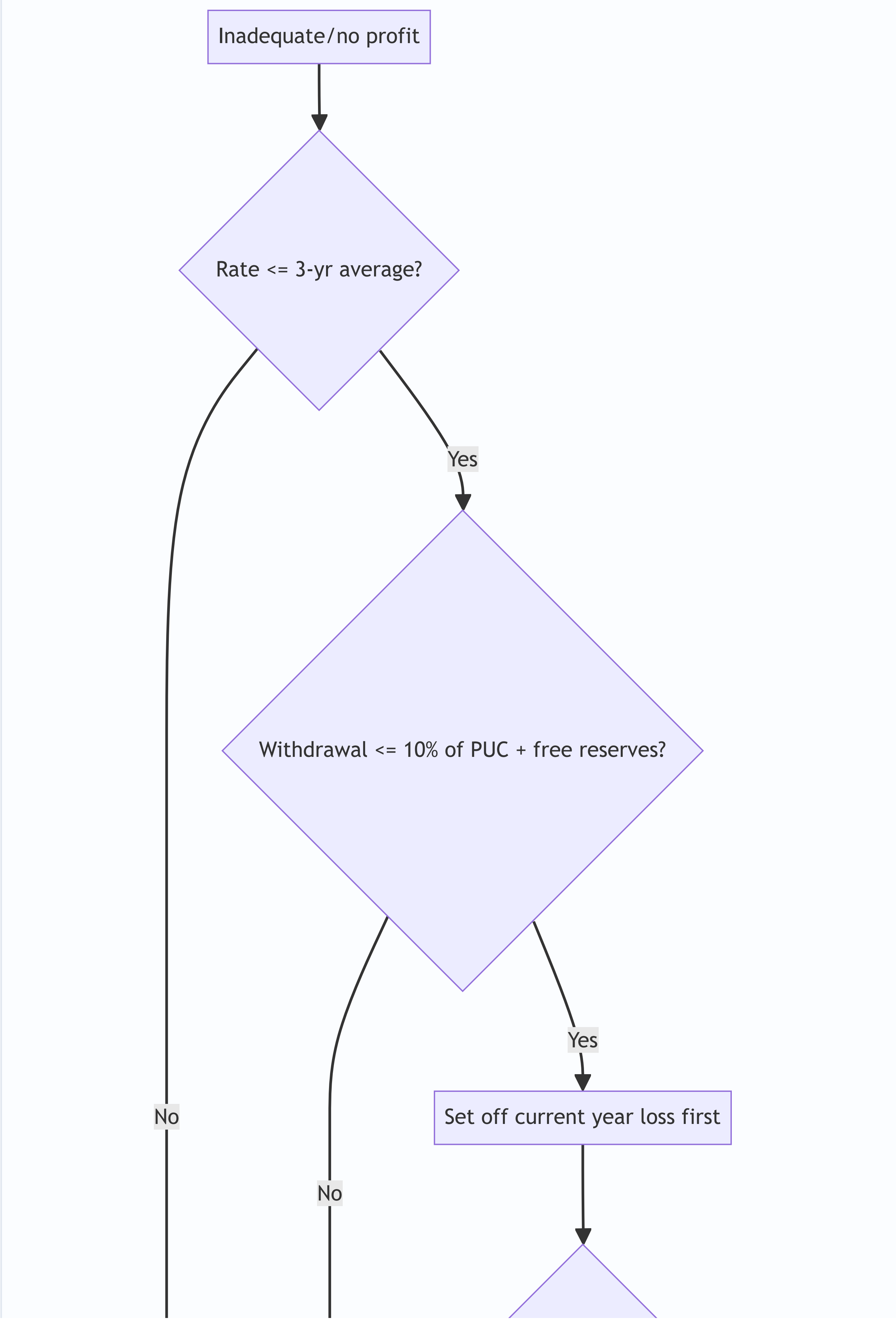
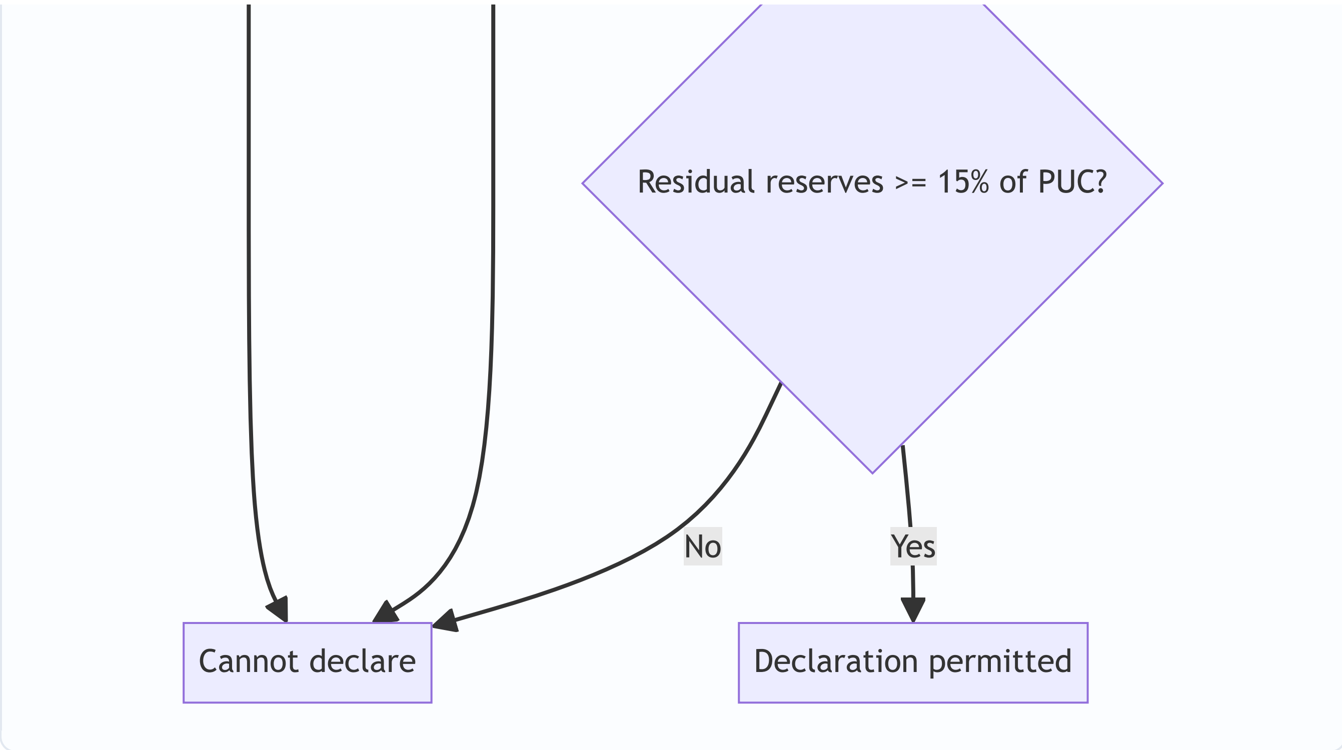


Diagram 3: Rule 3 dividend-out-of-reserves test


Inadequate/no profit
Rate <= 3-yr average?
Yes
No
Withdrawal <= 10% of PUC + free reserves?
Yes
No
Set off current year loss first



Traps & Examiner Tricks (quick hits)

1. **Depreciation is mandatory (S.123(2)) but reserve transfer is voluntary** — don't reverse these.
2. **5 days** = deposit in separate account; **30 days** = pay; **37 days (7 after 30)** = Unpaid Dividend Account. Don't confuse the three clocks.
3. **7 years** unclaimed → IEPF (amount **and** shares) — not 3 or 5.
4. **S.124(3) interest = 12%** (delayed transfer to Unpaid A/c) vs **S.127 interest = 18%** (delayed payment to member). Different rates, different defaults.
5. **Rule 3 numbers: 3 (avg rate), 10% (ceiling), 15% (floor)** — plug in exactly.
6. **Deposit default (S.123(6)) is an absolute bar** — profitability is irrelevant.
7. **Dividend is cash only (S.123(5))** — "dividend in kind" is a trap; bonus shares are S.63, not dividend.
8. **Interim dividend is declared by the Board (S.123(3))**, final dividend by members in AGM — a common mix-up.
9. **Interim dividend loss-quarter cap** = 3-year average rate — students forget this proviso.
10. **Transfer to IEPF is not forfeiture** — the member retains a right to reclaim (S.125(3)).
11. **S.126 (abeyance):** where shares are subject to a registration/transfer dispute, dividend is **kept in abeyance / transferred to Unpaid Dividend Account** pending resolution — not paid to the transferor by default.
12. **"Profits" for dividend need not equal book profits** — they are post-depreciation, post-set-off distributable profits.
13. **S.127 exceptions** (operation of law, shareholder's un-compliable directions, disputed entitlement, lawful adjustment, no fault of company) — cite them, don't assume the penalty is automatic.

First-Principles Recap — Two Seeds

- **Seed 1 — Distribute the harvest, never the seed corn.** Dividend flows only from *real, post-depreciation profit* (S.123(1)/(2)); paying out of capital would let owners escape with the cushion that protects creditors. This is **capital maintenance**, the quid pro quo for **limited liability**.
- **Seed 2 — Shareholders' money, once declared, is held in trust.** Ring-fencing (S.123(4)), cash-only payment (S.123(5)), the Unpaid Dividend Account and IEPF (S.124–125), abeyance (S.126) and penalties (S.127) all exist so that a declared dividend reaches the right owner and is never quietly recycled or forfeited.

Quick-Revision Sheet

Key Sections Table

Section	Subject
S.2(35)	Definition of "dividend" (includes interim)
S.2(43)	Definition of "free reserves"
S.123(1)	Sources of dividend
S.123(2)	Depreciation before dividend (Schedule II)
S.123(3)	Interim dividend by Board; loss-quarter cap
S.123(4)	Deposit in separate account within 5 days
S.123(5)	Dividend payable in cash only
S.123(6)	Bar on dividend during deposit default (S.73/74)
Rule 3	Dividend out of reserves — 3 / 10% / 15%
S.124	Unpaid Dividend Account and IEPF transfer
S.125	Investor Education and Protection Fund; refunds
S.126	Right to dividend kept in abeyance (disputed shares)
S.127	Penalty for non-payment within 30 days; 18% interest

Time-Limits / Thresholds Table

Trigger	Limit	Provision
Deposit in separate bank account	5 days of declaration	S.123(4)
Pay dividend to member	30 days of declaration	S.127
Transfer unpaid to Unpaid Dividend A/c	7 days after the 30-day window	S.124(1)
Interest for delayed transfer to Unpaid A/c	12% p.a. (for members)	S.124(3)
Publish unclaimed statement	within 90 days	S.124(2)
Unclaimed → IEPF (amount + shares)	7 years	S.124(5)/(6)
Interest for non-payment to member	18% p.a.	S.127
Reserve-withdrawal rate cap	3-year average rate	Rule 3
Reserve-withdrawal amount cap	10% of (PUC + free reserves)	Rule 3
Residual reserves floor	15% of paid-up capital	Rule 3

Chapter 09 — Accounts of Companies

> Chapter IX of the Companies Act 2013 — Sections 128 to 138. The chapter that turns a company from a private black box into a place a stranger can safely lend to, invest in, or regulate.

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1. The Problem — Why Would Anyone Trust a Company They Cannot See Inside?

A company is a legal fiction. It has no conscience, no fear of hell, and — crucially — **limited liability**. The people who run it (the Board) are almost never the people who fund it (thousands of scattered shareholders and lenders). This split between **management and ownership** is the original sin that the entire law of accounts exists to police.

Left unregulated, here is exactly how people cheated:

- **The vanishing books.** A director who kept the books in his own head, or in a locked drawer, or destroyed them the night before an inspection, could deny a fraud ever happened. No records, no proof, no liability.
- **The rosy picture.** Management could paint the company as wildly profitable to keep the share price up, keep drawing salaries and dividends, and keep lenders lending — right up to the morning it collapses. Investors lose money they were *lured* into.
- **The invisible subsidiary trick.** A parent company would shove its losses, its debts, its garbage into a subsidiary and show only the clean parent to the world. The group is rotten but each individual balance sheet looks fine. (Enron did exactly this with "special purpose entities.")
- **The controls that never existed.** Cash walks out, purchases are inflated to pay kickbacks, sales are invented — all because no one built a *system* to catch it, and no one was accountable for the absence of that system.
- **The company that took society's resources and gave nothing back.** Large, profitable companies use public infrastructure, public goods, public trust — and historically returned zero to the society that enabled them.

Every section from 128 to 138 is a **fix for one of these specific abuses**. Do not memorise them as a list. Read each as a plugged loophole.

The famous frauds behind this chapter — **Satyam (2009)** in India (₹7,000+ crore of fictitious cash and fabricated books) and **Enron/WorldCom** globally — are the reason Parliament tightened accounts, controls, and created a super-regulator (NFRA). Satyam is *why* internal financial controls and NFRA exist in their current form.

The deeper first-principle — information asymmetry. Economists have a name for the original sin: *information asymmetry*. The manager knows the true state of the company; the outside investor does not. Left alone, this asymmetry produces two failures. First, **adverse selection** — if investors cannot tell good companies from bad, they price *every* company as average, which drives honest companies out of the market and leaves it to the liars (the "market for lemons"). Second, **moral hazard** — once you have my money, you have every incentive to take risks or siphon value because the downside is mostly mine. The law of accounts is a machine for *shrinking the asymmetry*: mandatory books shrink it, standardised true-and-fair statements shrink it, named signatures shrink it, an independent auditor and regulator shrink it. Read Chapter IX as one long war on information asymmetry and every rule suddenly has an obvious purpose.

Why the State, and not the market, fixes this. A natural objection: if disclosure is valuable, companies would disclose voluntarily to attract cheaper capital, and the market would reward transparency. Partly true — but disclosure is a *public good*. One honest company's disclosure benefits the whole market (comparability), yet costs that one company alone, so each individually under-provides it, and the *format* would fragment (everyone inventing their own "profit"). Worse, the party who decides whether to disclose is the very party who profits from hiding. Only a mandatory, standardised, enforced regime solves a collective-action problem of this shape. That is the jurisprudential reason accounts law is *compulsory* rather than *contractual*.

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2. The Core Idea — "Record It, Present It Truthfully, Prove You Controlled It, Give Back, and Let a Watchdog Check."

Strip the chapter to one sentence and it says:

> **A company must keep honest books (128), turn them into a true-and-fair public statement signed by accountable humans (129 + 134), prove it had systems to prevent lies (134 IFC + 143 auditor check), share its surplus with society if it is large (135 CSR), and submit to an independent quality regulator (132 NFRA) — with everything ultimately *filed* on public record.**

The five moves, in order of the information's life:

Move	Section	What it forces
1. **Capture** the truth	128	Keep proper books of account, accrual + double-entry, for 8 years
2. **Present** the truth	129, 133	True-and-fair financial statements per notified accounting standards
3. **Consolidate** the truth	129(3)	If you have subsidiaries, show the *whole group*, not just the clean parent
4. **Own** the truth	134	Board must sign, report, and declare its internal controls
5. **Give back** from the truth	135	Large companies must spend 2% on CSR
6. **Police** the truth	132 (NFRA), 137/138	Independent regulator + mandatory filing + internal audit

Everything else is detail hanging off this skeleton.

The information supply chain — a mental model. Think of financial information as a product moving down an assembly line, where each section is a *quality gate* that the product must pass before moving on:

> **Transactions → [128 books] → [129/133 statements] → [134 Board owns and signs] → [143 auditor independently checks] → [136 members receive] → [137 public filing] → [132 regulator spot-checks the checkers].**

If any gate is weak, everything downstream is contaminated — false books (128) poison the statements (129), which poison the audit (143), which mislead members (136) and the public (137). This is *why* the sections are studied together and *why* the penalties escalate as you move downstream: a lie caught at the books stage is an error; the same lie that survives to the public-filing stage is a fraud that has already deceived the market.

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3. Why It's Built This Way — The Design Logic

Why *mandatory* and not voluntary? Because the people who benefit from lying (management) are the very people who would choose whether to disclose. You can never let the fox decide whether to install the henhouse camera. So the law removes discretion.

Why *accrual and double-entry* (128)? Cash accounting hides the truth beautifully — you can look rich simply by not paying your bills yet. Accrual forces you to recognise a liability the moment it arises, and double-entry means every rupee has a source and a use, so fabrication requires *two* consistent lies, not one. Harder to cook.

Why *true and fair* rather than merely "correct" (129)? "Correct" invites malicious compliance — technically-accurate numbers arranged to mislead. "True and fair" is a *higher, purposive* standard: the overall impression must not deceive. It defeats the letter-of-the-law cheat.

Why make *specific humans sign* (134)? A statement no one signs is a statement no one can be jailed for. Signatures convert "the company misled us" (unpunishable abstraction) into "*you*, Chairman, and *you*, CFO, certified this" (a defendant).

Why *consolidation* (129(3))? Because economic reality follows control, not legal boundaries. If you control it, its losses are your losses. Consolidation refuses to let a corporate group hide behind the separate legal personality of its own subsidiaries.

Why *CSR as law* (135)? India is the first major economy to make CSR statutorily mandatory (with teeth). The logic: large companies extract enormous value from society and the commons; a modest, transparent 2% giveback, *governed and disclosed*, is the price of that licence. Making it "comply-or-explain," and later "comply-or-transfer-and-explain," stops it being empty PR.

Why a *separate NFRA* (132)? Because the accounting profession policing itself (ICAI) has an inherent conflict — auditors are members, and members were signing off on frauds like Satyam. An *independent* regulator with the power to investigate and debar breaks that cosy circle for the largest, most systemically-important companies.

Why *retention for 8 years* rather than forever (128)? Two opposing forces meet at "8." Push it too short and a fraud that surfaces years later becomes unprovable. Push it to "forever" and you impose an unbounded storage cost on every honest company for the sake of the rare late fraud. Eight years is Parliament's balance point — long enough to survive most limitation periods and investigation cycles, short enough to be a finite burden. And the moment the law *is actively looking* (an investigation is ordered), the ceiling lifts: the Central Government can extend retention, because now the marginal record could be the missing evidence.

Why *thresholds* everywhere (135 CSR, 138 internal audit, 132 NFRA)? Every one of these obligations is *costly* — a CSR committee, an internal-audit function, NFRA scrutiny. The law applies each burden only where the *stakes* justify the *cost*: large net worth, large turnover, large borrowings, public listing. Below the line, a lighter regime (or the annual statutory audit alone) is deemed proportionate. This is the recurring "proportionality" logic — memorise the *shape* (size triggers heavier duty) and the specific numbers become easier to place.

Why penalties shifted from *imprisonment* to *money* (2019/2020 amendments)? Parliament decriminalised many *procedural, non-fraudulent* defaults (late filing, technical non-compliance) to unclog courts and improve ease-of-doing-business, while *retaining* criminal liability where dishonesty/fraud is present. The design principle: reserve jail for *lying*, use monetary and per-day penalties for *lateness and sloppiness*. This is why 128 (false/absent books, close to fraud) still carries imprisonment, while 137 (late filing) is a fine-plus-per-day regime.

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4. Full Technical Content — Section by Section, Each Wrapped in Its Why

Section 128 — Books of Account

The abuse it kills: the vanishing/incomplete/one-sided books. If records can be sloppy, absent, or destroyed, fraud is unprovable.

Definition (read with Sec 2(13)): "Books of account" includes records of all sums received and expended, all sales and purchases of goods and services, assets and liabilities, and (for prescribed companies) cost records under Sec 148.

What 128 requires: - Every company shall **keep proper books of account** giving a **true and fair view** of its affairs, **including its branches**. - Kept on **accrual basis** and according to the **double-entry** system. *(Why: as explained — hardest to fabricate.)* - Kept at the **registered office**. *(Why: a fixed, known, regulator-reachable location.)* - May be kept at **another place in India** if the Board so decides — but the company must **file a notice with the Registrar (ROC) in writing within 7 days** giving the full address. *(Why: flexibility, but the regulator must always know where to find them.)*

Branch offices (128(2)): where a company has a branch (in India or abroad), it is deemed to comply if *proper books relating to the branch's transactions* are kept at the branch and **summarised returns are sent periodically to the registered office** (or the other place where books are kept). *(Why: you cannot run a global operation with every ledger physically at one desk, but the head office must still be able to see and consolidate the whole.)*

Right of inspection (128(3)–(4)): the books and other papers shall be **open to inspection by any director** during business hours. For *financial information maintained outside India*, the director's inspection right is exercised by making a **request** in the prescribed manner (Rule 4 — the summarised financial info must be produced within a period, not instantly, and inspection is by the director *in person*, not by proxy/agent, unless authorised). *(Why the friction on foreign records: balance a director's oversight right against the practical reality of overseas storage — but never let "it's abroad" become a permanent shield.)* **Trap:** the inspection right is the *director's*; a member/shareholder has **no** general right under 128 to inspect the books of account.

Electronic mode (Rule 3): Books may be kept in electronic form. They must: - remain **accessible in India** so as to be usable for subsequent reference; - be **retained completely in the format in which originally generated** (or a converted format not altering accuracy); - have information **capable of being displayed in legible form**; - maintain a **proper system for storage, retrieval, display or printout** and not be disposed of/rendered unusable unless permitted by law; - have **back-ups kept on servers physically located in India** on a **periodic basis** (as prescribed — daily back-up under current Rules; verify current ICAI material); - and the company must **intimate the ROC annually** (at the time of filing financial statements) the name/address of the **service provider**, the **IP address**, and the **location of the service provider/servers**. *(Why: to stop the "the server is offshore, we cannot produce records" dodge and to know exactly where the data physically lives.)*

Retention period — the number to memorise: books together with vouchers must be preserved in good order for **not less than 8 financial years** immediately preceding the current year. If the company had been in existence for **less than 8 years**, then for **all preceding years**. If an **investigation** has been ordered under Chapter XIV, the Central Government may direct retention for **longer**. *(Why 8? Long enough to cover the limitation and investigation window; longer if the law is actively looking.)*

Who is responsible (the "officer in default"): the **Managing Director, the whole-time director in charge of finance, the Chief Financial Officer (CFO)**, or any other person of the company charged by the Board with the duty of complying with 128. *(Why name them: no anonymous blame — the persons* charged with the duty *are the defendants, so a company cannot leave the role vacant to create deniability.)*

Penalty for contravention: the responsible persons are punishable with **imprisonment up to 1 year, or fine of ₹50,000 up to ₹5,00,000, or both.** *(A rare provision carrying imprisonment — signalling how central honest books are; note this was* not *decriminalised in 2019/2020 precisely because absent/false books sit next to fraud.)*

Finer distinction — books of account vs "books and papers" vs "financial statements." These three are not synonyms and the examiner exploits it. *Books of account* (2(13)) are the primary transaction records (cash, sales, purchases, assets, liabilities, cost records). *Books and papers* (2(12)) is a **wider** set — includes books of account, deeds, vouchers, writings, documents, minutes and registers *in any form*. *Financial statements* (2(40)) are the **output** — the balance sheet, P&L, cash flow, etc. Sequence: books and papers ⊃ books of account → financial statements.

> **Memory hook — "128 = the *foundation stone*."** 1-2-8 → *keep it at 1 place (registered office), for a minimum retention, prove it in India.* Everything downstream is built on these books being real.

Section 129 — Financial Statements

The abuse it kills: the rosy-picture and the invisible-subsidiary tricks.

"Financial statements" (Sec 2(40)) includes: (i) **Balance Sheet**, (ii) **Statement of Profit and Loss** (or Income & Expenditure account for non-profit-oriented), (iii) **Cash Flow Statement**, (iv) **Statement of Changes in Equity** (if applicable), and (v) any explanatory note annexed to, or forming part of, the above — i.e. the **Notes**. *(Exemption: a One Person Company, small company, dormant company, and specified private company/start-up need NOT include a Cash Flow Statement.)*

(Why the cash-flow exemption for the small: a cash-flow statement is disproportionately burdensome for a tiny company, and its creditors are few and close. Proportionality again.)

Core mandate of 129(1): - Financial statements shall give a **true and fair view** of the state of affairs. - Shall **comply with the accounting standards** notified under **Sec 133**. - Shall be in the **form(s) in Schedule III**.

(The "true and fair" + "accounting standards" + "prescribed form" trio is the anti-manipulation lock: you cannot invent your own favourable presentation.)

The disclosure-vs-secrecy carve-out (proviso to 129(1)): insurance, banking, and companies generating/supplying electricity, and any other class governed by a special Act, follow the forms prescribed by *that* Act — and 129 does not, in respect of those items, force Schedule III. *(Why: where a specialised regulator (IRDAI, RBI) already prescribes a form suited to that industry's risks, a one-size-fits-all would be worse, not better.)* **Trap:** the carve-out does not exempt these companies from *true and fair* — it only changes the *form*.

129(2): the Board shall **lay** the financial statements before the company at **every AGM**. *(Links to Sec 96 AGM and to the 136/137 clocks.)*

129(3)–(4) — Consolidated Financial Statements (CFS): - Where a company has one or more **subsidiaries, associates, or joint ventures**, it shall **prepare a consolidated financial statement** of the company **and all** subsidiaries/associates/JVs, in the same form and manner as its own, laid before the AGM **in addition to** its standalone statements. *(Why: show the whole group; kill the hide-losses-in-a-sub trick.)* - The Explanation clarifies that "subsidiary" here **includes associate and joint venture** for consolidation purposes. - A separate statement (**Form AOC-1**) containing the salient features of each subsidiary/associate/JV's financials must be attached. - **Manner of consolidation:** in accordance with Schedule III and the applicable accounting standards (**AS 21/23/27** or **Ind AS 110/111/28** depending on the framework). *(You need only know which standards govern; the mechanics belong to Accounting/FR.)*

Rule 6 relaxations from CFS (Companies (Accounts) Rules) — the fine print examiners love: a company need not prepare CFS if it meets **all** of: (a) it is a **wholly-owned subsidiary**, or a partially-owned subsidiary of another company and *all its other members* (including those not otherwise entitled to vote) have been **intimated in writing and do not object**; (b) it is **not listed / not in the process of listing** in India or abroad; and (c) its **ultimate or intermediate holding company files CFS** with the ROC in compliance with the applicable standards. *(Why: avoid pointless duplicate consolidation when a parent already consolidates the very same numbers.)* There is also a relaxation for a company that has **only associates/JVs and no subsidiary** in certain circumstances — *verify current Rule 6 wording in ICAI material, as this has been amended.*

129(5): If the financial statements **do not comply** with accounting standards, the company must **disclose in its financial statements the deviation, the reasons, and the financial effect** arising from the deviation. *(Why: forced confession beats silent non-compliance — the deviation becomes visible and quantified, not hidden.)*

129(6): the Central Government may, on its own or on application, **exempt any class of companies** from any requirement of 129 in the public interest. *(An escape valve for genuinely special cases — but a* government *decision, not a self-serve exemption.)*

129(7) — Penalty: the MD/WTD in charge of finance/CFO/any other person charged with compliance is punishable with **imprisonment up to 1 year, or fine ₹50,000 to ₹5,00,000, or both**, for failing to comply with 129. *(Retains imprisonment — false presentation is close to fraud.)*

> **Note / confirm in bare Act:** exact CFS applicability for a company with *only* associates/JVs (no subsidiary) and the small-company CFS relaxations are subject to Rule 6 of the Companies (Accounts) Rules — confirm current exemptions in ICAI material.

Section 133 — Central Government Prescribes Accounting Standards

The abuse it kills: every company inventing its own "accounting method" so numbers are non-comparable and manipulable.

- The Central Government **prescribes the accounting standards** recommended by **ICAI** in consultation with and after examination by the **National Financial Reporting Authority (NFRA)**. *(Why the chain: professional expertise (ICAI) + independent oversight (NFRA) + legal force (CG). No single body controls the rules.)*
- These are the **AS / Ind AS** you apply. *(A common, mandatory yardstick makes companies comparable and lies detectable.)*

AS vs Ind AS — which company applies which (know the map, not the paragraphs): the *Companies (Indian Accounting Standards) Rules 2015* create a phased roadmap. Broadly: **Ind AS** (converged with IFRS) applies **mandatorily** to listed companies and large companies above net-worth thresholds (₹250 crore and their holding/subsidiary/associate/JV companies), and to all banks/NBFCs/insurers per their own roadmaps; **AS** (the older standards) continue for the rest. *(Why a roadmap rather than a big-bang: forcing every small company onto complex IFRS-converged standards overnight would be ruinous; the law converges the* large and listed *first, where global comparability matters most.)* **Exam tip:** you are unlikely to be tested on exact Ind AS applicability dates in Law — but know that **133 is the hook** on which the whole AS/Ind AS edifice hangs, and that the *legal force* of a standard comes from the CG's notification under 133, not from ICAI recommending it.

(Deeper why — the separation of powers in standard-setting: ICAI recommends *(expertise), NFRA* examines *(independent quality check), the CG* notifies *(democratic/legal legitimacy). No actor can both write the rules and escape scrutiny — the same anti-self-dealing design that runs through the whole chapter.)*

Section 134 — Financial Statement, Board's Report, and the Directors' Responsibility Statement

The abuse it kills: the unsigned, unaccountable statement — and management pretending they had controls when they had none.

134(1) — Signing (authentication): - Financial statements, including consolidated ones, must be **approved by the Board** and signed on behalf of the Board by: - the **Chairperson** (if authorised by the Board) **OR** by **two directors**, one of whom shall be the **Managing Director**, and - the **CEO** (if he is a director), the **CFO**, and the **Company Secretary**, wherever they are appointed. - For a **One Person Company**, signature by **one director** suffices.

(Why the multiple signatures: spread accountability across the people who actually run and account for the company. You cannot all claim ignorance.)

Sequence trap (very commonly tested): the correct order is (i) financial statements are **approved by the Board** → (ii) then **signed/authenticated** by the requisite persons → (iii) then the **auditor makes his report**

on them → (iv) then they are **issued/circulated/laid**. The auditor reports on statements *already authenticated* by the Board — you cannot flip the order.

134(2): the **auditor's report** shall be attached to every financial statement.

134(3) — The Board's Report must be attached to the financial statements and must include, among many items: - the **web-address**, if any, where the annual return has been placed (post-amendment this replaced the earlier "extract of annual return MGT-9") — *verify current ICAI position*, - number of **Board meetings**, - **Directors' Responsibility Statement** (below), - details of **fraud reported by auditors** other than those reportable to the Central Government (Sec 143(12)), - a statement on **declaration by independent directors** (Sec 149(6)), - company's policy on **directors' appointment and remuneration** (Sec 178) — for prescribed companies, - explanations or comments by the Board on every **qualification, reservation, adverse remark or disclaimer** made by the **auditor** and by the **company secretary in practice** in the secretarial audit report, *(Why: force management to publicly answer the auditor's red flags — the Board cannot stay silent on a qualification)* - particulars of **loans, guarantees, investments** (Sec 186), - particulars of **related party contracts/arrangements** in **Form AOC-2** (Sec 188), - state of the company's affairs; amounts, if any, carried to **reserves**; **dividend** recommended, - **conservation of energy, technology absorption, foreign exchange** earnings/outgo, - development and implementation of a **risk management policy**, - **CSR policy and report** (Sec 135, in the prescribed format), - statement on the **formal annual evaluation** of the Board's performance (listed companies and prescribed public companies), - **material changes and commitments** affecting the financial position occurring between the year-end and the date of the report, - details of significant/material orders passed by regulators/courts affecting going concern, and adequacy of internal financial controls **with reference to the financial statements**.

(Note the finer distinction: the Board reports on IFC "with reference to the financial statements" — i.e. controls over financial reporting — which is narrower than the full IFC concept defined in 134(5)(e). The auditor's 143(3)(i) opinion is also on IFC over financial reporting. Watch this scope word.)

Abridged Board's Report for OPC and small companies (134(3A)): the Central Government may prescribe an **abridged Board's report** for OPCs and small companies. *(Proportionality — the full 134(3) laundry list is disproportionate for the very small.)*

134(3)(c) + 134(5) — Directors' Responsibility Statement (DRS): the directors must affirmatively state that: 1. applicable **accounting standards** were followed, with proper explanation of material departures; 2. **accounting policies** were selected and applied consistently, with judgements and estimates that are reasonable and prudent, to give a true and fair view; 3. proper and sufficient care was taken for **maintenance of adequate accounting records** in accordance with the Act, to safeguard assets and prevent/detect fraud and other irregularities; 4. the accounts were prepared on a **going concern** basis; 5. **(for listed companies)** the directors had laid down **Internal Financial Controls (IFC)** to be followed by the company and that such IFC are **adequate and operating effectively**; 6. the directors devised proper systems to ensure **compliance with all applicable laws** and that such systems were adequate and operating effectively.

Trap on scope: point 5 (IFC declaration in the DRS) applies to **listed companies only**. Points 1–4 and 6 apply to *all* companies. The examiner asks "is a private company's DRS required to state that IFC are operating effectively?" — answer: **no**, that specific clause is for listed companies. (But *auditor* reporting on IFC under 143(3)(i) has its own applicability — do not merge the two tests.)

Internal Financial Controls — the definition to memorise (Explanation to 134(5)(e)): IFC means the **policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention**

and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information.

(Why IFC exists: post-Satyam, "we didn't know the cash was fake" is no longer a defence. Directors must build systems *to catch fraud and then* certify *those systems work. The auditor independently reports on IFC adequacy under Sec 143(3)(i). This is the "prove you controlled it" pillar — the law shifts liability from "did you know?" to "did you build a system that* should *have known?")*

134(7): a signed copy of every financial statement (including CFS) shall be **issued, circulated or published** together with the auditor's report and the Board's report. *(You cannot publish the numbers stripped of the audit opinion and Board report — the package travels together.)*

134(8) — Penalty: company punishable with fine of **₹3,00,000**; and every officer in default with fine of **₹50,000**. *(Post-2020 amendment reframed this as a monetary penalty — no imprisonment for a 134 default, reflecting the "reserve jail for fraud" policy; confirm current figures in ICAI material.)*

> **Memory hook — 134 = "the *signature and confession* section."** Sign it (134(1)), report it (134(3)), and *swear you controlled it* (134(5) DRS + IFC).

Section 135 — Corporate Social Responsibility (CSR)

The abuse it kills: the extractive company that takes from society and returns nothing — and the fake, unbudgeted "charity" used as PR without governance.

Applicability — the three trigger thresholds (any ONE, in the *immediately preceding financial year*):

Trigger	Threshold
Net worth	₹500 crore or more
Turnover	₹1,000 crore or more
Net profit	₹5 crore or more

If a company crosses **any one**, Sec 135 applies. *(Why "any one": you cannot be huge on two metrics and dodge by being small on the third.)*

Ceasing to be covered (proviso, post-2020): a company that *ceases* to meet the thresholds for **three consecutive financial years** is **not required** to constitute a CSR Committee or comply, until it meets a threshold again. *(Why: a one-off spike shouldn't chain a company to CSR forever; sustained size does.)*

The CSR Committee (135(1)): such a company must constitute a **CSR Committee of the Board** with **3 or more directors, at least one being an independent director**. *(For a company not required to appoint an independent director, 2 directors suffice.) (Why a Board committee: CSR is a governance duty, not a marketing budget.)*

Relaxation (135(9)): where the amount to be spent does **not exceed ₹50 lakh**, the requirement to constitute a **CSR Committee is not applicable**, and the **functions of the Committee are discharged by the Board** itself. *(Proportionality — a tiny CSR spend does not warrant a standing committee.)*

The 2% obligation (135(5)): the Board shall ensure the company spends, in every financial year, **at least 2% of the average net profits** made during the **three immediately preceding financial years** (or such preceding years as available, if incorporated less than 3 years ago) on CSR activities per its policy.

- "**Net profit**" is computed as per **Sec 198** (with prescribed adjustments — e.g. it *excludes* profits from overseas branches and dividends received from other companies in India that are already covered by/complying with Sec 135, to avoid double-counting). *(Why Sec 198: a single, manipulation-resistant profit definition shared with managerial remuneration.)*
- **Local area preference:** the company shall give preference to the **local area(s)** where it operates. *(Why: those most affected by the company's operations should benefit first.)*

Impact assessment and administrative overheads (Rules): companies of a prescribed size undertaking large projects must conduct **impact assessment** through independent agencies; and **administrative overheads** are capped (currently **5%** of total CSR expenditure). Surplus arising from CSR activities shall **not** form part of business profit and must be ploughed back into CSR/transferred to the Unspent Account/Schedule VII. *(Verify current percentages in ICAI material.)*

The "comply or explain" → "comply or *transfer*" evolution — this is the heavily-tested part: - If the company **fails to spend** the 2%, the Board must, in its report, **specify the reasons** for not spending. - **Unspent amount tied to an *ongoing project* (135(6)):** must be transferred within **30 days** of the end of the financial year to a **special account** — the **"Unspent CSR Account"** — opened in any scheduled bank, and **spent within 3 financial years** from the date of such transfer towards the policy; if still unspent after those 3 years, transferred to a **Schedule VII fund** (e.g. PM National Relief Fund / PM CARES) within **30 days** of the completion of the third financial year. - **Unspent amount *not* tied to an ongoing project (135(5) 2nd proviso):** must be transferred within **6 months** of the end of the financial year to a **fund specified in Schedule VII**.

(Why the ongoing-project distinction: genuine multi-year projects (a school, a hospital) legitimately can't spend all at once, so the law gives them a 3-year ring-fenced runway; money with no genuine plan must go to a public fund, not sit idle as a fake "commitment.")

What is an "ongoing project"? (definition matters): a **multi-year project** undertaken by a company in fulfilment of its CSR obligation, **having a timeline not exceeding 3 years** (excluding the financial year in which it commenced), and includes a project initially not so approved but whose duration is *subsequently extended* by the Board (within the overall limits). *(The 4-year practical span: commencement year + up to 3 more.)* **Trap:** if a project is *not* an ongoing project as defined, unspent money on it takes the **6-month Schedule VII** route, not the 30-day Unspent-Account route.

Excess spending set-off (135(5) proviso): if a company spends **more** than the 2% requirement in a year, it may **set off the excess** against the CSR obligation of the succeeding **3 financial years**, subject to (a) the excess not including surplus from CSR activities, and (b) a **Board resolution** to that effect. *(Why: reward front-loading of genuine CSR; don't penalise generosity by treating it as a wash.)*

Penalty (135(7)) for default in transferring/spending: the **company** is liable to a penalty of **twice the amount** required to be transferred (to the Unspent CSR Account or Schedule VII fund), **or ₹1 crore, whichever is less**; and **every officer in default** is liable to **one-tenth of the amount** required to be so transferred, **or ₹2 lakh, whichever is less**. *(Why a* money *penalty pegged to the unspent sum: it removes the incentive to save money by not spending — non-compliance now costs* more *than compliance. Note this is a civil penalty adjudicated by the Registrar/adjudicating officer, not a criminal fine — CSR default was decriminalised in 2020.)*

Where CSR money may go (Schedule VII): eradicating hunger, poverty and malnutrition; promoting education; promoting gender equality and empowering women; environmental sustainability; protection of national heritage/art/culture; measures for the benefit of armed-forces veterans/war widows; training to promote sports; contribution to the PM National Relief Fund / PM CARES / other CG funds; contributions to incubators/research funded by government or specified institutions; rural development; slum area development; disaster management; etc. *(Activities in the* normal course of business *do NOT count as CSR — else every company would relabel its ordinary operations as charity. One-time exception historically: contributions related to COVID-19 R&D — verify current relevance.)*

What is NOT CSR (Rules — commonly tested exclusions): activities in the **normal course of business** (with a limited exception for companies engaged in R&D of new vaccines/drugs/medical devices for FY 2020-21 to 2022-23, subject to conditions); activities **outside India** (except training of Indian sports personnel); contribution to a **political party** (Sec 182); benefits to **employees** (as defined under the Code on Wages); activities **fulfilling other statutory obligations**; and CSR discharged on a **sponsorship basis** deriving marketing benefit for the company's products.

> **Memory hook — "500 / 1000 / 5" and "2% of last 3 years."** Net worth 500 cr, Turnover 1000 cr, Profit 5 cr → spend 2% of the trailing-3-year average. Unspent + ongoing = 30 days to Unspent Account, 3 years to use, else Schedule VII. Unspent + not ongoing = 6 months to Schedule VII.

Section 136 — Right of Members to Copies

The abuse it kills: hiding the finished statements from the very owners entitled to see them.

- A **copy of the financial statements** (including CFS, auditor's report, and every attached document) must be **sent to every member, every trustee for debenture-holders, and every other person entitled**, **at least 21 clear days before the AGM**. *(Why 21 days: enough time to read and challenge before voting.)*
- **Shorter notice:** statements may be sent less than 21 days before the AGM if **agreed** by members holding, if the company has a share capital, **majority in number entitled to vote and representing not less than 95% of the paid-up share capital** (or, having no share capital, 95% of total voting power) — the same "consent to shorter notice" logic as the AGM itself. *(Why: the protection is for members; members can waive it by a high supermajority.)*
- **Listed companies:** may send a **statement containing the salient features (Form AOC-3 / AOC-3A)** instead of the full documents, and/or place the documents on the **website**, subject to conditions — with full copies furnished on member request, free of cost. *(Why: full financials of a large listed company are a phone-book; a salient-features route plus web-access balances cost and access.)*
- A **listed company** must also place its financial statements (including CFS) and all documents on its **website**; and a company with a **subsidiary** must place *separate audited accounts of each subsidiary* on the website and provide copies on request.

Section 137 — Filing with the Registrar

The abuse it kills: keeping the truth private. Disclosure to members is not enough; the *public* and creditors need it too.

- A copy of the **financial statements duly adopted at the AGM** (including CFS and all attachments) must be **filed with the ROC in Form AOC-4 (and AOC-4 CFS / AOC-4 XBRL where applicable) within 30 days of the AGM**. *(Why 30 days and public: creditors and future investors — who never attend the AGM — rely on the public record.)*
- **Statements not adopted at AGM (or adjourned AGM):** the *unadopted* financial statements are filed within 30 days of the AGM as **provisional**, and the *adopted* ones filed within 30 days of the **adjourned AGM** at which they are adopted. *(No limbo — even un-adopted numbers go on record, flagged as provisional.)*
- **If the AGM is not held:** the statements must still be filed **within 30 days of the last date on which the AGM should have been held**, together with a **statement of the facts and reasons** for not holding it. *(No AGM is not an escape from filing.)*
- **OPC:** file within **180 days** from the close of the financial year (it holds no AGM; the *member's signature* on the statements adopts them).
- **Foreign subsidiary accounts:** where the company has *subsidiaries incorporated outside India* that are not required to get their accounts audited, the un-audited accounts (or the salient features) are attached, in the prescribed manner.
- **Penalty (137(3)):** the **company** is liable to a penalty of **₹10,000 + ₹100 per day** of continuing default, **subject to a maximum of ₹2,00,000**; the **MD/CFO** (or in their absence, any director charged, or all directors) is liable to **₹10,000 + ₹100 per day**, subject to a maximum of **₹50,000**. *(A per-day penalty makes delay progressively painful — confirm exact caps in ICAI material.)*

(Deeper why — filing is the moment the information becomes a public good. Sections 128–136 build and share the truth inside *the company's circle (Board, members, debenture trustees). Section 137 pushes it* outside *to the whole world via the ROC/MCA public register, where a prospective creditor, a job applicant, a competitor, a journalist or a regulator can pull it. This is why 137 is the terminal gate of the "information supply chain" model in Part 2.)*

Section 138 — Internal Audit

The abuse it kills: the absence of any *ongoing, internal* check between the annual statutory audits — the gap in which fraud grows for a whole year unnoticed.

- **Prescribed classes** of companies must appoint an **internal auditor** — who may be a **chartered accountant** (whether or not in practice), a **cost accountant**, or **such other professional** as decided by the Board — to conduct internal audit of the functions and activities of the company. *(Note: the internal auditor may be an individual, a partnership firm or a body corporate, and may be an employee of the company; independence is desirable but not a statutory bar in the way it is for a statutory auditor.)*
- The **Board**, in consultation with the internal auditor, formulates the **scope, functioning, periodicity and methodology** for conducting internal audit. *(Why: internal audit serves* management/the Board *— it is a management tool, so the Board scopes it. Contrast: the statutory auditor serves the* members, *so members appoint and scope him.)*
- **Who is caught (Rule 13):**
- **Every listed company;**
- **Unlisted public company** with **paid-up capital ≥ ₹50 crore** during the preceding FY, OR **turnover ≥ ₹200 crore**, OR **outstanding loans/borrowings from banks/PFIs > ₹100 crore** at any point during the

preceding FY, OR **outstanding deposits ≥ ₹25 crore** at any point during the preceding FY (any one);

- **Private company** with **turnover ≥ ₹200 crore**, OR **outstanding loans/borrowings from banks/PFIs > ₹100 crore** at any point during the preceding FY (any one). *(A private company is judged on only two of the four metrics — no paid-up-capital or deposits test.)*

(Why size-based: internal audit is costly; the law imposes it where the money at stake and public interest justify it. Below the threshold, the annual statutory audit is deemed enough.)

Three audits, one company — the distinction table (examiners love mixing these up):

Feature	Internal audit (138)	Statutory audit (139–143)	Cost audit (148)
Serves	Management / Board	Members / shareholders	CG / cost governance
Appointed by	Board	Members (AGM)	Board (on Committee/CG basis)
Who can do it	CA, CMA, other professional, employee	Practising CA only	Practising Cost Accountant
Frequency	Ongoing / periodic	Annual	Annual (for prescribed industries)
Report to	Board/management	Members	CG (in prescribed form)

> **Note:** internal audit (138, ongoing, management-facing) is distinct from **statutory audit** (Sec 139–143, annual, shareholder-facing) and from **cost audit** (Sec 148). Do not conflate them.

Section 132 — National Financial Reporting Authority (NFRA)

The abuse it kills: the profession judging itself. When auditors *are* ICAI members and ICAI both sets standards and disciplines members, a Satyam-scale audit failure can slip through. NFRA breaks the conflict for the biggest players.

What NFRA is: an **independent regulator** constituted by the Central Government to oversee **accounting and auditing standards and the quality of audits** of specified large/public-interest entities.

Its powers/functions (132(2)–(4)): - **Recommend** accounting and auditing policies and standards to the CG (feeds into Sec 133). - **Monitor and enforce compliance** with those standards. - **Oversee the quality of service** of the professions associated with ensuring compliance, and suggest measures for improvement. - **Investigate**, either *suo motu* or on a **reference by the Central Government**, into **matters of professional or other misconduct** committed by any **member or firm of chartered accountants** in respect of prescribed companies/bodies corporate. **Where NFRA has initiated an investigation, no other institute or body (i.e. ICAI) shall initiate or continue any proceeding** in respect of the same matter — one forum, no forum-shopping or double jeopardy. - Has, for investigation, the **same powers as a civil court under the Code of Civil Procedure** (summoning and enforcing attendance, requiring discovery and production of documents, receiving evidence on affidavit, etc.).

Its penalty powers where professional/other misconduct is proved (132(4)(c)): - **Monetary penalty:** for **individuals**, not less than **₹1 lakh**, extendable up to **5 times the fees received**; for **firms**, not less than **₹5 lakh**, extendable up to **10 times the fees received**. - **Debarment:** of the member or firm from being appointed as an **auditor or internal auditor** or from undertaking any audit / valuation for a period of **6 months to 10 years**, as NFRA may decide. *(Why so severe: an auditor's signature is a public trust; abusing it must end careers, not just cost a fine.)*

Who NFRA covers (Rule 3 — jurisdiction, "class of companies"): broadly — **companies whose securities are listed** on any stock exchange in India or outside India; **unlisted public companies** having paid-up capital ≥ **₹500 crore** OR turnover ≥ **₹1,000 crore** OR aggregate **outstanding loans, debentures and deposits ≥ ₹500 crore** as on the preceding 31 March; **insurance, banking, and electricity-generating/supplying companies** governed by special Acts; and any **body corporate/company/person referred by the Central Government** in the public interest. *(Why only the big/public-interest ones: NFRA is a heavy instrument reserved for systemically important entities; smaller companies stay under ICAI's disciplinary jurisdiction. Verify current Rule 3 figures.)*

Structure and appeals: NFRA consists of a **chairperson** and members appointed by the CG, with a **division for enforcement** kept separate from the standard-setting function (an internal separation to prevent the investigator from also writing the rules). Appeals against NFRA orders lie to the **Appellate Tribunal (NCLAT)** as prescribed (originally an "Appellate Authority" was contemplated; appeals now lie to NCLAT — verify current position).

The jurisdiction hand-off — the single most-tested NFRA point: the *default* disciplinary forum for a CA's professional misconduct is **ICAI** (under the Chartered Accountants Act 1949). NFRA is an **overriding, exclusive** jurisdiction that switches on **only** for (i) the specified large/public-interest companies in Rule 3, **and** (ii) once NFRA *actually initiates*. For everyone else — the small unlisted private company's auditor — **ICAI retains jurisdiction**.

> **Memory hook — "NFRA = the *auditor's auditor*."** It stands above the profession for the largest companies, so the watchmen are themselves watched.

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5. Applied Scenarios (Facts → Analysis → Conclusion)

Scenario A — The offshore-server dodge. *Facts:* Zenith Ltd keeps all its books of account only on a cloud server physically located in Singapore. During an ROC inspection, Zenith says the records "cannot be produced immediately" as the server is abroad. Is Zenith compliant with Sec 128? *Analysis:* Sec 128 read with Rule 3 permits electronic books, **but** they must remain **accessible in India** for subsequent reference, and a **back-up on servers physically located in India** must be maintained, with **annual intimation to the ROC** of the service provider's name, IP address and server location. Zenith's Singapore-only storage, with no India back-up and non-availability on inspection, defeats the very purpose of the rule (regulator reachability). *Conclusion:* **Contravention of Sec 128.** The MD/CFO/officer in default is liable — imprisonment up to 1 year and/or fine ₹50,000–₹5,00,000.

Scenario B — The clean parent, the dirty subsidiary. *Facts:* Apex Ltd is highly profitable on a standalone basis. It has pushed ₹300 crore of losses and debt into its 90%-owned subsidiary, Nadir Pvt Ltd. Apex lays only its **standalone** financial statements before the AGM, arguing Nadir is a "separate legal person." *Analysis:* Separate legal personality is real for liability, but Sec **129(3)** overrides it for *reporting*: where a company has subsidiaries (including associates/JVs), it **must** prepare **Consolidated Financial Statements** covering the whole group and lay them before the AGM **in addition** to standalone statements, with **Form AOC-1** salient features attached. Showing only the clean parent is precisely the abuse 129(3) was written to stop. Apex is not a wholly-owned subsidiary of anyone and is presumably not itself consolidated upward, so no Rule 6 relaxation applies. *Conclusion:* Apex is in **default of Sec 129(3)/(4)**; the responsible officers face imprisonment up to 1 year and/or fine ₹50,000–₹5,00,000. The consolidated picture (which reveals the group's true, weaker position) must be presented.

Scenario C — CSR: "we'll spend it later." *Facts:* Meridian Ltd had a net profit of ₹8 crore in FY 2025-26 (crossing the ₹5 crore trigger). Its 2% CSR obligation on the trailing-three-year average works out to ₹15 lakh. It identifies an **ongoing** three-year school-construction project but spends only ₹5 lakh this year, leaving ₹10 lakh unspent. It does nothing with the balance and simply notes "will spend next year" in the Board's report. *Analysis:* Because the unspent ₹10 lakh relates to an **ongoing project**, Sec **135(6)** requires transfer to a **special "Unspent CSR Account"** in a scheduled bank **within 30 days** of the financial year-end, to be spent within **3 financial years**. Merely noting an intention in the Board's report is insufficient for ongoing-project money. *Conclusion:* **Default under Sec 135.** Failure to transfer attracts the 135(7) penalty — company liable to pay **twice the unspent amount or ₹1 crore, whichever is less** (here 2 × ₹10 lakh = ₹20 lakh, which is less than ₹1 crore, so **₹20 lakh**); officers in default **one-tenth of the unspent amount or ₹2 lakh, whichever is less** (here 1/10 × ₹10 lakh = ₹1 lakh, less than ₹2 lakh, so **₹1 lakh** per officer). Meridian should have opened the Unspent CSR Account and transferred ₹10 lakh within 30 days.

Scenario D — The unsigned truth. *Facts:* Solaris Ltd's financial statements are approved by the Board but signed only by the Company Secretary; no director signs. The CFO argues "the Board approved them, that's enough." *Analysis:* Sec **134(1)** requires signature **on behalf of the Board** by the **Chairperson if authorised, or by two directors one of whom is the MD**, plus the **CEO (if director), CFO, and CS** where appointed. Board *approval* and Board *authentication by named directors* are different acts; the DRS accountability under 134(5) attaches to directors, not the CS alone. The auditor cannot even validly report until the statements are authenticated. *Conclusion:* The statements are **not validly authenticated**; Sec 134 is contravened. Correct course: obtain signatures of the requisite directors + CFO + CS before the statements are issued/filed.

Scenario E — Which regulator disciplines the auditor? *Facts:* The statutory auditor of a **listed** company, Titan Ltd, is alleged to have colluded in overstating revenue. Both ICAI and NFRA appear interested in investigating. *Analysis:* Titan is a listed company — squarely within NFRA's Rule 3 jurisdiction. Under Sec **132(4)**, where NFRA has initiated investigation into professional misconduct for a prescribed company, **no other institute or body (ICAI) may initiate or continue** proceedings on the same matter. NFRA can impose penalty (up to 5×/10× fees) and **debar 6 months to 10 years**. *Conclusion:* **NFRA has exclusive jurisdiction** here; ICAI stands down for this matter. (For a small unlisted private company outside Rule 3, ICAI would retain jurisdiction.)

Scenario F — The CSR threshold that flickers on and off (new). *Facts:* Vertex Ltd's net profit was ₹6 crore in FY 2023-24 (crossing ₹5 crore), then fell to ₹2 crore, ₹1.5 crore and ₹1 crore in the next three years, with net worth and turnover always below the triggers. Vertex constituted a CSR Committee in FY 2024-25. Its finance head asks whether Vertex must keep the Committee and keep spending in FY 2027-28. *Analysis:* Sec 135 applies if **any one** trigger is crossed in the *immediately preceding* FY. Vertex crossed the ₹5-crore-profit trigger in FY 2023-24, so it was covered for FY 2024-25 and had to spend 2% of the average net profit of the three preceding years. But the post-2020 proviso says a company that **ceases to meet the thresholds for three consecutive financial years** is no longer required to constitute a Committee or comply until it crosses again. After FY 2024-25, Vertex is below all thresholds for FY 2025-26, 2026-27 and 2027-28 — three consecutive years. *Conclusion:* For FY 2027-28 (having failed the thresholds for three consecutive preceding years), Vertex is **no longer required** to maintain the CSR Committee or spend, until it crosses a threshold again. **But note**: for the *first* year it fell out (based on the immediately-preceding-year test), obligations may still have run — the "three consecutive years" relaxation is the *exit* rule, applied prospectively. *(Verify the exact interplay of the "immediately preceding FY" applicability test and the "three consecutive years" cessation proviso against current ICAI material — examiners test precisely this seam.)*

Scenario G — Internal audit: private vs public metrics (new). *Facts:* Orion Pvt Ltd (private company) has paid-up capital of ₹80 crore, turnover of ₹150 crore, outstanding bank borrowings of ₹40 crore, and public deposits of ₹30 crore. Its director insists internal audit is mandatory because "paid-up capital is ₹80 crore, well above ₹50 crore." *Analysis:* The ₹50-crore *paid-up-capital* test and the ₹25-crore *deposits* test under Rule 13 apply to **unlisted public companies**, **not to private companies**. A **private** company is caught **only** if (a) turnover ≥ ₹200 crore, or (b) outstanding loans/borrowings from banks/PFIs > ₹100 crore. Orion's turnover (₹150 cr) is below ₹200 cr and its borrowings (₹40 cr) are below ₹100 cr. Paid-up capital and deposits are **irrelevant** for a private company. *Conclusion:* Orion Pvt Ltd is **not required** to appoint an internal auditor under Sec 138. The director has applied the wrong metric set — a classic threshold trap.

Scenario H — Excess CSR spend and set-off (new numerical). *Facts:* Helios Ltd is covered by Sec 135. Its 2% obligation is ₹40 lakh in FY 2025-26, but it spends ₹70 lakh (₹30 lakh of it from a genuine external CSR budget, none of it surplus from CSR activities). In FY 2026-27 its 2% obligation is ₹50 lakh. Can Helios spend less than ₹50 lakh next year? *Analysis:* Under the 135(5) proviso, excess CSR spend may be **set off against the obligation of the succeeding three financial years**, subject to the excess excluding any surplus from CSR activities and a **Board resolution** authorising the set-off. Helios's excess in FY 2025-26 = ₹70 lakh − ₹40 lakh = **₹30 lakh**, and it is not surplus-derived, so it qualifies. *Conclusion:* If the Board passes the enabling resolution, Helios may set off the ₹30 lakh excess, reducing its FY 2026-27 effective spend to ₹50 lakh − ₹30 lakh = **₹20 lakh** of fresh spending (with ₹30 lakh met by carried-forward excess). **Reconciliation check:** total CSR economically borne across the two years = ₹70 lakh + ₹20 lakh = ₹90 lakh = the two-year statutory obligation (₹40 lakh + ₹50 lakh). The set-off neither over- nor under-charges the company — it merely times the spending. Consistent.

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6. Procedure / Compliance Summary

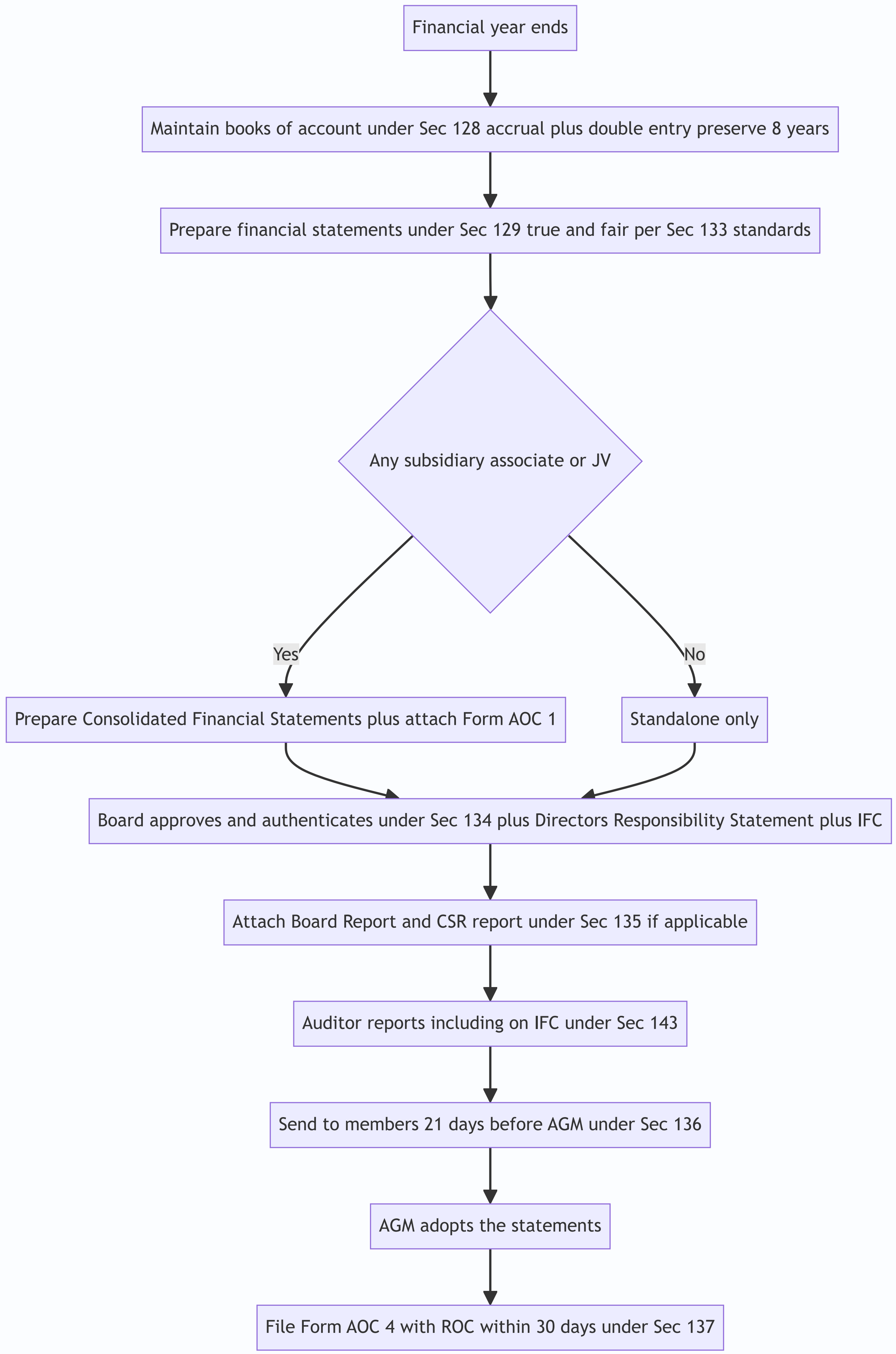
Financial year ends
Maintain books of account under Sec 128 accrual plus double entry preserve 8 years
Prepare financial statements under Sec 129 true and fair per Sec 133 standards
Any subsidiary associate or JV
Yes
No
Prepare Consolidated Financial Statements plus attach Form AOC 1
Standalone only
Board approves and authenticates under Sec 134 plus Directors Responsibility Statement plus IFC
Attach Board Report and CSR report under Sec 135 if applicable
Auditor reports including on IFC under Sec 143
Send to members 21 days before AGM under Sec 136
AGM adopts the statements
File Form AOC 4 with ROC within 30 days under Sec 137

Figure 1 — The life of a company's accounts from books to public filing.

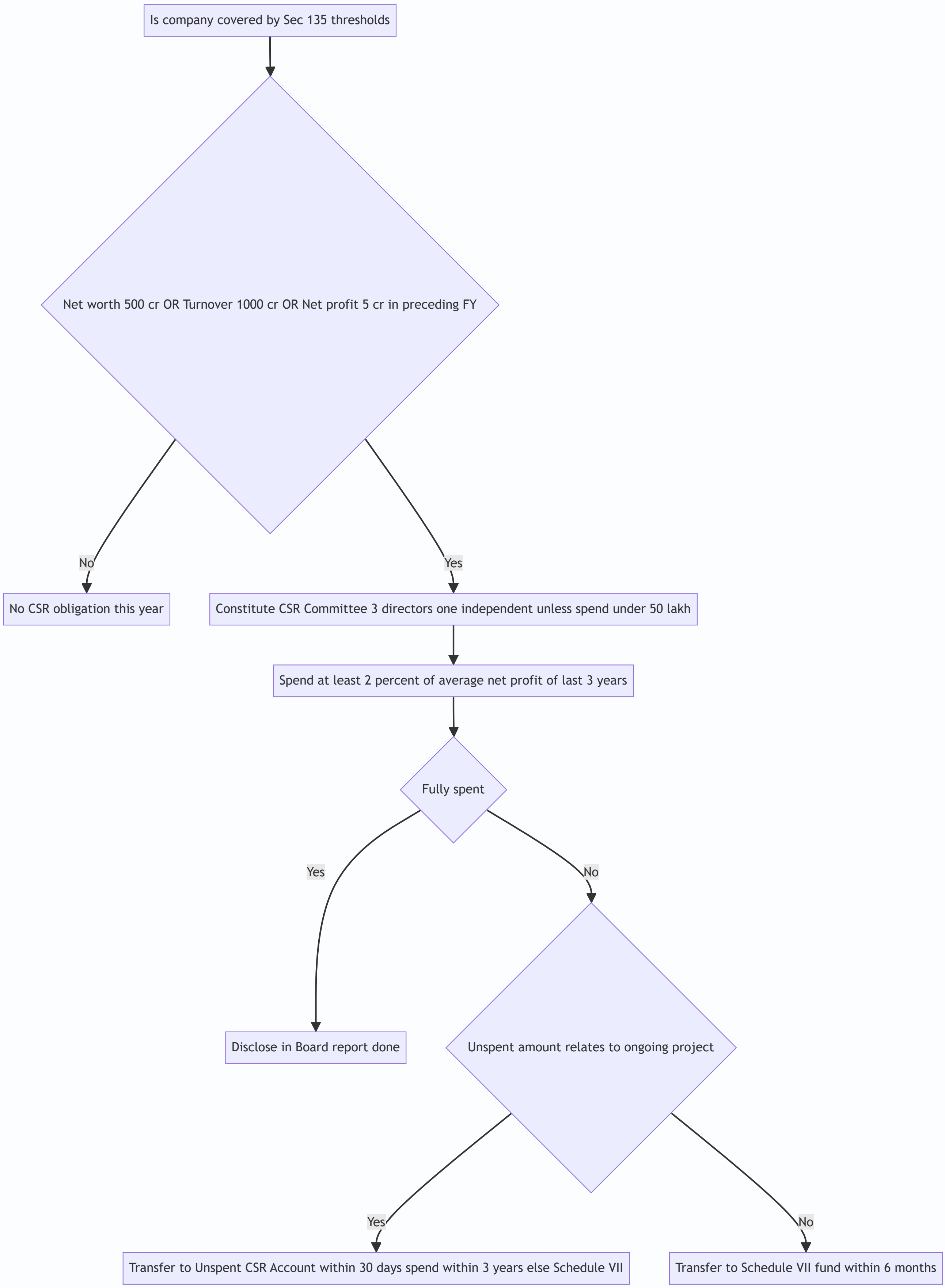

Figure 2 — CSR decision tree under Section 135.

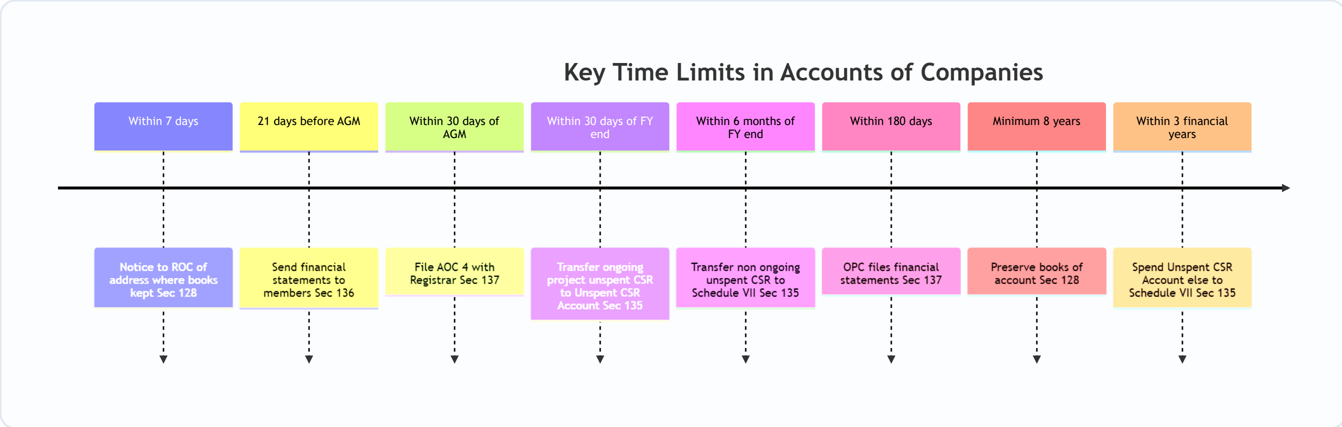

Figure 3 — Every statutory clock in this chapter on one timeline.

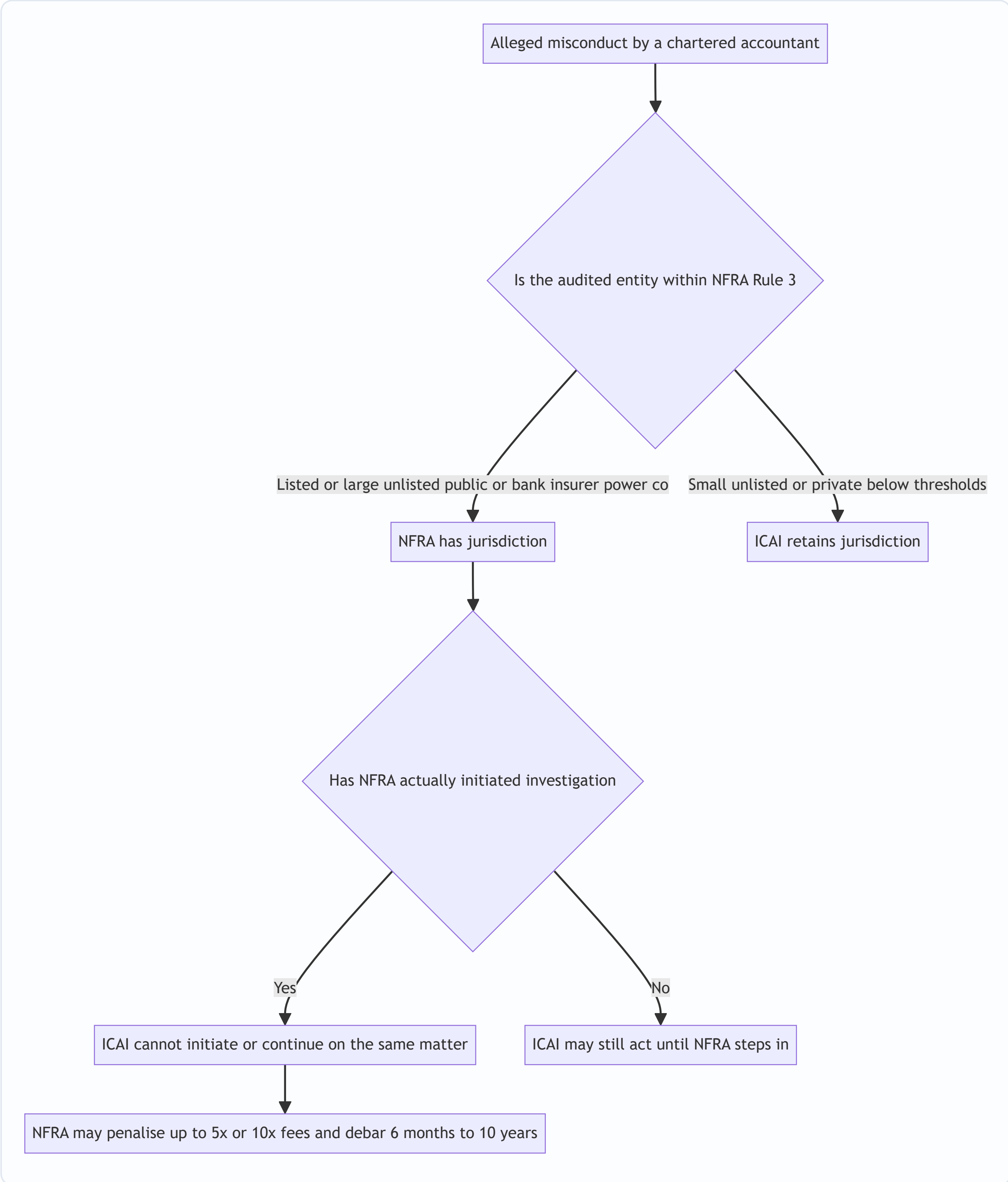

Figure 4 — Who disciplines the auditor NFRA versus ICAI jurisdiction gate.

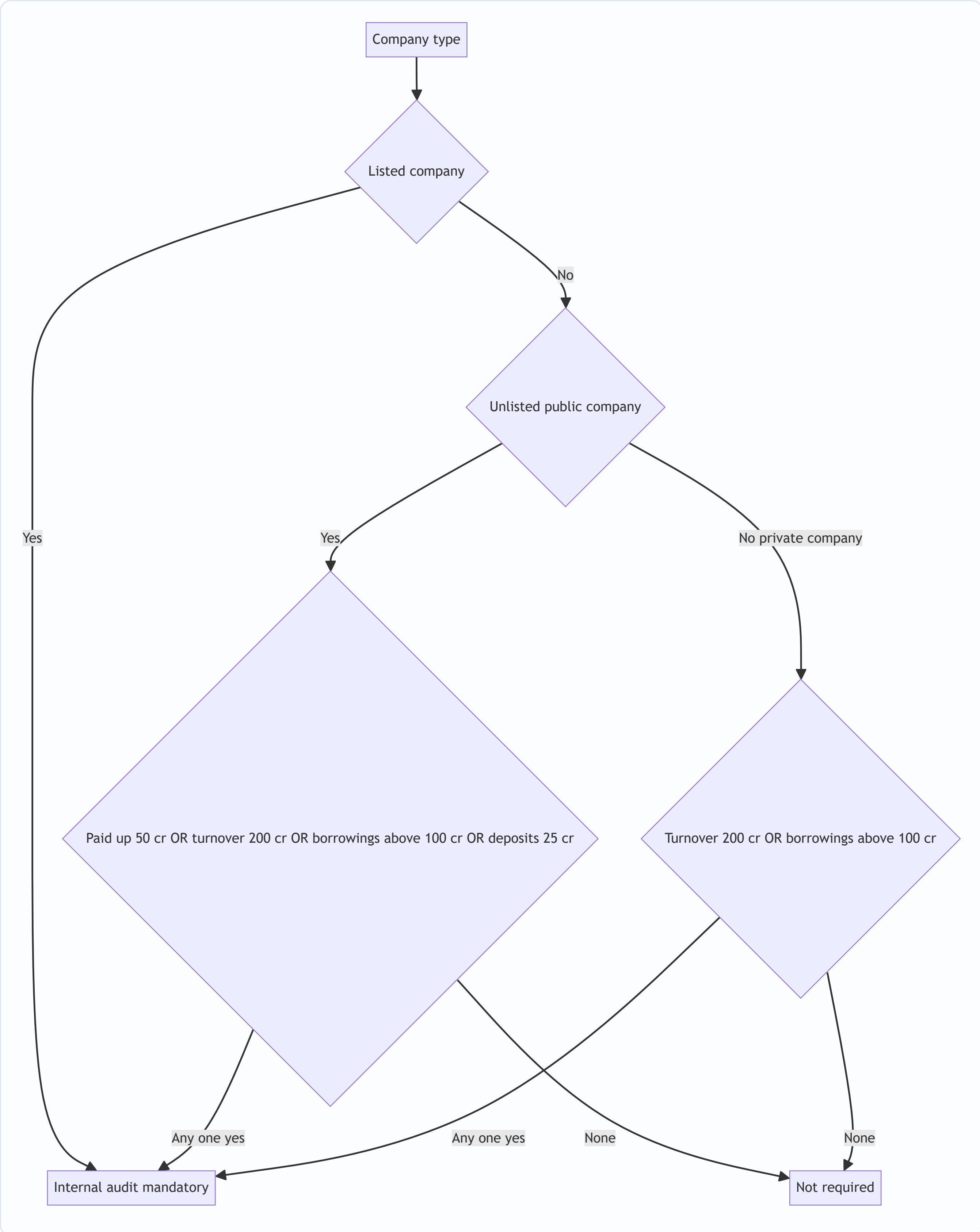

Figure 5 — Section 138 internal audit applicability by class of company.

One-page compliance checklist: 1. Keep books at registered office (or file ROC notice within 7 days if elsewhere); accrual + double entry; India back-up; annual intimation of server details. **[128]** 2. Prepare true-and-fair statements per Sec 133 standards, Schedule III form. **[129, 133]** 3. If group exists → prepare CFS + AOC-1 (unless Rule 6 relaxation applies). **[129(3)]** 4. Board approves + authenticates (two directors incl. MD, CEO, CFO, CS) + DRS + IFC declaration. **[134]** 5. Attach Board's Report with all 134(3) contents + CSR report. **[134, 135]** 6. Auditor's report incl. IFC opinion. **[143]** 7. Circulate to members ≥ 21 days pre-AGM. **[136]** 8. Adopt at AGM; file AOC-4 within 30 days. **[137]** 9. CSR: spend 2%; transfer unspent per ongoing/non-ongoing rule. **[135]** 10. Appoint internal auditor if threshold crossed. **[138]**

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7. Connections — How This Chapter Wires into the Rest of the Act

- **Sec 139–143 (Audit & Auditors):** the natural sequel. The financial statements *prepared* under this chapter are *checked* by the auditor next chapter. **Sec 143(3)(i)** auditor's opinion on **IFC** directly closes the loop opened by 134(5) DRS. **Sec 143(12)** fraud reporting feeds back into the Board's Report (134(3)).
- **Sec 92 (Annual Return):** filed alongside accounts as the other half of the annual disclosure; the Board's report links to it (web-address of the annual return).
- **Sec 96 (AGM):** accounts are *laid* and *adopted* here; the 21-day (136) and 30-day (137) clocks pivot on the AGM date.
- **Sec 123 (Dividend):** you can only declare dividend out of profits *as computed under these accounts* — dishonest accounts would corrupt dividend law too.
- **Sec 148 (Cost Records & Cost Audit):** an extension of "books of account" for specified industries; cost records are part of the books under 128 read with 2(13).
- **Sec 447 (Fraud):** the ultimate backstop — falsified books/statements can escalate to the fraud offence with harsh imprisonment; this is why 128/129 retained imprisonment while procedural defaults were decriminalised.
- **Sec 198 (Net profit calculation):** the shared engine for CSR spend (135) and managerial remuneration (197) — learn it once, use it twice.
- **Sec 149(6), 177, 178:** independent directors, audit committee, and nomination/remuneration committee — the governance scaffolding that the Board's Report (134(3)) must disclose.
- **Sec 2(40), 2(13), 2(12), 2(85), 2(6), 2(87):** "financial statement," "book of account," "books and papers," "small company," "associate," "subsidiary" — the definitions that switch exemptions and consolidation on and off.

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8. Traps & Examiner Tricks

1. **"Books at registered office — file within how many days if kept elsewhere?"** Answer: **7 days'** written notice to ROC. Students confuse this with the 30-day filing of AOC-4. Different clocks.
2. **8 years, not 7, not 10.** Retention of books = **minimum 8 financial years** (longer if investigation ordered; if the company is younger than 8 years, then for all its years). A classic one-mark trap.
3. **CSR trigger is "any ONE," not "all three."** And it is measured in the **immediately preceding** financial year. Also: the **2%** is of the **average of the last 3 years'** net profits (Sec 198 basis) — students wrongly apply 2% of the current year.
4. **Ongoing project → 30 days → Unspent CSR Account (3 years). Non-ongoing → 6 months → Schedule VII directly.** The two routes are the single most-tested CSR point. Mixing them loses marks. Remember the definition of "ongoing project" (multi-year, ≤ 3 years excluding commencement year).

5. **Cash Flow Statement exemption.** OPC, small company, dormant company (and specified start-ups) are **not** required to include a Cash Flow Statement in their financial statements. Examiners love asking "which company need not prepare a cash flow statement?"
6. **Consolidation covers associates & JVs, not just subsidiaries.** The trap: "Company has no subsidiary, only an associate — must it consolidate?" Generally yes (confirm current Rule 6 relaxations, including the WOS/intermediate-parent exemption).
7. **NFRA vs ICAI jurisdiction.** Once NFRA *initiates* on a *Rule-3 (large/listed/public-interest)* company's misconduct matter, **ICAI cannot proceed** on the same matter. NFRA does **not** cover every company — the small unlisted/private stays with ICAI.
8. **Internal audit (138) ≠ statutory audit (139).** Internal audit is ongoing and management-facing; an internal auditor **may be an employee** and need not be a practising CA; thresholds differ by company type. Don't quote statutory-audit rules for an internal-audit question. **Private company** is tested on only turnover (₹200 cr) and borrowings (>₹100 cr) — *not* paid-up capital or deposits.
9. **"Approved by Board" ≠ "authenticated/signed."** Sec 134(1) needs specific signatories (two directors incl. MD, plus CEO/CFO/CS). Board approval alone is not authentication. And the auditor reports *after* authentication — the sequence is testable.
10. **CSR is "comply or explain" — but for unspent amounts it is now "comply or *transfer* and explain," with a *monetary (civil) penalty*.** The old idea that "CSR has no penalty" is outdated after the 2019/2020 amendments. Penalty = twice the unspent amount or ₹1 crore, whichever is less (company); one-tenth or ₹2 lakh, whichever is less (officer).
11. **Activities in the normal course of business do NOT count as CSR.** A pharma company giving away medicines it sells cannot count that as CSR. Nor can political contributions, employee benefits, activities outside India (except training Indian sportspersons), or marketing-driven sponsorships.
12. **"True and fair," not "true and correct."** The statutory phrase is *true and fair view*. Writing "true and correct" can cost you the definitional mark.
13. **IFC-in-DRS is a *listed-company* clause (134(5)(e)).** A private company's DRS need not certify that IFC are operating effectively. Do not blanket-apply it to all companies. (But this is separate from the *auditor's* 143(3)(i) IFC-reporting test — keep the two apart.)
14. **Director's inspection right, not member's.** Under 128(3) the *director* may inspect the books of account; a shareholder has no general 128 inspection right. Examiners swap the two.
15. **NFRA penalty numbers: 5× for individuals, 10× for firms; debarment 6 months–10 years.** Students flip the individual/firm figures or forget the debarment band.
16. **137 penalty is a *per-day* penalty with a cap.** ₹10,000 + ₹100/day, capped (₹2,00,000 company / ₹50,000 officer). Late filing is decriminalised (civil penalty), unlike false books under 128.

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9. First-Principles Recap

Forget every section number for a moment and rebuild the chapter from the human problem:

> *A company is money that strangers handed to managers they will never meet.*

1. Those managers could **lie about what happened** → so the law forces **honest, tamper-resistant books** (accrual + double-entry, 8-year retention, India-reachable). **[128]**

2. They could **present those books misleadingly** → so the law demands a **true-and-fair** statement in a **standard form** using **common accounting standards**. **[129, 133]**
3. They could **hide the rot in a subsidiary** → so the law demands the **whole group be consolidated**. **[129(3)]**
4. No one could be **blamed** for a faceless document → so the law makes **named humans sign** and **swear their controls worked** (DRS + IFC). **[134]**
5. The company could **take from society and give nothing** → so if it is **large**, it must **give back 2%**, transparently governed, with money it doesn't spend **ring-fenced or surrendered**. **[135]**
6. The truth could stay **private** → so it must be **shown to members** (21 days) and **filed publicly** (30 days). **[136, 137]**
7. Fraud could grow **between annual audits** → so large companies run **internal audit** all year. **[138]**
8. The **auditors themselves** could be captured → so an **independent regulator** watches the biggest ones. **[132 — NFRA]**

Every number in the Quick-Revision Sheet below is just one of these eight sentences wearing a section number.

The three recurring design patterns — spot them and the chapter compresses. Notice that the *same three ideas* recur across sections, so you are really memorising three patterns, not fifty rules: - **Proportionality by size** — heavier duties attach to bigger/public entities (CSR 135, internal audit 138, NFRA 132, cash-flow exemption 129, abridged report 134(3A)). Learn the *shape* first, the numbers second. - **Named human accountability** — every duty lands on the MD/WTD-finance/CFO/CS, never on an anonymous "company" (128, 129, 134, 137). No faceless defaults. - **Reserve criminality for dishonesty** — imprisonment survives where the default borders fraud (128 false books, 129 false statements); everything procedural (134, 135, 137) became a civil/monetary penalty in 2019/2020. Where you see jail, ask "is this close to lying?" — the answer is yes.

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10. Quick-Revision Sheet

Sections at a glance

Sec	Title	Core purpose (the "why")	Must-know number
128	Books of account	Honest, tamper-proof, reachable records	7 days ROC notice if kept elsewhere; **8 years** retention; accrual + double-entry; imprisonment up to 1 yr
129	Financial statements	Truthful presentation; whole-group view	True & fair; **CFS + AOC-1** if group; deviation must be disclosed (129(5))
132	NFRA	Independent regulator over the profession	Penalty individual **1 lakh–5×** fees / firm **5 lakh–10×** fees; debar **6 months–10 years**
133	Accounting standards	Common yardstick; comparability	CG prescribes on ICAI + NFRA advice (AS/Ind AS)
134	Board report + DRS + IFC	Named accountability; prove controls	Sign: 2 directors incl. MD + CEO/CFO/CS; DRS 6 points; IFC definition; IFC-clause = listed only
135	CSR	Large firms give back to society	Trigger **500cr / 1000cr / 5cr**; spend **2%** of avg last-3-yr profit
136	Members' copies	Owners see before they vote	**21 days** before AGM (waivable by 95%)
137	Filing with ROC	Public & creditors see the truth	**AOC-4 within 30 days** of AGM; OPC **180 days**; penalty ₹10,000 + ₹100/day
138	Internal audit	Catch fraud between annual audits	Thresholds by company class (Rule 13); auditor may be employee/CA/CMA

CSR thresholds & routes

Item	Rule
Applicability (any one, preceding FY)	Net worth ≥ ₹500 cr / Turnover ≥ ₹1,000 cr / Net profit ≥ ₹5 cr
Cessation (relaxation)	Below all thresholds for **3 consecutive FYs** → no longer required until crossed again
CSR Committee	3+ directors, ≥1 independent (waived if spend ≤ ₹50 lakh → Board acts)
Spend	2% of average net profit (Sec 198 basis) of last 3 FYs; local-area preference
Unspent — ongoing project	→ Unspent CSR A/c within **30 days**; use within **3 years**; else Schedule VII within 30 days of year-3 end
Unspent — non-ongoing	→ Schedule VII fund within **6 months**
Excess spend	Set off against next **3 FYs** (Board resolution; not surplus-derived)
Penalty (135(7))	Company: 2× unspent or ₹1 cr (lower). Officer: 1/10 unspent or ₹2 lakh (lower). Civil penalty

Key time limits

Time	Event	Sec
7 days	Notice to ROC of address of books	128
21 days before AGM	Send statements to members	136
30 days of AGM	File AOC-4	137
30 days of FY end	Transfer ongoing-project unspent CSR	135
6 months of FY end	Transfer non-ongoing unspent CSR	135
180 days of FY close	OPC files statements	137
3 financial years	Spend Unspent CSR Account	135
8 years (min)	Preserve books of account	128
6 months–10 years	NFRA debarment band	132

Definitions to reproduce verbatim

- **Financial statement (2(40))** = Balance Sheet + P&L (or Income & Expenditure) + Cash Flow + Statement of Changes in Equity (if any) + Notes. *(Cash flow exempt for OPC/small/dormant.)*
- **Internal Financial Controls (Expl. to 134(5)(e))** = policies and procedures for orderly and efficient conduct of business, adherence to company policies, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of accounting records, and timely preparation of reliable financial information.
- **Ongoing project** = a multi-year CSR project with a timeline **not exceeding 3 years** (excluding the commencement year), including a project whose duration is subsequently extended by the Board.
- **Standard phrase:** financial statements must give a **"true and fair view."**

> **Confirm in ICAI/bare Act before the exam:** current monetary penalty figures under 134(8), 137(3), and 132 (revised by the Companies Amendment Acts 2019/2020); the precise CFS relaxations under Rule 6 of the Companies (Accounts) Rules; the interplay of the "immediately preceding FY" CSR test with the "three consecutive years" cessation proviso; the current electronic-books back-up periodicity and CSR administrative-overhead cap; and NFRA Rule 3 threshold figures — these have been amended and ICAI study material carries the exam-authoritative numbers.

Q&A — Accounts of Companies

CA Intermediate · Corporate & Other Laws · Companies Act, 2013, Chapter IX (Sections 128–138) + Section 132

Section A — Concept-Check Questions (short, with answers)

A1. Where must a company keep its books of account, and can they be kept elsewhere? Under **Sec 128(1)**, every company shall keep books of account at its **registered office**. The Board may decide to keep them at **any other place in India**, but must file **notice in writing with the Registrar (AOC-5)** within **7 days**, giving the full address. Books must give a **true and fair view**, be kept on **accrual basis** and **double-entry system**.

A2. Can books of account be maintained in electronic form? Yes. **Proviso to Sec 128(1) r/w Rule 3, Companies (Accounts) Rules 2014** permits electronic maintenance, provided records remain **accessible in India**, are **retained completely** in original format, remain **legible**, and a **back-up** is kept on servers physically located in India (for foreign-server records, back-up must be periodically taken and kept in India).

A3. For how long must books of account be preserved? Sec 128(5): books together with vouchers must be kept in good order for **not less than 8 financial years** immediately preceding the current year. If an **investigation** is ordered, the Central Government may direct a longer period.

A4. Whose responsibility is maintenance of books, and what is the penalty for default? Sec 128(6): MD, WTD in charge of finance, CFO, or any other person charged by the Board. Penalty (**Sec 128(6)**): imprisonment up to **1 year** or fine **₹50,000–₹5,00,000**, or both.

A5. Define "financial statement" under the Act. Sec 2(40): includes (i) balance sheet, (ii) profit & loss account (or income & expenditure account for non-profit), (iii) cash flow statement, (iv) statement of changes in equity (if applicable), and (v) explanatory notes. **A One Person Company, small company, dormant company and start-up private company need NOT prepare a cash flow statement.**

A6. What is a "true and fair view" and Schedule III? Sec 129(1): financial statements must give a true and fair view, comply with **accounting standards (Sec 133)**, and be in the **form given in Schedule III**. For specified entities (banks, insurance, electricity), the respective governing Act's form prevails.

A7. When must Consolidated Financial Statements (CFS) be prepared? Sec 129(3): where a company has one or more **subsidiaries, associates or joint ventures**, it shall prepare a CFS in the same form and manner as its own statements, laid before the AGM in addition to standalones. "Subsidiary" here **includes associate and JV** (Explanation).

A8. Who prescribes accounting standards? Sec 133: the Central Government prescribes standards **recommended by ICAI in consultation with, and after examination by, NFRA**.

Section B — Applied Scenario Questions (Facts → Analysis → Conclusion)

B1. CSR applicability trigger. *Facts:* Alpha Ltd for FY 2024-25 has net worth ₹450 crore, turnover ₹900 crore, net profit ₹4.2 crore. It contends CSR does not apply as profit is small. *Analysis:* **Sec 135(1)** applies if **any one** threshold is met in the immediately preceding FY — net worth **≥ ₹500 cr**, or turnover **≥ ₹1,000 cr**, or net profit **≥ ₹5 cr**. Alpha meets none (net worth < 500, turnover < 1000, profit < 5). *Conclusion:* CSR provisions do **not** apply to Alpha for the year. Had any single limit been crossed, it must spend **2% of average net profit of the preceding 3 FYs** (Sec 135(5)).

B2. Unspent CSR amount. *Facts:* Beta Ltd, covered under CSR, was required to spend ₹80 lakh but spent only ₹50 lakh. ₹20 lakh relates to an ongoing project; ₹10 lakh is unspent with no ongoing project. *Analysis:* **Sec 135(6):** amount relating to **ongoing projects** must be transferred to a **special "Unspent CSR Account"** within **30 days** of FY-end and spent within **3 financial years**. **Sec 135(5) proviso:** unspent amount **not** relating to ongoing projects must be transferred to a **Schedule VII fund** (e.g., PM CARES) within **6 months** of FY-end. *Conclusion:* ₹20 lakh → Unspent CSR Account within 30 days; ₹10 lakh → Schedule VII fund within 6 months. Non-compliance attracts penalty under **Sec 135(7)**.

B3. Circulation of financial statements. *Facts:* Gamma Ltd, a listed company, wishes to send only salient features instead of full statements to members holding shares in physical form. *Analysis:* **Sec 136(1):** a copy of the financial statements, CFS, auditor's report and every attached document must be sent **21 days before the AGM** to every member, trustee for debenture-holders, and other entitled persons. **Listed companies** may send **salient features in the prescribed form (AOC-3)** if full statements are made available on the website — but must send **full statements to members who ask**. *Conclusion:* Gamma may send salient features provided the full documents are on its website and available on request; otherwise full statements are mandatory.

B4. Filing with the Registrar after AGM not held. *Facts:* Delta Ltd could not hold its AGM. Directors are unsure whether to file financial statements. *Analysis:* **Sec 137(1):** adopted financial statements must be filed with the Registrar in **AOC-4** within **30 days of the AGM**. **First proviso:** if not adopted at AGM/adjourned AGM, file **unadopted** statements within 30 days as provisional. **Sec 137(1) third proviso:** where **AGM is not held**, file the statements along with reasons **within 30 days of the last date before which the AGM should have been held**. *Conclusion:* Delta must still file within 30 days of the due date of the AGM, with reasons for non-holding.

B5. Internal audit. *Facts:* Epsilon Ltd (unlisted public) has paid-up capital ₹60 crore and outstanding loans from banks ₹120 crore. It has no internal auditor. *Analysis:* **Sec 138 r/w Rule 13:** internal audit is mandatory for an **unlisted public company** if it has paid-up capital **≥ ₹50 cr**, or turnover **≥ ₹200 cr**, or outstanding loans/borrowings from banks/PFIs **> ₹100 cr**, or deposits **≥ ₹25 cr** (any one). Epsilon crosses two limits. *Conclusion:* Epsilon must appoint an **internal auditor** (a CA/CMA or such professional, whether or not in employment). Default is a **non-compliance** under Sec 138.

Section C — Past-Paper-Style Descriptive Questions (model answers)

C1. Explain the contents of the Board's Report under Section 134, and the Directors' Responsibility Statement. Sec 134(3) requires the Board's Report to include, inter alia: web-address of annual return (Sec 92); number of Board meetings; **Directors' Responsibility Statement**; details of frauds reported by the auditor (Sec 143(12)); a statement on declaration by independent directors; company's policy on directors' appointment and remuneration; comments on qualifications/adverse remarks in the auditor's/CS's reports; particulars of loans, guarantees and investments (Sec 186); related-party contracts (Sec 188 – AOC-2); dividend recommended; material changes affecting financial position; conservation of energy, technology absorption, foreign exchange; risk management policy; **CSR policy** (Sec 135); and **adequacy of internal financial controls (IFC)**. The **Directors' Responsibility Statement (Sec 134(5))** confirms: applicable accounting standards followed; accounting policies applied consistently and prudent judgments made to give a true and fair view; proper and sufficient care for maintenance of accounting records and prevention of fraud; accounts on **going concern** basis; (for listed companies) **internal financial controls** laid down were adequate and operating effectively; and proper systems to ensure compliance with all laws were in place and operating. The report is signed by the **Chairperson if authorised, else by at least two directors** (one being MD where there is one) — **Sec 134(6)**. Penalty for default: company **₹3,00,000** and every officer in default **₹50,000** (**Sec 134(8)**).

C2. Discuss the constitution and functions of the National Financial Reporting Authority (NFRA) under Section 132. Sec 132(1) empowers the Central Government to constitute **NFRA** to provide for matters relating to accounting and auditing standards. **Powers/functions (Sec 132(2))**: (a) recommend accounting and auditing standards; (b) monitor and enforce compliance; (c) oversee the quality of service of professions associated with ensuring compliance and suggest measures for improvement. **Sec 132(4):** NFRA may **investigate** professional or other misconduct of prescribed classes of companies/bodies corporate or their **CAs**; for this it has powers of a **civil court**. Where misconduct is proved it can impose **penalty** — for individuals **₹1 lakh up to 5 times fees**, for firms **₹10 lakh up to 10 times fees** — and **debar** the member/firm from practice for **6 months to 10 years**. Appeals lie to the **Appellate Tribunal (Sec 132(5))**. Once NFRA initiates action, no other institute/body can initiate parallel proceedings in the same matter.

C3. State the provisions for re-opening and voluntary revision of financial statements (Sec 130 & 131). Sec 130 (compulsory re-opening / recasting): a company shall **not** re-open its books or recast financial statements except on an **order of a court or the Tribunal (NCLT)**, made on an application by the Central Government, Income-tax authorities, SEBI, any other statutory regulatory body or authority, or any person concerned, where earlier accounts were prepared in a **fraudulent manner** or the affairs were **mismanaged** casting doubt on reliability. Notice is given to affected parties. **No order** shall relate to a period **beyond 8 financial years** (except where Sec 128(5) directs longer retention). **Sec 131 (voluntary revision):** if it appears to the directors that the **financial statements or Board's report do not comply** with Sec 129 or Sec 134, they may prepare **revised** statements/report for **any of the 3 preceding financial years** after obtaining **Tribunal approval**. Revision is confined to correction of non-compliance; may be done **only once** in a financial year.

Section D — MCQs / Case Scenarios (answer + one-line reason)

D1. Notice to the Registrar for keeping books at a place other than the registered office (AOC-5) must be filed within: (a) 15 days (b) 30 days (c) **7 days** (d) 60 days. **Ans: (c)** — Proviso to **Sec 128(1)**.

D2. Minimum period for preservation of books of account: (a) 5 years (b) 6 years (c) **8 years** (d) 10 years. **Ans: (c)** — **Sec 128(5)**.

D3. Financial statements must be filed with the Registrar within ____ of the AGM: (a) 7 days (b) **30 days** (c) 60 days (d) 21 days. **Ans: (b)** — **Sec 137(1)**, in Form **AOC-4**.

D4. A CSR committee is required to have at least: (a) 2 directors (b) **3 directors, one of whom is independent** (c) 5 directors (d) only the MD. **Ans: (b)** — **Sec 135(1)**. *(An unlisted/private company not required to appoint an independent director may constitute the committee without one; where CSR spend ≤ ₹50 lakh, the committee itself is not mandatory and the Board discharges its functions.)*

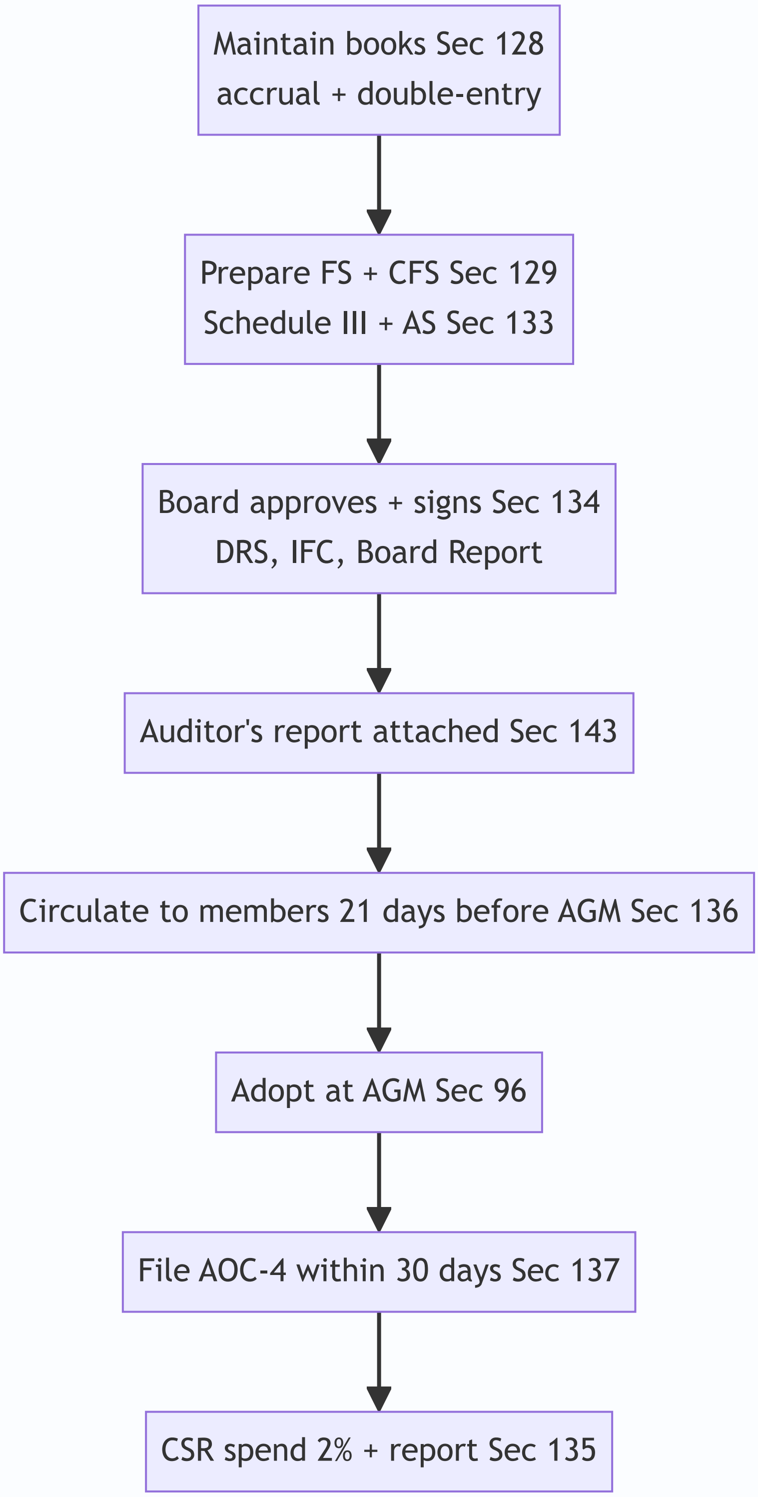
D5. CFS is required when a company has: (a) only subsidiaries (b) only associates (c) **subsidiaries, associates or joint ventures** (d) only JVs. **Ans: (c)** — **Sec 129(3)** Explanation includes associate & JV.

D6. Financial statements must be circulated to members before the AGM at least: (a) 14 days (b) **21 days** (c) 7 days (d) 30 days. **Ans: (b)** — **Sec 136(1)**.

D7. The Directors' Responsibility Statement requirement on effectiveness of **internal financial controls** applies specifically to: (a) all companies (b) **listed companies** (c) OPCs (d) small companies. **Ans: (b)** — **Sec 134(5)(e)**.

D8. Unspent CSR amount **not** relating to an ongoing project must be transferred to a Schedule VII fund within: (a) 30 days (b) 3 months (c) **6 months** (d) 1 year. **Ans: (c)** — **Proviso to Sec 135(5)**.

Procedure — Adoption, Circulation & Filing of Financial Statements



Connections to Other Provisions

- **Sec 92** — Annual Return; web-link disclosed in Board's Report (Sec 134(3)(a)).
- **Sec 96** — AGM at which financial statements are laid and adopted (feeds Sec 137 filing).

- **Sec 123** — Dividend declared out of profits computed from these financial statements; recommended in the Board's Report.
- **Sec 139–143** — Auditor appointment and audit; the **auditor's report** is attached to and read with the financial statements (Sec 134/136); fraud reporting (Sec 143(12)) flows into the Board's Report.
- **Sec 148** — Cost records/cost audit for prescribed companies, forming part of the books under Sec 128.
- **Sec 198** — Manner of computing **net profit**, used to determine the **average net profit** for CSR spend under Sec 135(5).
- **Sec 447** — Punishment for **fraud**; underlies Sec 130 re-opening (fraudulent accounts) and NFRA action under Sec 132.

Traps & Examiner Tricks (12)

1. **AOC-5 is 7 days, not 30** — filing for books kept away from registered office.
2. **8 years preservation** for books (Sec 128(5)) vs **3 preceding FYs** for voluntary revision (Sec 131) vs **8 FYs** cap on re-opening (Sec 130). Don't mix.
3. **CSR thresholds use "immediately preceding FY"** for applicability but **average of 3 preceding FYs** for the 2% spend.
4. **CSR spend basis is Sec 198 net profit**, not book profit.
5. **CFS includes associates & JVs**, not just subsidiaries (Sec 129(3) Explanation).
6. **Cash flow statement exemption** — OPC, small company, dormant company, start-up private company (Sec 2(40) proviso). Do not extend to all private companies.
7. **IFC effectiveness in DRS** is for **listed** companies only (Sec 134(5)(e)).
8. **AOC-4 is 30 days from AGM**; when **no AGM is held**, 30 days from the **due date** of the AGM (with reasons).
9. **Sec 130 re-opening needs Court/Tribunal order** — a company **cannot** re-open books on its own.
10. **Sec 131 revision requires Tribunal approval** and can be done **only once per FY**, for the last **3 FYs**.
11. **CSR committee not mandatory** where CSR obligation ≤ ₹50 lakh — Board discharges its functions.
12. **NFRA vs ICAI** — once NFRA initiates misconduct proceedings, ICAI cannot act on the same matter (Sec 132(4)).

First-Principles Recap

The management–ownership split lets managers control assets they do not own — the gap that enabled **Satyam** and **Enron**. Chapter IX closes that gap through a chain: **capture** honestly (Sec 128 books), **present** truthfully (Sec 129 + 133 + Schedule III), **consolidate** the whole group (Sec 129(3) CFS), **own** the numbers (Sec 134 Board Report + DRS + IFC), **give back** to society (Sec 135 CSR), and **police** the system (Sec 136 members' copies, Sec 137 public filing, Sec 138 internal audit, Sec 132 NFRA). Each rule removes one hiding place for fraud.

Quick-Revision Sheet

Sections table

Sec	Subject
128	Books of account (accrual, double-entry, 8-yr preservation, AOC-5 in 7 days)
129	Financial statements, true & fair, Schedule III; **129(3)** CFS
130	Re-opening/recasting on Court/Tribunal order
131	Voluntary revision (3 preceding FYs, Tribunal approval)
132	NFRA
133	Accounting standards (CG on ICAI + NFRA advice)
134	Board's Report, DRS, IFC, signing
135	CSR
136	Right of members to copies (21 days)
137	Filing with Registrar (AOC-4, 30 days)
138	Internal audit

CSR thresholds (any one, Sec 135(1)): Net worth ≥ **₹500 cr** · Turnover ≥ **₹1,000 cr** · Net profit ≥ **₹5 cr**. Spend = **2% of average net profit of 3 preceding FYs (Sec 198)**.

Internal audit thresholds (Rule 13): Unlisted public — capital ≥ ₹50 cr / turnover ≥ ₹200 cr / bank-PFI loans > ₹100 cr / deposits ≥ ₹25 cr. Private — turnover ≥ ₹200 cr / bank-PFI loans > ₹100 cr. Every **listed** company: always.

Time limits: AOC-5 — **7 days**; books preserved — **8 years**; circulate FS — **21 days** before AGM; file AOC-4 — **30 days** after AGM; unspent CSR (ongoing) transfer — **30 days**, spend within **3 FYs**; unspent CSR (non-ongoing) to Schedule VII fund — **6 months**.

Key definitions: *Financial statement* — Sec 2(40); *Books of account* — Sec 2(13); *True & fair view* — Sec 129(1).

Chapter 10 — Audit & Auditors

> Chapter XI of the Companies Act 2013, Sections 139 to 148, read with the Companies (Audit and Auditors) Rules 2014.

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1. The Problem — Who watches the people who spend other people's money?

Start with the raw situation a company creates.

A company is a machine for pooling money from **many** people (shareholders, banks, debenture-holders, the public) and handing physical control of that money to a **few** people (the Board and management). The people who own the money do **not** run the business. The people who run the business do **not** own most of the money. This is the classic **agency gap**: the manager (agent) has custody, the owner (principal) has the risk.

Now watch what naturally goes wrong:

- The directors prepare the accounts **themselves**. So the same people who decide how the money was spent also decide how to *describe* how it was spent. A director who wasted crores can simply draw a rosy balance sheet and a shareholder sitting 800 km away has **no way to know**.
- A shareholder cannot walk into the warehouse and count the stock. A depositor cannot inspect the loan ledgers. The information is locked inside the company, written by the very people whose performance it grades.
- Historically this produced disaster after disaster — inflated profits to justify fat dividends and higher share prices, hidden losses, fictitious sales, siphoning through fake vendors. **Satyam (2009)** in India is the textbook case: over ₹7,000 crore of cash and bank balances simply did not exist, yet the audited accounts said they did.

So the deep problem is a **trust gap built into the corporate form itself**. Ownership is separated from control, and the controllers write their own report card. Without an outside check, "limited liability company" would just be a licence to raise public money and lie about it.

The law's answer is deceptively simple: force every company to appoint an **independent expert** — the **auditor** — whose only job is to look at the accounts management prepared and tell the *owners* (not management) whether those accounts are **true and fair**. Every rule in this chapter exists to make that watchdog (a) qualified, (b) genuinely independent, and (c) unable to be quietly silenced.

Why "true and fair" and not "true and correct". Notice the exact statutory phrase is *true and fair view*, never "true and correct". This is deliberate and heavily examined. Accounts are built on **estimates and judgements** — depreciation rates, provision for doubtful debts, useful life of assets, warranty provisions. No such figure is arithmetically "correct"; it is an honest estimate. So the law asks the auditor to certify that the picture is **not misleading** (fair) and grounded in fact (true) — not that every rupee is mathematically exact. An auditor who understands this will never over-promise, and an examiner who asks "does the auditor guarantee the accounts are correct?" is baiting a wrong answer: the auditor gives an **opinion**, not a guarantee, and is a **watchdog, not a bloodhound** (the classic *Kingston Cotton Mill* idea — reasonable skill and care, not suspicion of everyone).

Why an *independent* expert and not an internal one. A company already has an *internal auditor* and a finance department full of competent accountants. Why insist on an outsider? Because competence is not the scarce ingredient — **independence** is. An internal person depends on management for salary, promotion and continued employment; the moment their report threatens the boss, self-interest overwhelms honesty. The statutory auditor is engineered so that management holds as few levers over them as the law can manage. Keep this distinction ready: *competence detects fraud; independence makes the auditor willing to report it.* Sec 141 protects the first, Secs 139(2), 140 and 144 protect the second.

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2. The Core Idea — An independent referee appointed *by the owners*, reporting *to the owners*, whom management cannot fire

Hold three ideas in your head and the whole chapter falls into place:

1. **The auditor is the shareholders' agent, not management's.** That is why the auditor is appointed by the **members in general meeting** (Sec 139), reports **to the members** (Sec 143), and can only be removed with heavy safeguards (Sec 140). Management pays the auditor but does not *own* the auditor.
2. **Independence is the whole ballgame.** A watchdog that is friends with, financially entangled with, or dependent on the person it watches is worthless. So the Act attacks every channel of capture: who *can* be an auditor (Sec 141 eligibility/disqualification), how long they can stay (Sec 139 rotation), and what *other* money they may earn from the client (Sec 144 prohibited services).
3. **Powers must match duty.** You cannot ask a watchdog to certify the truth and then lock the records away from it. So Sec 143 gives the auditor a **right of access at all times** to all books and the power to demand information — and pairs it with a **duty to report** including a duty to blow the whistle on fraud.

Mnemonic for the section spine: **"139 hire, 140 fire, 141 who's fit, 142 pay, 143 do the job, 144 don't moonlight, 145 sign, 146 attend, 147 punish, 148 cost."**

The four "capture routes" the whole chapter is fighting. Every provision maps to blocking exactly one of these. If you can name the route, you can regenerate the rule:

Capture route	How management would use it	Provision that blocks it
Selection	Hand-pick a compliant auditor	Members appoint (139); disqualifications (141)
Money	Buy silence via fees, loans, side-consulting	Remuneration via GM (142); indebtedness/security caps (141(3)); Sec 144 ban
Tenure/familiarity	Let the relationship go stale until the auditor is "one of us"	Rotation (139(2))
Termination	Fire the auditor the instant it barks	Removal gate (140(1)); representation rights (140(4))

Carry this table into the exam. When a question describes a *fact pattern* (a loan, a long tenure, a proposed removal), first ask "which capture route is this?" — the answer points you straight to the section.

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3. Why it's built this way — design choices and the abuse each one blocks

Design choice	The abuse it kills
Appointed **by members**, not the Board	Stops management from hand-picking a friendly auditor and reporting to itself
First auditor by Board within 30 days	A company must not operate even one day without a watchdog
Five-year term with ratification removed, then **rotation**	A cosy multi-decade relationship breeds "audit capture" — familiarity that dulls scepticism
Rotation of firm/partner (Sec 139(2))	Prevents the auditor from becoming, in effect, part of management
Sec 141 disqualifications (no shareholding, no loans, no business relationship, indebtedness cap)	Removes every financial hook management could use to buy silence
Sec 144 ban on non-audit services	Stops the auditor auditing its *own* consultancy work — you cannot mark your own homework
Sec 140 removal needs Central Government + special resolution	Stops management from sacking an honest auditor who refuses to sign
Sec 143 right of access "at all times"	Stops management from starving the auditor of records
Sec 143(12) fraud reporting	Turns the auditor from a passive certifier into an active gatekeeper
Sec 147 penalties + Sec 245 class action + civil liability	Gives the duty teeth; an unenforced duty is decoration

The unifying logic: **remove every reason and every route for the auditor to be captured, then arm the auditor with access and back it with liability.**

The five recognised threats to independence (the conceptual grid). ICAI's own framework (Code of Ethics) names five threats, and every Companies Act safeguard is aimed at one of them. Knowing the grid lets you *explain* a rule in a theory answer instead of merely reciting it:

- **Self-interest threat** — the auditor gains financially from the client (shareholding, loans, large fees, a guarantee). → Sec 141(3)(d), Sec 142.
- **Self-review threat** — the auditor would have to audit its *own* earlier work. → Sec 144 (and cost-audit/statutory-audit firewall in 148).
- **Advocacy threat** — the auditor promotes the client's position (e.g. acting as investment banker raising the client's capital). → Sec 144 (investment banking/advisory ban).
- **Familiarity threat** — long or close association dulls scepticism. → Sec 139(2) rotation; Sec 141(3)(f) relative-is-a-director bar.
- **Intimidation threat** — the client pressures the auditor (threat of removal, of losing the fee). → Sec 140 removal gate; Sec 140(4) representation right.

Why these are *rules*, not mere *ethical guidance*. ICAI's Code of Ethics already tells a CA to stay independent. Why did Parliament re-legislate the same idea as hard black-letter law with fines and jail?

Because ethics is *self-policed by the profession*, and after Satyam the state judged self-policing insufficient for the money at stake. A rule with a criminal penalty and an external regulator (NFRA) removes the auditor's *discretion* to rationalise a compromise. This is the through-line to Sec 147 and Sec 132 at the end of the chapter.

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4. Full Technical Content — section by section, each with its "why"

4.1 Sec 139 — Appointment of Auditors

Why: If the Board appointed the auditor, the watched would choose the watcher. So the power sits with the **members**, and gaps (first year, casual vacancies) are plugged so no company is ever unwatched.

(a) First auditor of a company (other than a Government company) — Sec 139(6) - Appointed by the **Board within 30 days** of registration. - If the Board fails, the **members appoint within 90 days** at an **extraordinary general meeting (EGM)**. - Holds office **till the conclusion of the first AGM**. - *Why 30 days:* the company starts transacting immediately; it needs a watchdog from day one, and the Board is the only body that exists before the first AGM. - *Fine distinction — the 90 days runs from where?* The members' 90-day window runs from **registration/incorporation**, not from the expiry of the Board's 30 days. So it is not "30 + 90"; the members must act within 90 days of incorporation. Examiners love to imply "120 days" — reject it.

(b) First auditor of a Government company — Sec 139(7) - Appointed by the **Comptroller and Auditor-General of India (C&AG) within 60 days** of registration. - If C&AG fails → **Board within 30 next days** → if Board fails → **members within 60 days** at EGM. - *Why C&AG:* public money, so the state's own auditor leads. - "*Government company*" *defined (Sec 2(45)):* one in which ≥ **51% of the paid-up share capital** is held by the Central Government, a State Government, or partly by both — **including a subsidiary of a Government company**. Trap: a company where the government holds *49%* is **not** a Government company, so C&AG does **not** appoint — the ordinary Sec 139(6)/(1) route applies. Watch the percentage in the fact pattern.

(c) Subsequent auditor — non-Government company — Sec 139(1) - Appointed by **members at the first AGM**, to hold office **from the conclusion of that AGM till the conclusion of the sixth AGM** — i.e. a **5-year block** (subject to Sec 139(2) rotation). - The appointment must be **confirmed/agreed** by obtaining the auditor's written consent and a **certificate** (Sec 139(1) proviso + Rule 4) that the appointment is within limits and the auditor is eligible under Sec 141. - Company must **inform the auditor** of the appointment and **file Form ADT-1 with the Registrar within 15 days** of the meeting. - *Whose obligation is ADT-1?* A frequent trap: the **company**, not the auditor, files ADT-1. (Conversely, on resignation the **auditor** files ADT-3.) Match the form to the party. - **Annual ratification is NO LONGER required.** The original 2013 Act had a proviso requiring members to *ratify* the appointment at every AGM; this was **omitted by the Companies (Amendment) Act 2017 (w.e.f. 7 May 2018)**. *Why removed:* yearly ratification was a backdoor to pressure the auditor annually — defeating the point of a secure 5-year term. **Trap: if a question is set in the old framework it may still mention ratification; for current law, ratification is gone.** - *What "till the sixth AGM" really counts.* The term spans **five AGMs of intervening accounts** (the 2nd, 3rd, 4th, 5th and 6th). It is not "five calendar years" — it is five audited financial years, ending at the conclusion of the sixth AGM. If AGMs are delayed, the term still ends at the sixth AGM, not at a fixed date.

(d) Subsequent auditor — Government company — Sec 139(5) - Appointed by **C&AG within 180 days** from the commencement of the financial year; holds office till conclusion of the AGM. - *Contrast to lock in:*

for a Government company the C&AG appoints **every year** (180-day clock, office till that AGM); there is **no 5-year block and no Sec 139(2) rotation** applied through members — the C&AG controls tenure. This is a clean point examiners test by mixing the two regimes.

Memory hook for the timeline: *First auditor = fast (30/90 days). Subsequent = five-year settled term. Government = C&AG leads with longer clocks (60/180).*

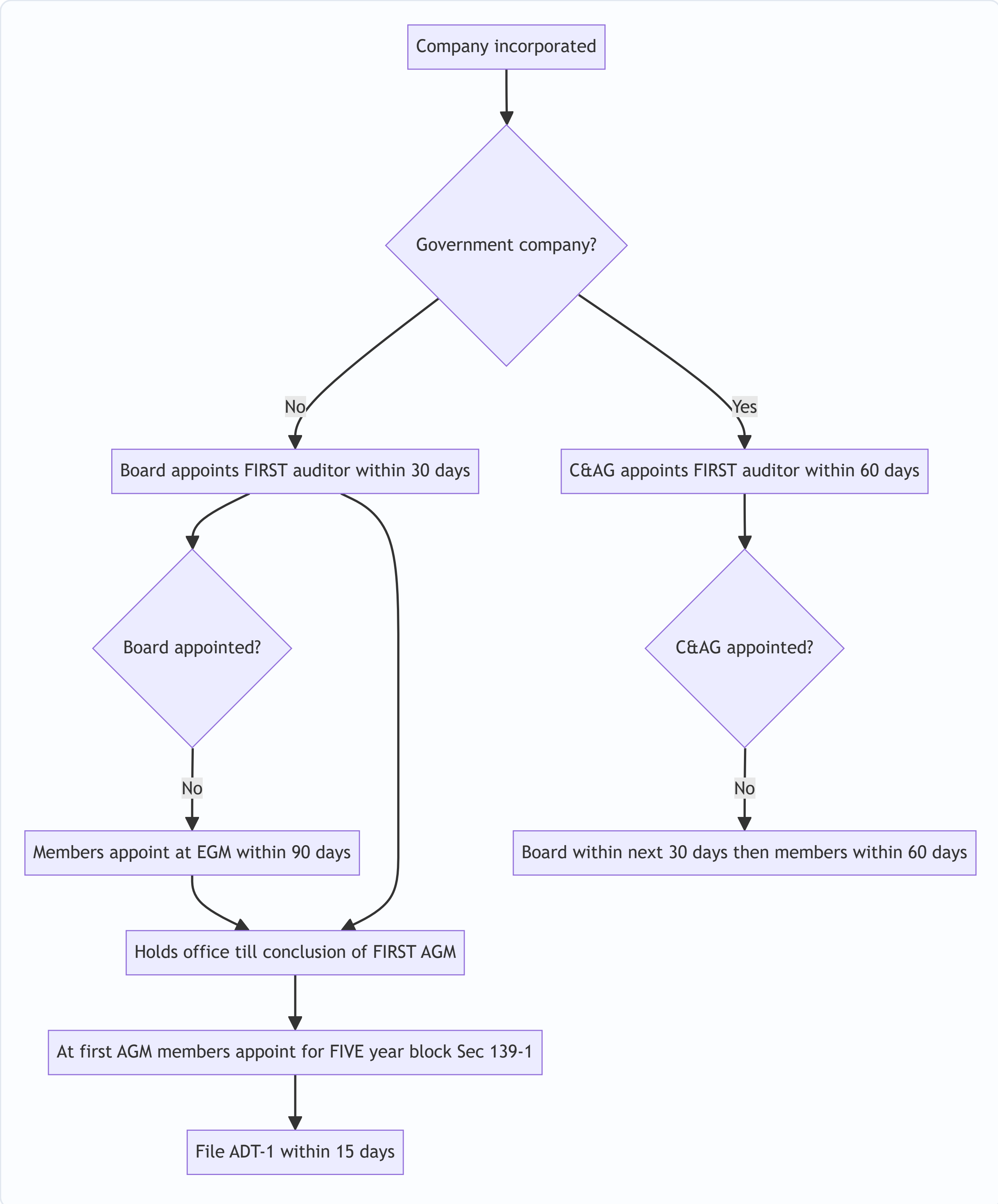

Figure 4.1 — Appointment pathways ensure a company is never left without a watchdog.

(e) Rotation of auditors — Sec 139(2) (the anti-familiarity rule)

Why: An auditor who has served the same client for decades becomes emotionally and commercially embedded — the "familiarity threat". Fresh eyes catch what tired eyes rationalise. So certain classes of company **must rotate**.

Applies to: - Every **listed company**, and - The following **classes of unlisted companies** (Rule 5): - **Unlisted public companies** with **paid-up share capital ≥ ₹10 crore**; - **Private companies** with **paid-up share capital ≥ ₹50 crore**; - **Any company** (public or private) having **public borrowings from banks/financial institutions/public deposits ≥ ₹50 crore**.

Who is carved OUT of rotation: **One Person Companies (OPCs)** and **small companies** are **exempt** from Sec 139(2) rotation regardless of the numbers. This is the same exemption philosophy that runs through the Act — the compliance burden of forced rotation is disproportionate for the smallest entities. Trap: a question may hand you a private company below the ₹50 crore thresholds; such a company is **not** subject to rotation at all.

Rotation limits: - An **individual** auditor may not serve **more than one term of 5 consecutive years**. - An **audit firm** may not serve **more than two terms of 5 consecutive years** (i.e. 10 years). - After the maximum, a **cooling-off period of 5 years** before re-appointment in the same company. - **Common-partner anti-avoidance:** an incoming firm that shares a common partner with the outgoing firm (whose tenure expired) cannot be appointed for the cooling-off period — otherwise firms would just swap names. - **"Same network" anti-avoidance:** the restriction extends to audit firms **under the same network** or operating under a common brand/trade name — you cannot dodge rotation by moving the engagement to a sister firm in the network. - Members may, by resolution, provide for **rotating the audit partner and team** at intervals, or that the firm's audit be conducted by **more than one auditor (joint audit)**. - Transitional rule: companies existing on commencement had **3 years** to comply. - *How past tenure is counted:* the period the individual/firm has **already served before the commencement** of these provisions is **counted** toward the 5/10-year limit. So a firm that had already audited a company for 8 years did not get a fresh 10 years — its remaining runway was reduced. This "look-back" is what makes the rotation real rather than a fresh start for incumbents.

Memory hook: *Individual = 1×5, Firm = 2×5, then sit out 5.*

Worked micro-example on rotation counting. A firm has audited Listed Co since FY 2010-11 continuously. It has completed two 5-year blocks by end of FY 2019-20 (10 years). Can it be re-appointed at the 2020 AGM? **No** — it has exhausted 2×5 and must cool off for **5 years**; the earliest it can return is after five financial years out. During cooling-off, no firm sharing a common partner or in the same network may step in as a substitute. Conclusion: an unrelated firm must be appointed for the next block.

4.2 Sec 140 — Removal, Resignation and the special notice route

Why: The single most dangerous moment for independence is when the auditor is about to say something management hates. If management could just fire the auditor, the watchdog could be muzzled the instant it barks. So removal is deliberately **hard**, resignation is made **transparent**, and a member's right to change the auditor is **procedurally controlled**.

(a) Removal before expiry of term — Sec 140(1) Requires **all** of: 1. A **Board resolution**, then 2. **Application to the Central Government** (Form ADT-2) within **30 days** of the Board resolution, then 3. A

special resolution of members within **60 days** of receiving CG approval, and 4. The auditor must be given a **reasonable opportunity of being heard**.

Why the CG gate: it inserts a neutral outsider between management and the sack, so an honest auditor cannot be quietly removed for doing the job.

Sequence trap — the order is fixed. Board resolution **first**, then CG application, then special resolution. A common wrong answer flips it (special resolution first). The special resolution is passed **after** CG approval; passing it before is procedurally void. Also note **both** a Board resolution *and* a special resolution are needed — an ordinary resolution never suffices for removal before term.

(b) Resignation — Sec 140(2) & (3) - A resigning auditor must file **Form ADT-3** with the company and the Registrar (and with the C&AG for Government companies) within **30 days** of resignation, stating the **reasons and facts** for resigning. - Penalty for default: **₹50,000 or the auditor's remuneration, whichever is less**, plus **₹500 per day** of continuing default (capped — confirm the current cap of ₹5 lakh in the bare Act). *(verify current figures in latest ICAI material / bare Act)* - *Why:* a corrupt resignation ("I quit for personal reasons") could hide the fact that the auditor fled rather than sign off on fraud. Forcing disclosure of *reasons* exposes it. - *Who is penalised?* The **auditor** (the resigning person/firm) bears this penalty — not the company. Contrast the removal default, where the company/officers are exposed. Match the defaulter to the duty.

(c) Auditor NOT re-appointed — right to representation — Sec 140(4) Where a **special notice** is given for a resolution appointing *someone other than the retiring auditor*, or expressly providing that the retiring auditor shall **not** be re-appointed: - The company must send a copy to the **retiring auditor**. - The retiring auditor may make a **written representation** and require it to be **circulated to members**; if not circulated in time, it must be **read out at the meeting**. - *Safety valve against abuse of the representation right:* on the company's or any aggrieved person's application, the **Tribunal** may order that the representation **need not be circulated or read out** if satisfied the right is being **abused to secure needless publicity for defamatory matter**. So the megaphone is not unconditional — it can be silenced by the NCLT if misused. - *Why:* gives the ousted watchdog a megaphone to the owners, so a whistle-blowing auditor cannot be silently swapped out. - *Key contrast with 140(1):* this is **NOT removal**. The auditor's term is ending naturally (or a fresh appointment is proposed); the members are simply choosing not to continue them. Hence **no CG approval and no special resolution** — a **special notice** plus an **ordinary resolution** at the meeting suffices. The single most common cross-wiring in the exam is confusing 140(1) (removal mid-term: CG + special resolution) with 140(4) (non-reappointment at term end: special notice + representation).

(d) Tribunal-ordered removal — Sec 140(5) If the **Tribunal (NCLT)** is satisfied — on its own motion or on application by the CG or any person — that the auditor has **acted fraudulently or abetted/colluded in fraud**, it may **direct the company to change the auditor**. An auditor removed this way is **debarred for 5 years** and is liable under Sec 447 (fraud). - *Interim power:* where the CG applies, the Tribunal may order that the auditor **cannot function as auditor** and the CG may appoint another auditor in the interim. - *Debarment scope:* the 5-year bar applies to the individual **or firm**; and where a firm's partner acted fraudulently with connivance, the firm too is liable jointly and severally. *Why:* the state needs a fast route to eject a captured or crooked auditor without waiting for the members.

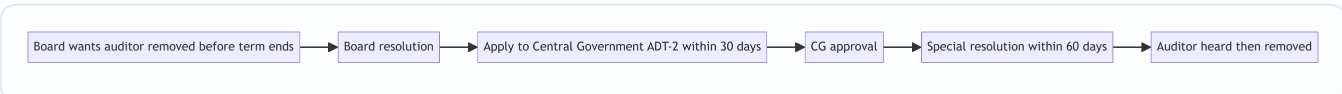

Figure 4.2 — Removal is deliberately slow and gated so honest auditors cannot be muzzled.

The three "ways an auditor leaves" — never confuse them. This is the single most examined distinction in the chapter, so hold all three side by side:

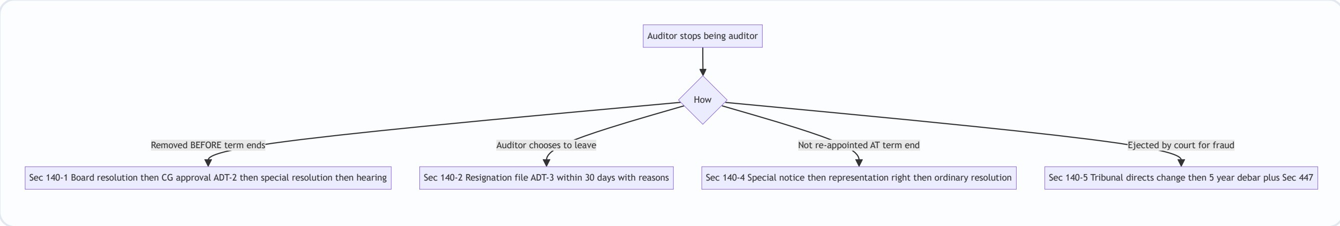

Figure 4.3 — Four exits with four completely different procedures.

4.3 Sec 141 — Eligibility, Qualifications and Disqualifications

Why: Two separate threats. (1) **Competence** — an unqualified person cannot detect sophisticated fraud, so only a **Chartered Accountant** may audit. (2) **Independence** — a qualified person who is financially or personally entangled with the client will not *want* to detect fraud, so a long list of relationships disqualifies.

Eligibility — Sec 141(1) & (2): - Only a person who is a **Chartered Accountant** (holding a certificate of practice under the CA Act 1949) is qualified. - A **firm** (including an **LLP**) may be appointed if a **majority of its partners** practising in India are qualified CAs. Only the CA partners may **sign** on behalf of the firm. - *Fine point on mixed firms:* a firm may have some non-CA partners (e.g. an LLP with a company secretary or cost accountant partner) and still be eligible **provided the majority of partners practising in India are CAs**; but the audit report can be signed **only by a CA partner authorised** to do so. So eligibility is a firm-level test; signing is an individual CA-level test.

Disqualifications — Sec 141(3): a person is NOT eligible if they are — - (a) a **body corporate** other than an LLP — *why: limited liability would let the auditor hide behind a corporate veil and dilute accountability;* - (b) an **officer or employee** of the company — *why: you cannot audit yourself;* - (c) a **partner or employee of an officer/employee** of the company — *why: closes the proxy loophole;* - (d) a person (or their **relative or partner**) who — - **holds any security or interest** in the company / its subsidiary / holding / associate / fellow-subsidiary. **Relaxation:** a *relative* may hold securities of **face value up to ₹1,00,000** (Rule 10; a corrective window of 60 days applies if the limit is inadvertently exceeded, e.g. by a bonus/rights issue); - is **indebted** to the company (etc.) for an amount **exceeding ₹5,00,000**; - has given a **guarantee/security** for a third party's debt to the company **exceeding ₹1,00,000**; - *why: any of these gives management money-power over the auditor;* - (e) a person or firm having a **business relationship** (directly or indirectly) with the company / subsidiary / holding / associate — beyond permitted professional/ordinary commercial arm's-length transactions — *why: a commercial dependence is a leash;* - (f) a person whose **relative is a director or is in the employment of the company as a director or KMP** — *why: family loyalty defeats independence;* - (g) a person in **full-time employment elsewhere**, OR who (with partners) already holds appointment as auditor of **more than 20 companies** (the ceiling; excludes OPCs, dormant, small companies and private companies with paid-up capital < ₹100 crore for counting purposes) — *why: an overloaded auditor cannot do a real audit;* - (h) a person **convicted of an offence involving fraud** and **less than 10 years** have elapsed since conviction — *why: a proven fraudster is unfit to certify honesty;* - (i) a person who, directly or indirectly, renders **prohibited services under Sec 144** — links the disqualification list to the non-audit-services ban.

"Relative" — the precise net (Sec 2(77) + Rules). Disqualification (d) and (f) turn on who counts as a *relative*. A relative means members of a **Hindu Undivided Family**, **spouse**, and persons related in the

prescribed manner — the prescribed list is: **father (incl. step-father), mother (incl. step-mother), son (incl. step-son), son's wife, daughter, daughter's husband, brother (incl. step-brother), sister (incl. step-sister).** Trap: a **cousin, nephew, uncle, or son-in-law's relatives** are **not** relatives for this purpose; and note the list is **not fully symmetric** (e.g. brother's wife is generally not covered). If a question puts securities in the hands of the auditor's *brother* — covered; in the hands of a *cousin* — not covered.

The security/indebtedness limits — read them precisely. Three separate figures, three separate persons-in-scope, and one crucial asymmetry: - **Securities/interest (₹1 lakh face value):** the base rule bars *any* holding by the **auditor, relative or partner**; the **₹1 lakh relaxation applies ONLY to a relative**, not to the auditor or partner themselves. So if the **auditor personally** holds even one share, they are disqualified — there is **no** ₹1 lakh cushion for the auditor. The cushion is a concession to the fact that an auditor cannot fully control a relative's investments. - **Indebtedness (exceeds ₹5 lakh):** disqualified if the auditor/relative/partner **owes** the company (or its holding/subsidiary/associate) more than ₹5 lakh. *Direction matters:* this is the auditor **owing** the company. A normal creditor relationship (the company owing the auditor fees) is not this disqualification. - **Guarantee/security (exceeds ₹1 lakh):** disqualified if they have given a guarantee or provided security for a **third party's** indebtedness to the company beyond ₹1 lakh.

Vacation of office — Sec 141(4): if an auditor **incurs any Sec 141(3) disqualification after appointment**, they must **vacate office immediately**, and it is treated as a **casual vacancy** (filled under Sec 139(8)). *Why immediate:* independence is a **continuing** condition, not a one-time entry test. An auditor who buys shares in the client mid-term, or whose daughter marries a director, becomes disqualified the moment it happens.

Casual vacancy — Sec 139(8) (worth memorising because it interlocks with 141(4)): - Caused by **resignation** → filled by **Board within 30 days** AND **approved by members at a general meeting within 3 months** of the Board's recommendation; holds office till the next AGM. - Caused by any **other reason** (death, disqualification, etc.) → filled by the **Board within 30 days**. - In a **Government company** → filled by the **C&AG within 30 days**; failing which the Board within next 30 days. - *Why resignation needs member approval but other causes don't:* resignation is a **voluntary** act that could conceal a dispute with management, so the members are brought in to bless the replacement; death/disqualification are **involuntary** events with nothing to hide, so the Board alone plugs the gap quickly.

Memory hook for the money limits: *"1-5-1": relative securities ₹1 lakh, indebtedness ₹5 lakh, guarantee ₹1 lakh.* Ceiling of companies = **20**.

The 20-company ceiling — how to count correctly. The ceiling in 141(3)(g) is **per individual CA** (20 companies), and for a **firm** it is **20 per partner** who is a CA and not otherwise disqualified. What you **exclude** from the count: **OPCs, small companies, dormant companies, and private companies with paid-up capital below ₹100 crore.** So a CA can audit hundreds of small/OPC/dormant entities and still have 20 slots for the countable classes. Trap: an examiner lists "auditor of 22 companies" but several are OPCs or small companies — after excluding them the countable figure may be well under 20, so no breach.

4.4 Sec 142 — Remuneration of Auditor

Why: Whoever controls the auditor's pay controls the auditor. So the *fixing* of remuneration is tied back to the appointing body. - Remuneration is fixed in the **general meeting** or in the manner the meeting determines (the first auditor's remuneration may be fixed by the **Board**). - It **includes** expenses incurred in connection with the audit and any facility extended, but **excludes** any sum paid for **other services** rendered at the company's request. - *Why the exclusion is stated:* it forces a clean line between audit fees and other-service fees — the very entanglement Sec 144 targets. It also stops management from dressing up a fat "consulting fee" as audit remuneration to inflate the auditor's dependence quietly. - *Fine point:* although members fix remuneration, the **Board fixes the first auditor's** pay because there are no members-in-AGM yet at that stage — the same logic as the Board appointing the first auditor. And where an Audit Committee exists (Sec 177), remuneration typically flows on its recommendation. The examinable one-liner: **first auditor's remuneration = Board; thereafter = general meeting (or as it determines).**

4.5 Sec 143 — Powers and Duties of Auditors

Why: A duty to certify the truth is meaningless without the *power* to reach the truth, and a power to inspect is pointless without a *duty* to report honestly. Sec 143 supplies both blades.

Powers — Sec 143(1): - **Right of access at all times** to the **books of account and vouchers** of the company, wherever kept, and of its **subsidiaries and associate companies** (to the extent needed for consolidation). - **Right to require information and explanation** from officers as the auditor thinks necessary — with specific inquiry duties (loans properly secured, whether book entries are prejudicial, whether personal expenses charged to revenue, whether shares allotted for cash actually received cash, etc.). - *Why "at all times":* management must not be able to stall by saying "come back later"; delay is the friend of fraud. - *The proviso (subsidiary access) is a right, not a courtesy:* the parent's auditor's right of access to a subsidiary's records exists so that consolidated financial statements can be honestly audited — a parent could otherwise hide losses inside a subsidiary the parent auditor cannot see.

Duty — the audit report — Sec 143(2) & (3): The auditor reports **to the members** on the accounts and on every financial statement, stating whether they give a **true and fair view**. The report must state, among other things: - whether they obtained all **information and explanations** necessary; - whether **proper books of account** have been kept; - whether the balance sheet and P&L **agree with the books**; - whether the accounts comply with **accounting standards**; - any **observation or qualification** and its effect; - whether any director is **disqualified from being a director** under Sec 164(2); - whether the company has **adequate internal financial controls (IFC)** and their operating effectiveness (for applicable companies); - **disclosure of any pending litigation, foreseeable losses on long-term contracts including derivatives, delays in transferring amounts to the Investor Education and Protection Fund**, etc. (Rule 11). - *Why report to members:* re-states the core idea — the auditor serves the owners, not the Board.

The four types of audit opinion (heavily examined as theory). "True and fair" is not binary; the auditor calibrates the report to what they found: - **Unmodified (clean) opinion** — accounts give a true and fair view. - **Qualified opinion** — "true and fair **except for**" a specific matter that is material but **not pervasive**. - **Adverse opinion** — the accounts do **not** give a true and fair view; the misstatement is **material and pervasive**. - **Disclaimer of opinion** — the auditor **cannot form** an opinion (e.g. denied access, insufficient evidence) — the matter is pervasive to the auditor's ability to conclude. *Why the graded scale matters:* it lets the auditor tell the owners *precisely how bad* the problem is. Trap: a "disclaimer" is about **lack of evidence**, an "adverse" is about **presence of material error** — do not swap them.

Duty when the answer is unsatisfactory — Sec 143(3) proviso / (4): where any of the required matters is answered **in the negative or with a qualification**, the report must state the **reasons** for it. A qualification without reasons is itself a defective report.

The "true and fair" duty & CARO: the government also mandates the **Companies (Auditor's Report) Order (CARO 2020)** for prescribed companies, requiring the auditor to comment on specific risk areas (fixed assets/property, inventory, related-party loans, statutory dues, fraud reported, whistle-blower complaints, etc.). *Why: a free-form report let auditors bury bad news; CARO forces a checklist of the areas fraud usually hides in. Who is exempt from CARO:* banking companies, insurance companies, Sec 8 (charitable) companies, OPCs, small companies, and certain small private companies — the reporting burden is aimed at entities with public/creditor stakes.

Duty to sign — Sec 145: only the person appointed as auditor (or a partner so authorised) may **sign** the report; qualifications/observations/adverse remarks are **read before the company in general meeting** and are **open to inspection** by members.

Right to attend meetings — Sec 146: the auditor is entitled to receive notice of and attend **general meetings** (personally or through an authorised representative who is qualified to be an auditor) and be heard on any part concerning them. *Why: so the auditor can defend a qualified report directly to the owners, not have it spun by management. Trap:* attendance is a **right, not always a duty** — the Act lets the company require the auditor's attendance, but the core point examiners test is the **right** to attend and be heard, which management cannot deny.

Fraud reporting — Sec 143(12) (the gatekeeper duty — heavily examined): If, in the course of the audit, the auditor has **reason to believe** an **offence of fraud** is being or has been committed **against the company by officers or employees**: - If the amount is **₹1 crore or more** → report to the **Central Government** (route: to the Board/Audit Committee first for reply within **45 days**, then to the CG within **15 days** along with the reply, in **Form ADT-4**) within the prescribed time. - If the amount is **less than ₹1 crore** → report to the **Board or Audit Committee** within **2 days**, and the matter is **disclosed in the Board's Report** (nature, amount, parties involved, remedial action). - Failure to report is punishable under **Sec 143(15)** — for a listed company **₹5 lakh** and for others **₹1 lakh** (fine range; *verify current figures in the bare Act*). - **Protection:** no auditor is liable for anything done or said in **good faith** in reporting; and the duty extends to **cost auditors, secretarial auditors and branch auditors** too. - *Scope trap 1 — "against the company":* the duty is triggered by fraud **against the company by its officers/employees**. Fraud **by the company against third parties** is not the trigger of 143(12) (though it may surface elsewhere). Read the direction of the fraud. - *Scope trap 2 — "reason to believe":* the trigger is **reason to believe**, a lower bar than proof. The auditor does not wait for certainty; a well-grounded suspicion during the audit activates the duty. - *Why:* pre-2013, auditors could see fraud and stay silent ("not my job to police management"). Sec 143(12) converts the auditor into an **active whistle-blower** — the direct legislative response to Satyam.

Branch audit — Sec 143(8): - Accounts of a **branch** may be audited by the **company's auditor** OR by **another qualified person** (a "branch auditor") appointed under Sec 139. - A **foreign branch** may be audited by the company's auditor or by a person qualified under the **laws of that foreign country** (an accountant duly qualified there). - The **branch auditor sends a report to the company's (principal) auditor**, who deals with it in the main audit report **as they consider necessary**. - *Why:* a company may have branches across the country/world that one auditor cannot physically cover; but the **principal auditor stays responsible for consolidation**, so accountability is not fragmented. The principal auditor is **not automatically bound** by the branch report — they exercise their own judgement on how to treat it.

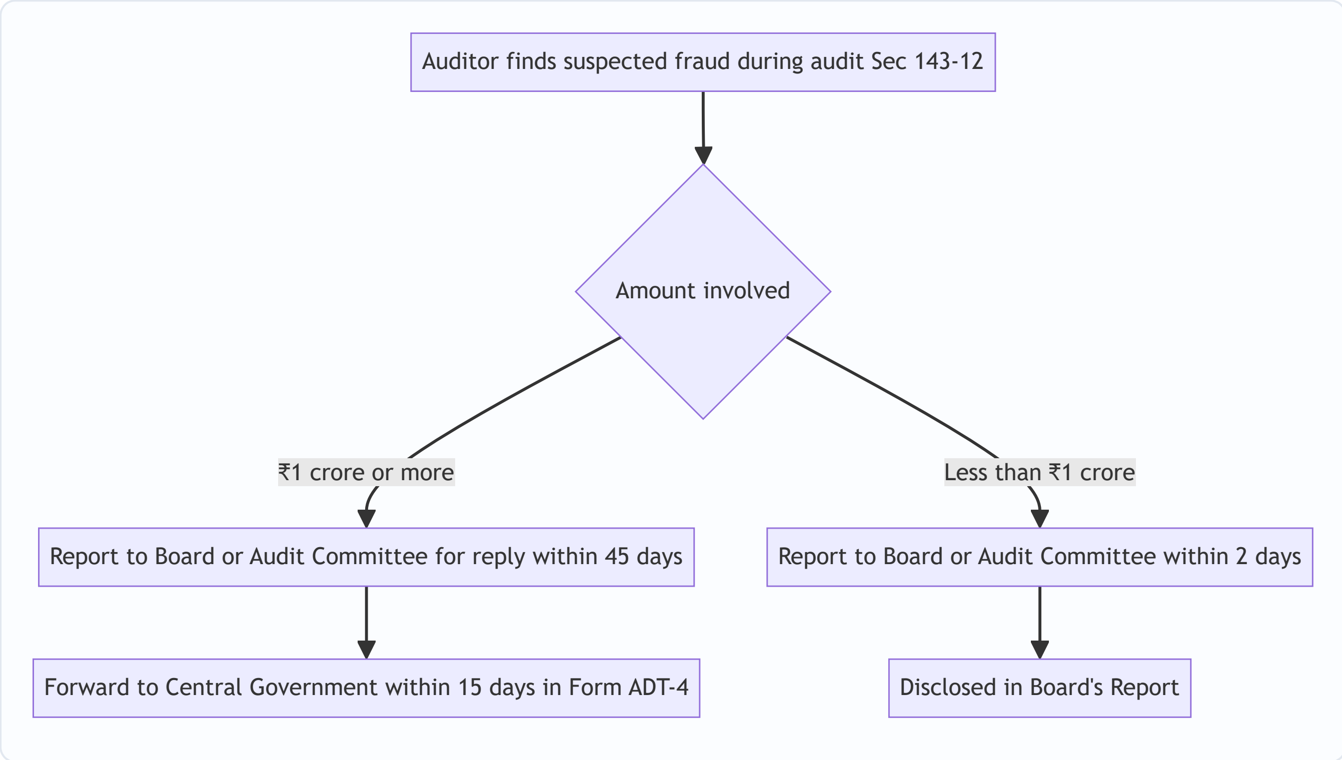

Figure 4.4 — The fraud-reporting duty turns the auditor from passive certifier into gatekeeper.

4.6 Sec 144 — Auditor NOT to render certain services (the independence firewall)

Why: The deepest capture is not a bribe — it is a **conflict of interest disguised as extra business**. If the same firm designs a company's accounting system, keeps its books, values its assets, then *audits* those very outputs, it is grading its own work and will never flag its own mistakes. Sec 144 draws a firewall: an auditor may not, directly or indirectly, render the following **prohibited services** to the company, its **holding** or **subsidiary**:

1. **Accounting and book-keeping** services;
2. **Internal audit**;
3. **Design and implementation of any financial information system**;
4. **Actuarial** services;
5. **Investment advisory** services;
6. **Investment banking** services;
7. **Rendering of outsourced financial services**;
8. **Management services**;
9. **Any other service prescribed**.

"Directly or indirectly" is defined widely to catch services rendered through **relatives, the auditor's firm, its network, or any entity in which the auditor has significant influence** — closing the "we'll just route it through an affiliate" loophole. Precisely, for an **individual** auditor it captures services rendered by the auditor, their **relative** or **any entity in which the auditor/relative has interest**; for a **firm** it captures services by the firm, its **partners**, its **parent/subsidiary/associate** entity, or **any entity whose name/brand/trademark** is used by the firm. - *Why the exact list:* each item is a service whose *output the auditor would otherwise have to audit* — self-review threat (accounting, book-keeping, internal audit, FIS design) — or which makes the auditor an **advocate** for the client (investment banking/advisory). Permitted work (e.g. tax representation, statutory certification the law requires, other attest services) stays allowed because it does not create a self-review or advocacy conflict. - *The transition each auditor had to make:* auditors already providing these services when the section came into force had to **cease before the first financial year** on/after commencement. So the firewall applied prospectively but promptly. - **Memory hook:** *"A-I-D-A-I-I-O-M" — Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management."* - *Trap — what is NOT on the list:* **tax representation/return filing, statutory certifications required by law, and other permitted attest services are allowed** (subject to the Board/Audit Committee approving them). Examiners bait with "the auditor also files the company's tax returns — is this barred?" — generally **no**, tax work is not in the Sec 144 list, though good governance routes it through the Audit Committee.

4.7 Sec 147 — Punishment / Auditor Liability

Why: A duty with no penalty is advice. Liability is what makes the watchdog bite.

Company default (Sec 147(1)): if a company contravenes Secs 139–146, the **company** is liable to fine (₹25,000–₹5,00,000) and **every officer in default** to fine (₹10,000–₹1,00,000) — *confirm current figures.*

Auditor default (Sec 147(2)): - If an auditor contravenes Sec 139, 143, 144 or 145 → fine **₹25,000 to ₹5,00,000** or **four times the remuneration, whichever is less**. - If the contravention was **wilful and with intent to deceive** the company/shareholders/creditors/tax authorities → **imprisonment up to 1 year + fine ₹50,000 up to ₹25,00,000 (or 8× remuneration, whichever is less)**. *(verify current figures)* - *The two-tier design:* an **honest mistake or negligence** attracts only a fine; **wilful deceit** adds **imprisonment**. The dividing line is *mens rea* (intent) — the same distinction that runs through the whole penal scheme of the Act.

Consequences of a wilful/fraudulent default — Sec 147(3): - **Refund the remuneration** received; and - **Pay damages** to the company, statutory bodies or any person for loss arising from **incorrect or misleading statements** in the audit report.

Firm-level liability — Sec 147(4)/(5): where the auditor is a **firm** and the wrongdoing was committed **knowingly or with the connivance of a partner**, the **firm and the concerned partner(s) are jointly and severally liable** civilly and criminally. - *Why joint-and-several partner liability:* stops a firm from ring-fencing the guilty partner and hiding behind the entity. But note the **criminal** liability attaches to the **partner(s) who acted or connived**, not automatically to innocent partners — criminal guilt needs personal fault; civil joint-and-several liability is broader.

Other liability channels: - **Sec 447 (fraud)** — for fraudulent conduct, imprisonment **6 months to 10 years** + fine of the amount involved up to **3× the amount involved** (minimum imprisonment rises to 3 years where the fraud involves public interest). *Verify current figures.* - **Sec 245 — class action** — members/depositors may sue the auditor/audit firm for damages for any improper or misleading statement or fraudulent/unlawful conduct. Where the firm is sued, liability can attach to the **firm and each responsible partner**. - **NFRA (Sec 132)** — the **National Financial Reporting Authority** can investigate professional misconduct of auditors of prescribed (large/listed) companies, **debar** an auditor/firm for **6 months to 10 years**, and impose monetary penalties (for individuals and firms). Once NFRA takes up a matter, **ICAI's disciplinary jurisdiction over that matter is ousted** — a frequently tested "who regulates whom" point. *Why NFRA exists:* after major scandals, self-regulation by ICAI alone was seen as insufficient for the biggest companies; NFRA is an **independent public regulator** of auditors. - **Professional misconduct under the Chartered Accountants Act 1949** — disciplinary action by ICAI for auditors of companies **outside** NFRA's remit.

The liability ladder (from lightest to gravest). Carry this ordering — examiners ask "what liabilities can an errant auditor face?":

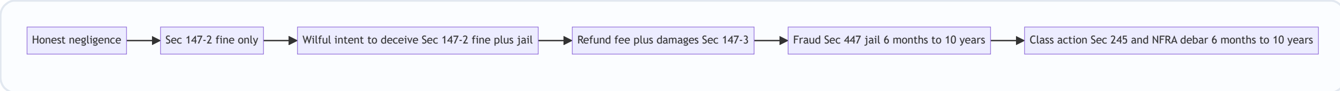

Figure 4.5 — Auditor liability escalates with intent, from a fine to jail to debarment.

4.8 Sec 148 — Cost Records and Cost Audit (basics)

Why: In regulated or resource-heavy industries (power, telecom, pharma, cement, sugar, fertilisers, defence, etc.), the *cost* of production is a matter of **public interest** — it feeds price regulation, subsidy claims, anti-dumping and consumer protection. A normal financial audit checks whether the accounts are true and fair; it does **not** verify whether the *costing* is honest. So the Act creates a **separate cost audit**.

- The **Central Government** may, by order, direct that specified classes of companies (engaged in **production of prescribed goods or provision of prescribed services**) maintain **cost records** in their books, subject to turnover/thresholds prescribed in the **Companies (Cost Records and Audit) Rules 2014**.
- Where required, the audit of such cost records is done by a **Cost Accountant** (member of the Institute of Cost Accountants of India) — **not a Chartered Accountant**. *Why: costing is the cost accountant's professional domain.*
- The **cost auditor is appointed by the Board** (on the Audit Committee's recommendation where applicable) — **contrast with the financial auditor appointed by members**. Remuneration is **fixed by the Board and ratified by members** (mirror-image of the financial auditor, where members fix and — historically — ratified).
- **Disqualifications:** a person disqualified under Sec 141 cannot be a cost auditor; and the **financial (statutory) auditor cannot also be the cost auditor** — same self-review firewall logic as Sec 144.
- The cost auditor submits the **cost audit report to the Board (Form CRA-3)**; the company files it with the **Central Government (Form CRA-4)** within the prescribed time (30 days of receipt from the cost auditor). Cost records are maintained in **Form CRA-1**; the cost auditor is appointed via **Form CRA-2**.
- The provisions of **Sec 143** (powers/duties) apply to a cost auditor **as they apply to a financial auditor** — so the cost auditor has the same access and reporting spine, **including the Sec 143(12) fraud-reporting duty.**
- *Two-threshold logic in the Rules:* the Rules typically set **one threshold for maintaining cost records** and a **higher threshold for cost audit** — a company may have to keep records without being subject to a full cost audit. (*Verify current turnover limits in the latest Cost Records and Audit Rules.*)

Memory hook: *Financial audit = CA, appointed by members, is the account true and fair. Cost audit = Cost Accountant, appointed by Board, is the costing honest. CRA-1 records, CRA-2 appoint, CRA-3 report to Board, CRA-4 file with CG.*

Financial auditor vs cost auditor — the exam contrast table:

Dimension	Financial (statutory) auditor	Cost auditor
Who is eligible	Chartered Accountant / CA firm	Cost Accountant (ICMAI)
Governing sections	139–147	148 (with 143 applied)
Appointed by	**Members** (first auditor by Board)	**Board** (AC recommendation)
Remuneration	Members / general meeting	Board, **ratified by members**
Reports to	**Members**	**Board** (then company files with CG)
Certifies	Accounts true and fair	Cost records maintained and correct
Key forms	ADT-1 to ADT-4	CRA-1 to CRA-4

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5. Applied Scenarios (facts → analysis → conclusion)

Scenario A — The relative's shares. *Facts:* CA Ramesh is proposed as auditor of Zeta Ltd. His wife holds equity shares in Zeta Ltd of **face value ₹1,60,000**. *Analysis:* Sec 141(3)(d)(i) disqualifies a person if the person, **or their relative or partner**, holds any security in the company. A **relative** is allowed a corrective face-value limit of **₹1,00,000** (Rule 10). ₹1,60,000 exceeds that limit. (Note the limit is on **face value**, not market value — a classic trap.) A spouse is a "relative" under Sec 2(77). *Conclusion:* Ramesh is **disqualified**. He can be appointed only if the excess holding is corrected within the prescribed **60-day** window; otherwise he must vacate/decline.

Scenario B — The consulting firm that also audits. *Facts:* PQR & Associates are the statutory auditors of Nova Ltd. Nova's Board asks them to **design and implement Nova's new ERP-based financial information system** for a separate fee. *Analysis:* Sec 144 prohibits an auditor from rendering **"design and implementation of any financial information system"** to the audited company, directly or indirectly. Auditing a financial system you built yourself is self-review — the very conflict the firewall blocks. *Conclusion:* PQR & Associates **cannot** provide that service while acting as auditor. Doing so would breach Sec 144, trigger disqualification under Sec 141(3)(i) and penalties under Sec 147.

Scenario C — The auditor who smells fraud. *Facts:* During the audit of Orion Ltd, auditor CA Sneha finds strong evidence that the CFO has siphoned **₹3.2 crore** through fake vendors. *Analysis:* Sec 143(12) requires an auditor with reason to believe an offence of fraud against the company by an officer/employee to report it. Since the amount is **₹1 crore or more**, the route is: report to the **Board/Audit Committee** seeking a reply within **45 days**, then forward to the **Central Government within 15 days in Form ADT-4**. Silence attracts penalty under Sec 143(15); good-faith reporting is protected. *Conclusion:* Sneha **must** report to the CG via the ADT-4 route. She is not liable for reporting in good faith; she **would** be liable for failing to report.

Scenario D — Management tries to sack the auditor mid-term. *Facts:* The Board of Delta Ltd, unhappy that its auditor intends to qualify the accounts, passes a resolution to remove the auditor and appoint a friendlier firm immediately. *Analysis:* Removal **before expiry of term** requires the full Sec 140(1) gauntlet: Board resolution → **application to the Central Government (ADT-2) within 30 days** → **special resolution** of members within 60 days of CG approval → auditor given a **reasonable opportunity of being heard**. A Board resolution alone is void. *Conclusion:* Delta cannot remove the auditor by Board action. Without CG approval and a special resolution, the removal is **invalid** — the safeguard exists precisely to stop this.

Scenario E — Too many audits. *Facts:* CA Vikram already holds appointment as auditor in **19 companies** (excluding OPCs, small and dormant companies). Two public companies each with paid-up capital ₹200 crore now offer him appointment. *Analysis:* Sec 141(3)(g) caps a person at **20 companies** for the countable classes. He has 19 countable; both offered companies (paid-up ₹200 crore, so ≥ ₹100 crore) are **countable**. Accepting **both** would make 21. *Conclusion:* He may accept **one** (reaching 20) but **not both**. Accepting both would disqualify him.

Scenario F — The indebtedness trap with direction and threshold. *Facts:* CA Meera is proposed as auditor of Helix Ltd. (i) She has taken a car loan of **₹6,00,000** from Helix Ltd. In a variant, (ii) she has taken **₹4,00,000**; in another variant, (iii) it is Helix Ltd that owes **her** ₹6,00,000 in unpaid professional fees. *Analysis:* Sec 141(3)(d)(ii) disqualifies where the auditor is **indebted to the company exceeding ₹5,00,000**. (i) ₹6,00,000 owed **by** her **to** Helix exceeds ₹5,00,000 → **disqualified**. (ii) ₹4,00,000 is within the ₹5,00,000 limit → **not** disqualified on this ground. (iii) The direction is reversed — the **company owes her**; this is not "indebtedness of the auditor" under (d)(ii), so this ground does not disqualify (though excessive/unusual dues could raise a business-relationship question under (e)). *Conclusion:* Disqualified in variant (i); eligible in (ii) and (iii) on this ground. *Lesson:* check **both** the amount and the **direction** of the debt.

Scenario G — Firm rotation with a common partner. *Facts:* AB & Co has audited Listed Star Ltd for two consecutive 5-year terms (10 years) and must rotate off. Star's Board proposes to appoint **CD & Co**, which shares one common partner, Mr. X, with AB & Co. *Analysis:* Sec 139(2) imposes a **5-year cooling-off** on AB & Co, and the **common-partner anti-avoidance** rule bars appointing a firm that has a **common partner** with the outgoing firm during the cooling-off period. CD & Co shares partner X with AB & Co. *Conclusion:* CD & Co **cannot** be appointed during AB & Co's cooling-off period. Star must appoint a firm with **no common partner** (and not in AB & Co's network). *Variant:* if Mr. X **retires from AB & Co** before the appointment so there is no longer a common partner, the bar on that specific ground falls away — but network-firm and brand-name restrictions still apply.

Scenario H — Casual vacancy: resignation vs death. *Facts:* (i) The auditor of Comet Ltd **resigns** mid-term. (ii) In a variant, the auditor **dies** mid-term. *Analysis:* Sec 139(8): a casual vacancy by **resignation** is filled by the **Board within 30 days and** must be **approved by members** at a general meeting within **3 months** of the Board's recommendation. A vacancy by **any other cause** (death, disqualification) is filled by the **Board within 30 days** — **no** separate member approval required. *Conclusion:* (i) Board fills within 30 days **plus** members approve within 3 months; holds office till next AGM. (ii) Board alone fills within 30 days. *Lesson:* resignation is voluntary and possibly contentious, so members are brought in; death is involuntary, so speed alone matters.

Scenario I — Non-reappointment, not removal. *Facts:* At the AGM of Nimbus Ltd, some members want to appoint a **new** firm instead of the retiring auditor. They give **special notice** for a resolution to that effect. *Analysis:* This is **Sec 140(4)** (not re-appointing a retiring auditor), **not** Sec 140(1) removal. Requirements: special notice → company sends a copy to the retiring auditor → the retiring auditor may make a **written representation** and require it circulated/read out → decision by **ordinary resolution**. **No CG approval and no special resolution** are needed. If the representation is being used to secure needless defamatory publicity, the Tribunal may order it not be circulated. *Conclusion:* The retiring auditor can be replaced by **ordinary resolution** with representation rights; management/members do **not** need CG sanction because the term is ending, not being cut short.

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6. Procedure / Compliance Summary

Appointment of first auditor (non-Govt): Board meeting within 30 days → pass resolution → obtain written consent + Sec 139(1) certificate → intimate auditor → (no ADT-1 mandatory for first auditor per general view; confirm) holds office till first AGM.

Appointment of subsequent auditor: Obtain consent + eligibility certificate (Rule 4) → members pass ordinary resolution at AGM for 5-year block → company intimates auditor → **file Form ADT-1 within 15 days**.

Casual vacancy (resignation): Board fills within 30 days → members approve within 3 months → holds office till next AGM.

Casual vacancy (other cause, e.g. death/disqualification): Board fills within 30 days (no member approval needed).

Removal before term: Board resolution → **ADT-2 to CG within 30 days** → CG approval → special resolution within 60 days → opportunity of hearing.

Non-reappointment (retiring auditor): Special notice → copy to retiring auditor → representation circulated/read out → ordinary resolution (no CG, no special resolution).

Resignation: Auditor files **ADT-3 within 30 days** stating reasons (with C&AG too, for Govt companies).

Fraud report (≥₹1 cr): Board/Audit Committee (45-day reply window) → **ADT-4 to CG within 15 days**.

Fraud report (<₹1 cr): Board/Audit Committee within 2 days → disclosed in Board's Report.

Cost audit: Board appoints cost auditor (**CRA-2**) → records in **CRA-1** → report to Board (**CRA-3**) → file with CG (**CRA-4**).

Form	Purpose
ADT-1	Notice of appointment of auditor to Registrar (by the **company**, within 15 days)
ADT-2	Application to CG for removal of auditor before term
ADT-3	Notice of resignation by auditor (by the **auditor**, within 30 days, with reasons)
ADT-4	Report of fraud (≥₹1 crore) to Central Government
CRA-1 / CRA-2 / CRA-3 / CRA-4	Cost records / appointment / cost audit report to Board / filing with CG

7. Connections — how this chapter wires into the rest of the Act

- **Sec 128–129 (Books of account & financial statements):** the auditor audits what these sections require management to prepare. The duty in 143 presupposes the records in 128.
- **Sec 133 (Accounting Standards):** the benchmark against which the auditor tests "true and fair"; a departure must be reported.
- **Sec 134 (Board's Report):** small frauds (<₹1 cr) reported under 143(12) are disclosed here; the auditor's qualifications feed the Board's responsibility statement.
- **Sec 164(2) (Director disqualification):** the auditor must state in the report whether any director is disqualified — the audit is a checkpoint for board hygiene too.

- **Sec 177 (Audit Committee):** in prescribed companies the Audit Committee recommends appointment/remuneration of the auditor, approves permitted non-audit services, and receives fraud reports — an extra independence layer between management and auditor.
- **Sec 132 (NFRA):** the external regulator that disciplines auditors of large/listed companies and ousts ICAI jurisdiction for those matters.
- **Sec 245 (Class action) & Sec 447 (Fraud):** the liability muscle behind Sec 147.
- **CARO 2020:** the risk-area checklist bolted onto Sec 143.
- **Chartered Accountants Act 1949:** supplies *who* is a CA and the disciplinary machinery for professional misconduct outside NFRA's remit.
- **Cost and Works Accountants Act 1959 (ICMAI):** supplies *who* is a Cost Accountant for Sec 148.

The through-line: every neighbouring section either **feeds the auditor information**, **defines the standard the auditor certifies against**, or **provides the consequence when the auditor or company fails**.

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8. Traps & Examiner Tricks

- **Ratification is gone.** The proviso to Sec 139(1) requiring annual ratification was **omitted (w.e.f. 7 May 2018)**. Old materials still say "ratify at every AGM." For current law, do **not** require ratification.
- **Face value vs market value.** The relative's securities limit (₹1,00,000) is on **face value**. A question giving *market value* is baiting you.
- **Auditor has no ₹1 lakh cushion.** The ₹1 lakh securities relaxation is for a **relative** only. The **auditor/partner** holding *any* security is disqualified.
- **Direction of the debt.** Indebtedness (>₹5 lakh) means the **auditor owes the company**. The company owing the auditor is not this disqualification.
- **Individual vs firm rotation.** Individual = **one** 5-year term; firm = **two** 5-year terms; **then 5-year cooling-off**. Do not mix them up. Past service is **counted** (look-back), not reset.
- **Common partner / same network.** During cooling-off, no firm sharing a common partner **or in the same network / brand** may be appointed.
- **Who appoints whom.** Financial auditor → **members**. First auditor → **Board (30 days)**. Government company → **C&AG**. Cost auditor → **Board**. Casual vacancy by resignation needs **members' approval within 3 months**; by other reasons **Board alone**.
- **Removal vs non-reappointment.** *Removal before term* = Sec 140(1) with **CG approval + special resolution**. Merely **not re-appointing** at AGM via special notice = Sec 140(4) (representation rights, **ordinary resolution**) — no CG approval. Examiners swap these.
- **Sequence of removal.** Board resolution → CG (ADT-2) → special resolution. Passing the special resolution before CG approval is void.
- **Fraud thresholds. ₹1 crore** is the line. ≥₹1 cr → CG via **ADT-4** (45-day + 15-day route). <₹1 cr → Board/Audit Committee within **2 days** + Board's Report. Learn both timelines.
- **"Against the company" fraud only.** Sec 143(12) triggers on fraud **against the company by officers/employees**, on **reason to believe** (not proof).
- **Body corporate can't audit — but LLP can.** Sec 141(3)(a) bars body corporates **other than LLPs**.
- **Sec 144 "directly or indirectly."** Routing a prohibited service through a relative, network firm or affiliate is still a breach. But **tax representation / statutory certification** is **not** on the prohibited list.

- **Government company % test.** ≥51% government holding. 49% is **not** a Government company — C&AG does not appoint.
- **Cost audit ≠ financial audit.** Cost auditor is a **Cost Accountant** appointed by the **Board**; the statutory auditor **cannot** also be the cost auditor. Remuneration = Board **ratified by members**.
- **Ceiling of 20 companies** excludes OPCs, dormant, small companies and (for counting) private companies with paid-up capital below ₹100 crore. For a firm it is **20 per partner**.
- **Opinion types.** Disclaimer = **lack of evidence**; adverse = **material and pervasive error**. Do not swap.
- **"At all times" access** — no examiner should catch you saying the auditor needs permission to inspect books.
- **Who files which form.** Company files **ADT-1**; auditor files **ADT-3**. Mixing these up is a giveaway.
- **NFRA vs ICAI.** For companies within NFRA's remit, NFRA disciplines and **ICAI jurisdiction is ousted** for that matter.

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9. First-Principles Recap

Strip everything away and one sentence remains: **a company separates the people who own the money from the people who spend it, and lets the spenders write the report on the spending — so the law inserts an independent expert, chosen by and reporting to the owners, whom the spenders cannot silence.**

From that single idea, every rule regenerates: - To make the watchdog **loyal to owners** → appoint by members (139), report to members (143), hard to remove (140). - To make it **competent** → only a CA (141(1)). - To make it **independent** → no financial or family hooks (141(3)), no self-review consulting (144), rotate before it goes native (139(2)). - To let it **do the job** → access at all times + power to demand information (143(1)). - To make it **bite** → duty to report fraud (143(12)) and heavy civil/criminal liability plus NFRA (147, 132, 447, 245).

If you forget a threshold, ask "which capture route or blindness is this closing?" and the provision reappears. And if you forget a *procedure*, ask "is management trying to choose, pay, keep, or fire the auditor?" — each verb points to its section (141/139 choose, 142/144 pay, 139(2) keep, 140 fire).

One-line test of understanding. If you can explain *why the first auditor is chosen by the Board but every later auditor by the members*, you have the whole chapter: before the first AGM the owners have not yet assembled, so the only existing organ (the Board) plugs the gap temporarily — but the moment the owners can meet, the power reverts to them, because the auditor is theirs.

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10. Quick-Revision Sheet

Key sections

Section	Deals with
139(1)	Subsequent auditor — members, 5-year block
139(2)	Rotation of auditors
139(5)/(7)	Government company auditor — C&AG
139(6)	First auditor — Board within 30 days
139(8)	Casual vacancy
140(1)	Removal before term — CG + special resolution
140(2)/(3)	Resignation — ADT-3 within 30 days
140(4)	Representation on non-reappointment
140(5)	Tribunal-ordered removal for fraud
141	Eligibility, qualifications, disqualifications
142	Remuneration
143	Powers and duties; 143(8) branch audit; 143(12) fraud reporting
144	Prohibited non-audit services
145	Signing of audit report
146	Right to attend general meetings
147	Punishment / liability
148	Cost records and cost audit
132	NFRA (external regulator)

Key limits and time-frames

Item	Limit / Time
First auditor — Board appoints	within **30 days** of incorporation
First auditor — members (if Board fails)	within **90 days** at EGM
Government first auditor — C&AG	within **60 days**
Government subsequent auditor — C&AG	within **180 days** of FY start
Subsequent auditor term	**5 years** (till 6th AGM)
Rotation — individual / firm	**1×5 yrs / 2×5 yrs**, cooling-off **5 yrs**
ADT-1 filing (by company)	within **15 days** of appointment
Removal application to CG (ADT-2)	within **30 days** of Board resolution
Special resolution after CG approval	within **60 days**
Resignation (ADT-3, by auditor)	within **30 days**
Casual vacancy by resignation — member approval	within **3 months**
Casual vacancy by other cause — Board fills	within **30 days**
Relative's securities (face value)	up to **₹1,00,000** (correct within **60 days** if exceeded)
Indebtedness disqualification	exceeding **₹5,00,000**
Guarantee/security disqualification	exceeding **₹1,00,000**
Ceiling on number of company audits	**20** countable companies (per partner for a firm)
Fraud reporting threshold to CG	**₹1 crore** (ADT-4; 45-day + 15-day route)
Fraud below threshold — to Board/AC	within **2 days**, disclosed in Board's Report
Auditor conviction bar	fraud conviction within last **10 years**
NFRA debarment	**6 months to 10 years**
Cost audit report — company files CRA-4 with CG	within **30 days** of receipt

Rotation rule in one line: *Individual 1×5, firm 2×5, then cool off 5 — no common-partner or same-network swap; past service counts.*

Sec 144 prohibited-services hook: *A-I-D-A-I-I-O-M* (Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management).

Money-limit hook: *1-5-1* — relative securities **₹1 lakh**, indebtedness **₹5 lakh**, guarantee **₹1 lakh**.

Exit routes hook: *Removed (140-1: CG + SR), Resigns (140-2: ADT-3), Not re-appointed (140-4: special notice + representation), Ejected for fraud (140-5: Tribunal + 5-yr bar).*

> Where exact penalty figures or fine caps are stated above, **confirm the current amounts in the latest ICAI study material / bare Act**, as monetary penalties are periodically amended.

Q&A — Audit & Auditors

CA Intermediate — Corporate & Other Laws | Companies Act, 2013 (Chapter X, Sections 139–148) read with the Companies (Audit and Auditors) Rules, 2014.

First-Principles Frame (read before answering)

Shareholders own the company but managers run it. This creates an **agency gap** and a **trust gap** — owners cannot verify the numbers management prepares about itself. The law's answer is an **independent referee**: a statutory auditor who is appointed by the owners (not management), reports to the owners, cannot be casually sacked by management, must be independent (no financial/other links), and is legally liable for negligence. Every section below is a tool to protect that independence. Keep asking: "*Does this rule strengthen or weaken the auditor's independence from the Board?*"

Section A — Concept-Check Questions (with answers)

A1. Who appoints the first auditor of a company (other than a Government company), and within what time? The Board of Directors under **Sec 139(6)** appoints the first auditor within **30 days** of registration. If the Board fails, the members appoint within **90 days** at an extraordinary general meeting. The first auditor holds office till the conclusion of the first Annual General Meeting (AGM).

A2. For how long is a subsequent auditor appointed at the AGM? Under **Sec 139(1)**, an auditor is appointed to hold office from the conclusion of that AGM till the conclusion of the **sixth** AGM (i.e., a five-year term), subject to ratification being *no longer required* (the ratification proviso was omitted by the 2017 amendment).

A3. State the rotation rule under Sec 139(2). Listed companies and prescribed classes of companies cannot appoint/re-appoint (a) an **individual** auditor for more than **one term of 5 consecutive years**, and (b) an **audit firm** for more than **two terms of 5 consecutive years**. A cooling-off period of **5 years** applies before re-appointment.

A4. What is the auditor's core duty under Sec 143(1)? The auditor has a right of access **at all times** to the books, accounts and vouchers of the company (and branches), and may require information from officers. Sec 143(2) requires the auditor to make a report to the members on the accounts giving a **true and fair view**.

A5. Distinguish "eligibility" from "disqualification" under Sec 141. Sec 141(1)–(2) sets **eligibility**: only a Chartered Accountant (or a firm/LLP whose majority partners practising in India are qualified) may be appointed. Sec 141(3) lists **disqualifications** (e.g., body corporate except LLP, officer/employee of the company, indebtedness beyond Rs. 5 lakh, holding security in the company, etc.).

A6. What is the fraud-reporting threshold to the Central Government? Under **Sec 143(12)** read with Rule 13, if fraud involving an amount of **Rs. 1 crore or more** is suspected, the auditor reports to the **Central Government** (via the Board/Audit Committee and then Form ADT-4). Fraud **below Rs. 1 crore** is reported to the **Audit Committee/Board** and disclosed in the Board's Report.

A7. Name any four services prohibited to an auditor under Sec 144. Any four of: accounting and book-keeping; internal audit; design and implementation of financial information systems; actuarial services;

investment advisory/banking services; rendering of outsourced financial services; and management services. These may not be rendered to the company, its holding or subsidiary.

A8. What does Sec 142 govern, and who fixes remuneration? Sec 142 — remuneration of the auditor is fixed in the **general meeting** or in such manner as the meeting may determine. The Board fixes the remuneration of the **first** auditor.

Section B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Indebtedness disqualification. *Facts:* Mr. X, a CA, is proposed as auditor of ABC Ltd. His spouse owes ABC Ltd Rs. 6 lakh on a personal loan. Is Mr. X eligible? *Analysis:* Under **Sec 141(3)(d)(ii)**, a person is disqualified if he, his relative or partner is **indebted** to the company for an amount exceeding **Rs. 5 lakh**. A spouse is a "relative". The debt (Rs. 6 lakh) exceeds the threshold. *Conclusion:* Mr. X is **disqualified** and cannot be appointed auditor of ABC Ltd.

B2. Ceiling on number of audits. *Facts:* CA Ravi is already the auditor of 20 companies (of which 6 are One Person Companies and small companies). PQR Ltd (a public company) offers him its audit. *Analysis:* Under **Sec 141(3)(g)**, an individual cannot be auditor of more than **20 companies**, but OPCs, small companies, dormant companies and private companies having paid-up capital below Rs. 100 crore are **excluded** from the count. Ravi's countable audits = 20 − 6 = 14. *Conclusion:* Ravi has capacity; he **can** accept PQR Ltd's audit as it is within the 20-company ceiling.

B3. Casual vacancy by resignation. *Facts:* The auditor of LMN Ltd (a non-Government company) resigns mid-term. How and when is the vacancy filled? *Analysis:* Under **Sec 139(8)(i)**, a casual vacancy caused by **resignation** is filled by the Board within **30 days**, but such appointment must be **approved by the company in general meeting** within **3 months** of the Board's recommendation. The resigning auditor must also file **Form ADT-3** under Sec 140(2) within 30 days. *Conclusion:* Board fills within 30 days + members ratify within 3 months; the resigning auditor holds office till that AGM only.

B4. Removal before expiry of term. *Facts:* The Board of RST Ltd wants to remove its auditor two years into the five-year term because the auditor raised uncomfortable qualifications. *Analysis:* Under **Sec 140(1)**, an auditor may be removed before term expiry only by a **special resolution** after obtaining **previous approval of the Central Government** (Form ADT-2 within 30 days of Board resolution; special resolution within 60 days of CG approval). The auditor must be given a **reasonable opportunity of being heard**. *Conclusion:* The Board alone cannot remove the auditor; the safeguard exists precisely to protect independence when an auditor is inconvenient. The multi-step process (CG approval + special resolution + hearing) must be followed.

B5. Non-audit service through a network firm. *Facts:* MNO & Co. is the statutory auditor of DEF Ltd. Its associate network firm provides internal audit services to DEF Ltd's subsidiary. *Analysis:* **Sec 144** prohibits the auditor (directly or indirectly through any entity in which the auditor/its partner has an interest, including associate/network firms) from rendering **internal audit** to the company, its **holding or subsidiary**. *Conclusion:* The arrangement **violates Sec 144**; the network firm cannot render internal audit to DEF Ltd's subsidiary while MNO & Co. is the statutory auditor.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Explain the procedure and safeguards for removal of an auditor before expiry of term under Section 140(1)." *Model answer:* Removal of an auditor before the expiry of the term is a serious step and the Act builds in safeguards to protect auditor independence. Under **Sec 140(1)** read with **Rule 7**: (1) the Board passes a resolution proposing removal; (2) an application in **Form ADT-2** is made to the Central Government within **30 days** of the Board resolution; (3) after CG approval, a **general meeting** is held within **60 days** of receipt of approval to pass a **special resolution**; (4) the auditor is given a **reasonable opportunity of being heard** before removal. All four conditions are cumulative. This layered process ensures management cannot silence an auditor who reports unfavourably.

C2. "Discuss the auditor's duty regarding reporting of fraud under Section 143(12)." *Model answer:* Under **Sec 143(12)** read with **Rule 13**, if in the course of performance of duties the auditor has reason to believe that a fraud is being or has been committed against the company by officers or employees: (a) where the amount is **Rs. 1 crore or more**, the auditor must report to the Central Government — first forwarding the matter to the Board/Audit Committee within **2 days** seeking their reply within **45 days**, then reporting to the CG in **Form ADT-4** within **15 days** of receiving the reply (or on expiry of the period); (b) where the amount is **less than Rs. 1 crore**, the auditor reports to the **Audit Committee or Board**, and the matter is disclosed in the **Board's Report**. The duty also extends to cost auditors and secretarial auditors. Non-reporting attracts penalty under **Sec 143(15)**.

C3. "Write a short note on rotation of auditors under Section 139(2)." *Model answer:* To prevent the familiarity threat from a long-standing auditor relationship, **Sec 139(2)** mandates rotation for listed companies and prescribed classes (unlisted public companies with paid-up capital ≥ Rs. 10 crore, private companies ≥ Rs. 50 crore, or companies with borrowings/deposits ≥ Rs. 50 crore). An **individual** auditor may serve one term of **5 years**; an **audit firm** may serve two terms of **5 years each (10 years)**. After completing the maximum term, a **5-year cooling-off** applies before re-appointment. Incoming and outgoing firms with common partners are treated as the same firm to prevent circumvention. Members may also resolve to rotate the audit partner and team periodically.

C4. "State the provisions relating to cost audit under Section 148." *Model answer:* Under **Sec 148**, the Central Government may, by order, direct that specified companies engaged in the production of goods or provision of services (as prescribed classes) maintain **cost records** and get them audited. The **cost auditor** must be a **Cost Accountant** and is **appointed by the Board** (not the members), while remuneration is fixed by the Board and ratified by members. The cost auditor submits the cost audit report to the Board, and the company files it with the CG in **Form CRA-4**. A statutory (financial) auditor under Sec 139 **cannot** be appointed as cost auditor. Cost audit supplements, but is separate from, financial audit.

Procedure — Appointment Flow (Mermaid)

Syntax error in text
mermaid version 10.9.6

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. The first auditor of a non-Government company is appointed by the Board within: (a) 15 days (b) 30 days (c) 60 days (d) 90 days **Answer: (b) 30 days** — Sec 139(6): Board appoints first auditor within 30 days of registration.

D2. Maximum term of an **audit firm** in a rotation-covered company: (a) 5 years (b) 10 years (c) 15 years (d) unlimited **Answer: (b) 10 years** — Sec 139(2): two terms of five consecutive years for a firm.

D3. Indebtedness of the auditor to the company is a disqualification if it exceeds: (a) Rs. 1 lakh (b) Rs. 5 lakh (c) Rs. 10 lakh (d) Rs. 1 crore **Answer: (b) Rs. 5 lakh** — Sec 141(3)(d)(ii).

D4. Fraud must be reported to the **Central Government** (Form ADT-4) where the amount involved is: (a) Rs. 10 lakh or more (b) Rs. 50 lakh or more (c) Rs. 1 crore or more (d) any amount **Answer: (c) Rs. 1 crore or more** — Sec 143(12) read with Rule 13.

D5. Which of the following is a **prohibited** service under Sec 144? (a) Tax audit (b) Internal audit (c) Attending AGM (d) Signing the audit report **Answer: (b) Internal audit** — Sec 144 bars internal audit for the company/holding/subsidiary.

D6. Remuneration of the auditor (other than first auditor) is fixed: (a) by the Board (b) by the Registrar (c) in the general meeting (d) by NFRA **Answer: (c) in the general meeting** — Sec 142(1).

D7. Case scenario: GHI Ltd's auditor resigns on 1 April. Which form must the resigning auditor file, and within how many days? (a) ADT-1, 15 days (b) ADT-3, 30 days (c) ADT-2, 30 days (d) ADT-4, 15 days **Answer: (b) ADT-3 within 30 days** — Sec 140(2): resigning auditor files statement of reasons in Form ADT-3.

D8. Case scenario: A **body corporate** (other than an LLP) is proposed as auditor. It is: (a) eligible (b) eligible with CG approval (c) disqualified (d) eligible if all directors are CAs **Answer: (c) disqualified** — Sec 141(3)(a): a body corporate other than an LLP cannot be an auditor.

D9. Under Sec 147, if an auditor contravenes provisions with intent to deceive, and it is proved the act was wilful, the auditor is liable to refund remuneration and pay damages, plus: (a) only a fine (b) fine and possible imprisonment (c) censure only (d) nothing further **Answer: (b) fine and possible imprisonment** — Sec 147(2)/(4): fine and, for wilful default with intent to deceive, imprisonment up to one year.

D10. A cost auditor under Sec 148 is appointed by: (a) members at AGM (b) the Board of Directors (c) the Central Government (d) the Audit Committee alone **Answer: (b) the Board of Directors** — Sec 148(3): cost auditor appointed by the Board; remuneration ratified by members.

Traps and Examiner Tricks

- **Ratification removed:** The annual ratification of the auditor's appointment (old proviso to Sec 139(1)) was **omitted in 2017**. Do not write that members ratify every year.
- **Rs. 5 lakh vs Rs. 1 crore:** Rs. 5 lakh = indebtedness disqualification (Sec 141); Rs. 1 crore = fraud-reporting-to-CG threshold (Sec 143). Examiners swap these.
- **Who appoints whom:** First auditor = Board (Sec 139(6)); subsequent = members (Sec 139(1)); cost auditor = Board (Sec 148); casual vacancy by resignation = Board + members' approval (Sec 139(8)).
- **Counting the 20:** OPCs, small, dormant and small private companies are **excluded** from the 20-company ceiling (Sec 141(3)(g)).

- **Removal ≠ non-reappointment:** Sec 140(1) removal needs CG approval + special resolution; simply *not re-appointing* at term-end does not.

Connections

- **Audit Committee (Sec 177):** recommends appointment and reviews auditor independence — feeds directly into Sec 139/144.
- **NFRA (Sec 132):** oversight, investigation and disciplinary powers over auditors of prescribed (large/listed) companies — the enforcement muscle behind Sec 143/147.
- **Board's Report (Sec 134):** carries qualifications, fraud disclosures below Rs. 1 crore, and explanations to auditor's remarks.
- **Fraud definition (Sec 447):** the substantive offence that Sec 143(12) reporting feeds into.

Quick-Revision Sheet

Topic	Section	Key number/rule
First auditor	139(6)	Board, 30 days (members 90 days)
Subsequent auditor	139(1)	Members, 5-year term
Rotation	139(2)	Individual 5 yrs / firm 10 yrs; cool-off 5 yrs
Casual vacancy (resignation)	139(8)	Board 30 days + members 3 months
Removal before term	140(1)	ADT-2, CG approval, special resolution, hearing
Resignation filing	140(2)	Form ADT-3, 30 days
Eligibility	141(1)-(2)	CA / firm with majority CA partners
Disqualifications	141(3)	Body corporate, indebtedness > Rs. 5 lakh, 20-co ceiling
Remuneration	142	General meeting
Powers & duties, fraud	143	Access at all times; fraud ≥ Rs. 1 cr → CG (ADT-4)
Prohibited services	144	Book-keeping, internal audit, actuarial, etc.
Liability	147	Fine + imprisonment (wilful, intent to deceive)
NFRA oversight	132	Prescribed companies
Cost audit	148	Cost Accountant, appointed by Board, CRA-4

First-principles recap: Every rule above exists to keep the referee independent — appointed by owners, hard to sack, free of financial entanglement, barred from selling other services, and personally liable. Read each section as an answer to the question: "How do we make sure the auditor works for the shareholders, not the managers?"

Chapter 11 — The Limited Liability Partnership Act 2008

1. The Problem — Two doors, each with a trap

Imagine you are three chartered accountants, or three architects, or two friends with a software idea in 2005. You want to go into business together. India offers you exactly two legal front doors, and each one has a knife hidden behind it.

Door 1 — The traditional Partnership (Indian Partnership Act, 1932). It is beautiful for one reason: it is *flexible and cheap*. You and your partners simply agree — orally or on a stamp paper — how you'll share profits, who does what, how decisions get made. No minimum capital, no board meetings, no filing your accounts with a government registry for the whole world to read. You just *run the business*.

But behind this door is the trap that has ruined countless families: **unlimited, joint and several liability.** If your firm borrows Rs. 2 crore and the business collapses, the creditor does not politely limit himself to the firm's assets. He comes for your *personal house, your car, your savings* — and not just for your share, for the *entire* debt. Worse, under the "agency" principle of partnership, you are liable for the wrongful acts of your *co-partner*. Your partner in Chennai signs a reckless contract; the creditor sells *your* house in Delhi. You did nothing wrong, yet you pay everything. A traditional firm also cannot own property in its own name, cannot sue in its own name cleanly, and legally *dies* every time a partner leaves or dies (no perpetual succession). And the Partnership Act capped partners at a small number, choking growth.

Door 2 — The Company (then Companies Act 1956). This door solves the liability trap perfectly: **limited liability.** Your risk is capped at the money you put in. The company is a separate legal person — it owns property, sues, and survives its members. Wonderful.

But behind *this* door is a different knife: **rigidity and cost.** A company forces on you a rigid internal architecture you never asked for — a board of directors distinct from the shareholders, statutory board meetings and AGMs with quorum and notice rules, maintenance of statutory registers, mandatory audit regardless of size, filing of annual returns and financials, restrictions on how directors are paid, and a mountain of ongoing compliance. For a two-person consultancy, this is like being forced to wear a suit of armour to walk to the corner shop. The *governance* of a company is designed for a large body of passive investors and professional managers who are *different people* — but in a small professional firm, the owners *are* the managers. The company form doesn't fit them.

So the real-world abuse/failure was this: **professionals and small entrepreneurs were forced to choose between losing their house (partnership) or drowning in paperwork built for someone else (company).** There was no vehicle that gave you the *internal freedom of a partnership* and the *external shield of a company* at the same time. Talented people either stayed small to avoid personal ruin, or incorporated a company and suffocated, or took on unlimited risk and got wiped out by a partner's mistake.

Why India needed this specifically in the professional context. Professional-services regulation added its own twist. Chartered accountants, company secretaries and cost accountants were, under their own governing statutes, historically barred from practising through *limited-liability companies* — the regulator wanted a real human answerable for professional negligence, not a faceless corporate shield. Yet a single negligent audit could bankrupt every partner of a firm through joint liability, even partners in a different city who never touched the file. The LLP was the tailored answer: it lets a professional firm cap the *innocent* partner's exposure while still exposing the *negligent* partner personally. This is why the LLP is often described as the vehicle "built for professionals first."

The Limited Liability Partnership Act, 2008 (in force largely from 31 March 2009, with the LLP Rules 2009) was written to build a *third door* with neither knife behind it.

2. The Core Idea — A body corporate that thinks like a partnership

The LLP is a deliberate **hybrid**. Hold these three ideas together and the whole Act unfolds from them:

1. **Outside, it behaves like a company.** It is a *body corporate* — a separate legal person with its own name, its own property, perpetual succession (it survives partners leaving or dying), and its own liability. So creditors deal with *the LLP*, not with the partners' personal wealth.
2. **Inside, it behaves like a partnership.** The relationship *among* the partners is governed by a private contract — the **LLP Agreement** — which they write however they like. No compulsory board, no compulsory AGM, no rigid capital rules. Mutual rights and duties are whatever the partners agree.
3. **The shield is the whole point.** Each partner's liability is *limited* to their agreed contribution. Critically, **one partner is not liable for the wrongful acts of another partner** — the very trap of traditional partnership is deleted. You answer for your own misconduct, not your co-partner's.

The one-line mental model: **"An LLP is a partnership that has been given a company's skin."** The skin (separate entity + limited liability) faces the world; the partnership beats inside.

The two-personality diagram — hold both faces in mind at once.

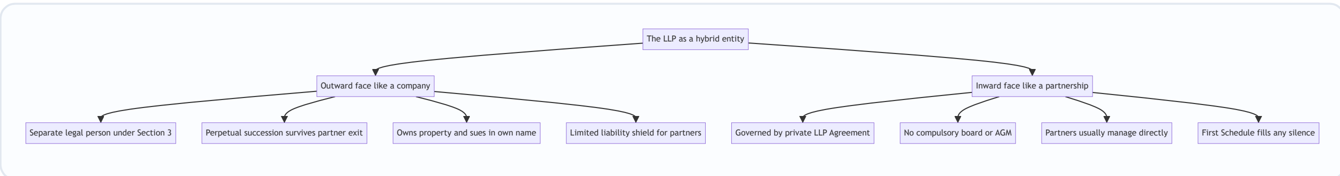


Figure 0 — One entity, two faces: the company skin faces creditors, the partnership heart faces the partners.

A subtle but examinable point — the LLP is a *body corporate* but NOT a *company*. These are not synonyms. Every company is a body corporate, but not every body corporate is a company. An LLP is a body corporate created by the LLP Act, whereas a company is a body corporate created by the Companies Act. So when a question asks "Is an LLP a company?" the answer is a firm **no** — it is a *body corporate that is a separate legal entity*, which is a wider category. Examiners exploit the loose everyday habit of calling any registered business "a company."

3. Why it's built this way — Design choices as answers to abuses

Every peculiar rule in the Act is a patch for a specific way the earlier forms failed. Read the Act as a list of fixes:

- **Why a "body corporate" and not just a contract?** Because the partnership's fatal flaw was that it had *no separate existence* — no perpetual succession, no property-owning capacity, and partners were personally exposed. Making the LLP a body corporate (Section 3) surgically removes all of those.
- **Why must there be at least 2 partners, but no maximum?** The minimum of 2 preserves the essential "partner-*ship*" idea (you can't have a partnership with yourself). Removing the maximum fixes the old

Partnership Act's cap that strangled large professional firms (think big audit or law firms with hundreds of partners).

- **Why invent "Designated Partners"?** A company has directors who are personally accountable to the regulator for compliance. A pure partnership has *nobody* the government can hold responsible for filings. If the LLP is going to enjoy limited liability, the State demands *at least someone* be personally answerable for the paperwork and legal compliance. Designated Partners are that named, accountable human interface — the price of the shield.
- **Why must at least one Designated Partner be resident in India?** So the regulator always has *somebody within reach of Indian jurisdiction* to summon. Limited liability must not become a way for everyone to hide abroad.
- **Why is the LLP Agreement optional-but-backstopped by the First Schedule?** Freedom of contract is the whole selling point, so the Act won't force terms on you. But if partners are careless and write nothing (or leave gaps), disputes would be chaos — so the **First Schedule** supplies default rules that apply *unless the agreement says otherwise*. Flexibility with a safety net.
- **Why does the shield have exceptions (fraud carve-out)?** Because limited liability is a privilege, not a license to cheat. If partners use the LLP to defraud creditors, the law must be able to *pierce* the shield — otherwise the form becomes a fraud machine. Hence Section 30.
- **Why allow conversion *into* an LLP but make conversion out harder?** Government policy wanted to *migrate* businesses into this transparent, filed, limited-liability form. So conversion from firm/private company/unlisted public company *into* LLP is expressly enabled (Schedules 2–4).
- **Why cap the partner's exposure at "contribution" rather than at zero?** The shield is not a free pass — it protects *personal* assets beyond what the partner agreed to risk. A partner who promised to contribute Rs. 10 lakh but has not yet paved it in remains liable to bring in that Rs. 10 lakh; the LLP and its creditors can look to that unpaid contribution. The line is drawn at the *bargain the partner struck*, not at nothing. This mirrors "unpaid share capital" in company law — the shareholder is liable up to the unpaid amount on the shares.
- **Why insist on public filing (Forms 3, 4, 8, 11)?** Because limited liability *externalises* risk onto creditors — they can only recover from the entity, not the humans. In exchange, the State forces the entity to be *transparent*: who the partners are, when they change, and whether the entity is solvent. Disclosure is the *quid pro quo* of the shield. A partnership hides; an LLP must show.

Once you see each provision as a plugged hole, you never have to memorise them as arbitrary facts.

4. Full Technical Content — Section by section, each with its "why"

> Reminder: cite the exact sections in the exam. Where a precise number or figure is one that ICAI periodically revises (especially small-LLP thresholds and penalty amounts under the 2021 amendment), I flag it — **confirm the current figure in ICAI material / the bare Act.**

4.1 Nature and Definition — Sections 2 and 3

Section 3 — LLP is a body corporate. An LLP is a **body corporate** formed and incorporated under this Act, and is a **legal entity separate from its partners**. It has **perpetual succession** — a change in partners does not affect its existence, rights, or liabilities.

Why: This single section imports the two "company-like" virtues the partnership lacked — separate personality and perpetual succession — killing the "firm dies when a partner leaves" problem.

Section 2 — Key definitions (know these precisely): - *Business* includes every trade, profession, service and occupation. (*Why broad:* the LLP was designed for professionals, not just traders.) - *Partner* means any person who becomes a partner in accordance with the LLP agreement. - *Designated Partner* means a partner designated as such under Section 7. - *LLP Agreement* means the written agreement between the partners, or between the LLP and its partners, determining their mutual rights and duties. - *Body corporate* is defined to include an LLP, a company, and an LLP incorporated outside India — but *excludes* a corporation sole, co-operative society, and other bodies notified by the Central Government. - *Foreign LLP* — an LLP formed/incorporated outside India which establishes a place of business in India.

Finer definitional distinctions the exam probes. Three points hide in Section 2 that students skate over: 1. *Business includes "profession."* This is deliberate and load-bearing — it is *why* CAs, lawyers and doctors can practise through an LLP at all. If "business" were limited to trade, the professional use-case (the whole reason the Act exists) would collapse. 2. *"Body corporate" excludes a co-operative society and a corporation sole.* Examiners love asking whether a co-operative society is a body corporate for LLP purposes — the answer is **no**, it is expressly carved out. 3. *An LLP incorporated outside India is still a "body corporate"* under the definition, but it becomes a *Foreign LLP* only when it *establishes a place of business in India*. Foreign incorporation alone does not make it a "Foreign LLP" in the Section 2 sense — the *place of business in India* is the trigger.

Section 4 — Indian Partnership Act 1932 does NOT apply. The provisions of the Partnership Act, 1932 do not apply to an LLP.

Why: An LLP is a creature of *this* Act. The old partnership law (with its unlimited-liability agency rules) is exactly what we are escaping, so it is switched off. This is a favourite exam trap — students wrongly assume the 1932 Act governs LLPs.

Section 14 — Effect of registration. On incorporation an LLP can, in its own name: (a) **sue and be sued**; (b) **acquire, own, hold and dispose of property** (movable/immovable, tangible/intangible); (c) **have a common seal, if it chooses** (a seal is optional); and (d) do all other lawful acts a body corporate may do.

Why: These are the concrete practical powers a traditional firm lacked. Note the seal is *optional* — flexibility again.

4.2 Nature of Liability — Section 27 and 28 (the heart of the shield)

Section 27 — Extent of liability of the LLP. - An LLP is **not bound** by anything done by a partner in dealing with a person **if** (a) the partner **has no authority** to act for the LLP in that matter, *and* (b) the other person **knows** the partner has no authority *or* does not know/believe him to be a partner. (*Why:* protects the LLP from unauthorised acts, but only where the outsider was on notice.) - The LLP **is liable** if a partner is liable for a **wrongful act or omission** done in the *course of the business* of the LLP or *with its authority*. - **The liabilities of the LLP are met out of the property of the LLP.**

Why the last line is gold: it locates the debt on the *entity's* assets — the firewall between business debt and personal wealth.

Reading Section 27 as a two-limb test (this is where marks are won). The "not bound" limb is a cumulative test — *both* conditions must be satisfied for the LLP to escape: - Limb (a): the partner in fact had

no authority for that act; **and** - Limb (b): the outsider **knew** of the lack of authority **or** did not even believe him to be a partner.

If the outsider honestly believed the partner had authority and did not know otherwise, the LLP **is** bound even by an unauthorised act — because the LLP put that person forward as a partner and must bear the cost of that appearance (the same *apparent/ostensible authority* logic as agency law). The examiner's tweak: change one fact — "the supplier had been told the partner could not sign contracts above Rs. 5 lakh" — and suddenly limb (b) is met, so the LLP escapes. Watch the outsider's *knowledge*.

Section 28 — Extent of liability of a partner. - A partner is **not personally liable**, directly or indirectly, for an obligation of the LLP (whether arising in contract or otherwise) **solely by reason of being a partner.** - **A partner is NOT liable for the wrongful act or omission of any OTHER partner.** - BUT a partner *remains* personally liable for **his own** wrongful act or omission.

Why: This is the exact reversal of the traditional partnership's cruelty. In a 1932 firm, every partner is an agent of every other, so all are liable for one's wrong. Section 28 cuts that chain: you carry only your own sins.

The three key words: "solely by reason of being a partner." The shield attaches to *status*, not to *conduct*. It removes liability that would arise *merely because you are a partner*. It does **not** remove liability that arises from *your own act*. So the shield is porous in exactly one direction — your personal wrongdoing punches straight through it. A partner who personally guarantees an LLP loan is liable on the *guarantee* (a separate contract), not "solely by reason of being a partner" — so Section 28 gives him no protection there. This is a favourite hidden fact: a personal guarantee defeats the shield for that debt.

Memory hook — "Your own sin, your own skin." The shield covers you for the *firm*'s debts and your *partner*'s wrongs; it does *not* cover your *own* wrongdoing.

4.3 The exceptions that keep the shield honest — Sections 30 and 31

Section 30 — Unlimited liability in case of fraud. If the LLP or any of its partners acts **with intent to defraud** creditors or for any fraudulent purpose, the **liability of the LLP and the partners who acted with such intent is UNLIMITED.** (A partner who was *not* party to the fraud keeps the shield.) There are also penalties — fine and imprisonment for those involved.

Why: Limited liability is a privilege granted for honest enterprise. The moment it is weaponised to cheat creditors, the law strips it away. This is the "anti-abuse" valve.

The mental-element trap in Section 30. The section bites only on *intent* — "with intent to defraud" or "for any fraudulent purpose." Mere *negligence*, bad judgment, or an honest business failure does **not** trigger Section 30, however large the loss. So an LLP that goes bankrupt through incompetence keeps its shield; an LLP that borrows money it *never intended to repay* loses it. The examiner's tweak: "the partners were reckless / careless / over-optimistic" — that is **not** fraud; do not apply Section 30. Only *dishonest intent* strips the shield. Also note the carve-out protects the *innocent* partner — Section 30 reaches only "the partners who acted with such intent," never a partner who knew nothing.

Section 31 — Whistle-blowing protection. The Tribunal may reduce or waive penalties for a partner/employee who provides useful information leading to conviction, and such persons are protected from discharge/demotion/harassment for whistle-blowing.

Why: Encourages insiders to expose fraud — supports Section 30's enforcement.

4.4 Partner as agent — Section 26

Section 26 — Every partner is the agent of the LLP, but NOT of the other partners.

Why this careful wording: In a 1932 firm each partner is agent of the firm *and* of the co-partners (that mutual agency is what spread liability). The LLP keeps partners as agents of the *entity* (so they can transact for it) but severs the agency *between partners* — which is precisely what makes Section 28's no-cross-liability rule coherent.

Why the "agent of the LLP only" design is internally consistent. Trace the logic chain and you see the Act is a single coherent machine, not a list of rules: - Because a partner is agent of the **LLP** (S. 26), his authorised acts bind the **LLP** (S. 27) — so the entity, not the partners personally, carries the deal. - Because a partner is **not** agent of the **other partners** (S. 26), his wrong cannot be imputed to them — which is exactly what S. 28 then states as no-cross-liability. - Both rest on the entity having its own personality (S. 3) and its own property to pay from (S. 27).

Knock out any one and the others wobble. The exam reward for seeing this: you can *derive* S. 28 from S. 26 rather than memorise it.

4.5 Partners — Sections 5, 6, 7

Section 5 — Who can be a partner. Any *individual* or *body corporate* may be a partner. An individual **cannot** be a partner if: (a) declared of **unsound mind** by a competent court and the finding is in force; (b) an **undischarged insolvent**; or (c) has **applied to be adjudicated an insolvent** and the application is pending.

Why body-corporate partners allowed: fixes another partnership limitation — a company could not be a partner in a 1932 firm in the same clean way. It lets corporate groups structure joint ventures through LLPs.

Fine distinctions on capacity. (i) The disqualification for unsound mind requires a *finding by a competent court that is currently in force* — a partner who is merely eccentric, or was once ill but recovered, is not disqualified. (ii) An *undischarged* insolvent is disqualified, but a person who was insolvent and has since obtained an **order of discharge** is fine again — the word "undischarged" is doing real work. (iii) A minor cannot be a partner in an LLP — unlike the 1932 Act, which allowed a minor to be *admitted to the benefits* of a firm with consent. The LLP Act has no such minor-benefit route; a partner must be a person competent to contract or a body corporate. This 1932-vs-LLP contrast on minors is a classic tweak.

Section 6 — Minimum number of partners. - An LLP must have **at least two partners**. - If the number falls below 2 and the LLP carries on business for **more than six months** while so reduced, then the **sole remaining partner** who *knows* he is carrying on business alone becomes **personally liable** (jointly with the LLP) for obligations incurred during that period.

Why the 6-month grace: people leave; forcing instant dissolution would be harsh. But the shield is a group privilege — run it alone beyond six months and you personally lose the shield for that period. **Contrast trap:** there is **no upper limit** on partners (unlike a private company's 200-member cap).

Three conditions must stack for personal liability under S. 6(2). The sole partner is exposed only where *all* of these are true: (a) the LLP carried on business; (b) for **more than** six months while below the minimum; **and** (c) the person *knew* he was the only partner during that time. Miss any one and the shield survives: - If a *second* partner is inducted on day 179, the six months never elapse — no personal liability. - Liability attaches only to obligations incurred *during the excess period*, not to debts that arose while there were still two partners. - The liability is *joint with the LLP* — the creditor can still pursue LLP assets first; the sole partner is an *additional* target, not the only one.

Section 7 — Designated Partners (DPs). - **Every LLP must have at least TWO Designated Partners** who are **individuals** (a body corporate can be a partner but obviously cannot itself be a DP — its *nominee individual* can). - **At least ONE Designated Partner must be RESIDENT IN INDIA.** "Resident in India" means a person who has **stayed in India for at least 120 days during the financial year** (this figure was amended — earlier it was 182 days; **confirm the current threshold in ICAI material / bare Act**). - Every DP must obtain a **Designated Partner Identification Number (DPIN)** and give **prior consent** to act. - If no partner is a DP, or if at any time there is only one DP, **every partner is deemed to be a Designated Partner.** (*Why:* ensures accountability never lapses.)

Why DPs exist: they are the humans **responsible for compliance** — doing all acts, matters and things required to be done by the LLP under the Act (filings, statements of account, etc.) and are **liable to all penalties** imposed on the LLP for contravention of those provisions. They are the LLP's answerable face to the Registrar.

Deeper points on DPs the exam tests. - *DPIN vs DIN.* A DP needs a Designated Partner Identification Number. In practice the MCA has merged the two identifiers so that a DIN can serve as DPIN and vice-versa, but for exam wording the Act speaks of **DPIN** — do not confuse it with the plain "Partner" who needs *no* identification number at all. Only *designated* partners need the number. - *Consent and its filing.* A DP's prior consent must be filed with the Registrar in the prescribed form. Someone cannot be made a DP against their will or by surprise. - *The "deemed DP" safety net is automatic.* If an LLP is left with fewer than two DPs (say one DP resigns), the Act *automatically* deems **every partner** to be a DP so that compliance responsibility never falls into a vacuum — the State always has someone to hold responsible. This is the accountability twin of the S. 6 minimum-partner rule. - *A DP is always also a partner.* You cannot be a DP without first being a partner — "designated" is a *layer added on top of* partner status, not a separate office. So an outside professional manager who is not a partner cannot be a DP.

Memory hook — "2 DPs, 1 in India, both individuals."

4.6 Incorporation — Sections 11, 12, 13, 15, 16

The birth sequence:

Section 11 — Incorporation document. Two or more persons *associated for carrying on a lawful business with a view to profit* subscribe their names to an **incorporation document** and file it with the **Registrar** (of the State in which the registered office is situated), along with a **statement** (by an advocate/CA/CS/Cost Accountant engaged in formation *and* by a subscriber) that all requirements of the Act regarding incorporation have been complied with.

The incorporation document must state: name of the LLP; proposed business; address of registered office; name and address of each partner; name and address of the designated partners; and other prescribed details.

Why the professional's statement: a compliance gate-keeper certifying legality *before* the shield is granted.

Two hidden requirements in Section 11. (i) The business must be "**with a view to profit**" — an LLP cannot be formed for a *not-for-profit / charitable* object. This is a genuine difference from a company, which *can* be formed for charitable purposes (Section 8 company). If a question says "they formed an LLP to run a free school with no profit motive," flag it: the profit-motive requirement is not satisfied. (ii) The statement of compliance is a *two-signature* requirement — it needs *both* a named professional (advocate/CA/CS/CMA) engaged in the formation *and* a subscriber to the incorporation document. A false statement here carries penal consequences, which is *why* the gate is trustworthy.

Section 12 — Incorporation by registration. The Registrar registers the document (within 14 days) and issues a **Certificate of Incorporation**, signed and sealed. The certificate is **conclusive evidence** that the LLP is incorporated.

Why "conclusive": gives certainty — outsiders can rely on the certificate and need not investigate the formation process.

Section 13 — Registered office and service. Every LLP must have a **registered office** to which communications may be addressed. A document may be served by sending it there by post/prescribed manner. Change of registered office must be filed with the Registrar.

Section 15 — Name. Every LLP's name must **end with "Limited Liability Partnership" or "LLP"**. The name must **not be undesirable** or identical/too similar to an existing LLP, company, or registered trademark.

Why the mandatory suffix: it *warns the world* that they are dealing with a limited-liability entity — creditors are on notice that recovery is capped at the LLP's assets. (Same logic as "Ltd"/"Pvt Ltd" for companies.)

Section 16–17 — Reservation and change of name. A name can be reserved by application; the Central Government can direct a change of name if it is identical/too nearly resembling another, or was obtained by wrong information.

Section 21 — Publication of name and limited liability. Every LLP must ensure its **name, registered-office address and registration number** appear on its invoices and official correspondence. Penalty for default.

Why: continuous public notice of limited-liability status — the "warning label" must stay on.

4.7 The LLP Agreement — Sections 22, 23 and the First Schedule

Section 22 — Effect of incorporation on partners. The persons who subscribed to the incorporation document are the LLP's partners on incorporation. Afterwards, a person may become a partner per the LLP agreement.

Section 23 — Relationship of partners. - The **mutual rights and duties** of the partners, and of the LLP and its partners, are governed by the **LLP Agreement**. - The agreement (and any changes) must be **filed with the Registrar** in the prescribed form (Form 3) within prescribed time. - **In the absence of agreement** on any matter, the mutual rights and duties are determined by the provisions in the **FIRST SCHEDULE.**

Why the First Schedule fallback: freedom to contract, but no vacuum. If partners forget to address, say, profit-sharing, the Schedule fills the gap.

Key default rules in the First Schedule (apply *only if the agreement is silent*): - All partners are entitled to **share equally** in the capital, profits and losses. - The LLP must **indemnify** each partner for payments made in the ordinary and proper conduct of business. - Every partner may **take part in the management** of the LLP. - **No partner is entitled to remuneration** for acting in the business/management. (*A crucial default trap.*) - **No person may be introduced as a partner without the consent of ALL existing partners.** - Any *ordinary* matter is decided by a **majority** of partners, and every partner has **one vote**; but **no change in the nature of the business** may be made without the consent of **all** partners. - The LLP must keep **records and accounts** open to inspection by any partner. - **Disputes** among partners not resolved by the agreement go to arbitration-style resolution / the mechanism provided.

Why "no remuneration by default" and "equal share by default": these mirror the classic partnership defaults — the Act deliberately makes the LLP *feel* like a partnership when the parties say nothing.

The "gap-by-gap" nature of the First Schedule — a point students misread. The Schedule does not switch *on or off as a whole*. It applies matter-by-matter: on *every specific point* where the agreement is silent, the corresponding Schedule default fills in — even if the agreement covers other points. So a one-line agreement that says only "profits shared 60:40" *displaces* the equal-sharing default but leaves *every other* default (no remuneration, unanimous consent for new partners, equal management rights) fully in force. Examiner tweak: "the agreement fixed profit ratios but said nothing about salary" — the salary default (no remuneration) still applies. Read the agreement clause-by-clause against the Schedule.

The unanimity vs majority split — worth memorising the boundary. Under the Schedule, *ordinary* matters go by simple majority (one vote each), but three things need the consent of **all** partners: (i) introducing a **new partner**; (ii) changing the **nature of the business**; and — as a general matter of contract — (iii) any change to the **LLP Agreement** itself. The logic: majority rule for day-to-day operation, unanimity for anything that alters the fundamental *bargain* each partner joined on. A question that slips a "the majority voted to admit a new partner" fact is testing whether you know admission needs *unanimity*, not a majority.

Memory hook — "Silence speaks the First Schedule."

4.7A Contribution — Sections 32 and 33

Section 32 — Form of contribution. A partner's contribution may be **tangible or intangible**, movable or immovable — including **money, promissory notes, other agreements to contribute cash or property, and contracts for services performed or to be performed** (i.e. *sweat equity* / know-how). The monetary value of a non-cash contribution is accounted for and disclosed as prescribed.

Section 33 — Obligation to contribute. The obligation of a partner to contribute money or property is as set out in the **LLP Agreement**. A creditor who *dealt with the LLP without knowledge* of, but *relying on*, an obligation in the agreement (or an amendment) may **enforce** the original obligation even if the agreement is later changed to reduce it.

Why these matter: they define *what the shield is measured against.* A partner's liability is "limited to contribution" — so the Act must say what a contribution *is* (S. 32: even services count) and *when it is enforceable* (S. 33: a creditor who relied on a promised contribution can hold the partner to it). This closes an obvious abuse: partners promising Rs. 50 lakh to attract a lender, then quietly amending the agreement down to Rs. 5 lakh. **Trap:** the reduction does **not** bind a creditor who already relied on the higher figure. *(Note: the LLP Act has no minimum contribution / minimum capital requirement — confirm in ICAI material — which is another point of flexibility over the old company minimum-capital rules.)*

4.8 Cessation, changes and their filing — Sections 24, 25

Section 24 — Cessation of partnership interest. A person ceases to be a partner: (a) as per the **agreement**; or, if the agreement is silent, (b) by giving **30 days' notice** in writing to the other partners; or on **death**, **dissolution** of the LLP, being declared of **unsound mind**, or being **adjudged insolvent**.

Important protections: - A former partner (or their estate) is **entitled to receive** their capital contribution and their share of accumulated profits (less losses), unless the agreement provides otherwise. - A person who has ceased to be a partner is **still regarded, in relation to a third party, as a partner** *until* the third party has notice of the cessation *or* notice is delivered to the Registrar.

Why the "still regarded as partner" rule: protects outsiders who dealt with the firm believing X was a partner — the shield can't be used to spring surprises on creditors. Notice to the Registrar/third party is the cut-off. Compare Section 31/32 "holding out" logic of the 1932 Act.

What a ceased partner does *not* get, and a key limit. The former partner is entitled to money — the return of contribution and the share of accumulated profits — but is **not** entitled to *interfere in the management* of the LLP or to *demand the LLP be wound up* merely because he has left. His interest converts into a **financial claim**, not a continuing right to run the business. Also, the "still a partner to third parties until notice" rule protects *creditors*, but it does not resurrect the ex-partner's *management rights* — it only keeps his *liability* exposure alive toward outsiders who did not know he had left. Distinguish the *inward* effect (he is out; interest becomes a debt) from the *outward* effect (to un-notified outsiders he still looks like a partner).

Section 25 — Registration of changes in partners. A partner must inform the LLP of changes in his name/address; the LLP must **file notice with the Registrar within 30 days** of a person becoming or ceasing to be a partner. Penalties for default.

Why: keeps the public register accurate — the whole limited-liability bargain depends on outsiders being able to trust the register.

4.9 Financial disclosure and solvency — Sections 34, 35

Section 34 — Maintenance of books of account, other records and audit. - Every LLP must maintain **proper books of account** (may be on cash or accrual basis, double-entry) at its registered office. - Every LLP must prepare a **Statement of Account and Solvency** within **six months from the end of the financial year** and file it with the Registrar (Form 8). - Accounts are **audited** as prescribed — but **small LLPs are exempt from audit**: audit is required only if **turnover exceeds Rs. 40 lakh** *or* **contribution exceeds Rs. 25 lakh** (**confirm current thresholds in ICAI material / bare Act**).

Why the audit exemption: answers the "company drowns small firms in compliance" complaint — tiny LLPs are spared mandatory audit, but larger ones must be audited to protect creditors.

Precision on the audit test — it is disjunctive ("OR"). An LLP must be audited if it crosses **either** limb — turnover over Rs. 40 lakh **or** contribution over Rs. 25 lakh. So an LLP with only Rs. 10 lakh turnover but Rs. 30 lakh contribution **must** be audited (it crossed the contribution limb), and vice-versa. Students who read it as "AND" wrongly exempt such an LLP. Also note the *financial year* for an LLP is prescribed as ending **31 March** — an LLP cannot freely pick a December year-end the way a foreign-controlled company sometimes could; this fixes the reporting calendar and is worth stating in a well-organised answer.

Section 35 — Annual Return. Every LLP must file an **Annual Return** with the Registrar within **60 days of the close of the financial year** (Form 11). Penalty for default.

Why two filings: the Statement of Account & Solvency (Form 8) shows the *financial* picture; the Annual Return (Form 11) shows the *structural* picture (who the partners are). Together they keep the register honest — the transparency the State demands in exchange for the shield.

A clean way to never swap the two deadlines. Tie the deadline to *what the document is about*: - The **Annual Return (Form 11)** is about *people/structure* — quick to compile, so a *short* window: **60 days**. - The **Statement of Account & Solvency (Form 8)** is about *money* — you must close the books first, so a *long* window: **6 months**. "Structure is quick — 60 days; accounts need closing — 6 months." Once you anchor the deadline to the *reason* for it, you will never reverse them under exam pressure.

4.10 Conversion into an LLP — Sections 55, 56, 57 and Schedules 2, 3, 4

The Act actively *invites* existing businesses to migrate into the LLP form:

Converting from	Section	Schedule
Firm (partnership) → LLP	**Section 55**	**Second Schedule**
Private company → LLP	**Section 56**	**Third Schedule**
Unlisted public company → LLP	**Section 57**	**Fourth Schedule**

Common conditions / effects of conversion (from the Schedules): - **Firm → LLP:** *all* partners of the firm, and no one else, must become partners of the LLP (partners must be the *same* people). - **Company → LLP:** *all* shareholders of the company, and no one else, become partners; there must be **no security interest (charge)** subsisting on the company's assets at the time of application; and (for the exam) generally the company must be up to date on filings. - On registration, the Registrar issues a **Certificate of Registration** as an LLP. - **All assets, liabilities, rights, privileges, obligations and undertakings** of the firm/company **vest in the LLP** automatically, and the firm/company is **deemed dissolved** and removed from the records of the Registrar of Firms/Companies. No separate conveyance is needed. - **Continuing liability of partners on conversion:** for a period (commonly **60 days**), the LLP must ensure that every official correspondence bears a statement that it was converted from a firm/company and the details thereof. - Existing agreements, contracts, and legal proceedings continue in favour of / against the LLP.

Why conversion "vests everything automatically": to make migration frictionless — otherwise every asset and contract would have to be individually re-assigned, which would kill adoption. **Note:** there is **no direct statutory route to convert an LLP into a company** under the LLP Act itself (that pathway is dealt with, if at all, under the Companies Act 2013 read with rules — **confirm in ICAI material**). This asymmetry reflects the policy of *pulling* businesses into the LLP form.

Two conversion sub-traps worth carrying into the hall. 1. "*No listed public company can convert.*" Only an **unlisted** public company may convert (S. 57). A *listed* company cannot use this route — its dispersed public shareholders cannot all become partners, which would defeat the "all shareholders and no one else become partners" condition. 2. *Old liabilities survive conversion.* Conversion is **not** a way to escape the firm's/company's past debts. Every liability *vests in the LLP* and continues; and for the notice period the correspondence must disclose the conversion so creditors are not misled. A question suggesting "they converted to an LLP to wipe out the firm's earlier loan" is wrong — the loan follows the assets into the LLP. Additionally, partners of a *firm* who were personally liable for pre-conversion obligations generally remain personally liable for those *pre-conversion* debts; the shield protects them going *forward*, not retrospectively.

4.11 Winding up and dissolution — Sections 63–65

An LLP may be wound up either **voluntarily** or **by the Tribunal (NCLT)** (Section 64). Grounds for winding up by the Tribunal include: the LLP *decides* to be wound up by Tribunal; number of partners reduced below 2 for **more than 6 months**; inability to pay its debts; acting against the sovereignty/integrity/security of India; default in filing the Statement of Account & Solvency or Annual Return for **five consecutive financial years**; or the Tribunal being of the opinion that it is **just and equitable** to wind it up.

Why these grounds: they mirror the abuses the disclosure regime targets — a chronic non-filer (5 years) has defeated the transparency bargain and loses the right to exist.

(There is also a simpler "strike-off" route for defunct LLPs under the rules — confirm the procedural detail in ICAI material.)

Voluntary vs Tribunal winding up — keep the two apart. *Voluntary* winding up is *partner-initiated* (the partners resolve to wind up, subject to creditor protection). *Tribunal* winding up is *court-driven* on the statutory grounds above. The two grounds students most often mis-cite: it is **below 2 partners for more than 6 months** (not "immediately") and **default in filing for 5 consecutive financial years** (not one or two). Note the neat link back to earlier sections — the *same* 6-month threshold that triggers S. 6(2) personal liability *also* becomes a winding-up ground under S. 64, and the *same* filing duties in S. 34/35 become a winding-up ground when chronically breached. The Act is self-referential: disobeying the shield's conditions eventually dissolves the shielded entity.

4.12 Foreign LLPs and miscellaneous

- **Section 59 — Foreign LLPs:** a Foreign LLP establishing a place of business in India must comply with prescribed regulations. (*Why:* extends the register/notice regime to foreign entities operating here.)
- **Section 58 — Registrar's certificate of registration on conversion** is conclusive.
- **Compromise, arrangement, amalgamation** of LLPs — Sections 60–62 (Tribunal-driven, mirroring company law).

5. Applied Scenarios — Facts → Analysis → Conclusion

Scenario A — The reckless co-partner. *Facts:* Anil, Bina and Chetan run "ABC Consultants LLP". Chetan, acting alone and negligently, gives disastrous professional advice to a client who then sues for Rs. 1 crore. The LLP's assets are only Rs. 30 lakh. The client wants to attach Anil's and Bina's personal flats.

Analysis: Under **Section 27**, the LLP is liable for a partner's wrongful act done in the course of its business, and that liability is met out of **LLP property**. Under **Section 28**, Anil and Bina are **not liable for Chetan's wrongful act** and are not personally liable merely for being partners. **Chetan**, however, remains personally liable for **his own** wrongful act (Section 28 proviso). No fraud is alleged, so Section 30 doesn't bite.

Conclusion: The client recovers Rs. 30 lakh from the LLP's assets and may pursue **Chetan personally** for the balance. **Anil's and Bina's flats are safe.** ("Your own sin, your own skin.")

Scenario B — The vanishing partner and the trusting supplier. *Facts:* Deepa retires from "DEF Traders LLP" on 1 April. The LLP does not file notice with the Registrar. On 20 May, a supplier, who had earlier dealt with Deepa and did not know of her exit, extends credit to the LLP believing Deepa is still a partner. The LLP defaults.

Analysis: Under **Section 24**, a person who has ceased to be a partner is still **regarded as a partner in relation to a third party** until the third party has **notice** of the cessation *or* notice is filed with the **Registrar**. Here neither had happened by 20 May. Note also **Section 25** obliges the LLP to file the change within 30 days — breached.

Conclusion: As against this particular supplier, **Deepa may still be treated as a partner** for that transaction because the required notice had not been given. Lesson: cessation must be *published/filed* to be effective against outsiders. (This mirrors "holding out" logic and shows the shield can't ambush creditors.)

Scenario C — Silence in the agreement. *Facts:* Two friends form "GH Designs LLP" but, in a hurry, never sign an LLP Agreement. G works full-time and demands a salary of Rs. 50,000 per month and a 70% profit share (arguing he does more work). H disagrees.

Analysis: Where the agreement is silent, **Section 23(4)** makes the **First Schedule** govern. Under the First Schedule: partners **share profits equally**, and **no partner is entitled to remuneration** for managing the business.

Conclusion: G is entitled to **50%** of profits, **not 70%**, and to **no salary** — unless they *agree otherwise in writing* (and file it). "Silence speaks the First Schedule." The remedy is to actually draft and file an LLP Agreement.

Scenario D — Down to one partner. *Facts:* "JK Ventures LLP" had two partners; one dies on 1 January. The survivor, K, continues the business alone and by 15 August (over 6 months later) the LLP incurs a large debt.

Analysis: **Section 6(2):** if the LLP carries on business with fewer than 2 partners for **more than six months**, the person who is the sole partner *and knows it* becomes **personally liable** (jointly with the LLP) for obligations incurred *during* that excess period. Six months from 1 January ends around 1 July; the August debt falls in the exposed window.

Conclusion: K is **personally liable** for the August debt — the shield lapses for solo operation beyond six months. K should have inducted a second partner before July. (If sustained, this is also a ground for winding up under Section 64.)

Scenario E — The fraudulent shield. *Facts:* Partners in "LM Exports LLP" deliberately take large advances from creditors intending never to deliver, siphoning the money out, planning to hide behind limited liability.

Analysis: **Section 30** — where the LLP or its partners act with **intent to defraud creditors**, the liability of the LLP *and* of the partners who acted with such intent is **UNLIMITED**, plus penalties.

Conclusion: The fraudulent partners **lose the shield entirely** and are personally liable without limit; a non-participating partner keeps the shield. Limited liability is for honest business, not fraud.

Scenario F — The unpaid contribution (numerical). *Facts:* In "PQR Tech LLP" the LLP Agreement records agreed contributions: P Rs. 20 lakh (fully paid), Q Rs. 15 lakh (only Rs. 5 lakh actually brought in), R Rs. 10 lakh (fully paid). The LLP owes trade creditors Rs. 60 lakh and its realisable assets are only Rs. 35 lakh. Q argues that, thanks to limited liability, he owes nothing personally.

Analysis: Limited liability under **Section 28** caps a partner's exposure at his *agreed contribution*, but a **promised-but-unpaid** contribution is still owed to the LLP under **Sections 32–33**. Q agreed to contribute Rs. 15 lakh and has paid only Rs. 5 lakh, so Rs. 10 lakh remains an enforceable obligation. The shield does **not** wipe out a contribution the partner *undertook to bring in*. - Assets available to creditors: Rs. 35 lakh (LLP realisable assets) + Rs. 10 lakh (Q's unpaid contribution recoverable into the LLP) = **Rs. 45 lakh.** - Shortfall to creditors: Rs. 60 lakh − Rs. 45 lakh = **Rs. 15 lakh**, which (absent fraud under S. 30 or a personal guarantee) creditors **cannot** recover from P, Q or R personally.

Reconciliation / self-check: P has paid Rs. 20 lakh, Q must still pay Rs. 10 lakh (total Q exposure Rs. 15 lakh = his agreed cap — consistent with S. 28), R has paid Rs. 10 lakh. No partner pays more than his agreed contribution. Total contributions if all fully paid = 20 + 15 + 10 = **Rs. 45 lakh**, exactly the pool available once Q pays up — figures reconcile.

Conclusion: Q is wrong. He must bring in the unpaid **Rs. 10 lakh**; beyond that, the partners are shielded and creditors bear the Rs. 15 lakh shortfall. *(Examiner tweak: if the agreement had been quietly amended to cut Q's contribution to Rs. 5 lakh after a creditor lent money relying on the Rs. 15 lakh figure, S. 33 lets that creditor still enforce the original Rs. 15 lakh against Q.)*

Scenario G — The relied-upon contribution that was later reduced. *Facts:* "STU Infra LLP" shows in its filed agreement that partner S will contribute Rs. 40 lakh. A bank, relying on this, lends Rs. 30 lakh. Six months later the partners amend the agreement to reduce S's contribution to Rs. 8 lakh, and S brings in only Rs. 8 lakh. The LLP defaults; assets fall short by Rs. 22 lakh.

Analysis: Under **Section 33(2)**, a creditor who *extended credit relying on* an obligation in the agreement may enforce the **original** obligation despite a later reduction, *unless it had notice of the change* or consented to it. The bank lent Rs. 30 lakh on the strength of S's Rs. 40 lakh promise before the reduction.

Conclusion: The bank can hold **S to the original Rs. 40 lakh** contribution to the extent needed to satisfy its Rs. 30 lakh claim — so S must bring in enough to cover the Rs. 22 lakh shortfall (well within Rs. 40 lakh). The later amendment does not defeat the bank. *Lesson:* limited liability protects the honest downgrade of *future* commitments, never the retrospective cheating of a creditor who already relied.

Scenario H — Body corporate as partner and the DP requirement. *Facts:* "XY Ventures LLP" is to be formed by exactly two partners: an individual, Mr. X, and a private company, Y Pvt Ltd. The promoters propose that X and Y Pvt Ltd will be the two Designated Partners. Both X and Y Pvt Ltd's board are resident/registered in India.

Analysis: A body corporate **can** be a *partner* (S. 5), so Y Pvt Ltd's partnership is fine. But under **S. 7**, every DP must be an **individual**. Y Pvt Ltd, being a body corporate, **cannot itself be a DP** — it can only act through a **nominee individual**. An LLP needs **at least two DPs who are individuals**, with at least one resident in India.

Conclusion: The proposal fails. To be valid, the two DPs must be **individuals** — e.g. Mr. X and a **nominee individual of Y Pvt Ltd** — with at least one of them resident in India. *(Tweak: if the LLP ended up with only one valid DP, S. 7's safety net would deem every partner a DP — but Y Pvt Ltd still cannot personally be a DP; its nominee would carry the role.)*

6. Procedure / Compliance Summary

A. Incorporation flow

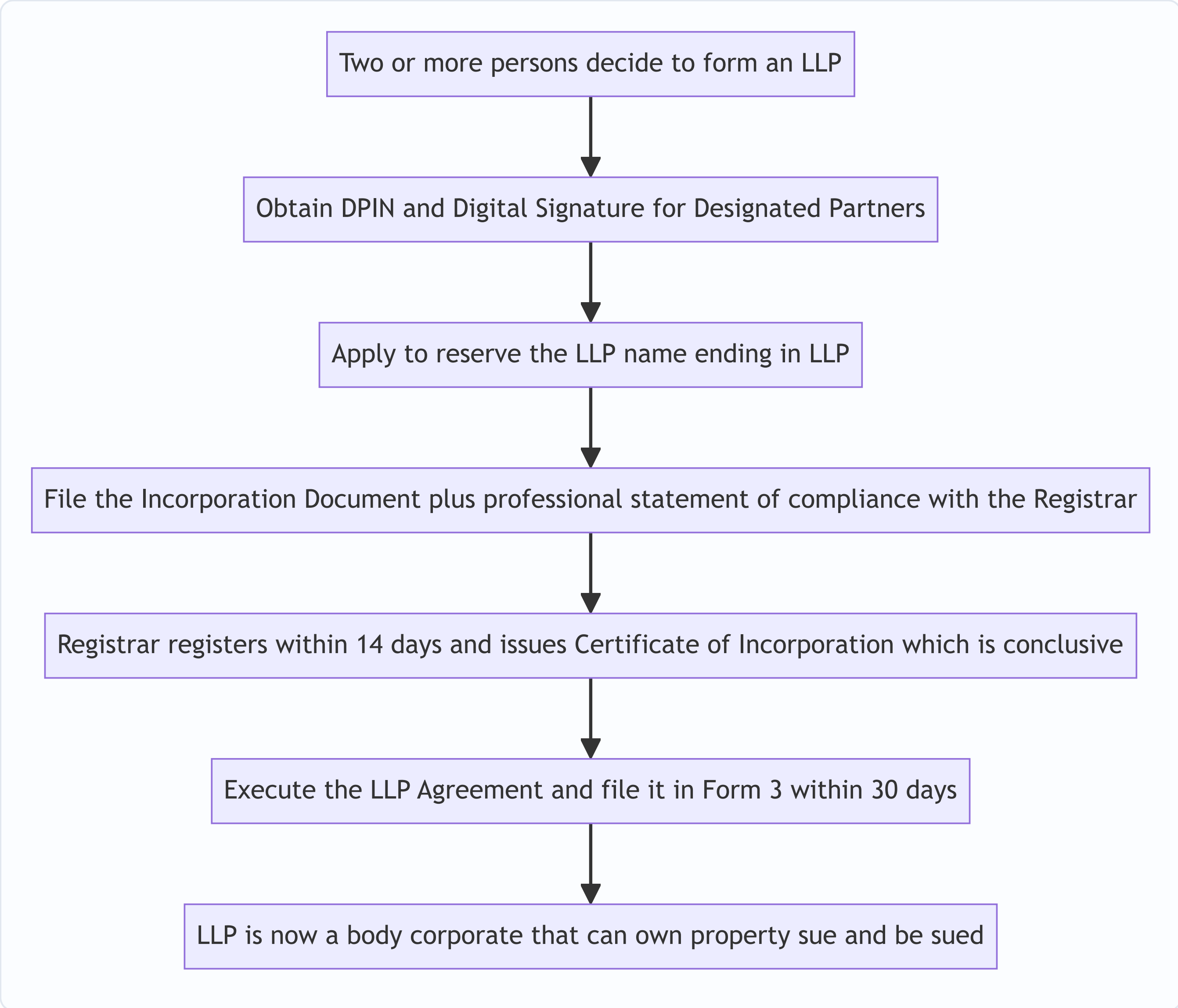


Figure 1 — From decision to a living body corporate: name, document, certificate, agreement.

B. Annual / ongoing compliance

Compliance	Provision	Form	Time limit
File LLP Agreement / changes	S. 23	Form 3	Within 30 days
Notify change of partners	S. 25	Form 4	Within 30 days
Annual Return	S. 35	Form 11	Within **60 days** of close of FY
Statement of Account & Solvency	S. 34	Form 8	Within **6 months** of end of FY
Audit (if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh)	S. 34	—	With annual accounts
Name/LLP status on correspondence	S. 21	—	Continuous

(Confirm current forms, thresholds and any late-fee/penalty figures in ICAI material / MCA rules.)

C. The liability decision tree

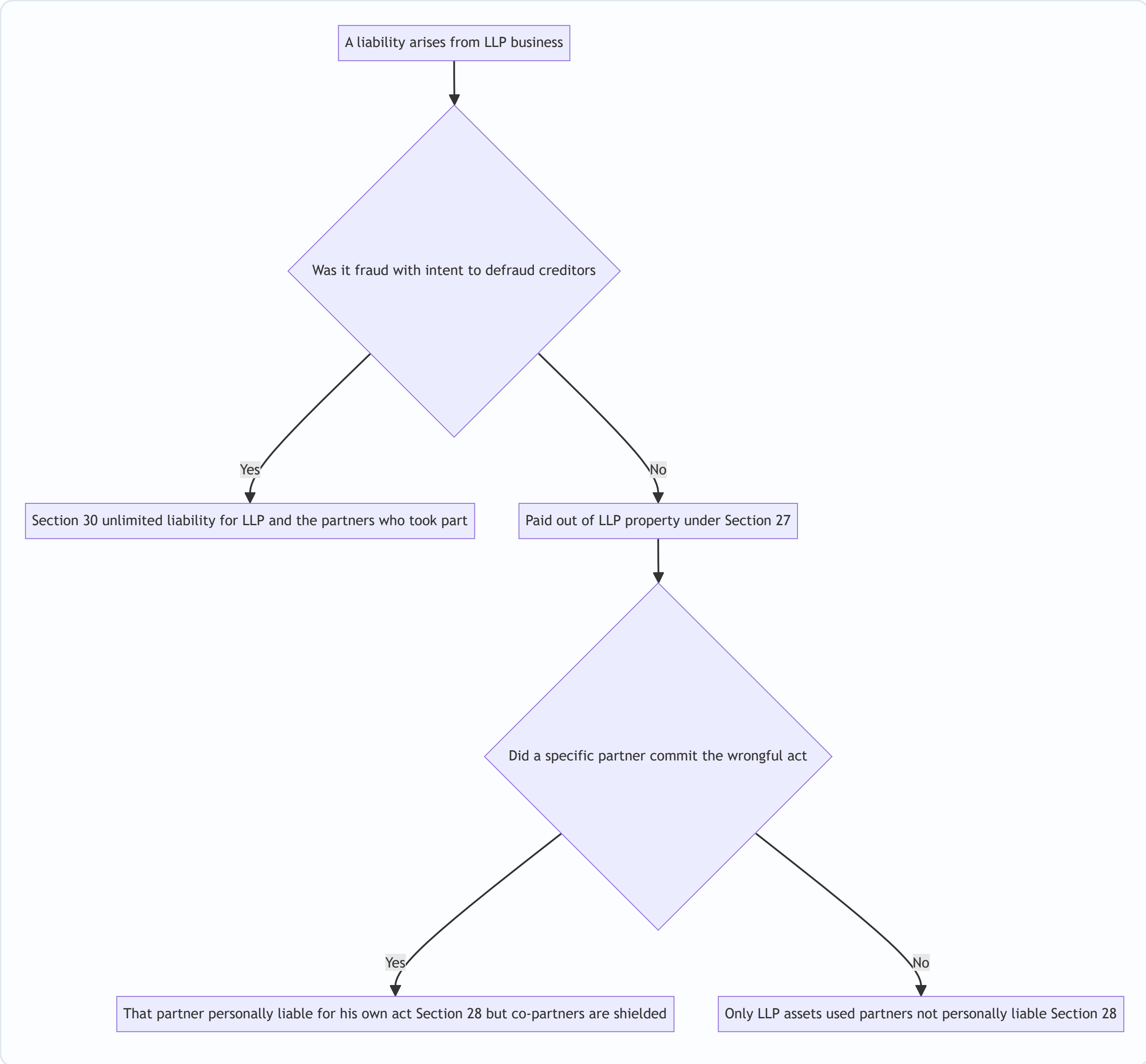


Figure 2 — Where the money comes from: fraud breaks the shield, own-wrong reaches one partner, everything else stops at the LLP's assets.

D. Conversion flow

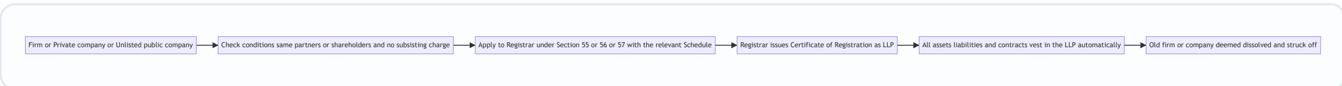
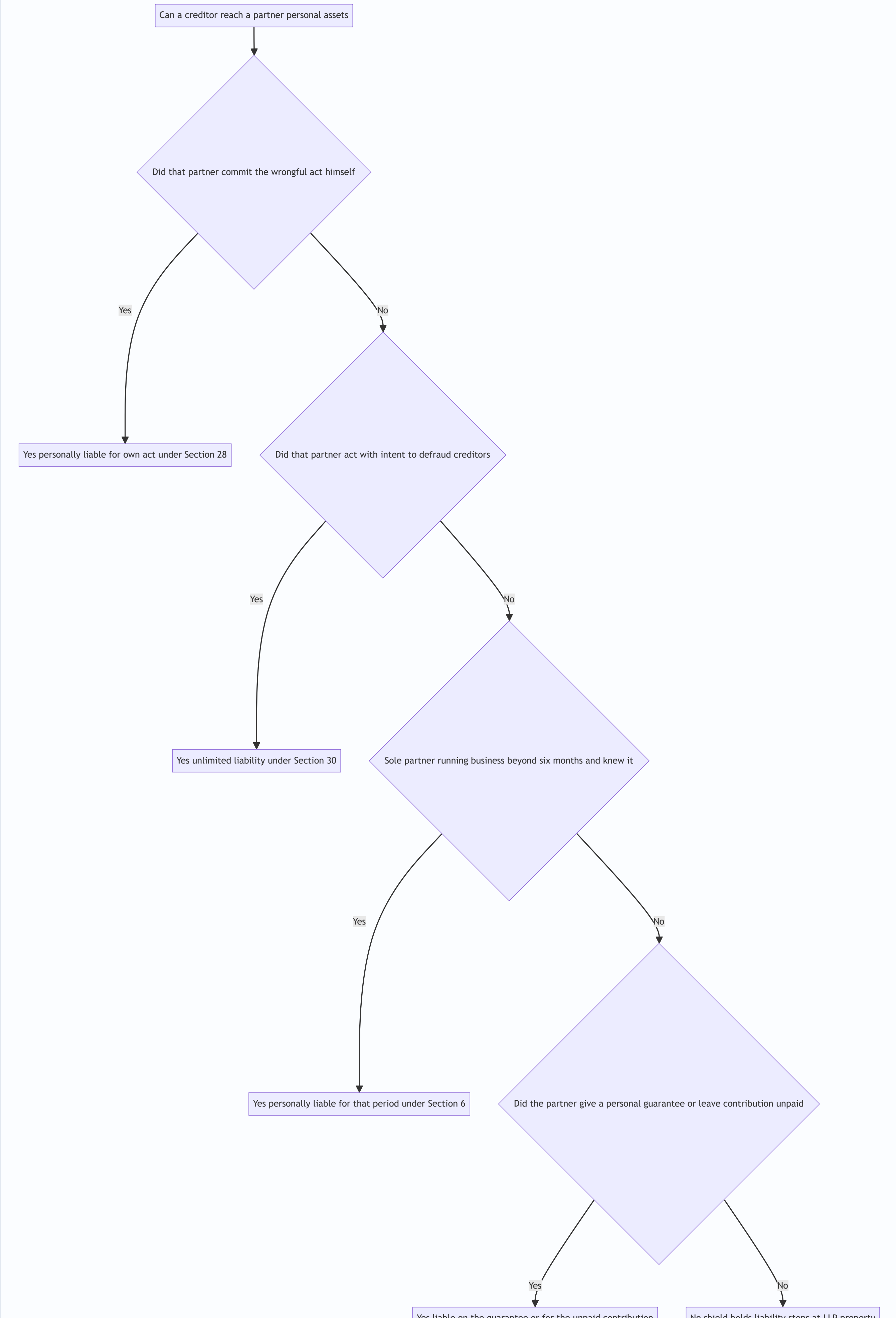


Figure 3 — Migration into an LLP: conditions, certificate, automatic vesting, dissolution of the old entity.

E. When can a partner's personal wealth be reached — the exhaustive map



Can a creditor reach a partner personal assets
Did that partner commit the wrongful act himself
Yes
No
Yes personally liable for own act under Section 28
Did that partner act with intent to defraud creditors
Yes
No
Yes unlimited liability under Section 30
Sole partner running business beyond six months and knew it
Yes
No
Yes personally liable for that period under Section 6
Did the partner give a personal guarantee or leave contribution unpaid
Yes
No
Yes liable on the guarantee or for the unpaid contribution
No shield holds liability stops at LLP property

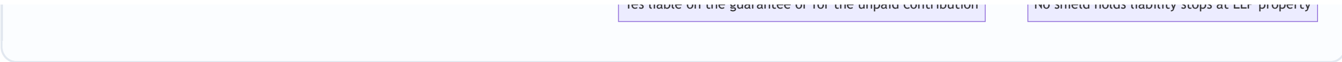


Figure 5 — The only five doors through the shield: own wrong, fraud, solo beyond six months, personal guarantee, and unpaid contribution.

7. Connections — how this chapter links to the rest of the syllabus

- **Companies Act 2013 — "Body corporate" and "separate legal personality":** the LLP borrows the *Salomon v. Salomon* principle (separate entity, limited liability) that you studied for companies. The **piercing of the veil** for fraud (Section 30 LLP) is the cousin of lifting the corporate veil under company law.
- **Indian Partnership Act 1932:** the deliberate *contrast*. LLP switches the 1932 Act **off** (Section 4), deletes mutual agency between partners (Section 26), and the **First Schedule defaults** are consciously modelled on 1932 defaults (equal profit share, no remuneration, unanimous consent for new partners) — so learning one reinforces the other. Note the *minor* contrast: a minor can be admitted to the benefits of a 1932 firm but **cannot** be an LLP partner.
- **Number of members / "association of persons" rule (S. 464 Companies Act):** the old ceiling on partners that the LLP abolishes (no maximum).
- **Interpretation of Statutes:** the "conclusive evidence" clauses (certificates) are a neat example of a *conclusive proof* provision — no evidence may be led to contradict them. The *matter-by-matter* fallback of the First Schedule is a good illustration of a *default rule* that yields to express contract.
- **NCLT jurisdiction:** winding up and compromise/arrangement of LLPs go to the **Tribunal**, the same forum you meet in company law.
- **Unpaid share capital analogy:** an unpaid LLP *contribution* (S. 32–33) behaves like *unpaid share capital* on partly-paid shares — the owner's exposure is capped at the amount agreed but *not yet brought in*.

8. Traps & Examiner Tricks

1. **"The Partnership Act 1932 governs LLPs." FALSE.** Section 4 expressly disapplies it. Classic trap.
2. **Minimum vs maximum partners.** Minimum **2** partners; **NO maximum**. (Don't confuse with a private company's 200-member cap.) Minimum **2 Designated Partners**, at least one **resident in India**, both **individuals**.
3. **Falling below 2 partners.** Not instant death — a **6-month** grace; only *after* 6 months does the **sole knowing partner** become personally liable. (Winding-up ground kicks in only after 6 months too.)
4. **The residency figure.** Often tested. Currently a DP must have stayed in India **≥ 120 days** in the FY (amended down from 182) — **confirm the current figure.** Don't blindly write 182.
5. **"A partner is liable for a co-partner's wrongful act." FALSE** (Section 28) — that's the *old* partnership rule. But a partner **is** liable for his **own** wrongful act, and **all fraudsters** lose the shield (Section 30).
6. **Remuneration by default.** If the agreement is silent, **no partner gets a salary** and **profits are shared equally** — even if one partner works far more. Examiners love the "he does more work" fact pattern.
7. **Common seal is OPTIONAL** (Section 14). Don't say it's mandatory.
8. **Two annual filings, two different deadlines:** Annual Return (Form 11) within **60 days**; Statement of Account & Solvency (Form 8) within **6 months**. Swapping these is a common slip.

9. **Body corporate can be a PARTNER but cannot be a DESIGNATED PARTNER** (only individuals can be DPs — a corporate partner acts through its nominee).
10. **Cessation needs notice to bind outsiders** (Section 24): a retired partner can still be treated as a partner by a creditor until notice reaches the third party *or* the Registrar.
11. **Certificate of Incorporation is CONCLUSIVE evidence** (Section 12) — outsiders can't challenge the formation.
12. **No direct LLP → company conversion under the LLP Act.** Conversion runs *into* the LLP (firm/company → LLP), not the other way in this Act. Don't assert a symmetrical route.
13. **Audit exemption thresholds:** turnover **> Rs. 40 lakh** OR contribution **> Rs. 25 lakh** triggers audit — below both, exempt. Reversing the "OR" into "AND" is a trap.
14. **Registrar, not RoC of companies for firms:** LLPs register with the **Registrar (of LLPs)** under this Act — think MCA/Registrar, not the Registrar of Firms.
15. **"LLP is a company." FALSE.** It is a **body corporate** and a separate legal entity, but *not* a company. Every company is a body corporate; not every body corporate is a company.
16. **An LLP cannot be formed for a charitable / not-for-profit object** — Section 11 requires "a view to profit." A company *can* (Section 8). Don't equate them here.
17. **Only an UNLISTED public company can convert** to an LLP (S. 57). A *listed* company cannot.
18. **Fraud needs INTENT** (Section 30). Mere negligence, recklessness or honest business failure does **not** strip the shield — only *dishonest intent* does.
19. **Minor cannot be an LLP partner** — unlike a minor admitted to the *benefits* of a 1932 firm.
20. **Reduced contribution does not defeat a relying creditor** (Section 33) — a creditor who lent on the original figure can still enforce it despite a later amendment.
21. **Limited liability is capped at CONTRIBUTION, not at zero** — an *unpaid* agreed contribution is still recoverable into the LLP. And a *personal guarantee* by a partner is enforceable outside the shield entirely.
22. **No minimum capital / minimum contribution** requirement for an LLP *(confirm)* — a point of flexibility, not a compliance requirement to state as mandatory.

9. First-Principles Recap

Start from the pain and rebuild the Act:

1. **The pain:** partnership = flexible but personally ruinous (unlimited + liable for partner's wrongs + dies on exit). Company = safe but rigid and expensive.
2. **The invention:** give a partnership a **company's skin.** → **Section 3:** body corporate, separate entity, perpetual succession.
3. **Put the shield in:** debts hit the **entity's** property (S. 27); a partner isn't liable just for being one and isn't liable for a *co-partner's* wrong (S. 28). To make that coherent, sever mutual agency (S. 26).
4. **Define what the shield is measured against:** contribution can be cash, property or even services (S. 32), and an agreed contribution stays enforceable so a relying creditor is not cheated (S. 33).
5. **Keep the shield honest:** fraud → **unlimited** liability (S. 30); solo-running past 6 months → personal liability (S. 6).
6. **Keep the inside free:** mutual rights = **private LLP Agreement** (S. 23); gaps filled *matter-by-matter* by the **First Schedule** (equal share, no salary, unanimous new-partner consent).

7. **Make someone answerable to the State** (price of the shield): **2 Designated Partners, 1 resident, both individuals** (S. 7), responsible for filings and penalties; if they lapse, *every* partner is deemed a DP.
8. **Warn and inform the world** (so creditors accept a capped recovery): mandatory **"LLP" suffix** (S. 15), name on correspondence (S. 21), public **register** kept current by filing changes (S. 25) and annual disclosures — Annual Return (S. 35) and Statement of Account & Solvency (S. 34).
9. **Invite migration:** convert firm/private/unlisted-public company **into** an LLP with **automatic vesting** (S. 55–57, Schedules 2–4) — but old liabilities follow the assets in.
10. **Dissolve the entity that breaks the bargain:** solo beyond 6 months, chronic 5-year non-filing, inability to pay debts, or just-and-equitable → winding up by the Tribunal (S. 64).

If you can regenerate the section numbers from *why each one had to exist*, you have understood, not memorised.

10. Quick-Revision Sheet

Key sections at a glance

Section	Content
S. 2	Definitions (partner, DP, LLP agreement, body corporate, foreign LLP)
S. 3	LLP is a **body corporate**, separate entity, perpetual succession
S. 4	**Partnership Act 1932 does NOT apply**
S. 5	Who can be a partner (individual/body corporate; not unsound-mind/insolvent; no minor)
S. 6	**Min 2 partners**; below 2 for **> 6 months** → sole partner personally liable; **no maximum**
S. 7	**Min 2 Designated Partners**, both individuals, **≥1 resident in India**; DPIN; consent; deemed-DP safety net
S. 11–12	Incorporation document + professional statement; Certificate of Incorporation (**conclusive**)
S. 13	Registered office
S. 14	Powers: sue/be sued, own property, **optional** common seal
S. 15	Name must end with **"LLP"/"Limited Liability Partnership"**
S. 21	Name & registration number on correspondence
S. 22–23	Partners; **LLP Agreement** governs mutual rights; **First Schedule** fills gaps matter-by-matter
S. 24	Cessation of partner; notice needed to bind third parties; interest becomes a financial claim
S. 25	File change of partners within **30 days**
S. 26	Partner is agent of the **LLP**, not of other partners
S. 27	LLP's liability met out of **LLP property**; two-limb "not bound" test
S. 28	Partner **not liable for co-partner's** wrong; liable for **own** wrong
S. 30	**Fraud (with intent)** → **unlimited** liability + penalties; innocent partner shielded
S. 31	Whistle-blower protection
S. 32–33	Contribution (cash/property/services); agreed contribution enforceable by relying creditor
S. 34	Books; **Statement of Account & Solvency** (Form 8) within **6 months**; audit exemption
S. 35	**Annual Return** (Form 11) within **60 days**
S. 55–57	Conversion **into** LLP (Firm / Pvt Co / Unlisted Public Co) — Schedules 2/3/4
S. 63–65	Winding up (voluntary / by Tribunal) & dissolution

Limits & thresholds table

Item	Figure
Minimum partners	2
Maximum partners	None
Minimum Designated Partners	2 (individuals)
DPs resident in India	At least 1
Residency test for a DP	Stay ≥ **120 days** in the FY *(confirm)*
Minimum capital / contribution	None *(confirm)*
Grace period below 2 partners before personal liability	**6 months**
Certificate of Incorporation issued within	14 days
File LLP Agreement / changes (Form 3)	30 days
Notify change of partners (Form 4)	30 days
Annual Return (Form 11)	**60 days** of FY close
Statement of Account & Solvency (Form 8)	**6 months** of FY end
Audit required if turnover >	**Rs. 40 lakh** *(confirm)*
Audit required if contribution >	**Rs. 25 lakh** *(confirm)*
Cessation default notice period (agreement silent)	**30 days**
Non-filing ground for winding up	**5 consecutive** FYs
Cessation notice / "still a partner to outsiders" until	Notice to third party or Registrar

The four one-liners to never forget 1. "*A partnership wearing a company's skin*" — flexibility inside, shield outside (S. 3, S. 23, S. 28). 2. "*Your own sin, your own skin*" — you answer for your own wrong, never your partner's (S. 28), and fraud kills the shield (S. 30). 3. "*Silence speaks the First Schedule*" — no agreement → equal shares, no salary, unanimous new partners (S. 23). 4. "*2 DPs, 1 in India, both individuals*" — the accountable human face that pays for the shield (S. 7).

The five doors through the shield (never miss one in a liability answer) Own wrongful act (S. 28) · Fraud with intent (S. 30) · Solo beyond 6 months (S. 6) · Personal guarantee (outside the Act) · Unpaid agreed contribution (S. 32–33).

Contrast table — LLP vs Company vs Traditional Partnership *(examiner favourite)*

Feature	Traditional Partnership (1932)	LLP (2008)	Company (2013)
Governing law	Indian Partnership Act 1932	LLP Act 2008	Companies Act 2013
Separate legal entity	**No**	**Yes**	**Yes**
Perpetual succession	No (ends on death/exit)	**Yes**	**Yes**
Liability of owners	**Unlimited**, joint & several	**Limited** to contribution	Limited to shares/guarantee
Liable for partner's/co-owner's wrong	**Yes** (mutual agency)	**No** (S. 28)	N/A
Min / Max members	2 / capped (small)	2 / **no max**	Pvt 2–200; Public 7–no max; OPC 1
Minor as member	Can be admitted to benefits	**No**	No (as member/shareholder)
Internal governance	Free (agreement)	**Free (LLP Agreement)**	Rigid (Board, AGM, statutory registers)
Compulsory audit	No	**Only above thresholds**	**Yes** (generally)
Managed by	Partners	Partners / Designated Partners	Directors (distinct from shareholders)
Public filing of accounts	No	**Yes** (Form 8/11)	**Yes**
Can own property / sue in own name	No (through partners)	**Yes**	**Yes**
Charitable / not-for-profit object	Possible	**Not permitted** (view to profit)	Possible (Section 8)
Name must end with	—	**"LLP"**	"Limited"/"Private Limited"

Figure 4 (table) — The third door: LLP takes the freedom column from partnership and the shield column from company.

Q&A — The Limited Liability Partnership Act 2008

> Exam-oriented question bank. Every question is immediately followed by a complete model answer with section citations. All references are to the **Limited Liability Partnership Act, 2008** (LLP Act) unless otherwise stated. Companies Act 2013 and Indian Partnership Act 1932 are cited where relevant.

SECTION A — Concept-Check (Short Questions + Answers)

A1. Define a Limited Liability Partnership. What is its legal character? Answer: Under **Section 2(1)(n)**, an LLP is a partnership formed and registered under the Act. **Section 3** declares that an LLP is a **body corporate** formed and incorporated under the Act, and is a **legal entity separate from its partners** having **perpetual succession**. Any change in partners does not affect the existence, rights or liabilities of the LLP. Thus it combines the organisational flexibility of a partnership with the separate-entity and limited-liability features of a company.

A2. Does the Indian Partnership Act, 1932 apply to an LLP? Answer: No. **Section 4** expressly provides that the provisions of the **Indian Partnership Act, 1932 shall not apply** to an LLP. The mutual rights and duties of partners and of the LLP are governed by the **LLP agreement**, and in its absence by **Schedule I**.

A3. Who can be a partner in an LLP and what is the minimum requirement? Answer: Under **Section 5**, any **individual or body corporate** may be a partner. An individual is disqualified only if declared of unsound mind, an undischarged insolvent, or one whose insolvency application is pending. **Section 6(1)** requires a **minimum of two partners**. Under **Section 6(2)**, if the number falls below two and business is carried on for more than **6 months** with a single partner, that sole partner (who knows the fact) becomes **personally liable** for the obligations incurred during that period.

A4. What is a "designated partner"? What are the statutory requirements? Answer: Under **Section 7**, every LLP must have at least **two designated partners** who are **individuals**, and **at least one must be resident in India** (stayed in India ≥ **120 days** during the financial year). Designated partners are responsible for compliance and are answerable for penalties. Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** under **Section 7(6)**. **Section 8** makes designated partners responsible for doing all acts required under the Act and liable for penalties on contravention.

A5. State the effect of Section 14 (effect of registration). Answer: On registration, by its name an LLP is **capable of** (a) suing and being sued, (b) acquiring, owning, holding and developing/disposing of **property** (movable/immovable, tangible/intangible), (c) having a **common seal** (if it chooses), and (d) doing and suffering such other acts as bodies corporate may lawfully do. This confirms separate legal personality.

A6. When does a person cease to be a partner (Section 24)? Answer: A person may cease to be a partner per the **LLP agreement**, or in absence of agreement by giving **30 days' notice** in writing to the other partners. A person also ceases on **death**, **dissolution** of the LLP, being declared of **unsound mind**, or being **adjudged insolvent**. The cessation does not by itself discharge liability already incurred.

A7. Explain the extent of liability of partners under Section 27 and Section 28. Answer: Section 27(3) provides that an obligation of the LLP, whether in contract or otherwise, is **solely the obligation of the LLP**, met out of its property. **Section 28(1)** provides that a partner is **not personally liable**, directly or indirectly, for obligations of the LLP solely by reason of being a partner. However, **Section 27(1)** — no vicarious liability for a partner's wrongful acts done without authority — and the **fraud exception in Section 30** are the limits to this shield.

A8. What is the position on liability in case of fraud (Section 30)? Answer: Under **Section 30(1)**, where the LLP or a partner acts with **intent to defraud** creditors or for any fraudulent purpose, the liability of the LLP **and** the partners who acted with such intent is **unlimited** for all debts/obligations. **Section 30(2)** imposes a fine of **₹50,000 to ₹5,00,000** and possible imprisonment. This is the LLP's "veil-piercing" provision.

SECTION B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. Falling below minimum partners. Facts: XY LLP has two partners, X and Y. Y dies on 1 April. X continues the business alone for 8 months and incurs a debt of ₹10 lakh to a supplier. X argues the debt is the LLP's alone. **Analysis: Section 6(1)** requires a minimum of two partners. **Section 6(2)** states that where business is carried on with **only one partner for more than 6 months**, the sole partner who knows he is the only one becomes **personally liable** for the obligations of the LLP incurred during that period. Here X carried on for 8 months (> 6 months) knowing Y had died. **Conclusion:** X is **personally liable** for the ₹10 lakh debt incurred after the 6-month grace period, jointly with the LLP. The limited-liability shield of Section 28 is lost for that period.

B2. Partner acting without authority. Facts: P, a partner of ABC LLP, borrows ₹5 lakh from Z in the LLP's name for his personal use. Z knew P had no authority to bind the LLP and also knew P was not acting for the firm. **Analysis:** Under **Section 27(1)**, an LLP is **not bound** by anything done by a partner in dealing with a person if (a) the partner has **no authority** to act, **and** (b) the person **knows** he has no authority or does not know/believe him to be a partner of the LLP. Both conditions are satisfied — Z knew P lacked authority and knew it was personal. **Conclusion:** The LLP is **not liable** to Z. Z can proceed only against P personally. Had Z been unaware of the lack of authority, **Section 27(2)** (partner as agent of LLP) would have bound the LLP.

B3. Fraudulent conduct. Facts: Two partners of MNO LLP siphon funds and deliberately incur liabilities to defraud creditors before winding up. Creditors seek to reach the partners' personal assets. **Analysis: Section 30(1)** removes the limited-liability protection where business is carried on **with intent to defraud creditors** or for a fraudulent purpose. In such a case the liability of the LLP **and of the partners who acted with fraudulent intent** becomes **unlimited**. **Conclusion:** The two fraudulent partners are **personally and unlimitedly liable** to creditors, and are additionally liable to a fine of **₹50,000–₹5,00,000** with possible imprisonment under **Section 30(2)**. Innocent partners are not caught by the unlimited liability.

B4. Holding out. Facts: R is not a partner of DEF LLP but allows the LLP to represent to a bank that he is a partner. On the faith of that, the bank extends credit. The LLP defaults. **Analysis: Section 29(1)** provides that a person who **by words or conduct represents himself, or knowingly permits himself to be represented, as a partner** is liable to any person who has on the faith of such representation given credit to the LLP — whether or not the person represented is aware of it. **Conclusion:** R is liable to the bank as though he were an actual partner (**liability by holding out**), even though he is not on the register.

B5. Business transfer / assignment of partner's interest. Facts: G, a partner in GHI LLP, assigns his profit-share to his creditor C to settle a personal debt. C claims he is now a partner and demands access to accounts and management. **Analysis:** Under **Section 42**, the rights of a partner to a **share of profits and losses and to receive distributions** are **transferable** (wholly or in part). However, such transfer does **not** by itself cause the partner's cessation nor entitle the transferee to **participate in management** or to access information about the LLP's transactions. **Conclusion:** C is entitled only to receive G's share of profits/distributions. C is **not a partner** and has **no management or information rights**. G continues as partner.

SECTION C — Past-Paper-Style Descriptive Questions (Model Answers)

C1. "An LLP is a hybrid of a company and a partnership." Discuss the salient features of an LLP under the LLP Act, 2008. Answer: 1. **Body corporate / separate legal entity** — Section 3; distinct from partners with perpetual succession. 2. **Limited liability** — Section 27(3) and Section 28: obligations are the LLP's own; partners not personally liable merely for being partners. 3. **Partnership Act excluded** — Section 4; internal relations governed by LLP agreement / Schedule I. 4. **Perpetual succession** — Section 3(2): change of partners does not dissolve the LLP. 5. **Minimum two partners** — Section 6; at least **two designated partners**, one resident in India — Section 7. 6. **Capacity** — Section 14: can sue/be sued, own property, common seal. 7. **Mutual agency** — Section 26: each partner is an agent of the **LLP** but **not** of other partners (unlike Section 18 of the Partnership Act 1932). 8. **Perpetual existence independent of partners; property held in LLP's name.**

C2. Explain the provisions relating to incorporation of an LLP (Sections 11 to 13). Answer: - **Section 11 — Incorporation document:** Two or more persons associated for carrying on a lawful business **with a view to profit** subscribe their names to an incorporation document, file it with the Registrar (of the State where the registered office is situated) with the prescribed fee, along with a **statement** by an advocate/CA/CS/Cost Accountant engaged in formation and by a subscriber that the requirements of the Act have been complied with. The incorporation document states the name, proposed business, registered office address, name/address of every partner and designated partner. Making a **false statement** knowingly attracts imprisonment up to 2 years and fine (₹10,000–₹5,00,000). - **Section 12 — Incorporation by registration:** The Registrar registers the document within **14 days** and issues a **certificate of incorporation**, which is **conclusive evidence** that the LLP is incorporated. - **Section 13 — Registered office:** Every LLP must have a registered office to which communications may be addressed. Change of registered office is made per the LLP agreement; the Act prescribes filing of notice of change with the Registrar.

C3. Discuss the requirement and role of "Designated Partners" (Sections 7, 8, 9, 10). Answer: - **Section 7(1):** Minimum **two designated partners**, both individuals, **at least one resident in India** (in India ≥ 120 days in the financial year). - **Section 7(3)–(4):** Consent of each designated partner to be filed; particulars to be with the Registrar. - **Section 7(6):** Every designated partner must have a **DPIN**. - **Section 8:** Designated partners are **responsible** for compliance with the Act (filings, returns) and **liable to penalties** for contravention. - **Section 9:** LLP must ensure it always has the requisite number; a vacancy must be filled within **30 days**; if no designated partner is appointed or only one exists, **every partner** is deemed a designated partner. - **Section 10:** Penalty for contravention of Sections 7/8/9 — the LLP and its partners are punishable with fine.

C4. Explain the provisions relating to conversion of a firm/private company/unlisted public company into an LLP (Sections 55–58, Schedules 2–4). Answer: - **Section 55** read with **Schedule 2** — a **firm** may convert into an LLP; all partners of the firm become partners of the LLP and no one else. - **Section 56** read with **Schedule 3** — a **private company** may convert into an LLP; all shareholders become partners and no one else. - **Section 57** read with **Schedule 4** — an **unlisted public company** may convert into an LLP; likewise all shareholders become partners. - **Section 58** — On conversion the Registrar issues a **certificate**

of registration; the LLP must within **15 days** inform the concerned Registrar of Firms/Companies. On and from the date in the certificate, **all assets, liabilities, interests, rights, privileges, obligations** of the firm/company vest in the LLP, and the firm/company is **deemed dissolved / removed** from the records. Pending proceedings continue against the LLP. Conditions in the Schedules include that there is **no security interest** subsisting/in force at the time (for firm conversion) and that the entity is **solvent** and up-to-date on filings.

C5. Write short notes on: (a) Extent of liability of LLP (Section 27); (b) Whistle blowing (Section 31). **Answer: (a) Section 27 — Extent of liability of LLP:** The LLP is **not bound** by an unauthorised act of a partner where the other party knew of the lack of authority (Sec 27(1)). The LLP is **liable** if a partner is liable for a wrongful act/omission in the course of business or with authority (Sec 27(2)). Any such liability is **met out of the property of the LLP** and is the LLP's obligation alone (Sec 27(3)/(4)). **(b) Section 31 — Whistle blowing:** The Court/Tribunal may **reduce or waive penalty** against a partner or employee of an LLP who provides useful information leading to conviction or detection of an offence. Such a partner/employee is **protected against discharge, demotion, suspension, harassment or discrimination** in the terms of employment merely for providing such information. This encourages internal disclosure of fraud/wrongdoing.

SECTION D — MCQs / Case Scenarios (Correct Option + One-line Reasoning)

D1. Minimum number of designated partners in an LLP is: (a) 1 (b) 2 (c) 3 (d) 7 **Answer: (b) 2** — Section 7(1) requires at least two designated partners, at least one resident in India.

D2. The maximum number of partners in an LLP is: (a) 20 (b) 50 (c) 100 (d) No limit **Answer: (d) No limit** — Section 6(1) prescribes only a **minimum of two**; there is no statutory maximum.

D3. The Registrar shall register the incorporation document within: (a) 7 days (b) 14 days (c) 30 days (d) 60 days **Answer: (b) 14 days** — Section 12(1).

D4. If an LLP carries on business with a single partner for more than 6 months, the sole partner: (a) Has no liability (b) Is personally liable for obligations during that period (c) Faces LLP dissolution automatically (d) Is fined ₹1 lakh **Answer: (b)** — Section 6(2) imposes personal liability on the sole partner who knew.

D5. The Indian Partnership Act, 1932 in relation to an LLP: (a) Applies fully (b) Applies partly (c) Does not apply (d) Applies only to designated partners **Answer: (c) Does not apply** — Section 4.

D6. In the absence of an LLP agreement, mutual rights and duties are governed by: (a) Companies Act 2013 (b) Schedule I to the LLP Act (c) Partnership Act 1932 (d) The Registrar's directions **Answer: (b) Schedule I** — default provisions apply where the agreement is silent.

D7. A resident partner for Section 7 must have stayed in India during the financial year for at least: (a) 60 days (b) 120 days (c) 182 days (d) 240 days **Answer: (b) 120 days** — Section 7(1) Explanation (as amended).

D8. Where a person carries on business with intent to defraud creditors, liability of the LLP and the guilty partners is: (a) Limited to capital (b) Nil (c) Unlimited (d) Limited to ₹5 lakh **Answer: (c) Unlimited** — Section 30(1); plus fine ₹50,000–₹5,00,000 under Section 30(2).

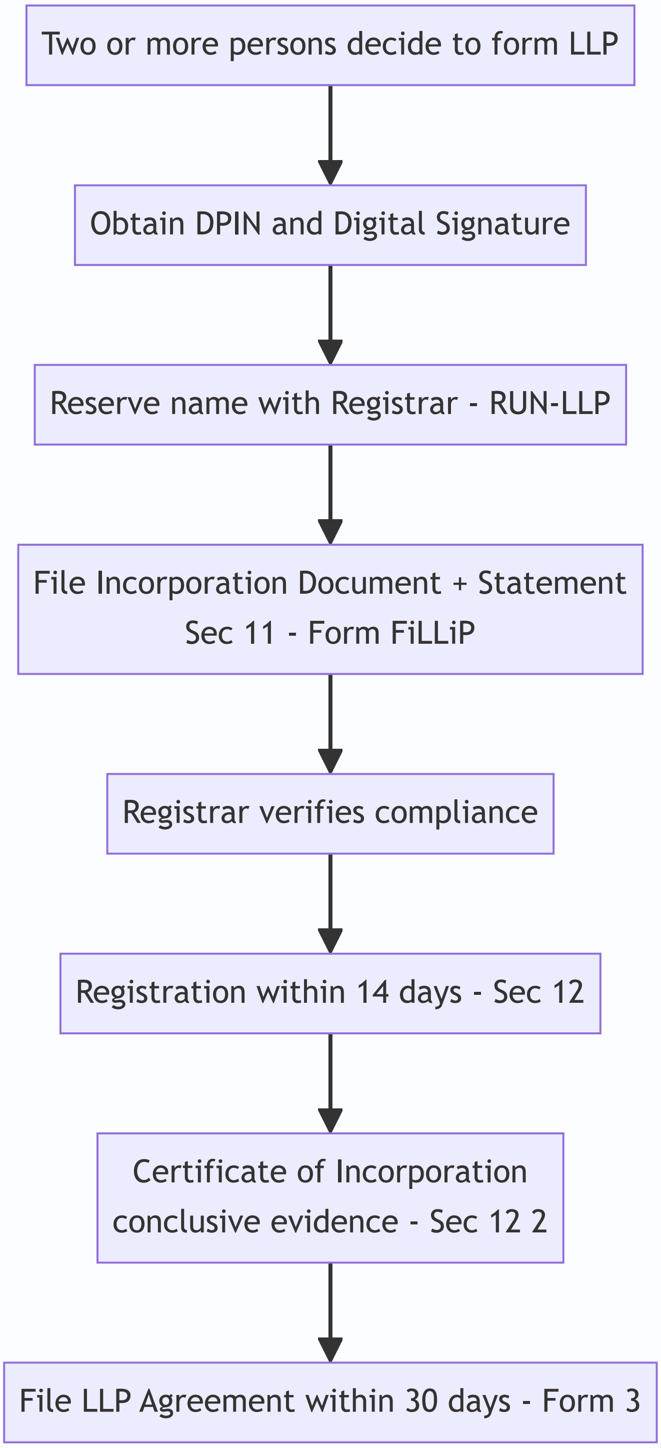
D9. A partner's right assignable under Section 42 is: (a) Right to manage (b) Right to a share of profits and distributions (c) Right to access accounts (d) All rights of a partner **Answer: (b)** — Section 42; assignment does not give management or information rights.

D10. The Statement of Account and Solvency and Annual Return are filed under: (a) Sections 34 & 35 (b) Sections 11 & 12 (c) Sections 55 & 56 (d) Sections 63 & 64 **Answer: (a) Sections 34 & 35** — Section 34 (accounts/Statement of Account and Solvency within 6 months of year-end) and Section 35 (Annual Return within 60 days of close of financial year).

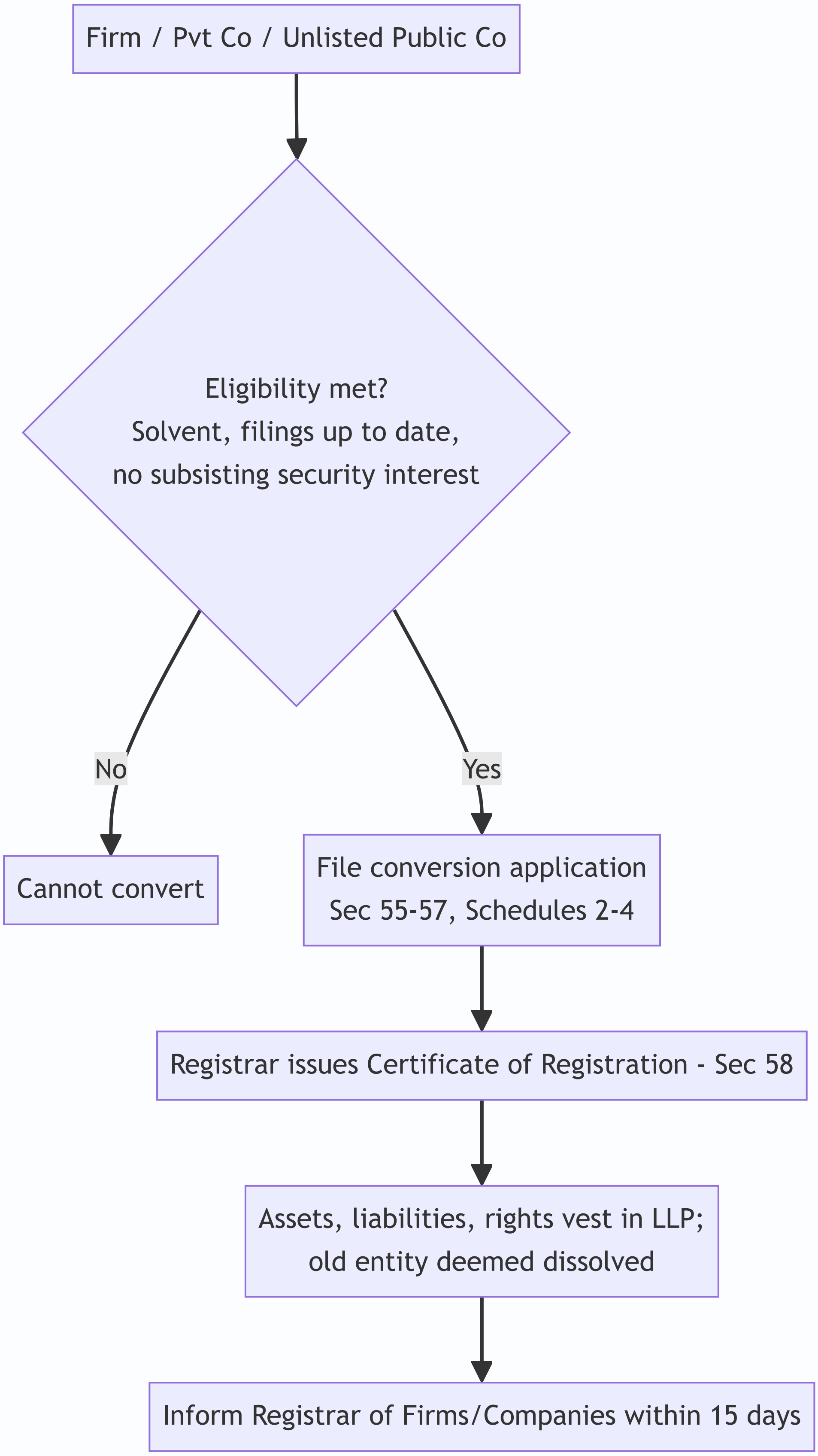
D11. A certificate of incorporation issued under Section 12 is: (a) Prima facie evidence (b) Conclusive evidence of incorporation (c) Not evidence (d) Evidence of solvency **Answer: (b) Conclusive evidence** — Section 12(2).

D12. Winding up of an LLP may be: (a) Only voluntary (b) Only by Tribunal (c) Voluntary or by the Tribunal (d) Only by the Registrar **Answer: (c)** — Section 63 (voluntary or by Tribunal); Section 64 lists grounds for winding up by Tribunal.

Key Procedure — Incorporation of an LLP (Mermaid)



Key Procedure — Conversion into LLP (Mermaid)



First-Principles Recap

- An LLP exists to solve **two traps**: unlimited personal liability in a partnership (Partnership Act 1932) and the rigidity/compliance burden of a company (Companies Act 2013).
- It is a **body corporate** (Section 3) yet governed internally by **contract** (Section 4 + LLP agreement + Schedule I) — company-like shell, partnership-like flexibility.
- The **liability shield** (Sections 27–28) is real but is **defeated by fraud** (Section 30), by **falling below two partners** for 6 months (Section 6(2)), and by **holding out** (Section 29).
- Each partner is agent of the **LLP only**, not of co-partners (Section 26) — this is the design fix that makes limited liability workable.
- Compliance rests on **designated partners** (Sections 7–10) who file the **Statement of Account & Solvency (Sec 34)** and **Annual Return (Sec 35)**.

Quick-Revision Sheet

Key Sections Table

Section	Subject
2	Definitions (LLP, partner, designated partner)
3	LLP is a body corporate / separate legal entity
4	Partnership Act 1932 not to apply
5	Who may be a partner
6	Minimum two partners; sole-partner liability
7	Designated partners; resident condition; DPIN
8–10	Duties, changes and penalties re designated partners
11–13	Incorporation document, registration, registered office
14	Effect of registration (capacity)
15–17	Name, reservation, change of name
21	Publication of name and limited liability
22–25	Partners, relationship, cessation, registration of changes
26	Partner as agent of LLP
27–28	Extent of liability of LLP and of partners
30	Unlimited liability in case of fraud
31	Whistle blowing
34–35	Accounts / Statement of Account & Solvency; Annual Return
42	Transfer of partner's economic rights
55–58	Conversion (firm / pvt co / unlisted public co)
59	Foreign LLPs
63–65	Winding up and dissolution; rules
Sch I–IV	Default terms; conversion conditions

Limits / Deadlines Table

Item	Limit / Period	Section
Minimum partners	2	6(1)
Minimum designated partners	2 (one resident)	7(1)
Resident stay in India	≥ 120 days	7(1)
Sole-partner grace period	6 months	6(2)
Registration of incorporation	within 14 days	12(1)
Notice of cessation (no agreement)	30 days	24
Fill designated-partner vacancy	30 days	9
File LLP agreement	30 days	Rules
Statement of Account & Solvency	within 6 months of FY end	34
Annual Return	within 60 days of FY close	35
Inform Registrar post-conversion	15 days	58
Fraud fine	₹50,000–₹5,00,000	30(2)

Contrast Table — LLP vs Company vs Partnership

Feature	LLP (LLP Act 2008)	Company (Companies Act 2013)	Partnership (Partnership Act 1932)
Legal status	Separate body corporate (Sec 3)	Separate body corporate	No separate entity
Liability of members	Limited (Sec 28)	Limited	Unlimited, joint & several
Governing internal law	LLP agreement / Sch I (Sec 4)	Articles + Act	Partnership deed / Act 1932
Perpetual succession	Yes (Sec 3)	Yes	No
Min members	2 (Sec 6)	2 private / 7 public	2
Max members	No limit	200 private / unlimited public	50 (Rules under Cos Act)
Agency	Partner = agent of LLP only (Sec 26)	Directors/officers	Each partner = agent of firm & partners
Registration	Mandatory (Sec 12)	Mandatory	Optional
``			

Chapter 12 — The General Clauses Act 1897

> The General Clauses Act, 1897 — the "law about laws." Central Act No. 10 of 1897, containing 30-odd sections that supply the default meanings and interpretation rules for **every** Central Act and Regulation, including the Companies Act 2013.

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1. The Problem — every statute re-inventing the wheel (and contradicting itself)

Imagine Parliament is drafting a new law — say the Companies Act. The draftsman writes "any **person** who contravenes this section shall be liable...". Immediately a question arises: does "person" mean only a living human being? What about a *company*? A *partnership firm*? A *trust*? If "person" means only humans, then a company could break the law and no one could be prosecuted, because a company is not a human.

So the draftsman stops and writes a definition: *"In this Act, 'person' includes a company, an association, and a body of individuals whether incorporated or not."* Good. Now he writes "the annual return shall be filed within one **month**." New question: is a month 30 days? 31? The calendar month? So he stops and defines "month" too. Then "year." Then "immovable property." Then "good faith." Then "oath." The Act balloons with dozens of definitions that have **nothing to do with company law** — they are just plumbing that every statute needs.

Now multiply this across **hundreds** of Central Acts. The Income-tax Act, the Negotiable Instruments Act, the Contract Act, the SEBI Act — each one separately defining "person," "month," "year," "government," "immovable property." This creates three disasters:

Disaster 1 — bloat and waste. The same twenty definitions are copied into hundreds of statutes. Parliament wastes time; the statute book swells with repetition.

Disaster 2 — inconsistency. Because each draftsman writes his own version, "month" might mean a calendar month in one Act and 30 days in another. "Person" might include companies in one law and exclude them in another. A citizen reading two laws cannot know which meaning applies. The law becomes a lottery.

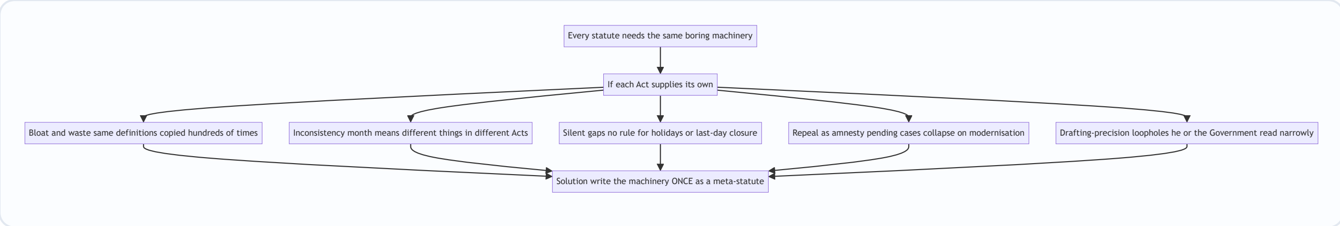
Disaster 3 — silent gaps. Worse than inconsistency is *silence*. Suppose an Act says "file within one month" but forgets to say what happens if the **last day is a Sunday** and the court is closed. Or a new Act **repeals** an old one, but a prosecution was already pending under the old Act — does the repeal wipe out the case, letting the accused walk free on a technicality? If every statute is silent on these mechanical questions, courts must guess, and guesses differ.

There is a fourth, subtler abuse. When a new law repeals an old one, a clever defendant argues: "The offence I committed was under the *old* Act. The old Act no longer exists — it was repealed. Therefore there is no law under which I can be punished." Without a rule to the contrary, **repeal becomes an amnesty** for everyone with a pending case. Rights that had already accrued, liabilities already incurred, penalties already earned — all could evaporate the moment Parliament modernised a statute.

There is even a **fifth** abuse worth naming, because examiners love it: the *drafting-precision* trap. Suppose a section says a duty is owed to "the Government," or that "he" shall do a thing, or that a power "may be exercised." Without shared defaults, a literalist wriggles free — "'the Government' meant only the Centre, not my State"; "the section says 'he', so it never bound a woman director"; "the Act let the officer make the rule *once*, and having made it he is now *functus officio* and cannot amend it." Each is a gap a sharp advocate would exploit if the machinery words were left undefined.

So the real problem is this: **statutes need a huge amount of shared, boring, mechanical machinery** — definitions, timing rules, repeal-survival rules, service rules, gender/number rules, continuing-power rules — and if each statute must supply its own, the result is bloated, contradictory, and full of exploitable gaps.

The four (really five) failure modes the GCA exists to prevent.



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2. The Core Idea — one master dictionary + rulebook that sits behind all laws

The solution is beautifully economical: **write the boring machinery ONCE, in a single meta-statute, and declare that it applies by default to every other Central Act unless that Act says otherwise.**

The General Clauses Act 1897 is that meta-statute. Think of it as two things bundled together:

1. **A default dictionary** (Section 3) — supplying the standard meaning of common words like "person," "month," "year," "immovable property," "good faith," "government," "offence." Any Central Act that uses these words gets the GCA meaning *automatically*, without repeating the definition — **unless** that Act supplies its own definition or the context clearly requires otherwise.
2. **A default rulebook** (Sections 5–30) — supplying standard rules for the mechanical questions every statute faces: *When does a law come into force? How do you count "from" and "to" dates? What if the last day is a holiday? What survives when a law is repealed? How is a document "served by post"? Does "he" include "she," and does the singular include the plural?*

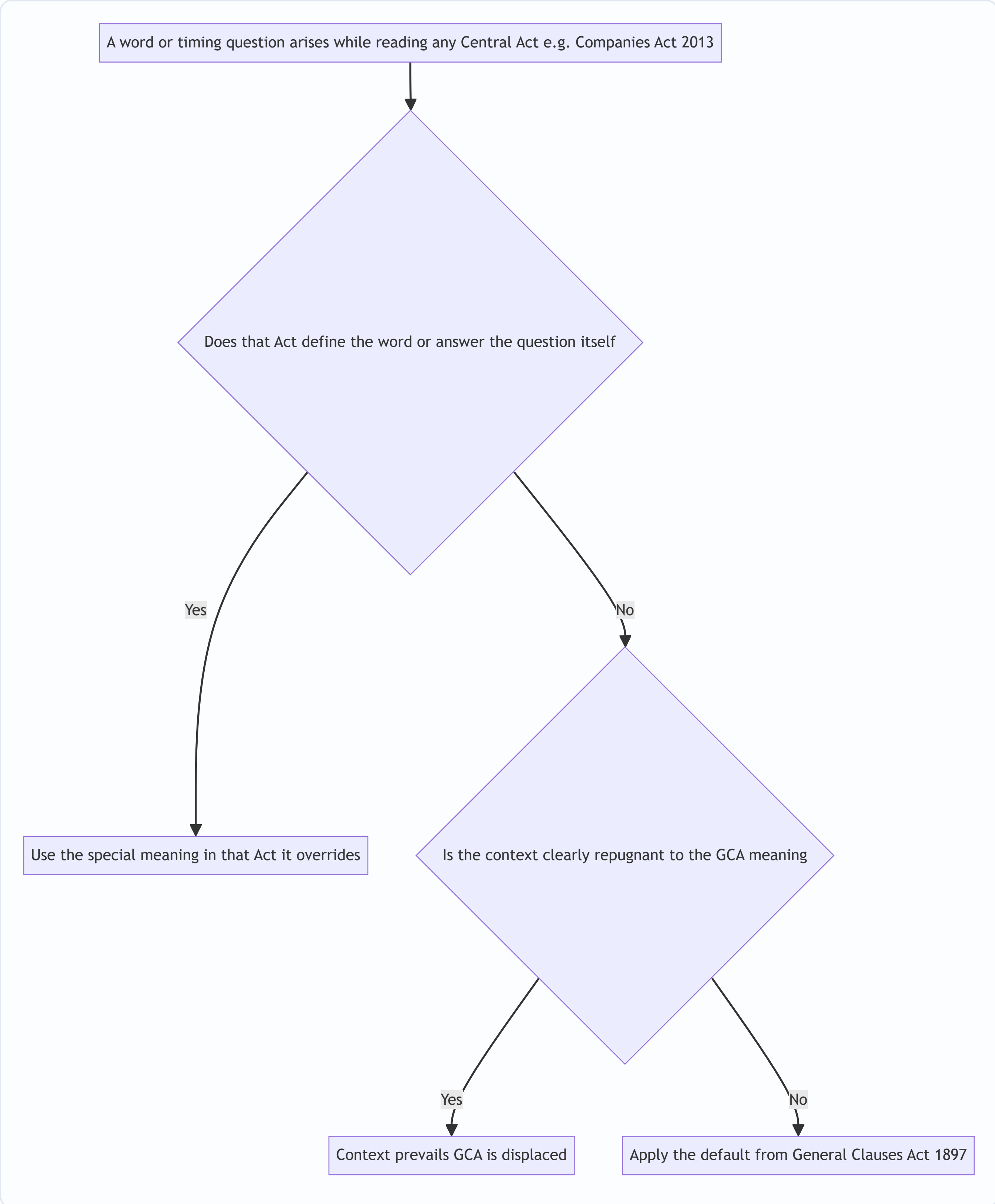
The governing principle is the phrase you will see again and again: **"unless there is anything repugnant in the subject or context"** and **"unless a different intention appears."** This makes the GCA a **fallback, not a dictator.** It fills silences. If the Companies Act 2013 defines "financial year" its own way (and it does, in Section 2(41)), that special definition *wins*. But where the Companies Act is *silent* — say, on how to count a 30-day period, or what "good faith" means, or whether "person" includes a firm — the GCA quietly supplies the answer.

A deeper why — the "generalia specialibus non derogant" logic. The GCA is the *general* law of interpretation; the parent Act (Companies Act, Income-tax Act) is the *special* law. A settled maxim of construction holds that a general provision does not override a special one on the same point: *generalia specialibus non derogant* — "general things do not derogate from special things." The GCA is drafted to be consistent with that maxim. Its "unless a different intention appears" clause is not a casual afterthought; it is the *statutory embodiment* of the special-beats-general rule. That is why every trap in this chapter reduces to the same discipline: **look at the parent Act first; only fall back to the GCA when the parent Act is silent.**

This is why the GCA is often called an **aid to interpretation** rather than a substantive law. It does not create rights or offences of its own. It is the invisible interpretive layer that makes every other Act complete, consistent, and gap-free. Learn it once; it pays interest across the entire statute book.

Two things the GCA is emphatically NOT. (i) It is **not a code of interpretation** — it does not contain the literal / golden / mischief rules; those are judge-made and live in the companion "Interpretation of Statutes" chapter. The GCA supplies *fixed defaults*, not techniques for resolving genuine ambiguity. (ii) It is **not confined to old law** — because Section 3's definitions apply to "this Act and all Central Acts and Regulations made after the commencement," and Section 4 pulls some definitions back to *earlier* Acts, the GCA blankets the entire Central statute book, past and future.

The GCA as a default layer behind every Central Act.



3. Why it's built this way — the logic behind each design choice

Every feature of the GCA answers a specific way the system could break. Learn the threat and the rule becomes obvious.

"Why make the definitions merely a *default* rather than absolute?" — Because a single meaning cannot fit every context. "Person" must include companies in tax law, but in a marriage law "person" clearly means a human. So the GCA gives a sensible standard meaning but always yields to the individual Act's own definition or to an obviously different context. It fills gaps without straitjacketing Parliament.

"Why does the GCA apply only to Central Acts and Central-made Regulations?" — Because Parliament can only legislate defaults for its *own* laws. State legislatures each have their own General Clauses Acts for state laws. The Central GCA governs Central Acts (and Regulations, and — via Section 30 — Ordinances). This is federalism: each legislature supplies the machinery for its own statute book.

"Why does a repealed law's *effect* survive (Section 6)?" — Precisely to defeat the "repeal is an amnesty" trick from Section 1. If repeal automatically wiped out all pending cases and accrued rights, then every legal modernisation would be a jailbreak, and no one would ever collect a debt or finish a prosecution begun under an old law. Section 6 says: repeal changes the law *going forward*, but it does **not** unwind the past — rights already accrued, liabilities already incurred, penalties already earned, and proceedings already begun all survive. The old law is dead for the future but its completed effects live on.

"Why isn't Section 6 *needed* every time — what does 'unless a different intention appears' really do?" — Because Parliament sometimes *wants* the clean slate. If the repealing Act itself says "all pending proceedings shall abate," that is a different intention, and Section 6 steps aside. The genius is that Parliament need not *repeat* the five survivors in every repealing Act (economy again) but retains the power to switch them off deliberately. Section 6 is the *silent presumption*; the repealing Act is the *express switch*.

"Why a special rule for counting 'from' and 'to' (Section 9)?" — Because otherwise every deadline is ambiguous. "Within 30 days *from* 1st April" — is the 1st itself day one, or day zero? Different assumptions produce different deadlines and different winners in litigation. Section 9 fixes a single convention: the word **"from"** *excludes* the opening day; the word **"to"** *includes* the closing day. One rule, applied everywhere, kills the ambiguity.

"Why a rule for holidays (Section 10)?" — Because a citizen should not lose a right through no fault of his own. If the last day to file falls on a Sunday when the court is bolted shut, punishing him for filing on Monday would be unjust — he *could not* have filed on time. Section 10 says: if the office is closed on the last day, doing the act on the *next open day* counts as on-time. It protects diligence against the accident of the calendar.

"Why does Section 10 *not* apply to the Limitation Act?" — Because two rules doing the same job on the same matter would collide. The Limitation Act, 1963 has its own holiday rule in *its* Section 4. If Section 10 of the GCA also applied, a litigant might argue for whichever gives the longer time, and courts would face overlap. So the GCA proviso surgically carves out Limitation-Act matters: one matter, one holiday rule. This is the special-beats-general maxim applied *inside* the GCA itself.

"Why deem postal service complete on posting (Section 27)?" — Because otherwise a dishonest recipient could defeat every notice simply by refusing to receive it or denying it arrived. If service depended on proof of *actual receipt*, the recipient controls whether the law reaches him. Section 27 shifts the risk: once the sender correctly addresses, pre-pays, and posts by registered post, service is *presumed* effected in the ordinary course — and it is now the *recipient's* burden to prove it did not arrive. The sender, who did everything right, is protected.

"Why say 'he' includes 'she' and singular includes plural (Section 13)?" — Pure economy again. Without it, a draftsman must write "he or she," "the director or directors," endlessly. Section 13 lets statutes be written in the singular masculine as shorthand, read to cover all genders and numbers, saving oceans of words while closing the gap a literalist might exploit ("the Act says 'he,' so it doesn't apply to a woman director").

"Why say a power to make rules includes the power to amend or rescind them (Section 21)?" — Because a power frozen at first use is useless. If the government could issue a notification but never modify it, every rule would be permanent and un-fixable. Section 21 reads a *continuing* power into every rule-making power: whoever can make can also add to, amend, vary, or rescind — using the same procedure. It keeps delegated legislation alive and correctable.

"Why does 'power to appoint' carry 'power to suspend or dismiss' (Section 16)?" — Because responsibility without control is hollow. An authority answerable for how an office is filled must be able to *unfill* it when the holder misconducts himself; otherwise a bad appointment is permanent and the appointing authority is powerless to correct its own choice. Section 16 makes the removal power flow automatically from the appointment power — again "unless a different intention appears," e.g. where a special Act vests dismissal in a different, higher authority.

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4. Full Technical Content — section by section, each with its "why"

The GCA has three functional blocks: **(A) Preliminary & Definitions** (Ss. 1–4), **(B) General Rules of Construction** (Ss. 5–13 and the timing/gender rules), and **(C) Powers, Functionaries, and Supplemental rules** (Ss. 14–30). For the CA Intermediate exam, master the definitions in Section 3 and the construction rules in Sections 5–27.

4.1 Preliminary — Sections 1 to 4

- **Section 1 — Short title and extent.** The Act is the "General Clauses Act, 1897" and extends to the whole of India. *Why:* housekeeping — it names itself and fixes its territorial reach.
- **Section 3 — Definitions.** The heart of the dictionary. It defines around 65 terms that apply to the GCA itself and to *all Central Acts and Regulations made after the commencement of this Act*, **unless there is anything repugnant in the subject or context.** That closing phrase is the whole philosophy: these meanings are defaults, displaced by context.
- **Section 4 — Application of definitions to earlier Acts.** Some (not all) of the Section 3 definitions are extended to Central Acts made *before* 1897 as well. *Why:* to give even older statutes the benefit of the standard meanings, so the whole statute book — old and new — reads consistently. *Fine point:* Section 4 does **not** import *all* of Section 3 into pre-1897 Acts — only an enumerated subset. So the safe exam statement is "certain definitions" apply to earlier Central Acts, not "all."

"Includes" vs "means" — a definitional distinction the examiner tests. Read the Section 3 entries carefully: most say a term "**includes**" X (affidavit *includes* affirmation; person *includes* a company). "Includes" is an **extending / inclusive** definition — it *adds* to the ordinary meaning without shutting the door, so the term still covers its normal sense *plus* the listed items. Contrast "**means**", which is **exhaustive** — it fixes the meaning and excludes everything else (movable property *means* property of every description *except* immovable property). Whenever an answer turns on whether something unlisted is covered, first ask: does the definition say "includes" (open) or "means" (closed)?

4.2 The important general definitions — Section 3

These are the exam-favourite definitions. Each is a default meaning that flows silently into the Companies Act and every other Central Act. (Sub-clause numbers below follow the bare Act; **confirm exact clause numbers in ICAI material / bare Act**, as they shift slightly across editions.)

Term (Section 3 clause)	Default meaning under the GCA	The "why" / the trap it closes
Affidavit [3(3)]	*Includes* affirmation and declaration, in the case of persons by law allowed to affirm or declare instead of swearing.	So a person whose religion or conscience forbids oaths can still give sworn evidence — no one is shut out of the legal process.
Financial Year [3(21)]	The year commencing on the **1st day of April**.	Fixes a uniform accounting year. *Trap:* the Companies Act 2013 has its **own** definition in **Section 2(41)** — for company law that special one governs. GCA fills only where an Act is silent.
Good Faith [3(22)]	A thing is done in "good faith" where it is in fact done **honestly, whether it is done negligently or not.**	The GCA test is **honesty, not care.** *Contrast trap:* under the Indian Penal Code, "good faith" requires **due care and attention** — the opposite emphasis. Examiners love this clash.
Government / the Government [3(23)]	*Includes* both the **Central Government** and any **State Government**.	Prevents a defendant arguing a duty owed to "the Government" meant only one tier.
Immovable Property [3(26)]	*Includes* **land, benefits to arise out of land, and things attached to the earth or permanently fastened to anything attached to the earth.**	A broad, inclusive definition so mortgages, easements, and rights over land are all covered.
Movable Property [3(36)]	Property of **every description, except immovable property.**	Defined as the *residue* — whatever is not immovable is movable. Clean and gap-free.
Local Authority [3(31)]	A municipal committee, district board, body of port commissioners, or other authority legally entitled to, or entrusted by government with, the **control or management of a municipal or local fund.**	Identifies bodies that handle public local money, for statutes conferring powers or duties on them.
Month [3(35)]	A month reckoned according to the **British (Gregorian) calendar.**	So "one month" runs from a date in one calendar month to the corresponding date in the next — **not** a fixed 30 days. This changes deadline maths.
Year [3(66)]	A year reckoned according to the **British calendar** (i.e., 1 January to 31 December).	Uniform calendar year unless the Act says otherwise (e.g., financial year).
Oath [3(39)]	*Includes* affirmation and declaration in the case of persons allowed to affirm/declare instead of swearing.	Same inclusiveness principle as "affidavit."
Offence [3(38)]	Any **act or omission made punishable by any law for the time being in force.**	Note "act **or omission**" — failing to do a required thing is an offence too. And "for the time being in force" ties it to current law.

Term (Section 3 clause)	Default meaning under the GCA	The "why" / the trap it closes
Person [3(42)]	*Includes* any **company or association or body of individuals, whether incorporated or not.**	The keystone definition. It lets statutes bind and prosecute **companies and firms**, not just humans. Without it, corporate liability would collapse.
Registered (re a document) [3(49)]	Registered in India under the law for the registration of documents (the Registration Act) for the time being in force.	Ties the word to the actual registration regime.
Rule [3(51)]	A rule made in exercise of a power conferred by any enactment; *includes* a Regulation made as a rule under any enactment.	Distinguishes delegated rules from the parent Act.
Document [3(18)]	Any matter expressed or described upon any substance by letters, figures, or marks, intended to be used for recording that matter.	Broad enough to cover writings, maps, inscriptions — anything recording meaning.
Imprisonment [3(27)]	Imprisonment of either description (rigorous or simple) as defined in the Indian Penal Code.	Borrows the IPC meaning so sentencing terms are consistent.
Swear / Oath & **Writing** [3(65)]	Expressions referring to "writing" are construed as *including* printing, lithography, photography, and other modes of representing or reproducing words in visible form.	So "in writing" future-proofs against new recording technologies.
Act (re offence) / **Act and Omission** [3(2)]	"Act" used with reference to an offence *includes* a series of acts; and words referring to acts done extend to *illegal omissions*.	Closes the "I did nothing, so I did no *act*" loophole — an illegal failure to act is caught.
Enactment [3(19)]	*Includes* a Regulation and any provision contained in any Act or in any such Regulation.	So construction rules about "enactments" (e.g., repeal under Section 6) reach Regulations too, not just Acts.

Why definitions matter for a company-law paper: the Companies Act 2013 constantly uses words like "person," "document," "month," "immovable property," "good faith," "registered." Where the 2013 Act does not itself define them (and it does not define most), the GCA meaning is what a court applies. So these are not trivia — they are the *actual* operative meanings in your main Act.

The three "inclusiveness" siblings — affidavit, oath, writing. Notice the recurring drafting move: whenever a legal act historically demanded a *particular form* (swearing on oath, ink on paper), the GCA quietly *widens* it so that a modern or conscientious alternative counts. Affidavit and oath include *affirmation/declaration* (protecting those who cannot swear); "writing" includes *print, photograph, lithograph* (protecting against technological obsolescence). If you can state the *pattern* — "the GCA prefers substance over antique form" — you can reconstruct all three definitions under exam pressure even if you forget the exact wording.

4.3 Coming into operation — Section 5

Problem it fixes: A Bill becomes an Act, but *from which moment* is it binding law? If the Act itself forgets to say, when does it start?

Rule (Section 5): Where any Central Act is **not expressed to come into operation on a particular day**, it comes into operation on the day it **receives the assent** — of the President (after the Constitution; of the Governor-General before it). *Why:* fills the silence with a definite, verifiable moment — assent — so there is never a limbo period of doubt.

Fine point (interpretation of "commencement"): an enactment comes into force at the **beginning of the day** on which it commences — i.e., the immediately preceding midnight. So a law commencing "on 1 April" is in force from the first instant of 1 April.

"What if the examiner tweaks it?" — three variations. (i) *Act names a date:* Section 5 is displaced — the named date governs. (ii) *Act says "on such date as the Central Government may by notification appoint":* the Act commences only when that notification fixes the date; until then it is a dormant Act with no force (this is common in the Companies Act 2013, whose sections were notified in tranches). (iii) *Different sections notified on different dates:* perfectly valid — Section 5 read with the enabling clause allows *staggered* commencement, so Section X may be live while Section Y is not yet notified. The exam point: "assent = commencement" is only the *fallback*, triggered by *silence*.

4.4 Effect of repeal — Section 6 (the star section)

Problem it fixes: the "repeal-as-amnesty" abuse. When a new Central Act repeals an old one, does everything done under the old law vanish?

Rule (Section 6): Where any Central Act or Regulation *made after the commencement of the GCA* repeals any enactment, then **unless a different intention appears**, the repeal shall **NOT**:

Section 6 clause	The repeal does NOT...	Reason
6(a)	revive anything not in force or existing at the time the repeal takes effect	Repealing Law B does not resurrect the older Law A that B had itself replaced — no zombies.
6(b)	affect the **previous operation** of the repealed enactment or anything **duly done or suffered** under it	Past actions stand; you cannot un-ring the bell.
6(c)	affect any **right, privilege, obligation or liability acquired, accrued or incurred** under the repealed enactment	Accrued rights and liabilities survive — a debt owed stays owed.
6(d)	affect any **penalty, forfeiture or punishment incurred** for any offence under the repealed enactment	Guilt already incurred is not washed away by repeal.
6(e)	affect any **investigation, legal proceeding or remedy** in respect of the above; such proceeding may be **continued or enforced** as if the repealing Act had not been passed	Pending cases proceed to conclusion under the old law.

Memory hook — the "5 survivors" (a-b-c-d-e): No-revival, Previous operation, Accrued rights, incurred Penalties, pending Proceedings. Repeal kills the law's *future*; Section 6 preserves its *finished past*.

Crucial qualifier — "unless a different intention appears." If the repealing Act *itself* says the old proceedings die, that wins. Section 6 is a default, not a straitjacket.

The accrued-right vs. mere-hope distinction (the hardest sub-point). Section 6(c) saves a right **"acquired or accrued"** — but *not* a mere *expectation* or *inchoate* possibility. A right has **accrued** when everything needed to perfect it has happened *before* repeal; it is a **mere hope** when the repeal caught it mid-formation. Example: if under the old law you had already *completed* the acts that entitle you to a licence, that accrued entitlement survives repeal; but if you had merely *applied* and the authority had not yet decided, you had only a *hope*, which the repeal can extinguish. The examiner tests this by asking whether the right was *complete* or *still forming* at the moment of repeal.

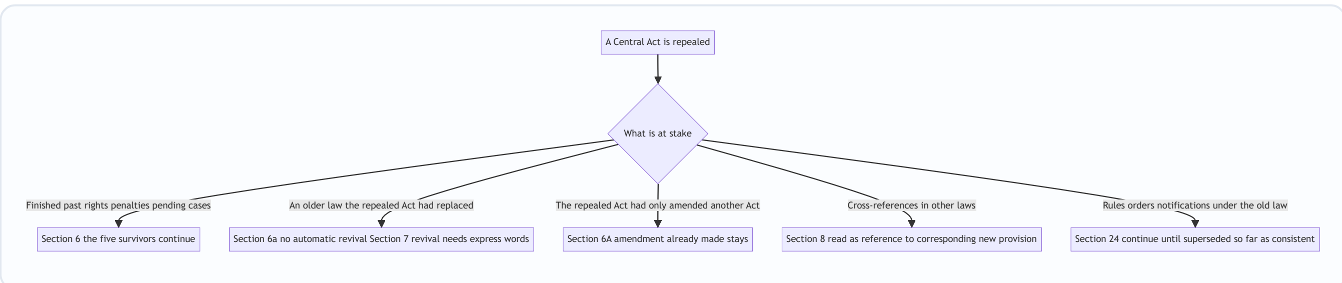
Section 6 vs. an *expiry* (sunset) of a temporary Act. Section 6 speaks of **repeal**. A temporary Act that simply *expires* by efflux of its own time-limit is, on the strict view, **not "repealed"**, so Section 6 does not automatically save pending proceedings — the temporary Act's own *saving clause* must be checked. This is a favourite distinction: *repeal* (Section 6 applies) vs. *expiry of a temporary Act* (Section 6 may not; look for a saving provision).

"Simultaneous repeal-and-re-enactment" — Section 6 read with Section 24. The most common real-world pattern (as with the Companies Act 1956 → 2013) is repeal *and* immediate re-enactment. Here Section 6 saves the finished past under the old law, while Section 24 (below) *carries forward* subordinate instruments (rules, orders, notifications) so governance does not stall. Read them as a pair.

4.5 Repeal-and-re-enactment; textual amendments — Sections 6A, 7, 8, 24

- **Section 6A — Repeal of an Act that only made a textual amendment.** If Act X merely inserted/amended words into Act Y, and X is later repealed, the *amendment already made to Y* is **not undone** (unless a different intention appears). *Why:* an amending Act, once it has done its surgery, is spent; repealing the spent scalpel does not reverse the surgery.
- **Section 7 — Revival of repealed enactments.** To *revive* a wholly or partly repealed enactment, the reviving Act must **expressly state** the revival. *Why:* revival is a serious step; it must be deliberate and explicit, never accidental. *Link:* this is the mirror of Section 6(a) — 6(a) says repeal does not *automatically* revive; Section 7 says revival needs an *express* statement. Together they slam the door on accidental resurrection from both sides.
- **Section 8 — Construction of references to repealed enactments.** Where an Act is repealed and **re-enacted** (with or without modification), any reference in another law to the repealed provision is read as a reference to the **corresponding provision** in the new law. *Why:* so a repeal-and-replace does not silently break every cross-reference in the statute book. *Condition:* Section 8 operates only when there is a *corresponding* provision in the re-enacting law; if the new law has *dropped* the provision entirely, there is nothing to redirect the reference to.
- **Section 24 — Continuation of orders, rules, etc.** Where a law is repealed and re-enacted, any rule, notification, order, appointment, etc. made under the old law **continues in force** as if made under the new law, so far as consistent, until superseded. *Why:* avoids a governance vacuum between old and new regimes. *Limits:* the old instrument survives only **so far as it is not inconsistent** with the new law, and only **until** it is superseded/repealed under the new law — it is a bridge, not a permanent transplant.

How the repeal-family sections divide the labour.



4.6 Computation of time — Sections 9 and 10

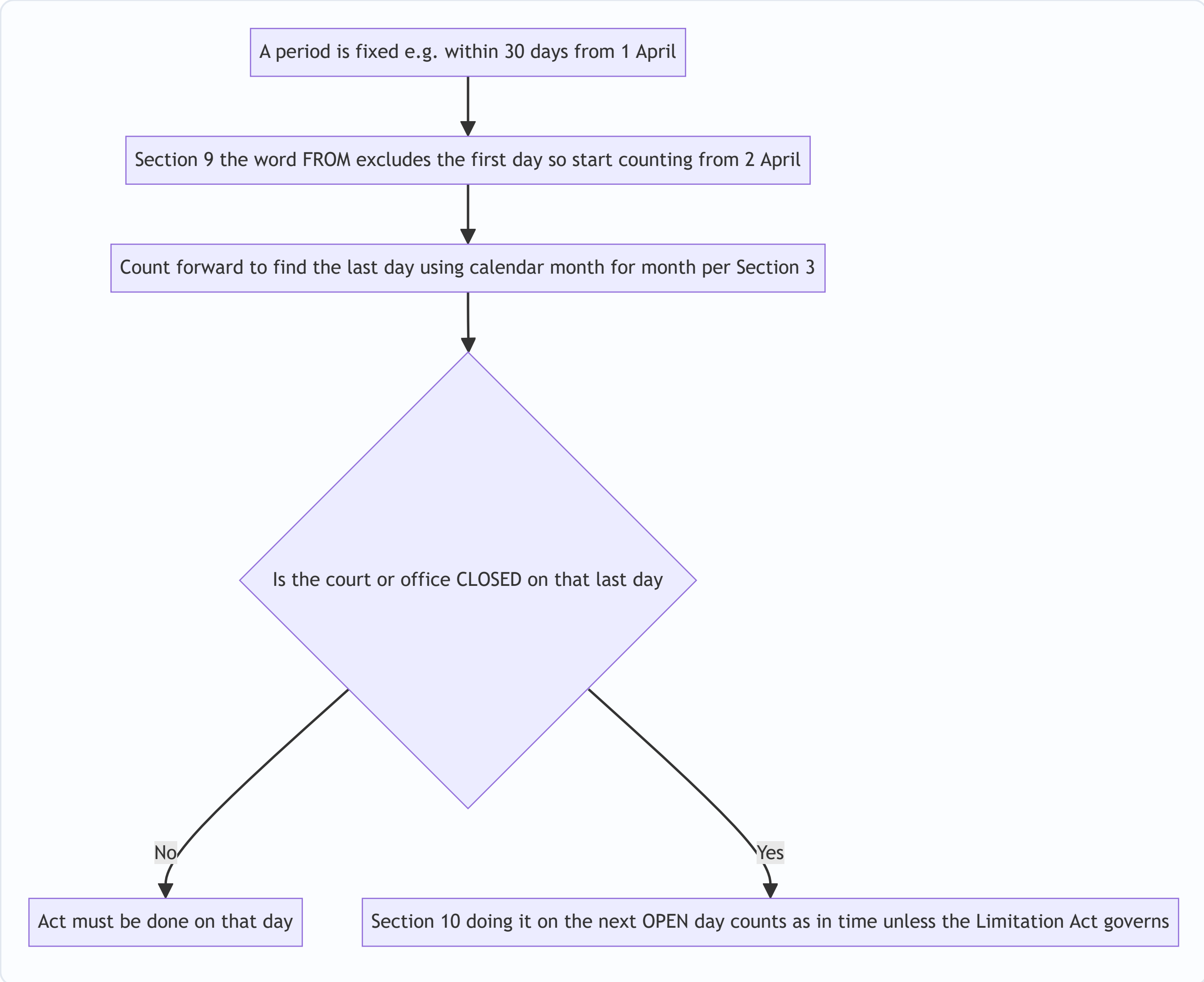
These two are the arithmetic engine of every deadline.

- **Section 9 — "from" and "to."** In any Central Act, to express the *first* in a series of days or any other period of time, use the word **"from"** — and that first day is **EXCLUDED.** To express the *last*, use **"to"** — and that last day is **INCLUDED.** Mnemonic: **"From = First out; To = Terminal in."**
- **Section 10 — court/office closed on the last day.** Where any act or proceeding is directed to be done in a **court or office** on a certain day or within a prescribed period, and the court/office is **closed** on that day (or the last day of the period), the act is deemed done **in time** if done on the **next day the court/office is open.** *Proviso:* Section 10 does **NOT apply** to acts/proceedings governed by the **Limitation Act, 1963** (which has its own equivalent rule in its Section 4). *Why the carve-out:* to avoid two overlapping holiday rules for the same limitation matter.

Three conditions Section 10 silently requires (examiners strip one away to make it fail): (i) the act must be one directed to be done **in a court or office** — Section 10 protects you only against *institutional* closure, not against your own inability to act elsewhere; (ii) it is the **last day** (or the single appointed day) that must be closed — a mid-period holiday does **not** extend anything, you count straight through it; (iii) the matter must **not** be governed by the Limitation Act. Remove any one and the "next open day" relief evaporates.

Section 9 subtlety — "from" vs. "on and from." Section 9's exclusion rule is triggered by the word **"from."** But a period expressed as running **"to"** a day, or **"till/until"** a day, brings the *last* day *in*. And where a statute says a thing takes effect **"on and from"** a date, the *inclusion* of that date is intended for commencement purposes even though "from" alone would exclude — read the whole phrase, not the isolated preposition.

Counting a deadline the GCA way — Sections 9 and 10 working together.



4.7 Gender, number, and continuing powers — Sections 13, 14, 16, 21, 22

- **Section 13 — Gender and number.** In every Central Act, unless the context otherwise requires: **(1)** words importing the **masculine gender** are taken to **include females**; **(2)** words in the **singular include the plural**, and vice versa. *Why:* lets statutes be drafted compactly while covering everyone.
- **Section 14 — Powers exercisable "from time to time."** Where a power is conferred by a Central Act, it may be exercised **from time to time** as occasion requires (unless a different intention appears). *Why:* a power is not exhausted by a single use.
- **Section 16 — Power to appoint includes power to suspend or dismiss.** The authority that can *appoint* a person can also **suspend or dismiss** that person (unless a different intention appears). *Why:* accountability — whoever hires can fire.
- **Section 21 — Power to make also power to amend/rescind.** A power to issue **notifications, orders, rules or bye-laws** *includes* the power to **add to, amend, vary, or rescind** them, exercised the **same way** and subject to the same conditions as the original power. *Why:* keeps delegated legislation living and correctable. (Note: this applies to *executive/legislative* instruments, not to quasi-judicial orders, which cannot be casually reopened.)
- **Section 22 — Anticipatory action between passing and commencement.** Where an Act is not yet in force but empowers rule-making, the rules may be **made in advance** so they are ready the moment the

Act commences (though they take effect only on commencement). *Why:* prevents a machinery gap on day one.

The unifying theme of this block — powers are living, not spent. Sections 14, 16, 21 and 22 all attack the same fallacy: that a statutory power, once used, is *exhausted* (the *functus officio* argument). Section 14 says a power recurs "from time to time"; Section 16 says the appointing power carries the removal power; Section 21 says the making power carries the amending/rescinding power; Section 22 says the making power can even be used *before* the Act is live. If you remember the theme — **"a conferred power is a continuing, self-correcting power unless the Act says otherwise"** — you can place any of the four instantly.

Section 15 — power to appoint by name or office. Often paired with Section 16: where a Central Act authorises appointment of a person to fill an office, the appointment may be made either by **naming the individual** or by **designating the office/holder** (e.g., "the Registrar for the time being"). *Why:* designating the office means the appointment automatically follows the office-holder without a fresh order every time the incumbent changes.

4.8 Offences, fines, and double jeopardy — Sections 25, 26

- **Section 25 — Recovery of fines.** Provisions of the Code of Criminal Procedure for the time being in force relating to recovery of fines apply to fines imposed under any Act (unless the Act says otherwise). *Why:* one uniform machinery to collect fines.
- **Section 26 — Offence punishable under two or more enactments.** Where an act or omission is an offence under **two or more enactments**, the offender may be **prosecuted and punished under either or any** of them — **but shall NOT be punished twice for the same offence.** *Why:* mirrors the *double jeopardy* protection (Article 20(2) of the Constitution). You can be *charged* under multiple laws, but not *punished twice* for one wrong.

Section 26 — the "same offence" pivot. The bar bites only where it is the **same offence**, i.e., the same act *and* the same set of ingredients. If two enactments punish the *same* act but require *different ingredients*, they are, in law, *different* offences, and punishment under both may be permissible — the double-punishment bar is not triggered because the offences are not identical. So the precise test is not "same *act*" but "same *offence* (same act + same essential ingredients)." Examiners exploit the loose reading "you can never be punished under two laws for one act" — which is wrong.

4.9 Service of documents by post — Section 27

Problem it fixes: a recipient dodging notices by denying receipt.

Rule (Section 27): Where any Central Act requires a document to be **served by post** (whether the word used is "serve," "give," "send" or the like), then **unless a different intention appears**, service is **deemed to be effected** by: **(1)** properly **addressing**, **(2) pre-paying**, and **(3) posting by registered post** a letter containing the document — and **unless the contrary is proved**, service is deemed to have occurred **at the time the letter would be delivered in the ordinary course of post.**

Two limbs to memorise: - **Presumption of *effecting* service** = arises on correct addressing + pre-paying + registered posting. - **Presumption of *time* of service** = ordinary course of post — but **rebuttable** ("unless the contrary is proved").

Two failure points the examiner plants. (i) *Not registered post* — Section 27's presumption is keyed to **registered** post; an ordinary (unregistered) letter does **not** attract the same statutory presumption of service, so the sender loses the burden-shift. (ii) *Wrong address or unpaid postage* — the three pre-conditions (proper address + pre-payment + registered posting) are **cumulative**; miss one and the presumption never arises. Only when all three are satisfied does the burden flip to the recipient.

Nature of each presumption — one weaker, one stronger. The presumption *that service was effected* is strong (it follows automatically once the three conditions are met); the presumption *as to the time* of service ("ordinary course of post") is expressly **rebuttable** — the recipient may prove late or non-delivery. A **bare denial** of receipt, without cogent supporting evidence, is generally *insufficient* to rebut. Never describe either presumption as *conclusive*.

Why: the sender who does everything right is protected; the burden shifts to the recipient to disprove delivery. This section is directly relevant to serving notices under the Companies Act 2013.

4.10 Reach into Ordinances — Section 30

Section 30 applies the GCA's rules to **Ordinances** promulgated by the President/Governor as if they were Central Acts. *Why:* an Ordinance is temporary law with full force; it needs the same interpretive machinery. *Reach:* the section extends the GCA to Ordinances made by the **President under Article 123** and by a **Governor under Article 213**, and (historically) to Governor-General/Governor Ordinances under earlier constitutional instruments — so no species of Central-level delegated primary legislation escapes the machinery.

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5. Applied Scenarios — facts → legal analysis → conclusion

Scenario 1 — "Person" includes a company (Section 3(42)). *Facts:* A penal section of a Central Act says "**any person** who fails to file the prescribed statement shall be punishable with fine." Zenith Ltd, a company, fails to file. Zenith argues: "A company is not a *person* — it is an artificial entity, not a human being — so I cannot be prosecuted." *Analysis:* The Act does not itself define "person," so the GCA default applies. Under **Section 3(42)**, "person" *includes* any company or body of individuals, incorporated or not. Nothing in the penal context is repugnant to that meaning — indeed the section is aimed at filing entities like companies. *Conclusion:* "Person" covers Zenith Ltd. The company can be prosecuted and fined. Its argument fails.

Scenario 2 — Repeal does not kill a pending prosecution (Section 6). *Facts:* Mr A committed an offence under the (imaginary) Old Regulation Act, 2010. A prosecution was launched. In 2024, Parliament repeals the 2010 Act and replaces it with a new Act. The new Act is silent on pending cases. Mr A moves to quash the prosecution, arguing the offence-creating law no longer exists. *Analysis:* The repeal is by a Central Act made after 1897, so **Section 6** applies **unless a different intention appears** — and here the new Act is silent, so no contrary intention. Under **Section 6(c), (d) and (e)**, the repeal does not affect a liability *incurred*, a penalty *incurred*, or a *legal proceeding* in respect of an offence under the repealed Act; such proceeding may be **continued as if the Act had not been repealed.** *Conclusion:* The prosecution survives and continues to judgment under the old law. Mr A cannot escape via the repeal.

Scenario 3 — Counting "30 days from" with a closed office (Sections 9 and 10). *Facts:* A Central Act requires a return to be filed **"within 30 days from 1st April."** Counting 30 days, the last day works out to **1st May**, which happens to be a public holiday when the filing office is closed. The company files on **2nd May.** The department alleges late filing. *Analysis:* Under **Section 9**, "**from** 1st April" **excludes** 1st April; counting begins 2nd April. The 30th day is the last day. Under **Section 10**, because the office was **closed** on that last day (1st May), doing the act on the **next open day** (2nd May) is deemed done **in time** — provided this is not a matter governed by the Limitation Act, 1963. *Conclusion:* The filing on 2nd May is **in time**. No late-filing default.

Scenario 4 — "Good faith": honesty vs. due care (Section 3(22) vs IPC). *Facts:* A public officer, acting under a Central Act (not the IPC), makes an honest but *negligent* decision. He claims protection for acts done "in good faith." Opposing counsel says his negligence destroys good faith. *Analysis:* For the Central Act in question, the GCA definition governs. Under **Section 3(22)**, a thing is done in good faith if done **honestly, whether negligently or not.** Negligence does *not* by itself negate good faith under the GCA. (Only if the statute were the **IPC**, whose own definition requires *due care and attention*, would negligence defeat good faith.) *Conclusion:* Under the GCA standard, the officer acted in good faith despite the negligence; the protection holds.

Scenario 5 — Service by post presumed effected (Section 27). *Facts:* A company sends a statutory notice to a member by **registered post**, correctly addressed and pre-paid. The member later claims he "never received it" and the notice is invalid. *Analysis:* The Act requires service "by post." Under **Section 27**, service is **deemed effected** by correctly addressing, pre-paying and posting by registered post; and deemed to occur when the letter would arrive in the ordinary course — **unless the contrary is proved.** A bare denial of receipt is generally not enough to rebut the presumption without cogent evidence. *Conclusion:* Service is presumed valid; the burden lies on the member to prove non-delivery. His unsupported denial likely fails.

Scenario 6 — "One month" is a calendar month, not 30 days (Section 3(35) with Section 9). [numerical] *Facts:* A Central Act requires an appeal to be filed **"within one month from 30th January 2026."** The appellant counts "30 days" and files on **1st March 2026**, believing he is on time. The registry rejects it as late. *Analysis, step by step:* - **Step 1 (Section 9):** "**from** 30th January" *excludes* 30th January. So the period starts running 31st January. - **Step 2 (Section 3(35)):** "one month" is reckoned by the **British calendar**, not as a flat 30 days. The settled convention for a calendar month running "from" a date is that it ends on the day in the succeeding month **numerically corresponding to** the day *before* the starting-point — i.e., a month from 30 January ends on the corresponding date at end-February. 2026 is **not** a leap year, so February has 28 days and there is **no 30th February**; where the corresponding date does not exist, the period ends on the **last day of that month**, i.e., **28th February 2026**. - **Step 3 (verify):** Was the office open on 28 Feb 2026? Assume yes (a normal working Saturday/weekday — the examiner will tell you if it is closed, then Section 10 would extend to the next open day). So the last day to file is **28th February 2026**. - **Step 4 (reconcile the appellant's error):** The appellant assumed "one month = 30 days," which would have given roughly 1st March. But **month ≠ 30 days** under the GCA, and February's shortness pulls the deadline *earlier* to 28 February. His filing on 1st March is **one/two days late.** *Conclusion:* The appeal filed on 1st March 2026 is **time-barred.** The correct last date was **28th February 2026.** *Examiner tweak:* make 2026 a leap year (e.g. use 2028) and the corresponding date becomes **29th February** — reconciling why the "month" rule, not a 30-day count, is doing the work.

Scenario 7 — Repeal-and-re-enactment: does an old rule survive? (Sections 6 and 24). *Facts:* Under the (imaginary) Old Widgets Act, 2005, the Central Government had made the "Widget Registration Rules, 2006." In 2025 Parliament **repeals** the 2005 Act and **re-enacts** a New Widgets Act, 2025, which contains a fresh rule-making power but the Government has **not yet** made new rules. A widget-maker argues that with the 2005 Act gone, the 2006 Rules are dead and he is free of all registration obligations until fresh rules appear. *Analysis:* This is repeal *with* re-enactment. **Section 24** provides that rules, orders, notifications etc. made under a repealed law **continue in force** as if made under the corresponding provision of the re-enacting law, **so far as not inconsistent** with it and **until** superseded. The 2006 Rules therefore bridge into the 2025 regime and remain binding until the Government replaces them. **Section 6** separately preserves any liability already *incurred* under the old Rules. The maker's "regulatory vacuum" argument fails. *Conclusion:* The 2006 Rules **continue** under Section 24; the widget-maker remains bound. *Examiner tweak:* if a specific 2006 Rule *contradicts* the 2025 Act, that Rule falls (Section 24 protects only what is *consistent*); and if the 2025 Act had *not* re-enacted the power at all, Section 24 would have nothing to attach to.

Scenario 8 — Two enactments, one act: prosecuted twice, punished once (Section 26). *Facts:* A single fraudulent act by Mr B is an offence under both a Central special Act and the IPC. He is prosecuted and *convicted* under the special Act and fined. The prosecution then seeks to *punish* him again under the IPC for the very same act with the same ingredients. *Analysis:* **Section 26** permits prosecution "under either or any" of the enactments but forbids **punishment twice for the same offence**. Since it is the *same offence* (same act, same essential ingredients), he cannot be **punished** a second time, though the *choice* of which enactment to proceed under was open to the prosecution. This aligns with **Article 20(2)** of the Constitution. *Conclusion:* No second punishment for the identical offence. *Examiner tweak:* if the IPC offence required a **materially different ingredient** (e.g., an additional element the special Act does not need), it would be a *different* offence and the Section 26 bar might not apply — punishment under both could then be lawful.

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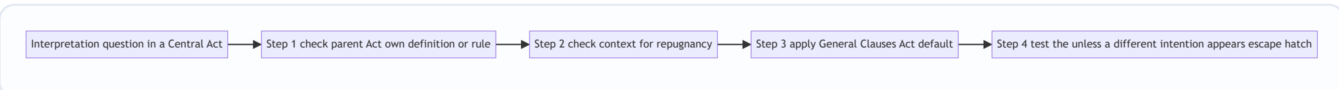
6. Procedure / Compliance summary — how to *use* the GCA when reading any Act

The GCA is not "complied with" like a filing requirement; it is *applied* as an interpretive tool. The disciplined method:

1. **Read the operative provision** in the Central Act you are working with (e.g., a Companies Act section).
2. **Spot the machinery word or question** — a defined term ("person," "month," "immovable property"), a timing phrase ("within...from..."), a repeal, or a service requirement.
3. **Check the parent Act first.** Does *that* Act define the term or answer the question itself? If yes → the special provision **overrides** the GCA. (Companies Act 2013 examples: "financial year" in Section 2(41), "person"-related terms in Section 2.)
4. **Check the context.** Is the GCA's default meaning *repugnant* to the subject or context? If clearly yes → context prevails.
5. **Otherwise apply the GCA default** — the Section 3 definition, or the relevant construction rule (Ss. 5–27).
6. **Watch the "unless a different intention appears" escape hatch** in Sections 6, 21, 27, etc. — always ask whether the specific Act has displaced the default.

One extra check for timing questions — sequence Section 9 → Section 3 (month) → Section 10. When the machinery word is a *deadline*, run the three rules in a fixed order: first apply **Section 9** to fix the *starting* point (does "from" exclude the first day?); then apply the **Section 3** meaning of any unit used ("month" = calendar month, not 30 days) to find the *last* day; finally apply **Section 10** to see if that last day's institutional closure pushes you to the next open day (unless the Limitation Act governs). Doing them out of order is the commonest way students land the wrong date.

Decision order — special provision beats general default.



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7. Connections — where the GCA plugs into the rest of the syllabus

- **Companies Act 2013 (the whole paper).** Every undefined common word in the 2013 Act draws its meaning from the GCA — "person," "document," "month," "immovable property," "good faith," "registered," "writing." When a Companies Act section sets a deadline "within X days from," you compute it with **Sections 9 and 10.** When a notice must be "served by post," **Section 27** governs the presumption. The Companies Act 1956 → 2013 transition is itself a live **Section 6 + Section 24** case study (finished acts saved, old rules bridged forward).
- **Interpretation of Statutes (companion chapter).** The GCA is the *statutory* limb of interpretation; the common-law rules (literal, golden, mischief, harmonious construction; internal/external aids) are the *judicial* limb. Together they form the complete toolkit. The GCA supplies fixed defaults; the interpretation rules resolve genuine ambiguity the GCA does not touch. The **special-beats-general maxim** (*generalia specialibus non derogant*) is the hinge that connects the two chapters — it is *why* the parent Act always overrides the GCA.
- **The Constitution.** Section 26 (no double punishment) mirrors **Article 20(2)** (double jeopardy). Section 5 (commencement on assent) connects to the President's assent power under **Article 111.** Section 30 reaches Ordinances made under **Articles 123 and 213.**
- **Limitation Act, 1963.** Section 10's proviso *carves out* Limitation-Act matters, which have their own holiday rule (Section 4 of that Act). Know the boundary.
- **Indian Penal Code.** The "good faith" clash (honesty vs. due care) and the borrowed meaning of "imprisonment" both connect the GCA to the IPC — flagging where a *different* Act's own definition displaces the GCA default.
- **General procedure across all Central Acts** — FEMA, LLP Act, IBC, etc. — all inherit the GCA defaults, making this chapter's payoff far larger than its size.

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8. Traps & Examiner Tricks

1. **"Financial year" trap.** The GCA says financial year starts **1st April (Section 3(21))** — but the **Companies Act 2013 has its OWN definition in Section 2(41).** For company-law questions, the special definition governs; the GCA fills only where the Act is silent. Examiners test whether you know special beats general.
2. **"Good faith" — honesty vs. due care.** GCA = **honest, negligence irrelevant.** IPC = **due care and attention required.** The examiner presents a negligent-but-honest actor and asks which standard applies — answer depends on *which Act* governs the matter.
3. **"From" and "to" (Section 9).** Students routinely include the first day. Remember: **"from" excludes the first day; "to" includes the last day.** A single day's error flips the answer.
4. **Section 10 does NOT apply to Limitation-Act matters.** Don't blindly extend "office closed → next open day" to every deadline; the Limitation Act 1963 governs its own matters (its Section 4).
5. **"Month" = calendar month, not 30 days (Section 3(35)).** "One month from 15th January" ends **15th February**, not "January 15 + 30 days." A trap when a February is involved — and doubly so in a non-leap February, which can pull a deadline *earlier* than a 30-day count.
6. **Section 6 "unless a different intention appears."** The 5 survivors of repeal are a *default.* If the repealing Act expressly ends pending proceedings, Section 6 yields. Never state Section 6 as absolute.

7. **Section 26 — prosecuted vs. punished.** You *may be prosecuted under multiple laws* but **not punished twice.** Students wrongly say "cannot be prosecuted under two Acts." The bar is on double *punishment*, not double *prosecution* — and only for the **same offence** (same act + same ingredients).
8. **Section 27 — "unless the contrary is proved."** The *time* of service is a **rebuttable** presumption. Don't call it conclusive. And the presumption needs **registered** post + correct address + pre-payment (all three); an ordinary letter or a mis-addressed one does not trigger it.
9. **GCA governs only CENTRAL Acts/Regulations (and Ordinances via Section 30).** State laws follow their own State General Clauses Acts. Don't apply the Central GCA to a State statute.
10. **The GCA is a *default*, not a command.** Its recurring phrase — "unless there is anything repugnant in the subject or context" / "unless a different intention appears" — means the parent Act and context always win. Treating GCA meanings as mandatory-everywhere is the deepest error.
11. **Section 21 vs. quasi-judicial orders.** Power to make rules/notifications includes power to amend/rescind — but this does **not** let an authority casually reopen a *quasi-judicial* order once passed.
12. **"Includes" vs "means."** An "includes" definition (person, affidavit, good faith) is *open* — it adds to the ordinary meaning. A "means" definition (movable property) is *exhaustive* — it shuts everything else out. Getting this backwards flips whether an unlisted item is covered.
13. **Accrued right vs. mere hope (Section 6(c)).** Only a right *already perfected* before repeal survives; a right still *in the making* (a pending application) can be extinguished. The examiner tests the *timing* of the right relative to the repeal.
14. **Repeal vs. expiry of a temporary Act.** Section 6 saves things on **repeal**; a temporary Act that merely **expires by efflux of time** is not "repealed," so look for its own saving clause instead of assuming Section 6 applies.
15. **Section 5 fallback is only for silence.** "Assent = commencement" applies **only** where the Act does not name a date or a to-be-notified date. If the Act says "on such date as the Central Government may notify," it is dormant until that notification — a very common Companies Act pattern.

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9. First-Principles Recap — rebuild the whole chapter from one idea

Start from a single frustration: **every statute needs the same boring machinery** — a dictionary of common words and a rulebook for timing, repeal, and service. Copying that machinery into each Act would cause **bloat, contradiction, and exploitable gaps.**

The fix: **write the machinery once, in a meta-law, and make it the silent default behind every Central Act — overridable whenever the specific Act speaks.** That meta-law is the **General Clauses Act, 1897.** The overridability is not a weakness but the *whole design*: it is the statutory form of *generalia specialibus non derogant* — general defaults must yield to special provisions.

From that one idea, everything follows: - **A default dictionary (Section 3)** — so "person" covers companies, "month" means a calendar month, "good faith" means honesty, and every Central Act reads consistently. Watch "includes" (open) vs "means" (closed). - **Commencement rule (Section 5)** — assent fixes the start moment when the Act is silent, so no law floats in limbo; but a named or to-be-notified date displaces it. - **Repeal-survival (Section 6, with 6A, 7, 8, 24)** — because repeal must change the *future*, not erase the *finished past*; otherwise every modernisation is an amnesty. The **5 survivors**: no-revival, previous operation, accrued rights, incurred penalties, pending proceedings. Only *perfected* rights survive; *hopes* do not. Sections 8 and 24 keep cross-references and subordinate instruments alive across a repeal-and-re-enactment. -

Timing arithmetic (Sections 9 & 10) — "from" excludes, "to" includes; a month is a *calendar* month; a closed office on the last day forgives you to the next open day (except Limitation-Act matters) — so deadlines are certain and diligence isn't punished by the calendar. - **Economy + living-power rules (Sections 13, 14, 15, 16, 21, 22)** — "he" includes "she," singular includes plural; and a conferred power is *continuing and self-correcting* — exercisable from time to time, carrying the power to remove, amend, or rescind — so statutes stay compact yet complete and powers never go stale. - **Fair-process rules (Sections 25, 26, 27)** — uniform fine recovery; no double *punishment* for the same offence (though multiple prosecutions may be laid); postal service is presumed once you post correctly by registered post — so process is fair to both sides.

And over all of it hangs the master switch: **"unless a different intention appears."** The GCA never overrides a statute that speaks for itself; it only fills silences. That is why it is called an **aid to interpretation** — the invisible layer that makes every other Indian Central Act complete.

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10. Quick-Revision Sheet

Key sections at a glance:

Section	Topic	One-line rule
1	Short title & extent	"General Clauses Act, 1897"; extends to whole of India.
3	Definitions	~65 default meanings for all Central Acts, **unless context repugnant.**
3(21)	Financial Year	Year commencing **1st April** (Companies Act Sec 2(41) overrides for company law).
3(22)	Good Faith	Done **honestly, whether negligently or not** (contrast IPC = due care).
3(23)	Government	Includes **both Central and State** Government.
3(26)	Immovable Property	Includes land, benefits from land, things attached to earth.
3(35)	Month	Reckoned by the **British/Gregorian calendar** (not 30 days).
3(36)	Movable Property	Everything **except** immovable property (a "means" = exhaustive definition).
3(38)	Offence	Any **act or omission** punishable by law in force.
3(42)	Person	**Includes company, association, body of individuals**, incorporated or not.
3(66)	Year	Reckoned by the **British calendar** (1 Jan–31 Dec).
5	Commencement	If Act silent, in force on the day of **assent**; effective from start of that day.
6	Effect of repeal	5 survivors: no-revival / previous operation / accrued rights / incurred penalties / pending proceedings — **unless different intention.**
6A	Repeal of amending Act	Amendment already made is **not undone.**
7	Revival	Must be **expressly** stated.
8	References to repealed Act	Read as reference to **corresponding re-enacted provision.**
9	"From / To"	**"From"** excludes first day; **"to"** includes last day.
10	Office closed	Act done on **next open day** is in time — **not** for Limitation-Act matters.
13	Gender & number	Masculine includes feminine; singular includes plural (and vice versa).
14	Powers	Exercisable **from time to time.**
15	Appointment by name/office	May appoint by **naming a person or designating the office.**
16	Power to appoint	Includes power to **suspend or dismiss.**
21	Power to make	Includes power to **add / amend / vary / rescind** (same procedure).
22	Anticipatory rules	Rules may be made **before commencement**, effective on commencement.
24	Continuation	Rules/orders under repealed law **continue** under re-enacted law (so far as consistent, until superseded).
25	Recovery of fines	CrPC fine-recovery machinery applies.

Section	Topic	One-line rule
26	Two enactments	May be **prosecuted under either**, but **not punished twice** for the same offence.
27	Service by post	Deemed effected by correctly **addressing** + **pre-paying** + **registered posting**; time = ordinary course, **rebuttable.**
30	Ordinances	GCA rules apply to Ordinances too (Arts 123 / 213).

Time-limits / thresholds table:

Item	GCA rule
First day of a period expressed by "from"	**Excluded** (Section 9).
Last day of a period expressed by "to"	**Included** (Section 9).
Last day is a holiday / office closed	Do it on the **next open day** = in time (Section 10).
Mid-period holiday	**No extension** — count straight through; only *last-day* closure counts.
Section 10 exception	Does **not** apply to Limitation Act, 1963 matters.
"Month"	**Calendar month** (Section 3(35)) — not 30 days; ends on corresponding date or last day of short month.
"Year" / "Financial Year"	Calendar year / **1 April**-start year (Ss. 3(66), 3(21)).
Commencement when Act silent	Day of **assent** (Section 5).
Repeal survivors	**5 things** protected under Section 6(a)–(e).
Double punishment	**Barred**; double prosecution permitted (Section 26).
Section 27 presumption	Needs **registered post** + **correct address** + **pre-payment** (all three).

Master mnemonics: - **GCA = Dictionary + Rulebook**, both **default only** ("unless a different intention appears"). - **Section 6 survivors** — "*No zombies, Past stands, Rights kept, Penalties due, Cases go on.*" - **Section 9** — "*From = First out, To = Terminal in.*" - **Section 27** — "*Address + Pre-pay + Registered post = served.*" - **Living-power block (14/16/21)** — "*Make it, amend it; hire, fire; use it again and again — powers don't die on first use.*" - **Timing order** — "*Section 9 start → Section 3 month → Section 10 closure.*"

> Exam note: where this chapter gives a Section 3 sub-clause number, **confirm the exact clause number against the current bare Act / ICAI study material**, as sub-clause numbering is renumbered across editions; the *principle* of each definition is stable and is what carries marks.

Q&A — The General Clauses Act 1897

> Exam-oriented question bank for CA Intermediate — Corporate & Other Laws. Every question is followed by a complete model answer with the exact Section cited. Statute referenced: **The General Clauses Act, 1897** (with cross-references to the Companies Act, 2013 where relevant). No invented provisions.

SECTION A — Concept-Check Questions (with answers)

A1. What is the object and utility of the General Clauses Act, 1897? Answer: The General Clauses Act, 1897 is an "interpretation Act." Its object is to (a) shorten the language of Central legislation by avoiding repetition of definitions and standard provisions, (b) provide uniform definitions of recurring words and expressions, (c) state rules of construction to guard against slips and mistakes, and (d) preserve accrued rights when statutes are repealed. It applies to all Central Acts and Regulations unless a **different intention appears** in the enactment concerned (Sections 3 and 4).

A2. Define "financial year" under the General Clauses Act. Answer: Under **Section 3(21)**, "financial year" means the year commencing on the **1st day of April**. This is distinct from a "year" which, under **Section 3(66)**, means a year reckoned according to the British calendar (1 January to 31 December).

A3. How is "month" defined and why does it matter? Answer: Under **Section 3(35)**, "month" means a month reckoned according to the **British calendar**. Therefore a month runs from a date in one calendar month to the corresponding date in the next, not as 30 days. E.g., a period of one month from 15 January ends on 15 February.

A4. Distinguish "immovable property" and "movable property" as defined. Answer: Section 3(26) — "immovable property" includes land, benefits to arise out of land, and things attached to the earth or permanently fastened to anything attached to the earth. **Section 3(36)** — "movable property" means property of every description **except immovable property**.

A5. What do Sections 3(7), 3(22) and 3(60) define regarding "Government"? Answer: Section 3(7) defines "Central Government," **Section 3(60)** defines "State Government," and **Section 3(23)** deals with Government securities. "Government" (Section 3(23)... "Government" per 3(23) is Government securities; "Government" itself under 3(23)?) — precisely, **Section 3(23)** = "Government/Govt." includes both Central and State Government. These uniform definitions save every Central Act from re-defining who exercises executive power.

A6. State the rule of construction regarding gender and number. Answer: Under **Section 13**, in every Central Act and Regulation, unless a contrary intention appears — (1) words importing the **masculine gender** shall be taken to include females; and (2) words in the **singular** shall include the plural, and vice versa.

A7. What does Section 9 lay down about the words "from" and "to"? Answer: Section 9 provides that in any Central Act/Regulation, to exclude the first day in a series of days or a period, the word **"from"** is used, and to include the last day the word **"to"** is used. Effect: "from" excludes the opening day; "to" includes the closing day.

SECTION B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

B1. *A notice under a Central Act must be given "within 15 days from 1st March." Mr. X gives it on 16th March. Is it in time?* **Answer (Facts → Analysis → Conclusion):** - **Facts:** Period of 15 days computed "from 1st March"; notice served 16th March. - **Analysis: Section 9** states that the word "from" **excludes** the first day. Hence 1st March is excluded and counting begins on 2nd March. Fifteen days therefore run 2nd–16th March, so the 15th day is 16th March. - **Conclusion:** The notice given on 16th March is **within time** and valid.

B2. *A statutory application had to be filed "within one month" from 30th January. The office was closed on the last day. When can it validly be filed?* **Answer:** - **Facts:** Limitation of "one month" from 30th January; last day a holiday. - **Analysis:** "Month" = British calendar month (**Section 3(35)**), so one month from 30th January expires on the corresponding date in February. As February has no 30th, it expires on the last day of February. Under **Section 10**, where an act is allowed to be done within a prescribed period and the **court/office is closed** on the last day, the act may be done on the **next day it is open**. (Note: Section 10 excepts the Limitation Act, 1963 which has its own s.4.) - **Conclusion:** The application filed on the next working day after the closed last day is **valid**.

B3. *A Central Act empowers the Government to "issue a notification fixing rates." Later the Government wants to amend those rates. Does it need fresh statutory authority?* **Answer:** - **Facts:** Power to issue notification given; Government now wishes to amend/rescind. - **Analysis:** Under **Section 21**, where a Central Act confers power to issue notifications, orders, rules or bye-laws, that power **includes** a power, exercisable in the like manner and subject to like conditions, to **add to, amend, vary or rescind** the notification, order, rule or bye-law. - **Conclusion:** No fresh authority is needed; the Government may amend or rescind the rates under Section 21, following the same procedure as for the original notification.

B4. *An authority is empowered "to appoint" an officer to a post. Can the same authority suspend or dismiss that officer?* **Answer:** - **Facts:** Power "to appoint" conferred; question of power to suspend/dismiss. - **Analysis: Section 16** provides that where a Central Act/Regulation confers power to make an appointment, the authority having such power shall, unless a different intention appears, also have the power to **suspend or dismiss** the person appointed. (Complementarily, **Section 15** allows appointment by name or by virtue of office.) - **Conclusion:** The appointing authority also possesses the power to suspend or dismiss the officer.

B5. *A repealed Act had imposed a penalty on Mr. Y for a contravention committed before repeal. After repeal, can proceedings still continue?* **Answer:** - **Facts:** Contravention and liability accrued under an Act later repealed. - **Analysis:** Under **Section 6**, unless a different intention appears, repeal does not — (a) revive anything not in force; (b) affect the previous operation of the repealed enactment or **anything duly done**; (c) affect any **right, privilege, obligation or liability acquired, accrued or incurred**; (d) affect any **penalty, forfeiture or punishment** incurred; or (e) affect any investigation, legal proceeding or remedy — which may be continued as if the repealing Act had not been passed. - **Conclusion:** The penalty and proceedings against Mr. Y **survive the repeal** and may be continued under Section 6.

B6. *A notice under the Companies Act, 2013 is sent by registered post, properly addressed and stamped. The addressee claims he never received it. Is service proved?* **Answer:** - **Facts:** Notice properly addressed, pre-paid and posted by registered post; non-receipt alleged. - **Analysis: Section 27** of the General Clauses Act provides that where any Act requires a document to be served **"by post,"** service is deemed effected by properly addressing, pre-paying and posting the letter, and unless the contrary is proved, service is deemed to be effected at the time the letter **would be delivered in the ordinary course of post**. This aligns with service provisions under Section 20 of the Companies Act, 2013. - **Conclusion:** Service is presumed to be validly effected; the burden shifts to the addressee to prove non-delivery.

SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

C1. Explain the effect of repeal of an enactment under Section 6 of the General Clauses Act, 1897. Model Answer: Section 6 protects the past operation of a repealed law. Where any Central Act or Regulation is repealed, then unless a different intention appears, the repeal shall **not**: (a) revive anything not in force at the time of repeal; (b) affect the previous operation of the repealed enactment or anything duly done or suffered thereunder; (c) affect any right, privilege, obligation or liability acquired, accrued or incurred under it; (d) affect any penalty, forfeiture or punishment incurred in respect of any offence committed against it; or (e) affect any investigation, legal proceeding or remedy in respect of such right, liability, penalty or forfeiture. Such proceedings may be instituted, continued or enforced as if the repealing Act had not been passed. The provision thus safeguards **vested/accrued rights and pending actions** and prevents a repeal from operating retrospectively to defeat them.

C2. Write short notes on: (i) "Coming into operation of enactments" and (ii) "Effect of repeal of a repealing Act." Model Answer: (i) **Section 5** — Where any Central Act is not expressed to come into operation on a particular day, it comes into operation on the day it receives the **assent of the President** (for Acts passed after commencement of the Constitution). Thus the date of enforcement is fixed unless the Act itself provides otherwise. (ii) **Section 7 & Section 6A** — Under **Section 7**, to revive a repealed enactment, express words are required; a repeal does not automatically revive earlier repealed law. Under **Section 6A**, where a Central Act repeals any enactment by which the text of any Central Act was **amended** by express omission, insertion or substitution, the repeal shall not affect the continuance of the amendment already made unless a contrary intention appears.

C3. Explain the rules relating to computation of time under Sections 9 and 10. Model Answer: Section 9 governs the exclusion/inclusion of terminal days: the word **"from"** excludes the first day of a period, and the word **"to"** includes the last day. **Section 10** deals with acts to be done within a prescribed period: if the last day on which an act (proceeding in a court or office) may be done is a day when the court/office is **closed**, the act is deemed done in time if done on the **next day the court/office reopens**. However, Section 10 does **not** apply to any act to which the **Limitation Act, 1963** applies, since that Act contains its own provision (Section 4). Together these sections ensure fairness in reckoning statutory periods.

C4. Discuss the rule of construction that "power to make includes power to add, amend, vary or rescind" and its practical significance for delegated legislation. Model Answer: Section 21 codifies a fundamental rule for subordinate/delegated legislation: where a Central Act or Regulation confers a power to issue **notifications, orders, rules or bye-laws**, that power carries with it an implied power to **add to, amend, vary or rescind** any such instrument, exercisable in the **like manner and subject to like sanction and conditions** as the original power. Practical significance: the executive need not seek fresh legislative authority each time a subordinate instrument requires modification; but the power to amend is **co-extensive** with the power to make — it must follow the same procedure (e.g., previous publication, consultation) that governed the original. This provides both flexibility and procedural discipline in administrative rule-making.

C5. State the rules of construction contained in Sections 13, 14 and 15 of the Act. Model Answer: - **Section 13 (Gender and number):** Masculine includes feminine; singular includes plural and vice versa — unless a contrary intention appears. - **Section 14 (Powers exercisable from time to time):** Where a Central

Act confers a power, that power may be exercised **from time to time as occasion requires**, unless a different intention appears. Thus a power once used is not exhausted. - **Section 15 (Power to appoint):** Where power is given to appoint a person to fill an office or execute a function, the appointment may be made either by **name or by virtue of office**. These uniform construction rules avoid repetitive drafting and prevent narrow interpretations that would frustrate the statute's purpose.

SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. "Financial year" under the General Clauses Act commences on: (a) 1 January (b) 1 April (c) 1 July (d) 1 October **Answer: (b) 1 April.** *Reason:* Section 3(21) defines financial year as the year commencing on 1st April.

D2. The word "month" means: (a) 30 days (b) 28 days (c) a month per the British calendar (d) a lunar month **Answer: (c) a month per the British calendar.** *Reason:* Section 3(35) reckons a month by the British calendar, not fixed days.

D3. In a Central Act, the word "from" a specified day: (a) includes that day (b) excludes that day (c) includes only if a holiday (d) depends on context **Answer: (b) excludes that day.** *Reason:* Section 9 provides "from" excludes the first day and "to" includes the last day.

D4. Power to issue a notification includes the power to amend or rescind it under: (a) Section 6 (b) Section 16 (c) Section 21 (d) Section 27 **Answer: (c) Section 21.** *Reason:* Section 21 confers implied power to add to, amend, vary or rescind such instruments.

D5. A repeal does **not** affect any right accrued under the repealed Act. This is provided by: (a) Section 5 (b) Section 6 (c) Section 7 (d) Section 8 **Answer: (b) Section 6.** *Reason:* Section 6 preserves accrued rights, liabilities, penalties and pending proceedings.

D6. Service "by post" is deemed effected when the letter would be delivered in the ordinary course of post, under: (a) Section 25 (b) Section 26 (c) Section 27 (d) Section 3(39) **Answer: (c) Section 27.** *Reason:* Section 27 raises a rebuttable presumption of service on proper addressing, pre-paying and posting.

D7. Where power is conferred to make an appointment, the same authority may also suspend or dismiss the appointee. This flows from: (a) Section 14 (b) Section 15 (c) Section 16 (d) Section 21 **Answer: (c) Section 16.** *Reason:* Section 16 attaches power to suspend/dismiss to the power to appoint.

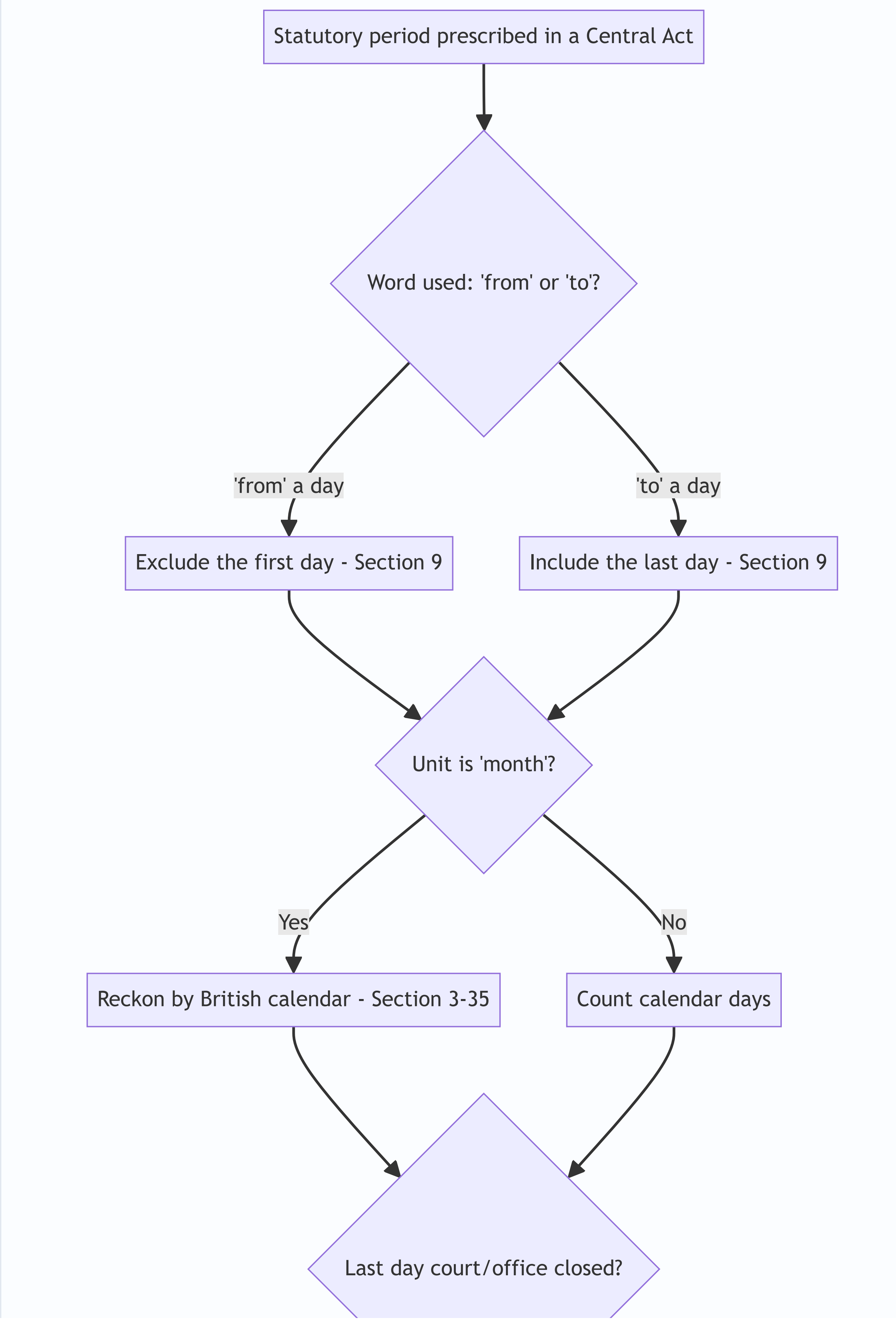
D8. A Central Act silent on its commencement comes into force on: (a) date of gazette printing (b) date of Presidential assent (c) 1 April following (d) date of introduction **Answer: (b) date of Presidential assent.** *Reason:* Section 5 fixes the assent date as the commencement date absent a contrary provision.

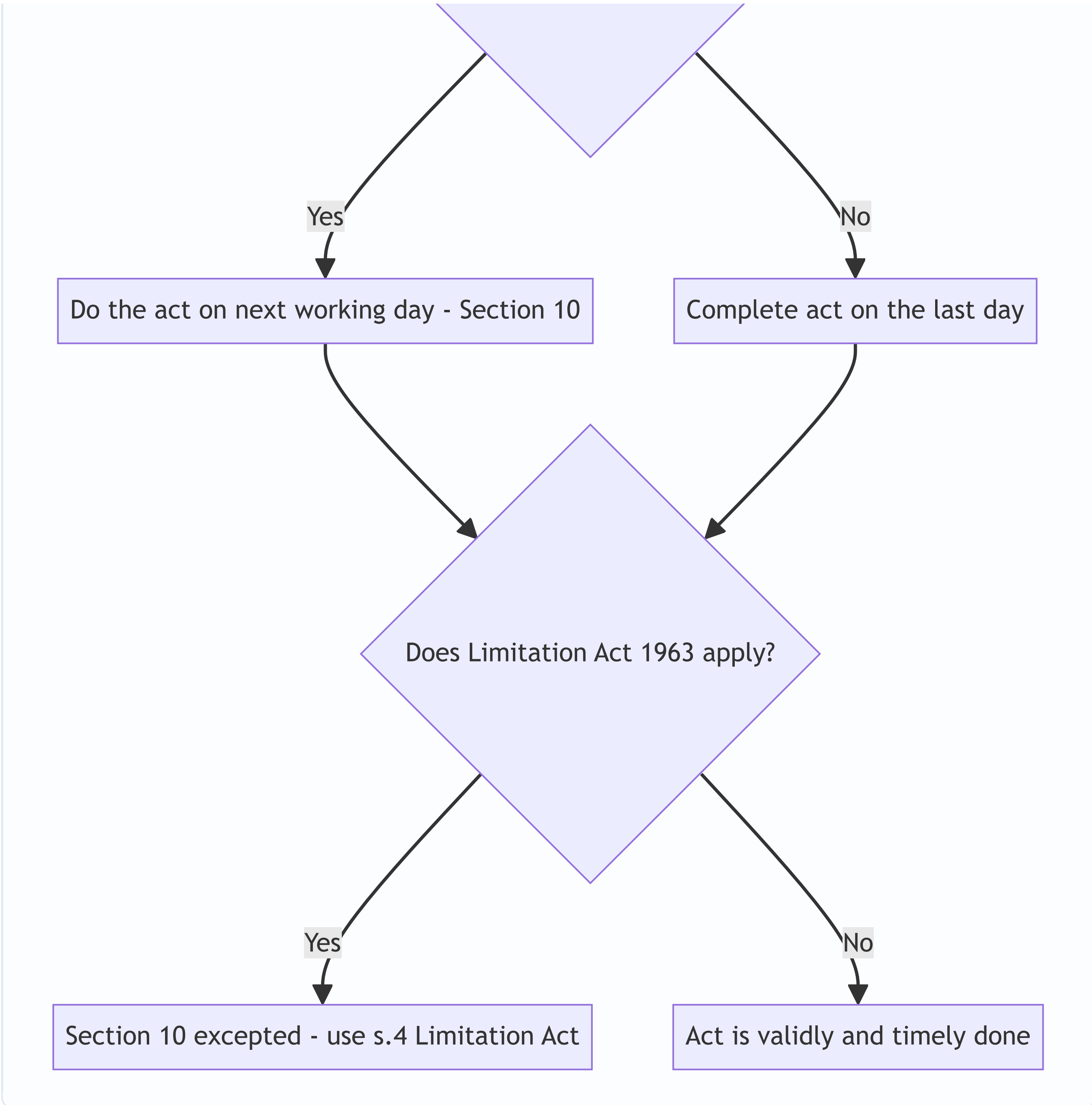
D9. Movable property under Section 3(36) means: (a) only goods (b) property of every description except immovable property (c) shares only (d) currency only **Answer: (b) property of every description except immovable property.** *Reason:* Section 3(36) defines it residually against immovable property in Section 3(26).

D10. A power conferred by a Central Act, unless a contrary intention appears, may be exercised: (a) only once (b) from time to time as occasion requires (c) within one year only (d) only by the Central Government **Answer: (b) from time to time as occasion requires.** *Reason:* Section 14 makes statutory powers recurrently exercisable.

Mermaid Diagram — Applying the General Clauses Act to a Statutory Time

Limit


Statutory period prescribed in a Central Act
Word used: 'from' or 'to'?
'from' a day
'to' a day
Exclude the first day - Section 9
Include the last day - Section 9
Unit is 'month'?
Yes
No
Reckon by British calendar - Section 3-35
Count calendar days
Last day court/office closed?



Quick-Revision Pointers (Section-linked)

- **Definitions:** Financial year — 1 April (**3(21)**); Year — British calendar (**3(66)**); Month — British calendar (**3(35)**); Immovable property (**3(26)**); Movable property (**3(36)**); Person — includes company/association (**3(42)**).
- **Commencement & Repeal:** Enforcement on assent (**5**); Effect of repeal — saves accrued rights (**6**); Repeal of textual-amendment Act (**6A**); Revival needs express words (**7**); References to repealed enactments read as re-enacted law (**8**).
- **Time:** "From" excludes / "to" includes (**9**); Closed last day → next open day, except Limitation Act (**10**).
- **Construction:** Gender & number (**13**); Power exercisable from time to time (**14**); Appointment by name/office (**15**); Power to appoint includes suspend/dismiss (**16**); Power to make includes amend/rescind (**21**).

- **Service:** Deemed service by post (**27**).
- **Golden rule:** All above apply "**unless a different intention appears**" (**Sections 3 & 4**) — the parent Act always prevails.

Chapter 13 — Interpretation of Statutes

1. The Problem — Why can't we just "read" the law?

Imagine Parliament passes a law that says: "*No vehicle shall be allowed in the public park.*" Clean sentence. Ten words. Everyone understands it.

Now watch it break.

- A father wheels his toddler in a **pram**. Is a pram a "vehicle"?
- An ambulance races in to save a collapsed jogger. Is the ambulance banned?
- The park committee wants to mount a **decommissioned army tank** on a concrete plinth as a war memorial. It has wheels, an engine. Is it a "vehicle"?
- A child rides a **skateboard**. A **bicycle**? A **battery scooter**?

Suddenly the "obvious" sentence is a minefield. The lawmaker who wrote it never imagined a war-memorial tank. The words on the page are a *frozen snapshot* of an intention — but life keeps generating new situations the words never anticipated.

Here is the deeper problem. When a dispute reaches a judge, the judge is stuck between two failures:

1. **Read too literally** and you get absurd results — the ambulance is banned, the injured jogger dies. You honour the *words* but betray the *purpose*.
2. **Read too freely** and every judge becomes a mini-legislator, inventing whatever meaning suits the case. Two judges, same statute, opposite answers. The law becomes unpredictable, and citizens can no longer know in advance what is legal.

So the real problem is not "what do these words mean?" It is: **How do we find the legislature's intention in a way that is consistent, disciplined, and predictable — so that different judges, on different days, reading the same statute, reach the same answer?**

That discipline is what "Interpretation of Statutes" gives us. It is a *toolbox of rules for reading* — not to let the judge do whatever they like, but precisely to *constrain* the judge, so meaning is discovered, not manufactured.

Why does interpretation even become necessary? The four generators of doubt. It is worth naming *why* words fail, because the examiner often asks "when does the question of interpretation arise?" A statute needs interpreting when the language is:

- **Ambiguous** — the word genuinely carries two meanings (is a "bank" a riverbank or a lender?).
- **Over-inclusive** — the words, read plainly, catch cases the legislature never aimed at (the ambulance).
- **Under-inclusive** — the words fail to catch a case that is squarely within the evil the Act targets (the mischief slips through a loophole).
- **Silent / has a gap (casus omissus)** — the situation simply was not foreseen (the pram).

Only the *third* and *fourth* are truly about "intention beyond words"; the first two are about "meaning of words." Keep that split in mind — it maps directly onto the interpretation-vs-construction distinction in Section 2.

> **Memory hook — "The Vehicle in the Park".** Every rule in this chapter is an answer to some version of the pram/ambulance/tank problem. Whenever a rule feels abstract, ask: *which version of the park problem does this fix?*

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2. The Core Idea — Interpretation vs Construction, and the Golden Thread

Interpretation is the process of ascertaining the *true, legal* meaning of the words used in a statute. **Construction** is the process of drawing *conclusions* about cases that lie *beyond* the direct expression of the text — filling the gaps the words leave. In practice the exam uses the two words almost interchangeably, but the flavour differs:

Term	What it does	Park example
Interpretation	Finds the meaning of the words actually used	"Does the word *vehicle* include a bicycle?"
Construction	Deduces the answer for situations words don't cover	"The Act is silent on prams — what result did the legislature intend?"

A cleaner way to separate them for the exam: **interpretation** looks *at* the text and asks *what does this word mean*; **construction** looks *through* and *around* the text and asks *what legal effect follows in a situation the words do not squarely address*. Every act of construction contains interpretation, but not every interpretation needs construction. When the examiner writes "distinguish interpretation from construction," give (i) the definitions, (ii) "meaning of words vs effect in unforeseen situations," and (iii) "interpretation is the narrower, first step; construction is the broader inference."

The **golden thread** running through the entire subject — repeat this until it is reflex:

> **The object of all interpretation is to discover the *intention of the legislature*, and that intention is primarily gathered from the *language actually used*.**

Notice the tension baked into that single sentence. We want the *intention* (the purpose, the mischief being cured), **but** we look for it first in the *language* (the actual words). The whole chapter is a negotiation between these two poles:

- Lean entirely on **language** → you get the **Literal Rule**.
- Lean entirely on **intention/purpose** → you get the **Mischief Rule**.
- The **Golden Rule** and **Harmonious Construction** are the referees standing in between.

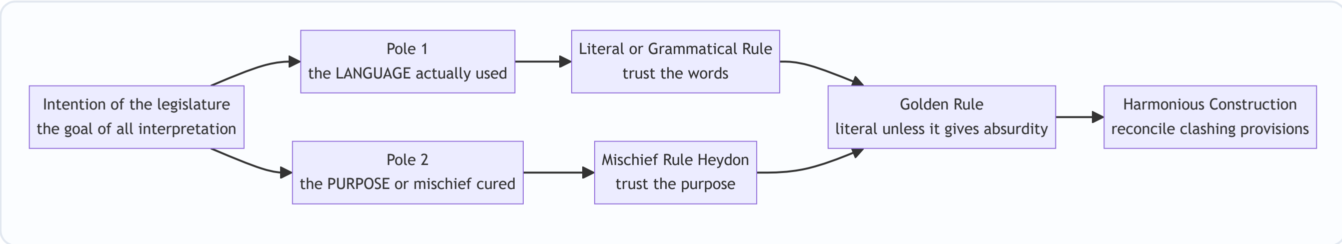
A finer distinction the exam tests — the two senses of "intention." Judges say "intention of the legislature," but this phrase hides an ambiguity that examiners exploit:

- **Subjective intention** — what the actual legislators, as people, had in their minds. This is largely *unknowable* and *irrelevant*; hundreds of members voted, many silent, many with different reasons. The law does **not** chase this.
- **Objective intention** — the meaning a *reasonable reader* would attribute to the words in their context. This is what courts actually seek. That is precisely *why* a legislator's speech is not conclusive evidence of

meaning (see External Aids): it reveals subjective motive, not the objective meaning of the enacted text.

Getting this right lets you answer the trap "can a minister's speech in Parliament fix the meaning of a section?" The answer: it is admissible to understand *the mischief and background*, but it does **not** bind the objective meaning of the words.

Figure 1 — the two poles interpretation must balance, and where each primary rule sits.



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3. Why It's Built This Way — the constitutional bargain

Why not just let judges do "justice" freely? Because of a bargain baked into a democracy.

Separation of powers. The *legislature* makes law; the *judiciary* applies it. If judges could freely rewrite statutes to reach the outcome they prefer, they would be *making* law — usurping Parliament. So the primary rule (Literal) is deliberately **modest**: it tells the judge "*assume the legislature said exactly what it meant; your job is to read, not to improve.*"

Predictability and the rule of law. A citizen must be able to plan their conduct by reading the statute book. If meaning shifted with each judge's sense of fairness, "knowing the law" would be impossible. Rules of interpretation exist to make the *reading* reproducible.

But language is imperfect. Words are ambiguous, over-inclusive, under-inclusive, and can't foresee the future (the war-memorial tank). Rigid literalism sometimes produces absurdity or defeats the very object of the Act. So the system layers *escape valves* — the Golden Rule (avoid absurdity) and the Mischief Rule (serve the purpose) — but these are **subordinate**. They activate *only when literal reading fails.* This ordering is the whole architecture: start modest, escalate only when forced.

Think of it as a **hierarchy of trust**: trust the plain words first; distrust them only when they produce nonsense or defeat the statute's evident aim.

Why this ordering (and not the reverse)? Deeper first-principles: if the *purpose* rule came first, every judge would begin by asking "what did Parliament really want?" — a question with as many answers as there are judges. Purpose is contestable; the printed word is fixed. By forcing the judge to *start* from the fixed word and *escalate* to purpose only on proven failure (absurdity, or the Act missing its target), the system caps the judge's discretion. Discretion is not banned; it is *rationed* and made to earn its way in. That rationing is the entire genius of the scheme — it is not a hierarchy of importance (purpose obviously matters), it is a hierarchy of *who has to justify departing from the default.* The literal reader justifies nothing; anyone leaving the literal meaning must *prove* absurdity or defeated purpose. The burden sits on the one who wants to move.

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4. Full Technical Content — the rules, aids, maxims and presumptions (each with its "why")

4.1 The Primary Rules of Interpretation

(a) The Literal / Grammatical Rule — "the words are the law"

The problem it fixes: the danger of judges inventing meaning. If we always looked past the words to "what the judge thinks was meant," the text would become decorative.

The rule: where the language of the statute is *plain and unambiguous*, it must be given effect to, in its **natural, ordinary, grammatical** meaning — *regardless* of whether the result seems harsh or inconvenient. The court presumes the legislature *chose its words deliberately*. You do not add words, subtract words, or read words differently.

Two supporting doctrines live inside the Literal Rule:

- **Casus omissus** — "a case omitted." A matter that should have been, but was *not*, provided for **cannot be supplied by the court**. If Parliament forgot to mention prams, the judge may not silently insert "prams." (Otherwise the judge legislates.)
- **Ut res magis valeat quam pereat** — "let the thing have effect rather than perish." A construction that makes the statute *workable* is preferred over one that makes it a dead letter. The legislature is presumed not to waste words.

A third doctrine to carry: *A verbis legis non est recedendum* — "from the words of the law there must be no departure." This is the Latin spine of the Literal Rule; quote it when asked to state the maxim underlying literal construction.

When it applies: as the **default and first** rule, whenever the words are clear.

A subtle point examiners probe — "plain meaning" is judged *in context*, not in a vacuum. The Literal Rule does not mean grabbing a dictionary and stopping. The "ordinary grammatical meaning" is the meaning the word bears *in that statute, on that subject*. The word "bank" is plain — but whether it means a lender or a riverside depends on whether the Act is about finance or flood control. So even the Literal Rule reads the word inside the sentence, the section, and the Act. What it forbids is going *beyond* a clear meaning to substitute what the judge wishes the legislature had said.

Its weakness (and why more rules are needed): the plain words can produce absurdity (ambulance banned) or defeat the object. Enter the Golden Rule.

> **Hook:** *Literal* = "*the letter of the law.*" Read exactly what is written.

(b) The Golden Rule — "literal, unless it turns to nonsense"

The problem it fixes: blind literalism producing an *absurd, repugnant, or inconsistent* result that the legislature could not possibly have intended (banning the ambulance).

The rule: start with the literal meaning; **but** if that meaning leads to an **absurdity, repugnance, or inconsistency** with the rest of the statute, the court may **modify or depart** from the ordinary meaning *just enough* to avoid the absurdity — and no further. It is the Literal Rule with a *safety valve*.

Two intensities: - **Narrow application** — used to choose between *two possible meanings* of an ambiguous word (pick the one that isn't absurd). - **Wider application** — used even where there is only *one* literal meaning, if that meaning is so repugnant the court must strain the language to avoid it.

The high threshold — "absurdity" is not "I don't like the result." This is the most examined nuance of the Golden Rule. The escape valve opens only for results that are *absurd, repugnant, or self-contradictory* — not results that are merely *harsh, unfair, or inconvenient.* A statute may deliberately be harsh; harshness is Parliament's prerogative. The judge who bends the words because the outcome feels unkind has crossed back into legislating. So the test is high: the literal result must be one *no reasonable legislature could have intended.* If a candidate writes "the result was unfair, so apply the Golden Rule," that is wrong — unfairness alone is not enough.

When it applies: when the literal reading is clear *but* the outcome is absurd/repugnant. It is a *correction*, not a free rewrite — the departure must be minimal.

Classic illustration: a statute lets a person "inherit" from another; a son murders his mother to inherit. Literally he qualifies. Golden Rule: no one may profit from their own crime — so read the provision as impliedly excluding the murderer, to avoid a repugnant result.

> **Hook:** *Golden = "letter of the law, unless it produces lead."* Literal first; bend only to escape absurdity.

(c) The Mischief Rule (Heydon's Case, 1584) — "cure the disease Parliament targeted"

The problem it fixes: words that are clear enough but, read literally, *fail to catch the very evil the Act was passed to stop* — or catch things the Act was never aimed at. Here we need the *purpose*.

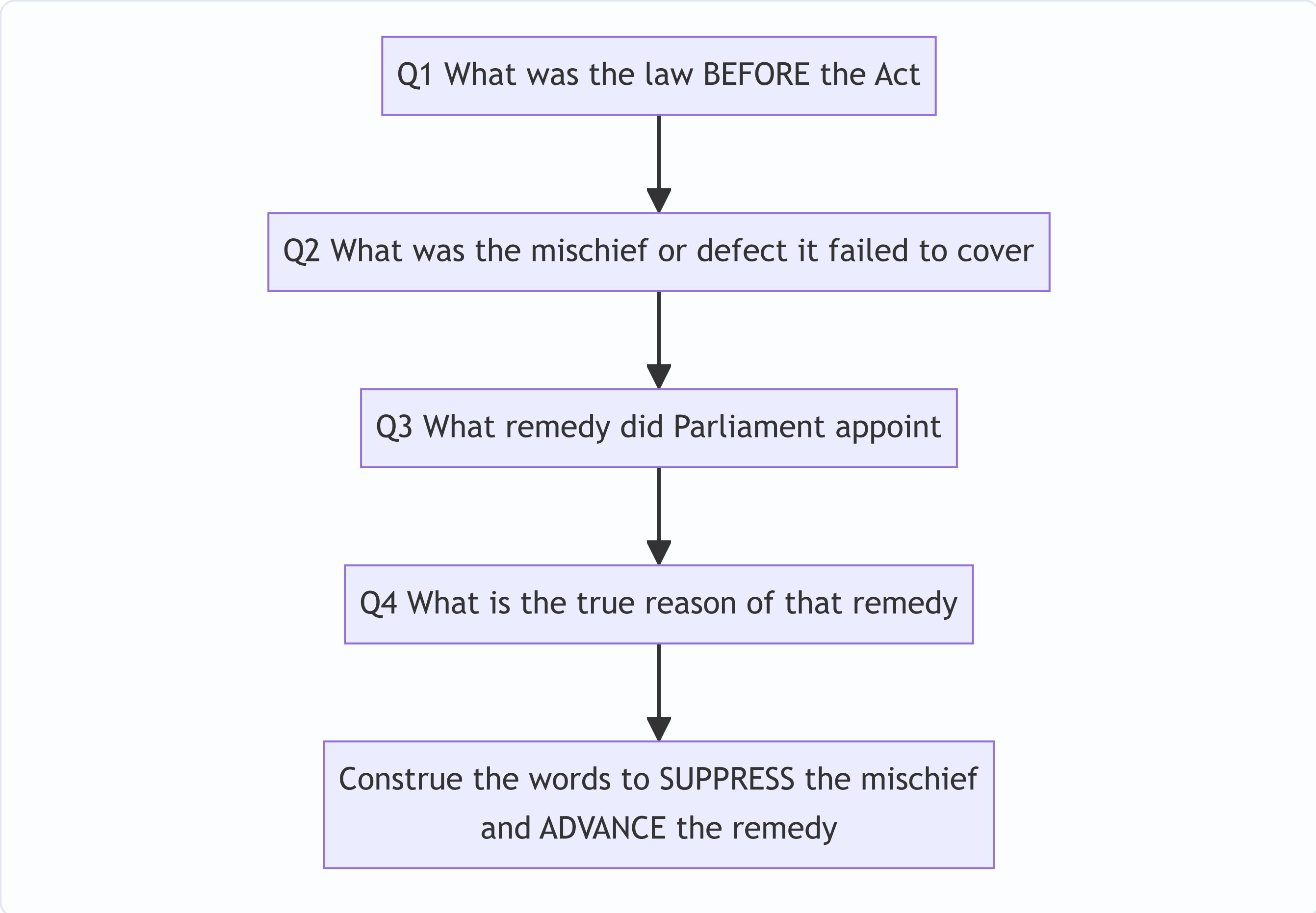
The rule: identify the **mischief** (the defect in the pre-existing law) the statute was designed to remedy, and interpret the words so as to **suppress the mischief and advance the remedy.** From *Heydon's Case*, the court asks **four questions**:

1. **What was the common law (the law) before the Act?**
2. **What was the mischief or defect** for which that law did *not* provide?
3. **What remedy** did Parliament resolve and appoint to cure the mischief?
4. **What is the true reason of the remedy?** — and the judge must then construe the Act to *suppress the mischief and advance the remedy.*

When it applies: especially to **remedial / welfare** statutes (labour law, consumer protection, anti-evasion tax provisions) — wherever the point of the Act is to *fix a social evil*, and a literal reading would let the evil slip through.

The modern descendant — purposive construction. The Mischief Rule of 1584 has grown into what modern courts call **purposive construction**: read the words in the light of the *object and purpose* of the Act as a whole, giving them the meaning that best carries that purpose forward. The difference in emphasis: the old Mischief Rule was backward-looking (what evil *pre-existed*?), while purposive construction is forward-looking (what *object* does this Act pursue?). For the exam, treat purposive construction as the Mischief Rule modernised — and note it is now the dominant approach for taxation anti-avoidance and welfare legislation. Do **not**, however, use purposive construction to *rewrite* a charging section in a tax Act — a citizen is taxed by clear words, not by the spirit (this is the boundary where strict construction pushes back).

Figure 2 — Heydon's four questions as a decision flow.



> **Hook:** *Mischief* = "*spirit of the law.*" Ask "what evil was this Act hunting?" and read the words to catch that prey.

(d) Harmonious Construction — "make the parts agree"

The problem it fixes: two provisions of the *same* statute (or two statutes) that appear to **contradict** each other. If you obey one you disobey the other.

The rule: the statute must be read as a *whole*; the court must **reconcile** the conflicting provisions so that **both are given effect** as far as possible. The legislature is presumed *not to contradict itself.* A construction that reduces one provision to a **dead letter (redundant)** is to be avoided. Only if reconciliation is genuinely impossible does one provision yield — and even then the court gives each the widest operation that leaves room for the other.

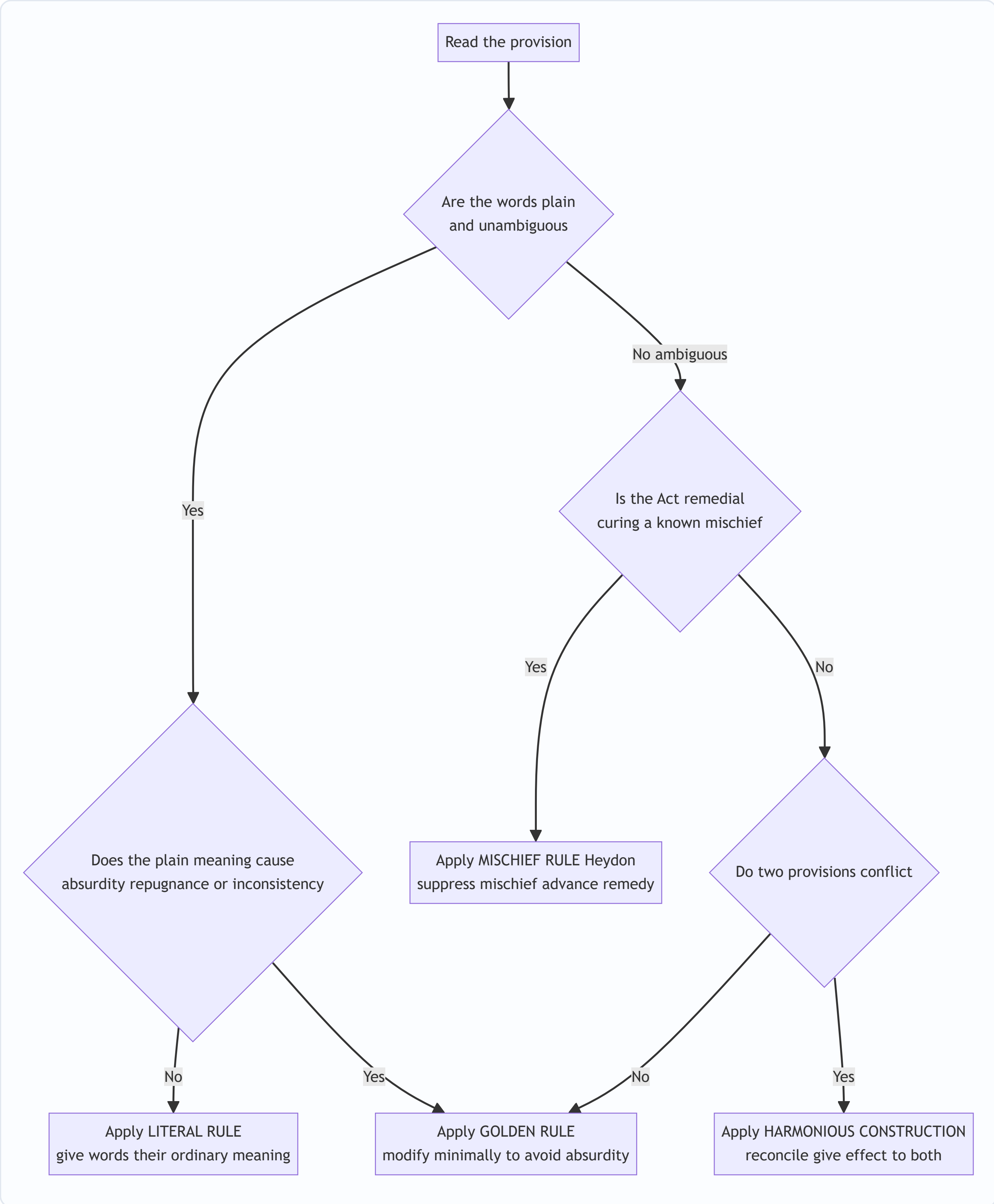
Special rule of harmony: where a **general** provision and a **special** provision clash, the **special prevails** over the general on the subject it specially covers — *generalia specialibus non derogant* ("general things do not derogate from special things").

The five principles of harmonious construction (exam-ready list). When asked to *state* the doctrine rather than merely apply it, courts have distilled it into these rules of thumb: 1. Read the statute as a whole; give effect to **all** provisions. 2. Where two provisions conflict, seek an interpretation that **reconciles** them. 3. Prefer the construction that keeps **both** alive over one that renders either **redundant / a dead letter**. 4. Where reconciliation is impossible, the provision **later in position** or the **special** one may prevail on its subject — but this is a last resort. 5. A court will **not** reduce a provision to a nullity unless it is *driven* to that by an unavoidable contradiction.

When it applies: internal contradictions; overlapping entries/lists; general-vs-specific conflicts.

> **Hook:** *Harmonious* = "*make peace, don't pick a fight.*" Give both provisions a job; kill neither.

Figure 3 — the master decision tree: which primary rule fires?



(e) Beneficial (Liberal) vs Strict Construction — a rule of *tone*, not a fifth primary rule

Students sometimes list "beneficial construction" as a separate primary rule. Be precise: it is not a *free-standing* method like the four above — it is a **direction of lean** applied *within* interpretation when the words are doubtful.

- **Beneficial / liberal construction** applies to **remedial and welfare** statutes. Where two readings are open, choose the one that *advances the benefit* to the class the Act protects. It draws its energy directly from the Mischief Rule.
- **Strict construction** applies to **penal and taxing** statutes. Where two readings are open, choose the one that *favours the subject* — nothing is punished or taxed unless caught by clear words.

The crucial exam point: *tone only breaks a tie*. If the words are **plain**, even a welfare statute is read literally and even a penal statute bites — you do not stretch a beneficial Act beyond its clear words, nor narrow a penal Act below its clear words. Beneficial/strict construction resolves *ambiguity*; it does not manufacture it. (The full "swords narrow, shields wide" treatment sits in Section 4.5.)

4.2 Internal Aids to Construction (found *inside* the statute)

When words are doubtful, the court first looks *within the four corners of the Act itself.* These are **internal aids** — and each answers a specific doubt.

Internal aid	What doubt it resolves	Key rule / caution
Long Title	What is the Act broadly *about*?	Part of the Act; may be used to understand general scope and object, but cannot override clear enacting words.
Short Title	Merely a *label* for citation (e.g., "The Companies Act 2013")	Only for identification; **no interpretive value**.
Preamble	The *reason and object* — the "why" of the Act	A key to the maker's mind; useful when enacting words are ambiguous. **But** where the enacting section is clear, the preamble **cannot cut it down**.
Marginal notes / headings	Quick gist of a section	Generally **NOT** a legitimate aid (they aren't voted on by the legislature); may be looked at *only* in case of ambiguity, with great caution.
Definition / Interpretation clause	The *stipulated* meaning of a term for that Act	"**means**" = exhaustive/restrictive; "**includes**" = extends/enlarges the ordinary meaning; "**means and includes**" = exhaustive but broadened; watch for "**unless the context otherwise requires**".
Proviso	Carves out an *exception* to the main provision	Deals only with the main provision it is attached to; it **qualifies/excepts**, it does not *enlarge*.
Explanation	*Clarifies* or explains the main provision	Explains meaning, removes doubt, may fill a gap — but does **not** widen or contradict the section.
Illustrations	Worked *examples* of the section	Valuable to show application; but cannot **modify** the language of the section if they conflict with it.
Schedules	Detailed matter (forms, rates, lists)	Part of the Act; but the enacting section prevails if a schedule conflicts with it.
Punctuation	Commas, semicolons	A *minor* aid; the meaning must first be gathered from the words. Older statutes were sometimes unpunctuated.
Non-obstante clause ("notwithstanding anything...")	Which provision *overrides* in a clash	Gives the section it heads **overriding effect** over the provisions it names; but its reach is limited to what it actually says.
Saving clause	What survives a repeal/amendment	Preserves existing rights/pending actions; if it conflicts with the main provision, the main provision usually prevails.

Why the "means vs includes" distinction matters so much — it is a repeat exam favourite:

- **"means"** → the definition is a *sealed box*. The term means *only* what is listed. Nothing outside gets in. (Restrictive.)
- **"includes"** → the definition is an *open door*. The term keeps its ordinary dictionary meaning **plus** the listed items. (Extensive/enlarging.)
- **"means and includes"** → exhaustive *and* deemed to cover the listed items — comprehensive, treated as a hard-and-fast definition.

- **"unless the context otherwise requires"** → the stipulated meaning is the *default*, but if a particular section's context demands a different meaning, context wins.

The two darlings of drafting — proviso vs non-obstante clause. These are constantly confused and constantly tested:

- A **proviso** looks *backward and inward* at the very section it is attached to and *carves an exception* out of it. Its job is to *take something out* of the main provision's reach. It cannot travel to other sections, and it cannot *add* to the main provision — only subtract. The tell-tale word is **"Provided that..."**.
- A **non-obstante clause** ("**notwithstanding** anything contained in...") looks *outward* and gives its own provision **overriding force** over other, possibly conflicting, provisions. Its job is to *win the clash* it names. But it overrides only what it actually mentions — a non-obstante clause naming "this Act" does not override some *other* Act unless it says so.

So a proviso *narrows*, a non-obstante clause *dominates*. Mixing these up is a frequent MCQ loss.

Ranking among internal aids — what beats what. When two internal aids point different ways, the order of authority is roughly: **enacting words > definition clause > proviso/explanation (as to their own section) > long title/preamble (object) > headings/marginal notes > punctuation.** The single unbreakable rule: *no internal aid overrides clear enacting words.* An aid is a torch to read the words in the dark — not a knife to cut them.

4.3 External Aids to Construction (found *outside* the statute)

If internal aids don't settle the doubt, the court may look **outside** the Act — but cautiously, because these are secondary.

- **Dictionaries** — for the ordinary meaning of a word (but the statutory/contextual meaning prevails over the dictionary).
- **Historical background / the state of things when the Act was passed** — to understand the mischief.
- **Statement of Objects and Reasons** and **legislative history / Parliamentary debates** — admissible to understand the *background and mischief*, but **not** as *direct evidence of meaning* of the specific words (a legislator's speech doesn't bind the statute's meaning).
- **Reports of Committees / Commissions** (e.g., a Law Commission report that preceded the Bill) — good evidence of the mischief the Act sought to cure.
- **Earlier and later statutes on the same subject (*statutes in pari materia*)** — Acts dealing with the same matter are read together as one system.
- **Contemporanea expositio** — how a statute was understood *at the time it was passed* (see maxims below).
- **Usage and practice** — long, consistent administrative practice under an old statute can be a guide to its meaning.
- **Foreign decisions** — persuasive only, where the statute is *in pari materia* with the foreign one; Indian conditions and the Constitution prevail.

Why debates are demoted but reports are trusted — the principled line. Students find it odd that a *committee report* is good evidence while a *floor speech* is weak. The reason tracks the objective-intention idea from Section 2. A committee/commission report exists *before* the Bill and describes the **mischief** — the state of affairs Parliament set out to fix; it lights up the *problem*, not the meaning of the chosen words. A minister's speech, by contrast, is one person's *view of the solution*, offered in the heat of debate; treating it as the meaning of the section would let one speaker's subjective gloss bind the whole House's enacted text. So: reports and history → admissible to find the **mischief**; individual speeches → **not** conclusive on the **meaning** of the words. That is the line to draw in an answer.

A distinction worth banking — dictionary meaning vs statutory meaning. A dictionary gives *a range* of ordinary meanings; the court picks the one that fits the *subject and context* of the Act, and a **defined** term always overrides the dictionary. So "dictionary is an external aid" is true, but it ranks *below* the Act's own definition clause and below context. If an Act defines "vehicle," the dictionary is irrelevant.

> **Hook — "Inside before Outside."** Internal aids first (Title → Preamble → Definitions → Provisos → Explanations); only then external aids. And *no aid* — internal or external — can override the **plain, clear words** of the enacting provision.

4.4 The Key Maxims (rules of *language*)

These are sub-rules that tell the court how words *keep company* with one another. Each solves a precise ambiguity.

(a) *Noscitur a sociis* — "a word is known by the company it keeps"

Problem: a word standing among others has an uncertain scope. **Rule:** a word takes colour/meaning from the *surrounding words*. If a doubtful word sits in a list, interpret it consistently with its neighbours. *Example:* in "houses, buildings, and other structures," the word "structures" is coloured by "houses/buildings" — you wouldn't stretch it to a sandcastle.

(b) *Ejusdem generis* — "of the same kind" (a *specialised form* of noscitur a sociis)

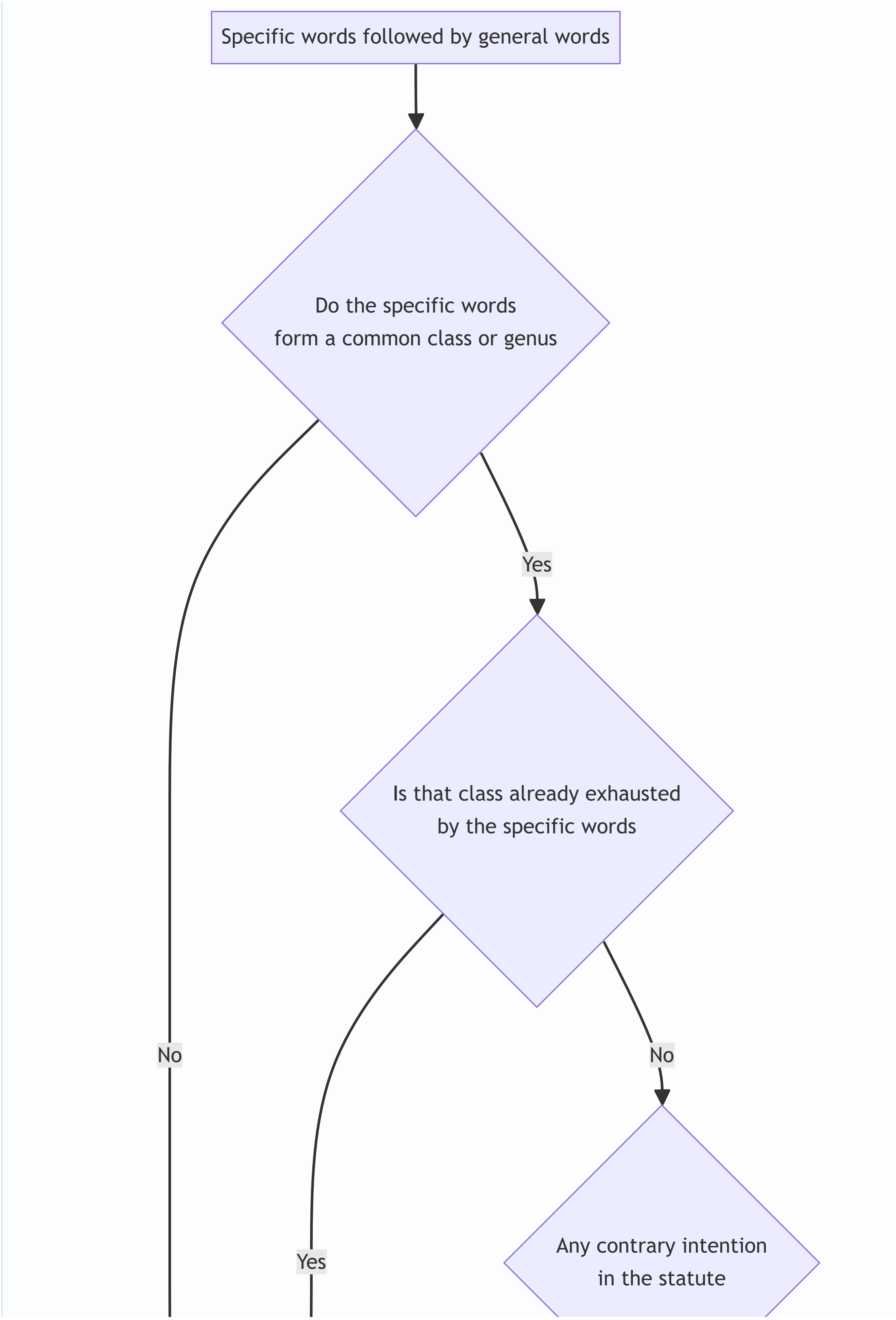
Problem: a statute lists *specific* items and then adds a general catch-all ("... and other **such** things"). Does the catch-all mean *literally anything*, or only things like the listed ones? **Rule:** where **specific words** forming a *distinct genus (category)* are **followed by general words**, the general words are **restricted to the same kind/class (genus)** as the specific ones.

Conditions for it to apply (all needed): 1. The statute contains an **enumeration of specific words**; 2. The specific items **constitute a class or genus** (they share a common category); 3. The class is **not exhausted** by the enumeration; 4. **General words follow** the specific ones; 5. There is **no contrary legislative intent**.

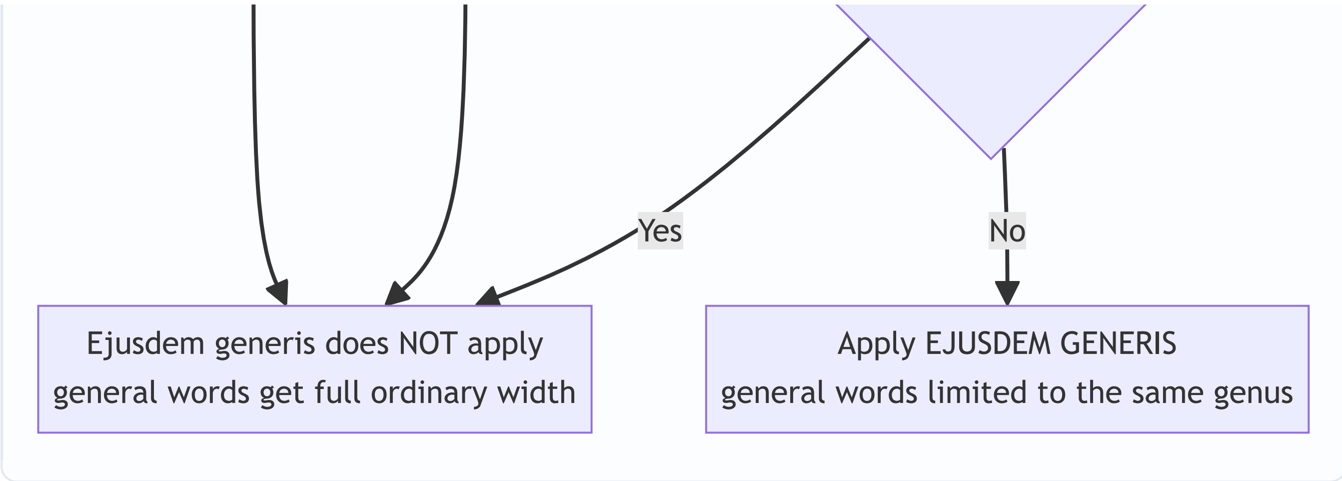
Example: "cats, dogs, and other animals" in a pet-licensing law → "other animals" means *other domestic pets* (same genus), not lions or whales. **But** if the specific words do **not** form a single genus, ejusdem generis does **not** apply, and the general words get their full width.

The relationship to *noscitur a sociis* (often muddled). *Noscitur a sociis* is the parent principle — "colour from neighbours" — and applies whenever words sit together, in *any* arrangement. *Ejusdem generis* is a **special case** of it, triggered only by the specific *structure* "specific words → general words." So every ejusdem generis situation is a noscitur situation, but not vice-versa. If an answer needs the broad idea, cite noscitur; if the exact "list-then-catch-all" pattern appears, name ejusdem generis and run its five conditions.

Figure 4 — does ejusdem generis apply?



Specific words followed by general words
Do the specific words form a common class or genus
Yes
Is that class already exhausted by the specific words
No
No
Any contrary intention in the statute
Yes



(c) *Expressio unius est exclusio alterius* — "to express one is to exclude the other"

Problem: the statute expressly mentions *some* things. Does mentioning them *imply* that unmentioned things are excluded? **Rule:** the *express* mention of one or more things of a class may imply the **exclusion** of others of the same class not mentioned. *Caution (heavily tested):* this is a **weak, unsafe maxim** — a guide, not a command. The omission might be *deliberate exclusion* **or** simply an *oversight/abundant caution.* Apply it only when the mention was clearly meant to be *exhaustive. Example:* a rule granting relief to "widows" may, by expressio unius, exclude "widowers" — *unless* context shows the omission was accidental.

(d) *Contemporanea expositio est optima et fortissima in lege* — "contemporaneous exposition is the best and strongest in law"

Problem: what did an *old* statute's words mean? **Rule:** the meaning given to a statute *at the time of its enactment*, by those who administered it soon after, is a strong guide to its meaning — usage over long time crystallises meaning. **Caution:** applied mainly to **old/ancient** statutes; it is **not** applied to *modern* statutes, whose words are read in their present sense.

(e) *Expressum facit cessare tacitum* — "what is expressed makes what is silent cease"

Problem: does an express provision leave any room for an implied one on the same point? **Rule:** where a matter is *expressly* dealt with, there is **no room for implication** on that matter — the express provision governs and silences any competing implied term. This is the sibling of *expressio unius*: the first says "expressing some excludes others"; this says "expressing a thing kills the implied version of that same thing." *Example:* if a contract statute expressly states the mode of giving notice, a court will not imply some *other* mode; the express mode occupies the field.

(f) A few more worth carrying into the exam

- ***Generalia specialibus non derogant*** — special provisions override general ones (the harmony rule seen above).
- ***Reddendo singula singulis*** — "rendering each to each": where a sentence has several subjects and several objects, match each to its appropriate counterpart. *E.g.,* "I devise and bequeath my real and personal property" → *devise* attaches to *real* property, *bequeath* to *personal* property.

- ***Ut res magis valeat quam pereat*** — prefer the construction that makes the statute effective over one that makes it futile.
- ***A verbis legis non est recedendum*** — do not depart from the words of the law (the Latin spine of the Literal Rule).

4.5 Presumptions in Interpretation

When the text is silent or doubtful, courts fall back on **default assumptions** about what a rational legislature intends — unless the statute clearly says otherwise. Know these:

Presumption	The court presumes...	Rebuttable by
Against ousting jurisdiction of courts	The legislature does **not** intend to take away the ordinary courts' jurisdiction	Clear, express words
Against retrospective operation	A statute operates **prospectively**; it does **not** take away vested rights or impose new liabilities for the past — *especially* penal statutes	Express words or necessary implication (procedural laws are generally retrospective)
Against exceeding territory	Legislation applies **within India** only, not extra-territorially	Express extra-territorial provision
Constitutionality	The legislature intends a **valid, constitutional** law; read it to save it if possible	Only if unconstitutionality is unavoidable
Against absurdity / injustice / inconvenience	The legislature did not intend absurd, unjust or inconvenient results	The plain words compel it
Mens rea in criminal statutes	A guilty mind is required for a crime, unless the statute excludes it	Words creating strict/absolute liability
Words used in the same sense throughout	The same word carries the same meaning across the Act	Contrary context
Against implied repeal / surplusage	The legislature wastes no words and does not repeal earlier law by implication	Irreconcilable inconsistency

Two escalators inside the retrospectivity presumption (a favourite tweak). The bare rule is "statutes are prospective." But two layers sit under it: - **Substantive vs procedural.** The presumption *against* retrospectivity protects **substantive** rights (rights, obligations, penalties). **Procedural / machinery** provisions (rules of evidence, limitation, forum, mode of trial) are generally treated as **retrospective** — because no one has a vested right in *procedure*. So an amendment changing *how* you appeal usually applies to pending matters; an amendment changing *whether* you are liable does not reach back. - **Beneficial retrospectivity.** A *curative or beneficial* amendment (e.g., one that reduces a penalty or clarifies a benefit) may be read retrospectively to serve its object, even absent express words — because the presumption exists to protect the subject, and here retrospective reading *helps* the subject.

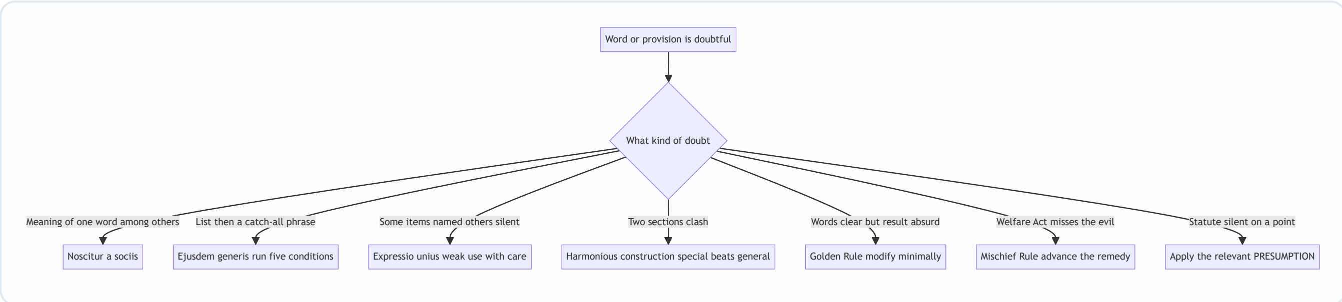
Strict vs Liberal construction — the presumption that decides tone: - **Penal and taxing statutes are construed *strictly*.** Why? Because they *hurt* the citizen (jail; money taken). If two readings are possible, the one **favouring the subject** is preferred, and nothing is taxed/punished unless clearly within the letter. The State must speak plainly before it punishes or taxes. - **Remedial / welfare / beneficial statutes are**

construed *liberally*. Why? Their purpose is to *help* people; a generous reading advances the remedy (Mischief Rule energy). Ambiguity is resolved in favour of the class the Act protects.

The boundary of strict construction (deeper than most notes go). "Strict" does **not** mean "narrowest imaginable" or "read against the State at all costs." It means: (i) find the natural meaning of the charging/penal words; (ii) *if* — and only if — a real ambiguity survives, resolve it for the subject. Strict construction is a **tie-breaker at the end**, not a licence to ignore plain words that clearly cover the case. A taxpayer clearly within the charge cannot escape by demanding an artificially narrow reading; equally, the State cannot tax by "intendment" or by stretching words to their spirit. Two matching slogans: "*There is no equity about a tax*" (you are taxed by the letter, not by fairness) and "*nothing is to be read in, nothing is to be implied*" in a charging section.

> **Hook:** "*Sword statutes narrow, shield statutes wide.*" Laws that wound (penal/tax) are read narrowly; laws that protect (welfare) are read widely.

Figure 6 — mapping doubt-type to the tool that resolves it.



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5. Applied Scenarios (exam-style)

Scenario 1 — The war-memorial tank (Literal vs Golden vs Mischief). A municipal bye-law: "*No vehicle shall enter the park.*" The committee mounts a decommissioned tank as a memorial. A citizen sues, saying a tank is a "vehicle." - **Literal:** a tank has wheels and an engine → it is a vehicle → banned. But this is *absurd* — a static memorial threatens no one. - **Golden Rule:** modify to avoid absurdity — the bolted-down memorial is not "entering" as a vehicle. - **Mischief Rule (best):** the mischief was *danger and disturbance to park-users from moving traffic.* A static tank causes neither. Read "vehicle" to mean *vehicles used for transport/movement.* Memorial is allowed. **Answer:** applying the Mischief/Golden approach, the tank is permitted; the purpose, not the bare word, controls.

Scenario 2 — "means" vs "includes" (definition clause). Act A says "'*factory*' *means any premises where 10 or more workers work with power.*" Act B says "'*worker*' *includes an apprentice.*" A dispute: does Act A's "factory" cover a premises with 8 workers but huge output? Does Act B's "worker" cover a trainee not formally an apprentice? - Act A uses **"means"** → *sealed box.* Only premises with 10+ power-workers qualify. 8 workers → **not** a factory, however large the output. Court cannot stretch it (casus omissus — the gap can't be judicially filled). - Act B uses **"includes"** → *open door.* "Worker" keeps its ordinary meaning **plus** apprentices; a trainee doing a worker's job can be covered because the definition is *enlarging*, not exhaustive. **Answer:** the drafting verb decides the width.

Scenario 3 — Ejusdem generis (the catch-all list). A licensing law requires a permit to keep "*any dog, cat, rabbit or other animal.*" X keeps a python and argues no permit is needed because it's a reptile; the department says "other animal" covers everything. - Test the conditions: specific words (dog, cat, rabbit) → do they form a **genus**? Yes — *common domestic pet animals.* The class isn't exhausted; general words follow; no contrary intent. → **Ejusdem generis applies**: "other animal" is limited to *animals of the same kind* (domestic pets). Whether a python fits turns on whether it is a kept domestic pet — but the department **cannot** claim the phrase covers *literally any* creature. **Answer:** the catch-all is confined to the genus of the listed animals, not the entire animal kingdom.

Scenario 4 — Strict construction of a penal/tax provision. A tax entry levies duty on "*manufactured tobacco.*" The revenue seeks to tax a semi-processed leaf that is arguably not yet "manufactured." - Taxing statute → **strict construction.** If it is genuinely doubtful whether the leaf is "manufactured tobacco," the doubt is resolved **in favour of the assessee** (the subject). Nothing is taxed unless it falls *clearly* within the letter of the charge. **Answer:** absent clear coverage, the levy fails; the State must draft plainly.

Scenario 5 — Harmonious construction (two clashing sections). Section 12 of an Act says "*every appeal shall be filed within 30 days.*" Section 40 says "*the Tribunal may condone delay for sufficient cause.*" Do they conflict? - Read as a whole, presuming no self-contradiction: Section 12 sets the *normal* limit; Section 40 is a *special* power to relax it for sufficient cause. **Both are given effect** — the limit stands, the condonation power operates as an exception. (Also *generalia specialibus*: the specific condonation power qualifies the general limit.) **Answer:** no true conflict; harmonious reading keeps both alive.

Scenario 6 — Reddendo singula singulis (matching subjects to objects; a numerical-style parsing). A pension rule reads: "*A member and his widow shall be paid Rs 20,000 and Rs 12,000 respectively per month.*" On the member's death, the administrator argues the widow gets Rs 20,000 (the first, higher figure). - Apply **reddendo singula singulis** — render each to each, in order. Two subjects (*member*, *widow*) map onto two amounts (*Rs 20,000*, *Rs 12,000*) *respectively*: member → Rs 20,000; widow → Rs 12,000. - **Self-check by reconciliation:** the word "respectively" is the drafting signal that pairs list-1 with list-2 positionally. Total design: member's pension Rs 20,000; on his death the widow's pension is the *lower* Rs 12,000 figure (typical of survivor benefits). The administrator's reading would make "respectively" meaningless — violating *ut res magis valeat* (no word is surplus). **Answer:** the widow is entitled to **Rs 12,000**, not Rs 20,000. *What if the examiner drops the word "respectively"?* Then the pairing is no longer textually forced; the court would fall back on context/purpose (survivor benefits are usually lower) but the clean maxim answer weakens — flag that the whole force of reddendo singula singulis here rides on "respectively."

Scenario 7 — Retrospectivity: substantive vs procedural (a date-driven tweak). A tax amendment is notified on **01 April 2026**. Version (a): it *raises the rate* of tax on income. Version (b): it *changes the time limit* to file an appeal from 30 to 60 days. An assessee whose income arose in FY 2024-25 and whose appeal was pending on 01 April 2026 asks how each applies. - **Version (a) — substantive (rate/liability):** the presumption **against retrospectivity** protects the vested position. A rate increase is a *substantive* change to liability; absent clear retrospective words, it applies **prospectively** — it does **not** reach back to FY 2024-25 income. **Answer:** old rate governs the past year. - **Version (b) — procedural (limitation/forum):** rules of *procedure* carry **no vested right**; a change to the appeal period is machinery. It is generally **retrospective** and applies to the **pending** appeal, giving the assessee the benefit of the longer 60-day window. **Answer:** the new 60-day limit applies to the pending matter. - **Reconciliation / why the split holds:** the presumption exists to protect *acquired rights*. You *acquire* a right in your tax liability (so it is frozen as at the year it arose); you *never acquire* a right in the mechanics of how courts run (so procedure can move under you). *What if version (b) instead **shortened** the period from 60 to 30 days and the assessee's 45th day had already passed?* Courts avoid using "retrospective procedure" to *destroy* an already-accrued right to appeal — so a shortened limitation would not be applied to bar an appeal that was still alive under the old period. The procedural-retrospectivity rule bends where it would extinguish a vested remedy.

Scenario 8 — Proviso vs non-obstante clause (which one wins the clash). Section 8 of an Act says: "*Notwithstanding anything contained in any other law, the Authority may seize goods. Provided that perishable goods shall be released within 48 hours.*" Two questions: (i) does Section 8 override a conflicting provision in a *different* Act that bars seizure? (ii) does the proviso let the Authority *also* seize goods from unregistered dealers (a power not in the main clause)? - **(i) Non-obstante clause:** "notwithstanding anything in any other law" gives Section 8 **overriding effect** over the conflicting provision in the other Act — that is exactly the job of a non-obstante clause, and here it expressly names "any other law," so its reach is wide. **Answer:** Section 8 prevails; the seizure stands. - **(ii) Proviso:** a proviso only **carves an exception** out of its own main clause — it *cannot enlarge* the power. It says perishables must be *released* early; it grants **no new seizure power** over unregistered dealers. Reading it as a *source* of extra power reverses the nature of a proviso. **Answer:** no; the proviso subtracts (early release), it does not add a fresh power. - **Trap check:** the tempting wrong move is to treat the proviso as if it *expanded* Section 8. Provisos qualify; they do not enlarge — pair this with "*a proviso is not a substantive enacting provision.*"

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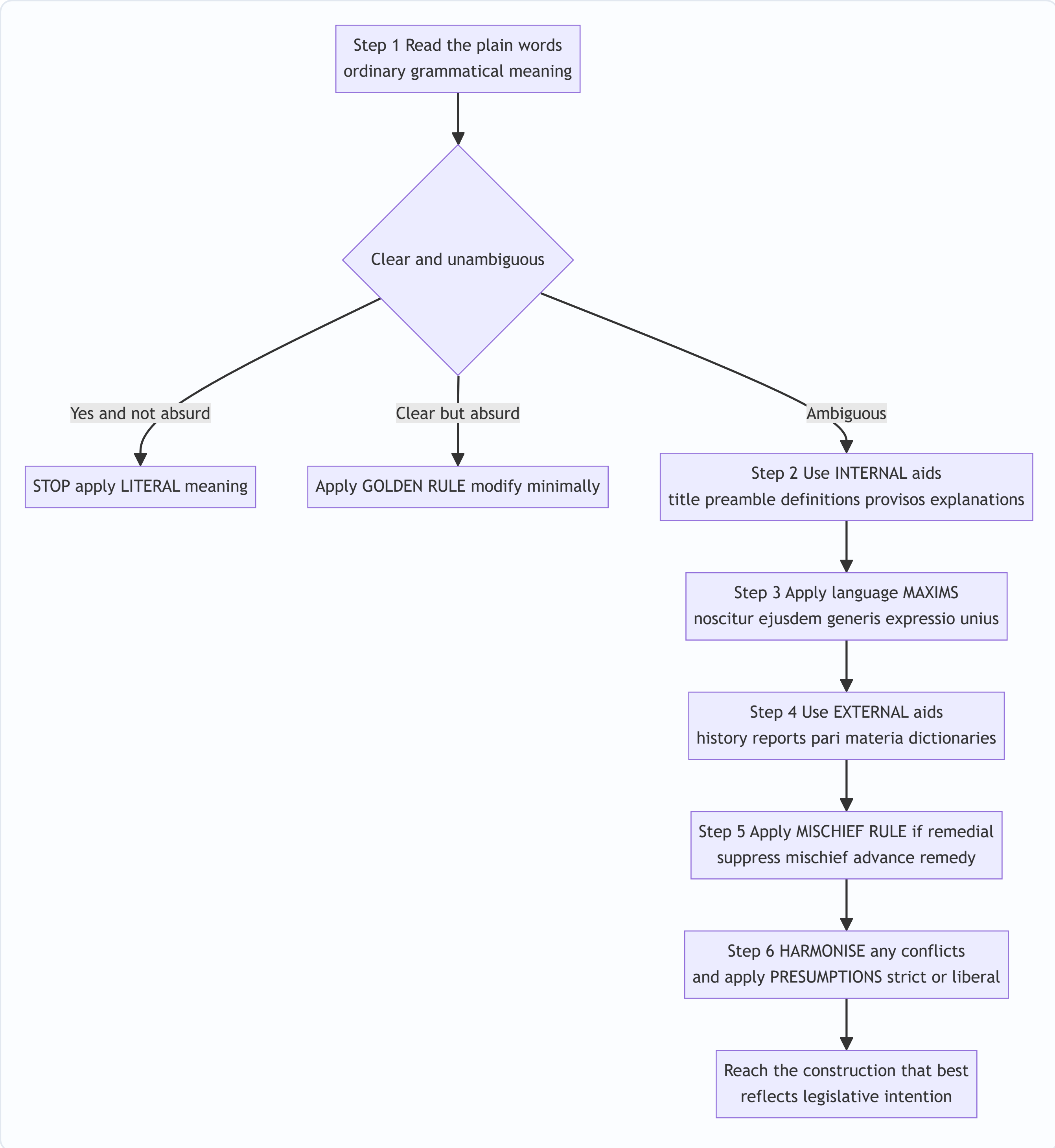
6. Procedure / Summary — the order a court actually follows

Figure 5 — the interpretation workflow, top to bottom.



One-line summary of the whole system: *Trust the words; escape only for absurdity; when in doubt look inside then outside; obey the mischief for welfare laws, reconcile clashes, and lean the way the presumption points (narrow for swords, wide for shields).*

How to structure a full-marks answer to "interpret this provision." Examiners reward a *visible method*, not a guessed conclusion. Use this skeleton: 1. **State the golden thread** — intention of the legislature, gathered primarily from the language. 2. **Start literal** — give the words their ordinary meaning; say whether they are plain or ambiguous. 3. **Test for absurdity** — if plain but absurd/repugnant, invoke the Golden Rule and *say why the result is absurd, not merely harsh.* 4. **If ambiguous, reach for the right tool** — name the specific aid or maxim (definition verb, proviso, ejusdem generis…) and *run its conditions.* 5. **Bring purpose in for remedial Acts** — Heydon's four questions / purposive construction. 6. **Set the tone** — penal/tax strict for the subject; welfare liberal for the protected class. 7. **Conclude** — state the construction that best reflects legislative intention, and apply it to the facts. Always land on a definite answer.

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7. Connections — where this plugs into the rest of the syllabus

- **The General Clauses Act, 1897** (next in most CA schemes) is the *statutory partner* of this chapter: it supplies default **definitions** ("person", "month", "immovable property"), rules on **commencement**, **repeal and re-enactment**, and computation of time — codified interpretation aids. This chapter is the *theory*; the General Clauses Act is the *statutory toolkit*. Concretely: the presumption *against implied repeal* here is backed by Section 6 (effect of repeal) there; "means/includes" logic here is what you use to read every General Clauses Act definition.
- **Companies Act / SEBI / FEMA:** every time you read a definition clause ("**means**" vs "**includes**"), decide whether a **proviso** narrows a section, or reconcile two apparently clashing provisions, you are *applying this chapter.* E.g., reading whether "officer in default" includes a given person is pure interpretation. Non-obstante clauses ("notwithstanding anything in the Companies Act...") recur across SEBI and IBC — that is the overriding-clause doctrine from 4.2.
- **Taxation papers:** the *strict construction of taxing statutes* and *ejusdem generis* over tariff/entry lists are constantly used; so is the *substantive-vs-procedural* retrospectivity split (rate changes vs limitation changes).
- **Constitutional law:** *harmonious construction* famously reconciles Fundamental Rights with Directive Principles, and Union vs State legislative entries; the *presumption of constitutionality* saves statutes where a reading is available.
- **Contract & FEMA penalties:** the *presumption of mens rea* and *strict construction of penal provisions* shape how offences and penalties are read.

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8. Traps & Examiner Tricks

1. **"Literal rule = the highest rule always."** *False.* Literal is the *starting default*, not an absolute. It yields to the Golden Rule on absurdity. Watch for questions where literal reading gives a silly result — the examiner wants the Golden/Mischief answer.
2. **"means" vs "includes" swapped.** The single most common definition trap. "*means*" = *exhaustive/restrictive (sealed box)*; "*includes*" = *extensive/enlarging (open door)*. If you flip them you fail the sub-question. "means and includes" = exhaustive but broad.
3. **Applying *ejusdem generis* when the specific words DON'T form a genus.** If the listed items share no common class, the maxim **does not apply** and the general words get full width. Also fails if the genus is *exhausted* by the list, or a contrary intention appears.
4. **Treating *expressio unius* as a hard rule.** It is **weak and unsafe** — the omission could be deliberate *or* an oversight. Never apply it mechanically; only where the mention was meant to be exhaustive.
5. **Short title vs long title vs preamble confusion.** *Short* title = mere label, **no** interpretive value. *Long* title and *preamble* = legitimate aids to object/scope, but **cannot override clear enacting words.**
6. **Marginal notes / headings as aids.** Generally **not** legitimate aids (not enacted by the legislature); usable only in ambiguity, with caution. A tempting wrong option.

7. **Proviso vs Explanation vs Illustration.** *Proviso* = **exception/qualification** (carves out); *Explanation* = **clarifies** (removes doubt, doesn't enlarge); *Illustration* = **example** (can't override the section). Examiners love mismatching these.
8. **Casus omissus.** A gap the legislature left **cannot** be filled by the court. If the words don't cover a case, the answer is "not covered" — *not* "the court will read it in."
9. **Strict vs liberal direction reversed.** *Penal & taxing = strict, in favour of the subject. Welfare/remedial = liberal.* Getting the direction backwards is an automatic loss.
10. **Retrospectivity default.** Presumed **prospective** (especially penal). But *procedural* amendments are generally retrospective — a classic distinguishing trap. Deeper tweak: a *beneficial* amendment may be read retrospectively, and procedural retrospectivity will **not** be used to *extinguish an already-accrued right* (e.g., an appeal already alive).
11. **Contemporanea expositio on a modern Act.** It applies to **old** statutes; do **not** invoke it for a recent enactment.
12. **"External aids override the words."** Never. No aid — internal or external, no debate or report — can defeat the **plain, unambiguous** language of the enacting provision.
13. **Proviso mistaken for an enlarging or a substantive provision.** A proviso **subtracts** from its own section; it neither adds a fresh power nor travels to other sections. "A proviso is not itself a substantive enacting provision."
14. **Non-obstante clause treated as unlimited.** "Notwithstanding" overrides only what it **names**. A clause saying "notwithstanding anything in *this Act*" does **not** override some *other* Act. Read the *scope* of the override before you apply it.
15. **"Golden Rule applies whenever the result is unfair."** No — the threshold is **absurdity/repugnance**, not mere harshness or unfairness. Parliament is allowed to be harsh; the judge is not allowed to soften plain words just because the outcome stings.
16. **Minister's speech = meaning of the section.** No — legislative debates are admissible for **mischief/background** only, **not** as direct evidence of the meaning of the enacted words. Reports/history light up the *problem*, not the *meaning*.
17. **Dictionary beats the Act's own definition.** Never — a **defined** term and the **context** override the dictionary; the dictionary only supplies an *ordinary* meaning when the Act is silent.

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9. First-Principles Recap — rebuild the chapter from one sentence

Start from the single fault line: **words are frozen, life is fluid.** A statute is a set of words written at one moment, trying to govern situations no one foresaw. Two failures loom — the judge who reads too literally (bans the ambulance) and the judge who reads too freely (becomes a legislator). Everything else is the machinery that steers between them.

- To stop the *free-reading* judge, we start with the **Literal Rule**: the words are the law; you may not add, subtract, or invent (casus omissus; *a verbis legis non est recedendum*).
- To stop the *absurd* result, we add the **Golden Rule**: bend the words *minimally* when literal reading gives nonsense — and only for true absurdity, not mere harshness.
- To make sure the Act *does its job*, we add the **Mischief Rule** (now grown into purposive construction): find the evil Parliament hunted and read the words to catch it — especially for welfare laws.

- To keep the Act *internally coherent*, we add **Harmonious Construction**: reconcile clashing provisions; kill none; special beats general.
- To *find* meaning when words are doubtful, we look **inside** (title, preamble, definitions, provisos, explanations, non-obstante clauses) then **outside** (history, reports, pari materia, dictionaries) — but never against the plain words, and never letting a debate override the text.
- To handle *how words behave in company*, we use the **maxims** (noscitur a sociis, ejusdem generis, expressio unius, expressum facit cessare tacitum, contemporanea expositio, reddendo singula singulis).
- To resolve *silence*, we lean on **presumptions** (prospective — but procedure moves; constitutional; mens rea; against ousting courts) — and we set the *tone*: narrow for swords (penal/tax), wide for shields (welfare).

The unifying insight beneath all seven moves: the entire scheme is a device for **rationing judicial discretion** — the judge starts with zero freedom (read the words) and earns more only by *proving* the words have failed. Meaning is *discovered*, not *manufactured*. If you can regenerate those seven moves from the "frozen words, fluid life" problem, you own the chapter.

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10. Quick-Revision Sheet

Golden thread: find the *intention of the legislature*, primarily from the *language used*.

Interpretation vs construction: interpretation = *meaning of words used*; construction = *effect in situations words don't cover*. Interpretation is the narrower first step.

Primary rules (and trigger):

Rule	Fires when	Do
Literal / Grammatical	Words plain & unambiguous	Give ordinary meaning; don't add/subtract (casus omissus; ut res magis valeat)
Golden	Literal gives absurdity/repugnance/inconsistency (**not** mere harshness)	Modify *minimally* to avoid it
Mischief (Heydon)	Remedial Act; literal misses the evil	4 Qs → suppress mischief, advance remedy (= purposive construction)
Harmonious	Two provisions conflict	Reconcile; give effect to both; special over general

Definition verbs: *means* = exhaustive (sealed box) · *includes* = enlarging (open door) · *means and includes* = exhaustive + broad · *unless context otherwise requires* = context can override.

Internal aids (inside → cautious): Long title (scope) · Preamble (object) · Definitions · Proviso (**exception, subtracts**) · Explanation (clarifies) · Illustration (example) · Schedule · Non-obstante clause (**overrides what it names**) · Saving clause · Headings/marginal notes (weak) · Punctuation (minor). Short title = label only. **No internal aid overrides clear enacting words.**

External aids: dictionaries · historical background · Objects & Reasons · committee/commission reports (→ **mischief**) · debates (→ background only, **not** meaning) · statutes *in pari materia* · usage/practice · foreign decisions (persuasive). **None** overrides plain words.

Maxims: - *Noscitur a sociis* — word known by its company (the parent rule). - *Ejusdem generis* — general words after specific words of a genus = limited to that genus (needs: specifics form a class, class not exhausted, general words follow, no contrary intent). A *special case* of noscitur. - *Expressio unius est exclusio alterius* — express one, exclude the rest (**weak/unsafe**). - *Expressum facit cessare tacitum* — an express provision leaves no room for an implied one on the same point. - *Contemporanea expositio* — old statutes read as understood when enacted (not modern Acts). - *Generalia specialibus non derogant* — special beats general. - *Reddendo singula singulis* — match each subject to its object ("respectively" is the trigger word). - *Ut res magis valeat quam pereat* — prefer the effective construction. - *A verbis legis non est recedendum* — do not depart from the words (spine of the Literal Rule).

Presumptions: prospective (esp. penal; **procedural = retrospective**, but not to kill an accrued right; beneficial amendments may be retrospective) · against ousting court jurisdiction · constitutionality · mens rea in crimes · territorial · no surplusage/implied repeal · against absurdity/injustice.

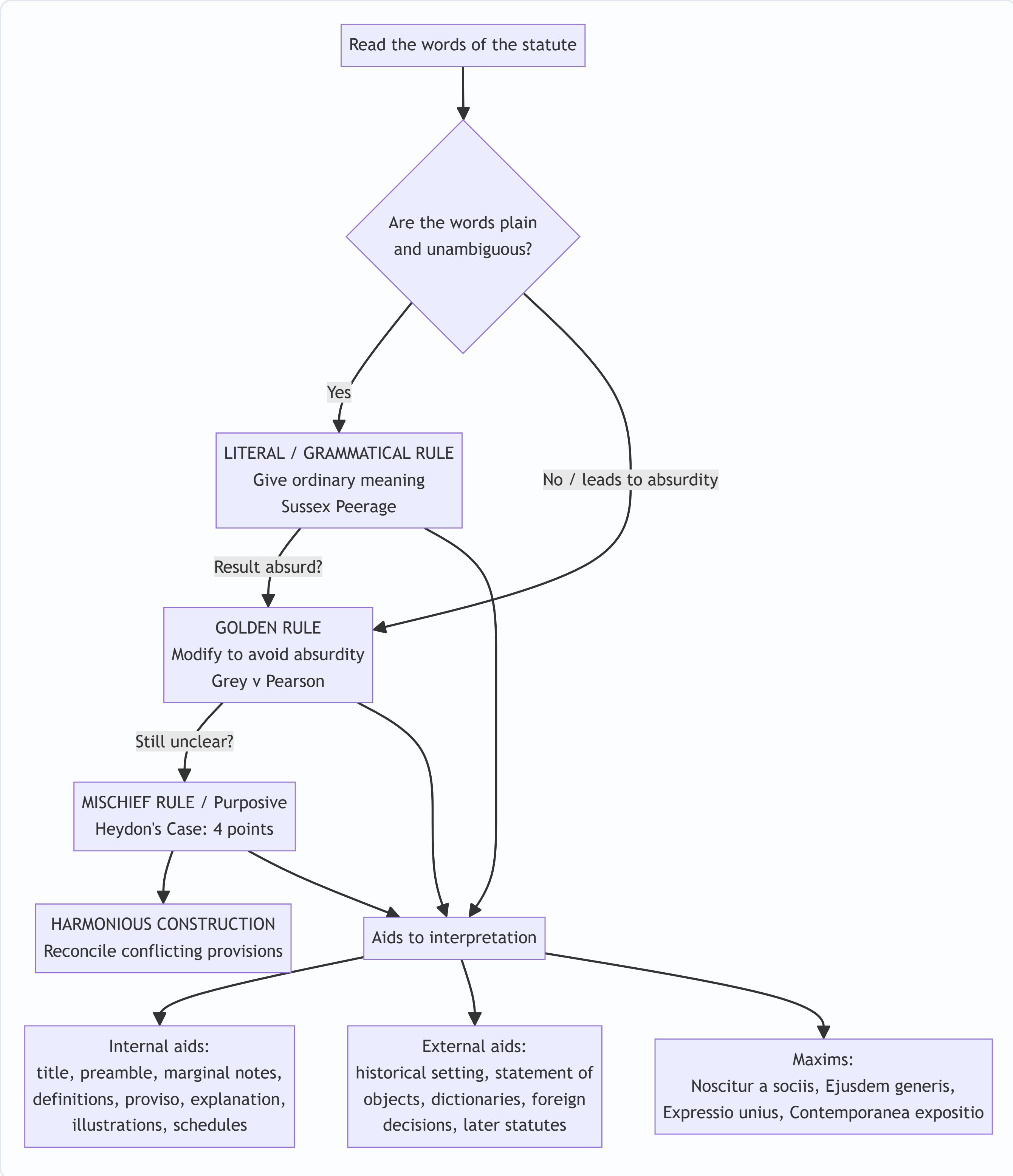
Tone: *Penal & Taxing = STRICT, favour the subject* ("no equity about a tax"; tie-breaker only, plain words still bite). *Welfare/Remedial = LIBERAL, favour the protected class.* Mnemonic: **"Swords narrow, shields wide."**

One-liner: *Trust the words → escape absurdity (not harshness) → look inside then outside → serve the mischief → harmonise → let the presumption point the way.*

Q&A — Interpretation of Statutes

CA Intermediate — Corporate & Other Laws. Every question is followed immediately by a complete model answer. Cite the rule/maxim by name in the exam; examiners reward precise terminology.

How the rules fit together (revision map)



SECTION A — Concept-Check (short questions + answers)

A1. Distinguish "interpretation" from "construction". *Answer:* **Interpretation** is the process of ascertaining the true, literal sense/meaning of the words used in a statute. **Construction** goes a step further — it is the drawing of conclusions about matters that lie *beyond* the direct expression of the text, resolving the legal effect of ambiguous, obscure or conflicting provisions in a way that gives effect to the legislature's intention. Interpretation looks at *what the words mean*; construction decides *how they apply* to facts. In practice the terms are used interchangeably.

A2. State the Literal Rule and give the leading authority. *Answer:* Where the language of a statute is **plain, clear and unambiguous**, effect must be given to it regardless of consequences; the court cannot add to or subtract from the words. The intention of the legislature is to be gathered from the words actually used. Authority: **Sussex Peerage Case** — "the only rule is to expound the words in their natural and ordinary sense." Also called the grammatical rule.

A3. State the Golden Rule. *Answer:* Start from the literal/grammatical meaning, but if that produces an **absurdity, inconsistency or repugnancy**, the ordinary sense may be **modified/departed from** to the extent necessary to avoid that absurdity — but no further. Authority: **Grey v. Pearson** ("the grammatical and ordinary sense... may be modified so as to avoid that absurdity and inconsistency, but no farther").

A4. State the Mischief Rule and its four considerations. *Answer:* From **Heydon's Case** — to suppress the mischief and advance the remedy, the court considers four points: (1) What was the **common law** before the Act; (2) What was the **mischief and defect** for which the common law did not provide; (3) What **remedy** Parliament resolved; (4) The **true reason of the remedy**. The court adopts the construction that suppresses the mischief and advances the remedy. Also called the *purposive* rule.

A5. What is Harmonious Construction? *Answer:* When two provisions of the same statute (or two statutes) appear to conflict, they must be read together and interpreted so that **both are given effect** and neither is rendered redundant. A construction reducing one provision to a "dead letter" is not harmonious. The court avoids a head-on clash and seeks to reconcile.

A6. Define an internal aid and list six. *Answer:* Internal aids are found **within the statute itself**. Examples: (1) **Long title/short title**, (2) **Preamble**, (3) **Marginal notes/headings**, (4) **Definition/interpretation clause**, (5) **Proviso**, (6) **Explanation**, plus **illustrations** and **schedules**.

A7. Define an external aid and list four. *Answer:* External aids lie **outside the statute**. Examples: (1) **Historical setting / parliamentary history**, (2) **Statement of Objects and Reasons**, (3) **Dictionaries**, (4) **Foreign decisions**; also **later Acts (in pari materia)**, government publications and text-books.

A8. What is the function of a "proviso", an "explanation", and an "illustration"? *Answer:* A **proviso** carves out an **exception** to the main enactment; it operates only on the subject matter of the main clause. An **explanation** clarifies/removes doubt about the main provision (does not ordinarily widen or restrict it, though it may make explicit what was implicit). **Illustrations** show how the section applies to concrete facts; they are helpful but cannot override the plain words of the section.

A9. Explain "Noscitur a sociis". *Answer:* "A word is known by the company it keeps." An ambiguous word takes colour from **words associated with it** in the same context/clause. E.g., in "books, pamphlets, newspapers and other documents", "documents" is read alongside the reading-material class.

A10. Explain "Ejusdem generis" and its condition. *Answer:* Where **specific words forming a distinct genus** are followed by **general words**, the general words are limited to things of the **same kind/class** as the specific ones. Condition: the specific words must constitute a category/genus that is not exhausted; if there is no common genus, the rule does not apply and the general words get their full meaning. (It is a species of *noscitur a sociis*.)

A11. Explain "Expressio unius est exclusio alterius". *Answer:* The **express mention of one thing implies the exclusion of another** not mentioned. Where a statute expressly enumerates the subjects to which it applies, matters not enumerated are taken to be excluded. It is a useful servant but a dangerous master — applied cautiously, as omission may be accidental.

A12. Explain "Contemporanea expositio est optima et fortissima in lege". *Answer:* "Contemporaneous exposition is the best and strongest in law." The meaning given to a (usually old) statute by those who **applied it soon after enactment** and by long usage is a strong guide to its interpretation. Applies mainly to ancient statutes, not modern ones.

A13. List four presumptions courts make while interpreting statutes. *Answer:* (1) Statute is **not intended to be unconstitutional/ultra vires** (presumption of constitutionality); (2) Words are **not superfluous** — the legislature does nothing in vain; (3) Statute is **not retrospective** (a substantive law operates prospectively unless expressed/necessarily implied); (4) The legislature **knows the existing law** and does not intend injustice or to oust the jurisdiction of courts / to take away vested rights without clear words. Also: penal statutes are construed strictly in favour of the accused.

A14. What is the "golden thread" running through all the rules? *Answer:* The overriding object of every rule is to ascertain and give effect to the **intention of the legislature** ("*legislative intent*") as expressed in the words used, read in their context. Every rule and aid is only a means to that single end.

SECTION B — Applied Scenario Questions (full reasoned answers)

B1. The classic "No vehicles in the park" rule. A municipal bye-law states: "No vehicle shall be permitted to enter the public park." (a) Does it bar a child's tricycle? (b) Does it bar an ambulance entering to save a collapsed visitor? Apply the rules. *Answer:* (a) **Literal Rule:** a tricycle is arguably a "vehicle" on the plain word, so it would be barred. But the **purpose/mischief** (Heydon) of the rule is to keep the park peaceful and safe from motorised traffic; **noscitur a sociis** and purposive reading suggest "vehicle" targets motorised traffic, so a tricycle used by a child likely falls outside the mischief. (b) A literal reading bars the ambulance, but that produces an **absurd/unjust result** (a life lost to enforce a parking rule). Applying the **Golden Rule (Grey v. Pearson)** and the **Mischief Rule**, "vehicle" is construed so as **not** to prohibit an emergency ambulance, because the legislature never intended so absurd a consequence. **Conclusion:** context and purpose modify the literal word to serve legislative intent.

B2. General words after specific ones. A statute empowers seizure of "houses, offices, rooms and other places" used for gaming. Police seize an **open piece of land** used for gaming. Valid? *Answer:* Apply **ejusdem generis**. The specific words "houses, offices, rooms" form a **genus of enclosed/indoor premises**. The general words "other places" are therefore limited to places of the **same kind** — enclosed places. An **open field** is not of that genus, so it falls outside "other places", and the seizure is **not authorised**. (Illustrates that general words are cut down to the class of the preceding specific words.)

B3. When ejusdem generis does NOT apply. An Act imposes a duty on "any theatre, cinema, hall, or other place of public entertainment." Does a **sports stadium** fall within "other place of public entertainment"? *Answer:* First test whether the specific words form a **single distinct genus**. Arguably they share the genus "places of public entertainment / assembly." A stadium is a place of public entertainment of the **same class**, so it is covered. But note the limiting principle: if the enumerated items are **so varied that no common genus exists** (or the general words are followed by words showing the widest intent, e.g. "of whatsoever kind"), *ejusdem generis* is **excluded** and the general words take their full natural meaning. State both possibilities and conclude on the genus test.

B4. Proviso vs main enactment. Section X: "Every company shall hold an AGM within six months of the financial year-end; provided that the Registrar may, for special reasons, extend the period by up to three months." A company claims the proviso gives a general right to a nine-month gap. Correct? *Answer:* No. A **proviso is construed as an exception** to the main enactment and operates **only within its field**. The main rule remains six months; the proviso merely enables the **Registrar**, on **special reasons**, to grant an extension. It confers **no automatic right** on the company and cannot be read to enlarge the substantive rule for everyone. A proviso should be read strictly and not so as to defeat the main provision. **Conclusion:** the company's claim fails.

B5. Two apparently conflicting sections. A statute in one section confers on tribunals the power to decide "all disputes" under the Act, and another section says civil courts "shall have jurisdiction to try suits of a civil nature." A litigant argues the two clash and one must be struck down. Advise. *Answer:* Apply **Harmonious Construction**. Courts do not presume conflict; the provisions must be read together so **both operate**. The specific conferment of "all disputes under the Act" on the tribunal is read as a **special jurisdiction** carved out of the general civil-court jurisdiction (also supported by *generalia specialibus non derogant* — general provisions do not derogate from special ones). Thus disputes arising **under the Act** go to the tribunal, while the civil court retains its **general** jurisdiction over other civil suits. Neither provision is rendered a dead letter. No question of striking down arises.

SECTION C — Past-Paper-Style Descriptive Questions (model answers)

C1. "The intention of the Legislature is the primary rule of interpretation." Explain the four primary rules of interpretation of statutes. *(≈ 6 marks) Answer:* The cardinal principle is that a statute must be read to give effect to the **intention of the legislature**. The four primary rules are:

1. **Literal / Grammatical Rule** — Where words are plain and unambiguous, give them their natural and ordinary meaning; nothing is to be added or taken away (*Sussex Peerage Case*). The court presumes the legislature meant what it said.
2. **Golden Rule** — Begin with the literal meaning, but where it leads to **absurdity, repugnancy or inconsistency**, modify the ordinary sense just enough to avoid that result — "but no farther" (*Grey v. Pearson*). It is a modification/relaxation of the literal rule.
3. **Mischief Rule (Heydon's Case)** — The court looks to (i) the earlier law, (ii) the mischief/defect, (iii) the remedy provided, and (iv) the true reason of the remedy, and construes the Act so as to **suppress the mischief and advance the remedy**. This is the purposive approach.
4. **Rule of Harmonious Construction** — When provisions conflict, they are read together so that **each is given effect** and none is rendered nugatory. These rules are not watertight compartments; the court moves from the literal to the others only as ambiguity or absurdity requires, always to reach the legislative intent.

C2. Explain "Internal Aids" and "External Aids" to interpretation with examples. *(≈ 5–6 marks) Answer:* **Internal aids** are those found **within the statute** which the court uses to understand its provisions: - **Long and Short Title** — indicate the general purpose (the long title is part of the Act and may be referred to). - **Preamble** — expresses the scope, object and purpose; a key to the maker's mind, though it cannot control clear enacting words. - **Marginal Notes / Headings** — may throw light where a section is ambiguous, but ordinarily are not decisive (they are not voted upon). - **Definition / Interpretation Clause** — assigns special meanings ("means", "includes"); "includes" is generally **extensive**, "means" is **exhaustive**. - **Proviso** (an exception), **Explanation** (clarifies), **Illustrations** (show application), and **Schedules** (form part of the Act).

External aids lie **outside the statute**: - **Historical setting / Parliamentary history** and the **Statement of Objects and Reasons** — help reveal the mischief and purpose. - **Dictionaries** — for ordinary meaning of undefined words (in the sense used in the Act). - **Foreign decisions** — persuasive where the law is similar. - **Later/earlier statutes in pari materia** and **government publications / reports**. External aids are used chiefly when the language is ambiguous.

C3. Explain the maxims (a) Noscitur a sociis, (b) Ejusdem generis, (c) Expressio unius est exclusio alterius, (d) Contemporanea expositio. *(≈ 6–8 marks) Answer:* **(a) Noscitur a sociis** — "known by its associates." The meaning of a doubtful word is gathered from the **words surrounding it**; a word takes colour from its context. It prevents a word from being read in isolation. **(b) Ejusdem generis** — "of the same kind." Where **specific words of a common genus** are followed by **general words**, the general words are confined to the **same class** as the specific ones (e.g., "other places" after "houses, offices, rooms" means enclosed places). It applies only if the specific words form a genus and that genus is not exhausted; a contrary intention (e.g., "of whatsoever nature") excludes it. It is a facet of *noscitur a sociis*. **(c) Expressio unius est exclusio alterius** — "expression of one is exclusion of the other." Express mention of specified things **impliedly excludes** those not mentioned. Applied with caution, as silence may be unintentional. **(d) Contemporanea expositio** — the exposition placed on a statute by those who **administered it soon after it was passed**, confirmed by long usage, is a strong guide; applied mainly to **ancient statutes**.

C4. What presumptions do courts make while interpreting a statute? State any five. *(≈ 5 marks) Answer:* Courts proceed on certain presumptions (rebuttable): 1. **Constitutionality** — a statute is presumed intra vires the Constitution; the court leans in favour of validity. 2. **Words are not superfluous** — every word is presumed to have been used purposefully; the legislature does nothing in vain (avoid redundancy). 3. **No retrospective operation** — a statute (especially one affecting substantive/vested rights or penal in nature) is presumed **prospective** unless retrospectivity is expressed or necessarily implied. 4. **Legislature knows the existing law** — and does not intend to make a change beyond what it declares, nor to produce injustice/inconvenience. 5. **Jurisdiction of courts is not ousted / vested rights not taken away** without clear and express words; and **penal statutes** are strictly construed in favour of the subject.

SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. The rule that words must be given their natural and ordinary meaning where they are plain is the: A) Golden Rule B) Literal Rule C) Mischief Rule D) Harmonious Rule **Ans: B.** Plain, unambiguous words get their ordinary meaning (Sussex Peerage Case).

D2. "Grey v. Pearson" is the leading authority for the: A) Mischief Rule B) Ejusdem generis C) Golden Rule D) Literal Rule **Ans: C.** It permits modifying the literal meaning to avoid absurdity, "but no farther."

D3. The four considerations of the earlier law, the mischief, the remedy and the true reason of the remedy come from: A) Heydon's Case B) Sussex Peerage Case C) Grey v. Pearson D) River Wear case **Ans: A.** Heydon's Case lays down the four-point Mischief Rule.

D4. "Houses, shops, rooms and other places" — "other places" is limited to enclosed premises. This applies: A) Expressio unius B) Ejusdem generis C) Contemporanea expositio D) Noscitur only **Ans: B.** General words after specific words of a genus are restricted to that class.

D5. A word takes its meaning from the accompanying words in the clause. This is: A) Ejusdem generis B) Noscitur a sociis C) Expressio unius D) Reddendo singula singulis **Ans: B.** Noscitur a sociis — a word is known by the company it keeps.

D6. A "proviso" to a section ordinarily: A) Enlarges the main provision B) Is an exception to the main enactment C) Overrides the whole Act D) Has no legal effect **Ans: B.** A proviso carves out an exception operating within the main clause's field.

D7. In a definition clause, the word "**includes**" generally makes the definition: A) Exhaustive B) Restrictive C) Extensive/enlarging D) Void **Ans: C.** "Includes" is normally extensive; "means" is exhaustive.

D8. The presumption that a statute does not operate on past transactions is the presumption against: A) Constitutionality B) Retrospectivity C) Redundancy D) Ouster of jurisdiction **Ans: B.** Statutes are presumed prospective unless retrospectivity is expressed/implied.

D9. Case scenario. A tax Act levies duty on "cloth, garments, textiles and other goods." The department levies duty on **steel utensils** under "other goods." The assessee objects. Which is correct? A) Duty valid — "other goods" is unlimited B) Duty invalid — ejusdem generis limits "other goods" to textile-class goods C) Golden rule applies to widen it D) Contemporanea expositio saves the levy **Ans: B.** The specific words form the genus "textile goods"; "other goods" is confined to that class, so steel utensils are outside the charge.

D10. Case scenario. Section A of an Act gives an appellate authority power over "all matters"; Section B reserves certain matters to a special tribunal. The court should: A) Strike down Section B B) Ignore Section A C) Read both harmoniously so each operates D) Prefer the earlier section **Ans: C.** Harmonious construction reconciles the two, aided by *generalia specialibus non derogant* (special prevails over general in its field).

One-line memory hooks

- **Literal** → words are king (Sussex Peerage). **Golden** → bend words to kill absurdity, no farther (Grey v. Pearson). **Mischief** → suppress the evil, advance the cure (Heydon's 4 points). **Harmonious** → make both live.
- **Noscitur** → company you keep. **Ejusdem** → same family. **Expressio unius** → name one, exclude the rest. **Contemporanea** → old statute, old usage wins.
- Internal aids live **inside** the Act; external aids live **outside**. Golden thread throughout: **give effect to legislative intent.**

Chapter 14 — Foreign Exchange Management Act, 1999 (Basics)

1. The Problem

Imagine you run the treasury of a poor country. You have almost no US dollars, pounds or yen in your vault — and yet almost everything your economy needs from abroad (crude oil, machinery, medicines, defence equipment) can only be bought with those foreign currencies. Foreign exchange, to you, is not just "money" — it is a **scarce, strategic national resource**, like water in a desert.

Now ask the natural question: what happens if you let every citizen, business and trader freely buy, hoard, send abroad or speculate in foreign currency? Three disasters follow:

1. **The reserves drain.** If everyone can freely convert rupees into dollars and send them out, the little foreign currency you have vanishes. Then you cannot pay for the oil that keeps the economy running. This is a **balance of payments crisis** — precisely what India faced in **1990–91**, when reserves fell to barely two to three weeks of imports.
2. **The currency collapses.** If people can freely sell rupees to buy dollars, the rupee's value crashes, imports become ruinously expensive, and inflation explodes.
3. **Money escapes control.** Wealth quietly leaves the country ("capital flight"), tax is evaded through fake invoices, and the government loses its grip on the economy.

So a scarce-forex nation builds a wall around foreign exchange. India's first wall was the **Foreign Exchange Regulation Act, 1973 (FERA)**. Its philosophy was blunt: *foreign exchange is so scarce that every dealing in it is presumed suspicious and prohibited unless the government specifically permits it*. Breaking the rules was a **crime**. You could be arrested. The burden was on **you** to prove your innocence.

That wall made sense in a starving-for-forex economy. But by the 1990s the problem had **flipped**. After the 1991 liberalisation, India opened up, foreign investment poured in, exports grew, and reserves became comfortable. Now the old wall was strangling the very growth it was meant to protect. A businessman importing a machine had to beg for permission; a criminal-law regime terrified honest traders and choked global trade.

The new problem was therefore the opposite of the old one: how do you *manage* a now-adequate stock of foreign exchange to keep the currency stable and promote orderly trade — without treating every honest importer and exporter as a smuggler? FERA could not do this. It was built for scarcity and suspicion. India needed a law built for **abundance and facilitation**. That law is the **Foreign Exchange Management Act, 1999 (FEMA)** — note the word: *Management*, not *Regulation*.

Dig one level deeper — why not simply *amend* FERA? Because FERA's DNA was prohibition. Its every section began from "thou shalt not." You cannot bolt a facilitative spirit onto a prohibitive skeleton; the courts would still read each provision restrictively. A liberalising nation needed the *default* itself inverted — and a default lives in the architecture of an Act, not in its amendments. That is why FERA was **repealed** and FEMA **freshly enacted**, not patched. The lesson the examiner tests: FEMA is a *replacement*, born of a *changed economic problem*, not a mere update.

A second subtlety — why keep any wall at all, if forex is now adequate? Because "adequate" is not "infinite," and capital flows are fickle. Reserves that look comfortable can evaporate in a currency panic (as several emerging markets learned in 1997–98). So FEMA does not tear the wall down; it converts it from a **prison wall** (FERA: keep everything in) into a **traffic-management system** (FEMA: let trade flow, meter the dangerous capital flows, watch the gates). The wall becomes a *valve*, not a *dam*.

> **Memory hook:** FERA = **F**ear + **R**estriction (control, criminal). FEMA = **M**anagement + **F**acilitation (civil, orderly). The single letter change (R → M) is the entire philosophy change.

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2. The Core Idea

FEMA rests on one elegant shift in default assumptions.

FERA's default: *Everything in forex is prohibited unless permitted.* (Guilty until proven innocent.)

FEMA's default: *Everything in forex is permitted unless restricted* — **BUT** with one crucial split. FEMA divides all cross-border money dealings into two boxes:

- **Current account transactions** (the money for day-to-day living and trade — importing goods, paying for a foreign trip, sending money to a child studying abroad). Default here = **FREE**. These are the *income statement* of the nation.
- **Capital account transactions** (money that changes what you *own or owe* abroad — buying foreign shares, foreign property, giving/taking cross-border loans). Default here = **REGULATED** by the RBI. These are the *balance sheet* of the nation.

Why this split? Because current-account outflows are self-limiting and productive — you can only import so much oil, take so many holidays. But **capital flows are volatile and dangerous**: hot money can flood in and rush out overnight, and free capital flight can empty the reserves in days. So FEMA says: *let the living and trading money flow freely; keep a hand on the ownership-and-debt money.*

And because the goal is now **management, not punishment**, breaking FEMA is a **civil wrong** — you pay a **penalty**, you can **compound** (settle) the matter — not a **crime** you get jailed for.

The accountant's lens (make this your permanent mental model). Every transaction a nation has with the outside world lands in one of two financial statements:

- If it belongs on the nation's **Profit & Loss / income statement** — you *earned* it, *spent* it, or it flowed through as *income or expense this period* — it is **current account**. Nothing on your balance sheet changed; you are simply richer or poorer by that flow.
- If it belongs on the nation's **Balance Sheet** — it created, transferred or extinguished an *asset* or a *liability* that straddles the border — it is **capital account**. You now *own* something abroad, or *owe* something abroad, that you did not before.

This single test — "P&L or Balance Sheet?" — resolves 90% of classification questions faster than any statutory list. A CA student already thinks in these terms; use that edge.

> **One-line essence:** *FEMA keeps forex orderly by freeing everyday trade money, regulating cross-border ownership money, and treating breaches as civil settlements rather than crimes.*

Figure 14.1 — The two-box philosophy of FEMA: current account flows freely, capital account is regulated.

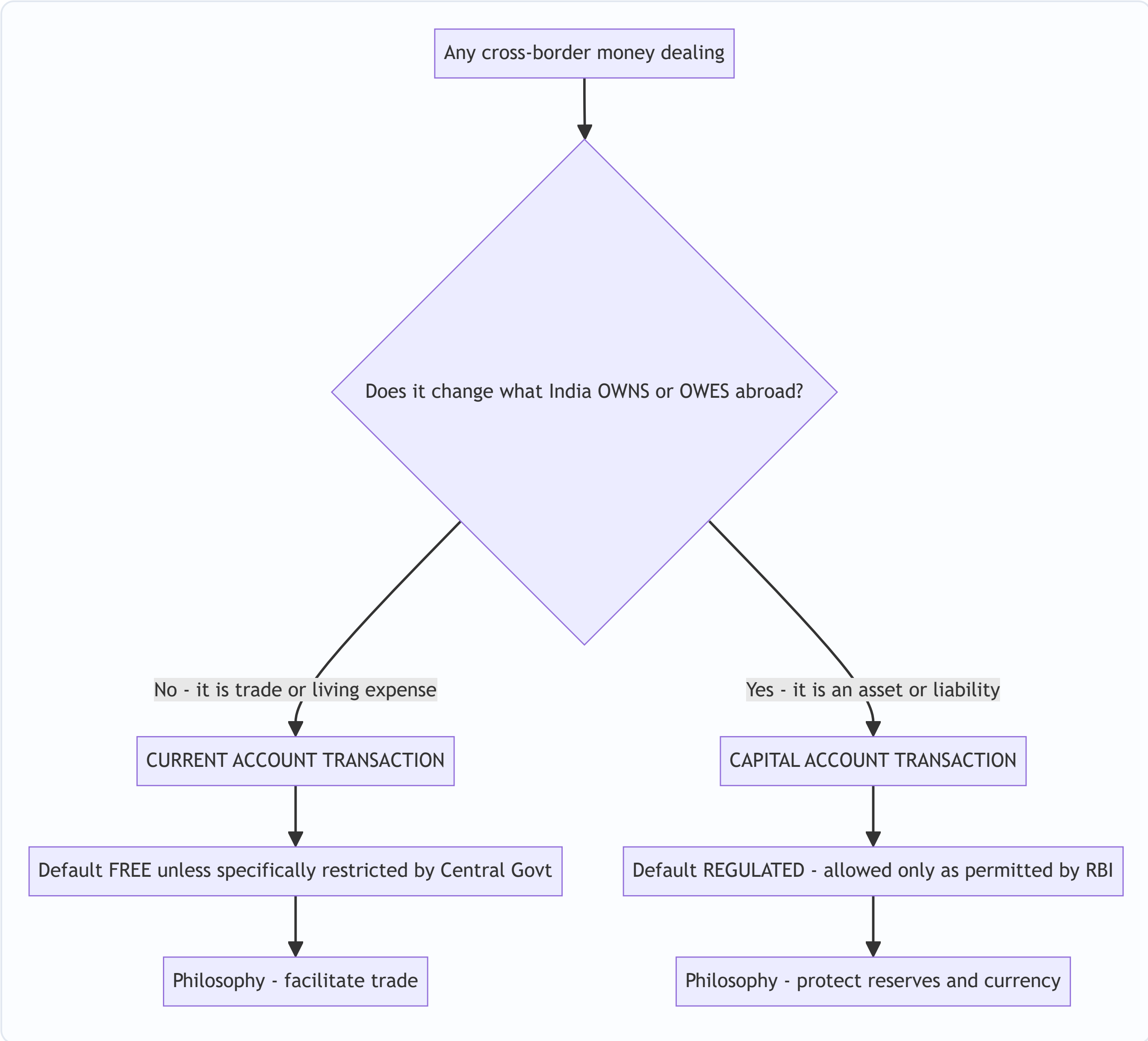
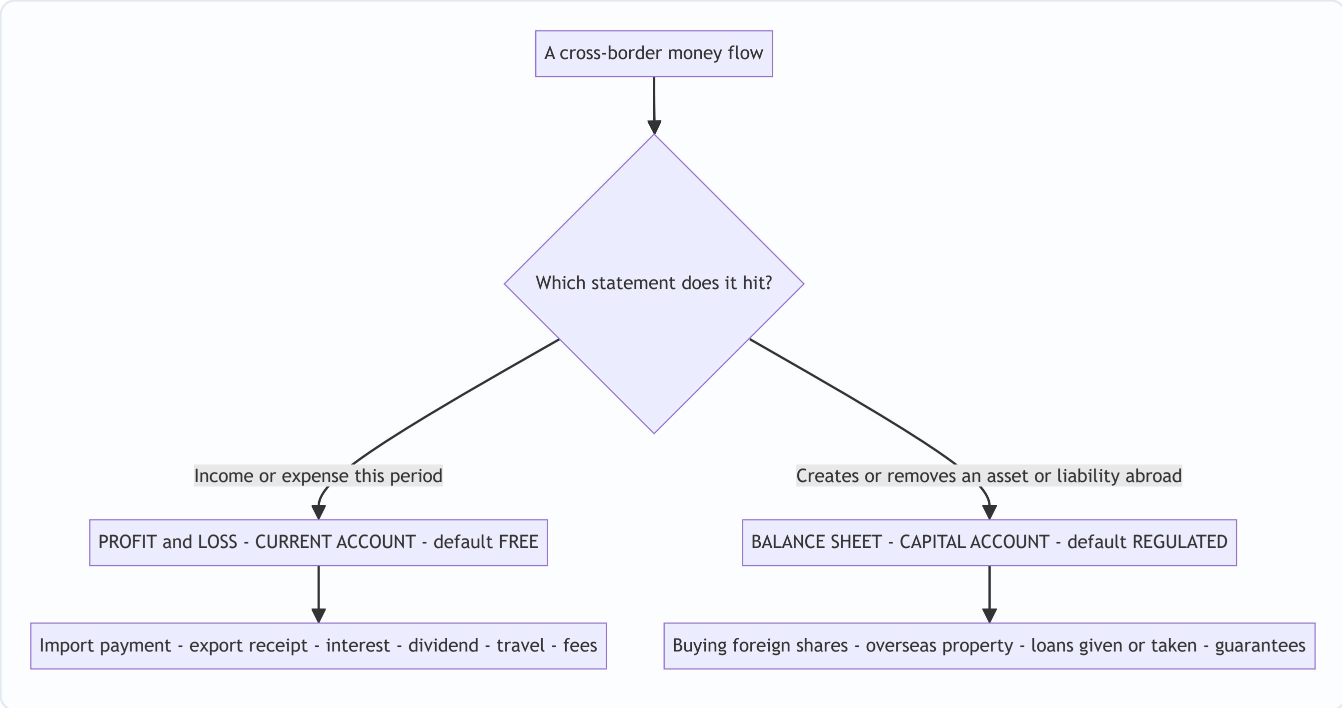


Figure 14.1A — The same split seen through a CA's eyes: which financial statement does the flow belong to.



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3. Why It's Built This Way

Before drilling into provisions, understand the four design decisions that shape every section of FEMA. If you understand *why* these choices were made, you never have to memorise the sections — you can reconstruct them.

Design choice 1 — Management, not regulation. The 1991 reforms meant forex was no longer desperately scarce. A control regime (FERA) was now a cost, not a protection. So FEMA's stated purpose (its Preamble) is "*facilitating external trade and payments and promoting the orderly development and maintenance of the foreign exchange market in India.*" Every ambiguity in FEMA is resolved in favour of **facilitation**, not restriction — the opposite of how FERA was read.

Design choice 2 — Civil, not criminal. Under FERA, an accused was presumed guilty and could be **arrested**; the burden lay on him. This terrified legitimate business. FEMA converts contraventions into **civil offences** attracting **monetary penalties**, removes the presumption of guilt, and — critically — allows **compounding** (voluntary settlement by paying a sum). Jail (civil imprisonment) appears only as a last resort if you refuse to pay the penalty. The logic: an economy that wants to *attract* foreign capital cannot jail investors for paperwork errors.

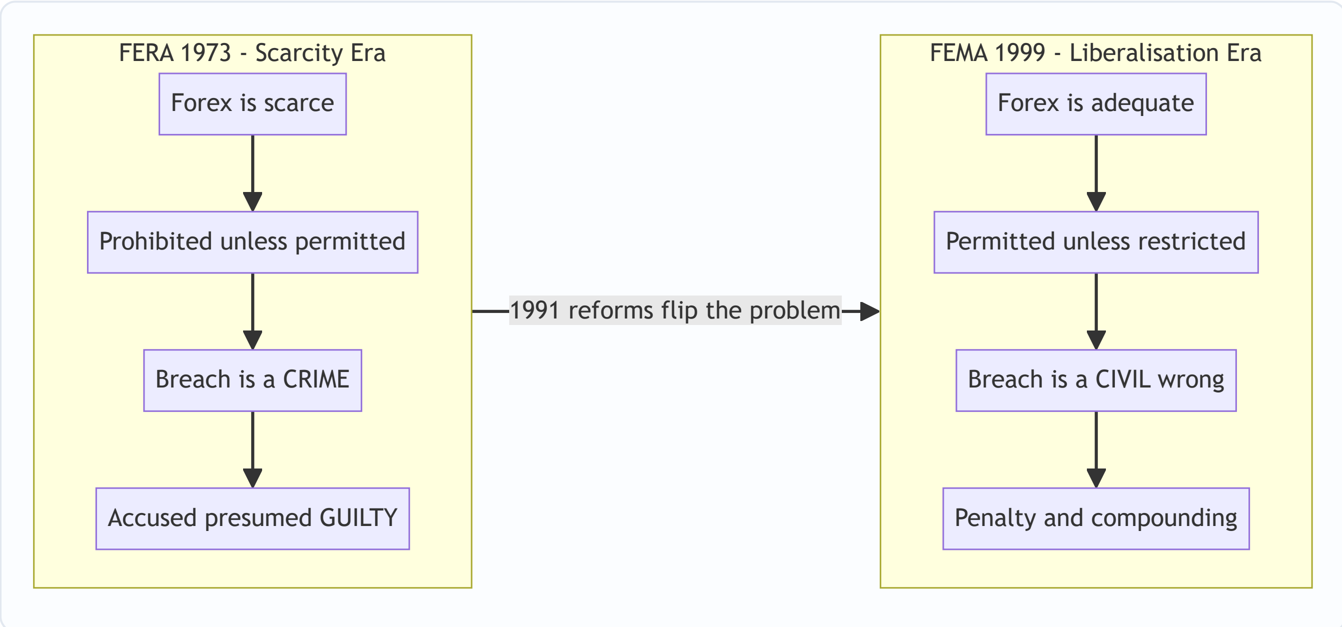
Design choice 3 — A clean division of labour. Parliament sets the frame (the Act). The **Central Government**, being politically accountable for trade policy, controls the **current account** side (it can restrict trade payments in public interest). The **RBI**, the monetary and reserves guardian, controls the **capital account** side (it regulates flows that affect reserves and the currency). Day-to-day dealings happen only through licensed intermediaries — **Authorised Persons** (mainly banks) — so the system is monitored without the government micromanaging every transaction.

Design choice 4 — A rule-book that can breathe. Forex conditions change fast. So FEMA is a thin **framework Act**; the operational detail lives in **Rules** (made by the Central Government) and **Regulations** (made by the RBI), which can be amended quickly without reopening Parliament. This is why exam answers must say "as prescribed / as per Rules / as per Regulations" — the numbers live outside the Act itself.

Design choice 5 — Territoriality by *control*, not just geography. Most Acts stop at the national border. FEMA deliberately reaches **branches, offices and agencies outside India that are owned or controlled by a person resident in India** (Section 1(3) read with Section 2(v)(iv)). *Why?* Because capital flight's favourite trick is to route money through a foreign arm of an Indian entity — if FEMA stopped at the coastline, an Indian company could park earnings in its Dubai branch and the reserves would leak. By following *control* rather than *soil*, FEMA closes that escape hatch. The concept the examiner rewards: FEMA is **extra-territorial through the control principle**.

Design choice 6 — Regulate the *transaction*, watch the *person*. FEMA's twin levers are (i) the residential status of the *person* (which decides *whether* FEMA bites) and (ii) the character of the *transaction* — current or capital (which decides *how* it bites). Almost every problem in the exam is solved by asking these two questions in order: *Who is the person?* then *What is the transaction?* Keep them separate; students who blur them lose marks.

Figure 14.2 — FERA to FEMA: the philosophy flip.



A compact FERA-vs-FEMA contrast table (a perennial 4–5 mark question).

Dimension	FERA, 1973	FEMA, 1999
Underlying economics	Forex scarce	Forex adequate
Object	Conserve and regulate forex	Facilitate trade; orderly forex market
Default rule	Prohibited unless permitted	Permitted unless restricted
Nature of breach	Criminal offence	Civil contravention
Presumption	Accused presumed guilty	Presumption of innocence
Arrest / imprisonment	Yes, for the offence	Only civil imprisonment for non-payment of penalty
Settlement	Not on the same footing	Compounding available (Section 15)
Number of sections	81 sections	49 sections *(leaner framework Act)*
Definition of "resident"	Tied more to citizenship-type notions	Based on residence, not citizenship
Governing spirit	Control	Management

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4. Full Technical Content (rules and provisions, each with its "why")

FEMA has **49 sections** across 7 chapters, extends to the **whole of India** (and to all branches, offices and agencies **outside India owned or controlled by a person resident in India**), and came into force on **1 June 2000**. Below is the exam-required content, each provision paired with its reason.

4.1 The Preamble and Objectives (the "why" baked into the Act)

The Preamble states the Act consolidates and amends the law relating to foreign exchange **with the objective of**: - **facilitating external trade and payments**, and - **promoting the orderly development and maintenance of the foreign exchange market in India.**

Why it matters: When two interpretations of a FEMA provision are possible, courts and the RBI lean towards the one that *facilitates* trade — because the Preamble commands it. Contrast FERA, whose object was to *conserve* and *regulate*. Two verbs — "facilitate" vs "conserve" — capture the entire generational shift.

Sharper still — the Preamble is a legal tool, not decoration. In the Interpretation-of-Statutes chapter you learn that a Preamble is a **key to the mind of the legislature** and an admissible aid where a provision is ambiguous. FEMA is the textbook example: because the Preamble says "facilitating," a genuinely doubtful provision is read the *permissive* way. So when the examiner asks "how does one resolve an ambiguity in FEMA?", the answer is *purposively, in favour of facilitation, guided by the Preamble* — a cross-chapter link worth flagging in your answer.

4.2 Key Definitions (Section 2) — and why each is drawn the way it is

These definitions are the most heavily examined part of the chapter. Learn the *logic* of each boundary.

(a) Person Resident in India — Section 2(v)

Why residence matters: FEMA applies its restrictions based on **residential status**, not citizenship. A resident's global forex dealings are within FEMA's reach; a non-resident is largely outside it. So *who is a resident* decides *who FEMA can control*. Citizenship is irrelevant — a foreign national living and working in India can be a resident; an Indian citizen settled abroad is a non-resident.

The test has two limbs — a day-count limb and a purpose limb.

A **"person resident in India"** means:

(i) A person **residing in India for more than 182 days during the preceding financial year** — BUT this does **not** include: - a person who has gone out of / stays outside India for **employment** outside India, or - for carrying on a **business or vocation** outside India, or - for any other purpose indicating an **intention to stay outside India** for an uncertain period;

AND it does **not** include a person who has **come to / stays in India** *otherwise than* for: - taking up **employment** in India, or - carrying on **business or vocation** in India, or - any other purpose indicating an **intention to stay in India** for an uncertain period.

Translate the logic: The 182-day count is only the **starting gate**. The **purpose/intention** test then overrides it. If you *leave* India for employment/business/settling abroad, you become a **non-resident immediately** — even if you were here 300 days last year. If you *come* to India for employment/business/settling, you become a **resident immediately**. Purpose beats the calendar.

Read the double-negative carefully — the drafting trap. Limb (i) tells you *who is a resident*, then strips out those who *left* for a settling-abroad purpose. The second half tells you a returning person is a resident *only if* he came to India **for** employment/business/settling — i.e., a person who comes to India for some *temporary* purpose (a holiday, a short medical visit, a six-week project) is **not** a resident even if he ends up staying a while, because his *intention* is not to settle. The statutory phrasing is deliberately in the negative ("does not include… otherwise than for…"). Convert it in your head to the positive: **come to settle → resident from day one; come temporarily → not resident.**

The order of operations that never fails: 1. Was the person in India **> 182 days in the *preceding* financial year**? If **no**, he is **not** a resident on the day-count and you usually stop (subject to a fresh-arrival purpose test below). If **yes**, go to step 2. 2. Apply the **purpose override**: has he *left* to settle abroad (employment/business/uncertain-period intention)? If yes → **non-resident** despite the day-count. 3. For a person newly *arriving* in India, ignore last year's count if he has come **to settle** (employment/business/uncertain-period intention) — he is a **resident from arrival**.

> **Trap alert:** FEMA counts days in the **preceding financial year** (April–March). This is different from the **Income-tax Act**, which counts days in the **current** previous year and uses **60/182-day** dual tests. Do not mix them.

The definition also expressly **includes**: - **(ii)** any **person or body corporate registered or incorporated in India** (so an Indian company is always a resident); - **(iii)** an **office, branch or agency in India** owned or controlled by a person resident **outside** India; and - **(iv)** an **office, branch or agency outside India** owned or controlled by a person resident **in** India.

Why (iii) and (iv): FEMA "follows the control." A foreign company's Indian branch operates inside India's forex system, so it is treated as resident (iii). And an Indian company's foreign branch is an extension of an Indian resident, so India keeps jurisdiction over it (iv) — this is how the Act reaches "outside India."

A finer distinction the exam loves: the day-count/purpose test in limb (i) applies to **individuals**. Clauses (ii)–(iv) are **status-by-definition** — a company incorporated in India is a resident *automatically*, no day-count needed; a foreign company's Indian branch is a resident *by control*, again with no day-count. So never apply the 182-day test to a company; it is decided by *place of incorporation* and *control*, not by days.

Person resident outside India — Section 2(w): simply "*a person who is not resident in India.*" (Defined by exclusion — clean and complete.) *Why by exclusion:* residence is binary in FEMA — everyone on earth is either 2(v) or 2(w), with no gap and no overlap. This mutual-exclusivity is itself examinable: there is no "partly resident" status under FEMA (unlike the "Resident but Not Ordinarily Resident" category in tax law).

(b) Person — Section 2(u)

"Person" is deliberately wide, so no one escapes on a technicality. It includes: an **individual**, a **HUF**, a **company**, a **firm**, an **association of persons or body of individuals** (whether incorporated or not), **every artificial juridical person**, and **any agency, office or branch** owned or controlled by such person. *Why so broad:* forex can be moved by any legal form; the net must catch them all. Note the two-step nesting: a *branch* of a person is itself a "person," which is exactly what makes the extra-territorial reach of 2(v)(iv) operate — the foreign branch is a *person*, and its *residence* is fixed by control.

(c) Foreign Exchange — Section 2(n) and Foreign Security — Section 2(o)

Foreign exchange means **foreign currency** and includes: - **deposits, credits and balances** payable in any foreign currency; - **drafts, travellers' cheques, letters of credit or bills of exchange** expressed or drawn in Indian currency but **payable in any foreign currency**; - drafts, travellers' cheques, letters of credit or bills of exchange **drawn by banks/institutions/persons outside India but payable in Indian currency.**

Why the odd inclusions: the drafters chased the **economic substance**, not the label. An instrument in rupees but *payable abroad in dollars* is really a claim on foreign exchange, so it is caught. **Foreign security** (2(o)) similarly covers securities denominated in foreign currency, and even rupee-denominated securities where redemption/interest is payable in foreign currency.

The unifying principle across (n) and (o) — "look at where the value is really claimed." Both definitions refuse to be fooled by the *currency of denomination*. A rupee-denominated bill *payable in dollars* is forex; a rupee-denominated bond whose *interest is paid in dollars* is a foreign security. Conversely, a dollar-*looking* instrument that is finally payable in rupees to a domestic party may not be. The examiner's favourite tweak: give an instrument denominated in one currency but *payable* in another and ask you to classify — always follow the **currency of ultimate payment/realisation**, not the currency printed on the face.

(d) Currency and Current Account Transaction

Currency — Section 2(h): includes currency notes, coins, **postal notes, money orders, cheques, drafts, travellers' cheques, letters of credit, bills of exchange, promissory notes, credit cards** and such other similar instruments as the RBI may notify. *Why so wide:* value moves through many instruments, not just notes; RBI can add new ones (e.g., new digital instruments) by notification without amending the Act. This delegated add-power is Design Choice 4 in miniature — the Act stays evergreen because the RBI can extend "currency" to future instruments by notification.

Current account transaction — Section 2(j): defined as *a transaction other than a capital account transaction* and, **without limiting its generality, includes**: - **(i)** payments due in connection with **foreign**

trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business; - **(ii)** payments due as **interest on loans** and as **net income from investments**; - **(iii) remittances for living expenses** of parents, spouse and children residing abroad; and - **(iv) expenses in connection with foreign travel, education and medical care** of parents, spouse and children.

Why defined "in the negative + examples": Rather than list every possible current transaction (impossible), FEMA defines it as "*anything that is not capital account*" and then gives illustrative buckets so ordinary trade and living payments obviously qualify. **Memory hook — the four buckets are TRADE, RETURNS, FAMILY-UPKEEP, TEMS (Travel, Education, Medical care of family).**

The residual-definition logic is itself an exam point. Because 2(j) says "a transaction *other than* a capital account transaction," the **capital-account definition is the master key** — you decide "capital?" first; if the answer is no, it is current *by default*. The four listed buckets are only "for the avoidance of doubt" (the phrase "without limiting the generality" tells you they are illustrative, not exhaustive). So never argue "it isn't in the four buckets, therefore it isn't current" — that reverses the logic. Anything not capital is current, listed or not.

Watch the word "short-term." Limb (i) captures **short-term** banking and credit facilities in the ordinary course of business as *current*. A **long-term** loan is a *capital* transaction. The maturity is the switch. This is a classic split-question setup — the same "loan" word appears in both boxes depending on tenor and on whether you are looking at the principal or the interest.

(e) Capital Account Transaction — Section 2(e)

A transaction which **alters the assets or liabilities** (including contingent liabilities) **outside India of persons resident in India, or the assets or liabilities in India of persons resident outside India**; and includes transactions referred to in **Section 6(3)**.

Why this definition is the heart of FEMA: the phrase **"alters assets or liabilities"** is the litmus test. If money merely pays for a service or good consumed now → current. If money *creates, transfers or extinguishes a cross-border asset or liability* (a share you now own abroad, a loan you now owe abroad, property you bought abroad) → capital. **Assets/liabilities = balance sheet = capital; income/expense = P&L = current.**

Do not skip the words "including contingent liabilities." A **guarantee** creates no immediate outflow — it is only a *contingent* liability that crystallises if the principal defaults. FEMA deliberately pulls contingent liabilities into the capital-account net so that a resident cannot dodge control simply by issuing a guarantee (which is economically an off-balance-sheet cross-border exposure) instead of a loan. So a guarantee given by a resident in favour of a non-resident is a **capital account transaction** even though not a rupee has yet moved. Examiners test this with a "no money has changed hands, so surely FEMA does not apply" trap — the answer is that the *contingent liability abroad* has been altered, so it does.

Two directions, one test. Section 2(e) is symmetric: it covers (a) a **resident's assets/liabilities *outside* India** *and* (b) a **non-resident's assets/liabilities *in* India**. So a US citizen buying a flat in Mumbai alters "assets in India of a person resident outside India" — capital account, on the *inbound* leg — just as an Indian buying a flat in London alters "assets outside India of a resident" on the *outbound* leg. Both are capital; FEMA guards *both gates* of the wall, not just the exit.

Examples of capital account transactions (from the Regulations / illustrative list): investment in foreign securities; foreign direct investment; acquisition/transfer of immovable property abroad by a resident (or in India by a non-resident); borrowing/lending in foreign exchange; giving guarantees; export-import of currency; and deposits between residents and non-residents.

(f) Authorised Person — Section 2(c)

An **authorised person** means an **authorised dealer, money changer, off-shore banking unit or any other person** for the time being **authorised by the RBI under Section 10(1)** to deal in foreign exchange or foreign securities.

Why the gatekeeper exists: FEMA does not let residents deal in forex directly with the world. All legitimate forex must flow **through licensed intermediaries** — mostly banks (authorised dealers) and money changers. This gives the RBI a **monitoring choke-point**: it can watch, guide and regulate the whole market through a few hundred licensed entities instead of policing a billion citizens. The AP is FEMA's "eyes on the ground."

Distinguish the sub-species (occasionally asked). An **Authorised Dealer** (typically a bank) handles the full range of forex and trade transactions; a **money changer** deals mainly in the conversion of currency and travellers' cheques (a narrower licence); an **Off-shore Banking Unit** is a bank branch in a Special Economic Zone / IFSC dealing in foreign currency. All four sit inside the umbrella term "Authorised Person," each licensed and conditioned by the RBI under Section 10. The point for the exam: "Authorised Person" is the *genus*; authorised dealer, money changer and OBU are *species*.

4.3 Regulation of Transactions — the operative heart (Sections 3, 5, 6, 7)

Section 3 — The general prohibition (the fence)

No person shall, **except with the general or special permission of the RBI or an authorised person**: - (a) deal in or transfer any foreign exchange/foreign security to any person not an authorised person; - (b) make any payment to or for the credit of any person resident outside India in any manner; - (c) receive any payment by order or on behalf of any person resident outside India in any manner (this catches **hawala** — receiving rupees here against a promise to pay someone abroad, with no forex actually crossing the border); - (d) enter into any financial transaction as consideration for or in association with acquisition or creation of a right to an asset outside India.

Why Section 3 exists: it is the **outer fence** ensuring all forex dealing is routed through the authorised channel. Everything else (Sections 5–7) is a controlled gate in this fence.

Read clauses (b) and (c) together — they are the anti-hawala pincer. Clause (b) blocks *paying* a non-resident "in any manner"; clause (c) blocks *receiving* a payment "by order or on behalf of" a non-resident. Hawala works precisely by splitting a cross-border transfer into two *domestic-looking* legs (rupees paid to someone here; dollars paid to someone there) so that no forex ever crosses the border. FEMA defeats it by catching **each leg independently** — the phrase **"in any manner"** is the killer, because it refuses to care about the mechanism. This is the statutory embodiment of the "substance over form" principle. Note the exception built into the opening words — with **RBI or AP permission**, these acts are lawful; Section 3 prohibits only the *unauthorised* channel, not the *act* of paying a non-resident as such.

Section 5 — Current account transactions (the free gate)

"Any person may sell or draw foreign exchange to or from an authorised person if such sale or drawal is a current account transaction." **Provided** the **Central Government** may, in **public interest** and in **consultation with the RBI**, impose **reasonable restrictions** on current account transactions.

The logic (crucial): The default is **FREEDOM** — a resident can freely buy forex for a current transaction. But the freedom is **not absolute**; the Central Government (the trade-policy authority) can carve out restrictions for public interest. These restrictions live in the **Foreign Exchange Management (Current Account Transactions) Rules, 2000**, which sort current transactions into three lists:

Schedule	Nature	Example (confirm exact list in ICAI / bare Rules)
Schedule I	**Prohibited** entirely	Remittance out of lottery winnings; income from racing/riding; purchase of a lottery ticket; remittance of dividend where dividend-balancing applies
Schedule II	Allowed only with **prior Central Government approval**	Remittances for certain cultural tours; multi-modal transport operators' remittances to agents abroad; certain advertising in foreign print media by State Governments/PSUs
Schedule III	Allowed with **RBI approval** only above a **monetary limit** (below the limit = free)	Private/business travel, gifts, donations, studies abroad, medical treatment, maintenance of relatives etc. — governed by the **Liberalised Remittance Scheme (LRS)**

Why three lists, not a blanket "free": even everyday spending needs a few guardrails — you cannot let forex bleed out on lotteries (Schedule I), some things need government sign-off (Schedule II), and large personal remittances need a ceiling so the aggregate outflow stays orderly (Schedule III). Under **LRS**, a resident individual may remit up to **USD 2,50,000 per financial year** for permitted current (and certain capital) account transactions *(confirm the current cap in ICAI material / RBI Master Direction — it has changed over time)*.

The grammar of the three schedules (memory device). Read them as a rising staircase of control on an *otherwise-free* base: - **Schedule I — a red light.** No approval will help; the transaction is outlawed as a class (e.g., remitting lottery winnings). *Why prohibited, not merely capped:* these outflows are pure leakage with no productive return. - **Schedule II — a government checkpoint.** Permitted, but only after the **Central Government** signs off (policy-sensitive items). - **Schedule III — a metered gate.** Free **below** a threshold; **RBI** approval **above** it. The LRS ceiling lives here. - **Everything not in any Schedule — open road.** Free, because default-free is the base rule of Section 5.

So the answer sequence for any current transaction is: *Schedule I? → Schedule II? → Schedule III over the limit? → else FREE.*

A subtle but examinable point — LRS straddles both boxes. The Liberalised Remittance Scheme is normally taught under current-account Schedule III, but the *same* USD 2,50,000 annual envelope also covers **certain permissible capital-account** remittances by a resident individual (e.g., acquiring shares or property abroad within the cap). So LRS is the one place where the current/capital wall has a *shared door*. If an examiner asks "can a resident individual buy foreign shares under LRS?", the answer is yes — within the LRS cap — even though buying shares is *capital* account. Flag the exact permissible capital uses against current ICAI material.

Section 6 — Capital account transactions (the regulated gate)

- **6(1):** Any person may sell or draw foreign exchange for a capital account transaction **only to the extent permitted.**

- **6(2):** The **RBI** may, in consultation with the Central Government, **specify the permissible classes** of capital account transactions and the **limits** up to which forex is admissible. *(Post the 2015 amendment, the power over debt instruments/capital flows is shared between the Central Government and RBI — the Central Government prescribes rules for capital account transactions involving debt instruments, while RBI regulates non-debt instruments and the rest. Confirm the exact split in current ICAI material.)*
- **6(3)** *(originally)* listed classes of capital account transactions RBI may regulate: transfer/issue of foreign securities by residents; transfer/issue of Indian securities by non-residents; borrowing/lending in forex and in rupees between residents and non-residents; deposits; export/import of currency; transfer of immovable property outside India by residents and in India by non-residents; guarantees, etc. *(Section 6(3) was omitted by the Finance Act, 2015, shifting this listing into rules/regulations — note this if the exam asks about amendments.)*
- **6(4):** A resident may **hold, own, transfer or invest** in foreign currency, foreign security or immovable property outside India **if** it was **acquired/held when he was a non-resident** or **inherited** from a person who was a non-resident. *(Protects legitimately-earned foreign assets.)*
- **6(5):** A non-resident may **hold, own, transfer or invest** in Indian assets if acquired when he was a resident or inherited from a resident.

Why capital account is only "to the extent permitted": because volatile capital flows are the real threat to reserves and currency stability (recall the 1991 crisis and later emerging-market crises where hot money fled overnight). The RBI keeps this gate on a **positive-permission** basis — you may do it only if a class/limit permits it — which is the mirror image of the current-account "free unless restricted" rule.

Grasp the exact mirror-image relationship (a 2-mark distinction that is really the whole chapter):

	Current account (Section 5)	Capital account (Section 6)
Default	**Free**	**Not permitted**
Rule structure	*Free unless restricted*	*Restricted unless permitted*
Who controls	**Central Government**	**RBI** (with debt/non-debt split post-2015)
Test to apply	Is it in a *prohibition/restriction*?	Is it in a *permitted class within the limit*?

Getting this table backwards — saying capital is "free unless restricted" — is one of the most common ways students throw away marks.

Why 6(4) and 6(5) exist — the fairness valves. Suppose an Indian professional works in the US for ten years (a non-resident), lawfully buys a house and shares there, then returns to India and becomes a resident. Must he now liquidate everything because a resident's foreign assets are "regulated"? That would be confiscatory and absurd. Section **6(4)** says no — assets *legitimately acquired while he was a non-resident* (or *inherited* from a non-resident) may be **freely held, transferred and invested**. Section **6(5)** is the symmetric protection for a non-resident's Indian assets acquired while he was a resident (or inherited from a resident). *Principle:* FEMA regulates *fresh* cross-border asset creation, not the *legacy* of a person's lawful past status. The examiner's tweak: an NRI *inherits* foreign shares from another NRI — protected under 6(4); but if he acquires *new* foreign shares *after* becoming a resident, that fresh acquisition is regulated under 6(1)/6(2).

Section 7 — Export of goods and services

Exporters must **declare** to the RBI the **full export value** (or, if not ascertainable, the value expected to be received) and furnish other particulars, and must take **reasonable steps to realise and repatriate** the proceeds.

Why: an exporter earns foreign exchange that belongs, in effect, to the national reserve pool. If exporters could leave earnings parked abroad, it would be capital flight through the back door. So the law compels **declaration + realisation + repatriation** of export proceeds.

Note the anti-under-invoicing design. The exporter must declare the **full export value**, and where it is not ascertainable, **the value expected to be received in an open-market arm's-length sale**. *Why the second limb?* To stop the oldest trick in trade: **under-invoicing** exports (declaring a low value, pocketing the difference abroad). By fixing the benchmark at the *true* market value, Section 7 makes the declared figure the floor of what must be repatriated — closing the leak. Section 7 is, in essence, capital-flight control disguised as an export-documentation rule.

4.4 Realisation, repatriation and the "no-holding" rule (Sections 8–9)

- **Section 8 — Realisation and repatriation:** where any amount of foreign exchange is **due or has accrued** to a resident, he must take **reasonable steps to realise and repatriate** it to India, as prescribed. *Why:* forex owed to India must actually come to India.
- **Section 9 — Exemptions:** carves out sensible exceptions — e.g., possession of foreign currency/coins up to limits, foreign currency accounts held as permitted, foreign exchange acquired before a threshold date, forex received as gift/inheritance held under 6(4), forex from employment/business/services rendered while abroad, etc. *Why:* the Act should not criminalise a traveller holding leftover holiday currency; it targets systemic leakage, not ordinary life.

Understand the "reasonable steps" standard — FEMA imposes an obligation of *effort*, not of *result*. Sections 7 and 8 do not say the exporter/resident *guarantees* the money comes home; they say he must take **reasonable steps** to realise and repatriate. *Why the softer standard?* Because a genuine bad debt abroad (a foreign buyer goes bankrupt) is a commercial misfortune, not a forex crime. So if the resident has *diligently pursued* realisation (invoices, reminders, legal action, RBI write-off permission where allowed), he has complied even if the money never arrives. The examiner tests this by giving a debtor who defaulted despite the exporter's chasing — no contravention, provided reasonable steps were taken. Contrast: a resident who simply *chose* to leave earnings parked abroad has taken *no* steps — that *is* a contravention.

Section 9 protects ordinary life — the "de-minimis and legacy" carve-outs. The unifying theme: FEMA is aimed at *systemic leakage*, so it exempts (i) *small holdings* (leftover travel currency within notified limits), (ii) *legally-earned legacy* forex (assets under 6(4), gifts/inheritance, earnings from services rendered while abroad), and (iii) *permitted accounts* (e.g., holding a foreign-currency account as the RBI allows). The point for the exam: Section 9 is the **safety-valve** that keeps FEMA proportionate — quote it whenever a fact pattern involves a traveller's small change or an NRI's lawfully-earned foreign salary.

4.5 Role and Powers of the RBI (Sections 10, 11, and Chapter III)

The RBI is the **operational regulator** of the entire forex market. Its key powers:

- **Section 10 — Authorised Persons:** RBI **authorises** persons to deal in forex (grants the licence), can **impose conditions**, and can **revoke** the authorisation in public interest or for breach (after a hearing). Authorised persons must **comply with RBI directions** and **not engage in transactions** not permitted; before undertaking a transaction, an AP must require a **declaration** and information from the customer to satisfy itself the transaction is not designed to contravene FEMA. If the AP has reason to believe a contravention is intended, it must **refuse** and **report** to the RBI.

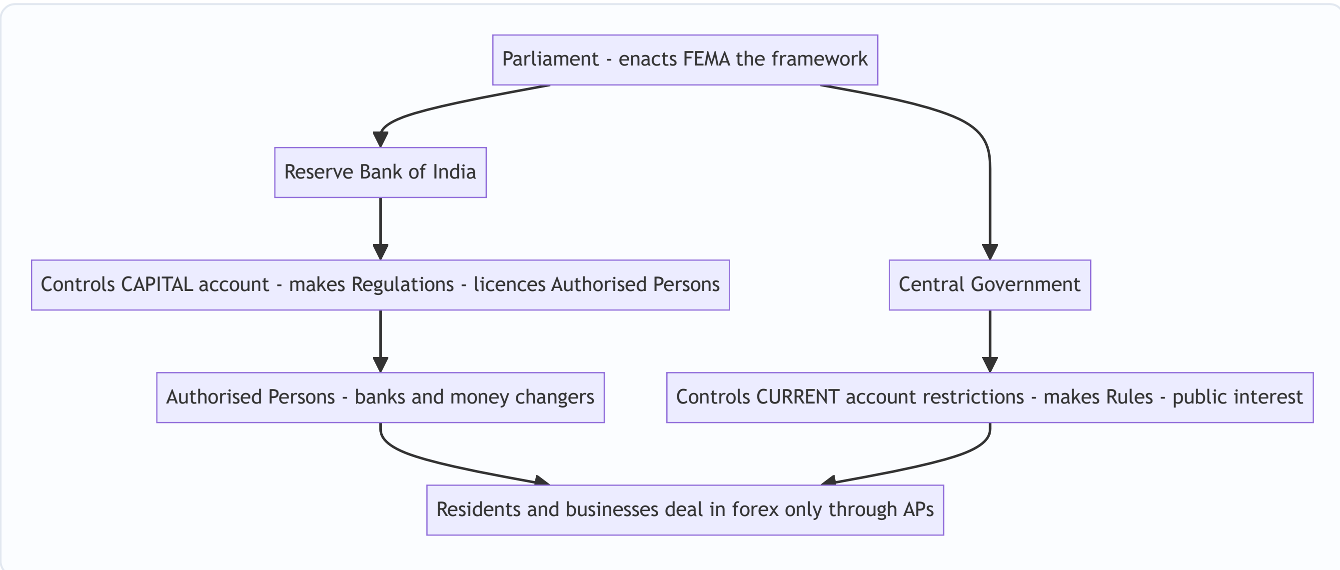
- **Section 11 — RBI's power to give directions to Authorised Persons:** RBI can direct APs, inspect them, and impose penalties (up to prescribed limits) for non-compliance. *Why via APs:* controlling a few hundred licensed dealers controls the market.
- **Making Regulations (Section 47):** RBI frames the operational **Regulations** (capital account, borrowing/lending, immovable property abroad, etc.).

Why the RBI, specifically: the RBI holds the reserves, sets monetary policy, and manages the exchange rate. Forex management is inseparable from these functions, so the natural custodian is the central bank — Parliament merely sets the frame; the RBI runs the market.

The AP is deputised as a private-sector compliance officer — this is the genius of Section 10. Notice what the Act does: instead of stationing a government official at every bank counter, it *makes the bank itself* responsible for policing the transaction. The AP must (a) demand a **declaration** from the customer, (b) **satisfy itself** the transaction is bona fide, and (c) **refuse and report** if it smells a contravention. In effect FEMA converts hundreds of banks into an outsourced first line of enforcement — cheap, ubiquitous and close to the transaction. This "gatekeeper does the screening" model is why the whole billion-person market can be watched through a few hundred licensees. Examinable phrasing: the AP has a **positive due-diligence duty**, not merely a passive one.

Distinguish the three RBI hats. (i) *Licensor* under Section 10 — grants, conditions and revokes AP authorisations. (ii) *Director* under Section 11 — issues directions, inspects, and penalises APs for non-compliance. (iii) *Rule-maker* under Section 47 — frames the capital-account and allied **Regulations**. Students often merge Sections 10 and 11; keep them apart — 10 is about the *licence relationship*, 11 is about *ongoing command and inspection* of the licensee.

Figure 14.3 — Who decides what under FEMA.



4.6 Contravention and Penalties — the civil regime (Sections 13–15)

This is where FEMA's "civil not criminal" philosophy becomes concrete.

- **Section 13 — Penalties:** on contravention of any provision, rule, regulation, direction or condition, a person is liable to a **penalty up to thrice the sum involved** where the amount is **quantifiable**, or **up to**

₹2,00,000 where it is **not quantifiable**. If the contravention is **continuing**, a **further penalty up to ₹5,000 per day** during continuance. *(Newer sub-sections (13(1A) onwards, inserted in 2015) deal specifically with acquiring foreign exchange/foreign security/immovable property abroad exceeding the prescribed threshold — higher penalties, possible confiscation, and imprisonment for wilful cases. Confirm the exact figures in current ICAI/bare Act.)*

- **Adjudicating Authority (Section 16):** an officer of the Central Government adjudicates and imposes the penalty after a hearing. Note the language — **"adjudicate," not "prosecute"** — the tell-tale sign of a civil regime.
- **Section 14 — Enforcement of the penalty:** if a person **fails to pay** the penalty within **90 days**, he is liable to **civil imprisonment**. *Read this carefully:* imprisonment is **not** the punishment for the forex breach itself — it is the consequence of **refusing to pay a civil debt** (the penalty), exactly like defaulting on a court-ordered payment. FERA jailed you for the *offence*; FEMA can detain you only for *non-payment of the penalty*.
- **Section 15 — Compounding of contraventions (the master idea):** any contravention under Section 13 **may be compounded** — i.e., **voluntarily settled** — by the contravener **paying a specified sum**, on an application to the RBI (or the Directorate of Enforcement). Compounding must be completed **within 180 days** of receiving the application. Once compounded, **no further proceedings** for that contravention.

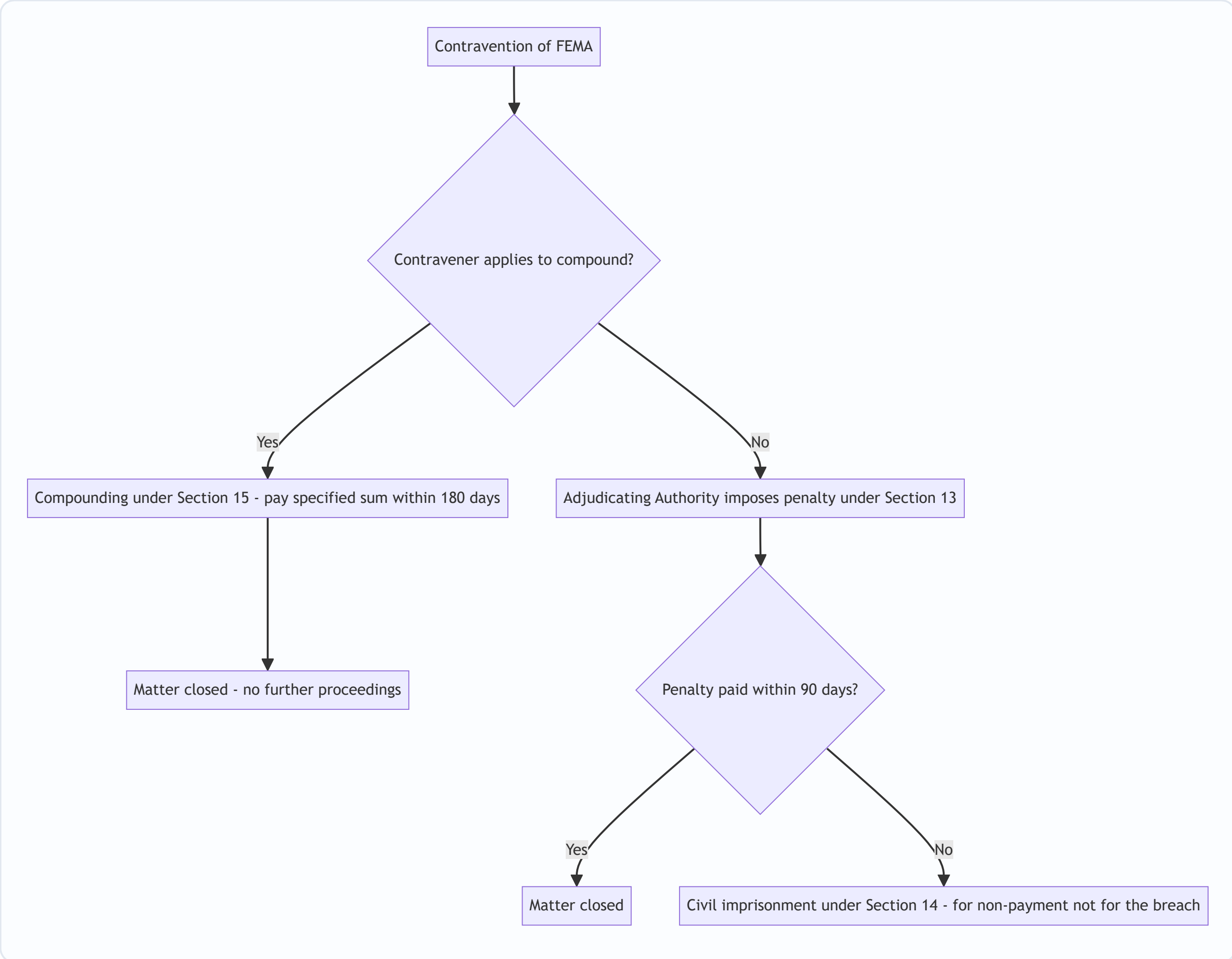
Why compounding is the beating heart of the new regime: it converts a potential legal battle into a quick, one-time monetary settlement. It signals FEMA's whole intent — the State wants **compliance and revenue, not incarceration**. An honest importer who missed a filing pays a compounding fee and moves on, instead of being dragged through criminal courts as under FERA.

Read the "thrice the sum" cap as a *ceiling*, not a *fixed* penalty. Section 13 says penalty **up to** three times the amount involved. The Adjudicating Authority has **discretion** to levy *less*, weighing the gravity, whether it was wilful, whether it was a first offence, and the amount of undue gain. A student who writes "the penalty **is** three times the sum" is wrong — it is a **maximum**. The same "up to" logic applies to the ₹2,00,000 figure (for un-quantifiable contraventions) and the ₹5,000/day continuing penalty.

Section 14's imprisonment scales with the penalty — the graded ladder. Under the enforcement mechanics, the *duration* of civil imprisonment is tied to the size of the unpaid penalty (larger unpaid sums can attract longer detention, with the classic split around whether the amount exceeds ₹1 crore — *verify the exact slab in current ICAI material / bare Act*). But the conceptual point dominates the numbers: **you are detained for defying a monetary order, not for the forex breach.** The moment you pay, the basis for detention disappears — which is impossible under a truly *criminal* regime, where paying up does not erase the offence.

Compounding is a *right to apply*, not a *right to settle*. The contravener may **apply**; whether it is compounded, and on what sum, rests with the **compounding authority** (RBI / Directorate of Enforcement), which must dispose of the application within **180 days**. Certain **serious contraventions** (e.g., those involving money-laundering, national-security concerns, or where investigation by another agency is ongoing) may be **refused** compounding. So the correct exam statement is: "*a contravention may be compounded on application, at the discretion of the authority, within 180 days*" — not "the contravener can always settle."

Figure 14.4 — The civil enforcement path of FEMA.



4.7 The appeal ladder and the Directorate of Enforcement

- **Directorate of Enforcement (ED):** investigates and can adjudicate contraventions; the **Director/officers** have powers of investigation.
- **Appeals:** from the Adjudicating Authority → to the **Special Director (Appeals)** and/or the **Appellate Tribunal**; a further appeal on a **question of law** lies to the **High Court** within 60 days. *Why an appeal ladder:* civil due process demands review; a person penalised must have a route to challenge the order.

Trace the ladder rung by rung (a favourite short-note). 1. **Adjudicating Authority** (Section 16) — the first-instance forum that imposes the penalty after a hearing. 2. **Special Director (Appeals)** — hears appeals against orders of *junior* adjudicating officers. 3. **Appellate Tribunal** — the principal appellate body against adjudication orders (post-2016 restructuring, the functions are exercised through the Appellate Tribunal framework; *verify the exact nomenclature and any merger of tribunals in current ICAI material*). 4. **High Court** — a final appeal, **only on a question of law**, within **60 days** of the Tribunal's order (extendable by a further 60 days for sufficient cause).

Two things the examiner probes here: - The **High Court appeal is confined to a *question of law*** — you cannot re-agitate the *facts* there. This mirrors the general appellate principle that final courts settle law, not fact. - The **Appellate Tribunal / appellate authority may require pre-deposit** of the penalty (or dispense with it for hardship) before hearing the appeal — a civil-litigation feature (*verify current wording*). It underscores that the penalty is a *civil debt*.

Also distinguish the **Directorate of Enforcement (ED)** — the *investigating and adjudicating arm* — from the **Adjudicating Authority** and the appellate forums, which *decide and review*. The ED both administers **FEMA** (civil) and **PMLA** (criminal); the overlap is deliberate, because forex leakage and money-laundering are often the same money seen from two angles.

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5. Applied Scenarios (exam-style)

Scenario 1 — Residential status (purpose beats day-count). *Mr. A, an Indian citizen, left India on 1 August 2023 to take up permanent employment in Dubai. During FY 2022–23 he was physically in India for 320 days. In September 2023 he wishes to open a bank account. Is he a person resident in India under FEMA?*

Answer: No. Although the 182-day count for the preceding financial year is satisfied (320 days), Section 2(v) **excludes** a person who has gone out of India for **employment outside India**. The **purpose test overrides the day-count**. From the moment he leaves for employment abroad, he becomes a **person resident outside India**. *Contrast:* under the Income-tax Act the answer could differ — do not conflate the two laws.

Scenario 2 — Current vs capital classification. *Classify each: (i) Mr. B remits ₹10 lakh to his son studying in the UK for tuition and living costs; (ii) Mr. C buys shares worth ₹10 lakh in a company listed in New York; (iii) an Indian company pays interest on a foreign-currency loan it took from a US bank.*

Answer: (i) **Current account transaction** — Section 2(j)(iv) expressly includes expenses for **education of children abroad** (governed under LRS / Schedule III). Free up to the prescribed limit. (ii) **Capital account transaction** — Mr. C now *owns a foreign security*; his **assets outside India are altered** (Section 2(e)). Permitted only to the extent RBI allows. (iii) **Current account transaction** — Section 2(j)(ii) includes **interest on loans**. (The *loan* itself is capital; the *interest* is a current payment. Distinguish the principal from the servicing.)

Scenario 3 — The nature of enforcement. *Mr. D contravened a FEMA provision involving ₹50 lakh. He argues he cannot be jailed because FEMA is "civil." Advise on (a) maximum penalty, (b) whether he can settle, (c) whether imprisonment is possible.*

Answer: (a) Under **Section 13**, since the amount (₹50 lakh) is **quantifiable**, penalty may extend to **thrice** the sum = **up to ₹1.5 crore** (plus ₹5,000/day if continuing). *Note "up to" — the Adjudicating Authority may levy less.* (b) Yes — under **Section 15** he may **apply to compound** (settle) the contravention by applying to the RBI/ED and paying a specified sum, to be disposed of within 180 days. (Compounding is at the authority's discretion, not automatic.) (c) Imprisonment is **not** a punishment for the contravention itself, but under **Section 14**, if he **fails to pay the penalty within 90 days**, he becomes liable to **civil imprisonment** — for non-payment, not for the forex breach. So his "civil" argument is only half-right.

Scenario 4 — The hawala catch. *Mr. E, in India, receives ₹20 lakh in cash from a local agent, against an arrangement that his cousin in the USA will be paid an equivalent amount in dollars there. No money crosses the border. Is FEMA attracted?*

Answer: Yes. **Section 3(c)/3(b)** prohibits **receiving any payment by order or on behalf of a person resident outside India** without RBI/AP permission and prohibits making payment to the credit of a non-resident "in any manner." This informal value-transfer (**hawala**) is squarely hit even though no currency physically crosses the border — FEMA follows the **economic substance**, not the physical movement of notes.

Scenario 5 — The returning NRI and Section 6(4) (legacy assets). *Ms. F worked in Canada for eight years as a non-resident and, while there, lawfully bought a condominium in Toronto and shares in a Canadian company. In April 2024 she returns to India permanently and becomes a resident. (a) Must she sell or repatriate the Toronto property and shares? (b) In June 2024, as a resident, she wants to buy fresh shares in a UK company — is that free?*

Answer: (a) **No.** Under **Section 6(4)**, a resident may **hold, own, transfer and invest** in foreign currency, foreign security or immovable property outside India that was **acquired when she was a non-resident**. The Toronto condo and the Canadian shares were lawfully acquired while she was a non-resident, so they are **protected legacy assets** — she is not compelled to bring them home. (The rental income / dividends she now earns on them are *current* receipts.) (b) **Not free.** The UK shares would be a **fresh acquisition made *after* she became a resident** — a **capital account transaction** under Section 2(e)/6(1), permitted **only to the extent RBI allows** (e.g., within the LRS envelope). *Reconcile:* the *legacy* is protected (6(4)); the *fresh* cross-border asset creation is regulated (6(1)). This is the exact line the examiner tests — same person, two opposite answers, split by *when* the asset was acquired.

Scenario 6 — Interest vs principal, and short-term vs long-term (the loan splitter). *XYZ Ltd, an Indian company, (i) borrows USD 1 million from a foreign bank for 5 years, (ii) pays the annual interest of USD 60,000 on it, and (iii) separately takes a 30-day short-term buyer's credit to pay for imported raw material. Classify each leg.*

Answer: (i) The **5-year borrowing of USD 1 million** *creates a liability outside India* → **capital account transaction** (Section 2(e); it is an external commercial borrowing, permitted only within RBI's ECB framework). (ii) The **annual interest of USD 60,000** is **net income servicing on a loan → current account transaction** (Section 2(j)(ii) — "payments due as interest on loans"). The *principal* is capital; its *servicing* is current — the classic split. (iii) The **30-day buyer's credit** for raw material is a **short-term banking/credit facility in the ordinary course of business → current account transaction** (Section 2(j)(i), which expressly includes *short-term* banking and credit facilities). *Reconcile:* both (i) and (iii) are "borrowings," but tenor flips the box — long-term = capital, short-term trade credit = current. Verify against the *self-test*: does the flow sit on the balance sheet as a lasting liability (capital) or wash through as ordinary trade financing (current)?

Scenario 7 — Inbound capital (the non-resident buying in India). *Mr. G, a US citizen who has never been a resident of India, buys a commercial building in Bengaluru for ₹5 crore. His Indian friend argues "FEMA only controls Indians sending money out, so this inbound purchase is outside FEMA." Is the friend right?*

Answer: No. Section 2(e) is **symmetric** — a capital account transaction includes one that alters **"the assets or liabilities *in India* of persons resident *outside* India."** Mr. G's purchase creates an *Indian asset* for a *non-resident*, so it is squarely a **capital account transaction** and is permitted **only to the extent** the RBI's acquisition-of-immovable-property regulations allow (there are restrictions on the kinds of persons and property involved — *verify current Regulations*). FEMA guards **both gates** of the wall, inbound and outbound; the friend's "only outflows" reading is wrong.

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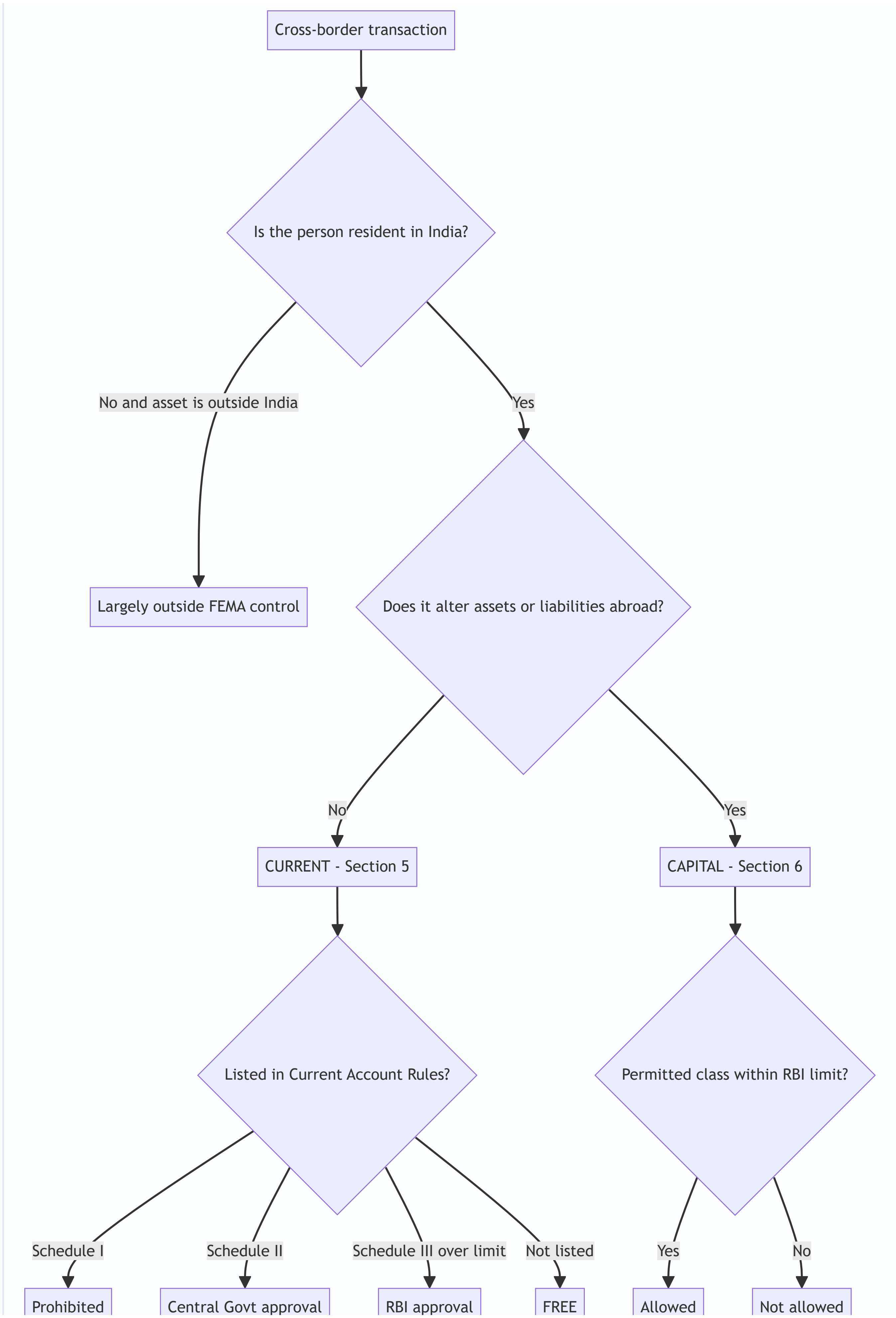
6. Procedure / Summary

Deciding how a cross-border transaction is treated under FEMA — the working algorithm:

1. **Identify the person's residential status** (Section 2(v)/(w)) — apply the **day-count** *then* the **purpose/intention** override. This decides whether FEMA even bites.

2. **Classify the transaction:** does it **alter cross-border assets/liabilities**? → **Capital** (Section 6, RBI-regulated, "only to the extent permitted"). If not → **Current** (Section 5, free unless restricted).
3. **For current:** check the **Current Account Rules 2000** — is it in **Schedule I** (prohibited), **Schedule II** (Central Govt approval), or **Schedule III** (RBI approval above LRS limit)? Otherwise **free**.
4. **For capital:** check whether RBI **Regulations** permit that class and within what **limit**.
5. **Route it through an Authorised Person** (Section 10) — all legitimate forex flows through licensed banks/money changers.
6. **If it is an export,** ensure **declaration + realisation + repatriation** (Sections 7–8).
7. **If a breach occurs:** it is a **civil contravention** → **penalty** under Section 13 → option to **compound** under Section 15 → **civil imprisonment** only if the penalty is unpaid (Section 14).

Figure 14.5 — Master decision flow for any transaction under FEMA.


Cross-border transaction
Is the person resident in India?
No and asset is outside India
Yes
Largely outside FEMA control
Does it alter assets or liabilities abroad?
No
Yes
CURRENT - Section 5
CAPITAL - Section 6
Listed in Current Account Rules?
Permitted class within RBI limit?
Schedule I
Schedule II
Schedule III over limit
Not listed
Yes
No
Prohibited
Central Govt approval
RBI approval
FREE
Allowed
Not allowed

A one-line self-check to run on every answer: *Person first, transaction second, schedule/limit third, channel fourth, enforcement last.* If your written answer follows that spine, you have almost certainly hit every mark the examiner allocated.

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7. Connections

- **FERA, 1973 → FEMA, 1999:** the *same subject* re-engineered from control/criminal to management/civil. Understanding FERA's scarcity logic explains *why every FEMA default flipped*.
- **Income-tax Act, 1961 — residential status:** both use day-counts, but the **tests differ** (FEMA: 182 days in *preceding* FY + purpose override; IT Act: 182/60-day dual test in the *current* previous year, no purpose override). A favourite examiner trap — see Section 8 traps below.
- **Companies Act, 2013 — foreign companies and FDI:** cross-border investment (FDI/ODI) is a **capital account transaction** governed by FEMA Regulations, dovetailing with company-law compliance for foreign companies.
- **Prevention of Money Laundering Act (PMLA), 2002:** the **Directorate of Enforcement** administers *both* FEMA and PMLA. FEMA breaches (esp. hawala) often overlap with money-laundering investigations — but FEMA itself remains **civil**, whereas PMLA is **criminal**.
- **General Clauses Act / Interpretation of Statutes:** the **Preamble** ("facilitating trade") is a key interpretive aid — when a FEMA provision is ambiguous, it is read to *facilitate*, illustrating the "purposive interpretation" studied in the Interpretation chapter.
- **RBI Act, 1934 & FEMA:** FEMA operationalises the RBI's mandate over the exchange rate and reserves; the two are functionally intertwined.
- **Negotiable Instruments Act, 1881:** the definitions of "currency" (2(h)) and "foreign exchange" (2(n)) borrow the vocabulary of NI law — bills of exchange, promissory notes, drafts, letters of credit. Knowing what these instruments *are* (from NI law) is what lets you decide whether the one in the question is "payable in foreign currency" and hence forex.
- **Constitutional angle — reasonable restrictions:** Section 5's phrase "reasonable restrictions in public interest" echoes the Article 19 vocabulary; a current-account restriction that is *unreasonable* or not genuinely in *public interest* is vulnerable — the same proportionality idea studied in constitutional/interpretation contexts.

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8. Traps and Examiner Tricks

1. **"Regulation" vs "Management".** If a question asks the *object* of FEMA, the answer is **facilitating external trade/payments and orderly forex-market development** — NOT "conservation/regulation" (that was FERA). Writing "conserve foreign exchange" as FEMA's object is a classic loss of marks.
2. **Residential status — preceding vs current year.** FEMA counts **more than 182 days in the *preceding* financial year**; do not import the Income-tax **60/182-day** rules. And remember the **purpose test overrides** the day-count — a person leaving for employment abroad is a non-resident *immediately*, regardless of 320 days spent here.

3. **Citizenship ≠ residence.** FEMA looks at **residence, not citizenship**. A foreign citizen can be a resident; an Indian citizen can be a non-resident.
4. **Interest vs principal of a loan.** The **loan** (borrowing/lending in forex) is a **capital** account transaction; the **interest** on it is a **current** account transaction (Section 2(j)(ii)). Examiners love splitting these in one question.
5. **Current = "free"? Not absolutely.** The default is free, **but** the Central Government may impose **reasonable restrictions in public interest** (Schedules I–III). Saying "all current account transactions are freely permitted" is wrong.
6. **Who controls what. Current account → Central Government** (restrictions in public interest, in consultation with RBI). **Capital account → RBI** (permissible classes and limits). Swapping these two is a frequent error.
7. **"FEMA is civil, so no jail — ever."** Half-true. There is no jail for the *contravention*, but **Section 14 civil imprisonment** applies for **non-payment of the penalty within 90 days**. State the nuance to get full marks.
8. **Penalty figure. Up to *thrice* the sum** (if quantifiable) or **up to ₹2,00,000** (if not), plus **₹5,000/day** for continuing default. Students often quote only one limb — and forget "**up to**" makes it a *ceiling*, not a fixed amount.
9. **Compounding timelines.** Compounding under Section 15 must be done **within 180 days** of the application; the penalty (if imposed) must be paid within **90 days** to avoid civil imprisonment. Two different clocks — don't swap 90 and 180.
10. **Hawala without border-crossing.** A receipt/payment "on behalf of a non-resident" is caught by **Section 3** even if no currency physically leaves India. Test of *substance*, not physical movement.
11. **Extent of the Act.** FEMA extends to the **whole of India** *and* to **branches/offices/agencies outside India owned or controlled by a resident** — it deliberately reaches beyond India's borders through the "control" concept.
12. **Amendment awareness. Section 6(3) was omitted (Finance Act, 2015)** and the debt/non-debt split introduced; if a question tests amendments, mention this rather than quoting the old 6(3) as current law. *Flag exact current wording against ICAI material.*
13. **Company residence needs no day-count.** The 182-day test is only for *individuals*. A company incorporated in India is a resident *automatically* (2(v)(ii)); a foreign company's Indian branch is resident *by control* (2(v)(iii)). Applying "182 days" to a company is a giveaway error.
14. **Contingent liabilities are capital too.** A **guarantee** by a resident in favour of a non-resident is a **capital** account transaction (2(e) expressly says "including contingent liabilities") even though no money moves at inception. The "no cash flowed, so no FEMA" argument is wrong.
15. **Inbound transactions are covered.** FEMA is *symmetric* — a non-resident acquiring Indian assets is a capital account transaction (assets *in India* of a person resident *outside* India). The "FEMA only controls money going out" claim is false.
16. **Compounding is not an automatic right.** The contravener may **apply**; the authority may **grant or refuse** (serious/PMLA-linked cases can be refused). Write "may apply to compound," not "can always settle."
17. **6(4)/6(5) legacy protection.** Assets lawfully acquired while the person held the *opposite* status (or inherited) are protected and need not be liquidated; only *fresh* cross-border acquisitions are regulated. Split by *timing of acquisition*.

18. **LRS is dual-natured.** The USD 2,50,000 LRS envelope covers *both* certain current and certain capital account remittances by a resident individual — the one shared door in the wall. *(Confirm the current cap and permissible uses.)*
19. **"Reasonable steps," not a guarantee (Sections 7–8).** The exporter/resident must *try* to realise and repatriate; a genuine commercial default despite diligent effort is not a contravention. Effort standard, not result standard.
20. **High Court appeal — law only.** The final FEMA appeal to the High Court lies **only on a question of law** within 60 days; facts are settled below. Don't say "appeal to HC on any ground."

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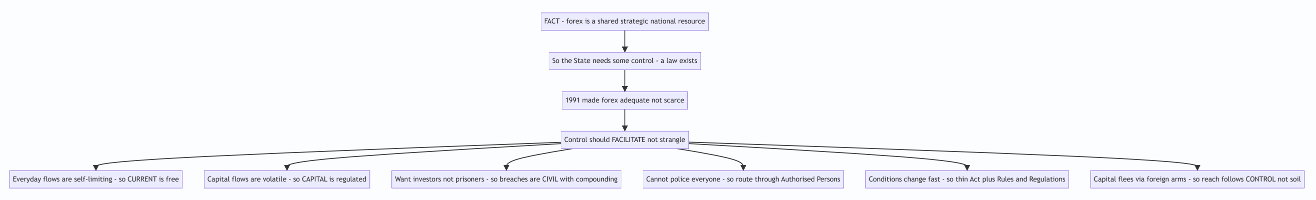
9. First-Principles Recap

Strip everything away and rebuild FEMA from a single fact: **a nation's foreign exchange is a shared strategic resource, and its value/quantity affects everyone.** From that one fact, every FEMA rule is *derivable*:

- Because forex affects the whole nation → **the State must have some control** → hence a law at all.
- Because after 1991 forex was **adequate**, not scarce → control should **facilitate**, not strangle → hence **"Management," civil, permitted-unless-restricted**.
- Because **everyday trade/living flows are self-limiting and productive** → let them run **free** → hence **current account default = free (Section 5)**.
- Because **ownership/debt flows are volatile and can drain reserves overnight** → keep a hand on them → hence **capital account = regulated, only to the extent permitted (Section 6)**.
- Because you can't police a billion people → funnel forex through **licensed banks** → hence **Authorised Persons (Section 10)**.
- Because you want investors, not prisoners → make breaches **civil**, allow **compounding**, and jail only those who **refuse to pay** → hence **Sections 13–15**.
- Because forex conditions change fast → keep the Act **thin** and push detail into **Rules (Govt) and Regulations (RBI)** → hence "as prescribed."
- Because capital flees through *foreign arms* of Indian entities → follow **control, not soil** → hence the **extra-territorial reach** over branches abroad (Section 1(3), 2(v)(iv)).
- Because a person's *lawful past status* should not be punished retrospectively → protect **legacy assets** → hence **Sections 6(4) and 6(5)**.
- Because forex leakage and money-laundering are the *same money seen twice* → let **one agency (the ED)** run both FEMA and PMLA → hence the shared enforcement architecture.

If you ever forget a provision, ask: "*What would a liberalising nation do to keep forex orderly while facilitating trade?*" — and you will reconstruct FEMA.

Figure 14.6 — The whole Act derived from one fact.



10. Quick-Revision Sheet

Item	Essence
Full name / date	Foreign Exchange Management Act, **1999**; in force **1 June 2000**; **49 sections**, 7 chapters; extends to **whole of India** + offices abroad controlled by residents
Replaced	**FERA, 1973** (control/criminal, 81 sections) → FEMA (management/civil, 49 sections), driven by **1991 liberalisation**
Objective (Preamble)	**Facilitate external trade and payments**; **orderly development/maintenance of the forex market**
Person resident in India — 2(v)	**>182 days in *preceding* FY** BUT **purpose/intention test overrides**; individuals only for day-count; includes Indian-incorporated bodies (auto) and India-branches of foreigners + abroad-branches of residents (by control); **residence not citizenship**
Person resident outside India — 2(w)	Anyone "not resident in India" — residence is **binary**, no in-between status
Current account txn — 2(j)	"Not capital"; includes **trade payments, interest/net investment income, family living expenses, foreign travel/education/medical**; note **short-term** credit is current. Default **FREE** (Section 5)
Capital account txn — 2(e)	**Alters cross-border assets/liabilities** (incl. **contingent** — guarantees); symmetric (outbound *and* inbound); default **REGULATED**, "only to the extent permitted" (Section 6)
Mirror rule	Current = *free unless restricted* (Central Govt); Capital = *restricted unless permitted* (RBI)
Authorised Person — 2(c)	Authorised dealer / money changer / OBU / other, licensed by **RBI under Section 10** — the gatekeeper with a **due-diligence duty**
Section 3	General prohibition — no forex dealing/payment to/for non-residents except via RBI/AP (**catches hawala**, "in any manner")
Current account control	**Central Government** — reasonable restrictions in **public interest**, consulting RBI; **Rules 2000**, Schedules **I (prohibited) / II (Govt approval) / III (RBI approval over LRS limit)**
Capital account control	**RBI** — specifies permissible **classes and limits**; **6(4)/6(5)** protect **legacy** assets acquired while non-resident/resident or inherited
LRS	Resident individual may remit up to **USD 2,50,000 / FY**; covers **both** certain current and capital uses *(confirm current cap)*
Section 7–8	Exporter must **declare (full value) + realise + repatriate**; residents must repatriate forex due; standard = **reasonable steps** (effort, not guarantee)
Section 9	Exemptions — small holdings, permitted FC accounts, legacy/gift/inherited forex — keeps the Act **proportionate**
RBI's role	Operational regulator — licenses APs (S.10), directs/inspects them (S.11), frames Regulations (S.47)

Item	Essence
Penalty — S.13	**Up to 3× sum** (if quantifiable) or **up to ₹2,00,000** (if not) + **up to ₹5,000/day** continuing — a *ceiling*, discretion to levy less
Civil imprisonment — S.14	Only if **penalty unpaid within 90 days** — for non-payment, **not** for the breach; duration scales with unpaid amount *(verify slab)*
Compounding — S.15	**Voluntary settlement** on application; authority's discretion; complete within **180 days**; then no further proceedings; serious/PMLA cases may be refused
Enforcement/appeals	**Directorate of Enforcement** (runs FEMA + PMLA) → Special Director (Appeals) / **Appellate Tribunal** → **High Court** (question of law, 60 days)
One-line philosophy	*Free the trade money, guard the ownership money, settle breaches with rupees not handcuffs.*

Flag for confirmation against current ICAI Study Material / bare Act: exact LRS cap and its permissible capital uses, current penalty figures under Section 13(1A) for foreign-asset threshold breaches, the civil-imprisonment duration slabs under Section 14, the current appellate-tribunal nomenclature/pre-deposit rule, and the precise post-2015 debt/non-debt division of powers between the Central Government and RBI. The *principles* above are stable; the *numbers/wording* are periodically updated.

Q&A — Foreign Exchange Management Act 1999 (Basics)

> Scope: Preliminary, key definitions, and the current-account/capital-account architecture of FEMA, 1999 as relevant to CA Intermediate "Corporate & Other Laws". Cite sections as written; no invented provisions.

Section A — Concept-Check Questions (with answers)

A1. Why was FERA, 1973 replaced by FEMA, 1999? FERA was a *control* and prohibition-based law framed for a foreign-exchange-scarce economy, with criminal liability and reversed burden of proof. Post-1991 liberalisation, India moved to a *management* regime. FEMA's Preamble states its object: "to consolidate and amend the law relating to foreign exchange with the objective of facilitating external trade and payments and for promoting the orderly development and maintenance of foreign exchange market in India." The shift is from *regulation of scarcity* to *facilitation of trade*, and from criminal to civil (monetary) liability.

A2. State the extent and applicability of FEMA (Section 1). FEMA extends to the whole of India (Section 1(2)). It also applies to all branches, offices and agencies **outside India** owned or controlled by a person resident in India, and to any contravention committed outside India by any person to whom the Act applies (Section 1(3)). It came into force on 1 June 2000.

A3. Distinguish "Capital Account Transaction" from "Current Account Transaction". - **Capital account transaction** [Section 2(e)]: a transaction which alters the assets or liabilities, including contingent liabilities, **outside India** of persons resident in India, or **in India** of persons resident outside India; it includes transactions referred to in Section 6(3). - **Current account transaction** [Section 2(j)]: a transaction other than a capital account transaction. It is defined **inclusively** — payments due in connection with foreign trade, other current business, services, short-term banking/credit facilities in the ordinary course; interest on loans and net income from investments; remittances for living expenses of parents, spouse and children abroad; and expenses for foreign travel, education and medical care of parents, spouse and children. - **Golden rule:** current-account transactions are **generally permitted** (freely allowed unless restricted); capital-account transactions are **generally prohibited** unless permitted. This is the reverse-mirror logic of FEMA.

A4. Define "person resident in India" (Section 2(v)) in brief. Broadly, a person residing in India for **more than 182 days during the preceding financial year** — but *excluding* one who has gone out of / stays outside India for employment, business or an uncertain-period stay, and *including* one who has come to / stays in India for such purposes. It also covers any person or body corporate registered/incorporated in India, an office/branch/agency in India owned or controlled by a person resident outside India, and an office/branch/agency outside India owned or controlled by a person resident in India.

A5. What is "foreign exchange" and "foreign security"? - **Foreign exchange** [Section 2(n)]: foreign currency and includes (i) deposits, credits and balances payable in any foreign currency; (ii) drafts, travellers' cheques, letters of credit or bills of exchange expressed or drawn in Indian currency but payable in foreign currency; and (iii) drafts, travellers' cheques, letters of credit or bills of exchange drawn by banks/institutions/persons outside India but payable in Indian currency. - **Foreign security** [Section 2(o)]: any security in the form of shares, stocks, bonds, debentures or any other instrument denominated or expressed in foreign currency, including securities expressed in foreign currency but where redemption or interest is payable in Indian currency.

A6. Which authority administers FEMA, and who is the "Authorised Person"? The **Reserve Bank of India (RBI)** administers FEMA and frames Regulations. An **Authorised Person** [Section 2(c)] is an authorised dealer, money changer, off-shore banking unit or any other person authorised under **Section 10(1)** to deal in foreign exchange or foreign securities. Enforcement of contraventions rests with the **Directorate of Enforcement (Section 36)**.

Section B — Applied Scenario Questions (with reasoned answers)

B1. *Mr. A, an Indian citizen, left India on 15 June 2024 to take up employment in Dubai. On 10 August 2024 he needs to be classified for a FEMA transaction. Is he "resident in India"?*

Answer. Residential status under FEMA is **purpose-driven**, not merely day-count based. Under Section 2(v), a person who has **gone out of India for taking up employment outside India** is *excluded* from "person resident in India" — irrespective of the 182-day test — from the very date of departure. Since Mr. A left on 15 June 2024 to take up employment abroad, he becomes a **person resident outside India** from 15 June 2024. Therefore on 10 August 2024 he is **non-resident** under FEMA.

B2. *An Indian company wants to remit USD 50,000 for its Managing Director's business travel and USD 2,50,000 to acquire equity shares of a company in the USA. Classify each transaction and state the regulatory route.*

Answer. - **Business travel remittance** — this is a **current account transaction** (payment in connection with current business/foreign travel). It is *generally permitted* under Section 5, subject to the Current Account Transaction Rules (i.e., is it in the prohibited Schedule I, or restricted Schedule II/III). Business travel is freely allowed. - **Acquisition of foreign equity shares** — this **alters the assets outside India** of a person resident in India, hence a **capital account transaction** [Section 2(e), overseas direct investment]. It is permitted **only** to the extent allowed under Section 6 read with RBI Regulations (Overseas Investment framework). It is *generally prohibited unless permitted*, so it must fall within the permissible limits/route.

B3. *Section 4 states "no person resident in India shall acquire, hold, own, possess or transfer any foreign exchange, foreign security or any immovable property situated outside India." Mr. B, resident in India, inherited a house in London from his father who was resident outside India. Is this a contravention?*

Answer. No. The prohibition in Section 4 is subject to the words "**save as otherwise provided in this Act**." Section 6(4) permits a person resident in India to **hold, own, transfer or invest in foreign currency, foreign security or immovable property situated outside India if such** asset was acquired, held or owned when he was resident outside India **or inherited from a person who was resident outside India**. Since Mr. B inherited the London house from a person resident outside India, he may lawfully hold it. No contravention arises.

B4. *X Ltd. remitted foreign exchange declaring it was for import of machinery, but the machinery was never brought into India. What is the consequence under FEMA?*

Answer. Section 10(6) obliges any person acquiring foreign exchange for a declared purpose to use it **only for that purpose**, or return it to an authorised person if it cannot be so used. Section 8 further requires reasonable steps to realise and repatriate foreign exchange due. Non-use/non-import makes the remittance a **contravention** under Section 13, attracting a penalty up to **thrice the sum involved** where quantifiable (or up to Rs. 2 lakh where not), and Rs. 5,000 per day for continuing default. It is a **civil** contravention, not a crime (unlike FERA).

B5. *A non-resident wishes to open a branch office in India to carry on trading business. Under which limb of "person resident in India" and which section does approval flow?*

Answer. An office/branch/agency **in India** owned or controlled by a person resident outside India is itself a **person resident in India** [Section 2(v)(iii)]. However, establishment of a branch/office in India by a person resident outside India, and its activities, are **capital account transactions** governed by Section 6(3)(g)–(h) read with RBI's Establishment of Branch/Office Regulations. Approval therefore flows through the **RBI route** (and, for certain sectors, prior Government approval).

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "FEMA marks a paradigm shift from FERA." Explain the key structural differences. (5 marks)

Model Answer. | Basis | FERA, 1973 | FEMA, 1999 | |---|---|---| | Object | Conserve/regulate scarce forex (control) | Facilitate external trade; manage forex (facilitation) | | Nature of offence | Criminal — imprisonment | Civil — monetary penalty | | Burden of proof | On the accused (presumption of guilt) | On the enforcement authority | | Presumption | Everything prohibited unless permitted | Current-account free; capital-account restricted only | | Arrest/Prosecution | Wide powers of arrest | Arrest only on **wilful non-payment** of penalty (Section 14) | | Drafting | Negative, prohibitory | Positive, enabling |

FEMA thus decriminalises forex management, narrows the State's role to *management* of the forex market, and aligns Indian law with a liberalised, convertible-current-account economy.

C2. Explain the scheme of Sections 3 to 9 of FEMA. (6 marks)

Model Answer. - **Section 3** — Dealing in foreign exchange is prohibited *except through an authorised person*; bars unauthorised payments to/for the credit of non-residents (this is the anti-*hawala* provision). - **Section 4** — Bars holding, owning or transferring foreign exchange, foreign security or immovable property outside India, save as provided in the Act. - **Section 5** — Permits **current account transactions**; Central Government may, in public interest and in consultation with RBI, impose reasonable restrictions. - **Section 6** — Governs **capital account transactions**; RBI (in consultation with Government) may specify permissible classes and limits; Section 6(3) lists categories; Section 6(4)/(5) protect legacy assets held abroad/in India. - **Section 7** — **Export of goods and services**: exporter must furnish true declarations of full export value. - **Section 8** — Duty to **realise and repatriate** foreign exchange due to India within the prescribed period. - **Section 9** — Exemptions from realisation and repatriation (e.g., forex up to prescribed limits, foreign currency accounts held with RBI's permission).

C3. Discuss the powers of RBI and Central Government to make rules/regulations under FEMA. (4 marks)

Model Answer. FEMA distributes delegated legislation between two authorities: - **Central Government** frames **Rules** — e.g., the **Foreign Exchange Management (Current Account Transactions) Rules, 2000** under Section 5 read with Section 46, classifying current-account transactions into Schedule I (prohibited), Schedule II (Government approval) and Schedule III (RBI/limit-based). - **RBI** frames **Regulations** under Section 47 for capital account transactions (Section 6), export/import of currency, realisation and repatriation, and the like. This dual structure keeps **policy** (current-account convertibility, prohibitions) with the Government and **operational/market management** (capital account, dealer authorisation) with the RBI.

Section D — MCQs / Case Scenarios (correct option + reasoning)

D1. FEMA, 1999 came into force on: (a) 1 January 2000 (b) **1 June 2000** (c) 1 April 2000 (d) 29 December 1999 **Ans: (b)** — Enforced 1 June 2000, though enacted 29 Dec 1999.

D2. A transaction which alters assets or liabilities outside India of a resident is a: (a) Current account transaction (b) **Capital account transaction** (c) Exempt transaction (d) Prohibited transaction **Ans: (b)** — Matches Section 2(e).

D3. Under FEMA, "person resident in India" primarily depends on residence for more than ____ days in the preceding financial year: (a) 90 (b) 120 (c) **182** (d) 365 **Ans: (c)** — Section 2(v), subject to the purpose test.

D4. Dealing in foreign exchange other than through an authorised person is barred by: (a) Section 4 (b) **Section 3** (c) Section 6 (d) Section 8 **Ans: (b)** — Section 3 is the anti-hawala provision.

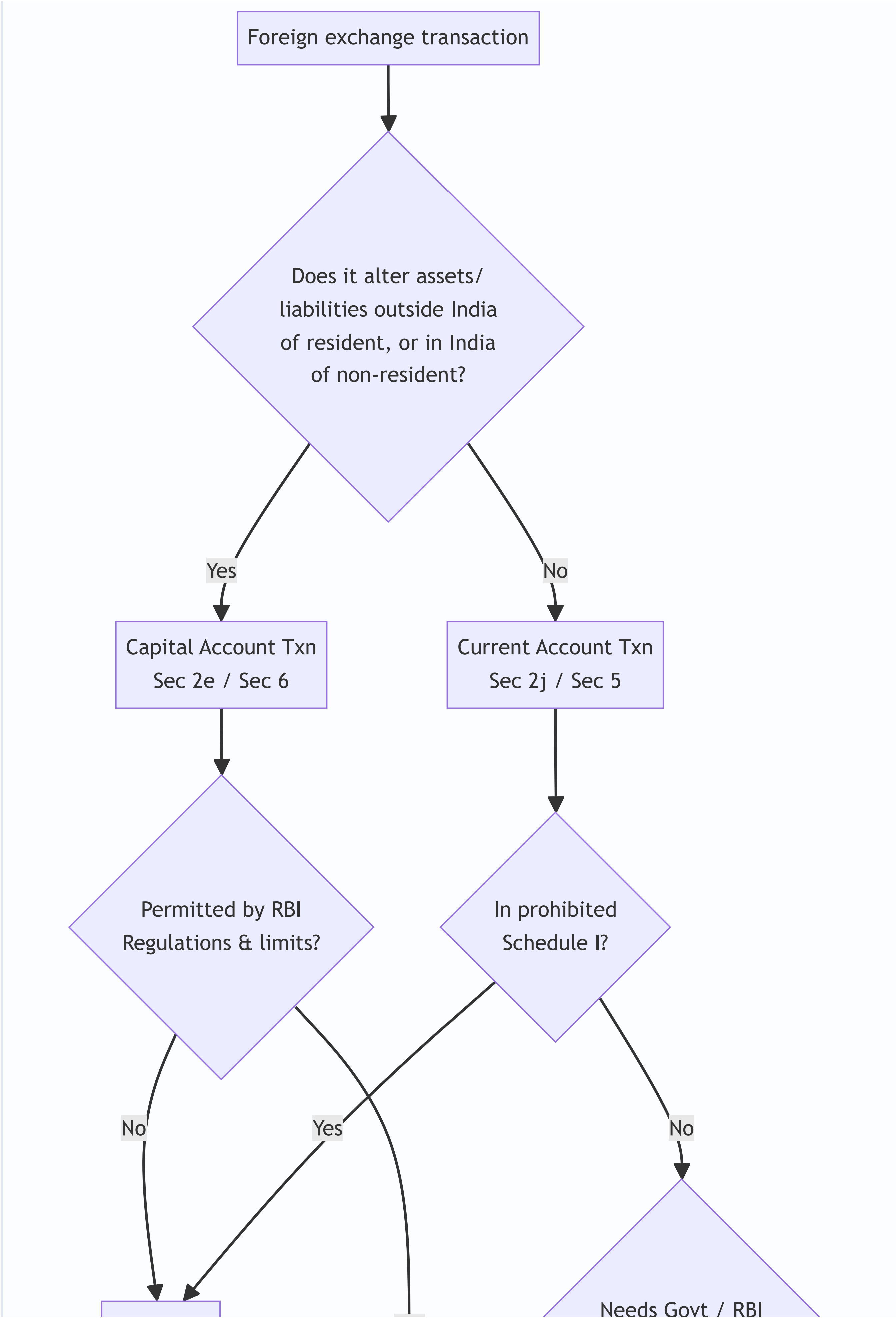
D5. Penalty under Section 13 where the amount is quantifiable may extend up to: (a) Twice the sum (b) **Thrice the sum** involved (c) Equal to the sum (d) Five times the sum **Ans: (b)** — Up to thrice; plus Rs. 5,000/day for continuing contravention.

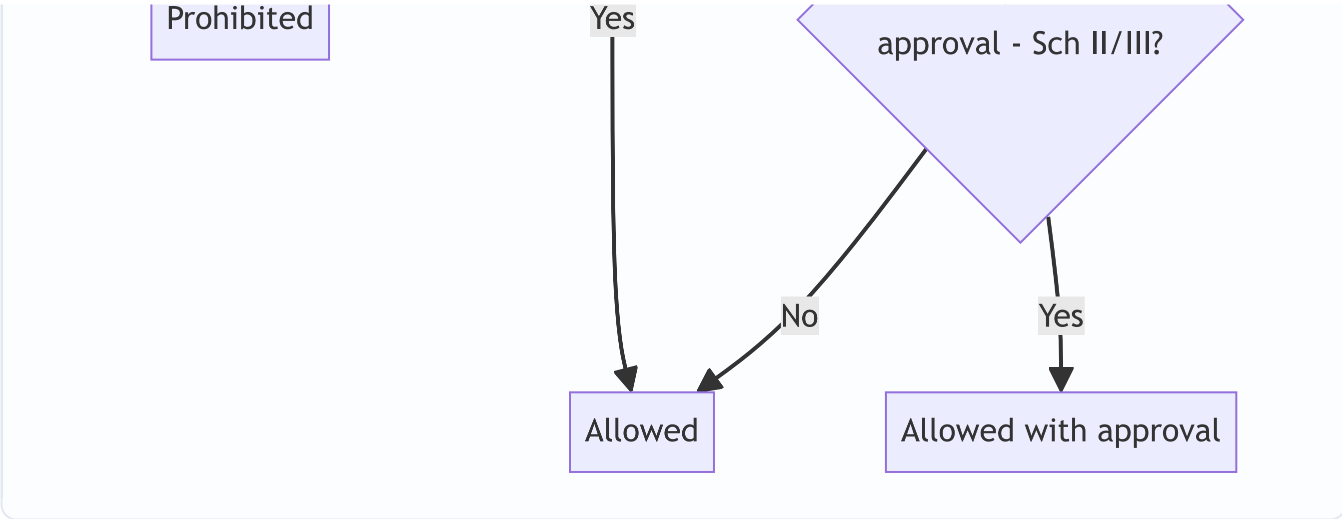
D6. *Case scenario:* Mrs. R, resident in India, remits USD 4,000 for her son's tuition fees in Canada. This is: (a) Capital account, prohibited (b) **Current account, generally permitted** (c) Capital account, RBI approval (d) Prohibited under Section 4 **Ans: (b)** — Education expense of a child is expressly within the inclusive definition of current account transaction [Section 2(j)].

D7. Enforcement of FEMA contraventions is entrusted to: (a) SEBI (b) CBI (c) **Directorate of Enforcement** (d) Serious Fraud Investigation Office **Ans: (c)** — Section 36 provides for the Directorate of Enforcement.

D8. Which authority frames Regulations for capital account transactions? (a) SEBI (b) Central Government (c) **RBI** (d) Ministry of Commerce **Ans: (c)** — RBI under Section 6 read with Section 47.

Mermaid — FEMA Transaction Classification Logic


Foreign exchange transaction
Does it alter assets/ liabilities outside India of resident, or in India of non-resident?
Yes
No
Capital Account Txn
Sec 2e / Sec 6
Current Account Txn
Sec 2j / Sec 5
Permitted by RBI Regulations & limits?
In prohibited Schedule I?
No
Yes
No
Needs Govt / RBI



Reading the diagram: the **default** for current-account is "Allowed" (bottom-right), the **default** for capital-account is "Prohibited" — the reverse-mirror rule that examiners test.

Traps & Examiner Tricks (rapid-fire Q&A)

- **Trap:** "Residential status = 182 days only." **Reality:** The **purpose test overrides** the day count — departure for employment/business makes one non-resident immediately (B1).
- **Trap:** "All capital account transactions are prohibited." **Reality:** They are prohibited *unless permitted* by RBI; legacy assets under Section 6(4)/(5) are protected (B3).
- **Trap:** "FEMA offences lead to imprisonment." **Reality:** FEMA imposes **civil monetary penalty**; imprisonment (Section 14) arises **only** on wilful non-payment of the penalty.
- **Trap:** Confusing rule-maker: **Current account = Central Government Rules (Sec 5/46)**; **Capital account = RBI Regulations (Sec 6/47)**.
- **Trap:** "Foreign exchange means only foreign currency." **Reality:** It **includes** instruments drawn in Indian currency but payable in foreign currency, and vice versa [Section 2(n)].

Quick-Revision Sheet

- **Preamble object:** facilitate external trade & payments; orderly development of forex market.
- **Sec 1:** whole of India + branches/offices abroad of residents; in force 1 June 2000.
- **Sec 2:** (c) authorised person, (e) capital account, (j) current account, (n) foreign exchange, (o) foreign security, (v) person resident in India.
- **Sec 3:** no dealing except via authorised person (anti-hawala).
- **Sec 4:** no holding forex/security/property abroad, save as provided.
- **Sec 5:** current account — free (Govt may restrict via Rules).
- **Sec 6:** capital account — RBI-regulated; 6(4)/(5) legacy-asset protection.
- **Sec 7–9:** export declaration; realise & repatriate; exemptions.
- **Sec 10:** authorised persons & their duties (10(6) purpose-restriction).
- **Sec 13–14:** penalty up to thrice the sum (or Rs. 2 lakh); Rs. 5,000/day; civil, not criminal.
- **Sec 36–37:** Directorate of Enforcement.

- **Golden rule:** *Current account free, capital account restricted.*

Corporate & Other Laws — High-Yield / Weightage Map

CA Intermediate — Paper 2 (100 marks). Pattern: **30 marks MCQ** (Part I, case-scenario / integrated MCQs) + **70 marks descriptive** (Part II, one compulsory question + choice). Syllabus split: **Part I — Company Law & LLP Law (~70%)** and **Part II — Other Laws (~30%)**. Almost a fully theory paper (bare-Act driven); no numerical problems, but "practical/application" questions on a given fact-pattern dominate.

Weightage below is indicative — it reflects ICAI past-paper, RTP, MTP and Study Material emphasis, but the actual mark split shifts every attempt. **Always cross-check against the latest ICAI RTP/MTP and Suggested Answers for your attempt.**

Chapter-wise Weightage Table

Part I — Company Law & LLP Law (~70 marks)

Chapter / Topic	Typical marks weightage	Exam frequency	Priority	Usual question types
1. Preliminary & Definitions (Sec 1–2)	2–5	Medium	Important	MCQ hooks (definitions of company, small co., OPC, subsidiary, related party); "distinguish between" small vs other companies
2. Incorporation of Company	6–9	Very High	Must-master	Application: DIN/SPICe+, conversion, commencement of business, registered office, effect of registration, promoter liability; MCQ scenarios
3. Prospectus & Allotment of Securities	6–9	High	Must-master	Misstatement liability (civil/criminal), private placement, deemed prospectus, shelf/abridged, allotment conditions; practical + MCQ
4. Share Capital & Debentures	8–12	Very High	Must-master	Alteration/reduction of capital, buy-back, further issue (rights/bonus/ESOP), transfer/transmission, sweat equity, debentures/DRR; heavy MCQ + descriptive
5. Acceptance of Deposits	5–8	High	Must-master	Deposit vs exempted receipt, limits, DRR/deposit repayment reserve, conditions & procedure, penalties; practical fact-pattern
6. Registration of Charges	3–5	Medium	Important	Time limit & condonation for registration, satisfaction of charge, effect of non-registration; short practical / MCQ
7. Management & Administration	8–12	Very High	Must-master	AGM/EGM procedure, notice, quorum, proxy, voting/poll/postal ballot, resolutions (ordinary/special), registers, annual return, MGT-14 filing; high-yield practical
8. Declaration & Payment of Dividend	4–7	High	Important	Dividend out of profits/free reserves, unpaid dividend a/c & IEPF, interim dividend, conditions & rate; practical
9. Accounts of Companies	4–7	High	Important	Financial statements, Board's report, CSR (Sec 135) applicability & spend, NFRA, books of account, reopening/revision; MCQ + practical
10. Audit & Auditors	5–8	High	Must-master	Appointment/rotation/removal, eligibility & disqualification (Sec 141), casual vacancy, remuneration, powers/duties, auditor's report; frequent practical
11. LLP Act, 2008	5–8	High	Important	Nature & features, partner vs designated partner, incorporation, extent of liability, conversion,

Chapter / Topic	Typical marks weightage	Exam frequency	Priority	Usual question types
				distinction LLP vs company/firm; MCQ + theory

Part II — Other Laws (~30 marks)

Chapter / Topic	Typical marks weightage	Exam frequency	Priority	Usual question types
12. General Clauses Act, 1897	5–8	High	Must-master	Interpretation of "may/shall", commencement/expiry & computation of time, effect of repeal, service of documents, "person"/"good faith" definitions; scoring theory + short application
13. Interpretation of Statutes	5–8	High	Must-master	Rules of interpretation (literal/golden/mischief), internal & external aids, presumptions, deeming provisions, proviso/explanation; pure theory, easy marks
14. FEMA, 1999	5–8	High	Important	Current vs capital account transactions, authorised person, contravention & penalties, key definitions; theory + short application

The 80/20 — study these first and deepest

These chapters, taken together, routinely account for the **majority of the paper** (roughly two-thirds of marks across MCQ + descriptive). Master these before anything else:

1. **Ch 4 — Share Capital & Debentures** (highest single-chapter yield; buy-back, reduction, further issue, transfer)
2. **Ch 7 — Management & Administration** (meetings, resolutions, quorum, voting — perennial)
3. **Ch 2 — Incorporation of Company**
4. **Ch 3 — Prospectus & Allotment**
5. **Ch 5 — Acceptance of Deposits**
6. **Ch 10 — Audit & Auditors**
7. **Part II trio — Ch 12 General Clauses + Ch 13 Interpretation of Statutes + Ch 14 FEMA** (all 3 are compact, theory-only, and nearly guaranteed to appear — the single best effort-to-marks ratio in the paper)

> Rule of thumb: **Nail all of Part II (30 marks) + the four biggest Company Law chapters (4, 7, 2, 3)** and you have already secured a comfortable pass base.

Safe to skim if short on time

Genuinely lower-yield — don't skip entirely (MCQs can still pull from here), but study last and lighter:

- **Ch 6 — Registration of Charges** (narrow, predictable — just nail time limits/condonation & effect of non-registration)
- **Ch 1 — Preliminary & Definitions** (rarely a full descriptive question; learn definitions passively as they recur in other chapters — mostly MCQ fodder)
- Finer procedural minutiae in **Ch 8 (Dividend)** and **Ch 9 (Accounts)** beyond CSR, IEPF/unpaid-dividend, and core conditions

One-line strategy

Treat this as a **memory-and-application theory paper**: bank the **easy, near-guaranteed 30 marks of Part II (General Clauses + Interpretation + FEMA)** and the compulsory question, write **section-referenced, provision-then-application answers** on Company Law fact-patterns, and prioritise the four heavyweight chapters (Share Capital, Management & Administration, Incorporation, Prospectus) — depth in these plus all of Part II clears the paper.

Weightage is indicative and varies by attempt. Verify against the latest ICAI Study Material, RTP, MTP and Suggested Answers before finalising your revision plan.

Corporate & Other Laws — Exam Strategy, Answer Templates & Examiner Traps

CA Intermediate | Paper 2 | 100 marks | 3 hours **Division A** = 30 marks MCQs (with 0.25 negative marking) **Division B** = 70 marks descriptive Pass = 40% in the paper **and** 50% aggregate across the group. This paper is a scoring paper if you write it like a lawyer, not like a storyteller.

PART 1 — PAPER STRATEGY (How to Spend the 180 Minutes)

1.1 The macro time budget

Block	Marks	Time	Rate
Reading time (ICAI gives 15 min separately)	—	15 min	Plan, don't write
Division A — MCQs (30)	30	35–40 min	~1.2 min/mark
Division B — Descriptive (70)	70	130–135 min	~1.85 min/mark
Buffer / review	—	10 min	Revisit flagged MCQs + check Section numbers

Hard rule: 1.8 minutes per mark on descriptive. A 5-mark question gets ~9 minutes and not a second more. When the clock hits the limit, draw a conclusion line and move on. Half-written answers on 6 questions beat 4 perfect answers and 2 blanks — the marginal mark on a fresh question is always worth more than the 6th sentence on one you're already answering.

1.2 Use the 15-minute reading time deliberately

Do NOT read Division B linearly. Instead: 1. **Scan Division A first.** Mentally tag each MCQ: G (I know it), M (can eliminate to 2 options), R (no idea). 2. **Read every Division B question stem** and write a one-word margin tag next to each in the question paper: the Section number or topic if you know it cold ("S.135 CSR", "S.164 disqualification"), a "?" if shaky, "SKIP-last" if weak. 3. **Identify your opener.** The very first thing you write in the answer book should be your single strongest question. A confident first answer settles nerves and sets a clean tone for the examiner.

1.3 Attempt order for Division B

- **Attempt your strongest descriptive question first**, regardless of its number. The examiner does not care about sequence — only that each answer is clearly labelled with the correct **question number and sub-part number**.
- Then descending by confidence. Save the weakest for last so an unanswered part costs you the fewest marks.
- **Attempt ALL required questions.** Division B is typically "answer any 5 of 6" (confirm from your attempt's instructions) — pick the 5 you're strongest on, but if time allows, a 6th attempt is not counted against you

only if instructions permit; otherwise attempt exactly the number asked. **Never leave a compulsory question blank** — even a stated provision earns 1–2 marks.

1.4 Division A MCQ tactics — the 0.25 negative-marking math

Negative marking is 0.25 per wrong answer (verify the exact fraction on your paper's instruction sheet — ICAI has used both "no negative marking" and "1/4" in different windows; **assume 0.25 unless the paper says otherwise**).

The expected-value rule for a 1-mark MCQ with –0.25 penalty:

- **4 options, blind guess (25% right):** EV = (0.25 × +1) + (0.75 × –0.25) = **+0.0625.** Marginally positive — a pure blind guess across the whole paper nets slightly positive, but the variance is high. Only blind-guess if you literally cannot eliminate anything.
- **Eliminate 1 option (guess among 3, 33% right):** EV = (0.33 × 1) + (0.67 × –0.25) = **+0.166.** Guess.
- **Eliminate 2 options (50/50):** EV = (0.5 × 1) + (0.5 × –0.25) = **+0.375.** Always guess.
- **Skip:** EV = 0.

Decision rule you can apply in the hall: - Eliminated at least one option → **ALWAYS guess.** The math is decisively in your favour. - Cannot eliminate anything AND it's a pure-memory numerical/date trap → **skip** to protect against the trap being deliberately close. - Two-statement / "which is correct" MCQs: evaluate each statement independently as True/False first, then match — this alone eliminates options and flips most R-tags to M-tags.

MCQ mechanics: - Do MCQs in **one focused pass after** you've warmed up on 1–2 Division B answers (or first — pick what steadies you; many students do MCQs first to bank guaranteed marks while fresh). Whatever you choose, **timebox to 40 minutes** and do not let MCQs eat descriptive time. - Watch for MCQ case-scenario clusters (4–5 MCQs off one fact pattern). Read the scenario once carefully; the marks come fast because the facts are shared. - **Fill the OMR/answer immediately** after deciding each MCQ. Do not "come back later" for more than 2–3 flagged ones — that's how bubbles get misaligned.

1.5 Maximising step / partial marks (this is where the paper is won)

ICAI awards **marks for the provision even if your conclusion is wrong.** Structure guarantees you bank those marks: - **State the section and provision before you touch the facts.** If you write "Under Section 149(4), every listed public company shall have at least one-third independent directors," you have earned the provision marks whether or not you then apply it correctly. - **Break every answer into visible steps** (Provision → Application → Conclusion). Examiners tick per step. A wall of prose hides your steps and costs ticks. - **Answer every sub-part separately and label it.** A question with (i), (ii), (iii) is three mark-pools. Never merge them. - **For "compute/decide" questions**, show the working (e.g., CSR = 2% of average net profits of 3 preceding years). Wrong final figure + correct method still scores most of the marks. - **If unsure of the exact section number, still state the provision in words.** Provision-in-words earns most of the marks; a missing number costs only a fraction. Never stay silent because you forgot "148".

PART 2 — ANSWER-WRITING TEMPLATES (Subject-Specific)

2.1 The core template — Law-IRAC

Every problem/application question in this paper follows one skeleton. Memorise it as four labelled moves:

```
ISSUE      – Restate the legal question in one line. "The issue is whether X can/must/is liabl
PROVISION  – Cite the exact Section + Act, then state the rule. "As per Section ___ of the Com
ANALYSIS   – Apply the provision to THESE facts. Use the numbers/dates/parties from the questi
CONCLUSION – Decide clearly. "Therefore, X is (valid/liable/entitled to … )."
```

Non-negotiables for THIS subject: - **Always cite the Section number.** "As per Section 96..." not "as per company law." The section citation is itself a mark-earning act and signals command. - **Name the Act correctly.** Companies Act, **2013**; The Limited Liability Partnership Act, **2008**; The General Clauses Act, **1897**; FEMA, **1999**; The Foreign Contribution (Regulation) Act, **2010**. A wrong year or wrong Act on a provision looks like you've confused the syllabus. - **Use the statute's own words for thresholds and time limits.** "within 30 days", "at least 21 days' clear notice", "special resolution", "two-thirds". These exact phrases are what the examiner's key looks for. - **Distinguish "shall" (mandatory) from "may" (discretionary).** Half the traps in this paper hinge on that single word.

2.2 Question-type sub-templates

(a) Problem / case-application ("Advise / Decide / Examine validity"): Use full Law-IRAC above.

(b) "State the provisions of Section ___ / Explain the procedure": No facts to apply. Use:

```
Opening rule (Section + core rule) → numbered clauses/conditions → exceptions/provisos → penal
```

Present conditions as a **numbered list**, not a paragraph. Examiners count them.

(c) "Distinguish between X and Y": Use a **two-column table** with a "Basis of distinction" left column (Meaning, Governing section, Liability, Number required, Consequence...). A table scores faster and looks authoritative. Aim for the number of points the marks imply (5 marks ≈ 5 points of distinction).

(d) True/False or "Comment on the statement with reasons": Verdict first, then the section-backed reason. "**False.** As per Section 4(1)(a), the memorandum must state..." Never give a bare True/False — the reason carries the marks.

(e) Interpretation-of-statutes questions (from the "Other Laws" limb): Name the **rule/maxim** (e.g., *Noscitur a Sociis*, *Ejusdem Generis*, the Mischief Rule, *Ut Res Magis Valeat Quam Pereat*), define it in one line, then apply. The maxim name is the mark trigger.

2.3 Worked specimen answer (this is the presentation to imitate)

> **Q. (5 marks)** XYZ Ltd., an unlisted public company, has a paid-up share capital of Rs. 12 crore and turnover of Rs. 180 crore as per the latest audited financial statements. The company has not appointed any woman director. A shareholder challenges this. Advise whether XYZ Ltd. is required to appoint a woman director.

Model answer as it should appear in the answer book:

Issue: Whether XYZ Ltd., an unlisted public company with paid-up capital of Rs. 12 crore and turnover of Rs. 180 crore, is legally required to appoint a woman director.

Relevant Provision: As per **Section 149(1) read with Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014**, the following classes of companies **shall** appoint at least one woman director: 1. every **listed** company; and 2. every **other public company** having — (a) paid-up share capital of **Rs. 100 crore or more**, or (b) turnover of **Rs. 300 crore or more**, as per the latest audited financial statements.

Analysis: XYZ Ltd. is an unlisted public company, so limb (1) does not apply. Testing limb (2): its paid-up capital is Rs. 12 crore (below the Rs. 100 crore threshold) and its turnover is Rs. 180 crore (below the Rs. 300 crore threshold). It crosses **neither** monetary limit prescribed under Rule 3.

Conclusion: Therefore, XYZ Ltd. is **not** required to appoint a woman director, and the shareholder's challenge is not tenable. *(Note: had either threshold been crossed, the company would have had to comply within the timeline prescribed under Rule 3.)*

Notice what this answer does: **labelled headings**, **bolded section number stated before the facts** (banks the provision marks), the **exact thresholds quoted**, the two-limb rule applied **fact-by-fact**, and a **clear yes/no conclusion**. Even a student who wrongly remembered the threshold as Rs. 10 crore would still earn the provision and structure marks.

PART 3 — EXAMINER TRAPS (Specific to Corporate & Other Laws)

ICAI's own examiner comments recur year after year. These are the concrete ways students bleed marks in THIS paper, and the fix for each.

Trap 1 — "Public vs Private company" threshold swap. Many provisions apply *only* to public companies, or carry different limits for private ones (woman director, independent directors, S.185 loans to directors, S.203 KMP). ICAI deliberately makes the company in the fact-pattern private/unlisted to see if you blindly apply the public-company rule. **Fix:** The first thing you underline in any problem is the **type of company** (private / public / listed / OPC / Section 8 / small company). Classify before you cite.

Trap 2 — The "one day / one rupee over the line" numerical trap. Facts are engineered to sit just above or just below a threshold or just outside a time limit: a notice given on the 20th day when 21 clear days are required; a deposit at Rs. 100 crore exactly; a filing on the 31st day. **Fix:** Quote the exact limit, then explicitly compute the gap ("21 clear days requires the notice by ***; it was given on*** , so it is short by one day, hence invalid"). Never eyeball it.

Trap 3 — "Shall" read as "may" (mandatory vs directory). Students say a company "can" do something when the Act says it "shall," or treat a mandatory disqualification (S.164) as discretionary. **Fix:** Lift the operative word from the statute. If it says "shall," your conclusion must be framed as an obligation, not an option.

Trap 4 — Confusing the Act / wrong statute for the topic. The "Other Laws" limb (General Clauses Act 1897, Interpretation of Statutes, FEMA 1999) gets answered with Companies Act reasoning, or LLP provisions get cited under a company question. **Fix:** Anchor to the correct Act *by name and year* in your provision line. If the question is on FEMA, no Companies Act section belongs in the answer.

Trap 5 — Ordinary vs Special resolution mix-up. A huge number of consequences turn on whether an **ordinary resolution** (>50%) or a **special resolution** (≥75%) is needed, and whether filing of MGT-14 is required. Students state the wrong resolution and lose the whole application. **Fix:** Keep a mental list of the marquee special-resolution items (alteration of MOA/AOA, reduction of capital, S.180 restrictions on Board powers, buy-back, removal by tribunal, etc.) and verify before concluding.

Trap 6 — Ignoring provisos and exceptions. ICAI loves fact-patterns that fall inside an **exception** — e.g., related-party transactions in the ordinary course of business at arm's length (S.188), or a small company/OPC exemption. Students apply the main rule and miss the carve-out. **Fix:** After stating the main rule, always ask "is there a proviso or exemption?" and address it explicitly even if to say it doesn't apply.

Trap 7 — No section number / vague "as per company law." The single most common examiner complaint: answers are "general" and don't cite provisions. **Fix:** Every substantive claim gets a section. If you genuinely can't recall the number, state the provision in the statute's words — but attempt the number.

Trap 8 — Not answering what's asked (procedure vs validity vs remedy). The question asks for the **procedure** and the student explains the **meaning**; or asks whether an act is **valid** and the student lists the whole section without deciding. **Fix:** Underline the command verb — *State / Distinguish / Advise / Decide validity / Discuss remedies* — and mirror it in your answer structure. A "decide validity" question must end with "valid" or "invalid."

Trap 9 — Merging multi-part answers and losing sub-part marks. Sub-parts (i)/(ii)/(iii) each carry marks; a merged paragraph makes the examiner hunt for them and often under-award. **Fix:** Label and physically separate every sub-part with its own heading and conclusion.

Trap 10 — Date/quorum/notice numeric recall failures. The dense numbers — AGM within 6 months of FY-end (9 for first AGM), gap of not more than 15 months between AGMs, 21 clear days' notice, quorum of 5/15/30 members by company size, board meeting every 120 days, minimum 4 board meetings a year, CSR 2% of average net profit of 3 preceding years — are exactly what ICAI probes. **Fix:** Maintain a one-page "numbers sheet" and revise it the morning of the exam; these are cheap, high-frequency marks.

Trap 11 — Interpretation-of-Statutes maxim not named. In "Other Laws," students describe the reasoning but never name the maxim/rule, and the key awards marks for the name. **Fix:** Always open with the maxim's Latin/English name, define it, then apply.

One-line takeaway

Cite the **Section first**, classify the **company type first**, quote the **exact threshold/time limit**, respect **"shall" vs "may"**, and **conclude decisively** — do that on every answer and this becomes one of the highest-scoring papers in the group.

Corporate & Other Laws — 100 Model Q&A (full-marks answers)

100 CA-exam-standard questions (theory + fully-worked problems), each with a model answer written to score full marks and a full-marks tip.

Scope of this part: The Companies Act, 2013 — Preliminary & key definitions (Sec. 2), Types of Companies (private, public, OPC, small, Section 8, holding–subsidiary–associate, dormant), and Incorporation of a Company & Matters Incidental Thereto (Sec. 3–22), including the doctrines of ultra vires, constructive notice, indoor management and lifting of the corporate veil.

Q1. Small Company — definition (marks: 4) [Theory]

Question: Define a "small company" under the Companies Act, 2013. State any two classes of companies that can never be treated as a small company, whatever their capital or turnover.

Model Answer: Provision — Section 2(85) of the Companies Act, 2013 read with the Companies (Specification of Definitions Details) Rules, 2014: A *small company* means a company, **other than a public company**, whose: 1. **Paid-up share capital does not exceed Rs. 4 crore** (or such higher amount as may be prescribed, not exceeding Rs. 10 crore); **and** 2. **Turnover** as per its latest profit & loss account **does not exceed Rs. 40 crore** (or such higher amount prescribed, not exceeding Rs. 100 crore).

Both conditions must be satisfied simultaneously (the word used is "and").

Companies that can NEVER be a small company (proviso to Sec. 2(85)) — any one/two of: - A **holding company or a subsidiary company**. - A company **registered under Section 8** (charitable company). - A company or body corporate **governed by any special Act**.

Conclusion: Only a private company meeting *both* the capital and turnover thresholds, and not falling in the excluded classes, is a small company.

> Full-marks tip: Cite Section 2(85), quote **both** limits (Rs. 4 crore capital AND Rs. 40 crore turnover) and stress "and", and list the excluded classes from the proviso — missing the proviso costs a mark.

Q2. Private company crossing member limit (marks: 4) [Practical]

Question: ABC Private Ltd. has 195 members. It proposes to admit 12 new members, out of whom 4 are present employees who are also members, and 3 are ex-employees who were members while in employment and continued thereafter. Advise whether ABC Pvt. Ltd. will violate the maximum-member limit of a private company.

Model Answer: Issue: Whether admitting the 12 persons breaches the 200-member ceiling of a private company.

Provision — Section 2(68): A private company is one which by its articles restricts the right to transfer shares and limits the number of members to **200** (excluding present and past employee-members) and prohibits any invitation to the public to subscribe for securities.

Explanation of exclusions: In counting members — - **Present employees who are members** are excluded, and - **Persons who were members while in employment and continued to be members after ceasing employment** are excluded. - Also, **two or more persons holding shares jointly** are treated as a **single member**.

Analysis (Working): | Particulars | Count | |---|---| | Existing members | 195 | | Add: new members proposed | 12 | | Gross members | 207 | | Less: present employee-members among new (4) | (4) | | Less: ex-employees who were members while employed & continued (3) | (3) | | **Effective members counted for Sec. 2(68)** | **200** |

Conclusion: After the statutory exclusions, the counted membership is exactly **200**, which is within the limit. **ABC Pvt. Ltd. does NOT violate Section 2(68).**

> **Full-marks tip:** State that employee-members (present and eligible past) are excluded, and show the arithmetic in a working note — examiners award marks for the exclusion logic, not just the "yes/no".

Q3. One Person Company — eligibility of promoter (marks: 5) [Practical]

Question: Mr. Rahul, an Indian citizen who stayed in India for 130 days during the immediately preceding financial year, wishes to form a One Person Company (OPC) to carry on a business, and also wants a second OPC for another line of business. He proposes to nominate his brother, a citizen of Canada, as the nominee. Advise Rahul on the validity of his proposals under the Companies Act, 2013.

Model Answer: Issue: (a) Is Rahul eligible to form an OPC? (b) Can he form a second OPC? (c) Is his brother a valid nominee?

Provision — Section 2(62) & Rule 3 of the Companies (Incorporation) Rules, 2014: - Only a **natural person who is an Indian citizen** (whether resident in India or otherwise) can form an OPC and be its nominee. - "**Resident in India**" for this purpose means a person who has stayed in India for **not less than 120 days** during the immediately preceding financial year. - A person **cannot incorporate more than one OPC** or be a **nominee in more than one OPC**.

Analysis: 1. Rahul is an Indian citizen and stayed **130 days ≥ 120 days**, so he is eligible to form an OPC. **Valid.** 2. He **cannot form a second OPC** — one natural person may be a member of only one OPC. The second proposal is **invalid**. 3. The nominee must be an **Indian citizen**. Rahul's brother is a **Canadian citizen**, so he **cannot** be the nominee. **Invalid.**

Conclusion: Rahul can validly form **one** OPC, but he cannot form a second OPC, and his Canadian-citizen brother cannot be appointed as nominee.

> **Full-marks tip:** Quote the **120-day** residency test (amended figure, not 182 days) and the "only one OPC" rule, and separately reject the foreign-citizen nominee — each of the three sub-issues carries marks.

Q4. Holding–Subsidiary relationship (marks: 5) [Practical]

Question: H Ltd. holds 40% of the total voting power in S Ltd. Additionally, H Ltd. has the right to appoint 5 out of the 8 directors on the Board of S Ltd. Separately, S Ltd. holds 55% shares in T Ltd. Examine whether S Ltd. is a subsidiary of H Ltd., and whether T Ltd. is a subsidiary of H Ltd.

Model Answer: Issue: Determine subsidiary status of S Ltd. under H Ltd., and of T Ltd. under H Ltd.

Provision — Section 2(87): A company is a **subsidiary** of another company (the holding company) if the holding company — (i) **controls the composition of the Board of Directors**; **or** (ii) **exercises or controls more than one-half of the total voting power**, either on its own or together with its subsidiaries. *Control of Board composition* means the power to appoint or remove **all or a majority** of the directors.

Analysis: 1. **S Ltd.:** Although H Ltd. holds only 40% voting power (not more than half), it can appoint **5 of 8 directors**, i.e. a **majority of the Board**. This satisfies limb (i) — control of Board composition. Hence **S Ltd. IS a subsidiary of H Ltd.** 2. **T Ltd.:** S Ltd. holds **55% (more than one-half)** of T Ltd. → T Ltd. is a subsidiary of S Ltd. Since a subsidiary of a subsidiary is deemed a subsidiary of the ultimate holding company, **T Ltd. is also a subsidiary of H Ltd.** (Section 2(87) — "together with one or more of its subsidiaries").

Conclusion: S Ltd. is a subsidiary of H Ltd. (via Board control), and T Ltd. is a **step-down subsidiary** of H Ltd.

> **Full-marks tip:** Note that control of Board composition is an **independent** test — a company can be a subsidiary even below 50% voting power. Also state the step-down subsidiary rule for T Ltd.

Q5. Associate company (marks: 4) [Practical]

Question: P Ltd. holds 21% of the total share capital of Q Ltd. P Ltd. also has, under an agreement, the right to participate in the business decisions of R Ltd. though it holds no shares in R Ltd. Determine whether Q Ltd. and R Ltd. are associate companies of P Ltd.

Model Answer: Issue: Are Q Ltd. and R Ltd. associate companies of P Ltd.?

Provision — Section 2(6): An *associate company*, in relation to another company, means a company **in which that other company has significant influence, but which is not a subsidiary**, and includes a **joint venture** company. **"Significant influence"** means **control of at least 20% of total voting power, OR control of or participation in business decisions under an agreement.**

Analysis: 1. **Q Ltd.:** P Ltd. holds **21% ≥ 20%** of voting power → significant influence exists. As it is not a subsidiary, **Q Ltd. IS an associate of P Ltd.** 2. **R Ltd.:** Even with **no shareholding**, P Ltd. has a right to **participate in business decisions under an agreement** — this independently satisfies "significant influence." Hence **R Ltd. IS also an associate of P Ltd.**

Conclusion: Both Q Ltd. and R Ltd. are associate companies of P Ltd.

> **Full-marks tip:** State that significant influence is the **20% voting power OR agreement-based participation** — the "OR" limb (agreement) is frequently the marks-carrying twist, as in R Ltd.

Q6. Section 8 (Charitable) Company — features & revocation (marks: 5) [Theory]

Question: State the essential characteristics of a company licensed under Section 8 of the Companies Act, 2013. Under what circumstances can the Central Government revoke the licence?

Model Answer: Provision — Section 8(1): A Section 8 company is a limited company formed to **promote objects** such as commerce, art, science, sports, education, research, social welfare, religion, charity or protection of environment, which — 1. **applies its profits/income only in promoting its objects**, and 2. **prohibits payment of any dividend** to its members.

Essential features: - It is **licensed by the Central Government** (power delegated to ROC) and may be registered **without the words "Limited"/"Private Limited"** in its name. - It enjoys all **privileges and obligations of a limited company**. - It may be a company **with or without share capital**. - A **firm may be**

a member of a Section 8 company. - It **cannot alter its memorandum or articles** except with **prior approval of the Central Government** (Sec. 8(4)).

Revocation — Section 8(6): The Central Government may **revoke the licence** if the company — - **contravenes any provision of Section 8** or the conditions of the licence, or - conducts its affairs **fraudulently** or in a manner **violative of its objects** or **prejudicial to public interest**. Before revocation the company must be given a **reasonable opportunity of being heard**. On revocation, the CG may direct the company to be wound up or amalgamated with another Section 8 company.

> **Full-marks tip:** The two non-negotiables — **profits applied to objects** and **no dividend to members** — plus Section 8(4) (no MOA/AOA change without CG approval) and Section 8(6) revocation grounds, are each mark-bearing.

Q7. Formation of company & Section 3A (marks: 4) [Practical]

Question: A public company was incorporated with 9 members. Later, 4 members ceased to be members, reducing the number to 5, and the company continued its business for 8 months in that reduced state. During the 7th and 8th months it incurred debts of Rs. 6 lakh. Examine the liability of the members for these debts.

Model Answer: Issue: Are the continuing members personally liable for debts incurred while membership was below the statutory minimum?

Provision — Section 3(1): A **public company** must have a **minimum of 7 members**. **Section 3A:** If at any time the number of members falls **below the statutory minimum** (7 for public, 2 for private) and the company **carries on business for more than 6 months** while so reduced, **every person who is a member during that time and is aware of the fact** shall be **severally liable** for the payment of the whole debts of the company contracted **during that time** (i.e., after 6 months), and may be **sued severally**.

Analysis: - Membership fell to 5 (below 7). The company carried on for 8 months, i.e. **more than 6 months**. - Debts of Rs. 6 lakh were contracted in the **7th and 8th months** — i.e., **after the 6-month period** and while members were aware.

Conclusion: Every such member aware of the fact is **severally personally liable** for the Rs. 6 lakh debt contracted after the expiry of 6 months. (The company itself continues to exist; only personal liability of members is triggered.)

> **Full-marks tip:** Emphasise the two triggers — **below minimum** AND **carried on > 6 months** — and that liability attaches only to debts contracted **after the 6-month period**, only to aware members, and is **several**.

Q8. Reservation of name — Section 4(5) (marks: 4) [Practical]

Question: M/s Star Ltd. applied for reservation of the name "Bright Star Industries Ltd." for a proposed new company, which the Registrar approved on 1st June. The promoters could not file the incorporation documents. On 25th June the Registrar received a complaint that the reserved name was obtained by furnishing wrong information. Advise on (a) the period for which the reserved name is valid, and (b) the consequences of furnishing wrong information.

Model Answer: Issue: Validity period of a reserved name and consequences of obtaining it by wrong information.

Provision — Section 4(5): (a) A name reserved for a **proposed (new) company** is valid for **20 days from the date of approval** (for a name reserved for an **existing** company's change of name, it is 60 days). Since approval was on 1st June, the reservation **lapses on 21st June** if incorporation documents are not filed.

(b) **Section 4(5)(ii):** If, after reservation, it is found that the name was obtained by **furnishing wrong or incorrect information**, then — - **If the company is NOT yet incorporated:** the **reserved name is cancelled**, and the applicant is liable to a **penalty up to Rs. 1,00,000**. - **If the company IS already incorporated:** the Registrar may, after hearing, direct the company to **change its name within 3 months**, or **strike off the name** from the register, or petition for **winding up**.

Analysis & Conclusion: As the name was approved on 1st June, it was valid only up to **21st June** and, the documents not being filed, it **lapsed**. Since the wrong information relates to a **name reserved but company not yet incorporated**, the Registrar may **cancel the reservation** and impose a **penalty up to Rs. 1 lakh** on the applicants.

> **Full-marks tip:** Give the correct period — **20 days (new)** / **60 days (existing company change)** — and split the consequence into "not yet incorporated" vs "already incorporated"; the penalty figure (up to Rs. 1 lakh) earns a mark.

Q9. Memorandum of Association — contents (marks: 5) [Theory]

Question: State the clauses that the Memorandum of Association of a company must contain as per Section 4 of the Companies Act, 2013.

Model Answer: Provision — Section 4(1): The Memorandum of Association (MOA) of every company must state the following clauses: 1. **Name Clause** — the name of the company, ending with "Limited" (public) or "Private Limited" (private); a Section 8 company is exempt. 2. **Registered Office / Situation Clause** — the **State** in which the registered office is to be situated. 3. **Object Clause** — the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof. 4. **Liability Clause** — the liability of members, whether **limited by shares, limited by guarantee, or unlimited**, and (for guarantee companies) the amount each member undertakes to contribute. 5. **Capital Clause** — (for a company having share capital) the amount of **authorised/nominal share capital** and its division into shares of a fixed amount; each subscriber must state the number of shares taken. 6. **Subscription / Association Clause** — the declaration by subscribers that they wish to be formed into a company and agree to take the shares written against their names. (For an **OPC**, the name of the **nominee** must be stated.)

Note: The MOA must be in the respective form in **Tables A to E of Schedule I**, as applicable.

Conclusion: These six clauses (mnemonic: **N-S-O-L-C-A**) constitute the charter document defining the company's constitution and its relationship with the outside world.

> **Full-marks tip:** List **all six** clauses with a one-line description each and mention the OPC nominee point and Schedule I Tables A–E — missing the "State" wording in the situation clause or the liability variants loses marks.

Q10. Alteration of MOA — shifting registered office between States (marks: 5) [Practical]

Question: Sunrise Ltd., registered in Maharashtra, wants to shift its registered office to Gujarat to reduce operating costs. Advise the company on the procedure and approvals required under the Companies Act, 2013.

Model Answer: Issue: Procedure for shifting the registered office **from one State to another** (which alters the MOA situation clause).

Provision — Section 13(4) & 13(5) read with Section 12: Shifting the registered office from one State to another requires **alteration of the memorandum**, which needs: 1. A **special resolution** of the company (Sec. 13(1)); and 2. **Approval of the Central Government** (power delegated to the **Regional Director**) under Section 13(4).

Procedure: - Pass a **special resolution** in general meeting. - File application to the **Regional Director** for confirmation; give notice to affected parties — **members, creditors, and the Registrar and Chief Secretary of the State** — and to any other regulator, so that no interest is prejudiced. - The RD confirms the alteration within the prescribed time; the **certified copy of the RD's order together with the altered MOA** must be filed with the **Registrar of both States** within the prescribed period. - The **Registrar of the new State** shall register and issue a **fresh certificate of incorporation** indicating the alteration.

Conclusion: Sunrise Ltd. can shift to Gujarat by passing a **special resolution** and obtaining **Regional Director (Central Government) confirmation** under Section 13(4), followed by filing with both ROCs.

> **Full-marks tip:** State-to-State shift needs **both** a special resolution **and** Regional Director approval (Sec. 13(4)) — and remember that a shift **within the same State but same ROC jurisdiction** needs only a special resolution; do not confuse the routes.

Q11. Registered office — Section 12 timelines (marks: 4) [Practical]

Question: XYZ Ltd. was incorporated on 1st April. It set up its registered office and started functioning from a rented premises. State by when the company must (a) have a registered office capable of receiving communications, (b) verify its registered office with the Registrar, and (c) intimate any subsequent change of address to the Registrar.

Model Answer: Provision — Section 12 of the Companies Act, 2013: (a) **Section 12(1):** A company must have a registered office capable of receiving and acknowledging all communications **within 30 days of its incorporation** and at all times thereafter. → For XYZ Ltd. incorporated 1st April, **by 30th April (i.e., within 30 days)**.

(b) **Section 12(2):** The company must **furnish verification of its registered office** to the Registrar **within 30 days of incorporation** (in the prescribed form). → **By 30th April.**

(c) **Section 12(4):** Notice of every **change** in the situation of the registered office must be given to the Registrar **within 30 days of the change**.

Additional point — Section 12(3): The company must paint/affix its name and registered-office address outside every office, get its name engraved on its seal (if any), and print name, address, CIN, phone/email etc. on all business letters, billheads and official publications.

Conclusion: XYZ Ltd. must have and verify its registered office within **30 days of incorporation**, and report any later change within **30 days** of that change.

> **Full-marks tip:** All three limbs are **30 days** — quote Sections 12(1), 12(2) and 12(4) separately; adding the Section 12(3) name-display obligation earns the extra mark.

Q12. Commencement of business — Section 10A (marks: 4) [Practical]

Question: Prime Ltd., a company having share capital, was incorporated on 10th January 2026. As on 20th July 2026 it had neither filed the declaration of receipt of subscription money nor commenced business, but it borrowed Rs. 10 lakh and exercised borrowing powers. Examine the position under the Companies Act, 2013.

Model Answer: Issue: Can a company having share capital commence business/borrow without filing the Section 10A declaration, and what are the consequences of default?

Provision — Section 10A: A company incorporated on or after 2nd November 2018 and **having a share capital** shall **not commence business or exercise any borrowing powers** unless: 1. A **declaration** is filed by a director **within 180 days of incorporation** stating that every subscriber has **paid the value of shares** agreed to be taken; and 2. The company has **filed verification of its registered office** (Sec. 12(2)).

Analysis: - Prime Ltd. was incorporated 10th January 2026; **180 days expired on ~8th July 2026**. As on 20th July no declaration was filed. - Therefore Prime Ltd. was **not entitled** to commence business or exercise **borrowing powers**; the Rs. 10 lakh borrowing was made in **contravention** of Section 10A.

Consequences — Section 10A(2) & (3): - **Penalty:** Company liable to **Rs. 50,000**, and every officer in default to **Rs. 1,000 per day** of default, subject to a maximum of **Rs. 1,00,000**. - If no declaration is filed within 180 days and the Registrar has reasonable cause to believe the company is not carrying on business, he may initiate action to **strike off** the company's name.

Conclusion: The borrowing is in breach of Section 10A; the company and officers in default are liable to penalty, and the company risks being struck off.

> Full-marks tip: The trigger is a company **having share capital** and the **180-day** declaration; quote the **Rs. 50,000 / Rs. 1,000 per day (max Rs. 1 lakh)** penalty and the strike-off risk.

Q13. Alteration of Articles — entrenchment (marks: 5) [Practical + Theory]

Question: The articles of Delta Pvt. Ltd. contain a clause that a particular article relating to shareholder rights can be altered only if 95% of the members agree (a higher requirement than a special resolution). The company now wants to alter that article by an ordinary process. Advise on (a) the validity of such an "entrenchment" provision, and (b) the manner of altering articles generally.

Model Answer: Issue: Validity of an entrenchment provision and the general procedure for altering articles.

Provision — Section 5 & Section 14: (a) **Entrenchment — Section 5(3):** The articles **may contain provisions for entrenchment** to the effect that specified provisions may be **altered only on conditions more restrictive** than a special resolution (e.g., 95% consent, or unanimous consent). Such entrenchment provisions can be made **only**: - on **formation** of the company, or - by an **amendment agreed to by all members** (in a private company), or by a **special resolution** (in a public company). The company must give **notice to the Registrar** of such entrenchment provisions (Sec. 5(4)). Hence the 95% clause is **valid**, and that article **cannot** be altered by an ordinary special resolution — the 95% condition must be met.

(b) **Alteration of Articles — Section 14(1):** Subject to the Act and the conditions in the memorandum, a company may alter its articles **by passing a special resolution**, including alterations for conversion of a private company into public or vice versa. A copy of the altered articles and the special resolution must be **filed with the Registrar within 15 days** (Sec. 14(2)). Any alteration so made is **as valid as if originally contained in the articles**.

Conclusion: The entrenchment clause is valid; Delta Pvt. Ltd. must obtain **95% member consent** (not merely a special resolution) to alter that entrenched article, and file the change with the Registrar.

> **Full-marks tip:** Name **Section 5(3)** for entrenchment and stress that the entrenched article needs the **higher (more restrictive) threshold**, not a bare special resolution; add the **15-day** filing requirement of Sec. 14(2).

Q14. Doctrine of Ultra Vires (marks: 5) [Theory + Practical]

Question: Explain the doctrine of ultra vires. Green Energy Ltd., whose object clause is limited to manufacturing solar panels, lent Rs. 20 lakh to a jute mill — an activity wholly outside its objects. Can the company or its members ratify this transaction? What is the effect on the borrower?

Model Answer: Meaning — Doctrine of Ultra Vires: "Ultra vires" means **beyond the powers**. A company can act only within the powers conferred by the **object clause of its memorandum (Section 4)**. Any act **outside the objects** is *ultra vires the company* and is **void ab initio**. The doctrine protects investors and creditors, ensuring company funds are used only for stated objects. *(Leading case: Ashbury Railway Carriage & Iron Co. v. Riche.)*

Consequences of an ultra vires act: 1. It is **void and cannot be ratified** even by **unanimous consent of all shareholders**. 2. Neither the company can enforce it against the other party, nor the other party against the company. 3. Property acquired under an ultra vires transaction still belongs to the company; ultra vires **borrowing** does not create a debtor–creditor relationship, but the lender may have **tracing/subrogation** remedies if money is identifiable or used to pay lawful debts.

Analysis: Lending to a jute mill is **outside** Green Energy Ltd.'s solar-panel object → the loan is **ultra vires and void**. It **cannot be ratified** by the company or its members. However, the company (lender here) can pursue **equitable remedies** — e.g., recover the identifiable money or property (tracing).

Conclusion: The transaction is void, **incapable of ratification**, but Green Energy Ltd. may recover the sum through tracing/subrogation to the extent the money is identifiable.

> **Full-marks tip:** State clearly that an ultra vires act is **void and NOT ratifiable even by all members** (the classic examiner trap), cite **Ashbury v. Riche**, and mention the tracing remedy.

Q15. Doctrine of Indoor Management (marks: 5) [Theory + Practical]

Question: Explain the doctrine of indoor management and its exceptions. Mr. A, dealing with Zenith Ltd., received a document signed by two directors and the "secretary" on behalf of the company; in fact the appointment of those directors was defective — a matter of internal procedure not known to A. Is the company bound?

Model Answer: Doctrine — Rule in Royal British Bank v. Turquand ("Turquand's Rule"): While persons dealing with a company are deemed to have **constructive notice** of its *public* documents (MOA & AOA), they are **entitled to assume that all matters of internal procedure ("indoor management") have been duly complied with**. Outsiders can see the articles but cannot know whether internal steps (board sanction, quorum, valid appointments) were actually followed; hence they are protected.

Exceptions (doctrine NOT available): 1. **Knowledge of irregularity** — the outsider actually knew of the internal defect. 2. **Suspicion / negligence** — circumstances were suspicious and the outsider failed to make inquiry. 3. **Forgery** — the doctrine does not validate a **forged** document (Ruben v. Great Fingall Consolidated). 4. **Acts outside apparent/ostensible authority** of the officer. 5. **No knowledge of the articles at all** / where the document itself would put a reasonable person on inquiry.

Analysis: The **defective appointment of directors is a matter of internal management**. Mr. A, acting in good faith and without knowledge of the defect or any suspicious circumstance, is **entitled to assume regular appointment**. No forgery is involved.

Conclusion: The doctrine of indoor management applies; **Zenith Ltd. is bound** by the document as against Mr. A.

> Full-marks tip: Cite **Turquand's Rule** and, crucially, list the exceptions (especially **forgery** and **knowledge of irregularity**) — the marks are shared between the rule and its exceptions.

Q16. Lifting of the Corporate Veil (marks: 5) [Theory]

Question: "A company is a separate legal entity distinct from its members." Explain, and state any four circumstances in which the courts or statute lift the corporate veil.

Model Answer: Principle — Separate Legal Entity: On incorporation (Section 9), a company becomes a **body corporate** — a legal person **distinct from its members**, capable of holding property, suing and being sued in its own name, with **perpetual succession** and, where limited, **limited liability**. *(Salomon v. Salomon & Co. Ltd. — the company is distinct even from a one-man majority shareholder.)*

Lifting the corporate veil means disregarding the separate personality to reach the persons behind the company. Circumstances (any four): 1. **Fraud or improper conduct** — where incorporation is a mere device to defraud creditors or defeat law (Gilford Motor Co. v. Horne). 2. **Enemy character in times of war** — where controllers are enemy aliens (Daimler Co. v. Continental Tyre & Rubber Co.). 3. **Tax evasion** — where the company is used to evade taxes (Sir Dinshaw Maneckjee Petit's case). 4. **Sham or facade / avoidance of legal obligations** — where the company is a mere cloak. 5. **Statutory lifting** — e.g., **Section 3A** (members below minimum > 6 months → personal liability); **Section 339** (fraudulent conduct of business during winding up); **Section 251(2)** (application for strike-off with fraudulent intent); misstatement in prospectus, etc.

Conclusion: Though the company is a separate legal entity, courts and statute pierce the veil to prevent **abuse of the corporate form**.

> Full-marks tip: Anchor the principle in **Salomon v. Salomon**, then give **named cases/sections** for the veil-lifting grounds — vague grounds without cases/sections score partially.

Q17. Rectification of name — Section 16 (marks: 4) [Practical]

Question: "Infosys Solutions Ltd." was registered as a company. The registered proprietor of the trademark "Infosys" applies to the Central Government within two years of the company's registration, contending the name is too identical to its trademark. Advise on the powers of the Central Government and the time within which the company must comply.

Model Answer: Issue: Can the Central Government direct a change of name on a trademark owner's complaint, and within what period must the company comply?

Provision — Section 16(1): - **Sec. 16(1)(a):** If, through inadvertence or otherwise, a company is registered with a name that is **identical to / too nearly resembles** an existing company's name, the Central Government may direct it to change the name; the company must change it (by ordinary resolution) **within 3 months** of the direction. - **Sec. 16(1)(b):** If the name is **identical to or too nearly resembles a registered trademark**, and the **proprietor of that trademark applies to the Central Government within 3 years** of incorporation/registration, the CG may direct the company to change its name; the company must comply **within 3 months** of the direction.

Analysis: The trademark owner of "Infosys" applied **within 2 years** (i.e., within the permitted **3-year** window). Hence the Central Government may direct "Infosys Solutions Ltd." to change its name.

Consequences of default — Sec. 16(3): If the company defaults, a **new name is allotted** by the Registrar (in the form "ORDNC......"), and the Registrar enters the new name in the register and issues a fresh certificate. (Penalty provisions also apply.)

Conclusion: The application being within 3 years is valid; the company must change its name **within 3 months** of the CG's direction, failing which a name is allotted by the Registrar.

> **Full-marks tip:** Distinguish the two limbs — resemblance to a company (16(1)(a)) vs a trademark (16(1)(b), **application within 3 years**) — and state the **3-month** compliance period and the default consequence under 16(3).

Q18. Service of documents — Section 20 (marks: 4) [Theory]

Question: State the modes by which a document may be served (a) on a company, and (b) by a company on its members, under Section 20 of the Companies Act, 2013.

Model Answer: Provision — Section 20(1) — Service ON a company: A document may be served on a company or an officer thereof by **sending it to the company or officer at the registered office** by — - **registered post**, or - **speed post**, or - **courier service**, or - leaving it at the **registered office**, or - by means of such **electronic or other mode** as may be prescribed.

Section 20(2) — Service BY a company on a member: A document may be served by a company on any member by — - sending it by **post / registered post / speed post / courier**, or - **delivering at his registered address**, or - through **electronic mode** (e-mail) or such other mode as may be prescribed. Where a member **requests delivery by a particular mode** (on payment of prescribed fee), the document shall be served in **that requested mode**.

Explanation: Where a document is sent by post, service is deemed effected in the ordinary course of post, and posting is complete on properly addressing, prepaying and posting the document.

Conclusion: Section 20 recognises both **physical** and **electronic** modes for serving documents on and by a company.

> **Full-marks tip:** List **all** the modes for both directions (post/registered/speed/courier/leaving-at-office/electronic) and add the **member's right to demand a specific mode on payment** — that special point often carries a mark.

Q19. Dormant Company (marks: 4) [Theory]

Question: What is a "dormant company" under the Companies Act, 2013? State two situations in which a company may obtain dormant status.

Model Answer: Provision — Section 455: A company may apply to the Registrar for the status of a **dormant company** where — 1. It is formed and registered under the Act for a **future project** or to **hold an asset or intellectual property**, and has **no significant accounting transaction**, or 2. It is an **inactive company**.

Key definitions (Explanation to Sec. 455): - **"Inactive company"** means a company which has **not been carrying on any business or operation**, or has **not made any significant accounting transaction** during the **last two financial years**, or has **not filed financial statements and annual returns** during the last two financial years. - **"Significant accounting transaction"** means any transaction **other than** (i) payment of fees to the Registrar, (ii) payments to fulfil requirements of the Act/any other law, (iii) allotment of shares to fulfil the requirements of the Act, and (iv) payments for maintenance of its office and records.

Effect: On such application (by special resolution / consent of 3/4th shareholders), the Registrar allows the status and enters the company's name in a **register of dormant companies**. A dormant company must retain a **minimum number of directors**, file the prescribed **"return of dormant company"** annually, and comply with reduced requirements.

> Full-marks tip: Cite **Section 455** and define **"inactive company"** and **"significant accounting transaction"** precisely — the excluded transactions list is the marks-rich part.

Q20. Public vs Private company — distinction (marks: 4) [Theory]

Question: Distinguish between a public company and a private company under the Companies Act, 2013 on any four points.

Model Answer: Provisions — Section 2(68) (private) and Section 2(71) (public):

Basis	Private Company [Sec. 2(68)]	Public Company [Sec. 2(71)]
Minimum members	**2**	**7**
Maximum members	**200** (excluding present/eligible past employee-members)	**No limit**
Minimum directors	**2** (Sec. 149)	**3** (Sec. 149)
Transfer of shares	**Restricted** by its articles	**Freely transferable**
Invitation to public	**Prohibited** from inviting public to subscribe securities	**May** invite public (via prospectus)
Name	Must end with **"Private Limited"**	Must end with **"Limited"**
Commencement / statutory meeting etc.	Enjoys certain **exemptions/privileges**	Subject to stricter compliance

(A private company that is a subsidiary of a public company is deemed to be a public company under the proviso to Sec. 2(71).)

Conclusion: The core distinctions lie in **membership limits, share-transfer restriction, prohibition on public invitation, and minimum directors**.

> **Full-marks tip:** Present the answer as a **table** with the **section references** (2(68)/2(71), directors under 149) and give at least **four** clear points of difference; add the deemed-public-company proviso for the extra edge.

End of Part 1/5 — 20 questions. Next parts: Prospectus & Allotment / Share Capital & Debentures (Part 2), Deposits, Charges, Management & Administration (Part 3), Accounts, Audit, Dividend (Part 4), and General Clauses Act, Interpretation of Statutes & FEMA (Part 5).

Slice covered: Share Capital & Debentures (Sec 43–72), Acceptance of Deposits by Companies (Sec 73–76A), and Registration of Charges (Sec 77–87) of the Companies Act, 2013.

Q1. Application of Securities Premium (marks: 5) [Practical]

Question: Bright Ltd. has a balance of Rs. 40,00,000 in its Securities Premium Account. The Board proposes to use this account for the following purposes: (i) paying dividend to equity shareholders; (ii) issuing fully paid bonus shares; (iii) writing off preliminary expenses of the company; (iv) writing off the commission paid on issue of debentures; and (v) meeting the premium payable on redemption of preference shares. Examine the validity of each proposed application under the Companies Act, 2013.

Model Answer: Relevant provision — Section 52 of the Companies Act, 2013 (application of securities premium): Where a company issues shares at a premium, the amount of premium must be transferred to the "Securities Premium Account", which may be applied **only** for the purposes specified in Section 52(2): 1. Issuing **fully paid bonus shares** to members; 2. Writing off **preliminary expenses** of the company; 3. Writing off **expenses, commission or discount** on any issue of shares or debentures; 4. Providing for the **premium payable on redemption** of redeemable preference shares or debentures; 5. Purchase of its own shares/securities (**buy-back**) under Section 68.

Analysis of each proposal: - (i) **Dividend to equity shareholders — Not valid.** Payment of dividend is not among the permitted uses; securities premium is a capital reserve, not a distributable profit. - (ii) **Bonus shares — Valid** [Sec 52(2)(a)]. - (iii) **Preliminary expenses — Valid** [Sec 52(2)(b)]. - (iv) **Commission on issue of debentures — Valid** [Sec 52(2)(c)]. - (v) **Premium on redemption of preference shares — Valid** [Sec 52(2)(d)].

Conclusion: Proposals (ii), (iii), (iv) and (v) are **valid**; proposal (i) (payment of dividend) is **not permitted** under Section 52.

> **Full-marks tip:** State Section 52 and list all five permitted uses, then map each proposal to a clause — marks are per correct treatment, so evaluate every item, not just the invalid one.

Q2. Issue of Shares at a Discount (marks: 4) [Practical]

Question: Progress Ltd., facing a depressed share price, proposes to issue 1,00,000 equity shares of face value Rs. 10 each at Rs. 8 per share (i.e., at a discount of Rs. 2). The directors argue that a discount issue is permitted if approved by a special resolution and sanctioned by the Tribunal. Advise the company on the legality of the proposal.

Model Answer: Relevant provision — Section 53 of the Companies Act, 2013: Except as provided in Section 54 (sweat equity shares), a company **shall not issue shares at a discount**. Any share issued at a discount is **void**.

Explanation: - The blanket prohibition applies irrespective of any special resolution or Tribunal sanction — there is **no** enabling mechanism to issue ordinary shares below par (unlike the position under the 1956 Act). - The only exceptions are: (a) sweat equity shares under Section 53; and (b) issue of shares to creditors on conversion of debt into shares under a statutory resolution plan/debt restructuring (proviso inserted by Amendment). - **Penalty [Sec 53(3)]:** The company and every officer in default are punishable with a fine which may extend to the amount raised by the issue of shares at a discount or Rs. 5,00,000, whichever is less; the company shall also refund the monies received with interest at 12% p.a.

Conclusion: The proposed issue at Rs. 8 (a discount of Rs. 2) is **void and illegal**. The directors' belief is incorrect — no special resolution or Tribunal approval can validate an ordinary discount issue.

> Full-marks tip: Say clearly that the issue is "void" and quote Section 53 — merely calling it "not allowed" without the section and the void consequence loses marks.

Q3. Issue of Bonus Shares (marks: 5) [Practical]

Question: Sunrise Ltd. wishes to issue bonus shares to its equity shareholders. It proposes to use the following sources: (i) balance in the Revaluation Reserve created on revaluation of its land; (ii) balance in the Securities Premium Account; and (iii) the General Reserve (free reserves). The company has partly paid-up shares outstanding and has defaulted in payment of interest on its public deposits. Examine the validity of the proposal under the Companies Act, 2013.

Model Answer: Relevant provision — Section 63 of the Companies Act, 2013 (issue of bonus shares): A company may capitalise its profits/reserves for issuing fully paid-up bonus shares out of: (a) its **free reserves**; (b) the **securities premium account**; or (c) the **capital redemption reserve account**.

Conditions [Sec 63(2)]: No bonus issue shall be made unless — 1. It is **authorised by the articles**; 2. It is **recommended by the Board** and **authorised in general meeting**; 3. The company has **not defaulted** in payment of interest or principal on **fixed deposits or debt securities**; 4. The company has **not defaulted** in payment of statutory dues to employees (PF, gratuity, bonus); 5. **Partly paid-up shares** outstanding are **made fully paid-up**. Further, bonus shares **cannot be issued out of reserves created by revaluation of assets** [Sec 63(1) proviso], and cannot be issued in **lieu of dividend**.

Analysis: - (i) **Revaluation Reserve — Not permitted.** Bonus cannot be issued out of reserves created by revaluation of assets. - (ii) **Securities Premium — Permitted** source [Sec 63(1)(b)]. - (iii) **General Reserve (free reserves) — Permitted** source [Sec 63(1)(a)]. - However, the company **has defaulted in payment of interest on public deposits**, and has **partly paid-up shares** outstanding. Therefore, until the default is made good and the partly paid shares are made fully paid, the company is **debarred** from issuing bonus shares.

Conclusion: The proposal is **invalid** as framed — revaluation reserve cannot be used, and the default on deposit interest plus the partly paid shares disqualify the company from making a bonus issue until those defects are cured.

> **Full-marks tip:** Cover both the *source* test and the *eligibility conditions*; students often list valid sources but forget the deposit-default and partly-paid-share bars, which carry marks here.

Q4. Further Issue of Capital — Rights Issue (marks: 5) [Practical]

Question: XYZ Ltd. (a company with a share capital) proposes to raise further capital by issuing 2,00,000 equity shares. It intends to offer these shares only to a select group of new investors, ignoring the existing shareholders, to bring in fresh expertise. Advise the company whether it can do so, and state the procedure if the shares are instead offered to existing shareholders.

Model Answer: Relevant provision — Section 62 of the Companies Act, 2013 (further issue of share capital): Where a company having a share capital proposes to increase its subscribed capital by issue of further shares, such shares **must first be offered to existing equity shareholders** in proportion to their existing shareholding (a "rights issue") — unless the company routes the issue through: - **ESOP** under Section 62(1)(b) (special resolution), or - **Preferential allotment / private placement** to any persons under Section 62(1)(c) by a **special resolution** and subject to valuation by a registered valuer.

Procedure for a rights issue [Sec 62(1)(a)]: 1. Offer by **notice** specifying the number of shares offered and giving a period to accept — **not less than 15 days and not more than 30 days** from the date of the offer (for specified/private companies, a shorter period is allowed if 90% members consent); 2. The offer shall be deemed to include a **right of renunciation** in favour of any other person, unless the articles otherwise provide; 3. If the offer is **not accepted** within the period, it is deemed **declined**, and the Board may then dispose of the unsubscribed shares in a manner **not disadvantageous** to the shareholders and the company.

Conclusion: XYZ Ltd. **cannot** simply ignore existing shareholders and allot to a select group under the rights route. To allot to outside investors, it must pass a **special resolution** for a **preferential allotment** under Section 62(1)(c). If offered to existing shareholders, it must follow the rights-issue procedure above.

> **Full-marks tip:** State the 15-to-30-day window and the right of renunciation precisely — these two specifics are the commonly tested full-mark points.

Q5. Buy-back of Shares — Computation of Limits (marks: 6) [Practical]

Question: The following figures are extracted from the balance sheet of Zenith Ltd.: - Paid-up equity share capital (2,00,000 shares of Rs. 10 each): Rs. 20,00,000 - General Reserve: Rs. 45,00,000 - Securities Premium Account: Rs. 5,00,000 - Total borrowings (secured + unsecured): Rs. 90,00,000

The company proposes to buy back its equity shares at Rs. 30 per share, authorised by its articles and a special resolution. Determine the **maximum number of shares** the company can buy back in the current financial year and examine whether all statutory conditions are satisfied.

Model Answer: Relevant provision — Section 68 of the Companies Act, 2013 (power to buy-back). A company may buy back its own shares out of (i) free reserves, (ii) securities premium account, or (iii) proceeds of a fresh issue, subject to the conditions in Section 68(2).

Working Note 1 — Resources test [Sec 68(2)(c)]: Buy-back must not exceed **25% of the aggregate of paid-up capital and free reserves** (free reserves here includes securities premium). Aggregate = 20,00,000 + 45,00,000 + 5,00,000 = **Rs. 70,00,000** 25% of 70,00,000 = **Rs. 17,50,000** (maximum amount that can be deployed).

Working Note 2 — Equity quantity test [proviso to Sec 68(2)(c)]: For buy-back of *equity* shares in any financial year, 25% is applied to the **total paid-up equity capital** of that year. 25% of paid-up equity capital = 25% × 20,00,000 = Rs. 5,00,000 (nominal value) Maximum number of shares = 5,00,000 ÷ Rs. 10 = **50,000 shares**.

Working Note 3 — Amount at buy-back price: 50,000 shares × Rs. 30 = Rs. 15,00,000. This is **within** the resource limit of Rs. 17,50,000 (WN 1). Both tests are therefore satisfied by buying 50,000 shares.

Working Note 4 — Debt–equity ratio test [Sec 68(2)(d)]: After buy-back, the ratio of debts to (paid-up capital + free reserves) must not exceed **2:1**. Shareholders' funds after buy-back = 70,00,000 − 15,00,000 (amount paid out) = Rs. 55,00,000 Ratio = 90,00,000 ÷ 55,00,000 = **1.64 : 1**, which is **less than 2:1**. Condition satisfied.

Other conditions checked: authorised by articles ✓; special resolution passed ✓ (required as buy-back exceeds 10%); shares are fully paid-up (assumed) ✓; buy-back to be completed within **1 year** of the special resolution.

Conclusion: Zenith Ltd. can buy back a **maximum of 50,000 equity shares** (costing Rs. 15,00,000), and all conditions of Section 68 are satisfied. *(Note: nominal value of Rs. 5,00,000 must be transferred to the Capital Redemption Reserve under Section 69.)*

> **Full-marks tip:** Show BOTH the 25%-of-resources test and the 25%-of-paid-up-equity quantity test as separate working notes, and verify the post-buy-back 2:1 debt-equity ratio — dropping any one test loses a mark each.

Q6. Redemption of Preference Shares (marks: 6) [Practical]

Question: Meridian Ltd. has 50,000 10% Redeemable Preference Shares of Rs. 100 each, which are due for redemption at a premium of 10%. To fund the redemption, the company makes a fresh issue of 20,000 equity shares of Rs. 100 each at par. Balances available: General Reserve Rs. 40,00,000 and Securities Premium Rs. 3,00,000. Determine the amount to be transferred to the Capital Redemption Reserve and the treatment of the premium on redemption.

Model Answer: Relevant provision — Section 55 of the Companies Act, 2013 (redemption of preference shares): - Preference shares can be redeemed **only if fully paid**; - Redemption must be out of **(a) profits available for dividend** or **(b) proceeds of a fresh issue** of shares made for the purpose; - Where redeemed **out of profits**, a sum equal to the **nominal value** of the shares redeemed must be transferred to the **Capital Redemption Reserve (CRR)** account [Sec 55(2)(c)]; - The **premium on redemption** is to be provided out of profits, or out of the **securities premium account** [read with Section 52].

Working Note 1 — Nominal value to be redeemed: 50,000 × Rs. 100 = **Rs. 50,00,000**

Working Note 2 — Proceeds of fresh issue (nominal value): 20,000 × Rs. 100 = **Rs. 20,00,000**

Working Note 3 — Transfer to CRR [Sec 55(2)(c)]: Amount of redemption **not** covered by fresh issue proceeds must be transferred to CRR from free reserves. CRR = Nominal value redeemed − Fresh issue proceeds = 50,00,000 − 20,00,000 = **Rs. 30,00,000** (transferred from General Reserve).

Working Note 4 — Premium on redemption: 50,00,000 × 10% = **Rs. 5,00,000** This is provided first out of **Securities Premium (Rs. 3,00,000)** and the balance **Rs. 2,00,000** out of the **General Reserve / profits**.

Conclusion: - **Transfer to Capital Redemption Reserve = Rs. 30,00,000.** - **Premium on redemption (Rs. 5,00,000)** = Rs. 3,00,000 from Securities Premium + Rs. 2,00,000 from General Reserve.

> **Full-marks tip:** CRR equals nominal value redeemed *minus* nominal proceeds of the fresh issue — do not include the premium in the CRR figure; premium is handled separately via securities premium/profits.

Q7. Voting Rights of Preference Shareholders (marks: 4) [Practical]

Question: Alpha Ltd. has both equity and preference shareholders. The company has not paid the dividend on its cumulative preference shares for the last two financial years. At the ensuing general meeting, a resolution relating to the appointment of directors is to be considered. The preference shareholders claim the right to vote on this resolution. Examine their claim under the Companies Act, 2013.

Model Answer: Relevant provision — Section 47 of the Companies Act, 2013 (voting rights): - **Section 47(1):** Every member holding **equity shares** has a right to vote on every resolution, in proportion to his paid-up share of capital. - **Section 47(2):** A **preference shareholder** ordinarily has a right to vote **only on resolutions which directly affect the rights attached to his preference shares**, and on any resolution for winding up or repayment/reduction of capital. - **Proviso to Section 47(2):** However, where the **dividend on preference shares** (whether or not declared) is **in arrears for a period of two years or more**, such preference shareholders acquire the right to vote on **all resolutions** placed before the company.

Analysis: Alpha Ltd. has not paid the preference dividend for the **last two financial years**. The two-year arrears condition is therefore met, and the preference shareholders acquire the right to vote on **all** resolutions, including the appointment of directors.

Conclusion: The **claim of the preference shareholders is valid** — under the proviso to Section 47(2), they can vote on the resolution for appointment of directors.

> **Full-marks tip:** Anchor the answer to the "two years or more arrears" proviso to Section 47(2); merely stating the general rule that preference shares carry limited voting rights is incomplete.

Q8. Variation of Shareholders' Rights (marks: 4) [Practical]

Question: Delta Ltd. has issued Class A and Class B preference shares. The Board, by a board resolution, seeks to vary the rights attached to the Class A preference shares to reduce the rate of dividend. The articles authorise variation of class rights. Advise whether the Board can effect this change, and state the remedy available to dissenting shareholders.

Model Answer: Relevant provision — Section 48 of the Companies Act, 2013 (variation of shareholders' rights): - Rights attached to a class of shares may be varied **with the consent in writing of the holders of not less than three-fourths of the issued shares of that class**, OR by a **special resolution passed at a separate meeting** of the holders of that class [Sec 48(1)]; - If variation of one class affects the rights of **another class**, the consent of **three-fourths of that other class** is also required; - **Remedy for dissent [Sec 48(2)]:** Where holders of **not less than 10%** of the shares of that class **did not consent** to or vote in favour of the variation, they may **apply to the Tribunal** to have the variation cancelled, **within 21 days** after the consent/resolution. The Tribunal's decision is binding. No appeal shall lie beyond the Tribunal on this. The company must file the Tribunal order with the Registrar within 30 days.

Analysis: A mere **board resolution is insufficient**. Variation requires either written consent of **3/4th** of the Class A holders or a **special resolution** at a separate class meeting, even though the articles permit variation.

Conclusion: The Board **cannot** vary the Class A rights by a board resolution alone. It must obtain 3/4th consent or a special resolution of the class. Dissenting holders (holding at least **10%** of that class) may apply to the **Tribunal within 21 days** to cancel the variation.

> Full-marks tip: Quote both thresholds — "3/4th consent for variation" and "10% dissent / 21 days for the Tribunal remedy" — these two numbers are the marks.

Q9. Sweat Equity Shares (marks: 4) [Theory]

Question: State the conditions subject to which a company may issue sweat equity shares under the Companies Act, 2013. Also state what is meant by "sweat equity shares".

Model Answer: Meaning [Section 2(88)]: "Sweat equity shares" means equity shares issued by a company to its **directors or employees** at a **discount** or for **consideration other than cash**, for providing **know-how**, making available **intellectual property rights**, or **value additions**, by whatever name called.

Conditions for issue — Section 54(1): A company may issue sweat equity shares of a class already issued, if the following conditions are satisfied: 1. The issue is authorised by a **special resolution** passed by the company; 2. The resolution specifies the **number of shares, current market price, consideration** (if any), and the **class(es) of directors/employees** to whom they are to be issued; 3. Where equity shares are listed, the issue is in accordance with **SEBI regulations**; if not listed, in accordance with the prescribed **Rules** (Companies (Share Capital and Debentures) Rules, 2014).

Additional points (Rules): In a year, sweat equity shall not exceed **15%** of existing paid-up equity capital or shares of value **Rs. 5 crore**, whichever is higher; and shall not exceed **25%** of paid-up equity capital at any time (for start-ups, up to **50%** within 10 years of incorporation). Sweat equity shares carry a **lock-in of 3 years**.

> Full-marks tip: Give the Section 2(88) definition first (it is separately marked), then the Section 54 special-resolution condition — the definition and the "special resolution" requirement are the core scoring points.

Q10. Kinds of Share Capital (marks: 4) [Theory]

Question: Explain the kinds of share capital of a company limited by shares under the Companies Act, 2013.

Model Answer: Relevant provision — Section 43 of the Companies Act, 2013: The share capital of a company limited by shares shall be of **two kinds**:

(a) Equity share capital [Sec 43(a)] — - (i) with **voting rights**; or - (ii) with **differential rights** as to dividend, voting or otherwise, in accordance with prescribed Rules (DVR shares).

(b) Preference share capital [Sec 43(b)] — that part of the issued share capital which carries or would carry a **preferential right** with respect to: - (i) **payment of dividend** — a fixed amount or a fixed rate; and - (ii) **repayment of capital**, on winding up, ahead of equity shareholders.

Note: Section 43 does **not apply** to a **private company** where its memorandum or articles so provide (exemption notification).

> Full-marks tip: Split each kind into its sub-clauses (equity: voting/DVR; preference: dividend + repayment preference) and mention the private-company exemption for a complete answer.

Q11. Reduction of Share Capital (marks: 4) [Practical]

Question: Nova Ltd. wishes to reduce its share capital by cancelling paid-up capital which is lost or unrepresented by available assets. The company has arrears of repayment of certain deposits accepted by it. Advise the company on the procedure and whether the reduction can be effected in these circumstances.

Model Answer: Relevant provision — Section 66 of the Companies Act, 2013 (reduction of share capital): Subject to confirmation by the **Tribunal**, a company limited by shares may, by a **special resolution**, reduce its share capital in any manner, including by cancelling paid-up capital that is **lost or unrepresented by available assets**.

Procedure: 1. Pass a **special resolution** for reduction; 2. Apply to the **Tribunal (NCLT)** for confirmation; 3. The Tribunal gives notice to the **Central Government, ROC, SEBI (for listed)** and **creditors**, and considers their representations; 4. The Tribunal may confirm the reduction on such terms as it thinks fit; the order is filed with the Registrar who issues a certificate.

Restriction [proviso to Sec 66(1)]: No reduction shall be made if the company is in arrears in the repayment of any deposits accepted by it or the interest payable thereon.

Analysis: Since Nova Ltd. is **in arrears in the repayment of deposits**, the statutory bar in the proviso to Section 66(1) applies.

Conclusion: Nova Ltd. **cannot** carry out the reduction of capital until it clears the arrears of deposits (and interest). Once the arrears are cleared, it may proceed by special resolution and Tribunal confirmation.

> **Full-marks tip:** The examiner is testing the deposit-arrears bar in the proviso to Section 66(1); do not just recite the special-resolution + Tribunal procedure.

Q12. Debentures and Voting Rights (marks: 4) [Theory]

Question: "A company may issue debentures with voting rights." Comment on the correctness of this statement. Also state the position regarding the creation of a Debenture Redemption Reserve.

Model Answer: Relevant provision — Section 71 of the Companies Act, 2013 (debentures): - **Section 71(2):** No company shall issue any **debentures carrying voting rights**. Therefore, the statement is **incorrect** — debentures cannot carry voting rights, since a debenture holder is a **creditor**, not a member. - **Section 71(1):** A company may issue debentures with an option to convert into shares, wholly or partly; conversion into shares requires a **special resolution**.

Debenture Redemption Reserve (DRR) — Section 71(4): Where debentures are issued, the company shall **create a Debenture Redemption Reserve** out of its **profits available for dividend**, and the amount credited shall **not be utilised** except for the redemption of debentures. (As per the Rules, DRR is required to be maintained for certain classes of companies at prescribed percentages, and the company must also invest/deposit a specified sum before 30th April each year in specified securities for debentures maturing in the following year.)

Debenture Trustee [Sec 71(5)]: Where debentures are offered to the public or to more than **500 persons**, a **debenture trustee** must be appointed before issue.

Conclusion: The statement is **incorrect** — debentures cannot carry voting rights [Sec 71(2)]; and a DRR must be created out of profits available for dividend [Sec 71(4)].

> **Full-marks tip:** State the exact prohibition "no debentures with voting rights (Sec 71(2))" and tie DRR to "profits available for dividend" — both are discrete marks.

Q13. Transfer and Transmission of Securities (marks: 4) [Practical]

Question: Mr. Raj lodged a duly executed instrument of transfer of 500 shares of Vision Ltd. with the company on 1st June. The company neither registered the transfer nor sent a notice of refusal for over two months. Separately, on the death of a shareholder, his legal heir seeks transmission of shares. Explain the time limits the company must observe for (a) delivery of certificates on transfer and (b) sending notice of refusal to register a transfer.

Model Answer: Relevant provision — Section 56 of the Companies Act, 2013 (transfer and transmission of securities): - A **transfer** requires a proper instrument of transfer (Form SH-4), duly stamped, executed by/on behalf of transferor and transferee, delivered to the company **within 60 days** of execution [Sec 56(1)]. **Transmission** by operation of law (death, insolvency) does not require an instrument — intimation with proof of title suffices. - **Delivery of certificates [Sec 56(4)]:** Every company shall deliver the certificates of securities: - on **allotment** — within **2 months** from allotment; - on **transfer/transmission** — within **1 month** from receipt of the instrument/intimation; - on **allotment of debentures** — within **6 months**. - **Notice of refusal [Sec 56(4) read with Sec 58]:** A company (private company or where transfer is refused) must send **notice of refusal** to the transferor and transferee, giving reasons, **within 30 days** from the date on which the instrument was delivered.

Analysis: Vision Ltd. neither registered the transfer nor sent a refusal notice within 30 days. The transferee's remedy is to **appeal to the Tribunal** under **Section 58** — within **30 days of receipt of notice of refusal**, or where no notice is sent, within **60 days** from the date the instrument was delivered.

Conclusion: (a) Certificates on transfer/transmission must be delivered within **1 month**; (b) notice of refusal must be sent within **30 days**. Since Vision Ltd. failed on both, the transferee may seek relief from the **Tribunal under Section 58**.

> **Full-marks tip:** Memorise the delivery-of-certificate timelines (allotment 2 months, transfer 1 month, debentures 6 months) and the 30-day refusal-notice limit — these exact periods are what earn marks.

Q14. Acceptance of Deposits by a Private Company (marks: 5) [Practical]

Question: Comfort Pvt. Ltd. proposes to accept deposits from its members. Its latest audited figures are: Paid-up share capital Rs. 40,00,000; Free reserves Rs. 20,00,000; Securities Premium Account Rs. 10,00,000. Determine the maximum amount of deposits the company can accept from its members, and state whether it can accept deposits from the general public.

Model Answer: Relevant provision — Section 73 of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014: - **Section 73(1):** A company (other than a banking/NBFC and specified companies) is **prohibited from accepting deposits from the public**. - **Section 73(2):** A company may accept deposits from its **members** by passing a resolution in general meeting and subject to prescribed conditions. - **Rule 3(3):** A **private company** may accept deposits from its members up to **100% of the aggregate of paid-up share capital, free reserves and securities premium account**. *(Certain private companies — e.g., start-ups for 5 years, or those satisfying prescribed conditions — may accept beyond this limit.)*

Working Note — Maximum deposits from members: Aggregate = Paid-up capital + Free reserves + Securities premium = 40,00,000 + 20,00,000 + 10,00,000 = **Rs. 70,00,000** Maximum from members = 100% × 70,00,000 = **Rs. 70,00,000**

As to deposits from the public: Comfort Pvt. Ltd. is a **private company** and is **not an "eligible company"** under Section 76. Hence it **cannot** accept deposits from the general public — only from its members.

Conclusion: Comfort Pvt. Ltd. can accept a **maximum of Rs. 70,00,000** as deposits from its **members**, and it **cannot** accept deposits from the general public.

> Full-marks tip: Include the securities premium in the base and state the 100% limit for private companies; explicitly note that a private company cannot take public deposits (only Section 76 "eligible" public companies can).

Q15. Deposits by an Eligible (Public) Company (marks: 5) [Practical]

Question: Titan Ltd., a public company, has a net worth of Rs. 120 crore. Its aggregate of paid-up share capital, free reserves and securities premium is Rs. 200 crore. Having passed the requisite special resolution, it proposes to accept deposits. Determine the maximum deposits it can accept (i) from its members and (ii) from the public, and state the eligibility criterion.

Model Answer: Relevant provision — Section 76 of the Companies Act, 2013 read with Rule 3 of the Companies (Acceptance of Deposits) Rules, 2014 (eligible company): - An **"eligible company"** is a **public company** having a **net worth of not less than Rs. 100 crore** OR a **turnover of not less than Rs. 500 crore**, which has, by a **special resolution**, and after filing it with the Registrar, obtained approval to accept deposits from the public. - **Limits [Rule 3(4)]:** An eligible company may accept deposits — - from its **members**: up to **10%** of the aggregate of paid-up capital, free reserves and securities premium account; - from the **public / other than members**: up to **25%** of the said aggregate. *(A Government eligible company may accept up to 35% from the public.)*

Analysis of eligibility: Titan Ltd. is a public company with a net worth of **Rs. 120 crore** (≥ Rs. 100 crore) and has passed a **special resolution** — hence it is an **eligible company** under Section 76.

Working Note — Maximum deposits (aggregate base = Rs. 200 crore): (i) From members = 10% × 200 crore = **Rs. 20 crore** (ii) From public = 25% × 200 crore = **Rs. 50 crore**

Conclusion: Titan Ltd. is an eligible company and may accept a **maximum of Rs. 20 crore from members** and **Rs. 50 crore from the public**.

> Full-marks tip: State the eligibility test (net worth ≥ 100 cr or turnover ≥ 500 cr) and apply the two distinct percentages — 10% members, 25% public — do not merge them into one figure.

Q16. Conditions for Accepting Deposits (marks: 5) [Theory]

Question: State the conditions that a company must comply with under Section 73(2) of the Companies Act, 2013 before accepting deposits from its members.

Model Answer: Relevant provision — Section 73(2) of the Companies Act, 2013: A company may accept deposits from its members on passing a resolution in general meeting and subject to the following conditions: 1. **Issue of circular** to members showing the **financial position** of the company, the **credit rating** obtained, the total number of depositors, and the amount due in respect of earlier deposits; 2. **Filing**

a copy of the circular with the **Registrar** at least 30 days before the date of issue of the circular; 3. **Depositing, on or before 30th April each year, a sum of not less than 20%** of the amount of deposits **maturing during the following financial year** in a separate bank account with a scheduled bank — the **"Deposit Repayment Reserve Account"** [Sec 73(2)(c)]; 4. **Certifying** that the company has **not committed any default** in the repayment of deposits or interest; (where a default was made good, five years must have elapsed); 5. **Providing security** (if any) for the due repayment of the deposit and interest, and creating a charge on assets — otherwise the deposit is treated as **unsecured**; 6. Provision of **deposit insurance** *(this requirement has been kept in abeyance)*.

Term of deposits: Deposits shall be for a term of **not less than 6 months and not more than 36 months** (short-term deposits of 3–6 months allowed up to 10% of capital+reserves for meeting short-term needs).

> **Full-marks tip:** The "20% Deposit Repayment Reserve, on or before 30th April" and the credit-rating circular are the marks-heavy conditions — state the 20% figure and the date explicitly.

Q17. Meaning of "Deposit" — Exclusions (marks: 4) [Theory]

Question: Under the Companies (Acceptance of Deposits) Rules, 2014, the term "deposit" includes any receipt of money by way of deposit or loan, but certain amounts are excluded. List any six amounts that are **not** regarded as deposits.

Model Answer: Relevant provision — Rule 2(1)(c) of the Companies (Acceptance of Deposits) Rules, 2014 (read with Section 2(31)): "Deposit" includes any receipt of money by way of deposit or loan or in any other form by a company, but does **not** include the following (amongst others): 1. Any amount received from the **Central Government / State Government**, or guaranteed by them, or from a local/statutory authority; 2. Any amount received from **foreign governments/foreign banks/international financial institutions** (subject to FEMA); 3. Any amount received as a **loan from a banking company** or from the SBI or a co-operative bank; 4. Any amount received as a **loan from a public financial institution / insurance company / scheduled bank**; 5. Any amount received against **issue of commercial paper** or other instruments issued per RBI guidelines; 6. Any amount received from **another company** (inter-corporate deposits); 7. Any amount received towards **subscription to securities**, including share application money, pending allotment (if allotment made within 60 days); 8. Any amount received from a **director** of the company (or a member of a private company), who furnishes a declaration that it is not out of borrowed funds; 9. Any amount raised by issue of **secured bonds/debentures** or listed unsecured debentures; 10. Any **non-interest bearing security deposit** from an employee (not exceeding annual salary), or advance for supply of goods/services.

(Any six of the above earn full marks.)

> **Full-marks tip:** Give at least six distinct exclusions with the source identified — government, banks, financial institutions, other companies, directors, and share application money are the safest, cleanest six.

Q18. Registration of Charges — Time Limit (marks: 5) [Practical]

Question: Pioneer Ltd. created a charge on its immovable property in favour of a bank on 10th January 2024 to secure a term loan. Due to an oversight, the company failed to register the charge with the Registrar. The oversight was noticed on 25th March 2024. Advise the company on the time limits for registration of the charge and the consequences of non-registration.

Model Answer: Relevant provision — Section 77 of the Companies Act, 2013 (duty to register charges): - It is the duty of a company creating a charge to **register the particulars of the charge** (in Form CHG-1 / CHG-9) with the **Registrar within 30 days** of its creation [Sec 77(1)]. - **For charges created on or after 2nd November 2018:** if not registered within 30 days, the Registrar may, on application, allow registration within a **further period of 60 days** (i.e., total up to **120 days** from creation) on payment of **ad valorem fees** [first & second provisos to Sec 77(1)].

Analysis: The charge was created on **10th January 2024**. The 30-day period expired on 9th February 2024. As the default was noticed on 25th March 2024 (within the extended 60-day window), Pioneer Ltd. can still apply to the Registrar and get the charge registered within **120 days** of creation (i.e., up to about 9th May 2024) on payment of **ad valorem** additional fees.

Consequences of non-registration [Sec 77(3) & Sec 78]: - Unless registered and a **certificate of registration** issued, the charge is **not taken into account by the liquidator or any other creditor** — i.e., the charge becomes **void against the liquidator and other creditors** (the underlying debt remains payable and immediately recoverable). - If the company fails to register, the **person in whose favour the charge is created** (the bank) may apply for registration under **Section 78**, and recover the fees from the company. - **Penalty [Sec 86]:** the company and every officer in default are liable to penalty.

Conclusion: Pioneer Ltd. should apply to the Registrar to register the charge within **120 days** of 10th January 2024 with ad valorem fees. If it does not, the charge is **void against the liquidator/creditors**, and the bank may itself register it under Section 78.

> Full-marks tip: For post-2/11/2018 charges give the "30 days + further 60 days (total 120) with ad valorem fees" structure, and state the "void against liquidator and other creditors" consequence — both are separately marked.

Q19. Satisfaction of Charge (marks: 4) [Practical]

Question: Horizon Ltd. fully repaid a secured loan on 5th February 2024, thereby satisfying the charge created in favour of the lender. The company forgot to intimate the Registrar. It approaches you on 20th March 2024. Advise the company on its obligation regarding satisfaction of the charge and the applicable time limit.

Model Answer: Relevant provision — Section 82 of the Companies Act, 2013 (company to report satisfaction of charge): - A company shall give **intimation to the Registrar** of the **payment or satisfaction in full** of any registered charge (in Form CHG-4) **within 30 days** from the date of such payment or satisfaction [Sec 82(1)]. - **Proviso:** The Registrar may, on an application by the company or the charge-holder, allow the intimation of satisfaction to be made **within a further period of 300 days** on payment of additional fees. - **Procedure [Sec 82(2) / Sec 83]:** On receipt of intimation, the Registrar issues a **notice to the holder** of the charge calling for a show cause within 14 days; if no cause is shown, the Registrar records a **memorandum of satisfaction** and informs the company.

Analysis: The charge was satisfied on **5th February 2024**; the 30-day period ended on 6th March 2024. As the company approached on **20th March 2024**, the 30-day limit has lapsed, but it can still file **Form CHG-4** using the **further 300-day** window on payment of additional fees.

Conclusion: Horizon Ltd. must intimate the Registrar of the satisfaction of the charge in **Form CHG-4 within 30 days**; being late, it should now file within the **extended 300-day** period with additional fees, whereupon the Registrar will record a memorandum of satisfaction.

> **Full-marks tip:** State the "30 days, extendable to 300 days with additional fees" limit for satisfaction under Section 82 — do not confuse it with the creation timeline under Section 77.

Q20. Rectification and Punishment for Charge Defaults (marks: 4) [Practical]

Question: Summit Ltd. inadvertently omitted to file particulars of a charge, and the time allowed under Section 77 has expired. The omission was accidental and not likely to prejudice creditors or shareholders. Advise the company on the remedy available to have the register of charges rectified, and state the penalty for contravention.

Model Answer: Relevant provision — Section 87 of the Companies Act, 2013 (rectification by Central Government in register of charges): The **Central Government** (powers delegated to the **Regional Director**), on being satisfied that: - the **omission** to file particulars of a charge (creation/modification) within the time allowed, **or** - the **omission or misstatement** of any particular in any filing with the Registrar, was **accidental** or **due to inadvertence** or some other **sufficient cause**, or is **not of a nature to prejudice** the position of creditors or shareholders, may, on the application of the company or any interested person, **on such terms as it deems just and expedient, direct that the time for filing be extended, or the omission/misstatement be rectified**.

(Note: after the 2019 amendment, Section 87 covers rectification of omissions/misstatements of particulars, but the belated registration of a charge itself now falls under the timelines in the provisos to Section 77.)

Penalty for contravention — Section 86: - If any company contravenes any provision of Chapter VI (charges), the **company** is liable to a **penalty of Rs. 5,00,000**, and every **officer in default** to a penalty of **Rs. 50,000**. - **Section 86(2):** If any person **wilfully furnishes false or incorrect information or suppresses material information** required to be registered, he shall be liable for **fraud** under **Section 447**.

Conclusion: Summit Ltd. may apply to the **Central Government (Regional Director) under Section 87** for rectification/extension, since the omission is **accidental and not prejudicial** to creditors/shareholders. Contravention of the charge provisions attracts penalties under **Section 86**.

> **Full-marks tip:** Route "accidental/inadvertent omission not prejudicial to creditors" to Section 87 (Central Government rectification), and cite the Section 86 penalty and the Section 447 fraud link for false information.

Coverage: Management & Administration (Ch. 7), Declaration & Payment of Dividend (Ch. 8), and Accounts of Companies (Ch. 9) of the Companies Act, 2013. All section references are to the Companies Act, 2013 unless stated otherwise.

Q1. First Annual General Meeting — timing (marks: 4) [Practical]

Question: XYZ Private Ltd was incorporated on 1st August 2024. Its first financial year closed on 31st March 2025. The directors wish to hold the first Annual General Meeting (AGM) of the company. Advise, with reference to the Companies Act, 2013, the latest date by which the first AGM must be held, and whether the Registrar can grant an extension. Also state the permissible day, place and time of the meeting.

Model Answer: Issue: By what date must a company hold its first AGM, and can it be extended? (Section 96)

Relevant Provision — Section 96(1): - Every company (other than an OPC) must hold an AGM each year. The **first AGM** must be held **within 9 months from the closing of the first financial year**. - Subsequent AGMs must be held within 6 months from the close of the financial year, and the gap between two AGMs must not exceed 15 months. - **First proviso:** If the first AGM is held within 9 months of the close of the first financial year, it is **not necessary** to hold any AGM in the year of incorporation. - **Third proviso:** The Registrar may, for special reasons, extend the time for holding an AGM (other than the first AGM) by a period **not exceeding 3 months**.

Section 96(2) — Day, place and time: - Held on any day that is **not a National Holiday**, during **business hours i.e. between 9 a.m. and 6 p.m.**, at the **registered office** of the company or at some other place within the city, town or village in which the registered office is situate.

Analysis & Conclusion: - First financial year closed on **31st March 2025**. First AGM must be held **within 9 months**, i.e., **on or before 31st December 2025**. - **The Registrar has NO power to extend the time for holding the FIRST AGM** (extension under the third proviso is available only for subsequent AGMs). - The meeting must be held on a non-National-Holiday, between 9 a.m. and 6 p.m., at/near the registered office.

> **Full-marks tip:** State Section 96, the exact "9 months / on or before 31 Dec 2025", AND expressly note that the Registrar cannot extend the *first* AGM — that negative point carries the marks.

Q2. Extension of AGM and Tribunal's power (marks: 4) [Practical]

Question: ABC Ltd could not hold its AGM for the financial year ended 31st March 2025 within the prescribed time due to a serious dispute among the Board members and non-finalisation of accounts. No application for extension was made to the Registrar. A member approaches you asking whether the AGM can still be validly convened. Advise.

Model Answer: Issue: Remedy when a company fails to hold its AGM within the statutory/extended time. (Section 97)

Relevant Provision — Section 97(1): - If **any default is made in holding the AGM** under Section 96, the **Tribunal (NCLT)** may, on the application of **any member** of the company, call, or direct the calling of, an AGM and give such ancillary/consequential directions as it thinks expedient. - Such directions may include a direction that **one member present in person or by proxy shall be deemed to constitute a meeting**.

Section 97(2): A general meeting held in pursuance of this section shall, subject to any directions of the Tribunal, be **deemed to be an AGM** of the company.

Analysis & Conclusion: - ABC Ltd has defaulted in holding its AGM for FY 2024-25 and did not obtain an extension. - The member may apply to the **NCLT under Section 97**, which can direct the calling of the AGM and issue consequential directions (including deemed quorum of one member). - Additionally, default in holding the AGM attracts penalty under **Section 99** (fine up to ₹1,00,000 on the company and every officer in default, with a further fine of ₹5,000 per day of continuing default).

> **Full-marks tip:** Cite **Section 97** (Tribunal, on member's application) and mention the **Section 99 penalty** — examiners award a mark for the consequence of default.

Q3. EGM called on requisition of members (marks: 5) [Practical]

Question: The paid-up equity share capital of PQR Ltd is ₹50,00,000 (all carrying voting rights). A group of members holding ₹4,00,000 worth of shares submit a valid requisition to the Board on 1st June 2025 demanding an Extraordinary General Meeting (EGM). The Board does not act on it. Advise the members of their rights, including timelines, and state whether their requisition is valid.

Model Answer: Issue: Right of members to requisition an EGM and consequences of the Board's failure to act. (Section 100)

Relevant Provision — Section 100(2) & (4): - Members may requisition an EGM if they hold, on the date of receipt of the requisition, **not less than one-tenth (1/10th) of the paid-up share capital carrying voting rights** (for a company having share capital). - On receipt of a valid requisition, the **Board must, within 21 days**, proceed to call an EGM to be held **within 45 days** from the date of receipt of the requisition. - **Section 100(4):** If the Board fails to do so, the **requisitionists themselves may call** the meeting, to be held **within 3 months** from the date of the requisition. - **Section 100(6):** Reasonable expenses incurred by the requisitionists in calling such a meeting shall be **reimbursed by the company** and recovered from the fees/remuneration of the defaulting directors.

Analysis: - Required holding = 1/10 × ₹50,00,000 = **₹5,00,000**. - Members' holding = ₹4,00,000, which is **less than ₹5,00,000 (only 8%)**.

Conclusion: The requisition is **NOT valid** as the members do not hold the minimum 1/10th (₹5,00,000) of paid-up voting share capital. Hence the Board is not bound to call the EGM, and the members cannot compel it under Section 100. Had they held ₹5,00,000 or more, the 21-day/45-day and self-calling (within 3 months) rights would have applied.

> **Full-marks tip:** Do the arithmetic (₹5,00,000 threshold) explicitly and conclude "requisition invalid" — most candidates quote the section but forget to test the 1/10th figure against the given facts.

Q4. Length of notice and shorter notice for a general meeting (marks: 4) [Practical]

Question: The Board of MNO Ltd (an unlisted public company having 500 members) wants to convene an AGM at a short notice of 10 days to expedite approval of the accounts. State the statutory requirement for the length of notice and the conditions under which a general meeting may be called at shorter notice.

Model Answer: Issue: Minimum notice period for a general meeting and validity of shorter notice. (Section 101)

Relevant Provision — Section 101(1): - A general meeting may be called by giving **not less than 21 clear days' notice** in writing or through electronic mode. - **Proviso — Shorter notice:** A general meeting may be called at shorter notice if consent is given, in writing or by electronic mode, by: - In the case of an **AGM — not less than 95% of the members entitled to vote** at the meeting; - In the case of **any other general meeting** — members holding **not less than 95%** of the paid-up share capital carrying voting rights (or, where there is no share capital, 95% of the total voting power).

Analysis & Conclusion: - Ordinarily 21 clear days' notice is required ("clear days" excludes the day of service and the day of the meeting, and adds 48 hours for deemed service by post). - MNO Ltd's AGM can validly be held at 10 days' (shorter) notice **only if members holding at least 95% of the voting rights consent** to the shorter notice. Without such 95% consent, the shorter-notice AGM would be invalid.

> **Full-marks tip:** Say "**21 clear days**" (not just 21 days) and quote the **95%** consent figure with the AGM/other-meeting distinction — both the word "clear" and "95%" are marked.

Q5. Quorum for a general meeting (marks: 4) [Practical]

Question: RST Ltd is a public company having 6,500 members. At its AGM, only 20 members were personally present when the meeting was due to begin. Examine whether the quorum was present. What is the consequence if quorum is not present within half an hour?

Model Answer: Issue: Quorum requirement for a general meeting of a public company and effect of absence of quorum. (Section 103)

Relevant Provision — Section 103(1): - Unless the articles provide for a larger number, the quorum for a general meeting of a **public company** (members **personally present**) is: - **5 members** if the number of members as on the date of meeting is **not more than 1,000**; - **15 members** if it is **more than 1,000 but up to 5,000**; - **30 members** if it is **more than 5,000**. - For a **private company**, the quorum is **2 members personally present**.

Section 103(2) — No quorum: If quorum is not present within **half an hour** from the appointed time: - If the meeting was **called on requisition** of members under Section 100 → it stands **cancelled**; - In **any other case** → it stands **adjourned** to the same day in the next week, at the same time and place, or as the Board determines. If quorum is not present at the adjourned meeting either, the **members present shall be the quorum**.

Analysis & Conclusion: - RST Ltd has 6,500 members (more than 5,000) → required quorum = **30 members personally present**. - Only **20 members** were present → **quorum is NOT present**. - Since this AGM was not called on requisition, the meeting stands **adjourned** to the same day next week (same time/place). If quorum fails again at the adjourned meeting, the members then present will constitute the quorum.

> **Full-marks tip:** Match 6,500 members to the ">5,000 = 30 members" slab and state the adjournment consequence — losing the "adjourned, members present = quorum" point costs a mark.

Q6. Appointment of proxies — the 50 members / 10% rule (marks: 5) [Practical]

Question: Mr. A holds proxies on behalf of 60 members of LMN Ltd for its forthcoming general meeting. Separately, Mr. B, who is not a member, is appointed as a proxy by a member holding 12% of the total share capital of the company carrying voting rights. Examine the validity of these appointments under the Companies Act, 2013. Also state two disabilities of a proxy.

Model Answer: Issue: Limits on the number of members / capital a person may hold as proxy, and rights of a proxy. (Section 105)

Relevant Provision — Section 105: - A member entitled to attend and vote may appoint another person as a **proxy** to attend and vote on his behalf. The proxy **need not be a member**. - **Rule 19, Companies (Management & Administration) Rules, 2014:** A person can act as proxy on behalf of **members not exceeding 50** and holding in the aggregate **not more than 10% of the total share capital** of the company carrying voting rights. However, a member holding **more than 10%** of such capital may appoint a single person as proxy, who **cannot then act as proxy for any other person or shareholder**. - **Disabilities of a proxy:** (a) A proxy **cannot speak** at the meeting; (b) A proxy **can vote only on a poll**, not on a show of hands (unless articles otherwise provide); (c) The proxy instrument must be **deposited at least 48 hours before** the meeting.

Analysis & Conclusion: - **Mr. A** holds proxies for **60 members**, which exceeds the limit of **50 members** → the appointment is **invalid to the extent it exceeds 50**; he can validly act for a maximum of 50 members (subject also to the 10% aggregate capital cap). - **Mr. B** is appointed by a member holding **12% (>10%)** of the voting capital. This is **valid**, because a member holding more than 10% may appoint one person as sole proxy — but Mr. B **cannot act as proxy for any other member**.

> **Full-marks tip:** Split the two facts cleanly — "50 members" cap for A, "single-member >10% appoints sole proxy" for B — and list at least one proxy disability with the 48-hour deposit rule.

Q7. Demand for poll (marks: 4) [Practical]

Question: At the AGM of DEF Ltd (a company having a share capital), a resolution was put to vote by show of hands and declared passed. A group of members present is dissatisfied and wishes to demand a poll. State who may validly demand a poll and when.

Model Answer: Issue: Who can demand a poll and the threshold for a valid demand. (Section 109)

Relevant Provision — Section 109(1): - Before or on the declaration of the result of voting on any resolution on a show of hands, a **poll may be ordered by the Chairman of his own motion**, and **shall be ordered on a demand** made: - In the case of a **company having a share capital**, by **members present in person or by proxy holding at least one-tenth (1/10th) of the total voting power** or holding shares on which an **aggregate sum of not less than ₹5,00,000 (five lakh rupees)** (or such higher amount as prescribed) has been paid-up; - In the case of any other company, by any member(s) present in person or by proxy having **not less than 1/10th of the total voting power**.

Section 109(2): The demand for a poll may be **withdrawn** at any time by the person(s) who made it.

Conclusion: In DEF Ltd (a company having share capital), the poll must be ordered if demanded by members holding **at least 1/10th of the total voting power OR shares on which not less than ₹5,00,000 has been paid up**. If the dissatisfied members meet either threshold, the Chairman is bound to order a poll.

> **Full-marks tip:** Give **both** alternative thresholds — 1/10th voting power **or** ₹5,00,000 paid-up — and mention the poll can be ordered suo motu by the Chairman.

Q8. Annual Return — Section 92 (marks: 5) [Practical + Theory]

Question: State the key particulars that a company's Annual Return under Section 92 must contain, who is required to sign it, and the time-limit for filing it with the Registrar. What is the special requirement for a listed company or certain prescribed companies?

Model Answer: Provision — Section 92(1): Every company shall prepare an **Annual Return in Form MGT-7** containing particulars **as they stood on the close of the financial year**, including, inter alia: - Its **registered office, principal business activities**, particulars of its holding, subsidiary and associate companies; - Its **shares, debentures and other securities** and shareholding pattern; - Its **members and debenture-holders** along with changes therein; - Its **promoters, directors and key managerial personnel** along with changes; - **Meetings** of members/class of members, Board and its committees, along with attendance details; - **Remuneration** of directors and KMP; - **Penalties/punishments** imposed on the company, its directors/officers and details of compounding of offences; - Matters relating to **certification of compliances, disclosures** as prescribed.

Signing — Section 92(1) proviso: The annual return shall be **signed by a director and the Company Secretary**; where there is no CS, **by a Company Secretary in practice**. (For OPC and small companies, it may be signed by the **Company Secretary, or where there is none, by the director**.)

Certification — Section 92(2): The annual return of a **listed company** or a company having **paid-up share capital of ₹10 crore or more OR turnover of ₹50 crore or more** shall be **certified by a Company Secretary in practice in Form MGT-8**.

Filing — Section 92(4): A copy of the annual return must be **filed with the Registrar within 60 days** from the date on which the AGM was held (or, where no AGM is held, within 60 days from the date on which the AGM should have been held, with reasons for not holding it).

> Full-marks tip: State the **60-day** filing limit, the **MGT-7/MGT-8** forms, and the **₹10 crore capital / ₹50 crore turnover** MGT-8 certification threshold — these specifics separate a full-marks answer from a generic one.

Q9. Minutes of proceedings — Section 118 (marks: 4) [Theory]

Question: Write a short note on the preparation and legal effect of minutes of general meetings and Board meetings under the Companies Act, 2013.

Model Answer: Provision — Section 118: - **Section 118(1):** Every company shall prepare, sign and keep **minutes of every general meeting, Board meeting and committee meeting within 30 days** of the conclusion of the meeting, in books kept for that purpose with their pages consecutively numbered. - **Section 118(2):** Minutes of each meeting shall contain a **fair and correct summary** of the proceedings. - **Section 118(5):** The chairman may **exclude** from the minutes any matter which is (a) defamatory, (b) irrelevant/immaterial to the proceedings, or (c) detrimental to the interests of the company — the Chairman has **absolute discretion** in this regard. - **Section 118(6):** The minutes, if duly kept, shall be **evidence of the proceedings** recorded therein. - **Section 118(7):** Where minutes are duly kept, then until the contrary is proved, the meeting is deemed to have been **duly called and held**, all proceedings deemed **duly conducted**, and appointments made deemed **valid**. - **Section 118(10):** Every company shall observe the applicable **Secretarial Standards (SS-1 and SS-2)** on Board and general meetings specified by ICSI and approved by the Central Government.

> Full-marks tip: State the **30-day** timeline and the **evidentiary presumption** under 118(6)/(7), and mention **Secretarial Standards SS-1/SS-2** under 118(10) — the SS reference is a differentiator.

Q10. Declaration of dividend out of reserves in a year of inadequate profits (marks: 6) [Practical]

Question: For the year ended 31st March 2025, GHI Ltd earned a net profit of only ₹1,00,000 due to a slump. The company wishes to declare a dividend of 12% out of its accumulated free reserves. The following data is available (as per the latest audited financial statements): Paid-up equity share capital ₹20,00,000; Free reserves ₹30,00,000. Dividend declared in the three immediately preceding years: 12%, 10% and 8%. Examine, with computations, whether and at what rate GHI Ltd can declare the dividend.

Model Answer: Issue: Conditions for declaring dividend out of accumulated (free) reserves where profits are inadequate. (Second proviso to Section 123(1) read with Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014)

Relevant Conditions — Rule 3: 1. **Rate of dividend** declared shall **not exceed the average of the rates** at which dividend was declared in the **three years immediately preceding** that year. 2. **Total amount drawn** from accumulated profits shall **not exceed 1/10th (one-tenth) of the sum of paid-up share capital + free reserves** as per the latest audited financial statements. 3. The amount so drawn shall **first be used to set off the losses** incurred in the financial year (before declaring any dividend on equity shares). 4. The **balance of reserves after such withdrawal shall not fall below 15% of the paid-up share capital** as per the latest audited financial statements.

Working Notes: - **WN-1 (Maximum rate):** Average of preceding three years' rates = (12% + 10% + 8%) ÷ 3 = **10%**. Hence the proposed **12% is not permitted**; maximum permissible rate = **10%**. - **WN-2 (Dividend at 10%):** 10% × ₹20,00,000 = **₹2,00,000**. Amount required to be drawn from reserves = ₹2,00,000 − ₹1,00,000 (current profit) = **₹1,00,000**. - **WN-3 (Maximum drawal — 1/10th test):** 1/10 × (₹20,00,000 + ₹30,00,000) = 1/10 × ₹50,00,000 = **₹5,00,000**. Amount to be drawn (₹2,00,000) is within this limit. ✓ - **WN-4 (Minimum residual reserves — 15% test):** Reserves after withdrawal = ₹30,00,000 − ₹2,00,000 = ₹28,00,000. Minimum required = 15% × ₹20,00,000 = ₹3,00,000. ₹28,00,000 > ₹3,00,000. ✓

Conclusion: GHI Ltd **cannot** declare dividend at 12%. It may declare dividend at a **maximum rate of 10% (₹2,00,000)**, drawing ₹1,00,000 from free reserves, as all four conditions of Rule 3 are satisfied.

> Full-marks tip: Show each of the four Rule 3 tests as a separate Working Note with the arithmetic; the "average rate = 10%" cap is the decisive point — quote the section AND the Rule.

Q11. Failure to distribute dividend within 30 days (marks: 5) [Practical]

Question: JKL Ltd declared a final dividend at its AGM held on 20th August 2025. By 25th September 2025, dividend warrants had not been posted to several shareholders. Examine the consequences under the Companies Act, 2013, and state the exceptions where a director is not treated as being in default.

Model Answer: Issue: Consequences of failure to pay/post declared dividend within the statutory period. (Section 127)

Relevant Provision — Section 127: - Where a dividend has been declared but is **not paid or the warrant not posted within 30 days** from the date of declaration to the entitled shareholder: - **Every director**, if knowingly a party to the default, is **punishable with imprisonment up to 2 years and fine not less than ₹1,000 for every day** during which the default continues; and - The **company is liable to pay simple interest at 18% per annum** during the period for which the default continues.

Exceptions (Provisos to Section 127) — no offence where: 1. Dividend could not be paid by reason of the operation of **any law**; 2. A shareholder has given **directions** regarding payment which could not be complied with, and the same was communicated to him; 3. There is a **dispute** regarding the right to receive the dividend; 4. The dividend was lawfully **adjusted** by the company against any sum due from the shareholder; 5. The failure to pay was **not due to any default on the part of the company**.

Analysis & Conclusion: - Dividend declared on **20th August 2025**; 30-day period expired on **19th September 2025**. As on 25th September, warrants remain unposted → **default under Section 127**. - Unless one of the five exceptions applies, JKL Ltd must pay **interest @18% p.a.** for the default period, and defaulting directors face imprisonment up to 2 years and fine of ₹1,000 per day.

> **Full-marks tip:** State the exact "**30 days / 18% p.a. / imprisonment up to 2 years / ₹1,000 per day**" figures and list the statutory exceptions — the exceptions are frequently the mark-earning half of this question.

Q12. Unpaid Dividend Account and transfer to IEPF (marks: 5) [Practical]

Question: Explain the requirement to transfer unpaid or unclaimed dividend to a special account, the timeline involved, and the circumstances in which such unpaid dividend — and the underlying shares — must be transferred to the Investor Education and Protection Fund (IEPF). Illustrate the 7-year point.

Model Answer: Issue: Treatment of unpaid/unclaimed dividend and transfer to IEPF. (Sections 124 & 125)

Relevant Provision — Section 124: - **124(1):** Where a dividend declared has **not been paid or claimed within 30 days** from declaration, the company shall, **within 7 days** from the expiry of the said 30 days, transfer the total unpaid/unclaimed amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank. - **124(2):** The company must, within 90 days of such transfer, prepare a **statement of unpaid amounts** and place it on its website (and on any Government-notified website). - **124(5):** Any money remaining **unpaid or unclaimed for 7 years** from the date of transfer to the Unpaid Dividend Account shall be **transferred to the Investor Education and Protection Fund (IEPF)**, along with a statement in the prescribed form. - **124(6):** All **shares** in respect of which dividend has **not been paid or claimed for 7 consecutive years or more** shall also be **transferred to the IEPF** (in the name of the Fund). *(A claimant may later reclaim the shares/amount from the IEPF Authority.)*

Timeline illustration: Declaration → not claimed within **30 days** → transfer to Unpaid Dividend Account within **7 days** thereafter → if unclaimed for **7 years** from that transfer → transfer amount **and** the underlying shares to **IEPF (Section 125)**.

Interest (124(3)): If the company defaults in transferring the amount to the Unpaid Dividend Account, it shall pay **interest @12% p.a.** on the un-transferred amount, which enures to the benefit of the members in proportion to their unpaid amounts.

> **Full-marks tip:** Nail the two "7-year" transfers (money **and** shares to IEPF) and the "30 days + 7 days" chain; add the 12% default interest under 124(3) for the extra mark.

Q13. Interim dividend (marks: 4) [Theory]

Question: Write a short note on the declaration of interim dividend under the Companies Act, 2013.

Model Answer: Provision — Section 123(3): - The **Board of Directors** may declare **interim dividend** during any financial year, or at any time during the period from closure of the financial year till holding of the AGM. - It may be declared **out of the surplus in the profit and loss account and/or out of profits of the financial year for which such interim dividend is sought to be declared**. - **Proviso — Loss situation:** In case the company has incurred **loss** during the current financial year up to the end of the quarter immediately preceding the date of declaration of interim dividend, the **rate of interim dividend shall not be higher than the average dividend declared during the immediately preceding three financial years**. - All other provisions applicable to dividend (e.g., deposit in a separate bank account within 5 days under

Section 123(4), payment within 30 days under Section 127, transfer of unpaid amounts under Section 124) **apply equally to interim dividend**.

Key distinction: A **final dividend** is declared by members in the AGM on the Board's recommendation; an **interim dividend** is declared by the **Board** and does not require members' approval.

> **Full-marks tip:** Emphasise that interim dividend is declared by the **Board** (not members) and quote the loss-year cap (rate ≤ average of preceding 3 years).

Q14. "Free reserves" — definition (marks: 4) [Theory]

Question: Define "free reserves" under the Companies Act, 2013 and state which items are specifically excluded. Why is the concept important for dividends?

Model Answer: Provision — Section 2(43): "**Free reserves**" means **such reserves which, as per the latest audited balance sheet of a company, are available for distribution as dividend.**

Specifically EXCLUDED (proviso to Section 2(43)): 1. Any amount representing **unrealised gains, notional gains or revaluation of assets**, whether shown as a reserve or otherwise; and 2. Any **change in carrying amount** of an asset or of a liability recognised in equity, including surplus in the profit and loss account **on measurement of the asset or the liability at fair value**.

Also note: Any amount to the credit of the securities premium account is generally **not a free reserve** because it can be applied only for the purposes specified in Section 52. Capital reserves and revaluation reserves are likewise **not** free reserves.

Importance: Under Section 123, dividend can be paid only out of **profits after depreciation** or out of **free reserves** (or money provided by Government). Thus the definition determines the pool legally available for distribution as dividend.

> **Full-marks tip:** Quote Section **2(43)** verbatim and list the two exclusions (unrealised/notional/revaluation gains and fair-value changes) — the exclusions are what carry the marks.

Q15. Place of keeping books of account — Section 128 (marks: 5) [Practical]

Question: TUV Ltd wishes to keep its books of account at a branch office in another city instead of at its registered office. Advise the Board on the legal requirements, the intimation to be filed with the Registrar and its timeline, and the period for which books must be preserved. Can books be maintained in electronic form?

Model Answer: Issue: Place and manner of keeping books of account, ROC intimation, and preservation period. (Section 128)

Relevant Provision — Section 128: - **128(1):** Every company shall keep **proper books of account** giving a true and fair view of its state of affairs, on **accrual basis and double-entry system**, at its **registered office**. - **First proviso to 128(1):** The Board may decide to keep **all or any of the books at any other place in India**; where it does so, the company shall, **within 7 days** of the Board's decision, **file with the Registrar a notice in writing giving the full address of that other place (Form AOC-5)**. - **Electronic form:** The books may be kept in **electronic mode** in the manner prescribed (Rule 3 of the Companies (Accounts) Rules, 2014 — must remain accessible in India, be legible, retained in original format, and be capable of retrieval; backup on servers in India). - **128(5) — Preservation:** The books of account, together with vouchers, must be kept in good order for a period of **not less than 8 financial years** immediately preceding the relevant financial year (or, for a company in existence for a shorter period, all such years). *(Where an investigation is ordered, the Central Government may direct a longer period.)*

Analysis & Conclusion: - TUV Ltd may keep its books at the branch office **provided the Board passes a resolution** to that effect and files **Form AOC-5 with the Registrar within 7 days** of that decision. - Books may be kept in **electronic form** subject to Rule 3. - Books must be **preserved for at least 8 years**.

> **Full-marks tip:** The three marks-earning specifics are: **Board resolution**, **AOC-5 within 7 days**, and **8-year preservation**. Also state accrual + double-entry.

Q16. Applicability of CSR — Section 135 (marks: 6) [Practical]

Question: For the financial year ended 31st March 2025, the following data of WXY Ltd is available: Net worth ₹400 crore; Turnover ₹1,200 crore; Net profit (computed under Section 198) ₹4 crore. The net profits under Section 198 for the three immediately preceding financial years were ₹6 crore, ₹5 crore and ₹4 crore. Examine whether the CSR provisions apply and, if so, compute the minimum amount the company must spend on CSR for FY 2025-26. Also state the composition requirement of the CSR Committee.

Model Answer: Issue: Applicability of CSR provisions and computation of minimum spend. (Section 135)

Relevant Provision — Section 135(1): CSR provisions apply to every company which, **during the immediately preceding financial year**, has: - **Net worth of ₹500 crore or more**, **OR** - **Turnover of ₹1,000 crore or more**, **OR** - **Net profit of ₹5 crore or more**. (*Satisfaction of any one criterion attracts CSR.*)

Section 135(5): The company must spend, in every financial year, **at least 2% of the average net profits** made during the **three immediately preceding financial years** (net profit computed under Section 198).

Analysis (WN-1 — Applicability test for FY 2024-25): - Net worth ₹400 cr → below ₹500 cr. ✗ - **Turnover ₹1,200 cr → ≥ ₹1,000 cr. ✓** - Net profit ₹4 cr → below ₹5 cr. ✗

Since the **turnover criterion (₹1,200 cr ≥ ₹1,000 cr) is satisfied**, CSR provisions **apply** to WXY Ltd.

WN-2 — Minimum CSR spend for FY 2025-26: - Average net profit of 3 preceding years = (₹6 cr + ₹5 cr + ₹4 cr) ÷ 3 = **₹5 crore**. - Minimum CSR spend = 2% × ₹5 crore = **₹10,00,000 (₹10 lakh)**.

CSR Committee — Section 135(1): The Board shall constitute a **CSR Committee of three or more directors, of which at least one shall be an independent director**. *(Where a company is not required to appoint an independent director, the Committee may have two or more directors; and where the amount to be spent does not exceed ₹50 lakh, the requirement to constitute a CSR Committee is not applicable and the Board itself discharges the functions.)*

Conclusion: CSR applies (turnover ≥ ₹1,000 cr). Minimum spend for FY 2025-26 = **₹10,00,000**.

> **Full-marks tip:** Test **all three** limbs of 135(1) and state that satisfying **any one** triggers CSR; then compute 2% of the **3-year average** (not the current year) — using the current-year profit is the classic error.

Q17. Unspent CSR amount — treatment (marks: 5) [Practical]

Question: For FY 2024-25, ABC Ltd was required to spend ₹40 lakh on CSR. It actually spent only ₹25 lakh. Of the unspent ₹15 lakh, ₹9 lakh relates to an ongoing project and ₹6 lakh does not relate to any ongoing project. Advise the company on the treatment of the unspent amounts and the applicable timelines under the Companies Act, 2013.

Model Answer: Issue: Treatment of unspent CSR amount — ongoing vs. non-ongoing project. (Section 135(5) second proviso & 135(6))

Relevant Provision: - **Second proviso to Section 135(5):** If the company **fails to spend** the required amount, the Board shall, in its report, **specify the reasons** for not spending, and (unless the unspent amount relates to an ongoing project) **transfer the unspent amount to a Fund specified in Schedule VII within 6 months** of the expiry of the financial year. - **Section 135(6) — Ongoing projects:** Any amount remaining unspent **pursuant to an ongoing project** shall be transferred by the company **within 30 days from the end of the financial year** to a special account called the **"Unspent Corporate Social Responsibility Account"** opened in a scheduled bank. This amount must be **spent within 3 financial years** from the date of transfer. If not so spent, it shall be transferred to a **Schedule VII Fund within 30 days** from the completion of the third financial year.

Analysis & Conclusion (financial year ended 31st March 2025): - **₹9 lakh (ongoing project):** Transfer to a separate **"Unspent CSR Account"** in a scheduled bank **within 30 days** from end of FY, i.e., **by 30th April 2025**; to be spent within **3 financial years** (failing which, transfer to a Schedule VII Fund within 30 days thereafter). - **₹6 lakh (not an ongoing project):** Transfer to a **Fund specified in Schedule VII** (e.g., PM National Relief Fund / PM CARES) **within 6 months** of the end of the FY, i.e., **by 30th September 2025**. - In both cases, the **Board's Report** must disclose the reasons for the shortfall.

> Full-marks tip: Separate the two buckets clearly — **ongoing → Unspent CSR A/c within 30 days, spend in 3 years**; **non-ongoing → Schedule VII Fund within 6 months**. Mixing up the 30-day and 6-month timelines is the usual mistake.

Q18. Contents of the Board's Report — Section 134 (marks: 5) [Theory]

Question: State any eight matters that must be included in the Board's Report attached to the financial statements of a company under Section 134(3), and state who must sign the Board's report.

Model Answer: Provision — Section 134(3): The Board's Report shall include, inter alia: 1. **Web address**, if any, where the annual return under Section 92 has been placed; 2. **Number of meetings** of the Board held during the year; 3. **Directors' Responsibility Statement** as per Section 134(5); 4. Details in respect of **frauds reported by the auditor** under Section 143(12) (other than those reportable to the Central Government); 5. A statement on **declaration by independent directors** under Section 149(6); 6. The company's **policy on directors' appointment and remuneration** (Section 178), where applicable; 7. **Explanations/comments by the Board** on every qualification, reservation, adverse remark or disclaimer made by the **auditor** (and by the company secretary in practice in the secretarial audit report); 8. **Particulars of loans, guarantees or investments** under Section 186; 9. **Particulars of contracts/arrangements with related parties** under Section 188 (in Form AOC-2); 10. The **amounts, if any, proposed to be carried to reserves** and the **amount recommended as dividend**; 11. **Material changes and commitments** affecting the financial position occurring between the end of the FY and the date of the report; 12. **Conservation of energy, technology absorption, and foreign exchange earnings and outgo**; 13. A statement on **development and implementation of a risk management policy**; 14. The details about the **CSR policy** and initiatives (Section 135).

Signing — Section 134(6): The Board's Report and any annexures shall be **signed by the Chairperson** of the company if authorised by the Board; otherwise, by **at least two directors, one of whom shall be a managing director**, or by the director where there is only one director.

> **Full-marks tip:** List distinct items (any eight) and include the **Directors' Responsibility Statement (134(5))** and the **CSR disclosure**; do not forget the **signing** requirement under 134(6) for the last mark.

Q19. Applicability of internal audit — Section 138 (marks: 5) [Practical]

Question: DEF Ltd is an **unlisted public company** with paid-up share capital of ₹60 crore, turnover of ₹150 crore, outstanding loans from banks of ₹120 crore, and outstanding deposits of ₹30 crore during the preceding financial year. Examine whether DEF Ltd is required to appoint an internal auditor, and who can be appointed as an internal auditor.

Model Answer: Issue: Whether the company is mandatorily required to conduct internal audit. (Section 138 read with Rule 13 of the Companies (Accounts) Rules, 2014)

Relevant Provision — Section 138(1): Such class of companies as may be prescribed shall be required to appoint an internal auditor (an individual or a firm) to conduct internal audit.

Rule 13 — Mandatory internal audit thresholds: - **Every listed company**; and - **Every unlisted public company** having, during the preceding financial year, **any one** of: - Paid-up share capital of **₹50 crore or more**; or - Turnover of **₹200 crore or more**; or - Outstanding loans/borrowings from banks or public financial institutions **exceeding ₹100 crore** at any point during the FY; or - Outstanding **deposits of ₹25 crore or more** at any point during the FY. - **Every private company** having: turnover of **₹200 crore or more**; or outstanding borrowings **exceeding ₹100 crore**.

Who can be internal auditor — Section 138: The internal auditor **may be a chartered accountant or a cost accountant (whether or not in practice), or such other professional** as decided by the Board. The internal auditor **may or may not be an employee** of the company. (The statutory auditor of the company **cannot** be its internal auditor.)

Analysis & Conclusion (DEF Ltd — unlisted public company): - Paid-up capital ₹60 cr **≥ ₹50 cr ✓**; - Outstanding bank loans ₹120 cr **> ₹100 cr ✓**; - Outstanding deposits ₹30 cr **≥ ₹25 cr ✓**. Satisfying **any one** limb triggers the requirement; here **three** are satisfied. Hence **DEF Ltd is mandatorily required to appoint an internal auditor**.

> **Full-marks tip:** Quote the four thresholds for unlisted public companies and note that meeting **any one** suffices; add that a CA/CMA (in or out of practice) may be appointed and the statutory auditor cannot be the internal auditor.

Q20. Filing of financial statements and voluntary revision (marks: 5) [Practical + Theory]

Question: (a) State the time-limit and form for filing the financial statements of a company with the Registrar after the AGM, and the consequence where the AGM is not held or is adjourned. (b) The Board of GHI Ltd discovers that the Board's Report for FY 2023-24 does not comply with Section 134. Can it voluntarily revise the report, and subject to what condition?

Model Answer: (a) Filing of financial statements — Section 137: - A copy of the financial statements (including consolidated financial statements), duly adopted at the AGM, shall be **filed with the Registrar**

within 30 days of the date of the AGM, in **Form AOC-4** (AOC-4 CFS for consolidated statements; AOC-4 XBRL for prescribed companies), together with the prescribed fees. - **Where the AGM is not held**, the financial statements along with the required documents and reasons for not holding the AGM shall be filed **within 30 days of the last date before which the AGM should have been held**. - **Where the financial statements are not adopted at the AGM or the AGM is adjourned**, the unadopted statements shall be filed within 30 days of the AGM (treated as provisional), and the adopted statements filed within **30 days of the adjourned AGM**.

(b) Voluntary revision of financial statements / Board's report — Section 131: - If it appears to the directors that the **financial statements** or the **Board's report** do **not comply with Section 129 or Section 134**, they may **prepare revised financial statements or a revised report** in respect of any of the **three preceding financial years**, **after obtaining approval of the Tribunal (NCLT)** on an application, and after notice to the Central Government and the income-tax authorities. - Such revision can be made **only once in a financial year**, and the detailed reasons must be disclosed in the Board's report of the relevant financial year.

Conclusion: GHI Ltd **can** voluntarily revise its Board's Report for FY 2023-24 (which is within the three preceding financial years), **but only with the prior approval of the NCLT** under Section 131 and subject to the "once a year" restriction.

> Full-marks tip: For (a) give **AOC-4 / 30 days** and the adjourned-AGM rule; for (b) the load-bearing points are **Section 131**, **NCLT approval**, **three preceding financial years**, and **once a year** — omitting NCLT approval loses the key mark.

End of Part 3/5. This part covered Management & Administration, Declaration & Payment of Dividend, and Accounts of Companies. Audit & Auditors, Companies Incorporated Outside India, LLP, and the Other Laws (General Clauses Act, Interpretation of Statutes, FEMA) are dealt with in Parts 4 and 5.

Coverage of this part: Accounts of Companies (Ss. 128–138 & 132 NFRA), Audit and Auditors (Ss. 139–148) and the Limited Liability Partnership Act, 2008. All section references are to the Companies Act, 2013 unless the LLP Act is named. Figures/thresholds are as amended up to the position ICAI examines; where a figure is periodically revised, verify against the current bare Act.

Q1. Place of keeping books of account (marks: 4) [Practical]

Question: Zenith Manufacturing Ltd, whose registered office is in Pune, decided at a Board meeting on 5 April 2026 to keep its books of account at its branch office in Nashik instead of at the registered office. The company did not intimate the Registrar. Its accountant argues that since Nashik is within the same State, no filing is needed. Examine the validity of this view and state the correct legal position. **Model Answer: Issue:** Whether books of account may be kept at a place other than the registered office, and what procedural compliance Section 128 requires.

Relevant provision — Section 128(1): Every company must keep at its **registered office** proper books of account giving a true and fair view of the state of affairs. The **first proviso** permits the Board of Directors to decide to keep all or any of the books at **any other place in India**; where it does so, the company must, **within 7 days** of the Board's decision, file with the Registrar a **notice in writing** giving the **full address of that other place** (Rule 2A prescribes Form AOC-5).

Analysis: - Keeping books at Nashik is permissible because it is a place **in India** and the Board has resolved to do so — Section 128 does **not** confine the books to the registered office. - However, the accountant's view that *no filing is needed because the place is within the same State* is **incorrect**. The proviso attaches the notice requirement to *any* other place, irrespective of whether it is in the same State or city. The trigger is "a place other than the registered office," not "a place in another State." - The company failed to file the AOC-5 notice within 7 days of the 5 April Board decision — a **contravention** of Section 128.

Conclusion: The decision to keep books at Nashik is valid, but the company **must file notice with the Registrar within 7 days** of the Board resolution. Not having done so, the company is in default and liable to penalty under Section 128(6). Also note books must be preserved for **at least 8 financial years** immediately preceding the current year. **> Full-marks tip:** State the 7-day AOC-5 filing and demolish the "same State" argument explicitly — the trigger is *any place other than the registered office*, not *another State*.

Q2. CSR — applicability, 2% computation and unspent amount (marks: 6) [Practical]

Question: Vista Textiles Ltd earned a net profit of ₹7 crore in FY 2025-26 (its net worth is ₹120 crore and turnover ₹300 crore). Its net profits (u/s 198) for the three immediately preceding years were: 2022-23 ₹4 crore, 2023-24 ₹6 crore, 2024-25 ₹5 crore. During 2025-26 the company identifies an *ongoing project* (a 3-year school building programme) and spends ₹4 lakh, leaving the rest of its obligation unspent, merely noting "will spend next year" in the Board's report. (a) Is CSR applicable? (b) Compute the amount to be spent. (c) Advise on the unspent amount and the consequence of default. **Model Answer: Issue:** CSR applicability under Section 135(1), quantum under 135(5), and treatment of unspent amount tied to an ongoing project under 135(6)/(7).

(a) Applicability — Section 135(1): CSR applies to a company that in the **immediately preceding financial year** has **net worth ≥ ₹500 crore**, **or turnover ≥ ₹1,000 crore**, **or net profit ≥ ₹5 crore**. Vista's net profit of ₹7 crore (immediately preceding year) crosses the **₹5 crore** limb. **CSR is applicable** (only one limb need be crossed). A CSR Committee is required, but since the spend does not exceed ₹50 lakh the Board itself may discharge the Committee's functions (135(9)).

(b) Amount to be spent — Section 135(5): at least **2% of the average net profits of the three immediately preceding financial years**.

Working Note — average net profit: Average = (₹4 cr + ₹6 cr + ₹5 cr) ÷ 3 = ₹15 cr ÷ 3 = **₹5 crore**. CSR obligation = 2% × ₹5 crore = **₹10,00,000**.

(c) Unspent amount — Section 135(6): Because the unspent amount (₹10,00,000 − ₹4,00,000 = **₹6,00,000**) relates to an **ongoing project**, it must be transferred to a special **"Unspent CSR Account"** in a scheduled bank **within 30 days** of the end of the financial year, and spent within **3 financial years**; if still unspent thereafter, transferred to a Schedule VII fund within 30 days. Merely noting an intention in the Board's report is insufficient.

Consequence of default — Section 135(7): the **company** is liable to a penalty of **twice the unspent amount or ₹1 crore, whichever is less** (here 2 × ₹6 lakh = ₹12 lakh, being less than ₹1 crore → **₹12 lakh**); **every officer in default** is liable to **one-tenth of the unspent amount or ₹2 lakh, whichever is less** (here 1/10 × ₹6 lakh = ₹60,000, being less → **₹60,000** per officer).

Conclusion: CSR applies; ₹10 lakh must be spent; the unspent ₹6 lakh must be moved to the Unspent CSR Account within 30 days, failing which the 135(7) penalties (₹12 lakh company / ₹60,000 per officer) apply. **> Full-marks tip:** Show the average-net-profit WN separately, apply 2% to the *average* (not the current-year profit), and route ongoing-project money through the **30-day** Unspent CSR Account — not the 6-month Schedule VII route.

Q3. Signing of financial statements (marks: 4) [Practical]

Question: The audited financial statements of Crestline Ltd for FY 2025-26 were approved by the Board. The company secretary got them signed only by the Managing Director. The company has a CFO and a company secretary in employment. Is the signing valid? State the correct legal position under the Companies Act, 2013. **Model Answer: Issue:** Who must sign the financial statements before submission to the auditor and adoption — Section 134(1).

Relevant provision — Section 134(1): The financial statements, including the consolidated statements if any, shall be **approved by the Board** and signed on behalf of the Board at least by: - the **Chairperson** of the company where he is authorised by the Board, **OR** by **two directors, of whom one shall be the managing director** (where there is one), and - the **Chief Executive Officer** (if he is a director), the **Chief Financial Officer** and the **Company Secretary** of the company, **wherever they are appointed**.

Analysis: Signature by the Managing Director **alone** does not satisfy Section 134(1). Since there is no authorised Chairperson signing, **two directors (one being the MD)** are required. Additionally, because Crestline has a **CFO** and a **Company Secretary** in appointment, **both must also sign** the financial statements. Omitting them makes the authentication defective.

Conclusion: The signing is **invalid**. The statements must be signed by two directors (one the MD), plus the CFO and the CS (and CEO if he is a director). Only then are they properly authenticated for submission to the auditor and adoption. **> Full-marks tip:** Name each signatory Section 134(1) requires — the "wherever appointed" phrase means the CFO and CS cannot be skipped.

Q4. Filing of financial statements with Registrar (marks: 4) [Practical]

Question: Orbit Foods Ltd held its AGM for FY 2025-26 on 20 August 2026 and adopted its financial statements. Owing to a dispute, the statements were filed with the Registrar only on 15 October 2026. In another year the company's AGM was not held at all. Advise on the time limit for filing under Section 137 in both situations, and the consequence of delay. **Model Answer: Issue:** Time limit for filing financial statements with the Registrar under Section 137 where the AGM is held and where it is not held.

Relevant provision — Section 137(1): A copy of the financial statements duly adopted at the AGM shall be filed with the Registrar **within 30 days** of the date of the AGM in the prescribed manner (Form AOC-4) with the prescribed fee. **Section 137(1) third proviso / 137(2):** Where the **AGM is not held**, the financial statements (along with a statement of the facts and reasons for not holding the AGM) shall be filed **within 30 days of the last date before which the AGM should have been held**.

Analysis: - *AGM held 20 Aug 2026:* filing was due within 30 days, i.e. by **19 September 2026**. Filing on 15 October 2026 is **late by 26 days** — a default under Section 137. - *AGM not held:* the 30-day clock runs from the **last date on which the AGM ought to have been held**, and the reasons for non-holding must accompany the filing.

Conclusion: In both situations the outer limit is **30 days** — from the actual AGM date, or (if not held) from the last permissible AGM date. Orbit Foods is in default for the 20 Aug year and attracts penalty under **Section 137(3)** (company and every officer in default liable to the prescribed penalty). **> Full-marks tip:** For the "AGM not held" limb, anchor the 30 days to the *last date the AGM ought to have been held* and mention filing the reasons — that distinction earns the mark.

Q5. Internal audit — applicability (marks: 4) [Practical]

Question: Meridian Retail Pvt Ltd (an unlisted company) has, for FY 2025-26, a turnover of ₹220 crore and outstanding loans from banks of ₹80 crore. It has not appointed an internal auditor, contending that only listed companies need one. Examine whether internal audit is mandatory for the company under the Companies Act, 2013. **Model Answer: Issue:** Whether Meridian, a private company, is required to appoint an internal auditor under Section 138 read with Rule 13 of the Companies (Accounts) Rules, 2014.

Relevant provision — Section 138(1) requires prescribed classes of companies to appoint an internal auditor (a CA/CMA or such other professional). **Rule 13** prescribes, for a **private company**, that internal audit is mandatory if during the preceding financial year it has: - **turnover ≥ ₹200 crore**, **OR** - **outstanding loans/borrowings from banks or public financial institutions ≥ ₹100 crore** at any time.

Analysis: - The contention that "only listed companies need one" is **wrong** — Rule 13 expressly covers unlisted public and private companies above the thresholds. - Meridian's **turnover is ₹220 crore**, which **exceeds the ₹200 crore** limb for a private company. The test is disjunctive ("or"), so crossing even one limb triggers the obligation — the ₹80 crore borrowing (below ₹100 crore) is irrelevant once turnover is crossed.

Conclusion: Internal audit is **mandatory** for Meridian Retail Pvt Ltd; it must appoint an internal auditor. Failure is a contravention attracting penalty under Section 450. **> Full-marks tip:** Quote the private-company thresholds (₹200 cr turnover / ₹100 cr borrowings) and stress the test is "OR" — one limb crossed is enough.

Q6. Voluntary revision of financial statements (marks: 5) [Practical]

Question: The directors of Halcyon Ltd discover, in December 2026, that the financial statements and Board's report for FY 2023-24 were not in conformity with Section 129 (certain provisions were understated). They wish to revise those statements. Advise the directors on the procedure and limits under the Companies Act, 2013. **Model Answer: Issue:** Whether and how a company may voluntarily revise financial statements/Board's report already adopted — Section 131.

Relevant provision — Section 131(1): If it appears to the directors that the **financial statements or the Board's report do not comply with Section 129 or Section 134**, they may prepare **revised** financial statements or a revised Board's report for **any of the three preceding financial years**, after obtaining **approval of the Tribunal** on an application made by the company. A copy of the Tribunal's order must be filed with the Registrar.

Key conditions: - Revision permitted only for **the three immediately preceding financial years**. - The Tribunal shall give notice to the Central Government and the Income-tax authorities and consider their representations before passing the order. - Such revision may be made **only once in a financial year** (second proviso). - The revision must be **confined** to correction of the non-compliance and consequential changes (detailed reasons must be disclosed).

Analysis: FY 2023-24 falls **within the three preceding financial years** as at December 2026, so revision is permissible. Halcyon must apply to the **Tribunal** for approval, cannot revise more than once in a year, and must file the order with the ROC. (Where accounts are *fraudulent* or affairs mismanaged, the distinct route is

Section 130 — court/Tribunal-ordered **re-opening** on application by the CG, IT authorities, SEBI, or other statutory regulators — not voluntary revision.)

Conclusion: Halcyon's directors may voluntarily revise the FY 2023-24 statements under **Section 131** with prior **Tribunal approval**, once in the year, filing the order with the Registrar. **> Full-marks tip:** Distinguish Section 131 (voluntary revision by directors, Tribunal approval, 3-year window, once a year) from Section 130 (compulsory re-opening on regulator's application for fraud/mismanagement) — mixing them loses marks.

Q7. NFRA — functions (marks: 4) [Theory]

Question: State the principal functions and powers of the National Financial Reporting Authority (NFRA) under Section 132 of the Companies Act, 2013. **Model Answer: Provision — Section 132** establishes the NFRA as an independent regulator overseeing accounting and auditing standards and the quality of service of professionals. Its principal functions and powers are:

1. **Recommend** to the Central Government the **accounting standards and auditing standards** for adoption by companies/their auditors.
2. **Monitor and enforce compliance** with accounting standards and auditing standards in the prescribed manner.
3. **Oversee the quality of service** of the professions associated with ensuring compliance with such standards, and suggest measures for improvement.
4. **Investigate** — either *suo motu* or on reference by the Central Government — matters of **professional or other misconduct** committed by a member or firm of chartered accountants (for prescribed classes of companies/bodies corporate). No other body (including ICAI) may then initiate or continue proceedings in such matters of misconduct.
5. Power of a **civil court** while conducting an investigation (discovery, summoning, inspection of books, etc.).
6. **Impose penalties** for professional misconduct — on an **individual**, not less than ₹1 lakh up to 5 times the fees received; on a **firm**, not less than ₹10 lakh up to 10 times the fees received — and **debar** the member/firm from practice/audit for **6 months to 10 years**.

Conclusion: NFRA is the apex independent watchdog for financial reporting and audit quality for prescribed (mainly large/listed/public-interest) entities, with investigative, adjudicatory and penal powers over auditors. **> Full-marks tip:** List the recommend / monitor / oversee / investigate quartet and add the penalty-and-debarment power with at least the ₹1 lakh (individual) and ₹10 lakh (firm) floors.

Q8. First auditor — non-Government company (marks: 4) [Practical]

Question: Novena Ltd was incorporated on 1 April 2026. Its Board did not appoint the first auditor within 30 days of registration. The directors believe the auditor can simply be appointed at the first AGM. Advise on the correct procedure and timelines for appointment of the first auditor under Section 139(6). **Model Answer: Issue:** Manner and time limit for appointment of the **first auditor** of a non-Government company — Section 139(6).

Relevant provision — Section 139(6): The **first auditor** of a company (other than a Government company) shall be appointed by the **Board of Directors within 30 days** of the **date of registration**. If the Board **fails**

to do so, it shall inform the members, who shall appoint the first auditor within **90 days** at an **extraordinary general meeting**. The first auditor holds office **until the conclusion of the first annual general meeting**.

Analysis: - The directors' belief is only **partly** correct. The first auditor is **not** appointed at the AGM in the ordinary course — the primary duty is on the **Board within 30 days** of registration (i.e. by **1 May 2026** here). - Since the Board failed within 30 days, the fallback applies: the **members** must appoint within **90 days at an EGM** — the appointment does not wait for the first AGM. - The first auditor so appointed holds office only **till the conclusion of the first AGM**, at which the auditor for the 5-year term is appointed under Section 139(1).

Conclusion: Novena's Board defaulted; the **members must now appoint the first auditor within 90 days at an EGM**. Waiting for the first AGM is not the correct route for the *first* auditor. **> Full-marks tip:** Give both clocks — Board **30 days**, and on Board's failure, members **90 days at an EGM** — and note the first auditor holds office only till the first AGM.

Q9. Rotation of auditors (marks: 5) [Practical]

Question: Pinnacle Ltd is a listed company. Its audit firm, "RSV & Co.", has been its statutory auditor continuously since FY 2013-14. At the AGM in 2026 (for FY 2025-26), the Board proposes to re-appoint RSV & Co. for a further term. Examine the validity of this proposal under Section 139(2). Would your answer differ if Pinnacle were a small company? **Model Answer: Issue:** Whether an audit firm can be re-appointed beyond the maximum tenure prescribed by the rotation provisions — Section 139(2).

Relevant provision — Section 139(2): Listed companies and prescribed classes (unlisted public companies with paid-up capital ≥ ₹10 crore; private companies with paid-up ≥ ₹50 crore; and any of these having public borrowings from banks/FIs/public deposits ≥ ₹50 crore) shall **not appoint or re-appoint**: - an **individual** as auditor for **more than one term of 5 consecutive years**; and - an **audit firm** as auditor for **more than two terms of 5 consecutive years** (i.e. maximum **10 years**). After completing the term, the firm/individual is **not eligible for re-appointment for 5 years** (cooling-off). Tenure served **before** commencement of the Act is **counted** (look-back).

Analysis: - RSV & Co. has audited Pinnacle continuously from **FY 2013-14 to FY 2025-26 — 13 years**, exceeding the **two terms (10 years)** ceiling for a firm. - Therefore RSV & Co. is **not eligible** to be re-appointed at the 2026 AGM; it must **cool off for 5 years**. A firm in the same network / sharing a common partner cannot be a substitute (anti-avoidance).

If Pinnacle were a small company: One Person Companies and small companies are exempt from Section 139(2) rotation. Then RSV & Co. could continue without the 10-year cap.

Conclusion: For **listed** Pinnacle, the re-appointment is **invalid**; a new, unrelated auditor must be appointed. For a **small company**, rotation does not apply and re-appointment would be valid. **> Full-marks tip:** State the firm cap as **two terms of 5 years = 10 years** with a **5-year cooling-off**, and carry the OPC/small-company exemption to answer the "would it differ" hook.

Q10. Casual vacancy in office of auditor (marks: 4) [Practical]

Question: The auditor of Solace Ltd (a non-Government company) resigned on 10 June 2026. In a separate scenario, the auditor of Solace's sister concern died in office. Advise, in each case, who fills the casual vacancy and within what time, under Section 139(8). **Model Answer: Issue:** Filling of a casual vacancy in the office of auditor of a non-Government company — Section 139(8).

Relevant provision — Section 139(8)(i): A casual vacancy in the office of an auditor of a company (other than a Government company) shall be filled by the **Board of Directors within 30 days**. **However**, if the vacancy is caused by the **resignation** of the auditor, the appointment by the Board must **also be approved by the company at a general meeting** convened **within 3 months** of the recommendation of the Board; the auditor so appointed holds office till the conclusion of the next AGM.

Analysis: - *Resignation (10 June 2026):* Because the vacancy arises from **resignation**, the **Board fills it within 30 days**, **and** the appointment must be **ratified by members in general meeting within 3 months** of the Board's recommendation. Both steps are needed — resignation is voluntary and could conceal a dispute, so members are brought in. - *Death:* A vacancy by **death** is an involuntary event; the **Board fills it within 30 days**, and **no separate member approval** is required.

Conclusion: Resignation → Board within 30 days **plus** member approval within 3 months; death → Board within 30 days **only**. **> Full-marks tip:** The differentiator is *cause*: resignation needs member approval within 3 months; death/disqualification does not. State both the 30-day and the 3-month clocks.

Q11. Disqualification of auditor — indebtedness and shareholding (marks: 5) [Practical]

Question: Examine, with reasons, whether each of the following persons is disqualified from being appointed auditor of Kestrel Ltd under Section 141(3): (i) Mr. A, who personally holds 100 equity shares (face value ₹10 each) of Kestrel Ltd. (ii) Ms. B, whose spouse holds shares of face value ₹1,60,000 in Kestrel Ltd. (iii) Mr. C, who owes ₹6,00,000 to Kestrel Ltd. (iv) Mr. D, to whom Kestrel Ltd owes ₹7,00,000 as unpaid audit fees. **Model Answer: Issue:** Disqualification of an auditor on grounds of security holding and indebtedness — Section 141(3)(d).

Relevant provision: - **Sec 141(3)(d)(i):** A person is disqualified if he, **his relative or partner**, holds **any security** of the company. A **relative** may, however, hold securities of **face value not exceeding ₹1,00,000** (corrective window of 60 days). The relaxation applies **only to a relative** — the auditor/partner may hold **nil**. - **Sec 141(3)(d)(ii):** disqualified if he, his relative or partner is **indebted to the company exceeding ₹5,00,000**.

Analysis: - **(i) Mr. A:** He holds securities **personally**. There is **no** ₹1 lakh cushion for the auditor himself — even one share disqualifies. **Disqualified.** - **(ii) Ms. B:** A spouse is a "relative" (Sec 2(77)). A relative may hold up to **₹1,00,000 face value**; ₹1,60,000 **exceeds** the limit (note: **face value**, not market value). **Disqualified**, unless the excess is corrected within 60 days. - **(iii) Mr. C:** Indebted to the company for **₹6,00,000**, which **exceeds ₹5,00,000**. **Disqualified.** - **(iv) Mr. D:** Here the **company owes him** ₹7,00,000; the direction is reversed. Section 141(3)(d)(ii) bites only where the **auditor owes the company**. Unpaid fees is the company's debt to the auditor — **not disqualified** on this ground.

Conclusion: A, B and C are **disqualified**; D is **not** disqualified under 141(3)(d). **> Full-marks tip:** Watch two traps — the ₹1 lakh cushion is for a *relative only* (not the auditor), and indebtedness must be the *auditor owing the company*; reverse the direction and it doesn't disqualify.

Q12. Ceiling on number of audits (marks: 4) [Practical]

Question: Mr. Rajan, a chartered accountant in practice, is already the auditor of 18 companies, of which 3 are One Person Companies and 2 are small companies. He is offered appointment as auditor of 4 more companies, each a public company with paid-up capital of ₹150 crore. How many of these 4 can he accept under Section 141(3)(g)? **Model Answer: Issue:** The ceiling of 20 companies per auditor and which companies are excluded from the count — Section 141(3)(g).

Relevant provision — Section 141(3)(g): A person is disqualified who is in full-time employment elsewhere, or who (with partners) already holds appointment as auditor of **more than 20 companies**. For **counting** purposes, the following are **excluded**: **One Person Companies, dormant companies, small companies, and private companies having paid-up capital less than ₹100 crore**.

Analysis: *Working Note — countable existing audits:* Existing audits = 18. Exclude 3 OPCs and 2 small companies (not counted) → **countable = 18 − 5 = 13**. Available slots up to the ceiling of 20 = **20 − 13 = 7**.

The 4 new companies are **public companies with paid-up capital ₹150 crore** (≥ ₹100 crore), so they are **all countable**. Accepting all 4 would take the count to 13 + 4 = **17**, which is **within 20**.

Conclusion: Mr. Rajan may accept **all 4** appointments — his countable total (17) remains within the ceiling of 20. **> Full-marks tip:** Do the exclusion WN first (OPC/small/dormant/private < ₹100 cr are not counted), then compare the *countable* total against 20 — don't count the excluded audits.

Q13. Removal of auditor before expiry of term (marks: 5) [Practical]

Question: The Board of Aurora Ltd is unhappy with its statutory auditor and, at a Board meeting, passes a resolution removing him with immediate effect, six months before the end of his term. Examine the validity of this removal and set out the correct procedure under Section 140(1). **Model Answer: Issue:** The procedure and safeguards for removing an auditor **before expiry of his term** — Section 140(1).

Relevant provision — Section 140(1): The auditor may be removed from office **before the expiry of his term** only by: 1. a **Board resolution**; 2. followed by an **application to the Central Government** for previous approval (Form ADT-2, within **30 days** of the Board resolution); and 3. a **special resolution** of the company passed **within 60 days** of receipt of the Central Government's approval. Before removal, the auditor must be given a **reasonable opportunity of being heard** (proviso, read with the Rules).

Analysis: - The Board's action removing the auditor **by Board resolution alone, with immediate effect, is invalid**. A Board resolution is only the *first* step. - The mandatory **Central Government approval** and a **special resolution** of members are missing, as is the opportunity of being heard. The **sequence is fixed** — Board resolution → CG approval → special resolution; passing the special resolution before CG approval is void. - These safeguards exist precisely to stop management from muzzling an honest auditor who refuses to sign.

Conclusion: The removal is **invalid**. To validly remove the auditor mid-term, Aurora must pass a Board resolution, obtain **prior Central Government approval** (ADT-2 within 30 days), and pass a **special resolution** within 60 days, after giving the auditor a hearing. **> Full-marks tip:** State all three steps *in the correct order* and both the 30-day (ADT-2) and 60-day (special resolution) clocks — "Board resolution alone" is the wrong answer the examiner is baiting.

Q14. Prohibited non-audit services (marks: 5) [Practical]

Question: "Vanguard & Associates", the statutory auditor of Talon Ltd, is asked by the company to additionally (a) maintain its books of account and do book-keeping, and (b) provide investment banking services to Talon's wholly-owned subsidiary. The firm feels that, being separate assignments, they are permissible. Advise the firm under Section 144. **Model Answer: Issue:** Whether the statutory auditor may render specified non-audit services to the audited company or its holding/subsidiary — Section 144.

Relevant provision — Section 144: An auditor shall provide to the company only such **other services as are approved by the Board/Audit Committee**, but shall **not** render, **directly or indirectly**, the following services to the **company, its holding company or its subsidiary**: (a) accounting and **book-keeping** services; (b) **internal audit**; (c) design and implementation of any financial information system; (d) actuarial services; (e) **investment advisory** services; (f) **investment banking** services; (g) rendering of outsourced financial services; (h) management services; and (i) any other service prescribed. "Directly or indirectly" includes services rendered through relatives, or any other entity in which the firm/partner has significant influence.

Analysis: - **(a) Book-keeping for Talon Ltd** is expressly prohibited (self-review threat — the auditor would be checking his own work). **Not permissible.** - **(b) Investment banking for the subsidiary:** the prohibition extends to the company's **holding and subsidiary** companies. Talon's **wholly-owned subsidiary** falls squarely within the bar. The "separate assignment / separate entity" argument fails. **Not permissible.**

Consequence: Rendering a prohibited service breaches Section 144, triggers **disqualification under Section 141(3)(i)** and **penalty under Section 147**.

Conclusion: Vanguard & Associates **cannot** render either service. Both are prohibited under Section 144. **> Full-marks tip:** Note that the ban runs to the **holding and subsidiary** too, and that it operates "directly or indirectly" — the subsidiary route does not save it. Mention the 141(3)(i)/147 consequence for the extra mark.

Q15. Auditor's duty to report fraud (marks: 5) [Practical]

Question: During the audit of Sterling Ltd for FY 2025-26, the auditor identifies (i) a fraud by an officer involving ₹1.5 crore, and (ii) a separate fraud involving ₹40 lakh. Advise the auditor on his reporting obligations and the timelines under Section 143(12) and the related Rules. **Model Answer: Issue:** The auditor's obligation to report fraud detected during audit — Section 143(12) read with Rule 13 of the Companies (Audit and Auditors) Rules, 2014.

Relevant provision — Section 143(12): If an auditor, in the course of performance of his duties, has **reason to believe that an offence of fraud** involving or expected to involve the company is **being or has been committed** against the company by its **officers or employees**, he shall **report** the matter. The threshold and route depend on the **amount**: - **Fraud of ₹1 crore or more:** report to the **Central Government** — first to the **Board/Audit Committee** within **2 days** of knowledge seeking their reply within 45 days, then forward the report (with the reply, or noting no reply received) to the **Central Government within 15 days** of receiving the reply (in the prescribed **Form ADT-4**). - **Fraud of less than ₹1 crore:** report to the **Audit Committee (or the Board** where no Audit Committee) within **2 days**, specifying the nature, amount and parties. Such frauds are **not** reported to the CG but are **disclosed in the Board's report**.

Analysis: - (i) ₹1.5 crore (≥ ₹1 crore): report to the **Central Government** in **Form ADT-4** following the Board/Audit-Committee-then-CG procedure and timelines above. - **(ii) ₹40 lakh (< ₹1 crore):** report to the

Audit Committee/Board within 2 days; disclose in the **Board's report** (name of the officer, amount, nature). No CG reporting.

Conclusion: The ₹1.5 crore fraud goes to the **Central Government (ADT-4)**; the ₹40 lakh fraud goes to the **Audit Committee/Board** and into the **Board's report**. Failure to report attracts penalty under **Section 143(15)**. **> Full-marks tip:** The ₹1 crore line is the divider — CG (ADT-4) at/above it, Audit Committee/Board (and Board's report disclosure) below it. State the 2-day and 15-day timelines for the CG route.

Q16. Punishment for contravention by auditor (marks: 4) [Theory]

Question: State the punishment prescribed under Section 147 of the Companies Act, 2013 for contravention by the auditor, distinguishing between a non-wilful contravention and a wilful contravention with intent to deceive. **Model Answer: Provision — Section 147(2) and (3):** Where an auditor contravenes Section 139, 143, 144 or 145:

(a) Non-wilful contravention (Sec 147(2)): the auditor is punishable with a **fine of not less than ₹25,000, extending to ₹5,00,000 or four times the remuneration of the auditor, whichever is less**.

(b) Wilful contravention with intent to deceive (Sec 147(2) proviso): where the auditor has contravened **knowingly or wilfully with the intention to deceive** the company, its shareholders, creditors or tax authorities, he is punishable with: - **imprisonment up to 1 year**, **and** - **fine of not less than ₹50,000, extending to ₹25,00,000 or eight times the remuneration, whichever is less**.

Further consequences — Sec 147(3): the convicted auditor must **refund the remuneration** received and **pay for damages** to the company, statutory bodies or any other persons for loss arising out of incorrect/misleading statements in the audit report. Where the firm acted in a fraudulent manner, the **firm and every partner** concerned are **jointly and severally liable** (civilly and criminally).

Conclusion: Ordinary contravention → fine (₹25,000–₹5 lakh / 4× fee, whichever less); wilful-to-deceive → imprisonment up to 1 year **plus** fine (₹50,000–₹25 lakh / 8× fee, whichever less), with refund and damages. **> Full-marks tip:** Carry both fine bands with the "whichever is less" cap (4× vs 8× remuneration) and add the refund-of-remuneration + damages point under 147(3).

Q17. LLP — minimum partners and liability of sole partner (marks: 5) [Practical]

Question: "Nimbus Consulting LLP" had two partners. One partner, X, ceased to be a partner on 1 January 2026, leaving Y as the sole partner. Y continued to carry on the LLP's business alone. On 15 September 2026 the LLP incurred a trade debt of ₹8 lakh which it cannot pay. Y contends the LLP's limited liability shield fully protects him. Examine his liability under the LLP Act, 2008. **Model Answer: Issue:** Whether the sole remaining partner enjoys the limited-liability shield where the LLP carries on business below the minimum number of partners — Section 6 of the LLP Act, 2008.

Relevant provision — Section 6(1): Every LLP shall have **at least two partners**. **Section 6(2):** If at any time the number of partners is reduced below two and the LLP **carries on business for more than six months** while the number is so reduced, the **person who is the only partner** during the time the business is carried on after the six months **and who knows** that he is the only partner, shall be **personally liable** (jointly with the LLP) for the obligations of the LLP incurred **during that period**.

Analysis: Three conditions must **all** be satisfied for personal liability: 1. **The LLP carried on business** — Y did carry on business. ✓ 2. **For more than six months below the minimum** — Y became the sole partner on 1

Jan 2026; six months expired on **1 July 2026**. The debt was incurred on **15 September 2026**, i.e. **after** the six-month period. ✓ 3. **The sole partner knew** he was the only partner — Y knew. ✓

Since all three conditions are met and the debt was incurred **during the excess period** (after 1 July 2026), Y's limited-liability shield does **not** protect him for this debt. Liability attaches only to obligations incurred during that excess period — not to debts that arose while there were still two partners.

Conclusion: Y is **personally liable** (along with the LLP) for the ₹8 lakh debt of 15 September 2026. His limited-liability contention fails on Section 6(2). **> Full-marks tip:** Spell out the three cumulative conditions and pin the **six-month** cut-off date; liability bites only on debts incurred *after* the six months, so the date arithmetic earns the marks.

Q18. LLP — extent of liability and fraud carve-out (marks: 5) [Practical]

Question: In "Crestwave LLP", partner P, without the knowledge of the other partners, deliberately obtained a ₹50 lakh loan from a bank on behalf of the LLP with no intention of repaying it, and diverted the funds. The bank now seeks to recover from the LLP and from all the partners personally. Advise on the liability of (a) the LLP, (b) partner P, and (c) the innocent partners under the LLP Act, 2008. **Model Answer: Issue:** Interaction of the limited-liability shield (Sections 27–28) with the fraud carve-out (Section 30) of the LLP Act, 2008.

Relevant provisions: - **Section 27:** An LLP is liable if a partner is liable to any person as a result of a **wrongful act or omission in the course of business** of the LLP or with its authority. The LLP's liabilities are met out of its property. - **Section 28:** A partner is **not personally liable, directly or indirectly, for an obligation of the LLP solely by reason of being a partner** — the shield attaches to *status*, not to a partner's *own conduct*. - **Section 30(1):** In the event of an act carried out by the LLP or any of its partners **with intent to defraud creditors** of the LLP or for **any fraudulent purpose**, the liability of the **LLP and of the partner(s) who acted with that intent is UNLIMITED**. An **innocent** partner (who did not act with such intent) is **not** so exposed. Section 30 bites only on **dishonest intent**, not mere negligence.

Analysis: - **(a) The LLP:** liable — the borrowing was in the course of its business (Sec 27); its assets answer for the debt, and under Section 30 its liability is unlimited. - **(b) Partner P:** he acted **with intent to defraud** (loan with no intention to repay). Section 30 strips his shield — he is **personally and unlimitedly liable**, plus exposed to penalties/prosecution. - **(c) The innocent partners:** they neither knew of nor participated in the fraud. Section 28 protects them from liability "solely by reason of being a partner," and Section 30's unlimited liability reaches **only** the partners who acted with fraudulent intent. They are **not personally liable** (their exposure is limited to their contribution).

Conclusion: The **LLP** and **partner P** are liable (P unlimitedly, under Section 30); the **innocent partners are protected** by Sections 28 and 30. **> Full-marks tip:** Cite all three sections and stress Section 30 needs *dishonest intent* — it spares the innocent partner; negligence alone would not strip the shield.

Q19. LLP — Designated Partners (marks: 4) [Practical]

Question: "Solstice Ventures LLP" has three partners: two individuals and one body corporate. The partners wish to designate only the body corporate as a Designated Partner and appoint no resident designated partner. Advise on the requirements for designated partners under Section 7 of the LLP Act, 2008. **Model Answer: Issue:** Eligibility, minimum number and residence requirement of designated partners — Section 7 of the LLP Act, 2008.

Relevant provision — Section 7: 1. Every LLP shall have **at least two designated partners** who are **individuals**, and **at least one of them shall be resident in India**. 2. Where a **body corporate is a partner**, it may act as a designated partner only **through a nominee individual** — the body corporate itself cannot be a designated partner (a DP must be an individual). 3. Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** and give **prior consent** to act as such. 4. "**Resident in India**" means a person who has stayed in India for **not less than 120 days** during the financial year (as amended by the LLP (Amendment) Act, 2021; the earlier requirement was 182 days — *verify the current figure in the bare Act*).

Analysis: The proposal is **defective**: - A **body corporate cannot itself be a designated partner** — only its **nominee individual** can. So designating "the body corporate" as DP is not valid; a nominee must be named. - The LLP must have **at least two designated partners who are individuals**, and **at least one must be resident in India**. Having no resident designated partner is a **contravention** of Section 7.

Conclusion: Solstice Ventures LLP must appoint **at least two individual designated partners** (the body corporate acting only through a nominee individual), with **at least one resident in India**, each holding a **DPIN** and having given prior consent. **> Full-marks tip:** Nail the three musts — **two individual DPs, one resident in India, DPIN + consent** — and note a body corporate can be a DP only via a nominee individual.

Q20. LLP — audit requirement / small LLP (marks: 4) [Practical]

Question: For FY 2025-26, "Aster Design LLP" has a turnover of ₹30 lakh and partners' contribution of ₹28 lakh. The partners believe that, being below ₹40 lakh turnover, the LLP need not get its accounts audited. Advise on the audit requirement under the LLP Act, 2008 and the Rules. **Model Answer: Issue:** When is audit of an LLP's accounts mandatory — Section 34 of the LLP Act, 2008 read with Rule 24 of the LLP Rules, 2009.

Relevant provision: The accounts of an LLP must be **audited** in accordance with the Rules; however, an LLP is **exempt from audit** only if it satisfies **both** limbs — its **turnover does not exceed ₹40 lakh AND** its **contribution does not exceed ₹25 lakh**. If it crosses **either** limb, audit is **mandatory** (the test is **disjunctive** for triggering audit). *(Verify current thresholds in the bare Act/Rules, as these are periodically revised.)*

Analysis: - **Turnover ₹30 lakh** — within the ₹40 lakh limit. ✓ (does not, by itself, require audit) - **Contribution ₹28 lakh — exceeds ₹25 lakh**. ✗

Because the LLP has **crossed the contribution limb** (₹28 lakh > ₹25 lakh), it does **not** qualify for the audit exemption, even though its turnover is below ₹40 lakh. The partners' "turnover-only" reasoning is wrong — they read the test as if only turnover mattered, whereas exemption needs **both** limbs to be within the limits.

Conclusion: Aster Design LLP's accounts **must be audited** for FY 2025-26 because its contribution (₹28 lakh) exceeds the ₹25 lakh threshold. (Note also that an LLP's financial year is prescribed to end on **31 March**.) **> Full-marks tip:** Exemption needs **both** limbs satisfied (turnover ≤ ₹40 lakh **and** contribution ≤ ₹25 lakh); crossing **either one** forces an audit — flag that the figures may be revised.

End of Part 4/5. Next part (5/5) covers the General Clauses Act, 1897, Interpretation of Statutes, and FEMA, 1999.

Scope of this part: The "Other Laws" block of the CA Intermediate syllabus — The Limited Liability Partnership Act, 2008; The General Clauses Act, 1897; Interpretation of Statutes; and The Foreign Exchange Management

Act, 1999 (FEMA). Sections and thresholds are stated as per the bare Acts / current ICAI study material; always cross-check any monetary limit against the latest amendment before the exam.

Q1. LLP — Nature and separate legal entity (marks: 4) [Theory]

Question: Explain the concept of a Limited Liability Partnership as a body corporate and state any four features that distinguish it from a traditional partnership firm under the Indian Partnership Act, 1932.

Model Answer: Provision — Section 3 of the LLP Act, 2008: An LLP is a **body corporate** formed and incorporated under the Act and is a **legal entity separate from its partners**, having **perpetual succession** — a change in partners does not affect its existence, rights or liabilities.

Distinguishing features from a 1932 firm: 1. **Separate legal personality (Sec. 3):** An LLP can sue and be sued, and own/hold property in its own name (Sec. 14); a traditional firm has no existence apart from its partners. 2. **Limited liability (Sec. 27–28):** A partner's liability is limited; his personal assets are not exposed for the LLP's obligations except for his own wrongful acts. In a 1932 firm liability is **unlimited, joint and several**. 3. **Perpetual succession (Sec. 3):** The LLP survives death/retirement of partners; a traditional firm may stand dissolved on such events. 4. **No mutual agency between partners (Sec. 26):** Each partner is an agent of the **LLP but not of the other partners**, so one partner is not liable for another's independent wrongful acts. In a 1932 firm every partner is the agent of the firm and of co-partners. 5. **Indian Partnership Act does not apply (Sec. 4):** The 1932 Act's provisions do not govern an LLP.

Conclusion: An LLP fuses the flexibility of a partnership with the limited-liability shield and separate-entity status of a company.

> Full-marks tip: Cite Sec. 3, 27–28 and 26 by number; the "no mutual agency" point (Sec. 26) is the one most students omit — it earns a distinct mark.

Q2. LLP — Minimum partners and designated partners (marks: 5) [Practical]

Question: XYZ LLP has two partners, A (an individual) and B Ltd. (a body corporate). A dies. B Ltd. continues to carry on the business of the LLP alone for eight months and then admits a new partner. (i) Can the LLP legally carry on business with a single partner, and for how long? (ii) State the minimum designated-partner requirement and whether B Ltd. can itself be a designated partner.

Model Answer: Issue: Consequences of the LLP falling below the statutory minimum number of partners, and the designated-partner requirement.

Provision — Section 6, LLP Act, 2008: Every LLP must have **at least two partners**. If the number falls below two and the LLP carries on business for **more than six months** with a single partner, then the **sole remaining partner who knows of this fact and continues** the business becomes **personally liable** (unlimited) for the obligations of the LLP incurred during that period beyond six months.

Provision — Section 7: Every LLP must have **at least two designated partners who are individuals**, and at least one must be **resident in India**. A body corporate may be a partner but **cannot itself be a designated partner** — only its **nominee individual** can act as a designated partner. Every designated partner needs a **DPIN** and must give prior consent.

Analysis: - (i) After A's death only B Ltd. remains — one partner. Carrying on for **eight months** exceeds the six-month grace period. Hence for the period **beyond six months** (i.e. the last two months), B Ltd., knowing the fact and continuing, is **personally liable** for the LLP's obligations. The LLP is not automatically dissolved, but the shield is lost for that excess period. - (ii) B Ltd. cannot be a designated partner; with the LLP reduced to a single body-corporate partner it also **cannot satisfy the two-individual-designated-partner rule**, another default.

Conclusion: The LLP may lawfully continue for only **six months** with one partner; beyond that B Ltd. becomes personally liable, and the requirement of two individual designated partners stands violated.

> **Full-marks tip:** State the six-month limit and that liability attaches only for the period **beyond** six months and only to a partner **who knows** — carrying the "knowledge" and "beyond six months" qualifiers earns the marks.

Q3. LLP — Liability of partner for own wrongful act vs status (marks: 5) [Practical]

Question: P is a partner in Modern Consultants LLP. While acting in the course of the LLP's business, P negligently gives wrong professional advice to a client, causing a loss of Rs. 30 lakh. Separately, another partner Q, without P's knowledge, defrauds a supplier. A creditor seeks to recover both amounts personally from P. Advise, citing the relevant sections.

Model Answer: Issue: Extent of a partner's personal liability (a) for his own wrongful act and (b) for a co-partner's fraud.

Provisions: - **Section 27(3):** An LLP is liable if a partner is liable to any person as a result of a **wrongful act or omission** in the course of business or with authority of the LLP. - **Section 27(4):** The liability of the LLP is met out of the **property of the LLP**. - **Section 28(1):** A partner is **not personally liable**, directly or indirectly, for an obligation of the LLP **solely by reason of being a partner**. - **Section 28(2):** However, **Section 28 does not affect the personal liability of a partner for his own wrongful act or omission.**

Analysis: - **P's own negligent advice:** This is P's **own wrongful act**. Section 28(2) preserves P's personal liability; the shield does not protect a partner from his own wrong. So P is **personally liable** for the Rs. 30 lakh (and the LLP is also liable under Sec. 27). - **Q's fraud on the supplier:** P did not commit it and had no knowledge. By Section 28(1), P is not liable **solely by reason of being a partner**, and Section 26 severs mutual agency. Fraud liability under **Section 30** attaches only to **partners who acted with intent to defraud**, protecting innocent partners. Hence P is **not liable** for Q's fraud.

Conclusion: P is personally liable for his own negligent advice but **not** for Q's fraud.

> **Full-marks tip:** The examiner rewards separating the two limbs — own act (Sec. 28(2), liable) vs status only (Sec. 28(1)/Sec. 30, not liable). State that Section 30 catches only partners with fraudulent intent.

Q4. LLP — Unlimited liability for fraud (marks: 4) [Practical]

Question: The partners of Sunrise LLP borrow Rs. 5 crore from a bank. Two of the four partners, R and S, arranged the loan intending never to repay it and diverted the funds. The other two partners, T and U, were unaware. State the legal position of each partner under the LLP Act, 2008.

Model Answer: Issue: Whether the limited-liability shield survives where the LLP is used to defraud creditors.

Provision — Section 30(1), LLP Act, 2008: Where an act is carried out by the LLP or any of its partners **with intent to defraud creditors** of the LLP or any other person, or **for any fraudulent purpose**, the **liability of**

the LLP and of the partners who acted with such intent is unlimited for all debts/obligations of the LLP. The section applies **only to the partners who acted with the fraudulent intent**; a partner without knowledge is protected.

Analysis: - **R and S** arranged the loan with intent never to repay — a clear **intent to defraud**. Under Section 30, their liability is **unlimited**; their personal assets are exposed. - **T and U** were unaware and did not act with fraudulent intent. Section 30 does **not** reach them; their liability remains **limited** (Sec. 28). - Mere negligence or over-optimism would **not** trigger Section 30; here there is **dishonest intent**, so it applies.

Conclusion: R and S face unlimited personal liability; T and U retain the limited-liability shield.

> **Full-marks tip:** Anchor the answer on "intent to defraud" — state expressly that Section 30 spares the innocent partner and does not bite on mere negligence.

Q5. LLP — Cessation of partnership (marks: 5) [Practical]

Question: D is a partner in Delta LLP. The LLP agreement is silent on how a partner may cease to be a partner. D wishes to leave the LLP. (i) How can D cease to be a partner? (ii) If the LLP has not notified the Registrar of D's cessation, can a creditor who deals with the LLP still treat D as a partner? Advise with sections.

Model Answer: Issue: Mode of voluntary cessation when the agreement is silent, and the effect on third parties before notice to the Registrar.

Provision — Section 24, LLP Act, 2008: A person may cease to be a partner (a) in accordance with an **agreement**; or (b) where the agreement is silent, by giving **30 days' notice in writing** to the other partners. A person also ceases on **death, dissolution of the LLP, being declared of unsound mind, or being adjudged insolvent**.

Provision — Section 24(3) read with Section 25: A former partner is **still regarded as a partner in relation to a person dealing with the LLP** until that person **has notice of the cessation** or a **notice of cessation has been delivered to the Registrar (Form 4)**. The LLP must file notice of a person ceasing to be a partner within **30 days**.

Analysis: - (i) As the agreement is silent, D may cease by giving **30 days' written notice** to the other partners (Sec. 24(b)). - (ii) Until the creditor has notice of cessation, **or** cessation is filed with the Registrar, D **may still be treated as a partner** by a creditor dealing with the LLP. Notice to the Registrar / third party is the cut-off protecting outsiders.

Conclusion: D ceases by 30 days' notice, but he protects himself against continuing liability to third parties only once cessation is notified to them or filed with the Registrar.

> **Full-marks tip:** Cite the **30-day notice** (silence case) AND the **notice-to-Registrar cut-off** — both facts are separately marked. Mention Form 4 if you can.

Q6. LLP — Audit and Statement of Account & Solvency (marks: 5) [Practical]

Question: For the financial year ended 31 March 2026, Alpha LLP has a turnover of Rs. 12 lakh and partners' contribution of Rs. 30 lakh. Beta LLP has a turnover of Rs. 45 lakh and contribution of Rs. 10 lakh. (i) State whether each LLP is compulsorily required to get its accounts audited. (ii) State the time limits for filing the Statement of Account & Solvency and the Annual Return.

Model Answer: Issue: Applicability of compulsory audit and the annual filing timelines for an LLP.

Provision — Section 34, LLP Act, 2008 read with LLP Rules: An LLP's accounts must be audited, **except** that audit is **not** compulsory where **both** limbs are below the thresholds. Audit is required if **either**: - **turnover exceeds Rs. 40 lakh**, **OR** - **contribution exceeds Rs. 25 lakh.**

The test is **disjunctive ("OR")** — crossing **either** limb triggers audit. Every LLP must also prepare a **Statement of Account & Solvency** within **six months from the end of the financial year** (Form 8).

Provision — Section 35: Every LLP must file an **Annual Return within 60 days of the close of the financial year** (Form 11).

Analysis: - **Alpha LLP:** Turnover Rs. 12 lakh (below Rs. 40 lakh) but **contribution Rs. 30 lakh exceeds Rs. 25 lakh** → the contribution limb is crossed → **audit is compulsory**. - **Beta LLP:** Contribution Rs. 10 lakh (below Rs. 25 lakh) but **turnover Rs. 45 lakh exceeds Rs. 40 lakh** → the turnover limb is crossed → **audit is compulsory**.

Conclusion: Both Alpha and Beta must get their accounts audited. Statement of Account & Solvency: within **6 months** of year-end (Form 8); Annual Return: within **60 days** of year-end (Form 11).

> Full-marks tip: The trap is reading the test as "AND". State clearly it is "OR" — either limb triggers audit. Carry both time limits (6 months / 60 days) with the correct forms.

Q7. LLP — Conversion and contribution (marks: 4) [Theory]

Question: (i) What forms may a partner's contribution to an LLP take under the LLP Act, 2008? (ii) Can a creditor enforce a partner's obligation to contribute even after the LLP agreement is amended to reduce it?

Model Answer: Provision — Section 32, LLP Act, 2008 (Form of contribution): A partner's contribution may be **tangible or intangible, movable or immovable property**, and includes **money, promissory notes, other agreements to contribute cash or property, and contracts for services performed or to be performed** (i.e. sweat equity / know-how). The **monetary value of a non-cash contribution** must be accounted for and disclosed as prescribed.

Provision — Section 33 (Obligation to contribute): 1. The obligation of a partner to contribute money or property is as set out in the **LLP agreement**. 2. **A creditor who dealt with the LLP without knowledge of, but relying on, an obligation** in the agreement (or an amendment creating the obligation) may **enforce the original obligation** even if the agreement is later altered to reduce or extinguish it.

Conclusion: Contribution is flexible in form (Sec. 32), but a reduction of contribution cannot be used to defeat a creditor who relied on the original obligation (Sec. 33).

> Full-marks tip: Mention the **sweat-equity / services** form of contribution and the **creditor-reliance** protection under Sec. 33 — these two points carry the marks.

Q8. LLP — Extent of liability of the LLP (marks: 4) [Practical]

Question: An employee of Bright LLP, while acting outside the course of the LLP's business and without any authority from the LLP, causes damage to a third party. The third party sues the LLP. Is the LLP liable? Answer with reference to Section 27.

Model Answer: Issue: Whether the LLP is bound by an unauthorised act done outside the course of its business.

Provision — Section 27(1) & (2), LLP Act, 2008: An LLP is **not bound** by anything done by a partner in dealing with a person if: (a) the partner **had no authority** to act for the LLP in that matter, **and** (b) the person **knows** that the partner has no authority **or does not know or believe him to be a partner** of the LLP.

This is a **cumulative (two-limb) test** — **both** conditions must be satisfied for the LLP to escape liability.

Section 27(3): The LLP is liable for a **wrongful act or omission** of a partner acting **in the course of the LLP's business or with its authority**.

Analysis: Here the act is done **outside the course of the LLP's business and without authority**. Since the act lacks both authority and connection to the LLP's business, it does not fall within Section 27(3). Whether the LLP is bound depends on the cumulative Section 27(2) test; on these facts the LLP is **not bound**, as the act was unauthorised and outside its business.

Conclusion: The LLP is **not liable** for an unauthorised act done outside the course of its business.

> **Full-marks tip:** State that the "not bound" test in Sec. 27(2) is **cumulative** — both limbs required — and contrast with Sec. 27(3) (in-course-of-business acts bind the LLP).

Q9. LLP — Incorporation requirements (marks: 4) [Theory]

Question: State the essential requirements for incorporation of an LLP under Sections 11 and 12 of the LLP Act, 2008. Can an LLP be formed for a charitable, not-for-profit object?

Model Answer: Provision — Section 11 (Incorporation document): For registration, **two or more persons associated for carrying on a lawful business with a view to profit** must: 1. Subscribe their names to an **incorporation document**; 2. **File it with the Registrar** of the State in which the registered office is situated, with the prescribed fee; and 3. File a **statement of compliance** signed by **both** (a) a professional — advocate/CA/CS/Cost Accountant — engaged in the formation, **and** (b) a subscriber to the incorporation document, certifying that all requirements of the Act have been complied with.

Provision — Section 12: The Registrar registers the document (within **14 days**) and issues a **Certificate of Incorporation**, which is **conclusive evidence** that the LLP is incorporated.

Charitable object: Section 11 requires the business to be **"with a view to profit."** Hence an LLP **cannot** be formed for a purely charitable / not-for-profit object — this is a key difference from a **Section 8 company** under the Companies Act, which can be formed for charitable purposes.

Conclusion: An LLP needs at least two persons, a lawful **profit-making** business, an incorporation document and a two-signature compliance statement; it cannot be a not-for-profit vehicle.

> **Full-marks tip:** The two examinable hooks are the **"with a view to profit"** requirement and the **two-signature** compliance statement (professional + subscriber). State both.

Q10. LLP — Whistle-blowing (marks: 3) [Theory]

Question: Briefly explain the whistle-blowing protection available under the LLP Act, 2008.

Model Answer: Provision — Section 31, LLP Act, 2008 (Whistle blowing): 1. The **Tribunal** may **reduce or waive any penalty** leviable against a partner or employee of an LLP who has **provided useful information** during an investigation, where such information leads to the LLP or a partner being **convicted** under the Act. 2. **No partner or employee** who provides such useful information may be **discharged, demoted, suspended, threatened, harassed or discriminated against** in the terms and conditions of his employment/engagement merely for providing that information.

Conclusion: Section 31 both **incentivises** disclosure (penalty relief) and **protects** the informant against retaliation, supporting enforcement against fraud.

> **Full-marks tip:** Give both limbs — penalty reduction/waiver AND protection from victimisation — and cite Section 31.

Q11. GCA — Commencement of an enactment (marks: 4) [Practical]

Question: A Central Act receives the assent of the President on 10 August 2025 but is **silent** as to the date of its commencement. Another Central Act provides that it "shall come into force on such date as the Central Government may, by notification, appoint." Determine when each Act comes into operation, citing the relevant provision of the General Clauses Act, 1897.

Model Answer: Issue: Date of coming into operation where the Act is silent, and where commencement is left to a notification.

Provision — Section 5, General Clauses Act, 1897: Where any Central Act is **not expressed to come into operation on a particular day**, it comes into operation on the day it **receives the assent** of the President.

Analysis: - **First Act (silent):** Section 5 supplies the default → it comes into operation on the **date of the President's assent, i.e. 10 August 2025**. - **Second Act (commencement by notification):** Here the Act expresses a **different intention** — commencement is tied to a Government notification. Section 5 is displaced; the Act comes into force **only on the date appointed by the notification** and remains **dormant** until then. Different sections may even be notified on different dates (staggered commencement), as was done for the Companies Act, 2013.

Conclusion: The first Act commences on **10 August 2025** (assent); the second commences **only when the notified date arrives**.

> **Full-marks tip:** State that Section 5 is only a **fallback for silence**; a named date or notification clause displaces it. Mention staggered commencement for full marks.

Q12. GCA — Computation of time and holidays (marks: 5) [Practical]

Question: A statute requires a return to be filed "within 30 days **from** 1st April 2026." (i) Applying the General Clauses Act, 1897, compute the last date for filing. (ii) If that last date is a public holiday on which the office is closed, when may the act validly be done? (iii) Does this holiday rule apply to proceedings under the Limitation Act, 1963?

Model Answer: Issue: Counting a period expressed with "from", and the effect of the last day being a holiday.

Provisions: - **Section 9, GCA:** In computing time, the word **"from"** is used to **exclude the first day**, and the word **"to"** to **include the last day**. So the opening day (1 April) is excluded and counting begins from 2

April. - **Section 10, GCA:** Where an act is allowed to be done within a prescribed period and the **last day is a holiday** on which the office/court is closed, the act is deemed done in time if done on the **next day the office is open**. *Proviso:* Section 10 does **not** apply to proceedings governed by the **Limitation Act, 1963** (which has its own holiday rule in its Section 4).

Analysis: - (i) Excluding 1 April (Sec. 9), 30 days are counted from 2 April → the **30th day is 1 May 2026**, which is the last date for filing. - (ii) If **1 May 2026** is a holiday with the office closed, by Section 10 the return may validly be filed on the **next open day**, and it is treated as filed in time. - (iii) **No** — by the proviso to Section 10, this benefit does **not** extend to Limitation-Act proceedings, which are governed by Section 4 of the Limitation Act, 1963.

Conclusion: Last date = **1 May 2026**; if a holiday, filing on the next working day is valid; but Section 10 does not apply to Limitation-Act matters.

> **Full-marks tip:** Show the "from = exclude first day" step explicitly, then apply Section 10, and state the **Limitation Act carve-out** — each is a separate mark.

Q13. GCA — Effect of repeal (marks: 5) [Practical]

Question: A prosecution is pending against Mr. K for an offence committed under a Central Act. Before judgment, Parliament **repeals** that Act and replaces it with a new one. Mr. K argues that since the old Act no longer exists, the prosecution against him must collapse and he must be acquitted. Examine his contention with reference to the General Clauses Act, 1897.

Model Answer: Issue: Whether repeal of the Act under which an offence was committed wipes out a pending prosecution.

Provision — Section 6, General Clauses Act, 1897: Where a Central Act repeals any enactment, then **unless a different intention appears**, the repeal shall **NOT**: - (a) revive anything not in force at the time of repeal; - (b) affect the **previous operation** of the repealed enactment or anything **duly done or suffered** under it; - (c) affect any **right, privilege, obligation or liability acquired, accrued or incurred** under the repealed enactment; - (d) affect any **penalty, forfeiture or punishment** incurred in respect of any offence committed under the repealed enactment; - (e) affect any **investigation, legal proceeding or remedy** in respect of such right, liability, penalty or punishment.

Any such proceeding may be **continued and the penalty imposed as if the repealing Act had not been passed.**

Analysis: Mr. K's offence and the liability/penalty for it were **incurred under the old Act** before repeal. Under Section 6(d) and (e), the repeal does **not** wipe out that penalty or the pending legal proceeding, unless the repealing Act shows a **different intention** (e.g. expressly stating pending proceedings shall abate). No such intention is stated. Hence the prosecution **survives** and continues as if the old Act had not been repealed.

Conclusion: Mr. K's contention **fails**; the pending prosecution continues and he can be convicted and punished.

> **Full-marks tip:** List clauses (b)–(e) of Section 6 and add the **"unless a different intention appears"** qualifier — this is the star section and examiners want the clauses cited.

Q14. GCA — Service by post (marks: 4) [Practical]

Question: A company sent a statutory notice to a shareholder by **registered post**, correctly addressed and pre-paid, on 1 March 2026. The shareholder claims he never received it and that service is therefore not complete. Advise with reference to the General Clauses Act, 1897.

Model Answer: Issue: Whether service is complete when a correctly addressed, pre-paid registered letter is posted but the addressee denies receipt.

Provision — Section 27, General Clauses Act, 1897 (Meaning of service by post): Where any Central Act requires a document to be served by post (whether the word "serve", "give" or "send" is used), then **unless a different intention appears**, the service is **deemed to be effected** by: 1. **properly addressing**, **pre-paying** and **posting** the document **by registered post**, and 2. is deemed to have been effected at the time at which the letter would be **delivered in the ordinary course of post**.

Analysis: The company **properly addressed, pre-paid and posted by registered post**. All conditions of Section 27 are met, so service is **deemed effected** in the ordinary course of post. A **rebuttable presumption** of delivery arises; the burden now shifts to the **shareholder to prove** that the letter was in fact not delivered. A bare denial of receipt is generally insufficient to rebut the presumption.

Conclusion: Service is **deemed complete**; the shareholder's mere denial does not, by itself, defeat it.

> **Full-marks tip:** State all three requirements (properly addressed + pre-paid + registered post) and that the presumption is **rebuttable**, shifting the burden to the addressee.

Q15. Interpretation — Rules of interpretation (marks: 5) [Theory]

Question: Explain the (i) Literal rule, (ii) Golden rule, and (iii) Mischief rule (Heydon's rule) of interpretation of statutes.

Model Answer: Concept: Rules of interpretation are **judge-made aids** courts use to ascertain the intention of the legislature where the words of a statute are unclear.

1. **Literal / Grammatical Rule.** Words are given their **plain, ordinary, natural and grammatical meaning**. If the language is clear and unambiguous, effect must be given to it even if the result seems harsh — the court does not add to or subtract from the words. It is the **primary rule**: the intention is best gathered from the words actually used.
2. **Golden Rule.** A **modification of the literal rule**. Words are given their ordinary meaning **unless that produces an absurdity, inconsistency or repugnance**; in that case the court may **depart from the literal meaning** to the extent necessary to **avoid the absurdity** and give effect to the true intention. It is used sparingly, only to cure an obvious absurdity.
3. **Mischief Rule (Heydon's Case).** The court asks four questions: (a) What was the **common law / earlier law** before the Act? (b) What was the **mischief or defect** for which the earlier law did not provide? (c) What **remedy** has Parliament resolved to cure the mischief? (d) The **true reason** of the remedy. The court then adopts the construction that **suppresses the mischief and advances the remedy**.

Conclusion: Courts begin with the literal rule; where it yields absurdity they apply the golden rule; and to further the object of a remedial statute they apply the mischief rule.

> **Full-marks tip:** Name each rule, give its core idea in one line, and for the mischief rule list Heydon's **four considerations** — the four-point list is worth a mark on its own.

Q16. Interpretation — Internal and external aids (marks: 4) [Theory]

Question: Distinguish between internal aids and external aids to interpretation of a statute, giving two examples of each.

Model Answer: Concept: Where the meaning of a statutory provision is doubtful, courts use **aids to construction** to ascertain legislative intent. These are of two kinds.

Internal aids — found **within the statute itself**: 1. **Title** (long title and short title) and **Preamble** — indicate the object and scope of the Act. 2. **Definition / interpretation clause, headings, marginal notes, provisos, illustrations, explanations, and schedules** — help explain the meaning of the enacting words. A **proviso** carves out an exception; an **explanation** clarifies; a **schedule** supplements the sections.

External aids — found **outside the statute**: 1. **Historical background, Parliamentary history** (Statement of Objects and Reasons, debates, reports of committees/commissions). 2. **Dictionaries, earlier and later statutes on the same subject (statutes in pari materia), and judicial decisions.**

Conclusion: Internal aids are drawn from the text and structure of the Act; external aids are drawn from materials outside it. Courts turn to aids only where the language is ambiguous.

> Full-marks tip: Correctly classify — Preamble/proviso/schedule are **internal**; Objects & Reasons, dictionaries, committee reports are **external**. Misplacing one loses a mark.

Q17. Interpretation — Preamble and proviso (marks: 4) [Theory]

Question: State the role of (i) the Preamble and (ii) a Proviso in the interpretation of a statute.

Model Answer: (i) Preamble: - The Preamble is a **preparatory statement** setting out the **reasons and objects** of the Act — a key to the mind of the legislature. - **Rule:** Where the enacting words are **clear and unambiguous**, they **prevail** and the Preamble cannot cut them down. But where the words are **ambiguous**, the Preamble may be used to **resolve the ambiguity** and ascertain the true scope and object. - The Preamble cannot **restrict or extend** the plain meaning of clear enacting words.

(ii) Proviso: - A proviso is normally added to **qualify or create an exception** to the main provision to which it is attached. - **Rule:** A proviso operates only on the **subject matter of the main enactment** — it carves out something that would otherwise fall within the main clause. It is **not to be construed as enlarging** the scope of the main provision. - The **natural presumption** is that but for the proviso the enacting part would have covered the excepted case.

Conclusion: The Preamble is an aid to resolve ambiguity in the object; a proviso is an exception to, and must be read with, the main provision.

> Full-marks tip: For the Preamble, state that it yields to **clear enacting words** but helps where they are **ambiguous**; for the proviso, that it **excepts, not enlarges**.

Q18. FEMA — Person resident in India (marks: 5) [Practical]

Question: Mr. A, an Indian citizen, left India on 15 June 2025 to take up permanent employment in Dubai. Mr. B, a foreign national, arrived in India on 1 April 2026 to take up employment with an Indian company for an uncertain period. Determine the residential status of each under FEMA for the relevant period, with reasons.

Model Answer: Issue: Residential status under FEMA, which turns on **residence and purpose**, not citizenship.

Provision — Section 2(v)(i), FEMA, 1999: A **"person resident in India"** means a person residing in India for **more than 182 days during the preceding financial year**, but does **not include**: - a person who has gone out of / stays outside India **for employment, business, or for any other purpose indicating an intention to stay outside India for an uncertain period**; and, conversely, - a person who has come to / stays in India is a resident only if he has come **for employment, business or with an intention to stay in India for an uncertain period**.

The **purpose/intention test overrides the day-count** for a person leaving or arriving.

Analysis: - **Mr. A:** Although an Indian citizen who was in India for more than 182 days previously, he has **left India for permanent employment abroad** — an intention to stay outside India for an uncertain period. By the purpose override, he becomes a **person resident OUTSIDE India (non-resident) from the day he leaves (15 June 2025)**. **Citizenship is irrelevant.** - **Mr. B:** A foreign national, but he has **come to India for employment for an uncertain period.** By the purpose test he becomes a **person resident IN India from the date of arrival (1 April 2026)**, despite not having been here 182 days in the preceding year.

Conclusion: Mr. A is a **non-resident** (from 15 June 2025); Mr. B is a **resident in India** (from 1 April 2026).

> **Full-marks tip:** State that **purpose beats the 182-day count** and that **citizenship is irrelevant** — both are the crux of FEMA residence questions.

Q19. FEMA — Current vs capital account transactions (marks: 5) [Practical]

Question: Classify each of the following as a current account transaction or a capital account transaction under FEMA, 1999, and state the default regulatory treatment of each category: (a) Payment for import of raw materials; (b) Purchase of shares of a foreign company by a resident; (c) Remittance for a child's education abroad; (d) A loan taken by a resident from a person outside India; (e) Remittance of interest on a foreign loan.

Model Answer: Issue: Classification of transactions under Sections 2(j) and 2(e), FEMA, and their default treatment.

Provisions: - **Section 2(e) — Capital account transaction:** a transaction which **alters the assets or liabilities** (including contingent liabilities) **outside India of persons resident in India, or assets/liabilities in India of persons resident outside India.** Default: **regulated by the RBI** — permitted only as allowed. - **Section 2(j) — Current account transaction:** a transaction **other than a capital account transaction**, and includes trade payments, interest on loans, and living expenses (travel, education, medical care of family). Default: **free**, subject only to reasonable restrictions the Central Government may impose in public interest. - **Test:** decide "capital?" first (does it create/alter a foreign asset or liability?); if **no**, it is **current** by default.

Analysis (classification):

Transaction	Creates/alters a foreign asset or liability?	Classification	Default treatment
(a) Payment for import of raw materials	No — a trade payment	**Current**	Free
(b) Purchase of shares of a foreign company	Yes — creates a foreign asset	**Capital**	Regulated by RBI
(c) Remittance for child's education abroad	No — living/education expense	**Current**	Free
(d) Loan taken from a person outside India	Yes — creates a foreign liability	**Capital**	Regulated by RBI
(e) Remittance of interest on a foreign loan	No — interest is an income/expense flow	**Current**	Free

Conclusion: (a), (c) and (e) are **current account** (default free); (b) and (d) are **capital account** (default regulated by the RBI).

> **Full-marks tip:** Apply the "does it change a foreign asset/liability?" test to each item, and state the correct **default** — current = free, capital = regulated. Note interest is current even though the underlying loan is capital.

Q20. FEMA — Contraventions, penalty and compounding (marks: 4) [Theory]

Question: (i) State the nature of a contravention under FEMA, 1999 and the maximum monetary penalty leviable under Section 13. (ii) What is meant by "compounding" of a contravention?

Model Answer: Issue: Consequences of a contravention under FEMA and the concept of compounding.

(i) Nature and penalty — Section 13, FEMA, 1999: - A contravention of FEMA is a **civil wrong** (not a criminal offence, unlike the erstwhile FERA) — there is no presumption of guilt. - On adjudication, a person contravening any provision/rule/regulation/direction is liable to a penalty **up to thrice the sum involved** in the contravention where the amount is **quantifiable**, or **up to Rs. 2 lakh** where it is **not quantifiable**. - Where the contravention is a **continuing one**, a further penalty **up to Rs. 5,000 for every day** after the first during which it continues may be levied. - Additionally, the Adjudicating Authority may direct that any currency, security or property involved be **confiscated**.

(ii) Compounding — Section 15: - **Compounding** is the **voluntary settlement** of a contravention by the contravener **admitting** it and **paying a specified sum**, thereby avoiding prosecution/adjudication proceedings. - Any contravention under Section 13 **may be compounded** (within the prescribed period) by the **RBI / prescribed authority** on an application by the person committing it. Once compounded, **no further proceedings** may be initiated for the same contravention.

Conclusion: FEMA treats breaches as civil contraventions attracting monetary penalty (up to **thrice the amount** involved), which the contravener may **compound** by settlement, reflecting FEMA's management-not-punishment philosophy.

> **Full-marks tip:** State the **"thrice the sum / Rs. 2 lakh if not quantifiable"** limit and the **Rs. 5,000/day** continuing penalty, and that compounding = voluntary settlement barring further proceedings.

Corporate & Other Laws — Chapter-wise Problem Drills

Graded practice problems (easy → exam-hard) across all chapters, each with a full worked solution and a marks tip.

Coverage: Chapters 1–5 of the Companies Act, 2013 module — (1) Preliminary & Definitions, (2) Incorporation of Company, (3) Prospectus & Allotment of Securities, (4) Share Capital & Debentures, (5) Acceptance of Deposits. Ordered Easy → Medium → Hard. All sections are of the Companies Act, 2013 unless stated. Monetary limits reflect current ICAI position; treat starred figures as "confirm latest".

D1. [Preliminary & Definitions — Small Company] (level: Easy)

Problem: Sunrise Pvt. Ltd. has, as per its latest audited financials, a paid-up share capital of ₹3,00,00,000 and a turnover of ₹35,00,00,000. It is not a holding or subsidiary of any company, is not registered under Section 8, and is not governed by any special Act. Its director asks whether it qualifies as a "small company" and hence enjoys lighter compliance. Advise.

Solution: - **Issue:** Does Sunrise Pvt. Ltd. satisfy the definition of a small company? - **Section:** Section 2(85), Companies Act, 2013 read with the Companies (Specification of Definitions Details) Rules, 2014 (as amended 2022). - **Analysis:** A small company is a company, **other than a public company**, whose **(i) paid-up share capital does not exceed ₹4 crore*** and **(ii) turnover does not exceed ₹40 crore***. **Both** limits must be satisfied (the test is cumulative, "AND"). Exclusions: a holding/subsidiary company, a Section 8 company, and a company governed by any special Act can **never** be small. - Paid-up capital ₹3 crore ≤ ₹4 crore → satisfied. - Turnover ₹35 crore ≤ ₹40 crore → satisfied. - Not public, not holding/subsidiary, not Section 8, not special-Act → no exclusion applies. - **Conclusion:** Sunrise Pvt. Ltd. **qualifies as a small company** and may avail the relaxations (e.g., only two board meetings a year, abridged annual return, no cash-flow statement, no mandatory auditor rotation). Note the status is **dynamic** — it is re-tested each year.

> Marks tip: State that both capital AND turnover limits must be met and name the exclusions; a candidate who checks only one limit loses the definitional mark.

D2. [Preliminary & Definitions — One Person Company] (level: Easy)

Problem: Mr. Rahul, an Indian citizen who stayed in India for 200 days in the immediately preceding financial year, wishes to form a One Person Company (OPC) and proposes to appoint his brother (also an Indian citizen resident in India) as nominee. He also intends the OPC to carry on non-banking financial investment activities. Advise on his eligibility and the proposed object.

Solution: - **Issue:** Is Mr. Rahul eligible to form an OPC, is the nominee valid, and is the proposed object permitted? - **Section:** Section 2(62) (definition of OPC) read with Rule 3 of the Companies (Incorporation) Rules, 2014. - **Analysis:** - Only a **natural person who is an Indian citizen** — whether resident in India or otherwise — may form an OPC and be its nominee. "Resident in India" means a person who has stayed in India for **at least 120 days*** during the immediately preceding financial year. Mr. Rahul (200 days) comfortably qualifies. - The nominee must likewise be a natural person, Indian citizen; the brother qualifies. Written consent (Form INC-3) is required, filed with the Registrar at incorporation. - An OPC **cannot carry**

out Non-Banking Financial Investment activities including investment in securities of any body corporate, and cannot be incorporated/converted into a **Section 8** company. - **Conclusion:** Mr. Rahul is **eligible** and the nominee is **valid**, but the OPC **cannot** carry on NBFC/investment activities — that object must be dropped.

> **Marks tip:** The 120-day residency test and the express bar on NBFC activity are the two mark-earning points; simply saying "OPC allowed" without the object restriction under-answers.

D3. [Incorporation — Name Reservation] (level: Easy)

Problem: Bright Foods Pvt. Ltd. (a proposed new company) obtained approval of its name from the Registrar on 1st June. The promoters got busy and filed the incorporation application (SPICe+) only on 25th June. The Registrar rejected the filing as time-barred. Is the rejection correct?

Solution: - **Issue:** For how long is a reserved name valid for a **new** (proposed) company, and had it lapsed? - **Section:** Section 4(5)(i) read with Rule 9 of the Companies (Incorporation) Rules, 2014. - **Analysis:** Where the Registrar reserves a name for a **proposed (new) company**, the reservation is valid for **20 days from the date of approval**. Approval was on 1st June, so the name was reserved up to **21st June**. The incorporation documents were filed on 25th June — **after** the 20-day window. (For a change of name by an *existing* company the period is 60 days.) - **Conclusion:** The reservation had **lapsed**; the Registrar's rejection is **correct**. The promoters must apply afresh for name reservation.

> **Marks tip:** Distinguish 20 days (new company) from 60 days (existing company changing name) — mixing them is the classic error.

D4. [Incorporation — Commencement of Business] (level: Easy)

Problem: Zenith Ltd., a company having a share capital, was incorporated on 10th January 2026. As on 20th July 2026, it has neither filed the declaration that every subscriber has paid the value of shares agreed to be taken, nor filed verification of its registered office. State the consequences.

Solution: - **Issue:** What is the effect of not filing the Section 10A declaration within the prescribed time? - **Section:** Section 10A (declaration for commencement of business) and Section 12 (registered office). - **Analysis:** A company having share capital **shall not commence business or exercise borrowing powers** unless a director files, **within 180 days of incorporation**, a declaration (Form INC-20A) that every subscriber has paid the value of shares agreed to be taken. 180 days from 10th January 2026 expires on **≈ 9th July 2026**; the declaration is overdue. Consequences: - Company liable to penalty of **₹50,000**; every officer in default liable to **₹1,000 per day** of default, subject to a maximum of **₹1,00,000**. - If no declaration is filed within 180 days and the Registrar has reasonable cause to believe the company is not carrying on business, he may **initiate action for removal of the company's name** from the register. - Separately, verification of registered office (Section 12) must be filed within **30 days** of incorporation — also in default here. - **Conclusion:** Zenith Ltd. and its officers are exposed to the Section 10A penalties and possible **strike-off**; the company cannot lawfully commence business or borrow until the declaration is filed.

> **Marks tip:** Quote the 180-day limit and the twin penalty (₹50,000 on company + ₹1,000/day on officer capped at ₹1,00,000) plus the strike-off risk; the penalty figures carry the marks.

D5. [Prospectus & Allotment — Minimum Application Money] (level: Easy)

Problem: Aqua Ltd. is making a public issue of equity shares of nominal (face) value ₹10 each. The Board proposes to call only ₹0.30 per share on application. Is this permissible under the Companies Act, 2013?

Solution: - **Issue:** What is the minimum amount payable on application per security? - **Section:** Section 39(2). - **Analysis:** The amount payable on application on each security **shall not be less than 5% of the nominal amount of the security** or such other percentage/amount as SEBI may specify by regulations. - Minimum application money = 5% × ₹10 = **₹0.50 per share**. - The proposed ₹0.30 is **below** ₹0.50. - **Conclusion:** The proposal is **not permissible**; Aqua Ltd. must call **at least ₹0.50 per share** on application. (For a SEBI-governed public issue, SEBI ICDR norms — typically higher — will additionally apply.)

> **Marks tip:** Show the 5% × ₹10 = ₹0.50 working explicitly; stating "5%" without computing the rupee figure leaves half a mark on the table.

D6. [Preliminary & Definitions — Subsidiary vs Associate] (level: Medium)

Problem: Alpha Ltd. holds 6,00,000 equity shares (carrying voting rights) out of the 10,00,000 total voting equity shares of Beta Ltd. Alpha Ltd. also holds 25,000 equity shares out of the 1,00,000 total voting equity shares of Gamma Ltd. Classify Alpha's relationship with Beta and with Gamma, with reasons.

Solution: - **Issue:** Is Beta a subsidiary and is Gamma an associate of Alpha? - **Sections:** Section 2(87) (subsidiary) and Section 2(6) (associate company). - **Analysis:**

Working Note 1 — Beta: - Voting power held = 6,00,000 / 10,00,000 = **60%**. - Section 2(87): a subsidiary is one in which the holding company **controls more than one-half of total voting power** (or controls composition of the Board). - 60% > 50% → control of more than one-half of voting power.

Working Note 2 — Gamma: - Voting power held = 25,000 / 1,00,000 = **25%**. - Section 2(6): an associate is a company in which the other has **significant influence** — i.e., control of **at least 20% of total voting power** (or control of/participation in business decisions under an agreement), but which is not a subsidiary. - 25% ≥ 20% and < 50% → significant influence, not control. - **Conclusion:** Beta Ltd. is a **subsidiary** of Alpha Ltd. (60% voting power). Gamma Ltd. is an **associate company** of Alpha Ltd. (25% — significant influence, but not a subsidiary).

> **Marks tip:** Anchor to the exact thresholds — "more than one-half" for subsidiary, "at least 20%" for associate — and show the percentage working for each; a bare classification without the % test earns little.

D7. [Prospectus & Allotment — Private Placement Ceiling] (level: Medium)

Problem: Orbit Ltd. proposes to make a private placement of securities in a financial year to the following identified persons: 180 individual investors, 30 Qualified Institutional Buyers (QIBs), and 12 employees to whom securities are offered under a scheme of employees' stock option. Determine whether the private placement is within the permitted ceiling on number of persons.

Solution: - **Issue:** Does the offer breach the ceiling on the number of persons in a private placement? - **Section:** Section 42 read with Rule 14 of the Companies (Prospectus and Allotment of Securities) Rules, 2014. - **Analysis:** A private placement offer can be made to a maximum of **200 persons in aggregate in a financial year** (per kind of security), **excluding QIBs and employees offered securities under ESOP**.

Working Note — persons to be counted: | Category | Number | Counted toward 200? | |---|---|---| | Individual investors | 180 | Yes | | QIBs | 30 | No (excluded) | | ESOP employees | 12 | No (excluded) | | **Counted total** | **180** | |

- Persons counted = **180 ≤ 200** → within ceiling.
- **Conclusion:** The private placement is **valid** on the number-of-persons test. Orbit Ltd. must still comply with the other Section 42 conditions (application money via banking channel into a **separate bank account**, allotment within **60 days**, filing of return of allotment in **PAS-3** before utilising the money, no public advertisement).

> **Marks tip:** Explicitly exclude QIBs and ESOP employees in a table — the examiner rewards the reasoning that only 180 are counted, not merely the "valid" verdict.

D8. [Prospectus & Allotment — Minimum Subscription Not Received] (level: Medium)

Problem: Nova Ltd. made a public issue and, as stated in the prospectus, the minimum subscription was 90% of the issue. By the closing date, applications were received for only 70% of the issue. The Board wishes to proceed with allotment to those who applied. Advise on the legal position and the refund obligation, including timelines and consequences of delay.

Solution: - **Issue:** Can allotment proceed when minimum subscription is not received, and what must the company do? - **Section:** Section 39(1) and 39(3). - **Analysis:** - Section 39(1): **No allotment** of securities offered to the public shall be made unless the amount stated as the **minimum subscription** has been **subscribed** and the application money received. Here only 70% was subscribed against a 90% minimum → the condition **fails**. - Therefore allotment **cannot** be made; the Board's proposal is unlawful. - Refund: If the stated minimum subscription is not received **within 30 days from the date of issue of the prospectus** (or such period specified by SEBI), the application money must be **repaid within the further period prescribed** (SEBI ICDR: within **15 days** from closure of the issue). If not repaid within that period, the directors who are officers in default are jointly and severally liable to **repay with interest at 15% p.a.** for the delayed period. - Section 39(5): default in complying attracts penalty on company and officer in default (₹1,000 per day of default, up to ₹1,00,000 for the company). - **Conclusion:** Allotment **must not** proceed. Nova Ltd. is bound to **refund the entire application money**; failure within the prescribed period triggers **15% p.a. interest** and Section 39(5) penalties.

> **Marks tip:** The 30-day non-receipt trigger, the refund timeline, and the 15% p.a. interest on delay are the three scoring points — don't stop at "allotment not allowed".

D9. [Share Capital — Utilisation of Securities Premium] (level: Medium)

Problem: Crest Ltd. has a securities premium account of ₹40,00,000. The Board proposes to use it for the following: (a) paying a dividend to equity shareholders; (b) issuing fully paid bonus shares; (c) writing off preliminary expenses; and (d) providing for the premium payable on redemption of its redeemable preference shares. Advise which uses are permissible.

Solution: - **Issue:** Which of the four proposed applications of the securities premium account are lawful? - **Section:** Section 52. - **Analysis:** The securities premium account is treated **as if it were paid-up share capital** and can be applied **only** for the purposes specified in Section 52(2): - Issuing **fully paid bonus shares** to members; - Writing off **preliminary expenses**; - Writing off **expenses/commission/discount** on issue of shares or debentures; - Providing for the **premium payable on redemption** of redeemable preference shares or debentures; - **Buy-back** of its own shares under Section 68.

Testing each: | Proposal | Permissible? | Reason | |---|---|---| | (a) Pay equity dividend | **No** | Dividend must come from profits/free reserves; premium is not a free reserve | | (b) Bonus shares | **Yes** | Expressly allowed | | (c) Preliminary expenses | **Yes** | Expressly allowed | | (d) Premium on redemption of preference shares | **Yes** | Expressly allowed | - **Conclusion:** Uses **(b), (c) and (d) are permissible**; use **(a) — dividend — is not**. (For companies whose financial statements comply with the Section 133 accounting standards, the permitted uses are further narrowed, but bonus issue remains allowed.)

> **Marks tip:** The trap is (a) dividend — state clearly that securities premium is not a "free reserve" and cannot fund dividend; listing the permitted uses from Section 52(2) frames the answer.

D10. [Share Capital — Rights Issue Entitlement] (level: Medium)

Problem: Peak Ltd. has 5,00,000 equity shares of ₹10 each fully paid. To fund expansion, the Board decides to issue further shares by way of a rights issue in the ratio of 1 new share for every 5 held, at ₹25 per share (₹10 face + ₹15 premium). Mr. Sen holds 12,000 equity shares. Compute his rights entitlement and the amount he must pay to take up his full entitlement, and state the offer's key procedural conditions.

Solution: - **Issue:** What is Mr. Sen's rights entitlement, the cost of full take-up, and the procedure? - **Section:** Section 62(1)(a) (further issue of capital — rights issue). - **Analysis:**

Working Note 1 — Entitlement: - Ratio 1 : 5 → entitlement = 12,000 × (1/5) = **2,400 shares**.

Working Note 2 — Amount payable: - Price per share = ₹25 (₹10 face + ₹15 premium). - Total = 2,400 × ₹25 = **₹60,000**.

Procedure under Section 62(1)(a): - Offer by notice to existing equity shareholders in proportion to their paid-up capital. - Offer must remain open for **not less than 15 days and not more than 30 days** (a shorter period is allowed if 90% of members agree); if not accepted, deemed declined. - The offer must state the right to **renounce** the shares in favour of another person (unless the articles provide otherwise). - Unaccepted/renounced shares may be disposed of by the Board in a manner **not disadvantageous** to shareholders and the company. - **Conclusion:** Mr. Sen is entitled to **2,400 shares** and must pay **₹60,000** to take up his full entitlement; the offer must stay open 15–30 days and carry a right of renunciation.

> **Marks tip:** Show both working notes (entitlement then rupee cost) and quote the 15–30 day window plus the renunciation right — the procedure carries as many marks as the arithmetic.

D11. [Acceptance of Deposits — Private Company from Members] (level: Medium)

Problem: Solace Pvt. Ltd. (a private company, not an eligible company) has paid-up share capital of ₹3,50,00,000, free reserves of ₹2,00,00,000 and a securities premium account of ₹50,00,000. It proposes to accept deposits of ₹6,20,00,000 from its members. Advise on the maximum it may accept and the key conditions.

Solution: - **Issue:** What is the ceiling on deposits a private company may accept from its members, and is ₹6.20 crore within it? - **Section:** Section 73(2) read with Rule 3 of the Companies (Acceptance of Deposits) Rules, 2014 (as relaxed for private companies by the MCA exemption notification dated 13 June 2017). - **Analysis:** A private company may accept from its **members** monies not exceeding **100% of the aggregate**

of its paid-up share capital, free reserves and securities premium account (ordinary private company limit; certain specified private companies — e.g., start-ups or those meeting the notification conditions — may accept beyond 100%).

Working Note — base and ceiling: | Component | Amount (₹) | |---|---| | Paid-up share capital | 3,50,00,000 | | Free reserves | 2,00,00,000 | | Securities premium | 50,00,000 | | **Aggregate base** | **6,00,00,000** | | Ceiling = 100% of base | **6,00,00,000** |

- Proposed ₹6,20,00,000 **exceeds** the ceiling of ₹6,00,00,000 by ₹20,00,000.
- **Conclusion:** Solace Pvt. Ltd. may accept **only up to ₹6,00,00,000** from members (unless it qualifies under the notification to exceed 100%); the proposed ₹6.20 crore is **excessive** by ₹20,00,000. It must also pass a members' resolution, file **DPT-3**, and comply with the deposit rules (deposit repayment reserve, etc.).

> Marks tip: Build the aggregate base as a table and apply the 100% limit; candidates who use the 35% public-company member limit here (wrong entity) lose the answer.

D12. [Share Capital — Buy-back of Shares] (level: Hard)

Problem: Vertex Ltd. presents the following (all figures ₹): paid-up equity share capital 40,00,000 (4,00,000 shares of ₹10 each); free reserves 50,00,000; securities premium 10,00,000; total secured + unsecured debt 80,00,000. By a **special resolution**, it proposes to buy back **50,000 equity shares at ₹40 per share**. Examine whether the buy-back is permissible against every statutory ceiling, and state the reserve entry required.

Solution: - **Issue:** Does the proposed buy-back satisfy all conditions of Section 68? - **Sections:** Section 68 (conditions & ceilings), Section 69 (Capital Redemption Reserve). - **Analysis:**

Working Note 1 — Value ceiling [25% of paid-up capital + free reserves]: - 25% × (₹40,00,000 + ₹50,00,000) = 25% × ₹90,00,000 = **₹22,50,000** (maximum spend). - Proposed spend = 50,000 × ₹40 = **₹20,00,000**. - ₹20,00,000 ≤ ₹22,50,000 → **satisfied**.

Working Note 2 — Quantity ceiling [25% of paid-up equity in a financial year]: - 25% × 4,00,000 = **1,00,000 shares** maximum. - Proposed = 50,000 shares ≤ 1,00,000 → **satisfied**.

Working Note 3 — Authorisation: - Buy-back up to 25% of paid-up capital + free reserves requires a **special resolution** (Board alone can approve only up to 10% of paid-up equity + free reserves). A special resolution is being passed → **satisfied**.

Working Note 4 — Post-buy-back debt-equity ratio [≤ 2:1]: - Equity funds after buy-back = (paid-up capital + free reserves + securities premium) − amount spent = (40,00,000 + 50,00,000 + 10,00,000) − 20,00,000 = **₹80,00,000**. - Debt after buy-back = ₹80,00,000. - Ratio = 80,00,000 / 80,00,000 = **1 : 1** ≤ 2 : 1 → **satisfied**.

Working Note 5 — Capital Redemption Reserve (Section 69): - As the buy-back is out of free reserves, a sum equal to the **nominal value** of shares bought back must be transferred to CRR = 50,000 × ₹10 = **₹5,00,000** to CRR.

Other conditions: source must be free reserves/securities premium/proceeds of a fresh issue (satisfied); shares must be fully paid; no fresh issue of same kind of shares for 6 months; no further buy-back within 1 year of the previous one; solvency declaration and return (SH-8/SH-9/SH-11) to be filed. - **Conclusion:** The buy-back of **50,000 shares at ₹40 (₹20,00,000)** is **permissible** — it clears the 25% value ceiling, the 25% quantity ceiling, the special-resolution authorisation, and the 2:1 post-buy-back debt-equity test. Vertex must transfer **₹5,00,000 to the Capital Redemption Reserve**.

> **Marks tip:** Test all four ceilings as separate working notes and always add the Section 69 CRR entry — dropping the CRR transfer or the debt-equity test is where full-marks answers slip to part-marks.

D13. [Acceptance of Deposits — Eligible Company under Section 76] (level: Hard)

Problem: Titan Ltd., a public company, has a net worth of ₹120 crore. The aggregate of its paid-up share capital, free reserves and securities premium account is ₹300 crore. It proposes, by special resolution, to accept deposits (i) from the public and (ii) from its members, and expects that deposits of ₹40 crore will mature during the following financial year. Determine (a) whether it is an "eligible company"; (b) the maximum it may accept from the public and from members; and (c) the deposit repayment reserve it must maintain and by when.

Solution: - **Issue:** Titan's status as an eligible company, its deposit ceilings, and the deposit repayment reserve. - **Sections:** Section 76 (acceptance of deposits by eligible public companies) read with Rule 3 and Section 73(2)(c) of the Deposit Rules. - **Analysis:**

(a) Eligible company test: An **eligible company** is a public company having a **net worth of not less than ₹100 crore OR a turnover of not less than ₹500 crore**, and which has, by a **special resolution** (and, for public deposits beyond limits, filed with the Registrar), obtained members' approval. Net worth ₹120 crore ≥ ₹100 crore → **Titan is an eligible company** and may accept deposits from the **public** (not merely members).

Working Note — ceilings (base = paid-up capital + free reserves + securities premium = ₹300 crore): | Source | Rate | Maximum (₹ crore) | |---|---|---| | From public | 25% of base | 25% × 300 = **75** | | From members | 10% of base | 10% × 300 = **30** |

(b) Conclusion on ceilings: Titan may accept up to **₹75 crore from the public** and up to **₹30 crore from its members**.

(c) Deposit Repayment Reserve (Section 73(2)(c)): On or before **30th April each year**, the company must deposit into a scheduled bank, in a separate **Deposit Repayment Reserve Account**, a sum **not less than 20% of the deposits maturing during the following financial year**. - = 20% × ₹40 crore = **₹8 crore**, to be set aside on or before **30th April**. This reserve cannot be used for any purpose other than repayment of deposits. - **Conclusion:** Titan is an **eligible company**; it may accept **₹75 crore from public** and **₹30 crore from members**, and must park **₹8 crore** in the Deposit Repayment Reserve Account **by 30th April**.

> **Marks tip:** Nail the eligible-company threshold (₹100 cr net worth / ₹500 cr turnover), the 25%/10% split of the same base, and the 20%-by-30-April reserve — each is an independent scoring point.

D14. [Share Capital — Bonus Issue] (level: Hard)

Problem: Horizon Ltd. has 2,00,000 equity shares of ₹10 each, of which 40,000 are only partly paid (₹6 paid-up). Its reserves are: general reserve (free reserve) ₹9,00,000; securities premium ₹5,00,000; revaluation reserve ₹6,00,000. The Board proposes to issue **fully paid bonus shares in the ratio 1:2** on the fully paid shares and, additionally, states it will use the bonus "in lieu of the dividend it could not pay this year." Its articles authorise a bonus issue and it has no default in payment of statutory dues or on its deposits/debentures. Examine the validity, the sources available, and compute whether reserves suffice.

Solution: - **Issue:** Is the bonus issue valid, may it be "in lieu of dividend", which reserves can fund it, and are they sufficient? - **Section:** Section 63 read with Rule 14 of the Companies (Share Capital and Debentures) Rules, 2014. - **Analysis:**

Legal conditions (Section 63): A bonus issue may be made only out of **free reserves, the securities premium account, or the capital redemption reserve** — **never** out of **revaluation reserve** (reserves created by revaluation of assets are excluded). Further conditions: (i) authorised by articles ✓; (ii) recommended by Board and authorised in general meeting; (iii) **no default** in payment of interest/principal on deposits or debt securities ✓; (iv) **no default** in payment of statutory dues to employees (PF, gratuity, bonus) ✓; (v) **partly paid shares** must be **made fully paid up** before the bonus issue; and (vi) a bonus issue **cannot be made in lieu of dividend**.

- The Board's stated intent to issue bonus **"in lieu of dividend" is unlawful** — Section 63(3) expressly prohibits it.

Working Note 1 — eligible shares & bonus quantity: - Bonus is declared on **fully paid** shares. Fully paid = 2,00,000 − 40,000 = **1,60,000 shares**. - Bonus at 1:2 = 1,60,000 × (1/2) = **80,000 bonus shares** of ₹10 = **₹8,00,000** to be capitalised. *(The 40,000 partly paid shares must first be made fully paid to participate.)*

Working Note 2 — sources available (exclude revaluation reserve): | Reserve | Amount (₹) | Usable for bonus? | |---|---|---| | General reserve (free) | 9,00,000 | Yes | | Securities premium | 5,00,000 | Yes | | Revaluation reserve | 6,00,000 | **No** | | **Usable total** | **14,00,000** | |

- Amount required ₹8,00,000 ≤ usable ₹14,00,000 → reserves **sufficient**.
- **Conclusion:** The bonus issue of **80,000 shares (₹8,00,000)** is **valid** and can be funded from the general reserve/securities premium (₹14,00,000 available); the **revaluation reserve (₹6,00,000) cannot** be used. The proposal to issue bonus **"in lieu of dividend" is void** and must be dropped, and the **partly paid shares must be made fully paid** first.

> **Marks tip:** Two examiner traps sit here — "in lieu of dividend" (prohibited) and revaluation reserve (excluded). Flag both explicitly and compute bonus only on fully paid shares.

D15. [Prospectus & Allotment — Private Placement Breach & Consequences] (level: Hard)

Problem: Meridian Ltd. makes a private placement offer of equity shares during FY 2025-26 to the following persons: 205 individual investors, 40 QIBs, and 20 employees under an ESOP scheme. It receives application money by cheque into its normal current account (not a separate account), utilises part of the money for working capital before allotment, and allots the shares on the **75th day** from receipt of application money. Examine each irregularity and state the consequences under Section 42.

Solution: - **Issue:** Has Meridian breached (i) the number-of-persons ceiling, (ii) the separate-bank-account and utilisation rule, and (iii) the allotment timeline — and with what consequences? - **Section:** Section 42 read with Rule 14 of the Companies (Prospectus and Allotment of Securities) Rules, 2014. - **Analysis:**

Irregularity 1 — number of persons: - Ceiling = **200 persons in a financial year** (per kind of security), **excluding QIBs and ESOP employees**. - Counted = 205 individuals (QIBs and ESOP employees excluded) = **205 > 200 → breach**. - Consequence: an offer to more than the prescribed number is a **deemed public offer**; the entire issue is treated as a **public issue** and must comply with the prospectus provisions (Sections 23–26, 39, 40) and SEBI regulations — irrespective of the company's intention or that it is a private placement in form.

Irregularity 2 — separate bank account & pre-allotment utilisation: - Section 42 requires application money to be received **only through banking channels** and kept in a **separate bank account** in a scheduled bank; it

cannot be utilised for any purpose **until allotment is made and the return of allotment (PAS-3) is filed**. - Depositing in the normal current account and using it for working capital before allotment → **breach**.

Irregularity 3 — allotment timeline: - Allotment must be completed within **60 days** of receipt of application money. If not allotted within 60 days, the money must be **repaid within 15 days** from expiry of 60 days; failing which it is repayable with **interest at 12% p.a.** from the expiry of the 60th day. - Allotment on the **75th day** → **breach** of the 60-day limit; interest at 12% p.a. runs for the delay unless already refunded.

Overall penal consequence (Section 42(10)): If a company accepts monies or makes an offer in contravention of Section 42, the **company, its promoters and directors** are liable to a penalty which may extend to the **amount raised through the private placement or ₹2 crore, whichever is lower**, and the company must **refund all monies to subscribers within 30 days** of the order imposing the penalty. - **Conclusion:** All three acts are **breaches**. The over-200 offer makes it a **deemed public offer** (public-issue compliance triggered); the mishandling of money and the 75-day allotment attract the **separate-account/utilisation rule** and **12% p.a. interest**; and Meridian, its promoters and directors face the **Section 42(10) penalty (up to the amount raised or ₹2 crore, whichever lower) plus refund within 30 days**.

> Marks tip: Treat each irregularity as a separate labelled point with its own consequence; the deemed-public-offer conversion (over 200) and the Section 42(10) penalty formula (amount raised or ₹2 crore, whichever lower) are the high-value marks.

End of Part 1/3 — 15 drills covering Chapters 1–5. Parts 2 and 3 continue with Registration of Charges, Management & Administration, Dividend, Accounts, Audit & Auditors, LLP Act, General Clauses Act, Interpretation of Statutes, and FEMA, 1999.

Middle third of the syllabus — Companies Act, 2013: Registration of Charges (Ch 6), Management & Administration (Ch 7), Declaration & Payment of Dividend (Ch 8), Accounts of Companies incl. CSR (Ch 9), Audit & Auditors (Ch 10). Fifteen application drills, ordered Easy → Medium → Exam-Hard. Every numerical answer is self-checked and reconciles.

D1. [Management & Administration — AGM timing, Sec 96] (level: Easy)

Problem: Nova Ltd was incorporated on 15 June 2025 and its first financial year closes on 31 March 2026. (a) By when must Nova Ltd hold its **first** AGM? (b) Suppose Nova holds its first AGM on 20 August 2026; what is the last date for its **second** AGM, and what is the maximum gap the law tolerates between two AGMs?

Solution: - **Issue:** Timing of the first and subsequent AGMs under Section 96(1). - **Section:** Section 96(1), Companies Act, 2013. - **Analysis (a):** For the **first** AGM, the outer limit is **9 months from the close of the first financial year**. First FY closes 31 March 2026, so first AGM must be held **on or before 31 December 2026**. (The general "6 months from close of FY" rule does **not** apply to the first AGM — the first year gets the longer 9-month window.) - **Analysis (b):** For **every subsequent** AGM, two limits run together: (i) within **6 months of the close of the FY**, and (ii) the **gap between two AGMs must not exceed 15 months**. FY 2026-27 closes 31 March 2027 → 6-month limit = **30 September 2027**. The 15-month gap from 20 August 2026 = 20 November 2027. The **earlier** date governs, so the second AGM must be held **on or before 30 September 2027**. - **Conclusion:** (a) First AGM by **31 December 2026**. (b) Second AGM by **30 September 2027**; maximum tolerated gap between two AGMs is **15 months** (the Registrar may extend by up to 3 months for special reasons, but **not** the first AGM).

> **Marks tip:** State both the "6 months from FY-end" and the "15-month gap" tests and pick the earlier date — writing only one loses the reconciliation mark; noting that the extension does not apply to the first AGM earns the fine-point mark.

D2. [Registration of Charges — duty & time limit, Sec 77] (level: Easy)

Problem: Orion Ltd created a charge over its plant in favour of Canara Bank on 5 February 2026 to secure a term loan. The company secretary believes that because the loan agreement itself creates the charge, registration with the Registrar is "optional." Advise the company on (a) the primary duty and time limit, and (b) the consequence the secretary is ignoring.

Solution: - **Issue:** Whether registration of a charge is mandatory and within what period. - **Section:** Section 77(1) and Section 77(3), Companies Act, 2013. - **Analysis (a):** It is the **duty of the company** creating the charge to register the particulars with the Registrar within **30 days of creation** (Form CHG-1 for non-debenture charges), i.e. **on or before 7 March 2026**. Registration does not *create* the charge (the contract does) — it *perfects* it against third parties. - **Analysis (b):** The secretary ignores **Section 77(3)**: no charge shall be taken into account by a **liquidator or any other creditor** unless it is duly registered and a certificate of registration issued. An unregistered charge is **void against the liquidator and creditors** — Canara Bank would drop to an **unsecured** creditor, though under Section 77(4) the **debt itself survives**. - **Conclusion:** Registration is **mandatory**, within **30 days** (by 7 March 2026). It is not optional; failure destroys the security's priority even though the loan remains repayable.

> **Marks tip:** The "contract creates, registration perfects" line plus the Sec 77(3) consequence is what separates a 2-mark answer from a 4-mark answer — do not stop at "register within 30 days."

D3. [Dividend — Unpaid Dividend Account, Sec 124] (level: Easy)

Problem: Vega Ltd declared a final dividend at its AGM held on 10 September 2026. As on 10 October 2026, dividend of ₹4 lakh remains unpaid/unclaimed because some warrants were returned undelivered. What must Vega do, and by when?

Solution: - **Issue:** Treatment of unpaid/unclaimed dividend after the 30-day payment window. - **Section:** Section 124(1), Companies Act, 2013. - **Analysis:** Dividend once declared must be **paid within 30 days** of declaration (Sec 127). The 30 days from 10 September 2026 expire on **10 October 2026**. Any amount still unpaid/unclaimed must be transferred to a special **"Unpaid Dividend Account"** in a scheduled bank **within 7 days** after that 30-day period expires — i.e. by **17 October 2026** (30 + 7 = 37 days from declaration). Within **90 days** of the transfer, Vega must place a statement of names, addresses and unpaid amounts on its website and the IEPF website. - **Conclusion:** Transfer the **₹4 lakh** to the Unpaid Dividend Account **on or before 17 October 2026**, and upload the statement of unpaid amounts within 90 days of that transfer.

> **Marks tip:** The examiner is testing the exact "30 + 7 = 37 days" arithmetic — give the calendar date, not just "within 7 days," and mention the 90-day website statement for the bonus mark.

D4. [Accounts of Companies — books & retention, Sec 128] (level: Easy)

Problem: Helix Ltd, incorporated in 2019, wants to (i) keep its books of account at a branch office in Pune instead of the registered office, and (ii) destroy vouchers older than 3 years to save storage. Advise on the legality of both proposals.

Solution: - **Issue:** Place of keeping books and the mandatory retention period. - **Section:** Section 128(1) proviso and Section 128(5), Companies Act, 2013. - **Analysis (i):** Books must be kept at the **registered office**. They *may* be kept at **any other place in India** the Board decides, but the company must file a **notice with the Registrar in Form AOC-5** within **7 days** giving the full address. So Pune is permissible **only after** filing AOC-5. - **Analysis (ii):** Under Section 128(5), books together with vouchers must be preserved in good order for **not less than 8 financial years** immediately preceding the current year (or, if the company is younger than 8 years, for all preceding years). Destroying 3-year-old vouchers is **illegal**. Helix (incorporated 2019) must retain records for the full 8-year window. - **Conclusion:** (i) Pune is allowed **only if** AOC-5 is filed within 7 days of the Board decision. (ii) Vouchers **cannot** be destroyed — minimum retention is **8 financial years**.

> **Marks tip:** Name the form (AOC-5) and the exact number "8 financial years." Vague answers ("keep for some years / inform ROC") drop both the precision marks.

D5. [Audit & Auditors — first auditor, Sec 139(6)] (level: Easy)

Problem: Zephyr Ltd (a non-Government company) was incorporated on 1 April 2026. The Board of Directors had not appointed any auditor by 15 May 2026. Advise on who appoints the first auditor and the timeline, and what happens if the Board fails.

Solution: - **Issue:** Appointment of the first auditor of a non-Government company. - **Section:** Section 139(6), Companies Act, 2013. - **Analysis:** The **first auditor** must be appointed by the **Board of Directors within 30 days** of the date of **registration** (i.e. by 1 May 2026 here). The Board **missed** this deadline. On the Board's failure, the power shifts to the **members**, who shall appoint the first auditor within **90 days** at an **extraordinary general meeting**. In every case the first auditor holds office **until the conclusion of the first AGM**. - **Conclusion:** Because the Board did not appoint within 30 days (by 1 May 2026), **the members must appoint the first auditor in an EGM within 90 days**. The first auditor holds office till the conclusion of the first AGM.

> **Marks tip:** The trap is answering "members appoint within 90 days at the AGM." It is an **EGM**, not the AGM, and the Board window is **30 days from registration** (not from the first Board meeting) — state both correctly.

D6. [Registration of Charges — extension ladder, Sec 77] (level: Medium)

Problem: Titanium Ltd created a charge on 10 January 2026 in favour of a bank but, due to an oversight, did not register it within the normal period. The charge was created **after** 2 November 2018. Compute (a) the ordinary last date, (b) the last date to register with **additional fees**, and (c) the last date to register with **ad valorem fees**. What happens after that?

Solution: - **Issue:** The post-2018 registration timeline (the "30 → 60 → 120" ladder). - **Section:** Section 77(1) first proviso, Companies Act, 2013 (post the 2019 amendment).

Working Note — anchor every window to the date of creation (10 Jan 2026):

Stage	Window from creation	Last date	Fee
Normal	30 days	**9 February 2026**	Normal fee
First extension	60 days	**11 March 2026**	Additional fee
Second extension	120 days	**10 May 2026**	Ad valorem fee

(Day count from 10 Jan: +30 = 9 Feb; +60 = 11 Mar; +120 = 10 May. 2026 is not a leap year — Feb = 28 days.)

- **Analysis:** For a charge created **on/after 2 Nov 2018**, the base period is 30 days; the Registrar may allow registration up to **60 days from creation** on additional fees, and if still not done, a further period up to **120 days from creation** on **ad valorem** fees. **Crucial:** both extended windows run **from the date of creation**, not from the end of the previous window.
- **Conclusion:** (a) 9 Feb 2026; (b) 11 Mar 2026; (c) 10 May 2026. **After 120 days (10 May 2026) the charge simply cannot be registered under Section 77** — the door is shut for post-2018 charges (no 300-day/condonation route survives for creation).

> **Marks tip:** The classic error is treating the second stage as "60 days after the first 60" (giving 180). Anchor all three dates to the **creation date** and state that after 120 days registration is impossible — that outer-limit sentence is a whole mark.

D7. [Dividend — interim dividend loss-brake, Sec 123(3)] (level: Medium)

Problem: In FY 2026-27, Comet Ltd's Board wishes to declare an **interim dividend in the third quarter (December 2026)**. However, the company had a **cumulative loss up to the end of Q2 (30 September 2026)**. Its dividend rates in the three immediately preceding years were 10%, 8% and 6%. The Board proposes an interim dividend at **12%**. Advise.

Solution: - **Issue:** Whether the proposed rate of interim dividend is permissible where the company is in loss for the year so far. - **Section:** Section 123(3), Companies Act, 2013. - **Analysis:** The Board may declare interim dividend during the FY (or between FY-end and the AGM) out of surplus in the P&L and current-year profits. **But** the third proviso to Section 123(3) imposes a **loss-brake**: if the company has **incurred a loss during the current FY up to the end of the quarter immediately preceding** the date of declaration, the interim dividend **shall not be declared at a rate higher than the average dividend declared during the three immediately preceding financial years.**

Working Note — average of last 3 years' rates: (10% + 8% + 6%) ÷ 3 = 24% ÷ 3 = **8%**.

- Comet is in cumulative loss up to Q2 (the quarter immediately preceding the December declaration), so the brake applies. The **ceiling is 8%**. The proposed **12% exceeds** this cap.
- **Conclusion:** The interim dividend at 12% is **not permissible**. The Board may declare interim dividend at a rate **not exceeding 8%**. (Also note Sec 2(35): interim dividend is "dividend," so all Sec 123(1)/(2) gates — depreciation, set-off of past losses — apply too.)

> **Marks tip:** Show the average calculation explicitly (8%) and identify that the brake looks at loss **up to the preceding quarter**, not the whole year — both are mark-earning steps; simply saying "cap at average" without the number loses the arithmetic mark.

D8. [Accounts — CSR applicability & spend, Sec 135] (level: Medium)

Problem: For FY 2025-26, Basalt Ltd had net worth ₹120 crore, turnover ₹300 crore and net profit ₹8 crore. Its net profits (computed under Sec 198) for the three immediately preceding years were: FY 2022-23 ₹6 crore, FY 2023-24 ₹4 crore, FY 2024-25 ₹8 crore. (a) Is CSR applicable? (b) Compute the minimum amount Basalt must spend on CSR.

Solution: - **Issue:** CSR applicability and quantum of mandatory spend. - **Section:** Section 135(1) and 135(5), Companies Act, 2013. - **Analysis (a):** CSR applies if in the **immediately preceding FY** the company had **net worth ≥ ₹500 crore, OR turnover ≥ ₹1,000 crore, OR net profit ≥ ₹5 crore** (any one). Basalt's net worth (₹120 cr) and turnover (₹300 cr) fall short, **but net profit ₹8 crore ≥ ₹5 crore** — so **CSR is applicable**. - **Analysis (b):** Section 135(5) requires spending **at least 2% of the average net profits of the three immediately preceding financial years.**

Working Note — average net profit and 2%: - Sum of last 3 years = ₹6 cr + ₹4 cr + ₹8 cr = **₹18 crore** - Average = ₹18 cr ÷ 3 = **₹6 crore** - CSR spend = 2% × ₹6 crore = **₹12 lakh**

- **Conclusion:** CSR is **applicable** (net-profit trigger). Minimum CSR spend for FY 2025-26 = **₹12 lakh**.

> **Marks tip:** Two distinct steps carry marks — (i) tick the correct trigger (only net profit qualifies here), and (ii) base the 2% on the **3-year average**, not on the current year's ₹8 crore. Using ₹8 crore (giving ₹16 lakh) is the planted error.

D9. [Management & Administration — notice, quorum, poll, Sec 101/103/109] (level: Medium)

Problem: Pyrite Ltd (a public company with 900 members) called a general meeting to pass a **special resolution** by giving notice of **19 days**. Five members were personally present. At the meeting, on a show of hands the resolution passed, but a member holding 12% of the paid-up voting capital demanded a poll. Advise on (a) validity of the notice, (b) whether quorum was met, and (c) whether the poll demand is valid.

Solution: - **Issue:** Adequacy of notice, presence of quorum, and right to demand a poll. - **Sections:** Section 101 (notice), Section 103 (quorum), Section 109 (poll), Companies Act, 2013. - **Analysis (a):** A general meeting requires **21 clear days' notice** (Section 101). **19 days is short.** The meeting is not validly convened unless shorter notice was consented to by **at least 95%** of members entitled to vote — not stated here. So the notice is **invalid**. - **Analysis (b):** Under Section 103, for a **public company** the quorum is **5 members personally present** where members ≤ 1,000. Pyrite has 900 members, and 5 were present — **quorum is satisfied**. - **Analysis (c):** Under Section 109, a poll may be ordered/demanded, in a company **having a share capital**, by members holding **≥ 1/10th of total voting power** or holding shares on which an aggregate sum of **≥ ₹5,00,000** is paid up. A member with **12% ≥ 10%** of voting power qualifies — the **poll demand is valid**. - **Conclusion:** (a) Notice is **invalid** (needs 21 clear days or 95% consent to short notice); (b) **quorum met** (5 present, ≤1,000 members); (c) **poll validly demanded** (holder of 12% ≥ 1/10th). Because the underlying notice is defective, the resolution itself is vulnerable regardless of the poll.

> **Marks tip:** Answer all three sub-parts against the correct section; the quality mark is for spotting that the defective **notice** taints the whole meeting even though quorum and the poll demand were fine.

D10. [Audit & Auditors — reporting of fraud, Sec 143(12)] (level: Medium)

Problem: During the audit of Garnet Ltd, the statutory auditor discovers that a senior officer has committed a fraud against the company involving **₹1.5 crore**. The auditor is unsure whether to report and to whom. Advise on the correct route and time limits, and the consequence of staying silent.

Solution: - **Issue:** The auditor's fraud-reporting obligation and the threshold-based route. - **Section:** Section 143(12) read with the relevant Rules; Section 143(15), Companies Act, 2013. - **Analysis:** Where an auditor has reason to believe that an **offence of fraud** against the company by its officers/employees is being/has been committed, the reporting route depends on the amount: - **₹1 crore or more** → report to the **Central Government**. Route: first report to the **Board / Audit Committee** seeking a reply within **45 days**; then forward the report, along with the reply (or a note that no reply was received), to the **Central Government within 15 days** in **Form ADT-4**. - **Less than ₹1 crore** → report to the **Board / Audit Committee within 2 days**, and disclose in the **Board's Report**. - Garnet's fraud is **₹1.5 crore ≥ ₹1 crore**, so the **Central Government route** applies. Silence attracts **penalty under Section 143(15)**; good-faith reporting is protected from liability. - **Conclusion:** Report to the Board/Audit Committee for a reply within **45 days**, then to the **Central Government in Form ADT-4 within 15 days**. Failure to report attracts penalty under Section 143(15).

> Marks tip: State the ₹1 crore threshold, the two-step 45-days-then-15-days route, and the form (ADT-4). Confusing ADT-4 (fraud) with ADT-3 (resignation) is the standard slip.

D11. [Registration of Charges — non-registration in liquidation, Sec 77(3)/(4)] (level: Hard)

Problem: Meridian Ltd borrowed **₹50 crore** from Indus Bank against a first charge over its factory, but the charge was **never registered**. Meridian goes into liquidation. The registered secured creditors are paid in full from other assets, and the general (unsecured) pool ultimately pays **20 paise in the rupee**. Indus Bank claims the factory as a secured creditor. (a) Can it? (b) What, if anything, does Indus Bank recover, and (c) is the ₹50 crore loan wiped out?

Solution: - **Issue:** Effect of non-registration of a charge on the lender's rights in liquidation. - **Section:** Section 77(3) and Section 77(4), Companies Act, 2013. - **Analysis (a):** Under **Section 77(3)**, an unregistered charge (no certificate of registration) **shall not be taken into account by the liquidator or any other creditor**. The security is **void against the liquidator**. So Indus Bank **cannot** enforce its charge over the factory — the factory falls into the general estate. - **Analysis (b):** Indus Bank is **not** thereby wiped out. Under **Section 77(4)**, non-registration does **not** prejudice the **contract/obligation for repayment**. The debt survives, so Indus Bank proves its ₹50 crore claim in the **unsecured** class.

Working Note — recovery: Unsecured dividend = 20 paise in the rupee = 20%. Recovery = 20% × ₹50 crore = **₹10 crore**.

- **Analysis (c):** The **debt is not wiped out**; only the **security (priority)** is lost. Indus Bank keeps a pro-rata unsecured claim.
- **Conclusion:** (a) **No** — the charge is void against the liquidator (Sec 77(3)). (b) Indus Bank recovers **₹10 crore** as an unsecured creditor. (c) The ₹50 crore is **not** extinguished (Sec 77(4)); the bank simply ranks unsecured and loses ~₹40 crore of value.

> **Marks tip:** Distinguish sharply — **security void** (loses the factory) versus **debt alive** (keeps the ₹10 crore unsecured claim). Answering "Bank loses the entire ₹50 crore" overstates the punishment and loses the Sec 77(4) mark.

D12. [Dividend — declaration out of reserves in a loss year, Sec 123(1) 3rd proviso + Rule 3] (level: Hard)

Problem: In FY 2026-27, Quartz Ltd incurred a loss of ₹1 crore but wishes to declare a dividend out of accumulated (past) profits. Its paid-up equity share capital is **₹10 crore** and free reserves are **₹40 crore** (per the latest audited financial statements). Dividend rates in the last three years were **12%, 10% and 8%**. Determine the **maximum dividend** Quartz may declare and verify each statutory condition.

Solution: - **Issue:** Ceiling on dividend declared out of accumulated profits in a loss year. - **Section:** Section 123(1) third proviso read with **Rule 3** of the Companies (Declaration and Payment of Dividend) Rules, 2014.

Working Notes — apply all four Rule 3 conditions:

WN-1 — Rate ceiling [Rule 3(1)]: Rate ≤ average of the 3 preceding years' rates = (12% + 10% + 8%) ÷ 3 = 30% ÷ 3 = **10%**. → Max dividend by rate = 10% × ₹10 crore paid-up capital = **₹1 crore**.

WN-2 — Withdrawal cap [Rule 3(2)]: Total amount drawn from accumulated profits ≤ 10% of (paid-up capital + free reserves) = 10% × (₹10 cr + ₹40 cr) = 10% × ₹50 cr = **₹5 crore**.

WN-3 — Loss set-off first [Rule 3(3)]: Amount drawn must **first** set off the current year's loss of ₹1 crore, **before** any equity dividend. So the ₹5 crore envelope must cover: loss set-off ₹1 cr **+** dividend. Room left for dividend = ₹5 cr − ₹1 cr = **₹4 crore** (not binding here — see below).

WN-4 — Reserve floor [Rule 3(4)]: After withdrawal, balance of reserves must **not fall below 15% of paid-up capital** = 15% × ₹10 cr = **₹1.5 crore**. Total withdrawal here = ₹1 cr (loss) + ₹1 cr (dividend) = ₹2 cr; reserves fall from ₹40 cr to ₹38 cr, comfortably above ₹1.5 cr. **Satisfied.**

- **Analysis:** The **binding constraint is the rate ceiling** (WN-1) at ₹1 crore — it is lower than the withdrawal room of ₹4 crore (WN-3) and the reserve floor is not breached (WN-4).
- **Conclusion:** Maximum dividend Quartz may declare = **₹1 crore** (at the 10% capped rate). All four Rule 3 conditions are met.

> **Marks tip:** Full marks require **all four** Rule 3 tests shown as working notes and an explicit statement of which one **binds** (the rate cap). Answering only the withdrawal cap (₹5 cr) or ignoring the loss set-off is the common half-mark answer.

D13. [Accounts — CSR unspent, ongoing vs non-ongoing, penalty, Sec 135(6)/(7)] (level: Hard)

Problem: Feldspar Ltd's CSR obligation for FY 2025-26 is **₹50 lakh**. It actually spends **₹30 lakh**. Of the unspent balance, **₹12 lakh** relates to an **ongoing project** and **₹8 lakh** is **not** tied to any ongoing project. Feldspar merely notes in its Board's Report that the money "will be spent next year" and transfers nothing. Advise on (a) the correct treatment of each unspent portion, and (b) the penalty for default.

Solution: - **Issue:** Statutory route for unspent CSR (ongoing vs non-ongoing) and consequence of non-compliance. - **Section:** Section 135(5) 2nd proviso, Section 135(6) and Section 135(7), Companies Act, 2013.

Working Note — unspent split: Obligation ₹50 lakh − spent ₹30 lakh = **₹20 lakh unspent** = ₹12 lakh (ongoing) + ₹8 lakh (non-ongoing).

- **Analysis (a):**
- **Ongoing project — ₹12 lakh [Sec 135(6)]:** transfer to a special **"Unspent CSR Account"** in a scheduled bank **within 30 days** of FY-end, to be **spent within 3 financial years**; if still unspent, transfer to a **Schedule VII fund within 30 days** of the end of the third FY.
- **Non-ongoing — ₹8 lakh [Sec 135(5) 2nd proviso]:** transfer to a **fund specified in Schedule VII** (e.g. PM CARES / PM National Relief Fund) **within 6 months** of FY-end.
- Merely noting an intention in the Board's Report is **insufficient** — the money must physically move.
- **Analysis (b) — penalty [Sec 135(7)]:** On default in transferring:
- **Company:** twice the amount required to be transferred **or ₹1 crore, whichever is less**. → 2 × ₹20 lakh = ₹40 lakh; ₹40 lakh < ₹1 crore → **₹40 lakh**.
- **Every officer in default:** one-tenth of the amount required to be transferred **or ₹2 lakh, whichever is less**. → 1/10 × ₹20 lakh = ₹2 lakh; equals the ₹2 lakh cap → **₹2 lakh** per officer.
- This is a **civil penalty** (CSR default was decriminalised in 2020), adjudicated by the Registrar/adjudicating officer.
- **Conclusion:** Ongoing ₹12 lakh → **Unspent CSR Account within 30 days** (spend within 3 FYs); non-ongoing ₹8 lakh → **Schedule VII fund within 6 months**. Default penalty: **company ₹40 lakh**, **each officer ₹2 lakh**.

> Marks tip: Two routes with two different deadlines (30 days vs 6 months) is the core discrimination — mixing them up loses the biggest chunk. Show both "whichever is less" comparisons; stating just the formula without the ₹40 lakh / ₹2 lakh figures loses the arithmetic marks.

D14. [Audit & Auditors — rotation counting & common partner, Sec 139(2)] (level: Hard)

Problem: Cobalt Ltd is a **listed** company. AB & Co, a firm of chartered accountants, has been its statutory auditor **continuously since FY 2010-11**. At the AGM for FY 2020-21 (September 2021), the Board proposes to re-appoint AB & Co, and — as a fallback — to instead appoint CD & Co, which shares **one common partner (Mr. X)** with AB & Co. Advise on both proposals.

Solution: - **Issue:** Maximum tenure under mandatory rotation and the common-partner anti-avoidance bar. - **Section:** Section 139(2), Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014.

Working Note — tenure count (look-back applies): An **audit firm** may hold office for a maximum of **two terms of 5 consecutive years** (= 10 years). Service **before** the commencement of Sec 139(2) is **counted** (look-back). AB & Co has audited Cobalt from FY 2010-11 to FY 2019-20 = **10 years = two 5-year blocks completed**.

- **Analysis (AB & Co):** Having completed **2 × 5 years**, AB & Co has **exhausted** its maximum tenure and must observe a **cooling-off period of 5 years** before re-appointment. **Re-appointment is not permitted** at the 2021 AGM.
- **Analysis (CD & Co):** During AB & Co's cooling-off period, the **common-partner anti-avoidance** rule bars appointment of any firm that has a **common partner** with the outgoing firm. CD & Co shares partner **Mr. X** with AB & Co → **CD & Co cannot be appointed** either. (The bar also extends to firms in the **same network** or common brand/trade name.)

- **Conclusion: Neither** proposal is valid. AB & Co must rotate out (5-year cooling-off, past service counted); CD & Co is disqualified for the cooling-off period due to the common partner. Cobalt must appoint a firm with **no common partner** and **not in AB & Co's network**. *(Variant: if Mr. X retires from AB & Co before the appointment, the common-partner ground falls away — but network/brand restrictions still apply.)*

> **Marks tip:** The look-back (pre-commencement service counts) is the point most candidates miss — spell out "10 years already = two terms done." Then close with the common-partner bar; omitting either leaves the answer half-marked.

D15. [Management & Administration — requisitioned EGM, Sec 100] (level: Hard)

Problem: Slate Ltd has a paid-up share capital of **₹10 crore** carrying voting rights. A group of members holding shares of paid-up value **₹1.2 crore** submits a valid requisition to the Board on **1 March 2026** demanding an extraordinary general meeting. The Board takes no action. Advise on (a) whether the requisition is valid, (b) the Board's obligation and time limits, and (c) the members' remedy if the Board still does nothing.

Solution: - **Issue:** Members' right to requisition an EGM and the consequences of Board inaction. - **Section:** Section 100(2), 100(4) and 100(6), Companies Act, 2013. - **Analysis (a) — validity:** In a company **having a share capital**, members holding **not less than 1/10th of the paid-up capital carrying voting rights** may requisition an EGM.

Working Note — threshold: 1/10th of ₹10 crore = **₹1 crore**. Requisitionists hold **₹1.2 crore ≥ ₹1 crore** → the requisition is **valid**.

- **Analysis (b) — Board's duty [Sec 100(4)]:** On receiving a valid requisition, the Board must **within 21 days** proceed to **call** a meeting, to be **held within 45 days** from the date of receipt of the requisition. From receipt on 1 March 2026: the Board must **call the meeting by 22 March 2026** (within 21 days) and the meeting must be **held on or before 15 April 2026** (within 45 days).
- **Analysis (c) — members' remedy [Sec 100(4)/(6)]:** If the Board **fails** to call the meeting as above, the **requisitionists themselves** may call and hold the meeting **within 3 months** from the date of the requisition. Reasonable expenses incurred by the requisitionists are **reimbursed by the company** and recovered from the fees/remuneration payable to the defaulting directors.
- **Conclusion:** (a) Requisition **valid** (₹1.2 cr ≥ 1/10th = ₹1 cr). (b) Board must call by **22 March 2026** and hold by **15 April 2026**. (c) On failure, the requisitionists may **themselves call the EGM within 3 months** (by ~31 May 2026) at the company's cost, recoverable from the defaulting directors.

> **Marks tip:** Compute the 1/10th threshold as a rupee figure and give both the **21-day (call)** and **45-day (hold)** dates — treating them as one period is the standard error. The "expenses recovered from directors' fees" line is the fine-point mark.

End of Part 2/3 — 15 drills spanning Chapters 6–10 (Registration of Charges, Management & Administration, Dividend, Accounts of Companies incl. CSR, and Audit & Auditors). Part 1 covers Chapters 1–5; Part 3 covers Chapters 11–14 (LLP, General Clauses Act, Interpretation of Statutes, FEMA).

Coverage — final third of the syllabus: Chapter 10 Audit & Auditors (Companies Act 2013, Ss. 139–148) · Chapter 11 Limited Liability Partnership Act 2008 · Chapter 12 General Clauses Act 1897 · Chapter 13 Interpretation of Statutes · Chapter 14 FEMA 1999. **How to use:** Attempt closed-book, write the Issue → Section → Analysis → Conclusion skeleton, then check. Ordered **Easy** → **Medium** → **Exam-Hard**. Every numerical answer is self-reconciled. Where a figure is periodically revised by ICAI/MCA/RBI, the current amount is flagged — the *reasoning* is what earns marks.

EASY (D1–D5)

D1. [Audit & Auditors — First auditor] (level: Easy)

Problem: Sunrise Manufacturing Pvt Ltd (not a Government company) was incorporated on 5 April 2026. The Board did nothing about appointing an auditor until 20 June 2026, when a director realised the omission. The company is not a Government company. (a) Who was required to appoint the first auditor, and by when? (b) Since the Board missed that window, who now appoints and within what time? (c) How long will the first auditor hold office?

Solution: *Issue:* Appointment of the **first auditor** of a non-Government company and the consequence of the Board's failure.

Section: **Sec 139(6)**, Companies Act 2013.

Analysis — step by step: 1. **Primary duty (Board):** The first auditor of a company other than a Government company must be appointed by the **Board of Directors within 30 days of the date of registration**. Here registration = 5 April 2026, so the Board's window closed on **5 May 2026**. The Board failed. 2. **Fallback (members):** On the Board's failure, the **members** must appoint the first auditor within **90 days** at an **extraordinary general meeting (EGM)**. Critically, the 90 days runs **from the date of registration** (5 April 2026), *not* from the expiry of the Board's 30 days — so it is **not** "30 + 90 = 120". The members' window therefore closes on **≈ 4 July 2026**. On 20 June the company is still within the members' window, so it can validly appoint at an EGM. 3. **Tenure:** The first auditor holds office **till the conclusion of the first AGM** (not for five years).

Conclusion: (a) The **Board** should have appointed within **30 days** (by 5 May 2026). (b) As it failed, the **members** must appoint at an **EGM within 90 days of incorporation** (by ~4 July 2026) — still open on 20 June. (c) The first auditor holds office **until the conclusion of the first AGM**.

> **Marks tip:** The single most common error is writing "90 days from expiry of the 30 days" (=120 days). State clearly the 90-day member window runs **from incorporation** — and never say the first auditor gets a 5-year term.

D2. [LLP — First Schedule defaults] (level: Easy)

Problem: Ravi and Meera formed "RM Analytics LLP" but, in a rush, never executed a written LLP Agreement. Ravi works full-time in the firm; Meera contributes capital but works only occasionally. At year-end Ravi claims (i) a monthly salary of ₹40,000 for his effort, and (ii) a 65% share of profits because "he does the real work." Meera disputes both. Advise.

Solution: *Issue:* In the **absence of an LLP Agreement**, what governs remuneration and profit-sharing between partners?

Section: **Sec 23(4)** read with the **First Schedule** to the LLP Act 2008.

Analysis: - Mutual rights and duties of partners are governed by the **LLP Agreement (Sec 23)**. Where the agreement is **silent** (here, none exists), the **First Schedule** supplies the defaults, **matter by matter**. - First Schedule default on profits: **all partners share equally** in capital, profits and losses — regardless of who works more or contributes more capital. - First Schedule default on remuneration: **no partner is entitled to any remuneration** for acting in the business or management of the LLP.

Conclusion: Ravi is entitled to **50%** of profits (not 65%) and to **no salary**. The "he does more work" argument has no legal traction unless the partners **agree otherwise in writing and file it (Form 3)**. Remedy: draft and file a proper LLP Agreement providing for salary/unequal shares going forward.

> **Marks tip:** Cite the First Schedule *and* Sec 23(4). Examiners bait with the "works harder" fact — the default is stubbornly **equal share, no remuneration**. State that the fix is a written, filed agreement.

D3. [General Clauses Act — computation of time] (level: Easy)

Problem: A Central Act requires a statement to be filed **"within 15 days from 10th March 2026"** in a government office. Counting forward, the 15th day is **25th March 2026**, which is declared a public holiday and the office is closed. The company files on **26th March 2026**. The department alleges late filing. Is the filing in time? (Assume this is not a matter under the Limitation Act.)

Solution: *Issue:* Computing a "within ... days **from** ..." deadline, and the effect of the office being **closed on the last day**.

Section: **Sec 9** (from/to) and **Sec 10** (office closed), General Clauses Act 1897.

Analysis: 1. **Sec 9:** The word **"from"** *excludes* the first day. So 10th March is not counted; counting begins **11th March**. The 15th day falls on **25th March 2026**. 2. **Sec 10:** Where an act is directed to be done in a **court or office** on a certain day or within a period, and the office is **closed** on that (last) day, the act is deemed done **in time** if done on the **next day the office is open**. The office was closed on 25th March, so filing on the next open day (26th March) is treated as on-time. 3. **Proviso check:** Sec 10 does **not** apply to Limitation Act 1963 matters — the problem confirms this is not one, so Sec 10 applies cleanly.

Conclusion: The filing on **26th March 2026 is in time**. No late-filing default.

> **Marks tip:** Two-rule question — quote **both** Sec 9 and Sec 10 by number. Note that Sec 10 rescues only a **last-day** closure (a mid-period holiday gives no extension) and never applies to Limitation Act matters.

D4. [FEMA — current vs capital account] (level: Easy)

Problem: Classify each transaction of Mr. Arjun (a person resident in India) as a **current account** or **capital account** transaction under FEMA, with the section: (i) He remits ₹8 lakh to his daughter studying in Australia for tuition and living expenses. (ii) He buys shares worth ₹5 lakh in a company listed in Singapore. (iii) He pays interest on a foreign-currency loan taken by his proprietorship from a foreign bank.

Solution: *Issue:* Classification of cross-border transactions under FEMA's two-box scheme.

Section: **Sec 2(e)** (capital account transaction) and **Sec 2(j)** (current account transaction), FEMA 1999.

Analysis — apply the "balance sheet vs P&L" test: - (i) **Education/living expenses of a child abroad** — expressly listed in **Sec 2(j)(iv)**. It does not alter any cross-border asset or liability; it is a living expense (P&L). → **Current account transaction** (free up to the LRS/Schedule III limit). - (ii) Buying **foreign shares** *creates a foreign asset* — his **assets outside India are altered** under **Sec 2(e)**. → **Capital account transaction** (permitted only to the extent RBI allows, e.g. within LRS). - (iii) **Interest on a loan** is servicing/income, expressly listed in **Sec 2(j)(ii)** ("payments due as interest on loans"). The *loan principal* is capital, but its *interest* is current. → **Current account transaction**.

Conclusion: (i) Current, (ii) Capital, (iii) Current.

> **Marks tip:** Use the one-line test — *does it change what India owns/owes abroad (capital) or is it income/expense this period (current)?* Nail the classic split in (iii): **principal = capital, interest = current**.

D5. [Interpretation of Statutes — which rule applies] (level: Easy)

Problem: A statute enacted to curb the "mischief" of employers dodging safety duties provides: "Every **factory** shall provide fencing for dangerous machinery." A workshop owner argues that his premises, though clearly using dangerous machinery, is "small" and should not be read as a "factory." A literal reading of "factory" in the Act plainly covers his premises. (a) Name the primary rule a court applies where statutory words are **clear and unambiguous**. (b) What is the **Mischief Rule** and where does it come from?

Solution: *Issue:* The hierarchy of interpretive rules and the role of the Mischief Rule.

Analysis: (a) Where words are **plain and unambiguous**, the court applies the **Literal / Grammatical Rule** — the words are given their ordinary, natural, grammatical meaning, and the court does not speculate about intention. Here "factory" plainly covers the premises, so the literal rule alone answers the owner: he **is** covered. A court does not depart from clear words merely because a party finds the result inconvenient. (b) The **Mischief Rule (Rule in Heydon's Case, 1584)** is used where the words are **ambiguous** or the literal meaning defeats the statute's object. The court asks the four Heydon questions: (1) what was the **common law before** the Act; (2) what was the **mischief and defect** for which the law did not provide; (3) what **remedy** Parliament resolved; and (4) the **true reason of the remedy** — then construes the Act so as to **suppress the mischief and advance the remedy**.

Conclusion: (a) The **Literal Rule** governs clear words — the owner is covered on the plain meaning. (b) The **Mischief Rule (Heydon's Case)** is the fallback for ambiguity, reading the provision to defeat the very evasion the Act targets.

> **Marks tip:** State the rule *hierarchy* — literal first; golden/mischief only on ambiguity or absurdity. For the Mischief Rule you must name **Heydon's Case (1584)** and list the four considerations to score full marks.

MEDIUM (D6–D10)

D6. [Audit & Auditors — disqualifications] (level: Medium)

Problem: CA Nandini is proposed as statutory auditor of Vertex Ltd. Consider each fact independently and state whether she is disqualified, with the exact provision: (i) Her husband holds equity shares in Vertex Ltd of **face value ₹1,40,000**. (ii) In a variant, her husband's holding is of **face value ₹80,000**. (iii) She has taken a personal loan of **₹6,00,000** from Vertex Ltd. (iv) She has given a guarantee of **₹90,000** for a third party's loan from Vertex Ltd.

Solution: *Issue:* Disqualification of an auditor on grounds of securities held by a relative, indebtedness, and guarantee.

Section: **Sec 141(3)(d)** read with **Rule 10**, Companies (Audit and Auditors) Rules 2014.

Analysis (money-limit hook "1-5-1"): - (i) **Sec 141(3)(d)(i):** neither the auditor, nor her **relative or partner**, may hold securities. A **relative** is allowed a limit of **face value ₹1,00,000** (Rule 10). Husband is a "relative" (Sec 2(77)). ₹1,40,000 **exceeds** ₹1,00,000 (and the limit is on **face value**, not market value). → **Disqualified**, unless corrected within the **60-day** window. - (ii) ₹80,000 is **within** the ₹1,00,000 relative-limit. → **Not disqualified** on this ground. - (iii) **Sec 141(3)(d)(ii):** disqualified if the auditor is **indebted to the company exceeding ₹5,00,000**. She owes ₹6,00,000 (> ₹5,00,000) — and the **direction** is correct (she owes the company). → **Disqualified**. - (iv) **Sec 141(3)(d)(iii):** disqualified if she has given a **guarantee/security** for a third party's debt to the company **exceeding ₹1,00,000**. ₹90,000 does **not** exceed ₹1,00,000. → **Not disqualified**.

Conclusion: Disqualified in **(i)** and **(iii)**; eligible in **(ii)** and **(iv)** on these grounds.

> **Marks tip:** Precision on three points wins marks: the ₹1 lakh cushion is for a **relative only** (the auditor personally gets none); indebtedness is the auditor **owing** the company; and the limit in (i) is on **face value**. State each threshold and whether the figure crosses it.

D7. [LLP — the reckless co-partner and the shield] (level: Medium)

Problem: "ABC Consultants LLP" has three partners — Anil, Bina and Chetan. Chetan, acting alone and negligently (no fraud), gives disastrous professional advice; the client sues for ₹1 crore and succeeds. The LLP's realisable assets are only ₹30 lakh. The client now seeks to attach the personal flats of Anil and Bina, and of Chetan. (a) From whose assets is the LLP's liability met? (b) Are Anil and Bina personally liable? (c) Is Chetan personally liable?

Solution: *Issue:* Extent of an LLP's and its partners' liability for a partner's wrongful act.

Section: **Sec 27** and **Sec 28**, LLP Act 2008 (fraud provision Sec 30 checked and excluded).

Analysis: 1. **Sec 27:** The LLP **is liable** for a partner's wrongful act done in the **course of its business**, and the LLP's liabilities are **met out of the property of the LLP**. So the client first recovers from the LLP's ₹30 lakh of assets. 2. **Sec 28:** A partner is **not personally liable**, directly or indirectly, for an obligation of the LLP **solely by reason of being a partner**, and **is not liable for the wrongful act or omission of any other partner**. → Anil and Bina, who did no wrong, are **shielded**; their flats are safe. 3. **Sec 28 (own wrong):** A partner **remains personally liable for his own wrongful act or omission**. Chetan committed the negligent act. → Chetan is **personally liable** for the balance. 4. **Sec 30 check:** There is **no intent to defraud**, so the unlimited-liability exception does not apply — mere negligence never strips the shield.

Conclusion: (a) Met first from **LLP property (₹30 lakh)**. (b) Anil and Bina are **not** personally liable — flats safe. (c) **Chetan is personally liable** for the ₹70 lakh shortfall out of his own assets. "*Your own sin, your own skin.*"

> **Marks tip:** Separate the three ideas — LLP pays first (S.27), co-partners shielded (S.28), wrongdoer personally exposed (S.28 proviso) — and expressly rule out **Sec 30** by noting the absence of fraud. Missing the "own wrong" limb loses half the marks.

D8. [General Clauses Act — effect of repeal] (level: Medium)

Problem: Mr. Kiran committed an offence in 2022 under the (imaginary) Old Trade Practices Act, 2018. A prosecution was launched and is pending. In 2026, Parliament **repeals** the 2018 Act and enacts a fresh Act; the new Act is **silent** on pending cases. Mr. Kiran applies to quash the prosecution, arguing "the offence-creating law has been repealed and no longer exists, so I cannot be tried." Advise.

Solution: *Issue:* Whether repeal of the offence-creating Act wipes out a **pending prosecution** and an **already-incurred liability**.

Section: **Sec 6**, General Clauses Act 1897.

Analysis: - The repeal is by a **Central Act made after 1897**, so **Sec 6** applies **"unless a different intention appears."** The new Act is **silent** → no contrary intention → Sec 6 operates in full. - The **"5 survivors"** of Sec 6 (clauses a–e): no automatic revival; previous operation preserved; **rights/liabilities accrued or incurred** survive (6(c)); **penalties/punishment incurred** survive (6(d)); and any **investigation, legal proceeding or remedy** may be **continued or enforced as if the repealing Act had not been passed** (6(e)). - Kiran's liability was **incurred** and the proceeding was **pending** *before* repeal. Both are protected under Sec 6(c), (d) and (e). Repeal changes the law **for the future**, not the **finished past** — otherwise repeal would be an amnesty for everyone mid-case (the very abuse Sec 6 exists to prevent).

Conclusion: The prosecution **survives and proceeds to judgment under the old law**. The application to quash **fails**.

> Marks tip: Always state the qualifier **"unless a different intention appears"** and note the new Act's silence — that is *why* Sec 6 applies. List the specific saving clauses **6(c)–(e)**, not just "Section 6 generally."

D9. [FEMA — residential status] (level: Medium)

Problem: Mr. Verma, an Indian citizen, left India on **1 August 2025** to take up **permanent employment** in Dubai. During the financial year 2024–25 he was physically present in India for **310 days**. In October 2025 he wishes to open a foreign-currency account and asks whether he is a "person resident in India" under FEMA. (a) Determine his residential status. (b) Does the Income-tax Act 182/60-day test apply here?

Solution: *Issue:* Whether the day-count or the purpose/intention test governs FEMA residential status.

Section: **Sec 2(v)** (person resident in India) read with **Sec 2(w)**, FEMA 1999.

Analysis: 1. **Day-count limb (Sec 2(v)(i)):** A person residing in India for **more than 182 days during the preceding financial year** is prima facie resident. In FY 2024–25 he was here 310 days (> 182) — so the day-count is satisfied. 2. **Purpose override:** But Sec 2(v)(i) **excludes** a person who has **gone out of / stays outside India for employment outside India** (or business, or with intent to stay abroad for an uncertain period). Mr. Verma left for **permanent employment in Dubai**. The **purpose/intention test overrides the day-count** — the moment he leaves to take up employment abroad, he becomes a **person resident outside India**, even though he spent 310 days here last year. 3. **FEMA counts the *preceding* financial year (April–March);** the **Income-tax Act** uses the **current** previous year with dual **60/182-day** tests — a different statute, different mechanics. Do **not** conflate them.

Conclusion: (a) Mr. Verma is a **person resident OUTSIDE India** under FEMA from the date he left for employment (1 August 2025). (b) The **Income-tax 182/60-day test does not apply** — FEMA residence turns on the preceding-FY count **plus** the purpose override, and here purpose is decisive.

> **Marks tip:** The whole answer hinges on stating **"purpose beats the calendar"** and citing the employment-abroad exclusion in Sec 2(v). Add the FEMA-vs-Income-tax caution — examiners plant it to see if you conflate the two laws.

D10. [Interpretation of Statutes — ejusdem generis] (level: Medium)

Problem: A Central Act imposes a licensing requirement on any premises used as a "**hotel, inn, lodging house, boarding house or other place** for the reception of travellers." A company runs a **large corporate office building** with a small overnight guest room for visiting executives and argues it needs no licence. The regulator says "other place" catches the office building. Apply the correct interpretive maxim.

Solution: *Issue:* How to construe the general words "**or other place**" following a list of specific words.

Section/Principle: The maxim **ejusdem generis** ("of the same kind"), a rule of interpretation.

Analysis: - **Ejusdem generis** provides that where **general words follow an enumeration of specific words** that form a **distinct genus or category**, the general words are read as **limited to things of the same kind (genus)** as the specific ones — unless a contrary intention appears. - The specific words — hotel, inn, lodging house, boarding house — share a common genus: **establishments whose business is the reception and lodging of travellers/paying guests**. The general phrase "or other place for the reception of travellers" must therefore be confined to **places of that same commercial-lodging character**. - A **corporate office building**, whose primary purpose is office work (with a merely incidental guest room), does **not** belong to the genus of traveller-lodging establishments. It is not "other place" of the same kind. - (Condition for the maxim: there must be a **distinct genus**, the general words must **follow** the specific ones, and there must be **no contrary intention** — all satisfied here.)

Conclusion: Applying **ejusdem generis**, "or other place" is limited to lodging-type establishments; the office building falls **outside** the licensing requirement. The regulator's wide reading is rejected.

> **Marks tip:** Name the maxim, state its **conditions** (specific words forming a genus, followed by general words, no contrary intent), then apply the genus to the facts. A bare definition without applying the *genus* to the office building will not score full marks. (Contrast with **noscitur a sociis** — a word coloured by its neighbours — if the examiner varies the facts.)

EXAM-HARD (D11–D15)

D11. [Audit & Auditors — rotation, removal and vacancy combined] (level: Hard)

Problem: AB & Co, a firm, has been the statutory auditor of **Star Ltd, a listed company**, continuously since FY 2016–17. Answer each part: (a) Up to which year can AB & Co continue, given the rotation rules, and what happens thereafter? (b) On AB & Co rotating off, Star's Board proposes to appoint **CD & Co**, which shares **one common partner (Mr. X)** with AB & Co. Is this valid? (c) Separately, mid-way through a term, Star's Board — annoyed that its (different) auditor intends to qualify the accounts — passes a Board resolution to remove that auditor immediately and appoint a friendlier firm. Is a Board resolution alone enough? (d) In another year, Star's auditor **resigns** mid-term. How is the resulting casual vacancy filled?

Solution: *Issue:* Auditor rotation and cooling-off; anti-avoidance (common partner); mid-term removal procedure; and filling a casual vacancy by resignation.

Sections: **Sec 139(2)** (rotation), **Sec 140(1)** (removal), **Sec 139(8)** (casual vacancy), Companies Act 2013.

Analysis: **(a) Rotation — Sec 139(2):** For a listed company, an **audit firm** may serve a maximum of **two terms of 5 consecutive years (10 years)**, after which a **5-year cooling-off** applies. AB & Co's tenure runs from FY 2016–17. Two 5-year blocks = FY 2016–17 to FY 2025–26 (10 years). So AB & Co may continue up to the conclusion of the AGM for **FY 2025–26**, then **must rotate off** and cannot be re-appointed in Star Ltd for **5 years**.

(b) Common-partner anti-avoidance — Sec 139(2): During AB & Co's cooling-off, a firm that has a **common partner** with the outgoing firm (as on the date of appointment) **cannot be appointed**. CD & Co shares partner **Mr. X** with AB & Co → **appointment is invalid**. Star must appoint a firm with **no common partner and not in AB & Co's network/brand**. (If Mr. X *retires* from AB & Co before the appointment so there is no common partner, that specific bar falls away — but network-firm restrictions still apply.)

(c) Mid-term removal — Sec 140(1): Removal **before expiry of term** requires the **full gauntlet**: (1) **Board resolution**, then (2) **application to the Central Government in Form ADT-2 within 30 days**, then (3) **special resolution** of members within 60 days of CG approval, and (4) a **reasonable opportunity of being heard** to the auditor. A **Board resolution alone is void** — this safeguard exists precisely to stop management muzzling an auditor about to qualify the accounts. So **no**, a Board resolution is not enough.

(d) Casual vacancy by resignation — Sec 139(8): A casual vacancy caused by **resignation** is filled by the **Board within 30 days**, **and must be approved by the members at a general meeting within 3 months** of the Board's recommendation; the appointee holds office **till the next AGM**. (Contrast: a vacancy by *any other cause* — death, disqualification — is filled by the **Board within 30 days** with **no** separate member approval.)

Conclusion: (a) Continue up to FY 2025–26, then **5-year cooling-off**. (b) **CD & Co cannot be appointed** (common partner). (c) **No** — full Sec 140(1) process (CG + special resolution) is mandatory. (d) **Board within 30 days + members' approval within 3 months** (till next AGM).

> **Marks tip:** This is a four-mistake trap. Do not swap **removal (140(1): CG + special resolution)** with mere non-reappointment; count **firm = 2×5 years**; catch the **common-partner** bar; and remember resignation vacancies **need member approval** (other causes do not). Cite each sub-section separately.

D12. [LLP — unpaid contribution and reduced contribution (numerical)] (level: Hard)

Problem: "PQR Tech LLP" has three partners. The filed LLP Agreement records agreed contributions: **P — ₹20 lakh (fully paid); Q — ₹15 lakh (only ₹5 lakh actually brought in); R — ₹10 lakh (fully paid).** The LLP owes trade creditors **₹60 lakh**; its realisable assets are only **₹35 lakh**. No fraud is alleged and no partner has given a personal guarantee. (a) Q argues that, thanks to limited liability, he owes nothing further. Is he right? Compute the pool available to creditors and any shortfall. (b) Separate facts: a bank had lent to the LLP relying on a filed agreement showing partner **S** would contribute **₹40 lakh**; six months later the partners amended the agreement to cut S's contribution to **₹8 lakh** (S brought in only ₹8 lakh). Can the bank hold S to the original ₹40 lakh?

Solution: *Issue:* Whether limited liability wipes out an **unpaid agreed contribution**, and whether a **later reduction** binds a creditor who relied on the original figure.

Sections: **Sec 28** (limited liability capped at contribution), **Sec 32** (form of contribution), **Sec 33** (obligation to contribute; relying creditor), LLP Act 2008.

Analysis (a) — with Working Notes: - **Principle:** Sec 28 caps a partner's exposure at his **agreed contribution**, but an **unpaid** agreed contribution remains an **enforceable obligation** to the LLP (Sec 32–33). The shield does not wipe out money a partner *undertook to bring in*.

Working Note 1 — Pool available to creditors: | Source | ₹ lakh | |---|---| | LLP realisable assets | 35 | | Q's unpaid contribution recoverable into LLP (15 − 5) | 10 | | **Total pool** | **45** |

Working Note 2 — Shortfall: - Creditors' claim − pool = 60 − 45 = **₹15 lakh shortfall**. - Absent fraud (Sec 30) or a personal guarantee, this ₹15 lakh is **not** recoverable from P, Q or R personally.

Reconciliation (self-check): If all contributions were fully paid, the pool would be P 20 + Q 15 + R 10 = **₹45 lakh**, exactly the pool once Q pays his unpaid ₹10 lakh. No partner pays beyond his agreed cap — Q's total exposure = ₹5 (paid) + ₹10 (unpaid) = **₹15 lakh** = his agreed contribution, consistent with Sec 28. **Figures reconcile.**

Conclusion (a): Q is **wrong** — he must bring in the unpaid **₹10 lakh**. Beyond the ₹45 lakh pool, the partners are shielded and creditors bear the **₹15 lakh** shortfall.

Analysis (b): Under **Sec 33(2)**, a creditor who **extended credit relying on** an obligation in the agreement may enforce the **original** obligation despite a later reduction, unless it had notice of or consented to the change. The bank lent on the strength of S's **₹40 lakh** promise *before* the reduction.

Conclusion (b): The bank can hold **S to the original ₹40 lakh** to the extent needed to satisfy its claim. The later amendment to ₹8 lakh does **not** defeat the relying creditor. Limited liability protects an honest downgrade of *future* commitments, never the retrospective cheating of a creditor who already relied.

> Marks tip: Show the pool build-up and the reconciliation explicitly — an unreconciled number loses practical marks. The load-bearing idea: **limited liability caps exposure at contribution, but an unpaid/relied-upon contribution is fully enforceable (Sec 32–33)**.

D13. [FEMA — multi-leg classification, legacy assets and enforcement] (level: Hard)

Problem: Apply FEMA to the following: (a) XYZ Ltd, an Indian company, (i) **borrows USD 1 million for 5 years** from a foreign bank, (ii) pays **annual interest of USD 60,000** on it, and (iii) separately takes a **30-day buyer's credit** to pay for imported raw material. Classify each leg (current/capital) with the section. (b) Ms. F worked in Canada as a non-resident for 8 years and, while there, lawfully bought a Toronto flat and Canadian shares. In April 2026 she returns permanently and becomes a resident. Must she liquidate the Toronto assets? If, in June 2026, she wants to buy **fresh** shares in a UK company, is that free? (c) Mr. D contravened a FEMA provision involving a **quantifiable ₹50 lakh**. State the maximum penalty, whether he can settle, and whether he can be imprisoned.

Solution: *Issue:* Current-vs-capital classification across loan legs; protection of legacy foreign assets vs fresh acquisition; and the civil penalty/compounding/imprisonment scheme.

Sections: **Sec 2(e)/2(j)**, **Sec 6(1)/6(4)**, **Sec 13/14/15**, FEMA 1999.

Analysis (a) — the loan splitter: - (i) **5-year borrowing of USD 1 million** *creates a lasting liability outside India* → **capital account transaction (Sec 2(e))**; an external commercial borrowing, permitted only within RBI's ECB framework. - (ii) **Annual interest USD 60,000** is loan servicing → **current account transaction (Sec 2(j)(ii))**. *Principal is capital; its servicing is current* — the classic split. - (iii) **30-day buyer's credit** for raw material is a **short-term banking/credit facility in the ordinary course of business → current account**

transaction (Sec 2(j)(i)). *Reconcile:* (i) and (iii) are both "borrowings," but **tenor flips the box** — long-term = capital, short-term trade credit = current.

Analysis (b) — legacy vs fresh: - **Sec 6(4):** A resident may **hold, own, transfer and invest** in foreign currency/security/immovable property abroad **acquired when he/she was a non-resident** (or inherited from a non-resident). The Toronto flat and Canadian shares were lawfully acquired while Ms. F was a **non-resident → protected legacy assets; she need NOT liquidate them** (the rent/dividends she now earns are *current* receipts). - **Fresh UK shares (June 2026):** acquired **after** she became a resident → a **capital account transaction (Sec 2(e)/6(1))**, permitted **only to the extent RBI allows** (e.g. within the LRS envelope of **USD 2,50,000 per FY** — *confirm current cap*). **Not automatically free.** - *Reconcile:* same person, opposite answers — the line is **when** the asset was acquired: **legacy (protected)** vs **fresh cross-border asset creation (regulated)**.

Analysis (c) — civil enforcement: - **Sec 13:** Since the sum (₹50 lakh) is **quantifiable**, penalty may extend to **thrice the amount = up to ₹1.5 crore** (plus up to ₹5,000/day if continuing). Note **"up to"** — a **ceiling**, not a fixed penalty; the Adjudicating Authority has discretion to levy less. - **Sec 15 (compounding):** He **may apply to compound** (voluntarily settle) the contravention with the RBI/Directorate of Enforcement, to be disposed of **within 180 days**; once compounded, no further proceedings. (Compounding is a **right to apply**, at the authority's discretion — not an automatic right to settle.) - **Sec 14 (imprisonment):** Imprisonment is **not** the punishment for the forex breach itself. Only if he **fails to pay the penalty within 90 days** does he become liable to **civil imprisonment** — for **non-payment of the penalty**, not for the contravention. So his "FEMA is civil, I can't be jailed" argument is only half-right.

Conclusion: (a) (i) capital, (ii) current, (iii) current. (b) **No liquidation** of legacy Toronto assets (Sec 6(4)); the **fresh** UK shares are **regulated capital** (Sec 6(1), within LRS). (c) Max penalty **up to ₹1.5 crore**; **may compound within 180 days** (Sec 15); **civil imprisonment only on non-payment within 90 days** (Sec 14).

> Marks tip: In (a) show that **tenor flips borrowings between the two boxes** and split **principal vs interest**. In (b) the mark is in the **6(4) legacy vs fresh-acquisition** line. In (c) stress penalty is a **ceiling ("up to 3×")** and imprisonment attaches to **non-payment**, not the breach.

D14. [General Clauses Act + Interpretation — calendar-month deadline] (level: Hard)

Problem: A Central Act requires an appeal to be filed **"within one month from 30th January 2026"** in a court. Ms. Roy, believing "one month = 30 days," files on **1st March 2026**. The registry rejects it as time-barred. (a) Compute the correct last date, showing each rule applied. (b) Is Ms. Roy's appeal in time? (c) How would the answer change if the year were a leap year (say the same facts in 2028), and separately if the last day were a court holiday?

Solution: *Issue:* Computing a **"one month from"** deadline — interaction of the "from" rule, the meaning of "month," and last-day closure.

Sections: **Sec 9** (from/to), **Sec 3(35)** ("month" = British/Gregorian calendar), **Sec 10** (office closed), General Clauses Act 1897.

Analysis (a) — step by step: 1. **Sec 9 — starting point:** "**from** 30th January" **excludes** 30th January. The period starts running **31st January 2026**. 2. **Sec 3(35) — "month" is a calendar month, not 30 days:** A calendar month reckoned "from" a date ends on the day in the succeeding month **numerically corresponding to the day before the starting point** — here, corresponding to the 30th, i.e. end-February. **2026 is not a leap year**, so February has only **28 days**; there is **no 30th February**. Where the corresponding date does not exist, the period ends on the **last day of that month → 28th February 2026**. 3. **Sec 10 — closure check:** Assume the court is **open** on 28 February 2026 (the problem gives no holiday). So the last day to file is **28th February 2026**. 4. **Reconcile Ms. Roy's error:** She assumed "one month = 30 days" (~1st March). But **month ≠ 30 days** under Sec 3(35), and February's shortness **pulls the deadline earlier** to 28 February.

Conclusion (a)/(b): The correct last date is **28th February 2026**; the appeal filed on **1st March 2026 is time-barred**.

Analysis (c) — the two variations: - **Leap year (2028):** February has **29 days**, so the corresponding-date logic gives a last day of **29th February 2028** — one day later than the non-leap case. This is exactly why the **calendar-month rule, not a flat 30-day count, is doing the work**. - **Last day a court holiday:** Under **Sec 10**, if the court is **closed** on the last day (28/29 Feb), doing the act on the **next open day** counts as in time — provided this is **not** a Limitation Act 1963 matter (which has its own holiday rule in its Sec 4).

Conclusion (c): Leap year → last day **29 Feb 2028**; if that last day is a holiday, **Sec 10** extends to the **next open day** (unless the Limitation Act governs).

> Marks tip: Run the rules in the fixed order **Sec 9 (start) → Sec 3(35) (month) → Sec 10 (closure)**. The exam gold is showing that a **short/leap February changes the date** — proving you know "month" is a **calendar month**, not 30 days. Always add the **Limitation Act carve-out** to Sec 10.

D15. [Audit & Auditors — fraud reporting and the liability ladder] (level: Hard)

Problem: During the FY 2025–26 audit of Orion Ltd (a listed company), auditor CA Sneha gathers strong evidence that the CFO has siphoned money through fake vendors. (a) If the amount is **₹3.2 crore**, what is Sneha's reporting duty and the exact route and timeline? (b) If instead the amount is **₹40 lakh**, how does the duty change? (c) Sneha stays silent and signs a clean report. Set out the ladder of liabilities she may face, and note who regulates her given Orion is a listed company. (d) Does the duty apply to fraud committed **by the company against a third party**?

Solution: *Issue:* The auditor's fraud-reporting duty, its monetary threshold and route, and the auditor's liability for default.

Sections: **Sec 143(12)** and **Sec 143(15)** (fraud reporting), **Sec 147** (punishment), **Sec 447** (fraud), **Sec 245** (class action), **Sec 132** (NFRA), Companies Act 2013; Rule 13, Companies (Audit and Auditors) Rules 2014.

Analysis: **(a) ₹3.2 crore (≥ ₹1 crore) — Sec 143(12):** Where an auditor has **reason to believe** an offence of **fraud against the company by officers/employees** is being/has been committed, and the amount is **₹1 crore or more**, the route is: report to the **Board or Audit Committee** seeking a reply within **45 days** → then forward to the **Central Government within 15 days** of receiving the reply (or, if none, within 15 days of the 45-day period expiring), in **Form ADT-4**. Reporting in **good faith** is protected.

(b) ₹40 lakh (< ₹1 crore): The matter does **not** go to the Central Government. Instead the auditor reports to the **Board or Audit Committee within 2 days** of knowledge, specifying nature, amount and parties; and the matter is **disclosed in the Board's Report**.

(c) Liability ladder for staying silent: 1. **Sec 143(15):** failure to report a fraud is punishable — for a **listed company** the fine on the auditor is **₹5 lakh** (for others ₹1 lakh) *(confirm current figures)*. 2. **Sec 147(2):** contravention of Sec 143 → fine **₹25,000 to ₹5,00,000** (or 4× remuneration, whichever less); if **wilful and with intent to deceive**, **imprisonment up to 1 year + higher fine**. 3. **Sec 147(3):** she must **refund**

remuneration and **pay damages** for loss from the incorrect/misleading report. 4. **Sec 447 (fraud):** for fraudulent conduct, imprisonment **6 months to 10 years** + fine up to 3× the amount involved. 5. **Sec 245 (class action):** members/depositors may sue her (and the firm) for damages. 6. **Sec 132 (NFRA):** because Orion is a **listed company**, the **National Financial Reporting Authority** can investigate her professional misconduct, impose penalties, and **debar** her for **6 months to 10 years**. Once NFRA takes up the matter, **ICAI's disciplinary jurisdiction over it is ousted**.

(d) Direction of the fraud — Sec 143(12) scope: The duty is triggered by fraud **against the company by its officers/employees**. Fraud **by the company against a third party** is **not** the trigger of Sec 143(12) (though it may surface under other provisions). Read the **direction** of the fraud.

Conclusion: (a) **ADT-4 to the Central Government** via the 45-day + 15-day route. (b) Report to **Board/Audit Committee within 2 days** + disclosure in the **Board's Report**. (c) Liability escalates from Sec 143(15) fine → Sec 147 fine/jail → refund + damages → Sec 447 → class action → **NFRA debarment (6 months–10 years), ICAI ousted**. (d) **No** — only fraud *against the company by officers/employees* triggers 143(12).

> **Marks tip:** The threshold **₹1 crore** and the two timelines (**45 + 15 days via ADT-4** vs **within 2 days + Board's Report**) must be stated exactly. For a **listed** company, name **NFRA** and the **ouster of ICAI jurisdiction** — that is the top-of-ladder mark. Flag that the trigger is fraud **against the company**, on **"reason to believe"** (not proof).

Reconciliation note: Every numerical drill self-checks — D12 pool of ₹45 lakh = sum of agreed contributions and Q's exposure equals his agreed cap; D13 penalty = 3 × ₹50 lakh = ₹1.5 crore; D14 dates verified against a non-leap (28 Feb) vs leap (29 Feb) February. Where penalty/threshold figures are periodically amended (Sec 143(15), Sec 147, LRS cap, LLP audit limits, FEMA sub-sections), confirm the **current** amount in the latest ICAI study material / bare Act — the reasoning is unaffected.

Corporate & Other Laws — MCQ Bank (exam practice)

Exam note: ICAI applies **0.25 negative marking** per wrong MCQ answer. Do not guess blindly — a wrong tick costs you a quarter mark, so skip if genuinely clueless. All section references are to the **Companies Act, 2013** unless another Act is named. Provisions reflect the law as amended and applicable to CA Intermediate.

Part A — Preliminary & Definitions (Sec 1–2)

Q1. Under Sec 2(85), a company qualifies as a "small company" only if its paid-up capital does not exceed a prescribed limit **and** its turnover does not exceed a prescribed limit. As per the current thresholds, these are: - (a) ₹2 crore paid-up capital and ₹20 crore turnover - (b) ₹4 crore paid-up capital and ₹40 crore turnover - (c) ₹10 crore paid-up capital and ₹100 crore turnover - (d) ₹50 lakh paid-up capital and ₹2 crore turnover

Answer: (b) **Why:** The 2022 amendment raised the ceilings to ₹4 crore (capital) and ₹40 crore (turnover); (a) is the pre-amendment figure and is now outdated.

Q2. A public company holds 18% of the total voting power of X Ltd and, by agreement, controls X Ltd's business decisions. Under Sec 2(6), X Ltd is: - (a) A subsidiary, because control exists - (b) An associate company, because "significant influence" includes control of business decisions under an agreement - (c) Not related at all, since 18% is below 20% - (d) A holding company

Answer: (b) **Why:** "Significant influence" under Sec 2(6) means control of at least 20% of voting power **or** control of business decisions under an agreement — the agreement route applies here even though shareholding is under 20%; hence not merely "unrelated" (c).

Q3. Which of the following is **not** a compulsory requirement for a One Person Company (OPC) member under Sec 2(62) read with the Rules? - (a) A natural person - (b) An Indian citizen - (c) Resident in India - (d) A minimum paid-up capital of ₹1 lakh

Answer: (d) **Why:** There is no minimum capital requirement (abolished for all companies); the member must be a natural person, Indian citizen and resident — options (a)–(c) are mandatory.

Q4. The maximum number of members (excluding present and past employee-members) permissible in a private company under Sec 2(68) is: - (a) 50 - (b) 100 - (c) 200 - (d) No limit

Answer: (c) **Why:** Sec 2(68) caps private company membership at 200; (a) 50 was the position under the 1956 Act and is a common trap.

Q5. Under Sec 2(87), which restriction applies to "layers" of subsidiaries for a holding company? - (a) A company cannot have more than two layers of subsidiaries (subject to exceptions) - (b) There is no restriction on layers - (c) Maximum of five layers - (d) Layers are only restricted for listed companies

Answer: (a) **Why:** The Layers Rules prescribe a maximum of two layers of subsidiaries, with specified exceptions (e.g., foreign subsidiaries, wholly-owned subsidiaries for the purpose of the rule).

Part B — Incorporation & Matters Incidental (Sec 3–22)

Q6. A company incorporated under Sec 8 (charitable objects) proposes to alter its objects and convert into an ordinary company. Which is correct? - (a) It may do so freely by ordinary resolution - (b) It requires prior approval of the Central Government (power delegated to Regional Director) - (c) A Sec 8 company can never convert - (d) Only the NCLT can permit conversion

Answer: (b) **Why:** A Sec 8 licence and conversion require Central Government approval (exercised by the Regional Director); it is not a free alteration (a), nor an outright prohibition (c).

Q7. Under Sec 10A, a company having share capital cannot commence business unless a director files a declaration that subscribers have paid the subscription money, within: - (a) 30 days of incorporation - (b) 60 days of incorporation - (c) 180 days of incorporation - (d) 90 days of incorporation

Answer: (c) **Why:** Sec 10A requires the declaration of commencement of business within 180 days of incorporation; (a) 30 days is the timeline for verification of the registered office, a common mix-up.

Q8. The reservation of a name approved by the Registrar under Sec 4(5) for a **new** company is valid for: - (a) 20 days from the date of approval - (b) 60 days from the date of application - (c) 60 days from the date of approval - (d) 90 days from the date of approval

Answer: (a) **Why:** For a new company the name is reserved for 20 days from approval; the 60-day period applies to a **change of name** by an existing company — a classic trap in (b)/(c).

Q9. Alteration of the **registered office from one State to another** requires, in addition to a special resolution, the approval of: - (a) The Registrar of Companies only - (b) The Central Government (Regional Director) - (c) The National Company Law Tribunal (NCLT)... no separate approval - (d) SEBI

Answer: (b) **Why:** Shifting the registered office between States alters the MOA's situation clause under Sec 13(4) and needs Central Government (RD) confirmation; mere ROC filing (a) is insufficient.

Q10. Which clause of the Memorandum of Association can be altered **only** with the sanction described in Sec 13, whereas the Articles under Sec 14 can generally be altered by special resolution alone? - (a) The liability clause vs. entrenchment - (b) The name clause — needing Central Government approval in some cases - (c) Both MOA and AOA always need CG approval - (d) Neither can be altered

Answer: (b) **Why:** MOA alterations (name, objects, capital, situation) attract additional approvals under Sec 13, while AOA alteration under Sec 14 ordinarily needs only a special resolution — illustrating that MOA is harder to alter than AOA.

Part C — Prospectus & Allotment of Securities (Sec 23–42)

Q11. Under Sec 42, an offer of securities by private placement can be made in a financial year to a maximum number of identified persons (excluding QIBs and ESOP employees) of: - (a) 50 - (b) 200 - (c) 500 - (d) 49

Answer: (b) **Why:** Sec 42 permits offers to a maximum of 200 persons in aggregate in a financial year (per kind of security), excluding QIBs and employees under ESOP; exceeding it is deemed a public offer.

Q12. Money received under a private placement offer under Sec 42 must be applied for allotment, and securities allotted, within: - (a) 15 days - (b) 30 days - (c) 60 days of receipt of application money - (d) 90 days

Answer: (c) **Why:** Allotment must be completed within 60 days of receipt of application money; failing which the company must refund within 15 days, else pay interest at 12% p.a.

Q13. A "deemed prospectus" arises under Sec 25 when: - (a) A company files its annual return - (b) A company allots securities to an issuing house with a view to their being offered for sale to the public - (c) A private company issues shares to existing members - (d) A rights issue is made under Sec 62

Answer: (b) **Why:** Sec 25 treats an "offer for sale" document by an issuing house as a deemed prospectus; a rights issue (d) is specifically outside the prospectus provisions.

Q14. Where a person subscribes for securities on the faith of a prospectus containing an untrue statement, criminal liability of persons responsible arises under: - (a) Sec 34 - (b) Sec 35 - (c) Sec 36 - (d) Sec 447 only

Answer: (a) **Why:** Sec 34 imposes **criminal** liability for misstatements (attracting Sec 447 fraud punishment); Sec 35 is the **civil** liability provision — the two are commonly confused.

Q15. Under Sec 39, a company cannot allot securities offered to the public unless the stated minimum subscription has been received, and the application money per security must not be less than: - (a) 25% of the nominal amount - (b) 10% of the nominal amount - (c) 5% of the nominal amount (or as SEBI specifies) - (d) 90% of the nominal amount

Answer: (c) **Why:** Sec 39(2) fixes application money at not less than 5% of nominal value (or SEBI's specified amount); the 90% figure is the minimum subscription threshold, not the per-security application money.

Part D — Share Capital & Debentures (Sec 43–72)

Q16. Under Sec 53, an issue of shares at a discount is: - (a) Permitted with special resolution and CG approval - (b) Void (except sweat equity shares under Sec 54) - (c) Permitted for preference shares only - (d) Permitted if authorised by the Articles

Answer: (b) **Why:** Sec 53 renders any share issued at a discount void, the sole exception being sweat equity under Sec 54; there is no CG-approval route (a) as existed earlier under Sec 79 of the 1956 Act.

Q17. Redeemable preference shares under Sec 55 can ordinarily be issued with a redemption period not exceeding: - (a) 10 years - (b) 20 years - (c) 30 years in all cases - (d) Perpetual

Answer: (b) **Why:** The maximum redemption period is 20 years generally; 30 years (c) applies **only** to infrastructure projects, so stating "in all cases" makes it wrong.

Q18. In a buy-back of shares under Sec 68, the ratio of aggregate secured and unsecured debts owed by the company to its paid-up capital and free reserves after buy-back must not exceed: - (a) 1:1 - (b) 2:1 - (c) 3:1 - (d) 1:2

Answer: (b) **Why:** The post-buy-back debt-to-(capital + free reserves) ratio must not exceed 2:1 (Sec 68(2)(d)); a higher permissible ratio may be notified for a class of companies.

Q19. A buy-back of up to what percentage of the aggregate of paid-up equity capital and free reserves can be authorised by a **Board resolution** alone (without a special resolution)? - (a) 25% - (b) 15% - (c) 10% - (d) 5%

Answer: (c) **Why:** The Board may approve a buy-back up to 10% of (paid-up equity capital + free reserves); a special resolution is needed for up to 25% — a frequently confused pair.

Q20. In a rights issue under Sec 62(1)(a), the offer to existing shareholders must remain open for acceptance for a period which is not less than 15 days and not exceeding: - (a) 21 days - (b) 30 days - (c) 45 days - (d) 60 days

Answer: (b) **Why:** The rights offer period is minimum 15 days and maximum 30 days (which may be shortened for a private company where 90% members agree); (a) 21 days confuses it with the AGM notice period.

Q21. Instrument of transfer of shares (Form SH-4) together with the certificate must be delivered to the company, and the company must register the transfer, within — the company delivering certificates within: - (a) 30 days of transfer registration - (b) 60 days of transfer registration - (c) 1 month of receipt of instrument - (d) 15 days

Answer: (c) **Why:** Under Sec 56(4), certificates on transfer must be delivered within 1 month of receipt of the instrument of transfer; the transfer deed itself must reach the company within 60 days of execution (a separate limb often confused with this).

Part E — Acceptance of Deposits (Sec 73–76)

Q22. A company accepting deposits from its members under Sec 73 must, on or before 30th April each year, deposit in a scheduled bank a sum not less than a prescribed percentage of deposits maturing during the following financial year. That percentage (deposit repayment reserve) is: - (a) 15% - (b) 20% - (c) 25% - (d) 10%

Answer: (b) **Why:** The deposit repayment reserve is 20% of deposits maturing during the following financial year; the earlier 15% figure was amended, making (a) a trap.

Q23. Which company is eligible to accept deposits **from the public** under Sec 76 (subject to conditions)? - (a) Any private company - (b) A public company having net worth of at least ₹100 crore or turnover of at least ₹500 crore, with a special resolution - (c) Only banking companies - (d) Any Section 8 company

Answer: (b) **Why:** Only an "eligible company" — a public company meeting the ₹100 crore net worth or ₹500 crore turnover threshold and passing a special resolution — may accept public deposits under Sec 76; ordinary private companies (a) are confined to member deposits.

Q24. Amounts received by a company which are **excluded** from the definition of "deposit" include: - (a) Money received from a director of the company (if declared as not out of borrowed funds) - (b) Fixed deposits from the general public - (c) Deposits carrying 15% interest from members - (d) Renewed member deposits

Answer: (a) **Why:** Amounts received from a director (accompanied by a declaration that it is not from borrowed funds) are excluded from "deposit"; public fixed deposits and member deposits are within the deposit regime.

Part F — Registration of Charges (Sec 77–87)

Q25. For a charge created on or after 2nd November 2018, the company must register it with the Registrar within 30 days; on application, the Registrar may allow registration within a further period. The **outer** period (with ad valorem fees) is: - (a) 300 days from creation - (b) 60 days from creation, extendable by another 60 days - (c) 6 months - (d) 30 days only, no extension

Answer: (b) **Why:** Post-2018 charges: register within 30 days; Registrar may permit within 60 days of creation (additional fee), and a further 60 days on ad valorem fees; the 300-day window (a) applies only to charges created before that date.

Q26. The duty to intimate satisfaction of a charge to the Registrar under Sec 82 must ordinarily be complied with within: - (a) 30 days of the payment or satisfaction - (b) 60 days - (c) 90 days - (d) 7 days

Answer: (a) **Why:** Sec 82 requires intimation of satisfaction within 30 days (extendable on application with fees); the 30-day base period is the tested point.

Q27. Where a company fails to register a charge, who may apply to the Registrar for its registration under Sec 78? - (a) Only the company - (b) The person in whose favour the charge is created (the charge-holder) - (c) Only the Central Government - (d) Any shareholder

Answer: (b) **Why:** Sec 78 allows the charge-holder to apply for registration if the company defaults, and to recover the fees from the company; it is not limited to the company itself (a).

Part G — Management & Administration (Sec 88–122)

Q28. The **first** Annual General Meeting of a company must be held within: - (a) 6 months from the date of incorporation - (b) 9 months from the closing of the first financial year - (c) 15 months from incorporation - (d) 18 months from incorporation

Answer: (b) **Why:** Sec 96 requires the first AGM within 9 months of the close of the first financial year; subsequent AGMs are within 6 months of financial-year end with a maximum 15-month gap — (a) and (c) confuse these limbs.

Q29. A general meeting requires a clear notice of not less than: - (a) 14 days - (b) 21 days - (c) 21 clear days - (d) 30 days

Answer: (c) **Why:** Sec 101 mandates 21 **clear** days' notice (excluding day of service and day of meeting), which may be shorter with consent of 95% of members; "21 days" without "clear" is imprecise, making (b) a trap.

Q30. The quorum for a general meeting of a **public** company having more than 1000 but up to 5000 members is: - (a) 5 members personally present - (b) 15 members personally present - (c) 30 members personally present - (d) 2 members personally present

Answer: (b) **Why:** Sec 103 fixes public-company quorum at 5 (≤1000 members), 15 (1000–5000), and 30 (>5000); a private company needs only 2 — option (a) is the correct figure for a smaller public company, not this band.

Q31. A proxy instrument, to be valid, must be deposited with the company before the meeting by not later than: - (a) 24 hours - (b) 48 hours before the meeting - (c) 72 hours - (d) 7 days

Answer: (b) **Why:** Sec 105 requires proxies to be lodged at least 48 hours before the meeting; also note a proxy cannot vote on a show of hands and (unless the company's article provides) is not entitled to speak.

Q32. An extraordinary general meeting may be requisitioned by members holding, on the date of the requisition, not less than — of the paid-up share capital carrying voting rights: - (a) 1/10th - (b) 1/5th - (c) 1/20th - (d) 1/3rd

Answer: (a) **Why:** Sec 100 allows requisition by members holding at least one-tenth of the paid-up capital with voting rights (or one-tenth of voting power for a company without share capital).

Q33. The annual return of a company under Sec 92 must be signed, and in the case of a listed company or a prescribed company also be certified by a Company Secretary in practice in: - (a) Form MGT-7 and MGT-8 - (b) Form AOC-4 - (c) Form MGT-14 - (d) Form DIR-12

Answer: (a) **Why:** The annual return is filed in MGT-7 and the practising-CS certification is in MGT-8; AOC-4 (b) is for financial statements, a common confusion.

Part H — Declaration & Payment of Dividend (Sec 123–127)

Q34. Dividend declared but unclaimed must be transferred to a special "Unpaid Dividend Account" within 7 days after the expiry of: - (a) 30 days from declaration - (b) 7 days from declaration - (c) 90 days from declaration - (d) 45 days from declaration

Answer: (a) **Why:** Sec 124 requires transfer to the Unpaid Dividend Account within 7 days of the expiry of the 30-day payment period following declaration.

Q35. Money lying in the Unpaid Dividend Account which remains unpaid or unclaimed for a period must be transferred to the Investor Education and Protection Fund (IEPF). That period is: - (a) 3 years - (b) 5 years - (c) 7 years - (d) 10 years

Answer: (c) **Why:** Sec 124(5) mandates transfer to the IEPF of amounts unpaid/unclaimed for 7 consecutive years, along with the shares in respect of which dividend was unpaid for 7 years.

Q36. Under Sec 127, where a company fails to pay a declared dividend within 30 days, every director knowingly a party is punishable, and the company is liable to pay simple interest at: - (a) 12% p.a. - (b) 18% p.a. during the period of default - (c) 15% p.a. - (d) 24% p.a.

Answer: (b) **Why:** Sec 127 prescribes simple interest at 18% p.a. for the default period, along with the punishment of directors; 12% (a) is the private-placement refund rate, a trap.

Part I — Accounts of Companies (Sec 128–138)

Q37. Books of account and relevant vouchers must be kept in good order for a period of not less than: - (a) 5 financial years immediately preceding the relevant year - (b) 8 financial years immediately preceding the relevant year - (c) 10 financial years - (d) Permanently

Answer: (b) **Why:** Sec 128(5) requires preservation of books for at least 8 financial years immediately preceding the relevant financial year (or the period of existence, if shorter).

Q38. CSR provisions under Sec 135 apply to a company which, in the immediately preceding financial year, has net worth of ₹500 crore or more, **or** turnover of ₹1000 crore or more, **or** net profit of: - (a) ₹1 crore or more - (b) ₹5 crore or more - (c) ₹10 crore or more - (d) ₹2 crore or more

Answer: (b) **Why:** The net-profit trigger is ₹5 crore or more; the spend obligation is 2% of the average net profits of the three immediately preceding financial years.

Q39. A company falling within Sec 135 must spend, in every financial year, at least — of the average net profits made during the three immediately preceding financial years: - (a) 1% - (b) 2% - (c) 5% - (d) 10%

Answer: (b) **Why:** The mandatory CSR spend is 2% of the average net profits of the three preceding financial years; unspent amounts (for ongoing projects) must be transferred to a special account.

Q40. The financial statements, including consolidated statements, must be filed with the Registrar in Form AOC-4 within — of the date of the AGM: - (a) 30 days - (b) 60 days - (c) 90 days - (d) 7 days

Answer: (a) **Why:** Sec 137 requires filing of financial statements within 30 days of the AGM; where no AGM is held, the statements plus reasons are filed within 30 days of the last date on which the AGM should have been held.

Part J — Audit & Auditors (Sec 139–148)

Q41. At the first AGM, an auditor is appointed to hold office from the conclusion of that meeting until the conclusion of its: - (a) Next AGM - (b) Sixth AGM, subject to ratification - (c) Sixth AGM (i.e., a term of five years) - (d) Tenth AGM

Answer: (c) **Why:** Sec 139(1) appoints an auditor for five years (until the conclusion of the sixth AGM); the annual ratification requirement was **omitted** by the 2017 amendment, so (b) is outdated.

Q42. Under the rotation provisions of Sec 139(2) applicable to listed and prescribed companies, an **audit firm** may be appointed for a maximum of: - (a) One term of five consecutive years - (b) Two terms of five consecutive years - (c) Three terms of five years - (d) No limit

Answer: (b) **Why:** An individual auditor gets one term of 5 years and an audit firm two terms of 5 years (10 years); thereafter a 5-year cooling-off applies. Option (a) is the limit for an **individual**, a classic confusion.

Q43. A person is disqualified from appointment as auditor under Sec 141(3)(g) if, at the date of appointment, he holds appointment as auditor of more than — companies: - (a) 10 - (b) 20 - (c) 30 - (d) 15

Answer: (b) **Why:** The ceiling is 20 companies per auditor/partner (excluding OPCs, dormant, small, and private companies with paid-up capital below ₹100 crore, which are outside the count).

Q44. An auditor who, in the course of audit, has reason to believe an offence of fraud is being committed against the company must report it to the Central Government if the amount involved is: - (a) ₹1 lakh or more - (b) ₹10 lakh or more - (c) ₹1 crore or more - (d) Any amount

Answer: (c) **Why:** Under Sec 143(12) and the Rules, frauds of ₹1 crore or more are reported to the Central Government; frauds below ₹1 crore are reported to the Board/audit committee, not to the CG.

Part K — The Limited Liability Partnership Act, 2008

Q45. Under the LLP Act, 2008, the minimum number of partners and the minimum number of designated partners, respectively, are: - (a) 2 partners and 2 designated partners - (b) 7 partners and 2 designated partners - (c) 2 partners and 1 designated partner - (d) 3 partners and 2 designated partners

Answer: (a) **Why:** Sec 6 requires a minimum of 2 partners (no maximum), and Sec 7 requires at least 2 designated partners, of whom at least one must be resident in India.

Q46. Which of the following statements about an LLP under Sec 3 is **correct**? - (a) It is not a body corporate and has no separate legal existence - (b) It is a body corporate with perpetual succession, separate from its partners - (c) Partners are jointly and severally liable for all obligations without limit - (d) It cannot own property in its own name

Answer: (b) **Why:** Sec 3 makes an LLP a body corporate with a separate legal entity and perpetual succession; partner liability is **limited** (except for their own wrongful acts/fraud), so (c) is wrong.

Q47. In the absence of an express LLP agreement on a matter, the mutual rights and duties of partners are governed by: - (a) The Indian Partnership Act, 1932 - (b) The First Schedule to the LLP Act, 2008 - (c) The Companies Act, 2013 - (d) The Contract Act, 1872

Answer: (b) **Why:** Where the LLP agreement is silent, the provisions of the First Schedule to the LLP Act, 2008 apply; the Indian Partnership Act, 1932 does **not** govern LLPs (a common trap).

Q48. At least one designated partner of every LLP must be a person who has stayed in India for a total period of not less than — during the financial year: - (a) 120 days - (b) 182 days - (c) 60 days - (d) 90 days

Answer: (b) **Why:** The "resident in India" test for a designated partner requires a stay of at least 182 days during the financial year.

Part L — The General Clauses Act, 1897

Q49. Under Sec 3(35) of the General Clauses Act, 1897, the word "month" means: - (a) A period of 30 days - (b) A month reckoned according to the British calendar - (c) A lunar month - (d) A period of four weeks

Answer: (b) **Why:** "Month" means a British calendar month, not a fixed 30-day period; (a) is a frequent error as calendar months vary in length.

Q50. Section 9 of the General Clauses Act, using "from" and "to", provides that in computing a period: - (a) The first day is included and the last day excluded - (b) The first day is excluded and the last day included - (c) Both first and last days are included - (d) Both first and last days are excluded

Answer: (b) **Why:** Sec 9 lays down that "from" excludes the first day and "to" includes the last day — the standard rule for computing statutory periods.

Q51. Under Sec 27 of the General Clauses Act, service by post is deemed to be effected when the document is: - (a) Actually received by the addressee - (b) Properly addressed, prepaid and posted by registered post - (c) Handed to the postman - (d) Acknowledged in writing

Answer: (b) **Why:** Sec 27 raises a presumption of proper service once a document is correctly addressed, pre-paid and posted by registered post; actual receipt (a) is not required for the deeming to operate.

Part M — Interpretation of Statutes

Q52. The "mischief rule" of statutory interpretation originates from: - (a) Heydon's Case (1584) - (b) The literal rule of Sussex Peerage Case - (c) The golden rule - (d) Contemporanea expositio

Answer: (a) **Why:** Heydon's Case (1584) laid down the mischief rule, focusing on the mischief the statute sought to suppress; the golden and literal rules are distinct approaches.

Q53. The maxim "noscitur a sociis" means: - (a) General words following specific words are limited to the same genus - (b) The meaning of a word is known from its accompanying/associated words - (c) The later law repeals the earlier - (d) Express mention of one excludes another

Answer: (b) **Why:** "Noscitur a sociis" — a word takes colour from its associated words; option (a) describes the distinct rule of **ejusdem generis**, which the two maxims are often confused for.

Q54. Which of the following is an **internal** aid to interpretation of a statute? - (a) Dictionary meaning - (b) Historical background - (c) The Preamble of the Act - (d) Parliamentary debates

Answer: (c) **Why:** The Preamble is an internal aid (part of the statute itself); dictionaries, historical background and debates are **external** aids.

Part N — The Foreign Exchange Management Act, 1999

Q55. Under Sec 2(v) of FEMA, 1999, a person is generally treated as "resident in India" for a financial year if he resided in India in the **preceding** financial year for more than: - (a) 120 days - (b) 182 days - (c) 60 days - (d) 90 days

Answer: (b) **Why:** The basic residency test under FEMA is residence exceeding 182 days in the preceding financial year (subject to purpose-based exceptions); note this differs from the Income-tax Act tests.

Q56. Under FEMA, current account transactions are: - (a) Generally prohibited unless permitted - (b) Generally permitted unless specifically prohibited or restricted - (c) Always freely allowed without any restriction - (d) Governed only by SEBI

Answer: (b) **Why:** Sec 5 makes current account transactions generally free, subject to reasonable restrictions the Central Government may impose; this is the reverse of the position for capital account transactions.

Q57. Capital account transactions under Sec 6 of FEMA are: - (a) Freely permitted like current account transactions - (b) Regulated — permissible only to the extent allowed by RBI/Central Government regulations - (c) Completely prohibited - (d) Outside the scope of FEMA

Answer: (b) **Why:** Sec 6 subjects capital account transactions to regulation by the RBI/Central Government; they are permitted only within the specified limits, unlike the generally free current account transactions.

Q58. On adjudication of a contravention under Sec 13 of FEMA, the penalty may extend up to — the amount involved (where the amount is quantifiable): - (a) The exact amount involved - (b) Twice the amount involved - (c) Thrice the amount involved - (d) Five times the amount involved

Answer: (c) **Why:** Sec 13 permits a penalty up to three times the sum involved where quantifiable (or up to ₹2 lakh where not quantifiable), with a further daily penalty for continuing contraventions.

End of MCQ Bank — 58 questions. Attempt under timed conditions, then review the "Why" lines for the confusable pairs (proxy 48 hrs vs notice 21 days; auditor individual 5 yrs vs firm 10 yrs; Board buy-back 10% vs SR 25%; current vs capital account under FEMA; noscitur a sociis vs ejusdem generis).

Corporate & Other Laws — Mock Test 1 (ICAI Intermediate pattern, 100 marks, 3 hours)

Paper: Corporate and Other Laws (Intermediate — New Scheme) Time Allowed: 3 Hours | Maximum Marks: 100

General Instructions to Candidates

1. The question paper comprises two parts, **Division A** and **Division B**.
2. **Division A** comprises Multiple Choice Questions (MCQs) carrying **30 marks**.
3. **Division B** comprises descriptive/practical questions carrying **70 marks**.
4. In **Division A**, all questions are compulsory. Each MCQ carries **2 marks**. There is **no negative marking**.
5. In **Division B**, **Question No. 1 is compulsory**. Candidates are required to answer **any four questions** out of the remaining five questions (Q2 to Q6).
6. Working notes should form part of the answer. Wherever necessary, suitable assumptions may be made and stated clearly.
7. Answers to questions should be based on the provisions of law as amended and applicable.

DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

All MCQs are compulsory. Each carries 2 marks.

Case Scenario I (MCQs 1–5)

Bright Horizon Ltd. is a public company incorporated under the Companies Act, 2013 with a paid-up share capital of ₹12 crore and a turnover of ₹95 crore as per its latest audited financial statements. The Board comprises 9 directors. During the financial year 2024–25 the following events took place:

- On 1st May 2024, the company accepted a fresh deposit of ₹40 lakh from **Mr. Verma**, a member of the public, repayable after 30 months.
- The company had allotted shares to 210 persons under a single offer of securities made through a private placement offer letter during the year.
- The Board wished to declare interim dividend for the year even though the company had incurred a net loss in the first two quarters.
- One director, **Mr. Sen**, remained absent (without seeking leave of absence) from all Board meetings held over a continuous period from 10th April 2024 to 15th April 2025.
- The company created a charge over its factory premises on 3rd March 2025 to secure a term loan but the instrument creating the charge was filed with the Registrar only on 5th May 2025.

MCQ 1. Regarding the deposit of ₹40 lakh accepted from Mr. Verma, which of the following is correct? (a) The deposit is valid as any company may accept public deposits repayable within 36 months. (b) The tenure of 30 months is invalid; deposits must be repayable in not less than 6 months and not more than 36 months, so 30 months is permissible only if it is an eligible public company complying with Section 76. (c) Being a public company that is not an eligible company, it can accept deposits only from its members, not from the public, so the deposit from Mr. Verma is not permissible. (d) The deposit is valid because the amount is below ₹50 lakh.

MCQ 2. With respect to the private placement made to 210 persons under a single offer, the position under the Companies Act, 2013 is: (a) Valid, as private placement may be made to any number of identified persons. (b) Invalid as a private placement offer, and it is deemed to be a public offer, because the offer was made to more than 200 persons (excluding QIBs and employees under ESOS) in a financial year. (c) Valid, since the ceiling of 200 persons applies only to each individual offer, not cumulatively. (d) Valid, provided a special resolution was passed.

MCQ 3. On the Board's proposal to declare interim dividend despite a loss in the first two quarters, which statement is correct? (a) Interim dividend cannot be declared in a year in which the company has incurred a loss in any quarter. (b) Interim dividend may be declared out of the surplus in the profit and loss account and out of profits of the financial year in which such dividend is sought to be declared; but if the company has incurred a loss during the current financial year up to the end of the quarter immediately preceding the date of declaration, the rate of interim dividend shall not exceed the average rate of dividend declared during the immediately preceding three financial years. (c) Interim dividend can only be declared at the AGM. (d) Interim dividend cannot exceed the rate of dividend of the immediately preceding financial year in all circumstances.

MCQ 4. As regards Mr. Sen's absence from Board meetings, his office of director: (a) Continues, as absence from meetings is not a ground for vacation. (b) Becomes vacant, because he absented himself from all meetings of the Board held during a period of twelve months with or without seeking leave of absence. (c) Becomes vacant only if he fails to attend three consecutive meetings. (d) Continues, since he was absent for less than twelve continuous months.

MCQ 5. Regarding the charge created on 3rd March 2025 and filed on 5th May 2025, the registration: (a) Is void, as charges can never be registered after 30 days. (b) May be registered, as the Registrar may, on an application, allow registration within a period of sixty days of such creation on payment of additional fees (and thereafter within a further sixty days with ad valorem fees), so filing on the 63rd day may be condoned on payment of additional/ad valorem fees. (c) Requires approval of the Central Government in every case. (d) Is automatically valid without any additional fee since it is within 90 days.

Case Scenario II (MCQs 6–10)

Nova Textiles Private Limited has an issued, subscribed and paid-up capital of ₹80 lakh. Its Articles are silent on several matters. During 2024–25:

- The company held its Annual General Meeting on 29th September 2024 for FY 2023–24; the previous AGM was held on 26th September 2023.
- Notice of the AGM was given 18 clear days before the meeting by ordinary post.
- A resolution to appoint **Mr. Rao** as a director (who is not a retiring director) was moved; his candidature notice, along with the deposit, was received 13 days before the meeting.
- The company proposed to give a loan to **Star Traders**, a firm in which a relative of a director is a partner.

- The statutory auditor, whose term expired, is proposed to be re-appointed; the auditor is an individual who has already held office for one term of five consecutive years.

MCQ 6. Was the AGM held on 29th September 2024 within the time permitted by the Companies Act, 2013? (a) No, because the gap between two AGMs exceeded twelve months. (b) Yes, because an AGM must be held within six months from the close of the financial year (i.e., by 30th September) and the gap between two AGMs did not exceed fifteen months. (c) No, because an AGM must be held within nine months of the close of the financial year. (d) Yes, but only because it is a private company exempt from time limits.

MCQ 7. The notice of AGM given 18 clear days before the meeting by ordinary post is: (a) Invalid, as a minimum of 21 days' notice in writing is required (though a general meeting may be called at shorter notice with the requisite consent of members). (b) Valid, as 14 days' notice is sufficient for a private company. (c) Invalid, as notice must be given at least 30 days before. (d) Valid, as 18 days is more than 14 days.

MCQ 8. Regarding Mr. Rao's candidature notice received 13 days before the meeting, the requirement under Section 160 is that: (a) The notice must be given at least 14 days before the meeting, so 13 days is short and defective. (b) The notice can be given any time before the meeting. (c) A notice of not less than 7 days is sufficient. (d) The deposit required is ₹5 lakh in all cases.

MCQ 9. In relation to the proposed loan to Star Traders (a firm in which a relative of a director is a partner), the applicable provision is broadly: (a) Section 185 dealing with loans to directors and persons in whom the director is interested, subject to prescribed conditions and exemptions. (b) Section 186 only, with no restriction. (c) Section 188 relating to related party transactions only. (d) There is no restriction as Star Traders is an unrelated firm.

MCQ 10. On re-appointment of the individual auditor who has already served one term of five consecutive years, the maximum further term permissible is: (a) One more term of five consecutive years (subject to a cooling-off of five years thereafter). (b) Two more terms of five consecutive years. (c) No further term is permissible for an individual. (d) Unlimited terms.

Independent MCQs (MCQs 11–15)

MCQ 11. Under the General Clauses Act, 1897, where an Act is to come into operation on a particular day, it shall be construed as coming into operation: (a) At noon of that day. (b) Immediately on the expiration of the day preceding its commencement. (c) At the end of that day. (d) Only after publication in the Official Gazette on the next day.

MCQ 12. Under the Companies Act, 2013, a "small company" (other than the specified excluded categories) means a company, not being a public company, whose paid-up share capital does not exceed the prescribed limit and turnover does not exceed the prescribed limit. As currently prescribed, these limits are: (a) Paid-up capital not exceeding ₹4 crore and turnover not exceeding ₹40 crore. (b) Paid-up capital not exceeding ₹50 lakh and turnover not exceeding ₹2 crore. (c) Paid-up capital not exceeding ₹10 crore and turnover not exceeding ₹100 crore. (d) Paid-up capital not exceeding ₹1 crore and turnover not exceeding ₹10 crore.

MCQ 13. Under the Foreign Exchange Management Act, 1999, a person resident in India includes a person who has resided in India for more than: (a) 182 days during the course of the preceding financial year (subject to the exceptions relating to purpose of stay). (b) 60 days during the preceding financial year. (c) 365 days during the current financial year. (d) 90 days during the preceding financial year.

MCQ 14. Under the Limited Liability Partnership Act, 2008, every LLP shall have at least: (a) Two partners and two designated partners, of whom at least one shall be a resident in India. (b) Two partners and no designated partner is required. (c) Three partners and two designated partners. (d) Two designated partners, both of whom must be resident in India.

MCQ 15. Under the rules of interpretation of statutes, the "Mischief Rule" laid down in Heydon's case requires the court to consider: (a) The literal meaning of the words only. (b) The mischief and defect for which the earlier law did not provide, and the remedy the Parliament intended to provide. (c) The golden meaning avoiding absurdity only. (d) The intention of the individual legislators.

DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

Question No. 1 is compulsory. Answer any four questions from the remaining five questions (Q2 to Q6).

Question 1 (Compulsory) — 14 Marks

(a) ABC Ltd., a listed company, issued a prospectus for a public issue of equity shares. **Mr. Kapoor** applied for and was allotted 500 shares relying on a statement in the prospectus which later turned out to be untrue. He wishes to hold the directors and experts liable and also to sue the company. Explaining the provisions of the Companies Act, 2013 relating to civil liability and criminal liability for mis-statement in a prospectus, advise Mr. Kapoor. Also state the defences available to a director. **(6 Marks)**

(b) PQR Ltd. has an authorised capital of ₹10 crore. As on 31st March 2025, its free reserves stand at ₹6 crore, securities premium ₹1 crore, paid-up equity capital ₹5 crore and paid-up preference capital ₹1 crore. The company proposes to buy-back its equity shares. Examine, with reference to the conditions and the maximum quantum permissible under Section 68 of the Companies Act, 2013, whether the company can buy back shares worth ₹1.20 crore under a Board resolution, and compute the maximum amount that can be utilised for buy-back. **(5 Marks)**

(c) Explain the doctrine of "**noscitur a sociis**" as an internal aid to the interpretation of statutes, with a suitable example. **(3 Marks)**

Question 2 — 14 Marks

(a) The Board of Directors of **Sunrise Ltd.** wishes to contribute ₹8 lakh to a registered political party during the financial year 2024–25. The company's average net profits during the three immediately preceding financial years, determined in accordance with Section 198, were ₹1 crore. Examining the provisions of Section 182 of the Companies Act, 2013, advise whether the company can make this contribution and state the conditions and disclosure requirements. **(5 Marks)**

(b) Mr. Ghosh was appointed as the first auditor of **Zenith Ltd.** by the Board of Directors. Explaining the provisions relating to appointment of the first auditor and subsequent auditors under Section 139 of the

Companies Act, 2013, answer: (i) Within what time must the Board appoint the first auditor, and what happens if the Board fails to do so? (ii) For how long does the first auditor hold office? **(6 Marks)**

(c) Under the General Clauses Act, 1897, explain the meaning of the terms "**month**" and "**year**". **(3 Marks)**

Question 3 — 14 Marks

(a) Global Ventures Ltd. was incorporated on 1st April 2024. Explaining the provisions of the Companies Act, 2013 relating to commencement of business, state: (i) The declaration to be filed before a company having a share capital commences business or exercises borrowing powers. (ii) The time limit for filing such declaration and the consequences of non-filing, including the power of the Registrar to remove the name of the company. **(6 Marks)**

(b) The Articles of **Metro Ltd.** provide that the quorum for a Board meeting shall be five directors. At a Board meeting, out of 9 directors, only 3 attended (the others being interested in the matter under consideration or absent). Referring to the provisions relating to quorum for Board meetings under Section 174 of the Companies Act, 2013, examine the validity of the meeting and explain the effect where the number of interested directors reduces the quorum below the required number. **(5 Marks)**

(c) Distinguish between the "**Literal Rule**" and the "**Golden Rule**" of interpretation of statutes. **(3 Marks)**

Question 4 — 14 Marks

(a) Mr. and Mrs. Iyer, resident in India, plan the following transactions. Examining the provisions of the Foreign Exchange Management Act, 1999, classify each as a **capital account transaction** or a **current account transaction** and comment on its permissibility: (i) Remittance of ₹5 lakh by Mr. Iyer to his son studying abroad, towards tuition fees. (ii) Purchase of immovable property outside India by Mrs. Iyer. (iii) Payment towards import of goods. (iv) Investment by Mr. Iyer in shares of a foreign company. **(5 Marks)**

(b) The Board of **Horizon Ltd.** declared a dividend of ₹15 lakh for FY 2023–24 at its AGM held on 20th September 2024. Explaining the provisions of Sections 123 and 124 of the Companies Act, 2013, answer: (i) Within what period must the dividend be paid or the warrant dispatched? (ii) What is to be done with the unpaid/unclaimed dividend, and when is it transferred to the Investor Education and Protection Fund (IEPF)? **(6 Marks)**

(c) Explain the provisions of the Limited Liability Partnership Act, 2008 regarding the extent of liability of a partner of an LLP. **(3 Marks)**

Question 5 — 14 Marks

(a) Apex Ltd. proposes to give a loan of ₹2 crore to **Beta Ltd.** and provide a guarantee of ₹1 crore for a loan taken by **Beta Ltd.** Apex Ltd.'s paid-up share capital is ₹5 crore, free reserves ₹3 crore and securities premium ₹2 crore. Referring to Section 186 of the Companies Act, 2013, examine whether the proposed loan and guarantee are within the permissible limits without a special resolution, showing the computation. **(6 Marks)**

(b) Explain the provisions of the Companies Act, 2013 relating to the "**registered office**" of a company, covering: (i) The time within which a company must have a registered office. (ii) Verification and intimation of the registered office to the Registrar. (iii) The manner of giving notice of change of the registered office within the same State but from one Registrar's jurisdiction to another. **(5 Marks)**

(c) Under the General Clauses Act, 1897, explain the meaning of "**good faith**" and "**document**". **(3 Marks)**

Question 6 — 14 Marks

(a) State whether the following statements are true or false, giving reasons with reference to the Companies Act, 2013: (i) A One Person Company (OPC) can have more than one member. (ii) A dormant company is required to hold at least one Board meeting in each half of a calendar year with a gap of not less than ninety days between the two meetings. (iii) A private company must have a minimum of three directors. (iv) An interim dividend, once declared, becomes a debt and cannot be revoked. **(6 Marks)**

OR

(a) Explain the concept of "**Corporate Social Responsibility (CSR)**" under Section 135 of the Companies Act, 2013. State the thresholds that make CSR applicable to a company and the amount required to be spent on CSR activities. **(6 Marks)**

(b) Mr. Nair, a member of **Vista Ltd.**, seeks to inspect the minutes book of general meetings and obtain a copy of the minutes. Explaining Section 119 of the Companies Act, 2013, state the rights of a member regarding inspection of minutes of general meetings and the time within which copies are to be supplied. **(5 Marks)**

(c) Explain the rule of "**ejusdem generis**" in the interpretation of statutes, with an example. **(3 Marks)**

ANSWER KEY & MODEL SOLUTIONS

DIVISION A — MCQ ANSWER KEY (with reasons)

MCQ	Answer	One-line reason
1	**(c)**	A public company that is not an "eligible company" (net worth ≥ ₹100 cr or turnover ≥ ₹500 cr with special resolution) can accept deposits only from members under Section 73, not from the public under Section 76.
2	**(b)**	Under Section 42, an offer to more than 200 persons (excluding QIBs and ESOS employees) in a financial year is deemed a public offer, violating the private placement ceiling.
3	**(b)**	Second proviso to Section 123(3): if a loss is incurred up to the quarter preceding declaration, interim dividend rate cannot exceed the average rate of the preceding three financial years.
4	**(b)**	Section 167(1)(b): office is vacated if a director absents himself from all Board meetings held during a period of twelve months, with or without leave.
5	**(b)**	Section 77 read with the proviso: the Registrar may allow registration within 60 days of creation on additional fee, and a further 60 days on ad valorem fees; the 63rd day filing may be condoned.
6	**(b)**	Section 96: AGM must be held within 6 months of financial year end (by 30 Sept) and the gap between two AGMs must not exceed 15 months; both are satisfied.
7	**(a)**	Section 101: a general meeting requires not less than 21 clear days' notice in writing (shorter notice allowed only with requisite member consent); 18 days is short.
8	**(a)**	Section 160: a person seeking directorship (not a retiring director) must give notice at least 14 days before the meeting; 13 days is defective.
9	**(a)**	Section 185 governs loans to directors and persons/firms in which a director or relative is interested (a firm in which a relative is a partner is covered).
10	**(a)**	Section 139(2): an individual auditor can hold office for one more term of five consecutive years (max one term of 5 years each, then cooling-off of 5 years).
11	**(b)**	Section 5(3) of the General Clauses Act, 1897: an Act comes into operation immediately on the expiration of the day preceding its commencement.
12	**(a)**	Section 2(85) as currently prescribed: small company = paid-up capital not exceeding ₹4 crore and turnover not exceeding ₹40 crore.
13	**(a)**	Section 2(v) FEMA: "person resident in India" includes one residing in India for more than 182 days during the preceding financial year, subject to purpose-based exceptions.
14	**(a)**	Sections 6 & 7 of the LLP Act, 2008: minimum two partners and two designated partners, of whom at least one must be resident in India.
15	**(b)**	Heydon's (Mischief) Rule directs the court to suppress the mischief/defect in the old law and advance the remedy intended.

DIVISION B — MODEL SOLUTIONS

Answer 1(a) — Liability for mis-statement in prospectus

Provisions: Where a prospectus contains an untrue or misleading statement, the following liabilities arise:

Civil liability (Section 35): Where a person has subscribed for securities of a company acting on any statement in the prospectus, or on the inclusion or omission of any matter, which is misleading, and has sustained a loss or damage as a consequence, the company and every person who — - is a director at the time of issue of the prospectus; - has authorised himself to be named and is named as a director; - is a promoter of the company; - has authorised the issue of the prospectus; and - is an expert (referred to in Section 26(5)),

shall be **liable to pay compensation** to every person who has sustained such loss or damage.

Defences available to a director (Section 35(2)): A director shall not be liable if he proves — (i) that having consented to become a director, he **withdrew his consent** before the issue of the prospectus and it was issued without his authority or consent; or (ii) that the prospectus was issued **without his knowledge or consent**, and on becoming aware, he gave reasonable public notice that it was issued without his knowledge or consent.

Criminal liability (Section 34): Where a prospectus includes any untrue or misleading statement, or where inclusion/omission is likely to mislead, **every person who authorises the issue** of such prospectus shall be liable under **Section 447 (punishment for fraud)** — unless he proves that the statement or omission was immaterial or that he had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the inclusion/omission was necessary.

Advice to Mr. Kapoor: Since Mr. Kapoor applied for and was allotted 500 shares relying on an untrue statement, he can claim **compensation under Section 35** from the company, its directors, promoters, persons who authorised the issue and the experts, for the loss suffered. He may additionally invoke the criminal liability under Section 34 against those who authorised the issue. The directors can escape liability only by establishing the statutory defences noted above.

Answer 1(b) — Buy-back under Section 68

Conditions (Section 68): A company may buy back its own shares out of — (i) its free reserves; (ii) the securities premium account; or (iii) the proceeds of the issue of any shares or other specified securities (but not out of the proceeds of an earlier issue of the same kind of shares).

Quantum limits: - A buy-back **authorised by a Board resolution** cannot exceed **10% of the aggregate of paid-up equity capital and free reserves**. - A buy-back authorised by a **special resolution** cannot exceed **25% of the aggregate of paid-up capital and free reserves** (with the 25% of equity restriction for equity buy-back in a financial year). - Post buy-back, the **debt-equity ratio must not exceed 2:1**.

Computation (Board resolution route):

Particulars	₹ (crore)
Paid-up equity capital	5.00
Free reserves	6.00
Securities premium (part of "free reserves + securities premium" for funding, and included in the base of paid-up capital + free reserves? — see note)	—
Aggregate of paid-up equity capital + free reserves	**11.00**
Maximum buy-back under Board resolution = 10% of ₹11 crore	**1.10**

Note: For the quantum ceiling under the Board-resolution route, the base is *paid-up equity capital + free reserves* = ₹5 crore + ₹6 crore = **₹11 crore**, and 10% = **₹1.10 crore**. (Securities premium may be used as a *source* of funds but the *ceiling* is computed on paid-up capital + free reserves.)

Conclusion: The proposed buy-back of **₹1.20 crore exceeds the Board-resolution ceiling of ₹1.10 crore** and is therefore **not permissible under a mere Board resolution**. The company can buy back a maximum of **₹1.10 crore** under a Board resolution. To buy back ₹1.20 crore, it must pass a **special resolution** (subject to the 25% ceiling of ₹2.75 crore, which is satisfied) and comply with the other conditions of Section 68.

Answer 1(c) — Noscitur a sociis

Meaning: *Noscitur a sociis* literally means "a word is known by the company it keeps." It is an internal aid to construction under which the meaning of a **doubtful or ambiguous word** may be ascertained by reference to the **words associated with it** in the statute. When two or more words susceptible of analogous meaning are coupled together, they take colour from each other.

Example: In a provision referring to "**books, pamphlets, newspapers and other documents**," the general expression "other documents" would, by association with books, pamphlets and newspapers, be understood to mean documents of a **similar (printed/published) character**, and not, for instance, a private letter. Thus the associated words limit and explain the meaning of the doubtful word.

Answer 2(a) — Political contribution (Section 182)

Provisions: Under Section 182 of the Companies Act, 2013: - A company, **other than a Government company and a company in existence for less than three financial years**, may contribute any amount directly or indirectly to any political party. - The contribution must be **authorised by the Board of Directors** by a resolution passed at a Board meeting. - The contribution must be made **only by an account payee cheque/bank draft/electronic mode or through electoral bonds** (not in cash). - The amount so contributed and the name of the party must be **disclosed in the profit and loss account** (the requirement of disclosing the particular party's name has been relaxed for electoral bond contributions, which need only disclose the total amount).

Note on the earlier 7.5% ceiling: The **erstwhile cap of 7.5% of average net profits of the three immediately preceding financial years has been omitted** by the Finance Act, 2017. Consequently, there is **no monetary ceiling** on political contributions now.

Advice: Sunrise Ltd., being an eligible company (assuming it has been in existence for three or more financial years and is not a Government company), **can contribute ₹8 lakh** to the registered political party. The contribution must be authorised by a Board resolution, routed through a permissible non-cash mode, and disclosed in the profit and loss account. The figure of ₹1 crore average net profit is no longer a limiting factor, since the 7.5% cap stands removed.

Answer 2(b) — Appointment of first and subsequent auditors (Section 139)

(i) First auditor — time limit and default: Under **Section 139(6)**, the first auditor of a company (other than a Government company) shall be appointed by the **Board of Directors within thirty days** from the **date of registration** of the company. If the Board **fails** to appoint the first auditor within 30 days, it shall **inform the members**, who shall appoint the first auditor **within ninety days at an extraordinary general meeting**.

Since Mr. Ghosh was appointed by the Board, the appointment is valid provided it was made within 30 days of registration.

(ii) Term of the first auditor: The first auditor holds office **until the conclusion of the first Annual General Meeting**. (At the first AGM, the auditor appointed under Section 139(1) holds office from the conclusion of that meeting till the conclusion of the sixth AGM, subject to ratification-related provisions as applicable.)

Answer 2(c) — "Month" and "Year" under the General Clauses Act, 1897

Month [Section 3(35)]: "Month" shall mean a **month reckoned according to the British calendar** (i.e., the Gregorian calendar). Thus a month is not necessarily 30 days; it runs from a date in one calendar month to the corresponding date in the next.

Year [Section 3(66)]: "Year" shall mean a **year reckoned according to the British calendar** — a period of twelve calendar months.

Answer 3(a) — Commencement of business (Section 10A)

(i) Declaration: Under **Section 10A**, a company incorporated after the commencement of the Companies (Amendment) Ordinance, 2018, **having a share capital**, shall **not commence any business or exercise any borrowing powers** unless a **declaration** is filed by a director with the Registrar stating that **every subscriber to the memorandum has paid the value of the shares agreed to be taken by him** as on the date of the declaration.

(ii) Time limit and consequences: - The declaration must be filed **within one hundred and eighty (180) days** of the date of incorporation, in the prescribed form and verified in the prescribed manner. - The company must also have **filed with the Registrar a verification of its registered office** under Section 12(2). - **Consequences of default:** The company is liable to a **penalty of ₹50,000** and every officer in default is liable to a penalty of **₹1,000 for each day of default subject to a maximum of ₹1,00,000**. - Further, if **no declaration is filed within 180 days** and the Registrar has reasonable cause to believe that the company is not carrying on any business, the Registrar may initiate action for the **removal of the name of the company** from the register of companies under Section 248.

Answer 3(b) — Quorum for Board meetings (Section 174)

Provisions: Under **Section 174(1)**, the quorum for a Board meeting shall be **one-third of the total strength or two directors, whichever is higher**. (Any fraction is rounded off to the next whole number.) The Articles of Metro Ltd. provide a higher quorum of five directors, which is permissible.

Effect of interested directors — Section 174(3): Where at any time the number of **interested directors** exceeds or is equal to two-thirds of the total strength, so that the **number of non-interested directors present is less than the quorum**, then the number of directors **who are not interested and are present**, being **not less than two**, shall be the quorum during such time.

Application: Out of 9 directors, only 3 attended; the Articles require a quorum of five. If the shortfall is because directors are **interested** in the matter under consideration, then under Section 174(3) the presence of the **non-interested directors (not less than two)** will constitute the valid quorum for that item. If, however, the reduction is merely due to **absence** (not interest), the meeting **lacks quorum** and is not validly constituted for want of the required number.

Conclusion: To the extent the reduction below five is caused by interested directors, the meeting is valid with the non-interested directors present (minimum two). To the extent it is due to plain absence, the meeting is invalid for want of quorum.

Answer 3(c) — Literal Rule vs Golden Rule

Basis	Literal Rule	Golden Rule
Meaning	Words of the statute are given their **ordinary, plain, grammatical meaning**.	A **modification of the literal rule**; the ordinary meaning is departed from to the extent necessary to **avoid absurdity, inconsistency or repugnancy**.
Object	To give effect to the language as it stands.	To give effect to the **intention of the legislature** where a literal reading defeats it.
Application	Applied first; used where words are clear and unambiguous.	Applied where the literal meaning leads to a manifestly **absurd or unjust result**.
Example	"No vehicles in the park" read literally bars all vehicles.	Reading it to permit an **ambulance** on emergency, to avoid an absurd outcome.

Answer 4(a) — FEMA: classification of transactions

Under FEMA, 1999: - A **capital account transaction** [Section 2(e)] is one which **alters the assets or liabilities (including contingent liabilities) outside India of persons resident in India, or assets/liabilities in India of persons resident outside India**. - A **current account transaction** [Section 2(j)] is a transaction other than a capital account transaction and **includes**, inter alia, payments due in connection with foreign trade, short-term banking and credit facilities, interest, remittances for living expenses of relatives abroad, and **expenses in connection with foreign travel, education and medical care** of parents, spouse and children.

Transaction	Classification	Comment on permissibility
(i) ₹5 lakh remittance for son's tuition fees abroad	**Current account transaction**	Permissible (education expense) — freely allowed subject to the Liberalised Remittance Scheme (LRS) limits.
(ii) Purchase of immovable property outside India	**Capital account transaction**	Alters assets outside India; permissible only within the RBI regulations/LRS framework.
(iii) Payment for import of goods	**Current account transaction**	Payment due in connection with foreign trade; generally permissible.
(iv) Investment in shares of a foreign company	**Capital account transaction**	Alters assets outside India; permissible within LRS/Overseas Investment rules.

General rule: Current account transactions are **freely permitted** unless specifically restricted; capital account transactions are **permitted only to the extent specified** by the RBI regulations.

Answer 4(b) — Payment of dividend and IEPF (Sections 123 & 124)

(i) Time for payment: Under **Section 124(1)** read with Section 127, once a dividend is **declared**, it must be **paid, or the dividend warrant dispatched, within thirty (30) days** from the date of declaration to the entitled shareholders. Failure attracts penal consequences under Section 127.

(ii) Unpaid/unclaimed dividend: - Where dividend has **not been paid or claimed within 30 days**, the company shall, **within seven days** from the expiry of the said 30 days (i.e., by day 37), transfer the total unpaid/unclaimed amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank. - Any money in the Unpaid Dividend Account that **remains unpaid or unclaimed for seven years** from the date of such transfer shall be transferred to the **Investor Education and Protection Fund (IEPF)**, along with the corresponding shares (on which dividend has been unclaimed for seven consecutive years).

Application: Horizon Ltd. must pay the ₹15 lakh dividend / dispatch warrants **by 20th October 2024**. Any unpaid portion must be transferred to the Unpaid Dividend Account within 7 days thereafter, and if it remains unclaimed for 7 years, transferred to the IEPF.

Answer 4(c) — Liability of a partner of an LLP

Under the **LLP Act, 2008 (Section 27 and 28)**: - An LLP is a **body corporate** with **limited liability**; the LLP is liable for the wrongful acts/omissions of a partner done in the course of business or with its authority. - An **obligation of the LLP** (whether arising in contract or otherwise) is solely the obligation of the LLP, met out of its **property**. - A **partner is not personally liable**, directly or indirectly, for the obligations of the LLP solely by reason of being a partner. - However, a partner **remains personally liable** for his **own wrongful act or omission**, but not for the wrongful act/omission of any other partner. - Liability of the LLP and partners who are found to have acted with **intent to defraud** creditors is **unlimited** (Section 30).

Answer 5(a) — Loan and guarantee under Section 186

Provisions: Under **Section 186(2)**, no company shall directly or indirectly — (a) give any loan to any person or body corporate; (b) give any guarantee or provide security in connection with a loan to any person/body corporate; or (c) acquire securities of any other body corporate,

exceeding sixty per cent (60%) of its paid-up share capital, free reserves and securities premium account, OR one hundred per cent (100%) of its free reserves and securities premium account, whichever is more, unless a **special resolution** is passed in a general meeting.

Computation of limits for Apex Ltd.:

Particulars	₹ (crore)
Paid-up share capital	5.00
Free reserves	3.00
Securities premium	2.00
Paid-up capital + free reserves + securities premium	**10.00**
60% of the above (₹10 cr × 60%)	**6.00**
Free reserves + securities premium = ₹3 cr + ₹2 cr	5.00
100% of the above	**5.00**
Higher of the two limits	**₹6.00 crore**

Proposed exposure: Loan ₹2 crore + Guarantee ₹1 crore = **₹3 crore**.

Conclusion: Since the aggregate proposed loan and guarantee of **₹3 crore is within the ceiling of ₹6 crore**, Apex Ltd. **can make the loan and give the guarantee by a Board resolution passed with the consent of all directors present at the meeting**, and **no special resolution is required**. (A prior Board resolution with unanimous consent of directors present is mandatory in all cases under Section 186.)

Answer 5(b) — Registered office (Section 12)

(i) Time to have a registered office: Under **Section 12(1)**, a company shall, **within thirty (30) days** of its incorporation and at all times thereafter, have a **registered office** capable of receiving and acknowledging all communications and notices.

(ii) Verification and intimation: The company shall **furnish to the Registrar verification of its registered office within thirty (30) days** of incorporation in the prescribed manner (Section 12(2)). Notice of every change of the situation of the registered office, after incorporation, must be given to the Registrar **within thirty (30) days** of the change (Section 12(4)).

(iii) Change of registered office from one Registrar's jurisdiction to another within the same State: Where the change of registered office is **within the same State but from the jurisdiction of one Registrar to that of another Registrar**, the change shall take effect only on **confirmation by the Regional Director** on an application made by the company. The **Regional Director shall communicate the confirmation within thirty days**, and the company must **file the confirmation with the Registrar within sixty days**, who shall register it and certify within thirty days.

Answer 5(c) — "Good faith" and "Document" under the General Clauses Act, 1897

Good faith [Section 3(22)]: A thing shall be deemed to be done in "good faith" where it is in fact **done honestly**, **whether it is done negligently or not**. Thus, honesty is the essence; the presence of negligence does not negate good faith under this Act.

Document [Section 3(18)]: "Document" shall include **any matter written, expressed or described upon any substance by means of letters, figures or marks, or by more than one of those means**, which is intended to be used, or which may be used, for the purpose of **recording that matter**.

Answer 6(a) [Main] — True/False with reasons

(i) "An OPC can have more than one member." — **FALSE.** By definition under Section 2(62), a One Person Company has **only one person as a member**. (It must, however, nominate a person in the memorandum to become member in the event of the subscriber's death/incapacity.)

(ii) "A dormant company must hold at least one Board meeting in each half of a calendar year with a gap of not less than ninety days." — **TRUE.** Under Section 173(5), a dormant company (and specified companies) is required to hold **at least one Board meeting in each half of a calendar year** and the **gap between the two meetings shall not be less than ninety days**.

(iii) "A private company must have a minimum of three directors." — **FALSE.** Under Section 149(1), a **private company must have a minimum of two directors** (a public company three, and an OPC one).

(iv) "An interim dividend, once declared, becomes a debt and cannot be revoked." — **TRUE.** Once a dividend (including interim dividend) is validly declared, it becomes a **debt due from the company** to the shareholders and **cannot be revoked** thereafter, except with the shareholders' consent in limited circumstances.

Answer 6(a) [OR] — CSR under Section 135

Applicability thresholds: Section 135 applies to **every company** (including its holding, subsidiary and foreign company) which, **during the immediately preceding financial year**, has: - a **net worth of ₹500 crore or more**; **or** - a **turnover of ₹1,000 crore or more**; **or** - a **net profit of ₹5 crore or more**.

Such a company must constitute a **CSR Committee** of the Board (with the prescribed composition) and formulate a CSR Policy.

Amount to be spent: The Board shall ensure that the company spends, in every financial year, **at least two per cent (2%) of the average net profits** of the company made during the **three immediately preceding financial years** (or where the company has not completed three financial years, the immediately preceding financial years), in pursuance of its CSR Policy.

Unspent amount: Any amount remaining unspent (other than for ongoing projects) must be transferred to a **Fund specified in Schedule VII within six months** of the end of the financial year. For **ongoing projects**, the unspent amount must be transferred to a **special "Unspent CSR Account" within thirty days** of the end of the financial year, and spent within **three financial years**.

Answer 6(b) — Inspection of minutes of general meetings (Section 119)

Provisions: Under **Section 119** of the Companies Act, 2013: - The books containing the **minutes of proceedings of general meetings** shall be **kept at the registered office** of the company. - They shall be **open to inspection by any member without charge**, during business hours, subject to reasonable restrictions imposed by the Articles or by the company in general meeting (a minimum of two hours in each business day must be allowed). - Any **member is entitled to be furnished, within seven working days** of a request (on payment of the prescribed fee, if any), with a **copy of the minutes** of any general meeting. - If inspection is refused, or a copy is not furnished within the time, the company and every officer in default is liable to a **penalty**, and the **Tribunal may, by order, direct** an immediate inspection or supply of the copy.

Application: Mr. Nair, being a member of Vista Ltd., has the **right to inspect** the minutes book of general meetings **free of charge** during business hours and to obtain a **copy within seven working days** of his request on payment of the prescribed fee.

Answer 6(c) — Ejusdem generis

Rule: *Ejusdem generis* means "of the same kind or species." Where **general words follow specific/particular words** that constitute a distinct genus or category, the general words are construed as **limited to things of the same kind (genus)** as those specifically enumerated. The rule applies only when the specific words form a distinct class and the general words are not shown to have a wider meaning by the context.

Example: In the expression "**cats, dogs and other animals**," the general words "other animals" would be read *ejusdem generis* to mean other **domestic/household animals** of the same class as cats and dogs, and **not wild animals** like tigers. Similarly, in "**houses, offices, rooms or other places**," "other places" would mean places of a **similar enclosed/indoor character**.

End of Mock Test 1 — Corporate and Other Laws.

Corporate & Other Laws — Mock Test 2 (ICAI Intermediate pattern, 100 marks, 3 hours)

Paper: Corporate and Other Laws (Intermediate — New Scheme) Time Allowed: 3 Hours | Maximum Marks: 100

> **Coverage note (Mock 2 of 4):** This paper deliberately leans toward the **first third of the syllabus** — Preliminary & Definitions, Incorporation, Prospectus & Allotment, Share Capital & Debentures and Acceptance of Deposits — while remaining a full 100-mark paper that also samples the Other Laws (General Clauses Act, Interpretation of Statutes, FEMA) and LLP. Sections tested are chosen to *complement* Mock 1 (minimal overlap).

General Instructions to Candidates

1. The question paper comprises two parts, **Division A** and **Division B**.
2. **Division A** comprises Multiple Choice Questions (MCQs) carrying **30 marks**.
3. **Division B** comprises descriptive/practical questions carrying **70 marks**.
4. In **Division A**, all questions are compulsory. Each MCQ carries **2 marks**. There is **no negative marking**.
5. In **Division B**, **Question No. 1 is compulsory**. Candidates are required to answer **any four questions** out of the remaining five questions (Q2 to Q6).
6. Working notes should form part of the answer. Wherever necessary, suitable assumptions may be made and stated clearly.
7. Answers to questions should be based on the provisions of law as amended and applicable.

DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

All MCQs are compulsory. Each carries 2 marks.

Case Scenario I (MCQs 1–5)

Meridian Steel Ltd. is a public company incorporated under the Companies Act, 2013 with an authorised capital of ₹20 crore. During the financial year 2024–25, the following events took place:

- The company made a **public issue of 40,00,000 equity shares** of ₹10 each. The prospectus stated the minimum subscription. On the closing of the issue, valid applications were received for **32,00,000 shares** only.
- Within **six months** of commencing business, the Board resolved to issue **sweat equity shares** to two of its whole-time directors, duly authorising it by a special resolution.
- The company proposed a **rights issue** to its existing equity shareholders; the letter of offer gave the members **12 days** within which to accept the offer.

- **Mr. Bose**, a shareholder, sold his shares and lodged a duly executed instrument of transfer (Form SH-4) with the company on 1st February 2025. The company had not yet delivered the share certificate to the transferee by 20th March 2025.
- At incorporation, the company had sought to reserve a name that closely **resembled a registered trademark** owned by an unconnected third party.

MCQ 1. On the allotment of shares where applications for only 32,00,000 of the 40,00,000 shares offered were received, the correct position under the Companies Act, 2013 (read with SEBI ICDR) is: (a) The company may allot the 32,00,000 shares as more than 50% has been subscribed. (b) No allotment can be made because the minimum subscription (90% of the offer under SEBI ICDR) has not been received, and the application money must be refunded. (c) Allotment is valid if the directors make good the shortfall from their own funds. (d) Allotment is valid because there is no concept of minimum subscription for a public company.

MCQ 2. The proposed issue of sweat equity shares within six months of commencing business is: (a) Valid, as sweat equity may be issued at any time after incorporation. (b) Invalid, because under Section 54 sweat equity shares may be issued only where **not less than one year has elapsed** since the company was entitled to commence business. (c) Valid, provided an ordinary resolution is passed. (d) Invalid, because sweat equity can never be issued to directors.

MCQ 3. The rights issue offer letter giving members **12 days** to accept the offer is: (a) Valid, as any reasonable period may be given. (b) Invalid, because under Section 62(1)(a) the offer must be kept open for a period **not less than 15 days and not more than 30 days**. (c) Valid, because 12 days is more than 7 days. (d) Invalid, because the offer must be kept open for at least 21 days.

MCQ 4. By when should the company have delivered the share certificate to the transferee on the transfer lodged by Mr. Bose on 1st February 2025? (a) Within two months of the receipt of the instrument of transfer. (b) Within one month from the date of receipt by the company of the instrument of transfer (i.e., by 1st March 2025), under Section 56(4). (c) Within six months of the transfer. (d) There is no prescribed time limit.

MCQ 5. Regarding the reservation of a name closely resembling a registered trademark of a third party, the position under the Companies Act, 2013 is: (a) The name is freely allowed as trademarks are governed by a different statute. (b) The name is an "undesirable" name; reservation may be refused, and such a name can be adopted only with a no-objection from the proprietor of the trademark. (c) The company can use the name after paying a fee to the Registrar. (d) The name is automatically valid once the certificate of incorporation is issued.

Case Scenario II (MCQs 6–10)

Harbour Consumer Products Ltd. is a public company having a **net worth of ₹120 crore**, and is therefore an **eligible company** for the purpose of acceptance of deposits. As per its latest audited financial statements: **paid-up share capital ₹10 crore, free reserves ₹8 crore and securities premium ₹2 crore.** During 2024–25:

- The company proposes to accept **deposits from its members** aggregating **₹2.5 crore**.
- It also proposes to accept **deposits from the public** aggregating **₹4.5 crore**.
- The Board is examining the requirement relating to the **Deposit Repayment Reserve Account**.
- The company holds **55% of the total voting power** in **Coastal Ltd.**
- The company is examining whether it can be classified as a "**small company**".

MCQ 6. The proposed acceptance of deposits from members of ₹2.5 crore is: (a) Valid, as an eligible company may accept deposits from members up to 35% of paid-up capital and free reserves. (b) Invalid, because an eligible company may accept deposits from its members only up to **10% of the aggregate of paid-up share capital, free reserves and securities premium** (i.e., ₹2 crore here), and ₹2.5 crore exceeds this limit. (c) Valid, as there is no separate limit for deposits from members. (d) Invalid, because an eligible company cannot accept any deposit from members.

MCQ 7. The proposed acceptance of deposits from the public of ₹4.5 crore is: (a) Invalid, as an eligible company cannot accept deposits from the public. (b) Valid, because an eligible company may accept deposits from the public up to **25% of the aggregate of paid-up capital, free reserves and securities premium** (i.e., ₹5 crore here), and ₹4.5 crore is within this limit. (c) Invalid, because it exceeds 10% of paid-up capital and free reserves. (d) Valid, but only up to ₹2 crore.

MCQ 8. Regarding the Deposit Repayment Reserve Account, the company must: (a) Deposit at least 20% of the amount of deposits maturing during the following financial year, on or before 30th April each year. (b) Deposit 15% of all deposits accepted during the year within 30 days. (c) Maintain 100% of the deposits in a scheduled bank at all times. (d) Not maintain any reserve, as it is only required for private companies.

MCQ 9. Since Harbour Consumer Products Ltd. holds 55% of the total voting power in Coastal Ltd., Coastal Ltd. is: (a) An associate company of Harbour under Section 2(6). (b) A subsidiary company of Harbour under Section 2(87), as Harbour controls more than one-half of the total voting power. (c) A related party only, not a subsidiary. (d) An independent company, as control requires 75% voting power.

MCQ 10. In examining whether it can be a "small company", the correct position is: (a) It can be a small company if its paid-up capital is within the prescribed limit. (b) It **cannot** be a small company, because a public company is excluded from the definition of "small company" under Section 2(85). (c) It can be a small company only if its turnover is below ₹2 crore. (d) Any company can be a small company irrespective of its status.

Independent MCQs (MCQs 11–15)

MCQ 11. Under Section 25 of the Companies Act, 2013, where a company allots or agrees to allot securities with a view to those securities being offered for sale to the public, the document by which the offer for sale is made shall: (a) Not be treated as a prospectus at all. (b) Be deemed to be a prospectus issued by the company (a "deemed prospectus"), and all enactments and rules as to contents and liability shall apply. (c) Require the approval of the Tribunal. (d) Be treated as a private placement offer letter.

MCQ 12. Under Section 2(6) of the Companies Act, 2013, an "associate company", in relation to another company, means a company in which that other company has **significant influence**, which is explained to mean control of at least: (a) 10% of the total voting power. (b) 20% of the total voting power, or control of or participation in business decisions under an agreement. (c) 26% of the paid-up share capital. (d) 51% of the total voting power.

MCQ 13. Under the General Clauses Act, 1897, the use of the word "**may**" in a statute: (a) Is always mandatory and admits of no discretion. (b) Ordinarily confers a discretionary/enabling power, though it may be read as compulsory where a power is coupled with a duty and the context so requires. (c) Always means the same as "shall". (d) Is meaningless unless defined separately.

MCQ 14. Under Section 2(c) of the Foreign Exchange Management Act, 1999, an "authorised person" means: (a) Only a scheduled commercial bank. (b) An authorised dealer, money changer, offshore banking unit or any other person for the time being authorised under Section 10(1) by the Reserve Bank to deal in foreign exchange or foreign securities. (c) Any person resident in India holding foreign exchange. (d) Only the Reserve Bank of India.

MCQ 15. In the interpretation of statutes, which of the following is an **internal aid** to construction? (a) Parliamentary history and debates. (b) The Preamble, headings and marginal notes of the Act itself. (c) A dictionary of the English language. (d) Decisions of foreign courts.

DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

Question No. 1 is compulsory. Answer any four questions from the remaining five questions (Q2 to Q6).

Question 1 (Compulsory) — 14 Marks

(a) Orbit Cables Ltd. made a public offer of 50,00,000 equity shares of ₹10 each through a prospectus. Explaining the provisions of the Companies Act, 2013, advise the company on the following: (i) What is meant by "minimum subscription", within what time must it be received, and what is the consequence if the minimum subscription stated in the prospectus is not received? (Section 39) (ii) What is the requirement regarding **listing** of the securities being offered to the public, and where must the application money be kept? (Section 40) **(6 Marks)**

(b) Nimbus Ltd. has a paid-up equity share capital of 5,00,000 equity shares of ₹10 each. The Board proposes to raise further capital by issuing 1,00,000 additional equity shares by way of a **rights issue** to the existing equity shareholders. **Mr. Anand** currently holds 4,000 equity shares in the company. Referring to Section 62(1)(a) of the Companies Act, 2013: (i) Compute the number of rights shares to which Mr. Anand is entitled. (ii) State the essential procedural conditions for a valid rights issue (offer period, right of renunciation, and effect where the offer is not accepted). **(5 Marks)**

(c) Under the General Clauses Act, 1897, explain the rule for **computation of time** where a period is expressed as running "**from**" a specified day or "**to**" a specified day (Section 9), with a short example. **(3 Marks)**

Question 2 — 14 Marks

(a) A group of philanthropists wishes to form a company for the **promotion of science and education**, intending to apply all its profits in promoting these objects and to prohibit the payment of any dividend to its members. Explaining the provisions of **Section 8** of the Companies Act, 2013, state: (i) The essential conditions for the grant of a licence to such a company and the privilege it enjoys as to its name. (ii) The circumstances in which the Central Government may **revoke** the licence. **(5 Marks)**

(b) Vertex Ltd., a listed company, proposes to issue **sweat equity shares** to its employees and directors. Explaining Section 54 of the Companies Act, 2013 (read with the relevant Rules), state the conditions to be satisfied, including the authorisation required, the quantitative ceilings on such issue, and the lock-in period. **(6 Marks)**

(c) Under the Foreign Exchange Management Act, 1999, explain the **penalty** for contravention of the Act and the power to confiscate under Section 13. **(3 Marks)**

Question 3 — 14 Marks

(a) Crest Ltd. is an **eligible company** for acceptance of deposits under the Companies Act, 2013. As per its latest audited financial statements, its **paid-up share capital is ₹15 crore, free reserves ₹4 crore and securities premium ₹1 crore**. The company proposes to accept **deposits from its members amounting to ₹1.8 crore** and **deposits from the public amounting to ₹5.5 crore**. Referring to Section 76 read with the Companies (Acceptance of Deposits) Rules, 2014: (i) Compute the maximum deposits the company can accept from members and from the public respectively. (ii) Examine whether the proposed acceptances are within the permissible limits. **(6 Marks)**

(b) Explain the doctrine of "**constructive notice**" and the doctrine of "**indoor management**" (the rule in *Royal British Bank v. Turquand*) under company law. State any **three exceptions** to the rule of indoor management. **(5 Marks)**

(c) Explain the use of the "**Preamble**" as an internal aid to the interpretation of statutes. **(3 Marks)**

Question 4 — 14 Marks

(a) Explaining the provisions of the Companies Act, 2013 relating to **transfer and transmission of securities** (Section 56), answer: (i) Within what period must an instrument of transfer, duly executed, be delivered to the company? (ii) Within what periods must a company deliver the certificates of securities in the case of (a) allotment, (b) transfer, and (c) transmission? (iii) State the remedy available to a transferee where the company **refuses to register** the transfer. **(6 Marks)**

(b) Pioneer Ltd. holds 8,000 out of the 15,000 equity shares (carrying voting rights) of **Summit Ltd.** and also has the right to appoint a majority of the directors on the Board of Summit Ltd. Examining the definitions under Section 2(87) of the Companies Act, 2013, determine whether **Summit Ltd. is a subsidiary of Pioneer Ltd.**, giving reasons. **(5 Marks)**

(c) Under the Limited Liability Partnership Act, 2008, explain who can be a "**designated partner**", and state the minimum requirement regarding designated partners. **(3 Marks)**

Question 5 — 14 Marks

(a) Falcon Ltd., a public company, proposes to raise funds through a **private placement** of securities. Explaining Section 42 of the Companies Act, 2013, state: (i) The ceiling on the number of persons to whom the offer may be made and the manner of making the offer. (ii) The manner of receipt and utilisation of the application money, and the time limit for allotment and consequences of failure to allot. **(6 Marks)**

(b) Beacon Ltd. issued redeemable preference shares. Explaining Section 55 of the Companies Act, 2013, state: (i) The maximum period for which preference shares may be issued. (ii) The sources out of which preference shares may be redeemed and the requirement of creating a **Capital Redemption Reserve**. **(5 Marks)**

(c) Under the General Clauses Act, 1897, explain the provisions relating to the **meaning of service by post** (Section 27). **(3 Marks)**

Question 6 — 14 Marks

(a) State whether the following statements are **True or False**, giving reasons with reference to the Companies Act, 2013: (i) A company can issue shares at a discount. (ii) Every private company must have a minimum paid-up share capital of ₹1 lakh. (iii) The securities premium account can be applied by a company towards issuing fully paid bonus shares to its members. (iv) An eligible company can accept deposits repayable on demand. **(6 Marks)**

OR

(a) Explain the meaning and the **privileges/exemptions** available to a "**small company**" and a "**One Person Company (OPC)**" under the Companies Act, 2013, and state the current threshold limits for a small company. **(6 Marks)**

(b) Explaining the provisions of the Companies Act, 2013 relating to **effect of registration**, state: (i) The legal effect of the **certificate of incorporation** issued by the Registrar (Section 7). (ii) The position regarding **pre-incorporation contracts** entered into by promoters on behalf of a company yet to be incorporated. **(5 Marks)**

(c) Explain the rule of "**harmonious construction**" in the interpretation of statutes. **(3 Marks)**

ANSWER KEY & MODEL SOLUTIONS

DIVISION A — MCQ ANSWER KEY (with reasons)

MCQ	Answer	One-line reason
1	**(b)**	Section 39 requires the minimum subscription to be received before allotment; under SEBI ICDR the minimum subscription is 90% of the offer, so 80% (32 lakh of 40 lakh) is short and the money must be refunded.
2	**(b)**	Section 54: sweat equity may be issued only after **not less than one year** has elapsed since the company was entitled to commence business; six months is premature.
3	**(b)**	Section 62(1)(a): the rights offer must be kept open **not less than 15 and not more than 30 days**; 12 days is short.
4	**(b)**	Section 56(4)(c): certificates on transfer must be delivered **within one month** from receipt of the instrument of transfer.
5	**(b)**	Section 4(2)/(3) with the Incorporation Rules: a name resembling a registered trademark is undesirable and needs a no-objection from the proprietor; reservation can be refused.
6	**(b)**	Rule 3, Deposit Rules: an eligible company may accept deposits from **members up to 10%** of (paid-up capital + free reserves + securities premium) = 10% of ₹20 cr = ₹2 cr; ₹2.5 cr exceeds it.
7	**(b)**	Rule 3: an eligible company may accept deposits from the **public up to 25%** of ₹20 cr = ₹5 cr; ₹4.5 cr is within the limit.
8	**(a)**	Rule 13: at least **20%** of deposits maturing during the following financial year must be deposited in the Deposit Repayment Reserve Account on or before **30th April** each year.
9	**(b)**	Section 2(87): a company controlling **more than one-half of the total voting power** of another is its holding company; Coastal Ltd. (55% held) is a subsidiary.
10	**(b)**	Section 2(85): a **public company** is expressly excluded from the definition of "small company".
11	**(b)**	Section 25: a document offering allotted securities for sale to the public is **deemed to be a prospectus** of the company.
12	**(b)**	Section 2(6): "significant influence" means control of **at least 20% of total voting power** or of business decisions under an agreement.
13	**(b)**	"May" is ordinarily **enabling/discretionary**, but is read as mandatory where power is coupled with a duty and the context so requires.
14	**(b)**	Section 2(c) FEMA: "authorised person" = authorised dealer, money changer, offshore banking unit, or any person authorised under Section 10(1) by the RBI.
15	**(b)**	The **Preamble, headings and marginal notes** are part of the Act and are internal aids; parliamentary history, dictionaries and foreign decisions are external aids.

DIVISION B — MODEL SOLUTIONS

Answer 1(a) — Minimum subscription and listing (Sections 39 & 40)

(i) Minimum subscription (Section 39): - "Minimum subscription" is the minimum amount stated in the prospectus which, in the opinion of the Board/directors, must be raised by the issue of share capital to meet the specified needs of the company. Under Section 39(1), **no allotment of any securities offered to the public shall be made unless the amount stated in the prospectus as the minimum subscription has been subscribed and the sums payable on application received** by cheque or other instrument. - The **application money** shall not be less than **five per cent of the nominal amount of the security** or such other percentage/amount as SEBI may prescribe. (Under SEBI ICDR Regulations, the minimum subscription for a public issue is **90% of the offer through the offer document**.) - **Consequence of non-receipt:** If the stated minimum subscription is not received **within thirty days of the date of issue of the prospectus** (or such period as specified by SEBI), the **amount received must be returned** within the prescribed time and manner. If the money is not repaid within the prescribed period, the directors in default become **jointly and severally liable to repay it with interest** at the prescribed rate (15% p.a.).

Application: Orbit Cables Ltd. cannot allot the shares unless the minimum subscription (90% of the 50,00,000 shares offered) is received; failing which the application money must be refunded within the prescribed time.

(ii) Listing and application money (Section 40): - Every company making a **public offer** shall, **before making such offer, make an application to one or more recognised stock exchanges** and obtain permission for the securities to be dealt with in such stock exchange(s), and this fact must be **stated in the prospectus** (Section 40(1)–(2)). - All monies received on application from the public shall be **kept in a separate bank account** in a scheduled bank, and shall be used only for adjustment against allotment (where listing permission is obtained) or for repayment where the company is unable to allot/list (Section 40(3)). - Default attracts penalty under Section 40(5) on the company and every officer in default.

Answer 1(b) — Rights issue (Section 62(1)(a))

(i) Computation of Mr. Anand's entitlement: - Existing equity shares = 5,00,000; further (rights) shares proposed = 1,00,000. - **Ratio of rights offer** = 1,00,000 : 5,00,000 = **1 new share for every 5 shares held**. - Mr. Anand holds 4,000 shares → entitlement = 4,000 × (1/5) = **800 rights shares**.

(ii) Essential conditions for a valid rights issue (Section 62(1)(a)): Where a company having a share capital proposes to increase its subscribed capital by a further issue of shares, such shares shall first be **offered to existing equity shareholders in proportion, as nearly as circumstances admit, to their existing paid-up shareholding**, subject to: - The offer being made by a **notice specifying the number of shares offered** and limiting a time — **not less than fifteen days and not more than thirty days** from the date of the offer — within which the offer, if not accepted, shall be deemed to have been declined. - Unless the Articles otherwise provide, the offer shall be deemed to include a **right of renunciation** — the shareholder may renounce the shares offered to him in favour of any other person. - After the expiry of the time in the notice, or on earlier intimation of declining, the **Board may dispose of** the unsubscribed shares in a manner **not disadvantageous to the shareholders and the company**.

Answer 1(c) — Computation of time "from" and "to" (Section 9, General Clauses Act, 1897)

Provision: Section 9 provides that in any Central Act or Regulation, where the word "**from**" is used to define a period of time, the **first day is excluded**, and where the word "**to**" is used, the **last day is included**. In other words, to exclude the first day and include the last day, the words "from" and "to" are used.

Example: A licence granted "from 1st April to 30th April" — the period is computed **excluding 1st April** (the day "from" which) and **including 30th April** (the day "to" which). Thus if a period of 30 days runs "from" 1st April, the counting begins on 2nd April.

Answer 2(a) — Section 8 company (charitable objects)

(i) Conditions for licence and privilege as to name: Under **Section 8**, where it is proved to the satisfaction of the Central Government that a person or association of persons proposes to be registered as a limited company for the promotion of **commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment** or any such object, and: - **intends to apply its profits (if any) or other income in promoting its objects**, and - **intends to prohibit the payment of any dividend to its members**,

the Central Government (power delegated to the **Registrar/Regional Director**) may grant a **licence** allowing the company to be registered as a **limited company without adding the words "Limited" or "Private Limited"** to its name. Such a company enjoys the privileges and is subject to the obligations of limited companies, and can be one limited by shares or by guarantee.

(ii) Revocation of licence (Section 8(6)): The Central Government may, by order, **revoke the licence** where the company: - **contravenes any of the requirements or conditions** of Section 8 subject to which the licence was granted, or - the affairs of the company are conducted **fraudulently or in a manner violative of its objects** or prejudicial to public interest.

Before revocation, the company must be given a **reasonable opportunity of being heard**. On revocation, the Registrar may direct the company to convert its status and change its name, or the Central Government may order winding up or amalgamation with another Section 8 company.

Answer 2(b) — Sweat equity shares (Section 54)

Meaning: "Sweat equity shares" are equity shares issued by a company to its **directors or employees at a discount or for consideration other than cash**, for providing know-how or making available rights in the nature of intellectual property rights or value additions.

Conditions under Section 54 (read with the Rules): 1. The issue must be **authorised by a special resolution** passed in a general meeting. 2. The special resolution must specify the **number of shares, current market price, consideration (if any), and the class of directors or employees** to whom they are to be issued. 3. **Not less than one year** must have elapsed since the company was entitled to commence business (i.e., not immediately on incorporation). 4. Where the equity shares are listed, the issue must be in accordance with the **SEBI regulations**; for an unlisted company, in accordance with the **prescribed Rules**.

Quantitative ceilings (Rules): - In a **financial year**, sweat equity shares shall **not exceed 15% of the existing paid-up equity share capital** or shares of **issue value of ₹5 crore, whichever is higher**. - The issuance shall **not exceed 25% of the paid-up equity capital** of the company **at any time** (for start-ups, a higher limit of up to 50% is permitted within the specified period).

Lock-in: Sweat equity shares issued to directors or employees are **locked in / non-transferable for a period of three years** from the date of allotment.

Application: Vertex Ltd. may issue sweat equity provided the special resolution is passed with the prescribed particulars, at least one year has elapsed since it was entitled to commence business, the ceilings above are observed, and the SEBI regulations (being listed) are complied with, subject to the three-year lock-in.

Answer 2(c) — Penalty under Section 13, FEMA, 1999

Under **Section 13** of FEMA, 1999, if any person **contravenes** any provision of the Act, or any rule, regulation, notification, direction or order issued under it, or contravenes any condition subject to which an authorisation is issued by the RBI, he shall be liable, on adjudication, to a **penalty**: - **up to thrice the sum involved** in the contravention where the amount is **quantifiable**, or - **up to ₹2 lakh** where the amount is **not quantifiable**, and - where the contravention is a **continuing one**, a further penalty **up to ₹5,000 for every day** after the first during which the contravention continues.

The adjudicating authority may also direct that any **currency, security or other money or property** in respect of which the contravention has taken place shall be **confiscated** to the Central Government, and may direct that the person shall bring back the foreign exchange into India or retain it as directed.

Answer 3(a) — Deposits by an eligible company (Section 76 + Rules)

Provisions: An **eligible company** (a public company with net worth ≥ ₹100 crore or turnover ≥ ₹500 crore, which has passed a special resolution) may, under Section 76, accept deposits **from persons other than its members (public)** in addition to deposits from members, subject to the limits in Rule 3 of the Companies (Acceptance of Deposits) Rules, 2014: - **Deposits from members:** up to **10%** of the aggregate of the **paid-up share capital, free reserves and securities premium account**. - **Deposits from the public:** up to **25%** of the aggregate of the **paid-up share capital, free reserves and securities premium account**.

Computation for Crest Ltd.:

Particulars	₹ (crore)
Paid-up share capital	15.00
Free reserves	4.00
Securities premium	1.00
Aggregate base	**20.00**
Maximum from members = 10% of ₹20 cr	**2.00**
Maximum from public = 25% of ₹20 cr	**5.00**

Examination: - **From members:** proposed ₹1.8 crore is **within** the ceiling of ₹2 crore → **permissible**. - **From public:** proposed ₹5.5 crore **exceeds** the ceiling of ₹5 crore by ₹0.5 crore → **not permissible** to that extent; the company can accept only up to **₹5 crore** from the public.

Conclusion: Crest Ltd. can accept the ₹1.8 crore from members in full, but must restrict its acceptance of public deposits to ₹5 crore (i.e., ₹0.5 crore of the proposed ₹5.5 crore is impermissible).

Answer 3(b) — Constructive notice and indoor management

Doctrine of constructive notice: The Memorandum and Articles of Association, on registration, become **public documents** open to inspection by anyone. Every person dealing with the company is therefore **deemed to have notice (constructive notice)** of the contents of these documents, whether or not he has actually read them. He is presumed to know the powers of the company and the extent to which those powers have been delegated to the directors, and cannot claim relief on the ground of ignorance of their contents.

Doctrine of indoor management (Rule in *Royal British Bank v. Turquand*): This doctrine **protects outsiders** dealing with the company. While outsiders are deemed to know the contents of the public documents (constructive notice), they are **entitled to assume that the internal proceedings and formalities of the company have been duly complied with** ("indoor" or internal management). They are not bound to enquire into the regularity of internal proceedings, as those are matters within the company's own knowledge.

Exceptions to the rule of indoor management (any three): 1. **Knowledge of irregularity** — where the outsider had actual knowledge of the irregularity, he cannot claim protection. 2. **Negligence / suspicion of irregularity** — where the circumstances were suspicious and would have put a reasonable person on inquiry, but he failed to inquire. 3. **Forgery** — the doctrine does not apply to transactions based on forged documents, which are void ab initio (*Ruben v. Great Fingall Consolidated*). 4. **Acts outside apparent/ostensible authority** — where an officer acts beyond the authority that an officer of his position would ordinarily have.

Answer 3(c) — Preamble as an internal aid

The **Preamble** contains the main objects, reasons and policy behind the enactment of a statute — it is a **key to open the minds of the makers** of the Act. As an **internal aid** to construction: - Where the **words of the enacting part are clear and unambiguous**, the Preamble **cannot be used to control, restrict or extend** them. - Where the enacting words are **ambiguous or capable of more than one meaning**, the Preamble may be legitimately referred to in order to **ascertain the true scope, intention and object** of the statute and to resolve the ambiguity.

Thus the Preamble is a permissible internal aid but is subordinate to clear statutory language.

Answer 4(a) — Transfer and transmission of securities (Section 56)

(i) Delivery of instrument of transfer: Under **Section 56(1)**, a company shall register a transfer only where a **proper instrument of transfer (Form SH-4)**, duly stamped, dated and executed by or on behalf of the transferor and transferee, is delivered to the company **within sixty (60) days from the date of execution**, along with the certificate/letter of allotment.

(ii) Time limits for delivery of certificates (Section 56(4)): Unless prohibited by law or order of a court/Tribunal, every company shall deliver the certificates of all securities: - **On allotment / subscription** — within **two (2) months** from the date of incorporation (subscribers) or from the date of allotment (allottees);

- **On transfer** — within **one (1) month** from the date of receipt by the company of the instrument of transfer; - **On transmission** — within **one (1) month** from the date of receipt of the intimation of transmission; - (In the case of **debentures allotted** — within **six (6) months** from the date of allotment.)

(iii) Remedy where the company refuses to register the transfer: Under **Section 56(4)/Section 58**, where a company **refuses to register a transfer** (or fails to do so), it must send notice of refusal within the prescribed period (30 days from receipt of instrument). The **transferee may appeal to the Tribunal** — within **thirty (30) days** of receipt of the notice of refusal, or where no notice is sent, within **sixty (60) days** from the date of delivery of the instrument. The Tribunal may direct the company to register the transfer and may award damages.

Answer 4(b) — Whether Summit Ltd. is a subsidiary of Pioneer Ltd. (Section 2(87))

Provision: Under **Section 2(87)**, a "subsidiary company" in relation to another company (the holding company) means a company in which the holding company: (i) **controls the composition of the Board of Directors**; or (ii) **exercises or controls more than one-half of the total voting power**, either on its own or together with one or more of its subsidiaries.

"Control of composition of the Board" means the holding company has the power, without the consent of others, to **appoint or remove all or a majority of the directors**.

Application: - Pioneer Ltd. holds **8,000 out of 15,000 voting equity shares** = 8,000/15,000 = **53.33%**, i.e., **more than one-half of the total voting power** — this itself satisfies limb (ii). - Additionally, Pioneer Ltd. has the **right to appoint a majority of the directors** on the Board of Summit Ltd. — this satisfies limb (i) (control of composition of the Board).

Conclusion: As **both** tests under Section 2(87) are met, **Summit Ltd. is a subsidiary of Pioneer Ltd.**

Answer 4(c) — Designated partners under the LLP Act, 2008

Under **Sections 7 to 9** of the LLP Act, 2008: - **Every LLP must have at least two designated partners** who are **individuals**, and **at least one of them must be a resident in India** ("resident in India" meaning a person who has stayed in India for not less than 120 days during the financial year). - Where all partners are bodies corporate, or one or more are bodies corporate, at least two individuals who are partners (or nominees of such bodies corporate) shall act as designated partners. - Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** and give prior consent to act. Designated partners are **responsible for compliance** with the provisions of the Act (filing of documents, returns, etc.) and are liable for penalties for contravention.

Answer 5(a) — Private placement (Section 42)

(i) Ceiling on number of persons and manner of offer: - A private placement is an offer or invitation to subscribe to securities made to a **select group of identified persons** through a **private placement offer-cum-application letter (Form PAS-4)**. - The offer can be made to **not more than two hundred (200) persons in the aggregate in a financial year** (excluding **qualified institutional buyers** and employees under an ESOP). This 200-person limit is reckoned **per kind of security** and **cumulatively in a financial year**; if exceeded, it is deemed to be a **public offer**. - **No fresh offer** shall be made unless allotments with respect to any earlier offer have been **completed, withdrawn or abandoned**. - The offer cannot carry any **right of renunciation**.

(ii) Application money, allotment and consequences: - The application money shall be received only by **cheque, demand draft or other banking channel (not cash)** and must be kept in a **separate bank account** in a scheduled bank; it can be utilised only for **allotment** or for **repayment** of monies where allotment cannot be made. - The company shall **allot the securities within sixty (60) days** of receipt of the application money. If it fails to allot within 60 days, it shall **repay the money within fifteen (15) days** from the expiry of 60 days; failing which the money is repayable with **interest at 12% per annum** from the expiry of the 60th day. - **Return of allotment** in Form **PAS-3** must be filed with the Registrar within **fifteen (15) days** of allotment. - **Default/contravention (Section 42(10)):** the company, its promoters and directors are liable to a **penalty** which may extend to the amount raised through the private placement or **₹2 crore, whichever is lower**, and the company must **refund all monies** to subscribers within thirty days of the order.

Answer 5(b) — Redemption of preference shares (Section 55)

(i) Maximum period: - A company limited by shares **cannot issue any irredeemable preference shares**. - Preference shares must be **redeemable within a period not exceeding twenty (20) years** from the date of their issue. (For companies engaged in **infrastructure projects**, preference shares may be issued for a period exceeding 20 years but **up to 30 years**, subject to redemption of a minimum percentage on an annual basis at the option of the holders.)

(ii) Sources of redemption and Capital Redemption Reserve: - Preference shares may be redeemed **only** (a) out of the **profits of the company which would otherwise be available for dividend**, or (b) out of the **proceeds of a fresh issue of shares** made for the purpose of redemption. - **No preference shares shall be redeemed unless they are fully paid up.** - Where shares are redeemed **out of profits**, a sum equal to the **nominal amount of the shares redeemed** must be transferred to a reserve called the **Capital Redemption Reserve (CRR)** account. The CRR may be used for issuing **fully paid bonus shares**. - The **premium on redemption** must be provided out of the profits of the company or the **securities premium account** (as applicable).

Answer 5(c) — Meaning of service by post (Section 27, General Clauses Act, 1897)

Under **Section 27**, where any Central Act or Regulation authorises or requires a document to be served by post (whether the expression "serve", "give" or "send" is used), then, unless a different intention appears, the service is **deemed to be effected by**: - **properly addressing**, **pre-paying** and **posting by registered post** a letter containing the document, and - unless the contrary is proved, the service is deemed to have been effected **at the time at which the letter would be delivered in the ordinary course of post**.

Thus, once the sender proves proper addressing, pre-payment and posting by registered post, a **presumption of due service** arises, and the burden shifts to the addressee to prove non-service.

Answer 6(a) [Main] — True/False with reasons

(i) "A company can issue shares at a discount." — **FALSE.** Under **Section 53**, a company shall **not issue shares at a discount** (any such issue is void), **except** in the case of **sweat equity shares** (Section 54) and the issue of shares to creditors on conversion of debt under a resolution plan/debt restructuring (Section 53(2A)).

(ii) "Every private company must have a minimum paid-up share capital of ₹1 lakh." — **FALSE.** The requirement of a **minimum paid-up capital** (₹1 lakh for private and ₹5 lakh for public companies) was **omitted by the Companies (Amendment) Act, 2015**. There is now **no minimum paid-up capital** requirement.

(iii) "The securities premium account can be applied towards issuing fully paid bonus shares." — **TRUE.** Under **Section 52(2)(a)**, the securities premium account may be applied by the company **towards the issue of unissued shares to members as fully paid bonus shares**.

(iv) "An eligible company can accept deposits repayable on demand." — **FALSE.** Deposits must be repayable **not less than six months and not more than thirty-six months** from the date of acceptance (a smaller amount, up to 10%, may be for a shorter period of not less than three months to meet short-term requirements). Deposits **repayable on demand** are not permitted.

Answer 6(a) [OR] — Small company and OPC

Small company [Section 2(85)]: A "small company" means a company, **other than a public company**, whose: - **paid-up share capital does not exceed ₹4 crore** (currently prescribed limit), **and** - **turnover does not exceed ₹40 crore** (currently prescribed limit) as per its last profit and loss account.

It **does not include** a **holding or subsidiary company**, a **Section 8 company**, or a company governed by any special Act.

Privileges/exemptions of a small company: shorter/relaxed compliances, e.g.: - **Cash flow statement** is not a mandatory part of its financial statements. - The **annual return** may be signed by the company secretary, or where there is none, by a director. - Fewer Board meetings are required — **at least one Board meeting in each half of the calendar year** with a gap of not less than 90 days. - Lesser penalties under Section 446B; exemption from mandatory rotation of auditors, etc.

One Person Company (OPC) [Section 2(62)]: A company which has **only one person as a member**. The sole member must **nominate another person** in the memorandum who shall become the member in the event of the subscriber's death or incapacity.

Privileges/exemptions of an OPC: - Minimum of **one director** is sufficient. - It **need not hold an AGM**. - The **cash flow statement** is not required. - Certain provisions relating to general meetings, quorum and board procedure are relaxed; the financial statements and annual return may be signed by one director.

Answer 6(b) — Effect of registration (Section 7)

(i) Certificate of incorporation: Under **Section 7(2)**, on registration, the Registrar issues a **certificate of incorporation**, from the date mentioned in which the company is formed and becomes a **body corporate** with perpetual succession and a common seal, capable of holding property, suing and being sued in its own name (Section 9). The certificate of incorporation is **conclusive evidence** that all the requirements of the Act in respect of registration have been complied with, and the company comes into existence as a legal person from that date — the "birth certificate" of the company.

(ii) Pre-incorporation contracts: Contracts entered into by **promoters on behalf of a company before it is incorporated** are called pre-incorporation contracts. Since the company has no legal existence before incorporation: - The company is **not bound** by such contracts and **cannot ratify** them after incorporation (a non-existent principal cannot ratify). - The **promoters remain personally liable** on such contracts. - However, under the **Specific Relief Act, 1963 (Sections 15(h) and 19(e))**, if the contract was entered into for the purposes of the company and is warranted by the terms of incorporation, the company may **adopt/accept the benefit** of it after incorporation, and the other party may then enforce it against the company. Adoption effectively creates a fresh contract; mere ratification is not possible.

Answer 6(c) — Rule of harmonious construction

Rule: When there are two or more provisions in a statute which **appear to be in conflict** with each other, the courts should interpret them in such a manner as to **give effect to both**, so far as possible, rather than rendering either of them redundant or otiose. A statute must be read as a whole and its provisions harmonised.

Principles: - An interpretation which reduces one provision to a "dead letter" or makes it nugatory is **not harmonious construction** and should be avoided. - Where two provisions genuinely cannot be reconciled, effect should be given to the provision which represents the clear legislative intent (and a specific provision prevails over a general one).

Example: Where one provision confers a right and another appears to take it away, the court reads them together so that both operate in their respective fields — e.g., harmonising the Fundamental Rights and Directive Principles of the Constitution so that both are given effect to the extent possible.

End of Mock Test 2 — Corporate and Other Laws.

Corporate & Other Laws — Mock Test 3 (ICAI Intermediate pattern, 100 marks, 3 hours)

Paper: Corporate and Other Laws (Intermediate — New Scheme) Time Allowed: 3 Hours | Maximum Marks: 100

> **Coverage note (Mock 3 of 4):** This paper deliberately leans on the **middle third of the syllabus** — Acceptance of Deposits (Ch 5), Registration of Charges (Ch 6), Management & Administration (Ch 7), Dividend (Ch 8), Accounts & CSR (Ch 9) and Audit & Auditors (Ch 10) — while still testing Part II (General Clauses, Interpretation, FEMA) and LLP for full-paper balance. Mocks 1, 2 and 4 carry the heavier load on Incorporation, Prospectus and Share Capital.

General Instructions to Candidates

1. The question paper comprises two parts, **Division A** and **Division B**.
2. **Division A** comprises Multiple Choice Questions (MCQs) carrying **30 marks**.
3. **Division B** comprises descriptive/practical questions carrying **70 marks**.
4. In **Division A**, all questions are compulsory. Each MCQ carries **2 marks**. There is **no negative marking**.
5. In **Division B**, **Question No. 1 is compulsory**. Candidates are required to answer **any four questions** out of the remaining five questions (Q2 to Q6).
6. Working notes should form part of the answer. Wherever necessary, suitable assumptions may be made and stated clearly.
7. Answers to questions should be based on the provisions of law as amended and applicable.

DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

All MCQs are compulsory. Each carries 2 marks.

Case Scenario I (MCQs 1–5)

Meridian Ltd. is a **listed public company** with a paid-up equity share capital of ₹15 crore, turnover of ₹120 crore and net worth of ₹90 crore as per its latest audited financial statements. Its net profits computed under Section 198 for the three immediately preceding financial years were ₹3 crore, ₹4 crore and ₹5 crore respectively. During the financial year 2024–25 the following events took place:

- Members holding **8% of the paid-up share capital carrying voting rights** submitted a valid requisition to the Board requiring it to call an extraordinary general meeting (EGM).
- For the AGM, a member deposited his instrument of proxy with the company **40 hours before** the time fixed for the meeting.

- The company's audit firm, **M/s ABC & Co.**, has already completed **two terms of five consecutive years** as the company's auditor.
- The Board is examining its **Corporate Social Responsibility (CSR)** obligation for the year.
- The company's **annual return** for the year is to be signed and filed.

MCQ 1. On the requisition submitted by members holding 8% of the paid-up voting capital for calling an EGM, the Board: (a) Is bound to call the EGM, as any member may requisition a meeting. (b) Is **not bound** to call the EGM, because a valid requisition under Section 100 must be made by members holding not less than one-tenth (10%) of the paid-up share capital carrying voting rights. (c) Is bound to call the EGM only if the members hold 5% or more. (d) Must refer the matter to the Tribunal.

MCQ 2. The instrument of proxy deposited 40 hours before the meeting is: (a) Valid, as a proxy may be deposited at any time before the meeting. (b) Valid, as 40 hours is more than 24 hours. (c) **Invalid/ineffective**, because the instrument must be deposited with the company **not later than 48 hours before** the time for holding the meeting. (d) Valid only if the Articles permit a shorter period.

MCQ 3. Regarding re-appointment of M/s ABC & Co., which has completed two terms of five consecutive years: (a) It may be re-appointed for one more term of five years. (b) It **cannot be re-appointed** as auditor of the company for **five years (cooling-off period)** from the completion of the two terms. (c) It may be re-appointed as the company is listed. (d) There is no restriction on the number of terms of an audit firm.

MCQ 4. The minimum amount Meridian Ltd. must spend on CSR for the year, and the requirement of a CSR Committee, are: (a) 2% of ₹5 crore = ₹10 lakh; CSR Committee compulsory. (b) 2% of the **average net profit of ₹4 crore = ₹8 lakh**; a CSR Committee is **not required** as the amount to be spent does not exceed ₹50 lakh (Board discharges the functions). (c) 2% of turnover; CSR Committee compulsory. (d) No CSR obligation, as net worth is below ₹500 crore.

MCQ 5. The annual return of Meridian Ltd. (a listed company) must be: (a) Signed by any one director alone. (b) **Signed by a director and the company secretary** (or, where there is no company secretary, by a company secretary in practice) and, being a listed company, also **certified in Form MGT-8 by a company secretary in practice**. (c) Signed only by the company secretary in practice. (d) Certified by the statutory auditor.

Case Scenario II (MCQs 6–10)

Falcon Ltd. is an **eligible public company** under Section 76 (net worth ₹120 crore). As per its latest audited financial statements: paid-up share capital ₹30 crore, free reserves ₹8 crore and securities premium account ₹2 crore. During 2024–25:

- The company proposes to accept a **deposit of ₹5 crore from its members**.
- It **created a charge** on its plant on **10th January 2025** to secure a term loan; the instrument creating the charge was filed with the Registrar on **20th February 2025**.
- An earlier charge stood fully satisfied on 1st February 2025, but the company delayed intimating its satisfaction to the Registrar.
- The Board proposes to **transfer a portion of the year's profits to reserves** before declaring dividend.
- The company must maintain a **deposit repayment reserve**.

MCQ 6. The maximum deposit Falcon Ltd. may accept **from its members** is: (a) ₹5 crore, being the full proposed amount. (b) **₹4 crore**, being 10% of the aggregate of paid-up capital, free reserves and securities premium (₹40 crore); the proposed ₹5 crore is not permissible. (c) ₹10 crore, being 25% of the aggregate. (d) ₹14 crore, being 35% of the aggregate.

MCQ 7. The charge created on 10th January 2025 and filed on 20th February 2025 (41 days later): (a) Cannot be registered at all, as the 30-day period has lapsed. (b) **May be registered**, as the Registrar may, on an application, allow registration within **60 days of creation on payment of additional fees** (41 days falls within this window). (c) Requires Central Government approval in every case. (d) Is automatically valid without any additional fee.

MCQ 8. As regards intimation of **satisfaction** of the earlier charge under Section 82: (a) There is no time limit for intimating satisfaction. (b) Intimation must be given **within 30 days** of satisfaction; the Registrar may, on application, allow the intimation within a **further period of 300 days** on payment of additional fees. (c) Intimation must be given within 7 days only. (d) Satisfaction is recorded automatically by the Registrar without intimation.

MCQ 9. On the Board's proposal to transfer a portion of the year's profits to reserves before declaring dividend: (a) The company **may transfer such percentage of its profits to reserves as it considers appropriate** — the transfer is voluntary (there is no mandatory percentage). (b) The company must compulsorily transfer at least 10% of profits to reserves. (c) No transfer to reserves is permitted before declaring dividend. (d) The transfer requires the prior approval of the Registrar.

MCQ 10. The deposit repayment reserve to be maintained requires the company to deposit, on or before **30th April each year**, a sum of not less than: (a) 15% of the deposits maturing during the current financial year. (b) **20% of the amount of deposits maturing during the following financial year**, in a scheduled bank in a separate account. (c) 10% of total deposits outstanding. (d) 25% of the deposits accepted during the year.

Independent MCQs (MCQs 11–15)

MCQ 11. Under Section 27 of the General Clauses Act, 1897, where a document is required to be served by post, service is deemed to be effected (unless a contrary intention appears): (a) Only when the addressee actually receives the letter. (b) By properly addressing, pre-paying and posting by registered post, and service is **deemed to be effected at the time at which the letter would be delivered in the ordinary course of post**. (c) At the moment the letter is dropped in the post box, irrespective of address. (d) Only after acknowledgment due is received back.

MCQ 12. In the interpretation of statutes, the function of a **proviso** is generally: (a) To enlarge the scope of the main enactment. (b) To **carve out an exception to (or qualify) the main enactment** — dealing with a case which, but for the proviso, would fall within the main provision. (c) To repeal the main enactment. (d) To operate independently of the section to which it is attached.

MCQ 13. Under the Foreign Exchange Management (Current Account Transactions) Rules, which of the following is an **expressly prohibited** transaction (Schedule I)? (a) Remittance towards import of goods. (b) **Remittance out of lottery winnings** (and remittance of income from racing/riding, purchase of lottery tickets, banned magazines, football pools, etc.). (c) Payment of tuition fees for a child studying abroad. (d) Remittance for medical treatment abroad.

MCQ 14. Under the Limited Liability Partnership Act, 2008, where the LLP agreement is **silent** on the mutual rights and duties of the partners and of the LLP and its partners, such matters are governed by: (a) The Indian Partnership Act, 1932. (b) The **First Schedule** to the LLP Act, 2008. (c) The Companies Act, 2013. (d) The Articles of Association.

MCQ 15. Under Section 2(6) of the Companies Act, 2013, an "**associate company**", in relation to another company, means a company in which that other company has a **significant influence**, meaning control of at least: (a) 10% of the total voting power. (b) **20% of the total voting power**, or control of/participation in business decisions under an agreement (and it includes a joint venture company). (c) 26% of the total voting power. (d) 51% of the total voting power.

DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

Question No. 1 is compulsory. Answer any four questions from the remaining five questions (Q2 to Q6).

Question 1 (Compulsory) — 14 Marks

(a) Zenith Ltd. is an eligible public company under Section 76 of the Companies Act, 2013 (net worth ₹120 crore). As per its latest audited financial statements: paid-up share capital ₹40 crore, free reserves ₹8 crore and securities premium account ₹2 crore. The company proposes to accept deposits of **₹6 crore from its members** and **₹14 crore from the public**. Referring to Section 76 read with the Companies (Acceptance of Deposits) Rules, 2014, examine whether the proposed acceptance is within the permissible limits, computing the maximum amount acceptable in each case. Also state the permissible tenure of a deposit. **(6 Marks)**

(b) Sunlight Ltd. proposes to declare dividend for the financial year 2024–25 out of its accumulated (free) reserves because its profits for the year are inadequate. The relevant data (as per the latest audited financial statements) are: paid-up equity share capital ₹20 crore; free reserves ₹8 crore. The rates of dividend declared in the three immediately preceding financial years were 12%, 10% and 8%. The profit earned during the current year is ₹50 lakh. Referring to Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014, determine the maximum rate of dividend and the maximum amount that may be drawn from reserves, and advise whether a dividend at 10% can be declared. **(5 Marks)**

(c) Under the General Clauses Act, 1897, explain the distinction between the use of the words "**may**" and "**shall**" in a statute and how the courts construe them. **(3 Marks)**

Question 2 — 14 Marks

(a) Members of **Orion Ltd.** holding one-tenth of the paid-up share capital carrying voting rights deposited a valid requisition with the company requiring the Board to call an extraordinary general meeting (EGM). The Board did not proceed to call the meeting. Explaining Section 100 of the Companies Act, 2013, advise the requisitionists on: (i) The obligation of the Board on receipt of a valid requisition and the time within which the meeting must be called and held. (ii) The rights of the requisitionists if the Board fails to call the meeting. **(5 Marks)**

(b) M/s Trust & Co., a firm of chartered accountants, is proposed to be appointed as the statutory auditor of **Pioneer Ltd.** Examine, with reference to Section 141 of the Companies Act, 2013, whether the firm is **disqualified** from appointment in each of the following independent situations: (i) A partner of the firm holds equity shares of Pioneer Ltd. of face value ₹90,000. (ii) The firm is indebted to Pioneer Ltd. for ₹7 lakh. (iii) A relative of a partner of the firm is a whole-time director (KMP) of Pioneer Ltd. (iv) The firm has a subsisting business relationship with Pioneer Ltd. (other than in the ordinary course at arm's length). **(6 Marks)**

(c) Explain the utility of the "**Preamble**" as an internal aid to the interpretation of a statute. **(3 Marks)**

Question 3 — 14 Marks

(a) Delta Ltd. created a charge on its immovable property to secure a bank loan. Explaining the relevant provisions of the Companies Act, 2013 relating to registration of charges, answer: (i) The time limit within which a charge must be registered, and the extended periods available for condonation (Section 77). (ii) The consequences of **non-registration** of a charge (Section 77(3)). (iii) The time limit for intimating **satisfaction** of a charge to the Registrar (Section 82). **(6 Marks)**

(b) Explain the provisions of the Companies Act, 2013 relating to the maintenance of **books of account** of a company under Section 128, covering: (i) The place at which the books of account are to be kept. (ii) Whether they may be kept in electronic form and at a place other than the registered office. (iii) The period for which the books of account are to be preserved. **(5 Marks)**

(c) Under the Foreign Exchange Management Act, 1999, explain how **current account transactions** are regulated, referring to the three categories of transactions under the Current Account Transactions Rules. **(3 Marks)**

Question 4 — 14 Marks

(a) At the general meeting of **Crest Ltd.** (a public company), the following issues arose regarding proxies. Referring to Section 105 of the Companies Act, 2013, advise on each: (i) Whether a proxy has the right to speak at the meeting and to vote on a show of hands. (ii) Whether a person can act as proxy for more than one member, and any ceiling on the number of members / shareholding. (iii) Whether a proxy is required to be a member of the company, and by when the proxy form must be deposited. **(6 Marks)**

(b) Explain the contents of the **Board's Report** required to be attached to the financial statements under Section 134 of the Companies Act, 2013. In particular, state the matters covered by the "**Directors' Responsibility Statement**". **(5 Marks)**

(c) Under the General Clauses Act, 1897, explain the rule for **computation of time** where a period is reckoned "from" a particular day, and the position where the last day of a prescribed period is a holiday (Sections 9 and 10). **(3 Marks)**

Question 5 — 14 Marks

(a) Everest Ltd. has a net worth of ₹600 crore. Its net profits computed under Section 198 for the three immediately preceding financial years were ₹4 crore, ₹5 crore and ₹6 crore respectively. During the financial year, the company spent ₹7 lakh on CSR activities; the balance remains unspent and pertains to an **ongoing project**. Referring to Section 135 of the Companies Act, 2013 and the CSR Rules, compute the CSR obligation for the year and explain the treatment of the **unspent amount**. Also state whether a CSR Committee is required. **(6 Marks)**

(b) The management of **Summit Ltd.** proposes to **remove its statutory auditor before the expiry of his term** of office. Explaining Section 140 of the Companies Act, 2013, state the procedure and approvals required for such removal, and separately state the obligation of an auditor who **resigns** from a company. **(5 Marks)**

(c) Explain the rule of "**Harmonious Construction**" in the interpretation of statutes, with an example. **(3 Marks)**

Question 6 — 14 Marks

(a) State whether the following statements are **True or False**, giving reasons with reference to the Companies Act, 2013 and the rules thereunder: (i) A charge that is not registered with the Registrar is void against the **company itself**, and the company is discharged from repaying the money secured. (ii) A company accepting deposits must maintain a deposit repayment reserve of at least **20% of the deposits maturing during the following financial year**. (iii) A statutory auditor can be removed before the expiry of his term by an **ordinary resolution** alone. (iv) The Board of Directors is competent to declare an **interim dividend**. **(6 Marks)**

OR

(a) Explain the provisions of the Companies Act, 2013 regarding the **quorum for a general meeting** under Section 103, including the consequences where a quorum is not present within half an hour of the appointed time. **(6 Marks)**

(b) Explain the provisions of Section 118 of the Companies Act, 2013 relating to **minutes of meetings**, covering the time within which minutes are to be prepared, their evidentiary value, and the matters that may be excluded from the minutes. **(5 Marks)**

(c) Under the Foreign Exchange Management Act, 1999, explain the meaning of "**authorised person**" as defined in Section 2(c). **(3 Marks)**

ANSWER KEY & MODEL SOLUTIONS

DIVISION A — MCQ ANSWER KEY (with reasons)

MCQ	Answer	One-line reason
1	**(b)**	Section 100(2): a requisition to call an EGM must be made by members holding not less than **1/10th of the paid-up capital carrying voting rights**; 8% is short, so the Board is not bound.
2	**(c)**	Section 105(4): the proxy instrument must be deposited **not less than 48 hours before** the meeting; 40 hours before is late and ineffective.
3	**(b)**	Section 139(2): an audit **firm** may hold office for a maximum of **two terms of five consecutive years**, after which a **5-year cooling-off** applies before re-appointment.
4	**(b)**	Average net profit = (3+4+5)/3 = ₹4 cr; 2% = **₹8 lakh**. As the CSR spend does not exceed ₹50 lakh, **no CSR Committee** is required (Board performs its functions).
5	**(b)**	Section 92: annual return is signed by a **director and the company secretary**; a listed company's return must also be **certified in Form MGT-8 by a PCS**.
6	**(b)**	Rule 3(4): an eligible company may accept deposits from **members up to 10%** of (paid-up capital + free reserves + securities premium) = 10% of ₹40 cr = **₹4 cr**; ₹5 cr is excessive.
7	**(b)**	Section 77 (first proviso): the Registrar may allow registration within **60 days of creation on additional fees**; the 41st-day filing falls within this window.
8	**(b)**	Section 82: satisfaction must be intimated **within 30 days**; the Registrar may allow it within a **further 300 days** on additional fees.
9	**(a)**	First proviso to Section 123(1): a company **may** transfer such percentage of profits to reserves **as it considers appropriate** — the transfer is now voluntary.
10	**(b)**	Section 73(2)(c) read with the Rules: deposit repayment reserve = at least **20% of deposits maturing in the following financial year**, credited on or before 30th April.
11	**(b)**	Section 27, General Clauses Act: service by properly addressed, pre-paid, registered post is **deemed effected when the letter would be delivered in the ordinary course of post**.
12	**(b)**	A **proviso** carves out an **exception**/qualification to the main enactment; it deals with a case that would otherwise fall within the main provision.
13	**(b)**	Schedule I to the Current Account Transaction Rules **prohibits** remittance out of lottery winnings, income from racing/riding, purchase of lottery tickets/banned magazines, football pools, etc.
14	**(b)**	Section 23(4): where the LLP agreement is silent, the mutual rights and duties are governed by the **First Schedule** to the LLP Act, 2008.
15	**(b)**	Section 2(6): "significant influence" means control of at least **20% of total voting power** or of business decisions under an agreement; an associate includes a joint venture.

DIVISION B — MODEL SOLUTIONS

Answer 1(a) — Deposits by an eligible company (Section 76 + Rules)

Provisions: An **eligible company** (a public company with net worth ≥ ₹100 crore **or** turnover ≥ ₹500 crore, which has passed a special resolution and, for public deposits beyond members, an ordinary resolution and filed it with the Registrar) may accept deposits from members **and** from the public, subject to the ceilings in Rule 3 of the Companies (Acceptance of Deposits) Rules, 2014:

- **From members [Rule 3(4)]:** not exceeding **10%** of the aggregate of the paid-up share capital, free reserves and securities premium account.
- **From the public [Rule 3(5)]:** not exceeding **25%** of the aggregate of the paid-up share capital, free reserves and securities premium account.

Computation of the base:

Particulars	₹ (crore)
Paid-up share capital	40.00
Free reserves	8.00
Securities premium account	2.00
Aggregate base	**50.00**

Applying the limits:

Source	Ceiling	Maximum permissible	Proposed	Position
Members	10% of ₹50 cr	**₹5.00 crore**	₹6.00 crore	**Excess by ₹1 cr — not permissible beyond ₹5 cr**
Public	25% of ₹50 cr	**₹12.50 crore**	₹14.00 crore	**Excess by ₹1.5 cr — not permissible beyond ₹12.5 cr**

Tenure: A deposit must be repayable in a period of **not less than 6 months and not more than 36 months** from the date of acceptance/renewal. (A company may accept deposits repayable earlier than 6 months but **not less than 3 months** to meet short-term requirements, provided such deposits do not exceed **10%** of the aggregate of paid-up capital, free reserves and securities premium.)

Conclusion: Zenith Ltd. can accept a **maximum of ₹5 crore from members** and **₹12.50 crore from the public**. The proposed ₹6 crore and ₹14 crore both exceed the respective ceilings and must be scaled down. Acceptance is further subject to the conditions of Section 76/73 — special resolution, credit rating (renewed annually for public deposits), the deposit repayment reserve of 20%, circular/advertisement, and compliance with the Rules.

Answer 1(b) — Dividend out of reserves in a year of inadequate profits (Rule 3)

Provisions: Where a company proposes to declare dividend out of accumulated profits (free reserves) owing to inadequacy/absence of profits, **Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014** imposes the following conditions:

1. **Rate ceiling:** The rate of dividend shall **not exceed the average of the rates** at which dividend was declared in the **three immediately preceding years**. - Average = (12% + 10% + 8%) / 3 = **10%**.
2. **Maximum drawal from reserves:** The total amount drawn from accumulated profits shall **not exceed one-tenth (10%) of the sum of paid-up share capital + free reserves** (as per the latest audited financial statements). - = 10% of (₹20 cr + ₹8 cr) = 10% of ₹28 cr = **₹2.80 crore**.
3. **Set-off of losses:** The amount drawn shall first be used to **set off losses** of the current year (here, there is no current-year loss — the company has a profit of ₹50 lakh).
4. **Residual reserve floor:** The balance of reserves after such withdrawal shall **not fall below 15% of the paid-up share capital**. - Floor = 15% of ₹20 cr = **₹3 crore**.

Application (dividend at 10%):

Particulars	₹ (crore)
Dividend proposed at 10% on ₹20 cr paid-up capital	2.00
Less: met out of current-year profit	0.50
Amount required to be drawn from free reserves	**1.50**
Maximum permissible drawal from reserves (Condition 2)	2.80
Reserves after withdrawal = ₹8 cr − ₹1.50 cr	6.50
Required minimum reserve floor (Condition 4)	3.00

Conclusion: All four conditions are satisfied — the rate (10%) equals the permitted average, the drawal from reserves (₹1.50 crore) is within the ₹2.80 crore ceiling, and the post-withdrawal reserve of ₹6.50 crore is well above the ₹3 crore floor. **Sunlight Ltd. can validly declare dividend at 10%**, drawing ₹1.50 crore from free reserves.

Answer 1(c) — "May" and "Shall" under the General Clauses Act, 1897

General rule: - The word "**may**" is ordinarily **enabling, permissive or directory** — it confers a discretion or a power on the person/authority. Example: "the Tribunal *may* extend the time" leaves the extension to the Tribunal's discretion. - The word "**shall**" is ordinarily **mandatory or imperative** — it imposes an obligation to act in the manner stated. Example: "the company *shall* file the return within 30 days."

But it is not conclusive: The court looks to the **intention of the legislature**, the object and context of the provision, and the consequences of construing the word one way or the other. Accordingly — - "**May**" may be read as "**shall**" (mandatory) where a **duty is coupled with a power** or where a right of a third person depends on its exercise. - "**Shall**" may be read as "**may**" (directory) where a mandatory construction would defeat the object of the statute or cause serious inconvenience without any corresponding benefit, and where no prejudice results from non-compliance.

Thus the words furnish a **prima facie** indication only; the real test is the legislative intent gathered from the statute as a whole.

Answer 2(a) — EGM on requisition (Section 100)

(i) Obligation of the Board and time limits: Under **Section 100(2)**, the Board **shall**, on the requisition of members holding **not less than one-tenth of the paid-up share capital** carrying voting rights (or, for a company without share capital, not less than one-tenth of the total voting power), **proceed to call an EGM**. On receipt of a valid requisition: - The Board must, **within 21 days** from the date of receipt, **proceed to call** a meeting; - to be **held within 45 days** from the date of receipt of the requisition.

The requisition must set out the matters for consideration and be signed by the requisitionists and deposited at the registered office.

(ii) Rights of the requisitionists on the Board's failure [Section 100(4) & (6)]: If the Board **fails** to call the meeting within the said 21 days for a day fixed within 45 days, the **requisitionists themselves may call and hold** the meeting **within a period of three months** from the date of the requisition. Such a meeting is called in the same manner as one called by the Board. Further, the **reasonable expenses** incurred by the requisitionists in calling the meeting shall be **reimbursed by the company**, and such sums shall be **recovered from the sitting fees/remuneration payable to the defaulting directors**.

Advice: Since Orion Ltd.'s requisition is valid (1/10th holding) and the Board did not proceed, the requisitionists may call the EGM themselves within three months of the requisition and recover their reasonable expenses from the company.

Answer 2(b) — Disqualifications of an auditor (Section 141(3))

Provisions: Section 141(3) lists persons **not eligible** for appointment as auditor. The relevant grounds are examined below:

(i) A partner holds shares of face value ₹90,000 — [Section 141(3)(d)(i)]: A person is disqualified if he, or his partner, or a **relative** holds any **security or interest** in the company. However, a **relative** may hold securities of face value **not exceeding ₹1 lakh** (a corrective window is given if the limit is later exceeded). This relaxation applies to a *relative's* holding. Here, a **partner of the firm** himself holds the shares — a partner/the auditor holding **any** security disqualifies the firm, regardless of value. **Therefore the firm is disqualified.**

(ii) Firm indebted for ₹7 lakh — [Section 141(3)(d)(ii)]: A person/firm is disqualified if he/it is **indebted to the company** (or its subsidiary/holding/associate) for an amount **exceeding ₹5 lakh**. The indebtedness of ₹7 lakh exceeds ₹5 lakh. **Therefore the firm is disqualified.**

(iii) Relative of a partner is a whole-time director (KMP) — [Section 141(3)(f)]: A person is disqualified if his **relative is a director or is in the employment of the company as a director or key managerial personnel**. Here, a relative of a partner is a whole-time director (KMP). **Therefore the firm is disqualified.**

(iv) Subsisting business relationship — [Section 141(3)(e)]: A person or firm who, whether directly or indirectly, has a **business relationship** with the company (or its subsidiary/holding/associate), of a nature prescribed, is disqualified — commercial transactions in the ordinary course at arm's length (and certain professional services) being excluded. A business relationship **other than** in the ordinary course at arm's length disqualifies. **Therefore the firm is disqualified.**

Conclusion: In **all four** situations, M/s Trust & Co. is **disqualified** from being appointed as the statutory auditor of Pioneer Ltd.

Answer 2(c) — Preamble as an internal aid

Meaning & utility: The **Preamble** is the introductory part of a statute that sets out its **object, scope, purpose and the reasons/policy** behind its enactment. It is a **key to the mind of the makers** and a legitimate **internal aid** to construction.

- Where the words of an enactment are **clear and unambiguous**, the Preamble **cannot control, restrict or override** the plain meaning of the operative provisions.
- However, where the language is **ambiguous or capable of more than one meaning**, the Preamble may be legitimately used to **ascertain the legislative intent** and to prefer the construction that advances the object of the Act.
- The Preamble can also help fix the **scope and general purpose** of the statute and resolve doubts.

Thus the Preamble is a valuable but subordinate aid — an "index" to the legislation, used to clarify, not to contradict, the enacting words.

Answer 3(a) — Registration and satisfaction of charges (Sections 77–82)

(i) Time limit and condonation for registration (Section 77): Every company creating a charge shall **register the particulars** of the charge with the Registrar **within 30 days** of its creation. Where registration is not effected within 30 days: - For charges created **on or after** the commencement of the Companies (Amendment) Ordinance, 2019, the Registrar may, on an application, allow registration **within 60 days of creation on payment of additional fees**; and - if not registered even within that 60 days, the Registrar may, on a further application, allow registration **within a further period of 60 days on payment of ad valorem fees** (i.e., up to 120 days from creation in all).

(ii) Consequences of non-registration [Section 77(3) and Section 78]: - A charge that is **not registered** shall **not be taken into account by the liquidator** (appointed under the Act or the IBC) **or any other creditor** — i.e., the charge becomes **void against the liquidator and the creditors**, and the charge-holder loses priority and is treated as an **unsecured creditor**. - **However**, the **contract or obligation for repayment of the money secured remains valid**; the borrower company remains **liable to repay** the money. (Under Section 78, if the company fails to register, the **person in whose favour the charge is created** may apply to register it and recover the registration fee from the company.)

(iii) Satisfaction of charge (Section 82): A company shall give **intimation of the payment or satisfaction** in full of any registered charge to the Registrar **within 30 days** from the date of such satisfaction. The Registrar may, on an application by the company or the charge-holder, allow the intimation to be made **within a further period of 300 days** of the satisfaction on payment of additional fees. On intimation, the Registrar issues a notice to the charge-holder and, in due course, records a memorandum of satisfaction.

Answer 3(b) — Books of account (Section 128)

(i) Place of keeping: Under **Section 128(1)**, every company shall keep at its **registered office** proper books of account and other relevant books/papers and financial statements for every financial year, giving a **true and fair view** of the state of affairs, on **accrual basis and according to the double-entry system** of accounting.

(ii) Other place / electronic form: The books **may be kept at any other place in India** as the **Board of Directors may decide**; in that case, the company must **file a notice with the Registrar within 7 days** giving the full address of that other place. The books may also be **maintained in electronic mode**, in the prescribed manner (accessible in India, retained in original/legible form, etc.). Where a company has **branch offices**, proper books for the branch and periodic summarised returns sent to the registered/other office satisfy the section.

(iii) Period of preservation: The books of account, together with the vouchers relevant to any entry, shall be kept in good order for a period of **not less than eight financial years immediately preceding** the relevant financial year (or, where the company has been in existence for a shorter period, for the **entire period since incorporation**). Where an investigation has been ordered, the Central Government may direct a longer retention.

(Directors are entitled to inspect the books of account during business hours.)

Answer 3(c) — Regulation of current account transactions (FEMA)

Under **Section 5** of FEMA, 1999, any person **may sell or draw foreign exchange** to or from an authorised person for a **current account transaction**, which is therefore **generally permitted/free** — subject to reasonable restrictions imposed by the Central Government in the public interest. These restrictions are contained in the **Foreign Exchange Management (Current Account Transactions) Rules, 2000**, which classify transactions into three categories:

- **Schedule I — Prohibited transactions:** transactions for which drawal of foreign exchange is **completely prohibited** (e.g., remittance of lottery winnings, income from racing/riding, purchase of lottery tickets/banned publications, football pools).
- **Schedule II — Requiring prior approval of the Central Government (relevant Ministry/Department):** e.g., cultural tours, remittance of prize money/sponsorship of sports activity beyond specified limits, remittance for advertisement in foreign print media above limits, etc.
- **Schedule III — Requiring prior approval of the Reserve Bank of India:** transactions **beyond the specified limits** (many now subsumed within the Liberalised Remittance Scheme (LRS) ceiling per financial year for resident individuals).

Thus, a current account transaction is freely permitted **unless** it is prohibited (Schedule I) or requires prior approval (Schedules II and III).

Answer 4(a) — Proxies (Section 105)

(i) Right to speak / vote on show of hands: A proxy **is not entitled to speak** at the meeting, and (unless the Articles otherwise provide) a proxy **cannot vote on a show of hands** — a proxy is entitled to **vote only on a poll**.

(ii) Proxy for more than one member / ceiling: A person **can act as proxy** for more than one member, subject to the limit that a person may act as proxy for a **maximum of 50 members** and for members holding **in the aggregate not more than 10% of the total share capital** carrying voting rights. However, a **single member holding more than 10%** of the total voting share capital may appoint a **single person** as proxy for the whole of such holding, and that person **shall not act as proxy for any other member**.

(iii) Whether proxy must be a member / deposit of form: A proxy **need not be a member** of the company. The **instrument of proxy** must be deposited with the company **not less than 48 hours before**

the time fixed for holding the meeting to be effective. (A member of a Section 8 company can appoint a proxy only if that proxy is also a member; and a private company's Articles may vary these requirements.)

Note: Every notice calling a meeting must carry, with reasonable prominence, a statement that a member entitled to attend and vote is entitled to appoint a proxy who need not be a member.

Answer 4(b) — Board's Report (Section 134)

Provisions: Under **Section 134**, the financial statements (including consolidated statements) are approved by the Board and signed as prescribed, and there is **attached to them a Report by the Board of Directors**. The Board's Report includes, inter alia:

- The **web address** where the annual return has been placed;
- **Number of Board meetings** held during the year;
- The **Directors' Responsibility Statement**;
- Details of **fraud** reported by the auditor (other than those reportable to the Central Government);
- A statement on **declaration by independent directors**;
- The company's **policy on directors' appointment/remuneration** (as applicable);
- Explanations/comments on **qualifications, reservations or adverse remarks** made by the auditor and the company secretary in practice;
- Particulars of **loans, guarantees and investments** under Section 186;
- Particulars of **related party contracts/arrangements** under Section 188;
- **State of the company's affairs**, amounts (if any) proposed to be carried to **reserves**, and **dividend** recommended;
- **Material changes and commitments** affecting the financial position occurring after the balance-sheet date;
- Conservation of **energy, technology absorption, foreign exchange** earnings/outgo;
- A statement on **risk management** policy;
- The **CSR** policy and initiatives (Section 135);
- Formal annual **evaluation** of the Board (where applicable), etc.

Directors' Responsibility Statement [Section 134(5)] — the directors state that: (a) in preparing the annual accounts, **applicable accounting standards** were followed with proper explanation for material departures; (b) accounting policies were **selected and applied consistently**, and judgments/estimates made are reasonable and prudent, so as to give a **true and fair view**; (c) **proper and sufficient care** was taken for maintenance of adequate accounting records for safeguarding the assets and for preventing/detecting fraud and other irregularities; (d) the annual accounts were prepared on a **going concern** basis; (e) **for a listed company**, that the directors had laid down **internal financial controls** which were adequate and operating effectively; and (f) the directors had devised **proper systems to ensure compliance** with all applicable laws, operating effectively.

Answer 4(c) — Computation of time (Sections 9 & 10, General Clauses Act)

Section 9 — "from" and "to": Where a statute uses the word "**from**" a specified day to indicate the **commencement** of a period of time, the **first day is excluded** (the rule *dies a quo non computatur in* *termino*). Where it uses the word "**to**" to indicate the **end** of the period, the **last day is included**. Thus, in a period reckoned "from" a date, that date itself is left out in the reckoning.

Section 10 — last day a holiday: Where any act or proceeding is **allowed or required to be done within a prescribed period** in any court or office, and the **last day** of that period is a **holiday** (a day on which the court/office is closed), the act or proceeding shall be considered as done **in due time if it is done on the next day** on which the court/office is **open**. (This benefit does not apply where the limitation is governed by a different provision expressly excluding it, and is generally understood not to apply to acts to be done outside a court/office.)

Answer 5(a) — CSR obligation and unspent amount (Section 135)

Applicability: Section 135 applies to every company that, during the **immediately preceding financial year**, has net worth ≥ ₹500 crore **or** turnover ≥ ₹1,000 crore **or** net profit ≥ ₹5 crore. Everest Ltd. has a **net worth of ₹600 crore** (≥ ₹500 crore) — hence **CSR is applicable**.

Amount to be spent: At least **2% of the average net profits** (computed under Section 198) of the **three immediately preceding financial years**.

Particulars	₹ (crore)
Net profit – Year 1	4.00
Net profit – Year 2	5.00
Net profit – Year 3	6.00
Average net profit = 15 / 3	**5.00**
CSR obligation = 2% of ₹5 cr	**₹10 lakh**

Spent and unspent: Spent ₹7 lakh; **unspent = ₹3 lakh**, pertaining to an **ongoing project**.

Treatment of the unspent amount (ongoing project) [Section 135(6)]: Any amount remaining unspent pursuant to an **ongoing project** shall be **transferred to a special account** — the "**Unspent CSR Account**" — opened with a scheduled bank, **within 30 days** from the end of the financial year. This amount must be **spent on the project within three financial years** from the date of such transfer. If it remains unspent even after three financial years, it shall be transferred to a **Fund specified in Schedule VII within 30 days** of the end of the third financial year.

(Contrast — where the unspent amount does not relate to an ongoing project, it must be transferred to a Schedule VII Fund within six months of the end of the financial year.)

CSR Committee: As the amount required to be spent (**₹10 lakh**) does **not exceed ₹50 lakh**, the requirement of constituting a **CSR Committee does not apply**, and the functions of the Committee are discharged by the **Board itself**.

Conclusion: CSR obligation is **₹10 lakh**; ₹7 lakh has been spent; the balance **₹3 lakh (ongoing project) must be transferred to an Unspent CSR Account within 30 days** of the year-end and spent within three financial years. No CSR Committee is required.

Answer 5(b) — Removal and resignation of auditor (Section 140)

Removal before expiry of term [Section 140(1)]: The auditor may be removed **before the expiry of his term** only by a **special resolution** of the company, **after obtaining the previous approval of the Central Government** (powers delegated to the Regional Director). The procedure is: 1. The **Board** passes a resolution for removal. 2. An **application to the Central Government** (in the prescribed **Form ADT-2**) is made **within 30 days** of the Board resolution. 3. On receipt of approval, the company convenes a **general meeting within 60 days** of receipt of approval and passes a **special resolution**. 4. The auditor concerned must be given a **reasonable opportunity of being heard** before removal.

Resignation of an auditor [Section 140(2) & (3)]: An auditor who **resigns** must **file a statement** (in **Form ADT-3**) with the **company and the Registrar within 30 days** of resignation (and, in the case of a **Government company**, also with the **Comptroller & Auditor-General of India**), indicating the **reasons and other relevant facts** of the resignation. **Failure** to file the statement attracts a **penalty** on the auditor.

(In addition, under Section 140(4), a retiring auditor may not be re-appointed, or another auditor appointed in his place at an AGM, without following the special notice procedure; and under Section 140(5) the Tribunal may direct the company to change its auditor where the auditor has acted fraudulently.)

Answer 5(c) — Harmonious Construction

Rule: When there are, within a statute, **two or more provisions that appear to conflict** with each other, the court must **interpret them so as to give effect to both**, harmonising the apparent inconsistency, rather than rendering one provision **otiose or nugatory**. The legislature is presumed **not to contradict itself**; hence a construction that **reconciles** the provisions and gives meaning to each is preferred. A provision should not be so interpreted as to reduce another to a **dead letter**. Only where reconciliation is genuinely impossible does the specific/later provision prevail over the general/earlier one.

Example: A frequently cited illustration is the reconciliation of **Fundamental Rights (Part III)** and **Directive Principles (Part IV)** of the Constitution — the courts read them harmoniously so that neither is rendered ineffective. Similarly, where one section of an Act confers a right and another appears to restrict it, the two are read together so that the right operates subject only to the genuine scope of the restriction, giving effect to both.

Answer 6(a) [Main] — True/False with reasons

(i) "A charge not registered is void against the **company itself**, and the company is discharged from repaying the money." — **FALSE.** Under Section 77(3), an unregistered charge is **void against the liquidator and other creditors**, **not against the company**. Moreover, the **obligation to repay the money secured remains fully valid** — the company is **not discharged** from repayment.

(ii) "A company accepting deposits must maintain a deposit repayment reserve of at least 20% of the deposits maturing during the following financial year." — **TRUE.** Section 73(2)(c) read with the Rules requires the company to deposit, on or before **30th April each year**, a sum of not less than **20% of the deposits maturing during the following financial year** in a separate scheduled-bank account.

(iii) "A statutory auditor can be removed before the expiry of his term by an ordinary resolution alone." — **FALSE.** Under Section 140(1), removal before expiry of term requires a **special resolution** and the **previous approval of the Central Government**, after giving the auditor an opportunity of being heard.

(iv) "The Board of Directors is competent to declare an interim dividend." — **TRUE.** Under Section 123(3), the **Board of Directors may declare interim dividend** during any financial year (or period from closure of the financial year till the AGM) out of the profits/surplus, subject to the prescribed conditions.

Answer 6(a) [OR] — Quorum for a general meeting (Section 103)

Quorum [Section 103(1)]: Unless the Articles provide for a larger number, the quorum for a general meeting is:

- **Public company** — members **personally present**:
- **5 members** if the number of members as on the date of meeting is **not more than 1,000**;
- **15 members** if the number is **more than 1,000 but up to 5,000**;
- **30 members** if the number **exceeds 5,000**.
- **Private company** — **2 members personally present**.

Absence of quorum [Section 103(2)]: If the quorum is **not present within half an hour** from the appointed time: - The meeting, **if called on the requisition of members**, shall **stand cancelled**. - **In any other case**, the meeting shall stand **adjourned to the same day in the next week, at the same time and place**, or to such other day, time and place as the **Board may determine**.

Adjourned meeting [Section 103(3)]: If at the **adjourned meeting** also the quorum is **not present within half an hour**, the **members present shall constitute the quorum**. (The company must give at least three days' notice of the adjourned meeting where the day/time/place is changed.)

Answer 6(b) — Minutes of meetings (Section 118)

Preparation and time [Section 118(1)]: Every company shall **prepare, sign and keep minutes** of the proceedings of **every general meeting** (including postal ballot resolutions passed) and of **every meeting of the Board and its committees**, within **30 days** of the conclusion of the meeting concerned. The minutes are entered in books maintained for the purpose, with their **pages consecutively numbered**.

Contents and exclusions [Section 118(5) & (6)]: The minutes must contain a **fair and correct summary** of the proceedings. The **Chairman has absolute discretion** to include or **exclude** any matter which he regards as: - **defamatory** of any person; or - **irrelevant or immaterial** to the proceedings; or - **detrimental to the interests of the company**.

Minutes shall **not be attached to** by pasting or otherwise, and no matter shall be entered by **erasure/over-writing** — they must be a correct record.

Evidentiary value [Section 118(7)]: The minutes kept in accordance with the section shall be **evidence of the proceedings** recorded therein. Further, where minutes are duly kept, there is a **presumption** (until the contrary is proved) that the meeting was **duly called and held**, all proceedings therein duly took place, and appointments of directors/KMP/liquidators are **valid**.

Secretarial Standards [Section 118(10)]: Every company shall observe the **Secretarial Standards** (SS-1 for Board meetings, SS-2 for general meetings) specified by the ICSI and approved by the Central Government. Tampering with minutes attracts penal consequences.

Answer 6(c) — "Authorised person" under FEMA (Section 2(c))

Under **Section 2(c)** of the Foreign Exchange Management Act, 1999, "**authorised person**" means an **authorised dealer, money changer, off-shore banking unit or any other person** for the time being **authorised under sub-section (1) of Section 10** to **deal in foreign exchange or foreign securities**.

- Such authorisation is granted by the **Reserve Bank of India**, in writing, subject to conditions, and may be **revoked** in public interest or for non-compliance (after giving a reasonable opportunity, except where prejudicial to public interest).
- An authorised person must comply with the **directions of the RBI** and shall **not engage in any transaction** in foreign exchange that is **not in conformity** with the terms of his authorisation.
- Before undertaking any transaction on behalf of a person, the authorised person may require a **declaration** and information to satisfy himself that the transaction does not contravene FEMA; if the person refuses, the authorised person shall **decline** to undertake the transaction.

End of Mock Test 3 — Corporate and Other Laws.

Corporate & Other Laws — Mock Test 4 (ICAI Intermediate pattern, 100 marks, 3 hours)

Paper: Corporate and Other Laws (Intermediate — New Scheme) Time Allowed: 3 Hours | Maximum Marks: 100

Coverage note (Mock 4 of 4): This paper deliberately leans toward the **final third and integration of the syllabus** — Management & Administration, Accounts of Companies, Audit & Auditors, Declaration & Payment of Dividend, the LLP Act, the General Clauses Act, Interpretation of Statutes and FEMA — while remaining a full 100-mark paper. Together, Mocks 1–4 span the whole course.

General Instructions to Candidates

1. The question paper comprises two parts, **Division A** and **Division B**.
2. **Division A** comprises Multiple Choice Questions (MCQs) carrying **30 marks**.
3. **Division B** comprises descriptive/practical questions carrying **70 marks**.
4. In **Division A**, all questions are compulsory. Each MCQ carries **2 marks**. There is **no negative marking**.
5. In **Division B**, **Question No. 1 is compulsory**. Candidates are required to answer **any four questions** out of the remaining five questions (Q2 to Q6).
6. Working notes should form part of the answer. Wherever necessary, suitable assumptions may be made and stated clearly.
7. Answers to questions should be based on the provisions of law as amended and applicable.

DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

All MCQs are compulsory. Each carries 2 marks.

Case Scenario I (MCQs 1–5)

Meridian Industries Ltd. is an **unlisted public company** incorporated under the Companies Act, 2013 with a paid-up share capital of **₹12 crore** and a turnover of **₹250 crore** as per its latest audited financial statements. It has outstanding borrowings of ₹120 crore from a nationalised bank. During the financial year 2024–25 the following events took place:

- The company's statutory auditor, **M/s Rao & Associates** (a firm of chartered accountants), has already completed **two consecutive terms of five years each** and the Board proposes to re-appoint the same firm at the ensuing AGM.
- For administrative convenience, the Board decided by resolution to **keep the books of account at a branch office** located in another city (within India), instead of the registered office.

- The company had **not fully provided for depreciation** in accordance with Schedule II for FY 2024–25, yet the Board proposed to declare a dividend.
- During the audit, the statutory auditor detected a **fraud of ₹80 lakh** committed by an employee against the company.
- The company had **not appointed** an internal auditor for FY 2024–25.

MCQ 1. On the proposal to re-appoint M/s Rao & Associates (which has completed two terms of five years each), which statement is correct? (a) The firm may be re-appointed for one more term of five years, as unlisted public companies are exempt from rotation. (b) The firm **cannot** be re-appointed as auditor in the same company for **five years** (cooling-off) after completion of two terms, since the company falls within the class prescribed for rotation. (c) The firm may be re-appointed indefinitely with the approval of members by special resolution. (d) Rotation applies only to listed companies, so re-appointment is freely permitted.

MCQ 2. With respect to the company **not appointing an internal auditor** for FY 2024–25, the position under Section 138 is: (a) Internal audit is optional for all companies, so there is no default. (b) Internal audit is **mandatory**, as an unlisted public company with a **turnover of ₹200 crore or more** during the preceding financial year is required to appoint an internal auditor. (c) Internal audit is required only for listed companies. (d) Internal audit is required only if paid-up capital exceeds ₹50 crore, so it is not applicable here.

MCQ 3. Regarding the Board's decision to keep the **books of account at a branch office** in another city (within India), the requirement is: (a) Books of account can never be kept anywhere other than the registered office. (b) The company may keep the books at such other place in India as the Board may decide, and it must **file with the Registrar a notice in writing giving the full address of that other place within seven days** thereof. (c) The books may be kept at any place in India without any intimation to the Registrar. (d) Prior approval of the Central Government is mandatory in every case.

MCQ 4. On the Board's proposal to declare dividend though depreciation has not been fully provided as per Schedule II, which is correct? (a) Dividend may be declared, as provision of depreciation is only a recommendatory practice. (b) **No dividend can be declared** unless depreciation has been provided in accordance with Schedule II, as required by Section 123(1). (c) Dividend can be declared if the shortfall in depreciation is disclosed in the notes. (d) Depreciation need not be provided if the company has adequate free reserves.

MCQ 5. Regarding the **fraud of ₹80 lakh** detected by the statutory auditor, the auditor is required to: (a) Report the matter to the **Central Government** in Form ADT-4 within 62 days. (b) Report the matter to the **Audit Committee or the Board within two days** of his knowledge, specifying the nature, amount and parties, since the amount involved is **less than ₹1 crore** (and disclose it in the Board's report). (c) Not report the fraud, as it was committed by an employee and not by a director. (d) Report only to the Registrar of Companies within thirty days.

Case Scenario II (MCQs 6–10)

Zenith Traders Private Limited has an issued, subscribed and paid-up capital of **₹6 crore**, a turnover of **₹60 crore**, and **120 members**. Its Articles are silent on the matters below. During 2024–25:

- The Annual General Meeting was attended by **only 2 members present in person**; the Chairman treated the quorum as complete.

- **Mr. Arora**, a member, appointed **Mr. Bhatt** (who is not a member of the company) as his proxy to attend and vote at the AGM.
- The company proposes to file its **annual return** for FY 2024–25 with the Registrar.
- A group of members holding, in the aggregate, **one-tenth of the paid-up share capital** carrying voting rights requisitioned an **extraordinary general meeting (EGM)**.
- A resolution to alter the Articles of Association was put to vote; on the poll, **1,80,000 votes were cast in favour and 70,000 against**.

MCQ 6. Was the quorum for the AGM of Zenith Traders Private Limited validly constituted with 2 members present in person? (a) No, as a minimum of 5 members must be personally present. (b) **Yes**, because for a **private company**, the quorum is **two members personally present** under Section 103. (c) No, as the quorum for a company with 120 members is 15. (d) Yes, but only if the Articles expressly permit a quorum of two.

MCQ 7. Regarding the appointment of **Mr. Bhatt (a non-member) as proxy** by Mr. Arora, the position under Section 105 is: (a) Invalid, as a proxy must himself be a member of the company. (b) **Valid** — a proxy **need not be a member**; however, the proxy has **no right to speak** and **cannot vote except on a poll** (not on a show of hands), and the proxy instrument must be deposited at least **48 hours** before the meeting. (c) Valid only if the company passes a special resolution. (d) Invalid, as proxies are not permitted in a private company.

MCQ 8. In relation to the **annual return** to be filed by Zenith Traders Private Limited, which is correct? (a) The annual return requires **certification by a Company Secretary in practice in Form MGT-8**, because the company's turnover is ₹50 crore or more. (b) No certification by a practising professional is ever required for a private company. (c) The annual return must be certified only by the statutory auditor. (d) Certification is required only if the company is listed.

MCQ 9. The requisition for an EGM by members holding one-tenth of the paid-up share capital carrying voting rights is: (a) Invalid, as only the Board can call an EGM. (b) **Valid** under Section 100 — members holding **not less than one-tenth of the paid-up share capital carrying voting rights** may requisition an EGM, and the Board must proceed within 21 days to call it, failing which the requisitionists may themselves call it within three months. (c) Valid only if the members hold one-fourth of the paid-up capital. (d) Invalid unless the requisition is signed by a majority of all members.

MCQ 10. On the poll for the resolution to alter the Articles (1,80,000 for; 70,000 against), the resolution: (a) Is **carried as a special resolution**, since the votes cast in favour (1,80,000) are **not less than three times** the votes cast against (70,000 × 3 = 2,10,000)... — (b) Is **not carried as a special resolution**, because for a special resolution the votes cast in favour must be **at least three times** the votes cast against, and 1,80,000 is **less than 2,10,000**. (c) Is carried as an ordinary resolution and that suffices to alter the Articles. (d) Is carried, as a simple majority is enough to alter the Articles.

Independent MCQs (MCQs 11–15)

MCQ 11. Under the **General Clauses Act, 1897**, where an act or proceeding is directed or allowed to be done within a prescribed period and the **last day of that period is a holiday** on which the office is closed, the act or proceeding shall be considered as done in due time if it is done: (a) On the day immediately preceding the holiday. (b) **On the next day afterwards on which the office is open** (Section 10). (c) Only on the exact last day, with no relaxation for holidays. (d) Within seven days after the holiday in every case.

MCQ 12. Under the **Foreign Exchange Management Act, 1999**, the penalty for contravention of any provision (where the amount is quantifiable) may extend to: (a) A fine of ₹10,000 only. (b) **Up to thrice the sum involved** in such contravention (or up to ₹2 lakh where the amount is not quantifiable), and where the contravention is continuing, a **further penalty up to ₹5,000 for every day** during which the contravention continues (Section 13). (c) Imprisonment up to seven years in all cases. (d) Only a warning for the first contravention.

MCQ 13. Under the **Limited Liability Partnership Act, 2008**, if at any time the number of partners of an LLP is **reduced below two** and the LLP **carries on business for more than six months** while the number is so reduced, then the person who is the **only partner** during that time and who knows this: (a) Faces no consequence, as an LLP always enjoys limited liability. (b) Is **personally liable** for the obligations of the LLP incurred during that period (beyond the six months). (c) Must immediately convert the LLP into a company. (d) Is liable only to a fine of ₹500 per day, with no personal liability for obligations.

MCQ 14. Under the **General Clauses Act, 1897**, where a Central Act confers a power to make any appointment, that power shall, unless a different intention appears, be construed as **including a power**, exercisable in the like manner and subject to the like conditions, to: (a) Only re-appoint the same person. (b) **Suspend or dismiss** any person appointed in the exercise of that power (Section 16). (c) Delegate the power permanently to any other authority. (d) Nothing beyond the making of the appointment.

MCQ 15. Under the rules of interpretation of statutes, the maxim **"expressio unius est exclusio alterius"** means: (a) General words following specific words take colour from the specific words. (b) **The express mention of one thing implies the exclusion of another** thing not mentioned. (c) A word is known by the company it keeps. (d) Every clause must be construed with reference to the context.

DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

Question No. 1 is compulsory. Answer any four questions from the remaining five questions (Q2 to Q6).

Question 1 (Compulsory) — 14 Marks

(a) Star Ltd., an unlisted public company with a paid-up share capital of **₹15 crore**, has as its statutory auditor **M/s ABC & Co.**, a firm of chartered accountants, which has just completed **two consecutive terms of five years each**. The Board wishes to re-appoint the same firm for a further term at the forthcoming AGM. Explaining the provisions relating to **rotation of auditors under Section 139(2)** of the Companies Act, 2013, advise: (i) Whether Star Ltd. falls within the class of companies to which mandatory rotation applies. (ii) Whether M/s ABC & Co. can be re-appointed, and the consequences of the cooling-off requirement (including on firms having a common partner). **(6 Marks)**

(b) Vardhan Ltd. has, as per its latest audited financial statements, a **paid-up share capital of ₹10 crore** and **free reserves of ₹8 crore**. Owing to inadequacy of profits in FY 2024–25, the Board proposes to declare a **dividend of ₹1.5 crore out of accumulated reserves**. The rates of dividend declared in the three immediately preceding financial years were **10%, 12% and 8%**. There is no loss to be set off in the current year. Examining Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014, determine whether the proposed dividend is permissible, and compute the **maximum dividend** the company may declare from reserves. **(5 Marks)**

(c) Explain the rule of **"harmonious construction"** in the interpretation of statutes, with a suitable illustration. **(3 Marks)**

Question 2 — 14 Marks

(a) Explaining the provisions of **Section 92** of the Companies Act, 2013, state: (i) The particulars that an **annual return** of a company must contain. (ii) By whom the annual return is required to be **signed**. (iii) The class of companies whose annual return must be **certified by a Company Secretary in practice in Form MGT-8**. **(5 Marks)**

(b) During the audit of **Crest Ltd.**, the statutory auditor has reason to believe that an offence of **fraud involving ₹3 crore** is being committed against the company by certain officers of the company. Explaining **Section 143(12)** of the Companies Act, 2013 and the relevant Rules, state: (i) To whom, and within what time, the auditor must report the fraud where the amount involved is **₹1 crore or more**. (ii) How the reporting requirement differs where the fraud involves an amount **less than ₹1 crore**. **(6 Marks)**

(c) Under the **General Clauses Act, 1897**, explain the meaning of the terms **"immovable property"** and **"movable property"**. **(3 Marks)**

Question 3 — 14 Marks

(a) The Board of Directors of **Falcon Ltd.** failed to act on a valid requisition for an **extraordinary general meeting (EGM)** made by the requisite members. Explaining the provisions of **Section 100** of the Companies Act, 2013, answer: (i) The shareholding threshold required to make a valid requisition for an EGM. (ii) The time within which the Board must proceed to call the EGM, and the meeting must be held. (iii) The right of the requisitionists where the Board fails to call the meeting, and the reimbursement of expenses. **(6 Marks)**

(b) The management of **Orion Ltd.** discovers that its financial statements for an earlier year were prepared in a manner that does not comply with the requirements of the Companies Act, 2013. Explaining **Sections 130 and 131** of the Companies Act, 2013, distinguish between the **re-opening of accounts on the order of a court/Tribunal** and the **voluntary revision** of financial statements or Board's report by the directors. **(5 Marks)**

(c) Under the **General Clauses Act, 1897**, explain the rule regarding the **meaning of service by post** (Section 27). **(3 Marks)**

Question 4 — 14 Marks

(a) Examine the **residential status** under the **Foreign Exchange Management Act, 1999** in the following independent situations, giving reasons: (i) **Mr. Kiran**, an Indian citizen who had been residing in India for several years, left India on **15th June 2024 to take up employment** in the United States. Determine his residential status for FY 2024–25. (ii) **Mr. Suresh**, a non-resident Indian, **returned to India on 10th May 2024** to take up employment with an Indian company. Determine his residential status for FY 2024–25. **(5 Marks)**

(b) The members of **Pinnacle Ltd.** wish to **remove its statutory auditor before the expiry of his term**. Explaining **Section 140** of the Companies Act, 2013, state: (i) The procedure for removal of an auditor before the expiry of his term. (ii) The procedure and time limit for an auditor's **resignation** and filing of the statement. (iii) The requirement of **special notice** for appointing an auditor other than a retiring auditor, or for providing that the retiring auditor shall not be re-appointed. **(6 Marks)**

(c) Explain the use of the **"Preamble"** as an internal aid to the interpretation of a statute. **(3 Marks)**

Question 5 — 14 Marks

(a) Explaining **Section 105** of the Companies Act, 2013 relating to **proxies**, answer the following: (i) Whether a proxy must be a member of the company, and the rights of a proxy at a general meeting. (ii) The time within which the instrument of proxy must be deposited with the company. (iii) The maximum number of members for whom, and the maximum shareholding for which, a single person may act as proxy. **(6 Marks)**

(b) Explaining **Section 138** of the Companies Act, 2013 read with the relevant Rules, state: (i) The classes of companies which are **required to appoint an internal auditor**. (ii) Who may be **appointed as an internal auditor**. **(5 Marks)**

(c) Explain the provisions of the **Limited Liability Partnership Act, 2008** relating to **"designated partners"** — their minimum number, eligibility and the residency requirement. **(3 Marks)**

Question 6 — 14 Marks

(a) State whether the following statements are **true or false**, giving reasons with reference to the Companies Act, 2013: (i) A company must file a copy of its financial statements, duly adopted at the AGM, with the Registrar within **thirty days** of the AGM. (ii) In a year of inadequate profits, a company may declare a dividend out of accumulated reserves **without first setting off the current year's loss**. (iii) The statutory auditor of a company may also render **internal audit services** to the same company. (iv) The auditor of a company is **entitled to attend** any general meeting of the company. (v) Minutes of a general meeting must be prepared and entered in the minutes book within **thirty days** of the conclusion of the meeting. **(6 Marks)**

OR

(a) Explain the constitution and the principal **functions of the National Financial Reporting Authority (NFRA)** under **Section 132** of the Companies Act, 2013. **(6 Marks)**

(b) Explaining **Section 125** of the Companies Act, 2013, state: (i) Any **four amounts** that are required to be credited to the **Investor Education and Protection Fund (IEPF)**. (ii) Whether a person whose unpaid dividend or matured deposit has been transferred to the IEPF can **claim a refund**, and how. **(5 Marks)**

(c) Explain the maxim **"reddendo singula singulis"** in the interpretation of statutes, with an example. **(3 Marks)**

ANSWER KEY & MODEL SOLUTIONS

DIVISION A — MCQ ANSWER KEY (with reasons)

MCQ	Answer	One-line reason
1	**(b)**	Section 139(2): an audit firm can hold office for a maximum of two consecutive terms of five years; thereafter it is subject to a **five-year cooling-off**. An unlisted public company with paid-up capital ≥ ₹10 crore is a prescribed class (Rule 5) for rotation.
2	**(b)**	Section 138 read with Rule 13: an unlisted public company with **turnover ≥ ₹200 crore** (here ₹250 crore) in the preceding FY must appoint an internal auditor.
3	**(b)**	Proviso to Section 128(1): books may be kept at another place in India as the Board decides, but a **notice in writing with the full address must be filed with the Registrar within 7 days**.
4	**(b)**	Section 123(1): no dividend shall be declared/paid unless **depreciation is provided in accordance with Schedule II**.
5	**(b)**	Section 143(12) read with Rule 13: where fraud is **below ₹1 crore**, the auditor reports to the **Audit Committee/Board within 2 days** (not to the Central Government), and it is disclosed in the Board's report.
6	**(b)**	Section 103: for a **private company**, the quorum is **two members personally present**, irrespective of the number of members.
7	**(b)**	Section 105: a proxy **need not be a member**; a proxy cannot speak and **can vote only on a poll**, not on a show of hands; the proxy instrument must be deposited **48 hours** before the meeting.
8	**(a)**	Section 92 read with Rule 11: annual return of a company with **turnover ≥ ₹50 crore** (or paid-up ≥ ₹10 crore) must be certified by a **PCS in Form MGT-8**.
9	**(b)**	Section 100: members holding **≥ one-tenth of paid-up share capital carrying voting rights** may requisition an EGM; if the Board does not proceed within 21 days (meeting within 45 days), requisitionists may call it within 3 months.
10	**(b)**	Section 114(2): a special resolution requires votes **in favour to be not less than three times** the votes against. 3 × 70,000 = 2,10,000 > 1,80,000, so it is **not** carried as a special resolution.
11	**(b)**	Section 10, General Clauses Act, 1897: if the last day is a holiday/closed day, the act done on the **next day the office is open** is in due time.
12	**(b)**	Section 13, FEMA, 1999: penalty **up to thrice the sum involved** (or up to ₹2 lakh if not quantifiable), plus **₹5,000 per day** for continuing contravention.
13	**(b)**	Section 6(2), LLP Act, 2008: if partners fall below two and business is carried on for **more than six months**, the sole partner (with knowledge) is **personally liable** for the obligations of the LLP incurred in that period.
14	**(b)**	Section 16, General Clauses Act, 1897: the power to appoint includes, unless a contrary intention appears, the power to **suspend or dismiss**.
15	**(b)**	*Expressio unius est exclusio alterius* — the **express mention of one thing excludes** others not mentioned.

DIVISION B — MODEL SOLUTIONS

Answer 1(a) — Rotation of auditors (Section 139(2))

Provisions: Section 139(2), read with Rule 5 of the Companies (Audit and Auditors) Rules, 2014, provides for **mandatory rotation of auditors** in the case of: - all **listed companies**; - all **unlisted public companies** having paid-up share capital of **₹10 crore or more**; - all **private companies** having paid-up share capital of **₹50 crore or more**; and - all companies having **public borrowings** from financial institutions, banks or public deposits of **₹50 crore or more**.

(One Person Companies and small companies are excluded.)

For such companies: - an **individual** auditor cannot be appointed for **more than one term of five consecutive years**; and - an **audit firm** cannot be appointed for **more than two terms of five consecutive years**.

After completing the maximum term, the auditor/firm is **not eligible for re-appointment in the same company for five years** (cooling-off period). Further, under Rule 6, during the cooling-off period **no audit firm having a common partner(s)** with the outgoing firm (to whom the common partner has been associated) can be appointed as auditor of the same company.

Application and advice: (i) Star Ltd. is an **unlisted public company with paid-up capital of ₹15 crore (≥ ₹10 crore)** — hence it **falls within the class** for which rotation is mandatory. **(ii)** M/s ABC & Co., being a firm that has already completed **two consecutive terms of five years each (10 years)**, has exhausted the maximum permissible term. It therefore **cannot be re-appointed** at the ensuing AGM and must observe a **five-year cooling-off**. In addition, any other firm sharing a **common partner** with M/s ABC & Co. is also disqualified for that period. Star Ltd. must appoint a **different (incoming) auditor**.

Answer 1(b) — Dividend out of reserves in a year of inadequate profits (Rule 3)

Provisions: Where a company proposes to declare dividend out of **accumulated profits (reserves)** in a year of absence/inadequacy of profits, Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014 imposes the following conditions: 1. The **rate of dividend** declared shall **not exceed the average of the rates** at which dividend was declared in the **three immediately preceding financial years**. 2. The **total amount drawn** from accumulated profits shall **not exceed one-tenth (1/10) of the sum of paid-up share capital and free reserves** as per the latest audited financial statement. 3. The amount so drawn shall **first be used to set off losses** of the current financial year before declaring any equity dividend. 4. The **balance of reserves** after such withdrawal shall **not fall below 15% of the paid-up share capital** as per the latest audited financial statement.

Computation for Vardhan Ltd.:

Test	Working	Result
Average rate of last 3 years	(10% + 12% + 8%) ÷ 3	**10%**
Max dividend by **rate** (Condition 1)	10% × ₹10 crore (paid-up)	**₹1.00 crore**
Max **amount** drawable (Condition 2)	1/10 × (₹10 cr + ₹8 cr) = 1/10 × ₹18 cr	₹1.80 crore
Reserves balance test (Condition 4)	Reserves after draw must not fall below 15% × ₹10 cr = **₹1.5 crore**	₹8 cr − ₹1 cr = ₹7 cr (OK)

Reconciliation of the proposal: The proposed dividend of **₹1.5 crore** would require a rate of **15%** on paid-up capital of ₹10 crore, which **exceeds the average rate of 10%** permitted by Condition 1. Although Condition 2 (₹1.80 crore) and Condition 4 (₹7 crore > ₹1.5 crore) would be satisfied, the **rate cap is breached**.

Conclusion: The proposed dividend of ₹1.5 crore is **not permissible**. The **maximum dividend** Vardhan Ltd. may declare out of reserves is limited by the 10% rate cap, i.e., **₹1 crore** (which is also within the ₹1.8 crore amount ceiling and keeps reserves above ₹1.5 crore).

Answer 1(c) — Rule of Harmonious Construction

Meaning: When there are, in a statute, **two or more provisions which appear to conflict** with each other, they should be interpreted, so far as possible, so as to **give effect to both** and to avoid a construction that renders any provision **redundant or otiose**. The court must read the statute as a whole and reconcile the apparently conflicting provisions, harmonising them. A construction that reduces one provision to a "dead letter" is not harmonious and should be avoided; only where reconciliation is genuinely impossible does one provision yield to the other.

Illustration: The apparent conflict between the **Fundamental Rights** and the **Directive Principles of State Policy** in the Constitution is resolved by harmonious construction, giving effect to both as far as possible rather than treating one as overriding the other. Similarly, within a company statute, a general provision and a special provision on the same subject are read harmoniously, the special provision governing the specific situation while the general provision governs the rest.

Answer 2(a) — Annual Return (Section 92)

(i) Contents of the annual return: Every company shall prepare an annual return in the prescribed form containing the particulars **as they stood on the close of the financial year**, regarding, inter alia: - its **registered office, principal business activities, particulars of holding, subsidiary and associate companies**; - its **shares, debentures and other securities** and shareholding pattern; - its **members and debenture-holders** together with changes since the close of the previous financial year; - its **promoters, directors, key managerial personnel** together with changes therein; - **meetings** of members/class of members, Board and its committees, along with attendance details; - **remuneration** of directors and key managerial personnel; - **penalties/punishments** imposed on the company, its directors or officers and details of compounding of offences; - matters relating to **certification of compliances, disclosures**; and such other prescribed matters.

(ii) Signing: The annual return shall be **signed by a director and the company secretary**, or where there is no company secretary, **by a company secretary in practice**. (In relation to an **One Person Company, small company and prescribed class of companies**, the annual return shall be signed by the **company secretary, or where there is no company secretary, by the director** of the company.)

(iii) Certification in Form MGT-8: The annual return of **(a) every listed company**, or **(b) every company having paid-up share capital of ₹10 crore or more or turnover of ₹50 crore or more**, shall be **certified by a company secretary in practice** in **Form MGT-8**, stating that the annual return discloses the facts correctly and that the company has complied with the provisions of the Act.

Answer 2(b) — Reporting of fraud by the auditor (Section 143(12))

(i) Fraud of ₹1 crore or more (here ₹3 crore) — report to the Central Government: Under Section 143(12) read with Rule 13, if the auditor, in the course of performance of his duties, has reason to believe that an **offence of fraud involving an amount of ₹1 crore or more** is being or has been committed against the company by its **officers or employees**, he shall **report the matter to the Central Government** in the following manner: - The auditor shall **forward his report to the Board or the Audit Committee** (as applicable) **within two days** of his knowledge of the fraud, seeking their reply/observations **within forty-five days**; - On receipt of the reply, the auditor shall **forward his report, the reply/observations of the Board/Audit Committee, and his own comments, to the Central Government within fifteen days** of receipt of such reply; - If the auditor **does not receive any reply within forty-five days**, he shall forward his report to the Central Government **within fifteen days** of the expiry of the said 45 days, along with a note that no reply was received; - The report is to be sent to the **Secretary, Ministry of Corporate Affairs**, in **Form ADT-4** (by registered post/speed post followed by e-mail).

Since the fraud at Crest Ltd. involves **₹3 crore (≥ ₹1 crore)**, the above **reporting to the Central Government** is required.

(ii) Fraud below ₹1 crore: Where the fraud involves an amount **less than ₹1 crore**, the auditor is **not required to report to the Central Government**. Instead, he shall **report the matter to the Audit Committee (or the Board where there is no Audit Committee) within two days** of his knowledge, specifying the **nature of fraud, the amount involved and the parties involved**. Such frauds are also required to be **disclosed in the Board's report** in the prescribed manner.

Answer 2(c) — "Immovable property" and "movable property" (General Clauses Act, 1897)

Immovable property [Section 3(26)]: "Immovable property" shall **include land, benefits to arise out of land, and things attached to the earth, or permanently fastened to anything attached to the earth**. (For example, land, a building, and a right to collect rent or to catch fish in a lake — being benefits arising out of land — are immovable property.)

Movable property [Section 3(36)]: "Movable property" shall mean **property of every description, except immovable property**. Thus, it is defined residually — everything that is not immovable property is movable property (e.g., goods, shares, standing timber cut and severed, money).

Answer 3(a) — Calling of an EGM on requisition (Section 100)

(i) Threshold for a valid requisition: The Board of Directors may call an EGM whenever it deems fit. Further, the Board **shall call** an EGM on the requisition of: - in the case of a **company having a share capital**, members holding, on the date of receipt of the requisition, **not less than one-tenth (1/10) of the paid-up share capital** of the company that carries the right of voting; or - in the case of a **company not having a share capital**, members holding **not less than one-tenth of the total voting power**.

The requisition must **set out the matters** for consideration and be **signed by the requisitionists** and sent to the registered office.

(ii) Time limits: On receipt of a valid requisition, the Board must **within twenty-one (21) days proceed to call** an EGM, and the meeting must be **held within forty-five (45) days** from the date of receipt of the requisition.

(iii) Right of requisitionists on Board's failure: If the Board **does not** proceed within 21 days to call a meeting to be held within 45 days, the **requisitionists themselves may call and hold** the meeting **within a period of three months** from the date of the requisition. Any **reasonable expenses** incurred by the requisitionists in calling such a meeting shall be **reimbursed by the company**, and recovered by the company from the fees/remuneration payable to the defaulting directors.

Application: Since the Board of Falcon Ltd. failed to act on a valid requisition, the requisitionists may call and hold the EGM themselves within three months of the requisition and claim reimbursement of reasonable expenses from the company.

Answer 3(b) — Re-opening vs voluntary revision of accounts (Sections 130 & 131)

Basis	Re-opening of accounts (Section 130)	Voluntary revision (Section 131)
Nature	**Compulsory** re-opening and recasting, **only on an order** of a **court of competent jurisdiction or the Tribunal**.	**Voluntary** revision by the **directors** of the company.
Who initiates	Application by the **Central Government, Income-tax authorities, SEBI, any other statutory regulatory body or authority, or any person concerned**.	The **Board of Directors** on its own, after obtaining **Tribunal's approval**.
Grounds	Where accounts were prepared in a **fraudulent manner**, or the **affairs of the company were mismanaged** during the relevant period casting a **doubt on the reliability** of the financial statements.	Where the **financial statements or the Board's report do not comply** with Section 129 or Section 134.
What can be revised	Re-opening/recasting of the books of account and financial statements.	Financial statements of any of the **three preceding financial years**, or the Board's report, **to the extent of non-compliance** only.
Limits	Accounts shall **not be re-opened beyond eight financial years** immediately preceding the current year, unless a longer period is directed by the Central Government under Section 128(5).	Revision **not more than once in a financial year**; the detailed reasons are to be disclosed as prescribed. Revised only to correct the non-compliance.
Effect	The revised/re-cast accounts prepared pursuant to the order are **final**.	Prior **Tribunal approval** is mandatory before revision.

Application: If the deficiency in Orion Ltd.'s earlier financial statements is one of **non-compliance with Section 129/134**, the directors may seek **voluntary revision under Section 131** (with Tribunal approval, for any of the three preceding financial years). Compulsory re-opening under Section 130 arises only on a **court/Tribunal order** in cases of fraud or mismanagement.

Answer 3(c) — Meaning of service by post (Section 27, General Clauses Act, 1897)

Provision: Where any Central Act or Regulation requires or authorises a document to be **served by post** (whether the expression "serve", "give" or "send" is used), then, **unless a different intention appears**, the service shall be deemed to be effected by: - **properly addressing** the document, - **pre-paying** it, and - **posting it by registered post**.

Service is deemed to have been **effected at the time at which the letter would be delivered in the ordinary course of post**, unless the **contrary is proved**. Thus, the section raises a **rebuttable presumption** of due service once the sender proves proper addressing, pre-payment and posting by registered post; the burden then shifts to the addressee to prove non-delivery.

Answer 4(a) — Residential status under FEMA, 1999

Provision: Under **Section 2(v)** of FEMA, 1999, a **"person resident in India"** means a person residing in India for **more than 182 days during the course of the preceding financial year**, but **does not include**: - **(A)** a person who has **gone out of India** or who stays outside India, for or on taking up **employment,**

business or vocation outside India, or for **any other purpose** in such circumstances as would indicate his intention to stay outside India for an **uncertain period**; and - **(B)** a person who has come to or stays in India, **otherwise than** for or on taking up employment, business or vocation, or in circumstances indicating an intention to stay for an uncertain period.

The crucial point is that the **purpose and intention** of stay can override the mere day-count.

(i) Mr. Kiran (left India on 15 June 2024 for employment abroad): Although Mr. Kiran satisfied the 182-day test in the preceding financial year, he has **gone out of India for taking up employment** outside India. By virtue of the exclusion in clause **(A)**, he ceases to be a person resident in India **from the date of his departure**. Therefore, for **FY 2024–25**, Mr. Kiran is a **person resident outside India (non-resident)**.

(ii) Mr. Suresh (NRI, returned to India on 10 May 2024 for employment): Mr. Suresh has **come to India for taking up employment**. Since he has come to India for the purpose of employment (i.e., not falling within the exclusion in clause (B)), he is treated as a **person resident in India from the date of his arrival**. Therefore, for **FY 2024–25**, Mr. Suresh is a **person resident in India**.

Answer 4(b) — Removal, resignation and special notice for auditors (Section 140)

(i) Removal of an auditor before expiry of term [Section 140(1)]: The auditor appointed under Section 139 may be **removed from office before the expiry of his term** only by a **special resolution** of the company, after obtaining the **previous approval of the Central Government** (power delegated to the Regional Director) by an application in **Form ADT-2** within thirty days of the Board resolution. Before passing the special resolution, the auditor concerned must be given a **reasonable opportunity of being heard**. (Thus the sequence is: Board resolution → application to CG within 30 days → special resolution within 60 days of CG approval → opportunity of hearing.)

(ii) Resignation of an auditor [Section 140(2) & (3)]: An auditor who has **resigned** from the company shall **file a statement** in the prescribed form (**Form ADT-3**) with the **company and the Registrar within thirty days** of the resignation, indicating the reasons and other relevant facts. In the case of a **Government company** (or a company where the CAG appoints the auditor), the statement is also filed with the **Comptroller and Auditor-General of India**. Failure to file attracts a penalty on the auditor.

(iii) Special notice [Section 140(4)]: A **special notice** shall be required for a resolution at an annual general meeting **appointing as auditor a person other than a retiring auditor**, or **providing expressly that the retiring auditor shall not be re-appointed** (except where the retiring auditor has completed a consecutive tenure of five/ten years under Section 139(2)). On receipt of such special notice, the company shall **forthwith send a copy to the retiring auditor**, who is entitled to **make a representation in writing** and require it to be **notified to the members**; if received in time, the representation may be sent to members or, failing that, read out at the meeting.

Answer 4(c) — Preamble as an internal aid to interpretation

Meaning and use: The **Preamble** of a statute is a **preliminary statement of the reasons, purpose and policy** which has led to the enactment of the statute; it embodies the **object and intention of the legislature**. It is regarded as a **key to open the mind of the makers** of the Act. As an **internal aid** to construction: - Where the **words of the enacting part are clear and unambiguous**, the preamble **cannot control, restrict or extend** their plain meaning. - However, where the **language is ambiguous** or capable of more than one meaning, the preamble may be **legitimately resorted to** in order to ascertain the true intention and to resolve the ambiguity, so as to give a construction consistent with the object of the Act.

Thus, the preamble helps in interpretation but does **not override the clear operative provisions** of the statute.

Answer 5(a) — Proxies (Section 105)

(i) Whether a proxy must be a member; and his rights: A member entitled to attend and vote at a meeting is entitled to **appoint another person as a proxy** to attend and vote on his behalf. **The proxy need not be a member** of the company. However, a proxy: - has **no right to speak** at the meeting; and - **cannot vote except on a poll** (i.e., a proxy **cannot vote on a show of hands**).

(Further, unless the Articles otherwise provide, a member of a company **not having a share capital** is not entitled to appoint a proxy; and in a **Section 8 company**, only a member can be appointed as a proxy.)

(ii) Deposit of the proxy instrument: The instrument appointing a proxy must be **deposited with the company at least forty-eight (48) hours before the time of the meeting**. (Any provision in the Articles requiring a longer period than 48 hours is void to that extent.)

(iii) Maximum number of members / shareholding: A person **cannot act as proxy on behalf of more than fifty (50) members** and holding in the aggregate **not more than ten per cent (10%) of the total share capital** of the company carrying voting rights. However, a **single member holding more than 10%** of the total voting share capital may appoint a **single person as proxy**, and that person **shall not act as proxy for any other person or shareholder**.

Answer 5(b) — Internal audit (Section 138)

(i) Companies required to appoint an internal auditor: Under Section 138 read with Rule 13 of the Companies (Accounts) Rules, 2014, the following classes of companies are required to appoint an internal auditor: - **Every listed company**; - **Every unlisted public company** having, during the preceding financial year: - **paid-up share capital of ₹50 crore or more**; or - **turnover of ₹200 crore or more**; or - **outstanding loans or borrowings from banks or public financial institutions exceeding ₹100 crore** at any point of time; or - **outstanding deposits of ₹25 crore or more** at any point of time; - **Every private company** having, during the preceding financial year: - **turnover of ₹200 crore or more**; or - **outstanding loans or borrowings from banks or public financial institutions exceeding ₹100 crore** at any point of time.

(ii) Who may be appointed: The internal auditor may be **a chartered accountant or a cost accountant, or such other professional** as may be decided by the Board. The internal auditor **may or may not be an employee** of the company. (A chartered accountant so appointed may be an individual practising or a firm; he need not necessarily be in practice.) The **Audit Committee/Board**, in consultation with the internal auditor, formulates the scope, functioning, periodicity and methodology of the internal audit.

Answer 5(c) — Designated partners under the LLP Act, 2008

Provisions: Under **Sections 7 of the Limited Liability Partnership Act, 2008**: - Every LLP shall have **at least two designated partners** who are **individuals**, and **at least one of them shall be a resident in India**. - If one or more partners are bodies corporate, the LLP must have as designated partners at least two individuals (a body corporate partner may **nominate an individual** to act as a designated partner). - **"Resident in India"** for this purpose means a person who has **stayed in India for a period of not less than 120 days during the financial year**. - Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** and give prior consent to act.

Designated partners are **responsible for compliance** with the provisions of the LLP Act (including filing of documents, returns and statements) and are **liable to penalties** for contraventions.

Answer 6(a) [Main] — True/False with reasons

(i) "A company must file its adopted financial statements with the Registrar within thirty days of the AGM." — **TRUE.** Under **Section 137**, a copy of the financial statements duly adopted at the AGM shall be **filed with the Registrar within thirty days** of the date of the AGM (in the prescribed form, with prescribed fees). (Where accounts are not adopted, or the AGM is not held, special timelines apply.)

(ii) "In a year of inadequate profits, a company may declare dividend out of reserves without setting off the current year's loss." — **FALSE.** Under **Rule 3** of the Companies (Declaration and Payment of Dividend) Rules, 2014, the amount drawn from accumulated profits shall **first be used to set off the losses** incurred in the financial year in which the dividend is declared, before declaring any dividend on equity shares.

(iii) "The statutory auditor may also render internal audit services to the same company." — **FALSE.** Under **Section 144**, an auditor shall **not provide certain non-audit services** to the company (or its holding/subsidiary), including **internal audit** and services such as accounting/book-keeping, actuarial, investment advisory, management services, etc.

(iv) "The auditor of a company is entitled to attend any general meeting." — **TRUE.** Under **Section 146**, the auditor is **entitled to attend** any general meeting (himself or through an authorised representative qualified to be an auditor), to receive notices and communications relating to the meeting, and to be **heard** on any part of the business that concerns him as auditor — unless otherwise exempted by the company.

(v) "Minutes of a general meeting must be prepared and entered in the minutes book within thirty days of the meeting." — **TRUE.** Under **Section 118**, every company shall **prepare, sign and keep** minutes of every general meeting (and Board/committee meeting) within **thirty days** of the conclusion of the meeting.

Answer 6(a) [OR] — National Financial Reporting Authority (Section 132)

Constitution: Under **Section 132**, the Central Government may constitute the **National Financial Reporting Authority (NFRA)** to provide for matters relating to **accounting and auditing standards** and oversight of the auditing profession. NFRA consists of a **chairperson** (a person of eminence with expertise in accountancy, auditing, finance or law) appointed by the Central Government, and **such other members (not exceeding fifteen)** as prescribed, including part-time and full-time members. Members must make a declaration regarding **no conflict of interest** and are subject to restrictions on future association with audit firms.

Principal functions: NFRA shall: - **Make recommendations** to the Central Government on the **formulation of accounting standards and auditing standards** for adoption by companies or their auditors; - **Monitor and enforce compliance** with accounting standards and auditing standards; - **Oversee the quality of service** of the professions associated with ensuring compliance with such standards, and **suggest measures**

for improvement in the quality of service; - Perform such **other functions** relating to the above as may be prescribed.

Powers (over prescribed class of companies/auditors): NFRA has the power to: - **Investigate**, either suo motu or on a reference by the Central Government, into matters of **professional or other misconduct** committed by a prescribed class of chartered accountants/firms (and, once NFRA initiates such an investigation, **no other institute or body can initiate or continue** proceedings in the same matter); - Exercise the **powers of a civil court** (summoning, discovery, inspection of books/documents, etc.); - Where professional misconduct is proved, **impose penalty** and **debar** the member/firm from practice for a period of **six months up to ten years**, as prescribed.

An appeal against NFRA orders lies to the **Appellate Tribunal**.

Answer 6(b) — Investor Education and Protection Fund (Section 125)

(i) Amounts credited to the IEPF (any four): The following amounts, inter alia, are credited to the Fund: - The amounts lying in the **Unpaid Dividend Account** of companies that have remained **unpaid or unclaimed for seven years** from the date they became due for payment; - The **application money received by companies for allotment of any securities and due for refund**, remaining unclaimed; - **Matured deposits** with companies (other than banking companies) remaining unclaimed; - **Matured debentures** with companies, and the **interest** accrued on the above amounts, remaining unclaimed; - **Redemption amount of preference shares** remaining unpaid or unclaimed for seven years; - **Sale proceeds of fractional shares** arising out of bonus issue/merger/amalgamation for seven or more years; - **Grants and donations** given by the Central Government, State Governments, companies or any other institution; and the **income/interest** received on investments made from the Fund.

(ii) Claim of refund: Yes. Any person whose **unpaid dividend, matured deposit/debenture, application money due for refund, or shares** have been transferred to the IEPF **may claim a refund** from the **IEPF Authority**. The claimant is required to make an **application in Form IEPF-5** (electronically) to the Authority, along with the prescribed documents. The Authority, after verification (and the company's verification report), orders the **refund of the amount / transfer of the shares back** to the claimant. Thus, transfer to the IEPF does **not extinguish** the rightful owner's entitlement.

Answer 6(c) — Reddendo singula singulis

Meaning: The maxim *reddendo singula singulis* means **"rendering each to each"** — i.e., referring **each phrase or expression to its appropriate object**. Where a sentence contains **several antecedents and several consequents**, they are to be **read distributively**, applying each consequent to its respective antecedent (rather than applying all consequents to all antecedents). The words are matched to the subjects to which they most naturally and sensibly relate.

Example: In a provision such as "*I devise and bequeath all my real and personal property to X*", the word **"devise"** (apt for real property) is applied to the **real property**, and the word **"bequeath"** (apt for personal property) is applied to the **personal property** — each verb being rendered to its appropriate kind of property. Similarly, in the constitutional phrase that a person may make a declaration/oath "*before entering upon his office*" referring both to a member and to the office, each expression is read with the subject it fits.

End of Mock Test 4 — Corporate and Other Laws.

Corporate & Other Laws — Amendment & Caveat Checklist

> **Read this before you trust a single number or "as amended" clause in these notes.**
>
> These notes are built to teach you the **structure and the logic** — *why* a provision exists, *how* the pieces fit, *what* the section is trying to achieve. That skeleton is stable. The **exact current text, limits, thresholds, and freshly-notified sections are not**, and they must be confirmed against ICAI material for **your specific attempt**.
>
> **The single rule:** For every attempt, download and read the **ICAI Study Material for the applicable edition** *plus* the **RTP (Revision Test Paper) "Statutory / Legislative Updates" section** for that exam. The RTP update section is ICAI telling you, in writing, exactly what changed and what is examinable. If a number in these notes disagrees with the RTP update, the **RTP wins**.

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0. How to use this checklist

1. Find your exam sitting (e.g., May 2026 / Sept 2026 / Jan 2026 group).
2. Note the **cut-off date** ICAI announces — amendments/notifications *up to a specified date* are examinable; anything after is not. This date is printed in the RTP/MTP and study guidelines. **Verify it.**
3. Go through the items below. For each, confirm the current position from the named ICAI source before you memorise anything numeric.
4. Anything marked **HIGH churn** = assume it has changed until you have verified it. Anything marked **stable** = concept rarely moves, but still check any embedded number.

A quick honesty note on scope

This is the **Corporate & Other Laws** paper (CA Intermediate). Its content is **mostly conceptual/procedural**, so it is **lower churn than Taxation**. But "lower" is not "zero" — the Companies Act, 2013 is amended and notified almost every year, and the "Other Laws" component carries rate/limit-based items (FEMA, the schedules, penalty amounts).

For calibration, the parenthetical below shows where the *real* churn lives in the CA scheme, so you set the right level of paranoia per paper.

Churn map across the CA scheme (calibration only)

Paper / Area	Churn	Why
Taxation (Income-tax + GST)	**VERY HIGH**	Re-legislated every year via the Finance Act + constant CBDT/CBIC notifications
Corporate & Other Laws	**MEDIUM**	Companies Act amendments + fresh notifications each year; some rate/limit items
Advanced Accounting / Cost	Low–Medium	Standards (AS) revisions, threshold-based disclosures
Auditing	Low–Medium	Revised SAs, CARO/Companies Act cross-links

> These notes do **not** teach Taxation numbers. If any tax figure appears in an example here it is **illustrative only** and must not be relied on. The Taxation high-churn items are listed in Section 3 purely so you know what to re-confirm in *that* paper.

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1. Corporate & Other Laws — items to verify EVERY attempt

1.1 Companies Act, 2013 — amendments & fresh notifications — **HIGH within this paper**

- **What it is:** Changes to sections via amendment Acts (e.g., Companies (Amendment) Acts), plus **newly notified sections/rules** that were dormant and have now come into force, plus amendments to the **Rules** (Incorporation, Share Capital & Debentures, Meetings/Management & Administration, Deposits, etc.).
- **Why it changes:** MCA continually notifies sections and revises rules; decriminalisation drives, e-filing/MCA-21 changes, and CSR/deposit tweaks are frequent. A section you learned as "not yet notified" may now be live — and therefore examinable.
- **Where to confirm:**
- **ICAI Study Material** (applicable edition) — base text.
- **RTP → "Legislative / Statutory Updates"** — the definitive list of what is added or removed for *your* attempt.
- Cross-check the **MCA notifications** only if the RTP references something you can't locate.

1.2 Numeric thresholds & limits inside Company Law — **HIGH (verify each number)**

Concept is stable; the **number attached to it** is the thing that moves or that students misremember. Confirm the current figure for at least:

- **Small company** definition — paid-up capital and turnover ceilings.
- **One Person Company (OPC)** — any conversion thresholds/relaxations.
- **CSR applicability** — net worth / turnover / net profit triggers, the **2%** spend basis, and set-off/carry-forward rules.

- **Acceptance of Deposits** — limits for private vs public companies, and the DRR / liquid-asset percentages.
- **Loans/investments (Sec 186)** and **related party (Sec 188)** monetary thresholds.
- **Managerial remuneration (Sec 197)** and **Schedule V** limits.
- **Auditor** — ceiling on number of audits, rotation tenure.
- **Meetings/quorum** — any figure-based rule (e.g., listed-company specifics).
- **Filing fees & additional fees / penalty amounts** where the syllabus expects the number.
- **Where to confirm:** ICAI SM for the concept; **RTP statutory update** for the current figure. If it's a number, do not trust memory or an old edition.

1.3 Other Laws component

- **General Clauses Act, 1897 — stable.** Interpretation rules and definitions rarely move. Learn the logic; low verification burden.
- **Interpretation of Statutes — stable.** Rules of construction are doctrinal. Watch only for any newly added case-law illustration in the SM.
- **Foreign Exchange Management Act (FEMA), 1999 — MEDIUM, rate/limit-based.**
- *What/why:* The **framework** (current vs capital account, authorised persons, contraventions) is stable, but **monetary limits, LRS (Liberalised Remittance Scheme) ceilings, and permissible/prohibited transaction lists** are notification-driven and move.
- *Where to confirm:* ICAI SM + **RTP update**; treat every FEMA limit as a "verify" item.

1.4 Case law & illustrations — **verify freshness**

- **What/why:** ICAI adds or swaps **judicial illustrations** and worked examples between editions. An answer keyed to an old illustration can cost marks if the SM now frames it differently.
- **Where to confirm:** current-edition **ICAI Study Material** and **RTP/MTP** suggested answers.

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2. The confirmation checklist (tick before the exam)

- ☐ Downloaded the **ICAI Study Material** for the *exact applicable edition*.
- ☐ Read the **RTP "Statutory/Legislative Updates"** for my attempt end-to-end.
- ☐ Noted the **amendment cut-off date** for examinable law.
- ☐ Verified every **Company Law threshold** in Section 1.2 against current material.
- ☐ Checked which previously-**unnotified sections are now in force**.
- ☐ Confirmed **FEMA limits / LRS** figures.
- ☐ Skimmed the latest **MTP** to see how ICAI is currently framing answers.
- ☐ Where a number in these notes conflicts with ICAI, **ICAI wins** — I've corrected my note.

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3. Taxation high-churn reference (for the Taxation paper — NOT examinable here)

Listed only so you carry the right paranoia into the **Taxation** paper. Every one of these is re-set annually by the **Finance Act** and by CBDT/CBIC notifications, and **must** be confirmed from the ICAI Taxation SM + that paper's RTP statutory update for the **applicable Assessment Year / FY**:

- **Income-tax slab rates** — old vs **new (default) regime**, per AY.
- **Surcharge** rates and slabs; **marginal relief**.
- **Rebate u/s 87A** — eligibility income limit and rebate cap (differs by regime).
- **Standard deduction** and **deduction limits** (80C, 80D, 80CCD, etc.) and which survive under the new regime.
- **TDS / TCS** — section-wise **rates and threshold limits**.
- **Depreciation** rates; **presumptive** turnover limits (44AD/44ADA/44AE).
- **GST** — rate schedules, **registration threshold**, composition limits, ITC/RCM changes.
- **Latest Finance Act** amendments **and** GST Council / notification changes up to ICAI's cut-off.

> Confirm all of the above from **ICAI Taxation Study Material + RTP (statutory update) for the applicable AY/FY**. Do not carry any Taxation number from these Law notes.

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4. Bottom line

- These notes give you the **map and the reasoning**. That is the durable part.
- **Numbers, thresholds, newly-notified sections, and "as amended" text are perishable.** Confirm them, per attempt, from **ICAI Study Material + the RTP statutory update** for your exam.
- When in doubt, the **RTP legislative-update section for your sitting is the final authority.** If this document and ICAI disagree, follow ICAI.

Corporate & Other Laws — Accuracy Review: Corrections & Caveats

Scope of this review. This is a *spot-review*, not an exhaustive audit. I read six of the most error-prone chapters end-to-end (the ones dense with section numbers, thresholds, formulas and computations):

- Ch 04 — Share Capital & Debentures
- Ch 05 — Acceptance of Deposits
- Ch 08 — Declaration & Payment of Dividend
- Ch 10 — Audit & Auditors
- Ch 11 — LLP Act 2008
- Ch 14 — FEMA 1999

I checked section/SA numbers, thresholds, monetary limits, time-limits, formulas, and the worked scenarios. Chapters 01–03, 06, 07, 09, 12, 13 and the cheatsheet were **not** reviewed — treat them as unverified.

Bottom line: the material is unusually accurate and, helpfully, it self-flags most amendment-sensitive figures with "confirm in ICAI material." I found **two concrete technical errors** and **one minor imprecision**, listed below. Everything else I checked was correct.

Confirmed / likely errors

1. Ch 04 (Share Capital) → Sweat Equity, Section 54 — the "one year after commencement" condition

- **Claim as written (§4.6 and Quick-Revision):** Sweat equity shares may be issued "*Not before one year from the date the company was entitled to commence business*" (repeated in the revision sheet as "not before 1 yr of commencement").
- **Correct position:** That condition was the old **Section 54(1)(c)**, which was **omitted by the Companies (Amendment) Act, 2017 (w.e.f. 7 May 2018)**. Under current law there is **no one-year waiting period** — a company (notably a start-up) can issue sweat equity from the outset. The surviving conditions are: special resolution; the resolution specifying number, current market price, consideration and class of directors/employees; and compliance with SEBI regs (if listed) / the SCD Rules (if unlisted).
- **Confidence:** High. This is a well-known post-2017 change; ICAI current material reflects the omission. A question set on current law that rewards "no one-year requirement" would mark the chapter's statement wrong.

2. Ch 10 (Audit) → Section 147(2) auditor penalty — remuneration multiplier in the *wilful* case

- **Claim as written (§4.7):** For a wilful contravention with intent to deceive: "*imprisonment up to 1 year + fine ₹50,000 (or 4× remuneration) up to ₹25,00,000.*"
- **Correct position:** In the **aggravated (wilful/intent-to-deceive)** limb of Section 147(2), the fine is "not less than ₹50,000 but which may extend to ₹25 lakh **or eight times the remuneration of the auditor, whichever is less.**" The multiplier is **8×**, not 4×. The **4× multiplier belongs only to the ordinary (non-**

wilful) limb (fine ₹25,000–₹5,00,000 or 4× remuneration, whichever is less) — which the chapter states correctly just above. The error is applying "4×" to the wilful case.

- **Confidence:** High. The imprisonment term, the ₹50,000–₹25,00,000 band and the "whichever is less" mechanic are all correct; only the multiple is wrong.

Minor imprecision (flag, low materiality)

3. Ch 05 (Deposits) → Section 76A officer punishment — "and/or"

- **Claim as written (§4.6):** Officer in default punishable with "*imprisonment up to 7 years and/or fine of not less than Rs. 25 lakh up to Rs. 2 crore.*"
- **Correct position:** Post the 2017 amendment, Section 76A reads imprisonment up to 7 years **and** with fine ₹25 lakh–₹2 crore — i.e. **both**, not "either/or." (The "or/both" phrasing was the pre-2018 version.)
- **Confidence:** Medium. Minor wording point; the amounts and 7-year term are correct. Worth tightening because examiners occasionally test the conjunction.

Items the chapters already flag "confirm" — I spot-checked these and they are currently CORRECT (so you can rely on them, but they are amendment-sensitive)

- **Ch 05 Deposits — DRRA 20%** of deposits maturing next FY, funded by 30 April: correct (raised from 15%). Eligible company test **net worth ≥ ₹100 cr OR turnover ≥ ₹500 cr**: correct. Limits 35% (ordinary/members), 10% (eligible/members), 25% (eligible/public), 35% (Govt/public): correct. Tenure 6–36 months: correct. DPT-3 by 30 June; register kept 8 years: correct.
- **Ch 08 Dividend — Rule 3 "3-10-plug-15"** (rate cap = 3-yr average; amount cap = 10% of paid-up + free reserves; set off current losses; 15% reserve floor): all correct, and Scenario 2's arithmetic (avg 10%, ₹13 lakh cap, ₹7.5 lakh floor) is right. Timeline 5 / 30 / 37 / 90 days / 7 years, interest **12% (S.124) vs 18% (S.127)**, shares to IEPF under 124(6): all correct.
- **Ch 10 Audit — 141(3) money limits "1-5-1"** (relative securities face value ₹1 lakh, indebtedness > ₹5 lakh, guarantee > ₹1 lakh), **ceiling of 20** companies, rotation **individual 1×5 / firm 2×5 / cool-off 5**, fraud-reporting threshold **₹1 crore** (ADT-4, 45+15 day route; <₹1 cr to Board/AC within 2 days), Rule 5 rotation classes (₹10 cr unlisted public / ₹50 cr private / ₹50 cr borrowings): all correct.
- **Ch 11 LLP — DP residency 120 days** (amended down from 182): correct. Audit exemption **turnover > ₹40 lakh OR contribution > ₹25 lakh**: correct. Form 11 (Annual Return) 60 days; Form 8 (Statement of Account & Solvency) 6 months; below-2-partners 6-month grace; winding-up on 5 consecutive years' non-filing; conversion S.55/56/57 with Schedules 2/3/4: all correct.
- **Ch 14 FEMA — in force 1 June 2000, 49 sections; resident test >182 days in *preceding* FY + purpose override; S.13 penalty up to 3× (quantifiable) / up to ₹2 lakh (not) + ₹5,000/day; S.14 civil imprisonment on non-payment within 90 days; S.15 compounding within 180 days; S.6(3) omitted by Finance Act 2015; LRS USD 2,50,000**: all correct. Definition subsection letters (2(v), 2(w), 2(e), 2(j), 2(c), 2(n), 2(h)) all check out.

Overall reliability — per reviewed chapter

- **Ch 04 — Share Capital & Debentures: Reliable with one correction.** Fix the sweat-equity "one-year" point (Item 1). All other numbers verified (Sec 47 two-year voting trigger, Sec 48 3/4 + 10%/21-day, Sec 55 20-yr redemption + CRR, Sec 62 rights window 15–30 days, Sec 61 vs 66, Sec 68 buy-back 25% / 2:1 / 1-yr / CRR, Sec 71 trustee > 500 persons, SH-4 60 days). Grade: **A−.**
- **Ch 05 — Acceptance of Deposits: Highly reliable.** Only the minor "and/or" wording in S.76A (Item 3). All thresholds, limits, forms and the four scenarios are sound. Grade: **A.**
- **Ch 08 — Declaration & Payment of Dividend: Highly reliable.** No technical errors found; section numbers, the 3-10-plug-15 caps, IEPF timeline, and interest rates are all correct, including the worked computations. Grade: **A.**
- **Ch 10 — Audit & Auditors: Reliable with one correction.** Fix the 147(2) wilful-case multiplier (8×, not 4× — Item 2). Everything else (appointment clocks, rotation, 141 disqualifications, 143(12) fraud route, 144 list, forms) is accurate. Grade: **A−.**
- **Ch 11 — LLP Act 2008: Highly reliable.** No technical errors found. Residency, audit thresholds, filing deadlines, liability sections and conversion schedules all correct. Grade: **A.**
- **Ch 14 — FEMA 1999: Highly reliable.** No technical errors found. Definitions, section allocation, penalty/compounding regime and the current-vs-capital framework all correct. Grade: **A.**

Caveat for the student: Before the exam, still verify every figure the chapters themselves tag "confirm in ICAI material" (penalty bands, LRS cap, DRR %, private-company deposit exemption conditions, Schedule II useful lives) against the *current* ICAI Study Material and bare Act — these are amended frequently, and this review reflects the position as understood at review time, not a substitute for the latest bare-Act check. Chapters not listed above were not reviewed.

Rapid-Recall Flashcards

100 cards for spaced repetition — cover the right column and recall. Also importable into Anki from the DECK.tsv file.

Prompt	Answer
Why does the Companies Act define a "small company" by paid-up capital AND turnover thresholds?	To ring-fence genuinely small firms for lighter compliance; both tests must be met so a low-capital but high-turnover firm can't escape scrutiny. Limits: capital up to Rs.4 crore, turnover up to Rs.40 crore.
What are the paid-up capital and turnover limits for a "small company" (Sec 2(85))?	Paid-up capital not exceeding Rs.4 crore and turnover not exceeding Rs.40 crore (as per latest rules).
Why can a public company never be a "small company"?	Small-company relief is meant for closely-held private firms; public companies invite public investment, so they always need full compliance regardless of size.
What is the minimum number of members for a private vs public company?	Private: minimum 2; Public: minimum 7. (OPC needs just 1.)
What is the maximum number of members in a private company, and why?	200 (excluding employees/ex-employees who are members). The cap keeps it closely-held, distinguishing it from a public company that raises capital widely.
Why is a One Person Company (OPC) restricted to a natural person who is an Indian resident?	To keep the single-owner structure genuinely individual and locally accountable; a body corporate can't hide behind an OPC. Resident = stay of 120 days or more in previous FY.
What triggers mandatory conversion of an OPC into a private/public company?	Earlier the paid-up capital/turnover ceilings applied, but those thresholds were removed; OPC may convert voluntarily anytime, and must if it wants to raise public capital.
Why does Sec 2(87) treat control of the Board's composition as "control" for a subsidiary?	Because economic ownership isn't the only power; whoever appoints/removes a majority of directors effectively runs the company, so that alone makes it a subsidiary.
When is a company a "subsidiary" under Sec 2(87)?	If the holding company controls Board composition OR holds/controls more than one-half of the total voting power.
Why can a subsidiary not hold shares in its holding company (Sec 19)?	To prevent circular shareholding that would let a company indirectly buy its own shares and inflate its capital artificially.
What is the doctrine of "lifting the corporate veil"?	Courts disregard separate legal personality when the company form is used for fraud, tax evasion, or to defeat law, holding the real persons behind it liable.
Why is a company said to have "perpetual succession"?	Its existence is independent of members; death, insolvency or exit of members doesn't end it. Only law can dissolve it. Members may come and go; the company continues.
Why must a company incorporated for charitable purposes under Sec 8 not pay dividends?	Its licence requires profits be applied only to promote its objects; distributing profit would defeat the not-for-profit purpose that earned it exemptions.
What is the "doctrine of ultra vires"?	Acts beyond the objects clause of the memorandum are void and cannot be ratified even by all shareholders, protecting creditors and investors from mission drift.

Why is the memorandum called the "charter" of a company?	It defines the company's constitution, powers, and scope of activities toward outsiders; it's the foundational document limiting what the company can do.
What is the "doctrine of constructive notice"?	Outsiders dealing with a company are deemed to know its public documents (MOA/AOA); they can't claim ignorance of registered limits on the company's powers.
What is the "doctrine of indoor management" (Turquand rule)?	Outsiders may assume internal procedures were properly followed; they aren't bound to verify internal compliance, protecting them where directors flout internal rules.
What is the reserved-word rule for a company using "One Person Company"?	The words "(One Person Company)" must appear in brackets below the company's name wherever printed/engraved.
Why does Sec 12 require the registered office within 30 days of incorporation?	The company must have a fixed address to receive legal communications from day one; it's the point of official service and record inspection.
What is the time limit to file a change of registered office within the same state but different ROC jurisdiction?	Requires Regional Director approval; confirmation to be filed and registered within the prescribed period, then intimated to ROC.
Why must every prospectus state facts fully and truly (Sec 26)?	Investors rely on it to decide; concealment or misstatement invites civil and criminal liability because capital is being raised from the public on that trust.
What is a "deemed prospectus" (Sec 25)?	When a company allots securities to an issuing house intending they be offered to the public, the offer document is treated as a prospectus issued by the company.
What is the "golden legal rule" for prospectus disclosure?	Those issuing a prospectus stand in a fiduciary position and must disclose the whole truth with strictest accuracy; nothing should be stated as fact that isn't.
Why is a "shelf prospectus" allowed for certain issuers?	To let frequent issuers (e.g., banks, NBFCs) raise capital in tranches without a fresh prospectus each time; valid up to one year, updated via an information memorandum.
What is minimum subscription and why is 90% the benchmark?	The minimum amount stated in the prospectus that must be subscribed before allotment; 90% of the issue must be received, else money is refunded, ensuring viability.
Why must application money be at least 5% of nominal value of the security?	SEBI/Act require a minimum stake at application to filter non-serious applicants and ensure genuine commitment before allotment.
What is the time limit to refund application money if minimum subscription is not received?	Within 15 days from closure of the issue; beyond that, interest at 15% p.a. is payable.
Why does Sec 42 restrict a private placement to 200 persons in a financial year?	Beyond 200 it becomes a de facto public offer; the cap prevents companies from circumventing prospectus and public-issue safeguards.

What identifiable persons are excluded from the 200-person private placement cap?	Qualified Institutional Buyers (QIBs) and employees under ESOP are excluded from the count.
Why must private placement money go into a separate bank account and not be utilised before allotment?	To protect subscribers' funds and ensure money is used only for the stated purpose after valid allotment; premature use is a serious contravention.
What is the time limit to allot securities under private placement and file return of allotment?	Allot within 60 days of receiving application money; file PAS-3 within 15 days of allotment.
Why can't a company issue shares at a discount (Sec 53)?	It would defraud creditors by understating the capital cushion; issue at discount is void, except sweat equity shares which are a permitted exception.
What are "sweat equity shares" and why permitted at discount?	Shares issued to directors/employees for know-how or value additions; permitted because they reward genuine contribution rather than dilute creditor protection.
Why is the securities premium a capital reserve with restricted uses (Sec 52)?	It represents shareholders' capital contribution above par, not distributable profit; usable only for specified purposes like issuing bonus shares or writing off issue expenses.
List permitted uses of the Securities Premium Account.	Issue fully paid bonus shares; write off preliminary expenses; write off issue expenses/commission/discount on debentures; premium on redemption of preference shares/debentures; buy-back.
Why does Sec 62 mandate a rights issue before fresh equity to existing shareholders?	To protect existing shareholders' proportionate ownership and voting rights from dilution; they get first right to maintain their stake.
What is the notice period and minimum offer window for a rights issue under Sec 62?	Offer by notice specifying shares and a period of not less than 15 days and not more than 30 days to accept.
Why must a company create a Capital Redemption Reserve when redeeming preference shares out of profits (Sec 55)?	To replace the capital being paid out, keeping the creditors' buffer intact; CRR equals the nominal value redeemed and is treated like paid-up capital.
Why can preference shares be redeemed only if fully paid?	Partly-paid shares carry uncalled liability; redeeming them would extinguish that safeguard for creditors before the money is even collected.
What is the maximum tenure for redeemable preference shares?	20 years generally; up to 30 years for infrastructure projects (redeeming at least 10% per year from the 21st year).
Why does buy-back require the debt-equity ratio to stay within 2:1 after buy-back (Sec 68)?	To ensure the company doesn't erode its capital base and over-leverage, protecting creditors when it returns cash to shareholders.
What are the key buy-back limits under Sec 68?	Up to 25% of paid-up capital and free reserves (10% if Board-only approval); 25% of paid-up equity in a year; debt-equity max 2:1; funded from free reserves/securities premium/proceeds of fresh issue.

Why is there a 1-year cooling-off before a company can make another buy-back?	To prevent repeated capital erosion and market manipulation; ensures buy-back is a considered capital decision, not a routine share-price prop.
Why must a company transfer to Capital Redemption Reserve on buy-back out of free reserves?	Same logic as preference redemption: capital paid out is replaced by CRR so the creditor cushion is preserved.
Why does Sec 71 require creating a Debenture Redemption Reserve (DRR)?	Debentures are borrowings that must be repaid; DRR earmarks profits so redemption isn't funded by fresh borrowing, protecting debenture-holders.
What distinguishes a debenture from a share?	A debenture is a creditor's instrument (fixed interest, repayable, no ownership/voting) whereas a share is ownership (dividend, voting, residual claim, generally non-repayable).
Why does Sec 73 broadly prohibit companies from accepting deposits from the public?	Past scams showed public deposits are risky without banking-style safeguards; only eligible public companies with strict conditions may accept them.
What conditions let a private company accept deposits from members (Sec 73)?	Pass resolution, issue circular, file with ROC, provide deposit insurance/security, maintain deposit repayment reserve of 20% of deposits maturing next FY in a separate bank account.
What is the Deposit Repayment Reserve Account requirement?	On or before 30th April each year, deposit at least 20% of deposits maturing during the following financial year in a scheduled bank; usable only for repayment.
Why are certain receipts (e.g., advance for goods, share application money) excluded from "deposit"?	They're genuine commercial transactions, not borrowings; treating them as deposits would choke normal business and misapply investor-protection rules.
Why must charges be registered within 30 days of creation (Sec 77)?	Registration gives public notice to creditors of prior claims on assets; unregistered charges are void against the liquidator and other creditors.
What is the extended time to register a charge beyond the initial 30 days?	Registrar may allow registration within 60 days on payment of additional fees, and a further 60 days (total 120) with ad valorem fees, on application.
What is the consequence of a charge remaining unregistered?	The charge is void against the liquidator and creditors; the money still remains payable, but the security (priority) is lost.
Why must every company hold its first AGM within 9 months of the first financial year-end?	To give members an early account of the company's affairs; the longer window recognises a new company needs time to close its first, possibly long, accounting period.
What are the AGM timing rules (Sec 96)?	First AGM within 9 months of first FY-end; subsequent AGMs within 6 months of FY-end, max gap 15 months between two AGMs, held in business hours (9am-6pm) on a non-national-holiday.
Why is the quorum for a public company's general meeting tiered by member count (Sec 103)?	Fairness and practicality: larger companies need more members present to be representative, so quorum scales 5/15/30 for up to 1000/5000/over 5000 members.

What is the quorum for a private company general meeting?	2 members personally present, regardless of total membership.
Why does an ordinary resolution need only a simple majority while special needs 75%?	Routine matters warrant majority rule; fundamental changes (altering MOA/AOA, reducing capital) need a supermajority to protect minority from drastic decisions.
What notice period is required for a general meeting, and can it be shorter?	21 clear days' notice; shorter notice is valid if consent of 95% of members entitled to vote is obtained.
Why is a proxy allowed to attend but generally not to speak or vote on a show of hands?	A proxy is a stand-in for voting rights, not a member; the law lets absent members exercise their vote without giving proxies full participatory rights.
What is the limit on proxies one person can hold (Sec 105)?	A proxy can act for max 50 members and holding in aggregate not more than 10% of total share capital carrying voting rights.
Why must minutes of meetings be recorded within 30 days (Sec 118)?	Minutes are legal evidence of decisions; timely, accurate recording prevents disputes and manipulation of what the meeting actually resolved.
Why does Sec 123 permit dividend only out of profits (current or accumulated) or money provided by government?	Dividend is a distribution of profit, not capital; paying from capital would defraud creditors by returning their security to shareholders.
What must be done with declared dividend not paid/claimed within 30 days?	Transfer to a special "Unpaid Dividend Account" within 7 days after the 30 days; amounts unclaimed for 7 years go to the Investor Education and Protection Fund (IEPF).
Why does dividend declaration require transfer of unclaimed amounts to IEPF after 7 years?	To channel long-abandoned funds to investor protection/education rather than let companies retain them indefinitely; shares too are transferred to IEPF.
Why can't a company declare dividend if it has failed to comply with deposit repayment (Sec 123)?	Creditors/depositors rank ahead of shareholders; a company in default on repayments cannot reward owners before settling its obligations.
Why must financial statements give a "true and fair view" (Sec 129)?	So stakeholders get an honest economic picture; compliance with format alone isn't enough if it misleads, hence substance over mere form.
Why does Sec 135 mandate CSR spending of 2% of average net profits for qualifying companies?	To make profitable large companies contribute to social development; it institutionalises corporate responsibility rather than leaving it voluntary.
What are the CSR applicability thresholds (Sec 135)?	Net worth Rs.500 crore or more, OR turnover Rs.1000 crore or more, OR net profit Rs.5 crore or more, in the immediately preceding financial year.
What happens to unspent CSR amount (other than ongoing projects)?	Transfer to a Schedule VII fund within 6 months of FY-end. For ongoing projects, transfer to a special Unspent CSR Account within 30 days, to be spent within 3 years.

Why does Sec 138 require internal audit for prescribed companies?	Large/complex operations need an independent check on internal controls to catch errors/fraud early, beyond the annual statutory audit.
Why is the auditor appointed for 5 years and rotated (Sec 139)?	A fixed term ensures independence from year-to-year pressure, while mandatory rotation prevents cosy long-term relationships that erode objectivity.
What are the auditor rotation limits for prescribed companies (Sec 139(2))?	Individual auditor: one term of 5 years; audit firm: two terms of 5 years (10 years); then a 5-year cooling-off before reappointment.
Why does Sec 141 disqualify an auditor who holds securities in the company?	Financial interest compromises independence; an auditor with a stake may soften findings that hurt share value, defeating the audit's purpose.
List key auditor disqualifications under Sec 141.	Body corporate (except LLP), officer/employee of company, partner/employee of such, holding security or indebted above Rs.5 lakh, business relationship, convicted of fraud (10-yr bar).
Why does Sec 143 give the auditor a duty to report fraud to the Central Government?	To make the auditor a gatekeeper against fraud; frauds above Rs.1 crore must be reported to CG, ensuring serious misconduct isn't buried in the audit file.
What is the fraud-reporting threshold that goes to the Central Government under Sec 143(12)?	Fraud involving Rs.1 crore or more: report to Central Government; below Rs.1 crore: report to the Board/Audit Committee and disclose in Board's report.
Why must an auditor state whether the company has adequate internal financial controls?	Controls prevent misstatement and fraud; the auditor's opinion on IFC gives stakeholders assurance the numbers rest on a sound control system.
Why is the "General Clauses Act, 1897" called a consolidating and interpretation statute?	It defines common terms and lays down default interpretation rules so every other Act need not repeat them, ensuring consistency across the statute book.
Under the General Clauses Act, how is a period "from" a date computed?	The first day is excluded and the last day included (unless a contrary intention appears), so "within 30 days from X" starts counting the day after X.
Under the General Clauses Act, what if the last day for an act falls on a holiday?	The act is valid if done on the next working day when the office reopens; a closed office can't be held against the person.
What does "shall" vs "may" signify in statutory interpretation?	"Shall" is generally mandatory (must be obeyed) while "may" is directory/enabling (discretionary), though context and purpose can reverse the presumption.
What is the "literal/grammatical rule" of interpretation?	Words are given their ordinary, natural meaning; if the language is plain, the court applies it even if the result seems harsh, respecting legislative supremacy.
What is the "mischief rule" (Heydon's case)?	The court asks what defect/mischief the law aimed to cure and interprets the statute to suppress that mischief and advance the remedy.

What is the "golden rule" of interpretation?	Start with the literal meaning but depart from it just enough to avoid absurdity, repugnance, or inconsistency the legislature could not have intended.
What is the rule of "ejusdem generis"?	General words following specific ones of a class are limited to that same class; e.g., "cars, trucks and other vehicles" means other motor vehicles, not aircraft.
What is "noscitur a sociis"?	A word's meaning is known from its companions; ambiguous words take colour from surrounding words in the provision.
What is the difference between a "proviso", an "explanation" and an "illustration"?	Proviso carves out an exception to the main clause; explanation clarifies/expands meaning; illustration gives an example aiding understanding (but can't override the section).
Why is the "preamble" a useful aid to interpretation?	It states the object and purpose of the Act; when words are ambiguous, the preamble guides the court toward the intended meaning, though it can't override clear text.
What is the objective of FEMA, 1999 (as opposed to FERA)?	FEMA facilitates external trade/payments and orderly forex market development; it treats violations as civil (compoundable), unlike FERA's criminal, control-oriented regime.
What is the difference between a "capital account transaction" and a "current account transaction" under FEMA?	Capital account transactions alter assets/liabilities outside India (or of non-residents in India); current account transactions are all others, e.g., trade payments, travel, interest.
Why are current account transactions generally free under FEMA while capital ones are regulated?	Current transactions are routine trade/service flows essential to commerce; capital flows can destabilise the economy/exchange rate, so RBI regulates them.
Who is a "person resident in India" under FEMA?	One residing in India for more than 182 days in the preceding financial year (subject to purpose-of-stay exceptions), plus specified offices/agencies/companies in India.
Why does FEMA determine residency by days of stay rather than citizenship?	FEMA regulates economic activity/forex flows tied to where a person actually operates, so physical presence (182+ days) matters more than nationality.
Why is contravention under FEMA "compoundable"?	FEMA aims to manage forex, not punish; letting parties settle contraventions by paying a penalty (compounding) keeps trade flowing and reduces litigation.
Why must a Limited Liability Partnership (LLP) have at least two designated partners, one resident in India?	Designated partners bear compliance responsibility; requiring a resident ensures there's always someone locally accountable to regulators.
Why is an LLP a "body corporate" with perpetual succession unlike an ordinary partnership?	The LLP Act gives it separate legal personality, so partners' liability is limited and the entity survives partner changes, combining company and partnership benefits.
Why is a partner in an LLP generally not liable for another partner's wrongful acts?	Limited liability is the LLP's core benefit; a partner is shielded from others' misconduct done without their knowledge, unlike unlimited joint liability in a firm.

What is the minimum and maximum number of partners in an LLP?	Minimum 2 partners; no maximum limit (unlike a private company's 200-member cap).
Why does the LLP Act still make a partner liable for their own fraud despite limited liability?	Limited liability protects against others' acts, not one's own wrongdoing; allowing escape from personal fraud would make the shield a licence to cheat.